

# **Suitability Only -- P12 Standard**

Pure Suitability/Best-Interest Focus

499 hypotheticals

## Item 1 of 499

### NON-COMPLIANT

**Topic:** structured\_products\_unsuitable

**Difficulty:** medium

### Fact Pattern

Margaret Olin, age 78, is a retired elementary school teacher living in Tucson, Arizona. She has a total liquid net worth of approximately \$310,000, nearly all of which represents her life savings accumulated over a 35-year teaching career. Her annual income from Social Security and a small state pension totals \$34,000. She came into her advisor's office in March 2023 after her husband passed away, seeking help with the \$210,000 she received from his life insurance policy. She told her advisor, Kevin Driscoll, that she needed safe, income-producing investments to supplement her fixed income and cover potential medical expenses. She specifically stated she could not afford to lose principal. On her new account form, her risk tolerance was marked as 'conservative' and her investment objective was listed as 'income and capital preservation.' Over the next two months, Driscoll recommended Margaret invest \$175,000 -- roughly 56% of her total liquid net worth -- into three different structured notes tied to the performance of a basket of technology stocks. The notes had 7-year maturities, meaning Margaret would be 85 before they matured. Each note contained a 35% downside barrier, meaning if the underlying tech stocks fell more than 35%, Margaret could lose a substantial portion of her principal. The notes also carried significant issuer credit risk and were illiquid, with no secondary market and early redemption penalties of up to 5%. Driscoll earned a combined \$8,750 in commissions on the sales. He did not explain the barrier feature, the credit risk of the issuer, or the illiquidity to Margaret in terms she could understand. Within 14 months, the technology basket had declined 28%, and the value of Margaret's structured notes had dropped to approximately \$131,000 on paper, though she could not sell them without incurring steep penalties. Margaret filed a complaint stating she never understood what she was buying and thought the products were similar to certificates of deposit.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Kevin Driscoll almost certainly violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

- \*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, risk tolerance, liquidity needs, and time horizon. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
- \*\*Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:\*\*** If this transaction occurred after June 30, 2020 (which it did, in 2023), Driscoll was also subject to Reg BI, which requires broker-dealers to act in the retail customer's best interest at the time of a recommendation without placing their own financial interest ahead of the customer's. Reg BI has four component obligations: Disclosure, Care, Conflict of Interest, and Compliance.
- \*\*FINRA Rule 2210 and associated guidance on structured products:\*\*** FINRA has issued multiple Regulatory

Notices (e.g., 12-03, 09-73) emphasizing that structured products are complex instruments that may be unsuitable for retail investors, especially unsophisticated or elderly investors with conservative objectives.

**\*\*Analysis of Violations:\*\***

- **\*\*Customer-Specific Suitability (Rule 2111(a)):** Margaret's profile -- 78-year-old widow, conservative risk tolerance, capital preservation and income objectives, limited liquid net worth, need for accessible funds for medical expenses -- is fundamentally incompatible with illiquid, 7-year structured notes tied to volatile technology stocks with significant downside risk. Concentrating 56% of her liquid net worth in these products grossly exceeded any reasonable allocation for her profile.

- **\*\*Reg BI Care Obligation:** The Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, including understanding the risks and rewards of the product and having a reasonable basis to believe it is in the customer's best interest. A 7-year illiquid product with technology equity exposure and barrier risk is plainly not in the best interest of a 78-year-old conservative investor who explicitly stated she could not afford to lose principal.

- **\*\*Reg BI Disclosure Obligation:** Driscoll failed to adequately explain the barrier feature, issuer credit risk, and illiquidity in terms Margaret could understand. This represents a failure to disclose all material facts relating to the scope and terms of the relationship, including conflicts of interest such as his \$8,750 commission incentive.

- **\*\*Reg BI Conflict of Interest Obligation:** The \$8,750 in commissions created a financial incentive to recommend these products over simpler, lower-cost alternatives (e.g., Treasury bonds, CDs, high-quality bond funds) that would have been far more appropriate. There is no indication Driscoll mitigated this conflict.

- **\*\*Concentration Risk:** Placing 56% of a conservative elderly client's liquid assets into a single asset class (complex structured notes) represents an unreasonable concentration that exacerbates the suitability concerns.

- **\*\*Time Horizon Mismatch:** A 7-year maturity extending to age 85, for a customer who may need liquid funds for medical expenses, represents a severe mismatch between the product and the customer's needs.

**\*\*Likely Regulatory Outcome:** This case presents strong grounds for a FINRA arbitration award in Margaret's favor, likely including compensatory damages for losses, possible rescission of the transactions, and potential punitive damages given the egregious nature of the recommendations. If pursued by FINRA Enforcement, Driscoll could face fines, suspension, or a bar from the industry. The firm could face supervisory failure charges under FINRA Rule 3110 if it failed to flag these unsuitable recommendations through its review processes.

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## Item 2 of 499

### NON-COMPLIANT

**Topic:** margin\_unsuitable

**Difficulty:** easy

### Fact Pattern

David Hernandez, age 29, is a warehouse associate in Columbus, Ohio, earning \$42,000 per year. He has approximately \$18,000 in a brokerage account, which represents his entire savings outside of a small employer 401(k) with \$6,500. He has \$14,000 in credit card debt and \$22,000 in student loans. David opened his brokerage account in January 2024 with advisor Lisa Wen at a regional broker-dealer. On his account application, David indicated his investment objective was 'growth,' his risk tolerance was 'moderate,' and his investment experience was 'limited' -- he had only owned a single index fund in his 401(k). In February 2024, Lisa recommended David sign a margin agreement and begin purchasing stocks on margin to 'accelerate his wealth building.' David did not fully understand what margin meant; Lisa described it as 'a way to use leverage like the pros do.' Over the following three months, Lisa recommended David purchase \$36,000 worth of positions in three mid-cap growth stocks -- effectively leveraging his \$18,000 account at a 2:1 ratio. The margin interest rate was 11.5% annually. In April 2024, two of the three stocks dropped sharply after disappointing earnings reports, and David received a margin call requiring him to deposit an additional \$7,200 within five days. Unable to meet the call, the firm liquidated his positions at a loss. After the forced liquidation, David's account balance was approximately \$5,400 -- a loss of roughly \$12,600, or 70% of his original savings, plus he owed \$380 in accumulated margin interest. Lisa earned \$540 in commissions across the trades.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Lisa Wen violated applicable suitability and best interest standards.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires that recommendations, including investment strategies involving the use of margin, be suitable for the customer based on their investment profile.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Requires broker-dealers to act in the retail customer's best interest, including exercising reasonable care and diligence and not placing their own financial interests ahead of the customer's.
3. **\*\*FINRA Rule 2264 (Margin Disclosure Statement):\*\*** Requires firms to deliver a margin disclosure statement to customers before or at the time of opening a margin account, and FINRA has emphasized that margin is not appropriate for all investors.
4. **\*\*FINRA Regulatory Notice 10-09:\*\*** Specifically addresses the risks of margin and emphasizes that firms must evaluate whether margin is suitable before approving a customer for margin trading.

**\*\*Analysis of Violations:\*\***

- **\*\*Customer-Specific Suitability:\*\*** David is a 29-year-old with limited investment experience, modest income (\$42,000),

minimal savings (\$18,000), and significant existing debt (\$36,000 in credit card and student loan obligations). His risk tolerance was only 'moderate,' and he had no experience with leveraged investing. Recommending a 2:1 margin strategy that doubled his market exposure to \$36,000 -- equal to nearly 86% of his annual income -- was plainly unsuitable for his financial profile. The risk of a margin call that he could not meet was foreseeable and substantial.

- **Reg BI Care Obligation:** Lisa failed to exercise reasonable care. A reasonable advisor would recognize that a client with \$14,000 in credit card debt, limited income, and no experience with margin should not be leveraged 2:1 in individual mid-cap growth stocks. The recommendation was not in David's best interest by any measure.

- **Reg BI Disclosure Obligation:** Lisa's characterization of margin as 'a way to use leverage like the pros do' was misleading and failed to adequately disclose the material risks, including the possibility of losing more than his initial investment, margin calls, forced liquidation, and the 11.5% interest cost.

- **Reasonable-Basis Suitability:** Even apart from David's specific profile, recommending a concentrated, leveraged position in three individual mid-cap stocks to any inexperienced investor with limited resources raises reasonable-basis suitability concerns.

**Likely Regulatory Outcome:** David would have a strong FINRA arbitration claim for compensatory damages of approximately \$12,600 plus the margin interest. Lisa could face FINRA disciplinary action including fines and suspension. The firm could face liability for supervisory failures under FINRA Rule 3110 if it approved the margin account without adequate review of David's suitability profile, and for failing to ensure proper margin risk disclosure.

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## Item 3 of 499

### NON-COMPLIANT

**Topic:** failure\_to\_know\_customer

**Difficulty:** hard

### Fact Pattern

In September 2022, financial advisor Brian Colwell at a mid-size broker-dealer in Atlanta opened accounts for Priya and Rajan Mehta, a married couple ages 62 and 64 respectively. Priya is a semi-retired pharmacist earning approximately \$55,000 part-time, and Rajan had recently been diagnosed with early-stage Parkinson's disease and was no longer working. Their combined savings totaled approximately \$820,000 across several accounts, and they had a home valued at \$385,000 with \$90,000 remaining on the mortgage. During the account opening process, Colwell had Priya fill out the new account forms while Rajan was in the waiting room. Colwell did not speak directly with Rajan at any point during the process. On the new account forms, Colwell marked Rajan's risk tolerance as 'aggressive' and his investment objective as 'speculation,' and listed his annual income as \$120,000 -- despite the fact that Rajan was unemployed due to his medical condition. Colwell also failed to note Rajan's Parkinson's diagnosis or any health-related financial needs on the account documentation. Colwell did not ask about the couple's anticipated medical expenses, long-term care needs, insurance coverage, or estate planning situation. He also did not inquire about their tax situation, existing insurance policies, or other financial accounts. Over the following six months, Colwell invested \$340,000 of the Mehtas' money -- primarily from accounts titled in Rajan's name -- into a concentrated portfolio of leveraged ETFs, cryptocurrency-related equities, and options strategies, generating approximately \$11,200 in commissions. By March 2023, Rajan's accounts had lost approximately \$127,000. Priya later discovered the account documentation and was shocked to see the aggressive risk profile and inflated income figure listed for her husband. She stated that neither she nor Rajan had ever authorized speculative trading and that they had told Colwell they needed their savings to last through retirement and to cover Rajan's anticipated medical costs.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Brian Colwell committed multiple serious violations.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2090 (Know Your Customer):\*\*** Requires every member firm and associated person to use reasonable diligence, in regard to the opening and maintenance of every account, to know and retain the essential facts concerning every customer and the authority of each person acting on behalf of such customer.
2. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires a reasonable basis to believe that recommendations are suitable based on the customer's actual investment profile. The rule explicitly lists the factors that must be considered: age, other investments, financial situation and needs, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information disclosed by the customer.
3. **\*\*Regulation Best Interest (Reg BI):\*\*** Applicable to recommendations made after June 30, 2020. Requires the broker-dealer to act in the retail customer's best interest and encompasses the Care, Disclosure, Conflict of Interest, and Compliance obligations.

4. **FINRA Rules 4512 and 3110:** Rule 4512 requires firms to maintain accurate customer account records, and Rule 3110 requires supervisory systems to ensure compliance.

**Analysis of Violations:**

- **Know Your Customer (Rule 2090):** Colwell's failure to speak directly with Rajan -- the account holder -- represents a fundamental breach of the know-your-customer obligation. He never ascertained Rajan's actual financial situation, health status, investment experience, or objectives through direct interaction. This alone constitutes a serious violation. The failure to inquire about medical expenses, long-term care needs, insurance, tax situation, and estate planning means Colwell did not obtain essential facts about his customers.

- **Falsification of Account Records:** Listing Rajan's income as \$120,000 when he was unemployed, marking his risk tolerance as 'aggressive' and objective as 'speculation' without Rajan's direct input or authorization, constitutes falsification of account documents. This violates FINRA Rule 4511 (books and records requirements) and potentially FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade). Falsification of customer account records is one of the most serious violations in the securities industry.

- **Customer-Specific Suitability (Rule 2111):** Even if the account forms had been accurate, investing \$340,000 of a 64-year-old disabled man's retirement savings into leveraged ETFs, crypto equities, and options strategies would likely be unsuitable given the couple's actual profile: nearing retirement, one spouse with a progressive neurological disease requiring ongoing medical care, moderate combined income, and a need for capital preservation and liquidity.

- **Reg BI Care Obligation:** Colwell failed to exercise any reasonable diligence or care. He did not understand the customer's actual needs, did not evaluate the risks and rewards of the recommended products in light of the customer's actual profile, and placed his commission interest (\$11,200) ahead of the customer's interest.

- **Reg BI Disclosure Obligation:** There is no indication Colwell disclosed the risks of leveraged ETFs, options, or crypto-related equities, or his commission-based conflicts of interest.

**Likely Regulatory Outcome:** This is an egregious case involving multiple overlapping violations. In FINRA arbitration, the Mehtas would likely recover compensatory damages of at least \$127,000 and potentially more, along with possible punitive damages given the falsification of records. In a FINRA Enforcement action, Colwell would face a lengthy suspension or permanent industry bar, substantial fines, and disgorgement of commissions. The falsification of account documents alone often results in a bar. The firm would face supervisory failure charges under Rule 3110 for failing to detect the discrepancies in the account documentation and the unsuitable trading pattern. If the falsification was willful, it could also trigger referral to state or federal prosecutors for potential fraud charges.

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## Item 4 of 499

### COMPLIANT

**Topic:** speculative\_for\_conservative\_investor

**Difficulty:** medium

### Fact Pattern

Carol Whitfield, age 55, is a corporate attorney in Boston earning \$285,000 annually. She has a total investment portfolio of approximately \$2.1 million, including \$950,000 in her employer's 401(k) plan invested in target-date funds, \$680,000 in a taxable brokerage account, \$290,000 in two IRAs, and \$180,000 in a savings account. Her home is valued at \$750,000 with no mortgage. She has no debt. Carol's overall investment objective across all accounts is 'growth with moderate risk,' and her stated risk tolerance is 'moderate.' She has 20 years of investing experience, including familiarity with individual stocks, bonds, mutual funds, and some options trading. In November 2023, Carol approached her advisor, Nathan Osei, and expressed interest in allocating a small portion of her portfolio to higher-risk, higher-reward investments. After a thorough discussion, Nathan documented Carol's desire to designate \$68,000 -- approximately 3.2% of her total portfolio -- for a speculative satellite allocation. Nathan recommended a diversified basket of small-cap growth stocks and one emerging markets ETF for this sleeve. He documented the conversation in detail, including Carol's acknowledgment that this allocation could lose significant value, her confirmation that the loss of the entire \$68,000 would not materially affect her lifestyle or retirement plans, and her understanding of the higher volatility involved. Nathan also updated Carol's account documentation to reflect a 'speculative' objective for this specific sub-account while maintaining the 'moderate growth' objective for her remaining accounts. He provided written risk disclosures specific to small-cap and emerging market investments. Over the following year, the speculative sleeve gained approximately 14%, and Carol was satisfied with the approach.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

No, Nathan Osei did not violate applicable suitability or best interest standards. His conduct appears to be fully compliant.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires that recommendations be suitable based on the customer's investment profile. Importantly, the rule allows for consideration of the customer's overall portfolio context, not just individual transactions in isolation.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Requires the advisor to act in the customer's best interest at the time of the recommendation, with appropriate care, disclosure, and conflict mitigation.

**\*\*Analysis of Compliance:\*\***

- **\*\*Customer-Specific Suitability:\*\*** Carol is a high-income (\$285,000), high-net-worth (\$2.1 million portfolio), experienced investor with no debt and a secure financial foundation. A speculative allocation of \$68,000 -- only 3.2% of her total portfolio -- is well within the bounds of suitability for her profile. FINRA has recognized that suitability should be assessed in the context of the customer's entire portfolio and financial situation, and a small speculative allocation for a



wealthy, experienced investor does not raise suitability concerns.

- **Reg BI Care Obligation:** Nathan exercised thorough care by having a detailed discussion with Carol, understanding her motivations, assessing whether the potential loss would impact her financially, and recommending a diversified basket (small-cap growth stocks and an emerging markets ETF) rather than a single concentrated speculative bet. He considered the recommendation in light of her entire financial picture.

- **Reg BI Disclosure Obligation:** Nathan provided written risk disclosures specific to the asset classes recommended and documented Carol's understanding and acknowledgment of the risks. This satisfies the disclosure obligation.

- **Documentation:** Nathan's thorough documentation -- including the conversation, Carol's acknowledgments, and the updated account objectives -- represents best practices and would provide strong evidence of compliance in any future dispute.

- **Account Documentation:** Updating the sub-account to reflect a 'speculative' objective while maintaining the 'moderate growth' objective for other accounts demonstrates a thoughtful, account-level approach to suitability consistent with FINRA guidance.

**Likely Regulatory Outcome:** No violation. If this matter were reviewed by a regulator or raised in arbitration, Nathan's detailed documentation, the modest allocation size relative to Carol's total wealth, her investment experience, and the appropriateness of the recommendation for her profile would all support a finding of full compliance. This scenario represents a model of how advisors can accommodate a client's desire for speculative exposure within a well-documented, suitable framework.

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## Item 5 of 499

### NON-COMPLIANT

**Topic:** mutual\_fund\_switching\_churning

**Difficulty:** medium

### Fact Pattern

Robert and Diane Kowalski, ages 67 and 65 respectively, are retired and living in suburban Milwaukee. Robert receives a \$2,800 monthly pension from his former employer, and Diane receives \$1,400 per month in Social Security. Their combined annual income is approximately \$50,400. They have \$415,000 in a joint brokerage account, which represents the bulk of their retirement savings aside from Robert's pension. Their stated investment objectives are 'income and capital preservation,' and their risk tolerance is 'conservative.' They have limited investment knowledge and have relied heavily on their advisor, Jennifer Pruitt, for guidance since 2019. Between January 2022 and December 2023, Pruitt executed 14 mutual fund switches in the Kowalskis' account. In each instance, she moved money from one Class A share mutual fund to another Class A share mutual fund within different fund families, triggering a new front-end sales load each time. The funds she switched between were broadly similar -- all were investment-grade intermediate bond funds or balanced funds with comparable investment strategies, risk profiles, expense ratios, and historical performance. The total front-end sales charges paid by the Kowalskis across these 14 switches amounted to approximately \$19,300. Pruitt earned approximately \$9,200 in commissions from these transactions. The Kowalskis' account value at the end of December 2023 was approximately \$388,000 -- a decline of \$27,000 from the starting value, of which \$19,300 was attributable to sales charges alone. At no point did Pruitt explain to the Kowalskis that the funds were substantially similar, that breakpoint discounts or rights of accumulation might reduce charges, or that the switches served no meaningful investment purpose. When the Kowalskis asked about the transactions during a review meeting, Pruitt told them she was 'rebalancing into better-performing funds,' but performance data shows the replacement funds performed comparably to or slightly worse than the funds that were sold.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Jennifer Pruitt violated multiple applicable standards through a classic pattern of mutual fund switching, also known as churning or twisting.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability) -- Quantitative Suitability:\*\*** The quantitative suitability component of Rule 2111 requires that an advisor who has actual or de facto control over a customer account not engage in excessive trading. While typically associated with equity trading, the principle extends to mutual fund switching that generates unnecessary costs.
2. **\*\*FINRA Rule 11171 (Mutual Fund Switching):\*\*** FINRA has specific guidance prohibiting unsuitable mutual fund switches. A switch from one fund to another is presumptively unsuitable when the funds are substantially similar and the switch generates new sales charges without a corresponding investment benefit.
3. **\*\*Regulation Best Interest (Reg BI):\*\*** For transactions occurring after June 30, 2020, the Care Obligation requires that the advisor have a reasonable basis to believe the recommendation is in the customer's best interest, considering

costs. The Conflict of Interest Obligation requires identification and mitigation of conflicts, including commission-based incentives to switch.

4. **FINRA Rule 2010 (Standards of Commercial Honor):** The pattern of switching, combined with the misleading characterization of the transactions as 'rebalancing,' may violate the general ethical standards requirement.

5. **FINRA Rules regarding breakpoint sales charge discounts (e.g., NASD Rule 2830 / FINRA guidance on breakpoints):** Pruitt's failure to inform the Kowalskis about breakpoint discounts or rights of accumulation that could have reduced sales charges constitutes an additional violation.

**Analysis of Violations:**

- **Mutual Fund Switching:** The 14 switches between substantially similar bond and balanced funds across different fund families, each triggering a new Class A front-end load, is the textbook definition of unsuitable mutual fund switching. There was no meaningful investment rationale: the funds had comparable strategies, risk profiles, expense ratios, and performance. The switches served no purpose other than to generate \$9,200 in commissions for Pruitt.

- **Quantitative Suitability:** The \$19,300 in sales charges represented approximately 4.65% of the Kowalskis' \$415,000 account over a two-year period -- an extraordinary cost drag for a conservative income and capital preservation portfolio of bond and balanced funds. For context, the account would have needed to generate returns of approximately 4.65% just to offset the sales charges, which is unreasonable for conservative fixed-income oriented investments.

- **Reg BI Care Obligation:** No reasonable advisor could conclude that switching between substantially similar funds at significant cost was in the best interest of retired, conservative investors living on fixed income. The costs directly undermined the Kowalskis' capital preservation objective.

- **Reg BI Conflict of Interest Obligation:** Pruitt's \$9,200 commission incentive was the clear driver of the switches. There is no indication she identified, disclosed, or mitigated this conflict.

- **Reg BI Disclosure Obligation:** Pruitt failed to disclose the material fact that the funds were substantially similar, that breakpoint discounts might be available, or that the switches would generate significant costs without corresponding benefit. Her characterization of the activity as 'rebalancing into better-performing funds' was affirmatively misleading.

- **De Facto Control:** The Kowalskis' limited investment knowledge and heavy reliance on Pruitt since 2019 suggests she exercised de facto control over the account, which triggers the quantitative suitability obligation and heightens the duty of care.

**Likely Regulatory Outcome:** The Kowalskis would have a strong FINRA arbitration claim for compensatory damages of at least \$19,300 (the unnecessary sales charges) and potentially the full \$27,000 account decline, plus interest and fees. Pruitt would face FINRA Enforcement action likely resulting in fines, disgorgement of the \$9,200 in commissions, a suspension of several months to a year or more, and restitution to the customers. The firm would face potential supervisory failure charges under FINRA Rule 3110 for failing to detect 14 switches in substantially similar funds over a two-year period -- a pattern that any reasonable supervisory system should flag. This type of switching abuse has been a longstanding FINRA enforcement priority.

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## Item 6 of 499

### NON-COMPLIANT

**Topic:** penny\_stocks\_unsuitable

**Difficulty:** easy

### Fact Pattern

Margaret Hoffman, age 72, is a retired schoolteacher living in Tucson, Arizona. She has a monthly pension of \$2,800 and Social Security income of \$1,650 per month. Her total liquid savings amount to \$185,000, held in a brokerage account she opened in March 2023 with advisor Derek Pham at a mid-sized broker-dealer. On her new account form, Margaret listed her investment objective as 'income and preservation of capital,' her risk tolerance as 'low,' her time horizon as '1-5 years,' and her investment experience as 'limited -- mostly CDs and savings bonds.' She told Derek she needed the money to cover potential assisted-living costs and wanted safe, dividend-paying investments. Between April and August 2023, Derek executed 23 purchases of over-the-counter penny stocks in Margaret's account, including shares of a cannabis startup trading at \$0.12, a speculative lithium mining company trading at \$0.04, and a pre-revenue biotech firm trading at \$0.08. In total, Derek invested \$141,000 of Margaret's \$185,000 into these positions. He earned commissions averaging 5.5% per trade, totaling approximately \$7,755. By December 2023, the combined value of the penny stock positions had fallen to \$18,400, representing a loss of roughly \$122,600 or 87% of the invested amount. Margaret discovered the losses when she requested a year-end account statement to give to her tax preparer. She had never been told the stocks were speculative penny stocks and believed her money was in 'growth-oriented dividend funds' as Derek had verbally described them.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Pham committed clear and egregious violations of applicable standards.

**\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. The rule encompasses three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

- **\*Customer-Specific Suitability:** Margaret's documented profile -- age 72, low risk tolerance, limited experience, income/preservation objective, and short time horizon -- is fundamentally incompatible with penny stocks. OTC penny stocks are among the most speculative, illiquid, and volatile securities available. Concentrating 76% of a conservative retiree's life savings in such instruments fails customer-specific suitability by any measure.

- **\*Reasonable-Basis Suitability:** Penny stocks in pre-revenue companies with no dividend history cannot reasonably be recommended to any income-oriented, capital-preservation investor. No reasonable advisor would conclude these securities were suitable for any investor with Margaret's profile.

- **\*Quantitative Suitability:** Twenty-three purchases over five months, generating \$7,755 in commissions on a \$185,000 account, raises concerns about excessive trading, particularly given the speculative nature of the positions.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under the SEC's Reg BI, applicable to broker-dealers since June 30, 2020, Derek

owed Margaret a best interest obligation consisting of four component obligations: Disclosure, Care, Conflict of Interest, and Compliance. The Care Obligation requires that the advisor exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of recommendations, and have a reasonable basis to believe the recommendation is in the customer's best interest without placing the advisor's interest ahead of the customer's. Investing a 72-year-old conservative retiree's savings in penny stocks while earning outsized commissions plainly violates the Care Obligation. Additionally, Derek's failure to accurately describe the investments (calling them 'growth-oriented dividend funds') violates the Disclosure Obligation and raises issues of misrepresentation under Exchange Act Section 10(b) and Rule 10b-5.

**\*\*FINRA Rule 2020 (Manipulation and Fraud):\*\*** Mischaracterizing penny stocks as 'dividend funds' constitutes a material misrepresentation, potentially rising to the level of fraud.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** The overall pattern of conduct -- unsuitable recommendations, misrepresentation, and excessive commissions -- violates standards of just and equitable principles of trade.

**\*\*Likely Regulatory Outcome:\*\*** Derek faces potential FINRA enforcement action including fines, disgorgement of commissions, suspension or bar from the industry. Margaret would likely prevail in a FINRA arbitration claim and recover compensatory damages of approximately \$122,600 plus the \$7,755 in commissions. Punitive damages may also be available given the egregiousness of the misconduct. The broker-dealer faces supervisory liability under FINRA Rule 3110 for failing to detect 23 penny stock trades in a conservative elderly client's account.

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## Item 7 of 499

### NON-COMPLIANT

**Topic:** variable\_annuity\_unsuitable

**Difficulty:** medium

### Fact Pattern

Thomas Greenwald, age 81, is a widower residing in an assisted-living facility in Boca Raton, Florida. He has a total net worth of approximately \$620,000, consisting of \$430,000 in an IRA rollover account and \$190,000 in a taxable brokerage account. His only income sources are Social Security (\$2,200/month) and a small corporate pension (\$900/month). Thomas's documented investment objectives are 'income' and 'capital preservation,' his risk tolerance is 'conservative,' and his investment experience is 'moderate' -- he previously held a portfolio of blue-chip stocks and Treasury bonds managed by a different advisor who retired. His monthly assisted-living expenses are \$6,500, meaning he draws approximately \$3,400 per month from his investment accounts to cover the gap. In January 2024, financial advisor Carla Mendez recommended that Thomas liquidate his entire IRA and invest the \$430,000 proceeds into a single variable annuity with a guaranteed minimum income benefit rider. The annuity carried a 7-year surrender period with a declining surrender charge starting at 8% in year one. The total annual fees -- including the mortality and expense charge, administrative fee, sub-account management fees, and the rider fee -- amounted to 3.45% per year, or approximately \$14,835 annually. Carla received an upfront commission of 6.5%, totaling \$27,950. Carla told Thomas the annuity would 'guarantee his income for life,' but she did not discuss the surrender charges, the total fee structure, or the fact that the guaranteed income benefit would not begin paying out for 10 years under the contract terms. Thomas's physician has documented a diagnosis of early-stage dementia, and his adult daughter, who holds power of attorney, was not consulted about or informed of the transaction until she reviewed a confirmation statement three months later.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Carla Mendez violated multiple applicable standards in recommending this variable annuity.

**\*\*FINRA Rule 2111 (Suitability) -- Customer-Specific Suitability:\*\*** Thomas is 81 years old, has documented early-stage dementia, resides in assisted living, and is currently drawing down his assets to meet monthly expenses. A variable annuity with a 7-year surrender period and a guaranteed income rider that does not pay out for 10 years is fundamentally unsuitable for a client who (a) has a life expectancy that may not extend to the annuitization date, (b) needs current liquidity for ongoing living expenses, and (c) cannot afford to have \$430,000 locked up with an 8% surrender penalty. His conservative risk tolerance and income objective further contradict a product with 3.45% in annual fees that erode principal.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** The Care Obligation requires that Carla exercise reasonable diligence, care, and skill in making her recommendation, and that she have a reasonable basis to believe the recommendation is in Thomas's best interest. Given Thomas's age, health, liquidity needs, and the product's long surrender period, high fees, and deferred income stream, no reasonable advisor could conclude this product was in Thomas's best interest. The 6.5% upfront commission (\$27,950) creates a powerful financial incentive that Carla placed ahead of Thomas's interests.

**\*\*Reg BI -- Disclosure Obligation:\*\*** Carla failed to disclose the surrender charges, total fee structure, and the 10-year waiting period for the guaranteed income benefit. This is a clear violation of the requirement to provide full and fair disclosure of all material facts relating to the scope and terms of the recommendation, including costs and conflicts of interest.

**\*\*FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities):\*\*** This rule specifically governs variable annuity recommendations and requires that the member or associated person have a reasonable basis to believe: (a) the customer has been informed of the features of the annuity, including surrender charges and fees; (b) the customer would benefit from the features of the annuity (such as tax-deferred growth, annuitization, or death benefit); and (c) the particular annuity is suitable given the customer's age, income, financial situation, existing insurance holdings, risk tolerance, liquidity needs, and investment objectives. Carla's recommendation fails all three prongs. An 81-year-old IRA holder gains no additional tax-deferral benefit from placing already tax-deferred IRA funds inside a variable annuity, making the layering of annuity fees particularly unjustifiable.

**\*\*Capacity Concerns:\*\*** Thomas's documented early-stage dementia raises serious questions about whether he had the mental capacity to understand and consent to this transaction. Carla's failure to involve Thomas's daughter, who holds power of attorney, is a significant red flag. While not a suitability rule per se, FINRA's guidance on senior investors (Regulatory Notice 07-43 and related notices) emphasizes that firms should have policies to identify and protect vulnerable adults.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** The totality of Carla's conduct -- recommending an unsuitable, illiquid, expensive product to a cognitively impaired 81-year-old while failing to disclose material terms and bypassing his legal representative -- violates just and equitable principles of trade.

**\*\*Likely Regulatory Outcome:\*\*** Carla faces FINRA enforcement action likely resulting in a substantial fine, disgorgement of the \$27,950 commission, restitution to Thomas, and a lengthy suspension or permanent bar. The broker-dealer faces supervisory liability under FINRA Rules 3110 and 3120 for approving the transaction, as variable annuity sales require principal review under Rule 2330. Thomas or his daughter would likely prevail in FINRA arbitration, recovering the surrender charges, excess fees, and any investment losses, potentially with punitive damages given the exploitation of a vulnerable senior.

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## Item 8 of 499

### NON-COMPLIANT

**Topic:** mutual\_fund\_switching\_churning

**Difficulty:** hard

### Fact Pattern

Helen Yamaguchi, age 74, is a retired postal worker in Sacramento, California, with a total investment portfolio of \$310,000, all held in a single brokerage account with advisor Raymond Lister at a national broker-dealer. Helen's documented profile lists her risk tolerance as 'moderate,' her investment objective as 'growth and income,' her time horizon as '5-10 years,' and her annual income as \$38,000 from her pension and Social Security. She has no other major assets aside from her home, which is fully paid off. Helen has limited investment knowledge and has relied on Raymond for all investment decisions since 2018. Between January 2022 and December 2023, Raymond executed 14 switches among large-cap equity mutual funds across four different fund families. The pattern was consistent: he would recommend selling one fund -- such as a large-cap growth fund with a 5.25% front-end load from Fund Family A -- and purchasing a substantially similar large-cap growth fund with a 5.50% front-end load from Fund Family B. Several months later, he would reverse the trade or move to yet another similar fund from Fund Family C. Each switch triggered new front-end sales charges. Over the 24-month period, Helen paid approximately \$38,200 in cumulative front-end loads on the 14 round-trip transactions involving approximately \$694,000 in gross purchases. The sub-account performance of the various funds was nearly identical -- all tracked large-cap U.S. equity benchmarks and had similar expense ratios ranging from 0.72% to 0.89%. At no point did Raymond document any material change in Helen's investment objectives or market conditions that would justify the switches. Raymond's commission income from Helen's account during this period was approximately \$34,100. Helen's net portfolio value declined from \$310,000 to \$267,500 over the two years, despite the S&P 500 returning approximately 2% cumulatively over the same period. The \$42,500 decline is almost entirely attributable to the cumulative sales charges and transaction costs.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Raymond Lister engaged in classic mutual fund switching -- a well-recognized form of churning -- that violated multiple regulatory standards.

**\*\*FINRA Rule 2111 (Suitability) -- Quantitative Suitability:\*\*** The quantitative suitability obligation prohibits an advisor from recommending a series of transactions that, even if individually suitable, are excessive in light of the customer's profile when taken together. Here, 14 switches among substantially similar large-cap equity funds over 24 months -- generating \$694,000 in gross purchases on a \$310,000 account (an implicit turnover rate exceeding 2x annually) -- is textbook excessive activity. The cost-to-equity ratio can be estimated: \$38,200 in loads plus fund expenses on a \$310,000 account over two years yields an annualized cost-to-equity ratio of approximately 6.2%, meaning Helen's portfolio needed to generate over 6% annually just to break even after costs. This far exceeds thresholds that FINRA and arbitration panels have found indicative of excessive trading.

**\*\*FINRA Rule 2111 -- Reasonable-Basis Suitability:\*\*** There is no reasonable basis for switching between substantially similar large-cap equity mutual funds with comparable performance, expense ratios, and investment strategies. The funds are functional substitutes. A reasonable advisor would recognize that the switches provide no investment benefit to the client and serve only to generate commissions.



**\*\*FINRA Rule 2111 -- Customer-Specific Suitability:\*\*** Even viewing each transaction individually, recommending that a 74-year-old moderate-risk investor with limited knowledge repeatedly pay 5-5.5% front-end loads -- effectively destroying capital each time -- is unsuitable given her growth-and-income objective and the fact that the loads directly impair her ability to achieve income or growth.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under Reg BI, Raymond was required to consider reasonably available alternatives. Reasonably available alternatives included (a) simply holding the existing fund, (b) switching to a no-load or low-cost index fund, or (c) if a switch were warranted, using breakpoint-eligible share classes or rights of accumulation to reduce loads. Raymond considered none of these. The Care Obligation also requires that the advisor not place his financial interest ahead of the customer's. Raymond earned \$34,100 in commissions while Helen lost \$42,500 -- a textbook case of the advisor's interest being placed ahead of the customer's.

**\*\*Reg BI -- Conflict of Interest Obligation:\*\*** Raymond's compensation structure created a direct conflict of interest -- each switch generated a new commission. The firm was required to establish policies to identify, disclose, and mitigate or eliminate such conflicts. The repeated switching pattern suggests a complete failure of conflict mitigation.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Systematic mutual fund switching to generate commissions at the expense of a retired, unsophisticated client violates just and equitable principles of trade.

**\*\*NASD IM-2310-2 (Fair Dealing with Customers) and Related Guidance:\*\*** FINRA has issued extensive guidance specifically addressing mutual fund switching (including Regulatory Notices and the NASD's interpretive materials). Switching between funds with similar objectives and performance for the purpose of generating sales charges has long been identified as a prohibited practice.

**\*\*Breakpoint Considerations:\*\*** Under FINRA rules concerning mutual fund sales charge discounts (addressed in Regulatory Notices 03-54 and related guidance), firms and advisors have an obligation to ensure customers receive applicable breakpoint discounts. By spreading purchases across four fund families rather than consolidating within one family, Raymond ensured Helen could not benefit from breakpoint thresholds or rights of accumulation, further evidencing that the switching was designed to maximize commissions rather than serve Helen's interests.

**\*\*Likely Regulatory Outcome:\*\*** Raymond faces FINRA enforcement action likely resulting in a bar or lengthy suspension, disgorgement of approximately \$34,100 in commissions, fines, and an order of restitution. The broker-dealer faces significant supervisory liability under FINRA Rules 3110 and 3120 -- the switching pattern across 14 transactions should have been detected by automated surveillance systems and flagged by a supervising principal. In FINRA arbitration, Helen would likely recover the full \$42,500 in losses (the difference between her starting value and ending value, adjusted for market performance), plus the excess costs paid. Punitive damages are possible given the systematic nature of the misconduct. The case is a strong candidate for referral to state securities regulators and potentially criminal authorities if a pattern of similar conduct with other clients is identified.

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## Item 9 of 499

### COMPLIANT

**Topic:** excessive\_load\_funds

**Difficulty:** medium

### Fact Pattern

Priya Nair, age 42, is a software engineer in Seattle earning \$195,000 per year. She has \$85,000 in her employer's 401(k), \$22,000 in a Roth IRA, and has accumulated \$150,000 in a savings account that she wants to invest for long-term growth over a 15-20 year horizon. She describes her risk tolerance as 'moderately aggressive' and her investment objective as 'long-term capital appreciation.' She has some investment knowledge from managing her own 401(k) allocations. In September 2023, Priya opened a brokerage account with advisor Nathan Boyle. After a thorough discussion of Priya's goals, time horizon, risk tolerance, and existing holdings, Nathan recommended she invest the \$150,000 across three diversified equity mutual funds: \$60,000 in a domestic large-cap growth fund (Class A shares, 4.50% front-end load, 0.65% expense ratio), \$50,000 in an international developed markets fund (Class A shares, 4.75% front-end load, 0.78% expense ratio), and \$40,000 in a small-cap value fund (Class A shares, 5.00% front-end load, 0.85% expense ratio). Nathan applied all available breakpoint discounts and rights of accumulation. He also presented Priya with a comparison of the Class A shares versus Class C shares (no front-end load but 1.00% higher annual expense ratio and a 1% contingent deferred sales charge for one year), explaining that given her 15-20 year time horizon, the Class A shares would result in lower total costs over time. He provided Priya with each fund's prospectus, a written summary of fees, and a side-by-side cost comparison. The total front-end loads paid were approximately \$6,938. Nathan's commission was approximately \$6,200. Priya signed an acknowledgment that she understood the fee structure and chose Class A shares after reviewing the alternatives. The three funds are well-regarded, Morningstar 4- and 5-star rated funds with strong long-term track records that align with Priya's growth objective and moderately aggressive risk tolerance.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

No, Nathan Boyle appears to have acted in compliance with applicable suitability and best interest standards.

**\*\*FINRA Rule 2111 (Suitability) -- All Three Components Satisfied:\*\***

- **\*Reasonable-Basis Suitability:\*** The three recommended funds are well-regarded, diversified equity mutual funds with strong track records and reasonable expense ratios for actively managed funds. A reasonable advisor could conclude these are suitable investment options.

- **\*Customer-Specific Suitability:\*** Priya is 42 years old, has a moderately aggressive risk tolerance, seeks long-term capital appreciation over a 15-20 year horizon, earns a high income, and already has retirement savings in other accounts. A diversified portfolio of domestic large-cap, international, and small-cap equity funds is well-aligned with her profile. The allocation is diversified across geographies and market capitalizations.

- **\*Quantitative Suitability:\*** This was a single allocation event, not a pattern of repeated transactions. There is no excessive trading concern.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Nathan exercised reasonable diligence by conducting a thorough assessment of Priya's financial situation, existing holdings, goals, and risk tolerance before making the recommendation. He considered reasonably available alternatives -- specifically comparing Class A versus Class C share classes and explaining why Class A shares would be less expensive over Priya's long time horizon. This cost-conscious analysis demonstrates that he considered the costs of the recommendation and did not place his interests ahead of Priya's.

**\*\*Reg BI -- Disclosure Obligation:\*\*** Nathan provided Priya with prospectuses, a written fee summary, and a side-by-side cost comparison. He disclosed the front-end loads, ongoing expense ratios, and his compensation. Priya signed an acknowledgment confirming her understanding. This satisfies the disclosure requirements.

**\*\*Reg BI -- Conflict of Interest Obligation:\*\*** Nathan's commission creates an inherent conflict, but he mitigated it by presenting lower-cost alternatives, applying all available breakpoint discounts, and allowing Priya to make an informed choice. The firm's obligation is to identify, disclose, and mitigate conflicts -- not necessarily eliminate them.

**\*\*FINRA Guidance on Breakpoints and Share Class Selection:\*\*** Nathan properly applied breakpoint discounts and rights of accumulation, consistent with FINRA's guidance (Regulatory Notice 03-54 and related guidance on mutual fund sales charges). His recommendation of Class A shares over Class C shares for a long-term investor is consistent with industry best practices, as the higher ongoing expenses of Class C shares typically exceed the one-time front-end load of Class A shares for holding periods beyond approximately 7-8 years.

**\*\*Assessment of Loads:\*\*** While front-end loads of 4.50%-5.00% may seem high in an era of low-cost index funds, the use of load funds is not per se unsuitable or violative of Reg BI, particularly when the advisor has disclosed the costs, considered alternatives, applied breakpoints, and the investor has chosen the funds with full information. The total expense ratios (0.65%-0.85%) are within normal ranges for actively managed funds.

**\*\*Likely Regulatory Outcome:\*\*** No violation. If a complaint were filed, Nathan would have strong documentation -- the account profile, needs analysis, share class comparison, breakpoint application, prospectus delivery, and signed acknowledgment -- to demonstrate compliance. A FINRA arbitration panel or examiner would likely find the recommendation was suitable and consistent with Reg BI.

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**Item 10 of 499****NON-COMPLIANT****Topic:** variable\_annuity\_unsuitable**Difficulty:** medium**Fact Pattern**

James and Darlene Crawford, ages 68 and 65, are a married couple in Omaha, Nebraska, both recently retired. James was a warehouse manager and Darlene was a dental hygienist. Their combined retirement income is \$4,800 per month from Social Security and a small pension. Their total liquid savings consist of \$520,000: \$280,000 in James's traditional IRA, \$140,000 in Darlene's traditional IRA, and \$100,000 in a joint taxable brokerage account. They have no other significant assets besides their home, valued at approximately \$210,000 with a remaining mortgage balance of \$45,000. Their documented investment profile lists their risk tolerance as 'conservative,' their investment objectives as 'income and capital preservation,' and their time horizon as '5-10 years.' They told their advisor, Stephanie Russo, that they wanted to generate supplemental income of approximately \$2,000 per month to cover expenses not met by their pension and Social Security, and that they might need access to their funds for potential medical expenses as both have chronic health conditions. In February 2024, Stephanie recommended that James and Darlene each liquidate their IRAs and invest the proceeds into separate variable annuities from the same insurance company -- a \$280,000 contract for James and a \$140,000 contract for Darlene. Both annuities featured 9-year surrender periods with an initial surrender charge of 9%, declining by 1% per year. The annuities allowed penalty-free withdrawals of up to 10% of the contract value per year, but any withdrawals exceeding that amount during the surrender period would trigger the surrender charge. Combined annual fees on both contracts, including mortality and expense charges, administrative fees, sub-account expenses, and an optional enhanced death benefit rider, totaled 3.85%, or approximately \$16,170 per year. Stephanie earned upfront commissions of 7% on both contracts, totaling \$29,400. She did not discuss the surrender charges in detail, did not present any alternative investment options, and did not address the fact that placing IRA assets inside a variable annuity provides no additional tax deferral since IRAs are already tax-advantaged. The Crawfords were also not informed that the 10% annual penalty-free withdrawal from both contracts combined (\$42,000 per year, or \$3,500 per month) would be sufficient to meet their stated income need, but that any unplanned medical withdrawals beyond that amount would trigger substantial surrender charges.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Stephanie Russo violated multiple regulatory standards in recommending these variable annuities to the Crawfords.

**\*\*FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities):\*\*** This rule specifically governs variable annuity recommendations and requires that the advisor have a reasonable basis to believe: (a) the customer has been informed of the features of the annuity, including surrender charges, potential tax penalties, mortality and expense charges, and other fees; (b) the customer would benefit from certain features of the annuity, including tax-deferred growth, annuitization, death benefit, or living benefit features; and (c) the particular annuity as a whole is suitable.

- **\*Prong (a) -- Disclosure:**\* Stephanie failed to discuss surrender charges in detail, did not present alternative investment options, and did not explain the implications of the 10% penalty-free withdrawal limit relative to potential

medical needs. This is a clear violation.

- \*Prong (b) -- Benefit from Features:\* The Crawfords' IRA assets are already tax-deferred. Placing tax-deferred IRA money inside a variable annuity provides no incremental tax benefit -- it merely layers additional fees (3.85% annually) onto the existing tax-advantaged structure. This is a widely recognized red flag. The enhanced death benefit rider adds cost but is of questionable value given the Crawfords' stated objectives of income and preservation rather than estate planning. Stephanie failed to demonstrate that the annuity features provided any benefit the Crawfords could not obtain through less expensive alternatives.

- \*Prong (c) -- Overall Suitability:\* A 9-year surrender period is inappropriate for a conservative couple ages 68 and 65 with chronic health conditions who have explicitly stated they may need access to funds for medical expenses. The surrender charges (starting at 9%) could result in penalties of up to \$37,800 on the combined contracts if full liquidation were required in year one. The 3.85% annual fee erodes the capital preservation objective, costing the Crawfords approximately \$16,170 per year.

**\*\*FINRA Rule 2111 (Suitability) -- Customer-Specific Suitability:\*\*** The Crawfords are conservative investors seeking income and capital preservation with a 5-10 year time horizon and known liquidity needs. A product with a 9-year surrender period, 3.85% annual fees, and limited liquidity is misaligned with every element of their stated profile. Their chronic health conditions make liquidity particularly important and the long surrender period particularly problematic.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Stephanie was required to exercise reasonable diligence, care, and skill in understanding the product and the customer's profile, consider reasonably available alternatives, and have a reasonable basis to believe the recommendation was in the Crawfords' best interest. She failed on all counts: she did not consider alternatives such as a diversified portfolio of income-generating securities (e.g., bond funds, dividend-paying stock funds, or a balanced fund) that would have provided income and liquidity at a fraction of the cost; she did not analyze whether the annuity features provided genuine benefit to IRA holders; and the \$29,400 in upfront commissions strongly suggest her financial interest was placed ahead of her clients'.

**\*\*Reg BI -- Disclosure Obligation:\*\*** The failure to disclose surrender charges in detail, the failure to explain the irrelevance of tax deferral for IRA assets, and the failure to present alternatives all constitute disclosure violations.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Recommending that a retired conservative couple invest 81% of their liquid savings (\$420,000 of \$520,000) into long-surrender-period variable annuities -- generating \$29,400 in personal commissions -- while failing to disclose material terms violates just and equitable principles of trade.

**\*\*Concentration Concern:\*\*** Placing \$420,000 of the Crawfords' \$520,000 in liquid assets (81%) into a single product type from a single insurance company creates undue concentration risk and further evidences unsuitability.

**\*\*Likely Regulatory Outcome:\*\*** Stephanie faces FINRA enforcement action including disgorgement of the \$29,400 commission, a significant fine, and suspension or bar from the securities industry. The broker-dealer faces supervisory liability under FINRA Rules 3110 and 3120, as the principal who reviewed and approved these transactions under Rule 2330's supervisory requirements failed to identify the obvious red flags (IRA-to-VA transfers, elderly conservative clients, chronic health conditions, high concentration). In FINRA arbitration, the Crawfords would likely recover the commissions paid, excess fees incurred, any surrender charges paid if they needed to liquidate, and potentially consequential damages. Given the vulnerable population involved, enhanced scrutiny from state insurance regulators is also likely, as variable annuities are dual-regulated products.

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**Item 11 of 499****NON-COMPLIANT****Topic:** annuity\_unnecessary\_switching**Difficulty:** easy**Fact Pattern**

Margaret Thornton, age 72, is a retired schoolteacher living in suburban Ohio on a fixed income of \$2,800 per month from Social Security and a small pension. She has \$340,000 in savings, almost all of which is held in a variable annuity she purchased in 2018. Her risk tolerance is conservative, and her primary investment objectives are capital preservation and generating steady income to supplement her retirement. She has no dependents and limited financial sophistication. In March 2023, her advisor, Kevin Driscoll, contacted her and recommended she surrender her existing variable annuity -- which still carried a surrender charge of \$14,200 -- and purchase a new variable annuity from a different insurance company. The new annuity had a fresh seven-year surrender period, higher annual fees of 3.15% compared to the 2.40% on her existing contract, and a slightly different living benefit rider. Driscoll told Margaret the new product had 'better fund options' and 'improved death benefit features,' though Margaret had previously told him she had no beneficiaries she was concerned about and simply wanted stable income. Driscoll earned a \$17,000 commission on the new annuity sale. Within six months, Margaret's account value had declined by \$23,000 due to market losses amplified by the higher fee structure, and she discovered she could not access her funds without paying a new surrender charge of approximately \$20,400. She had not been provided a written comparison of the two annuities before the switch was executed.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Driscoll violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, tax status, investment objectives, and other factors. There are three components -- reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:\*\*** Effective June 30, 2020, Reg BI requires broker-dealers to act in the best interest of retail customers when making recommendations, without placing their own financial interest ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, including understanding the risks, rewards, and costs of the recommendation, and having a reasonable basis to believe the recommendation is in the customer's best interest. The Disclosure Obligation requires full and fair disclosure of material facts, including conflicts of interest.
3. **\*\*FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities):\*\*** This rule specifically addresses variable annuity exchanges and requires that a registered representative have a reasonable basis for believing the transaction is suitable after considering factors including whether the customer would incur a surrender

charge, whether a new surrender period would begin, whether the customer would lose existing benefits, and whether the customer would benefit from product enhancements or improvements. A principal must also review and approve such exchanges.

**\*\*Analysis of Violations:\*\***

- **\*\*Customer-Specific Suitability (Rule 2111):\*\*** Margaret is a 72-year-old conservative investor on a fixed income seeking capital preservation and steady income. Switching her into a higher-fee annuity with a fresh seven-year surrender period directly contradicts her stated objectives. At her age, locking up her primary savings for another seven years with higher costs is manifestly unsuitable.

- **\*\*Reg BI Care Obligation:\*\*** Driscoll failed to demonstrate that this switch was in Margaret's best interest. The new annuity had higher annual fees (3.15% vs. 2.40%), imposed a new surrender period, and the purported benefits (better fund options, improved death benefit) were irrelevant to Margaret's stated needs -- she had no beneficiaries of concern and wanted income stability. The \$14,200 surrender charge on the old annuity plus the higher ongoing costs made this switch economically detrimental.

- **\*\*Reg BI Disclosure Obligation:\*\*** No written comparison of the two annuities was provided to Margaret, depriving her of the ability to make an informed decision. This is a clear disclosure failure.

- **\*\*FINRA Rule 2330:\*\*** The exchange fails virtually every factor the rule requires to be considered -- Margaret incurred a substantial surrender charge, began a new surrender period, received no material benefit from the switch, and the overall cost structure worsened.

- **\*\*Conflict of Interest:\*\*** Driscoll earned a \$17,000 commission on the new sale, creating a clear financial incentive that appears to have driven the recommendation. Under Reg BI's Conflict of Interest Obligation, this conflict should have been identified, disclosed, and mitigated -- none of which occurred.

**\*\*Likely Regulatory Outcome:\*\*** Driscoll and his firm face likely FINRA enforcement action including fines, disgorgement of the \$17,000 commission, restitution to Margaret for the surrender charges paid and excess fees incurred, and a potential suspension. The firm's supervisory system would also be scrutinized under FINRA Rules 3110 and 3120 for failure to detect and prevent an unsuitable annuity switch.

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**Item 12 of 499****NON-COMPLIANT****Topic:** options\_unsuitable**Difficulty:** hard**Fact Pattern**

David Reyes, age 44, is a warehouse logistics manager in Phoenix, Arizona, earning \$67,000 per year. He is divorced with two children ages 10 and 14 for whom he pays child support. He opened a brokerage account in January 2022 with \$125,000 -- the entirety of his liquid savings, accumulated over 15 years -- stating his investment objectives as 'growth' with a 'moderate' risk tolerance and a time horizon of 10 to 15 years, primarily to fund his children's college educations. He described his investment experience as 'limited,' noting he had previously owned only a handful of blue-chip stocks and a target-date mutual fund in his 401(k). His advisor, Patrick Nolan, approved David for Level 4 options trading within two weeks of account opening, which permitted uncovered call writing, complex multi-leg spreads, and speculative options strategies. Over the next 18 months, from January 2022 through June 2023, Nolan executed or recommended approximately 340 options trades in the account. The strategies involved primarily short-dated weekly options on volatile technology and biotech stocks, including naked puts and calls, iron condors, and straddles. During this period, David's account generated approximately \$52,000 in commissions and fees. The account value declined from \$125,000 to approximately \$41,000, representing a loss of \$84,000 or 67% of the original portfolio. David's annualized cost-to-equity ratio exceeded 40%, and the turnover rate exceeded 25 times. On multiple occasions, margin calls were triggered, and Nolan instructed David to wire additional funds -- totaling \$18,000 -- to meet the calls, telling David these were 'temporary setbacks' and that the strategy would 'recover quickly.' David was never provided any written risk disclosures specific to uncovered options writing, and Nolan's notes in the firm's system characterized David as a 'sophisticated active trader with high risk tolerance,' contradicting the account opening documents.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Patrick Nolan committed multiple serious violations of suitability and best interest standards, and the pattern of activity also constitutes excessive trading (churning).

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires reasonable-basis, customer-specific, and quantitative suitability for all recommendations.
2. **\*\*Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:\*\*** Requires broker-dealers to act in the retail customer's best interest, including the Care Obligation (reasonable diligence regarding risks, costs, and alternatives), Disclosure Obligation, and Conflict of Interest Obligation.
3. **\*\*FINRA Rule 2360 (Options):\*\*** Governs the approval of options accounts and requires firms to exercise due diligence to learn the essential facts about a customer, including investment objectives, financial situation, and trading experience, before approving options trading. The level of options trading approved must be consistent with the customer's profile.



4. **FINRA Rule 3110 (Supervision):** Requires firms to establish and maintain supervisory systems reasonably designed to achieve compliance.

5. **FINRA Rules 2010 and 2020:** Prohibit unethical business conduct and manipulation.

**Analysis of Violations:**

- **Options Account Approval (Rule 2360):** Approving David for Level 4 options trading -- the highest risk level permitting naked options and complex strategies -- was grossly inappropriate. David had limited investment experience, moderate risk tolerance, a growth objective tied to children's college funding, and his \$125,000 represented his entire liquid savings. Level 4 approval requires experience and risk tolerance that David clearly did not possess. The approval within two weeks of account opening, with no evidence of intervening education or training, is a red flag.

- **Customer-Specific Suitability (Rule 2111):** Naked options writing and speculative short-dated options strategies on volatile biotech and tech stocks are among the highest-risk activities available and are fundamentally incompatible with a moderate-risk-tolerance investor saving for his children's education. The recommendation of these strategies violated customer-specific suitability.

- **Quantitative Suitability / Excessive Trading (Rule 2111):** The hallmarks of churning are present. The annualized cost-to-equity ratio exceeded 40% (courts and FINRA have generally found ratios above 5-6% to be presumptive evidence of excessive trading). The turnover rate exceeded 25 times annually (ratios above 6 are generally considered excessive). Approximately 340 trades in 18 months in a \$125,000 account, generating \$52,000 in commissions while the account lost 67% of its value, constitutes textbook excessive trading. Under quantitative suitability, even if each individual trade were arguably reasonable, the aggregate level of activity was unsuitable.

- **Reg BI Care Obligation:** Nolan failed to exercise reasonable diligence, care, and skill. He placed his financial interest (commission generation) ahead of David's best interest. The strategies recommended bore no reasonable relationship to David's objectives, risk tolerance, or financial situation.

- **Reg BI Disclosure Obligation:** David was never provided written risk disclosures regarding uncovered options. The Options Disclosure Document (ODD) must be provided prior to approval, and specific risks of naked writing should have been clearly communicated.

- **Falsification of Records:** Nolan's characterization of David as a 'sophisticated active trader with high risk tolerance' in firm records, contradicting the account opening documents, suggests intentional misrepresentation of customer information to justify the trading activity and options approval level. This implicates FINRA Rule 2010 (ethical standards of commercial honor) and potentially FINRA Rule 4511 (books and records).

- **Margin Call Solicitations:** Instructing David to wire additional funds (\$18,000) to meet margin calls while minimizing the severity of losses ('temporary setbacks') constitutes misleading communication and compounded the harm.

**Likely Regulatory Outcome:** This case presents an extremely strong enforcement matter. Nolan faces a lengthy suspension or permanent bar from the industry, disgorgement of all commissions earned (\$52,000), and restitution to David for his full losses including the additional \$18,000 wired. The firm faces significant fines for supervisory failures under Rule 3110 -- the trading pattern should have triggered automated surveillance alerts. In arbitration, David would likely recover full compensatory damages, and punitive damages could be awarded given the apparent intentional misconduct and records falsification. The cost-to-equity ratio and turnover rate provide near-irrefutable quantitative evidence of churning.

## Item 13 of 499

### NON-COMPLIANT

**Topic:** speculative\_for\_conservative\_investor

**Difficulty:** medium

### Fact Pattern

Eleanor Vasquez, age 78, is a widow residing in a senior living community in Sarasota, Florida. Her sole sources of income are Social Security (\$1,950 per month) and required minimum distributions from her IRA, which held approximately \$410,000. She has no other significant assets beyond a modest checking account with \$12,000 and personal belongings. Her late husband managed the couple's finances, and Eleanor has virtually no investment knowledge. When she became a client of advisor Rachel Simmons in September 2022, Eleanor completed a new account form indicating her risk tolerance as 'conservative,' her investment objective as 'income and preservation of capital,' and her time horizon as 'short-term (1-3 years).' She told Simmons that she wanted safe investments that would provide reliable income to help cover her \$4,200 monthly living expenses at the senior community, and that she could not afford to lose her savings. In October and November 2022, Simmons recommended reallocating approximately 70% of Eleanor's IRA -- roughly \$287,000 -- into a concentrated portfolio of small-cap biotech stocks, cryptocurrency-linked exchange-traded products, and shares of three pre-revenue technology startups traded on OTC markets. Simmons told Eleanor these investments 'had tremendous upside potential' and 'could easily double.' The remaining 30% was placed in a high-yield bond fund rated below investment grade. By August 2023, the speculative positions had collectively lost approximately 55% of their value, reducing the \$287,000 allocation to roughly \$129,000. The high-yield bond fund had declined modestly. Eleanor's overall IRA was now worth approximately \$252,000, a loss of approximately \$158,000 or 38.5% in less than a year. Eleanor's required minimum distributions had also decreased, putting pressure on her ability to pay her monthly expenses.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Rachel Simmons committed clear and egregious violations of suitability and best interest standards.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** All three suitability obligations -- reasonable-basis, customer-specific, and quantitative -- apply to Simmons's recommendations.
2. **\*\*Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:\*\*** The Care Obligation requires that recommendations be in the retail customer's best interest considering the customer's investment profile and the potential risks, rewards, and costs. The Disclosure Obligation requires disclosure of material facts and conflicts.
3. **\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Requires just and equitable principles of trade.

**\*\*Analysis of Violations:\*\***

- **\*\*Customer-Specific Suitability (Rule 2111):\*\*** Eleanor's profile -- 78 years old, conservative risk tolerance, income and capital preservation objectives, short-term time horizon, no investment experience, total dependence on her IRA for

living expenses -- is the textbook profile of a customer for whom speculative investments are wholly unsuitable. Allocating 70% of her IRA to small-cap biotech stocks, cryptocurrency-linked products, and OTC-traded pre-revenue startups represents an extreme mismatch between the customer's profile and the recommended investments. These are among the most speculative and volatile asset classes available, carrying substantial risk of total loss.

- **Reasonable-Basis Suitability (Rule 2111):** Even setting aside Eleanor's specific profile, recommending concentrated positions in pre-revenue OTC startups and crypto-linked products without thorough due diligence on these securities raises reasonable-basis concerns. The advisor must understand the products and have a reasonable basis to believe they are suitable for at least some investors -- and must then match them to appropriate customers.

- **Reg BI Care Obligation:** Simmons failed to exercise reasonable diligence, care, and skill. No reasonable advisor exercising due care would recommend a 70% allocation to highly speculative securities for a 78-year-old widow dependent on her IRA for daily living expenses. The recommendation placed Simmons's interest in potential commissions or fees ahead of Eleanor's clearly stated need for safety and income.

- **Concentration Risk:** Placing 70% of a conservative elderly client's retirement assets in a narrow group of speculative securities also creates unreasonable concentration risk, further violating suitability standards.

- **High-Yield Bond Fund:** Even the remaining 30% allocation to below-investment-grade bonds is questionable for a conservative investor with a short time horizon, though it is far less egregious than the speculative equity allocation. Standing alone it might be defensible as part of a diversified income strategy, but in context it contributed to an overall portfolio that bore no relationship to Eleanor's needs.

- **Misleading Statements:** Telling Eleanor the speculative investments 'could easily double' without adequately conveying the substantial downside risks constitutes a misleading communication. Under FINRA Rule 2210 (Communications with the Public), predictions of specific results and exaggerated claims are prohibited.

**Likely Regulatory Outcome:** Simmons faces FINRA enforcement action with likely sanctions including a substantial fine, disgorgement of all compensation earned on these transactions, restitution to Eleanor for her losses (approximately \$158,000), and a suspension or bar from the industry given the vulnerability of the customer and the egregiousness of the misconduct. The firm would also face scrutiny for supervisory failures under Rule 3110, as the account activity -- a 78-year-old conservative IRA being loaded with OTC biotech and crypto products -- should have been flagged by any reasonable supervisory system. In FINRA arbitration, Eleanor would have a very strong claim for compensatory damages and could potentially recover punitive damages given the exploitative nature of the recommendations.

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## Item 14 of 499

### COMPLIANT

**Topic:** structured\_products\_unsuitable

**Difficulty:** medium

### Fact Pattern

James Whitfield, age 52, is a senior corporate attorney at a large law firm in Chicago, earning \$475,000 per year. He has a net worth of approximately \$3.8 million, including a \$1.6 million brokerage account, \$900,000 in retirement accounts, \$800,000 in home equity, and \$500,000 in other liquid savings. He has an MBA in addition to his law degree and has been actively investing for over 25 years, including experience with individual equities, options, fixed income, and alternative investments. On his new account form updated in February 2023, he indicated a 'moderate to aggressive' risk tolerance, a 'growth with income' investment objective, and a time horizon of 10+ years. In April 2023, his advisor, Carolyn Park, recommended that James invest \$200,000 -- approximately 12.5% of his brokerage account -- in a market-linked structured note issued by a major global bank rated A+ by credit rating agencies. The note had a five-year maturity, was linked to the S&P 500, offered 100% principal protection at maturity (subject to issuer credit risk), and provided a participation rate of 120% on the upside of the index, capped at 40% total return. The note carried no ongoing management fees but had an embedded issuer spread of approximately 1.2%. Carolyn provided James with the offering memorandum and pricing supplement, walked him through the payoff structure including the cap, the credit risk of the issuing bank, the illiquidity of the secondary market, and the tax treatment of any gains as ordinary income rather than capital gains. She documented the conversation in her notes. James asked detailed questions about the issuer's credit quality and the implied cost of the embedded options, reflecting his financial sophistication. He acknowledged understanding the trade-offs -- limited upside in exchange for downside protection -- and confirmed the investment aligned with his desire to maintain equity market exposure while protecting a portion of his portfolio. The \$200,000 allocation represented about 5.3% of his total investable assets.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

No, Carolyn Park acted in compliance with applicable suitability and best interest standards.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires reasonable-basis, customer-specific, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:\*\*** Requires recommendations to be in the retail customer's best interest, with obligations related to care, disclosure, and conflicts of interest.
3. **\*\*FINRA Regulatory Notices on Structured Products (e.g., Regulatory Notice 12-03):\*\*** FINRA has issued guidance emphasizing the need for heightened suitability analysis for complex products, including structured notes, requiring firms and representatives to perform reasonable diligence to understand the product's complexity, risks, and costs, and to ensure the customer has the sophistication and financial capacity to bear the risks.

**\*\*Analysis of Compliance:\*\***

- **Reasonable-Basis Suitability (Rule 2111):** Carolyn demonstrated an understanding of the structured note's features, including the payoff structure, principal protection mechanism, participation rate, cap, issuer credit risk, secondary market illiquidity, embedded costs, and tax treatment. She was able to explain these to James, indicating she performed adequate due diligence on the product.
- **Customer-Specific Suitability (Rule 2111):** The recommendation was well-matched to James's profile. He is a sophisticated investor (MBA, 25+ years of investing experience, familiarity with complex instruments including options) with a moderate-to-aggressive risk tolerance, a growth-with-income objective, and a long time horizon exceeding the note's five-year maturity. His high income (\$475,000/year) and substantial net worth (\$3.8 million) mean the \$200,000 investment (approximately 5.3% of investable assets and 12.5% of his brokerage account) is a reasonable allocation that does not create undue concentration. The principal protection feature aligns with his desire to maintain equity exposure while adding downside protection to a portion of his portfolio.
- **Reg BI Care Obligation:** Carolyn exercised reasonable diligence, care, and skill. She understood the product, matched it to an appropriate customer, and considered the costs, risks, and rewards. The 1.2% embedded spread is within normal ranges for structured notes of this type. The allocation size was prudent relative to James's total portfolio.
- **Reg BI Disclosure Obligation:** Carolyn provided the offering memorandum and pricing supplement, and personally walked James through the key features and risks -- including the return cap, credit risk, illiquidity, and unfavorable tax treatment. She documented the discussion. This constitutes thorough and adequate disclosure.
- **Customer Sophistication and Informed Consent:** James's questions about the issuer's credit quality and implied option costs demonstrate genuine understanding and engagement. His informed consent to the trade-offs further supports the appropriateness of the recommendation.
- **Documentation:** Carolyn's contemporaneous notes documenting the conversation, disclosures provided, and customer acknowledgment represent best practices for compliance and supervision.

**Likely Regulatory Outcome:** No violation. If reviewed by a regulator or raised in a customer complaint, this transaction would likely withstand scrutiny. The customer profile, product characteristics, allocation size, disclosure practices, and documentation all support a finding of compliance with both FINRA suitability rules and Reg BI.

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**Item 15 of 499****NON-COMPLIANT****Topic:** margin\_unsuitable**Difficulty:** medium**Fact Pattern**

Robert and Linda Chen, both age 66, are recently retired high school teachers in Sacramento, California. Their combined retirement income consists of two state pension payments totaling \$6,400 per month and Social Security benefits of \$3,100 per month combined. They have a joint brokerage account with \$520,000, which represents the majority of their liquid savings apart from a \$35,000 emergency fund in a bank savings account. They own their home free and clear, valued at approximately \$480,000. Neither Robert nor Linda has any prior experience with margin trading; their investment history consists solely of contributions to their 403(b) retirement plans invested in target-date funds. When they opened their brokerage account with advisor Grant Holloway in January 2023, both indicated a 'conservative' risk tolerance and stated their objectives were 'income and capital preservation' to supplement their pensions throughout retirement. In March 2023, Holloway recommended that the Chens sign a margin agreement and borrow \$260,000 on margin -- effectively leveraging their account to 1.5:1 -- to purchase a concentrated position in a single real estate investment trust (REIT) that Holloway described as 'rock solid' and 'paying a 9.2% dividend.' Holloway told them the dividend income from the leveraged REIT position would more than cover the margin interest of approximately 8.5% and would 'supercharge their retirement income.' He did not discuss the possibility of margin calls, the risk of forced liquidation, or what would happen if the REIT's share price declined or its dividend was cut. In June 2023, rising interest rates caused the REIT's share price to decline 28%, triggering a margin call of \$87,000. The Chens, shocked and confused, were unable to meet the call. The firm liquidated approximately \$195,000 worth of their holdings at depressed prices to satisfy the margin deficiency. By August 2023, their account had been reduced from \$520,000 to approximately \$298,000 -- a loss of \$222,000 or 42.7% -- and they had also incurred \$9,100 in margin interest charges. The Chens' retirement income plan was severely disrupted.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Grant Holloway committed serious violations of suitability and best interest standards.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires reasonable-basis, customer-specific, and quantitative suitability for all recommended transactions and investment strategies, including the use of margin.
2. **\*\*Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:\*\*** The Care Obligation requires that recommendations be in the customer's best interest, with consideration of the potential risks, rewards, and costs of the recommendation. The Disclosure Obligation requires full and fair disclosure of all material facts and risks.
3. **\*\*FINRA Rule 2264 (Margin Disclosure Statement):\*\*** Requires member firms to deliver a margin disclosure statement to customers before or at the time a margin account is opened, explaining the risks of margin trading including the possibility of losing more than the amount deposited, the firm's right to sell securities without notice, and the potential for margin calls.

4. **FINRA Regulatory Notice 10-09 (Margin Accounts):** Provides guidance on obligations when recommending margin, emphasizing that firms must consider whether the use of margin is suitable for a particular customer.

**Analysis of Violations:**

- **Customer-Specific Suitability (Rule 2111):** The Chens are 66-year-old retirees with conservative risk tolerance, income and capital preservation objectives, no margin experience, and limited investment sophistication (only target-date fund experience). Recommending that they leverage their primary liquid savings -- their financial safety net for a multi-decade retirement -- at 1.5:1 to purchase a single concentrated position is flatly inconsistent with their stated profile. Margin amplifies both gains and losses, and for conservative retirees with no ability to replace lost savings through employment income, the downside risk is catastrophic -- as was demonstrated.

- **Concentration Risk:** Investing the entire leveraged amount in a single REIT compounds the unsuitability. A concentrated position in one security eliminates diversification benefits and exposes the portfolio to idiosyncratic risk. For a conservative retiree account, even an unleveraged concentrated position in a single REIT would be questionable.

- **Margin Suitability:** FINRA has specifically addressed margin suitability in guidance, noting that the use of margin is itself an investment strategy that must be suitable for the customer. The Chens had no experience with margin, did not understand the mechanics, and had no financial cushion beyond a \$35,000 emergency fund to meet potential margin calls. Recommending margin under these circumstances was unsuitable on its face.

- **Reg BI Care Obligation:** Holloway failed to exercise reasonable diligence, care, and skill. The economic premise of the recommendation -- a 9.2% REIT dividend versus 8.5% margin interest -- offered an extremely thin spread (approximately 0.7%) that provided negligible net income relative to the enormous downside risk of leveraged equity exposure. Any reasonable analysis would conclude the risk-reward ratio was unacceptable for these clients.

- **Reg BI Disclosure Obligation:** Holloway failed to disclose material risks including the possibility of margin calls, forced liquidation, and the amplified loss potential of leveraged investing. He also failed to disclose the risk that the REIT could cut its dividend (which would eliminate even the thin economic rationale for the strategy) or that rising interest rates could both depress REIT values and increase margin costs simultaneously. Describing a single leveraged REIT position as 'rock solid' constitutes a misleading communication.

- **FINRA Rule 2264:** While this rule requires delivery of a margin disclosure statement, even if the statement was technically delivered, Holloway's verbal representations minimizing or omitting the risks of margin would undermine the disclosure's effectiveness and raise additional concerns under FINRA Rule 2210 (fair and balanced communications).

- **Conflict of Interest:** Larger account positions and margin balances typically generate higher revenue for the advisor through increased management fees, commissions, or margin interest revenue sharing, creating a conflict that was not disclosed or mitigated.

**Likely Regulatory Outcome:** Holloway faces FINRA enforcement action with likely sanctions including a significant fine, disgorgement of all compensation earned on the margin and REIT transactions, restitution to the Chens for their losses (approximately \$222,000 plus \$9,100 in margin interest), and a suspension of several months to a year or longer. The firm also faces liability for supervisory failures under FINRA Rule 3110 -- opening a margin account and executing a 50% leverage strategy for 66-year-old conservative retirees with no margin experience should have triggered supervisory review and intervention. In FINRA arbitration, the Chens would have a strong case for full compensatory damages and potentially punitive damages given the vulnerability of the customers, the advisor's misleading statements, and the failure to disclose fundamental risks.

## Item 16 of 499

### NON-COMPLIANT

**Topic:** variable\_annuity\_unsuitable

**Difficulty:** easy

### Fact Pattern

Margaret Donovan, age 78, is a retired schoolteacher living in Toledo, Ohio. She has a fixed monthly income of \$2,100 from Social Security and a small pension of \$800 per month. Her total liquid savings amount to \$135,000, held in a money market account and a short-term CD ladder. She has no other investments and lists her risk tolerance as 'conservative' on her new account form. Her stated investment objectives are 'income' and 'preservation of capital.' She has a ninth-grade education in financial matters and had never purchased any security more complex than a certificate of deposit. In March 2023, her financial advisor, Kevin Pratt, recommended she liquidate her entire CD ladder (\$110,000) and use the proceeds to purchase a variable annuity with a seven-year surrender period. The annuity carried a mortality and expense charge of 1.45% annually, an administrative fee of 0.15%, and the underlying sub-accounts had average expense ratios of 1.10%. The total annual cost burden was approximately 2.70%. The surrender schedule began at 7% in year one and decreased by 1% each year. Kevin allocated 60% of the sub-accounts to an aggressive growth equity fund and 20% to a small-cap international fund, with only 20% in a bond sub-account. Kevin earned a commission of \$6,050 on the sale. Within 14 months, the account had lost approximately \$18,700 in value due to equity market volatility. Margaret needed to withdraw \$15,000 for emergency home repairs but was assessed a \$900 surrender charge. She filed a complaint alleging the product was completely inappropriate for her age, financial situation, and stated goals.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Kevin Pratt violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, liquidity needs, time horizon, and other relevant factors. The rule encompasses three obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:\*\*** Under the Care Obligation of Reg BI, a broker must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation. The broker must have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the financial interest of the broker ahead of the customer.
3. **\*\*FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities):\*\*** This rule imposes specific requirements before recommending a deferred variable annuity, including consideration of whether the customer would benefit from the tax-deferred features, the customer's liquidity needs, whether the customer has other available funding sources, and the surrender charges and other costs.



**\*\*Analysis of Violations:\*\***

- **\*\*Customer-Specific Suitability (Rule 2111):\*\*** Margaret's profile -- age 78, conservative risk tolerance, income and capital preservation objectives, limited liquid savings, and financial unsophistication -- is fundamentally inconsistent with a variable annuity featuring a seven-year surrender period and aggressive equity sub-account allocations. A 78-year-old retiree has a limited time horizon that conflicts with long surrender periods. The product tied up over 81% of her total liquid savings.
- **\*\*Reg BI Care Obligation Violation:\*\*** The recommendation placed Kevin's financial interest (\$6,050 commission) ahead of Margaret's best interest. A lower-cost, more liquid alternative (e.g., a diversified bond fund or short-term fixed income portfolio) would have better served her stated objectives at a fraction of the cost.
- **\*\*FINRA Rule 2330 Violation:\*\*** Kevin failed to adequately consider Margaret's liquidity needs. As a retiree with modest income, she had a foreseeable need for emergency access to funds. Locking 81% of her liquid net worth in a product with a 7% surrender charge was unreasonable. Additionally, at age 78, Margaret received minimal benefit from tax deferral -- the primary advantage of a variable annuity -- since her tax bracket was already low and her time horizon for compounding was short.
- **\*\*Sub-Account Allocation:\*\*** Even if the annuity itself had been appropriate (which it was not), allocating 80% of the sub-accounts to aggressive growth and international small-cap equities directly contradicted Margaret's conservative risk tolerance and capital preservation objectives.

**\*\*Likely Regulatory Outcome:\*\*** A FINRA arbitration panel or enforcement action would likely find multiple violations. Probable remedies include full restitution of losses and surrender charges (approximately \$19,600), disgorgement of the \$6,050 commission, and potential fines and suspension for Kevin Pratt. The firm's supervisory system would also be scrutinized under FINRA Rules 3110 and 3120 for failing to flag this transaction during review.

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**Item 17 of 499****NON-COMPLIANT****Topic:** penny\_stocks\_unsuitable**Difficulty:** medium**Fact Pattern**

David and Susan Hernandez, both age 52, are a married couple from Albuquerque, New Mexico. David works as a postal carrier earning \$58,000 annually, and Susan is a part-time dental hygienist earning \$24,000 annually. Their combined household income is \$82,000. They have \$210,000 in combined retirement savings through employer-sponsored 401(k) plans and a jointly held brokerage account with \$47,000 that they opened in January 2023 with the stated purpose of saving for a down payment on a retirement home within the next five to seven years. On their new account form, they indicated a 'moderate' risk tolerance and investment objectives of 'growth and income.' Neither David nor Susan had any prior experience with speculative investments, and their account form listed their investment experience as 'limited -- mutual funds only.' Their advisor, Rachel Simmons, initially placed the brokerage account in a diversified portfolio of large-cap equity funds and investment-grade bond funds. However, beginning in April 2023, Rachel began calling the couple two to three times per week recommending purchases of various micro-cap and penny stocks trading below \$1.00 per share on the OTC Bulletin Board. Over a period of eight months, Rachel executed 34 separate penny stock transactions in the account. Many of these positions were held for only days or weeks before being sold at a loss and replaced with another penny stock. The penny stocks included companies in speculative sectors such as cannabis extraction, lithium mining exploration, and an early-stage biotech company with no revenue. Commissions on these trades totaled \$4,890, and the account value declined from \$47,000 to \$19,200 by December 2023 -- a loss of approximately 59%. Rachel did not provide the Hernandezes with any written risk disclosures specific to penny stocks before executing these trades and did not obtain a signed penny stock suitability statement. When David called to complain, Rachel told him that 'sometimes you have to take risks to get ahead' and encouraged him to add more funds to the account to 'average down.'

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Rachel Simmons committed multiple serious violations.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires reasonable-basis, customer-specific, and quantitative suitability for all recommendations.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Requires that recommendations be in the customer's best interest, considering the customer's investment profile and the costs and risks of the recommended securities.
3. **\*\*Reg BI -- Disclosure Obligation:\*\*** Requires full and fair disclosure of material facts about the recommendation, including risks and costs.
4. **\*\*SEC Rule 15c-2 through 15c-9 (Penny Stock Rules):\*\*** Before effecting a transaction in a penny stock for a customer, a broker must (a) approve the customer's account for penny stock transactions, (b) receive a signed, written

suitability statement from the customer, (c) provide the customer with a risk disclosure document, and (d) provide monthly account statements showing market value and estimated value of each penny stock.

5. **FINRA Rule 2020 (Use of Manipulative, Deceptive, or Other Fraudulent Devices):** Recommending speculative securities to customers for whom they are clearly unsuitable, while generating commissions, may constitute a fraudulent or manipulative practice.

6. **FINRA Rules 2010 (Standards of Commercial Honor) and 3110 (Supervision):**

**Analysis of Violations:**

- **Customer-Specific Suitability (Rule 2111):** The Hernandezes' profile -- moderate risk tolerance, growth-and-income objectives, limited investment experience confined to mutual funds, a five-to-seven-year time horizon for a specific goal (retirement home down payment), and modest income -- is wholly incompatible with concentrated penny stock speculation. Penny stocks are among the most volatile, illiquid, and fraud-prone securities available. There is no reasonable basis to believe these recommendations were suitable.

- **Quantitative Suitability (Rule 2111):** The pattern of 34 transactions in eight months, many held for only days, generating \$4,890 in commissions on a \$47,000 account (a cost-to-equity ratio of approximately 10.4% in under a year), suggests excessive trading. The turnover rate and commission-to-equity ratio are indicators of churning, particularly in an account earmarked for a conservative savings goal.

- **Reg BI Care Obligation:** Rachel placed her commission income ahead of the Hernandezes' best interest. A reasonable advisor exercising diligence and care would never have recommended speculative penny stocks for this couple's retirement home savings.

- **Penny Stock Disclosure Failures:** Rachel failed to provide the required written penny stock risk disclosure document and failed to obtain a signed suitability statement before executing penny stock transactions. These are procedural requirements under the SEC's penny stock rules, and their violation is a standalone basis for regulatory action.

- **Reg BI Disclosure Obligation:** Rachel failed to disclose the specific risks of penny stocks and the significant commissions being generated, depriving the customers of material information needed to make informed decisions.

- **Post-Complaint Conduct:** Advising the customers to add more funds to 'average down' rather than acknowledging the losses compounded the breach and could be viewed as a further attempt to generate commissions.

**Likely Regulatory Outcome:** This fact pattern would likely result in a FINRA enforcement action with findings of unsuitability, excessive trading, and penny stock rule violations. Rachel faces disgorgement of all \$4,890 in commissions, restitution of approximately \$27,800 in customer losses, substantial fines, and a likely bar from the securities industry given the egregious nature of the conduct. The firm would face supervisory deficiency charges for failing to detect the pattern of speculative penny stock trading in a moderate-risk, goal-oriented account.

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## Item 18 of 499

### NON-COMPLIANT

**Topic:** mutual\_fund\_switching\_churning

**Difficulty:** hard

### Fact Pattern

Robert Chung, age 67, and his wife Patricia, age 65, are retired and living in Scottsdale, Arizona. Robert is a former aerospace engineer and Patricia was a registered nurse. Their combined annual retirement income from pensions and Social Security is \$98,000. They have \$720,000 in investable assets: \$480,000 in IRA rollover accounts and \$240,000 in a joint taxable brokerage account. On their account documentation, they listed their risk tolerance as 'moderate,' their investment objectives as 'income with moderate growth,' and their time horizon as 'long-term (10+ years).' They indicated they could not afford to lose more than 15% of their principal. Their advisor, Thomas Whitfield, had managed their accounts since 2019. Between January 2022 and September 2023, Thomas executed 22 mutual fund switches across both accounts. In each instance, the Chungs were moved from one large-cap growth or balanced fund family into a substantially similar fund in a different fund family. For example, in March 2022, Thomas moved \$160,000 from a well-known balanced fund (Fund A, expense ratio 0.62%, five-year average return 8.1%) into a comparable balanced fund (Fund B, expense ratio 0.87%, five-year average return 7.4%). In July 2022, he switched \$95,000 from an equity income fund into another equity income fund in a different family with a higher expense ratio. Fourteen of the 22 switches involved Class A shares that carried front-end sales loads ranging from 3.50% to 5.75%. The total front-end loads paid by the Chungs across all 22 transactions amounted to approximately \$38,400. Thomas earned commission income of approximately \$29,500 from these switches. The investment performance of the new funds was either comparable to or slightly worse than the funds from which the Chungs were switched. Thomas did not document any specific investment rationale for the switches, and the Chungs' account records contained no written justification memos. Thomas told the Chungs that the switches were necessary to 'rebalance and optimize' their portfolio. The Chungs' overall portfolio allocation before and after the switches remained virtually identical: approximately 60% equity and 40% fixed income. Additionally, the Chungs were never informed about the availability of breakpoint discounts or rights of accumulation that could have reduced their sales loads had they consolidated assets within a single fund family, nor were they told about the availability of lower-cost share classes.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Thomas Whitfield committed serious and multiple violations related to mutual fund switching, churning, and failure to disclose material information.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability) -- Quantitative Suitability:\*\*** This component prohibits excessive trading or switching that is inconsistent with the customer's profile and serves primarily to generate commissions for the advisor.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** The advisor must have a reasonable basis to believe that each recommendation, including each switch, is in the customer's best interest. Recommending a switch from one product to a substantially similar product that is more expensive and has inferior performance history cannot satisfy this standard unless there is documented, compelling justification.

3. **Reg BI -- Disclosure Obligation:** The advisor must disclose all material facts, including the costs associated with switching and the availability of less expensive alternatives.

4. **FINRA Rule 2010 (Standards of Commercial Honor and Principles of Fair Trade):** The pattern of unjustified switching for the purpose of generating commissions violates standards of fair dealing.

5. **FINRA Regulatory Notices and Guidance on Mutual Fund Switching:** FINRA has consistently identified mutual fund switching -- moving a customer from one mutual fund to another without a legitimate investment rationale, particularly when front-end loads are involved -- as a core suitability violation. The key inquiry is whether the switch produced a net tangible benefit to the customer after accounting for all costs.

6. **NASD Rule 2830(d) / FINRA Rules on Breakpoint Discounts:** Firms and advisors have an obligation to ensure that customers receive applicable breakpoint discounts and rights of accumulation. Failure to inform the Chungs about breakpoints and rights of accumulation that could have reduced or eliminated sales loads is a separate violation.

**Detailed Analysis:**

- **No Net Tangible Benefit:** The central test for mutual fund switching is whether the switch produced a net benefit to the customer that justified the costs incurred. Here, the Chungs were switched from funds with lower expense ratios and comparable or superior performance into higher-cost funds with similar investment mandates. The overall allocation remained 60/40 equity-to-fixed-income before and after the switches. There is no discernible benefit.

- **Excessive Costs:** The \$38,400 in front-end sales loads represents approximately 5.3% of the Chungs' total investable assets. This cost must be overcome before the new funds even break even with the old funds. Given that the new funds had comparable or slightly worse historical returns and higher ongoing expense ratios, the mathematical probability of the Chungs recouping these costs is extremely low.

- **Quantitative Suitability / Churning Indicators:** Twenty-two switches in approximately 21 months, generating \$29,500 in commissions, is a strong quantitative indicator of churning. The commission-to-equity ratio and the turnover rate are both elevated. The absence of any documented investment rationale in the account records further supports an inference that the switching was commission-motivated.

- **Reg BI Care Obligation Failure:** A reasonable advisor exercising care, diligence, and skill would not have recommended 22 lateral fund switches into higher-cost, similar-performing funds. Thomas placed his commission interest (\$29,500) ahead of the Chungs' best interest.

- **Reg BI Disclosure Obligation Failure:** Thomas failed to disclose the total cost impact of the switches, the availability of breakpoint discounts and rights of accumulation (which could have significantly reduced costs), and the availability of lower-cost share classes such as institutional or advisory share classes.

- **Breakpoint Violation:** The Chungs had \$720,000 in investable assets. Had they consolidated within a single fund family, they likely would have qualified for significant breakpoint discounts at common thresholds (\$250,000, \$500,000, \$1 million) and rights of accumulation. Thomas's failure to inform them of these discounts and his pattern of spreading assets across multiple fund families to avoid triggering breakpoints suggests intentional structuring to maximize commissions.

- **Lack of Documentation:** Thomas's failure to maintain any written rationale for the switches violates firm recordkeeping standards and further supports the inference that no legitimate basis existed.

**\*\*Likely Regulatory Outcome:\*\*** This is a high-priority enforcement case. FINRA would likely bring an action alleging violations of Rules 2111 and 2010, as well as the applicable Reg BI obligations. Probable sanctions include restitution of the full \$38,400 in sales loads paid by the Chungs, disgorgement of Thomas's \$29,500 in commissions, a fine of \$50,000 to \$100,000 or more, and a suspension of at least 12 to 18 months or a permanent bar depending on Thomas's disciplinary history. The firm would also face supervisory failure charges under FINRA Rule 3110 for failing to detect a pattern of 22 mutual fund switches with no documented justification over a 21-month period.

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**Item 19 of 499****COMPLIANT****Topic:** senior\_investor\_exploitation**Difficulty:** medium**Fact Pattern**

Eleanor Voss, age 81, is a widow living independently in Portland, Oregon. She has a monthly income of \$3,400 from Social Security and a survivor's pension benefit. Her total investable assets are \$390,000: \$250,000 in a traditional IRA and \$140,000 in a taxable brokerage account. She has no debt and owns her home outright (estimated value \$425,000). Her two adult children live out of state and are not financially dependent on her. Eleanor's new account documentation, updated in February 2024, lists her risk tolerance as 'conservative,' her investment objectives as 'income and preservation of capital,' and her time horizon as '5-10 years.' She noted on the form that she has mild hearing loss but is fully cognitively competent, which was confirmed during an in-person meeting attended by both Eleanor and her daughter via speakerphone. Her advisor, Lisa Nakamura, recommended the following allocation: 60% of assets in a diversified portfolio of investment-grade municipal and corporate bond funds with low expense ratios (average 0.25%), 25% in a short-term Treasury ETF for liquidity, and 15% in a large-cap dividend equity ETF to provide modest growth and inflation protection. The combined estimated annual yield of the portfolio was approximately 4.1%, generating roughly \$16,000 per year in income to supplement Eleanor's Social Security and pension. Lisa documented in her notes that she discussed the recommendation with Eleanor and her daughter, explained the risks associated with each component (including interest rate risk on the bond funds and equity market risk on the dividend ETF), and obtained Eleanor's written acknowledgment. Lisa charged an advisory fee of 0.75% annually on the managed assets, which was disclosed in writing and was consistent with the firm's standard fee schedule. No annuities, alternative investments, or illiquid products were recommended. Lisa also provided Eleanor with a written financial plan outlining projected income, potential healthcare cost scenarios, and estate planning considerations, and recommended Eleanor consult an estate attorney to update her will and establish a power of attorney.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Lisa Nakamura acted properly and in full compliance with applicable suitability and best interest standards.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires reasonable-basis, customer-specific, and quantitative suitability for recommendations.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Requires that the advisor exercise reasonable diligence, care, and skill and have a reasonable basis to believe the recommendation is in the customer's best interest.
3. **\*\*Reg BI -- Disclosure Obligation:\*\*** Requires full and fair disclosure of material facts related to the recommendation.
4. **\*\*Investment Advisers Act Fiduciary Duty (if Lisa is an investment adviser representative):\*\*** Imposes a fiduciary duty of care and loyalty to the client.

5. **FINRA Senior Investor Protections:** FINRA has issued guidance emphasizing heightened attention when making recommendations to senior investors, including consideration of cognitive decline, vulnerability to exploitation, liquidity needs, time horizon, and the involvement of trusted contacts.

**Analysis -- Compliance:**

- **Customer-Specific Suitability:** The recommended portfolio -- 60% investment-grade bonds, 25% short-term Treasuries, and 15% large-cap dividend equities -- is well-matched to Eleanor's conservative risk tolerance, income and capital preservation objectives, and 5-10 year time horizon. The bond and Treasury allocation provides stability and income, while the modest 15% equity allocation provides inflation protection without introducing undue risk.

- **Reasonable-Basis Suitability:** Each component of the portfolio is a well-understood, liquid, low-cost investment vehicle. The average expense ratio of 0.25% on the bond funds is favorable, and ETFs provide daily liquidity. There are no complex, illiquid, or high-cost products.

- **Cost Reasonableness:** The 0.75% annual advisory fee is within industry norms for a managed account of this size and was fully disclosed in writing. Combined with the underlying fund expenses, the total cost to Eleanor is approximately 1.00%, which is reasonable.

- **Reg BI Care Obligation:** Lisa exercised diligence by considering Eleanor's full financial picture -- income sources, home equity, absence of debt, family situation -- and constructed a portfolio that generates supplemental income while preserving principal. The recommendation does not place Lisa's financial interest ahead of Eleanor's.

- **Reg BI Disclosure Obligation:** Lisa provided written risk disclosures, discussed the recommendation with both Eleanor and her daughter, obtained a written acknowledgment, and disclosed her fees in writing.

- **Senior Investor Best Practices:** Lisa took commendable steps aligned with FINRA's senior investor guidance. She confirmed Eleanor's cognitive competency, involved a family member in the discussion (with Eleanor's consent), provided a comprehensive written financial plan addressing healthcare costs and estate planning, and recommended Eleanor consult an estate attorney. These steps demonstrate a client-centered approach and proactive risk management.

- **Documentation:** Lisa thoroughly documented her investment rationale, client discussions, and the client's acknowledgment. This documentation would be critical in the event of any future complaint or regulatory inquiry.

**Likely Regulatory Outcome:** No violation. If this account were examined during a routine regulatory audit or in response to a complaint, the examiner would find a well-documented, appropriate recommendation for a senior investor with conservative objectives. This fact pattern represents best practices in senior investor care.

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## Item 20 of 499

### NON-COMPLIANT

**Topic:** annuity\_unnecessary\_switching

**Difficulty:** medium

### Fact Pattern

Frank Petrocelli, age 71, is a retired plumber from Long Island, New York. He receives \$2,600 per month from Social Security and \$1,100 per month from a union pension. His total liquid assets consist of \$285,000 held in two variable annuity contracts that he purchased in 2017 and 2019, respectively. The first annuity (Contract A) had a current value of \$165,000, carried an annual mortality and expense charge of 1.25%, and had fully exited its surrender period as of January 2023. It included a guaranteed minimum withdrawal benefit rider that guaranteed Frank a 5% annual withdrawal rate for life, which at the current benefit base would have provided approximately \$9,200 per year in guaranteed income. The second annuity (Contract B) had a current value of \$120,000, an M&E charge of 1.15%, and was in the fifth year of a seven-year surrender period with a remaining surrender charge of 3%. Contract B also included a death benefit rider guaranteeing the return of total premiums paid (\$130,000) to Frank's beneficiaries. In June 2023, Frank's new advisor, Dennis Rosario -- who had recently taken over the account when the prior advisor retired -- recommended that Frank surrender both existing annuity contracts and use the combined proceeds to purchase a single new variable annuity from a different insurance company. The new annuity (Contract C) had a fresh eight-year surrender period starting at 8%, an M&E charge of 1.55%, and offered a guaranteed minimum withdrawal benefit at a 4.5% withdrawal rate. Dennis told Frank that the new annuity was 'better' and 'more modern' and would 'simplify his finances.' Frank followed the recommendation. He surrendered Contract A, forfeiting the 5% guaranteed withdrawal benefit and its \$9,200 annual guarantee. He surrendered Contract B and paid a surrender charge of \$3,600 (3% of \$120,000), and also forfeited the \$130,000 death benefit guarantee (since Contract B's market value had fallen below the premium paid). Dennis earned a commission of \$17,100 on the sale of Contract C. The new annuity's guaranteed annual withdrawal at the 4.5% rate on Frank's combined investment would provide approximately \$12,825 per year -- but this was less than the combined guaranteed withdrawals he could have received by keeping both existing contracts and allowing Contract B to exit its surrender period in two years. Frank's annual guaranteed income from the two existing contracts, once Contract B's surrender period ended, would have been approximately \$15,200 combined.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Dennis Rosario committed multiple violations by recommending an unnecessary and detrimental annuity exchange.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires customer-specific suitability, including consideration of the customer's existing holdings and whether a recommended transaction provides a net benefit relative to the customer's current position.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Requires the advisor to exercise reasonable diligence, care, and skill in evaluating whether a recommendation, including an exchange of one product for another, is in the

customer's best interest. This includes a comparison of the existing and proposed products' costs, features, and benefits.

3. **Reg BI -- Disclosure Obligation:** Requires disclosure of all material facts, including the costs of the transaction, the benefits being forfeited, and the advisor's compensation.

4. **FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities):** This rule applies specifically to recommendations to exchange variable annuities. It requires the advisor and firm to determine whether the customer would benefit from the exchange after considering: (a) whether the customer will incur a surrender charge on the existing contract, (b) whether the customer will lose existing benefits (such as guaranteed withdrawal or death benefit riders), (c) whether the new product offers features or benefits that materially improve the customer's position, (d) whether the customer will face a new surrender period, and (e) the costs of the new product versus the existing products.

5. **FINRA Rule 2010 (Standards of Commercial Honor).**

**Analysis of Violations:**

- **Loss of Guaranteed Benefits -- Contract A:** Frank forfeited a 5% guaranteed minimum withdrawal benefit that provided \$9,200 per year for life. The replacement annuity offers only a 4.5% rate. This is an objective downgrade in a critical retirement income feature for a 71-year-old retiree who relies on guaranteed income.

- **Loss of Guaranteed Benefits -- Contract B:** Frank forfeited a death benefit rider guaranteeing \$130,000 to his beneficiaries. Since Contract B's market value had declined below \$130,000, this rider had tangible economic value. The new Contract C does not appear to include a comparable enhanced death benefit.

- **Unnecessary Surrender Charge:** Frank paid \$3,600 in surrender charges on Contract B. Had he simply waited two more years, Contract B would have exited its surrender period entirely. Dennis recommended the exchange during the surrender period without any compelling reason to do so.

- **Higher Ongoing Costs:** The new annuity's M&E charge of 1.55% is higher than both Contract A (1.25%) and Contract B (1.15%). Over a multi-year holding period, this cost differential compounds significantly on a \$285,000 investment.

- **New Surrender Period:** Frank, at age 71, is now locked into a fresh eight-year surrender period with an 8% initial surrender charge. He will be 79 before he can access his funds without penalty. For a retiree with no other significant liquid assets, this dramatically reduces his financial flexibility during a period of life when healthcare and emergency expenses are statistically likely to increase.

- **Reduced Guaranteed Income:** The combined guaranteed annual income from keeping both existing contracts (approximately \$15,200 once Contract B exited its surrender period) exceeds the new contract's guarantee (\$12,825) by \$2,375 per year. Over a 15-year period, this represents approximately \$35,625 in lost guaranteed income.

- **Commission Motivation:** Dennis earned \$17,100 on the sale of the new annuity. The Reg BI Care Obligation requires that the advisor not place his financial interest ahead of the customer's. The evidence strongly suggests this exchange was driven by commission income rather than any genuine benefit to Frank.

- **FINRA Rule 2330 Violation:** Under the specific annuity exchange analysis required by Rule 2330, every factor weighs against this exchange: Frank incurred a surrender charge, lost guaranteed withdrawal and death benefit features, was subjected to a new and longer surrender period, and moved into a higher-cost product. There is no

documented material benefit.

- **\*\*Inadequate Disclosure:\*\*** Dennis characterized the new annuity as 'better' and 'more modern' without providing Frank a detailed comparison of the costs, benefits lost, and the new surrender schedule. This fails the Reg BI Disclosure Obligation.

**\*\*Likely Regulatory Outcome:\*\*** FINRA enforcement would likely find violations of Rules 2111, 2330, and 2010, as well as Reg BI's Care and Disclosure Obligations. Probable sanctions include restitution to Frank of all quantifiable losses -- including the \$3,600 surrender charge, the present value of the reduction in guaranteed lifetime income, and the value of the forfeited death benefit guarantee -- disgorgement of Dennis's \$17,100 commission, a fine in the range of \$25,000 to \$75,000, and a suspension of six months or more. The recommending firm would also face supervisory deficiency findings under FINRA Rule 3110 for approving the exchange without adequate principal review of the comparative analysis required by Rule 2330.

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**Item 21 of 499****NON-COMPLIANT****Topic:** unsuitable\_income\_investor**Difficulty:** easy**Fact Pattern**

Margaret Townsend, age 72, is a retired elementary school teacher in Knoxville, Tennessee. She has a fixed monthly pension of \$2,800 and Social Security income of \$1,650 per month. Her total liquid savings amount to \$185,000, held in a money market account at her local bank. In March 2023, she met with financial advisor Derek Hollins after attending a free dinner seminar at a local restaurant. Margaret told Derek that she needed to generate stable monthly income to supplement her pension and Social Security, and that she planned to use approximately \$40,000 of her savings within the next 12 to 18 months to pay for extensive dental reconstruction surgery and to help her granddaughter with college tuition. She described herself as a conservative investor who could not afford to lose principal, and she emphasized that she had never owned stocks or bonds in her life. Derek recommended that Margaret invest \$160,000 -- nearly all of her liquid savings -- into a high-yield emerging market bond fund with an average portfolio duration of 8.2 years, a front-end sales charge of 4.25%, and an annual expense ratio of 1.15%. The fund's prospectus disclosed that it invested heavily in sovereign and corporate debt from Brazil, Turkey, South Africa, and Indonesia, and that it had experienced a maximum drawdown of 22% during the prior three years. Derek did not discuss any alternative products, such as short-term bond funds, Treasury securities, or certificates of deposit. By November 2023, rising global interest rates and currency volatility caused the fund to decline 14.3% in value. Margaret's account was worth approximately \$131,200, representing a loss of nearly \$28,800 from her initial investment. When she attempted to liquidate shares to pay for her dental surgery, she realized the loss was permanent. She filed a written complaint with Derek's firm in January 2024.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Hollins committed multiple violations of applicable standards governing investment recommendations.

**\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker have a reasonable basis to believe a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. There are three component obligations: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

Derek violated customer-specific suitability. Margaret was a 72-year-old retiree with no investment experience, a conservative risk tolerance, a need for stable income, a short-term liquidity need of \$40,000 within 12-18 months, and limited total savings. Recommending that she invest 86% of her liquid net worth in a volatile, long-duration emerging market bond fund with significant credit and currency risk was fundamentally inconsistent with every element of her disclosed investment profile.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under the SEC's Regulation Best Interest, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation. This includes understanding the potential risks, rewards, and costs of the recommendation, and having a reasonable basis

to believe the recommendation is in the customer's best interest, considering the customer's investment profile. Derek failed the Care Obligation because: (a) the fund's 8.2-year duration created substantial interest rate risk wholly inappropriate for someone needing funds within 18 months; (b) the fund's emerging market exposure introduced credit, currency, and geopolitical risks unsuitable for a conservative, inexperienced retiree; (c) the 4.25% front-end load immediately reduced Margaret's principal by approximately \$6,800; (d) no reasonably available alternatives were considered or presented.

**\*\*Reg BI -- Disclosure Obligation:\*\*** Derek also likely failed to make adequate disclosures regarding the material risks of the product, the costs, and conflicts of interest, including the commission he earned from the front-end sales charge.

**\*\*FINRA Rule 2090 (Know Your Customer):\*\*** While Derek did gather some customer information, his recommendation demonstrates he either ignored or disregarded the information Margaret provided about her short time horizon, liquidity needs, conservative risk tolerance, and lack of experience.

**\*\*Likely Regulatory Outcome:\*\*** A FINRA arbitration panel or enforcement action would likely find that Derek's recommendation was unsuitable and not in Margaret's best interest. Probable remedies include compensatory damages of approximately \$28,800 (the realized loss), plus the \$6,800 in front-end sales charges, potential interest, and attorneys' fees. Derek could face individual sanctions including fines, suspension, or a bar from the securities industry. His firm could face supervisory liability if it failed to flag the red flags in this transaction.

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**Item 22 of 499****NON-COMPLIANT****Topic:** reverse\_churning**Difficulty:** medium**Fact Pattern**

Samuel Okafor, age 44, is a software engineer in Austin, Texas, earning \$195,000 per year. He has \$410,000 in a 401(k) from a prior employer, \$95,000 in a savings account, and no outstanding debts. In June 2022, he met with financial advisor Leah Drummond, who recommended he roll over his 401(k) into a fee-based advisory account at her firm. Leah explained that she would actively manage the portfolio and provide ongoing financial planning, quarterly reviews, and tax-optimization strategies. Samuel agreed and signed an advisory agreement specifying a 1.25% annual asset-based fee on the account, which came to approximately \$5,125 per year. Leah initially constructed a portfolio of 12 individual stocks and three sector ETFs. However, after the initial allocation in July 2022, account records show that Leah made no trades, no rebalancing, and no portfolio adjustments of any kind over the next 22 months through April 2024. During this period, Samuel's account was charged \$9,427 in cumulative advisory fees. Leah also did not conduct any of the promised quarterly reviews; Samuel's file contains no meeting notes, no financial plan updates, no written correspondence, and no evidence of any proactive communication from Leah after the initial setup. Samuel only became aware of the inactivity when he requested a meeting in May 2024 and noticed the fee deductions on his statements. He had assumed the account was being actively managed. The portfolio's performance during the 22-month period was roughly in line with a passive total market index fund, which could have been held in the old 401(k) plan or a low-cost brokerage account for approximately \$200 per year in expenses.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Leah Drummond engaged in reverse churning and breached her obligations under multiple regulatory frameworks.

**\*\*Reverse Churning Defined:\*\*** Reverse churning occurs when an advisor places a client in a fee-based or advisory account that charges an ongoing asset-based fee but then provides little or no advisory services, active management, or ongoing advice to justify the fee. The client effectively pays for services never rendered.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** If Leah acted in a broker-dealer capacity when recommending the rollover and the account type, she was required under Reg BI's Care Obligation to have a reasonable basis to believe the account type recommendation was in Samuel's best interest. Recommending a fee-based account charging 1.25% annually is only appropriate if the advisor intends to and does provide ongoing advisory services that justify the cost. Since Leah provided no trades, no rebalancing, no financial planning, and no communication over 22 months, the fee-based account was not in Samuel's best interest compared to a commission-based brokerage account or a low-cost self-directed option.

**\*\*Investment Advisers Act of 1940 -- Fiduciary Duty:\*\*** If Leah was acting as an investment adviser (which the advisory agreement and asset-based fee structure strongly suggest), she owed Samuel a fiduciary duty of care and loyalty. The duty of care requires providing advice and monitoring that is consistent with the client's best interest and the terms of the advisory agreement. Leah's complete inaction -- no trades, no rebalancing, no reviews, no communication -- over nearly two years constitutes a clear breach of fiduciary duty. She collected \$9,427 in fees for services she did not

provide.

**\*\*FINRA Rule 2111 (Suitability) -- Account Type Recommendation:\*\*** FINRA guidance makes clear that the recommendation of an account type (fee-based vs. commission-based) is itself a recommendation subject to suitability analysis. For a buy-and-hold portfolio with no anticipated trading or active management, a fee-based account is presumptively unsuitable because the ongoing fees will exceed the costs of a commission-based account over time.

**\*\*Reg BI -- Disclosure and Conflict of Interest Obligations:\*\*** Leah had a financial incentive to place Samuel in a fee-based account because it generated recurring revenue regardless of activity. This conflict should have been prominently disclosed, and Leah should have mitigated it by recommending the account type genuinely in Samuel's best interest.

**\*\*Likely Regulatory Outcome:\*\*** Samuel has strong grounds for recovery of the approximately \$9,427 in advisory fees charged during the period of inactivity, potentially with interest. A FINRA arbitration panel or SEC enforcement action could find that Leah violated her fiduciary duty and/or Reg BI obligations. Leah could face disgorgement of fees, fines, and potential suspension. Her firm could face liability for inadequate supervision, particularly for failing to monitor whether advisors in fee-based accounts are providing the services that justify the fees.

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**Item 23 of 499****NON-COMPLIANT**

**Topic:** lack\_of\_diversification

**Difficulty:** hard

**Fact Pattern**

Patricia Navarro, age 67, is a retired office administrator in Phoenix, Arizona. She receives \$1,900 per month in Social Security and has \$290,000 in total savings -- \$230,000 in an IRA and \$60,000 in a bank savings account. She has a history of chronic kidney disease requiring ongoing specialist visits and periodic hospitalizations. Over the past five years she has made three emergency withdrawals from savings totaling \$38,000 to cover medical expenses not fully covered by Medicare. She disclosed all of this to her financial advisor, Ryan Kessler, including the fact that she might need to access funds on relatively short notice for medical emergencies. Patricia described her risk tolerance as conservative and her primary objective as preserving her savings while generating modest income to supplement Social Security. In October 2022, Ryan recommended that Patricia invest \$210,000 of her \$230,000 IRA into a single fixed indexed annuity issued by a mid-sized insurance company. The annuity had a 10-year surrender period with a declining surrender charge schedule starting at 9% in year one and declining to 0% in year ten. The product allowed penalty-free withdrawals of up to 10% of the account value per year. The annuity's crediting method was tied to the S&P 500 index with a participation rate of 55% and an annual cap of 4.5%, with a 0% floor. Ryan earned a 6.5% commission on the sale, totaling \$13,650. Ryan did not discuss alternative products such as short-term bond funds, Treasury securities, high-yield savings accounts, CD ladders, or annuities with shorter surrender periods. He did not document any analysis of Patricia's liquidity needs in light of her medical history. Within eight months, Patricia was hospitalized for two weeks and needed \$27,000 for out-of-pocket medical costs. She was only able to withdraw approximately \$21,000 penalty-free from the annuity (10% of account value), and accessing the remaining \$6,000 required paying a surrender charge of approximately 8.5%, costing her an additional \$510. She filed a complaint alleging that the recommendation was inappropriate given her documented medical needs.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Ryan Kessler's recommendation violated multiple regulatory standards, and this scenario presents a particularly egregious fact pattern given the client's well-documented health condition and liquidity needs.

**\*\*FINRA Rule 2111 (Suitability) -- Customer-Specific Suitability:\*\*** Ryan was required to ensure that his recommendation was suitable for Patricia based on her complete investment profile. Patricia's profile presented several critical factors: (1) age 67, retired with limited income; (2) conservative risk tolerance with capital preservation as the primary objective; (3) chronic kidney disease with a documented history of emergency medical withdrawals averaging approximately \$12,700 per incident; (4) an explicit disclosure that she might need funds on short notice. Recommending that she lock up 91% of her IRA (\$210,000 of \$230,000) in a product with a 10-year surrender period and punitive early withdrawal charges was fundamentally unsuitable. The 10% annual free withdrawal provision was insufficient given her demonstrated pattern of emergency needs.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** The Care Obligation requires that Ryan exercise reasonable diligence, care, and skill in making his recommendation, and that he consider reasonably available alternatives. Ryan failed this obligation in several respects: (a) He did not consider or present any alternative products that would have



provided liquidity appropriate for Patricia's medical situation, such as short-term bond funds, CD ladders, or annuities with shorter surrender periods (e.g., 3-5 years); (b) He did not perform or document any analysis of Patricia's potential liquidity needs based on her medical disclosures; (c) The recommendation prioritized the product with the highest commission (6.5%, or \$13,650) over Patricia's clearly stated needs.

**\*\*Reg BI -- Conflict of Interest Obligation:\*\*** The \$13,650 commission created a significant conflict of interest. Fixed indexed annuities with long surrender periods typically pay substantially higher commissions than shorter-duration products or other conservative investment alternatives. Ryan was required to identify, disclose, and mitigate this conflict. There is no evidence he did so.

**\*\*Lack of Diversification:\*\*** Concentrating \$210,000 (91% of IRA assets, 72% of total liquid savings) in a single illiquid product from a single insurance company also raises concentration risk concerns. Even if an annuity were appropriate in concept, the allocation percentage was excessive for a client with Patricia's profile.

**\*\*FINRA Regulatory Notices on Annuity Sales:\*\*** FINRA has issued extensive guidance emphasizing that long-surrender-period annuities are generally inappropriate for elderly clients with liquidity needs, health concerns, or short time horizons. Ryan's recommendation contravenes this guidance directly.

**\*\*FINRA Rule 2090 (Know Your Customer):\*\*** While Ryan did collect Patricia's information, his failure to incorporate her medical history and demonstrated pattern of emergency withdrawals into his recommendation analysis indicates he either ignored or recklessly disregarded material customer information.

**\*\*Likely Regulatory Outcome:\*\*** Patricia has strong claims for compensatory damages including the \$510 surrender charge, any opportunity costs, and potentially the full commission amount as disgorgement. A FINRA arbitration panel would likely find the recommendation unsuitable and not in Patricia's best interest. Ryan faces potential fines, suspension, or a bar, particularly given the vulnerability of the customer. His firm faces supervisory liability for failing to flag the concentration, the client's age and health status, and the mismatch between the product's liquidity constraints and the client's documented needs.

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## Item 24 of 499

### NON-COMPLIANT

**Topic:** mutual\_fund\_switching\_churning

**Difficulty:** medium

### Fact Pattern

Howard and Diane Prescott, ages 58 and 56 respectively, are a married couple in suburban Chicago. Howard works as a warehouse supervisor earning \$72,000 per year, and Diane is a part-time dental hygienist earning \$34,000. Their combined retirement savings total \$320,000, split between Howard's 401(k) at \$195,000 and a joint brokerage account of \$125,000 managed by their financial advisor, Craig Meyers, whom they have worked with since 2019. The Prescotts described their investment objectives as long-term growth for retirement, with a moderate risk tolerance. Between January 2022 and December 2023, Craig executed 11 mutual fund switches in the Prescotts' \$125,000 brokerage account. In a typical pattern, Craig would call the Prescotts and recommend selling their current mutual fund holdings and purchasing a different fund, citing reasons such as 'better management team,' 'stronger recent performance,' or 'lower volatility.' Account records reveal the following pattern: in January 2022, the Prescotts held \$125,000 in a large-cap growth fund (Fund A). Craig moved them to Fund B (a similar large-cap growth fund) in March 2022, then to Fund C (another large-cap growth fund from a different fund family) in July 2022, then back to Fund A in November 2022, and so on through a total of 11 switches. Each switch involved the sale of one fund and the purchase of another, and each new purchase triggered a front-end sales load ranging from 3.50% to 5.25%. Over the two-year period, the Prescotts paid approximately \$14,300 in total front-end sales charges across the 11 transactions. Craig earned commissions on each purchase. The funds involved were substantially similar in investment objective, holdings overlap, expense ratios, and risk characteristics -- all were domestic large-cap growth or large-cap blend funds with Morningstar ratings between 3 and 4 stars. The net performance of the account over the period, after accounting for sales charges, was a gain of approximately 2.1%, compared to approximately 11.4% for a comparable no-load index fund held without trading. The Prescotts were not informed of the cumulative cost impact of the repeated switches and did not understand that the funds were substantially similar to one another.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Craig Meyers engaged in mutual fund switching, a well-recognized form of churning, in violation of multiple regulatory standards.

**\*\*FINRA Rule 2111 (Suitability) -- Quantitative Suitability:\*\*** The quantitative suitability obligation prohibits a broker from recommending a series of transactions that, even if individually suitable, are excessive in light of the customer's investment profile when taken together. Here, 11 mutual fund switches in 24 months in a \$125,000 account generated \$14,300 in sales charges -- equivalent to 11.4% of the account's starting value consumed by transaction costs alone. This level of cost is presumptively excessive for a moderate-risk, long-term growth-oriented couple approaching retirement.

**\*\*FINRA Rule 2111 -- Reasonable-Basis Suitability:\*\*** Each individual switch must have had a reasonable basis. When the funds involved are substantially similar in investment objective, holdings, risk profile, and Morningstar ratings, there is no reasonable basis for switching. Moving from one large-cap growth fund to another nearly identical large-cap growth fund -- and in one case switching back to the original fund -- demonstrates that the switches were not driven by

any legitimate investment rationale.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under Reg BI, Craig was required to exercise reasonable diligence and care and to consider the costs of his recommendations. The cumulative \$14,300 in sales charges, resulting in a net return of only 2.1% versus 11.4% for a comparable passive strategy, demonstrates that the series of recommendations was not in the Prescotts' best interest. The cost drag alone consumed nearly all of the market gains during the period.

**\*\*Reg BI -- Conflict of Interest Obligation:\*\*** Craig earned a commission on each new fund purchase. This created a direct financial incentive to recommend switches regardless of whether they benefited the clients. Craig was required to disclose and mitigate this conflict. There is no evidence he informed the Prescotts of the cumulative cost impact or that the funds were substantially similar.

**\*\*FINRA Regulatory Guidance on Mutual Fund Switching:\*\*** FINRA has consistently identified mutual fund switching -- the practice of recommending that customers sell one mutual fund and purchase another similar fund, particularly when sales charges are involved -- as a red-flag practice. The hallmarks present here include: (a) frequent switches between substantially similar funds; (b) each switch generating new sales charges; (c) no meaningful change in investment strategy or asset allocation; (d) a round-trip back to a previously held fund.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** The pattern of trading also implicates general ethical standards, as the switches appear designed to generate commissions rather than to serve the clients' interests.

**\*\*Likely Regulatory Outcome:\*\*** The Prescotts are likely entitled to recovery of the \$14,300 in excessive sales charges, plus the performance differential (opportunity cost) between what their account earned and what a comparable buy-and-hold strategy would have earned, estimated at approximately \$11,600 in forgone gains, for total potential damages of roughly \$25,900 plus interest. Craig faces FINRA enforcement action including fines, disgorgement of commissions, suspension, or a bar. His firm faces supervisory liability for failing to detect 11 switches in a single moderate-sized account over two years, which should have triggered automated surveillance alerts.

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## Item 25 of 499

### COMPLIANT

**Topic:** failure\_to\_know\_customer

**Difficulty:** easy

### Fact Pattern

Jordan Whitfield, age 31, is a marketing manager in Denver, Colorado, earning \$88,000 per year. He has \$45,000 in a 401(k), \$18,000 in a savings account, no debt other than \$12,000 remaining on a car loan, and rents his apartment. Jordan approached financial advisor Natalie Ibarra in August 2023, seeking to open a brokerage account and begin investing for long-term wealth accumulation with a 25- to 30-year time horizon. Natalie conducted a thorough intake process. She had Jordan complete a detailed new account form covering his income, net worth, liquid assets, tax filing status, employment information, investment experience (limited -- he had only used a target-date fund in his 401(k)), investment objectives (long-term growth), time horizon (25+ years), risk tolerance (moderate to moderately aggressive, as confirmed through both a written questionnaire and a follow-up conversation), and liquidity needs (none anticipated in the near term, as he maintained a 3-month emergency fund in his savings account). Natalie documented the conversation in detailed notes and confirmed the information with Jordan via a signed acknowledgment. Based on this profile, Natalie recommended that Jordan invest \$15,000 from his savings (leaving \$3,000 as a maintained emergency reserve beyond his existing savings) into a diversified portfolio consisting of 60% in a low-cost total U.S. stock market index fund (expense ratio 0.03%), 25% in a low-cost international developed markets index fund (expense ratio 0.06%), and 15% in a low-cost U.S. aggregate bond index fund (expense ratio 0.04%). The total annual cost of the portfolio was approximately \$6.30 per \$1,000 invested. Natalie also discussed dollar-cost averaging from future savings, the importance of maintaining his 401(k) contributions, and set a six-month follow-up review. She provided Jordan with a written summary of her recommendations and the rationale behind the asset allocation. Jordan agreed and funded the account. At the six-month review in February 2024, Natalie reviewed Jordan's financial situation, confirmed no material changes, and made no modifications to the portfolio.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

No, Natalie Ibarra acted in full compliance with applicable regulatory standards. This is an example of a well-executed advisory process.

**\*\*FINRA Rule 2090 (Know Your Customer):\*\*** Natalie fulfilled her obligation to know her customer by conducting a comprehensive intake process. She gathered detailed information about Jordan's age, income, net worth, liquid assets, employment, investment experience, investment objectives, time horizon, risk tolerance, and liquidity needs. She used both a written questionnaire and a follow-up conversation to confirm his risk tolerance, and she had Jordan sign an acknowledgment confirming the accuracy of the information. This thorough documentation exceeds the minimum requirements of the rule.

**\*\*FINRA Rule 2111 (Suitability):\*\*** Natalie's recommendation satisfies all three components of the suitability obligation:

- **\*Reasonable-Basis Suitability:\*** A diversified portfolio of low-cost index funds spanning U.S. equities, international equities, and U.S. bonds is a well-recognized, prudent investment approach supported by extensive financial research.
- **\*Customer-Specific Suitability:\*** The 85% equity / 15% bond allocation is appropriate for a 31-year-old with a 25+ year time horizon, moderate-to-moderately-aggressive risk tolerance, stable income, no immediate liquidity needs, and a

maintained emergency fund. The recommendation to invest only \$15,000 (leaving adequate reserves) was prudent.

- **\*Quantitative Suitability:**\* There was a single initial investment with no subsequent trading, so no excessive trading concerns arise.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Natalie exercised reasonable diligence, care, and skill. She understood the products she recommended (well-known, low-cost index funds), considered the costs (total expense ratios under 0.06%, with no sales loads or commissions), and had a reasonable basis to believe the recommendation was in Jordan's best interest given his profile.

**\*\*Reg BI -- Disclosure Obligation:\*\*** Natalie provided a written summary of her recommendations and rationale, ensuring transparency.

**\*\*Reg BI -- Conflict of Interest Obligation:\*\*** By recommending no-load, low-cost index funds, Natalie minimized conflicts of interest. There is no indication of undisclosed compensation arrangements or product-level conflicts.

**\*\*Ongoing Duty of Care:\*\*** Natalie scheduled and conducted a six-month follow-up review, confirmed no material changes in Jordan's circumstances, and appropriately made no changes to the portfolio. This demonstrates ongoing attentiveness to the client relationship.

**\*\*Likely Regulatory Outcome:\*\*** No violation. This scenario represents best practices in client onboarding, documentation, recommendation suitability, cost consciousness, and ongoing monitoring. If reviewed by FINRA or the SEC, this account would likely be cited as a model of compliance.

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**Item 26 of 499****NON-COMPLIANT****Topic:** mutual\_fund\_switching\_churning**Difficulty:** easy**Fact Pattern**

Margaret Collins, age 72, is a retired schoolteacher in Tampa, Florida, with a pension of \$3,200 per month and total savings of \$285,000 in her brokerage account. Her stated risk tolerance is conservative, and her investment objective is capital preservation with modest income generation. Between January 2022 and December 2023, her financial advisor, Derek Paulson, at a mid-sized broker-dealer, executed 14 separate mutual fund switches in Margaret's account. Each switch involved selling one Class A share mutual fund and purchasing another Class A share mutual fund within the same asset category -- typically large-cap domestic equity or investment-grade bond funds. Each purchase triggered a new front-end sales load averaging 4.75%, costing Margaret approximately \$2,850 per switch. Over the two-year period, Margaret paid roughly \$39,900 in front-end loads alone, plus transaction costs. The replacement funds had nearly identical investment objectives, holdings overlap of 70-85%, and comparable expense ratios to the funds that were sold. Performance of the replacement funds was not materially different from the funds sold. Derek earned approximately \$19,950 in commissions from the switches. Margaret's account value declined from \$285,000 to \$238,400 over this period, despite the broad market gaining approximately 12% during the same timeframe. When Margaret questioned the losses at a December 2023 meeting, Derek told her the switches were necessary to 'stay ahead of market shifts' and 'optimize sector allocation.' Margaret had no prior experience with investing beyond her pension and a small savings account.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Paulson clearly violated applicable standards governing mutual fund switching and churning. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. Specifically, FINRA Rule 2111 includes quantitative suitability, which requires that a broker who exercises actual or de facto control over a customer account does not engage in excessive trading. Here, 14 switches in 24 months involving funds with 70-85% holdings overlap and identical investment objectives strongly suggests the switches lacked any reasonable basis and were designed to generate commissions rather than benefit the client.

Under Regulation Best Interest (Reg BI), adopted under the Securities Exchange Act of 1934, broker-dealers must act in the retail customer's best interest at the time of a recommendation without placing their own financial interest ahead of the customer's. The Care Obligation under Reg BI requires that the broker exercise reasonable diligence, care, and skill in making recommendations, consider reasonably available alternatives, and ensure costs do not outweigh benefits. Switching between substantially identical mutual funds that triggered \$39,900 in redundant front-end loads clearly fails this standard -- the costs far exceeded any conceivable benefit.

FINRA has issued extensive guidance on mutual fund switching (e.g., FINRA Regulatory Notices 12-25 and 07-06) warning that switching between funds with similar objectives to generate sales charges is a hallmark violation. The fact that the replacement funds were in the same asset classes, had substantial overlap, and performed comparably to what was sold demonstrates no legitimate investment rationale.

Additionally, FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) is implicated, as the pattern of self-serving transactions at the expense of a 72-year-old conservative retiree with limited sophistication reflects conduct inconsistent with just and equitable principles of trade.

The likely regulatory outcome would include disgorgement of commissions, restitution to the customer, a fine, and a potential suspension or bar for Derek Paulson. Margaret would also have strong grounds for recovery through FINRA arbitration.

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**Item 27 of 499****NON-COMPLIANT****Topic:** inappropriate\_risk\_profile**Difficulty:** medium**Fact Pattern**

Howard and Linda Nakamura, ages 67 and 64 respectively, visited financial advisor Christine Barlow at a dual-registered firm in Portland, Oregon, in March 2023. Howard had recently been diagnosed with early-stage Parkinson's disease and had retired from his engineering position six months prior. Linda worked part-time as a librarian earning \$24,000 annually. Their combined retirement savings totaled \$410,000 in IRAs, they owned their home outright (valued at \$380,000), and they had \$18,000 in a checking account. They had Social Security income of \$3,400 per month combined. During the intake meeting, the Nakamuras repeatedly expressed concern about healthcare costs, stated they could not afford to lose their savings, and said they wanted safe investments that would provide reliable income to supplement Social Security. Christine filled out the new account documentation herself, checking 'aggressive growth' as their investment objective and 'high' as their risk tolerance. She did not review these selections with the Nakamuras or ask them to verify the form. She then placed 60% of their combined \$410,000 into small-cap growth stocks, 20% into an emerging markets equity fund, and 20% into a high-yield corporate bond fund. Within nine months, the portfolio lost approximately \$78,000 in value -- a 19% decline -- largely due to volatility in small-cap and emerging market holdings. The Nakamuras discovered the risk profile designation when they requested copies of their account documents in January 2024 after receiving disturbing account statements. They stated they never agreed to aggressive growth or high risk tolerance and would not have approved those designations.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Christine Barlow committed multiple serious violations. First and foremost, she falsified or inaccurately recorded the customers' investment profile. Under FINRA Rule 2111 (Suitability), the customer-specific suitability obligation requires that a recommendation be suitable based on the customer's actual investment profile, including age, financial situation, tax status, investment objectives, risk tolerance, time horizon, liquidity needs, and other relevant information. The Nakamuras clearly and repeatedly stated they wanted safety and income. By marking 'aggressive growth' and 'high' risk tolerance without the customers' knowledge or consent, Christine manufactured a false justification for unsuitable recommendations.

Under Regulation Best Interest (Reg BI), the Care Obligation requires that the broker-dealer and associated person exercise reasonable diligence, care, and skill to understand the retail customer's investment profile and ensure the recommendation is in the customer's best interest. Recommending 60% small-cap growth stocks and 20% emerging markets equities to a couple in their mid-to-late 60s -- one with a progressive neurological disease -- who explicitly requested safety and income, is a textbook failure of the Care Obligation.

The Disclosure Obligation under Reg BI also requires full and fair disclosure of material facts about the recommendation, including risks. There is no indication Christine adequately disclosed the volatility risks of small-cap stocks or emerging market equities to clients seeking capital preservation.

The Conflict of Interest Obligation under Reg BI requires identification and mitigation of conflicts. If Christine received



higher compensation for placing assets in equity products versus fixed-income or conservative alternatives, this conflict was neither disclosed nor mitigated.

FINRA Rule 4512 requires that member firms maintain accurate customer account records. Intentionally recording false customer information violates this rule. FINRA Rule 2010 (Standards of Commercial Honor) is also violated by the dishonest completion of account documentation.

If Christine acted in an investment advisory capacity (as the firm is dual-registered), she would also owe a fiduciary duty under the Investment Advisers Act of 1940, requiring her to act in the clients' best interest -- which she clearly did not.

The likely regulatory outcome includes restitution, fines, and a significant suspension or bar. The falsification of account documents is an aggravating factor that regulators treat very seriously. The Nakamuras would have strong claims in FINRA arbitration for the \$78,000 loss plus consequential damages.

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**Item 28 of 499****NON-COMPLIANT****Topic:** high\_fees\_unsuitable**Difficulty:** hard**Fact Pattern**

Patricia Weaver, age 78, is a widow living in Scottsdale, Arizona, on a fixed income of \$2,900 per month from Social Security and a small annuity. Her total investable assets consisted of \$175,000 in a traditional IRA that she rolled over from her late husband's 401(k) in 2022. She has no other significant assets beyond her condominium. Patricia told her financial advisor, Ryan Kendrick, at a national broker-dealer branch office, that she needed this money to last the rest of her life, wanted to minimize risk, and might need to take periodic withdrawals for medical expenses, as she had been recently diagnosed with macular degeneration requiring ongoing treatment. Ryan recommended that Patricia invest \$140,000 (80% of her IRA) into three leveraged and inverse exchange-traded products: \$50,000 in a 3x leveraged S&P 500 bull ETF, \$50,000 in a 2x leveraged Nasdaq-100 ETF, and \$40,000 in a 3x inverse Treasury bond ETF. The remaining \$35,000 was placed in a money market fund. Ryan told Patricia these products would 'give her extra upside with less money at risk' and did not explain the daily rebalancing mechanism, compounding decay, or the fact that these products are designed for short-term tactical trading. Patricia held these positions for 11 months. During this period, even though the S&P 500 was roughly flat on a net basis, the 3x leveraged S&P 500 ETF lost approximately 14% due to volatility drag. The 2x leveraged Nasdaq fund lost approximately 9%, and the 3x inverse Treasury ETF lost approximately 31% as interest rates stabilized. In total, Patricia's \$140,000 investment in these products declined to approximately \$101,500 -- a loss of \$38,500 (27.5%). Combined expense ratios on the leveraged products averaged 0.95% annually, and the frequent internal rebalancing generated additional implicit costs. Patricia was unaware of these losses until she requested a withdrawal of \$8,000 for an eye procedure and was informed of her account's diminished balance.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Ryan Kendrick committed egregious violations of multiple applicable standards. Leveraged and inverse exchange-traded products are among the most scrutinized products in the securities industry, and their recommendation to a 78-year-old widow on a fixed income with conservative objectives and a need for capital preservation is indefensible.

Under FINRA Rule 2111 (Suitability), all three prongs are violated. Reasonable-basis suitability requires that the advisor understand the product's risks and features before recommending it. Leveraged and inverse ETFs are explicitly designed for short-term (typically single-day) holding periods due to daily rebalancing and compounding effects. FINRA Regulatory Notice 09-31 specifically warned that these products are typically unsuitable for retail investors who plan to hold them for more than one trading session. Ryan either failed to understand these products or understood them and recommended them anyway -- either constitutes a violation. Customer-specific suitability requires a match between the product's risk characteristics and the customer's profile. Patricia's profile -- 78 years old, widowed, fixed income, conservative risk tolerance, capital preservation objective, need for liquidity for medical expenses -- is diametrically opposed to the characteristics of leveraged and inverse ETFs. Quantitative suitability is also implicated given that the cost drag and volatility decay made it virtually impossible for Patricia to achieve her stated objectives.

Under Regulation Best Interest (Reg BI), the Care Obligation requires that the recommendation be in the retail customer's best interest and that costs not be excessive relative to reasonably available alternatives. Conservative alternatives such as short-term bond funds, Treasury securities, CD ladders, or balanced income funds would have been dramatically more suitable and less costly. The implicit and explicit costs of leveraged products -- including the 0.95% expense ratios and the far more significant volatility decay -- are wholly inappropriate for a conservative retiree. The Disclosure Obligation required Ryan to explain the daily rebalancing mechanism, the risk of compounding decay over holding periods longer than a day, and the high probability of loss in a buy-and-hold strategy. He failed entirely, instead making misleading statements about 'extra upside with less money at risk.' This also implicates FINRA Rule 2210 (Communications with the Public) to the extent any written materials were similarly misleading.

FINRA Rule 2010 (Standards of Commercial Honor) is violated by the fundamental unfairness of placing 80% of an elderly widow's life savings into products designed for sophisticated short-term traders.

If Ryan's firm had specific policies or product guidelines restricting leveraged ETF sales to certain customer profiles (as most major firms do), internal supervisory failures under FINRA Rule 3110 (Supervision) would also be implicated.

The likely regulatory outcome includes full restitution of losses (\$38,500 plus opportunity cost), significant fines against both Ryan and his firm, suspension or bar for Ryan, and potential supervisory sanctions against the branch manager. Patricia would have an exceptionally strong FINRA arbitration claim. The combination of an elderly, unsophisticated, conservative investor and complex leveraged products held for months is a fact pattern that historically results in substantial arbitration awards.

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**Item 29 of 499****COMPLIANT**

**Topic:** junk\_bonds\_conservative\_investor

**Difficulty:** medium

**Fact Pattern**

Thomas Brennan, age 58, is a senior project manager at an engineering firm in Charlotte, North Carolina, earning \$145,000 annually. He has \$620,000 in a brokerage account, \$380,000 in his employer's 401(k), and \$85,000 in savings. His home has a remaining mortgage balance of \$110,000. Thomas told his financial advisor, Sarah Liu, that he plans to retire at 65 and wants a balanced approach -- he is comfortable with moderate risk and wants both growth and income from his portfolio. He described himself as an experienced investor who has managed his own accounts in the past and understands that higher yields come with higher risk. He specifically asked Sarah about high-yield corporate bonds to boost the income component of his portfolio. After conducting a thorough review of Thomas's financial situation, Sarah recommended allocating 12% of his \$620,000 brokerage account (\$74,400) to a diversified high-yield corporate bond mutual fund with an average credit rating of BB, an expense ratio of 0.55%, and a yield of approximately 6.8%. The remaining portfolio was allocated as follows: 40% in a diversified U.S. equity index fund, 15% in an international developed markets equity fund, 25% in an investment-grade intermediate-term bond fund, and 8% in a short-term Treasury fund for liquidity. Sarah provided Thomas with the fund's prospectus, discussed the credit risk and potential for default within high-yield bond portfolios, explained that high-yield bonds tend to be more correlated with equities during market stress, and documented the conversation and Thomas's acknowledgment of these risks in her client file. Over the following 12 months, the high-yield bond fund returned 7.2%, and the overall portfolio gained approximately 9.4%.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Sarah Liu acted in compliance with applicable standards and made a suitable, well-reasoned recommendation. Under FINRA Rule 2111 (Suitability), the recommendation satisfies all three components. Reasonable-basis suitability is met because Sarah demonstrated an understanding of the product -- a diversified high-yield bond mutual fund with an average BB credit rating and a reasonable 0.55% expense ratio -- and its risks, including credit risk, default risk, and equity correlation during downturns. Customer-specific suitability is met because Thomas's profile supports this allocation: he is 58 years old with 7 years to retirement, earns a strong income, has over \$1 million in total assets across accounts, carries only modest debt, has moderate risk tolerance, seeks both growth and income, is an experienced investor, and specifically requested exposure to high-yield bonds. A 12% allocation to high-yield bonds within a well-diversified portfolio is a proportionate and reasonable position for this investor profile. Quantitative suitability is not at issue as there is no excessive trading.

Under Regulation Best Interest (Reg BI), the Care Obligation is satisfied because Sarah exercised diligence in understanding Thomas's profile, considered the allocation in the context of his overall portfolio, chose a diversified fund rather than individual junk bonds (reducing issuer-specific risk), and ensured the cost (0.55% expense ratio) was reasonable relative to alternatives. The Disclosure Obligation is satisfied because Sarah provided the prospectus, explained credit risk, default potential, and the correlation behavior of high-yield bonds during market stress, and documented these disclosures. The Conflict of Interest Obligation would be satisfied assuming the firm's conflict mitigation policies were followed and no undisclosed compensation incentives favored this particular fund.

If Sarah acted in an investment advisory capacity, her fiduciary duty under the Investment Advisers Act of 1940 would also be satisfied, as the recommendation was in the client's best interest, appropriately sized, well-disclosed, and aligned with the client's stated objectives and risk tolerance.

The thorough documentation of the risk discussion and the client's informed consent further supports compliance. No regulatory action would be expected.

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**Item 30 of 499****NON-COMPLIANT**

**Topic:** speculative\_for\_conservative\_investor

**Difficulty:** medium

**Fact Pattern**

Eleanor Moss, age 74, is a retired nurse living in Boise, Idaho, with Social Security income of \$2,100 per month and a small state pension of \$850 per month. Her total savings consist of \$195,000 in an IRA that she has carefully accumulated over decades, plus \$12,000 in a bank savings account. She has no other investments or sources of income. Eleanor met with financial advisor Greg Thornton at a local branch of a national brokerage firm in February 2023. She told Greg that she was deeply risk-averse after losing \$30,000 during the 2008 financial crisis, that she wanted safe investments, and that she might need to draw down her IRA to pay for assisted living within the next three to five years, as her health had been declining. She emphasized she 'cannot afford any more big losses.' Greg recommended that Eleanor invest \$120,000 (approximately 62% of her IRA) into a concentrated portfolio of five speculative small-cap biotech stocks, arguing that they had 'huge upside potential' and that 'one big winner would set her up for life.' The remaining \$75,000 was placed in a balanced mutual fund. Greg did not discuss the high failure rate of small-cap biotech companies, the extreme volatility typical of the sector, or the concentrated risk of holding only five individual names. He did not present any conservative alternatives. By November 2023, three of the five biotech stocks had declined by 40-65% following failed clinical trials and negative FDA decisions. The \$120,000 biotech allocation had fallen to approximately \$52,000 -- a loss of \$68,000 (56.7%). Eleanor's total IRA balance dropped from \$195,000 to approximately \$132,000. When Eleanor called Greg in distress, he suggested she 'hold on and wait for a bounce back,' without offering to reassess her portfolio or discuss repositioning into more appropriate investments.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Greg Thornton committed serious violations across multiple regulatory frameworks. Under FINRA Rule 2111 (Suitability), the customer-specific suitability obligation requires that recommendations match the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and liquidity needs. Eleanor is a 74-year-old retiree on a fixed income of \$2,950 per month, with limited total savings, a conservative risk tolerance explicitly stated and reinforced by her traumatic 2008 experience, a short time horizon of 3-5 years before needing funds for assisted living, and high liquidity needs. Recommending that 62% of her IRA be invested in five speculative small-cap biotech stocks is profoundly unsuitable for this profile. Reasonable-basis suitability is also violated: a concentrated portfolio of five individual speculative biotech stocks carries extreme company-specific risk (binary outcomes from clinical trials, FDA decisions) and sector concentration risk that would be inappropriate for most retail investors, let alone a conservative 74-year-old with no margin for loss.

Under Regulation Best Interest (Reg BI), the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill, consider the customer's investment profile, evaluate reasonably available alternatives, and ensure that the potential risks and costs do not make the recommendation not in the customer's best interest. Greg failed on every count. He did not present conservative alternatives (e.g., Treasury bonds, CDs, conservative allocation funds, or income-focused strategies), did not consider Eleanor's imminent liquidity needs for assisted living, and recommended products whose risk profile was diametrically opposed to her stated needs. The Disclosure Obligation was violated because Greg failed to explain the extreme risks of speculative biotech investing -- including the high probability of total

loss on individual names, the volatility characteristics of the sector, and the concentration risk of holding only five stocks. His characterization of 'huge upside potential' and 'one big winner' was misleading and failed to provide balanced disclosure of risks.

Greg's subsequent advice to simply 'hold on and wait for a bounce back' -- without offering a portfolio review or discussing repositioning -- represents an additional failure to act in Eleanor's best interest on an ongoing basis.

FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) is implicated by the overall pattern of conduct: placing a vulnerable elderly retiree's life savings into speculative stocks while ignoring her clearly expressed needs and fears.

The likely regulatory outcome includes restitution of losses (\$68,000 plus opportunity costs), fines, and a suspension or bar for Greg Thornton. Supervisory failures under FINRA Rule 3110 may also be pursued against the branch if there were inadequate review procedures that allowed this allocation to proceed. Eleanor would have a very strong FINRA arbitration claim for damages.

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**Item 31 of 499****NON-COMPLIANT****Topic:** crypto\_assets\_unsuitable**Difficulty:** easy**Fact Pattern**

Margaret Olsen, age 74, is a retired elementary school teacher living in Boise, Idaho. She has a fixed monthly income of \$2,800 from her pension and \$1,450 from Social Security. Her total liquid savings amount to \$185,000, held primarily in a money market account and a certificate of deposit ladder. She has no other sources of income and relies on her savings to cover medical expenses and supplement her monthly living costs. On her new account form, she indicated a 'conservative' risk tolerance, 'preservation of capital' as her primary investment objective, and a time horizon of 3-5 years. She told her advisor, Craig Donnelly, that she could not afford to lose any significant portion of her savings. In March 2024, Donnelly recommended that Margaret move \$110,000 -- roughly 59% of her liquid savings -- into a portfolio consisting of Bitcoin, Ethereum, and two smaller-cap altcoins (Solana and Avalanche). Donnelly told her that 'crypto is the future of money' and that she could expect annual returns of 40% or more. He did not discuss the extreme price volatility of digital assets, the lack of insurance protections on the crypto exchange he recommended, or the possibility that she could lose a substantial portion of her investment. He also did not discuss any alternative investments that might align with her stated objectives. Within four months, the portfolio had declined by approximately \$46,000, a 42% loss. Margaret was forced to liquidate at a loss to pay for an emergency surgery, receiving back only \$64,000 of her original \$110,000 investment.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Craig Donnelly clearly violated applicable suitability and best interest standards. Under FINRA Rule 2111, a broker must have a reasonable basis for believing that a recommendation is suitable for a particular customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and liquidity needs. Margaret's profile -- a 74-year-old retiree with limited fixed income, conservative risk tolerance, capital preservation objectives, and a short time horizon -- is fundamentally incompatible with a concentrated allocation to highly volatile cryptocurrency assets. The recommendation to place 59% of her liquid savings into crypto violated the customer-specific suitability obligation (Rule 2111.05(c)) because the investment bore no reasonable relationship to her stated needs. Under Regulation Best Interest (Reg BI), the Care Obligation (17 CFR 240.15l-1(a)(2)(ii)) requires that a broker-dealer exercise reasonable diligence, care, and skill in making a recommendation, including understanding the risks and rewards of the recommended security and having a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. Donnelly failed on all counts: he did not consider less risky alternatives, he made exaggerated performance projections (40% annual returns), he failed to disclose material risks including volatility and lack of exchange insurance, and he concentrated an elderly client's savings in one of the most speculative asset classes available. Additionally, under FINRA Rule 2210 (Communications with the Public), projecting 40% annual returns without adequate basis could constitute misleading communications. The quantitative concentration -- 59% in a single speculative asset class -- also raises concerns under the concentration suitability component. A FINRA arbitration panel or regulatory enforcement action would very likely find multiple violations. Probable outcomes include disgorgement of commissions, compensatory damages to the customer for the \$46,000 loss plus opportunity costs, potential punitive sanctions, a fine, and a suspension or bar for the advisor depending on his disciplinary history.



**Item 32 of 499****NON-COMPLIANT****Topic:** private\_placements\_unsuitable**Difficulty:** medium**Fact Pattern**

David and Elaine Foster, ages 52 and 49 respectively, are a dual-income couple in Charlotte, North Carolina. David is a high school basketball coach earning \$61,000 per year; Elaine works as an administrative assistant earning \$44,000 per year. Together their gross household income is \$105,000. They have \$230,000 in combined retirement accounts (a 403(b) for David and a traditional IRA for Elaine), \$38,000 in a joint savings account, and \$22,000 in a joint brokerage account. They carry a mortgage with \$142,000 remaining and have two children in college, with annual tuition obligations of \$28,000 combined. On their account documentation, both indicated 'moderate' risk tolerance and 'growth and income' as their objectives, with a time horizon of 10-15 years to retirement. Their advisor, Paul Navarro, recommended they invest \$95,000 -- rolled out of David's 403(b) into a self-directed IRA -- into two private placement offerings: \$55,000 into a Regulation D oil and gas drilling program and \$40,000 into a private real estate development fund focused on luxury resort properties in the Caribbean. Both offerings carried minimum hold periods of 7-10 years, had no secondary market, charged upfront placement fees of 8% and 10% respectively, and carried substantial risk of total loss. The offering memoranda for both investments stated that they were intended for 'accredited investors' with the ability to bear the loss of their entire investment. The Fosters' combined net worth, excluding their primary residence, was approximately \$290,000. Navarro earned a combined commission of \$13,200 on the two placements. He did not present any alternative investments such as diversified mutual funds, target-date funds, or publicly traded REITs. Within two years, the oil and gas program reported a dry hole and suspended distributions, and the Caribbean resort fund's developer filed for bankruptcy protection. The Fosters lost approximately \$82,000 of the \$95,000 invested after fees.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Paul Navarro committed multiple serious violations. First, regarding accredited investor status: under the applicable standards for private placements under Regulation D, an individual must have a net worth exceeding \$1,000,000 (excluding primary residence) or income exceeding \$200,000 individually (\$300,000 jointly) in each of the last two years with a reasonable expectation of the same. The Fosters met neither threshold -- their net worth excluding their home was approximately \$290,000 and their joint income was \$105,000. Navarro should not have recommended these investments to non-accredited investors, and his firm's supervisory system should have flagged this. Under FINRA Rule 2111 (Suitability), the recommendation fails on multiple dimensions. The customer-specific obligation requires consideration of the customer's entire financial picture. The Fosters had \$28,000 in annual college tuition obligations, a mortgage, and moderate risk tolerance. Concentrating 41% of their total retirement savings (\$95,000 of \$230,000) into two illiquid, high-risk private placements with 7-10 year lockups was grossly inconsistent with their profile. The reasonable-basis suitability component also raises concerns: both programs carried extreme risk (oil and gas exploration and speculative international resort development), and Navarro should have conducted due diligence sufficient to understand these risks before recommending them. Under Regulation Best Interest's Care Obligation, the advisor must consider reasonably available alternatives. Navarro failed to present any alternative investments -- diversified equity funds, target-date retirement funds, or publicly traded REITs could have provided growth and income exposure at far lower cost and risk. The Disclosure Obligation under Reg BI also required Navarro to disclose the

material conflicts of interest arising from the \$13,200 in commissions (representing roughly 14% of the investment amount on a blended basis), which are well above industry norms and created a strong incentive to recommend these products over lower-cost alternatives. Additionally, FINRA Notice to Members 10-22 and related guidance emphasize heightened supervisory obligations for private placements, including thorough due diligence on the offering, the issuer, and the suitability of the recommendation for each customer. The firm's failure to prevent this recommendation also raises supervisory liability under FINRA Rule 3110. Likely outcomes include full restitution to the Fosters, disgorgement of Navarro's commissions, significant fines, a lengthy suspension or permanent bar for Navarro, and potential supervisory sanctions against his firm.

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**Item 33 of 499****COMPLIANT****Topic:** illiquid\_real\_estate\_investment**Difficulty:** hard**Fact Pattern**

Jonathan Park, age 41, is a partner at a management consulting firm in New York City. His annual W-2 compensation is \$620,000, and he received an additional \$280,000 in bonuses in 2023, bringing his total income to approximately \$900,000. He has a liquid investment portfolio valued at \$2.1 million across several brokerage and advisory accounts, a 401(k) with \$740,000, a taxable real estate portfolio consisting of two rental properties valued at \$1.3 million with \$420,000 in remaining mortgage balances, and \$310,000 in cash and money market funds. His total net worth, excluding his \$1.8 million primary residence, is approximately \$4.03 million. He has no dependents, minimal debt beyond the rental property mortgages, and maintains a six-month emergency fund of approximately \$150,000 in a high-yield savings account. On his advisory account documents, he indicated 'aggressive' risk tolerance, 'long-term capital appreciation' as his primary objective, and a time horizon of 20+ years. He described himself as a 'sophisticated investor' with experience in private equity co-investments through his firm. His financial advisor, Rachel Underwood, who operates as a dually registered representative and investment adviser representative, recommended that Jonathan allocate \$200,000 -- approximately 4.9% of his investable net worth -- into a non-traded REIT focused on Class A industrial warehouse and logistics facilities across major U.S. distribution hubs. The REIT had a 5-year minimum hold period, an upfront load of 4%, ongoing management fees of 1.25% annually, and a targeted annual distribution of 5.5% with potential for capital appreciation at liquidation. Rachel provided Jonathan with the full offering prospectus, a detailed discussion of the illiquidity features, the fee structure comparison against publicly traded REIT alternatives, the concentration risk, and the lack of a secondary market. She documented in her notes that Jonathan understood and accepted these risks, that the investment represented a small allocation within his broader diversified portfolio, and that he had no anticipated need for the invested capital within the lockup period. She also discussed publicly traded REIT ETFs as an alternative but Jonathan expressed a preference for the non-traded structure due to its lower correlation with public equity markets and its potentially higher yield. The recommendation was reviewed and approved by her firm's complex products committee before execution.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Rachel Underwood appears to have acted in compliance with applicable suitability and best interest standards. Under FINRA Rule 2111, the recommendation satisfies all three suitability components. Reasonable-basis suitability is met because Underwood understood the product's features, risks, fees, and illiquidity characteristics, and the non-traded REIT was a legitimate investment in institutional-quality logistics real estate -- a sector with strong fundamentals. Customer-specific suitability is satisfied because Jonathan's profile -- high income (\$900,000), substantial liquid net worth (\$4+ million excluding residence), aggressive risk tolerance, long-term time horizon (20+ years), investment sophistication, experience with private investments, no dependents, and a fully funded emergency reserve -- is well-suited for an illiquid alternative investment. The \$200,000 allocation represents only 4.9% of his investable assets, posing no concentration concern. Quantitative suitability is not at issue as this was a single recommendation, not a pattern of excessive transactions. Under Regulation Best Interest, the Care Obligation is satisfied: Underwood exercised reasonable diligence in understanding the product, evaluated it in the context of Jonathan's full profile, considered the costs (4% load, 1.25% management fee), and had a reasonable basis for

believing the recommendation was in Jonathan's best interest. She also satisfied the requirement to consider reasonably available alternatives by explicitly discussing publicly traded REIT ETFs, allowing Jonathan to make an informed choice based on his preference for lower correlation and higher yield. The Disclosure Obligation was met through the prospectus delivery and detailed discussion of fees, illiquidity, and risks, all of which were documented. The Conflict of Interest Obligation was addressed through the firm's complex products review committee, which evaluated the recommendation before execution, providing an additional layer of supervisory oversight consistent with FINRA Rule 3110 and FINRA Regulatory Notices related to complex products (such as those addressing non-traded REITs). The thorough documentation of the client's understanding and acceptance of risks further supports compliance. No violation occurred, and a regulatory inquiry would likely find that Underwood met or exceeded applicable standards.

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## Item 34 of 499

## NON-COMPLIANT

**Topic:** tax\_deferred\_unnecessary\_annuity

**Difficulty:** medium

## Fact Pattern

Sandra Whitfield, age 67, recently retired from a 35-year career as a registered nurse in Tampa, Florida. She has a traditional IRA worth \$410,000, a Roth IRA worth \$85,000, a pension paying \$3,200 per month, and Social Security benefits of \$2,100 per month. Her total liquid savings outside retirement accounts amount to \$52,000. She owns her home outright and has no debt. Her monthly expenses are approximately \$4,100, meaning her pension and Social Security more than cover her needs. She indicated 'moderate' risk tolerance on her account application and listed 'income and capital preservation' as her investment objectives, with a time horizon of 10-15 years. Her financial advisor, Derek Loomis, recommended that Sandra move \$340,000 from her traditional IRA into a variable annuity with a guaranteed minimum income benefit rider. The annuity carried an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, subaccount management fees averaging 0.85%, and the income rider fee of 1.05% -- total annual costs of approximately 3.40%, or roughly \$11,560 per year. The annuity also carried a 7-year declining surrender charge schedule starting at 7% in the first year. Loomis earned a commission of approximately \$23,800 (7% of the premium). Sandra's existing IRA was invested in a balanced portfolio of low-cost index funds with a total expense ratio of 0.12%, costing her approximately \$408 per year. Loomis told Sandra that the annuity would 'protect her retirement income' and provide 'guaranteed growth.' He did not explain that her IRA was already tax-deferred, that wrapping it in an annuity added no additional tax benefit, that the annuity's total costs were approximately 28 times higher than her existing portfolio's costs, or that the 7-year surrender charge would restrict her access to her own money during a period when she might need it for healthcare expenses. He also did not discuss the option of simply adding a bond allocation or purchasing a single premium immediate annuity at far lower cost if she desired guaranteed income.

## Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

## Answer

Yes, Derek Loomis violated multiple applicable standards. The most prominent issue is the placement of a tax-deferred variable annuity inside an already tax-deferred IRA, which is a long-recognized red flag in the securities industry. Under FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities), before recommending a deferred variable annuity, the registered representative must have a reasonable basis to believe that (a) the customer has been informed of the features of the annuity, including surrender charges, potential tax penalties, mortality and expense charges, and subaccount fees; (b) the customer would benefit from certain features of the annuity, such as tax-deferred growth, annuitization, or a death benefit; and (c) the particular annuity as a whole, including riders and subaccounts, is suitable. Since Sandra's IRA already provided tax-deferred growth, the primary marketed benefit of a variable annuity -- tax deferral -- was redundant and added no value. The layering of approximately 3.40% in annual fees on top of an existing portfolio costing 0.12% must be justified by specific benefits that the customer needs and will use. While the guaranteed income rider might theoretically provide value, Sandra's pension and Social Security already exceed her living expenses by \$1,200 per month, meaning she had no demonstrated need for additional guaranteed income. Under Regulation Best Interest's Care Obligation, Loomis failed to consider the costs relative to the benefits and failed to evaluate reasonably available alternatives. A simple portfolio rebalancing, a low-cost bond fund allocation, or a single premium immediate annuity (if guaranteed income was desired) would have achieved Sandra's stated objectives at a

fraction of the cost. The Disclosure Obligation was also violated: Loomis failed to explain the redundancy of tax deferral, the true all-in cost comparison, the surrender charge restrictions, and the conflict created by his \$23,800 commission. Under FINRA Rule 2111's customer-specific suitability, the 7-year surrender period is problematic for a 67-year-old retiree who may face significant healthcare expenses. Locking up 83% of her IRA (\$340,000 of \$410,000) in a product she cannot access without penalty for seven years is inconsistent with capital preservation and liquidity needs. The firm's supervisory obligations under FINRA Rule 3110 and the specific principal review requirements under Rule 2330(c) also come into question -- the supervising principal should have flagged the IRA-to-variable-annuity transaction for heightened review. Likely regulatory outcomes include rescission of the annuity transaction, restitution of all fees and commissions charged, potential fines against Loomis and his firm, and a suspension for Loomis. This fact pattern is consistent with numerous FINRA enforcement actions involving unsuitable variable annuity exchanges within qualified retirement accounts.

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**Item 35 of 499****NON-COMPLIANT****Topic:** junk\_bonds\_conservative\_investor**Difficulty:** medium**Fact Pattern**

Harold Jennings, age 78, is a widower living in a senior living community in Scottsdale, Arizona. His monthly costs for the community, including assisted living services and meals, total \$6,800. His income consists of \$2,400 per month in Social Security and \$1,100 per month from a small pension, totaling \$3,500. The \$3,300 monthly shortfall is covered by withdrawals from his investment accounts. Harold has a brokerage account with \$385,000 and a traditional IRA with \$220,000, for total investable assets of \$605,000. At his current drawdown rate of approximately \$39,600 per year, his assets could sustain him for roughly 15 years, assuming modest returns. Harold suffers from early-stage cognitive decline, a fact noted informally by his advisor, Tom Burgess, after Harold repeatedly forgot details of previous conversations and occasionally confused account balances. On his account forms, Harold's risk tolerance was marked 'conservative,' his objective was listed as 'income and preservation of capital,' and his time horizon was noted as '5-10 years.' In January 2024, Burgess recommended that Harold sell his existing portfolio -- which consisted of U.S. Treasury bonds, investment-grade corporate bond funds, and a money market allocation -- and reinvest \$480,000 (79% of his total assets) into a concentrated portfolio of high-yield corporate bonds rated CCC and below, issued by companies in the distressed energy, retail, and hospitality sectors. The bonds yielded between 9.5% and 13.2% but carried significant credit risk and were highly sensitive to economic downturns. Burgess told Harold the higher yields would 'solve his income problem' and reduce the need for principal withdrawals. Burgess earned approximately \$14,400 in markups and commissions on the trades. He did not discuss the credit ratings or default risk of the issuers, did not explain that CCC-rated bonds have historically experienced default rates exceeding 25% over five-year periods, and did not present alternative strategies such as a diversified high-yield bond fund, a balanced income portfolio, or a systematic withdrawal plan from his existing conservative holdings. By August 2024, three of the bond issuers had defaulted, and the portfolio had lost approximately \$127,000 in market value.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Tom Burgess committed egregious violations of suitability and best interest standards, compounded by potential elder financial exploitation concerns. Under FINRA Rule 2111, the customer-specific suitability obligation required Burgess to evaluate Harold's complete profile: a 78-year-old widower with conservative risk tolerance, capital preservation and income objectives, a 5-10 year time horizon, dependence on portfolio withdrawals for essential living expenses, and early-stage cognitive decline. Recommending that 79% of a conservative elderly client's assets be concentrated in CCC-rated and below high-yield bonds -- among the riskiest fixed-income instruments available -- is fundamentally incompatible with every element of Harold's investment profile. The reasonable-basis suitability component is also violated: Burgess should have understood that CCC-rated bonds carry extreme credit risk with historical five-year default rates often exceeding 25%, making them wholly inappropriate as a core holding for a client who cannot afford principal loss. The concentration of nearly 80% of assets in distressed-sector junk bonds fails any reasonable diversification analysis. Under Regulation Best Interest, the Care Obligation required Burgess to exercise reasonable diligence and skill, to understand the risks and rewards of the specific bonds, and to have a reasonable basis for believing the recommendation was in Harold's best interest considering his profile and reasonably available alternatives. He failed on every count. He did not disclose credit ratings, default probabilities, or sector concentration

risks. He did not present alternatives such as diversified high-yield bond funds (which would have spread credit risk across hundreds of issuers), balanced income portfolios, or systematic withdrawal plans from Harold's existing conservative portfolio -- which was generating modest but reliable income consistent with his stated objectives. The Disclosure Obligation under Reg BI required transparency about the material risks and Burgess's conflicts of interest (the \$14,400 in markups and commissions). Burgess provided neither. Additionally, the fact that Burgess was aware of Harold's cognitive decline raises serious concerns under FINRA Rule 2165 (Financial Exploitation of Specified Adults), which provides firms with tools to place temporary holds on disbursements when exploitation is suspected, and under related guidance addressing diminished capacity. Rather than activating protections for a vulnerable client, Burgess appears to have exploited Harold's diminished capacity to execute a self-serving recommendation. The \$127,000 loss represents approximately 21% of Harold's total assets -- assets he depends upon for essential living expenses. At his required annual drawdown rate of \$39,600, this loss effectively shortened his financial runway by over three years. Likely regulatory outcomes include full restitution to Harold (or his estate), disgorgement of all markups and commissions, substantial fines, a permanent industry bar for Burgess, and possible referral for state elder abuse prosecution. The firm faces supervisory liability under FINRA Rule 3110 for failing to detect and prevent this clearly unsuitable recommendation to a vulnerable senior client.

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**Item 36 of 499****NON-COMPLIANT****Topic:** penny\_stocks\_unsuitable**Difficulty:** easy**Fact Pattern**

Margaret Ellison, age 74, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed monthly income of \$2,400 from her pension and \$1,100 from Social Security. Her total liquid savings amount to \$185,000, held in a brokerage account that she opened in March 2023 with the stated objectives of capital preservation and modest income generation. She indicated on her new account form that she had a conservative risk tolerance, no prior experience with speculative investments, and that her investment time horizon was 3-5 years. She told her advisor, Kevin Marsh, that she needed the funds to supplement her retirement income and cover potential assisted-living costs within the next few years. Between April and September 2023, Kevin Marsh executed 23 separate purchases of penny stocks -- shares trading below \$1.00 per share on the OTC Markets -- across seven different micro-cap companies in the cannabis, cryptocurrency mining, and rare earth minerals sectors. The total amount invested in these penny stocks was approximately \$112,000, representing over 60% of Margaret's liquid savings. Marsh told Margaret these were 'ground-floor opportunities' that could triple her money within a year. None of the companies had audited financial statements, and two were shell companies with no revenue. By January 2024, the combined value of the penny stock positions had declined to \$18,600, a loss of approximately \$93,400. Margaret was forced to delay her planned move to an assisted-living community because her savings had been devastated. Marsh earned \$6,700 in commissions on the penny stock trades.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Marsh committed serious violations of applicable suitability and best interest standards.

**\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and liquidity needs. Penny stocks are among the most speculative and risky equity investments available, characterized by extreme volatility, low liquidity, minimal disclosure requirements, and high susceptibility to fraud and manipulation. Margaret's profile -- a 74-year-old conservative retiree dependent on her savings for near-term assisted-living expenses -- is fundamentally incompatible with penny stock speculation. The concentration of over 60% of her liquid assets in penny stocks fails the customer-specific suitability obligation. The quantitative suitability component is also implicated by the 23 trades in six months generating commissions without corresponding customer benefit.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under the SEC's Reg BI, broker-dealers must exercise reasonable diligence, care, and skill when making recommendations. The Care Obligation requires the broker to understand the risks and rewards of the recommended security, consider reasonable alternatives, and ensure the recommendation is in the customer's best interest without placing the broker's financial interest ahead of the customer's. Marsh's penny stock recommendations plainly violated this obligation. He prioritized commission generation (\$6,700) over Margaret's stated need for capital preservation and income. The investments in shell companies with no revenue and no audited financials demonstrate a lack of reasonable diligence.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Recommending highly speculative, unvetted penny stocks to a vulnerable elderly retiree also violates the general standards of just and equitable principles of trade.

**\*\*FINRA Rule 2114 (Recommendations to Customers Regarding Securities with a Secondary Market):\*\*** Penny stocks on OTC markets often lack meaningful secondary market liquidity, compounding the unsuitability.

**\*\*Additional Considerations:\*\*** FINRA has repeatedly identified penny stock recommendations to conservative, elderly investors as a hallmark of suitability violations and potential elder financial exploitation. The magnitude of the concentration (60%+), the customer's vulnerability, and the severe losses (\$93,400 out of \$185,000) would likely result in significant sanctions.

**\*\*Likely Regulatory Outcome:\*\*** Marsh would likely face FINRA enforcement action resulting in disgorgement of commissions, restitution to the customer, a substantial fine, a lengthy suspension, or a permanent bar from the securities industry. State regulators could also bring parallel actions, and Margaret would have a strong FINRA arbitration claim for damages.

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## Item 37 of 499

### NON-COMPLIANT

**Topic:** illiquid\_investments

**Difficulty:** medium

### Fact Pattern

David Chen, age 58, is a self-employed plumber in Columbus, Ohio, earning approximately \$72,000 per year. He has \$230,000 in a traditional IRA and \$45,000 in a savings account. David disclosed to his financial advisor, Lisa Tran, that he was recently diagnosed with Type 2 diabetes and was managing ongoing prescription costs of roughly \$800 per month. He also told her that over the past three years, he had made two emergency withdrawals from his IRA -- one for \$15,000 to repair storm damage to his home and another for \$9,000 to cover his ex-wife's legal fees related to their divorce. David stated his objectives were moderate growth with some liquidity, and he described his risk tolerance as moderate. His new account form noted his investment time horizon as 5-8 years, and he indicated he might need to access his IRA funds before age 65 depending on his health. In November 2023, Lisa recommended that David roll over \$190,000 of his \$230,000 IRA into a 12-year fixed indexed annuity issued by a B-rated insurance carrier. The annuity featured a declining surrender charge schedule starting at 14% in year one and decreasing by roughly 1.2% per year, with a 10% annual free withdrawal provision. The annuity offered a guaranteed minimum return of 1% and participation in the S&P 500 index with a 6.5% annual cap. Lisa received a 7% upfront commission of \$13,300 on the sale. She did not discuss any alternative products such as shorter-duration annuities, bond funds, or balanced mutual funds. By March 2024, David needed \$22,000 for an unexpected surgery co-pay. He was able to withdraw only \$19,000 (the 10% free withdrawal) without penalty, and accessing the additional \$3,000 would have cost him a surrender charge of approximately \$396 plus a potential IRS early withdrawal penalty.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Lisa Tran violated applicable suitability and best interest standards in several respects.

**\*\*FINRA Rule 2111 (Suitability) -- Customer-Specific Obligation:\*\*** David's investment profile clearly indicated a need for liquidity. He had a documented history of emergency withdrawals (\$15,000 and \$9,000 in three years), ongoing medical expenses of \$800/month with a progressive health condition, and explicitly stated he might need early access to funds. Recommending that 82.6% (\$190,000 of \$230,000) of his IRA be placed in a 12-year illiquid annuity with a 14% first-year surrender charge is inconsistent with his stated liquidity needs, time horizon, and health circumstances. The customer-specific suitability obligation requires the advisor to match the recommendation to the customer's actual profile, and the product's extreme illiquidity directly conflicted with David's demonstrated and anticipated need for accessible funds.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** The Care Obligation under Reg BI requires the broker to exercise reasonable diligence, care, and skill, consider reasonably available alternatives, and not place the broker's interest ahead of the customer's. Lisa failed to present any alternatives such as a shorter-duration annuity (e.g., 3-5 years with lower surrender charges), bond funds, balanced mutual funds, or even a CD ladder that could have met David's moderate growth objective while preserving liquidity. The 7% upfront commission (\$13,300) represents a significant financial incentive that Lisa placed ahead of David's interest. The failure to consider and present alternatives is a core Care Obligation violation.

**\*\*Reg BI -- Disclosure Obligation:\*\*** Lisa had a duty to disclose all material facts about the recommendation, including the surrender charge schedule, the liquidity constraints, and how her compensation created a conflict of interest. The facts suggest she did not adequately weigh or disclose the liquidity risks relative to David's profile.

**\*\*Reg BI -- Conflict of Interest Obligation:\*\*** The 7% commission on a 12-year annuity is substantially higher than commissions on shorter-duration or more liquid products. Lisa's firm was required to have policies and procedures to identify and mitigate this conflict, and Lisa was required to act in David's best interest notwithstanding the compensation differential.

**\*\*FINRA Rule 2330 (Variable Annuities) -- Analogous Standards:\*\*** While Rule 2330 applies specifically to variable annuities and deferred variable annuities, FINRA guidance and the general suitability framework apply similar scrutiny to fixed indexed annuity recommendations in registered accounts, particularly regarding surrender periods, liquidity needs, and the customer's overall financial situation.

**\*\*Insurance Suitability Standards:\*\*** Most states have adopted annuity suitability standards (modeled on NAIC guidelines) requiring that an annuity recommendation be suitable based on the consumer's financial situation, including liquidity needs and existing insurance. The recommendation here would likely fail state insurance suitability review as well.

**\*\*Likely Regulatory Outcome:\*\*** Lisa would face FINRA enforcement action or arbitration liability. The likely outcomes include disgorgement of the \$13,300 commission, restitution for any surrender charges David incurred, a fine, and a potential suspension. If David files a FINRA arbitration claim, he would have a strong case for rescission of the annuity and recovery of damages including surrender charges, tax penalties, and consequential damages related to the delayed surgery payment.

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**Item 38 of 499****NON-COMPLIANT****Topic:** mutual\_fund\_switching\_churning**Difficulty:** hard**Fact Pattern**

Robert and Helen Kowalski, both age 71, are retired and live in suburban Pittsburgh, Pennsylvania. Robert is a former steel mill foreman and Helen is a retired school cafeteria worker. Their combined income is \$3,800 per month from Social Security and a small pension. They have \$340,000 in a joint brokerage account that represents their life savings, accumulated over decades of disciplined saving. Their account documents indicate conservative risk tolerance, an investment objective of income with capital preservation, and a 5-10 year time horizon. They have no other significant assets besides their home, valued at approximately \$165,000 with no mortgage. Their advisor, Brian Salazar, at a regional broker-dealer based in Pittsburgh, managed their account from January 2022 through December 2023. During that 24-month period, Brian executed 14 mutual fund switches -- selling one fund family's products and purchasing another's -- across their portfolio. Each switch involved selling the existing mutual fund positions and purchasing new Class A shares in a different fund family, triggering front-end sales charges averaging 4.75% on each purchase. The 14 switches generated approximately \$38,400 in cumulative front-end sales loads paid by the Kowalskis. In several instances, the replacement funds had nearly identical investment mandates, expense ratios, and Morningstar ratings as the funds being sold. For example, in March 2022, Brian sold \$85,000 in a large-cap value fund from one nationally recognized fund family (expense ratio 0.62%, 4-star Morningstar rating) and used the proceeds to purchase Class A shares in a substantially similar large-cap value fund from a competing fund family (expense ratio 0.67%, 4-star Morningstar rating), generating \$4,037.50 in front-end load. This pattern repeated across growth, balanced, and bond fund categories. Brian's commission on each switch ranged from 40-50% of the front-end load, netting him approximately \$16,500 in total commissions over the period. The Kowalskis' portfolio return over the 24 months, net of sales charges, was approximately -1.2%, while a blended benchmark of comparable no-load index funds returned approximately +8.7% over the same period. The Kowalskis were not informed that no-load share classes, institutional share classes, or ETF equivalents were available for the same strategies. Brian told them each switch was necessary because the new fund 'had better management' or was 'better positioned for the current market.'

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Brian Salazar committed multiple serious violations involving mutual fund switching, churning, and failure to act in the customers' best interest.

**\*\*FINRA Rule 2111 (Suitability) -- Quantitative Suitability:\*\*** The quantitative suitability component of Rule 2111 prohibits excessive trading in a customer's account. While mutual fund switching does not generate the same rapid-fire trading as equity churning, FINRA has long treated serial mutual fund switches as a form of churning when the switches serve no legitimate investment purpose and primarily generate commissions. Fourteen switches in 24 months -- each incurring a fresh 4.75% front-end load -- across funds with nearly identical mandates, expense ratios, and ratings, is strong evidence of quantitative unsuitability. The total cost to the Kowalskis (\$38,400 in loads, representing 11.3% of their \$340,000 account) is grossly disproportionate to any conceivable investment benefit.

**\*\*FINRA Rule 2111 -- Customer-Specific Suitability:\*\*** Each individual switch must be suitable for the customer.

Recommending that conservative, elderly retirees with \$340,000 in life savings pay repeated front-end loads on substantially identical replacement funds is per se unsuitable. The customers' objective of income with capital preservation is directly undermined by the cumulative drag of \$38,400 in sales charges.

**\*\*FINRA Rule 2111 -- Reasonable-Basis Suitability:\*\*** There was no reasonable basis to believe that switching between nearly identical funds would benefit the Kowalskis. Brian's stated justifications ('better management,' 'better positioned') are belied by the objective similarity of the funds (comparable expense ratios, identical Morningstar ratings, same category mandates).

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Reg BI requires a broker to consider costs, and specifically to consider reasonably available alternatives. Brian failed to inform the Kowalskis about no-load share classes, institutional share classes, or low-cost ETF equivalents -- all of which were reasonably available alternatives that would have eliminated or drastically reduced the cost drag. The Care Obligation also requires that the series of recommended transactions, when viewed together, are in the customer's best interest. The cumulative effect of 14 load-bearing switches clearly was not.

**\*\*Reg BI -- Conflict of Interest Obligation:\*\*** Brian earned approximately \$16,500 in commissions from the switches. His financial interest in generating commissions through repeated switching was a material conflict that should have been identified, disclosed, and mitigated by his firm's policies. The pattern strongly suggests Brian placed his own compensation interest ahead of the Kowalskis' interest.

**\*\*FINRA Rule 11870 and Mutual Fund Switch Letters:\*\*** FINRA requires that when a mutual fund switch is recommended, the registered representative and the firm must document the rationale and ensure the switch is in the customer's interest net of costs. Firms are required to have supervisory procedures to detect and prevent unsuitable mutual fund switching. Brian's firm appears to have failed in its supervisory obligations under FINRA Rules 3110 and 3120.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** The systematic pattern of cost-generating switches with no net benefit to elderly, conservative clients violates just and equitable principles of trade.

**\*\*Likely Regulatory Outcome:\*\*** This case presents classic mutual fund switching churning. FINRA would likely bring an enforcement action against both Brian Salazar and potentially his firm for supervisory failures. Expected sanctions include: disgorgement of all commissions (\$16,500), restitution to the Kowalskis for all unnecessary sales loads (\$38,400) plus potential consequential damages (the opportunity cost relative to the benchmark, approximately \$33,660 based on the 8.7% benchmark return vs. the -1.2% actual return applied to \$340,000), a substantial fine (\$25,000-\$100,000), and a suspension or bar for Brian. The firm could face additional fines and a requirement to remediate supervisory deficiencies. In FINRA arbitration, the Kowalskis would have an extremely strong case for full compensatory damages.

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**Item 39 of 499****COMPLIANT****Topic:** unsuitable\_income\_investor**Difficulty:** medium**Fact Pattern**

Patricia Langford, age 67, retired from her position as an office manager at a mid-size accounting firm in Charlotte, North Carolina, in 2022. She receives \$2,200 per month in Social Security and has a \$410,000 IRA rollover from her former employer's 401(k). She also owns her home outright, valued at \$280,000, and has \$55,000 in a money market savings account as an emergency fund. Patricia told her financial advisor, Mark DeSilva, that her primary goal was generating reliable monthly income to supplement her Social Security, and that she had a conservative risk tolerance with a time horizon of 15-20 years given her family history of longevity (her mother lived to 94). She stated she did not want to take on significant market risk but understood that some risk was necessary to generate income above money market rates. After conducting a thorough review of Patricia's financial situation, risk tolerance, time horizon, tax status, and income needs, Mark recommended the following allocation for her \$410,000 IRA: 40% (\$164,000) in a diversified intermediate-term investment-grade bond fund with an expense ratio of 0.35% and a yield of approximately 4.2%; 25% (\$102,500) in a short-term government bond fund with an expense ratio of 0.15% and a yield of approximately 3.8%; 20% (\$82,000) in a dividend-focused large-cap equity fund with an expense ratio of 0.45% and a dividend yield of approximately 2.8%; and 15% (\$61,500) in a TIPS (Treasury Inflation-Protected Securities) fund with an expense ratio of 0.12%. The blended portfolio yield was approximately 3.7%, generating an estimated \$15,170 per year (\$1,264 per month) in income. All funds were no-load institutional share classes available through the advisory platform, and Mark charged an annual advisory fee of 0.85% (\$3,485 per year). Mark provided Patricia with a written financial plan documenting her objectives, the rationale for each fund selection, the total cost analysis, and a comparison with three alternative allocation models. He reviewed the plan with her in two separate meetings before she approved the recommendations. The portfolio's first-year performance was a total return of approximately 5.1%, and the income distributions met Patricia's monthly cash flow target.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Mark DeSilva acted in compliance with applicable suitability and best interest standards. His recommendations were well-suited to Patricia's profile and were made through a thorough, documented process.

**\*\*FINRA Rule 2111 (Suitability):\*\*** Mark's recommendations satisfy all three components of suitability. (1) Reasonable-basis suitability: Each recommended fund is a well-understood, broadly diversified product appropriate for income-oriented investors. The intermediate bond fund, short-term government bond fund, dividend equity fund, and TIPS fund are all mainstream, liquid, and transparent vehicles. (2) Customer-specific suitability: The allocation directly aligns with Patricia's stated objective (reliable monthly income), risk tolerance (conservative), time horizon (15-20 years), and financial situation (\$410,000 IRA with separate emergency reserves and no debt). The 20% equity allocation provides modest growth potential to address longevity risk and inflation over her 15-20 year horizon, while the 80% fixed-income allocation provides stability and income consistent with her conservative profile. (3) Quantitative suitability: There is no evidence of excessive trading; the recommendation was a one-time allocation with no subsequent switching.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Mark exercised reasonable diligence, care, and skill. He conducted a comprehensive review of Patricia's financial situation, considered her specific needs (income generation, capital preservation, longevity risk, inflation protection), and recommended a diversified portfolio of low-cost funds. The use of no-load institutional share classes demonstrates cost consciousness. He considered and presented three alternative allocation models, satisfying the requirement to evaluate reasonably available alternatives.

**\*\*Reg BI -- Disclosure Obligation:\*\*** Mark provided a written financial plan that documented objectives, rationale, cost analysis, and alternatives. He held two meetings to review the plan before Patricia approved it. This exceeds typical disclosure standards.

**\*\*Reg BI -- Conflict of Interest Obligation:\*\*** Mark's 0.85% annual advisory fee (\$3,485/year) is within the normal range for advisory accounts of this size and is transparent. The use of no-load institutional share classes means Mark did not receive additional commission-based compensation that could create conflicts. The fee-based structure aligns Mark's interest with Patricia's interest in growing and maintaining the account.

**\*\*Investment Advisers Act Fiduciary Duty (if applicable):\*\*** If Mark is also a registered investment adviser representative, his fiduciary duty of care and loyalty are satisfied by the thorough analysis, the suitability of the recommendations, the reasonable fee, the use of low-cost funds, the documentation, and the transparency of the process.

**\*\*Likely Regulatory Outcome:\*\*** No violation. This scenario represents a model of compliant advisory practice: thorough know-your-customer analysis, suitable product selection, cost-effective implementation, proper documentation, and transparent communication. If examined by FINRA or SEC staff, this account would likely be cited as an example of best practices.

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**Item 40 of 499****NON-COMPLIANT****Topic:** illiquid\_real\_estate\_investment**Difficulty:** medium**Fact Pattern**

Angela and Thomas Price, ages 44 and 46 respectively, are a married couple living in Sacramento, California. Angela works as a dental hygienist earning \$68,000 per year, and Thomas is a warehouse supervisor earning \$56,000 per year, for a combined household income of \$124,000. They have two children, ages 12 and 15, and are actively saving for college. Their total investable assets consist of \$175,000 in a joint taxable brokerage account and \$95,000 split across two Roth IRAs. They have a mortgage balance of \$215,000 on their home and \$18,000 in remaining auto loan debt. Their account opening documents indicate a moderate risk tolerance, investment objectives of growth and education funding, and a time horizon of 5-8 years corresponding to their children's anticipated college enrollment dates. Their advisor, Nicole Trent, at a full-service brokerage firm, recommended in August 2023 that the Prices invest \$120,000 from their joint brokerage account into a non-traded real estate investment trust (REIT) that invests in a portfolio of commercial office buildings and retail shopping centers. The non-traded REIT has a minimum 7-year holding period with no secondary market for shares, offers limited quarterly redemptions capped at 2.5% of outstanding shares per quarter (which can be suspended at the sponsor's discretion), charges upfront fees and commissions totaling 12% (approximately \$14,400 on the \$120,000 investment), and pays a stated distribution of 6.5% annually. Nicole told the Prices that the REIT was 'like owning real estate without the hassle' and that the 6.5% distribution would help fund college expenses. She did not explain that distributions could be funded from return of capital rather than earnings, that the commercial office sector was experiencing historically high vacancy rates due to remote work trends, or that the 7-year minimum hold period extended well beyond their 5-8 year investment horizon for college funding. By early 2024, the non-traded REIT suspended its share redemption program due to excessive redemption requests, and the sponsor disclosed in its quarterly report that 40% of the distributions paid to date had been funded from investor capital (return of capital) rather than operating income. The Prices' eldest child is now three years from college enrollment, and \$120,000 of their savings -- representing 44% of their total investable assets -- is effectively locked up with no clear path to liquidity.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Nicole Trent violated applicable suitability and best interest standards in recommending the non-traded REIT to the Price family.

**\*\*FINRA Rule 2111 (Suitability) -- Customer-Specific Obligation:\*\*** The Prices' investment profile includes a 5-8 year time horizon driven by imminent college funding needs, moderate risk tolerance, and a need for accessibility of funds. A non-traded REIT with a minimum 7-year holding period, no secondary market, and discretionary (and now suspended) quarterly redemptions is fundamentally mismatched with a family that needs liquidity within 3-5 years for defined education expenses. Concentrating 44% of their total investable assets (\$120,000 of \$270,000) in a single illiquid investment is excessive given their moderate risk profile and specific near-term liquidity needs. FINRA has issued multiple Regulatory Notices (including Regulatory Notice 09-09 and 15-02) highlighting concerns about the sale of non-traded REITs, particularly regarding concentration, liquidity, and suitability.

**\*\*FINRA Concentration Limits:\*\*** Many broker-dealers impose internal concentration limits for non-traded REITs, typically in the range of 10-25% of liquid net worth. The 44% concentration here would likely exceed any reasonable internal threshold.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Nicole failed to exercise reasonable diligence and care. She did not adequately consider the Prices' time horizon for college funding, which was the stated purpose of the investment. She did not consider or present reasonably available alternatives such as 529 education savings plans, diversified equity or balanced mutual funds, publicly traded REITs (which offer daily liquidity), or target-date education funds -- all of which would have better matched the Prices' objectives, time horizon, and liquidity needs. The 12% upfront fee structure (\$14,400) means the investment must appreciate substantially just to break even, creating an immediate drag on a portfolio intended for near-term education funding.

**\*\*Reg BI -- Disclosure Obligation:\*\*** Nicole failed to disclose or adequately explain several material facts: (1) that the 6.5% distribution could be and was being partially funded by return of capital, which erodes the investment's principal value rather than representing true income; (2) that the commercial office sector faced significant headwinds from remote work trends, making the REIT's portfolio particularly risky; (3) that the redemption program was discretionary and could be (and was) suspended; and (4) that the 7-year minimum holding period exceeded the Prices' stated investment time horizon.

**\*\*Reg BI -- Conflict of Interest Obligation:\*\*** The 12% upfront commission structure on the non-traded REIT (\$14,400) is dramatically higher than commissions or fees on alternative products (e.g., publicly traded REIT ETFs at 0% commission, 529 plans with minimal fees, or no-load mutual funds). This compensation differential created a material conflict of interest. Nicole's recommendation appears to have been driven by the outsized commission rather than the Prices' investment needs.

**\*\*FINRA Rule 2310 (Direct Participation Programs):\*\*** Non-traded REITs fall under FINRA's direct participation program rules, which require the broker to have reasonable grounds for believing the investment is suitable based on the customer's financial situation and needs. The rule specifically requires consideration of the customer's other investments, financial situation, tax status, and need for liquidity. Nicole's recommendation fails this standard.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Telling the Prices the REIT was 'like owning real estate without the hassle' without disclosing the severe liquidity restrictions, high costs, and risks of return-of-capital distributions amounts to a misleading characterization that violates just and equitable principles of trade.

**\*\*Likely Regulatory Outcome:\*\*** Nicole would face FINRA enforcement action and/or customer arbitration. Likely sanctions include restitution of the \$14,400 in upfront fees plus any losses on the investment, disgorgement of Nicole's commission, a fine in the range of \$10,000-\$50,000, and a suspension of 3-12 months. Her firm could face additional fines and supervisory deficiency findings for failing to detect the unsuitable concentration and the mismatch between the product's illiquidity and the customers' time horizon. In FINRA arbitration, the Prices would have a strong claim for rescission (return of their \$120,000 investment) or compensatory damages including the opportunity cost of being locked out of more suitable investments during the critical college savings years.

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**Item 41 of 499****NON-COMPLIANT****Topic:** penny\_stocks\_unsuitable**Difficulty:** easy**Fact Pattern**

Margaret Dolan, age 72, is a retired school librarian living in Tucson, Arizona, on a fixed income of \$2,400 per month from Social Security and a small pension. She has \$185,000 in a brokerage account, representing her entire life savings. Her account opening documents list her risk tolerance as 'low,' her investment objective as 'income and capital preservation,' and her investment experience as 'minimal -- only CDs and savings bonds.' In March 2023, her advisor, Kevin Brandt, began recommending she purchase shares of thinly traded over-the-counter micro-cap stocks priced between \$0.04 and \$0.85 per share. Over a four-month period, Brandt executed 23 separate purchase transactions in seven different penny stocks, investing a total of \$127,000 of her savings. Brandt earned commissions ranging from 4% to 7% on each transaction, totaling approximately \$7,600 in commissions. By September 2023, the combined value of all penny stock positions had fallen to \$18,400, a loss of over \$108,000. Margaret was unaware of the speculative nature of penny stocks and testified that Brandt told her these were 'hidden gems that would double in a few months.' She had never previously owned equities of any kind.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Brandt clearly violated applicable suitability and best interest standards. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and experience. Penny stocks are among the most speculative and illiquid securities available and are categorically unsuitable for a 72-year-old retiree on a fixed income with low risk tolerance, minimal investment experience, and a stated objective of income and capital preservation. Brandt violated all three components of the suitability obligation: (1) Reasonable-basis suitability -- penny stocks are inherently high-risk and illiquid, and Brandt failed to perform adequate due diligence; (2) Customer-specific suitability -- the investments were entirely inconsistent with Margaret's documented profile; (3) Quantitative suitability -- 23 transactions in four months in speculative securities for a conservative retiree suggests excessive trading. Under Regulation Best Interest (Reg BI), applicable to broker-dealer recommendations, Brandt failed the Care Obligation by not exercising reasonable diligence, care, and skill in making the recommendations and by not considering reasonably available alternatives. He also likely violated the Disclosure Obligation by misrepresenting penny stocks as safe 'hidden gems.' Additionally, concentrating 69% of her life savings in penny stocks constitutes an egregious over-concentration. The commissions of 4%-7% per transaction further evidence a profit motive inconsistent with the customer's interest. FINRA would likely pursue enforcement action, resulting in disgorgement of commissions, restitution to the customer, fines, and potentially a suspension or bar from the industry.

**Item 42 of 499****NON-COMPLIANT****Topic:** penny\_stocks\_unsuitable**Difficulty:** medium**Fact Pattern**

David Chung, age 45, is a software engineer in San Jose, California, earning \$195,000 annually with a net worth of approximately \$1.1 million, including his home equity. He opened a brokerage account in January 2023 with \$150,000 earmarked for medium-term growth to help fund his two children's college education, with the oldest starting college in 2028. His account documents reflect a 'moderate' risk tolerance and 'growth' as his investment objective. His prior experience includes investing in diversified mutual funds and a handful of large-cap individual stocks through a 401(k) and a prior brokerage account. His advisor, Rachel Simms, initially placed \$80,000 in a diversified portfolio of blue-chip equities and bond ETFs. However, beginning in April 2023, Simms began recommending a series of over-the-counter penny stocks, claiming they were 'emerging technology plays' similar to the companies David worked with. Over the next six months, Simms recommended 14 different penny stocks priced between \$0.10 and \$1.50, gradually shifting \$95,000 of the account (63%) into these positions. Many of the companies had no revenue, no audited financial statements, and were quoted exclusively on the OTC Pink sheets. Simms earned approximately \$5,800 in markups and commissions on these trades. By December 2023, the penny stock portfolio had declined to \$22,000 in value. David stated he trusted Simms's expertise in technology-related investments but was never informed that OTC Pink sheet companies often lack basic financial reporting requirements or that these stocks could be nearly impossible to sell quickly.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Rachel Simms violated suitability and best interest standards. Under FINRA Rule 2111, the customer-specific suitability component requires that a recommendation be consistent with the customer's investment profile. David's moderate risk tolerance and goal of funding college education within a defined five-year timeframe made penny stocks an unsuitable recommendation. While David had some equity investing experience, it was limited to diversified mutual funds and large-cap stocks -- a fundamentally different risk category from OTC Pink sheet micro-caps with no revenue or audited financials. The concentration of 63% of the account in penny stocks further aggravated the unsuitability. Under Reg BI's Care Obligation, Simms failed to exercise reasonable diligence, care, and skill. She should have considered the time horizon (college funding in approximately five years), the need for liquidity, and the extreme risk of total loss inherent in unregistered OTC securities. The fact that David worked in technology does not make speculative, non-reporting penny stock issuers suitable; familiarity with a sector does not equate to suitability for the most speculative instruments within that sector. Under Reg BI's Disclosure Obligation, Simms failed to adequately disclose the material risks of OTC Pink sheet securities, including the lack of financial reporting, extreme illiquidity, and susceptibility to manipulation. The comparison of these stocks to legitimate technology companies David knew was misleading. Additionally, reasonable-basis suitability under Rule 2111 was violated because many of these companies lacked audited financials, making it impossible for Simms to perform adequate due diligence. Expected regulatory outcome: FINRA enforcement action with restitution of approximately \$73,000 in losses, disgorgement of commissions, fines, and likely a suspension.

**Item 43 of 499****NON-COMPLIANT****Topic:** reverse\_churning**Difficulty:** hard**Fact Pattern**

Patricia Engel, age 67, is a retired registered nurse in Charlotte, North Carolina, with a total liquid net worth of \$620,000. In September 2021, her longtime advisor, Thomas Mercer, who had recently transitioned from a commission-based broker-dealer to a dually registered firm, recommended that Patricia move her \$420,000 IRA from a commission-based brokerage account into a fee-based advisory account charging an annual wrap fee of 1.65% on assets under management. At the time of the transfer, the IRA held a portfolio of 12 high-quality municipal and corporate bonds, three large-cap dividend-paying stocks, and a money market position. Patricia told Mercer she wanted to keep the portfolio essentially as it was -- she was comfortable with the income it generated and did not want active management or major changes. Over the following 28 months (through December 2023), Mercer executed only four trades in the account: two bond reinvestments when existing bonds matured and two dividend reinvestment elections. No new investment research, financial planning services, or portfolio rebalancing was provided. Patricia's account was charged a total of approximately \$16,170 in advisory fees over this period ( $\$420,000 \times 1.65\% \times 2.33$  years). Had the account remained in the commission-based structure, the estimated cost for the same four transactions would have been approximately \$280. Patricia was never presented with a cost comparison between the fee-based and commission-based structures, nor was she told that a commission-based account might be more economical given her buy-and-hold strategy.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Thomas Mercer engaged in what regulators term 'reverse churning' -- placing a client in a fee-based account where ongoing advisory fees are charged despite little to no advisory activity or active management being provided. This constitutes a violation of multiple standards. Under Reg BI's Care Obligation, when recommending an account type, a broker must consider reasonably available alternatives and must not place his or her financial interest ahead of the customer's. Mercer recommended a fee-based account charging 1.65% annually when he knew (or should have known) that Patricia's expressed preference for a static, buy-and-hold income portfolio meant minimal future trading or advisory activity. The cost differential is stark: \$16,170 in wrap fees versus approximately \$280 in commissions -- a ratio of nearly 58:1. Under Reg BI's Conflict of Interest Obligation, Mercer had a financial incentive to move the account to a fee-based structure (generating steady, predictable revenue) that he failed to disclose or mitigate. Under the Disclosure Obligation, he was required to provide Patricia with material information about the costs and conflicts associated with the account type recommendation, including a comparison showing that a commission account would be far more cost-effective for her stated investment approach. For the investment advisory portion of the relationship (to the extent the fee-based account triggered fiduciary duties under the Investment Advisers Act of 1940), Mercer owed Patricia a fiduciary duty of care and loyalty. Charging \$16,170 for essentially no advisory services beyond ministerial bond reinvestments is inconsistent with fiduciary obligations. The fiduciary duty requires that the advisor's compensation be reasonable in relation to the services actually provided. FINRA has also addressed this through its guidance on FINRA Rule 2111 and the suitability of account type recommendations, emphasizing that recommending a fee-based account for a buy-and-hold investor without active advisory services can be unsuitable. Expected regulatory outcome: restitution of excess fees (approximately \$15,890, the difference between wrap fees and estimated

commissions), potential fines, and supervisory deficiency findings against the firm for failing to monitor fee-based accounts for inactivity.

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**Item 44 of 499****COMPLIANT**

**Topic:** speculative\_for\_conservative\_investor

**Difficulty:** medium

**Fact Pattern**

Alan Woodford, age 58, is a semi-retired management consultant in Denver, Colorado, earning \$120,000 annually from part-time consulting work. He has a net worth of \$2.8 million, including \$1.9 million in diversified retirement accounts, a paid-off home worth \$650,000, and \$250,000 in a taxable brokerage account. His documented risk tolerance is 'moderate to aggressive' for his taxable account, and his investment objective is 'growth with some speculation.' He has 30 years of investing experience, including prior ownership of options, REITs, leveraged ETFs, and individual small-cap stocks. In June 2023, his advisor, Natalie Greer, recommended allocating \$30,000 (12% of the taxable account) to a concentrated position in a small-cap biotech company trading at \$8.50 per share. Greer provided Alan with a detailed research report on the company, including its clinical trial pipeline, cash runway, management team bios, and the risk that the stock could lose 50% or more of its value if trial results were negative. She also presented a written analysis comparing this investment to two alternative small-cap biotech ETFs with more diversification. Alan reviewed the materials over a week, asked several follow-up questions, and elected to proceed with the individual stock purchase. By November 2023, the stock had fallen to \$4.25 per share, a 50% loss. Alan acknowledged in writing that he understood the risks before purchasing.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Natalie Greer did not violate applicable suitability or best interest standards. Under FINRA Rule 2111, all three components of suitability were satisfied: (1) Reasonable-basis suitability -- Greer conducted due diligence on the biotech company, providing a detailed research report covering fundamentals, pipeline, and downside risks; (2) Customer-specific suitability -- Alan's profile supports this recommendation: he is 58 with substantial overall wealth (\$2.8 million net worth), the \$30,000 position represents only about 1.1% of his total net worth and 12% of his speculative taxable account, his documented risk tolerance is 'moderate to aggressive,' his investment objective includes 'some speculation,' and he has 30 years of experience including small-cap stocks; (3) Quantitative suitability -- this was a single purchase, not excessive trading. Under Reg BI's Care Obligation, Greer exercised reasonable diligence and skill. She considered the customer's profile, evaluated the investment, disclosed the risk of 50%+ loss, and presented reasonably available alternatives (two small-cap biotech ETFs), allowing the customer to make an informed decision. Under the Disclosure Obligation, she provided material information about the investment's risks and characteristics. The fact that the investment lost 50% does not, standing alone, constitute a violation. Suitability and best interest standards are evaluated at the time of the recommendation based on the process followed, not based on subsequent investment performance. Alan's written acknowledgment of the risks, his week-long review period, his follow-up questions, and the proportionality of the position to his overall wealth all support the conclusion that this was a compliant recommendation. Expected regulatory outcome: no violation found.

**Item 45 of 499****NON-COMPLIANT****Topic:** excessive\_load\_funds**Difficulty:** medium**Fact Pattern**

Carmen Reyes, age 34, is a public school teacher in Houston, Texas, earning \$56,000 per year. She has \$40,000 in a 403(b) retirement plan through her employer and opened a new IRA with \$25,000 she had saved over several years, intending to supplement her retirement savings. Her risk tolerance is 'moderate,' her investment objective is 'long-term growth,' and her investment experience is limited to the target-date fund in her 403(b). Her advisor, Derek Fontaine, recommended she invest the entire \$25,000 across four Class A share mutual funds, each carrying a front-end sales load of 5.75%. This resulted in \$1,437.50 being deducted immediately in sales charges, leaving only \$23,562.50 actually invested. The four funds were all large-cap U.S. equity funds with similar holdings and overlapping top-ten positions -- essentially providing no meaningful diversification benefit from one another. Each fund carried an annual expense ratio of 0.92%. Fontaine did not inform Carmen that substantially similar index funds or ETFs were available with no sales load and expense ratios between 0.03% and 0.10%. He also did not mention that investing the full \$25,000 in a single fund family would have qualified her for a breakpoint discount reducing the load to 4.50%. Fontaine received the full commission generated by the 5.75% loads. Carmen was not told how much of the load went to Fontaine personally.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Fontaine violated multiple suitability and best interest standards. Under Reg BI's Care Obligation, an advisor must consider reasonably available alternatives and the costs associated with a recommendation. Fontaine failed on both counts. First, he recommended four overlapping large-cap equity funds with high loads and expense ratios (0.92%) when substantially similar no-load index funds and ETFs were available at a fraction of the cost (0.03%-0.10%). For a young teacher with a modest \$25,000 IRA and a long time horizon, the cumulative drag of a 5.75% front-end load plus ongoing high expenses would significantly erode long-term returns compared to low-cost alternatives. Second, Fontaine failed to apply available breakpoint discounts. FINRA has long emphasized, including through guidance related to FINRA Rule 2111 and NASD Notice to Members 03-54, that brokers must ensure customers receive applicable breakpoint discounts on mutual fund purchases. By splitting the \$25,000 across four fund families rather than consolidating within one family, Fontaine caused Carmen to miss a breakpoint that would have reduced her load from 5.75% to 4.50%, costing her an additional \$312.50 in unnecessary charges. This practice is sometimes called 'breakpoint selling' and has been a focus of FINRA enforcement. Third, the four funds provided no meaningful diversification benefit since they held substantially similar large-cap U.S. equity positions, suggesting the splitting served the advisor's compensation interest rather than the client's investment interest. Under Reg BI's Disclosure Obligation, Fontaine failed to disclose material information about costs, the availability of lower-cost alternatives, breakpoint eligibility, and how much of the sales load he personally received. Under the Conflict of Interest Obligation, his firm was required to establish policies to identify and mitigate conflicts arising from compensation incentives that could cause the advisor to recommend higher-cost products, and this apparently failed. Under FINRA Rule 2111, the recommendation fails customer-specific suitability because the cost structure was unreasonable for a moderate-risk, long-term growth investor with limited assets. Expected regulatory outcome: restitution of excess sales charges and ongoing expense differential, disgorgement of commissions, fines for breakpoint violations, and potential



suspension.

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**Item 46 of 499****NON-COMPLIANT****Topic:** crypto\_assets\_unsuitable**Difficulty:** easy**Fact Pattern**

Margaret Olsen, age 74, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed monthly income of \$2,400 from her pension and \$1,650 from Social Security. Her total liquid savings amount to \$185,000, held in a brokerage account at Ridgeline Financial Services. On her new account form, she indicated a 'conservative' risk tolerance, an investment objective of 'income and capital preservation,' a time horizon of 3-5 years, and no prior experience with digital assets or speculative investments. She told her advisor, Kevin Braithwaite, that she needed the money to cover potential assisted-living expenses and could not afford to lose more than 10% of her portfolio. In March 2024, Braithwaite recommended that Margaret invest \$92,500--exactly 50% of her liquid savings--into a portfolio of five cryptocurrency tokens: Bitcoin, Ethereum, Solana, Avalanche, and Chainlink. He told her these were 'the future of money' and that she should 'get in early before the next rally.' He did not discuss the extreme volatility history of these tokens, the lack of any income generation, or the risk of total loss. The transactions were executed through a third-party crypto exchange linked to her brokerage account, incurring a 2.5% transaction fee totaling \$2,312.50. By July 2024, the combined value of her crypto holdings had declined to \$51,000, a loss of approximately \$41,500, or nearly 45%. Margaret's remaining portfolio of Treasury bonds and CDs continued to generate modest income, but she now faces a significant shortfall for her anticipated care needs.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Braithwaite violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and experience. The rule encompasses three obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:\*\*** Under the Care Obligation, a broker must exercise reasonable diligence, care, and skill when making recommendations. The broker must understand the potential risks, rewards, and costs of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation.
3. **\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Recommending highly speculative, volatile assets to a conservative, elderly investor with no relevant experience may also constitute conduct inconsistent with just and equitable principles of trade.

**\*\*Analysis:\*\***

- **\*\*Customer-Specific Suitability Failure:\*\*** Margaret is a 74-year-old retiree with conservative risk tolerance, a short time horizon, a stated need for capital preservation and income, specific liquidity needs related to assisted living, and zero experience with digital assets. Cryptocurrency tokens are highly volatile, generate no income, and carry a risk of substantial or total loss. Allocating 50% of her liquid savings to these assets is directly contrary to every element of her stated investment profile.
- **\*\*Reasonable-Basis Suitability Failure:\*\*** Even if crypto assets might be suitable for some investors, concentrating half of an elderly conservative investor's portfolio in five speculative tokens lacks any reasonable basis.
- **\*\*Reg BI Care Obligation Failure:\*\*** Braithwaite did not exercise reasonable diligence or care. He failed to disclose material risks (extreme volatility, no income, potential for total loss), did not consider cheaper or less risky alternatives to meet Margaret's objectives, and placed his enthusiasm for the asset class above the customer's stated needs.
- **\*\*Reg BI Disclosure Obligation Failure:\*\*** The 2.5% transaction fees (\$2,312.50) and the speculative nature of the products needed to be clearly disclosed so the customer could make an informed decision.
- **\*\*Concentration Risk:\*\*** Placing 50% of a conservative retiree's assets into a single speculative asset class amplifies the violation.

**\*\*Likely Regulatory Outcome:\*\*** This is a strong enforcement case. Braithwaite would likely face FINRA disciplinary action including fines, disgorgement, suspension, or a bar from the industry. The firm, Ridgeline Financial Services, could face supervisory failure charges under FINRA Rule 3110 if it lacked adequate supervisory procedures to flag this transaction. Margaret would likely prevail in a FINRA arbitration claim for compensatory damages of at least \$41,500 plus the \$2,312.50 in transaction costs.

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## Item 47 of 499

### NON-COMPLIANT

**Topic:** variable\_annuity\_unsuitable

**Difficulty:** medium

### Fact Pattern

Ronald and Diane Jeffries, ages 68 and 65, are a married couple in Columbus, Ohio, who retired in 2022 with combined retirement savings of \$620,000 held in traditional IRAs and a joint brokerage account. Ronald receives \$1,800 per month from Social Security; Diane receives \$1,200. Their combined monthly expenses are approximately \$4,500, leaving a shortfall of \$1,500 per month that they cover from portfolio withdrawals. On their account documents, they listed a 'moderate' risk tolerance, an investment objective of 'income with moderate growth,' and a time horizon of 10-15 years. Their advisor, Patricia Ng at Summit Wealth Advisors, recommended in January 2023 that they consolidate their entire \$620,000 into a single variable annuity product issued by National Heritage Insurance Company. The annuity carried a 7-year surrender period with a declining surrender charge starting at 8% in year one, annual mortality and expense charges of 1.45%, an administrative fee of 0.15%, and sub-account management fees averaging 0.95%, for a total all-in annual cost of approximately 2.55%. Patricia also recommended the optional guaranteed minimum income benefit rider at an additional 1.10% per year, bringing total annual costs to approximately 3.65%--roughly \$22,630 per year. Patricia did not discuss any alternative products, such as a diversified portfolio of low-cost index funds and bonds, or a fixed immediate annuity that could address their income shortfall more directly and at far lower cost. She also did not discuss the tax implications--since the money was already in tax-deferred IRAs, the variable annuity provided no additional tax-deferral benefit. Within the first year, the Jeffries needed to withdraw \$18,000 to cover their income shortfall. The surrender charge on that withdrawal was 8%, costing them \$1,440. Additionally, total fees in the first year consumed approximately \$22,630 of their account value, while the underlying sub-accounts returned only 4.2% gross, yielding a net return of approximately 0.55%, or roughly \$3,410. After withdrawals and fees, their account had declined to approximately \$601,340 by January 2024 despite a year of positive market returns.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Patricia Ng violated applicable suitability and best interest standards.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires that the recommended transaction be suitable for the customer based on their investment profile.
2. **\*\*FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities):\*\*** This rule specifically governs recommendations of deferred variable annuities. It requires that the broker have a reasonable basis to believe that: (a) the customer has been informed of the features of the annuity, including surrender charges, fees, tax treatment, and riders; (b) the customer would benefit from certain features of the annuity, such as tax-deferred growth, annuitization, or a death benefit; (c) the particular annuity is suitable considering the customer's age, income, intended use of the annuity, time horizon, liquidity needs, and existing assets; and (d) the transaction as a whole--including exchanges--has not been made principally to generate compensation.

3. **Regulation Best Interest (Reg BI):** The Care Obligation requires that the broker consider reasonably available alternatives and have a reasonable basis to believe the recommendation is in the customer's best interest. The Disclosure Obligation requires full disclosure of costs and conflicts.

**Analysis:**

- **Concentration in a Single Illiquid Product:** Placing 100% of a retired couple's savings into a single variable annuity with a 7-year surrender period is a severe concentration and liquidity problem. The Jeffries have a known, recurring need to withdraw \$18,000 per year. The surrender schedule directly penalizes those withdrawals.

- **Excessive Costs:** Total annual fees of 3.65% (\$22,630/year) are extremely high and consume most or all of the expected return in a moderate-growth environment. This is particularly problematic for retirees who need the portfolio to last 15+ years and who are already drawing down principal.

- **No Tax Benefit:** Placing IRA assets inside a variable annuity provides no incremental tax-deferral benefit since IRA assets are already tax-deferred. This eliminates one of the primary advantages of variable annuities, making the additional fee layers unjustifiable.

- **Failure to Consider Alternatives (Reg BI Care Obligation):** Patricia did not discuss lower-cost alternatives. A portfolio of low-cost index funds and bonds could have achieved similar or better net returns at a fraction of the cost. A fixed immediate annuity could have directly addressed the income shortfall without a surrender period. This failure demonstrates a lack of reasonable diligence.

- **FINRA Rule 2330 Violation:** The customer did not benefit from the tax-deferral feature (already in IRAs), did not have the liquidity profile for a 7-year surrender product, and the annuity's costs were disproportionate to the benefits received. Patricia also failed to adequately inform them of the total cost impact and surrender penalties.

- **Conflict of Interest:** Variable annuities typically generate substantial upfront and trailing commissions for the recommending broker, raising concerns about whether the recommendation was driven by compensation rather than client need.

**Likely Regulatory Outcome:** FINRA enforcement action is likely, potentially including fines, disgorgement of commissions, suspension, and restitution to the Jeffries. The firm, Summit Wealth Advisors, could face supervisory failure charges under FINRA Rules 3110 and 2330(d) if its principal did not properly review and approve the transaction before execution. In FINRA arbitration, the Jeffries would likely recover damages including the surrender charges paid, excess fees relative to suitable alternatives, and potentially consequential damages for the opportunity cost of lost growth.

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## Item 48 of 499

## NON-COMPLIANT

**Topic:** illiquid\_investments

**Difficulty:** hard

## Fact Pattern

David and Karen Sato, ages 71 and 69, are retired homeowners in Sacramento, California. David is a former mechanical engineer; Karen was an office manager. Their combined annual income from Social Security and a small corporate pension totals \$58,000. They have \$410,000 in investable assets: \$275,000 in a rollover IRA and \$135,000 in a joint taxable brokerage account, both held at Cornerstone Securities. On their account applications completed in June 2022, they each indicated 'conservative' risk tolerance, 'income and preservation of capital' as their investment objective, a time horizon of 5-7 years, and noted specifically in the 'additional information' section that they could not afford to lose principal because they had no other financial safety net and might need to liquidate assets to pay for in-home care. Their advisor, Marcus Redmond, began recommending a series of non-traded investments starting in August 2022. Over the following 14 months, he placed \$80,000 into a non-traded real estate investment trust (REIT) focused on commercial office properties, \$65,000 into a non-traded business development company (BDC) that made subordinated loans to middle-market companies, \$45,000 into a private oil-and-gas drilling program structured as a limited partnership, and \$30,000 into a private credit interval fund with quarterly redemption limits capped at 5% of outstanding shares. In total, \$220,000--approximately 53.7% of their investable assets--was placed into illiquid or semi-illiquid products. Each product carried upfront sales charges ranging from 5.75% to 8.5%, totaling approximately \$15,400 in commissions, and ongoing annual fees averaging 2.8% across the portfolio. Marcus used margin borrowing of \$40,000 against the remaining securities in the joint taxable account to fund part of the oil-and-gas investment, telling the Satos it was a 'short-term bridge' that he would 'unwind within 90 days.' Six months later, the margin loan remained outstanding and had accrued \$1,800 in interest charges. In early 2024, Karen was diagnosed with a neurological condition requiring in-home nursing care costing \$6,500 per month. When the Satos attempted to liquidate their investments, they discovered: (a) the non-traded REIT had suspended redemptions due to declining commercial real estate values; (b) the BDC was trading on a limited secondary market at approximately 70 cents on the dollar; (c) the oil-and-gas partnership had no liquidity mechanism whatsoever and had reported a 35% decline in net asset value; and (d) the interval fund's 5% quarterly cap meant they could redeem only \$1,500 per quarter. Their liquid assets had been reduced to approximately \$190,000 in the IRA (traditional mutual funds and bonds) and whatever remained in the margin-encumbered joint account. They faced an immediate and ongoing liquidity crisis.

## Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

## Answer

Yes, Marcus Redmond committed severe violations of applicable suitability, best interest, and supervisory standards.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires reasonable-basis, customer-specific, and quantitative suitability for all recommended transactions and strategies.
2. **\*\*Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:\*\*** The Care Obligation requires reasonable diligence, care, and skill, including evaluation of the recommendation in light of the customer's investment profile and consideration of

reasonably available alternatives. The Disclosure Obligation requires material disclosure of risks, costs, and conflicts. The Conflict of Interest Obligation requires identification and mitigation of conflicts, including compensation-driven incentives.

3. **FINRA Rule 2310 (Direct Participation Programs):** Applies to limited partnership interests such as oil-and-gas programs. Requires reasonable grounds for believing the program is suitable and that the customer can bear the economic risk, including total loss, and the lack of liquidity.

4. **FINRA Regulatory Notices 09-09 and 15-02 (Non-Traded REITs and Illiquid Products):** FINRA has issued extensive guidance establishing that non-traded REITs and similar illiquid products are generally unsuitable for investors with short time horizons, limited financial resources, conservative risk profiles, or near-term liquidity needs.

5. **FINRA Rule 2264 (Margin Disclosure Statement) and FINRA Rule 4210 (Margin Requirements):** While margin is permitted, recommending margin borrowing to elderly, conservative retirees who explicitly stated they could not afford to lose principal violates suitability standards. The use of margin amplifies risk and contradicts every element of the customers' stated profile.

6. **FINRA Rule 2010 (Standards of Commercial Honor and Principles of Just and Equitable Trade):**

**Analysis:**

- **Customer-Specific Suitability -- Catastrophic Failure:** The Satos are retired, in their late 60s/early 70s, with conservative risk tolerance, a 5-7 year time horizon, income/preservation objectives, and an explicit notation that they cannot afford to lose principal and may need liquidity for healthcare. Placing 53.7% of their assets into illiquid or semi-illiquid products with lock-up periods of 5-10+ years, high fees, and significant risk of capital loss is fundamentally irreconcilable with this profile.

- **Illiquidity Concentration:** FINRA guidance and industry practice generally recommend that illiquid alternative investments constitute no more than 10-20% of a retail investor's portfolio, and even that range may be excessive for conservative retirees with identified liquidity needs. At 53.7%, the concentration is grossly excessive.

- **Margin Use for Illiquid Investments:** Using margin borrowing to fund a speculative oil-and-gas limited partnership for conservative retirees who stated they cannot afford principal loss is independently violative. Marcus's assurance that it was a 'short-term bridge' that was never unwound compounds the problem and raises concerns about misrepresentation under FINRA Rule 2020.

- **Excessive and Undisclosed Costs:** Upfront commissions of \$15,400 (5.75%-8.5%) plus ongoing annual fees averaging 2.8% represent a significant drag on returns and a substantial conflict of interest. Under Reg BI's Conflict of Interest Obligation, the advisor and firm must identify and disclose these compensation incentives and establish policies to mitigate them. The high commission structure strongly suggests the recommendation was compensation-driven.

- **Reasonable-Basis Suitability Failure:** Even for a younger, wealthier, more aggressive investor, concentrating over half a portfolio in four distinct illiquid products spanning commercial real estate, subordinated corporate lending, oil-and-gas exploration, and private credit raises diversification and due diligence concerns.

- **Reg BI Care Obligation -- Failure to Consider Alternatives:** A diversified portfolio of investment-grade bonds, dividend-paying equity funds, and a modest allocation to liquid alternative strategies could have met the Satos' income needs at dramatically lower cost and risk, while maintaining full liquidity. Marcus apparently considered no such alternatives.

**\*\*Likely Regulatory Outcome:\*\*** This case presents multiple, overlapping violations that would likely result in significant FINRA disciplinary action against Marcus Redmond, including substantial fines, disgorgement of all commissions earned, a lengthy suspension or permanent bar from the securities industry, and an order of restitution. Cornerstone Securities faces supervisory failure charges under FINRA Rules 3110 and 3120 for failing to detect and prevent the pattern of illiquid product sales to unsuitable customers and the margin usage. State securities regulators may also pursue action. In FINRA arbitration, the Satos would likely recover compensatory damages including all commissions paid, the margin interest charges, the decline in value of the illiquid holdings relative to a suitable benchmark portfolio, and potentially consequential damages related to the inability to fund Karen's healthcare needs. Punitive damages may also be available depending on the forum.

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## Item 49 of 499

## COMPLIANT

**Topic:** leveraged\_etf\_unsuitable

**Difficulty:** medium

## Fact Pattern

Nathan Park, age 34, is a software engineer at a technology company in Austin, Texas, earning \$195,000 per year. He has \$520,000 in investable assets: \$180,000 in his employer's 401(k), \$90,000 in a Roth IRA, and \$250,000 in a taxable brokerage account at Meridian Financial. Nathan has been actively trading stocks and options for eight years and holds a Series 7 license from a previous career stint at a brokerage firm before transitioning to tech. On his account documentation at Meridian, he listed his risk tolerance as 'aggressive,' his investment objective as 'growth/speculation,' and his time horizon as 20+ years. Under investment experience, he noted 'extensive' experience with equities, options, leveraged and inverse ETFs, and futures. His advisor, Christine Lam, discussed Nathan's interest in using leveraged ETFs as a short-term tactical tool within his taxable brokerage account. Christine provided Nathan with detailed written materials explaining that leveraged ETFs (such as 2x and 3x products) are designed to deliver a multiple of the daily return of a benchmark index and are subject to daily compounding effects that can cause significant performance deviation from the underlying index over holding periods longer than one day--a phenomenon known as volatility decay. She also provided a side-by-side cost comparison showing the expense ratios of leveraged ETFs (typically 0.75%-1.05%) versus standard index ETFs (0.03%-0.10%). After their discussion, Nathan directed Christine to allocate \$50,000--approximately 9.6% of his total investable assets and 20% of his taxable account--to a 3x leveraged S&P 500 ETF. Christine documented in her notes that Nathan understood the daily reset mechanism, the compounding risk over multi-day holding periods, and that the position could lose a substantial portion of its value in a short period. She also noted that Nathan planned to hold the position for no more than 2-4 weeks at a time and would actively monitor it. Nathan's remaining \$200,000 in the taxable account was invested in a diversified mix of individual stocks, broad-market ETFs, and short-term Treasury bills. Over the following six months, Nathan made four round-trip trades in the leveraged ETF, with gains on three and a loss on one, netting a cumulative profit of approximately \$7,200 after costs.

## Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

## Answer

No, Christine Lam did not violate applicable suitability or best interest standards. This recommendation was appropriate given the customer's profile and the manner in which it was handled.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** The recommendation must be suitable at the reasonable-basis, customer-specific, and quantitative levels.
2. **\*\*Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:\*\*** The Care Obligation requires reasonable diligence, care, and skill, and a reasonable basis to believe the recommendation is in the customer's best interest. The Disclosure Obligation requires full and fair disclosure of material risks, costs, and conflicts.
3. **\*\*FINRA Regulatory Notice 09-31 (Non-Traditional ETFs):\*\*** FINRA has specifically cautioned that leveraged and inverse ETFs are complex products that may be unsuitable for retail investors who plan to hold them for longer than

one trading session. However, FINRA has not prohibited their recommendation--rather, it requires heightened due diligence and suitability analysis.

**\*\*Analysis -- Why This Is Compliant:\*\***

- **\*\*Customer Profile Supports the Recommendation:\*\*** Nathan is 34, earns \$195,000, has \$520,000 in investable assets, an aggressive risk tolerance, a growth/speculation objective, a 20+ year time horizon, and--critically--extensive, documented experience with leveraged ETFs, options, and futures. He previously held a Series 7 license, giving him a professional-level understanding of these products. This is precisely the type of investor for whom leveraged ETFs may be appropriate.

- **\*\*Appropriate Position Sizing:\*\*** The \$50,000 allocation represents approximately 9.6% of Nathan's total investable assets and 20% of his taxable account. This is not a concentrated or outsized position relative to his overall portfolio, and his remaining assets are well-diversified. Even a total loss of the leveraged ETF position would not materially impair his financial security.

- **\*\*Adequate Disclosure and Documentation:\*\*** Christine provided detailed written materials explaining the daily reset mechanism, volatility decay, multi-day compounding risk, and cost differentials. She documented Nathan's understanding of these risks and his intended short-term holding strategy. This satisfies both the Reg BI Disclosure Obligation and the heightened suitability documentation expectations for complex products.

- **\*\*Short-Term Tactical Use Consistent with Product Design:\*\*** Nathan used the leveraged ETF as a short-term tactical tool with a 2-4 week holding period, actively monitored the position, and executed disciplined round-trip trades. This is consistent with the intended use of leveraged ETFs and mitigates the compounding decay risk that makes them unsuitable for buy-and-hold investors.

- **\*\*Care Obligation Satisfied:\*\*** Christine exercised reasonable diligence by reviewing Nathan's full investment profile, discussing alternatives and risks, providing written disclosures, and documenting the rationale. She considered the recommendation in the context of his overall portfolio and financial situation.

**\*\*Likely Regulatory Outcome:\*\*** No violation. If this recommendation were reviewed by FINRA or the SEC, the documentation, customer profile, position sizing, and disclosures would all support a finding that the recommendation was suitable and in the customer's best interest. This scenario exemplifies how leveraged ETFs can be appropriately recommended to sophisticated, experienced investors with aggressive risk profiles when proper due diligence and disclosure are conducted.

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**Item 50 of 499****NON-COMPLIANT****Topic:** market\_timing\_unsuitable**Difficulty:** medium**Fact Pattern**

Helen Kowalski, age 62, is a recently retired postal worker in Cleveland, Ohio, with a modest but stable financial situation. She receives \$2,100 per month from her federal pension and has \$310,000 in a rollover IRA at Patriot Brokerage, representing her entire TSP (Thrift Savings Plan) balance transferred upon retirement. She also has \$28,000 in a savings account. On her account forms completed in September 2023, she indicated 'moderate-conservative' risk tolerance, an investment objective of 'income and long-term growth,' a time horizon of 10-15 years, limited investment experience (she had only ever held lifecycle funds in her TSP), and annual income of \$25,200. Her advisor, Brian Costello, initially placed her IRA into a suitable allocation of four mutual funds: a large-cap value fund, an intermediate-term bond fund, a balanced fund, and a short-term government bond fund. However, beginning in November 2023, Brian began executing frequent exchanges between these and other mutual fund families within Helen's IRA. Between November 2023 and August 2024--a span of 10 months--Brian executed 47 mutual fund exchanges in Helen's account, with an average holding period of approximately 6.4 days per position. Many of the exchanges were between equity funds and money market funds, timed around economic data releases, Federal Reserve meeting dates, and earnings seasons. The mutual funds carried front-end sales charges averaging 4.25% on each purchase, though some exchanges within the same fund family were made at net asset value. In total, Helen paid approximately \$19,800 in front-end sales loads over the 10-month period. The account also incurred \$3,200 in short-term redemption fees imposed by the fund companies for holding periods under 30 days. Despite all this activity, Helen's IRA grew by only \$4,100 during the same period, while a static moderate-conservative benchmark allocation would have returned approximately \$28,500, or 9.2%. After accounting for the \$23,000 in total transaction-related costs, Helen's net return was effectively negative. Brian earned approximately \$11,880 in sales concessions from the front-end loads during this period. Helen was unaware of the volume of trading; she believed Brian was 'keeping an eye on things' and trusted him to manage the account prudently. She did not authorize the individual trades and only saw quarterly statements that she did not fully understand.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Brian Costello committed serious violations of suitability, best interest, and potentially anti-fraud provisions.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability) -- Quantitative Suitability:\*\*** The quantitative suitability obligation under Rule 2111.05(c) applies when a broker has actual or de facto control over a customer's account. It prohibits excessive trading activity that, viewed in the aggregate, is inconsistent with the customer's investment profile. Key metrics include the turnover rate, cost-to-equity ratio, and the ratio of costs to gains.
2. **\*\*Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:\*\*** The Care Obligation requires that the broker have a reasonable basis to believe that a series of recommended transactions, taken together, is in the customer's best interest and is not excessive. This explicitly addresses patterns of frequent trading. The Disclosure and Conflict of

Interest Obligations require disclosure of the costs generated and the compensation conflicts inherent in commission-based frequent trading.

3. **FINRA Rule 2010 (Standards of Commercial Honor):** The pattern of trading for the purpose of generating commissions is inconsistent with just and equitable principles of trade.

4. **FINRA Rules 3110 and 3120 (Supervision):** The firm, Patriot Brokerage, had an obligation to surveil for and detect excessive trading patterns.

5. **Section 10(b) of the Securities Exchange Act of 1934 and Rule 10b-5:** If Brian's primary purpose was to generate commissions (churning), this constitutes a scheme to defraud.

**Analysis:**

- **De Facto Control:** Although Helen's account was not formally discretionary, Brian exercised de facto control. Helen had limited investment knowledge, did not authorize individual trades, did not understand her statements, and relied entirely on Brian's judgment. De facto control is established when the customer routinely follows the advisor's recommendations without independent evaluation.

- **Quantitative Suitability -- Excessive Trading:** 47 exchanges in 10 months with an average holding period of 6.4 days is extraordinarily excessive for any retail investor, let alone a 62-year-old moderate-conservative retiree with limited experience. The annualized turnover rate in this account would be extremely high. The cost-to-equity ratio--total costs of \$23,000 against an account value of \$310,000 (approximately 7.4% in 10 months, or roughly 8.9% annualized)--far exceeds the thresholds FINRA and courts have traditionally used to establish excessive trading (typically 3%-5% annualized cost-to-equity ratios raise red flags).

- **Reg BI Care Obligation -- Series of Transactions:** Reg BI explicitly requires that when a broker recommends a series of transactions, they must be evaluated in the aggregate. The series of 47 exchanges, taken together, generated \$23,000 in costs while producing only \$4,100 in gross gains--meaning the trading strategy destroyed approximately \$18,900 in value compared to a static allocation. This cannot be considered in Helen's best interest.

- **Unsuitable Strategy for Customer Profile:** Market timing through frequent mutual fund exchanges is inherently aggressive, speculative, and cost-intensive. It is fundamentally incompatible with Helen's moderate-conservative profile, income/growth objectives, limited experience, and reliance on this account as her primary retirement asset.

- **Compensation Conflict:** Brian earned approximately \$11,880 in sales concessions, creating a powerful financial incentive to trade frequently. Under Reg BI's Conflict of Interest Obligation, this conflict should have been disclosed and mitigated. Instead, it appears to have been the primary driver of the trading activity.

- **Churning (Potential Fraud):** The combination of (a) de facto control, (b) excessive trading activity, and (c) intent to generate commissions satisfies the three elements of churning under the anti-fraud provisions. The pattern of timing trades around economic events while generating consistent losses net of costs is strong circumstantial evidence of scienter.

**Likely Regulatory Outcome:** This case presents classic churning facts. Brian Costello would likely face FINRA disciplinary action including a substantial fine, disgorgement of all commissions earned (\$11,880+), a bar from the securities industry, and restitution. FINRA could also refer the matter to the SEC for potential civil fraud charges. Patriot Brokerage faces supervisory failure charges for not detecting 47 mutual fund exchanges in 10 months in a moderate-conservative retiree's account--a pattern that any reasonable exception reporting system should have flagged. In FINRA arbitration, Helen would likely recover compensatory damages measured as the difference between

her actual portfolio performance and what a suitable static allocation would have produced (approximately \$24,400), plus the excessive transaction costs, plus potentially punitive damages given the egregious nature of the conduct.

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**Item 51 of 499****NON-COMPLIANT****Topic:** excessive\_load\_funds**Difficulty:** medium**Fact Pattern**

Margaret Dawson, age 72, is a retired schoolteacher in Tulsa, Oklahoma, living on a fixed income of \$2,800 per month from Social Security and a small pension. She has \$185,000 in a rollover IRA, which constitutes virtually all of her liquid savings. In January 2023, Margaret met with her financial advisor, Craig Ellison, after her husband passed away and she received a \$185,000 life insurance payout that she rolled into the IRA. Margaret told Craig during their initial meeting -- documented in his own notes -- that she needed to keep the money accessible because she anticipated significant medical expenses within the next 12 to 18 months related to a pending hip replacement surgery and ongoing cardiac care. She described herself as conservative and said she could not afford to lose principal. Craig recommended that Margaret invest \$140,000 of her IRA into three non-traded real estate investment trusts, each carrying front-end sales loads of 7%. The total upfront commissions paid were approximately \$9,800. Craig earned \$7,350 in personal compensation from these sales. The non-traded REITs carried minimum holding periods of five to seven years and had no active secondary market, meaning Margaret could not readily liquidate her shares. Craig did not discuss lower-cost alternatives such as publicly traded REIT ETFs, money market funds, or short-term Treasury instruments. By August 2023, Margaret needed \$45,000 for her hip replacement co-pay and related rehabilitation costs. She contacted Craig to liquidate a portion of her REIT holdings and was told that early redemption was not available for at least another four years. Margaret was forced to take a hardship distribution from the small remaining liquid portion of her IRA and borrow money from her sister to cover her medical bills.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Craig Ellison violated applicable standards on multiple grounds.

**\*\*Regulation Best Interest (Reg BI) Analysis:\*\***

Under Reg BI's Care Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making recommendations. This includes understanding the potential risks, rewards, and costs of a recommendation, and having a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made, considering the customer's investment profile. Margaret's profile -- a 72-year-old retiree on fixed income with an explicitly stated need for liquidity within 12-18 months and a conservative risk tolerance -- is fundamentally incompatible with non-traded REITs that carry 5-7 year lock-up periods and 7% front-end loads. The recommendation failed the customer-specific component of the Care Obligation because it ignored her stated time horizon and liquidity needs. The Cost component of the Care Obligation is also implicated: Craig did not consider reasonably available lower-cost alternatives (e.g., publicly traded REIT ETFs with expense ratios under 0.50% and daily liquidity, or short-term Treasuries) that would have met her objectives without sacrificing access to her capital.

**\*\*FINRA Suitability Rule (Rule 2111) Analysis:\*\***

Even under the traditional suitability framework, this recommendation fails all three components. Reasonable-basis suitability is questionable because recommending illiquid products to someone who expressly needs near-term liquidity shows a lack of diligence. Customer-specific suitability is clearly violated: the products' illiquidity and risk profile directly

contradict Margaret's stated conservative objectives, short time horizon, and limited financial resources. Quantitative suitability is less directly at issue here, but the concentration of approximately 76% of her liquid net worth in a single illiquid asset class raises additional red flags.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\***

Placing a client's funds in products that directly conflict with her documented needs, while generating \$7,350 in personal compensation, suggests the advisor prioritized his own compensation over the customer's welfare, potentially constituting conduct inconsistent with just and equitable principles of trade.

**\*\*Likely Regulatory Outcome:\*\***

This case would likely result in a finding of violation in a FINRA arbitration or enforcement action. Typical sanctions could include disgorgement of commissions, restitution to the customer for losses including the front-end load charges and any consequential damages, a fine, and a suspension or bar depending on Craig's disciplinary history and whether a pattern exists. Margaret would likely recover her \$9,800 in sales charges plus additional compensatory damages in an arbitration proceeding.

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## Item 52 of 499

## NON-COMPLIANT

**Topic:** excessive\_churning

**Difficulty:** hard

## Fact Pattern

David Nakamura, age 58, is a semi-retired software engineer in San Jose, California, with a net worth of approximately \$2.1 million, including \$750,000 in a brokerage account managed by his financial advisor, Teresa Ruiz, at a mid-sized broker-dealer. David told Teresa when he opened the account in March 2021 that his objective was long-term growth with moderate risk, targeting retirement at age 65. He stated he did not want to actively trade and preferred a 'set it and forget it' approach. David granted Teresa discretionary authority over the account. Between March 2021 and September 2023 -- a period of 30 months -- Teresa executed 347 trades in David's account. The account had an annualized turnover rate of 8.2 and a cost-to-equity ratio of 18.4%. Total commissions and transaction costs over this period were \$138,000. Despite the S&P 500 returning approximately 12% over the same period, David's account lost \$47,000 in net value after costs. The trading pattern showed frequent round-trip transactions in technology and biotech stocks, with many positions held for fewer than 10 trading days. On several occasions, Teresa sold a position at a loss and repurchased substantially similar securities within days. David reviewed his statements quarterly but did not understand the volume of trading because the statements were dense and the commission charges were embedded in trade confirmations he rarely opened. When David finally had an independent advisor review his account in October 2023, the independent advisor flagged the excessive activity and David filed a complaint.

## Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

## Answer

Yes, Teresa Ruiz committed classic excessive trading (churning), violating multiple regulatory standards.

**\*\*Churning Analysis -- Quantitative Indicators:\*\***

The two primary quantitative metrics used to identify churning are the turnover rate and the cost-to-equity ratio. A turnover rate above 6 is generally presumed excessive by FINRA and the courts; David's account had a turnover rate of 8.2. A cost-to-equity ratio above 20% is strong evidence of excessive trading, and even ratios in the range of 8-12% have supported churning findings; David's ratio of 18.4% is well into the zone that evidences churning. Both metrics independently support a finding of excessive trading.

**\*\*Reg BI -- Care Obligation:\*\***

Under Regulation Best Interest, the Care Obligation requires that recommendations (and here, discretionary trades) be in the customer's best interest. A pattern of 347 trades over 30 months in an account whose owner expressly wanted passive, long-term growth is fundamentally inconsistent with his stated investment objectives. The excessive costs consumed the account's returns and resulted in a net loss during a period when a simple index strategy would have generated significant gains. This fails the quantitative suitability component incorporated into Reg BI, which addresses whether the total costs of trading are excessive in light of the customer's profile.

**\*\*FINRA Rule 2111 -- Quantitative Suitability:\*\***

FINRA Rule 2111.05(c) specifically addresses quantitative suitability. When an advisor has actual or de facto control over trading -- and Teresa had explicit discretionary authority -- the advisor must ensure that the series of



recommended transactions, taken together, is not excessive and unsuitable for the customer. The turnover rate, cost-to-equity ratio, and holding periods all demonstrate a pattern of trading designed to generate commissions rather than serve the client's stated objectives.

**\*\*FINRA Rule 2010:\*\***

Churning is considered a violation of just and equitable principles of trade under Rule 2010 and can also constitute fraud under the antifraud provisions of the securities laws (Section 10(b) and Rule 10b-5) when scienter is present -- here, the systematic nature of the trading and Teresa's discretionary control strongly suggests intentional conduct.

**\*\*Control Element:\*\***

Teresa had explicit discretionary authority, satisfying the control element required for a churning claim. Even without formal discretion, the facts that David trusted Teresa, did not understand the trading activity, and took a hands-off approach would likely establish de facto control.

**\*\*Likely Regulatory Outcome:\*\***

This is a strong churning case. Teresa would likely face FINRA enforcement action resulting in disgorgement of commissions, restitution to David of approximately \$138,000 in excess costs plus the \$47,000 in account losses (potentially offset by market movements), substantial fines, and a lengthy suspension or industry bar. David would likely prevail in FINRA arbitration and recover compensatory damages. The broker-dealer may face supervisory failure charges under FINRA Rule 3110 if it failed to flag the excessive turnover and cost ratios through its surveillance systems.

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## Item 53 of 499

## NON-COMPLIANT

**Topic:** speculative\_for\_conservative\_investor

**Difficulty:** easy

## Fact Pattern

Helen Kowalski, age 81, is a widow living in a retirement community in Sarasota, Florida. She has annual income of \$36,000 from Social Security and a small annuity, and her total liquid savings are \$120,000 in a brokerage account -- her only financial cushion beyond her monthly income. Helen's new account form, completed in June 2022, lists her risk tolerance as 'conservative,' her investment objective as 'capital preservation and income,' and her time horizon as 'short-term (1-3 years).' She told her advisor, Marcus Webb, that she needed the money to cover potential assisted living costs if her health declined. In July 2022, Marcus recommended that Helen invest \$95,000 -- nearly 80% of her liquid assets -- into a portfolio of leveraged exchange-traded funds focused on emerging market equities and small-cap biotechnology stocks. These products use 2x and 3x leverage and are designed for short-term tactical trading by sophisticated investors; their prospectuses explicitly state they are not intended to be held for more than one trading day. Marcus told Helen these funds 'had great upside potential' and would 'grow her nest egg quickly.' By December 2022, the portfolio had declined by 41%, losing approximately \$38,950. Helen was left with approximately \$81,050 in total liquid savings. Marcus earned \$2,850 in commissions on the transactions.

## Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

## Answer

Yes, Marcus Webb clearly violated applicable standards. This is a straightforward case of recommending speculative, high-risk products to a conservative, elderly investor.

**\*\*Reg BI -- Care Obligation:\*\***

Under Regulation Best Interest, Marcus was required to exercise reasonable diligence, care, and skill in making his recommendation. An 81-year-old widow with \$120,000 in total liquid assets, a conservative risk tolerance, a capital preservation objective, and a need for the funds to cover potential assisted living costs is the prototypical conservative investor. Leveraged ETFs -- products explicitly designed for single-day holding periods by sophisticated traders -- are categorically inappropriate for this profile. The recommendation fails every element of the customer-specific analysis: it ignores her age, risk tolerance, investment objective, time horizon, liquidity needs, and financial situation.

**\*\*FINRA Rule 2111 -- Customer-Specific Suitability:\*\***

The customer-specific obligation under Rule 2111 requires that a recommended transaction be suitable for the particular customer based on that customer's investment profile. Helen's profile is entirely inconsistent with leveraged emerging market and biotech ETFs. FINRA has issued specific guidance (Regulatory Notice 09-31 and 09-65) warning that leveraged and inverse ETFs are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily rebalancing and volatility decay.

**\*\*Reasonable-Basis Suitability:\*\***

Marcus also likely fails reasonable-basis suitability. Any advisor exercising reasonable diligence would understand that 2x and 3x leveraged ETFs carry extreme volatility risk and are unsuitable as core holdings for any investor, let alone a conservative 81-year-old.

**\*\*Concentration Risk:\*\***

Placing approximately 80% of Helen's total liquid net worth in speculative leveraged products creates dangerous concentration, leaving her with virtually no diversification or safety net.

**\*\*Likely Regulatory Outcome:\*\***

This would be viewed as a clear violation in any enforcement or arbitration proceeding. Marcus would likely face restitution of Helen's losses (approximately \$38,950), disgorgement of commissions (\$2,850), fines, and a suspension. Given the egregiousness -- recommending leveraged ETFs to an 81-year-old conservative investor -- a bar from the industry is possible, particularly if this is part of a pattern. Helen would very likely prevail in FINRA arbitration.

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**Item 54 of 499****COMPLIANT****Topic:** illiquid\_real\_estate\_investment**Difficulty:** medium**Fact Pattern**

Robert Stein, age 47, is a practicing orthopedic surgeon in Charlotte, North Carolina, earning approximately \$620,000 per year. He has a net worth of \$4.8 million, including \$1.9 million in retirement accounts, a \$1.2 million home (with \$400,000 remaining on the mortgage), \$950,000 in taxable brokerage accounts diversified across equities and bonds, and \$310,000 in cash and money market funds. Robert has been investing for over 20 years and holds a moderate-to-aggressive risk tolerance. His investment objectives are long-term growth and income diversification. He told his advisor, Linda Chao, that he was interested in adding real estate exposure to his portfolio and was comfortable with a 7-10 year time horizon for a portion of his investments. After a detailed discussion and review of Robert's complete financial picture, Linda recommended that he invest \$100,000 -- approximately 2.1% of his net worth -- into a non-traded REIT focused on institutional-quality commercial properties. The REIT carried a front-end load of 5.75%, a minimum holding period of five years, and limited quarterly redemption opportunities thereafter. Linda provided Robert with the prospectus, a detailed summary of risks including illiquidity, and a comparison with publicly traded REIT alternatives. She documented in her notes that Robert understood the illiquidity, the fee structure, and the long holding period, and that he preferred the non-traded REIT's lower volatility profile compared to publicly traded REITs. Robert signed an acknowledgment confirming his understanding of the product's features and risks. The investment represented a small allocation within a well-diversified portfolio, and Robert maintained ample liquidity in his other accounts to meet any foreseeable financial needs.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Linda Chao appears to have acted in compliance with applicable standards.

**\*\*Reg BI -- Care Obligation:\*\***

Under Regulation Best Interest, the Care Obligation requires that the advisor exercise reasonable diligence, care, and skill, and have a reasonable basis to believe the recommendation is in the customer's best interest. Here, Linda conducted a thorough review of Robert's financial situation, including his income, net worth, liquidity, time horizon, risk tolerance, and investment objectives. Robert is a high-income, high-net-worth investor with a long time horizon (7-10 years), moderate-to-aggressive risk tolerance, and an expressed interest in real estate diversification. The \$100,000 investment represents only 2.1% of his net worth and does not create dangerous concentration or threaten his liquidity.

**\*\*Cost Consideration:\*\***

While the 5.75% front-end load is significant, Linda addressed this by presenting alternatives (publicly traded REIT ETFs) and documenting that Robert understood the cost structure and made an informed choice based on his preference for the non-traded REIT's lower day-to-day price volatility. Under Reg BI, the advisor must consider cost but is not required to recommend the lowest-cost option if there is a reasonable basis for the recommendation.

**\*\*FINRA Rule 2111 -- All Three Suitability Obligations:\*\***

Reasonable-basis suitability is satisfied because non-traded REITs are legitimate investment products suitable for

certain investors; Linda understood the product's characteristics. Customer-specific suitability is met because Robert's profile -- high income, substantial net worth, long time horizon, moderate-to-aggressive risk tolerance, interest in real estate, and ample remaining liquidity -- is consistent with a small allocation to an illiquid real estate product. Quantitative suitability is not at issue since this is a single, modest allocation.

**\*\*Documentation:\*\***

Linda's thorough documentation -- including notes of the discussion, risk disclosures, product comparisons, and Robert's signed acknowledgment -- demonstrates the care and diligence expected under both Reg BI and FINRA suitability standards.

**\*\*Likely Regulatory Outcome:\*\***

No violation would be found. This represents a well-considered, well-documented recommendation of an illiquid product to a sophisticated, high-net-worth investor for whom it constitutes a small, diversifying allocation within an otherwise liquid and well-diversified portfolio.

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## Item 55 of 499

### NON-COMPLIANT

**Topic:** mutual\_fund\_switching\_churning

**Difficulty:** medium

### Fact Pattern

Patricia Gomez, age 63, is a recently retired city government employee in Albuquerque, New Mexico, with annual pension income of \$48,000 and \$340,000 in an IRA rollover from her 401(k). She has a moderate risk tolerance and an investment objective of growth and income to supplement her pension through retirement. Her advisor, Steven Hartley, initially invested her IRA in a diversified portfolio of Class A mutual funds in February 2022, with a front-end sales charge of 5.25% across four funds -- a large-cap equity fund, a balanced fund, an intermediate bond fund, and an international equity fund. Patricia paid approximately \$17,850 in upfront sales charges. In August 2022, Steven called Patricia and recommended she switch entirely out of the four funds into four 'better performing' Class A funds with similar investment strategies from a different fund family, again incurring 5.25% front-end loads. The total sales charges on the second round were approximately \$16,950 (based on the now-reduced account value). In March 2023, Steven recommended a third complete switch into yet another set of Class A funds from a third fund family, generating an additional \$15,800 in front-end loads. Over 13 months, Patricia paid approximately \$50,600 in cumulative sales charges -- nearly 15% of her original investment -- across three rounds of switches. The underlying fund strategies in each round were substantially similar: each portfolio consisted of a large-cap equity fund, a balanced fund, a bond fund, and an international fund with comparable investment objectives, benchmarks, and historical performance. Steven earned approximately \$37,950 in personal commissions across the three transactions. Patricia's account value, which started at \$340,000, stood at approximately \$296,000 by April 2023 -- a decline driven almost entirely by the accumulated sales charges rather than market performance. Steven did not document any material reason why the replacement funds were superior to the ones being sold, nor did he discuss the cumulative cost impact of the switches with Patricia.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Steven Hartley engaged in mutual fund switching that constitutes a clear violation of applicable standards.

**\*\*Mutual Fund Switching -- FINRA Rule 2111 and Regulatory Notice 07-06:\*\***

FINRA has long identified mutual fund switching -- the practice of recommending that customers sell shares of one mutual fund to purchase shares of another mutual fund without a legitimate investment rationale -- as a potential suitability violation, particularly when the switches generate new sales charges. FINRA Regulatory Notice 07-06 specifically addresses mutual fund switching abuses. Here, Steven recommended three complete portfolio overhauls in 13 months, each time moving to substantially similar funds with comparable strategies, benchmarks, and performance -- generating \$50,600 in total sales charges (approximately 15% of Patricia's original investment). Without a documented, substantive basis for why the replacement funds were materially superior, these switches served no legitimate investment purpose.

**\*\*Reg BI -- Care Obligation:\*\***

Under Regulation Best Interest, the Care Obligation requires that an advisor have a reasonable basis to believe that a series of recommended transactions, taken together, is in the customer's best interest and not excessive. The cumulative cost of \$50,600 in sales charges over 13 months -- for a 63-year-old retiree with moderate risk tolerance

investing \$340,000 for growth and income -- is excessive by any measure. The advisor failed to consider the cost impact of the switches and did not have a reasonable basis to believe that paying 5.25% in new loads each time, to move into substantially identical fund strategies, would benefit Patricia.

**\*\*Quantitative Suitability:\*\***

Under FINRA Rule 2111's quantitative suitability component, when an advisor recommends a series of transactions, those transactions taken together must not be excessive and must be suitable. Three complete portfolio switches in 13 months, incurring cumulative costs equal to 15% of the original investment, is excessive on its face -- particularly when the switches did not materially change the portfolio's risk/return characteristics.

**\*\*FINRA Rule 2010:\*\***

Steven's conduct -- generating nearly \$38,000 in personal commissions through switches that provided no discernible benefit to Patricia -- is inconsistent with just and equitable principles of trade.

**\*\*Reg BI -- Disclosure Obligation:\*\***

Steven failed to disclose the cumulative cost impact of the successive switches to Patricia, depriving her of material information needed to make an informed decision.

**\*\*Likely Regulatory Outcome:\*\***

This case presents strong evidence of mutual fund switching abuse. Steven would likely face FINRA enforcement action resulting in full restitution of the excess sales charges (approximately \$50,600), disgorgement of commissions, substantial fines, and a suspension or bar. His broker-dealer could face supervisory failure charges under FINRA Rule 3110 for failing to detect three complete mutual fund portfolio liquidations and repurchases in 13 months through its surveillance and exception reporting systems. Patricia would very likely prevail in FINRA arbitration and recover her sales charges and consequential damages.

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**Item 56 of 499****NON-COMPLIANT****Topic:** illiquid\_real\_estate\_investment**Difficulty:** medium**Fact Pattern**

Margaret Olsen, age 74, is a retired schoolteacher living in Tucson, Arizona, with an annual pension income of \$38,000 and Social Security payments of \$22,000. Her total liquid net worth is approximately \$310,000, held in a brokerage account that she relies upon to supplement her retirement income and cover medical expenses. She has a history of moderate health issues, including a recent hip replacement, and disclosed to her advisor that she may need to access her savings for potential assisted-living costs within the next two to three years. Her account documents list her risk tolerance as conservative, her investment objective as income with capital preservation, her time horizon as short-term, and her liquidity needs as high. In February 2023, her financial advisor, Dennis Warrick, recommended she invest \$185,000 -- roughly 60% of her liquid assets -- into a non-traded real estate investment trust focused on commercial office properties. The REIT carried an up-front commission of 7%, meaning approximately \$12,950 was deducted immediately from Margaret's investment. The offering documents disclosed a minimum expected holding period of seven to ten years, no established secondary market, and limited redemption opportunities restricted to quarterly windows with a cap of 5% of outstanding shares per quarter. Dennis told Margaret the REIT paid a projected annual distribution of 6.5%, which would be 'better than any CD or bond she could find.' He did not discuss the illiquidity risk in detail and did not document any consideration of alternative income-producing investments such as Treasury bonds, municipal bond funds, or short-duration fixed-income ETFs. Within eight months, the REIT suspended its quarterly redemption program due to a surge in redemption requests industrywide, effectively locking Margaret's funds indefinitely. By late 2023, Margaret needed \$40,000 for a deposit at an assisted-living community and was unable to access her REIT investment. She was forced to liquidate other positions at a loss to cover the expense.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Dennis Warrick violated applicable suitability and best interest standards. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for the customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance. Margaret's profile -- a 74-year-old retiree with conservative risk tolerance, short-term time horizon, high liquidity needs, limited income, and anticipated near-term medical and assisted-living expenses -- is fundamentally incompatible with a non-traded REIT carrying a seven-to-ten-year holding period, no secondary market, and restricted redemption windows. Under Regulation Best Interest (Reg BI), the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, including evaluating reasonably available alternatives. Dennis failed to consider or present lower-cost, liquid income-producing alternatives such as Treasury securities, investment-grade bond funds, or short-duration fixed-income ETFs. The Disclosure Obligation under Reg BI also required full and fair disclosure of all material facts, including the illiquidity risks and the practical implications of the suspension of redemption programs. The concentration of approximately 60% of Margaret's liquid net worth in a single illiquid product further violates customer-specific suitability under FINRA Rule 2111.05, which requires analysis of whether the overall concentration is suitable. The 7% up-front commission creates an additional concern under Reg BI's Conflict of Interest Obligation, as the high compensation may have incentivized the recommendation without adequate mitigation. Likely regulatory outcomes include FINRA enforcement action, potential disgorgement of



commissions, restitution to the customer, a fine, and a suspension or bar for the advisor. Margaret would also have strong grounds for a FINRA arbitration claim seeking compensatory damages.

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**Item 57 of 499****NON-COMPLIANT****Topic:** crypto\_assets\_unsuitable**Difficulty:** easy**Fact Pattern**

Harold Jennings, age 81, is a widower in Boca Raton, Florida, living on a fixed income consisting of \$26,400 per year from Social Security and a small annuity paying \$800 per month. His total investable assets are approximately \$145,000, held in a single brokerage account. Harold has no other savings or sources of income. His new client application, completed in March 2023, lists his investment objective as capital preservation, his risk tolerance as low, his time horizon as short (one to three years), and his investment experience as limited -- he has only ever owned certificates of deposit and a balanced mutual fund. Harold's advisor, Tanya Melo, recommended that Harold invest \$50,000 into a cryptocurrency-focused exchange-traded product that tracks the price of Bitcoin and \$25,000 into a smaller fund tracking Ethereum. Tanya told Harold these were 'the next big thing' and that 'even conservative investors are getting into crypto now.' She did not explain the historical volatility of cryptocurrency prices, the possibility of losing a significant portion of principal, or the fact that Bitcoin had experienced drawdowns exceeding 70% in prior market cycles. No written rationale for the recommendation was documented. By December 2023, the combined crypto positions had declined approximately 35%, reducing Harold's \$75,000 investment to roughly \$48,750. Harold, distressed by the losses and unable to recover them on his fixed income, filed a complaint.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Tanya Melo clearly violated both suitability and best interest standards. Under FINRA Rule 2111, a recommendation must be suitable based on the customer's investment profile. Harold is an 81-year-old retiree with low risk tolerance, a capital preservation objective, a short time horizon, limited investment experience, and no ability to absorb significant losses given his fixed income of approximately \$36,000 annually. Cryptocurrency-linked products are among the most volatile asset classes available, with historical drawdowns regularly exceeding 50-70%. Allocating over 51% of his investable assets (\$75,000 of \$145,000) to such products is grossly unsuitable under the customer-specific suitability obligation. Under Regulation Best Interest's Care Obligation, the advisor must consider the customer's investment profile and evaluate whether the recommendation is in the customer's best interest. No reasonable analysis would support placing a majority of an elderly, risk-averse, income-dependent investor's assets into speculative crypto products. Tanya's failure to explain the volatility, historical drawdowns, and risk of principal loss also violates Reg BI's Disclosure Obligation. Her characterization of crypto as something 'even conservative investors are getting into' is misleading and potentially constitutes a violation of FINRA Rule 2210 (Communications with the Public), which prohibits exaggerated or misleading statements. The lack of any documented rationale further suggests non-compliance with Reg BI's recordkeeping requirements. Likely regulatory outcomes include FINRA sanctions, restitution to the customer, and a possible suspension or bar. Harold would have a strong FINRA arbitration claim for compensatory damages representing the decline in value plus any opportunity cost from being diverted from suitable conservative investments.

**Item 58 of 499****NON-COMPLIANT****Topic:** margin\_unsuitable**Difficulty:** hard**Fact Pattern**

Priya Anand, age 34, is a software engineer in Seattle earning \$135,000 per year. She has \$210,000 in a brokerage account, \$45,000 in a 401(k), and \$22,000 in a savings account. She has \$95,000 remaining on her mortgage and \$18,000 in student loan debt. Priya opened her brokerage account in January 2022 with her advisor, Kevin Stoll, and indicated on her new account form that her risk tolerance was moderate, her investment objective was long-term growth, and her investment experience was limited -- she had previously only held index funds through an employer retirement plan. In April 2023, Kevin proposed that Priya use margin borrowing to amplify her returns. He recommended she borrow \$150,000 on margin against her \$210,000 portfolio to purchase additional shares of three mid-cap technology stocks that he believed were undervalued. Kevin explained that margin would 'let her money work harder' and that the interest rate on margin was 'very reasonable at 8.5%.' He did not walk through a scenario analysis showing the impact of a market decline, did not explain in plain terms that she could lose more than her initial investment, and did not discuss the firm's right to issue margin calls and liquidate her positions without prior notice. He also did not discuss or document any consideration of whether a non-leveraged growth strategy -- such as a diversified growth ETF portfolio -- could achieve Priya's objectives without the amplified risk. Priya signed the margin agreement. By October 2023, following a tech sector correction, the value of Priya's holdings (including the margin-purchased shares) dropped from approximately \$360,000 to \$215,000. The firm issued a margin call requiring Priya to deposit \$52,000 within 48 hours. Unable to meet the call, Priya's positions were liquidated at depressed prices, and after repaying the margin loan plus accrued interest of approximately \$9,500, Priya was left with approximately \$58,000 -- a loss of over \$150,000 from her original \$210,000 in equity. Priya also owed capital gains taxes from earlier partial sales Kevin had made during the year, further compounding her financial harm.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Stoll violated applicable suitability and best interest standards in multiple respects. First, under FINRA Rule 2111 (Suitability), margin borrowing recommendations must be suitable for the customer's specific profile. Priya had moderate risk tolerance, limited investment experience (only index funds in a 401(k)), and a long-term growth objective -- none of which support a leveraged, concentrated strategy in three individual mid-cap tech stocks. Using margin effectively increased her market exposure to approximately 171% of her equity (\$360,000 on a \$210,000 base), which is aggressive even for experienced, high-risk-tolerance investors. Under Regulation Best Interest's Care Obligation, the advisor must exercise reasonable diligence, care, and skill, including understanding the risks and rewards of the recommendation and considering reasonably available alternatives. Kevin failed to conduct or present scenario analysis, failed to explain the mechanics of margin calls and forced liquidation, and did not document why a leveraged concentrated tech strategy was preferable to a diversified, unleveraged growth portfolio that could have met Priya's long-term growth objective with substantially less risk. The failure to explain material risks -- including the possibility of losing more than her initial investment and the firm's right to liquidate without notice -- also violates Reg BI's Disclosure Obligation. Under FINRA Rule 2264, firms must deliver a margin disclosure statement, but beyond the written document, the advisor has a duty to ensure the customer understands the specific risks in the context of their personal financial situation. The concentration in three mid-cap tech stocks on margin further violates the quantitative suitability

component, as the cost basis of borrowing at 8.5% required the stocks to generate returns exceeding that rate just to break even, creating an unreasonably high hurdle for a moderately risk-tolerant investor. Additionally, Kevin's Conflict of Interest is relevant: margin trading generates interest revenue for the firm and potentially higher commissions on the additional purchases, creating incentives that should have been disclosed and mitigated under Reg BI's Conflict of Interest Obligation. Likely regulatory outcomes include FINRA enforcement action with substantial fines, restitution, and possible suspension or bar for Kevin. Priya would have strong grounds for a FINRA arbitration claim seeking compensatory damages of approximately \$150,000 plus consequential damages including the tax liability.

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**Item 59 of 499****NON-COMPLIANT****Topic:** reverse\_churning**Difficulty:** medium**Fact Pattern**

Robert Tran, age 52, is an electrician in Charlotte, North Carolina, earning \$78,000 per year. He has \$240,000 in a fee-based advisory account managed by his financial advisor, Lisa Crowe. Robert's investment profile, documented at account opening in June 2021, lists his risk tolerance as conservative, his investment objective as capital preservation with modest income, and his time horizon as intermediate (five to ten years, with anticipated retirement at 65). Lisa charges a 1.25% annual advisory fee, which amounts to approximately \$3,000 per year. When Robert transferred his assets to Lisa's advisory account, she allocated 100% of the portfolio to a single balanced mutual fund -- a moderate allocation fund with a 60/40 equity-to-bond split and a net expense ratio of 0.55%. Over the following 28 months through October 2023, Lisa made zero changes to the portfolio. There were no rebalancing trades, no tax-loss harvesting, no adjustments for changing market conditions, and no modifications to reflect Robert's aging time horizon. Lisa held two annual review meetings with Robert, each lasting approximately 15 minutes, where she confirmed his situation had not changed and told him to 'stay the course.' She did not provide any financial planning services, retirement projections, or written investment policy statement updates. During this 28-month period, Robert paid approximately \$7,000 in advisory fees. Had Robert instead held the same balanced fund in a commission-based brokerage account, his total transaction costs would have been a single purchase commission of approximately \$0 to \$50 (as many balanced funds are available no-load or with minimal transaction fees on major platforms), saving him roughly \$6,950 over the same period. Lisa received a \$5,000 bonus from her firm in 2022 for meeting an internal target of converting 15 commission-based accounts to fee-based advisory accounts during the year.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Lisa Crowe violated applicable suitability and best interest standards through reverse churning. Reverse churning occurs when an advisor places a client in a fee-based advisory account and charges ongoing advisory fees while providing little to no active advisory services, making the fee-based account more costly than a commission-based alternative without corresponding benefit. Under Regulation Best Interest's Care Obligation, when recommending account types, a broker-dealer must consider reasonably available alternatives and ensure the recommendation is in the customer's best interest. Placing Robert in a 1.25% annual fee account and then making no trades, providing no financial planning, and conducting only perfunctory 15-minute annual reviews means Robert received virtually no services justifying the ongoing fee. The cost comparison is stark: approximately \$7,000 in advisory fees over 28 months versus near-zero costs in a commission-based account holding the same fund. Under FINRA Rule 2111's suitability framework, the recommendation of the account type itself must be suitable. FINRA has specifically noted that recommending a fee-based account is unsuitable when the level of trading activity or advisory services does not justify the ongoing fees. This is codified in FINRA's guidance on account-type suitability and reinforced under Reg BI's enhanced standard. The Conflict of Interest Obligation under Reg BI is also implicated: Lisa's \$5,000 bonus for converting commission accounts to fee-based accounts created a material financial incentive that likely influenced her recommendation, and there is no indication this conflict was disclosed to Robert or mitigated by the firm. Under the fiduciary standard applicable to investment advisers (if Lisa's firm operated in a dual-registered capacity), the ongoing fee relationship creates a continuous fiduciary duty to provide services commensurate with the fees charged and to act

in the client's best interest -- a duty Lisa failed to meet. Likely regulatory outcomes include FINRA enforcement, potential disgorgement of fees, restitution to Robert, and sanctions against both Lisa and her firm for inadequate supervisory systems regarding fee-based account reviews. Robert has a strong claim in FINRA arbitration for recovery of the excess fees paid, approximately \$6,950 or more.

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**Item 60 of 499****COMPLIANT****Topic:** inappropriate\_risk\_profile**Difficulty:** easy**Fact Pattern**

Danielle Foster, age 29, is a product manager at a technology company in Austin, Texas, earning \$155,000 per year with an additional \$40,000 in annual restricted stock unit vesting. She has \$85,000 in a brokerage account, \$62,000 in a 401(k), and \$30,000 in a high-yield savings account serving as her emergency fund. She has no debt other than a \$1,200 monthly rent payment. Danielle met with her financial advisor, Marcus Webb, in March 2023 to discuss her investment strategy. During the onboarding process, Marcus conducted a detailed risk tolerance questionnaire covering Danielle's reaction to hypothetical market declines, her investment time horizon, her income stability, her existing emergency fund, her lack of dependents, and her financial goals (retirement at age 55 to 60, with no near-term liquidity needs beyond her emergency fund). Based on the questionnaire results and their discussion, Marcus documented Danielle's risk tolerance as aggressive and her investment objective as long-term capital growth. Marcus recommended a diversified portfolio consisting of 80% equities (split among a U.S. total stock market ETF at 45%, an international developed markets ETF at 20%, and an emerging markets ETF at 15%) and 20% fixed income (a short-term bond ETF). The total weighted expense ratio of the portfolio was approximately 0.08%. Marcus provided Danielle with a written investment policy statement explaining the rationale for the allocation, the expected range of annual returns including potential peak-to-trough drawdowns of 35-45%, and a rebalancing schedule (semi-annually or when any allocation drifted more than 5% from target). He also discussed the concentrated company stock risk from her RSU vesting and recommended a systematic diversification plan to sell vested RSUs quarterly and redirect proceeds into the diversified portfolio once each tranche cleared its holding period. Danielle reviewed and signed the investment policy statement. Marcus documented the meeting notes, the risk questionnaire results, and the rationale for the aggressive allocation in the client file.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Marcus Webb acted in full compliance with applicable suitability and best interest standards. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile. Danielle's profile -- a 29-year-old high-earning professional with no debt, a fully funded emergency reserve, no dependents, a 26-to-31-year time horizon to retirement, no near-term liquidity needs, and a documented aggressive risk tolerance -- is well-suited for an 80/20 equity-heavy diversified portfolio. The portfolio is broadly diversified across U.S., international developed, and emerging markets equities with a fixed-income ballast, which is consistent with widely accepted asset allocation principles for long-term aggressive growth investors. Under Regulation Best Interest's Care Obligation, Marcus exercised reasonable diligence by conducting a comprehensive risk tolerance questionnaire, considering Danielle's full financial picture including income, assets, liabilities, and time horizon, and recommending low-cost index ETFs with a weighted expense ratio of approximately 0.08% -- demonstrating cost-consciousness and consideration of reasonably available alternatives. The Disclosure Obligation was satisfied through the written investment policy statement that explained the rationale, expected return ranges including significant drawdown scenarios, and the rebalancing methodology. Marcus also identified and addressed the concentrated stock risk from Danielle's RSU vesting by recommending a systematic diversification plan, which reflects proactive holistic financial advice. The Conflict of Interest Obligation appears satisfied as well: the low-cost ETF

portfolio generates minimal revenue compared to higher-cost alternatives, suggesting Marcus was not driven by compensation conflicts. Thorough documentation of the risk questionnaire, meeting notes, and investment rationale further demonstrates compliance with recordkeeping expectations. No regulatory action would be warranted; this represents a model example of proper advisory conduct.

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## Item 61 of 499

## NON-COMPLIANT

**Topic:** alternative\_investments\_unsuitable

**Difficulty:** medium

## Fact Pattern

Margaret Dawson, age 74, is a retired school librarian living in Tucson, Arizona. Her husband passed away in early 2021, leaving her with a \$410,000 portfolio that represented her entire life savings and primary source of income beyond a modest monthly Social Security check of \$1,650. She had no pension and listed her risk tolerance as conservative on her new account form, with an investment objective of income and capital preservation. She had no prior experience with complex investments. Her annual income, including Social Security, was approximately \$24,000. In March 2021, her new financial advisor, Craig Emerson, recommended she invest \$225,000--roughly 55% of her total portfolio--into a basket of alternative investment products, including a private equity fund of funds with a 10-year lockup period, a managed futures fund, and a structured note linked to a volatility index. Emerson explained these would 'generate better returns than boring bonds' and told her the risk was 'about the same as a balanced mutual fund.' He collected a 5.5% upfront commission on the private equity product and a 3% commission on the structured note. Emerson did not discuss the illiquidity of the private equity fund, the leveraged nature of the managed futures strategy, or the fact that the structured note could lose 100% of principal if the volatility index moved beyond a specified barrier. Over the following 18 months, the managed futures fund lost 31%, the structured note was knocked out and became worthless, and the private equity fund suspended redemptions entirely. By September 2022, Margaret's total portfolio had declined to approximately \$215,000, and she could not access \$130,000 of that amount due to the private equity lockup. She was forced to reduce her living expenses significantly and sought help from a local elder services nonprofit.

## Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

## Answer

Yes, Craig Emerson clearly violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and experience.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under Reg BI, effective since June 30, 2020, broker-dealers and their associated persons must exercise reasonable diligence, care, and skill when making recommendations. They must understand the risks, rewards, and costs of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the financial professional's interest ahead of the customer's.
3. **\*\*Reg BI -- Disclosure Obligation:\*\*** The advisor was required to disclose all material facts relating to the scope and terms of the relationship, including conflicts of interest such as the large upfront commissions.

4. **\*\*Reg BI -- Conflict of Interest Obligation:\*\*** The significant commissions on the private equity fund (5.5%) and structured note (3%) created financial incentives that Emerson failed to mitigate or disclose properly.

5. **\*\*FINRA Rule 2210 & Communication Standards:\*\*** Emerson's characterization of these alternative investments as having risk 'about the same as a balanced mutual fund' was materially misleading.

**\*\*Specific Violations:\*\***

- **\*\*Customer-Specific Suitability (FINRA Rule 2111.05):\*\*** Margaret was a 74-year-old widow with conservative risk tolerance, an income objective, limited financial resources (\$410,000 total), and no investment sophistication. Allocating 55% of her assets to illiquid, high-risk, and complex alternative investments directly contradicted her stated objectives and profile.

- **\*\*Reasonable-Basis Suitability:\*\*** No reasonable advisor could conclude that a managed futures fund, a volatility-linked structured note, or a 10-year lockup private equity fund was appropriate for any conservative, income-dependent elderly investor regardless of specific profile.

- **\*\*Quantitative Suitability / Concentration:\*\*** The 55% concentration in alternatives was excessive given her liquidity needs and reliance on the portfolio for living expenses.

- **\*\*Reg BI Care Obligation Violation:\*\*** Emerson placed his own compensation interest (collecting large upfront commissions) ahead of Margaret's best interest. He failed to consider reasonably available alternatives such as investment-grade bonds, Treasury securities, or conservative income-oriented mutual funds that would have matched her profile.

- **\*\*Failure to Disclose Material Risks:\*\*** Emerson omitted key facts about illiquidity, leverage, and the potential for total principal loss on the structured note.

**\*\*Likely Regulatory Outcome:\*\*** Emerson would face FINRA enforcement action including potential suspension or bar, disgorgement of commissions, and a restitution order. The firm supervising Emerson could face supervisory failure charges under FINRA Rule 3110. A customer arbitration claim would likely result in compensatory damages of approximately \$195,000 (the portfolio decline), plus potential punitive damages given the egregiousness of the conduct toward a vulnerable senior investor. State regulators could also pursue action under elder financial exploitation statutes.

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**Item 62 of 499****NON-COMPLIANT****Topic:** bond\_duration\_mismatch**Difficulty:** easy**Fact Pattern**

Harold Yuen, age 68, is a recently retired electrical engineer in Portland, Oregon, with a \$620,000 retirement portfolio, a monthly pension of \$3,200, and Social Security benefits of \$2,400 per month. In January 2022, Harold met with his financial advisor, Natalie Rios, and explained that he wanted to reposition his portfolio for income and safety because he planned to begin drawing \$3,000 per month from the account starting in March 2023 to cover his wife's assisted living expenses. He stated clearly that he could not afford any significant loss of principal and that he needed liquidity within 12 to 18 months. His new account documentation listed his risk tolerance as conservative and his time horizon as short-term. Rios recommended investing the entire \$620,000 into two long-duration bond funds: \$350,000 in a fund holding 25- to 30-year zero-coupon Treasury STRIPS with an effective duration of approximately 27 years, and \$270,000 in a fund holding 20-year corporate bonds rated BBB with an effective duration of 14 years. Rios told Harold these were 'safe investments backed by bonds' and that he had 'nothing to worry about.' She did not explain duration risk or the relationship between rising interest rates and bond prices. Throughout 2022, as the Federal Reserve raised interest rates aggressively, the zero-coupon fund fell 38% and the corporate bond fund fell 22%. By December 2022, Harold's portfolio was worth approximately \$388,000--a loss of approximately \$232,000. When Harold called Rios to liquidate funds for his wife's care in early 2023, he discovered the extent of the losses for the first time.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Natalie Rios violated both suitability and best interest standards.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires a reasonable basis to believe the recommended investment strategy is suitable given the customer's investment profile, including time horizon, risk tolerance, liquidity needs, and investment objectives.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Requires the advisor to exercise reasonable diligence, care, and skill, and to have a reasonable basis to believe the recommendation is in the customer's best interest considering the customer's stated needs.
3. **\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Mischaracterizing risk constitutes conduct inconsistent with just and equitable principles of trade.

**\*\*Specific Violations:\*\***

- **\*\*Duration Mismatch:\*\*** Harold had a 12- to 18-month time horizon and needed principal stability. Rios invested 100% of his portfolio in bonds with effective durations of 14 and 27 years. Duration measures interest rate sensitivity; a 27-year duration means approximately a 27% price decline for every 1% rise in interest rates. This was a fundamental

mismatch between the product characteristics and the customer's needs.

- **\*\*Customer-Specific Suitability Violation:\*\*** A conservative, short-term investor requiring liquidity and principal preservation should have been placed in short-duration instruments such as money market funds, short-term Treasury bills, certificates of deposit, or ultra-short bond funds with durations under 2 years. The recommendation was wholly inappropriate.

- **\*\*Misrepresentation of Risk:\*\*** Telling Harold that bonds are 'safe' and he had 'nothing to worry about' without explaining duration risk was materially misleading. Even though Treasury STRIPS carry no credit risk, they carry enormous interest rate risk at long durations.

- **\*\*Failure to Consider Alternatives:\*\*** Under Reg BI's care obligation, Rios was required to consider reasonably available alternatives. Short-duration bond funds, Treasury bills, or high-yield savings accounts would have directly matched Harold's profile.

**\*\*Likely Regulatory Outcome:\*\*** FINRA would likely find violations of Rules 2111 and 2010, and the SEC could pursue a Reg BI violation. Rios could face a fine, suspension, and restitution. In arbitration, Harold would likely recover the approximately \$232,000 in losses as compensatory damages, as the losses were a direct and foreseeable consequence of the unsuitable recommendation.

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## Item 63 of 499

## COMPLIANT

**Topic:** leveraged\_etf\_unsuitable

**Difficulty:** hard

## Fact Pattern

Dylan Marchetti, age 34, is a quantitative analyst at a hedge fund in New York City earning \$425,000 annually. He has a net worth of approximately \$1.8 million, including a \$950,000 brokerage account and \$500,000 in retirement accounts. Dylan has an MBA in finance and holds the CFA charter. He actively trades options and futures in his personal accounts and has done so for over eight years. On his account documentation, he listed his risk tolerance as aggressive, his investment objective as speculation/growth, and his time horizon as short-term for the brokerage account. In October 2023, Dylan contacted his financial advisor, Priya Kapoor, and requested a recommendation for gaining leveraged short-term exposure to the semiconductor sector, explaining that he had a specific macro thesis about near-term chip demand based on AI infrastructure spending. Kapoor recommended a 3x leveraged semiconductor ETF, allocating \$95,000--roughly 10% of his brokerage account--to the position. Kapoor provided Dylan with a written explanation of how leveraged ETFs work, including the effects of daily rebalancing, volatility decay, and the risk of amplified losses. She documented that the product was designed for short-term tactical trading, not buy-and-hold strategies, and confirmed that Dylan understood the mechanics given his professional background. Dylan acknowledged the risks in writing and agreed to a 30-day holding period with a stop-loss at a 20% decline. The position gained 18% over three weeks, and Dylan exited the trade. Kapoor's firm had approved leveraged ETF transactions for customers meeting specific sophistication and net worth thresholds, and Dylan exceeded all of them.

## Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

## Answer

No, Priya Kapoor did not violate suitability or best interest standards. This recommendation was appropriate given the specific customer profile and the process followed.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** All three components--reasonable-basis, customer-specific, and quantitative suitability--are satisfied.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** The Care Obligation, Disclosure Obligation, and Conflict of Interest Obligation were all met.

**\*\*Analysis:\*\***

- **\*\*Reasonable-Basis Suitability:\*\*** Kapoor understood how 3x leveraged ETFs function, including daily rebalancing, volatility decay, and amplified risk. She was able to explain these concepts and documented her understanding.
- **\*\*Customer-Specific Suitability:\*\*** Dylan is a 34-year-old CFA charterholder and professional quantitative analyst with 8+ years of active trading experience in derivatives and complex products. His risk tolerance is aggressive, his objective is speculation, and his time horizon is short-term. His income (\$425,000), net worth (\$1.8 million), and the

position size (\$95,000, or ~10% of the brokerage account) are all consistent with the recommendation. He has both the financial capacity and sophistication to absorb a total loss on this position.

- **Quantitative Suitability:** The position represented a modest allocation relative to Dylan's overall portfolio, and it was a single short-term trade rather than excessive activity.

- **Reg BI Care Obligation:** Kapoor exercised diligence by (a) understanding the product, (b) matching it to Dylan's specific thesis and profile, (c) sizing the position appropriately, and (d) establishing a defined holding period and stop-loss. She considered the customer's stated objectives and the product's characteristics and determined a reasonable fit.

- **Reg BI Disclosure Obligation:** Kapoor provided written risk disclosures covering daily rebalancing, volatility decay, and amplified losses. Dylan acknowledged these in writing.

- **Firm-Level Compliance:** The firm had established approval criteria for leveraged ETF transactions, and Dylan met all thresholds.

**Likely Regulatory Outcome:** No violation. This is an example of a complex product being recommended to an appropriate customer with proper documentation, disclosure, and risk management. Regulators would view this as a compliant transaction.

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**Item 64 of 499****NON-COMPLIANT****Topic:** illiquid\_real\_estate\_investment**Difficulty:** medium**Fact Pattern**

Sandra and Michael Brennan, ages 59 and 61, are a married couple in Raleigh, North Carolina. Michael works as a high school principal earning \$88,000 per year, and Sandra is a part-time dental hygienist earning \$32,000 per year. Their combined savings total approximately \$340,000, split between a \$190,000 IRA rollover from Michael's previous employer and a \$150,000 joint brokerage account. They have a mortgage with \$95,000 remaining and no other significant debts. They told their financial advisor, Derek Fontaine, that Michael planned to retire in three years at age 64 and that they would need to begin regular withdrawals from their accounts to supplement Michael's teacher pension of \$2,800 per month. They described their risk tolerance as moderate and their primary objective as growth with income, transitioning to income and preservation as retirement approached. In August 2022, Fontaine recommended the couple invest \$120,000--approximately 35% of their total savings--into a non-traded Real Estate Investment Trust (REIT) specializing in commercial office properties. The non-traded REIT had a minimum seven-year holding period before any liquidity event, charged a 7% upfront load (of which Fontaine's firm received 6%), carried annual management and operating fees totaling 2.8%, and offered no secondary market for shares. Fontaine described the investment as 'real estate that pays you steady dividends like clockwork' and emphasized a projected 6.5% annual distribution. He did not discuss the illiquidity, the lack of a public market, the fact that distributions could be funded by return of capital rather than earnings, or the particular headwinds facing commercial office real estate as remote work trends accelerated. By mid-2024, the REIT had cut its distribution by 60% due to rising vacancy rates and falling office property valuations. The REIT's estimated net asset value had declined by approximately 30%, and the Brennans were unable to sell their shares. With Michael's retirement approaching in 2025, they faced a significant shortfall in their retirement income plan.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Fontaine violated suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires that recommendations be suitable based on the customer's investment profile, including time horizon, liquidity needs, risk tolerance, and investment objectives.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Requires reasonable diligence, care, and skill, and that the recommendation be in the customer's best interest without placing the advisor's interest ahead of the customer's.
3. **\*\*Reg BI -- Disclosure Obligation:\*\*** Requires disclosure of all material facts, including costs, risks, conflicts of interest, and product characteristics.
4. **\*\*Reg BI -- Conflict of Interest Obligation:\*\*** Requires identification and mitigation of conflicts, including compensation-driven incentives.

5. **FINRA Regulatory Notices (e.g., 09-09 on Non-Traded REITs):** FINRA has specifically highlighted the risks of non-traded REITs and the need for heightened suitability scrutiny, including concentration limits that many firms set at 10% or less of liquid net worth for illiquid alternative investments.

**Specific Violations:**

- **Time Horizon Mismatch:** The Brennans needed access to their savings within three years for retirement income. The non-traded REIT had a minimum seven-year lockup and no secondary market. This is a direct conflict between the product's illiquidity and the customers' near-term liquidity needs.

- **Excessive Concentration:** Investing \$120,000--35% of total savings--into a single illiquid alternative investment is excessive for moderate-risk investors approaching retirement. Most firm guidelines and industry standards limit non-traded REIT allocations to 10% or less of liquid net worth for moderate-risk investors.

- **Compensation Conflict:** The 7% upfront load, of which 6% went to Fontaine's firm, created a significant financial incentive to recommend this product over more liquid and lower-cost alternatives such as publicly traded REITs, diversified bond funds, or balanced funds. Under Reg BI's conflict of interest obligation, this conflict needed to be identified, disclosed, and mitigated--none of which occurred adequately.

- **Material Omissions:** Fontaine failed to disclose (a) the illiquidity and lack of secondary market, (b) the possibility that distributions could be funded by return of capital (effectively returning investors' own money), (c) the specific sector risks of commercial office properties, and (d) the high total cost structure (7% load + 2.8% annual fees). Describing the investment as paying 'steady dividends like clockwork' was misleading.

- **Failure to Consider Alternatives (Reg BI Care Obligation):** Publicly traded REIT index funds, balanced funds, or target-date retirement funds would have provided real estate exposure with daily liquidity, lower fees, and appropriate risk levels for the Brennans' profile.

**Likely Regulatory Outcome:** FINRA would likely find violations of Rule 2111 (customer-specific suitability) and the SEC could pursue Reg BI violations. Fontaine could face suspension, fines, and a restitution order. In arbitration, the Brennans would likely recover the approximately \$42,000 in estimated losses (30% NAV decline plus the \$8,400 upfront load), and potentially additional damages for the lost income and opportunity cost. The employing firm could also face supervisory failure charges under FINRA Rule 3110 if it failed to flag the concentration and liquidity mismatch during the review process.

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## Item 65 of 499

### NON-COMPLIANT

**Topic:** crypto\_assets\_unsuitable

**Difficulty:** medium

### Fact Pattern

Patricia Okonkwo, age 72, is a retired postal worker in Detroit, Michigan, living on a fixed income consisting of a \$2,100 monthly pension and \$1,800 in Social Security benefits. Her total liquid savings amount to \$185,000, held in a single brokerage account that she opened in 2019 with advisor Ryan Gallagher. Patricia's account documentation listed her risk tolerance as conservative, her investment objectives as income and capital preservation, and her investment experience as limited--she had previously owned only certificates of deposit and a money market fund. She told Gallagher repeatedly that she could not afford to lose her savings because it was her 'safety net' for medical expenses and potential long-term care needs. In November 2021, Gallagher's firm began offering cryptocurrency-related investment products, and the firm ran an internal sales contest awarding a trip to Cancun for advisors who generated the most revenue in crypto-related products during Q4 2021. Gallagher called Patricia and told her that cryptocurrency was 'the future of money' and that she should 'get in before it's too late.' He recommended she invest \$130,000--approximately 70% of her liquid savings--into a combination of Bitcoin, Ethereum, and a smaller altcoin called SolanaMax through the firm's crypto trading platform. He did not explain the extreme volatility of cryptocurrency markets, the lack of FDIC or SIPC protection, the regulatory uncertainty, or the speculative nature of altcoins. He also did not disclose the firm's sales contest or the enhanced payout grid he was receiving on crypto transactions. Over the following 12 months, Bitcoin and Ethereum declined approximately 65%, and SolanaMax lost 94% of its value after the project's developers abandoned it. By December 2022, Patricia's crypto holdings were worth approximately \$28,000--a loss of roughly \$102,000. Her total portfolio had shrunk to about \$83,000, and she could no longer afford to set aside funds for potential long-term care.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Ryan Gallagher committed serious violations of suitability and best interest standards.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires that recommendations be consistent with the customer's investment profile, including risk tolerance, objectives, age, financial situation, liquidity needs, and experience.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** The advisor must exercise reasonable diligence, care, and skill, and must not place his own financial interest ahead of the customer's interest.
3. **\*\*Reg BI -- Disclosure Obligation:\*\*** Material facts about risks, costs, and conflicts of interest must be disclosed before or at the time of the recommendation.
4. **\*\*Reg BI -- Conflict of Interest Obligation:\*\*** Conflicts such as sales contests and enhanced compensation grids must be identified, disclosed, and either eliminated or mitigated. FINRA has historically taken a dim view of sales contests tied to specific product categories.

5. **FINRA Rule 2010 (Standards of Commercial Honor):** Misleading statements and failure to disclose material information violate standards of just and equitable principles of trade.

6. **FINRA Rule 3110 (Supervision):** The firm's role in creating the sales contest and failing to supervise the suitability of crypto recommendations to vulnerable clients raises supervisory failure issues.

**Specific Violations:**

- **Customer-Specific Suitability:** Patricia is a 72-year-old retired postal worker with conservative risk tolerance, limited investment experience, a fixed income, and an explicit need for capital preservation to cover medical and long-term care costs. Cryptocurrency is among the most volatile and speculative asset classes available. Recommending that she invest 70% of her life savings into crypto assets--including an obscure altcoin--is patently unsuitable.

- **Concentration:** A 70% allocation to a single speculative asset class is excessive for any conservative investor, let alone an elderly one with no other financial safety net.

- **Failure to Disclose Material Risks:** Gallagher failed to explain volatility, the lack of FDIC/SIPC protection, regulatory uncertainty, and the speculative nature of altcoins. Characterizing crypto as 'the future of money' and urging her to act before 'it's too late' employed high-pressure sales tactics and constituted materially misleading communication.

- **Undisclosed Conflicts of Interest:** Gallagher failed to disclose the firm's Q4 sales contest (trip to Cancun) and his enhanced compensation on crypto transactions. Under Reg BI's conflict of interest obligation, these conflicts must be identified, disclosed, and mitigated. Sales contests tied to specific products are particularly problematic and have been the subject of repeated regulatory scrutiny. These conflicts directly incentivized Gallagher to prioritize his own financial interest over Patricia's.

- **Reasonable-Basis Suitability:** No reasonable financial professional, after exercising due diligence, could conclude that a 70% crypto allocation--including an obscure altcoin--was suitable for any conservative, income-dependent elderly investor.

**Likely Regulatory Outcome:** Gallagher would face FINRA enforcement for violations of Rules 2111 and 2010, and the SEC could bring a Reg BI action. Sanctions would likely include a substantial fine, suspension or bar, and full restitution of approximately \$102,000 in losses. The firm could face separate enforcement for supervisory failures under FINRA Rule 3110 and for implementing a sales contest that incentivized unsuitable recommendations. In customer arbitration, Patricia would likely recover compensatory damages plus interest, and the egregious facts--elderly victim, undisclosed sales contest, massive concentration in speculative assets--could support an award of punitive damages.

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**Item 66 of 499****NON-COMPLIANT**

**Topic:** complex\_products\_unsophisticated\_investor

**Difficulty:** medium

**Fact Pattern**

Gloria Tennyson, age 72, is a retired school cafeteria worker living in rural Mississippi. She has a monthly Social Security income of \$1,480 and a small pension of \$620 per month. In March 2023, she received a \$185,000 inheritance from her late sister's estate, which represented the entirety of her liquid savings outside of a \$12,000 checking account. Gloria completed only a high school education and had never invested in anything beyond a savings account and a certificate of deposit at her local bank. She described her goals to her advisor, Kevin Draper, as 'keeping the money safe so I can pay for my medications and maybe help my grandkids with college someday.' She told Draper she could not afford to lose any of the inheritance. Draper, a registered representative at a mid-size broker-dealer, recommended that Gloria invest \$140,000 into a portfolio of leveraged and inverse exchange-traded products -- specifically, \$60,000 in a 3x leveraged S&P 500 ETF, \$45,000 in a 2x leveraged emerging markets ETF, and \$35,000 in an inverse volatility ETN. Draper explained these as 'funds that track the stock market but with extra upside.' He did not explain the daily reset mechanism, compounding decay, or the risk of total principal loss inherent in the inverse volatility product. He also placed \$30,000 into a structured note with a 5-year maturity linked to the performance of a basket of biotech stocks, which carried a 2.5% upfront sales commission that was paid to Draper. The remaining \$15,000 was placed in a money market fund. Within eight months, the leveraged and inverse positions had lost approximately \$67,000 in value due to market volatility and compounding decay. Gloria discovered the losses when she attempted to withdraw funds to pay for a hip replacement surgery.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Kevin Draper committed multiple serious violations. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on their investment profile, including age, financial situation, risk tolerance, investment objectives, investment experience, and liquidity needs. Gloria was a 72-year-old unsophisticated retiree with no investment experience, a conservative risk tolerance, stated capital preservation objectives, and limited income. Leveraged and inverse ETFs are complex products that reset daily and are generally considered unsuitable for buy-and-hold investors, particularly elderly investors with no sophistication. FINRA has issued Regulatory Notice 09-31 specifically warning that leveraged and inverse ETFs are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The inverse volatility ETN carried the risk of near-total loss, which was fundamentally incompatible with Gloria's stated inability to lose her inheritance. Draper also violated the reasonable-basis suitability obligation because he apparently did not understand or chose not to disclose the compounding decay and daily reset mechanics. Under Regulation Best Interest (Reg BI), the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The Disclosure Obligation requires full and fair disclosure of all material facts, including risks. Draper failed both by not explaining the mechanics of these complex products and by characterizing them misleadingly as funds that simply track the market 'with extra upside.' The structured note, with its 5-year lockup, illiquidity, and the 2.5% upfront commission, further raises concerns under Reg BI's Conflict of Interest Obligation, as the commission may have incentivized the recommendation. The concentration of approximately 76% of Gloria's inheritance in

high-risk, complex instruments is grossly disproportionate to her profile. A likely regulatory outcome would include disgorgement of commissions, restitution to the customer, a significant fine, and a potential suspension or bar for Draper. The broker-dealer's supervisory obligations under FINRA Rule 3110 may also be implicated if the firm failed to flag these trades for heightened review given the customer's profile.

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**Item 67 of 499****NON-COMPLIANT**

**Topic:** junk\_bonds\_conservative\_investor

**Difficulty:** easy

**Fact Pattern**

Robert Chung, age 78, is a retired pharmacist living in Scottsdale, Arizona. He has a total portfolio of approximately \$520,000 held in an IRA rollover account, a Social Security benefit of \$2,650 per month, and a small pharmacy pension of \$900 per month. His wife passed away two years ago, and he lives alone. Robert explicitly told his broker, Diana Salcedo, that he wanted 'safe, steady income to cover living expenses and leave whatever is left to my daughter.' He checked the 'conservative' box on his new account form and listed his risk tolerance as 'low.' He stated he had no tolerance for losing principal. In June 2023, Salcedo recommended that Robert invest \$390,000 -- approximately 75% of his IRA -- into a portfolio of high-yield corporate bonds rated between B and CCC by major rating agencies. The bonds were issued by companies in the energy exploration, retail, and cryptocurrency mining sectors. Salcedo told Robert these were 'corporate bonds that pay higher interest,' but did not explain that the 'high yield' designation meant below-investment-grade credit quality with substantially elevated default risk. The portfolio carried an average yield of 9.2% but also an average duration of 7 years. Salcedo earned a markup of 1.75% on each bond transaction, totaling approximately \$6,825 in transaction-based compensation. By February 2024, two of the issuers -- one in crypto mining and one in retail -- defaulted, resulting in a loss of approximately \$95,000 in principal value on those positions. Several other positions declined 15-20% in market value due to credit spread widening.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Diana Salcedo clearly violated applicable standards. Under FINRA Rule 2111, the customer-specific suitability obligation requires that a recommendation be consistent with the customer's stated investment profile. Robert was a 78-year-old conservative retiree who explicitly stated he had no tolerance for principal loss and wanted safe, steady income. High-yield bonds rated B to CCC carry significant default risk and price volatility -- they are the antithesis of 'safe' fixed income. Concentrating 75% of his retirement account in below-investment-grade bonds from speculative sectors (crypto mining, distressed retail, energy exploration) was fundamentally unsuitable for his profile. Under Regulation Best Interest, the Care Obligation required Salcedo to exercise reasonable diligence, care, and skill, and to have a reasonable basis to believe the recommendation was in the customer's best interest without placing her own financial interest ahead of the customer's. She failed on multiple fronts: the recommendation was inconsistent with Robert's conservative profile, the concentration was excessive, and the sector choices compounded the risk. The Disclosure Obligation was also violated because Salcedo described the bonds as simply 'corporate bonds that pay higher interest' without disclosing that they were below-investment-grade, commonly known as junk bonds, with materially elevated default risk. This omission prevented Robert from making an informed decision. The 1.75% markup totaling \$6,825 raises additional concerns under the Conflict of Interest Obligation, as the compensation structure may have incentivized the recommendation of higher-yielding, riskier bonds over investment-grade alternatives that would have been more appropriate. The resulting losses -- \$95,000 from defaults alone -- were foreseeable given the credit quality of the issuers. Regulatory consequences would likely include restitution, disgorgement of markups, fines, and possible suspension. The firm's supervisory systems under FINRA Rule 3110 would also be scrutinized for failing to flag a 75% concentration in junk bonds in the IRA of a 78-year-old conservative investor.

**Item 68 of 499****NON-COMPLIANT**

**Topic:** inappropriate\_risk\_profile

**Difficulty:** hard

**Fact Pattern**

Mei-Ling Park, age 44, is a pediatric nurse earning \$82,000 per year in Portland, Oregon. She is a single mother of two children, ages 10 and 14, and is saving for their college education as well as her own retirement. She has \$145,000 in a 401(k) from a prior employer, \$38,000 in a savings account, and \$22,000 in a 529 education plan. When Mei-Ling opened a brokerage account with advisor Craig Hollowell in January 2023, she filled out a risk tolerance questionnaire during an in-person meeting. She selected 'moderate' risk tolerance, indicated her investment timeline was 10-15 years, and wrote in the objectives section: 'growth for retirement and college savings, but I can't afford big losses because this is all I have.' During the meeting, Hollowell suggested that her answers were 'too conservative for someone her age' and encouraged her to change her risk profile to 'aggressive growth.' He told her, 'You have plenty of time to recover from any downturns -- you should be more aggressive.' Mei-Ling hesitated but ultimately agreed to change the form after Hollowell's repeated urging. With the aggressive profile now on file, Hollowell placed her \$145,000 rollover IRA into a concentrated portfolio: \$55,000 in small-cap growth stocks, \$40,000 in sector-specific technology ETFs, \$30,000 in options-based income strategies involving covered calls and cash-secured puts, and \$20,000 in a single-stock position in a pre-revenue biotech company that Hollowell described as 'a sure winner.' Hollowell earned approximately \$4,200 in commissions on the initial trades. By December 2023, the biotech stock had fallen 80% after a failed clinical trial, the options strategies produced losses of \$11,000, and the overall portfolio was down approximately \$48,000, or 33%.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Craig Hollowell committed several serious violations. First and most critically, he improperly manipulated the customer's risk profile. Under FINRA Rule 2111 and its supplementary materials, a broker cannot substitute his own judgment for the customer's actual risk tolerance. When Mei-Ling initially indicated a moderate risk tolerance and specifically stated she could not afford big losses, that was her genuine investment profile. Hollowell pressured her to change the form to 'aggressive growth,' which constituted a manipulation of the customer's documented risk profile to justify pre-determined, unsuitable recommendations. FINRA has been clear in enforcement actions and guidance that a broker cannot override or pressure a client to change their stated risk tolerance to facilitate aggressive recommendations. Even with the altered form, the customer-specific suitability obligation under FINRA Rule 2111 requires that the recommendation be suitable based on the customer's actual financial situation and needs -- not a coerced risk profile. Mei-Ling is a single mother with moderate income, limited liquid assets, dual savings goals (college and retirement), and no prior experience with complex instruments. The concentration in small-cap growth, sector ETFs, options strategies, and a single pre-revenue biotech stock was inconsistent with her true moderate profile and her explicit statement about being unable to absorb large losses. Under Regulation Best Interest, the Care Obligation requires that the broker consider the customer's actual investment profile. The manipulation of the risk questionnaire does not insulate the broker -- the substance of the customer's financial circumstances and stated concerns controls. Placing \$20,000 (nearly 14% of the rollover) into a single pre-revenue biotech stock with binary clinical trial risk violated the reasonable-basis suitability obligation, as this is a speculative position unsuitable even for many aggressive investors at that concentration level. The options strategies introduced additional complexity that Mei-Ling, with no

stated options experience, could not reasonably be expected to understand. Under Reg BI's Disclosure Obligation, Hollowell was required to provide full and fair disclosure of risks; describing the biotech stock as 'a sure winner' was materially misleading. The Conflict of Interest Obligation is also implicated given the \$4,200 in commissions generated by the active trading strategy. Regulatory consequences would likely be severe: the manipulation of the risk profile is considered a particularly egregious violation. Likely outcomes include restitution, disgorgement of commissions, significant fines, and a lengthy suspension or bar. The firm's supervisory systems under FINRA Rule 3110 would also be examined for failing to identify the risk profile change and the resulting mismatch between the customer's actual circumstances and the trading activity.

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**Item 69 of 499****COMPLIANT****Topic:** unsuitable\_income\_investor**Difficulty:** medium**Fact Pattern**

Harold Benton, age 66, recently retired from a career as a mechanical engineer with an annual pension of \$54,000 and Social Security benefits of \$2,400 per month. He has \$780,000 in a traditional IRA rollover, \$120,000 in a taxable brokerage account, and \$95,000 in a savings account. His home is paid off, and he has no debt. Harold told his financial advisor, Stephanie Novak, that his primary objective was generating reliable monthly income to supplement his pension and Social Security while preserving his principal as much as possible. He described his risk tolerance as 'moderate-conservative' and said he wanted to avoid anything 'too exotic or risky.' Novak conducted a thorough review of Harold's financial situation, including his monthly expenses (\$4,800), tax bracket, existing income sources, and estate planning goals (leaving assets to his two adult children). After this analysis, Novak recommended the following allocation for his \$780,000 IRA: \$310,000 (40%) in a diversified portfolio of investment-grade corporate bonds with maturities laddered between 2 and 10 years, yielding an average of 4.8%; \$195,000 (25%) in U.S. Treasury securities and Treasury Inflation-Protected Securities (TIPS); \$117,000 (15%) in a diversified dividend-focused equity fund with an expense ratio of 0.35% that held large-cap, blue-chip stocks with consistent dividend histories; \$78,000 (10%) in a broadly diversified intermediate-term bond index fund with an expense ratio of 0.06%; and \$80,000 (10%) in a money market fund for liquidity and short-term needs. The projected blended yield was approximately 4.1%, generating roughly \$32,000 annually or about \$2,670 per month in income. Novak also recommended keeping the taxable account in municipal bonds appropriate for Harold's tax bracket and maintaining the savings account as an emergency fund. She provided Harold with a written financial plan, discussed the risks of each component, including interest rate risk and equity market risk, and documented his acknowledgment. Her compensation was a flat advisory fee of 0.75% of assets under management, disclosed in the advisory agreement Harold signed.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Stephanie Novak did not violate any applicable standards and acted in full compliance with both suitability requirements and best interest obligations. Under FINRA Rule 2111, a recommendation must have a reasonable basis (the advisor understands the products), customer-specific suitability (the recommendation fits the customer's profile), and quantitative suitability (no excessive trading). Novak's recommendations satisfy all three prongs. The portfolio is well-diversified across investment-grade fixed income, Treasuries, a conservative equity income fund, and a liquidity reserve -- all consistent with Harold's moderate-conservative risk tolerance, income objective, and capital preservation goals. Under Regulation Best Interest, the Care Obligation requires reasonable diligence, care, and skill in making recommendations that are in the customer's best interest. Novak conducted a comprehensive review of Harold's income, expenses, tax situation, and goals before making her recommendations. The allocation is prudently constructed: 75% in high-quality fixed income provides stability and income, 15% in dividend equities provides modest growth potential and inflation protection without excessive risk, and 10% in money market provides liquidity. The laddered bond portfolio mitigates interest rate risk. The Disclosure Obligation is satisfied because Novak provided a written financial plan, discussed the risks of each component including interest rate and equity market risk, and disclosed her flat advisory fee of 0.75% in the advisory agreement. The Conflict of Interest Obligation is addressed through the transparent fee-based compensation structure, which does not incentivize excessive trading or the



recommendation of higher-commission products. The projected income of approximately \$32,000 annually, combined with Harold's pension (\$54,000) and Social Security (\$28,800), would provide total annual income of approximately \$114,800, comfortably covering his \$57,600 in annual expenses with a substantial margin. If Novak is also acting as an investment adviser, she would owe a fiduciary duty under the Investment Advisers Act of 1940, requiring her to act in the client's best interest with undivided loyalty and utmost good faith. Her conduct is consistent with this standard. No regulatory action would be warranted.

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**Item 70 of 499****NON-COMPLIANT****Topic:** illiquid\_real\_estate\_investment**Difficulty:** medium**Fact Pattern**

Dennis and Patricia Kowalski, ages 71 and 68 respectively, are a retired couple living in Tampa, Florida. Dennis worked as a postal carrier for 34 years and receives a federal pension of \$3,100 per month. Patricia worked part-time as a bookkeeper and receives Social Security of \$1,350 per month. Their combined monthly income is \$4,450, and their monthly expenses, including medications for Dennis's Type 2 diabetes and Patricia's arthritis, average \$4,100 per month. Their liquid savings consisted of \$310,000 in an IRA and \$45,000 in a joint savings account. They also own their home, valued at approximately \$275,000 with no mortgage. In September 2022, their broker, Marcus Jeffries, recommended they invest \$220,000 from the IRA -- approximately 71% of their liquid retirement savings -- into a non-traded real estate investment trust (REIT) that focused on commercial office properties. Jeffries told them the REIT paid a 'guaranteed' distribution of 6.5% annually and was 'just like owning real estate without the hassle.' He did not explain that the REIT was non-traded and therefore had no public market for resale, that the distributions were not guaranteed and could be paid from investor capital rather than operating income, that the REIT carried upfront fees and commissions totaling approximately 12% (meaning only about \$193,600 of the \$220,000 was actually invested in properties), or that the estimated holding period before any potential liquidity event was 7 to 10 years. Jeffries earned a commission of approximately \$15,400 on the transaction. By mid-2024, the REIT had suspended distributions due to declining occupancy rates in its commercial office portfolio caused by the shift to remote work. The Kowalskis attempted to redeem their shares but were told the REIT's share repurchase program had been suspended indefinitely. An independent valuation later marked the shares down to approximately \$0.62 on the dollar, representing a paper loss of approximately \$83,600. The couple now faces potential cash flow shortfalls as they age and their medical expenses increase, with the bulk of their retirement savings effectively inaccessible.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Marcus Jeffries committed multiple serious violations. Under FINRA Rule 2111, the customer-specific suitability obligation required Jeffries to ensure that the recommendation was suitable for the Kowalskis' specific investment profile. They are a retired couple in their late 60s and early 70s with limited income that barely covers expenses (\$4,450 income vs. \$4,100 expenses, leaving only \$350/month margin), ongoing medical needs, and no other liquid savings beyond \$45,000 after the investment. Placing 71% of their liquid retirement assets into an illiquid non-traded REIT with a 7-to-10-year holding period was fundamentally unsuitable. The couple had an obvious and foreseeable near-term need for liquidity given their age, health conditions, and thin cash flow margin. FINRA Regulatory Notice 15-02 highlights the specific risks associated with non-traded REITs and the heightened suitability concerns they present, particularly for elderly and income-dependent investors. Many broker-dealers have internal concentration limits for non-traded REITs, often in the range of 10-25% of liquid net worth; 71% vastly exceeds any reasonable threshold. Under Regulation Best Interest, the Care Obligation was violated because Jeffries failed to exercise reasonable diligence in evaluating whether the Kowalskis could bear the illiquidity risk, concentration risk, and the impact of the 12% upfront load on their invested capital. The Disclosure Obligation was egregiously violated on multiple fronts: Jeffries described the distributions as 'guaranteed' when they were not (and were in fact later suspended); he failed to disclose the illiquid nature of the investment; he failed to explain that distributions could be return of capital rather than

income; he failed to disclose the 12% upfront fee structure; and he failed to explain the 7-to-10-year expected holding period. Describing the REIT as 'just like owning real estate without the hassle' was materially misleading given the product's actual characteristics. The Conflict of Interest Obligation is directly implicated by the \$15,400 commission (approximately 7% of the investment), which created a significant financial incentive for Jeffries to recommend this product over more suitable, lower-cost alternatives such as publicly traded REITs or diversified bond funds that would have provided income with liquidity and far lower costs. Under FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade), the misleading statements about 'guaranteed' distributions may also constitute a violation. Likely regulatory outcomes include restitution of the full investment plus interest, disgorgement of commissions, substantial fines, and a suspension or bar. The broker-dealer's supervisory obligations under FINRA Rule 3110 would also be implicated for failing to review and flag this concentration in an illiquid product for elderly, income-dependent clients with minimal cash flow surplus.

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**Item 71 of 499****NON-COMPLIANT****Topic:** market\_timing\_unsuitable**Difficulty:** medium**Fact Pattern**

Gerald and Patricia Hoffman, ages 62 and 59 respectively, met with their financial advisor, Kevin Tran, in March 2022. The couple explained that they planned to sell their primary residence within 18 months and relocate to a retirement community in Arizona. They had \$420,000 in a joint brokerage account and told Kevin that the funds would be needed to cover the down payment and first two years of living expenses at the retirement community. Their combined annual income was \$78,000 from Gerald's part-time consulting and Patricia's administrative job. They described themselves as conservative investors who could not afford to lose principal. On their new account forms, they listed their investment objective as 'capital preservation' and their risk tolerance as 'low.' Despite these clearly stated needs, Kevin recommended that they invest \$310,000 of the \$420,000 into three different non-traded real estate investment trusts, each carrying front-end sales charges of 7%. Kevin earned approximately \$21,700 in commissions from these sales. He told the Hoffmans the REITs would provide 'steady income like a savings account.' He did not disclose that the REITs had no established secondary market, carried a recommended minimum holding period of seven to ten years, and imposed early redemption penalties of up to 10% of the investment amount. By September 2023, when the Hoffmans needed to access their funds for the Arizona move, they discovered they could not liquidate the REIT positions. One of the three REITs had suspended its share repurchase program entirely. The Hoffmans were forced to delay their relocation and borrow \$95,000 against their home equity line to cover moving costs. As of the filing of their complaint, they had recovered only \$42,000 of the original \$310,000 investment through partial share repurchases at discounted valuations.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Tran committed clear and serious violations of both suitability and best interest standards. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance. The Hoffmans explicitly stated a need for liquidity within 18 months, a conservative risk tolerance, and a capital preservation objective. Non-traded REITs are inherently illiquid products with holding periods typically ranging from seven to ten years, making them fundamentally incompatible with the Hoffmans' stated time horizon and liquidity needs. This violates the customer-specific obligation under Rule 2111. Under Regulation Best Interest (Reg BI), adopted under the Securities Exchange Act of 1934 Section 15(l), Kevin owed the Hoffmans a Care Obligation requiring him to exercise reasonable diligence, care, and skill in making recommendations. He was required to understand the risks, rewards, and costs of the non-traded REITs and to have a reasonable basis to believe the recommendation was in the customers' best interest given their specific profile. Recommending \$310,000 in illiquid products to clients who needed the money in 18 months fails this standard entirely. The Disclosure Obligation under Reg BI was also violated because Kevin characterized the REITs as being like a 'savings account,' which materially misrepresented the nature, risks, and liquidity constraints of the products. Additionally, the 7% front-end load generating \$21,700 in commissions raises concerns about the Conflict of Interest Obligation under Reg BI, as Kevin's compensation incentive appears to have driven the recommendation over the clients' actual needs. FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) is also implicated, as

the recommendation was so clearly at odds with the customers' stated needs that it reflects a failure to observe high standards of commercial honor. The concentration of approximately 74% of the couple's liquid assets in illiquid non-traded REITs further compounds the unsuitability. The likely regulatory outcome would include customer restitution of the full \$310,000 plus interest, disgorgement of the \$21,700 in commissions, a significant fine, and a suspension or bar from the securities industry for Kevin Tran. In a FINRA arbitration, the Hoffmans would likely recover compensatory damages including the lost principal, consequential damages related to the home equity borrowing costs, and potentially attorneys' fees.

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**Item 72 of 499****NON-COMPLIANT****Topic:** illiquid\_real\_estate\_investment**Difficulty:** hard**Fact Pattern**

Dolores Whitfield, age 81, was a retired schoolteacher living in Memphis, Tennessee, with a fixed monthly income of \$2,800 from Social Security and a small pension. Her total liquid savings amounted to \$185,000, held in a brokerage account at a regional broker-dealer. Dolores's late husband had managed their finances, and after his death in 2020, she relied heavily on her advisor, Marcus Bledsoe, for guidance. Dolores's account documentation listed her investment objective as 'income' and her risk tolerance as 'low.' She told Marcus she needed her savings to supplement her fixed income and cover potential medical expenses, as she had recently been diagnosed with early-stage kidney disease requiring ongoing treatment. In January 2023, Marcus recommended that Dolores invest \$140,000 -- approximately 76% of her liquid net worth -- into a non-traded real estate limited partnership that invested in commercial office properties. The partnership had a projected holding period of eight to twelve years, no redemption rights during the first five years, and carried a total upfront cost load of 12% (including selling commissions, dealer manager fees, and organizational expenses). Marcus earned a commission of \$11,200 on the transaction. He also recommended she place an additional \$20,000 in a second non-traded REIT focused on hospitality properties, generating another \$1,400 in commissions. Marcus did not discuss the impact of the illiquid nature of these investments on Dolores's ability to access funds for medical emergencies. He did not document any consideration of alternative income-producing investments such as bond funds, dividend-paying equities, or certificates of deposit. Within six months, the office-focused partnership announced that distributions would be reduced by 60% due to declining occupancy rates in the post-pandemic commercial real estate market. The hospitality REIT suspended distributions entirely. Dolores was left with only \$25,000 in liquid savings and sharply reduced income from her investments, forcing her to seek financial assistance from her adult children to pay medical bills.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Marcus Bledsoe committed egregious violations of applicable suitability and best interest standards across multiple dimensions. Under FINRA Rule 2111, the recommendation was unsuitable on all three prongs: (1) Reasonable-basis suitability: Marcus failed to perform adequate due diligence on the products, as non-traded real estate limited partnerships and non-traded REITs carry substantial risks including illiquidity, lack of transparency, high cost structures, and vulnerability to real estate market downturns. A reasonable advisor would recognize that post-pandemic commercial office properties carried elevated risk. (2) Customer-specific suitability: Dolores was an 81-year-old widow with limited income, a serious medical condition requiring ongoing treatment, low risk tolerance, an income investment objective, and total liquid savings of only \$185,000. Investing \$160,000 (86% of her liquid assets) in illiquid products with holding periods of 8-12 years was fundamentally incompatible with her profile. At her age, a holding period extending potentially to age 93 is unreasonable. Her medical condition created foreseeable near-term liquidity needs that were completely disregarded. (3) Quantitative suitability: While this prong typically addresses excessive trading, the concentration of 86% of liquid assets in a single illiquid asset class represents an extreme lack of diversification that is quantitatively unsuitable. Under Regulation Best Interest, Marcus violated the Care Obligation by failing to exercise reasonable diligence, care, and skill. He did not consider reasonably available alternatives such as investment-grade bond funds, dividend-paying stock portfolios, or CDs that would have provided income with

significantly greater liquidity and lower cost. The 12% upfront cost load on the partnership meant that \$16,800 of Dolores's \$140,000 was immediately consumed by fees before any investment return could be generated. The Disclosure Obligation was violated because Marcus failed to inform Dolores of the material risks, particularly the illiquidity and its impact on her ability to access funds for medical care. The Conflict of Interest Obligation was violated because Marcus's \$12,600 in total commissions created an obvious incentive that was not properly mitigated or disclosed. FINRA's guidance on non-traded REITs and direct participation programs, including Regulatory Notices 09-09 and 15-02, emphasizes that these products should generally constitute only a limited percentage of a customer's liquid net worth. Many firms impose concentration limits of 10-15% for such products. Marcus's recommendation of 86% concentration vastly exceeded any reasonable threshold. Additionally, FINRA Rule 2010 and the principles of just and equitable trade require that recommendations be made with regard to the customer's welfare. Marcus's apparent exploitation of Dolores's dependence on him following her husband's death raises potential elder financial exploitation concerns. The likely regulatory outcome includes restitution, substantial fines, disgorgement of commissions, and a lengthy suspension or permanent bar from the industry. In arbitration, Dolores would likely recover full compensatory damages, and the facts support a potential claim for punitive damages given the vulnerable customer profile and the magnitude of the misconduct.

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**Item 73 of 499****NON-COMPLIANT****Topic:** lack\_of\_diversification**Difficulty:** easy**Fact Pattern**

Nathan Reeves, age 44, was an IT project manager earning \$115,000 per year. He had \$230,000 in a traditional IRA that had been rolled over from a previous employer's 401(k) plan. Nathan's investment objectives were long-term growth and retirement savings, and he described his risk tolerance as moderate. He told his advisor, Cynthia Park, that he wanted a diversified portfolio that would grow over the next 20 years until retirement. In August 2022, Cynthia recommended that Nathan invest the entire \$230,000 IRA balance into a single variable annuity product offered by a nationally known insurance company. The variable annuity carried an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, and underlying sub-account management fees averaging 0.85%, bringing the total annual cost to approximately 2.35% or \$5,405 per year. The annuity also imposed a seven-year declining surrender charge schedule starting at 7% in the first year. Cynthia earned a commission of approximately \$13,800 (6% of the invested amount) on the sale. Within the variable annuity, Cynthia allocated 100% of Nathan's funds into a single sub-account that tracked a large-cap U.S. equity index. She did not recommend any allocation to bonds, international equities, small-cap stocks, or other asset classes. She did not discuss with Nathan that his IRA already provided tax-deferred growth, making the tax-deferral feature of the variable annuity redundant and adding unnecessary cost layers. By August 2023, the sub-account had declined 8% in value, and Nathan discovered that liquidating to move to a lower-cost investment would cost him a 7% surrender penalty -- approximately \$14,800 on his remaining balance.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Cynthia Park violated suitability and best interest requirements in multiple respects. First, under FINRA Rule 2111, recommending a variable annuity inside a tax-deferred IRA is a well-known suitability concern. The primary distinguishing benefit of a variable annuity over a mutual fund portfolio is tax-deferred growth. Since an IRA already provides tax deferral, wrapping an additional tax-deferred product inside it provides no incremental tax benefit while layering on substantially higher costs (the 1.35% mortality and expense charge plus the 0.15% administrative fee). FINRA Regulatory Notice 07-53 specifically addresses the sale of variable annuities in tax-qualified accounts and requires that the advisor document a specific basis for why the variable annuity's other features (such as a death benefit or living benefit rider) justify the additional costs. There is no indication Cynthia identified any such justification. Second, the lack of diversification violates customer-specific suitability under Rule 2111. Nathan requested a diversified portfolio for long-term growth, and Cynthia placed 100% of his retirement savings into a single sub-account tracking one asset class (large-cap U.S. equities). A moderate-risk-tolerance investor saving for retirement over 20 years would typically benefit from a multi-asset allocation including domestic and international equities, fixed income, and potentially alternative asset classes. The failure to diversify across asset classes exposed Nathan to concentrated equity market risk inconsistent with his moderate risk tolerance. Under Regulation Best Interest, the Care Obligation required Cynthia to consider reasonably available alternatives. A diversified portfolio of low-cost index mutual funds or ETFs within the IRA could have achieved Nathan's growth objectives at a total annual cost of approximately 0.10-0.25%, compared to the 2.35% annual cost of the variable annuity -- a difference of roughly \$4,600-\$5,175 per year that compounds dramatically over a 20-year horizon. The Conflict of Interest Obligation was implicated by the \$13,800 commission, which created a material incentive for Cynthia to recommend the variable annuity over lower-cost alternatives. The



Disclosure Obligation required Cynthia to explain the redundancy of tax deferral, the layered fee structure, and the surrender charge schedule, none of which appear to have been adequately communicated. The likely outcome includes an order to rescind the annuity purchase with full restitution to Nathan including surrender charges and excess fees paid, disgorgement of commissions, a fine, and a potential suspension for Cynthia.

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**Item 74 of 499****COMPLIANT****Topic:** lack\_of\_diversification**Difficulty:** medium**Fact Pattern**

Samantha Aldridge, age 37, was a senior software engineer at a publicly traded technology company, earning \$210,000 per year plus stock-based compensation. Her total investment portfolio across all accounts was approximately \$1.1 million, consisting of \$400,000 in her employer's 401(k) plan (invested in a diversified mix of index funds), \$180,000 in a Roth IRA (invested in a target-date retirement fund), \$220,000 in a taxable brokerage account, and approximately \$300,000 in vested company stock. Samantha approached her financial advisor, Derek Flynn, in February 2023 and explained that she wanted to invest the \$220,000 in her taxable brokerage account. She told Derek she had a high risk tolerance, a long time horizon (25+ years to retirement), and wanted aggressive growth. She was knowledgeable about financial markets, held a personal interest in technology sector investing, and specifically stated she wanted concentrated exposure to artificial intelligence and semiconductor companies because she believed these sectors would outperform significantly over the next decade. Derek discussed the risks of sector concentration with Samantha, including the potential for significant drawdowns, the correlation with her existing company stock exposure, and the possibility that her thesis could be wrong. He documented their conversation in a detailed memorandum. He recommended a portfolio of 12 individual semiconductor and AI-related stocks plus two sector-specific ETFs for the \$220,000 account, while noting that her overall portfolio -- including her diversified 401(k), Roth IRA, and the concentrated brokerage account -- maintained a diversified asset allocation with the technology-concentrated account representing only 20% of her total \$1.1 million portfolio. He also recommended she begin a systematic plan to sell her \$300,000 in company stock over the next 12 months to reduce overall technology concentration. Commissions on the trades totaled \$440, consistent with a discount brokerage schedule. Samantha signed an acknowledgment that she understood the risks of sector concentration and that the recommendation was made in the context of her overall diversified portfolio.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Derek Flynn appears to have acted in compliance with applicable suitability and best interest standards. Under FINRA Rule 2111, the customer-specific suitability obligation requires an advisor to assess suitability based on the customer's investment profile, which includes investment objectives, risk tolerance, time horizon, financial situation, and other investments. Samantha was a high-income, financially sophisticated investor with a high risk tolerance, a long time horizon, and a clearly articulated desire for concentrated technology sector exposure. Importantly, when viewed in the context of her total portfolio, the concentrated position represented approximately 20% of her overall \$1.1 million in assets, with the remaining 80% held in broadly diversified vehicles (401(k) index funds and a target-date retirement fund). FINRA has recognized that concentration in a single account may be appropriate when the customer's overall portfolio maintains adequate diversification. Under Regulation Best Interest, the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill. Derek fulfilled this by: (1) discussing the risks of sector concentration explicitly, including correlation with her existing company stock; (2) documenting the conversation and rationale in a memorandum; (3) framing the recommendation within the context of the client's entire portfolio; (4) recommending a complementary strategy to reduce her company stock concentration; and (5) constructing the concentrated portfolio with 12 individual stocks and two ETFs rather than a single position, providing some diversification within the sector.

The Disclosure Obligation was satisfied through the risk discussion and written acknowledgment. The Conflict of Interest Obligation raises no concerns given the minimal \$440 in commissions on a discount schedule, indicating no incentive-driven recommendation. The recommendation also passes reasonable-basis suitability under Rule 2111 because sector-focused investing using individual equities and ETFs is a recognized, legitimate strategy for sophisticated investors with appropriate risk tolerance and time horizon. Derek's holistic approach -- analyzing suitability at the overall portfolio level, documenting the rationale, disclosing risks, obtaining client acknowledgment, and recommending risk-reducing measures for the company stock position -- represents a well-documented, compliant advisory process. No regulatory action would be expected.

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**Item 75 of 499****NON-COMPLIANT****Topic:** unsuitable\_income\_investor**Difficulty:** hard**Fact Pattern**

Margaret Cho, age 72, was a retired registered nurse living in San Diego, California. Her annual income consisted of \$26,400 from Social Security and \$12,000 from a small pension, totaling \$38,400 per year. She had \$175,000 in a brokerage account at a national wirehouse firm, which represented her entire liquid savings apart from a checking account with \$8,500. Margaret's account documentation listed her investment objective as 'income and preservation of capital' and her risk tolerance as 'conservative.' She told her advisor, James Fontana, that she needed the account to generate supplemental income to cover medical expenses and daily living costs, and that she could not afford to lose her savings. Between January 2022 and June 2023 -- an 18-month period -- James executed 347 trades in Margaret's account, primarily buying and selling dividend-paying stocks, preferred shares, corporate bonds, and closed-end funds. The trading pattern showed an average holding period of approximately 11 days. Many positions were sold at small losses shortly after purchase only to be replaced by similar securities. The account generated total commissions and transaction costs of \$41,300 over the 18-month period, representing approximately 23.6% of the starting portfolio value. The annualized turnover ratio was approximately 9.2 times the account's average equity. The annualized cost-to-equity ratio was approximately 18.7%. Despite the stated income objective, the frequent trading generated minimal net income. After accounting for commissions, the account value declined from \$175,000 to \$118,400 -- a loss of \$56,600 or 32.3%. Of the total \$56,600 loss, \$41,300 (73%) was attributable directly to commissions and transaction costs rather than market depreciation. Margaret did not discover the extent of the trading activity until her grandson, a certified public accountant, reviewed her account statements in July 2023 and noticed the extraordinary volume of transactions. James had discouraged Margaret from reviewing her statements, telling her 'the paperwork is just routine confirmations -- I'm keeping a close eye on everything for you.' Margaret had granted James discretionary authority over the account.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, James Fontana committed severe violations constituting churning, excessive trading, and unsuitable recommendations. Churning is one of the most serious forms of broker misconduct and is prohibited under FINRA Rule 2111 (quantitative suitability), Regulation Best Interest, and common law fiduciary principles. Under FINRA Rule 2111's quantitative suitability obligation, an advisor who has actual or de facto control over a customer account must not engage in trading that is excessive in light of the customer's investment profile. The quantitative indicators here are overwhelming: (1) Turnover ratio: The annualized turnover ratio of 9.2 far exceeds the threshold of 6.0 that courts and regulators have consistently held to be presumptive evidence of churning. Even a turnover ratio of 4.0 is considered suspicious for most accounts. (2) Cost-to-equity ratio: The annualized cost-to-equity ratio of 18.7% means Margaret's portfolio would have needed to generate an 18.7% annual return merely to break even after commissions -- an impossible standard for a conservative income portfolio. Courts and FINRA panels have found cost-to-equity ratios exceeding 8-12% to be strong evidence of excessive trading. (3) Control: James had express discretionary authority over the account, satisfying the control element required for a churning claim. Even without formal discretion, his discouraging Margaret from reviewing statements and his dominant role in decision-making would establish de facto control. Under Regulation Best Interest, every one of the 347 individual trade recommendations was required to meet

the Care Obligation -- each had to be in Margaret's best interest at the time it was made. The pattern of buying and selling similar income-producing securities at short intervals with minimal holding periods demonstrates that the trades were not made to benefit Margaret but to generate commissions for James. The average holding period of 11 days is incompatible with an income-oriented strategy, where the purpose of holding dividend stocks, bonds, and preferred shares is to collect periodic income distributions. The Conflict of Interest Obligation under Reg BI was violated because the commission-based compensation structure created an obvious incentive for excessive trading that was not mitigated through any compliance controls. The Disclosure Obligation was violated by James's active discouragement of Margaret's review of her own account statements, which constitutes concealment of material information. Beyond suitability rules, James's conduct likely violates FINRA Rule 2010 (Standards of Commercial Honor), FINRA Rule 2020 (Use of Manipulative, Deceptive or Other Fraudulent Devices -- the antifraud rule), and potentially Section 10(b) of the Securities Exchange Act of 1934 and Rule 10b-5 thereunder, as churning constitutes a fraudulent scheme. The firm may also bear supervisory liability under FINRA Rule 3110 for failure to detect the excessive trading through its compliance surveillance systems. Given Margaret's age (72), conservative profile, reliance on the advisor, and the fact that \$41,300 in commissions consumed 23.6% of her life savings, the case also raises concerns about elder financial exploitation. The expected regulatory outcome includes full restitution of losses (\$56,600), disgorgement of all commissions (\$41,300), substantial monetary fines, and a permanent bar from the securities industry for James Fontana. The firm would likely face supervisory sanctions and fines. In FINRA arbitration, Margaret would be entitled to compensatory damages, and the egregious nature of the misconduct -- including the concealment and the exploitation of a vulnerable elderly client -- could support an award of punitive damages.

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**Item 76 of 499****NON-COMPLIANT****Topic:** options\_unsuitable**Difficulty:** medium**Fact Pattern**

Maria Gutierrez, age 42, emigrated from Guatemala in 2005 and works as a hotel housekeeper in Orlando, Florida, earning \$34,000 per year. She and her husband, who works as a landscaper earning \$28,000 per year, have three children ages 8, 11, and 14. The family had accumulated \$95,000 in a brokerage account, representing their entire liquid savings, which they intended to use for their children's college education. Mrs. Gutierrez's new account form listed her investment objective as 'capital preservation/education funding,' her risk tolerance as 'low,' and her investment experience as 'none.' She spoke limited English and relied on her 14-year-old daughter to translate during meetings. In March 2023, their financial advisor, Kevin Dorsey, told Mrs. Gutierrez through her daughter that he had a strategy that could 'double the college fund in two years.' Over the next nine months, Dorsey executed 47 options trades in the account, including naked put writes on volatile biotech stocks and deep out-of-the-money call spreads on meme stocks. The options trading generated \$14,200 in commissions for Dorsey. By December 2023, the account had declined to \$31,400 -- a loss of \$63,600 or approximately 67% of the family's savings. Mrs. Gutierrez was not informed that options trading carried a risk of total loss, nor was she provided options disclosure documents in Spanish. Dorsey's firm had approved the account for Level 4 options trading despite the client profile indicating no experience and low risk tolerance.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Dorsey committed multiple serious violations.

**\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker have a reasonable basis for believing a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, experience, and time horizon. Mrs. Gutierrez's profile -- low risk tolerance, no investment experience, education savings objective, modest income -- is fundamentally incompatible with speculative options strategies such as naked put writing and out-of-the-money spreads on volatile securities. This violates the customer-specific suitability obligation. The quantitative suitability component is also implicated: 47 options trades in nine months in a \$95,000 education savings account suggests excessive trading.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under Reg BI's Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill to understand the risks and rewards of a recommended transaction and have a reasonable basis to believe the recommendation is in the customer's best interest without placing the broker's financial interest ahead of the customer's. Dorsey's \$14,200 in commissions on a \$95,000 account (approximately 15% of the account value in nine months) strongly suggests he prioritized his own compensation. Naked put writing and speculative options strategies cannot reasonably be said to serve the best interest of a non-English-speaking, inexperienced client saving for children's college education.

**\*\*Reg BI -- Disclosure Obligation:\*\*** Dorsey failed to provide meaningful disclosure. The client spoke limited English and relied on a 14-year-old child to translate. Options disclosure documents were not provided in a language the client

could understand, undermining any claim of informed consent.

**\*\*FINRA Rule 2360 (Options):\*\*** This rule requires that options accounts be approved based on an evaluation of the customer's investment objectives, experience, and financial situation. The firm's approval of Level 4 options trading (which includes naked writing) for a client with no experience and low risk tolerance represents a supervisory failure as well.

**\*\*FINRA Rule 3110 (Supervision):\*\*** The firm failed to adequately supervise by approving a Level 4 options account for a client whose profile was clearly incompatible with advanced options strategies.

**\*\*Likely Regulatory Outcome:\*\*** This case would likely result in significant sanctions. Dorsey faces suspension or bar from the industry, disgorgement of commissions, and a substantial fine. The firm faces liability for supervisory failures. The customer would likely receive full restitution of the \$63,600 loss plus commissions through arbitration or a regulatory enforcement proceeding. The exploitation of a language barrier and the use of a minor child as translator would be viewed as aggravating factors.

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**Item 77 of 499****NON-COMPLIANT****Topic:** concentration\_risk**Difficulty:** easy**Fact Pattern**

Dorothy Simmons, age 74, is a retired schoolteacher in Topeka, Kansas, living on a fixed income consisting of a \$1,800 monthly pension and \$1,400 monthly in Social Security benefits. Her late husband left her a \$340,000 IRA, which represents her only investment assets aside from a \$22,000 savings account. Mrs. Simmons suffers from early-stage dementia, a fact she disclosed to her advisor, Frank Bellamy, during their first meeting in January 2024. She stated her goals were 'safety and income to supplement my pension' and described her risk tolerance as 'very conservative.' She explicitly told Bellamy she 'could not afford to lose this money.' Between February and April 2024, Bellamy recommended that Mrs. Simmons invest \$290,000 of her \$340,000 IRA -- approximately 85% -- into a single real estate investment trust (REIT) that invested in commercial office properties. The REIT paid a 7.5% dividend but was non-traded, meaning it had no public market and imposed a five-year lock-up period with early redemption penalties of 10%. Bellamy earned a 7% upfront commission of \$20,300 on the sale. By mid-2024, the REIT announced it was suspending dividend payments due to declining office occupancy rates, and it marked down the net asset value of shares by 30%. Mrs. Simmons's \$290,000 investment was now valued at approximately \$203,000, and she could not access the funds without paying a substantial penalty.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Frank Bellamy committed clear and serious violations.

**\*\*FINRA Rule 2111 (Suitability) -- Customer-Specific Obligation:\*\*** Mrs. Simmons is a 74-year-old retiree with early-stage dementia, a fixed income, conservative risk tolerance, and a stated need for safety and income. Concentrating 85% of her only retirement asset into a single illiquid non-traded REIT is fundamentally unsuitable. The five-year lock-up period is particularly problematic for an elderly client with a cognitive condition who may need access to funds for medical care. The customer-specific suitability obligation requires that the advisor consider the client's entire financial situation, including age, health, liquidity needs, and risk tolerance.

**\*\*Regulation Best Interest -- Care Obligation:\*\*** Under Reg BI, Bellamy was required to exercise reasonable diligence, care, and skill in making recommendations. Placing 85% of a 74-year-old dementia patient's retirement savings into a single illiquid product with a five-year lock-up and 10% early redemption penalty is the antithesis of acting in the customer's best interest. The 7% upfront commission (\$20,300) creates an obvious conflict of interest and strongly suggests Bellamy prioritized his compensation over the client's welfare.

**\*\*Reg BI -- Conflict of Interest Obligation:\*\*** The substantial upfront commission on the non-traded REIT represents a material conflict of interest that Bellamy had an obligation to identify, disclose, and mitigate. Earning \$20,300 on a single transaction for a vulnerable elderly client raises serious concerns about whether the recommendation was driven by compensation rather than client need.

**\*\*Concentration Risk:\*\*** Even if a non-traded REIT were suitable in concept for income generation, concentrating 85%



of the client's retirement portfolio in a single illiquid product with a single sector exposure (commercial office space) creates unacceptable concentration risk. Diversification is a fundamental principle, and this level of concentration in a single product is virtually never appropriate for a conservative, elderly client.

**\*\*Potential Elder Financial Exploitation:\*\*** Mrs. Simmons disclosed her early-stage dementia. Many states and FINRA have heightened protections for senior investors. Recommending a complex, illiquid product to a client with known cognitive impairment raises additional concerns about whether the client could meaningfully understand and consent to the risks.

**\*\*Likely Regulatory Outcome:\*\*** Bellamy faces a lengthy suspension or industry bar, disgorgement of the \$20,300 commission, restitution to the client, and substantial fines. The firm faces supervisory liability for failing to flag and review a concentrated, illiquid investment recommendation for a senior client with disclosed cognitive impairment. Mrs. Simmons would likely receive full restitution through FINRA arbitration.

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**Item 78 of 499****COMPLIANT****Topic:** concentration\_risk**Difficulty:** hard**Fact Pattern**

James Whitfield, age 52, is the founder and CEO of a private cybersecurity firm in Northern Virginia. He has a net worth of approximately \$18 million, with \$6 million in liquid investment accounts, \$2 million in cash and money market funds, and the remainder in his private company equity. His annual income exceeds \$900,000. Whitfield has been an active investor for over 25 years, holds a CFA charter, and previously worked as a portfolio manager at a hedge fund before founding his company. He described his risk tolerance as 'aggressive,' his investment objective as 'growth,' and his time horizon as 'long-term (10+ years).' In June 2024, Whitfield approached his financial advisor, Sandra Choi, and expressed strong conviction that the artificial intelligence semiconductor sector would see extraordinary growth over the next decade. After extensive discussions spanning three meetings over two weeks, during which Choi presented detailed risk analyses including sector-specific volatility data, historical drawdown scenarios for concentrated technology positions, and stress-test projections, Whitfield directed Choi to invest \$2.4 million of his \$6 million liquid portfolio -- 40% -- across three leading AI semiconductor companies. Choi documented each conversation, provided written risk disclosures specific to sector concentration, noted that Whitfield's remaining \$3.6 million in liquid assets plus \$2 million cash provided substantial diversification, and recommended a trailing stop-loss strategy to manage downside risk, which Whitfield accepted. The allocation represented approximately 13% of Whitfield's total net worth. Choi also noted in her files that the concentration, while significant within the liquid portfolio, was partially offset by the client's substantial private company equity in a different technology subsector and his large cash reserves.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Sandra Choi acted properly and did not violate suitability or best interest standards.

**\*\*FINRA Rule 2111 (Suitability) Analysis:\*\*** Under the customer-specific suitability obligation, the recommendation must be consistent with the customer's investment profile. Whitfield is a 52-year-old, highly sophisticated investor (CFA charterholder, former hedge fund portfolio manager) with a \$18 million net worth, aggressive risk tolerance, growth objective, and a long-term time horizon. The \$2.4 million concentration in AI semiconductor stocks represents 40% of his liquid portfolio but only approximately 13% of his total net worth. Given his substantial remaining liquid assets (\$3.6 million) and cash reserves (\$2 million), the concentration does not jeopardize his overall financial security. His sophisticated background means he has the knowledge and experience to understand the risks of sector concentration.

**\*\*Regulation Best Interest -- Care Obligation:\*\*** Choi exercised reasonable diligence, care, and skill. She conducted three meetings over two weeks, presented detailed risk analyses including sector-specific volatility data and historical drawdown scenarios, and stress-tested the concentration. She did not merely acquiesce to the client's request but engaged in substantive analysis and discussion. This demonstrates the level of care expected under Reg BI.

**\*\*Reg BI -- Disclosure Obligation:\*\*** Choi provided written risk disclosures specific to sector concentration. Her thorough documentation of conversations and risk analyses demonstrates compliance with disclosure requirements.

**\*\*Concentration Risk Mitigation:\*\*** While 40% of a liquid portfolio in a single sector is a significant concentration, several factors mitigate the concern: (1) the client directed the strategy based on informed conviction; (2) the position is diversified across three companies rather than a single stock; (3) the client has substantial assets outside the concentrated position; (4) Choi recommended and implemented a trailing stop-loss strategy to manage downside risk; (5) the client's sophistication (CFA charter, former portfolio manager) means he fully understands the risk-return tradeoff.

**\*\*Documentation:\*\*** Choi's thorough documentation of each meeting, risk disclosures, the client's rationale, and the risk mitigation strategy represents best practices and would serve as strong evidence of compliance in any future dispute.

**\*\*Likely Regulatory Outcome:\*\*** If this were reviewed by regulators or raised in an arbitration claim, Choi's thorough process, documentation, and the client's sophisticated profile would strongly support a finding of no violation. The recommendation was reasonable given the totality of circumstances.

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## Item 79 of 499

## NON-COMPLIANT

**Topic:** leveraged\_etf\_unsuitable

**Difficulty:** medium

## Fact Pattern

Harold and Beatrice Chen, ages 69 and 67 respectively, are a retired couple in Portland, Oregon. Harold is a former electrician and Beatrice a former dental hygienist. Their combined retirement assets total \$410,000 -- consisting of Harold's rollover IRA (\$260,000) and Beatrice's traditional IRA (\$150,000). They receive \$3,200 per month in combined Social Security benefits and have no pension. Their monthly living expenses are approximately \$4,500, meaning they need to withdraw about \$1,300 per month from their IRAs to cover the shortfall. Both listed their risk tolerance as 'moderate' and their investment objective as 'income and capital preservation.' Neither has any experience with derivatives, leveraged products, or complex financial instruments. Their prior investments consisted entirely of certificates of deposit and a balanced mutual fund. In August 2023, their new advisor, Tyler Rourke, recommended they invest \$180,000 from Harold's IRA and \$120,000 from Beatrice's IRA -- a total of \$300,000, or 73% of their combined retirement savings -- into a 3x leveraged bull ETF tracking the NASDAQ-100 index. Rourke told the Chens the fund would 'triple the gains of big tech companies' and was a way to 'supercharge their retirement.' He did not explain that leveraged ETFs are designed for single-day holding periods, that compounding effects can cause dramatic value erosion over time regardless of the underlying index's direction, or that a 33% decline in the NASDAQ-100 could theoretically wipe out their entire investment in a single day. Rourke earned a \$1,500 commission on the trades. By February 2024, despite the NASDAQ-100 being roughly flat over the period, the 3x leveraged ETF had lost approximately 14% of its value due to volatility decay and compounding effects. The Chens' \$300,000 investment was worth approximately \$258,000, a \$42,000 loss, and they were simultaneously drawing down the account for living expenses.

## Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

## Answer

Yes, Tyler Rourke committed serious violations.

**\*\*FINRA Rule 2111 (Suitability) -- Reasonable-Basis Obligation:\*\*** FINRA has issued specific guidance (Regulatory Notice 09-31) warning that leveraged and inverse ETFs are complex products that are generally unsuitable for retail investors who plan to hold them for longer than one trading session. These products are designed to deliver a multiple of an index's daily return and are subject to significant value erosion over time due to volatility decay and the mathematical effects of daily compounding. Rourke either did not understand this fundamental characteristic of the product (a reasonable-basis suitability failure) or understood it and recommended it anyway.

**\*\*FINRA Rule 2111 -- Customer-Specific Obligation:\*\*** The Chens are retired, in their late 60s, with moderate risk tolerance, income/preservation objectives, no experience with complex products, and a need to draw down their accounts monthly for living expenses. A 3x leveraged NASDAQ-100 ETF is antithetical to every element of their investment profile. This product is designed for sophisticated, short-term traders -- not retired couples living off their savings. Concentrating 73% of their retirement savings in this single product compounds the violation.

**\*\*Regulation Best Interest -- Care Obligation:\*\*** Under Reg BI, Rourke was required to understand the risks, rewards,

and costs of the leveraged ETF and have a reasonable basis to believe the recommendation was in the Chens' best interest. A 3x leveraged ETF as a long-term holding for retirees who need income fails this test on every dimension. The product's daily reset mechanism makes it structurally unsuitable for buy-and-hold investors.

**\*\*Reg BI -- Disclosure Obligation:\*\*** Rourke's description of the fund as a way to 'triple the gains of big tech companies' and 'supercharge their retirement' was materially misleading. He failed to disclose that the fund is designed for single-day holding, that compounding can erode value even when the underlying index is flat or rising, and that a 33% index decline could result in near-total loss. This constitutes a failure to provide full and fair disclosure of material facts.

**\*\*Concentration:\*\*** Placing 73% of the couple's total retirement savings in a single leveraged product -- when these are their only assets supporting a monthly income shortfall -- represents dangerous and unsuitable concentration.

**\*\*Likely Regulatory Outcome:\*\*** Rourke faces suspension or bar, disgorgement of commissions, and fines. The firm faces supervisory liability for failing to prevent the sale of a 3x leveraged ETF as a long-term retirement holding. The Chens would likely receive full restitution of their \$42,000 loss (and any subsequent losses) through FINRA arbitration. This is a straightforward case that regulators and arbitration panels would view very unfavorably.

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**Item 80 of 499****NON-COMPLIANT****Topic:** mutual\_fund\_switching\_churning**Difficulty:** medium**Fact Pattern**

Patricia Alvarado, age 58, is an administrative assistant at a law firm in San Antonio, Texas, earning \$52,000 per year. She has \$185,000 in a brokerage account that she has been building for retirement over the past 20 years, and an additional \$40,000 in a 401(k). She is unmarried with no dependents. Her risk tolerance is listed as 'moderate,' her investment objective as 'growth with income,' and her time horizon as 'long-term (7-10 years until retirement).' Between January 2022 and December 2023, her financial advisor, Craig Denning, recommended that Ms. Alvarado switch between mutual funds in her brokerage account a total of 14 times. In each instance, Denning recommended selling one mutual fund family's large-cap growth or balanced fund and purchasing a substantially similar fund from a different fund family. For example, in March 2022 he moved \$65,000 from a Fidelity large-cap growth fund to a T. Rowe Price large-cap growth fund, and then in August 2022 he moved the same money into an American Funds growth fund. Each switch involved the sale of Class A shares with front-end loads ranging from 4.25% to 5.75%. Over the two-year period, Ms. Alvarado paid a total of approximately \$19,400 in front-end sales loads on the 14 switches. Denning received approximately 60% of each sales load as his commission, totaling roughly \$11,640. The funds she was switched into had virtually identical investment strategies, similar expense ratios, and comparable historical performance to the funds she was switched out of. At no point did Denning recommend lower-cost share classes, breakpoint-eligible investments, or no-load alternatives. Ms. Alvarado's account grew by only \$4,200 over the two-year period -- meaning the \$19,400 in loads consumed nearly all of the investment gains, and her net return after costs was actually negative. Denning did not document any material reason for any of the switches beyond noting 'portfolio optimization' in his records.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Craig Denning committed multiple violations through a clear pattern of mutual fund switching.

**\*\*FINRA Rule 2111 (Suitability) -- Quantitative Suitability:\*\*** The quantitative suitability obligation prohibits a broker from recommending a series of transactions that, even if individually suitable, are excessive in light of the customer's investment profile when taken together. Fourteen mutual fund switches in 24 months -- each involving front-end loads on Class A shares -- in an account belonging to a moderate-risk, long-term investor is textbook excessive activity. The switches generated \$19,400 in loads that consumed virtually all investment gains, resulting in a net negative return for the client.

**\*\*FINRA Rule 2111 -- Customer-Specific Suitability:\*\*** Each individual switch must also be suitable. Switching from one large-cap growth fund to a substantially similar large-cap growth fund from a different family -- with comparable strategies, expense ratios, and performance -- while triggering a new front-end load of 4.25%-5.75% each time provides no demonstrable benefit to the client. Without a material difference in the funds, each switch was unsuitable because the costs outweighed any reasonable expectation of benefit.

**\*\*Regulation Best Interest -- Care Obligation:\*\*** Under Reg BI, Denning was required to have a reasonable basis to believe each recommended switch was in Ms. Alvarado's best interest and not place his financial interest ahead of

hers. The pattern of switching into substantially identical funds while generating \$11,640 in personal commissions demonstrates that the recommendations were driven by Denning's compensation interest, not the client's welfare. His documentation of 'portfolio optimization' without any substantive rationale is inadequate.

**\*\*Reg BI -- Conflict of Interest Obligation:\*\*** Each switch generated a new front-end load, 60% of which went to Denning as a commission. This is a material conflict of interest that Denning had an obligation to identify, disclose, and mitigate. There is no evidence he disclosed that each switch primarily benefited him financially or that substantially similar funds could have been held without incurring repeated loads.

**\*\*FINRA Regulatory Notice 12-25 (Mutual Fund Switching):\*\*** FINRA has specifically identified mutual fund switching -- the practice of recommending that customers sell shares in one mutual fund to purchase shares in another fund without a legitimate investment rationale -- as a practice that raises serious suitability concerns, particularly when each transaction generates new sales charges.

**\*\*Breakpoint Violations:\*\*** Denning's failure to recommend breakpoint-eligible share classes or to aggregate purchases to qualify for volume discounts may constitute a separate violation. Had Ms. Alvarado's assets been consolidated in a single fund family, she likely would have qualified for reduced sales loads at various breakpoint levels.

**\*\*Likely Regulatory Outcome:\*\*** Denning faces suspension or bar, disgorgement of approximately \$11,640 in commissions, and fines. The firm faces supervisory liability under FINRA Rule 3110 for failing to detect and prevent a pattern of 14 mutual fund switches in two years -- a pattern that should have triggered automated surveillance alerts. Ms. Alvarado would likely receive restitution of the approximately \$19,400 in unnecessary sales loads through FINRA arbitration. Mutual fund switching cases are well-established and typically result in findings in favor of the customer.

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**Item 81 of 499****NON-COMPLIANT****Topic:** private\_placements\_unsuitable**Difficulty:** medium**Fact Pattern**

Gerald Thompson, age 58, is a high school janitor earning \$42,000 per year. He has a total liquid net worth of \$135,000, most of which came from a small inheritance he received in 2021 after his mother passed away. Gerald has no prior investment experience and told his financial advisor, Kevin Marsh, that he wanted to keep the money safe so he could use it for retirement in seven years. Gerald's account documents list his risk tolerance as 'conservative' and his investment objective as 'capital preservation.' In March 2022, Kevin recommended that Gerald invest \$100,000 into a private placement offering in a startup real estate development company that was building luxury condominiums in a secondary market. The private placement had a minimum five-year lockup period, no guaranteed distributions, carried a 10% upfront sales commission, and disclosed in its offering memorandum that investors could lose their entire principal. Kevin told Gerald that the investment was 'basically like owning real estate' and that it would 'probably double in value within a few years.' Kevin earned a \$10,000 commission on the sale. By late 2023, the development company had run into permitting delays and cost overruns, and it suspended all investor distributions. Gerald's \$100,000 investment was marked down to approximately \$35,000 on his statement. Gerald now has roughly \$70,000 in remaining liquid assets and faces retirement in five years with significantly diminished savings.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Marsh violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and other relevant factors. There are three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Under the SEC's Reg BI, a broker-dealer must act in the best interest of a retail customer when making a recommendation, which includes a Care Obligation requiring the broker to exercise reasonable diligence, care, and skill in understanding the product and having a reasonable basis to believe the recommendation is in the customer's best interest considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation.
3. **\*\*FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade):\*\*** Misleading a customer about the nature of an investment may separately violate this general ethical standard.

**\*\*Analysis:\*\***



- **Customer-Specific Suitability Violation:** Gerald's profile--conservative risk tolerance, capital preservation objective, limited income (\$42,000/year), modest liquid net worth (\$135,000), no investment experience, and a seven-year retirement horizon--is fundamentally incompatible with a speculative, illiquid private placement in a startup real estate development company. Private placements are typically suitable only for high-net-worth, sophisticated investors who can tolerate total loss and extended illiquidity.

- **Concentration:** The \$100,000 recommendation represented approximately 74% of Gerald's total liquid net worth in a single illiquid, speculative investment. This extreme concentration in a high-risk product for a conservative investor with limited assets is a clear violation.

- **Liquidity Mismatch:** The five-year lockup meant Gerald would have no access to the bulk of his savings as he approached retirement, directly conflicting with his stated objective and time horizon.

- **Misleading Statements:** Kevin's characterization of the private placement as 'basically like owning real estate' that would 'probably double in value' was materially misleading and minimized the speculative nature and risk of total loss disclosed in the offering memorandum.

- **Excessive Compensation:** The 10% upfront commission (\$10,000) created a significant conflict of interest that should have been carefully weighed under Reg BI's Conflict of Interest Obligation.

**Likely Regulatory Outcome:** Kevin Marsh would likely face FINRA enforcement action including fines, disgorgement of commissions, a suspension or bar from the industry, and an order to pay restitution to Gerald. The supervising broker-dealer could face supervisory failure charges under FINRA Rule 3110 for failing to review and flag this clearly unsuitable recommendation. Gerald would also have a strong case in FINRA arbitration for compensatory damages.

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**Item 82 of 499****NON-COMPLIANT****Topic:** senior\_investor\_exploitation**Difficulty:** hard**Fact Pattern**

Dorothy Winslow, age 83, is a retired elementary school teacher living in assisted living in suburban Ohio. She receives \$2,100 per month in Social Security and a \$1,400 monthly pension. Her total liquid assets are approximately \$410,000 held in an IRA and a taxable brokerage account. Dorothy was diagnosed with mild cognitive impairment in early 2021, a fact documented in her medical records but not disclosed to her financial advisor. Her son, Richard, holds durable power of attorney but lives out of state and has limited involvement in her finances. Dorothy's longtime financial advisor retired in 2022, and her account was reassigned to Marcus Bell, a 29-year-old advisor at the same firm. Marcus visited Dorothy at her assisted living facility three times between June and September 2022. During these visits, he recommended a comprehensive restructuring of her portfolio. Previously, Dorothy held a conservative mix of Treasury bonds, CDs, and a balanced mutual fund. Marcus recommended she liquidate all existing holdings and reinvest as follows: \$175,000 in a non-traded REIT with a seven-year holding period, \$120,000 in a variable annuity with a ten-year surrender period and annual fees of 3.4%, and \$115,000 in a portfolio of individual high-yield corporate bonds rated BB and below. Marcus did not contact Richard or inquire about Dorothy's health status, cognitive capacity, or whether anyone held power of attorney, despite observing that Dorothy asked him to repeat himself multiple times and appeared confused about the paperwork she was signing. Dorothy's account forms, updated by Marcus, listed her risk tolerance as 'moderate growth' and her investment objective as 'growth and income'--a change from her prior profile which listed 'conservative' and 'income.' Marcus earned approximately \$28,000 in commissions and trailer fees in the first year. By mid-2023, the variable annuity had lost 11% in value due to subaccount performance, the non-traded REIT suspended redemptions, and two of the high-yield bonds were downgraded to CCC. Dorothy's son discovered the changes when reviewing her year-end statements during a holiday visit in December 2023.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Marcus Bell committed serious violations across multiple regulatory frameworks, and the facts suggest potential financial exploitation of a senior investor.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires reasonable-basis, customer-specific, and quantitative suitability. The customer's investment profile--including age, financial situation, risk tolerance, investment experience, time horizon, liquidity needs, and other relevant information--must be considered.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** The Care Obligation requires the advisor to exercise reasonable diligence, care, and skill, and to consider reasonably available alternatives. The Disclosure Obligation requires full and fair disclosure of material facts including conflicts. The Conflict of Interest Obligation requires policies to identify and mitigate conflicts.
3. **\*\*FINRA Rule 2165 (Financial Exploitation of Specified Adults):\*\*** This rule permits (but does not require) member

firms to place temporary holds on disbursements when there is a reasonable belief of financial exploitation of a customer aged 65 or older or a customer with mental or physical impairment. While this rule is permissive, it reflects FINRA's heightened concern for senior investors.

4. **FINRA Rule 4512(a)(1)(F):** Requires firms to make reasonable efforts to obtain the name and contact information of a trusted contact person for customer accounts, which is designed in part to protect seniors.

5. **FINRA Rule 2010 (Standards of Commercial Honor):** Marcus's conduct in changing Dorothy's risk profile without a genuine basis and proceeding with transactions despite observable signs of cognitive impairment implicates this catch-all ethical standard.

6. **FINRA Regulatory Notice 07-43 (Senior Investors):** Provides guidance on obligations when dealing with senior customers, including heightened scrutiny of recommendations and attention to diminished capacity.

**Analysis:**

- **Customer-Specific Suitability:** Dorothy is 83 years old, living in assisted care, and dependent on fixed income totaling \$3,500/month. Her prior advisor had her appropriately positioned in conservative, income-producing, liquid investments. Marcus replaced this entire portfolio with illiquid, high-cost, high-risk products. A seven-year non-traded REIT lockup and ten-year annuity surrender period are facially inappropriate for an 83-year-old--Dorothy would be 90 and 93 respectively before accessing these funds without penalty. The high-yield bond allocation further exposed her to credit risk unsuitable for an income-dependent retiree.

- **Profile Manipulation:** Marcus changed Dorothy's documented risk tolerance from 'conservative' to 'moderate growth' and her objective from 'income' to 'growth and income' without any credible basis. This appears to have been done to make the unsuitable recommendations appear superficially suitable--a practice known as 'profile stuffing' which is itself a serious violation.

- **Failure to Investigate Capacity:** Marcus observed clear signs of confusion (repeated questions, apparent difficulty understanding paperwork) yet did not pause, escalate to compliance, or contact the trusted contact/power of attorney holder. Under Reg BI's Care Obligation and general supervisory standards, an advisor who observes red flags of diminished capacity has a duty to take protective steps.

- **Excessive Costs and Conflicts:** The \$28,000 in first-year compensation, the 3.4% annual variable annuity fees, and the upfront commissions on the non-traded REIT all represent significant costs that were not in Dorothy's best interest, particularly when lower-cost alternatives (such as her existing Treasury bonds and balanced fund) were clearly more appropriate.

- **Concentration and Liquidity Risk:** Placing 100% of Dorothy's liquid assets into products that are either illiquid or subject to surrender charges eliminated her financial flexibility and created a dangerous situation for an elderly person who may need funds for medical care or changes in living arrangements.

**Likely Regulatory Outcome:** This case would likely draw significant regulatory attention due to the senior investor dimension. Marcus would face FINRA enforcement for suitability violations, Reg BI violations, and potentially for financial exploitation of a senior. Likely sanctions include a substantial fine, disgorgement of all commissions earned, restitution to Dorothy, and a lengthy suspension or permanent bar. The firm would face supervisory failure charges under FINRA Rules 3110 and 3120 for failing to detect the profile changes, the unsuitable recommendations, and for failing to implement adequate senior investor protections. Richard, as power of attorney holder, would have strong grounds for a FINRA arbitration claim seeking full compensatory damages and potentially punitive damages given the egregiousness of the conduct.

## Item 83 of 499

## COMPLIANT

**Topic:** complex\_products\_unsophisticated\_investor

**Difficulty:** easy

## Fact Pattern

Priya Kapoor, age 34, is a software engineer earning \$145,000 per year with a net worth of approximately \$620,000, including \$280,000 in retirement accounts and \$340,000 in taxable savings and investments. She has been investing for ten years, holds a personal portfolio of individual stocks and index ETFs, and reads financial publications regularly. Her account documents list her risk tolerance as 'aggressive' and her investment objectives as 'growth.' In January 2023, Priya approached her financial advisor, Danielle Reeves, and asked about adding leveraged ETFs to her taxable account to amplify returns on a short-term tactical bet she wanted to make on the technology sector. Danielle discussed in detail how leveraged ETFs work, including daily rebalancing mechanics, volatility decay, the risk of amplified losses, and why these products are generally only appropriate for short-term, actively monitored positions. She provided Priya with the product prospectus and a separate risk disclosure document prepared by the firm. After confirming that Priya understood the risks and intended to hold the position for no more than two to four weeks, Danielle helped her allocate \$25,000--approximately 7.3% of her taxable account and 4% of her total net worth--to a 2x leveraged technology sector ETF. Priya signed an enhanced suitability questionnaire and a supplemental risk acknowledgment form. Over the following three weeks, the position gained 14%, and Priya sold the entire position in February 2023, netting approximately \$3,500 in profit before taxes. Danielle earned a standard commission of \$75 on the trade.

## Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

## Answer

No, Danielle Reeves acted in compliance with applicable suitability and best interest standards.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires that a recommended transaction be suitable based on the customer's investment profile. All three components--reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer), and quantitative suitability (not excessive)--must be met.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Requires the broker to act in the retail customer's best interest, including the Care Obligation (reasonable diligence in understanding the product and the customer's profile), Disclosure Obligation (disclosing material facts including risks and conflicts), and Conflict of Interest Obligation.
3. **\*\*FINRA Regulatory Notice 09-31 (Non-Traditional ETFs):\*\*** Provides guidance on the sale of leveraged and inverse ETFs, emphasizing that these products require heightened suitability analysis and are generally suitable only for sophisticated investors who understand the risks and intend to actively monitor their positions.

**\*\*Analysis:\*\***

- **\*\*Reasonable-Basis Suitability:\*\*** Danielle demonstrated a thorough understanding of leveraged ETFs and communicated the key risks--daily rebalancing, volatility decay, and amplified losses--to the customer. She provided the

prospectus and firm risk disclosures.

- **\*\*Customer-Specific Suitability:\*\*** Priya's profile supports this recommendation. She is 34, has a high income (\$145,000), substantial net worth (\$620,000), aggressive risk tolerance, growth objectives, ten years of investing experience, and familiarity with equity products. The allocation of \$25,000 (4% of total net worth) was modest and did not create dangerous concentration. The product aligned with her stated desire for a short-term tactical technology sector bet.

- **\*\*Informed Consent and Disclosure:\*\*** Danielle went beyond the minimum by discussing the specific mechanics of the product, providing supplemental risk disclosures, obtaining a signed enhanced suitability questionnaire and risk acknowledgment, and confirming the customer's intended holding period.

- **\*\*Holding Period Appropriate:\*\*** Leveraged ETFs are designed for short-term use. Priya held the position for approximately three weeks, consistent with the product's intended use and the advisor's guidance.

- **\*\*Minimal Conflict:\*\*** The \$75 standard commission represents a negligible incentive and does not suggest any conflict-driven motivation.

**\*\*Likely Regulatory Outcome:\*\*** No violation. This transaction exemplifies appropriate handling of a complex product recommendation--thorough due diligence, a suitable customer profile, proper disclosure, appropriate position sizing, and documentation of the customer's understanding and consent. If reviewed by regulators, this would likely be viewed as a model of compliant practice.

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## Item 84 of 499

## NON-COMPLIANT

**Topic:** market\_timing\_unsuitable

**Difficulty:** medium

## Fact Pattern

Robert Hensley, age 52, is a mid-level operations manager at a manufacturing company earning \$88,000 per year. He has \$210,000 in a rollover IRA that represents his entire retirement savings after leaving a previous employer. Robert told his financial advisor, Craig Fulton, that he wanted steady, long-term growth for retirement and did not want to take unnecessary risks. His account documents reflect a 'moderate' risk tolerance and a 'long-term growth' investment objective. Between January 2022 and June 2023, Craig executed 147 trades in Robert's IRA, moving the entire portfolio in and out of equity mutual funds, bond funds, and money market funds roughly every two to three weeks. Craig told Robert he was 'reading the market' and 'protecting the account from downturns' by timing sector rotations. Many of these trades involved Class A mutual fund shares with front-end loads of 4.5% to 5.75%, meaning Robert paid a sales charge each time Craig moved money into a new fund. Over the 18-month period, Robert's account incurred approximately \$47,000 in cumulative sales charges and transaction costs. The account value declined from \$210,000 to approximately \$158,000--a loss of \$52,000--of which \$47,000 was attributable to trading costs alone. The underlying fund performance, had the account been held without frequent trading, would have resulted in a modest gain of approximately \$8,000 over the same period. Craig earned approximately \$34,000 in commissions from the activity. Robert did not request frequent trading and trusted Craig's judgment, reviewing statements only occasionally.

## Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

## Answer

Yes, Craig Fulton committed serious violations related to excessive trading (churning) and unsuitable market timing activity.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability) -- Quantitative Suitability:\*\*** The quantitative suitability obligation under Rule 2111.05(c) specifically addresses excessive trading. A broker who has actual or de facto control over a customer account violates this obligation if the level of trading activity, considering the customer's profile, is excessive. Key metrics include the turnover rate and cost-to-equity ratio.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under Reg BI, a broker must not place their own financial interest ahead of the customer's. Recommending a series of transactions that, even if individually suitable, are excessive in frequency and generate costs that erode the customer's account is a violation of the Care Obligation.
3. **\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Churning violates the ethical standards of the securities industry.
4. **\*\*FINRA Rule 2111.05(c):\*\*** Explicitly states that quantitative suitability requires that a broker with control over a customer account have a reasonable basis for believing that the recommended series of transactions is not excessive and is suitable when taken together in light of the customer's investment profile.

**\*\*Analysis:\*\***

- **\*\*De Facto Control:\*\*** Although Robert's account was nominally non-discretionary, Craig exercised de facto control. Robert trusted Craig's judgment, did not initiate or request the trades, and reviewed statements only occasionally. Courts and FINRA arbitration panels routinely find de facto control when a customer relies on the broker's recommendations and does not meaningfully participate in trading decisions.

- **\*\*Excessive Trading Metrics:\*\*** With 147 trades in an 18-month period on a \$210,000 account, the annualized turnover rate is extremely high. The cost-to-equity ratio--the amount the account must earn annually just to break even after costs--is devastating. The \$47,000 in trading costs over 18 months on an average equity base represents a cost-to-equity ratio of approximately 14.9% annualized, far exceeding the threshold of approximately 2% that FINRA and courts have historically considered presumptively excessive.

- **\*\*Market Timing in Load Funds:\*\*** The strategy of frequently rotating among Class A mutual fund shares with 4.5%-5.75% front-end loads is inherently destructive. Each round-trip trade consumed nearly 5% of the invested amount in sales charges alone. No legitimate market-timing strategy would use load funds for frequent rotation, as the costs virtually guarantee losses relative to a buy-and-hold approach.

- **\*\*Unsuitability of Strategy:\*\*** Robert's moderate risk tolerance and long-term growth objective called for a buy-and-hold or modest rebalancing approach--not 147 trades in 18 months. The strategy was inconsistent with his profile and served primarily to generate commissions for Craig.

- **\*\*Damages:\*\*** The \$52,000 account decline--of which \$47,000 was trading costs--demonstrates that the trading activity directly caused Robert's losses. The \$8,000 gain that would have resulted from a static allocation confirms that the losses were attributable to churning, not market conditions.

**\*\*Likely Regulatory Outcome:\*\*** Craig Fulton would face FINRA enforcement for churning under Rule 2111 (quantitative suitability), Reg BI violations, and Rule 2010 violations. Likely sanctions include disgorgement of the \$34,000 in commissions, restitution to Robert for the full \$52,000 loss (or potentially the \$60,000 difference between the actual outcome and the hypothetical buy-and-hold outcome), a substantial fine, and a bar or lengthy suspension from the securities industry. The firm would face supervisory failure charges under FINRA Rule 3110 for failing to detect the excessive trading through exception reporting or supervisory review. In FINRA arbitration, Robert would likely receive compensatory damages based on a well-managed account comparison.

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## Item 85 of 499

## NON-COMPLIANT

**Topic:** alternative\_investments\_unsuitable

**Difficulty:** hard

## Fact Pattern

Tomás and Elena Reyes, ages 61 and 59 respectively, are a married couple living in Phoenix, Arizona. Tomás works as a city bus driver earning \$54,000 per year, and Elena is a part-time home health aide earning \$22,000 per year, giving them a combined household income of \$76,000. Their total investable assets are approximately \$290,000, consisting of \$180,000 in Tomás's 401(k) rollover IRA, \$65,000 in a joint taxable brokerage account, and \$45,000 in a savings account that serves as their emergency fund. They have no other significant assets besides their home, on which they still owe \$95,000 on the mortgage. Their account documents list their risk tolerance as 'moderate' and their investment objectives as 'income and capital preservation' with a stated time horizon of five to eight years until Tomás plans to retire. Their financial advisor, Nathan Bridges, met with them in April 2022 and recommended an extensive reallocation of their portfolio into alternative investments. Specifically, Nathan recommended: (1) \$80,000 from the IRA into a non-traded business development company (BDC) that invested in subordinated debt of mid-market companies, carrying annual management and incentive fees totaling 4.8% and a five-year lockup with early redemption penalties of 10%; (2) \$60,000 from the IRA into a private oil and gas drilling partnership structured as a limited partnership interest, with projected returns based on successful drilling outcomes and tax advantages that Nathan emphasized would 'shelter their retirement income,' though the IRA wrapper negated most tax benefits since IRAs are already tax-deferred; (3) \$50,000 from the joint brokerage account into a hedge fund-of-funds with a two-year lockup, a 1.5% management fee, a 20% performance fee, and an additional 1% fund-of-funds layer fee; and (4) \$25,000 from the joint brokerage account into a structured note linked to a basket of emerging market currencies with a three-year maturity and principal at risk if any currency in the basket declined more than 30%. In total, Nathan moved \$215,000 of the couple's \$290,000 in investable assets--74%--into illiquid or complex alternative investments. Nathan earned approximately \$19,500 in upfront commissions and placement fees across these four investments. He did not discuss lower-cost alternatives such as diversified bond funds or balanced index funds. By December 2023, the BDC had suspended quarterly distributions due to rising defaults in its loan portfolio, the oil and gas partnership reported that two of three wells were dry holes resulting in a 60% write-down of invested capital, the hedge fund-of-funds returned negative 8% net of all fees, and the structured note was at risk of breaching the 30% currency decline barrier on the Brazilian real component. The couple's combined alternative investment portfolio had declined to approximately \$128,000 from the original \$215,000 invested, a loss of \$87,000. Their remaining liquid assets consisted solely of their \$45,000 emergency fund and \$15,000 left in the brokerage account.

## Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

## Answer

Yes, Nathan Bridges committed egregious violations of suitability and best interest standards across multiple dimensions.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** All three components--reasonable-basis, customer-specific, and quantitative suitability--were violated.



2. **Regulation Best Interest (Reg BI):** The Care Obligation, Disclosure Obligation, and Conflict of Interest Obligation were all violated.

3. **FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade):**

4. **FINRA Rule 2210 (Communications with the Public):** Nathan's misleading statement about tax shelter benefits of the oil and gas partnership within an IRA may implicate standards regarding fair and balanced communications.

5. **If Nathan were acting in an investment advisory capacity, the fiduciary duty under the Investment Advisers Act of 1940 would impose an even higher standard, including duties of care and loyalty.**

**Detailed Analysis:**

- **Reasonable-Basis Suitability Failures:** Several of these products require specialized knowledge to evaluate. The oil and gas drilling partnership is inherently speculative--exploration-stage investments carry a high probability of total loss. The structured note linked to emerging market currencies is a complex derivative product with path-dependent risks. Nathan had an obligation to understand these products thoroughly before recommending them. The fact that he promoted tax benefits of the oil and gas partnership inside an already tax-deferred IRA strongly suggests he did not understand the product or was being deliberately misleading, as the tax deductions that make oil and gas partnerships attractive (intangible drilling costs, depletion allowances) provide no incremental benefit inside an IRA.

- **Customer-Specific Suitability Failures:** Tomás and Elena's profile is fundamentally incompatible with every one of these recommendations:

- **Age and Time Horizon:** At ages 61 and 59, with a five-to-eight-year retirement horizon, they need accessible, income-producing investments--not products with five-year lockups, two-year lockups, and three-year maturities with principal risk.

- **Income and Net Worth:** Their combined \$76,000 income and \$290,000 in investable assets place them squarely in a moderate-income, moderate-wealth category. Alternative investments such as BDCs, hedge funds, oil and gas partnerships, and structured notes are typically designed for high-net-worth and institutional investors who can tolerate total loss of invested capital.

- **Risk Tolerance and Objectives:** Their documented moderate risk tolerance and income/capital preservation objectives directly contradict allocation to speculative drilling partnerships, leveraged credit instruments, and currency-linked structured notes.

- **Sophistication:** A bus driver and part-time home health aide, with no indication of financial sophistication or prior experience with complex products, are not appropriate candidates for any of these investments, let alone all four simultaneously.

- **Concentration:** Allocating \$215,000 of \$290,000 (74%) to illiquid alternative investments is extreme and reckless for any moderate-risk investor, but it is particularly egregious for a pre-retirement couple with modest income and no other financial safety net beyond a \$45,000 emergency fund. This concentration left them with virtually no liquid investment assets.

- **Liquidity Mismatch:** The lockup periods (five years for the BDC, two years for the hedge fund-of-funds, three years for the structured note, and indefinite for the oil and gas partnership) meant that the majority of their assets would be completely inaccessible during a critical pre-retirement period when flexibility is essential.

- **Excessive and Undisclosed Costs:** The cumulative fee burden is staggering: the BDC's 4.8% annual fees, the hedge fund-of-funds' combined 2.5%+ annual fees plus 20% performance fee, plus the embedded costs in the structured note and partnership. Nathan earned \$19,500 in upfront commissions--approximately 9% of the invested

amount--creating an enormous conflict of interest. He failed to discuss lower-cost alternatives (diversified bond funds, balanced index funds) that would have been far more appropriate for the couple's profile, violating the Reg BI Care Obligation's requirement to consider reasonably available alternatives.

- **Misleading Tax Advice:** Nathan's emphasis on the oil and gas partnership's ability to 'shelter their retirement income' within an IRA was materially misleading. IRA assets are already tax-deferred; the pass-through tax deductions of oil and gas partnerships (such as intangible drilling costs under IRC Section 263(c)) cannot be utilized within an IRA and in fact may generate Unrelated Business Taxable Income (UBTI), potentially creating a tax liability rather than a benefit.

- **Failure to Consider Alternatives:** Under Reg BI's Care Obligation, Nathan was required to consider reasonably available alternatives. A moderate-risk, income-oriented couple approaching retirement had obvious lower-cost, more liquid, and less risky alternatives available--intermediate-term bond funds, target-date funds, balanced index funds, or even simple Treasury securities--none of which Nathan discussed.

**Likely Regulatory Outcome:** This case presents multiple, compounding violations that would likely result in severe sanctions. Nathan Bridges would face FINRA enforcement action for suitability violations (Rule 2111), Reg BI violations, misrepresentation regarding tax benefits, and ethical violations (Rule 2010). Likely sanctions include a permanent bar from the securities industry, disgorgement of all \$19,500 in commissions, restitution to the Reyes family for the full \$87,000 in losses (potentially measured as the difference between actual performance and a suitable benchmark portfolio), and substantial monetary fines. The supervising broker-dealer would face charges under FINRA Rules 3110 and 3120 for supervisory failures, including failure to review the suitability of the recommendations, failure to flag the extreme concentration in alternatives, and failure to ensure that the products were appropriate given the customers' documented profiles. In FINRA arbitration, the Reyes family would likely recover compensatory damages and could potentially receive punitive damages given the egregiousness and scope of the misconduct.

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**Item 86 of 499****NON-COMPLIANT**

**Topic:** private\_placements\_unsuitable

**Difficulty:** medium

**Fact Pattern**

Margaret Collins, age 71, is a retired elementary school teacher living in suburban Ohio. Her annual pension income is \$38,000, and she has total liquid savings of \$210,000 in an IRA, which represents virtually all of her investable assets. She indicated on her new account form that her risk tolerance was 'conservative,' her investment objective was 'income and capital preservation,' and her time horizon was '5 years or less.' She has no prior experience investing in anything other than certificates of deposit and a target-date mutual fund offered through her employer's retirement plan. In March 2023, her financial advisor, Derek Hanson, recommended that Margaret invest \$125,000 -- roughly 60% of her liquid net worth -- into a private placement offering in a real estate development company building luxury condominiums in Miami. The offering memorandum disclosed a minimum 7-year hold period, no guaranteed distributions, a 10% upfront sales commission (of which Hanson received 7%), and stated that the investment was speculative and suitable only for accredited investors with significant risk tolerance. Hanson told Margaret the investment was 'like owning real estate without the headaches' and projected 8-10% annual returns. He did not discuss the illiquidity, the speculative nature of ground-up development, or the possibility of total loss. By early 2024, the development company had halted construction due to cost overruns and was unable to make any distributions. Margaret cannot access her \$125,000 and now faces potential total loss of the investment.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Hanson committed multiple serious violations. Under FINRA Rule 2111 (Suitability), an advisor must have a reasonable basis to believe that a recommendation is suitable for the customer based on that customer's investment profile, including age, financial situation, risk tolerance, time horizon, liquidity needs, and investment experience. Margaret's profile -- a 71-year-old conservative retiree with limited savings, no investment sophistication, a short time horizon, and an objective of capital preservation -- is fundamentally incompatible with a speculative, illiquid private placement requiring a 7-year lockup. This violates the customer-specific suitability obligation. The quantitative concentration component is also violated: placing 60% of a retiree's liquid net worth in a single illiquid, speculative private placement is excessive by any standard. Under Regulation Best Interest (Reg BI), the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the potential risks, rewards, and costs. A speculative development-stage real estate private placement with a 10% front-end load, 7-year lockup, and risk of total loss fails the care analysis for this client. The Disclosure Obligation under Reg BI was also violated because Hanson mischaracterized the investment as low-risk ('like owning real estate without the headaches') and failed to disclose material risks including illiquidity and total loss potential. The Conflict of Interest Obligation is implicated by the 7% commission Hanson received, which created a powerful financial incentive that was not properly disclosed or mitigated. Additionally, FINRA Rule 2010 (Standards of Commercial Honor) is implicated by the misleading sales presentation. Under FINRA's enforcement framework, Hanson faces potential sanctions including disgorgement of commissions, fines, restitution to the customer, and a suspension or bar. The firm could face supervisory failure charges under FINRA Rule 3110 if it did not have adequate procedures to review and approve private placement sales to retail customers.

## Item 87 of 499

### NON-COMPLIANT

**Topic:** inappropriate\_risk\_profile

**Difficulty:** hard

### Fact Pattern

Leonard Park, age 64, is a semi-retired accountant in New Jersey with a combined annual income of \$95,000 (part-time consulting and Social Security). His total investable assets are approximately \$620,000, held across a traditional IRA (\$410,000) and a taxable brokerage account (\$210,000). When he opened his account with advisor Stacy Renner at a regional broker-dealer in January 2022, Leonard completed a risk questionnaire that scored him as 'moderately conservative' and stated his goals were 'retirement income starting in 2 years, with preservation of principal.' Over the next ten months, Renner systematically reallocated nearly 85% of Leonard's combined portfolio -- approximately \$527,000 -- into biotech and pharmaceutical sector ETFs and individual biotech equities. Internal firm records obtained later showed that Renner had received a \$15,000 bonus from a third-party ETF sponsor for generating \$500,000 or more in sales of their biotech-focused ETF suite during 2022. Renner did not disclose this bonus arrangement to Leonard. She told Leonard that biotech was a 'defensive healthcare play' and would provide 'steady growth with low volatility.' By March 2023, the biotech sector experienced a sharp correction following negative clinical trial results across multiple companies in the portfolio. Leonard's portfolio declined by approximately \$174,000 (a 33% loss on the concentrated positions). Renner never updated Leonard's risk profile or obtained written acknowledgment that he wished to change his investment strategy from moderately conservative to aggressive growth.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Stacy Renner committed multiple overlapping violations. First, under FINRA Rule 2111 (Suitability), the customer-specific obligation requires that recommendations align with the customer's stated investment profile. Leonard's documented profile was moderately conservative with a goal of retirement income and capital preservation within two years. Concentrating 85% of his portfolio into a single volatile sector (biotech) is antithetical to this profile and violates the customer-specific suitability requirement. The quantitative suitability component is also implicated because the sheer concentration in one sector -- 85% of total assets -- reflects an aggressive strategy inconsistent with the client's documented risk tolerance, regardless of the individual merits of any single holding. Under Regulation Best Interest (Reg BI), the Care Obligation required Renner to evaluate the recommendation in light of Leonard's specific profile and to have a reasonable basis to believe the concentrated biotech allocation was in his best interest. A two-year-to-retirement moderately conservative client should not have a portfolio resembling that of an aggressive growth investor. The Conflict of Interest Obligation under Reg BI is severely implicated by the undisclosed \$15,000 bonus from the ETF sponsor. This is a material conflict of interest that Renner was required to disclose and mitigate. Her failure to disclose it at all is a standalone violation. The Disclosure Obligation under Reg BI was violated both by the failure to disclose the bonus and by the misleading characterization of biotech equities as 'defensive' and 'low volatility,' which is materially inaccurate given the sector's historical volatility profile. FINRA Rule 2010 (Standards of Commercial Honor) is implicated by the deceptive sales practices. FINRA Rule 3110 (Supervision) may also expose the firm to liability if supervisory systems failed to flag the dramatic deviation from the client's documented risk profile or the concentrated sector allocation. Renner never documented a change in investment objectives or obtained Leonard's informed consent for the strategy shift, which further undermines any defense. Likely regulatory outcomes include restitution, disgorgement of the \$15,000 bonus and all commissions earned on the biotech trades, monetary fines, and

a potential suspension or bar. The firm may face separate supervisory failure charges.

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**Item 88 of 499****NON-COMPLIANT****Topic:** complex\_products\_unsophisticated\_investor**Difficulty:** medium**Fact Pattern**

Dorothy Nguyen, age 81, is a widow living in assisted living in Sacramento, California. Her sole sources of income are Social Security (\$1,650/month) and a small survivor's pension (\$800/month), totaling \$29,400 annually. Her entire life savings of \$185,000 is held in a single brokerage account and represents all of her financial resources outside of monthly income. Dorothy has a sixth-grade education, emigrated from Vietnam in 1982, and has limited English proficiency. Her account documents, filled out with the help of her advisor, list her investment experience as 'none,' her risk tolerance as 'low,' and her objectives as 'safety and income.' In September 2023, her financial advisor, Craig Billings, recommended that Dorothy invest \$160,000 into a 12-year market-linked structured note issued by a mid-tier investment bank. The note's return was tied to the performance of a basket of three international equity indices (Nikkei 225, Euro Stoxx 50, and FTSE 100), with a knock-in barrier at 60% of initial value, a contingent coupon of 7.5% paid only if all three indices remained above 70% of their initial levels on quarterly observation dates, and full principal risk if any index fell below the barrier at maturity. The note carried a 3.5% upfront sales concession. Billings did not provide the structured note's offering documents in Vietnamese or arrange for an interpreter. He described the product to Dorothy as a 'safe CD alternative that pays better interest.' Dorothy's granddaughter, a finance professional, discovered the investment six months later and immediately raised concerns. By that time, the Euro Stoxx 50 had declined below the coupon observation threshold, and Dorothy had received no income from the note.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Craig Billings committed egregious violations across multiple regulatory frameworks. Under FINRA Rule 2111 (Suitability), the reasonable-basis suitability obligation requires an advisor to understand the product being recommended. Even assuming Billings understood the structured note's complex mechanics, the customer-specific suitability obligation was violated because Dorothy's profile -- an 81-year-old unsophisticated widow with no investment experience, limited English, low risk tolerance, income-focused objectives, and total dependence on these savings -- is completely incompatible with a 12-year illiquid structured note with full principal risk and contingent coupon payments linked to three international equity indices. Under Regulation Best Interest (Reg BI), the Care Obligation requires the advisor to exercise reasonable diligence and skill and to consider reasonably available alternatives. Safe, income-producing alternatives (Treasury bonds, FDIC-insured CDs, high-quality short-duration bond funds) were readily available and far more appropriate. The 3.5% sales concession created a conflict of interest that was required to be disclosed and mitigated under the Conflict of Interest Obligation. The Disclosure Obligation was violated by Billings' characterization of the note as a 'safe CD alternative,' which is materially misleading given the product's principal risk, contingent coupon structure, and 12-year illiquidity. FINRA has issued specific guidance (Regulatory Notices 12-03 and 09-73) emphasizing heightened suitability obligations for complex products and that firms must ensure customers understand the products recommended to them. Dorothy's limited English proficiency and lack of investment experience, combined with no effort to provide translated materials or an interpreter, demonstrate a failure to ensure reasonable understanding. FINRA Rule 2010 is violated by the deceptive sales practice of comparing a structured note with principal risk to a CD. The concentration element -- \$160,000 of \$185,000, or 86% of her life savings -- in a single illiquid, complex instrument further aggravates the violation. Likely regulatory outcomes include full restitution,

disgorgement of commissions, significant fines, and a lengthy suspension or permanent bar for Billings. The firm faces supervisory failure charges under FINRA Rule 3110, particularly given the red flags (elderly client, no experience, complex product, extreme concentration).

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**Item 89 of 499****COMPLIANT**

**Topic:** speculative\_for\_conservative\_investor

**Difficulty:** easy

**Fact Pattern**

James Whitford, age 42, is a software engineer in Austin, Texas, earning \$175,000 per year. He has \$520,000 in investable assets across a 401(k) (\$310,000), a Roth IRA (\$85,000), and a taxable brokerage account (\$125,000). He has no debt and maintains a six-month emergency fund in a high-yield savings account. His account documents at his brokerage firm list his risk tolerance as 'moderate,' his investment objective as 'long-term growth,' and his time horizon as '20+ years.' James has been investing for 15 years and describes himself as knowledgeable about equities and ETFs. His advisor, Patricia Holmes, recommended a diversified portfolio allocation for his taxable brokerage account: 60% in a broad U.S. equity index ETF (expense ratio 0.03%), 20% in an international developed markets ETF (expense ratio 0.07%), 10% in a small-cap value ETF (expense ratio 0.15%), and 10% in an intermediate-term investment-grade bond ETF (expense ratio 0.05%). Patricia discussed the expected volatility of the equity allocation, the role of bonds as a stabilizer, and the long-term growth rationale. She documented the discussion and James's agreement in her notes. Over the following 18 months, the portfolio gained approximately 14%, roughly in line with blended benchmark performance. James expressed satisfaction with the approach at his annual review.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Patricia Holmes acted in full compliance with applicable standards. Under FINRA Rule 2111 (Suitability), the recommendation satisfies all three components. Reasonable-basis suitability is met because a diversified portfolio of low-cost index ETFs is a well-established, broadly suitable investment approach. Customer-specific suitability is met because the 90/10 equity-to-bond allocation is appropriate for a 42-year-old moderate-risk-tolerance investor with a 20+ year time horizon, stable high income, no debt, adequate emergency reserves, and a long-term growth objective. Quantitative suitability is not at issue because there was no excessive trading -- this was a single allocation recommendation with low-cost buy-and-hold ETFs. Under Regulation Best Interest (Reg BI), the Care Obligation is satisfied because Patricia considered James's investment profile, recommended reasonably priced products appropriate for his goals and risk tolerance, and evaluated the portfolio as a whole. The Disclosure Obligation is satisfied because she explained the volatility characteristics, the rationale for each allocation component, and the costs. The Conflict of Interest Obligation is not implicated in a material way -- the ETFs recommended carry minimal expense ratios, and there is no indication of undisclosed compensation arrangements driving the recommendation. Patricia's documentation of the discussion and the client's agreement further supports compliance. No regulatory action would result from this recommendation.



**Item 90 of 499****NON-COMPLIANT****Topic:** illiquid\_investments**Difficulty:** hard**Fact Pattern**

Helen Rosario, age 76, is a retired nurse living alone in a small condo in Tampa, Florida. Her annual income consists of Social Security (\$22,800) and a modest pension (\$14,400), totaling \$37,200. Her total liquid net worth is \$240,000, all held in a traditional IRA that she has been drawing down at approximately \$18,000 per year to supplement her income and cover medical expenses related to a chronic heart condition. She has no other significant assets aside from her condo (valued at approximately \$130,000, owned free and clear). Her account paperwork at her broker-dealer lists her risk tolerance as 'conservative,' her investment objective as 'current income and capital preservation,' her time horizon as '1-5 years,' and her liquidity needs as 'high -- regular withdrawals needed.' In April 2023, her advisor, Victor Marsh, recommended that Helen invest \$175,000 -- approximately 73% of her IRA -- into two non-traded real estate investment trusts (REITs). The first was a \$100,000 investment in a non-traded REIT focused on senior housing development, with a stated minimum hold period of 8-10 years, no guarantee of distributions, a 12% total load (including selling commissions and offering expenses), and limited redemption provisions allowing only 2% of shares to be repurchased per quarter at the board's discretion. The second was a \$75,000 investment in a non-traded REIT focused on industrial warehouse properties, with similar illiquidity features, a 10-year anticipated hold, and an 11% total front-end cost. Marsh earned a combined commission of approximately \$17,500 on the two investments. He told Helen the REITs would provide 'reliable monthly income like clockwork, better than any CD,' and did not emphasize the illiquidity, the possibility of suspended or reduced distributions, the high front-end costs, or the speculative nature of the investments. Within seven months, Helen needed to access funds for an unexpected cardiac procedure costing \$35,000. She attempted to redeem shares from both REITs but was told the redemption programs were fully subscribed and no shares could be repurchased at that time. She was forced to take a hardship withdrawal from the small remaining liquid balance in her IRA and borrow against her condo. Meanwhile, one of the REITs suspended its distribution in early 2024 due to declining occupancy rates, eliminating a portion of the income Helen was counting on.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Victor Marsh committed severe violations across multiple regulatory standards. Under FINRA Rule 2111 (Suitability), the customer-specific obligation was grossly violated. Helen's documented profile -- a 76-year-old conservative retiree with high liquidity needs, regular required withdrawals, a short time horizon (1-5 years), limited total assets, and an objective of income and capital preservation -- is fundamentally incompatible with illiquid non-traded REITs carrying 8-10 year hold periods, no guaranteed distributions, and limited redemption provisions. The concentration of 73% of her total liquid net worth in two illiquid products directly contradicts her stated high liquidity needs and short time horizon. FINRA has issued extensive guidance specifically addressing non-traded REITs. Regulatory Notice 15-02 requires that firms apply a concentration limit -- many firms cap non-traded REIT exposure at 10% or less of liquid net worth for any investor, let alone a conservative elderly retiree. The 73% concentration here would violate virtually any reasonable firm concentration guideline. Regulatory Notice 09-09 further emphasizes the need for enhanced scrutiny of non-traded REIT sales, including ensuring customers understand the illiquidity and cost structure. Under Regulation Best Interest (Reg BI), the Care Obligation was violated because Marsh failed to exercise reasonable diligence in considering Helen's actual financial situation and needs. A reasonably diligent advisor would

have recognized that an investor drawing \$18,000 per year from her IRA with chronic medical expenses cannot afford to lock up 73% of her savings in illiquid instruments for a decade. The Disclosure Obligation was violated by Marsh's characterization of the REITs as providing 'reliable monthly income like clockwork, better than any CD,' which is materially misleading because non-traded REIT distributions are not guaranteed, can be suspended, and the products bear no resemblance to FDIC-insured CDs. The failure to disclose the 11-12% front-end loads in a meaningful way and the near-impossibility of early redemption further violates disclosure requirements. The Conflict of Interest Obligation was violated because the \$17,500 combined commission created a powerful financial incentive to recommend these products over lower-cost, liquid alternatives that would have been far more appropriate (e.g., Treasury securities, money market funds, short-duration bond funds, or FDIC-insured CDs). FINRA Rule 2010 (Standards of Commercial Honor) is implicated by the misleading sales practices. The firm faces significant exposure under FINRA Rule 3110 (Supervision) for failing to prevent the sale of non-traded REITs at this concentration level to an elderly client with documented high liquidity needs. Likely outcomes include full restitution to Helen (potentially including the \$175,000 investment plus consequential damages from the forced condo borrowing), disgorgement of Marsh's \$17,500 commission, substantial fines, and a bar or lengthy suspension for Marsh. The firm may face separate supervisory fines and be required to enhance its review procedures for illiquid product sales to senior investors. This case also implicates FINRA Rule 2165 and related senior investor protection considerations.

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**Item 91 of 499****NON-COMPLIANT****Topic:** junk\_bonds\_conservative\_investor**Difficulty:** easy**Fact Pattern**

Margaret Ellison, age 74, is a retired elementary school teacher living in Tucson, Arizona. She has a pension of \$2,800 per month and Social Security income of \$1,900 per month. Her total liquid savings are approximately \$340,000, held in a brokerage account at a mid-size broker-dealer. When she opened her account in January 2022, she told her advisor, David Kowalski, that her primary investment objectives were capital preservation and generating modest income to supplement her pension. She described herself as a conservative investor who could not afford to lose principal, and her account documents reflect a 'low' risk tolerance. She has no other significant assets aside from her home, which is paid off. In March 2022, Kowalski recommended that Margaret invest \$210,000 -- approximately 62% of her liquid savings -- into a portfolio of high-yield corporate bonds rated BB and below, issued by companies in the energy and telecommunications sectors. Kowalski told Margaret these bonds would 'pay great interest, much better than CDs or Treasuries,' and described them as 'a step up from regular bonds.' He did not explain the credit risk, default risk, or the significantly higher volatility associated with below-investment-grade debt. By November 2022, several of the bonds had been downgraded further, and two issuers defaulted, resulting in a portfolio loss of approximately \$58,000. Margaret's account value dropped to roughly \$282,000. She filed a complaint with the firm in January 2023.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, David Kowalski violated applicable suitability and best interest standards. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on their investment profile, including age, financial situation, risk tolerance, and investment objectives. Margaret's profile -- a 74-year-old retiree with low risk tolerance, capital preservation objectives, limited liquid assets, and dependence on fixed income -- is fundamentally inconsistent with a 62% allocation to high-yield (junk) bonds. High-yield bonds carry substantial credit risk and default risk, and concentrating the majority of a conservative retiree's portfolio in below-investment-grade debt fails the customer-specific suitability obligation under Rule 2111(a). Additionally, under Regulation Best Interest (Reg BI), the Care Obligation requires that a broker-dealer and its associated persons exercise reasonable diligence, care, and skill in making recommendations. The advisor must have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the advisor's interest ahead of the customer's. Recommending junk bonds to a conservative elderly investor primarily to generate higher commissions (high-yield bonds typically carry higher markups) would violate the Care Obligation. The Disclosure Obligation under Reg BI was also likely violated, as Kowalski failed to adequately explain the material risks, describing junk bonds merely as 'a step up from regular bonds,' which is misleading. Furthermore, FINRA Rule 2010 (Standards of Commercial Honor) may also be implicated due to the misleading characterization of the products. The likely regulatory outcome would include customer restitution, potential fines, a supervisory review of the branch, and possible suspension or bar for Kowalski depending on whether the conduct was found to be willful or part of a pattern.

**Item 92 of 499****NON-COMPLIANT****Topic:** tax\_deferred\_unnecessary\_annuity**Difficulty:** medium**Fact Pattern**

Robert Chen, age 52, is a software engineer earning \$185,000 per year. He has \$620,000 in his employer's 401(k) plan and an additional \$95,000 in a traditional IRA. In September 2023, Robert met with financial advisor Lisa Marchand at a broker-dealer branch to discuss options for his IRA. Robert told Marchand he wanted steady growth with moderate risk and did not plan to access the IRA funds until retirement at age 65. Marchand recommended that Robert roll his \$95,000 traditional IRA into a variable annuity with a guaranteed minimum income benefit rider. The annuity carried total annual expenses of 3.15% (including a 1.40% mortality and expense charge, 0.85% in underlying fund expenses, and 0.90% for the income rider), along with a seven-year surrender charge schedule starting at 7% and declining annually. Marchand earned a 5.5% commission on the sale, totaling \$5,225. She told Robert the annuity would give him 'tax-deferred growth and guaranteed income down the road.' She did not discuss the fact that his traditional IRA already provided tax-deferred growth, nor did she compare the annuity's costs to lower-cost alternatives such as mutual funds or ETFs held within the existing IRA. Robert's IRA custodian offered a range of diversified index funds with expense ratios below 0.15%. Robert signed the paperwork, and the annuity was funded in October 2023. In early 2024, after reading about annuity costs online, Robert contacted Marchand's firm to complain that the product was unnecessary and excessively expensive given his existing tax-advantaged account.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Lisa Marchand likely violated both suitability and best interest standards. Under FINRA Rule 2111, a recommendation must be suitable considering the customer's investment profile. A critical element of the reasonable-basis suitability obligation is understanding the product and whether it serves a legitimate purpose for the customer. Variable annuities are primarily marketed for their tax-deferral benefit. However, when purchased within an account that is already tax-deferred -- such as a traditional IRA -- the tax-deferral feature of the annuity provides no incremental benefit. The customer instead bears the additional cost layers (mortality and expense charges, rider fees, surrender charges) without a corresponding tax advantage. FINRA has specifically addressed this concern in Regulatory Notice 12-25 and prior guidance (Notice to Members 99-35), emphasizing that recommending a variable annuity within a tax-advantaged retirement account requires the advisor to demonstrate that the annuity provides benefits -- such as specific insurance features -- that justify the higher costs compared to direct investment alternatives. Here, Marchand's primary justification was 'tax-deferred growth,' which is redundant. While the guaranteed income rider has some standalone value, Marchand failed to conduct or document any cost-benefit analysis comparing the annuity's 3.15% annual expenses and seven-year surrender period against the low-cost index fund options available in the existing IRA. Under Regulation Best Interest's Care Obligation, the advisor must consider reasonably available alternatives and must not place her own financial interest ahead of the customer's. Marchand earned a \$5,225 commission, creating a significant financial incentive to recommend the annuity over lower-cost alternatives. Her failure to disclose the redundancy of the tax-deferral feature and to compare costs constitutes a violation of both the Disclosure and Care Obligations of Reg BI. The likely regulatory outcome includes rescission of the annuity, restitution of surrender charges and excess fees, potential fines for the advisor and supervisory failures at the firm, and possible enhanced supervision or suspension of Marchand.

**Item 93 of 499****COMPLIANT****Topic:** lack\_of\_diversification**Difficulty:** hard**Fact Pattern**

Priya Nair, age 38, is a senior product manager at a publicly traded technology company, earning \$290,000 per year in salary plus \$150,000 in annual equity compensation (restricted stock units). Her total net worth is approximately \$2.8 million, with \$1.1 million in diversified holdings across her 401(k) and Roth IRA, \$400,000 in cash and money market accounts, \$300,000 in equity in her home, and approximately \$1.0 million in vested company stock. In August 2023, Priya opened a brokerage account with advisor James Whitfield at a registered broker-dealer. She told Whitfield she had a high risk tolerance, was focused on aggressive long-term growth, and had a 25+ year investment horizon. She specifically stated she was comfortable with volatility and wanted to invest heavily in the technology sector because she understood the industry deeply. She provided Whitfield with a complete financial picture, including her diversified retirement accounts and emergency cash reserves. After thorough discussion, Whitfield recommended allocating \$350,000 of her new brokerage account (funded from savings and prior brokerage account transfers -- not additional company stock) into a concentrated portfolio of 8 large-cap technology stocks, including companies in semiconductors, cloud computing, and cybersecurity, but explicitly excluding her own employer's stock to avoid over-concentration in a single issuer. Whitfield documented the discussion in detail, including Priya's stated preference, her overall asset allocation across all accounts (showing that the tech-concentrated brokerage portfolio represented approximately 12.5% of her total net worth), and the fact that her retirement accounts already held broadly diversified equity and bond index funds. He also provided Priya with a written summary of the concentration risks and obtained her signed acknowledgment. The portfolio gained approximately 22% over the following twelve months.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, James Whitfield likely did not violate applicable suitability or best interest standards. Under FINRA Rule 2111, the suitability analysis encompasses three components: reasonable-basis suitability (the advisor understands the product/strategy), customer-specific suitability (it fits the customer's profile), and quantitative suitability (no excessive trading). Here, the concentrated technology allocation was customer-specific suitable because: (1) Priya explicitly expressed a high risk tolerance and aggressive growth objective with a long time horizon; (2) she had sophisticated knowledge of the technology sector through her professional experience; (3) the concentrated brokerage portfolio represented only approximately 12.5% of her total net worth of \$2.8 million; (4) her other accounts were well-diversified across broad equity and bond indexes; (5) Whitfield explicitly excluded her employer's stock to mitigate single-issuer risk; and (6) she maintained substantial cash reserves (\$400,000) as a buffer. Under Regulation Best Interest, the Care Obligation requires that the advisor exercise reasonable diligence, care, and skill and consider the customer's full financial picture. Whitfield did so by evaluating Priya's holistic asset allocation, not merely the brokerage account in isolation. The Disclosure Obligation was satisfied through the written risk summary. The Conflict of Interest Obligation was addressed as there is no indication that the recommendation was driven by differential compensation. FINRA guidance has recognized that concentration in a particular sector is not per se unsuitable; it depends on the customer's overall financial situation, sophistication, and stated preferences. Whitfield's thorough documentation -- including the rationale, the client's full financial picture, the risk disclosure, and the signed acknowledgment -- provides strong evidence that the recommendation was in the customer's best interest. No regulatory action would likely result from

these facts.

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**Item 94 of 499****NON-COMPLIANT****Topic:** reverse\_churning**Difficulty:** medium**Fact Pattern**

William and Sandra Burke, both age 67, are retired and living in suburban Philadelphia. Their combined retirement income from pensions and Social Security is \$7,200 per month, which covers all of their living expenses. In 2021, they inherited \$480,000 from Sandra's late mother and deposited the funds into a fee-based advisory account with their long-time financial advisor, Thomas Greer, at a registered investment adviser. The account charged a flat annual advisory fee of 1.25%, or approximately \$6,000 per year. The Burkes told Greer they wanted to preserve the inheritance for their grandchildren's education, were conservative investors, and did not anticipate needing the money for at least 10 to 15 years. Based on these objectives, Greer invested the funds in a portfolio of U.S. Treasury bonds, investment-grade municipal bonds, and a Treasury Inflation-Protected Securities (TIPS) ETF. Over the next three years -- from January 2021 through December 2023 -- Greer made only two trades in the account: one rebalancing trade in June 2022 and one bond maturity reinvestment in March 2023. No changes were made to the asset allocation, and Greer did not initiate any meetings, portfolio reviews, or strategic discussions with the Burkes during this period. Despite the near-total absence of advisory activity, the Burkes were charged a cumulative total of approximately \$17,400 in advisory fees over the three years. When the Burkes reviewed their statements in early 2024 and realized how little had been done, they contacted the firm to question whether the advisory fees were justified.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Thomas Greer likely violated his fiduciary duty and best interest obligations through reverse churning. Reverse churning occurs when an advisor places a client in a fee-based advisory account and charges ongoing asset-based fees while providing little or no advisory services, resulting in the client paying significantly more than they would have in a commission-based account for the same (minimal) level of activity. Under the Investment Advisers Act of 1940, a registered investment adviser owes fiduciary duties of care and loyalty to clients. The duty of care requires the advisor to provide advice and monitoring that is in the client's best interest and to ensure that the fee arrangement is appropriate for the level of services actually provided. Charging \$17,400 in advisory fees over three years for a buy-and-hold portfolio of Treasuries, munis, and a TIPS ETF -- with only two trades and no meaningful advisory engagement -- raises serious questions about whether the fee-based account was in the clients' best interest. The Burkes could have purchased the same portfolio through a brokerage account and paid minimal commissions (or even no commissions at many firms that offer commission-free bond and ETF trading), saving virtually all of the \$17,400 in fees. Additionally, under Regulation Best Interest (if applied at the time of the account opening recommendation by a dually registered advisor), the Care Obligation requires that the advisor consider the costs of the recommendation relative to reasonably available alternatives. Placing a client who needs a static, conservative, buy-and-hold portfolio into a fee-based account -- when a commission-based arrangement would be far more cost-effective -- violates this obligation if the advisor's compensation interest drove the recommendation. FINRA has also highlighted reverse churning concerns in the context of account-type recommendations under Rule 2111. The likely regulatory outcome includes potential disgorgement of excessive fees, restitution to the Burkes, a review of Greer's book of business for similar patterns, and potential disciplinary action including fines and enhanced supervision. The firm's compliance department may also face scrutiny for failing to monitor fee-based accounts for minimal activity relative to fees charged.

## Item 95 of 499

## NON-COMPLIANT

**Topic:** structured\_products\_unsuitable

**Difficulty:** hard

## Fact Pattern

Eleanor Vasquez, age 79, is a widow living in San Diego on a fixed income of \$3,100 per month from Social Security and a small pension from her late husband's employer. Her total investable assets are approximately \$210,000, which she has described as her 'safety net' for healthcare expenses and potential long-term care needs. She has mild cognitive decline, as noted by her daughter Maria, who accompanied Eleanor to two meetings with her financial advisor, Craig Donovan, at a national broker-dealer. Eleanor's account documents list her risk tolerance as 'low,' her investment objective as 'capital preservation,' and her time horizon as 'short-term (1-3 years).' In April 2023, Donovan recommended that Eleanor invest \$140,000 -- two-thirds of her liquid assets -- into two structured notes. The first was a \$75,000 reverse convertible note linked to the performance of a single biotech stock, with a 14-month maturity, paying a 9.5% annual coupon but exposing Eleanor to full downside equity risk if the underlying stock declined below a 70% barrier. The second was a \$65,000 autocallable note linked to a basket of three technology stocks, with a maximum maturity of three years and a contingent coupon of 8.2%, but with principal at risk if any of the three underlying stocks fell more than 30%. Donovan earned a 2.75% selling concession on each note, totaling approximately \$3,850 in compensation. He told Eleanor the notes were 'like CDs but with better returns' and did not explain the equity-linked downside risk, the credit risk of the issuing bank, or the illiquidity of structured notes on the secondary market. Maria, who has a background in accounting, was not present at the meeting where the purchases were executed. By August 2023, the biotech stock underlying the first note had declined 42%, breaching the barrier, and at maturity in June 2024, Eleanor received shares of the depreciated stock worth approximately \$43,500 instead of her \$75,000 principal -- a loss of \$31,500. The second note remained outstanding but the worst-performing underlying stock had declined 26%, approaching the knock-in barrier. In total, Eleanor faced realized and unrealized losses exceeding \$35,000 on products she did not understand.

## Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

## Answer

Yes, Craig Donovan committed multiple, serious violations of suitability and best interest standards. First, under FINRA Rule 2111 (Suitability), all three components of the suitability obligation were violated: (1) Reasonable-basis suitability: Structured notes, particularly reverse convertibles and autocallables with equity-linked downside risk, are complex products. An advisor must understand the product's risks and features. While Donovan may have understood the products, his description of them as 'like CDs but with better returns' indicates either a fundamental misunderstanding or deliberate misrepresentation, both of which fail the reasonable-basis standard. (2) Customer-specific suitability: Eleanor's profile -- a 79-year-old widow with low risk tolerance, capital preservation objective, short-term time horizon, limited assets that serve as her healthcare safety net, and signs of cognitive decline -- is entirely incompatible with complex structured products that expose her to full equity downside risk. Allocating 67% of her liquid assets to such products is egregious. (3) Quantitative suitability: While this prong typically applies to excessive trading, the concentration of two-thirds of her assets in two illiquid, high-risk structured notes could also be viewed as quantitatively unsuitable. Second, under Regulation Best Interest, the Care Obligation was violated because no reasonable advisor exercising diligence, care, and skill would recommend equity-linked structured notes to an elderly, conservative investor with cognitive decline and limited assets. The Disclosure Obligation was violated because Donovan materially



mischaracterized the products and failed to explain the downside risks, credit risk, and illiquidity. The Conflict of Interest Obligation was implicated because the \$3,850 in selling concessions created a financial incentive that appears to have driven the recommendation over the customer's interest. Third, FINRA Rule 2010 (Standards of Commercial Honor and Principles of Fair Trade) was violated through the misleading comparison to CDs. Additionally, FINRA's guidance on structured products (Regulatory Notice 12-03 on complex products) emphasizes that firms and advisors must ensure customers understand complex products and that the products are suitable. The sale to a customer with diminished cognitive capacity raises additional concerns about whether Eleanor had the capacity to provide informed consent. Fourth, the advisor may have also violated the firm's own internal suitability guidelines, which typically restrict structured product sales to customers with moderate-to-high risk tolerance and sufficient sophistication. The likely regulatory outcome is severe: customer restitution of all losses (potentially exceeding \$35,000), disgorgement of commissions, substantial fines, a lengthy suspension or permanent bar for Donovan, and potential firm-level sanctions for supervisory failures, particularly given the red flags of the client's age, risk profile, and cognitive status. State securities regulators and adult protective services could also become involved given the vulnerability of the customer.

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**Item 96 of 499****NON-COMPLIANT****Topic:** complex\_products\_unsophisticated\_investor**Difficulty:** medium**Fact Pattern**

Margaret Dawson, age 72, is a retired elementary school teacher living in rural Ohio on a fixed income of \$2,400 per month from her pension and Social Security. She has \$185,000 in a savings account, which represents her entire life savings. She has no prior investment experience beyond her pension and a basic savings account. She told her advisor, Kevin Holloway, that she wanted something 'safe that pays a little better than the bank.' In March 2023, Holloway recommended she invest \$150,000 into a reverse convertible note linked to a basket of three biotechnology stocks. The product had a 14-month maturity, offered a 9.5% coupon, but included a knock-in barrier at 70% of the initial stock prices -- meaning if any of the three stocks fell more than 30%, Margaret would receive shares of the worst-performing stock instead of her principal. Holloway told her it was 'like a CD but with a better rate.' He did not explain the knock-in barrier, the risk of receiving depreciated stock, or how the payoff was tied to volatile biotech equities. Margaret signed the paperwork without understanding the terms. By May 2024, one of the underlying biotech stocks had dropped 52%, triggering the barrier. Margaret received shares worth approximately \$74,000 instead of her \$150,000 principal -- a loss of \$76,000. Her account application listed her risk tolerance as 'moderate' and her investment objective as 'income,' though she later stated she never discussed risk tolerance with Holloway and he filled out the forms himself.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Holloway committed multiple serious violations. Under FINRA Rule 2111 (Suitability), an advisor must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment experience, investment objectives, time horizon, and liquidity needs. Margaret was a 72-year-old retiree with no investment experience, a fixed income, conservative objectives (income/safety), and the \$150,000 represented the vast majority of her life savings. Reverse convertible notes are complex structured products with embedded put options that expose the investor to significant downside equity risk. FINRA has issued Regulatory Notices (e.g., Regulatory Notice 12-03) specifically cautioning that complex products require heightened suitability analysis, including whether the customer has the sophistication to understand the product's risks and features. Holloway failed on all three components of suitability: (1) Reasonable-basis suitability -- he may not have understood the product himself given his misleading comparison to a CD; (2) Customer-specific suitability -- the product was wholly inconsistent with Margaret's conservative profile, age, limited income, and lack of sophistication; (3) Quantitative suitability -- while not a churning case, concentrating 81% of her liquid assets in a single complex structured note was excessive. Under Regulation Best Interest (Reg BI), the Care Obligation requires that the advisor exercise reasonable diligence, care, and skill to understand the risks and rewards of the recommendation and have a reasonable basis to believe it is in the customer's best interest, considering reasonably available alternatives. A short-term Treasury, CD, or high-quality bond fund would have been far more appropriate. The Disclosure Obligation was also violated, as Holloway mischaracterized the product as CD-like and failed to disclose material risks. Additionally, Holloway appears to have falsified or at minimum inaccurately completed Margaret's account paperwork by listing 'moderate' risk tolerance without her input, potentially violating FINRA Rule 4512 (Customer Account Information) and FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade). The

likely regulatory outcome would include customer restitution, disgorgement of commissions, a significant fine, a suspension or bar from the industry, and potential referral for fraud if the misrepresentation was deemed willful. In arbitration, Margaret would likely recover the full \$76,000 loss plus interest and potentially attorneys' fees.

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**Item 97 of 499****NON-COMPLIANT****Topic:** excessive\_churning**Difficulty:** hard**Fact Pattern**

David Kim, age 45, is a software engineer earning \$175,000 per year with a net worth of approximately \$900,000, including his home equity. In January 2022, he opened a brokerage account with \$280,000 and told his advisor, Rachel Stein, that he wanted long-term growth for retirement, which he planned for age 65. He indicated he was comfortable with moderate-to-aggressive risk and had some experience buying and holding technology ETFs in a prior 401(k). Stein had discretionary authority over the account. Over the next 18 months (January 2022 through June 2023), Stein executed 347 trades in the account, primarily in mid-cap and large-cap equities and leveraged ETFs. The account had an annualized turnover rate of 14.2 and a cost-to-equity ratio of 28.4%. Total commissions and fees paid during this period were \$79,520. Despite the heavy trading, the account's net value at the end of June 2023 was \$241,600 -- a loss of \$38,400 before considering the \$79,520 in costs. Stein's personal production records show this account generated 22% of her total commissions during this period. When David questioned the frequent trading in a June 2023 email, Stein responded that she was 'actively managing to capture short-term momentum opportunities' and that the strategy was 'working as designed.' David had never discussed or agreed to a short-term momentum trading strategy. His original account documents reflected a 20-year time horizon and long-term growth objective.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Rachel Stein engaged in excessive trading (churning), which constitutes a clear violation of multiple regulatory standards. Under FINRA Rule 2111, the quantitative suitability component specifically prohibits excessive trading in a customer's account. Courts and FINRA arbitration panels have long held that an annualized turnover rate above 6 is presumptive evidence of churning, and a cost-to-equity ratio above 20% is considered virtually conclusive evidence that the trading was excessive because the account would need to generate returns above that threshold merely to break even. Here, the turnover rate of 14.2 is more than double the presumptive threshold, and the cost-to-equity ratio of 28.4% far exceeds the level at which it becomes nearly impossible for the customer to profit. The three elements of churning are established: (1) Control -- Stein had discretionary authority; (2) Excessive trading -- demonstrated by the turnover ratio, cost-to-equity ratio, and 347 trades in 18 months for a long-term growth account; (3) Scienter -- Stein acted with intent or reckless disregard for David's interests, as evidenced by the account generating 22% of her personal production and her misrepresentation that the strategy was 'working as designed' when it had produced significant losses. Under Reg BI's Care Obligation, Stein was required to act in David's best interest and not place her own financial interest ahead of the customer's. The trading pattern strongly indicates that the primary motivation was commission generation, not portfolio management. The Conflict of Interest Obligation under Reg BI also required Stein's firm to identify and mitigate the incentive to over-trade, and the firm's supervisory systems appear to have failed under FINRA Rule 3110 (Supervision) to flag the extreme turnover. Additionally, Stein implemented a short-term momentum strategy that was never discussed or authorized by David, whose documented objective was long-term retirement growth over a 20-year horizon -- a violation of customer-specific suitability. The likely regulatory outcome includes a FINRA enforcement action with substantial fines, disgorgement of all commissions earned (\$79,520), restitution of losses (\$38,400 in investment losses plus the \$79,520 in costs, totaling approximately \$117,920), a lengthy suspension or permanent bar, and potential referral to the SEC for fraud under the antifraud provisions. David

would also have strong claims in FINRA arbitration for compensatory damages, interest, and potentially punitive damages given the egregious nature of the conduct.

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**Item 98 of 499****NON-COMPLIANT****Topic:** margin\_unsuitable**Difficulty:** easy**Fact Pattern**

Eleanor Voss, age 81, is a widow living in assisted care in Tampa, Florida. Her sole sources of income are Social Security (\$1,850/month) and a small pension (\$600/month). She has \$92,000 in a brokerage account, which along with \$14,000 in a checking account, constitutes her entire liquid assets. She requires the brokerage account to supplement her income for medical co-pays and assisted living expenses not covered by Medicare. Her account documents list her risk tolerance as 'conservative' and her investment objective as 'income with capital preservation.' In September 2023, her advisor, Frank DeLuca, recommended she open a margin account and use \$45,000 in margin borrowing to purchase shares of a high-dividend REIT that was yielding 11.2%. DeLuca told Eleanor the dividends from the leveraged position would 'more than cover' the margin interest and give her extra monthly income. He did not explain margin calls, the risk of forced liquidation, or the possibility that the REIT could cut its dividend. By January 2024, the REIT's share price had declined 34% and its dividend was suspended. Eleanor received a margin call for \$22,000, which she could not meet. The firm liquidated her holdings at a loss, and her account balance fell to \$38,500 -- a total loss of \$53,500.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Frank DeLuca clearly violated suitability and best interest standards. Under FINRA Rule 2111, customer-specific suitability requires that any recommendation be consistent with the customer's investment profile. Eleanor is an 81-year-old widow in assisted living with limited fixed income, minimal liquid assets, conservative risk tolerance, and income/capital preservation objectives. Margin borrowing is inherently aggressive and introduces leverage risk, margin call risk, and the possibility of losing more than the original investment -- all of which are fundamentally incompatible with Eleanor's profile. FINRA has consistently held that margin is inappropriate for elderly, conservative investors who depend on their accounts for living expenses and cannot absorb losses or meet margin calls. Under Reg BI's Care Obligation, DeLuca was required to exercise reasonable diligence, care, and skill in making recommendations, understand the risks of the strategy, and have a reasonable basis to believe it was in Eleanor's best interest considering reasonably available alternatives. A portfolio of investment-grade bonds, Treasury securities, or conservative dividend-paying blue-chip stocks without leverage could have provided income without the catastrophic downside risk. DeLuca also failed the Disclosure Obligation by not explaining margin calls, forced liquidation risk, or dividend cut risk. The recommendation to concentrate leveraged exposure in a single high-yield REIT -- a product category known for dividend volatility -- compounded the unsuitability. DeLuca's firm also likely failed its supervisory obligations under FINRA Rule 3110 by approving a margin account for an 81-year-old conservative investor in assisted living. The likely outcome includes full restitution of Eleanor's \$53,500 loss, disgorgement of commissions, fines against DeLuca and potentially the firm, and a suspension or bar for DeLuca. In arbitration, Eleanor would very likely receive full compensatory damages plus interest.

**Item 99 of 499****NON-COMPLIANT****Topic:** tax\_deferred\_unnecessary\_annuity**Difficulty:** medium**Fact Pattern**

Harold Jennings, age 74, is a retired postal worker with a traditional IRA valued at \$310,000, a Roth IRA with \$45,000, Social Security income of \$2,100 per month, and a federal pension of \$3,200 per month. He has no debt and owns his home outright. His total monthly expenses are approximately \$3,800, meaning his pension and Social Security more than cover his needs. He has two adult children and expressed to his advisor, Denise Marlow, that his primary goal was to leave his IRA assets to his children with minimal fees and complexity. In November 2023, Marlow recommended Harold surrender his existing traditional IRA -- which was invested in a diversified portfolio of low-cost index funds with an average expense ratio of 0.08% -- and use the proceeds to purchase a fixed indexed annuity with a 12-year surrender period, annual fees totaling 2.85%, a death benefit rider costing an additional 0.95% annually, and a 7% surrender charge in year one declining to 0% in year twelve. The annuity was placed inside the traditional IRA. Marlow earned a 6.5% commission (\$20,150) on the sale. She told Harold the annuity would 'protect his money from market downturns' and provide a 'guaranteed legacy' for his children. She did not discuss the fact that the IRA already provided tax deferral, that the annuity's fees would substantially erode the account value over time compared to the existing index fund portfolio, that the 12-year surrender period was problematic given Harold's age of 74, or that a simpler beneficiary designation on the existing IRA would accomplish his legacy goal at far lower cost.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Denise Marlow committed several violations. The central issue is the placement of a tax-deferred annuity inside a tax-deferred IRA, which is a well-known red flag in the securities industry because it provides no additional tax benefit while layering on significant additional costs. Under FINRA Rule 2111, reasonable-basis suitability requires that there be a legitimate investment rationale for any recommendation. FINRA Regulatory Notice 07-53 and prior FINRA/NASD guidance have specifically cautioned that recommending variable or fixed indexed annuities within qualified retirement accounts requires heightened scrutiny because the tax-deferral feature -- often a primary selling point -- is redundant. The advisor must demonstrate that other features of the annuity (e.g., death benefit, guaranteed income) justify the additional costs relative to available alternatives. Here, the analysis strongly favors a finding of unsuitability. Harold's objective was to leave assets to his children with minimal fees and complexity. His existing IRA portfolio of low-cost index funds with a 0.08% expense ratio was already tax-deferred and could pass to his beneficiaries through a simple beneficiary designation. The recommended annuity carried total annual costs of 3.80% (2.85% base + 0.95% rider), which is 47.5 times higher than his existing expenses. Over 10 years, these fees alone would consume a substantial portion of the account's value. The 12-year surrender period effectively locks up Harold's money until age 86, creating severe liquidity risk for a 74-year-old who may face unexpected medical or long-term care expenses. Under Reg BI's Care Obligation, Marlow was required to consider reasonably available alternatives. The existing low-cost index fund portfolio inside the IRA was demonstrably superior for Harold's stated objective. The recommendation appears driven primarily by the \$20,150 commission -- a clear conflict of interest that Marlow failed to mitigate or even disclose, violating the Conflict of Interest Obligation. Marlow also violated the Disclosure Obligation by failing to explain the redundancy of tax deferral, the fee differential, the surrender period implications, or the simpler alternative of maintaining the current portfolio with a beneficiary designation. Under FINRA Rule 2330, which governs annuity

recommendations, the advisor must have a reasonable basis to believe the customer would benefit from the annuity's features, that the particular annuity is suitable, and that the transaction as a whole (including replacement of existing investments) is suitable. All three prongs fail here. The likely regulatory outcome includes rescission of the annuity, full restitution of all fees and surrender charges, disgorgement of the \$20,150 commission, a significant fine, and a suspension. Marlow's firm may also face supervisory failure charges for approving this transaction.

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## Item 100 of 499

### COMPLIANT

**Topic:** variable\_annuity\_unsuitable

**Difficulty:** easy

### Fact Pattern

Sylvia Nakamura, age 52, is a corporate attorney earning \$285,000 per year. She has \$1.8 million in retirement assets across a 401(k) and two IRAs, \$420,000 in taxable brokerage accounts, \$95,000 in savings, and no debt other than a manageable \$180,000 mortgage. She has maximized her 401(k) and IRA contributions and is looking for additional tax-deferred savings vehicles to supplement her retirement income beginning at age 65. She has a moderate risk tolerance, a 13-year time horizon to retirement, and describes herself as 'comfortable with market fluctuations as long as I have a guaranteed income floor in retirement.' Her advisor, James Whitfield, recommended she allocate \$150,000 from her taxable brokerage account -- representing approximately 6.5% of her total assets -- into a variable annuity with a guaranteed minimum income benefit (GMIB) rider. The annuity offers a selection of diversified sub-accounts including domestic equity, international equity, and bond funds, with total annual expenses of 2.10% including the GMIB rider and mortality and expense charges. The surrender period is 7 years. Whitfield provided Sylvia with a detailed comparison of the annuity's costs versus alternative options, including taxable mutual fund investing and deferred income annuities. He explained the surrender schedule, all fees, the tax treatment of withdrawals, the GMIB rider's terms and limitations, and the fact that gains would be taxed as ordinary income rather than capital gains. He documented her stated desire for a guaranteed income component and confirmed that the \$150,000 allocation would not impair her liquidity or access to other assets. Sylvia reviewed the materials over two weeks and confirmed in writing that she understood the costs and features before proceeding. Whitfield earned a 4% commission (\$6,000).

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

No, James Whitfield acted in compliance with applicable suitability and best interest standards. Under FINRA Rule 2111, all three components of suitability are satisfied: (1) Reasonable-basis suitability -- variable annuities with GMIB riders are legitimate products for investors seeking tax-deferred growth with a guaranteed income floor in retirement, and Whitfield demonstrated an understanding of the product's features, costs, and risks; (2) Customer-specific suitability -- Sylvia is a high-earning, financially sophisticated 52-year-old attorney with a 13-year time horizon (well within the 7-year surrender period), moderate risk tolerance, substantial diversified assets, maximized tax-advantaged contributions, and an expressed desire for guaranteed retirement income. The \$150,000 allocation represents only 6.5% of her total assets, posing no liquidity concern; (3) Quantitative suitability -- this was a single appropriate transaction, not part of excessive trading. Under Reg BI's Care Obligation, Whitfield exercised reasonable diligence by comparing the annuity to alternative products and had a reasonable basis to believe the recommendation was in Sylvia's best interest given her specific stated need for a guaranteed income component that alternatives like taxable mutual funds could not provide. The Disclosure Obligation was fully met -- Whitfield explained all fees, the surrender schedule, tax implications, GMIB rider terms, and how the costs compared to alternatives. The Conflict of Interest Obligation was addressed through transparent disclosure of costs and the comparison analysis. Under FINRA Rule 2330 (Annuity Suitability), Whitfield had reasonable grounds to believe Sylvia would benefit from the annuity's tax-deferred accumulation (since she had exhausted other tax-advantaged options) and the GMIB rider's guaranteed income feature, that the particular annuity was suitable given her profile, and that the transaction did not involve an unnecessary exchange of an existing annuity. The thorough documentation, two-week review period, and written

acknowledgment further demonstrate a careful, compliant process. No regulatory action would be warranted.

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**Item 101 of 499****NON-COMPLIANT****Topic:** bond\_duration\_mismatch**Difficulty:** medium**Fact Pattern**

Margaret Ellison, age 74, is a retired elementary school teacher living in Tucson, Arizona. She has a \$420,000 portfolio, receives \$2,100 per month in Social Security and \$1,400 per month from a small pension. She told her financial advisor, Derek Hamlin, that she needed to generate predictable income from her portfolio to cover monthly living expenses of approximately \$4,800, and that she could not afford to lose principal. She described herself as conservative and said she planned to begin drawing \$1,300 per month from her investment account starting within six months. During their initial meeting in March 2023, Derek documented her investment objective as 'income' and her risk tolerance as 'low.' Despite this profile, Derek invested \$340,000 of her portfolio -- roughly 81% -- into a concentrated position of long-duration zero-coupon Treasury STRIPS maturing between 2045 and 2053, with an average effective duration of approximately 24 years. He placed the remaining \$80,000 in a short-term Treasury money market fund. Derek told Margaret the bonds were 'backed by the U.S. government and completely safe.' Over the following eight months, as interest rates rose by approximately 125 basis points, the market value of the STRIPS portfolio declined by over \$78,000. When Margaret requested her first \$1,300 monthly withdrawal, she was told that selling any portion of the STRIPS at current prices would lock in significant losses. She was unable to fund her living expenses without selling at a loss. Margaret had no prior experience with bond investing and did not understand the concept of duration or interest rate risk. Derek earned a \$4,200 commission on the STRIPS purchases.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Hamlin violated applicable suitability and best interest standards. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, time horizon, liquidity needs, and investment objectives. Under Regulation Best Interest (Reg BI), adopted under Section 15(l) of the Securities Exchange Act of 1934, a broker-dealer must act in the retail customer's best interest at the time a recommendation is made, without placing the financial interest of the broker ahead of the customer's interest. Reg BI's Care Obligation requires the broker to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation.

Here, Margaret's profile was unambiguous: she was 74 years old, conservative, dependent on portfolio income within six months, and unable to tolerate principal loss. Zero-coupon STRIPS with maturities 22-30 years out and an average duration of 24 years are among the most interest-rate-sensitive fixed income instruments available. They generate no current income (coupons), making them fundamentally incompatible with a client who needs monthly income distributions. The 81% concentration in these instruments created extreme sensitivity to rate movements, which is antithetical to a low-risk-tolerance, income-dependent retiree.

Derek's representation that the bonds were 'completely safe' because they were government-backed was materially misleading. While STRIPS carry no credit risk, they carry substantial market/interest rate risk, and this distinction should have been clearly communicated, especially to an unsophisticated investor. This likely constitutes a violation of FINRA

Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade) and potentially FINRA Rule 2020 (Use of Manipulative, Deceptive, or Other Fraudulent Devices) if the omission was intentional.

The recommendation also fails the reasonable-basis suitability component of Rule 2111, as no reasonable advisor would concentrate an income-dependent retiree's portfolio in zero-coupon instruments with 24-year duration. The customer-specific suitability obligation was clearly breached given the documented low risk tolerance, income objective, and near-term liquidity need.

Regulatory outcome: Derek would likely face FINRA enforcement action including fines, disgorgement of the \$4,200 commission, potential suspension, and restitution to Margaret for realized and possibly unrealized losses attributable to the unsuitable recommendation. State securities regulators may also pursue action.

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**Item 102 of 499****NON-COMPLIANT****Topic:** failure\_to\_know\_customer**Difficulty:** easy**Fact Pattern**

Carlos Medina, age 38, is an IT project manager in Charlotte, North Carolina, earning \$115,000 per year. He opened a brokerage account in January 2024 with \$95,000 in rollover retirement savings and \$40,000 in a taxable account. During the account opening process, his advisor, Tanya Blevins, asked him to fill out a brief questionnaire. Carlos indicated his investment objective was 'growth,' his risk tolerance was 'moderate,' and his time horizon was 'long-term (10+ years).' He wrote that he had 'some' investment experience. Tanya did not conduct any follow-up conversation. She did not ask Carlos about his existing debts, his monthly expenses, whether he had an emergency fund, his tax bracket, any upcoming major expenses, or whether he had other investment accounts. She did not ask about his family situation -- Carlos is a single father of two children, ages 6 and 9, and carries \$42,000 in student loan debt at 6.8% interest and a \$12,000 credit card balance at 22% APR. He also had no emergency fund. Without learning any of these facts, Tanya placed the entire \$40,000 taxable account into Class A shares of a growth equity mutual fund with a 5.25% front-end sales load (generating a \$2,100 commission) and a 0.95% annual expense ratio. An institutional share class of the same fund family was available with no load and a 0.45% expense ratio, for which Carlos qualified based on his account size when combined with the retirement rollover under the fund's rights of accumulation provision. Tanya did not disclose or consider the lower-cost share class.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Tanya Blevins committed multiple violations. First, she violated FINRA Rule 2090 (Know Your Customer), which requires a broker to use reasonable diligence to know the essential facts concerning every customer and the authority of each person acting on behalf of such customer. Tanya failed to ascertain Carlos's complete financial picture -- his high-interest debts totaling \$54,000, lack of emergency fund, single-parent status, and full range of financial accounts. These are essential facts that directly bear on the suitability of any investment recommendation.

Second, she violated FINRA Rule 2111 (Suitability) at both the reasonable-basis and customer-specific levels. Without knowing Carlos carried \$12,000 in credit card debt at 22% APR, Tanya could not reasonably assess whether investing the full \$40,000 in equities was suitable. A reasonable advisor would likely have recommended Carlos pay down high-interest debt or establish an emergency fund before committing all liquid savings to a growth equity fund. The recommendation to invest in a growth fund is not inherently unreasonable for a 38-year-old with a long time horizon, but it becomes questionable without understanding the full financial picture.

Third, under Regulation Best Interest (Reg BI), the Care Obligation requires the broker to consider reasonably available alternatives. The institutional share class with no front-end load and a 0.45% expense ratio was available to Carlos under the fund family's rights of accumulation, which would aggregate his \$95,000 rollover and \$40,000 taxable account to reach the breakpoint. By placing Carlos in Class A shares, Tanya cost him \$2,100 in unnecessary front-end load charges and an additional 50 basis points per year in ongoing expenses. This failure to consider lower-cost alternatives that were readily available strongly suggests that Tanya placed her own financial interest (the \$2,100 commission) ahead of the customer's, violating Reg BI's core standard.

Additionally, Reg BI's Disclosure Obligation required Tanya to disclose material facts about the recommendation, including the existence of the lower-cost share class and the conflict of interest created by the higher commission on Class A shares. There is no indication she made these disclosures.

Regulatory outcome: FINRA would likely impose sanctions including fines, restitution of the excess sales charges and expense differential, and potentially a suspension. The failure to know the customer is a foundational violation that undermines the entire recommendation process.

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## Item 103 of 499

## NON-COMPLIANT

**Topic:** market\_timing\_unsuitable

**Difficulty:** hard

## Fact Pattern

Robert and Diane Kowalski, ages 62 and 59, are a married couple in suburban Detroit. Robert is a semi-retired machinist earning \$35,000 part-time, and Diane works as an administrative assistant earning \$48,000. Their combined savings total approximately \$610,000, split between Robert's 401(k) (\$310,000), Diane's IRA (\$180,000), and a joint taxable brokerage account (\$120,000). They told their advisor, Neil Frasier, that they planned to retire fully within three to five years and wanted to preserve their savings while generating moderate growth to keep pace with inflation. They described their risk tolerance as 'moderate-conservative.' In September 2023, Neil recommended that the Kowalskis liquidate \$260,000 from their existing 401(k) and IRA holdings -- which consisted of low-cost index funds with an average expense ratio of 0.06% -- and purchase two variable annuities, one in each of their tax-deferred retirement accounts. The variable annuities carried a combined annual mortality and expense charge of 1.35%, administrative fees of 0.15%, underlying sub-account expense ratios averaging 0.85%, and a 7-year declining surrender charge starting at 7%. Total all-in annual costs were approximately 2.35%. Neil explained that the variable annuities offered 'tax-deferred growth' and 'market protection through a guaranteed minimum death benefit.' He did not discuss with the Kowalskis that their retirement accounts already provided tax deferral, making the annuity's tax-deferral feature redundant. He also did not explain that the guaranteed minimum death benefit was of limited practical value given their moderate account sizes and near-retirement time horizon. Neil also recommended that the Kowalskis invest the \$120,000 in their taxable brokerage account into a sector-rotation strategy that involved switching between technology, energy, and healthcare ETFs on a monthly basis based on Neil's proprietary momentum signals. Over the next 14 months, Neil executed 47 trades in the taxable account, generating \$8,200 in commissions and approximately \$11,400 in short-term capital gains taxes that the Kowalskis had not anticipated. The sector rotation strategy returned 4.2% gross over the period, but after commissions and taxes, the net return was approximately -1.8%. A balanced index fund over the same period returned 12.6%. Neil earned a total of \$14,800 in commissions across all recommendations.

## Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

## Answer

Yes, Neil Frasier committed serious and multi-layered violations of both suitability and best interest standards.

**\*\*Variable Annuities in Tax-Deferred Accounts:\*\***

Under FINRA Rule 2111 and its supplementary materials, as well as FINRA Regulatory Notice 12-55 (which provides guidance on suitability for variable annuities), placing a variable annuity inside an already tax-deferred retirement account requires heightened scrutiny because the principal tax benefit of the annuity -- tax deferral -- is redundant. The broker must demonstrate that other features of the annuity (such as guaranteed living benefits, death benefits, or investment options) justify the substantially higher costs. Here, the Kowalskis went from paying 0.06% in annual expenses to approximately 2.35% -- a 39-fold increase in costs -- inside accounts that already provided tax deferral. The only additional feature Neil cited was a guaranteed minimum death benefit, which is of minimal value for a couple nearing retirement with moderate account sizes; their primary need was income and preservation, not legacy planning. The 7-year surrender charge also locked up funds for a couple planning to retire in 3-5 years, creating a direct conflict with their stated time horizon and liquidity needs.

This violates FINRA Rule 2111's customer-specific suitability obligation. Under Reg BI's Care Obligation, the recommendation fails because Neil did not exercise reasonable diligence in considering the costs relative to the redundant benefits, and reasonably available alternatives (remaining in low-cost index funds) were clearly superior for the Kowalskis' profile.

**\*\*Sector-Rotation / Market-Timing Strategy:\*\***

The frequent trading strategy in the taxable account -- 47 trades in 14 months for a \$120,000 account -- constitutes a market-timing approach that was unsuitable for moderate-conservative investors nearing retirement. Under FINRA Rule 2111's quantitative suitability component, excessive trading that is inconsistent with the customer's investment profile is a violation. The turnover ratio and cost-to-equity ratio here would likely exceed recognized thresholds for excessive trading. The strategy generated \$8,200 in commissions (approximately 6.8% of the account value over 14 months) and triggered \$11,400 in short-term capital gains taxes, producing a net negative return of -1.8% compared to a 12.6% return for a simple balanced index approach.

Under Reg BI, the Conflict of Interest Obligation required Neil to identify and mitigate the conflict created by commission-based compensation that incentivized frequent trading. There is no indication he disclosed this conflict or took steps to mitigate it. His proprietary momentum signals created an additional layer of opacity.

Neil also potentially violated FINRA Rule 2010 by failing to disclose the redundancy of tax deferral within the retirement accounts, which a customer of the Kowalskis' moderate sophistication would consider material to their decision.

The total commission haul of \$14,800 across all recommendations, combined with the pattern of recommending high-cost products and frequent trading to moderate-conservative pre-retirees, strongly suggests that Neil placed his financial interests ahead of his customers'.

Regulatory outcome: This case would likely result in significant FINRA sanctions including substantial fines, disgorgement of all commissions (\$14,800), restitution covering the excess costs of the variable annuities and the trading losses/tax consequences in the brokerage account, and a lengthy suspension or bar. State insurance regulators may also pursue action regarding the annuity sales. The SEC could pursue a Reg BI enforcement action given the egregiousness of the conduct.

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**Item 104 of 499****NON-COMPLIANT****Topic:** reverse\_churning**Difficulty:** medium**Fact Pattern**

Priya Anand, age 45, is a physician in San Francisco earning \$380,000 annually. She has accumulated approximately \$1.4 million in a taxable investment account with her advisor, Glenn Harwick, at a registered investment advisory firm. In 2021, Glenn transitioned Priya's account from a commission-based brokerage model to a fee-based advisory account charging 1.25% annually on assets under management, or approximately \$17,500 per year. Glenn told Priya that the advisory account would provide 'ongoing monitoring, periodic rebalancing, and personalized financial planning.' At the time of the transition, Priya's portfolio consisted of a diversified allocation of low-cost index ETFs that she and Glenn had built over the prior four years. Priya told Glenn she was a buy-and-hold investor, did not want frequent changes, and was comfortable with her existing allocation. Over the 30 months following the transition (July 2021 through December 2023), Glenn executed exactly three trades in Priya's account: two minor rebalancing trades totaling \$18,000 in combined value and one dividend reinvestment adjustment. Glenn did not provide any written financial plan, did not conduct any formal portfolio review meetings, and responded to Priya's occasional emails with brief replies. Priya's account statements showed advisory fees totaling \$44,625 over the 30-month period. Under the prior commission-based arrangement, Priya's annual trading costs averaged approximately \$800 per year. Glenn's advisory firm did not have a process to periodically assess whether the fee-based model remained appropriate for clients with low trading activity.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Glenn Harwick engaged in reverse churning, which is the practice of placing a client in a fee-based advisory account and then providing little to no advisory services, thereby collecting ongoing fees that are disproportionate to the value delivered.

Under the Investment Advisers Act of 1940, a registered investment adviser owes a fiduciary duty to clients, encompassing duties of care and loyalty. The duty of care requires the adviser to provide advice and monitoring that is in the client's best interest and to ensure that the fee arrangement is appropriate for the services actually provided. The SEC has emphasized in multiple guidance releases that advisers must evaluate whether a fee-based account is in the client's best interest relative to a commission-based alternative, particularly for clients with low trading activity and buy-and-hold strategies.

Here, Priya paid \$44,625 in advisory fees over 30 months for an account that required virtually no active management. Under her previous commission-based arrangement, she would have paid approximately \$2,000 for the same period -- a difference of over \$42,000. Glenn executed only three de minimis trades, provided no financial plan despite promising one, and did not conduct formal review meetings. The services rendered were grossly disproportionate to the fees charged.

Additionally, to the extent Glenn's recommendation to transition to the fee-based account was itself a recommendation under Regulation Best Interest (if the transition occurred while he was still operating in a broker-dealer capacity), it

would violate Reg BI's Care Obligation. The Care Obligation requires that when recommending an account type, the broker must have a reasonable basis for believing the account type is in the customer's best interest. A 1.25% AUM fee for a buy-and-hold index investor who explicitly stated she did not want frequent changes was clearly not in Priya's best interest compared to the commission-based alternative.

The advisory firm's failure to implement a process for periodically reviewing whether fee-based accounts remain appropriate for low-activity clients also reflects a compliance deficiency. Under the Advisers Act compliance rule (Rule 206(4)-7), advisers must adopt and implement written policies and procedures reasonably designed to prevent violations.

Regulatory outcome: The SEC or state securities regulators would likely bring an enforcement action against Glenn and potentially his firm. Remedies would include disgorgement of excessive advisory fees (the differential between fees charged and the value of services provided or what the client would have paid under the commission model), civil penalties, and required implementation of account-type review procedures. Glenn could face additional sanctions including censure or suspension.

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**Item 105 of 499****COMPLIANT****Topic:** annuity\_unnecessary\_switching**Difficulty:** easy**Fact Pattern**

Helen Travers, age 68, is a retired nurse living in Tampa, Florida, with \$520,000 in total investable assets. In 2019, she purchased a variable annuity with a \$200,000 premium through her advisor, Mark Diallo. The annuity had a 6-year declining surrender charge (starting at 6%), annual mortality and expense charges of 1.40%, and sub-account expenses averaging 0.90%, for total annual costs of approximately 2.30%. The annuity did not include any guaranteed living benefit rider. By March 2024, the surrender period had fully expired, and the account value had grown to \$228,000. Helen told Mark she was increasingly concerned about market downturns and wanted guaranteed lifetime income starting at age 70. She also mentioned she was in good health and expected to live into her late 80s based on family history. Mark conducted a thorough review of Helen's existing annuity and compared it to five alternative products. He documented the comparison in a written analysis he shared with Helen. He recommended she exchange her existing variable annuity for a new fixed indexed annuity from a different carrier with the following features: no surrender charge for the first \$225,000 exchanged (under the carrier's surrender-charge-free 1035 exchange program), a 5-year surrender period at 4% declining, annual fees of 1.10% (including rider cost), and a guaranteed lifetime withdrawal benefit rider providing 5.2% annual withdrawals starting at age 70 regardless of market performance. The new product's total annual cost was 1.20% lower than the old annuity. Mark documented that the exchange was tax-free under applicable provisions, that Helen would incur no surrender charges on the old product, and that the new product addressed her stated need for guaranteed income and downside protection. He disclosed the new surrender period and explained that she would be subject to charges if she withdrew more than the guaranteed amount during the first five years. Helen reviewed the comparison, asked questions over two separate meetings, and signed an acknowledgment that she understood the trade-offs. Mark earned a \$6,840 commission on the new annuity, comparable to what another advisor would earn on a similar product, and he disclosed this amount to Helen.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Mark Diallo acted in compliance with applicable suitability and best interest standards. This annuity exchange (commonly called a 1035 exchange) was well-documented, justified by the client's changed needs, and executed with appropriate care.

Under FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities), which applies to annuity exchanges, a registered representative must have a reasonable basis for believing that the exchange is suitable after considering multiple factors, including: (a) whether the customer would incur surrender charges on the existing annuity; (b) whether the customer would be subject to a new surrender period; (c) whether the new product offers materially different features or benefits; and (d) whether the customer would benefit from the new product's features given their stated objectives. Mark satisfied all of these requirements. Helen's original annuity had completed its surrender period, so no charges were incurred. The new annuity's surrender period was shorter (5 years vs. the original 6), and the declining charge was lower (4% vs. 6%). The new product provided a guaranteed lifetime withdrawal benefit -- a feature Helen specifically requested -- that was absent from the original product. The total annual cost was 1.20% lower.

Under Regulation Best Interest, the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, to consider the customer's investment profile, and to evaluate reasonably available alternatives. Mark compared five alternative products, documented the analysis in writing, and shared it with Helen. The Disclosure Obligation requires material facts about the recommendation, including costs and conflicts, to be disclosed. Mark disclosed his commission amount and the new surrender period terms. The Conflict of Interest Obligation requires identification and mitigation of conflicts; Mark's commission disclosure and the documented comparison of alternatives demonstrate appropriate conflict management.

State insurance regulations (which vary by jurisdiction but generally follow the NAIC Suitability in Annuity Transactions Model Regulation adopted by Florida) also require that annuity replacements be suitable and that the producer document the basis for the recommendation. Mark's written comparison and two-meeting process satisfy these requirements.

The recommendation was consistent with Helen's changed investment objectives (guaranteed income and downside protection), her time horizon (anticipated longevity into late 80s, making a lifetime income rider valuable), and her risk tolerance (increasingly conservative). The lower cost structure and additional guaranteed income feature make this exchange objectively beneficial.

Regulatory outcome: No violation. If reviewed by FINRA or a state insurance department, Mark's documentation would support a finding of compliance. This represents a best-practice example of a well-justified annuity exchange.

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**Item 106 of 499****NON-COMPLIANT****Topic:** reverse\_churning**Difficulty:** hard**Fact Pattern**

Margaret Dalton, age 72, is a retired schoolteacher living in Tucson, Arizona, with a fixed annual income of \$38,000 from her pension and Social Security. In March 2021, she transferred her \$410,000 IRA from a brokerage account where she had been paying per-trade commissions to a fee-based advisory account managed by advisor Brian Kessler at a regional wealth management firm. Kessler recommended the fee-based account, telling Margaret it would provide 'ongoing professional management and monitoring.' The advisory account charged an annual wrap fee of 1.45%, amounting to approximately \$5,945 per year. After the transfer, Kessler placed Margaret's entire portfolio into a conservative allocation of three low-cost index funds and a short-term bond fund. Over the next 30 months, through September 2023, Kessler made no trades, no rebalancing, and no changes to the portfolio whatsoever. He met with Margaret once, in January 2022, for a brief 15-minute phone call in which he told her the portfolio 'looked fine.' Margaret received no financial plan, no written investment policy statement, and no quarterly reviews. During this 30-month period, Margaret paid approximately \$14,860 in advisory fees. Had she remained in her prior commission-based brokerage account with the same buy-and-hold index fund strategy, she would have paid a one-time commission of roughly \$280 in total trading costs. Margaret's investment objective was capital preservation with modest income. She had a conservative risk tolerance and no desire for active management or complex strategies. She had no prior experience with fee-based advisory accounts and relied entirely on Kessler's recommendation regarding the account type.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Brian Kessler likely violated applicable standards through reverse churning -- placing a client in a fee-based advisory account that generated ongoing fees without providing commensurate advisory services.

Under Regulation Best Interest (Reg BI), a broker-dealer and its associated persons must act in the best interest of a retail customer when making a recommendation, including the recommendation of an account type. The Care Obligation under Reg BI (17 CFR § 240.15l-1(a)(2)(ii)) requires that the advisor exercise reasonable diligence, care, and skill in making recommendations, including recommendations regarding the type of account. Specifically, the advisor must have a reasonable basis to believe the recommendation is in the customer's best interest and must consider reasonably available alternatives.

Kessler's recommendation to move Margaret into a fee-based account was problematic for several reasons:

1. **\*\*Account-Type Recommendation Failure\*\***: Margaret's conservative, buy-and-hold strategy with index funds required virtually no ongoing management. A commission-based brokerage account with one-time trading costs (~\$280) was a far more cost-effective option than a wrap-fee account charging ~\$5,945 annually. Under Reg BI's Care Obligation, Kessler should have evaluated whether the fee-based account was in Margaret's best interest given her anticipated trading activity and service needs.

2. **\*\*Lack of Services Rendered\*\***: Reverse churning occurs when an advisor places a client in a fee-based account and then provides little to no advisory services, effectively collecting fees for doing nothing. Over 30 months, Kessler conducted no trades, no rebalancing, provided no financial plan, no investment policy statement, and held only one brief phone call. The \$14,860 in fees paid bore no reasonable relationship to services provided.
3. **\*\*Cost-Benefit Disparity\*\***: The cost differential is stark -- \$14,860 in advisory fees versus approximately \$280 in commissions for the same investment outcome. Under FINRA's suitability framework (FINRA Rule 2111) and Reg BI, advisors must consider costs when making recommendations. This cost disparity strongly suggests the account type recommendation was not in Margaret's best interest.
4. **\*\*Vulnerable Client Factors\*\***: Margaret was a 72-year-old retiree on a fixed income with conservative objectives and no sophistication regarding fee-based accounts. She relied entirely on Kessler's guidance regarding account type, making the duty to recommend an appropriate account even more critical. FINRA has highlighted senior investors as a population requiring heightened attention (FINRA Rule 2165, FINRA Regulatory Notices regarding senior investors).
5. **\*\*If Kessler is also an Investment Adviser Representative\*\***: Under the Investment Advisers Act of 1940, an investment adviser owes fiduciary duties of care and loyalty. Charging ongoing advisory fees while providing essentially no advisory services would constitute a breach of fiduciary duty.

Regulatory outcomes would likely include disgorgement of excess fees, restitution to the client, potential fines, and possible suspension. FINRA and the SEC have both identified reverse churning as a significant concern in fee-based advisory accounts, and enforcement actions in this area have resulted in substantial penalties.

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## Item 107 of 499

### NON-COMPLIANT

**Topic:** illiquid\_real\_estate\_investment

**Difficulty:** medium

### Fact Pattern

Carlos Medina, age 55, is a mid-level IT manager earning \$95,000 per year. He has a total liquid net worth of approximately \$220,000, consisting of \$160,000 in a 401(k) rollover IRA and \$60,000 in a taxable brokerage account. He also owns a home with \$140,000 in equity. Carlos is recently divorced and paying \$1,800 per month in alimony for the next six years. His investment objective is growth to rebuild his retirement savings, with a moderate risk tolerance. He has no prior experience investing in alternative or illiquid investments. In September 2022, his financial advisor, Denise Watkins, recommended that Carlos invest \$75,000 -- representing approximately 34% of his liquid investable assets -- into a non-traded real estate investment trust (REIT) focused on commercial office properties. The REIT had a minimum seven-year holding period, no secondary market for redemptions, offered early redemption only in cases of death or qualifying disability at a 10% penalty, and charged upfront fees totaling 12% (including selling commissions, dealer manager fees, and offering costs). Watkins told Carlos the REIT had 'historically paid a 6.5% distribution' and described it as a 'stable income play to help offset your alimony costs.' She did not discuss the illiquidity risks, the concentration of the investment in a single sector (office real estate, which was already experiencing declining occupancy post-pandemic), or the impact the 12% upfront load would have on his invested principal. Carlos signed the subscription documents after a single meeting. By mid-2023, the REIT suspended distributions due to declining property valuations and tenant defaults, and the estimated net asset value of Carlos's investment dropped to \$51,000.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Denise Watkins violated applicable suitability and best interest standards in recommending this non-traded REIT to Carlos Medina.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability)\*\*:** Requires that a recommended transaction or investment strategy be suitable for the customer based on the customer's investment profile, including age, financial situation, needs, investment objectives, time horizon, liquidity needs, risk tolerance, and other relevant factors. This rule includes reasonable-basis suitability (understanding the product), customer-specific suitability (matching to the customer), and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI)\*\*:** Under the Care Obligation, the advisor must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and must have a reasonable basis to believe the recommendation is in the customer's best interest. Under the Disclosure Obligation, material facts about risks and costs must be disclosed.
3. **\*\*FINRA Regulatory Notice 15-02 and related guidance on non-traded REITs\*\*:** FINRA has specifically addressed concentration limits and suitability concerns with non-traded REITs and illiquid alternative investments.

**\*\*Specific Violations:\*\***

- **\*\*Concentration Risk\*\***: Placing 34% of Carlos's liquid assets into a single illiquid investment is excessive concentration. Many broker-dealers maintain internal concentration limits of 10-20% for non-traded REITs and alternative investments for customers of moderate means. Carlos's profile -- moderate risk tolerance, need for liquidity given alimony obligations, and limited overall assets -- made this concentration particularly inappropriate.
- **\*\*Liquidity Mismatch\*\***: Carlos has a significant ongoing cash obligation (\$1,800/month alimony for six years, totaling \$129,600). Locking up \$75,000 of his \$220,000 in liquid assets in a product with a seven-year hold period and punitive early redemption terms severely impairs his financial flexibility and ability to meet his obligations if his income changes.
- **\*\*Inadequate Disclosure\*\***: Watkins failed to explain the illiquidity risks, the 12% upfront fee drag (which immediately reduced Carlos's \$75,000 investment to approximately \$66,000 in actual invested capital), and the sector-specific risks of office real estate in a post-pandemic environment. Under Reg BI's Disclosure Obligation, these material facts about costs and risks must be communicated.
- **\*\*Misleading Characterization\*\***: Describing the REIT as a 'stable income play' without adequate caveats about distribution sustainability and principal risk is misleading. Distributions from non-traded REITs may be paid from offering proceeds or borrowings rather than from operating income, and Watkins had an obligation to clarify this.
- **\*\*Customer-Specific Unsuitability\*\***: Given Carlos's moderate risk tolerance, need for growth (not speculative alternatives), lack of experience with alternative investments, and substantial liquidity needs, this product was unsuitable on a customer-specific basis under FINRA Rule 2111.

**\*\*Likely Regulatory Outcome\*\***: Watkins and her broker-dealer would face potential FINRA enforcement action resulting in restitution of losses (approximately \$24,000 in principal loss plus the upfront fee drag), disgorgement of commissions earned, fines, and possible suspension. The firm's supervisory procedures regarding alternative investment suitability reviews would also be scrutinized under FINRA Rule 3110.

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## Item 108 of 499

### NON-COMPLIANT

**Topic:** crypto\_assets\_unsuitable

**Difficulty:** easy

### Fact Pattern

Helen Park, age 78, is a widow living in a retirement community in Sarasota, Florida. She has \$340,000 in total savings, which represents her entire financial safety net. Her income consists solely of \$2,200 per month in Social Security benefits. She has no pension and relies on withdrawals from her savings to cover the gap between her income and her monthly expenses of approximately \$3,800. Her investment objectives are capital preservation and income generation. She has a conservative risk tolerance and no experience whatsoever with digital assets, blockchain technology, or cryptocurrency markets. In November 2021, her financial advisor, Kyle Braddock, age 29, recommended that Helen invest \$85,000 -- approximately 25% of her total savings -- into a cryptocurrency fund that held a mix of Bitcoin, Ethereum, and several smaller-cap altcoins. Braddock described the investment as 'the future of finance' and told Helen it would 'probably double within a year.' He did not explain the extreme volatility of cryptocurrency markets, the lack of traditional investor protections, or the possibility of substantial loss of principal. Helen agreed based on her trust in Braddock. By June 2022, the value of Helen's cryptocurrency fund investment had declined to approximately \$29,000, a loss of roughly \$56,000 or 66% of the invested amount.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Kyle Braddock clearly violated applicable suitability and best interest standards. This is a straightforward case of an unsuitable recommendation.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability)\*\*:** Requires reasonable grounds for believing a recommendation is suitable based on the customer's investment profile. All three components of suitability -- reasonable-basis, customer-specific, and quantitative -- are implicated.
2. **\*\*Regulation Best Interest (Reg BI)\*\*:** The Care Obligation requires that the advisor have a reasonable basis to believe the recommendation is in the retail customer's best interest, considering the customer's investment profile including age, financial situation, risk tolerance, and investment objectives.
3. **\*\*FINRA Rules 2010 (Standards of Commercial Honor) and 2020 (Use of Manipulative, Deceptive or Other Fraudulent Devices)\*\*:** Braddock's misleading statements about expected returns may constitute additional violations.

**\*\*Specific Violations:\*\***

- **\*\*Customer-Specific Unsuitability\*\*:** Helen is a 78-year-old widow with conservative risk tolerance, capital preservation objectives, limited fixed income, and complete dependence on her savings for living expenses. Cryptocurrency assets are among the most volatile and speculative investment categories available. There is no reasonable basis to believe a 25% allocation to cryptocurrency was suitable for this customer profile.

- **\*\*Concentration\*\***: Investing 25% of Helen's entire life savings in a single speculative asset class is grossly disproportionate to her risk capacity, regardless of her stated tolerance. Helen cannot afford meaningful principal loss given her reliance on savings for living expenses.

- **\*\*Failure to Disclose Material Risks\*\***: Braddock failed to explain the extreme volatility, the lack of investor protections common to traditional securities, and the realistic possibility of substantial or total loss. Under Reg BI's Disclosure Obligation, these omissions are violations.

- **\*\*Misleading Performance Projections\*\***: Telling a client an investment would 'probably double within a year' without any reasonable basis for such a projection is misleading and potentially fraudulent. This violates standards of commercial honor and fair dealing under FINRA Rule 2010.

- **\*\*Senior Investor Exploitation\*\***: FINRA has heightened focus on protecting senior investors. Recommending speculative cryptocurrency to a 78-year-old conservative investor with no experience in digital assets raises serious concerns about potential financial exploitation.

**\*\*Likely Regulatory Outcome\*\***: This case would likely result in a FINRA enforcement action with full restitution of Helen's approximately \$56,000 loss, disgorgement of any commissions or fees earned, a significant fine, and a lengthy suspension or bar for Braddock. The firm's supervisory systems would also face scrutiny. State securities regulators may also pursue action, and depending on the circumstances, this could rise to the level of elder financial abuse under state law.

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**Item 109 of 499****COMPLIANT****Topic:** variable\_annuity\_unsuitable**Difficulty:** medium**Fact Pattern**

James and Patricia Owens, both age 62, are a married couple planning to retire in three years. James earns \$125,000 annually as an operations director, and Patricia earns \$65,000 as a school administrator. Together they have \$780,000 in combined 401(k) balances, \$150,000 in a joint taxable brokerage account, \$45,000 in emergency savings, and their home is paid off (valued at \$420,000). They have no debt. Their combined projected retirement income from Social Security will be approximately \$4,800 per month starting at age 65. They want guaranteed lifetime income to supplement Social Security so they never run out of money. Their risk tolerance is moderate, and they are concerned about market downturns in the years leading up to and during early retirement -- a concern heightened by their experience losing 35% of their 401(k) balances during the 2008 financial crisis. Their advisor, Rachel Simmons, recommended they invest \$200,000 from their taxable brokerage account and available cash (keeping \$45,000 in emergency funds untouched) into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The annuity offered a diversified set of sub-accounts across equity and bond funds, the GLWB rider guaranteed a 5% annual withdrawal rate for life starting at age 65 regardless of market performance, and the total annual expenses (including the mortality and expense charge, sub-account fees, and rider fee) were 2.35%. Simmons thoroughly reviewed three alternative strategies: (1) a systematic withdrawal plan from a balanced portfolio, (2) a single premium immediate annuity, and (3) the variable annuity with GLWB. She prepared a written comparison showing projected income under each scenario, total costs, liquidity trade-offs, and tax implications. The Owenses selected the variable annuity after reviewing all three options over two meetings totaling approximately three hours. Simmons documented the rationale, noting the clients' specific fear of outliving their assets and their desire for downside protection combined with some equity market participation. The \$200,000 investment represented approximately 20% of their total investable assets, leaving them well-diversified across their 401(k) holdings and emergency reserves.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Rachel Simmons acted in compliance with applicable suitability and best interest standards. This recommendation appears to be well-founded and properly executed.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability)\*\*:** Requires that the recommendation be suitable based on the customer's investment profile.
2. **\*\*Regulation Best Interest (Reg BI)\*\*:** Requires the advisor to act in the retail customer's best interest under the Care Obligation, Disclosure Obligation, Conflict of Interest Obligation, and Compliance Obligation.
3. **\*\*FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities)\*\*:** Specifically addresses suitability requirements for variable annuity recommendations, including consideration of whether the customer would benefit from the features of a variable annuity, the customer's age, liquidity needs, investment objectives, and other

relevant factors.

**\*\*Why the Recommendation Was Appropriate:\*\***

- **\*\*Customer-Specific Suitability\*\***: The Owenses' profile -- age 62, nearing retirement, moderate risk tolerance, specific fear of outliving assets, desire for guaranteed income with some market participation -- aligns well with the features of a variable annuity with a GLWB rider. Under FINRA Rule 2330(b), the advisor must consider whether the customer would benefit from the tax-deferral features and insurance guarantees of the annuity, and in this case, the GLWB rider directly addresses their stated primary concern.

- **\*\*Reasonable Concentration\*\***: The \$200,000 investment represents approximately 20% of the Owenses' total investable assets (~\$975,000 excluding their home). This is a reasonable allocation that does not create undue concentration or illiquidity risk. They retain \$780,000 in 401(k) accounts, \$45,000 in emergency savings, and home equity.

- **\*\*Consideration of Alternatives (Reg BI Care Obligation)\*\***: Simmons evaluated three reasonably available alternatives and presented a written comparison. This demonstrates the diligence, care, and skill required under Reg BI's Care Obligation. The clients made an informed choice after reviewing costs, income projections, and trade-offs.

- **\*\*Proper Disclosure\*\***: Simmons discussed the total cost of 2.35% annually, which, while not inexpensive, is within a reasonable range for a variable annuity with a GLWB rider and reflects the cost of the insurance guarantee. She disclosed liquidity trade-offs and tax implications, satisfying Reg BI's Disclosure Obligation.

- **\*\*Documentation\*\***: Simmons documented the rationale for the recommendation, including the specific client concerns that drove the selection. This is consistent with best practices and satisfies record-keeping expectations.

- **\*\*Appropriate for Pre-Retirees\*\***: Variable annuities with GLWB riders are specifically designed for investors approaching or entering retirement who want guaranteed income floors. The Owenses are squarely within the target demographic.

**\*\*Likely Regulatory Outcome\*\***: No violation. If reviewed by a regulator, Simmons's thorough process -- including alternatives analysis, written comparisons, multiple client meetings, documentation of rationale, and appropriate allocation sizing -- would demonstrate compliance with both suitability requirements and best interest standards.

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**Item 110 of 499****NON-COMPLIANT****Topic:** variable\_annuity\_unsuitable**Difficulty:** medium**Fact Pattern**

Robert Tillman, age 82, is a retired postal worker living in Columbus, Ohio. He has an annual income of \$32,000 from his pension and Social Security combined. His total liquid assets consist of \$195,000 in a bank CD ladder and \$40,000 in a savings account. He has no debt and owns his home outright. Robert's health has been declining -- he was diagnosed with early-stage Parkinson's disease in 2021 and his physician has indicated his condition will likely require assisted living care within two to three years, at an estimated cost of \$6,000 to \$8,000 per month. Robert's stated investment objectives are safety of principal and liquidity to cover anticipated medical and long-term care expenses. His risk tolerance is very conservative. In April 2023, financial advisor Todd Granger recommended that Robert liquidate \$170,000 of his CD holdings and invest the proceeds into a variable annuity with a 7-year surrender charge schedule. The surrender charges started at 7% in year one and declined by 1% annually. The annuity's total annual expenses were 2.85%, including a death benefit rider that Granger described as providing 'estate planning benefits.' Granger earned a 6.5% commission on the sale, totaling \$11,050. Robert has two adult children and no estate planning concerns beyond a simple will leaving everything to them equally. He did not need or request a death benefit rider, and neither child was present during the meeting where the recommendation was made. Robert signed the paperwork during a single 45-minute meeting at his kitchen table. Granger did not discuss the surrender charge implications in the context of Robert's anticipated need for assisted living funds, nor did he suggest alternatives such as keeping the CDs, purchasing a short-term bond fund, or exploring long-term care insurance options.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Todd Granger violated applicable suitability and best interest standards. This is a clear case of an unsuitable variable annuity recommendation to a senior investor.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability)\*\*:** Requires a reasonable basis to believe the recommendation is suitable for the customer's investment profile.
2. **\*\*FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities)\*\*:** Specifically requires that before recommending a deferred variable annuity, the registered representative must consider, among other factors: (a) the customer's age, (b) liquidity needs, (c) investment time horizon, (d) existing insurance products, (e) investment objectives, and (f) whether the customer would benefit from the features of the annuity such as tax deferral, annuitization, or death benefit.
3. **\*\*Regulation Best Interest (Reg BI)\*\*:** The Care Obligation requires the advisor to consider reasonably available alternatives and to have a reasonable basis to believe the recommendation is in the customer's best interest considering costs, risks, and the customer's profile.

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**\*\*Specific Violations:\*\***

- **\*\*Age and Time Horizon Mismatch\*\***: Robert is 82 years old. A variable annuity with a 7-year surrender period would lock up his money until he is approximately 89. Given his Parkinson's diagnosis and anticipated need for assisted living within 2-3 years, the surrender period is grossly misaligned with his actual time horizon and liquidity needs. Under FINRA Rule 2330, the customer's age and liquidity needs are specifically enumerated factors that must be considered.
  - **\*\*Liquidity Impairment\*\***: The \$170,000 represents approximately 72% of Robert's liquid assets. With anticipated assisted living costs of \$6,000-\$8,000 per month (\$72,000-\$96,000 annually), Robert will very likely need to access these funds within the surrender period. Early withdrawals would trigger surrender charges of up to 7% (\$11,900 in year one), in addition to the ongoing 2.85% annual expense drag. This directly conflicts with his stated objectives of safety and liquidity.
  - **\*\*No Benefit from Annuity Features\*\***: Robert does not benefit meaningfully from tax deferral (his income is modest, he is in a low tax bracket, and the annuity converts capital gains to ordinary income upon withdrawal). The death benefit rider was unnecessary -- Robert has no complex estate planning needs and did not request this feature. Under FINRA Rule 2330, the advisor must determine that the customer would benefit from the specific features of the annuity.
  - **\*\*Excessive Costs\*\***: Total annual expenses of 2.85% on a \$170,000 investment amount to approximately \$4,845 per year in fees. Robert's existing CD ladder was generating safe, penalty-free returns with FDIC insurance. The cost drag is unjustifiable for a very conservative 82-year-old investor.
  - **\*\*Failure to Consider Alternatives (Reg BI Care Obligation)\*\***: Granger did not present any alternatives -- such as maintaining the CD ladder, short-term bond funds, high-yield savings accounts, or even long-term care insurance to address Robert's actual concern about care costs. This failure to evaluate reasonably available alternatives violates the Care Obligation under Reg BI.
  - **\*\*Conflict of Interest\*\***: Granger's \$11,050 commission (6.5%) creates a significant conflict of interest that does not appear to have been mitigated. Under Reg BI's Conflict of Interest Obligation, the firm must establish policies to identify, disclose, and mitigate conflicts. The high commission likely motivated the recommendation.
  - **\*\*Senior Investor Concerns\*\***: FINRA has issued extensive guidance on protecting senior investors, including Regulatory Notice 07-43 (Senior Investors) and the establishment of FINRA Rule 2165 regarding financial exploitation of seniors. Recommending a long-surrender-period variable annuity to an 82-year-old with a degenerative neurological condition and imminent need for care funds raises serious red flags.
- \*\*Likely Regulatory Outcome\*\***: This case would likely result in a FINRA enforcement action with findings of suitability violations under Rules 2111 and 2330, and Reg BI violations. Expected sanctions would include full restitution to Robert (including surrender charges if he liquidates early, excess fees paid, and any investment losses), disgorgement of Granger's \$11,050 commission, a substantial fine, and a suspension or bar. The firm's supervisory review process for variable annuity sales to senior clients would also be examined under FINRA Rule 3110, and a supervisory failure finding is likely.
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**Item 111 of 499****NON-COMPLIANT****Topic:** high\_fees\_unsuitable**Difficulty:** easy**Fact Pattern**

Margaret Dawson, age 72, is a retired school librarian living in rural Ohio. Her total liquid net worth is approximately \$285,000, accumulated over 34 years of public service. She receives \$2,100 per month in pension income and \$1,400 per month in Social Security. She has no other sources of income and owns her home outright. In March 2023, she met with advisor Kevin Briscoe after attending a free dinner seminar at a local restaurant. During their initial meeting, Margaret told Kevin she needed her savings to supplement her monthly income, cover medical expenses, and potentially fund assisted living costs in the future. She described herself as conservative and said she could not afford to lose her principal. Kevin recommended she liquidate her existing portfolio of Treasury bonds, CDs, and a balanced mutual fund and invest the entire \$285,000 into a single non-traded real estate investment trust (REIT) called Pinnacle Property Income Fund. The non-traded REIT carried a 7% upfront sales commission (\$19,950 paid to Kevin's firm), annual management fees of 2.1%, and a mandatory 7-year lock-up period with no redemption allowed during the first three years and severe early withdrawal penalties of 10% thereafter. Kevin told Margaret the REIT paid an 8% annual distribution and described it as 'like a CD but better.' He did not discuss the illiquidity, the concentration risk of placing all her savings in one product, or the total cost structure beyond mentioning it was 'no cost to you upfront.' Within 14 months, Pinnacle suspended its distributions due to declining occupancy in its commercial properties. Margaret now has no access to her \$285,000, has lost her supplemental income stream, and is struggling to pay for prescription medications.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Briscoe committed multiple serious violations. Under FINRA Rule 2111 (Suitability), an advisor must have a reasonable basis for believing a recommendation is suitable for the customer based on their investment profile, including age, financial situation, risk tolerance, liquidity needs, time horizon, and investment objectives. Margaret's profile -- a 72-year-old retiree with conservative risk tolerance, income-generation needs, short-to-intermediate time horizon, and limited liquid net worth -- was fundamentally incompatible with a concentrated, illiquid, high-fee non-traded REIT with a 7-year lock-up. Specifically, three components of suitability were violated: (1) Reasonable-basis suitability -- the product's illiquidity and risk profile were not adequately understood or vetted before recommendation; (2) Customer-specific suitability -- the recommendation to concentrate 100% of a conservative retiree's savings in a single illiquid alternative investment directly contradicted her stated need for principal preservation, income, and liquidity; (3) Quantitative suitability -- while typically applied to excessive trading, the 7% upfront commission and 2.1% annual fees imposed a cost burden that made it extremely difficult for the investment to serve Margaret's interests. Under Regulation Best Interest (Reg BI), the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation and to consider reasonably available alternatives. Kevin failed to consider lower-cost, liquid alternatives that would have met Margaret's income needs (e.g., Treasury ladders, investment-grade bond funds, or diversified income-oriented mutual funds). The Disclosure Obligation was also violated because Kevin mischaracterized the product as having 'no cost' when it carried a \$19,950 upfront commission and substantial ongoing fees, and he failed to disclose illiquidity risks. The Conflict of Interest Obligation was violated because the 7% commission created a significant financial incentive that Kevin did not mitigate or disclose. Additionally, describing the

non-traded REIT as 'like a CD but better' constitutes a materially misleading comparison under FINRA Rule 2210 (Communications with the Public) and potentially fraud under the antifraud provisions of the Securities Exchange Act of 1934 Section 10(b). FINRA has repeatedly sanctioned advisors for concentrating elderly, conservative clients in illiquid alternative investments. Likely regulatory outcomes include disgorgement of commissions, restitution to the client, a substantial fine, and a suspension or bar from the industry.

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**Item 112 of 499****NON-COMPLIANT****Topic:** alternative\_investments\_unsuitable**Difficulty:** medium**Fact Pattern**

David and Susan Park, both age 58, are a dual-income couple in Sacramento, California. David earns \$95,000 annually as a mid-level IT manager, and Susan earns \$62,000 as an office administrator. Their combined liquid investment portfolio totals approximately \$410,000, held in IRAs and a joint brokerage account. They also have approximately \$180,000 in combined 401(k) accounts at their respective employers. The Parks told their advisor, Rachel Mendez, that they planned to retire in seven years, wanted to grow their portfolio moderately, and needed to preserve enough capital to fund approximately 25 years of retirement. They described their risk tolerance as moderate and said they were uncomfortable with investments they did not understand. In September 2023, Rachel recommended they allocate \$205,000 -- exactly half their liquid portfolio -- into three alternative investment products: \$85,000 into a private equity fund of funds with a 10-year lock-up, a 2% management fee, and a 20% carried interest above a 6% hurdle; \$70,000 into a structured note linked to a basket of emerging market equities with a 5-year maturity, a 1.5% annual fee embedded in the pricing, and full principal risk if the index declined more than 30%; and \$50,000 into a managed futures fund with a 2% management fee and 20% performance fee. Rachel told the Parks these products would provide 'institutional-quality diversification' and that 'this is exactly what the wealthy do.' She provided the offering documents but did not walk through the fee structures, lock-up provisions, or risk scenarios in detail. The Parks signed the subscription agreements the same day they were presented. Within eight months, the structured note had lost 18% of its notional value due to emerging market volatility, the private equity fund had made a capital call requesting an additional \$12,750, and the managed futures fund had charged \$6,200 in combined management and performance fees while generating a net return of negative 2%.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Rachel Mendez violated both suitability standards and best interest obligations. Under FINRA Rule 2111, the customer-specific suitability obligation requires that a recommendation match the customer's investment profile. The Parks were moderate-risk investors with a 7-year time horizon to retirement, limited investment sophistication, and a stated discomfort with complex products. Allocating 50% of their liquid portfolio to three complex, high-fee, illiquid alternative investments was unsuitable on multiple grounds. First, the 10-year lock-up on the private equity fund extended well beyond their retirement date and created a critical liquidity mismatch -- the Parks would potentially need these funds within 7 years and would have no access to \$85,000 of their retirement savings. The unexpected capital call further demonstrates the unsuitability, as it created additional financial obligations the Parks may not have anticipated or been able to meet. Second, the structured note exposed the Parks to full principal loss in a downside scenario exceeding 30%, which contradicts their moderate risk tolerance and capital preservation needs. Third, the cumulative fee burden across all three products (2%+ management fees, carried interest, embedded structured note costs, and performance fees) was excessive relative to the Parks' moderate return objectives and could have been achieved with lower-cost diversified mutual funds or ETFs. Under Reg BI's Care Obligation, Rachel was required to evaluate reasonably available alternatives before recommending these products. Conventional diversified portfolios of equity and bond index funds or target-date retirement funds could have achieved moderate growth with far lower cost and complexity. The Disclosure Obligation was also violated: while Rachel provided offering documents, she failed to

meaningfully explain fee structures, lock-up terms, and risk scenarios, effectively rendering the disclosure inadequate. Her characterization that 'this is what the wealthy do' was misleading, as institutional and ultra-high-net-worth investors typically allocate to alternatives as a small percentage of much larger portfolios and have the liquidity, sophistication, and time horizon to absorb the risks. Under the Investment Advisers Act of 1940 fiduciary standard (if Rachel was acting as an investment adviser), she had a duty of care and loyalty requiring her to act in the clients' best interest and fully disclose conflicts, including any compensation she received from the alternative investment sponsors. Having clients sign subscription documents the same day without adequate time for review may also raise concerns under FINRA Rule 2010 (Standards of Commercial Honor). Likely outcomes include an order of restitution, fines, a requirement for enhanced supervision, and potential suspension.

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**Item 113 of 499****COMPLIANT****Topic:** crypto\_assets\_unsuitable**Difficulty:** hard**Fact Pattern**

Aiden Torres, age 31, is a software engineer in Austin, Texas, earning \$185,000 annually. He has \$320,000 in liquid investments, \$95,000 in a 401(k), no debt other than a \$1,200/month apartment lease, and an emergency fund of \$40,000 in a high-yield savings account. Aiden has been investing since age 22, holds a personal portfolio of individual stocks and ETFs, and describes himself as having high risk tolerance and a long time horizon of 30+ years until retirement. He told his advisor, Danielle Cho, that he wanted to allocate a portion of his portfolio to cryptocurrency because he believed in the long-term potential of blockchain technology and was comfortable with extreme volatility. He specifically asked about Bitcoin and Ethereum. Danielle conducted a thorough review of Aiden's financial profile, confirmed his risk tolerance through a detailed questionnaire, and discussed the specific risks of crypto assets: extreme price volatility, regulatory uncertainty, potential for total loss, lack of SIPC insurance coverage, and custody risks. She documented this conversation in her client file. After this discussion, Danielle recommended that Aiden allocate \$32,000 -- approximately 10% of his liquid portfolio -- to a combination of a spot Bitcoin ETF (\$20,000) and a spot Ethereum ETF (\$12,000), both recently approved and listed on major exchanges. She explained the ETFs' expense ratios (0.25% and 0.30% respectively), noted that these products provided exposure without the custody and security challenges of holding crypto directly, and discussed how this allocation fit within his broader diversified portfolio. She also recommended Aiden set a stop-loss alert at a 25% decline and revisit the allocation quarterly. Aiden agreed, and the trades were executed. Over the following six months, the Bitcoin ETF gained 22% and the Ethereum ETF declined 8%, resulting in a net portfolio-level impact well within Aiden's stated risk parameters.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Danielle Cho acted appropriately and in compliance with applicable suitability and best interest standards. Under FINRA Rule 2111, the recommendation was suitable across all three components. Reasonable-basis suitability was satisfied because Danielle understood the products she recommended -- spot Bitcoin and Ethereum ETFs listed on major exchanges -- and their risk characteristics. These products are registered investment vehicles subject to regulatory oversight, unlike direct purchases of cryptocurrency on unregulated exchanges. Customer-specific suitability was satisfied because Aiden's profile strongly supported the recommendation: he is a young, high-income, financially sophisticated investor with a long time horizon, high risk tolerance, no dependents, substantial emergency reserves, and an expressed interest in and understanding of cryptocurrency. Quantitative suitability is not at issue because the recommendation involved a single, appropriately sized allocation rather than a pattern of trading. Under Reg BI's Care Obligation, Danielle exercised reasonable diligence and skill. She considered Aiden's full financial picture, limited the allocation to approximately 10% of liquid assets (a commonly accepted threshold for speculative allocations in portfolios of aggressive investors), chose cost-efficient ETF vehicles rather than higher-risk direct crypto holdings, and recommended risk management measures (stop-loss alerts and quarterly reviews). The Disclosure Obligation was satisfied through Danielle's thorough discussion of risks including volatility, regulatory uncertainty, potential total loss, and lack of SIPC coverage, all of which were documented. The Conflict of Interest Obligation does not appear to have been implicated, as the ETFs chosen were low-cost and there is no indication of undisclosed compensation arrangements. Under the fiduciary standard of the Investment Advisers Act of 1940 (if applicable), Danielle fulfilled her

duty of care by conducting a thorough assessment and her duty of loyalty by recommending low-cost products aligned with the client's expressed objectives. This scenario illustrates that crypto-related recommendations are not per se unsuitable; rather, the analysis depends on the customer's profile, the size and nature of the allocation, the product chosen, and the quality of the advisor's diligence and disclosure process. No violation occurred.

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**Item 114 of 499****NON-COMPLIANT****Topic:** excessive\_load\_funds**Difficulty:** medium**Fact Pattern**

Priya Ramachandran, age 44, is a pediatrician in Chicago earning \$240,000 annually. She has \$575,000 in investable assets, consisting of \$300,000 in a rollover IRA from a prior employer and \$275,000 in a taxable brokerage account. She is married with two children, ages 8 and 11, and lists her investment objectives as college funding for her children and long-term retirement growth. Her risk tolerance is moderate-to-aggressive. In January 2024, her advisor, Marcus Hull, recommended she invest her entire portfolio across six mutual funds, all from the same fund family. Each fund carried a Class A share front-end sales load of 5.75%. The total upfront load charges across the \$575,000 investment amounted to \$33,062.50. Marcus did not inform Priya that the fund family offered breakpoint discounts: investments of \$500,000 or more qualified for a reduced load of 3.50%, which would have saved her approximately \$12,937.50. Furthermore, Marcus did not discuss or consider lower-cost share classes available within the same fund family, including institutional shares with no load and expense ratios approximately 0.40% lower annually, which were available through his platform for accounts of Priya's size. He also did not mention substantially similar index ETFs that tracked the same benchmarks as four of the six recommended funds, with expense ratios averaging 0.05% compared to the recommended funds' average expense ratio of 1.15%. Over the first year, the total cost drag on Priya's portfolio -- combining the front-end load and ongoing expenses -- amounted to approximately \$39,675, representing nearly 6.9% of her initial investment. Marcus's firm received the full front-end load as revenue, of which Marcus personally received approximately 40%, or \$13,225.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Marcus Hull committed multiple violations. First, the failure to apply available breakpoint discounts is a well-established violation. FINRA Rule 2342 and associated guidance (including NASD Notice to Members 02-85 and subsequent guidance) require member firms and their representatives to ensure that customers receive the benefit of breakpoint discounts for which they qualify. Priya's \$575,000 investment exceeded the \$500,000 breakpoint threshold, which would have reduced her front-end load from 5.75% to 3.50%. Marcus's failure to apply or even disclose this breakpoint resulted in approximately \$12,937.50 in unnecessary charges and constitutes a violation of the duty to provide breakpoint discounts. Second, under FINRA Rule 2111 (Suitability) and Reg BI's Care Obligation, Marcus was required to consider reasonably available alternatives, including the cost of those alternatives. The same fund family offered institutional share classes with no front-end load and materially lower expense ratios, and the platform made them available for accounts of Priya's size. Recommending the more expensive share class without a reasonable basis for doing so -- and without disclosing the availability of cheaper alternatives -- violates both the care obligation and the cost component of suitability analysis. Third, under Reg BI's Disclosure Obligation, Marcus was required to disclose material facts about costs, including the existence of less expensive share classes and the conflict of interest created by his receipt of the front-end load commission. His failure to inform Priya about lower-cost options while receiving \$13,225 in personal compensation from the more expensive recommendation constitutes a material disclosure failure. Fourth, under Reg BI's Conflict of Interest Obligation, Marcus's firm was required to establish, maintain, and enforce policies to identify and mitigate conflicts of interest, including the financial incentive to recommend higher-cost share classes. The fact that Marcus received 40% of the load as personal compensation created a direct conflict that does not

appear to have been mitigated. Additionally, while the underlying funds and overall allocation strategy may have been reasonable for Priya's objectives, the quantitative cost burden -- nearly 6.9% in the first year alone -- was excessive and made it materially more difficult for the portfolio to achieve Priya's investment goals. Under the fiduciary standard of the Investment Advisers Act (if Marcus operated in an advisory capacity), the duty of loyalty would further require him to prioritize Priya's financial interest over his own compensation. Likely regulatory consequences include disgorgement of excess commissions, restitution of breakpoint overcharges, fines, and potential enhanced supervisory requirements for the firm.

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**Item 115 of 499****NON-COMPLIANT****Topic:** margin\_unsuitable**Difficulty:** easy**Fact Pattern**

Harold Jennings, age 76, is a retired postal worker living in Tampa, Florida. He receives \$2,400 per month from his federal pension and \$1,850 per month from Social Security. His total liquid net worth is \$190,000, held in a brokerage account that represents his entire life savings apart from his home, which is valued at approximately \$210,000 with no mortgage. Harold has no other income sources and relies on his investment portfolio to cover supplemental living expenses including property taxes, home maintenance, and out-of-pocket medical costs for ongoing treatment of Type 2 diabetes and mild congestive heart failure. He told his advisor, Tyler Graham, that he wanted safe investments that would preserve his money and provide a small amount of income. He rated his risk tolerance as conservative on his new account form. In November 2023, Tyler recommended that Harold open a margin account and use \$95,000 in margin borrowing to purchase an additional \$95,000 worth of high-dividend stocks, effectively doubling Harold's equity exposure to \$285,000 on a \$190,000 cash base. Tyler told Harold that the dividend income from the leveraged position would 'more than cover' the margin interest rate of 9.5% annually and that 'the stocks basically pay for themselves.' Tyler did not explain the mechanics of margin calls, the possibility that Harold could lose more than his initial investment, or the fact that the brokerage firm could liquidate his holdings without notice if the account value declined. Within four months, a market correction caused the portfolio to decline 22%. Harold received a margin call requiring him to deposit \$38,000 in additional funds within three business days. Unable to meet the margin call, the brokerage firm liquidated approximately \$120,000 of Harold's holdings at depressed prices. After the forced liquidation and repayment of the margin loan, Harold's account was left with approximately \$67,000 -- a loss of \$123,000, or roughly 65% of his life savings.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Tyler Graham committed egregious violations of suitability and best interest standards. Under FINRA Rule 2111, the customer-specific suitability obligation requires that recommendations be consistent with the customer's investment profile. Harold's profile -- a 76-year-old retiree with conservative risk tolerance, limited income, significant medical expenses, no ability to replace lost savings, and a stated objective of capital preservation with modest income -- is categorically incompatible with a leveraged margin strategy. Margin borrowing amplifies both gains and losses, introduces the risk of forced liquidation, and can result in losses exceeding the original investment. None of these characteristics align with Harold's needs. The recommendation fails reasonable-basis suitability as well: using margin to chase dividend yield requires that the dividend yield exceed the margin interest rate on a risk-adjusted basis, and with a 9.5% margin rate, the strategy was mathematically tenuous even before accounting for principal risk. Tyler's statement that dividends would 'more than cover' the interest was misleading, as few diversified high-dividend stock portfolios consistently yield above 9.5%, and this ignores the substantial downside risk. Under Reg BI's Care Obligation, Tyler was required to exercise reasonable diligence, care, and skill and to have a reasonable basis to believe the recommendation was in the customer's best interest. Recommending a leveraged strategy to a conservative 76-year-old retiree with no capacity to absorb losses or meet margin calls fails this standard decisively. Tyler also failed to consider readily available alternatives -- such as Treasury securities, investment-grade bond funds, or conservative balanced funds -- that would have met Harold's income and preservation objectives without leverage risk. Under Reg

BI's Disclosure Obligation, Tyler failed to explain the fundamental mechanics and risks of margin: the potential for margin calls, forced liquidation, and losses exceeding the initial investment. This omission deprived Harold of the information necessary to make an informed decision. FINRA Rule 2264 requires that customers receive and understand the margin disclosure statement, but beyond the written document, the advisor has a responsibility to ensure the customer comprehends the risks, particularly for an unsophisticated elderly client. Under FINRA Rule 4210 (Margin Requirements), the firm also bears supervisory responsibility for evaluating the appropriateness of margin accounts, and approving a margin account for a client with Harold's profile suggests a supervisory failure under FINRA Rule 3110. The devastating outcome -- loss of 65% of a retiree's life savings with no ability to recover -- underscores the severity of the violation. Likely regulatory consequences include full restitution to the client, disgorgement of any commissions earned, substantial fines against both the advisor and the firm, suspension or bar of the advisor, and potential referral for fraud charges given the misleading characterization of risk.

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**Item 116 of 499****NON-COMPLIANT**

**Topic:** junk\_bonds\_conservative\_investor

**Difficulty:** easy

**Fact Pattern**

Margaret Ellison, age 74, is a retired elementary school teacher living in suburban Ohio. Her annual pension income is \$38,000, and she has \$160,000 in savings, representing substantially all of her liquid net worth. She opened a brokerage account in March 2022 with advisor Kevin Draper, completing a new account form that listed her risk tolerance as 'conservative,' her investment objective as 'income with capital preservation,' and her time horizon as 'short-term (1-3 years).' She told Draper she could not afford to lose her principal because she relied on it as a safety net for medical expenses and potential assisted-living costs. Over the next 18 months, Draper executed approximately 310 transactions in Mrs. Ellison's account, the vast majority of which involved purchases and sales of high-yield corporate bonds rated BB or below. Many positions were held for fewer than 30 days before being sold and replaced with other similar instruments. By September 2023, the account had declined in value to approximately \$107,000. A review of account statements revealed that Mrs. Ellison had paid roughly \$34,500 in markups, markdowns, and transaction costs during this period -- representing over 21% of her original investment. Draper earned approximately \$27,000 in personal compensation from the account. Mrs. Ellison stated she did not understand the nature of the bonds being purchased and believed her money was being placed in safe, income-producing investments. She was never informed about the credit risk of the bonds, the frequency of trading, or the cumulative cost of the transactions.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Draper violated applicable suitability and best interest standards on multiple grounds.

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker have a reasonable basis to believe a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. Mrs. Ellison's profile -- a 74-year-old retiree with conservative risk tolerance, short time horizon, capital preservation objective, and limited liquid net worth -- was fundamentally incompatible with concentrated purchases of high-yield (junk) bonds rated BB or below. Junk bonds carry significant credit risk and price volatility. The recommendation-level suitability (customer-specific suitability) was clearly breached.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under Reg BI's Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill when making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Draper failed to consider the risks relative to Mrs. Ellison's conservative profile, failed to consider costs relative to her account size, and failed to consider reasonable alternatives such as investment-grade bonds, CDs, or Treasury securities.
3. **\*\*Quantitative Unsuitability / Excessive Trading (Churning):\*\*** Under FINRA Rule 2111 and Reg BI, excessive trading that serves the advisor's interest rather than the customer's constitutes a violation. With approximately 310 trades in an 18-month period in a \$160,000 account, the annualized turnover ratio and cost-to-equity ratio are extraordinarily high. A cost-to-equity ratio of approximately 21% over 18 months (roughly 14% annualized) far exceeds thresholds that regulators have historically considered presumptively excessive (typically 5-6% annualized). The account needed to

generate approximately 14% annually just to break even, which is unrealistic for a conservative income portfolio.

4. **FINRA Rule 2010 (Standards of Commercial Honor):** Draper's failure to disclose the nature of the bonds, the frequency of trading, and the cumulative costs constitutes conduct inconsistent with just and equitable principles of trade.

5. **Reg BI -- Disclosure Obligation:** Draper failed to provide Mrs. Ellison with material information about the risks, costs, and nature of the investments, including the credit risk of below-investment-grade bonds and the impact of frequent trading on her account.

**Likely Regulatory Outcome:** Draper would face FINRA enforcement action for excessive trading and unsuitable recommendations. Likely sanctions include a significant fine, disgorgement of commissions, restitution to Mrs. Ellison, and a suspension or bar from the securities industry. The firm could also face supervisory failure charges under FINRA Rule 3110 for failing to detect the excessive trading pattern.

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## Item 117 of 499

### NON-COMPLIANT

**Topic:** reverse\_churning

**Difficulty:** medium

### Fact Pattern

David Nakamura, age 45, is a software engineer in Seattle earning \$195,000 annually with a net worth of approximately \$1.2 million. In January 2022, he transferred \$400,000 from a former employer's 401(k) into a fee-based advisory account managed by advisor Rachel Simmons at a registered investment adviser. The account charged an annual wrap fee of 1.35% (\$5,400 per year). Simmons created an initial allocation of 60% equities and 40% fixed income using a mix of ETFs and individual bonds. After establishing the initial allocation, Simmons conducted virtually no trading or rebalancing activity in the account for the next 28 months. During this period, the equity allocation drifted from 60% to approximately 72% due to market appreciation, but Simmons never rebalanced the portfolio. She conducted only two trades -- both small dividend reinvestments totaling under \$3,000. Simmons held one annual review meeting with Nakamura in 2022, but canceled the 2023 meeting and did not reschedule it. She did not respond to two emails Nakamura sent in mid-2023 asking about his portfolio allocation. Over the 28-month period, Nakamura paid approximately \$12,600 in advisory fees. Had Nakamura's initial purchases been executed in a commission-based brokerage account instead, his total transaction costs would have been approximately \$450 in commissions for the original ETF and bond purchases, with no ongoing fees unless additional trades were made. Nakamura was not informed at account opening that a commission-based account might be more cost-effective for a buy-and-hold strategy.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Rachel Simmons violated applicable fiduciary and best interest standards through reverse churning and neglect.

1. **\*\*Investment Adviser Fiduciary Duty:\*\*** As an investment adviser representative, Simmons owed Nakamura a fiduciary duty of care and loyalty under the Investment Advisers Act of 1940. This duty requires ongoing monitoring and management of client accounts, acting in the client's best interest, and providing the advisory services for which the client is paying. By collecting \$12,600 in fees over 28 months while conducting virtually no management activity -- no rebalancing, no meaningful reviews, no responsiveness to client communications -- Simmons breached her fiduciary duty of care.
2. **\*\*Reverse Churning:\*\*** Reverse churning occurs when an advisor places a client in a fee-based account and then engages in little or no trading activity, resulting in the client paying ongoing fees far in excess of what they would pay in a commission-based account for the same (minimal) level of activity. Here, the cost differential is stark: \$12,600 in advisory fees versus approximately \$450 in commissions. The fee-based account type was not in Nakamura's best interest given the actual level of advisory service provided.
3. **\*\*Regulation Best Interest -- Care Obligation (if dual-registered):\*\*** If Simmons or her firm is also a registered broker-dealer, Reg BI's Care Obligation requires consideration of reasonably available alternatives, including account type. The failure to recommend or even disclose that a commission-based account would be significantly less expensive for a buy-and-hold approach violates this obligation.

4. **\*\*Fiduciary Duty -- Duty of Loyalty:\*\*** Simmons had a financial incentive to keep Nakamura in the fee-based account (she collected ongoing compensation) while providing minimal services. This conflict was not adequately managed or disclosed, violating her duty of loyalty.

5. **\*\*Failure to Monitor:\*\*** The portfolio drifted materially (from 60/40 to 72/28 equity/fixed income) without any rebalancing, and Simmons failed to hold scheduled reviews or respond to client communications. Under the ongoing fiduciary duty applicable to advisory accounts, this constitutes neglect.

**\*\*Likely Regulatory Outcome:\*\*** The SEC or state securities regulators could bring an enforcement action for breach of fiduciary duty. Simmons and/or her firm could face disgorgement of fees, civil penalties, and censure. The firm may also face scrutiny for failing to supervise account type recommendations and for inadequate policies around ongoing monitoring obligations for fee-based accounts.

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**Item 118 of 499****NON-COMPLIANT**

**Topic:** private\_placements\_unsuitable

**Difficulty:** hard

**Fact Pattern**

Carlos and Elena Reyes, ages 62 and 59, are a married couple in Tucson, Arizona. Carlos works as a facilities manager earning \$72,000 per year, and Elena is a part-time dental hygienist earning \$28,000. Their combined liquid net worth is approximately \$310,000, consisting primarily of \$230,000 in IRAs and \$80,000 in a joint brokerage account. They own their home with a remaining mortgage of \$95,000. In September 2022, their advisor, Brendan Walsh, recommended they invest \$175,000 -- approximately 56% of their liquid net worth -- into two private placement offerings: \$100,000 into a non-traded real estate investment trust focused on commercial office properties, and \$75,000 into a private limited partnership investing in oil and gas exploration. Both products carried upfront commissions and fees totaling approximately 12% (\$21,000 combined). The REIT had a minimum seven-year holding period with no guaranteed liquidity, and the oil and gas partnership was structured as a ten-year fund with capital calls possible in years two through five. The offering memoranda for both investments disclosed significant risk factors, including total loss of principal, illiquidity, lack of a secondary market, and speculative nature of the underlying assets. Walsh completed the account paperwork listing the couple's risk tolerance as 'aggressive' and their investment objective as 'speculation,' though the Reyes family had previously indicated on earlier account documents (dated 2020) that their risk tolerance was 'moderate' and their objective was 'growth and income' for retirement planning. When later asked, Carlos stated he did not recall changing his risk tolerance and that Walsh filled out the forms. Elena stated she was told the investments were 'like owning real estate and energy stocks, just in a different wrapper.' By mid-2024, the office REIT had suspended its distribution payments and marked down its net asset value by 35%, and the oil and gas partnership issued a capital call for an additional \$15,000 that the couple struggled to meet. The couple's combined investment in the two private placements had an estimated value of approximately \$98,000 -- a loss of roughly \$77,000 from their \$175,000 investment, not including the \$21,000 in upfront fees.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Brendan Walsh committed multiple serious violations of suitability and best interest standards.

1. **\*\*FINRA Rule 2111 -- Customer-Specific Suitability:\*\*** The recommendation to invest 56% of the Reyes couple's liquid net worth into illiquid, high-risk private placements was unsuitable given their actual investment profile. A couple in their late 50s/early 60s with moderate risk tolerance, combined income of \$100,000, approaching retirement, and limited liquid assets should not have the majority of their wealth in speculative, illiquid investments with seven- to ten-year lockup periods and the possibility of capital calls. The concentration alone raises serious red flags.
2. **\*\*FINRA Rule 2111 -- Reasonable Basis Suitability:\*\*** Walsh had an obligation to understand the products he recommended. Commercial office REITs were facing significant headwinds from remote work trends, and oil and gas exploration partnerships are inherently speculative. Even for an aggressive investor, concentrating over half of liquid net worth in two correlated alternative investments with 12% upfront costs would raise serious concerns.
3. **\*\*Regulation Best Interest -- Care Obligation:\*\*** Reg BI requires that the broker exercise reasonable diligence, care,

and skill, consider reasonably available alternatives, and ensure that the recommendation is in the customer's best interest without placing the advisor's financial interest ahead of the customer's. The 12% upfront fees (\$21,000) represent an enormous cost that Walsh had a financial incentive to generate. The recommendation appears driven by compensation rather than the clients' needs.

4. **\*\*Falsification of Account Records / FINRA Rule 2010:\*\*** The change in risk tolerance from 'moderate' to 'aggressive' and the change in investment objective from 'growth and income' to 'speculation' -- apparently made without the customers' genuine understanding or consent -- constitutes falsification of books and records. Carlos stated he did not recall changing his risk tolerance, and Walsh appears to have filled out the forms himself. This is a serious independent violation of just and equitable principles of trade and potentially constitutes forgery.

5. **\*\*FINRA Rule 2210 / Misleading Communications:\*\*** Elena's testimony that she was told the investments were 'like owning real estate and energy stocks, just in a different wrapper' suggests Walsh materially mischaracterized the nature, risk, and liquidity of private placements. This constitutes misleading oral communications.

6. **\*\*Reg BI -- Disclosure Obligation:\*\*** Walsh failed to adequately disclose the material differences between these private placements and publicly traded securities, particularly regarding illiquidity, lack of secondary markets, capital call risk, and the speculative nature of the investments.

7. **\*\*FINRA Regulatory Notice 10-22 (Concentration in Illiquid Products):\*\*** FINRA has specifically cautioned firms and representatives about the risks of concentrating customer assets in illiquid alternative investments, particularly for investors with moderate risk profiles and limited liquid net worth.

**\*\*Likely Regulatory Outcome:\*\*** Walsh faces potential FINRA enforcement for unsuitable recommendations, falsification of records, and misleading communications. Likely sanctions include a bar from the industry (particularly given the falsification), substantial fines, and restitution. The firm faces supervisory failure charges under FINRA Rule 3110 for failing to detect the changed risk profile, the concentration, and the suitability red flags. The couple may also pursue arbitration for compensatory damages including the full loss of approximately \$77,000 plus the \$21,000 in fees.

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## Item 119 of 499

### NON-COMPLIANT

**Topic:** mutual\_fund\_switching\_churning

**Difficulty:** medium

### Fact Pattern

Patricia Dunleavy, age 68, is a retired nurse in Charlotte, North Carolina, with an annual pension of \$44,000 and Social Security income of \$22,000. She has \$280,000 in a brokerage account that she considers her primary retirement supplement. Her account documents list her risk tolerance as 'moderate' and her investment objective as 'income and moderate growth.' Between April 2021 and November 2023, her advisor, Thomas Greer, executed 23 mutual fund switches in her account. In a typical pattern, Greer would recommend selling one large-cap growth fund and purchasing another large-cap growth fund from a different fund family, or switching from one intermediate-term bond fund to a nearly identical bond fund offered by a competing fund family. In nearly every instance, both the sold fund and the purchased fund had similar investment objectives, similar holdings overlap (often 60-80% of the same underlying securities), and comparable historical performance. However, each switch generated a new front-end sales charge averaging 4.75% on the equity funds and 3.25% on the bond funds. Over the 31-month period, Mrs. Dunleavy paid approximately \$38,200 in front-end sales loads across the 23 switches. Many of the original funds had reached breakpoint levels where additional purchases would have qualified for reduced sales charges, but the switches to new fund families reset the breakpoint schedule each time. Greer received approximately 60% of the sales loads as his personal commission, earning roughly \$22,900. Mrs. Dunleavy's account value at the end of the period was approximately \$251,000 -- having underperformed a blended benchmark by approximately \$47,000 when accounting for the loads paid and the opportunity cost of being out of the market during switches. Mrs. Dunleavy testified that Greer told her each switch was necessary because the new fund was 'better managed' and would 'outperform going forward.'

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Thomas Greer violated suitability and best interest standards through a pattern of unsuitable mutual fund switching.

1. **\*\*FINRA Rule 2111 -- Quantitative Suitability (Investment Strategy):\*\*** FINRA Rule 2111 applies not only to individual transactions but also to investment strategies, including a pattern of mutual fund switches. When an advisor recommends switching from one mutual fund to another with substantially similar objectives, holdings, and performance characteristics, the advisor must have a reasonable basis to believe the switch benefits the customer after accounting for all costs, including new sales charges, surrender fees, and tax consequences. Greer's 23 switches between substantially similar funds -- with 60-80% holdings overlap -- generated \$38,200 in new sales loads without any demonstrable benefit to Mrs. Dunleavy. This constitutes classic mutual fund switching abuse.
2. **\*\*Regulation Best Interest -- Care Obligation:\*\*** Under Reg BI, Greer was required to consider the costs of his recommendations and could not place his financial interest ahead of Mrs. Dunleavy's. Each switch generated significant commissions for Greer (\$22,900 total) while providing no meaningful change in investment exposure. A reasonable advisor would have either kept the client in the existing funds or recommended no-load or reduced-load alternatives.
3. **\*\*FINRA Rule 2341 / Breakpoint Considerations:\*\*** FINRA has emphasized the importance of breakpoint discounts.

By repeatedly switching to new fund families, Greer systematically reset breakpoint schedules, preventing Mrs. Dunleavy from benefiting from reduced sales charges on additional investments within the same fund family. This pattern strongly suggests the switches were motivated by commission generation rather than client benefit.

4. **\*\*Reg BI -- Conflict of Interest Obligation:\*\*** Greer's compensation structure (60% payout on front-end loads) created an obvious conflict of interest that incentivized switching. Under Reg BI's Conflict of Interest Obligation, the firm was required to establish policies to identify, disclose, and mitigate or eliminate such conflicts. The pattern of switching suggests the conflict was neither mitigated nor eliminated.

5. **\*\*FINRA Rule 2010 -- Standards of Commercial Honor:\*\*** Greer's representations that each new fund was 'better managed' and would 'outperform going forward,' when the funds were substantially similar, constitutes misleading statements to induce transactions. No advisor can guarantee future outperformance, and using such language to justify switches between nearly identical products is deceptive.

6. **\*\*FINRA Regulatory Notice 07-06 and 12-25:\*\*** FINRA has specifically addressed mutual fund switching abuses, noting that switches between funds with similar characteristics that generate new sales charges without corresponding customer benefit are presumptively unsuitable.

**\*\*Likely Regulatory Outcome:\*\*** Greer faces FINRA enforcement for mutual fund switching, unsuitable recommendations, and potentially misleading statements. Likely sanctions include a fine, disgorgement of commissions, restitution to Mrs. Dunleavy of approximately \$38,200 in sales loads plus lost opportunity costs, and a suspension from the industry. The firm faces supervisory failure charges for failing to detect the switching pattern, as most surveillance systems should flag repeated mutual fund switches in the same account.

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**Item 120 of 499****COMPLIANT****Topic:** inappropriate\_risk\_profile**Difficulty:** easy**Fact Pattern**

Aiden Park, age 29, is a software developer in Austin, Texas, earning \$145,000 per year. He has \$85,000 in a 401(k) from a prior employer, \$30,000 in an emergency savings account, no debt other than a modest car loan, and no dependents. In February 2023, he opened a brokerage account with advisor Lisa Corrigan, indicating on his new account form that his risk tolerance was 'aggressive,' his investment objective was 'long-term growth,' and his time horizon was 'greater than 20 years.' During their initial consultation, Corrigan discussed Aiden's financial goals, which included retirement savings and potentially buying a home in five to seven years, though he stated the home purchase was not a certainty and he had separate savings for a down payment. Corrigan documented the conversation and noted Aiden's comfort with market volatility, his understanding that aggressive investments could lose significant value in the short term, and his statement that he did not plan to access these funds for at least 15-20 years. After conducting her due diligence on suitable options, Corrigan recommended a diversified portfolio consisting of 85% equities (split among a U.S. total market index ETF at 45%, an international developed markets ETF at 25%, and an emerging markets ETF at 15%) and 15% fixed income (an intermediate-term bond index ETF). The total expense ratio for the portfolio was approximately 0.08% annually. There were no front-end loads or commissions, as the account was a fee-based advisory account charging 0.50% annually. Corrigan provided Aiden with a written investment policy statement, conducted a risk tolerance questionnaire that confirmed his aggressive profile, and scheduled quarterly review meetings. By mid-2024, the portfolio had appreciated approximately 18%, and Corrigan had rebalanced the portfolio once when the equity allocation drifted above 90%.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Lisa Corrigan acted in compliance with applicable suitability and best interest standards.

1. **\*\*FINRA Rule 2111 -- Customer-Specific Suitability:\*\*** Corrigan's recommendation was consistent with Aiden Park's documented investment profile. A 29-year-old with strong income, no dependents, minimal debt, separate emergency savings, an aggressive risk tolerance, long-term growth objective, and a 20+ year time horizon is an appropriate candidate for an equity-heavy portfolio. The 85/15 equity-to-fixed-income split is well within the range of what would be considered suitable for a young aggressive investor.
2. **\*\*FINRA Rule 2111 -- Reasonable Basis Suitability:\*\*** The recommended products -- low-cost index ETFs providing broad diversification across U.S., international developed, and emerging markets, with a bond allocation for modest ballast -- reflect a sound, well-diversified investment strategy with strong reasonable-basis suitability. Corrigan demonstrated diligence in selecting low-cost, broadly diversified instruments.
3. **\*\*Regulation Best Interest -- Care Obligation:\*\*** Corrigan exercised reasonable diligence, care, and skill. She gathered comprehensive information about Aiden's financial situation, confirmed his risk tolerance through both conversation and a formal questionnaire, documented the discussion, considered his full financial picture (including separate savings for a potential home purchase), and recommended cost-efficient products. The 0.50% advisory fee

and 0.08% expense ratio are reasonable and competitive.

4. **\*\*Reg BI -- Disclosure Obligation:\*\*** Corrigan provided a written investment policy statement and discussed the risks of aggressive investing, including the potential for significant short-term losses. This satisfies disclosure requirements.

5. **\*\*Fiduciary Duty (if applicable as RIA):\*\*** As an advisor in a fee-based advisory account, Corrigan likely operates under a fiduciary standard under the Investment Advisers Act of 1940. Her actions -- thorough fact-finding, appropriate recommendations, low costs, ongoing monitoring with quarterly reviews, and proactive rebalancing -- are consistent with fiduciary obligations of care and loyalty.

6. **\*\*Ongoing Monitoring:\*\*** Corrigan scheduled and presumably held quarterly reviews, and actively rebalanced when the portfolio drifted beyond the target allocation. This demonstrates ongoing diligence.

**\*\*Likely Regulatory Outcome:\*\*** No violation. This represents a model example of how an advisor should handle a young, aggressive investor: thorough documentation, risk tolerance confirmation through multiple methods, cost-effective diversified products, an investment policy statement, and ongoing monitoring with rebalancing. No enforcement action would be warranted.

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## Item 121 of 499

### NON-COMPLIANT

**Topic:** illiquid\_real\_estate\_investment

**Difficulty:** medium

### Fact Pattern

Margaret Dawson, age 74, is a retired school librarian living in Tucson, Arizona. She has a total net worth of approximately \$310,000, of which \$230,000 is in a rollover IRA and \$80,000 is in a savings account she considers her emergency fund. Her monthly income consists of \$1,850 from Social Security and a small \$400 pension. She has no other sources of income. Margaret told her advisor, Kevin Pratt, that her primary investment objective was capital preservation and generating modest supplemental income to cover rising prescription drug costs and property taxes on her home. She described herself as conservative and said she could not afford to lose principal. In March 2023, Kevin recommended that Margaret invest \$175,000 -- roughly 76% of her IRA -- into a non-traded real estate investment trust (REIT) that focused on commercial office properties. The REIT had a minimum seven-year holding period, no secondary market for shares, and carried an upfront load of 8.5% plus ongoing annual fees totaling 2.1%. Kevin told Margaret the REIT paid a 6% annualized distribution and described it as 'like owning real estate without the hassle.' He did not discuss the illiquidity risks, the fact that distributions could be funded by return of capital rather than actual income, or the concentration risk of placing most of her retirement savings in a single product. Six months later, Margaret needed \$40,000 for emergency roof repairs after storm damage. She contacted Kevin asking to liquidate part of the REIT and was informed that early redemption was not available and that no share repurchase program existed for the first two years. Margaret was forced to deplete her emergency savings and take on a home equity line of credit at 9.25% interest to cover the repairs.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Kevin Pratt violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Under the Care Obligation of Reg BI, a broker-dealer must exercise reasonable diligence, care, and skill in making a recommendation, must understand the potential risks, rewards, and costs of the recommendation, must have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made (considering the customer's investment profile and the potential risks, rewards, and costs), and must have a reasonable basis to believe that a series of recommended transactions is not excessive.
3. **\*\*FINRA Regulatory Notices on Non-Traded REITs:\*\*** FINRA has issued multiple regulatory notices addressing concentrated positions in illiquid products, particularly non-traded REITs. General guidance indicates that concentration

of more than 50% of liquid net worth in illiquid alternative investments is presumptively problematic, and many states impose specific concentration limits (often 10% of net worth).

**\*\*Analysis of Violations:\*\***

- **\*\*Customer-Specific Suitability / Care Obligation Violation:\*\*** Margaret was a 74-year-old retiree with limited income, conservative risk tolerance, capital preservation objectives, and foreseeable liquidity needs. The recommendation to place 76% of her IRA into a single illiquid product with a seven-year lockup directly contradicted her stated objectives and needs. A conservative investor with limited income and rising expenses needs accessible, stable investments -- not a long-duration illiquid vehicle.

- **\*\*Concentration Risk:\*\*** Allocating \$175,000 of a \$310,000 net worth (56%) to a single non-traded REIT is an extreme concentration, particularly in an illiquid product. This violates reasonable-basis suitability and the Reg BI Care Obligation because no reasonable advisor could believe this concentration was appropriate for this client profile.

- **\*\*Liquidity Mismatch:\*\*** Margaret's age, health-related expenses, and limited income sources created foreseeable liquidity needs. The seven-year lockup with no secondary market made the investment fundamentally incompatible with her situation. The fact that she needed funds within six months and could not access them demonstrates the real-world harm of this mismatch.

- **\*\*Disclosure Failures / Reg BI Disclosure Obligation:\*\*** Kevin failed to explain the illiquidity risks, the nature of distributions (potentially return of capital), and the high cost structure. The 8.5% upfront load plus 2.1% annual fees significantly eroded Margaret's principal from day one. Under Reg BI's Disclosure Obligation, the full costs and material risks must be disclosed prior to or at the time of the recommendation.

- **\*\*High Cost Structure:\*\*** The 8.5% front-end load immediately reduced Margaret's \$175,000 investment by approximately \$14,875, leaving roughly \$160,125 actually invested. Combined with ongoing fees of 2.1% annually, these costs were excessive for a conservative income-oriented investor and further undermine any claim that the recommendation was in her best interest.

**\*\*Likely Regulatory Outcome:\*\*** This case presents strong grounds for a FINRA enforcement action or arbitration award. The concentration, illiquidity mismatch, failure to consider the customer's profile, and inadequate disclosure represent clear violations of both FINRA Rule 2111 and Reg BI. Likely outcomes include disgorgement of commissions, compensatory damages to restore Margaret's losses (including the cost of the home equity line of credit she was forced to take), and potential supervisory sanctions against Kevin's firm for failing to flag a 76% concentration in a non-traded REIT for a 74-year-old conservative investor.

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## Item 122 of 499

### NON-COMPLIANT

**Topic:** margin\_unsuitable

**Difficulty:** easy

### Fact Pattern

Daniel Okafor, age 29, works as a part-time warehouse associate in Columbus, Ohio, earning approximately \$28,000 per year. He has \$12,000 in a brokerage account, no retirement savings, \$6,500 in credit card debt at 22% APR, and \$18,000 in student loan debt. He rents an apartment and has no significant assets. Daniel opened his brokerage account with advisor Lisa Cheng in January 2024 and indicated on his new account form that his investment objective was 'growth,' his risk tolerance was 'moderate,' and his investment experience was 'limited -- only held a savings account previously.' In February 2024, Lisa recommended that Daniel open a margin account and use 2:1 leverage to purchase \$24,000 worth of shares in three small-cap technology stocks. Lisa told Daniel that margin would 'double his upside potential' and that 'these tech stocks are poised to take off.' She did not explain that margin also doubles downside risk, that he could face margin calls requiring him to deposit additional cash or securities, or that the brokerage firm charged a 12.5% margin interest rate. Within six weeks, the three stocks declined by an average of 35%. Daniel received a margin call for \$4,200, which he could not meet because he had no additional savings. The firm liquidated his entire account at a loss, and Daniel was left owing the brokerage \$1,800 in margin debt plus \$310 in accrued interest, on top of having lost his entire \$12,000 original investment.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Lisa Cheng clearly violated suitability and best interest standards.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, including financial situation, risk tolerance, investment experience, and investment objectives.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Requires reasonable diligence, care, and skill, and a reasonable basis to believe the recommendation is in the customer's best interest considering costs, risks, and the customer's profile.
3. **\*\*FINRA Rule 2264 (Margin Disclosure Statement):\*\*** Requires delivery of a margin disclosure statement to customers before or at the time a margin account is opened, outlining the risks of margin trading.

**\*\*Analysis of Violations:\*\***

- **\*\*Customer-Specific Suitability Violation:\*\*** Daniel was a 29-year-old part-time worker earning \$28,000 annually with \$24,500 in existing debt, no retirement savings, limited investment experience, and only \$12,000 in investable assets. His moderate risk tolerance and growth objective did not equate to an appetite or capacity for leveraged speculation in small-cap technology stocks. A margin strategy requires sufficient financial cushion to absorb losses and meet margin

calls -- Daniel had neither.

- **Margin Unsuitability:** Margin amplifies both gains and losses. For a customer with no financial cushion, existing high-interest debt, and limited experience, leveraged trading is fundamentally unsuitable. The customer had no ability to meet margin calls, which was entirely foreseeable given his financial profile.

- **Failure to Explain Risks:** Lisa emphasized only the upside ('double his upside potential') without explaining downside risk, margin call mechanics, or the 12.5% interest cost. This constitutes a failure under Reg BI's Disclosure Obligation and raises concerns about misleading the customer.

- **Concentrated Speculative Positions:** Recommending that the entire leveraged portfolio be placed in three small-cap technology stocks compounded the risk. Small-cap tech stocks are inherently volatile, and concentrating a margin account in such holdings dramatically increased the probability of a margin call.

- **Reasonable-Basis Suitability:** No reasonable financial professional could conclude that a leveraged small-cap tech strategy was appropriate for this customer profile. The recommendation fails even the most basic reasonable-basis analysis.

**Likely Regulatory Outcome:** This is a straightforward suitability violation under both FINRA Rule 2111 and Reg BI. In a FINRA arbitration, Daniel would likely recover his \$12,000 in lost principal, the \$2,110 in margin debt and interest owed, and potentially consequential damages. Lisa could face individual sanctions including fines, suspension, or a bar from the industry. Her firm could face supervisory liability for approving a margin account for a customer with this profile, as most firms' supervisory procedures should flag margin accounts for customers with low income, high debt, and limited experience.

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## Item 123 of 499

### NON-COMPLIANT

**Topic:** speculative\_for\_conservative\_investor

**Difficulty:** hard

### Fact Pattern

Helen Vasquez, age 68, is a retired nurse living in San Antonio, Texas. She has \$185,000 in a traditional IRA, \$22,000 in a checking account, and receives \$2,100 per month in Social Security. She has no pension. Helen was diagnosed with Type 2 diabetes in 2019 and rheumatoid arthritis in 2021; her out-of-pocket medical expenses average \$1,400 per month after Medicare, and she anticipates these costs will increase. She has withdrawn between \$5,000 and \$12,000 from her IRA in each of the past three years on an unplanned basis to cover medical emergencies, car repairs, and a flooded basement. When she met with advisor Robert Tran in April 2023, she told him she needed her IRA to last for the rest of her life, that she could not afford to take big risks, and that she might need to pull money out at any time for medical bills. On her account paperwork, Robert recorded her risk tolerance as 'moderate' and her investment objective as 'growth and income.' Helen later stated in a complaint that she told Robert she was conservative and primarily needed safety and access to her money. Robert recommended that Helen invest \$140,000 of her IRA -- approximately 76% of the account -- into a variable annuity with a guaranteed minimum income benefit rider. The annuity had a seven-year surrender schedule with penalties starting at 7% in year one and declining by 1% per year. Annual internal expenses on the annuity subaccounts averaged 2.35%, and the income rider carried an additional 1.05% annual fee, for total annual costs of approximately 3.4%. The subaccounts Robert selected were aggressive: 40% in a small-cap growth fund, 35% in an emerging markets equity fund, and 25% in a high-yield bond fund. Robert told Helen the income rider meant she 'couldn't lose money' and that the aggressive subaccounts would 'grow the income base faster.' He did not discuss the surrender charges, did not explain that the income rider guarantee applied only if she annuitized the contract under specific conditions, and did not address how the high fees would erode her account value over time. In January 2024, Helen needed \$15,000 for an emergency hospitalization copay. She requested a withdrawal and was charged a 6% surrender penalty (\$900), bringing her net withdrawal to \$14,100. Meanwhile, her account value had declined by approximately 11% due to the aggressive subaccount allocation combined with the 3.4% annual fee drag.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Robert Tran committed multiple violations of applicable suitability and best interest standards.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires that recommendations be suitable based on the customer's complete investment profile, including age, financial situation, liquidity needs, risk tolerance, time horizon, and investment objectives. All three suitability obligations apply: reasonable-basis, customer-specific, and quantitative.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** The Care Obligation requires that recommendations be in the customer's best interest considering costs, risks, rewards, and alternatives. The Disclosure Obligation requires full and fair disclosure of all material facts, including costs and conflicts of interest.
3. **\*\*FINRA Rule 2330 (Variable Annuities):\*\*** Imposes heightened suitability requirements for variable annuity

recommendations. Before recommending a variable annuity, the registered representative must make reasonable efforts to obtain information about the customer's financial status, tax status, investment objectives, and other information used to make recommendations. The representative must have a reasonable basis to believe that the customer has been informed of the features of the annuity, including surrender charges and fees, that the customer would benefit from certain features of the annuity (such as tax-deferred growth, annuitization, death benefits, or living benefits), and that the particular annuity as a whole is suitable.

4. **FINRA Regulatory Notice 12-55:** Provides guidance on suitability obligations, emphasizing that advisors may not rely solely on a customer's stated willingness to take risk if the recommendation is inconsistent with the customer's actual financial situation and needs.

**Analysis of Violations:**

- **Misrepresentation of Customer Profile:** Helen stated she was conservative and needed safety and liquidity. Robert recorded her as 'moderate' with a 'growth and income' objective. If Helen's account is accurate -- and her documented history of emergency withdrawals, medical conditions, and statements support her version -- Robert manipulated the account documentation to make an unsuitable recommendation appear suitable. This is itself a serious violation and potential fraud.

- **Liquidity Mismatch:** Helen had a well-documented pattern of emergency withdrawals (\$5,000-\$12,000 annually) and stated she might need money at any time. Recommending a variable annuity with a seven-year surrender schedule and significant surrender penalties was directly contrary to her liquidity needs. Under FINRA Rule 2330, the advisor must consider whether the surrender period is appropriate given the customer's liquidity needs.

- **Aggressive Subaccount Allocation:** Even if a variable annuity were somehow appropriate, the subaccount allocation -- 40% small-cap growth, 35% emerging markets, 25% high-yield bonds -- was wildly aggressive for a 68-year-old conservative investor with chronic medical conditions and dependence on her IRA for supplemental income. This allocation carries significant downside risk and volatility, which materialized in the form of an 11% decline.

- **Excessive Costs:** Total annual costs of 3.4% are extraordinarily high and create a substantial drag on returns. For a conservative investor seeking capital preservation and income, these costs are difficult to justify under any circumstances. Under Reg BI's Care Obligation, costs must be considered, and the advisor must have a reasonable basis to believe the recommendation is in the customer's best interest despite the cost burden. Lower-cost alternatives (e.g., a diversified portfolio of low-cost bond funds and conservative equity index funds) were readily available and more appropriate.

- **Misleading Statements About the Income Rider:** Robert told Helen she 'couldn't lose money,' which was materially misleading. The income rider's guarantee typically applies only to a calculated income base used for annuitization payments under specific contract terms -- it does not guarantee that the account value cannot decline. Helen's actual account value dropped 11%, demonstrating the falsity of this representation. This violates Reg BI's Disclosure Obligation and potentially constitutes a misrepresentation or omission of material fact.

- **Failure to Disclose Surrender Charges:** Not explaining the surrender charge schedule to a client with known liquidity needs is a clear disclosure failure under both FINRA Rule 2330 and Reg BI.

- **Concentration:** Placing 76% of Helen's IRA in a single illiquid product was an inappropriate concentration for her profile.

**Likely Regulatory Outcome:** This case involves multiple overlapping violations: misrepresentation of client information on account documents, variable annuity suitability failures under FINRA Rule 2330, customer-specific



suitability violations under FINRA Rule 2111, Care and Disclosure Obligation violations under Reg BI, and potentially fraudulent misrepresentations about the product's guarantees. In FINRA arbitration, Helen would likely recover her losses including the surrender penalty, fee drag, and market losses attributable to the unsuitable aggressive allocation. Robert faces potential suspension or bar from the industry, significant fines, and his firm faces supervisory liability for approving this transaction. The falsification of the account profile elevates this from a suitability case to a potential fraud case.

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## Item 124 of 499

### COMPLIANT

**Topic:** high\_fees\_unsuitable

**Difficulty:** medium

### Fact Pattern

Priya Mehta, age 45, is a software engineering manager in Seattle, Washington, earning \$210,000 per year. She has \$620,000 in her employer's 401(k), \$185,000 in a taxable brokerage account, \$95,000 in a Roth IRA, and \$40,000 in savings. She owns a home valued at \$750,000 with \$280,000 remaining on the mortgage. Priya has no debt other than her mortgage and her children's college expenses are fully funded through 529 plans. She describes her risk tolerance as 'moderately aggressive' and her investment objective as 'long-term growth with some tax efficiency.' Priya engaged financial advisor Samantha Liu, a fee-only advisor at a registered investment advisory firm, in September 2023. Samantha charges a 1.0% annual advisory fee on assets under management. After a comprehensive financial planning assessment that included a detailed risk tolerance questionnaire, review of Priya's complete financial picture, tax situation, and retirement goals, Samantha recommended the following allocation for Priya's \$185,000 taxable account: 50% in a diversified U.S. equity index ETF (expense ratio 0.03%), 20% in an international developed markets ETF (expense ratio 0.06%), 15% in a tax-managed small-cap value fund (expense ratio 0.35%), and 15% in an intermediate-term municipal bond fund appropriate for Priya's tax bracket (expense ratio 0.18%). The blended expense ratio of the portfolio was approximately 0.11%, and combined with the 1.0% advisory fee, total all-in costs were approximately 1.11%. Samantha documented the rationale for each recommendation, including the tax efficiency of index ETFs in a taxable account, the evidence supporting small-cap value exposure for long-term investors, and the tax benefit of municipal bonds given Priya's income level. She provided Priya with a written financial plan, a Form ADV Part 2A disclosing her fees and conflicts of interest, and a summary of all costs Priya would incur. Samantha also discussed lower-cost alternatives, including robo-advisors charging 0.25%, and explained the additional value of comprehensive financial planning, tax-loss harvesting, and behavioral coaching that justified her higher fee.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

No, Samantha Liu acted in compliance with applicable suitability and best interest standards.

**\*\*Applicable Standards:\*\***

1. **\*\*Investment Advisers Act of 1940 -- Fiduciary Duty:\*\*** As a registered investment adviser, Samantha owes Priya a fiduciary duty encompassing both a duty of care and a duty of loyalty. The duty of care requires providing advice that is in the client's best interest, including a reasonable investigation into the suitability of recommendations. The duty of loyalty requires full and fair disclosure of all material facts, including conflicts of interest, and an obligation to act in the client's best interest.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** While Reg BI applies to broker-dealers rather than investment advisers, the analysis is instructive. If Samantha were a broker-dealer representative, the Care Obligation and Disclosure Obligation would be satisfied here.
3. **\*\*FINRA Rule 2111 (Suitability):\*\*** If applicable (for broker-dealer context), the recommendation would satisfy all

three suitability components.

**\*\*Analysis of Compliance:\*\***

- **\*\*Customer-Specific Suitability / Duty of Care:\*\*** Priya is 45 years old with a high income, substantial diversified assets, a long time horizon to retirement, moderately aggressive risk tolerance, and a growth-oriented objective. The recommended allocation -- 85% equities across diversified domestic, international, and small-cap funds, plus 15% in tax-advantaged municipal bonds -- is well-aligned with her profile. The 20+ year time horizon supports equity-heavy allocations, and the inclusion of municipal bonds provides tax efficiency and modest downside protection.

- **\*\*Cost Reasonableness:\*\*** The blended fund expense ratio of 0.11% is extremely low and reflects thoughtful cost-conscious selection. The 1.0% advisory fee is within the typical range for comprehensive financial planning services. Combined all-in costs of 1.11% are reasonable, particularly given that Samantha provides holistic financial planning, tax optimization, and ongoing portfolio management. Critically, Samantha disclosed the fee, discussed lower-cost alternatives, and explained the value proposition -- satisfying both fiduciary disclosure requirements and Reg BI's Disclosure Obligation.

- **\*\*Tax Efficiency:\*\*** The use of index ETFs in a taxable account minimizes capital gains distributions. The municipal bond allocation is specifically tailored to Priya's high tax bracket. The tax-managed small-cap value fund is designed to minimize tax drag. These choices demonstrate thoughtful, client-specific analysis.

- **\*\*Documentation and Disclosure:\*\*** Samantha conducted a comprehensive assessment, documented her rationale, provided Form ADV Part 2A disclosure, discussed alternative options and their relative costs, and delivered a written financial plan. This level of documentation and transparency exceeds the minimum requirements under both the fiduciary standard and Reg BI.

- **\*\*No Conflicts or Red Flags:\*\*** As a fee-only advisor, Samantha does not receive commissions or revenue-sharing from the recommended funds, eliminating common conflicts of interest. Her compensation is transparent and aligned with the client's interests.

**\*\*Conclusion:\*\*** Samantha's recommendations were appropriate for Priya's age, income, risk tolerance, time horizon, and tax situation. Costs were reasonable and fully disclosed. The investment selection demonstrated care and skill. No violations occurred. This represents a well-executed advisory engagement that satisfies both the IA fiduciary standard and would satisfy Reg BI if applicable.

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**Item 125 of 499****NON-COMPLIANT****Topic:** unsuitable\_income\_investor**Difficulty:** medium**Fact Pattern**

Arthur Brennan, age 71, is a retired electrician living in Pittsburgh, Pennsylvania. His total savings consist of \$145,000 in an IRA, which represents virtually all of his liquid net worth. He owns his home outright (valued at approximately \$165,000) and receives \$1,950 per month from Social Security. Arthur has no pension and no other income sources. He told his advisor, Craig Morrison, in August 2023 that he needed to begin drawing \$1,200 per month from his IRA within 14 months to supplement his Social Security, because he planned to stop doing occasional part-time handyman work due to worsening knee problems. Arthur said he wanted 'safe investments that would give me steady income' and marked his risk tolerance as 'conservative' on the new account form. Craig recommended that Arthur invest \$130,000 of his IRA into a long-duration corporate bond fund with an average duration of 11.2 years and a current yield of 5.8%. The fund held approximately 30% of its portfolio in BBB-rated bonds (the lowest investment-grade tier) and 12% in BB-rated bonds (below investment grade). The fund's expense ratio was 0.72%. Craig told Arthur that the 5.8% yield would 'easily cover his income needs' and that bonds were 'the safe choice for retirees.' Craig did not discuss the interest rate risk associated with long-duration bonds, the credit risk in the fund's lower-rated holdings, or the fact that Arthur's 14-month time horizon was dramatically shorter than the fund's 11.2-year duration. He also did not discuss shorter-duration alternatives such as money market funds, short-term Treasury funds, or CD ladders that would have been more appropriate for Arthur's timeline. Between August 2023 and March 2024, rising interest rates caused the fund to decline by approximately 8.5%, reducing Arthur's \$130,000 investment to roughly \$118,950. When Arthur needed to begin his planned \$1,200 monthly withdrawals in October 2024, he was selling shares at depressed prices, further eroding his principal and jeopardizing the longevity of his retirement savings.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Craig Morrison violated applicable suitability and best interest standards.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, investment objectives, time horizon, liquidity needs, risk tolerance, and other relevant factors.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Requires the broker-dealer to exercise reasonable diligence, care, and skill, to understand the potential risks, rewards, and costs of the recommendation, and to have a reasonable basis to believe the recommendation is in the customer's best interest. The advisor must also consider reasonably available alternatives.
3. **\*\*Reg BI -- Disclosure Obligation:\*\*** Requires full and fair disclosure of all material facts relating to the recommendation, including risks and costs.

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**\*\*Analysis of Violations:\*\***

- **\*\*Duration Mismatch -- The Core Violation:\*\*** This is a textbook duration mismatch. Arthur had a 14-month time horizon before he needed to begin regular withdrawals, yet Craig recommended a bond fund with an 11.2-year average duration. Duration measures a bond fund's sensitivity to interest rate changes: an 11.2-year duration means approximately an 11.2% decline in net asset value for every 1% increase in interest rates. For a client who needs the money in 14 months, this level of interest rate risk is wholly inappropriate. The proper approach for a conservative investor with a short time horizon would be investments with durations matching or shorter than the client's timeline -- such as money market funds (near-zero duration), short-term Treasury funds (1-3 year duration), or FDIC-insured CDs maturing within the needed timeframe.

- **\*\*Customer-Specific Suitability Failure:\*\*** Arthur was a 71-year-old retiree with virtually all of his liquid savings in his IRA, no pension, a conservative risk tolerance, a stated need for safety, and a specific, near-term income need. The long-duration bond fund exposed him to significant principal risk at precisely the time he could least afford it. The recommendation was inconsistent with every element of Arthur's stated investment profile.

- **\*\*Credit Risk:\*\*** The fund held 12% in below-investment-grade (BB-rated) bonds. For a conservative investor who specifically requested 'safe investments,' any allocation to high-yield/junk bonds was inappropriate. Combined with the 30% allocation to BBB-rated bonds (the lowest investment-grade tier), approximately 42% of the fund carried meaningful credit risk.

- **\*\*Failure to Consider Alternatives:\*\*** Under Reg BI's Care Obligation, the advisor must consider reasonably available alternatives. Craig did not discuss money market funds, short-term Treasury funds, CD ladders, or even a balanced approach that would have matched the fund's duration to Arthur's withdrawal timeline. These alternatives were readily available, lower in cost, and dramatically more suitable.

- **\*\*Misleading Characterization:\*\*** Craig's statement that bonds were 'the safe choice for retirees' was misleading in context. While bonds as an asset class may be less volatile than equities over long periods, a long-duration bond fund can experience significant short-term losses in a rising rate environment -- exactly what occurred. This oversimplification failed to convey the actual risk profile of the specific fund recommended.

- **\*\*Disclosure Failures:\*\*** Craig did not explain interest rate risk, the relationship between duration and price sensitivity, the credit risk in the portfolio, or the mismatch between the fund's characteristics and Arthur's timeline. These omissions violate Reg BI's Disclosure Obligation.

**\*\*Quantitative Harm:\*\*** Arthur lost approximately \$11,050 (8.5%) in principal within seven months, and the ongoing forced liquidation at depressed prices to fund his monthly withdrawals will compound the damage. For a retiree with no other liquid savings, this loss materially threatens the sustainability of his retirement income.

**\*\*Likely Regulatory Outcome:\*\*** Craig violated FINRA Rule 2111 (customer-specific suitability) and Reg BI (Care and Disclosure Obligations). In FINRA arbitration, Arthur would likely recover the difference between his actual losses and the returns he would have earned in a suitable short-duration investment. Craig's firm faces supervisory liability for failing to flag a long-duration bond fund recommendation for a 71-year-old conservative client with a 14-month time horizon. Craig could face individual sanctions including fines and suspension.

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## Item 126 of 499

### NON-COMPLIANT

**Topic:** failure\_to\_know\_customer

**Difficulty:** easy

### Fact Pattern

Margaret Simmons, age 64, retired elementary school teacher in Tulsa, Oklahoma, visited broker Daniel Voss at Ridgeline Financial Services in March 2023. Margaret told Daniel she had \$185,000 in a savings account and needed to use approximately \$140,000 of those funds within 14 months to pay for a planned kitchen and bathroom renovation, a new roof, and to help her granddaughter with first-year college tuition. She described herself as very conservative and said she could not afford to lose any of the money earmarked for those expenses. She had no prior investment experience beyond a certificate of deposit she once held at her local credit union. Daniel opened a brokerage account for Margaret and recommended she invest \$150,000 into the Apex Long-Duration Government Bond Fund, a mutual fund with an average portfolio duration of 8.2 years and a front-end sales load of 4.25%. Daniel told Margaret the fund was 'safe because it's government bonds.' He did not discuss interest rate risk, the fund's sensitivity to rate changes, or the potential for principal loss over short holding periods. He did not document Margaret's 14-month time horizon on the new account form; instead, he checked 'long-term growth (10+ years)' as her investment objective. Over the next 11 months, as interest rates continued to rise, the fund's net asset value declined by 12.3%, reducing Margaret's investment to approximately \$131,550 before the load, or roughly \$126,200 after the load was factored in. Margaret contacted Daniel in January 2024, panicked that she had lost nearly \$24,000. She liquidated the position and was forced to delay the renovations and reduce her financial support for her granddaughter's tuition.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Daniel Voss committed multiple violations. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, which includes age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Daniel failed the 'customer-specific suitability' obligation by recommending a long-duration bond fund to a customer who explicitly stated she needed the money within 14 months. A fund with an 8.2-year average duration carries substantial interest rate risk over short periods, making it wholly inappropriate for Margaret's near-term liquidity needs. Additionally, under FINRA Rule 2090 (Know Your Customer), Daniel was required to use reasonable diligence to know and retain the essential facts concerning the customer. He failed this obligation by misrepresenting Margaret's investment objective on the new account form as 'long-term growth (10+ years)' when she clearly stated a 14-month time horizon. This constitutes falsification of account records, which also implicates FINRA Rule 4511 (Books and Records) and potentially FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade). Under Regulation Best Interest (Reg BI), which applies to broker-dealer recommendations to retail customers, Daniel failed the Care Obligation (requiring reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile including time horizon and liquidity needs) and the Disclosure Obligation (he failed to disclose the material risks of interest rate sensitivity). He also arguably violated the Compliance Obligation, as the firm should have had policies to flag mismatches between stated time horizons and product characteristics. The likely regulatory outcome would include FINRA enforcement action resulting in fines, a suspension or bar for Daniel, disgorgement of commissions, and restitution to Margaret for her losses. The firm, Ridgeline Financial Services, could also face supervisory failure charges under FINRA Rule 3110 for inadequate

review of the suitability of recommendations.

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## Item 127 of 499

### NON-COMPLIANT

**Topic:** excessive\_load\_funds

**Difficulty:** medium

### Fact Pattern

Kevin and Stacy Okafor, both age 37, are dual-income professionals in Charlotte, North Carolina -- Kevin is a software engineer earning \$145,000 annually and Stacy is a dental hygienist earning \$78,000. In June 2023, they met with financial advisor Lisa Trent at Beacon Wealth Advisors to invest \$95,000 they had accumulated in a joint savings account. They told Lisa they wanted to build a diversified portfolio for long-term growth over 20+ years, had moderate risk tolerance, and were comfortable with standard equity market volatility. They mentioned they were cost-conscious and asked about fees. Lisa recommended splitting the \$95,000 across four actively managed mutual funds, each carrying a front-end sales load of 5.75%: the Pinnacle Large Cap Growth Fund (\$30,000), the Summit Mid Cap Value Fund (\$25,000), the Crestline International Equity Fund (\$20,000), and the Ridgepoint Small Cap Opportunities Fund (\$20,000). The total upfront load charges amounted to \$5,462.50, leaving \$89,537.50 actually invested. Each of the four funds also carried annual expense ratios ranging from 1.15% to 1.42%. Lisa did not inform Kevin and Stacy that her firm's platform offered virtually identical low-cost index fund alternatives -- including a large cap index fund with no load and a 0.04% expense ratio, a mid cap index with no load and a 0.06% expense ratio, an international index fund with no load and a 0.11% expense ratio, and a small cap index fund with no load and a 0.08% expense ratio. Lisa also failed to mention that the Okafor's \$95,000 investment would have qualified for a breakpoint discount at the \$100,000 threshold through a simple letter of intent, which would have reduced the load to 4.50% if they committed to investing an additional \$5,000 within 13 months -- something they indicated they could easily do. Lisa earned a commission of approximately \$4,100 from the transaction. The Okafor's account statements over the following year showed their portfolio underperformed relevant benchmark indices by an average of 1.8 percentage points after fees.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Lisa Trent committed several violations. First, under Regulation Best Interest (Reg BI), applicable to broker-dealer recommendations to retail customers, the Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making a recommendation, considering reasonably available alternatives. Lisa had access to substantially identical, no-load index funds on her firm's own platform with dramatically lower expense ratios. She failed to consider these reasonably available alternatives or to explain why the high-load, high-expense funds were preferable for clients who specifically asked about fees and had a 20+ year time horizon where compounding cost differences would be enormous. Over 20 years, the cumulative cost difference between the recommended funds and the available index alternatives could exceed \$50,000 or more. Second, Lisa violated FINRA's breakpoint rules. FINRA has issued extensive guidance through Notices to Members (e.g., NTM 03-54) and enforcement actions emphasizing that brokers must inform customers about available breakpoint discounts. The Okafor's investment of \$95,000 was close to the \$100,000 breakpoint, and they indicated the ability to invest more. Lisa's failure to offer a letter of intent to achieve the reduced 4.50% load constitutes a breakpoint sales violation under FINRA Rule 2342 and related FINRA guidance. Third, under Reg BI's Conflict of Interest Obligation, Lisa was required to identify and mitigate conflicts arising from her financial incentive (the \$4,100 commission) that created a clear motivation to recommend loaded funds over no-load alternatives. She did not disclose this conflict or take steps to mitigate it. Under FINRA Rule 2111 (Suitability), the quantitative suitability and reasonable-basis suitability components also required Lisa to have a reasonable basis for



believing these high-cost products were suitable when functionally equivalent low-cost alternatives existed. The likely regulatory outcome includes FINRA fines, required restitution of excess loads and potentially excess ongoing expenses, commission disgorgement, and a potential suspension. The firm could also face supervisory violations under FINRA Rule 3110 for failing to have adequate systems to detect breakpoint violations and to ensure cost-appropriate recommendations.

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## Item 128 of 499

### NON-COMPLIANT

**Topic:** mutual\_fund\_switching\_churning

**Difficulty:** hard

### Fact Pattern

Howard Bledsoe, age 71, is a retired postal worker in Albuquerque, New Mexico, with a modest pension of \$2,800 per month and total liquid savings of \$310,000. Howard's wife passed away in 2021, and he has been managing finances alone for the first time. He has a high school education and limited investment knowledge. He opened a brokerage account with broker Raymond Schultz at Desert Horizon Securities in January 2022, stating his goals were capital preservation and modest income to supplement his pension. He marked his risk tolerance as conservative. Between January 2022 and December 2023 -- a span of 24 months -- Raymond executed 14 mutual fund switches in Howard's account. The pattern was consistent: Raymond would call Howard and recommend selling one fund family's equity income or balanced fund to buy a similar fund from a different fund family, each time triggering a new front-end sales charge. The specific transactions included: (1) January 2022: \$310,000 into Franklin Income Fund, Class A shares, 4.25% load (\$13,175 in charges); (2) April 2022: sold Franklin Income, bought American Funds Income Fund of America Class A, 3.75% load on \$296,825 (\$11,131); (3) July 2022: sold Income Fund of America, bought MFS Total Return Fund Class A, 4.25% load (\$12,142); (4) October 2022: partial switch of \$150,000 into Putnam Equity Income Class A, 5.75% load (\$8,625); (5) January 2023: switched Putnam position into Eaton Vance Balanced Fund Class A, 5.75% load (\$8,138); (6) and nine additional switches through December 2023 following the same pattern. In total, Howard paid approximately \$87,400 in front-end sales loads over the 24-month period, reducing his original \$310,000 to approximately \$222,600 in invested principal -- a 28.2% reduction from loads alone, before accounting for any market performance. Raymond earned commissions totaling roughly \$65,500 from these transactions. When Howard's daughter, a CPA, reviewed her father's statements during a Thanksgiving visit in November 2023, she discovered the pattern and filed a complaint. Raymond's rationale, documented in sparse notes, cited 'rebalancing' and 'seeking better risk-adjusted returns,' but the funds involved had substantially similar investment objectives, holdings, and historical performance characteristics. Howard's account also showed that he was charged short-term redemption fees on three occasions for selling funds within 90 days of purchase.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Raymond Schultz committed egregious violations across multiple regulatory frameworks. Under FINRA Rule 2111 (Suitability), the quantitative suitability component specifically addresses situations where a broker exercises de facto control over a customer's account and the level of trading activity is excessive in light of the customer's investment profile. While each individual switch might superficially appear to involve a 'suitable' product category, the pattern of 14 switches in 24 months -- generating \$87,400 in loads (28.2% of principal) -- constitutes classic mutual fund switching or churning. The key quantitative metrics are damning: the cost-to-equity ratio is extraordinarily high, and the turnover rate demonstrates that no reasonable investor with Howard's conservative, capital-preservation profile would have engaged in this trading pattern. Under Regulation Best Interest (Reg BI), Raymond violated the Care Obligation because no reasonable basis existed for recommending switches between substantially similar funds that served no investment purpose but generated massive transaction costs. The Care Obligation requires that the advisor consider costs, and here, costs consumed over a quarter of Howard's life savings. Raymond also violated the Conflict of Interest Obligation by failing to mitigate the obvious conflict created by his commission incentive -- he earned \$65,500 by systematically

depleting a 71-year-old retiree's savings. Under FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade), this pattern of behavior constitutes unethical conduct. The sparse documentation citing 'rebalancing' and 'better risk-adjusted returns' among funds with substantially similar objectives and holdings would be viewed as pretextual by any regulator or arbitration panel. Raymond also appears to have exercised de facto control over Howard's account. Although the account may not have been formally discretionary, the pattern of Howard passively accepting telephone recommendations from a trusted advisor -- combined with Howard's limited sophistication, recent widowhood, and unfamiliarity with investments -- strongly suggests de facto control, which is sufficient to establish churning even in a non-discretionary account. FINRA Rule 3110 (Supervision) imposes obligations on Desert Horizon Securities to detect patterns of excessive switching. The firm's failure to flag 14 switches in 24 months in a conservative retiree's account represents a significant supervisory failure. Additionally, FINRA has specifically addressed mutual fund switching abuse in multiple regulatory notices (including NTM 94-16 and Regulatory Notice 12-25), establishing that switches between similar fund families for the purpose of generating new sales loads are presumptively unsuitable. The likely regulatory outcome is severe: Raymond faces a lengthy suspension or permanent bar from the industry, substantial fines, and disgorgement of all commissions. Howard would likely receive full restitution of the approximately \$87,400 in loads through FINRA arbitration, plus potential consequential damages. Desert Horizon Securities faces supervisory fines and potential sanctions for systemic failures. If the conduct is deemed willful, a referral to state or federal prosecutors for potential fraud charges is also possible.

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## Item 129 of 499

## NON-COMPLIANT

**Topic:** junk\_bonds\_conservative\_investor

**Difficulty:** medium

## Fact Pattern

Dolores Whitfield, age 82, is a retired librarian living in a senior community in Sarasota, Florida. Her sole sources of income are Social Security (\$1,950/month) and a small state pension (\$1,100/month). She has \$420,000 in total savings, which she has described to multiple advisors over the years as her 'safety net' for healthcare expenses, potential assisted living costs, and a small bequest she wishes to leave to her church. In September 2023, she met with financial advisor Marcus Engel at Coastal Capital Group after her previous advisor retired. During the account opening process, Dolores told Marcus she was conservative, could not afford to lose principal, and wanted safe income to supplement her fixed income sources. She specifically mentioned she did not understand complicated investments and preferred 'simple things like CDs and Treasury bonds.' Marcus noted on her account profile that she had limited investment experience, a conservative risk tolerance, and income/capital preservation objectives. Despite this documented profile, Marcus recommended that Dolores invest \$280,000 -- two-thirds of her life savings -- into a concentrated portfolio of individual high-yield corporate bonds. The specific holdings included: \$70,000 in bonds issued by a leveraged oil and gas exploration company rated CCC+ by S&P; \$60,000 in bonds from a distressed retail chain rated B-; \$55,000 in subordinated notes from a cryptocurrency lending platform rated CCC; \$50,000 in bonds from a regional airline that had recently emerged from restructuring, rated B; and \$45,000 in bonds from a speculative biotech company with no approved products, rated CCC-. The weighted average yield of the portfolio was 11.4%, and Marcus emphasized this income to Dolores, telling her she would receive 'much more interest than any CD.' He did not explain what high-yield or 'junk' bond ratings meant, did not discuss default risk, did not explain the meaning of the credit ratings, and did not discuss the concentration risk of holding five individual issuers rather than a diversified fund. Within seven months, the cryptocurrency lending platform filed for bankruptcy (total loss of \$55,000), the retail chain missed two interest payments and its bonds traded down to 31 cents on the dollar (loss of approximately \$41,400), and the biotech company's bonds dropped to 45 cents on the dollar after a failed clinical trial (loss of approximately \$24,750). By April 2024, Dolores's \$280,000 investment was worth approximately \$164,000, a loss of \$116,000 or 41.4% of the invested amount.

## Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

## Answer

Yes, Marcus Engel committed severe violations. Under FINRA Rule 2111 (Suitability), all three components of suitability were violated. First, reasonable-basis suitability: concentrating an 82-year-old conservative retiree's assets in five individual junk bond issuers rated CCC- to B- lacks any reasonable basis as a suitable strategy for any conservative investor, let alone one who is elderly, unsophisticated, and entirely dependent on her savings for healthcare and living expenses. Second, customer-specific suitability: Marcus's own documentation reflected that Dolores was conservative with income/capital preservation objectives and limited investment experience. Recommending speculative-grade individual bonds to this customer is a textbook customer-specific suitability violation. Third, quantitative suitability: while this prong typically addresses excessive trading, the excessive concentration of \$280,000 (67% of total savings) in high-risk, illiquid individual junk bonds could also be analyzed under this framework. Under Regulation Best Interest (Reg BI), Marcus failed the Care Obligation by not exercising reasonable diligence, care, and skill. A reasonably diligent advisor would never recommend CCC-rated individual corporate bonds to an

82-year-old conservative investor who expressed a preference for CDs and Treasuries. Marcus also failed the Disclosure Obligation by not explaining the meaning of credit ratings, default risk, or the difference between investment-grade and speculative-grade bonds. The Conflict of Interest Obligation was likely violated as well, since individual bond transactions typically carry markups or commissions that Marcus had an incentive to maximize. FINRA Rule 2090 (Know Your Customer) was technically complied with in form -- Marcus documented the correct profile -- but he then completely disregarded his own documentation, which makes the violation of Rule 2111 even more egregious. The concentration in only five individual issuers (as opposed to even a diversified high-yield bond fund) dramatically amplified the risk and demonstrates a reckless disregard for prudent diversification principles. FINRA and the SEC have consistently held that recommending speculative investments to elderly, conservative, unsophisticated investors is among the most serious suitability violations. The likely regulatory outcome includes significant fines, a lengthy suspension or industry bar for Marcus, and full restitution to Dolores. Coastal Capital Group would face supervisory failure charges under FINRA Rule 3110 for failing to flag the glaring mismatch between the customer profile and the recommended investments. Dolores would have a strong FINRA arbitration claim for compensatory damages of approximately \$116,000 plus potential consequential damages.

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**Item 130 of 499****COMPLIANT****Topic:** tax\_deferred\_unnecessary\_annuity**Difficulty:** easy**Fact Pattern**

Renee Sato, age 54, is a marketing director in Portland, Oregon, earning \$165,000 annually. She has \$480,000 in a 401(k), \$85,000 in a Roth IRA, \$60,000 in a taxable brokerage account, and \$40,000 in savings. She has no debt, is in good health, and expects to retire at age 67. She met with financial advisor Patricia Dolan at Evergreen Advisory Partners in August 2023. Renee explained that she had already maxed out her 401(k) and Roth IRA contributions for the year and wanted to invest an additional \$50,000 from a recent inheritance in a tax-efficient manner for retirement. She described her risk tolerance as moderate-to-aggressive and said she was comfortable with equity market exposure. Patricia recommended a low-cost variable annuity with no surrender charge period, an annual total expense ratio of 0.55% (including mortality and expense charges and underlying fund expenses), and a selection of diversified index sub-accounts. Patricia explained that the annuity would provide tax-deferred growth on the \$50,000 since Renee had already exhausted her other tax-advantaged contribution limits. Patricia discussed the trade-offs clearly: she explained that annuity withdrawals would be taxed as ordinary income rather than at capital gains rates, that there was a 10% penalty for withdrawals before age 59½, that the annuity would not receive a step-up in basis at death, and that the 0.55% expense ratio was higher than holding index funds directly in a taxable account. Patricia documented Renee's understanding of these trade-offs. She also discussed alternatives, including investing in tax-efficient index funds in the taxable brokerage account, and explained scenarios under which each approach might be preferable. Renee, after considering both options and consulting with her CPA, chose the variable annuity because she was in a high tax bracket and valued the ongoing tax deferral over a 13-year accumulation period. Patricia's commission on the product was modest -- approximately \$500 -- which she disclosed. The annuity was funded with non-retirement (after-tax) money from the inheritance.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Patricia Dolan acted appropriately and in compliance with applicable standards. Under FINRA Rule 2111 (Suitability), the recommendation satisfies all three suitability components. Reasonable-basis suitability is met because a low-cost variable annuity with no surrender charges is a legitimate product for a high-income investor who has exhausted other tax-advantaged vehicles and seeks additional tax-deferred growth over a 13-year period. Customer-specific suitability is met because Renee is 54 years old, has a high income, moderate-to-aggressive risk tolerance, a 13-year time horizon until retirement, has already maximized her 401(k) and Roth IRA, and is investing non-retirement funds from an inheritance -- all factors that support the recommendation. Quantitative suitability is satisfied because this is a single transaction, not a pattern of excessive activity. Under Regulation Best Interest (Reg BI), Patricia satisfied the Care Obligation by exercising diligence in understanding Renee's full financial picture, evaluating alternatives (including tax-efficient index funds in a taxable account), and recommending a product with reasonable costs (0.55% total expense ratio with no surrender charges). She satisfied the Disclosure Obligation by clearly explaining the trade-offs, including ordinary income taxation on withdrawals, the 10% early withdrawal penalty, the lack of step-up in basis, and the expense differential versus taxable index fund investing. She satisfied the Conflict of Interest Obligation by disclosing her modest \$500 commission and presenting the taxable alternative as well. FINRA has specifically addressed variable annuity recommendations in Regulatory Notice 20-18 and prior guidance,

emphasizing that annuities purchased in accounts that are already tax-advantaged (like IRAs) raise heightened suitability concerns because the tax-deferral benefit is redundant. Here, however, Patricia recommended the annuity using non-retirement, after-tax funds from an inheritance, and the tax deferral provides genuine incremental benefit since Renee had no other available tax-advantaged space. The product also lacked punitive surrender charges, which eliminates a common concern about liquidity. The fact that Renee independently consulted her CPA and made an informed decision further supports the compliance of this recommendation. No regulatory action would be expected.

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## Item 131 of 499

### NON-COMPLIANT

**Topic:** unsuitable\_income\_investor

**Difficulty:** easy

### Fact Pattern

Margaret Holloway, age 74, is a retired postal worker living in suburban Ohio. She has a fixed monthly income of \$2,100 from her pension and \$1,450 from Social Security. Her total liquid savings amount to \$310,000, held in a money market account and certificates of deposit. She has no other sources of income and relies on modest monthly withdrawals from savings to cover medical co-pays, property taxes, and day-to-day expenses. When she met with her financial advisor, Derek Stanton, in March 2023, she explicitly told him she needed safe, income-producing investments and could not afford to lose any principal. She completed a new-account form listing her risk tolerance as 'conservative,' her investment objective as 'income and capital preservation,' and her time horizon as '1-3 years.' Over the following two months, Stanton moved \$265,000 of Margaret's savings into a portfolio consisting of 40% high-yield corporate bond funds rated below investment grade, 30% emerging-market equity funds, and 30% small-cap growth stocks. The portfolio carried an average annual expense ratio of 1.65% and generated significant price volatility. By December 2023, the account had lost approximately \$47,000 in value--a decline of roughly 17.7%. Meanwhile, the dividend and interest income produced by the portfolio was only \$3,200 over that period, far less than the \$12,000 Margaret had budgeted for withdrawals. Stanton earned approximately \$7,400 in commissions from the transactions. Margaret was forced to liquidate positions at a loss to meet her living expenses.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Stanton violated applicable suitability and best interest standards on multiple levels.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, tax status, time horizon, liquidity needs, and investment objectives. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

2. **\*\*Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:\*\*** If Stanton is a broker-dealer representative making recommendations to retail customers after June 30, 2020, he must satisfy the Care Obligation under Reg BI. This requires that he exercise reasonable diligence, care, and skill in making recommendations, consider reasonably available alternatives, and ensure the recommendation is in the customer's best interest without placing the advisor's financial interest ahead of the customer's.

**\*\*Analysis:\*\***

- **\*\*Customer-Specific Suitability Violation (FINRA Rule 2111):\*\*** Margaret's profile is textbook conservative: 74 years old, fixed and limited income, short time horizon, explicit request for capital preservation and income, and documented



conservative risk tolerance. Allocating 85% of her liquid net worth to high-yield junk bonds, emerging-market equities, and small-cap growth stocks is fundamentally inconsistent with every element of her investment profile. These asset classes carry high volatility, credit risk, and are inappropriate for an investor who cannot tolerate principal loss and needs reliable income.

- **Reg BI Care Obligation Violation:** Stanton failed to exercise reasonable diligence and care. A portfolio of high-yield, emerging-market, and small-cap investments for a 74-year-old conservative income investor cannot be justified as being in her best interest. Suitable alternatives--such as investment-grade bond funds, Treasury securities, short-duration bond ladders, or high-quality dividend-paying equities in modest proportions--were readily available and would have aligned with her stated needs. The \$7,400 in commissions generated by the transactions suggests Stanton's financial interest may have driven the recommendations.

- **Concentration and Liquidity Risk:** Placing \$265,000 (85% of her liquid savings) into volatile, potentially illiquid asset classes left Margaret unable to meet foreseeable living expenses without selling at a loss. This compounds the suitability violation.

- **Quantitative Suitability Concerns:** While not classic churning, the cost structure (1.65% average expense ratio plus \$7,400 in commissions) is excessive relative to the modest income objective and short time horizon.

**Likely Regulatory Outcome:** This case presents a strong suitability and Reg BI violation. Stanton would likely face FINRA enforcement action including potential fines, disgorgement of commissions, suspension or bar from the industry, and an order to pay restitution to Margaret. The firm could also face supervisory failure charges under FINRA Rule 3110 if it failed to flag these unsuitable recommendations.

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**Item 132 of 499****NON-COMPLIANT****Topic:** tax\_deferred\_unnecessary\_annuity**Difficulty:** medium**Fact Pattern**

Linda Fujimoto, age 67, retired after 32 years as a public school science teacher in Sacramento, California. Her primary retirement asset was a 403(b) account valued at approximately \$485,000, which was already tax-deferred. She also had a small traditional IRA worth \$62,000 and received a pension of \$3,800 per month. Her annual living expenses were approximately \$52,000, and she had no debt. In September 2023, she met with financial advisor Ryan Billings after attending a free dinner seminar titled 'Protect Your Retirement Savings.' During the seminar and a subsequent one-on-one meeting, Billings recommended that Linda roll her entire 403(b) balance into a variable annuity with a guaranteed minimum income benefit rider. The annuity carried a mortality and expense charge of 1.35% per year, an administrative fee of 0.15%, underlying sub-account fees averaging 0.85%, and the income rider cost an additional 1.05% annually--bringing the total all-in annual cost to approximately 3.40%. The annuity also imposed a seven-year surrender charge schedule starting at 7% and declining by 1% per year. Billings earned a 6% commission on the sale, totaling approximately \$29,100. Linda's existing 403(b) had been invested in a diversified mix of low-cost index funds with an average total expense ratio of 0.12%. Linda had told Billings she wanted her money to be safe and accessible in case of medical emergencies--her husband had recently been diagnosed with early-stage Parkinson's disease. Billings did not discuss lower-cost alternatives, the tax implications of layering a tax-deferred annuity inside an already tax-deferred account, or the loss of liquidity during the surrender period. Within 14 months, Linda needed to access \$40,000 for her husband's care costs and was assessed a \$2,400 surrender penalty plus the ongoing annual fees had already reduced her account value by over \$14,000 relative to what it would have been in her prior 403(b) allocation.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Ryan Billings committed serious violations of both suitability requirements and the best interest standard.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires a reasonable basis for believing the recommendation is suitable given the customer's investment profile. This includes all three obligations: reasonable-basis, customer-specific, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Requires the advisor to exercise reasonable diligence, care, and skill, consider costs, reasonably available alternatives, and ensure the recommendation does not place the advisor's interest ahead of the customer's.
3. **\*\*Reg BI -- Disclosure Obligation:\*\*** Requires full and fair disclosure of all material facts relating to the recommendation, including costs and conflicts of interest.
4. **\*\*FINRA Rule 2330 (Variable Annuities):\*\*** Specifically governs recommendations of deferred variable annuities. It requires the registered representative to have a reasonable basis to believe, among other things, that: (a) the customer

would benefit from certain features of a deferred variable annuity (such as tax-deferred growth, annuitization, or a death benefit) that are not otherwise available; (b) the particular annuity as a whole is suitable; and (c) exchanges and replacements meet additional suitability criteria.

**\*\*Analysis:\*\***

- **\*\*Tax-Deferred Redundancy:\*\*** The most glaring issue is that Linda's 403(b) was already tax-deferred. One of the primary benefits of a variable annuity--tax-deferred growth--provides no incremental advantage when the annuity is placed inside an account that already enjoys that benefit. Billings essentially added a costly wrapper around assets that already had the same tax treatment. This is a classic red flag under FINRA Rule 2330 and has been the subject of extensive regulatory scrutiny.

- **\*\*Cost Analysis:\*\*** Linda's annual costs increased from approximately 0.12% (\$582/year on \$485,000) to 3.40% (\$16,490/year). This represents a roughly 28-fold increase in annual investment costs with no corresponding benefit. Over the seven-year surrender period, the excess fees alone could total more than \$100,000 in additional costs compared to her previous allocation.

- **\*\*Liquidity Needs Ignored:\*\*** Linda specifically identified a need for accessibility due to her husband's Parkinson's diagnosis. Despite this, Billings recommended a product with a seven-year surrender charge schedule that would penalize early withdrawals. This directly contradicts her stated liquidity needs and constitutes a clear customer-specific suitability violation.

- **\*\*Failure to Consider Alternatives (Reg BI Care Obligation):\*\*** Billings did not discuss lower-cost alternatives such as keeping the 403(b) in place, rolling into a low-cost IRA, or considering no-load annuities if a guaranteed income benefit was genuinely desired. The failure to consider reasonably available alternatives that would have been less costly and more liquid is a direct violation of the Care Obligation.

- **\*\*Conflict of Interest -- Commission Motivation:\*\*** Billings earned \$29,100 in commission. The dinner seminar sales model, combined with the failure to discuss alternatives or costs, strongly suggests the recommendation was driven by the advisor's financial interest rather than the client's needs, violating Reg BI's requirement not to place the advisor's interest ahead of the customer's.

- **\*\*Disclosure Failures:\*\*** Billings did not disclose the tax redundancy, did not compare costs, and did not explain the practical impact of the surrender schedule given Linda's circumstances.

**\*\*Likely Regulatory Outcome:\*\*** This is a strong enforcement case. FINRA has historically brought numerous actions involving the placement of variable annuities inside tax-deferred accounts. Billings would likely face sanctions including fines, disgorgement of the \$29,100 commission, restitution to Linda for excess costs and the surrender penalty, and a potential suspension or bar. The firm could face supervisory failure charges if it approved the transaction without adequate review, particularly given the red flags under FINRA Rule 2330's supervisory requirements.

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**Item 133 of 499****NON-COMPLIANT****Topic:** leveraged\_etf\_unsuitable**Difficulty:** medium**Fact Pattern**

James Whitfield, age 56, is a warehouse supervisor in Memphis, Tennessee, earning \$58,000 annually. He has \$195,000 in a brokerage account that represents the entirety of his non-retirement savings, accumulated over 20 years. He also has a 401(k) with \$110,000. James has a high school education and limited investment experience--prior to meeting his advisor, Nadia Petrova, his only investments had been in a target-date retirement fund through his employer. His stated investment objectives were moderate growth with an eye toward supplementing his retirement income starting in about nine years. He indicated a moderate risk tolerance and told Petrova he did not want anything too complicated or aggressive. In January 2024, Petrova recommended that James invest \$130,000 of his brokerage account into a combination of three leveraged exchange-traded funds: a 3x leveraged S&P 500 bull ETF (\$55,000), a 2x leveraged NASDAQ-100 bull ETF (\$45,000), and a 3x leveraged semiconductor sector bull ETF (\$30,000). Petrova told James these funds would 'turbocharge his returns' and help him retire earlier. She did not explain the daily reset mechanism, the effects of volatility decay (compounding risk), or that these products are designed for short-term tactical trading rather than buy-and-hold strategies. She did not set any stop-loss orders or establish a monitoring protocol. James held the positions for eight months. During a period of market turbulence from April to August 2024, the S&P 500 declined roughly 6% on a net basis, but due to leveraged compounding effects, James's 3x S&P ETF lost approximately 22%. His NASDAQ leveraged position lost 28%, and the semiconductor leveraged ETF lost 41%. In total, James lost approximately \$38,000--nearly 29% of his invested capital in these products--while the underlying indices experienced comparatively modest net declines. Petrova earned \$1,950 in commissions on the trades and did not contact James during the period of losses.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Nadia Petrova violated suitability and best interest requirements in recommending leveraged ETFs to James Whitfield.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires that recommendations be suitable based on the customer's investment profile. All three components are implicated: reasonable-basis suitability (did the advisor understand the product?), customer-specific suitability (was it appropriate for this customer?), and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Requires reasonable diligence, care, and skill; consideration of costs and alternatives; and ensuring the recommendation is in the customer's best interest.
3. **\*\*Reg BI -- Disclosure Obligation:\*\*** Requires disclosure of all material facts about the recommendation, including risks and conflicts.
4. **\*\*FINRA Regulatory Notices (including 09-31 and 09-65 on leveraged and inverse ETFs):\*\*** FINRA has issued

specific guidance warning that leveraged and inverse ETFs are generally unsuitable for retail investors who plan to hold them for longer than one trading session. These products reset daily and their performance over longer periods can deviate significantly from the leveraged multiple of the underlying index due to the mathematical effects of daily compounding, especially in volatile markets.

**\*\*Analysis:\*\***

- **\*\*Reasonable-Basis Suitability Violation:\*\*** Petrova either did not understand the mechanics of leveraged ETFs or understood them and recommended them anyway without appropriate safeguards. Leveraged ETFs are complex derivative-based products designed for sophisticated short-term traders. Recommending a buy-and-hold strategy with leveraged ETFs over an eight-month period reflects a fundamental misunderstanding or disregard of how these products work.

- **\*\*Customer-Specific Suitability Violation:\*\*** James is a 56-year-old warehouse supervisor with limited investment experience, moderate risk tolerance, and a moderate growth objective over a nine-year horizon. He explicitly stated he did not want anything too complicated or aggressive. Leveraged ETFs carrying 2x and 3x exposure are among the most aggressive equity products available to retail investors. Allocating \$130,000--67% of his brokerage account and a significant portion of his total net worth--to these products is grossly inconsistent with his profile.

- **\*\*Failure to Disclose Material Risks:\*\*** Petrova did not explain the daily reset mechanism, volatility decay, or the intended short-term use case for these products. This constitutes a failure under both Reg BI's Disclosure Obligation and general anti-fraud principles. Telling James these funds would help him retire earlier without disclosing the compounding risk was materially misleading.

- **\*\*Failure to Monitor:\*\*** Even if one could argue leveraged ETFs might be used tactically in rare circumstances, they require active daily monitoring and strict risk management. Petrova set no stop-losses, established no monitoring protocol, and did not contact James during an extended period of losses. For products that demand active management, this neglect compounds the initial suitability failure.

- **\*\*Concentration Risk:\*\*** Placing 67% of James's non-retirement savings in leveraged equity products--all on the long side--created excessive concentration risk in a single directional bet with amplified downside.

**\*\*Likely Regulatory Outcome:\*\*** FINRA has brought numerous enforcement actions involving the unsuitable recommendation of leveraged ETFs to retail buy-and-hold investors. Petrova would likely face fines, disgorgement of commissions, restitution to James for his approximately \$38,000 in losses, and a potential suspension. The firm could face supervisory violations if it did not have adequate policies restricting leveraged ETF recommendations to appropriate customers or requiring enhanced supervisory review for such transactions.

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## Item 134 of 499

## NON-COMPLIANT

**Topic:** structured\_products\_unsuitable

**Difficulty:** hard

## Fact Pattern

Dr. Priya Chandra, age 43, is a pediatric cardiologist in Boston earning \$420,000 annually. She has \$1.8 million in liquid investable assets across brokerage and retirement accounts, owns her home with \$600,000 in equity, and has no consumer debt. She is married with two children, ages 8 and 11, and has a moderate-to-aggressive risk tolerance. Her primary objectives are long-term capital appreciation to fund her children's college education and her own early retirement at age 55. She has graduate-level education but no specialized knowledge of financial products or derivatives. Her advisor, Marcus Webb, at a full-service broker-dealer, recommended in June 2023 that Priya allocate \$750,000--approximately 42% of her liquid assets--into four different structured notes. The first was a \$200,000 reverse convertible note linked to Tesla stock with a 14-month maturity and a 12% coupon, featuring a 30% knock-in barrier. The second was a \$200,000 autocallable note linked to a basket of three biotech stocks with a two-year maturity, a 9.5% contingent coupon, and a 25% barrier. The third was a \$175,000 principal-at-risk note linked to the Russell 2000 index with an 18-month maturity, offering 1.5x upside leverage to a 20% cap with full downside exposure below a 15% buffer. The fourth was a \$175,000 worst-of autocallable linked to Amazon, Nvidia, and Netflix with a 10.8% contingent coupon and a 35% knock-in barrier on a 15-month term. Webb told Priya these products offered 'equity-like returns with built-in downside protection' and described them as suitable for someone in her income bracket. He did not explain the issuer credit risk (all four notes were unsecured obligations of a single investment bank), the concentrated single-stock or narrow-basket exposure, the fact that the reverse convertible could force delivery of depreciated Tesla shares, or that the worst-of structure would trigger losses based on whichever of the three stocks performed worst regardless of the others. He also did not explain that the notes were illiquid with no guaranteed secondary market and that the embedded fees--estimated at 2% to 4% per note--were not separately disclosed but were baked into the pricing. Webb received approximately \$22,500 in selling concessions from the issuing bank. By December 2023, Tesla had declined 32% from the note's initial pricing level, breaching the knock-in barrier on the reverse convertible. Priya received delivery of Tesla shares worth approximately \$136,000 against her \$200,000 investment--a loss of \$64,000 on that single note despite having collected \$28,000 in coupon payments, for a net loss of \$36,000. The worst-of note was also at risk of breaching its barrier as Netflix had dropped 27% from its initial level. Priya's other two notes remained within their barriers but were trading at significant discounts in the secondary market due to increased volatility.

## Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

## Answer

Yes, Marcus Webb committed multiple violations of suitability and best interest standards.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires that recommendations be suitable based on the customer's investment profile, including all three components: reasonable-basis, customer-specific, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Requires satisfaction of the Disclosure Obligation, the Care Obligation, the Conflict of Interest Obligation, and the Compliance Obligation. The Care Obligation demands reasonable diligence,

consideration of costs and alternatives, and that the recommendation be in the customer's best interest.

3. **FINRA Rule 2210 and Regulatory Notices on Structured Products:** FINRA has issued extensive guidance on the sale of structured products, emphasizing the need for heightened suitability analysis, clear disclosure of risks, and ensuring the customer understands the product mechanics, including barriers, knock-in events, issuer credit risk, liquidity limitations, and embedded costs.

4. **FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade):** Misleading characterizations of product risk can constitute a violation of just and equitable principles of trade.

**Analysis:**

- **Reasonable-Basis Suitability:** While Priya has a moderate-to-aggressive risk profile and substantial assets, the question is whether Webb understood these products well enough to recommend them and whether there was a reasonable basis for recommending this specific combination. Reverse convertibles and worst-of autocallables are among the most complex retail structured products. They embed short put options, meaning the investor is effectively selling downside protection to the issuer in exchange for coupon income. The combination of four such notes, each with different underliers and barrier structures, creates a portfolio with complex, correlated risks that is difficult even for sophisticated investors to evaluate. If Webb did not fully understand the embedded option mechanics and their interaction, he lacked reasonable-basis suitability.

- **Customer-Specific Suitability:** Priya's objectives are long-term capital appreciation for college funding and early retirement. Structured notes with 14- to 24-month maturities that cap upside and expose her to full downside are a poor fit for long-term growth objectives. If she wanted equity exposure, direct equity or diversified equity funds would have provided unlimited upside potential without the complexity, credit risk, and illiquidity of structured notes. The 42% concentration of her liquid assets in four structured notes from a single issuer created significant concentration and credit risk. Furthermore, Priya had no specialized financial knowledge--she is a physician, not a finance professional--and Webb described these products in simplistic and misleading terms.

- **Disclosure Failures (Reg BI Disclosure Obligation):** Webb's characterization of these products as offering 'equity-like returns with built-in downside protection' was materially misleading. Reverse convertibles do not provide downside protection--they provide *conditional* principal return only if a barrier is not breached, and if it is breached, the investor bears the full downside of the worst-performing stock. Failing to explain: (a) issuer credit risk and concentration with a single issuer, (b) the mechanics of knock-in barriers, (c) the forced share delivery feature, (d) the worst-of structure's asymmetric risk, (e) the illiquidity and lack of a guaranteed secondary market, and (f) the 2%-4% embedded fees, constitutes a serious disclosure failure.

- **Conflict of Interest Obligation (Reg BI):** Webb received \$22,500 in selling concessions. Structured notes are notoriously profitable for broker-dealers, and the conflict between Webb's compensation and Priya's best interest was neither disclosed nor mitigated. The high selling concessions may have motivated the recommendation over simpler, lower-cost alternatives.

- **Concentration Risk:** All four notes were unsecured obligations of a single investment bank. If that bank experienced credit distress, Priya could lose a significant portion of her \$750,000 investment regardless of the performance of the underlying stocks or indices. This issuer concentration risk was never disclosed.

- **Failure to Consider Alternatives (Reg BI Care Obligation):** For a client seeking long-term growth, a diversified portfolio of equities, equity index funds, or even options-based strategies with transparent pricing would have been more suitable and less costly. Webb did not discuss or document consideration of any alternatives.

**\*\*Likely Regulatory Outcome:\*\*** This case involves a high dollar amount, significant realized and unrealized losses, multiple disclosure failures, and a complex product sold to a customer without specialized financial knowledge. FINRA would likely pursue enforcement action against Webb for suitability violations under Rule 2111, Reg BI violations (particularly the Care and Disclosure Obligations), and potentially Rule 2010 for misleading product descriptions. Sanctions would likely include substantial fines, disgorgement of the \$22,500 in selling concessions, restitution for Priya's net losses, and a suspension. The firm would face scrutiny for its supervisory procedures around structured product sales, including whether it conducted adequate due diligence on the products, whether it required heightened suitability review for concentrated structured product recommendations, and whether its training adequately prepared representatives to explain these products to retail clients.

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**Item 135 of 499****COMPLIANT****Topic:** reverse\_churning**Difficulty:** medium**Fact Pattern**

Thomas Greer, age 38, is a software engineer in Austin, Texas, earning \$165,000 annually. He has \$340,000 in a fee-based advisory account managed by his financial advisor, Caroline Marsh, at a registered investment adviser. The account charges a 1.0% annual advisory fee, which amounts to approximately \$3,400 per year. Thomas opened the account in January 2022. His investment objectives are long-term growth with a moderately aggressive risk tolerance, and he has a 25+ year time horizon to retirement. He is financially literate and told Caroline he preferred a 'set it and forget it' approach--he did not want to be actively trading or making frequent changes to his portfolio. Caroline constructed a diversified portfolio of low-cost index ETFs across U.S. large-cap (40%), international developed markets (20%), emerging markets (10%), U.S. small-cap (10%), and a bond allocation (20%) with a total weighted expense ratio of 0.08%. She rebalances the portfolio quarterly when allocations drift more than 5% from targets, which has resulted in approximately 6 to 10 trades per year. Caroline also provides Thomas with comprehensive financial planning services including annual tax-loss harvesting reviews, retirement projection modeling that she updates semiannually, beneficiary and estate planning coordination with Thomas's attorney, and 401(k) allocation guidance for his employer plan. She meets with Thomas twice a year for in-depth reviews and is available for ad hoc consultations. Over the two-year period from January 2022 to December 2023, Thomas's portfolio grew from \$340,000 to approximately \$402,000, net of all fees. The total advisory fees paid were approximately \$7,200 over two years. Thomas has expressed satisfaction with the arrangement and has never complained about the fee structure or level of service.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Caroline Marsh did not violate suitability or best interest standards. This is a properly structured fee-based advisory relationship that provides genuine, ongoing value to the client.

**\*\*Applicable Standards:\*\***

1. **\*\*Investment Advisers Act of 1940 -- Fiduciary Duty:\*\*** As a representative of a registered investment adviser, Caroline owes Thomas a fiduciary duty encompassing both a duty of care and a duty of loyalty. She must act in Thomas's best interest, provide suitable advice, seek best execution, and fully disclose material conflicts of interest including her compensation.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** If Caroline were operating in a broker-dealer capacity, Reg BI would apply. However, as an investment adviser representative, the higher fiduciary standard governs. The analysis below addresses both frameworks.
3. **\*\*Reverse Churning Concerns:\*\*** Reverse churning occurs when a client is placed in a fee-based account that charges ongoing asset-based fees but receives little or no advisory services, trading activity, or ongoing management--essentially paying for services not rendered. This has been a focus of regulatory scrutiny, particularly where accounts are effectively dormant yet continue to accrue fees.

**\*\*Analysis:\*\***

- **\*\*Fee-Based Account Is Appropriate for This Client:\*\*** Thomas explicitly requested a passive, hands-off investment approach with a long time horizon. A fee-based advisory account is particularly well-suited for clients who want ongoing portfolio management, periodic rebalancing, and comprehensive financial planning without incurring per-transaction commissions. The 1.0% annual fee is within the industry standard range for advisory accounts of this size.
  - **\*\*Services Justify the Fee:\*\*** Caroline provides substantial ongoing services: quarterly rebalancing, annual tax-loss harvesting reviews, semiannual retirement projection updates, estate planning coordination, 401(k) allocation guidance, biannual in-depth reviews, and ad hoc availability. This is not a dormant account collecting fees--it is an actively managed advisory relationship with documented, tangible services.
  - **\*\*Cost-Effective Implementation:\*\*** The underlying portfolio uses low-cost index ETFs with a 0.08% weighted expense ratio, demonstrating that Caroline is minimizing investment costs. The all-in cost (advisory fee plus fund expenses) is approximately 1.08%, which is competitive for a full-service advisory relationship providing comprehensive financial planning.
  - **\*\*No Reverse Churning:\*\*** The hallmark of reverse churning is the absence of meaningful services in exchange for ongoing fees. Here, the trading frequency (6-10 trades per year for rebalancing) is appropriate for a passive strategy, and the non-trading advisory services (planning, tax management, coordination) provide significant additional value. The low trading frequency is a feature of the strategy, not evidence of neglect.
  - **\*\*Client Alignment:\*\*** Thomas's portfolio grew from \$340,000 to \$402,000 net of fees over two years, his stated objectives and risk tolerance are being honored, and he has expressed satisfaction with the services provided.
  - **\*\*Duty of Care Satisfied:\*\*** Caroline exercised reasonable care in constructing a diversified, low-cost, globally allocated portfolio appropriate for a moderately aggressive 38-year-old with a long time horizon.
  - **\*\*Duty of Loyalty Satisfied:\*\*** There is no indication that Caroline's compensation arrangement creates an unmanaged conflict or that she is prioritizing her interests over Thomas's. The fee is standard and transparently charged.
- \*\*Likely Regulatory Outcome:\*\*** No violation would be found. If examined by regulators, this account would demonstrate appropriate account-type selection, meaningful ongoing services, cost-effective implementation, and alignment with the client's objectives and preferences. This is an example of a properly functioning fee-based advisory relationship.
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**Item 136 of 499****NON-COMPLIANT****Topic:** senior\_investor\_exploitation**Difficulty:** easy**Fact Pattern**

Margaret Dunlap, age 81, is a retired schoolteacher living in Tucson, Arizona. She has a fixed monthly income of \$2,400 from Social Security and a small pension. Her total liquid savings, held in a single brokerage account, amounted to \$165,000 at the start of 2022. She told her advisor, Kevin Marsden, that her goals were capital preservation and generating modest income to supplement her pension. She described herself as very conservative and noted she could not afford to lose principal because the account represented her only financial cushion outside of Social Security. She has no other family members assisting with financial decisions and has early-stage cognitive decline, which she disclosed to Marsden during their first meeting. Between January 2022 and July 2023, Marsden executed approximately 340 trades in Dunlap's account, frequently buying and selling large-cap equities, leveraged ETFs, and options on individual stocks. The account's annualized turnover rate exceeded 18. During this 18-month period, Dunlap's account was charged roughly \$47,000 in commissions and fees, representing approximately 28% of her original portfolio value. By the end of July 2023, the account had declined to \$91,000, a loss of \$74,000 including the commissions. Dunlap was not informed of the volume of trading and did not understand the fee structure. Marsden's branch manager had flagged the account for unusual activity in March 2022 but no action was taken. Marsden earned approximately \$31,000 in personal compensation from the trading.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Marsden committed multiple serious violations. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. Dunlap's profile -- 81 years old, conservative risk tolerance, capital preservation objective, fixed limited income, cognitive decline, and total liquid assets of \$165,000 -- clearly demanded conservative, low-turnover strategies such as high-quality bonds, CDs, or conservative income-generating funds. The 340 trades, annualized turnover rate of 18, and use of leveraged ETFs and options were grossly inconsistent with her stated objectives and financial situation.

This fact pattern strongly supports a claim of excessive trading (churning) under FINRA Rule 2111 and the quantitative suitability obligation (FINRA Rule 2111.05(c)). Courts and arbitration panels have historically found turnover ratios above 6 to be presumptive evidence of churning; a ratio of 18 far exceeds that threshold. The cost-to-equity ratio -- commissions of \$47,000 against a \$165,000 account (approximately 28%) -- further confirms excessive trading. Marsden exercised de facto control over the account given Dunlap's cognitive limitations and lack of financial sophistication.

Under Regulation Best Interest (Reg BI), specifically the Care Obligation (17 CFR § 240.15l-1(a)(2)(ii)), a broker-dealer must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and must have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. The pattern of high-frequency trading in speculative instruments for a cognitively impaired 81-year-old retiree seeking preservation plainly fails this standard.

Additionally, FINRA's heightened obligations regarding senior investors apply. FINRA Rule 2165 provides tools for member firms to place temporary holds on disbursements when financial exploitation of seniors is suspected. The branch manager's failure to act on the March 2022 flag also implicates the firm's supervisory obligations under FINRA Rule 3110.

The likely regulatory outcome includes disgorgement of commissions, restitution to the customer, fines, suspension or bar of Marsden from the securities industry, and potential sanctions against the firm for supervisory failures. Dunlap would also have strong grounds for recovery in FINRA arbitration.

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**Item 137 of 499****NON-COMPLIANT**

**Topic:** overconcentration\_single\_stock

**Difficulty:** medium

**Fact Pattern**

David Chen, age 52, is a software engineer earning \$185,000 per year in Seattle, Washington. He has a 401(k) worth \$320,000 and a taxable brokerage account with \$410,000 at Raymond & Locke Financial Services. Chen told his advisor, Stacey Truman, that he wanted long-term growth with moderate risk to fund retirement in approximately 13 years. He described himself as moderately aggressive, comfortable with market fluctuations but not with the risk of catastrophic loss. He had no particular expertise in any specific industry sector. In September 2023, Truman recommended that Chen invest \$290,000 -- approximately 71% of his brokerage account -- into shares of a single mid-cap biotechnology company, Nexara Therapeutics, which was in Phase 2 clinical trials for a cancer drug. Truman told Chen that the stock had 'enormous upside' and that she had received strong internal research indicating approval was likely. She did not discuss the risks of clinical trial failure, the stock's high beta of 2.4, or the lack of any revenue at the company. She did not suggest any diversification or position-size limits. Chen followed her advice. By March 2024, the FDA issued a clinical hold on Nexara's lead compound due to safety signals, and the stock dropped 64%. Chen's position fell from \$290,000 to approximately \$104,000, a loss of \$186,000. His total brokerage account declined to roughly \$224,000. Truman earned a commission of \$5,800 on the initial purchase.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Stacey Truman violated applicable suitability and best interest standards through a grossly unsuitable overconcentration in a single speculative security.

Under FINRA Rule 2111 (Suitability), the customer-specific suitability obligation requires that a recommendation be consistent with the customer's investment profile, including risk tolerance, time horizon, and investment objectives. Chen described himself as moderately aggressive seeking long-term growth -- not a speculative investor. Concentrating 71% of a client's brokerage assets in a single pre-revenue biotechnology stock with a high beta and binary clinical trial risk is inconsistent with moderate risk tolerance and a desire to avoid catastrophic loss. FINRA has repeatedly found overconcentration in a single security to be a suitability violation, particularly when the security carries speculative risk.

Under Regulation Best Interest (Reg BI), the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in understanding the risks, rewards, and costs of the recommendation and to have a reasonable basis to believe it is in the customer's best interest. A reasonable advisor exercising diligence would recognize the extreme concentration risk and binary outcome profile of a Phase 2 biotech company. Truman's failure to disclose material risks -- clinical trial failure, the stock's high beta, the company's lack of revenue -- also implicates the Disclosure Obligation under Reg BI, which requires disclosure of material facts relating to the scope and terms of the relationship, including conflicts of interest.

The Conflict of Interest Obligation under Reg BI is also relevant. While the \$5,800 commission alone may not indicate a primary motivation of self-enrichment, Truman's reliance on internal research without balanced disclosure of downside risks suggests she may have been influenced by firm-level incentives to promote the stock.

Additionally, FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) may be implicated by the misleading characterization of the stock's prospects without adequate risk disclosure.

The likely outcome includes customer restitution in FINRA arbitration for the losses attributable to the unsuitable concentration, potential fines and suspension for Truman, and possible firm liability for failure to supervise the recommendation under FINRA Rule 3110.

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## Item 138 of 499

### NON-COMPLIANT

**Topic:** junk\_bonds\_conservative\_investor

**Difficulty:** hard

### Fact Pattern

Patricia Okafor, age 67, is a recently widowed retired nurse in Atlanta, Georgia. She received \$520,000 in life insurance proceeds following her husband's death in January 2023. She has an additional \$180,000 in a rollover IRA and receives \$2,100 per month from Social Security. She has no other income. Okafor met with her advisor, Brian Lattimore, in February 2023 and told him she needed safe, income-producing investments to replace her husband's lost pension of \$1,800 per month. She stated multiple times that she could not afford to lose principal and described herself as conservative. She had limited investment experience, having previously held only a savings account and CDs. Lattimore recommended she invest \$340,000 of the life insurance proceeds into a portfolio of high-yield corporate bonds, selecting eight different issuers, all rated B or below by major rating agencies. The bonds had maturities ranging from 7 to 15 years and yields between 8.5% and 11.2%. He told Okafor these were 'income bonds' that would 'pay her well every month.' He did not explain that 'high-yield' meant below-investment-grade or that these bonds carried significantly elevated default risk. He did not discuss the inverse relationship between rising interest rates and bond prices or the illiquidity risks in the high-yield market. Lattimore placed the remaining \$180,000 in a variable annuity with a 7-year surrender period and annual expenses of 2.85%, telling her it would provide 'guaranteed growth.' Over the next 12 months, two of the eight bond issuers defaulted, resulting in combined losses of approximately \$78,000. The overall high-yield bond portfolio declined in market value by an additional \$31,000 due to credit spread widening. By February 2024, Okafor's bond holdings were worth approximately \$231,000, a loss of \$109,000 from the original \$340,000 investment. Meanwhile, the variable annuity had grown modestly to \$184,000, but she could not access it without paying a surrender charge of approximately \$12,600. Lattimore earned \$10,200 in commissions on the bond trades and \$9,900 in upfront commissions on the variable annuity.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Brian Lattimore committed multiple violations across both the bond recommendations and the variable annuity placement.

**\*\*High-Yield Bond Portfolio:\*\***

Under FINRA Rule 2111 (Suitability), all three components -- reasonable-basis, customer-specific, and quantitative suitability -- are implicated. Okafor's investment profile is unambiguous: a 67-year-old conservative widow with limited investment experience, no income beyond Social Security, dependence on the proceeds for monthly living expenses, and an explicit instruction not to lose principal. Recommending that she invest 65% of her life insurance proceeds (\$340,000 of \$520,000) in bonds rated B or below is fundamentally inconsistent with her conservative profile and capital preservation objective. High-yield bonds rated B or below carry significant default risk -- historically averaging default rates of 4-5% annually -- which materialized here when two issuers defaulted.

Under Reg BI's Care Obligation (17 CFR § 240.15l-1(a)(2)(ii)), Lattimore was required to understand the risks of high-yield bonds and to have a reasonable basis to believe the recommendation was in Okafor's best interest. No

reasonable advisor could conclude that concentrated below-investment-grade bond exposure was appropriate for a conservative, income-dependent retiree. The Disclosure Obligation under Reg BI was also violated: Lattimore's characterization of the bonds as 'income bonds' without disclosing their junk-bond status, default risk, interest rate risk, and liquidity risk constituted a material omission.

FINRA has issued specific guidance on high-yield bonds through Regulatory Notice 12-03, emphasizing that complex or risky products require heightened suitability analysis and clear disclosure of risks.

**\*\*Variable Annuity:\*\***

The variable annuity recommendation also raises serious concerns. Under FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities), a member must have a reasonable basis to believe the transaction is suitable, considering the customer's age, liquidity needs, investment time horizon, and the features of the annuity including surrender charges and fees. Placing \$180,000 in a variable annuity with a 7-year surrender period and 2.85% annual expenses for a 67-year-old widow who needs liquidity and income is problematic. The long surrender period locks up funds she may need, and the high expense ratio erodes returns in a way inconsistent with her conservative objectives. Lattimore's description of the annuity as providing 'guaranteed growth' was misleading -- variable annuities do not guarantee growth unless a specific guaranteed minimum benefit rider is attached, and even then the characterization without qualification is deceptive.

The combined commissions of \$20,100 (\$10,200 + \$9,900) on \$520,000 invested (approximately 3.9%) suggest that Lattimore's recommendations may have been driven by compensation rather than client interest, further implicating the Conflict of Interest Obligation under Reg BI.

The likely regulatory outcome includes disgorgement of commissions, restitution, significant fines, and potential suspension or bar for Lattimore. The firm faces liability under FINRA Rule 3110 for supervisory failures if no review was conducted on the suitability of placing a widowed retiree's life insurance proceeds into junk bonds and a long-surrender variable annuity. Okafor would have strong arbitration claims for the full amount of losses plus consequential damages.

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**Item 139 of 499****NON-COMPLIANT****Topic:** penny\_stocks\_unsuitable**Difficulty:** medium**Fact Pattern**

Angela Reeves, age 34, is a public school teacher in Columbus, Ohio, earning \$48,000 per year. She opened her first-ever brokerage account in April 2023 with \$25,000 she had saved over several years from her modest salary. On her new account form, she indicated her investment objective as 'growth,' her risk tolerance as 'moderate,' and her investment experience as 'none.' She told her advisor, Marcus Holliday, that she wanted to start building wealth for a future home purchase in five to seven years. In their initial meeting, Holliday told Reeves he had a 'fast-track strategy' that could double her money within a year. Over the next four months, Holliday recommended that Reeves invest approximately \$22,000 of her \$25,000 account into six different penny stocks, all trading below \$0.50 per share on the OTC Pink market. None of the companies had audited financial statements, and several had minimal or no operating revenue. Holliday did not explain what penny stocks were, did not describe the risks of OTC-traded securities, did not disclose that these companies lacked audited financials, and did not provide the required penny stock risk disclosure documents. He simply emailed her trade confirmations after executing the purchases. By December 2023, four of the six stocks had been halted or delisted, and the remaining two had declined by over 80%. Reeves's account balance stood at approximately \$4,700, a loss of \$20,300 or 81% of her original investment. Holliday earned commissions totaling \$3,100 on the penny stock transactions.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Marcus Holliday committed serious violations on multiple fronts.

**\*\*Suitability Violations:\*\***

Under FINRA Rule 2111, Holliday's recommendations were unsuitable on all three dimensions. First, regarding reasonable-basis suitability, penny stocks trading on the OTC Pink market without audited financials are inherently speculative and carry extreme risk, including total loss, illiquidity, and susceptibility to manipulation. Second, regarding customer-specific suitability, Reeves's profile -- a 34-year-old first-time investor with moderate risk tolerance, a growth objective tied to a home purchase in five to seven years, no investment experience, and modest income -- is fundamentally incompatible with penny stock speculation. Investing 88% of her account (\$22,000 of \$25,000) in six penny stocks exposed her to catastrophic loss that materialized. Third, quantitative suitability is implicated by the concentration: virtually all of her savings were channeled into the riskiest category of equity securities.

Under Reg BI's Care Obligation, Holliday failed to exercise reasonable diligence in understanding the risks of the recommended penny stocks and had no reasonable basis to believe these investments were in Reeves's best interest. The promise of doubling her money within a year is a hallmark of speculative sales tactics inconsistent with the Care Obligation's requirement to consider reasonably available alternatives.

**\*\*Penny Stock Disclosure Violations:\*\***

Section 15(h) of the Securities Exchange Act of 1934 and SEC Rule 15c-9 impose specific requirements on brokers recommending penny stocks. Before executing a penny stock transaction for a non-exempt customer, the broker must: (1) approve the customer's account for penny stock transactions, (2) receive a signed, written suitability statement from the customer, and (3) provide the customer with a risk disclosure document prescribed by the SEC (Schedule 15G). Holliday's failure to provide the penny stock risk disclosure document and to obtain the required written suitability agreement constitutes independent violations of these requirements.

**\*\*Additional Violations:\*\***

Holliday's promise that the strategy could 'double her money within a year' likely violates FINRA Rule 2210 (Communications with the Public), which prohibits exaggerated, unwarranted, or misleading claims, and FINRA Rule 2010 (Standards of Commercial Honor).

The commissions of \$3,100 on \$22,000 in penny stock purchases (approximately 14%) are excessively high and further suggest self-dealing.

The likely regulatory outcome includes customer restitution, disgorgement of commissions, substantial fines, and suspension or bar for Holliday. The firm faces supervisory liability under FINRA Rule 3110 for permitting an inexperienced, moderate-risk client to be placed almost entirely in penny stocks without apparent review.

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**Item 140 of 499****COMPLIANT**

**Topic:** inappropriate\_risk\_profile

**Difficulty:** easy

**Fact Pattern**

James Whitford, age 29, is a software developer in Austin, Texas, earning \$135,000 per year. He has no dependents, \$15,000 in an emergency savings account, \$42,000 in a 401(k) from his employer, and no debt. He opened a brokerage account with \$60,000 in June 2023 with advisor Danielle Royce at Summit Wealth Partners. During their initial meeting, Whitford stated that his investment objective was aggressive growth, his time horizon was 25 to 30 years until retirement, and he was comfortable with significant short-term volatility in exchange for higher long-term returns. He told Royce he had been reading extensively about investing for two years and had previously managed a small Robinhood account. Royce documented his risk tolerance as 'aggressive' on the new account form after a detailed conversation about his understanding of market risk, including the possibility of losing 30-40% of his portfolio value in a downturn. She asked him whether he would panic-sell in such a scenario, and he said no -- he understood that long-term equity investing required patience. Royce recommended allocating the \$60,000 as follows: \$30,000 (50%) in a low-cost diversified U.S. equity index fund, \$12,000 (20%) in a small-cap growth ETF, \$9,000 (15%) in an international developed-markets equity ETF, and \$9,000 (15%) in an emerging-markets equity ETF. She disclosed all expense ratios, which ranged from 0.03% to 0.14%, and explained the higher volatility associated with small-cap and emerging-market exposure. She noted that the portfolio carried no fixed-income allocation, which was consistent with his long time horizon and aggressive stance but cautioned that he should revisit the allocation in five years or if his circumstances changed. She charged a flat advisory fee of 0.50% annually with no transaction commissions. After one year, the portfolio was up approximately 14%, reflecting broad equity market gains, and Royce conducted a scheduled annual review confirming that Whitford's circumstances had not changed.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Danielle Royce acted in full compliance with applicable suitability and best interest standards.

Under FINRA Rule 2111 (Suitability), Royce satisfied all three suitability obligations. For reasonable-basis suitability, low-cost index funds and diversified ETFs are well-understood, broadly appropriate investment vehicles with substantial track records. For customer-specific suitability, the aggressive, all-equity allocation was consistent with Whitford's investment profile: he is 29 years old, has a 25-to-30-year time horizon, earns a high income relative to his expenses, carries no debt, maintains an adequate emergency fund, and expressly stated an aggressive growth objective with comfort for significant volatility. For quantitative suitability, the portfolio involves a buy-and-hold index strategy with no excessive trading.

Under Regulation Best Interest (Reg BI), all four component obligations were met. The Disclosure Obligation was satisfied: Royce disclosed expense ratios, the nature of the equity-only allocation, and the associated volatility. The Care Obligation was satisfied: Royce exercised reasonable diligence by conducting a thorough risk tolerance discussion, exploring Whitford's behavioral response to drawdowns, and selecting low-cost diversified vehicles that were in his best interest given his profile. The Conflict of Interest Obligation was addressed through a transparent, low flat fee of 0.50% with no transaction-based compensation, minimizing conflicts. The Compliance Obligation is a

firm-level requirement, but the facts suggest adequate documentation and procedures.

Royce's decision to omit fixed income was reasonable given the client's age, long time horizon, and stated tolerance. Her proactive advice to revisit the allocation periodically and her annual review demonstrate ongoing diligence consistent with fiduciary-level care.

No regulatory action would be warranted. This represents a model example of a well-documented, transparent, and client-aligned advisory relationship.

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## Item 141 of 499

### NON-COMPLIANT

**Topic:** inappropriate\_risk\_profile

**Difficulty:** easy

### Fact Pattern

Maria Gonzalez, age 62, is a retired school teacher living in Tucson, Arizona. She has a pension providing \$3,200 per month and \$340,000 in a rollover IRA, which represents the entirety of her liquid savings. When she opened her account with advisor Kevin Pratt at a regional broker-dealer in March 2023, she told him she wanted to preserve her capital and generate modest supplemental income to cover medical expenses and property taxes. She specifically stated she was uncomfortable with losing any significant portion of her savings and described herself as very conservative. Pratt completed her new account form but marked her risk tolerance as 'aggressive growth' and her investment objective as 'speculation.' He then allocated 70% of her portfolio to leveraged ETFs tracking the NASDAQ-100 index and 20% to small-cap biotech stocks. The remaining 10% was placed in a money market fund. Within five months, Maria's portfolio had declined by \$118,000, a loss of approximately 35%. When she called Pratt in distress, he told her the market would recover and encouraged her to hold. By December 2023, her account had lost a cumulative \$156,000. Maria filed a complaint with the firm, which revealed that Pratt had overridden her stated preferences on the account documentation without her knowledge or consent.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Kevin Pratt clearly violated applicable suitability and best interest standards. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and time horizon. Pratt's conduct violates all three components of the suitability obligation: (1) Reasonable-basis suitability -- leveraged ETFs are complex, high-risk products that reset daily and are generally unsuitable for buy-and-hold strategies, particularly for retirees; (2) Customer-specific suitability -- Maria explicitly stated she was very conservative and wanted capital preservation and income, yet Pratt allocated 90% of her portfolio to aggressive and speculative instruments; (3) Quantitative suitability -- while not a churning case per se, the concentration in high-volatility products was excessive for any conservative investor. Additionally, under Regulation Best Interest (Reg BI), which applies to broker-dealer recommendations, Pratt failed the Care Obligation by not exercising reasonable diligence, care, and skill in making recommendations consistent with her profile. He also violated the Disclosure Obligation by failing to accurately document her risk tolerance, and arguably violated the Compliance Obligation by overriding her stated preferences on account documentation -- which could also constitute falsification of records under FINRA Rule 4511. Falsifying account documents to reflect an aggressive risk profile when the client stated conservative preferences is a particularly egregious violation and could constitute fraud. The likely regulatory outcome includes potential FINRA enforcement action resulting in fines, disgorgement of commissions, suspension or bar from the industry, and the firm may face liability in arbitration for failure to supervise under FINRA Rule 3110. Maria would likely prevail in a FINRA arbitration claim for compensatory damages of at least \$156,000 plus interest and costs.

**Item 142 of 499****NON-COMPLIANT****Topic:** bond\_duration\_mismatch**Difficulty:** medium**Fact Pattern**

Robert Chen, age 58, is a logistics manager in Portland, Oregon, earning \$105,000 annually. He has \$520,000 in a brokerage account and plans to retire at age 60, at which point he intends to begin drawing \$4,000 per month from his portfolio to bridge the gap until Social Security benefits begin at age 67. He explained this timeline and cash flow need clearly to his financial advisor, Danielle Foster, during their planning session in January 2023. Robert emphasized that he needed the money to be accessible and stable starting in approximately two years. Foster recommended investing 85% of the portfolio -- approximately \$442,000 -- into long-duration U.S. Treasury zero-coupon bonds with maturities ranging from 2043 to 2053, carrying an average duration of approximately 22 years. She told Robert that Treasuries were 'the safest investment in the world' and that he had nothing to worry about. She did not discuss interest rate risk or the inverse relationship between bond prices and rising rates. In 2023, as interest rates continued to rise, the value of Robert's zero-coupon bond holdings declined by approximately \$115,000 -- a 26% loss on that portion of the portfolio. When Robert needed to begin liquidating in early 2025 to fund his retirement income, his portfolio was still down over \$88,000 from its original value. He was forced to sell bonds at a significant loss to meet his living expenses.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Danielle Foster violated suitability and best interest standards. Under FINRA Rule 2111, recommendations must be suitable based on the customer's investment profile, which critically includes the customer's time horizon and liquidity needs. Robert had a clearly stated two-year time horizon before he needed to begin systematic withdrawals. Recommending that 85% of his portfolio be invested in zero-coupon bonds with maturities 20 to 30 years out represents a severe duration mismatch. Zero-coupon bonds are among the most interest-rate-sensitive fixed income instruments because they pay no interim coupons -- their entire return is embedded in the discount to par value. With an average duration of 22 years, a 1% rise in interest rates would result in approximately a 22% decline in market value. This makes them entirely inappropriate for a portfolio from which the client needs to draw income within two years. Under Regulation Best Interest's Care Obligation, Foster was required to exercise reasonable diligence, care, and skill to understand the risks associated with her recommendation and to have a reasonable basis for believing it was in Robert's best interest given his specific circumstances. She failed this standard by ignoring his liquidity needs and short time horizon. Furthermore, under the Disclosure Obligation, she failed to disclose material risks -- specifically interest rate risk and the price volatility of long-duration zero-coupon bonds. Her statement that Treasuries are 'the safest investment in the world' was materially misleading; while Treasuries carry minimal credit risk, they carry substantial market/interest rate risk, particularly at long durations. Had Foster recommended a bond ladder with maturities aligned to Robert's withdrawal schedule (e.g., bonds maturing in 2025-2032), or short-to-intermediate duration bond funds, the recommendation would likely have been suitable. The likely outcome includes FINRA arbitration liability for the approximately \$88,000 in realized losses, potential regulatory sanctions for misleading statements and unsuitable recommendations, and possible supervisory failures by the firm under FINRA Rule 3110 for not flagging the concentration in long-duration instruments for a near-retiree.

**Item 143 of 499****COMPLIANT**

**Topic:** junk\_bonds\_conservative\_investor

**Difficulty:** medium

**Fact Pattern**

Patricia Whitfield, age 55, is a corporate attorney in Charlotte, North Carolina, earning \$285,000 annually with a net worth of approximately \$2.8 million, excluding her home. She maintains a \$1.4 million brokerage account with advisor Thomas Reid at a national broker-dealer. Patricia described her overall investment objective as balanced growth and income with a moderate risk tolerance. She told Reid she was comfortable with some volatility but wanted diversified exposure across asset classes. Reid recommended allocating 8% of her portfolio -- approximately \$112,000 -- to a diversified high-yield bond mutual fund with an expense ratio of 0.55%. The fund held over 400 individual bond positions across multiple industries and had an average credit rating of BB. Reid explained to Patricia that high-yield bonds carry greater credit risk than investment-grade bonds, that the fund could lose value during economic downturns, and that the higher yield compensated for this additional risk. He documented the conversation in his notes, including Patricia's acknowledgment that she understood the risks. He also provided the fund's prospectus and fact sheet. The remaining portfolio was allocated as follows: 45% domestic equities across large and mid-cap index funds, 15% international equities, 22% investment-grade bonds, and 10% in a money market fund. Patricia's portfolio generated a blended return of approximately 9.2% over the following 18 months, with the high-yield allocation contributing modestly above-average income.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Thomas Reid did not violate suitability or best interest standards. His recommendation was appropriate and well-documented. Under FINRA Rule 2111, all three components of suitability were satisfied: (1) Reasonable-basis suitability -- a diversified high-yield bond mutual fund with over 400 holdings and an average BB rating is a well-understood product appropriate for income-oriented allocations within a moderate-risk portfolio; (2) Customer-specific suitability -- Patricia is a high-income, high-net-worth, sophisticated investor (corporate attorney) with a moderate risk tolerance and a balanced growth-and-income objective. An 8% allocation to high-yield bonds is a modest, prudent satellite position consistent with modern portfolio theory and standard asset allocation models for moderate-risk investors; (3) Quantitative suitability -- there is no evidence of excessive trading or concentration. Under Regulation Best Interest, Reid satisfied the Care Obligation by performing diligent analysis and matching the recommendation to Patricia's profile. He satisfied the Disclosure Obligation by explaining the credit risk characteristics, the risk-return tradeoff, and providing the prospectus and fact sheet. The expense ratio of 0.55% is reasonable for an actively managed high-yield fund. The overall portfolio construction -- with 22% in investment-grade bonds, 10% in cash equivalents, and a diversified equity allocation -- demonstrates thoughtful risk management. Reid's documentation of the discussion and Patricia's acknowledgment of the risks is a best practice that supports compliance. No regulatory action would be warranted. This is an example of a well-constructed moderate portfolio with appropriate diversification and proper disclosure.

**Item 144 of 499****NON-COMPLIANT****Topic:** senior\_investor\_exploitation**Difficulty:** hard**Fact Pattern**

Eleanor Davenport, age 83, is a widow living in a small town in rural Georgia. Her late husband passed away in 2021, leaving her with \$890,000 in savings -- a combination of CDs, a savings account, and a small brokerage account. Her only income is \$2,100 per month from Social Security and a small \$800 per month survivor pension benefit. She has mild cognitive decline, which her daughter, Susan, mentioned to the advisor during an initial meeting in February 2023. Eleanor's primary goals, as stated by both Eleanor and Susan, were to keep her money safe, maintain access to funds for potential long-term care needs, and leave whatever remained to her two grandchildren. Her advisor, Marcus Webb, who had been introduced to Eleanor through her church, convinced her over several meetings to liquidate all of her CDs -- paying \$14,200 in early withdrawal penalties -- and invest the proceeds into a portfolio of individual corporate bonds rated CCC and below, a private placement real estate fund with a 7-year lockup period, and two variable annuities with 10-year surrender periods and annual fees totaling 3.4%. In total, approximately \$780,000 was invested in these illiquid, high-cost, high-risk products. Webb earned \$62,000 in upfront commissions. He did not involve Susan in subsequent meetings and told Eleanor it was better to handle finances privately. When Susan discovered the transactions eight months later, she found that the variable annuities had declined 12% in value, the CCC-rated bonds had lost approximately 18% of their value, and Eleanor could not access the private placement funds at all. Eleanor had also begun incurring medical expenses that required her to take a \$35,000 surrender-charge withdrawal from one of the annuities, resulting in an additional \$5,600 penalty.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Marcus Webb committed egregious violations of multiple regulatory standards, and his conduct also raises potential issues of elder financial exploitation. Under FINRA Rule 2111, the recommendations were profoundly unsuitable on every dimension: (1) Reasonable-basis suitability -- CCC-rated corporate bonds carry extreme default risk, private placement real estate funds with 7-year lockups are highly illiquid alternative investments, and variable annuities with 10-year surrender periods and 3.4% annual fees are costly, complex insurance products. None of these are appropriate for an 83-year-old with cognitive decline and potential long-term care needs; (2) Customer-specific suitability -- Eleanor's profile (83 years old, fixed income, mild cognitive decline, need for liquidity for healthcare, capital preservation objective) is fundamentally incompatible with illiquid, high-risk, high-cost products. The 7-year lockup and 10-year surrender periods extend well beyond her reasonable life expectancy and are inconsistent with her need for accessible funds; (3) Quantitative suitability -- concentrating approximately 88% of her liquid net worth in these products with \$62,000 in upfront commissions suggests the advisor prioritized his compensation over the client's interests. Under Regulation Best Interest, Webb failed every obligation: the Care Obligation (no reasonable advisor would make these recommendations for this client), the Disclosure Obligation (the evidence suggests he did not adequately explain the risks, costs, and illiquidity), the Conflict of Interest Obligation (the \$62,000 in commissions created an enormous conflict that was apparently not mitigated), and the Compliance Obligation. Under FINRA Rule 2165, firms are permitted to place temporary holds on disbursements when there is a reasonable belief of financial exploitation of a senior investor (defined as age 65+). Webb's conduct -- deliberately excluding the daughter from meetings after she disclosed Eleanor's cognitive decline, recommending wholly inappropriate products, and generating outsized commissions --



constitutes a textbook case of senior investor exploitation. Additionally, FINRA Rule 4512 requires firms to make reasonable efforts to obtain the name and contact information of a trusted contact person for accounts held by senior investors, and FINRA has issued extensive guidance on senior investor protections. The early withdrawal penalties on CDs (\$14,200), surrender charges (\$5,600), and ongoing losses compound the harm. The likely regulatory outcome is severe: FINRA enforcement action likely resulting in a bar from the industry, disgorgement of all commissions, restitution to Eleanor, and substantial fines. The firm faces supervisory liability under FINRA Rule 3110 for failing to detect and prevent these transactions. State Adult Protective Services and state securities regulators may also pursue elder exploitation charges. In arbitration, Eleanor would likely recover full compensatory damages plus potentially punitive damages given the egregiousness of the conduct.

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**Item 145 of 499****NON-COMPLIANT****Topic:** illiquid\_real\_estate\_investment**Difficulty:** medium**Fact Pattern**

James and Karen Novak, both age 44, are a dual-income couple in Denver, Colorado, with a combined household income of \$165,000. They have \$310,000 in combined retirement accounts (401(k) plans) and \$95,000 in a joint brokerage account, which they have earmarked for a down payment on a larger home within the next 18 to 24 months. They also have \$12,000 in an emergency savings account. They met with their advisor, Ryan Schultz, in April 2023 to discuss how to invest the \$95,000 conservatively for the short term while keeping it accessible. Schultz recommended placing the entire \$95,000 into a non-traded real estate investment trust (REIT) that invested in commercial office properties. The REIT had a minimum 5-year holding period before shares could be redeemed, carried upfront fees and commissions totaling 12% (approximately \$11,400), and offered limited quarterly redemption windows that were subject to board approval and pro-rata allocation if requests exceeded available liquidity. Schultz told the Novaks the REIT had historically paid a 6.5% annual distribution and described it as 'like owning real estate without the hassle.' He did not explain the illiquidity restrictions, the 5-year minimum hold, or the 12% upfront cost load in detail. The Novaks signed the subscription documents. When they attempted to redeem shares 14 months later to fund their home purchase, they were told the redemption program had been suspended due to heavy redemption requests amid the commercial real estate downturn. Their \$95,000 investment was valued at approximately \$71,000 on paper, reflecting both the upfront costs and a decline in the underlying net asset value of the office properties. They were unable to access any of the funds.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Ryan Schultz violated suitability and best interest standards. Under FINRA Rule 2111, the recommendation was unsuitable on a customer-specific basis. The Novaks had a clearly defined short-term goal -- purchasing a home within 18 to 24 months -- and explicitly stated they needed the \$95,000 to remain accessible and conservatively invested. Recommending a non-traded REIT with a 5-year minimum holding period, suspended redemption risk, and 12% upfront costs for funds needed within two years is fundamentally unsuitable. Non-traded REITs are classified as complex, illiquid alternative investments and are subject to heightened scrutiny. FINRA has issued Regulatory Notices (including Regulatory Notice 15-02) emphasizing the risks of non-traded REITs and the obligation to ensure customers understand the illiquidity, fees, and valuation uncertainties. Under Regulation Best Interest's Care Obligation, Schultz was required to exercise reasonable diligence to understand the product's risks and limitations and to have a reasonable basis for believing the recommendation was in the Novaks' best interest. A product with a 5-year lockup and 12% upfront fees cannot reasonably serve a client's 18-to-24-month liquidity need. The Disclosure Obligation was also violated: Schultz failed to explain the illiquidity restrictions, the possibility of redemption suspension, or the magnitude of the upfront fee load. Describing the investment as 'like owning real estate without the hassle' without disclosing material risks is misleading. The Conflict of Interest Obligation is implicated by the 12% upfront fee -- a substantial portion of which likely went to Schultz as commission -- creating a significant conflict that was not mitigated or disclosed. Additionally, many firms have concentration limits for non-traded REITs and alternative investments (commonly 10% or less of liquid net worth excluding retirement accounts). Investing 100% of the Novaks' non-retirement liquid savings in a single non-traded REIT likely exceeded any reasonable concentration guideline. The likely regulatory outcome includes

FINRA enforcement action, potential fines and suspension for Schultz, restitution of losses including the upfront fees, and supervisory liability for the firm under FINRA Rule 3110 for failing to review and flag the suitability of this recommendation. In arbitration, the Novaks would likely recover compensatory damages of approximately \$24,000 (the difference between the \$95,000 invested and the current \$71,000 value), plus any consequential damages related to their inability to purchase the home, and potentially the full \$95,000 if the investment remains completely illiquid.

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## Item 146 of 499

### NON-COMPLIANT

**Topic:** structured\_products\_unsuitable

**Difficulty:** medium

### Fact Pattern

Margaret Tillman, age 74, is a retired schoolteacher in Tucson, Arizona, living on a fixed income of \$2,800 per month from Social Security and a small pension. Her total liquid savings amount to \$185,000, held in a money market account and a short-term CD. She has a history of chronic kidney disease requiring dialysis three times per week, generating approximately \$1,200 per month in out-of-pocket medical costs after insurance. Over the prior two years, she made four emergency withdrawals from her savings totaling \$31,000 to cover unexpected hospitalizations. In March 2023, her advisor, Dale Rosenfeld, at a mid-sized brokerage firm, recommended she move \$140,000 -- roughly 76% of her liquid assets -- into a structured product linked to the S&P 500 with a 12-year maturity, a 3% annual coupon contingent on the index not falling below a 70% barrier, and a principal-at-risk feature if the index declined more than 30% at maturity. The product carried a 4.5% upfront commission for the advisor and had no secondary market liquidity. Rosenfeld told Margaret the product was 'like a CD but with better returns' and did not discuss the barrier risk, the lack of liquidity, or the consequences of early redemption. Margaret's account documents listed her risk tolerance as 'conservative,' her investment objective as 'capital preservation and income,' and her time horizon as '1-3 years.' Within eight months, Margaret needed \$22,000 for an emergency surgery. She was unable to access the funds in the structured product and was forced to take out a personal loan at 14.9% interest. She filed a complaint in January 2024.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Dale Rosenfeld committed multiple violations. Under FINRA Rule 2111 (Suitability), an advisor must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, risk tolerance, and other information. Margaret's profile clearly indicated a conservative investor with a 1-3 year time horizon, acute liquidity needs due to ongoing and unpredictable medical expenses, and capital preservation as a primary objective. A 12-year illiquid structured product with principal-at-risk features is fundamentally incompatible with every element of her profile. Under Regulation Best Interest (Reg BI), the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, considering reasonably available alternatives. Rosenfeld failed the Care Obligation by recommending a product that locked up 76% of her liquid assets for 12 years when she had demonstrated a pattern of emergency withdrawals. The Disclosure Obligation under Reg BI was also violated: Rosenfeld characterized the structured product as 'like a CD,' which is materially misleading given the principal-at-risk feature, contingent coupon, and illiquidity. This misrepresentation also potentially violates FINRA Rule 2210 (Communications with the Public) regarding fair and balanced presentation. The concentration of 76% of liquid assets in a single illiquid product further violates the quantitative suitability component. The 4.5% upfront commission created a significant conflict of interest that was apparently not disclosed, violating the Conflict of Interest Obligation under Reg BI. A FINRA arbitration panel would likely find in Margaret's favor, awarding compensatory damages including the difference between her investment and the value she could have realized, plus consequential damages such as the interest on the personal loan she was forced to take. Rosenfeld and his firm face potential supervisory liability under FINRA Rule 3110 if the firm failed to review and flag this transaction.

**Item 147 of 499****NON-COMPLIANT****Topic:** unsuitable\_income\_investor**Difficulty:** easy**Fact Pattern**

Harold Jensen, age 69, retired from a manufacturing plant in 2021 with a lump-sum pension rollover of \$320,000 and Social Security income of \$2,400 per month. He told his advisor, Priya Nair, at a national wirehouse that he needed the \$320,000 to generate steady monthly income to supplement his Social Security, as his total monthly expenses were approximately \$4,100. He explicitly stated he could not afford to lose principal and had no other savings beyond a \$12,000 checking account. His account opening documents reflected a 'conservative' risk tolerance, 'income' as the primary investment objective, and a time horizon of '5-10 years.' In June 2022, Nair invested Harold's entire \$320,000 rollover as follows: \$110,000 in a high-yield emerging market bond fund with a 1.85% expense ratio, \$95,000 in a small-cap growth equity fund, \$70,000 in a technology sector ETF, and \$45,000 in a cryptocurrency-linked exchange-traded product. None of these positions paid regular dividends or distributions that would meet Harold's monthly income needs. By March 2023, the portfolio had declined to \$228,000, a loss of approximately \$92,000 or 28.75%. Harold had been forced to sell shares at depressed prices to cover his living expenses, further eroding his principal. Harold filed a complaint in April 2023, stating he never authorized speculative investments.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Priya Nair clearly violated applicable standards. Under FINRA Rule 2111, the customer-specific suitability obligation requires that any recommendation be consistent with the customer's stated investment profile. Harold's profile -- conservative risk tolerance, income objective, moderate time horizon, and critical dependence on the portfolio for living expenses -- demanded a portfolio of income-generating, low-volatility investments such as investment-grade bonds, dividend-paying blue-chip stocks, or short-to-intermediate-term bond funds. Instead, Nair allocated 100% of Harold's retirement savings to high-risk, growth-oriented, and speculative products that generated little to no income. The allocation to a cryptocurrency-linked product and small-cap growth equities is particularly egregious for a conservative income investor. Under Regulation Best Interest, the Care Obligation requires that the advisor consider the customer's investment profile and reasonably available alternatives. Income-oriented alternatives were widely available and obviously more appropriate. Nair failed to exercise reasonable diligence, care, and skill. The Disclosure Obligation was also likely violated, as there is no indication Nair explained the speculative nature of these investments or the risk of significant principal loss. The high expense ratios (1.85% on the emerging market bond fund) further reduced Harold's returns and should have been weighed against lower-cost alternatives under Reg BI's cost consideration requirements. Additionally, FINRA's quantitative suitability prong may apply, as the forced liquidations to cover living expenses suggest excessive activity or at minimum a strategy that was destined to consume principal. The likely regulatory and arbitration outcome would be compensatory damages of approximately \$92,000 plus consequential damages, and Nair and her firm would face potential disciplinary action including fines and a possible suspension.

## Item 148 of 499

### NON-COMPLIANT

**Topic:** private\_placements\_unsuitable

**Difficulty:** hard

### Fact Pattern

Between January 2021 and September 2022, broker Kevin Stahl at a regional firm in Charlotte, North Carolina, recommended private placement offerings in three separate real estate development limited partnerships to eleven different clients, most of whom were retirees aged 66 to 83. The minimum investment in each offering was \$50,000, and each carried a 7-year lockup period with no redemption rights. The offering memoranda disclosed substantial risks including potential total loss of principal, lack of liquidity, reliance on a single development project, and the speculative nature of the investments. Stahl earned a 7% commission on each sale. Among the affected clients was Dolores Whitfield, age 79, a widow with \$290,000 in total investable assets, a monthly income of \$3,100 from Social Security and a small annuity, and a stated risk tolerance of 'moderate.' Stahl placed \$150,000 -- approximately 52% of her liquid assets -- across two of the three private placements. Another client, Eugene Park, age 71, a retired postal worker with \$180,000 in savings and no income beyond Social Security of \$2,200 per month, had \$100,000 placed in one of the offerings, representing 55% of his assets. His risk tolerance was listed as 'conservative.' Neither Whitfield nor Park had any prior experience with alternative investments. Stahl's branch manager approved all transactions after a cursory review. By late 2023, one of the three partnerships had entered bankruptcy, and the remaining two had suspended distributions and disclosed significant cost overruns. The eleven clients collectively invested \$1.4 million, of which an estimated \$900,000 was at risk of total loss. Seven of the eleven clients filed complaints between October and December 2023.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Kevin Stahl committed serious and repeated violations across multiple regulatory frameworks. Under FINRA Rule 2111, all three suitability obligations were violated. First, reasonable-basis suitability: while private placements are legitimate products, the offering memoranda disclosed that these were speculative single-project real estate developments with total loss potential and 7-year lockups. An advisor must understand the product's risks and determine that there is a reasonable basis for recommending it to at least some investors. Recommending speculative, illiquid private placements to elderly retirees with moderate-to-conservative risk tolerances and limited assets fails this threshold. Second, customer-specific suitability: for Dolores Whitfield, concentrating 52% of a 79-year-old widow's assets in illiquid, speculative private placements directly contradicts her moderate risk tolerance, her age, her limited income, and her lack of alternative investment experience. For Eugene Park, placing 55% of a conservative 71-year-old's savings in a single speculative offering is even more egregious. Third, quantitative suitability: the pattern of recommending these products to eleven mostly elderly retirees suggests a sales-driven approach rather than individualized analysis. Under Regulation Best Interest, the Care Obligation was violated because Stahl failed to consider the investors' profiles and reasonably available alternatives. Income-producing, liquid investments would have been far more appropriate. The Conflict of Interest Obligation was violated because the 7% commissions created a powerful incentive to recommend these products over lower-commission alternatives, and there is no indication this conflict was mitigated. The Disclosure Obligation was likely violated if Stahl did not clearly communicate the lockup periods, speculative risks, and his compensation. FINRA Rule 5122 (Private Placements of Securities) and FINRA Rule 2310 (Direct Participation Programs) impose additional requirements for due diligence and suitability determinations for

these types of offerings. The firm also faces liability under FINRA Rule 3110 for supervisory failures, as the branch manager's cursory review of transactions placing majority portions of elderly retirees' assets in speculative illiquid products represents inadequate supervision. The likely outcome includes arbitration awards for compensatory damages (potentially the full amount invested minus any distributions received), punitive damages given the pattern of conduct, and regulatory sanctions including significant fines, disgorgement of commissions, and potential bars from the industry for both Stahl and potentially the branch manager.

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**Item 149 of 499****COMPLIANT****Topic:** bond\_duration\_mismatch**Difficulty:** medium**Fact Pattern**

Christine Alvarez, age 52, is a senior marketing executive earning \$195,000 per year with \$1.2 million in investable assets across a brokerage account and a 401(k). She told her financial advisor, Marcus Dyer, that she planned to retire at age 65 and wanted to begin building a fixed-income allocation to reduce portfolio volatility as she approached retirement. She described her risk tolerance as 'moderate,' her investment objective as 'growth and income,' and her time horizon as 13 years until retirement. She had experience with both equity and bond investments and understood interest rate risk after discussing it at length with Dyer during two planning meetings in February 2024. Dyer recommended allocating \$360,000 (30% of her investable assets) to a diversified bond portfolio consisting of \$120,000 in intermediate-term investment-grade corporate bonds (average duration 5.2 years), \$100,000 in U.S. Treasury bonds with maturities of 7-10 years, \$80,000 in a diversified municipal bond fund (duration 6.1 years) for tax efficiency given her income bracket, and \$60,000 in Treasury Inflation-Protected Securities (TIPS) with a 10-year maturity. The weighted average duration of the bond allocation was approximately 6.3 years, and the blended yield was 4.7%. The remaining 70% of her portfolio stayed in a diversified mix of large-cap equity index funds and international equity funds, consistent with her growth objective. All funds selected had expense ratios below 0.45%. Dyer documented the rationale in a written investment policy statement, noting the duration matched Christine's intermediate time horizon and that the allocation would be gradually increased toward bonds as she approached retirement. In the months following, rising interest rates caused a modest 4.2% decline in the bond portion, but Christine understood this was expected and consistent with what Dyer had explained.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Marcus Dyer acted in compliance with applicable standards. Under FINRA Rule 2111, the recommendation satisfies all three suitability obligations. Reasonable-basis suitability is met because intermediate-duration investment-grade bonds, Treasuries, municipal bonds, and TIPS are well-understood, appropriate fixed-income instruments for a moderate-risk investor with a 13-year time horizon. Customer-specific suitability is met because the 30% fixed-income allocation with a 6.3-year weighted average duration aligns well with Christine's moderate risk tolerance, growth-and-income objective, and 13-year horizon. The duration is appropriate because Christine does not need the funds for over a decade, and intermediate-duration bonds provide a reasonable balance between yield and interest rate sensitivity for her profile. The inclusion of municipal bonds reflects consideration of her tax situation given her \$195,000 income. Quantitative suitability is satisfied as there is no excessive trading or concentration. Under Regulation Best Interest, the Care Obligation is satisfied because Dyer exercised diligence in constructing a diversified bond allocation, considered Christine's full profile, selected low-cost funds (all below 0.45% expense ratios), and documented his rationale in a written investment policy statement. The Disclosure Obligation was met through two detailed planning meetings in which interest rate risk was specifically discussed, and Christine demonstrated understanding. The Conflict of Interest Obligation appears satisfied given the use of low-cost index and institutional-class funds with no indication of revenue-sharing or excessive compensation. The 4.2% decline in the bond portion due to rising rates is within normal expected behavior for intermediate-duration bonds and does not indicate an unsuitable recommendation. Investment losses alone do not constitute a violation. This is an example of a



well-documented, appropriately tailored recommendation that would withstand regulatory scrutiny.

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**Item 150 of 499****NON-COMPLIANT****Topic:** high\_fees\_unsuitable**Difficulty:** easy**Fact Pattern**

Robert Chung, age 34, is a software engineer in Seattle earning \$125,000 per year. He opened a brokerage account in August 2022 with \$85,000 in savings, seeking long-term growth for retirement. He told his advisor, Lisa Fontaine, that he had a high risk tolerance, a time horizon of over 30 years, and wanted a simple, low-maintenance portfolio of index funds. He mentioned reading about low-cost index investing and specifically asked about funds with expense ratios under 0.10%. Fontaine instead recommended a portfolio consisting of five actively managed mutual funds, each carrying front-end sales loads of 5.25% and annual expense ratios ranging from 1.15% to 1.72%. The blended annual expense ratio was 1.48%. The upfront sales charges totaled \$4,461. Fontaine earned a commission of approximately \$3,400 from the sales loads. Over the next 18 months, the five funds collectively underperformed their benchmark indices by an average of 2.1% annually after fees. Virtually identical index fund alternatives were available on the firm's platform with no loads and expense ratios of 0.03% to 0.07%. Fontaine did not discuss any lower-cost alternatives with Robert or explain why the actively managed funds were preferable to the index funds he had requested. Robert discovered the fee disparity in February 2024 after reviewing his account statements and filed a complaint.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Lisa Fontaine violated applicable standards. Under Regulation Best Interest, the Care Obligation explicitly requires that an advisor consider the costs of a recommendation in light of the customer's profile and reasonably available alternatives. Robert specifically requested low-cost index funds, and the firm's own platform offered nearly identical index fund alternatives with no loads and expense ratios of 0.03% to 0.07% -- dramatically lower than the 1.48% blended expense ratio and 5.25% front-end loads of the recommended funds. Fontaine failed to provide any reasonable justification for why the actively managed funds were in Robert's best interest, particularly when the client had specifically articulated a preference for low-cost indexing. The actively managed funds' subsequent underperformance of benchmarks by 2.1% annually further underscores that the higher costs were not justified by superior performance. The Disclosure Obligation under Reg BI was violated because Fontaine did not discuss the existence of lower-cost alternatives or explain the cost differential. The Conflict of Interest Obligation was violated because Fontaine earned approximately \$3,400 in commissions from the front-end loads, creating a material financial incentive to recommend the higher-cost products. There is no indication this conflict was disclosed or mitigated. Under FINRA Rule 2111, customer-specific suitability requires that the recommendation be consistent with the customer's expressed investment preferences and profile. While actively managed funds are not inherently unsuitable, recommending high-cost load funds to a client who specifically requested low-cost index funds -- without any documented rationale -- fails this standard. FINRA has emphasized through various regulatory communications that cost is a critical factor in suitability determinations, particularly when substantially similar lower-cost alternatives are readily available. The likely outcome is that Robert would prevail in arbitration, recovering the \$4,461 in sales loads, the performance differential attributable to excess fees over 18 months, and potentially attorney's fees. Fontaine would face potential disciplinary action including fines and enhanced supervision requirements.

## Item 151 of 499

### NON-COMPLIANT

**Topic:** illiquid\_real\_estate\_investment

**Difficulty:** medium

### Fact Pattern

Margaret Henson, age 74, is a retired schoolteacher living in Tucson, Arizona. She receives \$2,800 per month from her pension and \$1,900 per month from Social Security. Her total liquid savings amount to approximately \$310,000, held in a brokerage account and a money market fund. She has no other significant assets aside from her home, which she owns outright. In March 2023, her financial advisor, Craig Bellamy, recommended that she invest \$185,000--roughly 60% of her liquid net worth--into a non-traded real estate investment trust that focused on commercial office properties. The REIT had a seven-year minimum holding period with no secondary market for shares, early redemption was limited to a quarterly tender offer capped at 2.5% of outstanding shares per quarter, and there was an upfront commission of 7%. Bellamy told Margaret the investment would generate a steady 6.5% annual distribution and described it as 'like owning rental property without the hassle.' Margaret's account opening documents listed her risk tolerance as 'moderate,' her investment objective as 'income with preservation of capital,' her time horizon as '3-5 years,' and her liquidity needs as 'may need funds for medical expenses and assisted living within the next few years.' Margaret signed the subscription documents. By late 2024, the REIT suspended its distribution payments and reduced its estimated net asset value by 30% due to declining occupancy in its office portfolio. Margaret now needs funds for a transition to an assisted living facility but cannot access the \$185,000 investment. Her remaining liquid savings of approximately \$125,000 are insufficient to cover projected assisted living costs for more than two years.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Craig Bellamy likely violated multiple applicable standards. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on the customer's investment profile, including age, financial situation, liquidity needs, risk tolerance, investment objectives, and time horizon. Here, Bellamy recommended concentrating approximately 60% of a 74-year-old retiree's liquid assets in an illiquid, non-traded REIT with a seven-year lockup when her own account documents reflected a 3-5 year time horizon, moderate risk tolerance, income and capital preservation objectives, and an explicit near-term need for liquidity to cover potential medical and assisted living costs. This fails the customer-specific suitability obligation under Rule 2111.05. Additionally, under Regulation Best Interest (Reg BI), which applies to broker-dealer recommendations to retail customers, Bellamy was required to exercise reasonable diligence, care, and skill in making the recommendation, and to consider reasonably available alternatives. The Care Obligation under Reg BI requires that the recommendation be in the retail customer's best interest and not place the financial interest of the broker ahead of the customer's. The 7% upfront commission created a significant financial incentive that likely influenced the recommendation. The product's illiquidity was fundamentally incompatible with Margaret's stated needs. Bellamy also likely violated FINRA's quantitative suitability standards given the outsized concentration. FINRA has issued extensive guidance on non-traded REITs, including notices reminding firms that these products are generally unsuitable for investors who may need ready access to their funds or who cannot bear the risk of loss. The probable regulatory outcome would include customer restitution, disgorgement of commissions, a fine, and a potential suspension or bar for Bellamy depending on his disciplinary history. The firm could also face supervisory failure charges if it did not have adequate procedures to flag such a concentration in an illiquid product for a client with this profile.

## Item 152 of 499

### NON-COMPLIANT

**Topic:** illiquid\_investments

**Difficulty:** hard

### Fact Pattern

Robert and Diane Kowalski, ages 81 and 78, are retired and living in suburban Philadelphia. Robert is a former machinist and Diane a former bookkeeper. Their combined income is approximately \$4,200 per month from Social Security and a small annuity. Their investable assets total roughly \$420,000, which represents their entire life savings outside of their home. They have no pension. In January 2023, their broker, Steven Farrell at a regional broker-dealer, recommended they invest \$260,000 into a portfolio consisting of three private placement offerings: a \$100,000 investment in a private debt fund with a five-year lockup, a \$90,000 investment in a private equity fund of funds with a seven-year lockup and capital calls, and \$70,000 in a business development company (BDC) that was non-traded and had limited quarterly redemption at the discretion of the board. All three investments carried upfront placement fees totaling approximately \$19,500 combined. Farrell told the Kowalskis that these investments would provide 'institutional-quality returns' and diversify them away from stock market volatility. Their account documents noted a 'conservative' risk tolerance, 'income and capital preservation' investment objectives, and 'near-term liquidity needed for healthcare costs.' Diane had recently been diagnosed with early-stage Parkinson's disease, a fact documented in the account notes. Within 18 months, the couple needed to access funds for Diane's escalating medical expenses and home modifications. They were unable to redeem any of the three investments. The private debt fund had suspended redemptions, the private equity fund was in its investment period and did not permit withdrawals, and the BDC had denied their redemption request due to its board-imposed cap being reached. The Kowalskis were left with approximately \$160,000 in liquid assets, which their financial planner estimated would be depleted within 20 months given current medical expenses of roughly \$6,500 per month after insurance.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Steven Farrell almost certainly violated both FINRA suitability requirements and Regulation Best Interest. Under FINRA Rule 2111, the customer-specific suitability obligation required Farrell to evaluate the Kowalskis' complete investment profile before making recommendations. The couple was in their late 70s and early 80s, had conservative risk tolerance, needed income and capital preservation, had documented near-term liquidity needs, and had a known medical condition (Diane's Parkinson's diagnosis) that would foreseeably increase expenses. Recommending that approximately 62% of their liquid net worth be placed in private placements and non-traded products with multi-year lockups and severe redemption restrictions was fundamentally incompatible with every dimension of their profile. Under Reg BI's Care Obligation, Farrell was required to exercise reasonable diligence, care, and skill, and to consider the costs and reasonably available alternatives. The combined upfront placement fees of approximately \$19,500 (roughly 7.5% of the invested amount) were substantial and suggest the recommendation may have been driven by compensation rather than client interest, implicating the Conflict of Interest Obligation as well. FINRA has long maintained heightened scrutiny for recommendations of illiquid alternative investments to elderly clients with limited assets and known liquidity needs. The concentration in illiquid products, the clients' advanced age, conservative objectives, documented medical condition, and the significant upfront fees all point to a clear violation. The fact that all three investments became inaccessible when funds were critically needed underscores the foreseeable harm. Likely regulatory outcomes include arbitration awards or settlements for the full amount of damages, FINRA enforcement

action including fines and a potential bar for Farrell, and supervisory failure charges against the firm for approving such transactions for clients with this profile. The firm's compliance department should have flagged the concentration in illiquid products, the age of the clients, and the documented health condition as red flags requiring heightened supervisory review under FINRA Rule 3110.

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**Item 153 of 499****NON-COMPLIANT****Topic:** options\_unsuitable**Difficulty:** medium**Fact Pattern**

Patricia Nguyen, age 69, is a widowed retired nurse living in Sacramento, California. Her husband passed away in early 2022, leaving her with a \$475,000 brokerage account, a \$120,000 IRA, and approximately \$40,000 in savings. She receives \$2,600 per month in Social Security and has no other income. She told her advisor, Daniel Marsh, that she wanted to preserve her late husband's savings and generate modest income to supplement Social Security, and that she had little experience with investing beyond the mutual funds her husband had selected. Her risk tolerance was documented as 'conservative' and her investment objective as 'income with capital preservation.' In June 2022, Marsh recommended an options trading strategy, telling Patricia it would 'generate extra income like collecting rent.' Over the next 14 months, Marsh executed over 340 options transactions in Patricia's taxable brokerage account, primarily involving short put spreads and naked call writing on volatile technology and biotech stocks. The account generated approximately \$87,000 in commissions and fees for Marsh and his firm during this period. Patricia's account value declined from \$475,000 to approximately \$198,000 by August 2023, a loss of roughly \$277,000. The turnover rate in the account exceeded 28 times annualized, and the cost-to-equity ratio was approximately 54%. Patricia was not contacted before most trades and only became aware of the extent of the losses when she received her year-end account statement. She stated she never understood what options were and did not authorize a speculative trading approach.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Daniel Marsh violated multiple regulatory standards in an egregious manner. First, under FINRA Rule 2111 (Suitability), the recommendation of aggressive options strategies--particularly naked call writing--to a 69-year-old widowed retiree with conservative risk tolerance, income and capital preservation objectives, limited investment experience, and no prior options knowledge fails every dimension of suitability analysis: reasonable-basis suitability (naked calls expose the writer to theoretically unlimited loss), customer-specific suitability (completely incompatible with her profile), and quantitative suitability (the turnover ratio of 28x and cost-to-equity ratio of 54% are extreme indicators of churning). Under Reg BI's Care Obligation, Marsh was required to act in Patricia's best interest, exercise reasonable diligence and skill, and not place his own financial interests ahead of hers. The \$87,000 in commissions over 14 months on a \$475,000 account demonstrates that the trading was driven by Marsh's compensation interests, not Patricia's welfare. This also implicates the Reg BI Conflict of Interest Obligation, as the commission-based compensation structure created an incentive to trade excessively. The Disclosure Obligation was likely violated as well if Marsh did not clearly explain the risks of options strategies and the fee structure. FINRA Rule 2360 governs options trading and requires that firms approve customers for options trading at appropriate levels based on their experience, financial resources, and investment objectives. Approving a conservative, inexperienced widow for naked call writing represents a supervisory failure under FINRA Rule 3110. Additionally, FINRA's churning standards (as articulated in extensive FINRA guidance and case law) use turnover ratios above 6 and cost-to-equity ratios above 20% as presumptive indicators of excessive trading; both metrics here far exceed those thresholds. The likely outcome is a significant arbitration award or settlement covering the full \$277,000 in losses plus potential punitive damages, FINRA enforcement resulting in disgorgement, substantial fines, and a bar from the securities industry for Marsh, and potential

supervisory failure charges against the firm.

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**Item 154 of 499****NON-COMPLIANT**

**Topic:** crypto\_assets\_unsuitable

**Difficulty:** easy

**Fact Pattern**

Angela Foster, age 44, is a single mother of two children (ages 10 and 14) working as a dental hygienist in Orlando, Florida, earning approximately \$58,000 per year. She has \$95,000 in a 401(k) from a prior employer, \$22,000 in a savings account, and no other significant assets. She met with financial advisor Kyle Bennett in April 2023 and told him she wanted to invest \$18,000 of her savings to start a college fund for her children. She emphasized that she had a specific timeline--needing the money within four to eight years--and that she could not afford to lose the funds because she had no other resources earmarked for education expenses. Her risk tolerance was recorded as 'low to moderate' and her objective as 'education savings/growth with limited downside.' Bennett recommended that Angela invest the entire \$18,000 in a portfolio of cryptocurrency assets: \$8,000 in Bitcoin, \$5,000 in Ethereum, and \$5,000 split across three smaller-cap altcoins that Bennett described as 'the next big thing in blockchain technology.' Bennett told Angela that crypto was 'the best way to grow money fast' and that she could 'easily double her money before the kids need it for college.' He did not discuss the extreme volatility of cryptocurrency, the possibility of total loss on the altcoins, or any alternative investment options such as 529 plans, target-date funds, or diversified equity mutual funds. By February 2024, the three altcoins had lost approximately 85% of their value, Bitcoin had fluctuated significantly, and the total portfolio was worth approximately \$9,200--a loss of roughly \$8,800, or nearly 49% of her investment. Angela's remaining savings account balance was \$4,000.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kyle Bennett violated applicable suitability and best interest standards. Under FINRA Rule 2111, if Bennett was acting through a broker-dealer, he was required to ensure that his recommendation was suitable based on Angela's investment profile. Angela was a moderate-income single mother with limited savings, a specific and relatively short investment time horizon of 4-8 years for education funding, low-to-moderate risk tolerance, and an express inability to absorb losses. Recommending 100% allocation to cryptocurrency--an asset class characterized by extreme volatility and speculative risk--with a significant portion in small-cap altcoins with the potential for near-total loss, fails the customer-specific suitability obligation. Under Regulation Best Interest, if applicable, the Care Obligation required Bennett to exercise reasonable diligence, care, and skill, consider reasonably available alternatives, and ensure the recommendation was in Angela's best interest. Bennett failed all three prongs: he did not consider alternatives such as 529 education savings plans or diversified mutual funds that would have been far more appropriate for education savings with a defined timeline; he concentrated the entire investment in a single highly volatile asset class; and he appears to have prioritized an aggressive growth narrative over Angela's actual needs and constraints. The Disclosure Obligation under Reg BI also required Bennett to disclose material facts about the recommended investments, including risks. His failure to explain the extreme volatility of crypto assets and the potential for total loss on altcoins is a separate violation. If Bennett was acting as an investment adviser representative rather than a broker, he owed a fiduciary duty under the Investment Advisers Act of 1940, requiring him to act in Angela's best interest and provide full and fair disclosure--obligations he clearly breached. The likely regulatory outcome includes restitution of losses, potential fines, and disciplinary action. The firm could also face supervisory failure charges under FINRA Rule 3110 for failing to identify the obvious mismatch between the client profile and the recommended investments.



**Item 155 of 499****COMPLIANT****Topic:** failure\_to\_know\_customer**Difficulty:** easy**Fact Pattern**

James Whitfield, age 35, is a software engineer in Austin, Texas, earning \$145,000 per year. He has approximately \$210,000 in a 401(k), \$85,000 in a taxable brokerage account, \$30,000 in a high-yield savings account, and no debt other than a manageable \$1,200 monthly mortgage payment. He opened an account with financial advisor Sarah Morin in September 2023. Morin conducted a thorough intake process: she had James complete a detailed questionnaire covering his age, income, net worth, tax situation, existing investments, monthly expenses, insurance coverage, estate planning status, investment experience, risk tolerance, time horizon, and financial goals. She also conducted a 90-minute in-person meeting to discuss his answers in depth. James stated that he had been investing on his own for eight years, understood market volatility, had a high risk tolerance, and wanted aggressive long-term growth for retirement approximately 30 years away. He said he had no anticipated liquidity needs in the near term and that his emergency fund was fully funded. Morin documented all of this information and had James sign an acknowledgment confirming the accuracy of his profile. Based on this profile, Morin recommended a diversified portfolio consisting of 80% equities (split among U.S. large-cap growth, international developed markets, and emerging markets index funds) and 20% in a diversified bond fund, with a total expense ratio averaging 0.12%. She explained the historical volatility of equities, discussed the potential for significant short-term drawdowns, and noted that the allocation was appropriate for his long time horizon and high risk tolerance. She also recommended he maximize his 401(k) contributions and consider opening a Roth IRA. James agreed to the plan and signed the investment policy statement. Over the following 12 months, the portfolio experienced normal market fluctuations, and Morin conducted a semiannual review in March 2024, reconfirming James's financial situation and risk tolerance, which had not changed.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Sarah Morin acted in full compliance with applicable suitability and best interest standards. Under FINRA Rule 2111, a broker must use reasonable diligence to know the essential facts about a customer and must have a reasonable basis to believe that a recommendation is suitable. Morin conducted a thorough know-your-customer (KYC) process, gathering detailed information about James's age, income, net worth, tax situation, liquidity needs, existing holdings, investment experience, risk tolerance, time horizon, and investment objectives--satisfying the requirements of FINRA Rule 2090 (Know Your Customer). Her recommendation of an 80/20 equity-to-bond portfolio using low-cost index funds was well-aligned with James's profile: he was a 35-year-old high-income professional with substantial savings, no near-term liquidity needs, a fully funded emergency fund, significant investment experience, high risk tolerance, and a 30-year time horizon. The portfolio was diversified across asset classes and geographies, and the 0.12% average expense ratio demonstrates cost-consciousness. Under Regulation Best Interest, the Care Obligation was satisfied because Morin exercised reasonable diligence, considered costs (selecting low-cost index funds), and ensured the recommendation matched James's best interest given his profile. The Disclosure Obligation was met through her explanation of volatility risks and portfolio construction. The Conflict of Interest Obligation appears satisfied given the use of low-cost, non-proprietary index funds with no indication of compensation-driven recommendations. If Morin was acting as an investment adviser, her fiduciary duty under the Investment Advisers Act of 1940 was also met: she acted in her client's best interest, provided full disclosure, and documented her process. Her semiannual review

and reconfirmation of the client profile reflect ongoing diligence and best practices. No regulatory action would be warranted.

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## Item 156 of 499

### NON-COMPLIANT

**Topic:** senior\_investor\_exploitation

**Difficulty:** medium

### Fact Pattern

Margaret Dalton, age 79, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed monthly income of \$2,400 from her pension and \$1,850 from Social Security. Her total liquid savings amount to \$485,000, held in a brokerage account that had been invested in a diversified mix of Treasury bonds, investment-grade municipal bonds, and a conservative balanced mutual fund since 2016. Her account documents listed her risk tolerance as 'conservative,' her investment objective as 'capital preservation and income,' and her time horizon as 'short-term (1-3 years).' Margaret has no investment experience beyond what her previous advisor managed for her and has early-stage cognitive decline, which her daughter, Susan, disclosed to the branch office in writing in January 2023. In March 2023, Margaret's long-time advisor retired, and her account was reassigned to Kyle Brennan, a 34-year-old representative who had been with the firm for two years. Between April and August 2023, Brennan systematically liquidated Margaret's entire portfolio and reinvested 100% of the proceeds -- \$485,000 -- into three energy sector mutual funds offered by a single fund family, Pinnacle Energy Partners. The funds carried front-end sales loads of 5.25%, generating approximately \$25,462 in upfront commissions. The three funds had average annual expense ratios of 1.45% and had experienced 12-month trailing losses of 8% to 14% at the time of purchase. Internal firm emails later revealed that Pinnacle Energy Partners was running a sales incentive program during Q2-Q3 2023, offering an additional 25 basis points in compensation to representatives who placed more than \$250,000 in Pinnacle products during that period. Brennan received approximately \$1,212 in additional incentive compensation from this program. By December 2023, Margaret's portfolio had declined to \$361,000, a loss of roughly \$124,000 or 25.6%. Susan Dalton discovered the changes when she reviewed her mother's year-end account statement and filed a complaint with the firm in January 2024.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Kyle Brennan committed multiple serious violations.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker have a reasonable basis to believe a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, time horizon, and investment objectives. Under the rule's three components:

- **\*Reasonable-basis suitability:** Concentrating a conservative, elderly client's entire portfolio in a single volatile sector (energy) with funds already showing significant trailing losses fails reasonable-basis suitability. No reasonable advisor would conclude that a 100% energy sector concentration is appropriate for any conservative, income-oriented senior investor.

- **\*Customer-specific suitability:** Margaret's documented profile -- conservative risk tolerance, capital preservation objective, short time horizon, age 79, fixed income, and disclosed cognitive decline -- is fundamentally incompatible with a concentrated, high-risk sector bet. This is a clear customer-specific suitability violation.

- **\*Quantitative suitability:** While not a classic churning scenario, the complete liquidation and restructuring of a stable portfolio into unsuitable products implicates quantitative concerns given the high commission costs relative to account size.

2. **\*\*Regulation Best Interest (Reg BI):\*\*** If Brennan's firm is a broker-dealer, Reg BI's Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Placing the entirety of a 79-year-old conservative investor's savings into a single volatile sector plainly fails this standard. The Conflict of Interest Obligation under Reg BI also required the firm to identify and mitigate or eliminate the material conflict created by the Pinnacle incentive compensation program. There is no indication this was done. The Disclosure Obligation required that the incentive arrangement be disclosed to Margaret; the facts suggest it was not.

3. **\*\*FINRA Rule 2090 (Know Your Customer):\*\*** The firm and Brennan had actual knowledge of Margaret's cognitive decline. This imposed heightened obligations to ensure the suitability of any recommendations and to involve trusted contacts or take protective measures.

4. **\*\*FINRA Rule 2150 & Firm Supervisory Obligations:\*\*** The firm's supervisory systems should have flagged the complete portfolio restructuring of a senior client with documented cognitive decline into a single-sector concentrated position, especially one tied to an active incentive compensation program.

5. **\*\*Senior Investor Protections:\*\*** FINRA Rule 2165 permits firms to place temporary holds on disbursements when financial exploitation of seniors is suspected. While this rule addresses disbursements specifically, the broader framework reflects heightened duties when dealing with vulnerable seniors. Brennan's conduct -- exploiting a cognitively impaired 79-year-old widow for incentive compensation -- constitutes financial exploitation.

**\*\*Specific Violations:\*\***

- Unsuitable concentration: 100% in a single sector for a conservative investor.
- Unsuitable risk level: Energy sector funds with recent double-digit losses for a capital preservation client.
- Conflict of interest: Recommendations driven by Pinnacle's incentive compensation program rather than client needs.
- Failure to consider vulnerable client status: Proceeding with aggressive changes despite known cognitive decline.
- Excessive costs: \$25,462 in front-end loads plus ongoing high expense ratios for a client needing capital preservation.

**\*\*Likely Regulatory Outcome:\*\*** Brennan would likely face FINRA enforcement action including substantial fines, disgorgement of commissions and incentive compensation, a lengthy suspension or permanent bar from the industry. The firm could face supervisory failure charges. Margaret (or her daughter on her behalf) would have strong grounds for a FINRA arbitration claim seeking full restitution of the approximately \$124,000 in losses plus the \$25,462 in excessive commissions. State securities regulators and adult protective services may also pursue actions related to elder financial exploitation.

## Item 157 of 499

### NON-COMPLIANT

**Topic:** variable\_annuity\_unsuitable

**Difficulty:** hard

### Fact Pattern

Robert and Nancy Chen, ages 68 and 65 respectively, are a married couple in Portland, Oregon. Robert is a retired software engineer with a pension paying \$6,200 per month, and Nancy still works part-time as a bookkeeper earning \$28,000 annually. They have a combined net worth of approximately \$2.1 million, consisting of \$740,000 in Robert's 401(k) rollover IRA, \$320,000 in Nancy's traditional IRA, \$410,000 in a joint taxable brokerage account, \$380,000 in home equity, and \$250,000 in bank CDs and savings. They have no debt. Their stated investment objectives are 'growth and income' with a 'moderate' risk tolerance. Both are in good health with a family history of longevity. In September 2022, their advisor, Denise Whitmore, recommended they surrender two existing variable annuities -- one held by Robert (purchased in 2017, current value \$195,000, surrender charge of 4% or \$7,800) and one held by Nancy (purchased in 2018, current value \$145,000, surrender charge of 3% or \$4,350) -- and use the combined proceeds of approximately \$327,850 (after surrender charges of \$12,150) to purchase a single new variable annuity issued by National Heritage Life Insurance Company. The new annuity had a 7-year surrender charge schedule starting at 7% in year one, an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, and underlying sub-account expense ratios averaging 0.95%, bringing total annual costs to approximately 2.45%. Whitmore also recommended they add an optional guaranteed minimum income benefit (GMIB) rider at an additional annual cost of 1.10%, bringing total all-in annual costs to approximately 3.55% of account value, or roughly \$11,639 per year. The GMIB rider had a 10-year waiting period before it could be exercised. Whitmore earned a 6.5% commission on the new annuity sale, approximately \$21,310. The Chens' existing annuities had lower total annual costs of approximately 2.10% and 2.25% respectively, and both had living benefit riders that were already past their waiting periods and could be exercised immediately. Whitmore did not document any specific analysis comparing the features and costs of the existing annuities to the replacement annuity, nor did she document why the surrender charges, new surrender period, and higher ongoing costs were justified. The new annuity was funded entirely from the surrendered proceeds and placed inside Robert's IRA, meaning there was no additional tax-deferral benefit since the IRA was already tax-deferred. Six months after the purchase, Robert was diagnosed with Parkinson's disease, and the couple wanted to access the annuity funds for long-term care planning but faced a 7% surrender charge of approximately \$22,950 on the new annuity's value.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Denise Whitmore committed multiple violations related to the unsuitable variable annuity replacement.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities):\*\*** This rule imposes specific obligations on brokers recommending the purchase or exchange of deferred variable annuities. Under Rule 2330(b), a registered representative must have a reasonable basis to believe that: (a) the customer has been informed of the features of the annuity, including surrender charges, potential tax penalties, various fees, and the insurance and investment components; (b) the customer would benefit from certain features of the annuity (such as tax-deferred

growth, annuitization, death benefits, or living benefits); (c) the particular annuity as a whole, with its specific riders, sub-accounts, and fee structure, is suitable; and (d) in the case of an exchange or replacement, the transaction is suitable after considering whether the customer would lose existing benefits, face new surrender charges, incur new fees, and whether the customer would benefit from product enhancements.

Whitmore's recommendation fails on virtually every element: the Chens surrendered existing annuities with lower costs and already-exercisable living benefit riders, paid \$12,150 in surrender charges, entered a new 7-year surrender period, incurred higher ongoing annual costs (3.55% vs. approximately 2.10-2.25%), and the new GMIB rider required a 10-year waiting period -- meaning the Chens, at ages 68 and 65, would not be able to exercise the new income guarantee until ages 78 and 75 respectively, compared to the immediate availability of their existing riders.

2. **\*\*FINRA Rule 2111 (Suitability):\*\*** Beyond the annuity-specific rule, general suitability principles were violated. The Chens had substantial liquid assets and retirement income; they did not need to concentrate an additional \$327,850 in a high-cost, illiquid product. The recommendation to place the annuity inside an IRA eliminated the only unique tax benefit of a variable annuity (tax deferral), since IRAs are already tax-deferred. This is a classic red flag that an annuity recommendation may be driven by commissions rather than client need.

3. **\*\*Regulation Best Interest (Reg BI):\*\*** Under the Care Obligation, Whitmore was required to exercise reasonable diligence, care, and skill to understand the available alternatives and make a recommendation in the customer's best interest. She failed to conduct or document any comparative analysis between the existing and proposed annuities. Under the Conflict of Interest Obligation, the \$21,310 commission created a material conflict that needed to be identified and mitigated. There is no indication Whitmore or her firm took adequate steps to address this conflict. The Disclosure Obligation required full and fair disclosure of the costs and material facts, including the comparative disadvantages of the replacement.

4. **\*\*State Insurance Replacement Regulations:\*\*** Most states, including Oregon, have annuity replacement regulations that require advisors to complete replacement forms comparing existing and proposed contracts. Whitmore's failure to document a comparative analysis likely also violates applicable state insurance suitability and replacement requirements.

**\*\*Specific Violations:\*\***

- **\*\*Unsuitable 1035 exchange/replacement:\*\*** The Chens gave up lower-cost annuities with immediately exercisable living benefit riders for a higher-cost product with a 10-year waiting period. No rational cost-benefit analysis supports this exchange.
- **\*\*Tax-deferral stacking:\*\*** Placing a variable annuity inside an already tax-deferred IRA provides no incremental tax benefit while layering on additional insurance-related costs (M&E charges, rider fees). This is widely recognized as a red flag for unsuitable annuity sales.
- **\*\*Surrender charge harm:\*\*** The Chens paid \$12,150 in surrender charges to exit existing contracts and immediately entered a new 7-year surrender schedule with charges starting at 7%, severely restricting liquidity for a couple in their late 60s.
- **\*\*Excessive cost:\*\*** Total annual costs of 3.55% on approximately \$327,850 amount to roughly \$11,639 per year -- significantly higher than the existing annuities and substantially higher than available alternatives such as low-cost mutual funds or ETFs within the IRA.
- **\*\*Failure to document:\*\*** The absence of any comparative analysis documenting why the replacement was in the clients' interest violates both FINRA Rule 2330 documentation requirements and Reg BI's Care Obligation.
- **\*\*Commission motivation:\*\*** The \$21,310 commission strongly suggests the transaction was motivated by advisor compensation rather than client benefit.

**\*\*Likely Regulatory Outcome:\*\*** Whitmore would likely face FINRA disciplinary action, potentially including fines, disgorgement of the \$21,310 commission, and a suspension. The firm could face supervisory violation charges under

FINRA Rules 3110 and 2330(c)-(d) for failing to establish adequate supervisory procedures for variable annuity replacements. The Chens would have strong grounds for a FINRA arbitration claim seeking restitution of the \$12,150 in surrender charges paid, the excess ongoing fees, and potentially consequential damages related to the liquidity restrictions that now impair their ability to fund Robert's long-term care needs. State insurance regulators may also take action for replacement regulation violations.

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## Item 158 of 499

### NON-COMPLIANT

**Topic:** unsuitable\_income\_investor

**Difficulty:** medium

### Fact Pattern

Margaret Olsen, age 72, is a retired school librarian living in Duluth, Minnesota. She has a fixed annual income of \$34,000 from Social Security and a small state pension. Her total liquid savings amount to \$285,000, which represents her entire life savings aside from her home, valued at approximately \$160,000 with no mortgage. Margaret visited the offices of Lakeland Financial Group in March 2023, telling her advisor, Kevin Dillard, that she needed to generate steady monthly income from her savings to supplement her pension and Social Security because her prescription medication costs had risen significantly. She explicitly stated she could not afford to lose principal and described herself as very conservative. She completed a new account form indicating "low" risk tolerance, "income" as her primary investment objective, and a time horizon of 1-5 years. Kevin Dillard recommended that Margaret invest \$210,000 of her \$285,000 in a concentrated portfolio consisting of three small-cap growth stocks (\$70,000 each): a pre-revenue biotech company, a recently-IPO'd electric vehicle startup, and a lithium mining exploration firm. None of these companies paid dividends. He placed the remaining \$75,000 into a high-yield bond fund rated below investment grade with an average duration of 8.2 years. Kevin earned \$6,300 in commissions on the stock purchases and a 3.5% front-end sales charge on the bond fund, totaling approximately \$8,925 in compensation. By November 2023, the three small-cap stocks had collectively declined 47% in value, reducing Margaret's \$210,000 equity position to approximately \$111,300. The high-yield bond fund had also dropped about 9% due to rising interest rates, leaving that position at roughly \$68,250. Margaret's total portfolio was now worth approximately \$179,550, a loss of over \$105,000. She received no meaningful income distributions during the entire period and was forced to liquidate a portion of her remaining holdings at a loss to cover medical expenses.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Kevin Dillard committed clear and egregious violations of applicable suitability and best interest standards.

**\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, tax status, investment objectives, time horizon, liquidity needs, and other relevant information. There are three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

On the customer-specific prong, the recommendation was grossly unsuitable. Margaret was a 72-year-old retiree with limited fixed income, modest savings, low risk tolerance, an income-focused investment objective, and a short time horizon. Placing 74% of her liquid net worth into three speculative, non-dividend-paying small-cap growth stocks is directly contrary to every element of her stated profile. These securities carried extreme volatility and concentration risk and offered zero income generation, which was her primary stated need.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under the Care Obligation of Reg BI, a broker-dealer must exercise reasonable diligence, care, and skill in making recommendations and must consider reasonably available alternatives. Kevin failed



to consider obvious alternatives such as Treasury securities, investment-grade bond funds, dividend-paying blue chip equities, CDs, or money market funds, all of which would have been more aligned with Margaret's profile. The recommendation did not reflect reasonable diligence or care.

Additionally, the high-yield bond fund with an 8.2-year average duration was inappropriate for a client with a 1-5 year time horizon and sensitivity to principal loss, as longer-duration bonds carry significant interest rate risk.

The compensation structure also raises concerns under Reg BI's Conflict of Interest Obligation. Kevin earned nearly \$9,000 in commissions and sales charges, suggesting the recommendations may have been driven by compensation rather than the client's needs.

**\*\*Likely Regulatory Outcome:\*\*** This case would likely result in FINRA enforcement action including monetary sanctions, disgorgement of commissions, restitution to the customer, and a potential suspension or bar for the advisor. The pattern of placing a vulnerable, elderly, income-dependent client into concentrated speculative positions with no income component represents a textbook suitability violation. Customer harm was significant -- over \$105,000 in losses, representing approximately 37% of her total liquid savings.

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**Item 159 of 499****NON-COMPLIANT****Topic:** options\_unsuitable**Difficulty:** hard**Fact Pattern**

Daniel Whitfield, age 44, is a marketing director at a mid-size consumer goods company in Charlotte, North Carolina, earning \$125,000 per year. He has a brokerage account with Ridgeline Securities containing approximately \$390,000, a 401(k) with \$210,000, and a savings account with \$45,000. He is married with two children, ages 10 and 13. Daniel's account documents from his 2021 account opening list his risk tolerance as "moderate," his investment objective as "growth," and his investment experience as "limited -- stocks and mutual funds only." He has no prior options trading experience. His account was previously managed by another advisor at Ridgeline who had constructed a diversified portfolio of index ETFs and blue-chip dividend stocks. In January 2023, Daniel was reassigned to a new advisor, Patricia Huang, after his prior advisor left the firm. During their first meeting, Daniel mentioned he had heard colleagues at work talking about making money with options and asked Patricia what options were. Patricia explained the basics and then, over the following two months, recommended that Daniel apply for Level 4 options approval, which permits uncovered (naked) writing of puts and calls. Patricia assisted Daniel in completing the options application, and on the application, Daniel's investment experience was listed as "extensive -- 8+ years of options trading," his risk tolerance was changed to "aggressive/speculative," his liquid net worth was overstated at \$900,000, and his annual income was listed as \$200,000. The application was approved by Ridgeline's options principal in March 2023 without any follow-up with Daniel. Patricia then recommended a strategy of selling naked calls on volatile technology stocks, including positions in three mega-cap tech names during earnings season. Between March and August 2023, Daniel sold uncovered calls generating approximately \$38,000 in premiums. Patricia earned approximately \$14,500 in options commissions during this period. In September 2023, one of the underlying tech stocks surged 22% after an earnings surprise, and Daniel faced a margin call of \$187,000 on his naked call position. He was forced to liquidate a substantial portion of his diversified portfolio at unfavorable prices to cover the loss, ultimately losing approximately \$149,000 net of the premiums he had collected. Daniel's account value dropped from \$390,000 to approximately \$241,000. He had not understood the theoretically unlimited risk of naked call writing and stated he believed his maximum loss was limited to the premiums received.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Patricia Huang committed multiple serious violations involving unsuitable options recommendations, falsification of account documents, and failure to ensure the customer understood the risks.

**\*\*FINRA Rule 2360 (Options):\*\*** This rule governs options trading in customer accounts and requires that prior to approving options trading, the firm and its registered options principal must make a determination that options trading is appropriate for the customer based on the customer's actual financial situation, investment objectives, and experience. The options application contained materially false information: Daniel's options experience was fabricated (listed as 8+ years when he had none), his risk tolerance was changed from moderate to aggressive/speculative without any documented basis, his liquid net worth was overstated by more than double, and his income was inflated by \$75,000. Patricia either falsified this information or directed Daniel to provide inaccurate answers, both of which constitute serious violations.

The options principal who approved the application also failed in supervisory duties by not reconciling the options application with the existing account records that showed moderate risk tolerance and limited experience.

**\*\*FINRA Rule 2111 (Suitability):\*\*** Naked call writing is among the most speculative options strategies, carrying theoretically unlimited loss potential. This strategy is fundamentally unsuitable for a moderate-risk-tolerance investor with limited experience, a growth (not speculative) objective, family financial obligations, and no prior options knowledge. The customer-specific suitability obligation was clearly violated. Even if Daniel expressed casual curiosity about options, the advisor had an obligation to recommend only strategies consistent with his actual profile, which would have excluded uncovered writing entirely.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under Reg BI's Care Obligation, Patricia was required to exercise reasonable diligence, care, and skill, understand the potential risks and rewards of the recommended strategy, and have a reasonable basis to believe the recommendation was in Daniel's best interest based on his actual profile. Naked call writing for a client with no options experience and moderate risk tolerance fails this standard comprehensively. If Daniel was genuinely interested in options, Patricia should have considered alternatives such as covered calls or protective puts, which carry defined and limited risk.

**\*\*Reg BI -- Disclosure Obligation:\*\*** Daniel stated he believed his losses were capped at the premiums received, indicating Patricia failed to adequately explain the risk of naked call writing, where losses are theoretically unlimited on the upside.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** The falsification of the options application constitutes a violation of just and equitable principles of trade.

**\*\*FINRA Rule 3110 (Supervision):\*\*** The firm, Ridgeline Securities, failed in its supervisory obligations by having its options principal approve an application that was inconsistent with existing account records.

**\*\*Likely Regulatory Outcome:\*\*** Patricia Huang would likely face a FINRA enforcement action resulting in a bar or lengthy suspension, disgorgement of commissions (\$14,500), and restitution to the customer. The falsification of the options application is an independently sanctionable offense that often results in a bar. Ridgeline Securities would likely face supervisory failure charges, fines, and an obligation to pay restitution. The customer sustained \$149,000 in net losses directly attributable to a strategy that should never have been recommended or approved for his account. In arbitration, the customer would have strong claims for compensatory damages and potentially punitive damages given the falsification of records.

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**Item 160 of 499****NON-COMPLIANT****Topic:** options\_unsuitable**Difficulty:** medium**Fact Pattern**

Margaret Holloway, age 71, is a retired schoolteacher living in Tucson, Arizona. She receives \$2,400 per month in pension income and \$1,850 per month in Social Security benefits. Her total liquid savings amount to \$310,000, which she accumulated over 35 years of careful saving and represents virtually all of her financial resources aside from her modest home valued at \$185,000. On her new account form completed in March 2023, she indicated her investment objective as 'capital preservation and income,' her risk tolerance as 'conservative,' her investment time horizon as '5-10 years,' and her prior investment experience as limited to certificates of deposit and a single balanced mutual fund held through her pension plan. She has no experience whatsoever with options, futures, or other derivatives. Her financial advisor, Derek Rinaldi, had recently attended an internal training seminar on options strategies and was offered a \$7,500 quarterly production bonus for generating options commissions exceeding \$15,000 per quarter. In April 2023, Rinaldi called Margaret and told her that he had an 'income enhancement strategy' that would 'safely boost her monthly cash flow by 20% or more.' Over the next four months, Rinaldi executed 47 covered call and naked put writing transactions across Margaret's account, concentrating approximately 85% of her portfolio in technology sector equities to serve as underlying positions for the options. The options trading generated \$18,200 in commissions for Rinaldi in the first quarter alone. By November 2023, a sharp decline in technology stocks caused Margaret's portfolio to lose \$94,000 in value -- roughly 30% of her life savings. Several of the naked put positions were assigned, forcing her to purchase shares at prices well above market value. Margaret only discovered the extent of the losses when she received her year-end statement and called to ask why her balance had dropped so dramatically. She had not understood the risks of naked put writing and believed her advisor was executing a conservative income strategy.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Rinaldi committed multiple serious violations of applicable standards.

**\*\*FINRA Suitability (Rule 2111):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis for believing a recommendation is suitable for a customer based on the customer's investment profile. There are three components -- reasonable-basis suitability, customer-specific suitability, and quantitative suitability. All three were violated here.

- **\*\*Customer-Specific Suitability:\*\*** Margaret's documented profile -- age 71, conservative risk tolerance, capital preservation objective, limited investment experience confined to CDs and a balanced fund, and total dependence on her \$310,000 in savings -- is fundamentally incompatible with naked put writing and concentrated technology sector equity positions. Naked puts carry theoretically substantial downside risk, requiring significant risk tolerance and sophistication to manage properly. Recommending this strategy to a 71-year-old conservative retiree with no options experience is a textbook customer-specific suitability violation.

- **\*\*Reasonable-Basis Suitability:\*\*** Naked put writing on concentrated technology positions is an aggressive strategy that even sophisticated investors may find unsuitable. The advisor cannot demonstrate a reasonable basis for believing

this strategy was appropriate for any conservative, income-oriented retiree.

- **Quantitative Suitability:** The 47 transactions in four months, generating \$18,200 in commissions on a \$310,000 account, suggests excessive trading. The annualized commission-to-equity ratio and turnover rate would likely indicate churning.

**Regulation Best Interest (Reg BI):** Under the Care Obligation of Reg BI, Rinaldi was required to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs. He was also required to have no financial interest that placed his interest ahead of the customer's. The \$7,500 quarterly bonus for exceeding \$15,000 in options commissions created a material conflict of interest that drove the recommendations, violating the Conflict of Interest Obligation. The Disclosure Obligation was also likely violated, as there is no indication Margaret was informed of this incentive compensation arrangement.

**FINRA Options Rules (Rule 2360):** Options accounts require specific approval based on customer suitability, and naked put writing is typically reserved for the highest approval levels, requiring significant experience, net worth, and risk tolerance. Approving Margaret for naked put writing was inappropriate given her profile.

**Additional Concerns:** The concentration of 85% of assets in a single sector (technology) for a conservative retiree further compounds the unsuitability. Rinaldi's characterization of the strategy as one that would 'safely boost' income was materially misleading.

**Likely Regulatory Outcome:** Rinaldi faces potential FINRA enforcement action including fines, disgorgement of commissions, suspension or bar from the industry, and restitution to Margaret. The firm may also face supervisory failure charges for inadequate review of options activity in a clearly unsuitable account. Margaret would have strong grounds for a FINRA arbitration claim seeking full compensatory damages of at least \$94,000 plus commissions paid.

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## Item 161 of 499

### NON-COMPLIANT

**Topic:** annuity\_unnecessary\_switching

**Difficulty:** hard

### Fact Pattern

Ronald and Patricia Vega, ages 64 and 62 respectively, are a married couple in Charlotte, North Carolina, planning to retire within 18 months. Ronald earns \$95,000 annually as a logistics manager, and Patricia earns \$52,000 as a dental hygienist. Their combined retirement savings total approximately \$780,000, of which \$480,000 is held in a variable annuity issued by Pacific Heritage Life Insurance Company that they purchased in 2017. That annuity carried a guaranteed minimum income benefit (GMIB) rider with a 5.5% annual rollup rate on an income base that had grown to \$612,000 by January 2024. The surrender charge period on the Pacific Heritage annuity had fully expired by December 2023, meaning they could withdraw or exchange the full account value without penalty. In February 2024, their financial advisor, Christine Dao, recommended that they surrender the Pacific Heritage variable annuity and use the \$480,000 in proceeds to purchase a new variable annuity issued by Continental Assurance Group. The new Continental annuity came with a 7-year declining surrender charge schedule starting at 7%, an annual mortality and expense charge of 1.45% (compared to 1.15% on the old annuity), and an optional GMIB rider with only a 4.0% annual rollup rate on the income base -- materially lower than the 5.5% rollup they already had. The new annuity also carried a rider fee of 1.25% annually versus 0.95% on the existing product. Christine told the Vegas that the new annuity offered 'better fund options and a stronger insurance company,' but did not provide them with a written comparison of the two products' costs, surrender schedules, or income benefit features. She also did not disclose that she would earn a 6.5% commission (\$31,200) on the new annuity sale, compared to receiving no ongoing compensation from the existing Pacific Heritage product, which had been sold to them by a prior advisor at another firm. The Vegas signed the paperwork believing they were upgrading their retirement plan. Six months later, when Ronald consulted an independent fee-only planner in preparation for retirement, the planner identified that the switch had cost the Vegas an estimated \$132,000 in projected lifetime income due to the lower rollup rate, higher fees, and new surrender charges that would restrict access to their funds during the critical first years of retirement.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Christine Dao committed serious violations across multiple regulatory frameworks through this annuity replacement transaction.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Reg BI requires that when recommending a securities transaction, the broker must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs, and must have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. Here, every material metric of the new annuity was inferior to the existing product: the GMIB rollup rate dropped from 5.5% to 4.0%, the M&E charge increased by 30 basis points (from 1.15% to 1.45%), the rider fee increased by 30 basis points (from 0.95% to 1.25%), and a new 7-year surrender charge schedule was imposed on a couple planning to retire within 18 months and potentially needing liquidity. The claimed benefit of 'better fund options and a stronger insurance company' was vague and unsupported, and does not justify the quantifiable losses. No reasonable advisor exercising proper care could conclude this switch was in the Vegas' best interest.

**\*\*Reg BI -- Conflict of Interest Obligation:\*\*** Christine earned a \$31,200 commission on the new sale while receiving no compensation from the existing product. This financial incentive to recommend the switch is precisely the type of conflict Reg BI requires firms to identify, disclose, and mitigate. There is no evidence Christine disclosed this conflict or that the firm had policies to mitigate the incentive to churn annuities.

**\*\*Reg BI -- Disclosure Obligation:\*\*** Christine failed to provide a written comparison of the two products and did not disclose her commission. Reg BI requires disclosure of material facts about the scope and terms of the relationship, including conflicts of interest.

**\*\*FINRA Rule 2111 (Suitability):\*\*** The recommendation to switch annuities was quantitatively unsuitable. The Vegas were 18 months from retirement and needed reliable income and liquidity. Imposing a new 7-year surrender schedule and accepting a materially lower guaranteed income benefit is inconsistent with their stated objectives and time horizon.

**\*\*FINRA Rule 2330 (Variable Annuity Suitability):\*\*** This rule specifically governs variable annuity recommendations and exchanges. It requires that before recommending an exchange, the registered representative must consider whether the customer would be subject to a new surrender period, whether the customer would lose existing benefits (such as the superior GMIB rider), and whether the customer would incur increased fees. A principal must also review and approve the exchange. Christine's recommendation fails every prong of the Rule 2330 analysis: the Vegas gained a new surrender period, lost a superior GMIB rider (5.5% vs. 4.0% rollup), and took on higher annual costs across the board.

**\*\*State Insurance Replacement Regulations:\*\*** Most states, including North Carolina, have annuity replacement regulations modeled after NAIC standards requiring insurers and producers to provide comparative information to consumers and to determine that the replacement is suitable. The failure to provide any written comparison of costs, benefits, and surrender terms is a likely violation of applicable state insurance suitability and replacement requirements.

**\*\*Likely Regulatory Outcome:\*\*** Christine Dao faces potential FINRA enforcement for unsuitable annuity switching under Rules 2111 and 2330, as well as potential Reg BI violations. Penalties could include fines, disgorgement of the \$31,200 commission, suspension, and restitution. The firm faces supervisory failure charges if a principal approved this exchange without adequate review. The Vegas would have strong arbitration claims for the estimated \$132,000 in projected lifetime income losses, plus the higher fees incurred and any consequential damages from restricted liquidity during the surrender period. State insurance regulators could also take action against Christine's insurance license.

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## Item 162 of 499

### NON-COMPLIANT

**Topic:** private\_placements\_unsuitable

**Difficulty:** medium

### Fact Pattern

Margaret Dawson, age 58, is a recently divorced elementary school teacher in Knoxville, Tennessee, earning \$52,000 per year. Following her divorce settlement in March 2022, she received \$310,000 in liquid assets, which represented essentially all of her savings outside of a small state pension. During her initial meeting with financial advisor Craig Linden at a mid-size brokerage firm, Margaret explained that she needed to purchase a new home within 18 months and estimated she would need at least \$240,000 of her funds available for a down payment and closing costs. She described herself as conservative and said she could not afford to lose any significant portion of the money. Her new account documents listed her risk tolerance as 'low,' her investment objective as 'capital preservation,' her time horizon as 'short-term (1-2 years),' and her liquid net worth as \$310,000. Despite this profile, Craig recommended that Margaret invest \$185,000 -- roughly 60% of her total liquid assets -- into two non-traded real estate investment trusts: \$100,000 into the Patriot Healthcare REIT III and \$85,000 into the Valor Industrial REIT II. Both products carried upfront commissions of 7%, had no secondary market for trading, and included mandatory minimum holding periods of five to seven years before any potential redemption at the fund's discretion. Craig earned approximately \$12,950 in commissions from these two transactions. He told Margaret the REITs would provide 'steady income like a savings account' and that she could 'get her money back whenever she needed it.' By September 2023, when Margaret attempted to liquidate her positions to proceed with her home purchase, she was informed that neither REIT was offering early redemptions. Her \$185,000 was effectively locked up. She was forced to delay her home purchase and ultimately lost the property she had been planning to buy. As of early 2024, the Patriot Healthcare REIT III had suspended its distributions entirely, and the Valor Industrial REIT II had reduced its estimated per-share value by 22%.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Craig Linden violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, risk tolerance, and other relevant information. This rule encompasses three obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Additionally, under Regulation Best Interest (Reg BI) -- which applies to broker-dealer recommendations to retail customers -- Craig was obligated to act in Margaret's best interest at the time of the recommendation without placing his own financial interest ahead of the customer's. Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation.



**\*\*Analysis of Violations:\*\***

1. **\*\*Customer-Specific Suitability (FINRA Rule 2111.05):\*\*** Margaret's documented investment profile -- low risk tolerance, capital preservation objective, short-term time horizon of 1-2 years, and an explicit liquidity need of \$240,000 within 18 months -- was fundamentally incompatible with non-traded REITs. These products are inherently illiquid, carry long lock-up periods (5-7 years), and involve significant risk of principal loss. Placing 60% of her total liquid assets into products she could not access for years directly contradicted her stated needs.
2. **\*\*Reasonable-Basis Suitability:\*\*** No reasonable advisor could conclude that non-traded REITs with 5-7 year lock-up periods were appropriate for a client who needed most of her money within 18 months.
3. **\*\*Reg BI Care Obligation:\*\*** The recommendation failed the care obligation because Craig did not exercise reasonable diligence in considering the product's illiquidity against Margaret's documented needs. The high upfront commissions (\$12,950) suggest Craig's own financial interest may have driven the recommendation, violating the conflict-of-interest component of Reg BI.
4. **\*\*Reg BI Disclosure Obligation:\*\*** Craig affirmatively misrepresented the products by comparing them to a savings account and stating Margaret could retrieve her money whenever needed. Non-traded REITs bear no resemblance to savings accounts in terms of liquidity or risk. These misrepresentations also implicate FINRA Rule 2020 (prohibiting manipulative, deceptive, or fraudulent conduct) and potentially FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade).
5. **\*\*Concentration Risk:\*\*** Investing 60% of a conservative client's total liquid assets into a single asset class (non-traded REITs) with the same illiquidity profile represents an unreasonable concentration, further compounding the suitability failure.

**\*\*Likely Regulatory Outcome:\*\*** This case presents clear-cut violations that would likely result in FINRA enforcement action, including monetary fines, disgorgement of commissions, restitution to the customer, and a potential suspension or bar for the advisor. In a FINRA arbitration claim, Margaret would have a strong case for full compensatory damages including the locked-up principal, lost appreciation on the home, and consequential damages related to the delayed purchase.

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## Item 163 of 499

### NON-COMPLIANT

**Topic:** lack\_of\_diversification

**Difficulty:** hard

### Fact Pattern

Harold and Sylvia Bergman, ages 79 and 76 respectively, are retired and living in Sun City, Arizona. Harold is a former postal worker and Sylvia is a former administrative assistant. Their combined income consists of \$3,200 per month in Social Security and \$1,100 per month from Harold's federal pension, totaling approximately \$51,600 annually. They have no other income sources. In January 2023, they rolled over Harold's federal Thrift Savings Plan -- valued at \$415,000 -- into an IRA at the recommendation of their new broker, Dennis Yeung, at a national wirehouse. Their account opening documents stated their combined liquid net worth was \$440,000 (the IRA plus \$25,000 in a checking account), their risk tolerance was 'moderate,' their investment experience was 'limited,' and their objectives were 'income and capital preservation.' The Bergmans told Dennis they relied on portfolio withdrawals of approximately \$1,500 per month to supplement their fixed income and cover medical expenses, as Sylvia was being treated for early-stage Parkinson's disease. Over the following three months, Dennis constructed a portfolio consisting almost entirely of leveraged and inverse exchange-traded funds. Specifically, he invested \$140,000 in ProShares UltraPro QQQ (TQQQ, a 3x leveraged Nasdaq-100 ETF), \$120,000 in Direxion Daily Semiconductor Bull 3X Shares (SOXL), \$85,000 in ProShares Ultra S&P500 (SSO, a 2x leveraged S&P 500 ETF), and \$50,000 in ProShares UltraShort 20+ Year Treasury (TBT, a 2x inverse Treasury bond ETF). The remaining \$20,000 was left in a money market fund. Thus, approximately 95% of the Bergmans' retirement portfolio was allocated to leveraged or inverse ETFs, all concentrated in equity or rate-sensitive strategies. Dennis did not explain the daily rebalancing mechanism of leveraged ETFs, nor did he mention that these products are designed for short-term tactical trading and can deviate significantly from their benchmark over holding periods longer than one day. The Bergmans held these positions for approximately nine months. During a period of market volatility from mid-2023 into early 2024, the compounding and decay effects of the leveraged products caused devastating losses. By October 2023, the portfolio had declined to approximately \$267,000 -- a loss of roughly \$148,000 or 35.7% -- even though the underlying indices had not declined by anywhere near that magnitude over the same period. The Bergmans, who had continued their \$1,500 monthly withdrawals, discovered the losses when they received their quarterly statement and immediately complained to the branch manager. Dennis had earned approximately \$6,800 in commissions and ongoing trail fees from the leveraged ETF positions.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Dennis Yeung committed severe violations of both suitability requirements and best interest obligations across multiple dimensions.

**\*\*Applicable Standards:\*\***

FINRA Rule 2111 (Suitability) requires that a broker have a reasonable basis for believing a recommendation is suitable based on the customer's investment profile. FINRA Regulatory Notice 09-31 specifically addresses leveraged and inverse ETFs, warning that these products are generally unsuitable for retail investors who plan to hold them for longer than one trading session due to the effects of daily compounding and rebalancing. Under Regulation Best Interest (Reg BI), Dennis owed the Bergmans obligations of disclosure, care, conflict of interest mitigation, and compliance. The Care

Obligation under Reg BI requires the broker to understand the risks and characteristics of the products recommended and to have a reasonable basis to believe the recommendation is in the retail customer's best interest.

**\*\*Analysis of Violations:\*\***

1. **\*\*Reasonable-Basis Suitability Failure (FINRA Rule 2111):\*\*** Leveraged and inverse ETFs are complex derivatives-based products designed for sophisticated, short-term traders. FINRA has repeatedly emphasized that these products are typically unsuitable for buy-and-hold investors. Dennis either failed to understand how daily rebalancing decay works -- making him unable to form a reasonable basis for the recommendation -- or he understood and recommended them anyway, which is equally violative.
2. **\*\*Customer-Specific Suitability Failure:\*\*** The Bergmans were elderly retirees (ages 79 and 76) with limited investment experience, moderate risk tolerance, income and capital preservation objectives, ongoing medical expenses, and a critical need for regular monthly withdrawals. Their profile is diametrically opposed to the risk characteristics of 2x and 3x leveraged ETFs. Allocating 95% of a retired couple's life savings to these instruments is indefensible under any suitability analysis.
3. **\*\*Lack of Diversification:\*\*** Even setting aside the leveraged nature of the products, the portfolio was heavily concentrated in technology-sector exposure (TQQQ and SOXL together represented approximately 63% of the portfolio) and contained virtually no fixed-income, dividend-paying, or defensive allocations appropriate for retirees needing income. This concentration violates customer-specific suitability under FINRA Rule 2111.
4. **\*\*Reg BI Care Obligation Violation:\*\*** Dennis failed to exercise reasonable diligence, care, and skill. A competent advisor would recognize that leveraged ETFs in a retirement account for elderly, income-dependent clients with medical needs is grossly inappropriate. The recommendation prioritized commission generation over the Bergmans' financial welfare.
5. **\*\*Reg BI Disclosure Obligation Violation:\*\*** Dennis failed to explain the daily rebalancing mechanism, the compounding decay effect, or the short-term tactical nature of these products. This omission deprived the Bergmans of material information necessary to make an informed investment decision.
6. **\*\*Holding Period Failure:\*\*** Even if one could argue leveraged ETFs might be suitable for short-term tactical trades in certain contexts, Dennis allowed the Bergmans to hold these positions for nine months without any rebalancing, monitoring, or exit strategy. This constitutes a failure of ongoing care and monitoring obligations.
7. **\*\*Potential FINRA Rule 2010 (Standards of Commercial Honor) and Rule 2020 (Fraud) Implications:\*\*** The omission of material product characteristics -- particularly the compounding decay mechanism -- when recommending complex products to unsophisticated elderly clients could rise to the level of fraudulent or deceptive conduct.

**\*\*Likely Regulatory Outcome:\*\*** This case involves multiple, overlapping violations of serious magnitude. In FINRA arbitration, the Bergmans would likely recover compensatory damages representing the difference between their portfolio's performance and what a suitably invested portfolio would have returned, plus potentially punitive damages given the egregiousness of the conduct. In a FINRA enforcement action, Dennis would likely face a substantial fine, disgorgement of all commissions earned, a lengthy suspension or permanent bar from the industry, and the firm could face supervisory failure charges under FINRA Rule 3110 for failing to detect and prevent such blatantly unsuitable recommendations in a retirement account for elderly clients.

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**Item 164 of 499****NON-COMPLIANT****Topic:** illiquid\_investments**Difficulty:** hard**Fact Pattern**

Margaret Chen, age 74, is a retired elementary school teacher living in Portland, Oregon, with an annual pension income of \$42,000 and Social Security benefits of \$22,800. Her total liquid savings amount to approximately \$385,000, held primarily in a traditional IRA that she began drawing required minimum distributions from at age 72. Margaret has moderate hypertension managed by medication and has expressed concern about potential long-term care costs, stating she wants to keep her money 'safe and accessible' in case she needs assisted living in the next few years. She described her risk tolerance as conservative on her new account form and listed her investment objectives as capital preservation and income. Her prior investment experience consisted entirely of certificates of deposit, money market accounts, and a small allocation to a bond index fund. In March 2023, her financial advisor, David Kowalski, recommended she invest \$230,000 -- roughly 60% of her liquid net worth -- into three non-traded real estate investment trusts (REITs). The first was a hospitality-focused non-traded REIT requiring a minimum seven-year hold period, into which \$90,000 was placed. The second was a healthcare real estate non-traded REIT with a six-year hold period, receiving \$75,000. The third was a data center development non-traded REIT with an eight-year minimum hold period, receiving \$65,000. The combined upfront commissions and fees on these investments totaled approximately \$16,100 (a blended rate of roughly 7%). David told Margaret that these investments would provide 'steady monthly distributions like rent checks' and were 'basically like owning real estate without the hassle.' He did not discuss the illiquidity features in detail, the lack of a secondary market, or the possibility that distributions could be funded by return of capital rather than actual earnings. Within 14 months, the hospitality REIT suspended its distribution payments due to declining occupancy rates, and Margaret's account statements showed an estimated per-share value decline of 18% across the three holdings. When Margaret requested a partial redemption of \$50,000 to cover an unexpected home modification for accessibility purposes, she was informed that early redemption was not available for any of the three products, and the limited share repurchase programs for two of the REITs had been suspended. Margaret filed a complaint with her advisor's firm in June 2024.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

David Kowalski almost certainly violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. The rule encompasses reasonable-basis suitability (understanding the product), customer-specific suitability (matching product to customer), and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Under the SEC's Regulation Best Interest, a broker-dealer must act in the best

interest of the retail customer at the time of the recommendation without placing its own financial interest ahead of the customer's. The Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The Disclosure Obligation requires full and fair disclosure of material facts, including conflicts of interest.

3. **FINRA Regulatory Notices on Non-Traded REITs:** FINRA has issued specific guidance (including Regulatory Notice 15-02) addressing concentration limits and suitability concerns for illiquid investments like non-traded REITs. Many states impose concentration limits (often 10% of liquid net worth for non-traded REITs, or similar thresholds).

**Analysis of Violations:**

- **Customer-Specific Suitability Failure:** Margaret was a 74-year-old retiree with conservative risk tolerance, capital preservation and income objectives, limited investment experience, and explicitly stated liquidity needs related to potential long-term care. Allocating 60% of her liquid net worth to illiquid products with 6-8 year hold periods directly contradicts every dimension of her investment profile. Her time horizon and liquidity needs were fundamentally incompatible with non-traded REITs.

- **Excessive Concentration:** A 60% allocation to non-traded REITs vastly exceeds both industry norms and many state suitability thresholds for illiquid alternative investments. Even aggressive concentration guidelines typically cap non-traded REIT exposure at 10-15% of liquid net worth.

- **Disclosure Failures:** Kowalski's characterization of non-traded REITs as providing distributions 'like rent checks' and being 'basically like owning real estate without the hassle' materially misrepresented the products' risk characteristics. He failed to adequately disclose the illiquidity risk, the absence of a secondary market, the possibility that distributions could consist of return of capital (thereby eroding principal), the high upfront fee load of approximately 7%, and the suspension risk for share repurchase programs.

- **Conflict of Interest:** The \$16,100 in upfront commissions created a significant financial incentive for Kowalski to recommend these products over lower-cost, more liquid alternatives (such as publicly traded REIT ETFs or investment-grade bond funds) that would have been far more appropriate for Margaret's profile. Under Reg BI's Conflict of Interest Obligation, this conflict should have been mitigated or eliminated.

- **Reasonable-Basis Suitability:** Given the concentration in a single illiquid asset class (real estate) without meaningful diversification across other asset types, and the high fee drag, Kowalski failed to demonstrate a reasonable basis for believing this strategy was appropriate for any conservative, income-oriented retiree with near-term liquidity needs.

**Likely Regulatory Outcome:**

This case presents a strong enforcement matter. Margaret would likely prevail in a FINRA arbitration claim. Expected remedies could include full compensatory damages (the difference between what she invested and the current value of her holdings, plus the upfront fees), consequential damages related to her inability to access funds for home modifications, and potentially attorneys' fees. Kowalski and his firm could face FINRA disciplinary action including fines, suspensions, or a bar from the industry, particularly given the egregiousness of the concentration level and the vulnerability of the customer. State securities regulators could also pursue action based on violations of state suitability standards for non-traded REITs.

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**Item 165 of 499****NON-COMPLIANT****Topic:** excessive\_churning**Difficulty:** medium**Fact Pattern**

Robert Dawson, age 52, is a mid-level logistics manager in Charlotte, North Carolina, earning \$95,000 annually. He opened a brokerage account in January 2022 with an initial deposit of \$175,000, representing the proceeds from an inheritance. Robert indicated on his account application that his investment objectives were long-term growth, his risk tolerance was moderate, and his investment time horizon was 10-15 years as he planned to use the funds for retirement. He had limited prior investing experience, having only held a 401(k) with target-date funds. His broker, Amanda Voss, was granted discretionary authority over the account. Between January 2022 and December 2023, Amanda executed 187 trades in the account, predominantly in mid-cap and large-cap equities. The account saw frequent buying and selling of the same or similar securities, with average holding periods of just 11 days. Over this 24-month period, the account generated \$62,400 in total commissions to Amanda and her firm. The account's turnover rate was calculated at approximately 14.2 times annually. The cost-to-equity ratio -- the annualized rate of return the account would need to generate simply to cover trading costs -- was approximately 38.6%. Despite the S&P 500 gaining roughly 18% cumulatively over that same period, Robert's account showed a net loss of \$27,300 after all commissions and fees. Robert only became aware of the trading volume when he consulted a CPA for tax preparation in early 2024 and was shown the massive volume of short-term capital gains and losses. He had received monthly statements but admitted he did not review them in detail, trusting Amanda to manage the account in his interest. He subsequently filed a complaint.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Amanda Voss engaged in excessive trading (churning) in Robert Dawson's account, violating multiple regulatory standards.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability) -- Quantitative Suitability Component:\*\*** The quantitative suitability obligation under FINRA Rule 2111 specifically prohibits a broker from recommending a series of transactions that, even if individually suitable, are excessive in light of the customer's investment profile when taken together. This is the anti-churning prong of the suitability rule.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under Reg BI, a broker must exercise reasonable diligence, care, and skill in making recommendations, and must not place the broker's financial interest ahead of the customer's. A pattern of excessive trading that primarily generates commissions for the broker violates the Care Obligation.
3. **\*\*FINRA Rule 3110 (Supervision):\*\*** Amanda's firm had a duty to supervise her trading activity and detect patterns indicative of churning, particularly in a discretionary account.
4. **\*\*Exchange Act Section 10(b) and Rule 10b-5 (Fraud):\*\*** Churning in a discretionary account can also constitute

securities fraud, as it involves a scheme to defraud the customer by generating commissions through unnecessary trading.

**\*\*Elements of Churning Analysis:\*\***

Churning requires three elements: (1) the broker controlled the account, (2) trading was excessive in light of the customer's objectives, and (3) the broker acted with scienter (intent to defraud or reckless disregard).

- **\*\*Control:\*\*** Amanda had formal discretionary authority over the account, satisfying the control element definitively. Even absent formal discretion, Robert's limited experience and trust in Amanda would likely establish de facto control.

- **\*\*Excessive Trading:\*\*** The quantitative metrics here are overwhelming. A turnover rate of 14.2 is far above the threshold courts and regulators have historically used to establish a presumption of excessive trading; turnover rates above 4-6 are generally considered strong evidence of churning, and rates above 6 create a near-irrebuttable presumption. The cost-to-equity ratio of 38.6% means the account would have needed to earn nearly 39% annually just to break even after costs -- an unrealistic hurdle for any moderate-risk equity portfolio. The 187 trades in 24 months with an 11-day average holding period are wholly inconsistent with Robert's stated long-term growth objective and 10-15 year time horizon. The \$62,400 in commissions represents approximately 35.7% of the original account value over two years.

- **\*\*Scienter:\*\*** The magnitude of the trading activity, the consistent pattern of short-term round-trip transactions, and the fact that Amanda was the direct financial beneficiary of each trade (earning commissions) strongly support an inference of scienter. The dramatic underperformance versus the market (a net loss of \$27,300 versus an 18% market gain) further demonstrates that the trading was not motivated by any legitimate investment strategy.

**\*\*Robert's Failure to Review Statements:\*\***

Firms sometimes assert a defense that the customer ratified the trading by failing to object after receiving statements. However, this defense is generally weak, particularly where the broker had discretionary control and the customer lacked the sophistication to understand the implications of the trading volume reflected in monthly statements. FINRA arbitration panels have consistently rejected this defense under such circumstances.

**\*\*Likely Regulatory Outcome:\*\***

Robert has a very strong churning claim. In FINRA arbitration, he would likely recover compensatory damages, which could be calculated as either (a) the commissions generated (\$62,400), (b) a well-managed account measure (comparing his account performance to an appropriate benchmark portfolio), or (c) out-of-pocket losses (\$27,300 plus the opportunity cost of market gains he would have achieved). The well-managed account measure would likely yield the highest damages: the \$27,300 loss plus the approximately \$31,500 in gains a market-tracking portfolio would have produced, totaling roughly \$58,800 or more. Punitive damages may also be available given the egregious nature of the trading. Amanda Voss faces potential FINRA sanctions including fines, disgorgement of commissions, suspension, or a permanent industry bar. Her firm could face supervisory failure charges for failing to detect and halt the excessive trading pattern in a discretionary account over a two-year period.

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**Item 166 of 499****NON-COMPLIANT****Topic:** illiquid\_real\_estate\_investment**Difficulty:** medium**Fact Pattern**

Margaret Dolan, age 74, is a retired schoolteacher living in Columbus, Ohio, with a fixed annual income of \$38,000 from Social Security and a modest pension. Her total liquid savings amount to approximately \$210,000, held primarily in a money market account and a small portfolio of Treasury bonds. She has no other significant assets aside from her primary residence, which is fully paid off. Margaret described herself as conservative when completing her new account form in March 2023, stating that her primary investment objective was capital preservation and generating supplemental income to cover medical expenses and daily living costs. She told her financial advisor, Craig Webber, that she might need access to a significant portion of her savings within the next two to three years to fund potential assisted-living costs, as her doctor had recently discussed the progression of her early-stage dementia diagnosis. In April 2023, Webber recommended that Margaret invest \$145,000 -- roughly 69% of her liquid net worth -- into a non-traded real estate investment trust (REIT) focused on commercial office properties in secondary markets. The non-traded REIT carried a 7-year investment horizon before any anticipated liquidity event, a front-end load of 8.5%, and an annual management fee of 1.75%. Webber told Margaret the product would provide quarterly distributions of approximately 6% annually and described it as a 'safe, income-producing real estate investment similar to owning a rental property.' He did not discuss the lack of a secondary market for the shares, the possibility that distributions could be funded from return of capital rather than actual earnings, or the significant concentration this would create in her portfolio. Margaret signed the paperwork, and within 14 months, the REIT suspended its quarterly distributions due to declining commercial office occupancy rates. By early 2025, Margaret needed \$80,000 for an assisted-living facility deposit but could not access her investment. Her son filed a complaint on her behalf in February 2025, alleging that the recommendation was entirely inappropriate for his mother's circumstances.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Craig Webber violated applicable suitability and best interest standards in multiple respects. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for the customer based on that customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, investment objectives, and time horizon. Additionally, under Regulation Best Interest (Reg BI), adopted under the Securities Exchange Act of 1934, broker-dealers must act in the retail customer's best interest at the time of the recommendation without placing the broker's interests ahead of the customer's. Reg BI's Care Obligation requires consideration of the potential risks, rewards, and costs of the recommendation in light of the customer's profile.

Several violations are evident:

1. **\*\*Customer-Specific Suitability (FINRA Rule 2111.05):\*\*** Margaret was 74, had a conservative risk tolerance, a capital preservation objective, limited liquid assets of \$210,000, and an explicitly stated need for liquidity within 2-3 years for assisted-living expenses. A non-traded REIT with a 7-year lockup period is fundamentally incompatible with her liquidity needs and time horizon.



2. **Concentration:** Placing 69% of her liquid net worth in a single illiquid product is an excessive concentration that exposes a conservative retiree to undue risk. FINRA has frequently highlighted in Regulatory Notices (e.g., FINRA Regulatory Notice 09-09 and 12-03) that non-traded REITs require heightened scrutiny regarding concentration limits, and many firms impose internal limits of 10-15% of liquid net worth for such products.

3. **Disclosure and Care Obligation under Reg BI:** Webber failed to disclose material characteristics of the product, including the absence of a secondary market, the risk that distributions could be sourced from return of capital, and the illiquid nature of the investment. Describing a non-traded REIT as 'safe' and 'similar to owning a rental property' is misleading. The Reg BI Disclosure Obligation requires full and fair disclosure of material facts about the recommendation.

4. **Reasonable-Basis Suitability:** Even setting aside Margaret's specific profile, commercial office REITs in secondary markets carry meaningful risk given remote-work trends. A reasonable diligence inquiry should have raised concerns about the sustainability of the 6% distribution.

5. **Quantitative Suitability:** The 8.5% front-end load immediately reduced Margaret's invested principal by approximately \$12,325, a significant drag on a conservative retiree's limited savings.

The likely regulatory outcome would include FINRA enforcement action or an arbitration award in Margaret's favor. Remedies could include full restitution of the invested amount plus interest, disgorgement of commissions earned by Webber, supervisory fines against the firm for failure to supervise under FINRA Rule 3110, and potential suspension or bar of Webber from the securities industry.

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**Item 167 of 499****COMPLIANT****Topic:** bond\_duration\_mismatch**Difficulty:** hard**Fact Pattern**

David and Christine Alvarez, ages 42 and 40 respectively, are dual-income professionals in Seattle, Washington, with a combined annual household income of \$340,000. David is a software engineering manager and Christine is a physician's assistant. Their total investable assets are approximately \$1.8 million, spread across taxable brokerage accounts, 401(k) plans, and Roth IRAs. They completed a comprehensive financial plan with their financial advisor, Nora Kim, in January 2024. Their stated investment objectives were long-term growth and retirement planning, with a target retirement age of 60 for both. They described their risk tolerance as moderate-to-aggressive, noting they had weathered the 2020 and 2022 market downturns without making panic-driven changes to their portfolios. They explicitly stated they had no need for income from their investment portfolio for at least 18 years and wanted to maximize total return over that period. After conducting a thorough review of their existing allocations, Nora recommended reallocating the fixed-income portion of their portfolio -- approximately \$360,000, representing 20% of total assets -- from a mix of short-term Treasury bills and a money market fund into a diversified portfolio of long-duration bonds, including a long-term Treasury bond ETF (average duration of 17 years), an investment-grade corporate bond ETF with a duration of approximately 12 years, and a smaller allocation to TIPS with a duration of roughly 8 years. Nora explained in writing and during their meeting that longer-duration bonds carry greater interest rate sensitivity and could experience significant short-term price volatility -- she specifically illustrated that a 1% rise in interest rates could cause an approximate 17% decline in the long-Treasury ETF. She discussed the rationale: with rates elevated in early 2024, locking in higher yields over a long horizon aligned with their 18+ year time frame, and the potential for capital appreciation if rates declined. She also noted that the bond allocation served as a diversifier against their equity-heavy portfolio rather than as a near-term income source. The total expense ratio across the bond ETFs averaged 0.08%. David and Christine reviewed the written analysis, asked several follow-up questions over the following week, and confirmed their agreement to proceed. As of early 2025, interest rates remained elevated, and the long-duration bond positions had experienced paper losses of approximately 6-8%, but the Alvarazes understood this was within the range of outcomes Nora had described and remained comfortable with the strategy.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Nora Kim did not violate applicable suitability or best interest standards. Her recommendation was well-suited to the Alvarazes' investment profile and was made with appropriate care, disclosure, and documentation.

Under FINRA Rule 2111 (Suitability), a recommendation must be suitable at three levels: reasonable-basis suitability (the product itself must be understood and appropriate for at least some investors), customer-specific suitability (the recommendation must fit the particular customer's profile), and quantitative suitability (the overall pattern of transactions must not be excessive). Under Regulation Best Interest (Reg BI), the Care Obligation requires that the broker exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile including time horizon, risk tolerance, liquidity needs, and financial goals.

Analysis of compliance:

1. **\*\*Customer-Specific Suitability:\*\*** The Alvarizes are relatively young (40 and 42), high-income, with \$1.8 million in investable assets, a moderate-to-aggressive risk tolerance, an 18+ year time horizon before needing to draw on these funds, and no near-term liquidity requirements from the bond portfolio. Long-duration bonds are appropriate for investors with extended time horizons who can tolerate interim price volatility. The duration of the bonds (8-17 years) is within the range of their investment horizon (18+ years), meaning there is no fundamental duration mismatch -- the bonds' durations are shorter than or comparable to the investment horizon.
2. **\*\*Reasonable-Basis Suitability:\*\*** Nora conducted proper diligence on the products recommended. The ETFs are diversified, investment-grade, highly liquid, and carry minimal expense ratios (0.08% average). These are well-understood, mainstream fixed-income instruments.
3. **\*\*Concentration and Diversification:\*\*** The bond allocation represented only 20% of total assets, and within that allocation, Nora diversified across three distinct sectors (Treasuries, investment-grade corporates, and TIPS), reducing issuer-specific and sector-specific risk.
4. **\*\*Reg BI Care Obligation:\*\*** Nora considered the costs (very low), the risks (clearly communicated interest rate sensitivity with specific numerical illustrations), the rewards (locking in elevated yields over a long horizon with capital appreciation potential), and reasonable alternatives. She documented her analysis and rationale in writing.
5. **\*\*Reg BI Disclosure Obligation:\*\*** Nora provided clear, written disclosure of the material risks of long-duration bonds, including a specific illustration of the potential price impact of a 1% interest rate increase. The clients had adequate time to review, asked follow-up questions, and confirmed their understanding before proceeding.
6. **\*\*No Conflict of Interest Concerns:\*\*** The use of low-cost ETFs suggests Nora was not driven by commission incentives, and there is no indication she placed her interests ahead of the clients'.

The fact that the positions have experienced 6-8% paper losses does not indicate a violation -- suitability and best interest are evaluated at the time of the recommendation, not based on subsequent market performance. Nora appropriately warned of this possibility, and the clients accepted it. A regulator reviewing this recommendation would likely find it well-documented, thoroughly analyzed, and consistent with the clients' stated objectives, risk tolerance, and time horizon. No enforcement action would be warranted.

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**Item 168 of 499****NON-COMPLIANT****Topic:** crypto\_assets\_unsuitable**Difficulty:** easy**Fact Pattern**

Margaret Kowalski, age 74, is a retired schoolteacher living in Toledo, Ohio. She has a fixed income of \$2,800 per month from Social Security and a small pension. Her total liquid savings amount to \$185,000, held in a brokerage account that she opened in 2016. She has no other significant assets aside from her home, which is paid off. Her account opening documents list her risk tolerance as 'conservative,' her investment objective as 'capital preservation and income,' and her investment experience as 'limited -- primarily CDs and savings bonds.' In March 2024, her financial advisor, Daniel Reeves, age 38, recommended that Mrs. Kowalski move \$92,500 -- exactly half of her liquid savings -- into a portfolio of cryptocurrency assets, including Bitcoin, Ethereum, Solana, and several smaller-cap tokens such as Avalanche, Chainlink, and Polygon. Reeves told her that crypto was 'the future of money' and that these assets would 'easily double within a year.' He did not discuss the extreme volatility of cryptocurrency markets, the possibility of total loss on smaller-cap tokens, the lack of traditional investor protections, or the fact that these assets generate no income. Mrs. Kowalski signed the paperwork based on Reeves's recommendation. By August 2024, the portfolio had declined approximately 41%, losing roughly \$37,925. Mrs. Kowalski was unable to cover unexpected medical bills and had to sell the remaining crypto holdings at a significant loss to access cash. She filed a complaint in September 2024.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Daniel Reeves clearly violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and experience.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under Reg BI, a broker-dealer must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. The recommendation must be in the customer's best interest and must not place the financial interest of the broker-dealer ahead of the customer's interest. The advisor must consider reasonably available alternatives.
3. **\*\*Reg BI -- Disclosure Obligation:\*\*** The advisor must provide full and fair disclosure of all material facts relating to the recommendation, including risks and costs.

**\*\*Analysis of Violations:\*\***

- **\*\*Customer-Specific Suitability (FINRA Rule 2111.05):\*\*** Mrs. Kowalski is a 74-year-old retiree on a fixed income with limited investment experience, conservative risk tolerance, and capital preservation objectives. Cryptocurrency assets

are among the most volatile and speculative investment categories. Allocating 50% of her entire liquid net worth to crypto is grossly inconsistent with her stated profile. Crypto generates no income, directly contradicting her income objective.

- **Reasonable-Basis Suitability:** No reasonable advisor could conclude that placing half of a conservative elderly retiree's savings into highly speculative crypto assets -- including small-cap altcoins -- would be suitable for any investor matching Mrs. Kowalski's profile.

- **Quantitative Suitability / Concentration Risk:** A 50% allocation to a single speculative asset class represents extreme and unsuitable concentration, especially for a client with no other liquid resources.

- **Reg BI Care Obligation Violation:** Reeves failed to exercise reasonable diligence and care. He did not consider the client's liquidity needs, did not consider reasonably available alternatives (e.g., Treasury bonds, conservative balanced funds), and the recommendation was clearly not in the customer's best interest.

- **Reg BI Disclosure Violation:** Reeves failed to disclose material risks including extreme volatility, potential for total loss on altcoins, and absence of income generation. His statement that the assets would 'easily double within a year' constitutes a misleading projection.

- **FINRA Rule 2210 (Communications with the Public):** Promising that assets will 'easily double' constitutes a prohibited guarantee or prediction of specific investment results.

**Likely Regulatory Outcome:** Reeves would likely face FINRA disciplinary action including fines, suspension or bar, and an order to pay restitution. The firm would also face supervisory failure charges. Mrs. Kowalski would likely recover her losses through FINRA arbitration. The egregiousness of the unsuitability -- a 74-year-old conservative retiree losing nearly \$38,000 in speculative crypto -- makes this a straightforward enforcement case.

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## Item 169 of 499

### COMPLIANT

**Topic:** alternative\_investments\_unsuitable

**Difficulty:** hard

### Fact Pattern

Dr. Richard Anand, age 52, is a board-certified orthopedic surgeon earning approximately \$875,000 per year. He has a total investable portfolio of \$6.2 million spread across multiple accounts, including taxable brokerage accounts, IRAs, and a defined-benefit plan through his medical practice. He also owns two rental properties valued at approximately \$1.8 million combined. Dr. Anand has been investing actively for over 20 years, has previously invested in hedge funds and private equity vehicles, and describes his risk tolerance as 'aggressive' on his account documentation. His stated investment objectives are 'long-term growth and portfolio diversification.' He indicated on his investor questionnaire that he has a 15+ year time horizon before retirement, that he could tolerate a loss of up to 40% in any given year without it affecting his lifestyle, and that he understands illiquid investments may lock up capital for extended periods. In January 2024, his financial advisor, Sarah Whitfield, recommended that Dr. Anand allocate \$620,000 -- approximately 10% of his investable portfolio -- into a non-traded real estate investment trust (REIT) focused on commercial logistics and warehouse properties. The REIT had a minimum investment of \$50,000, an expected hold period of 7-10 years, a management fee of 1.5% annually, an upfront placement fee of 2%, and limited quarterly redemption provisions subject to board discretion. Whitfield provided Dr. Anand with the offering memorandum, a detailed fact sheet, and a separate risk disclosure document outlining illiquidity, lack of a public trading market, distribution uncertainty, leverage risks, potential conflicts of interest, and the possibility of loss of principal. She also discussed these risks verbally during a 90-minute meeting, which was documented in her CRM notes. Whitfield reviewed Dr. Anand's overall asset allocation and determined that he had no other non-traded REIT exposure and only 8% of his portfolio in illiquid alternatives prior to this recommendation. She also reviewed two alternative products -- a publicly traded REIT ETF and a private real estate fund with a 12-year lockup and 2-and-20 fee structure -- and documented why the non-traded REIT was preferable given Dr. Anand's goals, tax situation, and desire for diversification away from publicly correlated assets. Dr. Anand acknowledged the risks in writing, signed a suitability acknowledgment form, and proceeded with the investment. As of September 2024, the REIT has made quarterly distributions at an annualized rate of 5.2% and reported stable net asset values.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

No, Sarah Whitfield did not violate suitability or best interest standards. Her recommendation and process appear to be fully compliant.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires reasonable-basis, customer-specific, and quantitative suitability for all recommendations. For complex products like non-traded REITs, heightened scrutiny applies.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Requires that the recommendation satisfy the Disclosure Obligation, Care Obligation, Conflict of Interest Obligation, and Compliance Obligation.

3. **FINRA Regulatory Notices on Alternative Investments:** FINRA has issued multiple notices emphasizing that non-traded REITs require special attention to concentration limits, illiquidity disclosure, fee transparency, and customer-specific suitability.

**Analysis -- Why Compliant:**

- **Reasonable-Basis Suitability:** Whitfield understood the product's features, risks, and costs. The non-traded REIT focused on commercial logistics -- a well-established real estate sector. She reviewed the offering memorandum and could articulate a reasonable basis for the recommendation.

- **Customer-Specific Suitability:** Dr. Anand's profile strongly supports this recommendation. He is a high-income (\$875,000/year), high-net-worth (\$6.2 million investable plus \$1.8 million in real estate) investor with aggressive risk tolerance, a 15+ year time horizon, extensive experience with alternative and illiquid investments, and stated objectives of long-term growth and diversification. A 10% allocation to a non-traded REIT is well within reasonable concentration limits for his profile. Many firms cap non-traded REIT exposure at 10% of liquid net worth for qualified investors, and this recommendation falls within that threshold.

- **Quantitative Suitability:** There is no evidence of excessive trading or layering of costly products. This was a single allocation decision.

- **Reg BI Care Obligation:** Whitfield exercised diligence by reviewing alternatives (a publicly traded REIT ETF and a private real estate fund with higher fees and longer lockup), documenting why the chosen product was preferable, and ensuring the recommendation aligned with Dr. Anand's specific goals including tax considerations and desire for non-correlated exposure. She considered costs (1.5% management fee and 2% placement fee are within market norms for non-traded REITs and compare favorably to the 2-and-20 alternative).

- **Reg BI Disclosure Obligation:** Whitfield provided the offering memorandum, a fact sheet, and a separate risk disclosure document. She conducted a 90-minute meeting to discuss risks including illiquidity, distribution uncertainty, leverage, conflicts of interest, and potential loss of principal. This was documented in CRM notes.

- **Reg BI Conflict of Interest Obligation:** No facts suggest undisclosed compensation conflicts or that Whitfield was incentivized to recommend this product over alternatives for her own benefit.

- **Documentation:** Whitfield's documentation was thorough -- CRM notes of the meeting, written risk acknowledgment from the client, suitability acknowledgment form, and documented analysis of alternatives. This level of documentation meets or exceeds industry best practices.

- **Concentration:** Prior to this investment, Dr. Anand had 8% in illiquid alternatives. Adding 10% in the non-traded REIT brings his total illiquid alternative exposure to approximately 18% -- a reasonable level for an aggressive, high-net-worth investor with a 15+ year horizon and substantial liquid reserves remaining.

**Likely Regulatory Outcome:** No violation would be found. If examined, this recommendation would likely be cited as an example of proper process -- appropriate customer profiling, thorough product due diligence, consideration of alternatives, comprehensive risk disclosure, and careful documentation. No disciplinary action or arbitration liability would be expected.

## Item 170 of 499

### NON-COMPLIANT

**Topic:** reverse\_churning

**Difficulty:** hard

### Fact Pattern

Margaret Olsen, age 72, is a retired schoolteacher living in Spokane, Washington. She has a \$410,000 portfolio consisting entirely of U.S. Treasury bonds, a municipal bond ladder, and a money market fund. Her annual income from her pension and Social Security totals \$58,000, and she has no debt. Margaret's stated investment objectives are capital preservation and income generation, with a conservative risk tolerance. She told her advisor, Derek Flanagan, that she does not want to change her holdings and simply wants someone to 'keep an eye on things.' In March 2021, Derek moved Margaret's account from a commission-based brokerage model to a fee-based advisory account charging 1.25% annually on assets under management. Derek explained that the fee-based account would give Margaret access to 'ongoing professional portfolio monitoring and quarterly reviews.' Over the next 30 months -- from March 2021 through September 2023 -- Margaret's account generated zero trades. Derek held one brief phone call with Margaret in late 2021 and sent generic quarterly market commentary newsletters. No rebalancing, tax-loss harvesting, or any other advisory service was performed. Margaret paid approximately \$12,812 in advisory fees during this period. Had she remained in the commission-based account with no trading activity, she would have paid nothing. Margaret's neighbor, a retired accountant, reviewed her statements and pointed out that she was paying substantial fees for a buy-and-hold portfolio of bonds that required no active management.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Flanagan likely violated applicable best interest and fiduciary standards through reverse churning. Under Regulation Best Interest (Reg BI), a broker-dealer and its associated persons must act in the retail customer's best interest at the time a recommendation is made, including the recommendation to move to a particular account type. The Care Obligation under Reg BI requires the advisor to evaluate the costs and benefits of the account type recommendation, ensuring it is in the customer's best interest without placing the advisor's financial interest ahead of the customer's. FINRA's suitability framework under Rule 2111, particularly the customer-specific suitability obligation, requires that recommendations -- including account-type recommendations -- be suitable for the individual customer given their profile. Additionally, FINRA Rule 3110 requires supervisory systems reasonably designed to detect practices such as fee-based accounts with little or no trading activity. Reverse churning occurs when an advisor places a customer into a fee-based account and then performs little to no trading or advisory activity, resulting in the customer paying ongoing asset-based fees that far exceed what they would have paid in a transaction-based account. Margaret's portfolio was static, conservative, and self-managing. She explicitly stated she did not want changes. Over 30 months, zero trades were executed and virtually no advisory services were provided, yet Margaret was charged approximately \$12,812 in fees -- fees she would not have incurred in a commission-based account. Derek's financial incentive to earn a steady 1.25% annual fee on a \$410,000 account, regardless of activity, created a clear conflict of interest that was not adequately addressed or disclosed. The minimal contact -- one phone call and generic newsletters -- does not constitute meaningful advisory services that justify the fee-based structure. A likely regulatory outcome would include disgorgement of the advisory fees collected, potential fines, a requirement to convert the account back to a commission-based structure, and possible suspension. Supervisors who failed to flag the zero-activity fee-based account could also face enforcement scrutiny under FINRA supervisory rules.



**Item 171 of 499****NON-COMPLIANT****Topic:** mutual\_fund\_switching\_churning**Difficulty:** medium**Fact Pattern**

Carlos Reyes, age 45, is a mid-level IT manager in Dallas, Texas, earning \$105,000 per year. He has a \$175,000 brokerage account and a moderate risk tolerance, with a goal of long-term growth for retirement in approximately 20 years. His advisor, Tanya Birch, initially placed Carlos in the Vanguard Growth Index Fund (Admiral Shares) in January 2022, which carried an expense ratio of 0.05% and no front-end sales charge. In June 2022, Tanya recommended Carlos switch his entire \$175,000 position into the American Funds Growth Fund of America (Class A shares), which carried a 5.75% front-end load, resulting in a sales charge of approximately \$10,063. Tanya told Carlos the American Funds product had 'stronger active management.' Eight months later, in February 2023, Tanya recommended switching the position again -- this time into the Franklin Growth Fund (Class A shares) with another 5.75% front-end load, costing Carlos an additional approximately \$9,484 in sales charges on the then-\$164,937 balance. Tanya explained this switch was necessary because 'Franklin's management team has better momentum right now.' By October 2023, Tanya recommended a third switch into the T. Rowe Price Blue Chip Growth Fund (sold through a broker with a 4.50% load), costing Carlos another \$7,000. In total, Carlos paid approximately \$26,547 in front-end sales charges over 21 months across three switches among large-cap growth mutual funds with substantially similar investment strategies, holdings overlap exceeding 60%, and comparable historical performance. Carlos's account value, which started at \$175,000, stood at approximately \$148,000 by late 2023, largely due to the cumulative load charges. Tanya received commission income on each switch.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Tanya Birch violated applicable suitability and best interest standards through a pattern of mutual fund switching that constituted churning. Under FINRA Rule 2111 (Suitability), recommendations must have a reasonable basis, be suitable for the specific customer, and -- critically -- quantitatively suitable when viewed as a series of transactions. FINRA Rule 2111.05(c) specifically addresses excessive trading and switching. A pattern of switching among mutual funds with similar objectives, overlapping holdings, and comparable performance -- especially when each switch triggers a new front-end sales charge -- is a hallmark violation. Under Regulation Best Interest (Reg BI), the Care Obligation requires the advisor to consider reasonably available alternatives and ensure the recommendation is in the customer's best interest, not driven by the advisor's compensation. The Conflict of Interest Obligation requires the firm to identify and mitigate conflicts arising from compensation structures that incentivize switching. Here, three switches in 21 months among large-cap growth funds with over 60% holdings overlap generated approximately \$26,547 in front-end loads -- representing over 15% of Carlos's original investment -- with no material difference in investment strategy or expected outcome. The cumulative cost eroded Carlos's portfolio by roughly \$27,000 (including the loads and foregone growth on those amounts), turning a \$175,000 account into approximately \$148,000 despite a generally positive equity market. The initial move from a low-cost index fund to a loaded actively managed fund was itself questionable, but the subsequent switches among nearly identical actively managed growth funds serve no discernible investment purpose and primarily generated commissions for Tanya. FINRA has historically imposed significant sanctions for mutual fund switching patterns like this, including disgorgement of commissions, restitution to the customer, fines, and suspensions. The firm's supervisory system under FINRA Rule 3110 should have flagged these

switches through automated surveillance for breakpoint abuse and fund-to-fund switches; failure to do so could result in supervisory liability as well.

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**Item 172 of 499****NON-COMPLIANT****Topic:** margin\_unsuitable**Difficulty:** medium**Fact Pattern**

Rebecca Thornton, age 58, is a retired school librarian in Toledo, Ohio, living on a fixed income of \$3,200 per month from her pension and \$1,100 per month from Social Security. Her total liquid savings were approximately \$185,000 held in a brokerage account, which represented virtually all of her retirement nest egg aside from her pension. She had no other significant assets besides her home, which was paid off. On her new account form, she indicated her risk tolerance as 'conservative,' her investment objective as 'income and preservation of capital,' her investment experience as 'limited,' and her time horizon as '10+ years' since she planned to draw down the account gradually throughout retirement. In March 2022, her financial advisor, Derek Pullman, contacted her about an 'opportunity to boost her monthly income.' Pullman recommended she open a margin account and use \$90,000 in margin borrowing power to purchase a concentrated position in a high-dividend energy MLP (master limited partnership) yielding approximately 9.2%. Pullman told Rebecca the dividends would 'more than cover' the margin interest costs, which at that time were approximately 6.5% annually, leaving her with a net positive cash flow. He did not discuss the possibility that a market downturn could trigger a margin call, nor did he explain that MLP distributions could be cut. Rebecca agreed based on Pullman's assurances. By September 2022, the MLP had declined 31% in value amid rising interest rates, margin interest rates had climbed to 8.75%, and the MLP cut its distribution by 40%. Rebecca received a margin call for \$34,000 and was forced to liquidate a significant portion of her remaining holdings at depressed prices to meet it. Her account value fell from \$185,000 to approximately \$107,000 in six months. Pullman earned \$4,600 in commissions on the original MLP purchase and ongoing margin interest revenue benefited his firm.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Pullman almost certainly violated applicable suitability and best interest standards on multiple grounds.

**\*\*FINRA Suitability Analysis (Rule 2111):\*\*** FINRA Rule 2111 requires that a broker have a reasonable basis for believing a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and experience. Rebecca's profile -- a 58-year-old retiree on a fixed income, with conservative risk tolerance, limited experience, and a preservation-of-capital objective -- is fundamentally incompatible with a leveraged, concentrated position in a volatile energy MLP. Under the customer-specific suitability obligation (Rule 2111.05), Pullman should have recognized that margin borrowing magnifies both gains and losses and that a margin call could devastate a client whose liquid savings represent her entire financial safety net. The quantitative dimension is also problematic: committing roughly half her portfolio to a single speculative position using borrowed funds fails any reasonable diversification standard for a conservative retiree.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under Reg BI's Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill in making recommendations, consider reasonably available alternatives, and ensure the recommendation is in the customer's best interest without placing the financial professional's interest ahead of the customer's. Pullman failed on all prongs: (1) he did not exercise reasonable care by ignoring the manifest risks of

margin for a fixed-income retiree; (2) he did not consider safer income-generating alternatives such as investment-grade bonds, CDs, or diversified dividend funds; and (3) the recommendation appears motivated by the \$4,600 commission and ongoing margin interest revenue to the firm, placing his interest above Rebecca's. Under the Disclosure Obligation, Pullman failed to disclose the specific risks of margin calls, the possibility of distribution cuts, and the impact of rising interest rates on margin costs.

**\*\*FINRA Rule 2264 (Margin Disclosure):\*\*** Firms are required to deliver a margin disclosure statement and ensure customers understand the risks of margin trading. Pullman's failure to discuss margin call risk or the consequences of a market decline suggests this obligation was not adequately met.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** The overall pattern -- unsuitable leverage, concentration in a single volatile asset class, inadequate disclosure, and apparent self-interested motivation -- also implicates general standards of just and equitable principles of trade.

**\*\*Likely Regulatory Outcome:\*\*** In a FINRA arbitration or enforcement action, Rebecca would likely prevail on a suitability/best interest claim. Typical remedies would include compensatory damages of approximately \$78,000 (the difference between her starting account value and the diminished value), plus potential interest. Pullman could face suspension, fines, disgorgement of commissions, and enhanced supervisory requirements. His firm could face liability for failure to supervise under FINRA Rule 3110 if it approved the margin account without adequate review of the customer's profile.

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## Item 173 of 499

### NON-COMPLIANT

**Topic:** senior\_investor\_exploitation

**Difficulty:** hard

### Fact Pattern

Hector Dominguez, age 79, is a retired machinist in Phoenix, Arizona, who emigrated from Guatemala in 1972. He speaks English conversationally but has difficulty understanding complex financial documents. His wife, Lucia, age 76, has early-stage dementia and requires part-time in-home care costing \$2,800 per month. Hector's monthly income consists of \$2,100 from Social Security and \$650 from a small pension, totaling \$2,750. The couple's liquid savings totaled \$230,000, held in a money market account and certificates of deposit at their local bank. They also owned their home free and clear, valued at approximately \$195,000. Their investment objective, as Hector repeatedly stated, was to keep the money safe so they could pay for Lucia's increasing care needs over the coming years. Hector's nephew, who worked as a teller at the bank, introduced him to Marcus Dwyer, a registered representative affiliated with a broker-dealer that had a marketing arrangement with the bank. In January 2023, Dwyer met with Hector at the bank branch -- a setting Hector later said made him believe Dwyer was a bank employee. Over two meetings, Dwyer recommended that Hector move \$195,000 of the couple's \$230,000 in savings into three investments: (1) \$85,000 into a non-traded REIT with a 7-year lockup period and 12% upfront load, (2) \$65,000 into a variable annuity with a 10-year surrender period and annual fees totaling 3.4%, and (3) \$45,000 into a high-yield bond fund rated below investment grade. Dwyer told Hector the investments would 'grow his money much faster than CDs' and that 'he could access the money whenever he needed it.' Dwyer did not provide any Spanish-language materials, did not inquire about Lucia's medical condition or escalating care costs, and did not document any discussion of liquidity needs. The account paperwork listed Hector's risk tolerance as 'moderate growth' and investment objective as 'growth,' which Hector later said he did not understand and Dwyer filled out himself. Dwyer earned approximately \$19,500 in total commissions across the three products. Within 14 months, Hector needed to access funds to increase Lucia's care to full-time at \$5,600 per month. He discovered the non-traded REIT was completely illiquid, the variable annuity carried a surrender charge of approximately \$5,800 if he withdrew early, and the high-yield bond fund had declined 11% in value. Hector was forced to take a home equity loan to cover Lucia's care expenses.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Marcus Dwyer committed serious violations across multiple regulatory frameworks, and this fact pattern presents hallmarks of senior investor exploitation.

**\*\*FINRA Suitability (Rule 2111) -- All Three Obligations Violated:\*\***

1. **\*Reasonable-Basis Suitability:** While the individual products are legitimate, the combination of a non-traded REIT with a 7-year lockup, a variable annuity with a 10-year surrender period, and a below-investment-grade bond fund is unsuitable for virtually any 79-year-old investor with foreseeable liquidity needs. The 12% upfront load on the non-traded REIT alone is a red flag requiring heightened scrutiny.

2. **\*Customer-Specific Suitability:** Hector's profile -- age 79, limited English proficiency, fixed income of \$2,750/month against \$2,800/month in care costs for a spouse with progressive dementia, conservative stated objective of capital

preservation for healthcare -- makes all three recommendations grossly unsuitable. Moving 85% of the couple's liquid savings (\$195,000 of \$230,000) into illiquid or volatile products when escalating medical expenses were foreseeable is indefensible. FINRA has consistently emphasized that recommendations to seniors must account for time horizon, liquidity needs, and the reduced ability to recover from losses.

3. **\*Quantitative Suitability:** While this prong typically addresses excessive trading, the aggregate commission load of approximately \$19,500 (roughly 10% of the invested amount) on products with extreme illiquidity is relevant to the overall cost-to-benefit analysis.

**\*\*Regulation Best Interest (Reg BI) Violations:\*\***

- **\*Care Obligation:** Dwyer failed to exercise reasonable diligence by not inquiring about Lucia's medical condition, not assessing foreseeable liquidity needs, and not considering reasonably available alternatives (e.g., Treasury securities, short-term bond funds, CD ladders, or immediate annuities designed for income). The recommendations placed Dwyer's financial interest (high commissions) ahead of Hector's clearly articulated need for safety and accessibility.

- **\*Disclosure Obligation:** Dwyer affirmatively misrepresented that Hector 'could access the money whenever he needed it,' which is materially false for a non-traded REIT with a 7-year lockup and a variable annuity with a 10-year surrender period. This is not merely a failure to disclose -- it is an affirmative misrepresentation.

- **\*Conflict of Interest Obligation:** The \$19,500 in commissions created a manifest conflict. Dwyer's firm was required to establish policies to identify and mitigate such conflicts. The marketing arrangement between the broker-dealer and the bank, which created the false impression that Dwyer was a bank employee, further compounds the conflict of interest problem.

**\*\*FINRA Rule 2165 (Financial Exploitation of Specified Adults):\*\*** This rule applies to customers age 65 and older. While Rule 2165 primarily empowers firms to place temporary holds on disbursements when exploitation is suspected, the underlying policy framework recognizes that seniors are vulnerable to exploitation. Dwyer's conduct -- targeting a senior with limited English proficiency, misrepresenting product features, falsifying account documentation, and extracting nearly \$20,000 in commissions -- is precisely the conduct the rule ecosystem is designed to address.

**\*\*FINRA Rule 3110 (Supervision) and Firm Liability:\*\*** Dwyer's firm had a supervisory obligation to review the recommendations for suitability, particularly given the customer's age, the concentration of assets in illiquid products, the high commission load, and the bank-channel setting. The falsified account paperwork (listing 'moderate growth' and 'growth' for a 79-year-old retiree who stated he wanted safety) should have been flagged by compliance. The firm likely bears significant supervisory liability.

**\*\*FINRA Rule 2210 / Networking Arrangements:\*\*** The bank-branch setting and the apparent confusion about Dwyer's role implicate rules governing networking arrangements between broker-dealers and financial institutions, which require clear disclosure that the representative is not a bank employee and that products are not FDIC-insured.

**\*\*Falsification of Records:\*\*** Dwyer's completion of account paperwork with risk tolerance and objectives that contradicted Hector's stated preferences constitutes falsification of books and records, a standalone violation under FINRA Rule 4511 and a potential violation of broader anti-fraud provisions.

**\*\*Likely Regulatory Outcome:\*\*** This case presents an extremely strong enforcement or arbitration claim. Hector would likely recover full compensatory damages (the difference between what he invested and the current accessible value, plus consequential damages including the cost of the home equity loan). Dwyer faces potential industry bar given the combination of unsuitable recommendations to a vulnerable senior, affirmative misrepresentations, and falsified records. The firm faces significant fines and potential restitution obligations. State securities regulators and adult

protective services may also have jurisdiction, as several states have adopted enhanced protections for senior investors. Total damages could exceed \$100,000 when accounting for surrender charges, losses on the bond fund, opportunity costs, and consequential damages from the forced home equity borrowing.

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**Item 174 of 499****NON-COMPLIANT****Topic:** overconcentration\_single\_stock**Difficulty:** medium**Fact Pattern**

Margaret Kowalski, age 63, was a longtime administrative assistant at Pinnacle Energy Corp. who retired in January 2022 with \$485,000 in her 401(k), which she rolled over to an IRA at the recommendation of her financial advisor, Derek Lund. Margaret told Derek that she wanted to preserve her savings for retirement income, had a moderate risk tolerance, and needed to begin drawing \$2,500 per month starting in 2024. She had no other significant savings beyond Social Security and a small pension of \$800 per month. Despite these stated objectives, Derek recommended that Margaret invest \$410,000 -- approximately 84.5% of her IRA -- into shares of Pinnacle Energy Corp., her former employer's stock, reasoning that Margaret was 'familiar and comfortable' with the company. The remaining \$75,000 was placed into a money market fund. Derek did not discuss the risks of having such a heavy concentration in a single equity, nor did he present any alternative diversified portfolio options. Over the next 14 months, Pinnacle Energy's stock declined 47% following an accounting scandal, reducing Margaret's equity position from \$410,000 to approximately \$217,300. Her total portfolio fell to roughly \$292,300, a loss of nearly \$193,000. Margaret filed a complaint stating she never understood that nearly all of her retirement savings would be tied to one company's stock and that Derek never explained the downside risks or offered diversified alternatives.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Lund violated applicable standards on multiple grounds. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommendation is suitable for the customer based on their investment profile, including risk tolerance, financial situation, time horizon, and investment objectives. Margaret was a 63-year-old retiree with moderate risk tolerance, a near-term income need, limited outside resources, and an explicit goal of capital preservation. Concentrating 84.5% of her retirement portfolio in a single equity -- particularly a single company stock -- is fundamentally inconsistent with these objectives. FINRA has repeatedly identified overconcentration in a single security as a red flag for suitability violations. Under Regulation Best Interest (Reg BI), the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and ensuring that the recommendation is in the customer's best interest without placing the financial professional's interest ahead of the customer's. Recommending an overwhelming concentration in one stock to a retiree needing income and preservation fails this standard. The Disclosure Obligation under Reg BI also required Derek to disclose the material risks of concentration, which he did not do. Additionally, the fact that no alternative diversified options were presented suggests Derek did not reasonably consider alternatives as required under the Care Obligation. If Derek were a registered investment adviser, he would owe a fiduciary duty under the Investment Advisers Act of 1940, requiring him to act in his client's best interest, which this recommendation clearly violated. Likely regulatory outcome: FINRA arbitration would likely result in damages awarded to Margaret for the losses attributable to the unsuitable concentration. Derek could face FINRA disciplinary action including fines, suspension, or a bar from the industry.



## Item 175 of 499

### NON-COMPLIANT

**Topic:** excessive\_load\_funds

**Difficulty:** hard

### Fact Pattern

Carlos Medina, age 34, a software engineer earning \$145,000 annually, opened a brokerage account in March 2023 with advisor Tanya Birch. Carlos had \$120,000 in savings he wanted to invest for long-term growth over 20+ years, had a high risk tolerance, and told Tanya he had done some research and preferred low-cost index funds. Tanya acknowledged his preference but told Carlos that 'actively managed funds significantly outperform index funds over the long run' and recommended a portfolio of five Class A mutual funds, each carrying a front-end sales load of 5.75%. The total initial investment of \$120,000 resulted in \$6,900 in upfront load charges, reducing Carlos's actual invested amount to \$113,100. The five funds also carried annual expense ratios ranging from 1.15% to 1.52%, compared to comparable index funds with expense ratios of 0.03% to 0.10% and no sales loads. Tanya's firm offered a broad platform that included hundreds of no-load index funds and ETFs, including the specific low-cost funds Carlos had initially mentioned. Tanya received a 3.5% commission payout on the load fund sales, totaling approximately \$4,200 in personal compensation. Over the following 12 months, four of the five recommended funds underperformed their respective benchmark indices. Carlos later discovered that the no-load index funds he originally wanted were available on Tanya's platform and filed a complaint alleging that Tanya steered him into expensive products to generate commissions, ignoring his stated preferences and costing him thousands in unnecessary fees.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Tanya Birch violated applicable standards. Under Regulation Best Interest (Reg BI), the Care Obligation requires a broker to exercise reasonable diligence, care, and skill in making a recommendation, and critically, must evaluate reasonably available alternatives. Tanya's firm offered the very no-load index funds Carlos requested, yet she steered him into high-load, high-expense actively managed funds without a reasonable basis for concluding these were in Carlos's best interest. Reg BI's Care Obligation explicitly requires consideration of costs, and the massive cost differential -- \$6,900 in upfront loads plus significantly higher ongoing expenses -- demanded clear justification, which the subsequent underperformance of four of five funds undermines. Under Reg BI's Conflict of Interest Obligation, Tanya's firm was required to establish policies to identify and mitigate conflicts of interest, including the \$4,200 commission incentive that motivated Tanya to recommend load funds over no-load alternatives. The fact that she overrode Carlos's explicit, informed preference for low-cost index funds with a generalized and unsupported claim about active management superiority suggests the conflict was not mitigated. Under the Disclosure Obligation, Tanya was required to disclose material facts about the recommendation, including the costs and her compensation. Merely recommending the funds without transparently comparing costs to the client's preferred alternatives falls short. Under FINRA Rule 2111 (Suitability), even setting aside Reg BI, recommending high-cost products when lower-cost alternatives that better match a customer's stated objectives are readily available raises serious suitability concerns, particularly the customer-specific suitability component. FINRA Notice to Members and guidance have specifically flagged situations where brokers recommend higher-cost share classes without justification. If the advisor were acting in an advisory capacity, the fiduciary duty under the Advisers Act would make this an even clearer breach. Likely regulatory outcome: Carlos would have strong grounds in FINRA arbitration for recovery of the load charges and excess fees. Tanya could face FINRA sanctions including disgorgement of commissions, fines, and a potential

suspension. Her firm could also face supervisory failure charges if it lacked adequate policies to prevent load fund steering.

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## Item 176 of 499

### NON-COMPLIANT

**Topic:** concentration\_risk

**Difficulty:** hard

### Fact Pattern

Margaret Donnelly, age 81, was a retired elementary school teacher living in Toledo, Ohio, with a fixed monthly income of \$2,400 from Social Security and a small pension of \$800 per month. Her total liquid net worth was approximately \$340,000, held in a money market account and a maturing 12-month CD at her local bank. She had no other family support, having outlived her husband, and relied on her savings to cover potential assisted living costs and medical expenses. She had no prior experience with structured products, derivatives, or equity investing beyond owning a handful of blue-chip stocks decades earlier, which she sold in the early 2000s. Her account opening documents listed her risk tolerance as 'conservative,' her investment objective as 'preservation of capital,' her time horizon as '1-3 years,' and her liquidity needs as 'high.' In March 2023, her financial advisor, Derek Hamlin, recommended she invest \$310,000 -- roughly 91% of her liquid savings -- into a single 12-year market-linked structured note issued by an overseas bank subsidiary. The note's return was contingent on the performance of a basket of five international technology and biotech equities, with a knock-in barrier set at 60% of the initial reference level. If any single stock in the basket fell below the barrier at any observation date, Margaret could lose a substantial portion of her principal. The note carried no periodic coupon payments, was not callable by the investor, had no secondary market liquidity, and charged an embedded fee estimated at 3.8% of the notional amount. Hamlin earned a \$15,500 commission on the sale. He did not present any alternative investment options, nor did he document any discussion with Margaret about the risks of the product, her understanding of the payoff structure, or the extreme concentration of her portfolio. When Margaret's nephew, a CPA, reviewed her statements six months later, he discovered the allocation and contacted the firm's branch manager. By that time, two of the five reference stocks had already declined by over 30%, approaching the knock-in barrier. Margaret stated she believed the product was similar to a CD and that Hamlin told her it was 'safe and guaranteed.'

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Derek Hamlin almost certainly violated applicable suitability and best interest standards on multiple grounds.

**\*\*Reg BI Analysis (if Hamlin is a broker-dealer registered representative):\*\***

Under Regulation Best Interest, a broker must satisfy four component obligations: Disclosure, Care, Conflict of Interest, and Compliance. Hamlin appears to have violated all four.

1. **\*\*Care Obligation:\*\*** Reg BI requires that a broker exercise reasonable diligence, care, and skill to understand the product and have a reasonable basis to believe the recommendation is in the customer's best interest. Margaret was 81, conservative, needed high liquidity, had a 1-3 year time horizon, and depended on her savings for medical and living expenses. A 12-year illiquid structured note tied to volatile international tech and biotech stocks is fundamentally incompatible with every dimension of her investor profile. Placing 91% of her liquid assets in a single illiquid product with principal-at-risk features is an egregious concentration that no reasonable advisor could justify.
2. **\*\*Disclosure Obligation:\*\*** Hamlin failed to disclose material facts about the product's risks, the knock-in barrier

mechanism, the lack of liquidity, and the embedded fees. Margaret's belief that the product was 'safe and guaranteed' and similar to a CD suggests affirmative misrepresentation.

3. **Conflict of Interest Obligation:** The \$15,500 commission (approximately 5% of the investment) created a significant financial incentive that Hamlin apparently did not disclose or mitigate.

**FINRA Suitability Analysis (Rule 2111):**

All three components of the suitability obligation are implicated:

- **Reasonable-basis suitability:** A complex structured note with a 12-year tenor, no liquidity, and equity downside exposure requires thorough product due diligence. Given the risk profile, it is questionable whether this product would be suitable for any conservative, elderly, liquidity-dependent client.
- **Customer-specific suitability:** The recommendation is diametrically opposed to Margaret's stated objectives (capital preservation, high liquidity, short time horizon, conservative risk tolerance).
- **Quantitative suitability:** While this prong typically applies to excessive trading, the extreme 91% concentration in a single illiquid product raises analogous concerns about portfolio-level unsuitability.

**FINRA Rule 2010 (Standards of Commercial Honor):** Telling an 81-year-old that a complex structured note with equity downside risk is 'safe and guaranteed' likely constitutes a misrepresentation violating just and equitable principles of trade.

**Additional Considerations:** FINRA has issued guidance and brought numerous enforcement actions involving structured products sold to elderly, unsophisticated investors. The combination of age, dependence on savings, misrepresentation, lack of documentation, failure to present alternatives, and extreme concentration makes this a textbook violation.

**Likely Regulatory Outcome:** Hamlin would likely face FINRA disciplinary action including fines, disgorgement of commissions, suspension or bar, and the firm could face supervisory failure charges. Margaret would likely prevail in a FINRA arbitration claim for compensatory damages, and potentially receive rescission of the transaction.

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## Item 177 of 499

### NON-COMPLIANT

**Topic:** options\_unsuitable

**Difficulty:** medium

### Fact Pattern

Roberto Medina, age 52, was a warehouse supervisor at a publicly traded logistics company based in Memphis, Tennessee, earning an annual salary of \$67,000. Over the course of his 24-year career with the company, Roberto had accumulated approximately \$485,000 in his employer-sponsored 401(k) plan, of which roughly \$390,000 -- about 80% -- was already invested in his employer's stock through the company match and his own voluntary contributions. In early 2024, Roberto rolled over a separate traditional IRA worth \$115,000 to a brokerage account managed by financial advisor Karen Prescott. Roberto told Prescott during their initial meeting that he was hoping to retire at age 62, that his risk tolerance was 'moderate,' and that he wanted 'steady growth with some safety net' for his retirement savings. He mentioned that the bulk of his retirement wealth was in his employer's stock inside his 401(k). Prescott's notes from the meeting reflected this disclosure. Despite knowing about the existing employer stock concentration, Prescott recommended that Roberto use the entire \$115,000 IRA rollover to purchase call options and sell cash-secured puts on his employer's stock, arguing that Roberto 'knew the company best' and could benefit from leveraged upside while generating premium income. Roberto had no prior experience trading options and had never been approved for options trading at any prior firm. Prescott submitted an options application on Roberto's behalf, listing his investment experience as 'extensive' and his risk tolerance as 'speculative,' which contradicted the information Roberto had provided. Roberto was approved for Level 3 options trading. Over the next eight months, Prescott executed 47 options transactions in the account, generating \$8,200 in commissions for herself. The employer's stock declined 38% during that period following a disappointing earnings report and an industry downturn, and Roberto's IRA account value fell to \$31,000. Combined with the decline in his 401(k) holdings, Roberto lost over \$270,000 of his total retirement savings in under a year, with virtually all losses attributable to a single stock.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Karen Prescott violated multiple suitability and best interest standards, and her conduct raises serious regulatory concerns on several fronts.

**\*\*Reg BI Care Obligation:\*\***

Under Regulation Best Interest, Prescott was required to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile including existing holdings. Roberto explicitly disclosed that 80% of his 401(k) was already in his employer's stock. Rather than recommending diversification to reduce his already dangerous single-stock concentration, Prescott compounded the risk by deploying his entire IRA rollover into options on the same stock. This recommendation dramatically increased Roberto's overall exposure to a single issuer across his entire retirement portfolio -- from roughly 65% to effectively 100%. No reasonable analysis could support this as being in Roberto's best interest given his moderate risk tolerance, 10-year retirement horizon, and stated objective of steady growth with a safety net.

**\*\*FINRA Rule 2111 (Suitability):\*\***

- **\*\*Reasonable-basis suitability:\*\*** Options strategies involving selling puts and buying calls on a single volatile stock

require sophisticated understanding. Without establishing that Roberto had the knowledge or financial capacity to bear the risks, Prescott lacked a reasonable basis for the strategy.

- **Customer-specific suitability:** The strategy was wholly inconsistent with Roberto's moderate risk tolerance, his lack of options experience, and his retirement-focused objectives. The existing concentration in employer stock made additional employer-stock exposure particularly dangerous.

- **Quantitative suitability:** 47 transactions in eight months generating \$8,200 in commissions on a \$115,000 account (annualized cost-to-equity ratio of approximately 10.7%) suggests potentially excessive trading.

**FINRA Rule 2360 (Options):**

FINRA requires that member firms approve customers for options trading levels based on accurate information about the customer's financial situation, investment experience, and objectives. Prescott falsified Roberto's options application by listing his experience as 'extensive' and risk tolerance as 'speculative,' directly contradicting what Roberto had communicated. This constitutes falsification of account records, which independently violates FINRA Rules 4511 (Books and Records) and 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade).

**Concentration Risk:**

While there is no bright-line rule defining impermissible concentration, FINRA and regulators have consistently found that placing substantially all of a customer's assets in a single security -- especially an employer's stock where the customer's income is also dependent on the same company -- creates unacceptable risk absent extraordinary circumstances. Roberto faced correlated risk: a downturn at his employer could simultaneously reduce his income, his 401(k) value, and his IRA.

**Likely Regulatory Outcome:** Prescott would likely face FINRA enforcement action for unsuitable recommendations, falsification of account documents, and potentially excessive trading. Sanctions could include a substantial fine, disgorgement of commissions, restitution to Roberto, and a suspension or bar from the industry. The firm could face additional liability for failure to supervise, particularly for approving a Level 3 options account based on falsified information without independent verification. Roberto would have strong grounds for a FINRA arbitration claim seeking full compensatory damages.

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## Item 178 of 499

### NON-COMPLIANT

**Topic:** mutual\_fund\_switching\_churning

**Difficulty:** medium

### Fact Pattern

Margaret Chen, age 67, is a retired elementary school teacher living in suburban Ohio with an annual pension income of \$42,000 and total investable assets of approximately \$310,000 in her IRA rollover account. She described her investment objectives as income generation and capital preservation, with a conservative risk tolerance. She told her advisor, Daniel Pratt, that this money needed to last through her retirement and she could not afford significant losses. Between January 2021 and March 2023, Pratt executed 14 separate mutual fund switches in Margaret's account. The pattern was consistent: he would move her holdings from one large-cap equity mutual fund into another nearly identical large-cap equity mutual fund offered by a different fund family. Each switch involved selling the existing position and purchasing a new Class A share fund, triggering front-end sales loads ranging from 4.25% to 5.75% on each purchase. Over this 26-month period, Margaret paid approximately \$38,400 in cumulative front-end sales charges. The funds she was switched into had substantially similar investment objectives, holdings overlap of 70-85%, and comparable expense ratios to the funds she was switched out of. Several of the switches also caused her to forfeit rights-of-accumulation breakpoint discounts she had been building toward in the original fund families. Pratt earned approximately \$22,000 in commissions from these transactions. Margaret's account value, which started at \$310,000, declined to approximately \$261,000 by March 2023, with the sales charges accounting for the majority of the loss. When Margaret asked Pratt about the declining value, he told her the switches were necessary to 'rebalance into stronger-performing managers,' though performance data showed the replacement funds had nearly identical trailing returns to the funds being sold.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Daniel Pratt violated both FINRA's suitability obligations under FINRA Rule 2111 and, if acting in a broker-dealer capacity after June 30, 2020, Regulation Best Interest (Reg BI) under the Securities Exchange Act. Multiple violations are evident:

1. **Quantitative Suitability (Excessive Trading/Churning):** Under FINRA Rule 2111.05(c), a broker with actual or de facto control over an account must have a reasonable basis for believing the series of recommended transactions is not excessive. Here, 14 switches in 26 months among substantially similar funds--generating \$38,400 in loads on a \$310,000 account (a cost-to-equity ratio of approximately 12.4%)--is a hallmark of churning. The turnover rate and cost-to-equity ratio both strongly suggest excessive activity designed to benefit the advisor rather than the customer.
2. **Qualitative Suitability:** Each individual switch also fails qualitative suitability analysis. Margaret's conservative, income-oriented profile did not warrant repeated repositioning into functionally identical large-cap equity funds. The replacement funds offered no material difference in strategy, holdings, or performance. No reasonable advisor would conclude these switches served the client's stated objectives.
3. **Reg BI Care Obligation:** If these transactions occurred under Reg BI's framework, the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill, considering costs and reasonably available alternatives.

Repeatedly triggering 4-5% front-end loads to move between near-identical funds fails this standard. The advisor could not reasonably have believed these transactions were in Margaret's best interest given the cumulative cost drag.

4. **\*\*Reg BI Conflict of Interest Obligation:\*\*** Pratt's commission incentive (\$22,000 earned) was never mitigated; instead, it appears to have been the primary driver of the switching activity.

5. **\*\*FINRA Rules on Breakpoint Discounts (FINRA Rule 2342, NTM 03-54):\*\*** By switching fund families repeatedly, Pratt caused Margaret to forfeit accumulation breakpoint discounts, further harming her economically.

6. **\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** The pattern of self-serving recommendations that caused \$38,400 in unnecessary charges to a retired, conservative 67-year-old client constitutes conduct inconsistent with just and equitable principles of trade.

The likely regulatory outcome includes disgorgement of commissions, restitution to the customer, a significant fine, a lengthy suspension or permanent bar from the industry, and potential referral for fraud if intent is established. FINRA arbitration would likely result in compensatory damages of at least \$49,000 (the total account decline), plus potential punitive damages given the egregious pattern of conduct.

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## Item 179 of 499

### NON-COMPLIANT

**Topic:** failure\_to\_know\_customer

**Difficulty:** hard

### Fact Pattern

Kevin Okafor, age 34, walked into the downtown Atlanta office of Meridian Wealth Partners in August 2022 seeking to open an investment account. He was assisted by advisor Lisa Brennan. Kevin mentioned he had recently received \$475,000 from the sale of a family property in Nigeria and wanted to invest it for long-term growth. Lisa had Kevin complete a new account form. Kevin listed his occupation as 'business consultant,' his annual income as \$95,000, his net worth as \$600,000, his liquid net worth as \$500,000, and his risk tolerance as 'aggressive.' He listed his investment experience as 'extensive' across stocks, bonds, options, and alternatives. Lisa did not ask any follow-up questions about the source of the \$475,000 beyond what Kevin volunteered. She did not inquire about his specific consulting business, its duration, how long he had lived in the United States, whether he had other financial accounts, his tax filing status, his time horizon specifics, or any liabilities. She did not ask about his prior brokerage or investment account history to verify his claimed 'extensive' experience. She accepted the completed form at face value. Within two weeks, Lisa recommended Kevin allocate 60% of the funds (\$285,000) into a concentrated position in a single small-cap biotech stock she had been recommending to several clients, 25% (\$118,750) into a leveraged ETF tracking the Nasdaq-100, and 15% (\$71,250) into a high-yield bond fund. She described the biotech company as having 'incredible upside potential' based on a pending drug trial. By February 2023, the biotech stock had declined 72% following a failed trial, the leveraged ETF was down 35% due to volatility decay, and the high-yield bond fund was down 8%. Kevin's account value had fallen to approximately \$201,000, a loss of roughly \$274,000. Kevin later revealed that he had virtually no prior investment experience, had overstated his income (his actual income was approximately \$40,000 from part-time work), and that the property proceeds represented nearly his entire life savings.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Lisa Brennan committed serious violations across multiple regulatory frameworks, and this scenario presents a particularly complex case because it involves both a failure to know the customer and unsuitable recommendations based on incomplete and inaccurate information.

**\*\*1. Failure to Know Your Customer -- FINRA Rule 2090:\*\***

FINRA Rule 2090 requires every member firm and associated person to use reasonable diligence with regard to the opening and maintenance of every account, to know and retain essential facts concerning every customer. Lisa's failure is egregious. She accepted Kevin's self-reported information without any follow-up verification or probing. A reasonably diligent advisor should have:

- Asked detailed questions about the source and documentation of the \$475,000 (particularly given the international origin)
- Verified his claimed investment experience by asking about prior accounts, specific trades, or brokerage history
- Probed the nature, stability, and verifiability of his consulting income
- Asked about his time horizon, financial goals, dependents, liabilities, tax situation, and liquidity needs
- Assessed whether the stated risk tolerance was consistent with his overall financial picture

The duty to know the customer is not merely clerical--it requires the advisor to exercise professional judgment to identify inconsistencies or gaps. A 34-year-old part-time consultant claiming extensive experience across stocks, bonds, options, and alternatives with a \$600,000 net worth should have prompted deeper inquiry.

**\*\*2. Reasonable-Basis Suitability -- FINRA Rule 2111(a):\*\***

Even taking the customer profile at face value, the recommendation to place 60% of investable assets into a single small-cap biotech stock is problematic. No reasonable basis exists for recommending such extreme concentration in a speculative security. Small-cap biotech stocks dependent on binary clinical trial outcomes carry extraordinarily high risk. A reasonable-basis suitability analysis would conclude this recommendation is unsuitable for virtually any retail investor at this concentration level.

**\*\*3. Customer-Specific Suitability -- FINRA Rule 2111(a):\*\***

Based on Kevin's actual profile--a 34-year-old with \$40,000 in income, no real investment experience, and the \$475,000 representing his entire life savings--the recommendations were wildly unsuitable. Even based on his stated profile, a 60% concentration in a single speculative stock and 25% in a leveraged ETF (which suffers from volatility decay and is generally unsuitable for buy-and-hold investors) would be difficult to justify.

**\*\*4. Regulation Best Interest -- Care Obligation:\*\***

Under Reg BI, the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, including understanding the potential risks, rewards, and costs of the recommendation and having a reasonable basis to believe the recommendation is in the customer's best interest. Lisa's failure to conduct adequate due diligence on the customer makes it impossible for her to have formed a reasonable belief that these recommendations served Kevin's best interest. The Care Obligation further requires consideration of reasonably available alternatives--a diversified portfolio would have been the obvious alternative.

**\*\*5. Reg BI -- Disclosure and Conflict of Interest Obligations:\*\***

Lisa's recommendation of the biotech stock to 'several clients' raises concerns about whether she had a conflict of interest (such as the firm holding inventory or receiving special compensation) that was not disclosed.

**\*\*6. Potential Anti-Money Laundering (AML) Concerns:\*\***

While not directly a suitability issue, Lisa's failure to inquire about the source of \$475,000 from an international property sale may also implicate the firm's obligations under the Bank Secrecy Act and its Customer Identification Program (CIP) and Customer Due Diligence (CDD) requirements. This could expose the firm to additional regulatory liability.

**\*\*7. FINRA Rule 2010:\*\***

The overall pattern of conduct--accepting unverified information, failing to conduct basic due diligence, and then making highly speculative concentrated recommendations--violates standards of commercial honor and just and equitable principles of trade.

**\*\*Likely Regulatory Outcome:\*\***

Lisa faces potential sanctions including a substantial fine, suspension or bar, and disgorgement. The firm faces supervisory liability under FINRA Rule 3110 for failing to have systems to detect the inadequacy of the customer profile gathering. Kevin would likely recover substantial damages in FINRA arbitration, potentially the full \$274,000 loss, based on the combined failures. The fact that Kevin misrepresented his own information may reduce but does not eliminate the advisor's liability, because the advisor had an independent duty to use reasonable diligence rather than blindly accepting self-reported data, particularly when the overall picture should have prompted further inquiry.

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**Item 180 of 499****NON-COMPLIANT****Topic:** reverse\_churning**Difficulty:** medium**Fact Pattern**

Margaret Holloway, age 72, is a retired schoolteacher in Columbus, Ohio, with a \$340,000 portfolio consisting primarily of U.S. Treasury bonds and a broad-market index fund. Her annual income from Social Security and a state pension totals \$52,000, and she has no debt. Margaret's stated investment objectives are capital preservation and modest income generation. Her risk tolerance is conservative, and she has described herself as a 'buy and hold' investor who rarely makes changes to her portfolio. In March 2021, her longtime broker retired, and the firm assigned her account to advisor Derek Simmons. Derek recommended that Margaret transition her brokerage account to a fee-based advisory account, telling her it would give her 'access to professional ongoing portfolio monitoring and financial planning services.' Margaret agreed and signed the advisory agreement, which charged a 1.25% annual wrap fee based on assets under management, amounting to approximately \$4,250 per year. Over the next 30 months, from March 2021 through September 2023, Derek executed only two trades in Margaret's account: one was a rebalancing of her index fund allocation in August 2021, and the other was a reinvestment of a maturing Treasury bond in January 2022. Derek did not provide any financial plans, retirement income projections, tax planning, or any other advisory services during this period. He met with Margaret once, by phone, in December 2021, for approximately 12 minutes. Margaret's account was charged a total of approximately \$10,625 in advisory fees over the 30-month period. Had the account remained a commission-based brokerage account, the two trades would have cost Margaret approximately \$150 in total commissions. Margaret's neighbor, a retired accountant, reviewed her statements and pointed out that she had paid over \$10,000 in fees for virtually no activity or services.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Simmons likely violated applicable standards governing the recommendation to move Margaret's account to a fee-based advisory model. This scenario constitutes classic 'reverse churning,' where an advisor places an inactive, buy-and-hold client into a fee-based account and then provides minimal or no advisory services, resulting in excessive fees relative to the services rendered.

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile. The recommendation to move from a commission-based account to a fee-based account is itself a recommendation subject to suitability analysis. For a conservative, buy-and-hold retiree like Margaret who rarely trades, a fee-based account charging 1.25% annually is clearly unsuitable. The cost differential is staggering: \$10,625 in advisory fees versus approximately \$150 in commissions for the same period.

Under Regulation Best Interest (Reg BI), which became effective June 30, 2020 and was therefore applicable, the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making recommendations, including evaluating costs. The advisor must have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the advisor's financial interest ahead of the customer's. Moving Margaret into a higher-cost account type that generated significantly more revenue for Derek, while providing almost no services,

clearly prioritized the advisor's compensation over Margaret's interests.

Additionally, if Derek held himself out as an investment adviser through the fee-based account arrangement, he owed a fiduciary duty under the Investment Advisers Act of 1940, requiring him to act in the client's best interest, provide full and fair disclosure of conflicts, and not engage in practices that are contrary to the client's welfare. Charging ongoing advisory fees while providing virtually no advisory services breaches this duty.

The lack of substantive services -- no financial plan, no tax planning, no meaningful meetings, only two minimal trades -- demonstrates that the fee-based account served no purpose other than generating revenue for the advisor. FINRA has identified reverse churning as a key area of concern, and SEC examination priorities have similarly flagged this practice.

The likely regulatory outcome includes disgorgement of excess fees (the difference between the advisory fees charged and what would have been charged under a commission model, approximately \$10,475), potential fines, a suspension for Derek Simmons, and possible enhanced supervision requirements for the firm for failing to supervise the account type recommendation.

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**Item 181 of 499****NON-COMPLIANT****Topic:** illiquid\_investments**Difficulty:** hard**Fact Pattern**

Carlos and Elena Reyes, both age 44, are a dual-income couple living in Phoenix, Arizona. Carlos earns \$95,000 annually as an operations manager, and Elena earns \$78,000 as a dental hygienist. Together they have liquid savings of approximately \$125,000 in a joint brokerage account, a combined \$210,000 in 401(k) accounts, and \$40,000 in a 529 college savings plan for their 14-year-old daughter, Sofia. They carry a \$285,000 mortgage balance and \$22,000 in auto loans. In January 2023, they met with financial advisor Tanya Beckett to discuss investing their liquid savings more aggressively to build wealth for early retirement, which they hoped to achieve by age 57. They described their risk tolerance as moderate-to-aggressive, but emphasized they wanted to maintain access to some of their savings for potential emergencies and for Sofia's upcoming college tuition, expected to begin in approximately four years. Tanya recommended allocating \$90,000 of their \$125,000 liquid savings -- representing 72% of their liquid assets -- into three separate non-traded real estate investment trusts (REITs), each requiring a minimum holding period of seven years, with no guarantee of a secondary market for the shares. The three non-traded REITs each charged front-end loads of 6% to 7%, with additional annual management fees of 1.5% and various acquisition and disposition fees that could total another 2% to 3% over the life of the investment. Tanya disclosed the fees and illiquidity in a subscription agreement and obtained their signatures. She earned commissions totaling approximately \$5,850 on the three placements. After investing, Carlos and Elena had only \$35,000 in liquid savings remaining. In late 2023, Elena was unexpectedly laid off from her position, and the couple needed to access funds. They discovered they could not redeem any of the non-traded REIT shares, as the funds' limited redemption programs had been suspended due to high redemption requests. By early 2024, one of the three non-traded REITs had reduced its estimated share value by 18%, and another had suspended its distribution payments entirely. The couple was unable to pay Sofia's freshman-year tuition deposit without taking a 401(k) hardship withdrawal, incurring taxes and a 10% early withdrawal penalty.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Tanya Beckett violated multiple applicable standards in recommending a 72% concentration of the Reyes family's liquid assets in illiquid, non-traded REITs given their clearly stated liquidity needs and financial circumstances.

Under FINRA Rule 2111 (Suitability), all three components -- reasonable-basis, customer-specific, and quantitative suitability -- are implicated. On customer-specific suitability, Tanya was required to evaluate the Reyes' entire financial picture, including their known near-term liquidity needs (college tuition in four years), their moderate emergency fund requirements as a family with a single dependent and mortgage obligations, and their stated desire to maintain access to some savings. Recommending that 72% of liquid assets be locked into investments with seven-year minimum holding periods and no guaranteed secondary market directly contradicts these stated needs. The concentration was excessive and inappropriate.

Under Regulation Best Interest (Reg BI), the Care Obligation required Tanya to evaluate reasonably available alternatives and consider costs. Non-traded REITs are among the most expensive investment products available to retail investors, with combined upfront and ongoing costs that can consume 10% to 15% of invested capital over the life

of the investment. Publicly traded REITs or diversified real estate mutual funds could have provided similar real estate exposure with daily liquidity and dramatically lower costs. Tanya's failure to consider or recommend these alternatives, combined with the \$5,850 in commissions she earned, raises serious conflict-of-interest concerns under Reg BI's Conflict of Interest Obligation.

Regarding the Disclosure Obligation under Reg BI, while Tanya did obtain signed subscription agreements, mere disclosure of risks and fees does not satisfy the Care Obligation. An advisor cannot recommend an unsuitable product simply because the client signed an acknowledgment of the risks.

FINRA has also issued specific guidance regarding concentration in illiquid investments. FINRA Notice to Members 03-71 and subsequent guidance on non-traded REITs emphasize that firms and advisors must conduct heightened due diligence on these products and ensure that concentration levels are appropriate. Many state securities regulators impose specific concentration limits, often capping non-traded REIT exposure at 10% of an investor's net worth (exclusive of home and furnishings). With a liquid net worth of approximately \$125,000 plus \$210,000 in retirement accounts, the \$90,000 allocation likely exceeded any reasonable concentration threshold.

Additionally, the firm's supervisory obligations under FINRA Rule 3110 are implicated. A supervisor reviewing this transaction should have flagged the concentration and the mismatch between the clients' liquidity timeline and the products' holding periods.

The likely regulatory consequences include rescission or damages equal to the difference between the amount invested and the current value of the non-traded REIT shares (including lost distributions), disgorgement of commissions, potential fines against both Tanya and the supervising firm, and a suspension or bar for Tanya depending on her disciplinary history. In a FINRA arbitration, the Reyes family would also likely recover consequential damages including the taxes and penalties incurred on the 401(k) hardship withdrawal.

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**Item 182 of 499****NON-COMPLIANT**

**Topic:** speculative\_for\_conservative\_investor

**Difficulty:** easy

**Fact Pattern**

Margaret Owens, age 74, is a retired elementary school teacher living in Topeka, Kansas. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid savings amount to \$310,000, held in a money market account and certificates of deposit at her local bank. She has no other sources of income and relies on her savings to supplement her fixed income for living expenses, medical costs, and occasional gifts to her grandchildren. In March 2023, Margaret met with financial advisor Derek Sloan after attending a free dinner seminar at a local restaurant. During their initial meeting, Margaret told Derek that she was 'very nervous about losing money' and that her primary goal was to preserve her savings so they would last through the rest of her life. She explicitly stated she did not want to invest in stocks or anything risky. Derek's new account paperwork listed her risk tolerance as 'moderate growth' and her investment objective as 'growth and income.' Over the next two months, Derek moved \$265,000 of Margaret's savings into a concentrated portfolio consisting of three small-cap biotech stocks (\$95,000), a leveraged ETF tracking the NASDAQ-100 (\$85,000), and a speculative cryptocurrency-linked fund (\$85,000). Derek told Margaret these investments would 'grow her nest egg faster than CDs ever could.' By November 2023, the portfolio had declined to \$141,000 -- a loss of approximately \$124,000, or 47%. Margaret discovered the extent of her losses when she requested a withdrawal to pay for a hip replacement surgery. She had not received any account statements because Derek had set the account to electronic-only delivery, and Margaret did not regularly use email.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Sloan committed multiple serious violations. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and time horizon. Margaret was a 74-year-old retiree with limited fixed income, moderate savings, no other income sources, and an explicitly stated conservative risk tolerance focused on capital preservation. Recommending small-cap biotech stocks, leveraged ETFs, and a cryptocurrency-linked fund to this customer profile is facially unsuitable under all three components of the suitability obligation: (1) Reasonable-basis suitability -- leveraged ETFs are generally unsuitable for buy-and-hold investors and carry unique risks that require active monitoring; (2) Customer-specific suitability -- the speculative, high-volatility nature of all three investments directly contradicted Margaret's stated conservative objectives and low risk tolerance; (3) Quantitative suitability -- concentrating 85% of her liquid net worth in speculative positions was excessive given her profile. Additionally, under Regulation Best Interest (Reg BI), the Care Obligation requires that a broker exercise reasonable diligence, care, and skill to understand the risks and rewards of a recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest without placing the broker's interest ahead of the customer's. Derek's recommendations clearly failed this standard. Furthermore, Derek appears to have falsified the new account documentation by listing Margaret's risk tolerance as 'moderate growth' when she explicitly stated she was conservative and did not want risky investments, which constitutes a violation of FINRA Rule 4511 (Books and Records) and potentially FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade). Setting the account to electronic-only delivery for a 74-year-old client who does not regularly use email, effectively preventing her from monitoring losses, raises additional concerns about dishonest conduct. The likely regulatory

outcome would include restitution of losses, disgorgement of commissions, a significant fine, a lengthy suspension or permanent bar from the securities industry, and potential referral for fraud charges.

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**Item 183 of 499****NON-COMPLIANT****Topic:** tax\_deferred\_unnecessary\_annuity**Difficulty:** hard**Fact Pattern**

Dr. Rajesh Patel, age 52, is a cardiologist earning approximately \$540,000 per year. He has been diligent about retirement savings throughout his career and currently has \$1.8 million in his employer-sponsored 401(k) plan, \$650,000 in a traditional IRA rolled over from a prior employer's plan, and \$420,000 in a Roth IRA. He also maintains \$280,000 in a taxable brokerage account and owns his home outright, valued at approximately \$1.1 million. Dr. Patel's investment objective is long-term growth for retirement at age 65, and his risk tolerance is moderate-to-aggressive, consistent with his 13-year time horizon and high income. In January 2024, Dr. Patel met with financial advisor Cassandra Mitchell to discuss optimizing his retirement savings. Cassandra recommended that Dr. Patel liquidate his \$650,000 traditional IRA and use the proceeds to purchase a variable annuity with a guaranteed minimum income benefit rider. The annuity carried an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, sub-account management fees averaging 0.85%, and the income rider carried an additional annual charge of 1.10%, bringing the total annual cost to approximately 3.45% of the account value, or roughly \$22,425 per year. The annuity also imposed a seven-year surrender charge schedule starting at 7% and declining by 1% per year. Cassandra earned a 5.5% commission on the sale, totaling \$35,750. Cassandra explained to Dr. Patel that the annuity would provide 'tax-deferred growth' and 'guaranteed lifetime income' in retirement. She did not discuss that the traditional IRA already provided tax-deferred growth, that the annuity's costs were substantially higher than the low-cost index funds available within his IRA, that annuity distributions would be taxed as ordinary income (forfeiting the potential for capital gains treatment on equity growth), or that the surrender charges would limit his access to the funds for seven years. Dr. Patel's existing IRA was invested in a diversified portfolio of Vanguard index funds with a blended expense ratio of 0.07%. Cassandra also did not explore whether Dr. Patel had already maximized his annual 401(k) contributions, whether a backdoor Roth conversion strategy might be more tax-efficient, or whether his existing retirement assets already provided sufficient projected retirement income. An independent analysis later showed that Dr. Patel's existing retirement accounts, assuming 7% average annual growth and continued maximum 401(k) contributions, would generate over \$6.2 million by age 65, far exceeding his projected retirement income needs of approximately \$180,000 per year.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Cassandra Mitchell violated applicable suitability and best interest standards in multiple respects. Under FINRA Rule 2111 (Suitability), the recommendation to liquidate a traditional IRA invested in low-cost index funds (0.07% expense ratio) and replace it with a variable annuity costing 3.45% annually must have a reasonable basis for being suitable given the customer's profile. The central issue is that a variable annuity's primary tax benefit -- tax-deferred growth -- is entirely redundant when the funds are already held within a traditional IRA, which already provides tax deferral. This is a well-recognized red flag in the securities industry. FINRA has consistently emphasized that recommending the purchase of a variable annuity within a tax-advantaged account requires heightened scrutiny and a clear, documented rationale beyond tax deferral to justify the substantially higher costs. Under Regulation Best Interest (Reg BI), the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommendation and to consider reasonably available alternatives. Cassandra

failed this obligation in several ways: (1) She did not consider that the IRA already provided tax deferral, rendering the annuity's tax benefit duplicative; (2) She did not compare costs -- the annuity's 3.45% annual fee versus the existing 0.07% index fund expense ratio represents a 49-fold increase in costs, approximately \$22,000 per year in additional fees that would compound significantly over 13 years; (3) She did not evaluate whether the guaranteed income rider was necessary given that Dr. Patel's projected retirement assets far exceeded his income needs; (4) She failed to discuss reasonably available alternatives such as continuing the existing low-cost IRA strategy, backdoor Roth conversions, or other tax-efficient strategies. The Reg BI Disclosure Obligation was also violated because Cassandra omitted material information about the redundancy of tax deferral, the comparative cost differential, the loss of potential capital gains tax treatment, and the liquidity restrictions imposed by the seven-year surrender schedule. Additionally, under the Conflict of Interest Obligation of Reg BI, Cassandra's \$35,750 commission created a significant financial incentive that she failed to mitigate, and the recommendation appears driven by this compensation rather than Dr. Patel's interests. If Cassandra were an investment adviser representative rather than a broker, this would also constitute a breach of fiduciary duty under the Advisers Act, which requires the advisor to act in the client's best interest and make full and fair disclosure of all material conflicts. The likely regulatory outcome would include an order for restitution of the commission and excess fees paid, disgorgement of Cassandra's compensation, a substantial fine, potential suspension, and a finding that the recommendation was not in the customer's best interest. The case is particularly egregious because of the magnitude of the cost differential, the obvious redundancy of the tax-deferral feature, and the clear absence of any documented rationale for why the annuity's benefits justified its costs relative to the existing investment strategy.

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**Item 184 of 499****NON-COMPLIANT****Topic:** mutual\_fund\_switching\_churning**Difficulty:** medium**Fact Pattern**

Margaret Chen, age 71, is a retired elementary school teacher living in Portland, Oregon. She has a fixed annual income of \$38,000 from her pension and Social Security combined. Her total investable assets are approximately \$285,000, which she has described as her 'nest egg' that must last the rest of her life. She indicated on her account opening documents that her risk tolerance is conservative, her investment objective is capital preservation and income generation, and her time horizon is five to ten years. Between January 2022 and December 2023, her financial advisor, David Kowalski, executed 14 mutual fund switches across her account. In each instance, Kowalski moved Margaret's holdings from one Class A share mutual fund to another Class A share mutual fund within the same asset category -- large-cap U.S. equity funds. Each switch triggered a new front-end sales load ranging from 4.50% to 5.75%. Over the two-year period, Margaret paid approximately \$19,400 in cumulative front-end sales charges. The funds she was switched out of had comparable performance records, expense ratios, and Morningstar ratings to the funds she was switched into. In several cases, the new fund was managed by the same portfolio management team as the prior fund. Kowalski earned approximately \$9,700 in commissions from these transactions. Margaret's account value declined from \$285,000 to \$251,200 over this period, with the sales charges accounting for the majority of the decline. When Margaret questioned the activity, Kowalski told her the switches were necessary to 'stay ahead of the market' and that the new funds had 'better momentum.' No written analysis or documentation comparing the old and new funds was provided to Margaret.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, David Kowalski violated applicable standards on multiple grounds.

**\*\*FINRA Suitability (Rule 2111):\*\*** FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. This rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Kowalski violated all three. First, there was no reasonable basis for switching between substantially identical large-cap equity funds 14 times -- the funds had comparable performance, expense ratios, and ratings, meaning no objective investment rationale supported the switches. Second, the customer-specific suitability obligation was violated because Margaret's conservative risk tolerance and capital preservation objective are fundamentally inconsistent with a strategy that generated nearly \$19,400 in unnecessary sales charges, eroding her limited retirement savings. Third, the pattern of 14 switches in 24 months in a conservative retiree's account raises serious quantitative suitability concerns indicative of churning.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under Reg BI's Care Obligation, Kowalski was required to exercise reasonable diligence, care, and skill in making recommendations, considering the costs of the transactions. The repeated imposition of front-end loads with no meaningful change in investment exposure demonstrates a failure to consider costs. The Disclosure Obligation also likely was not met, as Kowalski provided no written comparative analysis. Under Reg BI's Conflict of Interest Obligation, the fact that Kowalski earned \$9,700 in commissions -- which were the primary

economic effect of the transactions -- demonstrates that his financial interest was not adequately identified, disclosed, or mitigated.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** The pattern of generating commissions through unnecessary switches in a vulnerable retiree's account may also constitute a violation of just and equitable principles of trade.

**\*\*FINRA Rule 11580 (Mutual Fund Switching):\*\*** FINRA has long scrutinized mutual fund switching where new sales charges are imposed without a demonstrable investment benefit, and FINRA Notice to Members 94-16 specifically addresses this concern.

**\*\*Likely Regulatory Outcome:\*\*** Kowalski would likely face FINRA enforcement action resulting in disgorgement of commissions, restitution to Margaret of approximately \$19,400 in unnecessary sales charges, a fine, and a potential suspension or bar depending on his disciplinary history. His firm could face supervisory failure charges if it lacked adequate systems to flag the excessive switching activity.

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**Item 185 of 499****NON-COMPLIANT****Topic:** structured\_products\_unsuitable**Difficulty:** hard**Fact Pattern**

Robert and Diane Nakamura, ages 78 and 75 respectively, are a retired couple in Scottsdale, Arizona. Robert is a former auto mechanic and Diane worked as a dental hygienist. Their combined annual income from Social Security and a small annuity is \$52,000. Their total liquid net worth is approximately \$420,000, held in a joint brokerage account and a traditional IRA. They have no other significant assets beyond their home, which is paid off. Both listed their risk tolerance as moderate on their new account forms, with investment objectives of income and capital preservation. They have no prior experience with complex financial products, and their account documentation notes their investment experience as 'limited -- primarily CDs and money market funds.' In March 2023, their advisor, Pamela Rhodes, recommended they invest \$310,000 -- approximately 74% of their liquid assets -- into three separate reverse convertible notes linked to individual technology stocks: \$110,000 linked to a semiconductor company, \$100,000 linked to a social media company, and \$100,000 linked to a cloud computing firm. The notes had 12-month maturities and offered coupon rates between 9.5% and 12.0%. Each note included a knock-in barrier set at 60% of the initial stock price, meaning if any underlying stock fell 40% or more during the term, the Nakamuras would receive shares of the depreciated stock instead of their principal. Rhodes earned a total selling concession of approximately \$12,400 on the three transactions. She told the Nakamuras the products were 'like CDs but with better interest rates' and did not explain the knock-in barrier mechanism, the credit risk of the issuing bank, or the fact that their downside exposure was equivalent to owning the underlying volatile technology stocks. She did not discuss the lack of liquidity, as the notes had no secondary market. By March 2024, one of the underlying stocks had declined 52%, triggering the knock-in provision. The Nakamuras received shares worth approximately \$52,800 instead of their \$110,000 principal on that note, resulting in a loss of \$57,200. Their overall portfolio declined by approximately \$48,000 after accounting for coupon payments received on all three notes. The Nakamuras stated they never would have invested in these products had they understood they could lose a substantial portion of their principal.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Pamela Rhodes committed serious violations across multiple applicable regulatory frameworks.

**\*\*FINRA Suitability (Rule 2111):\*\*** Reverse convertible notes are complex structured products that embed short put options on underlying equities. They carry significant market risk (potential for substantial principal loss), credit risk (exposure to the issuing bank's default), and liquidity risk (typically no secondary market). FINRA has specifically highlighted concerns about the sale of structured products to retail investors.

Regarding reasonable-basis suitability, Rhodes failed to understand the products sufficiently to recommend them. Her characterization of reverse convertibles as 'like CDs but with better interest rates' demonstrates either a fundamental misunderstanding of the products or deliberate misrepresentation. CDs are FDIC-insured instruments with no principal risk; reverse convertibles can result in total loss of principal.

Regarding customer-specific suitability, the Nakamuras' profile is deeply inconsistent with these products. They are

elderly (ages 78 and 75), have limited investment experience confined to CDs and money market funds, have moderate risk tolerance with income and capital preservation objectives, and have no ability to absorb significant losses given their fixed income of \$52,000. Concentrating 74% of their liquid assets in three volatile single-stock-linked structured notes is egregiously unsuitable.

**\*\*Regulation Best Interest (Reg BI):\*\*** The Care Obligation under Reg BI requires that the advisor exercise reasonable diligence, care, and skill, consider reasonably available alternatives, and consider costs. Rhodes failed on all counts. She did not consider simpler, lower-risk income-producing alternatives such as Treasury bonds, investment-grade corporate bonds, or diversified bond funds that would have met the Nakamuras' income objective without exposing them to catastrophic principal loss. The \$12,400 selling concession -- significantly higher than fees on simpler alternatives -- created a conflict that was neither disclosed nor mitigated.

The Disclosure Obligation was also violated. Rhodes failed to explain material product features including the knock-in barrier, the credit risk of the issuer, the embedded short put option exposure, and the absence of a secondary market. Describing these instruments as CD-like constitutes a material misrepresentation.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Mischaracterizing a complex, risky structured product as similar to a CD to elderly, unsophisticated investors is conduct inconsistent with just and equitable principles of trade and high standards of commercial honor.

**\*\*FINRA Rule 2210 (Communications with the Public):\*\*** Any sales materials or verbal representations characterizing reverse convertibles as CD-like would constitute misleading communications.

**\*\*Additional Considerations:\*\*** FINRA Regulatory Notices 09-73 and 12-03 specifically address heightened suitability obligations for complex products including structured notes. These notices emphasize that firms and advisors must perform rigorous suitability analyses before recommending such products and must ensure customers understand the risks.

**\*\*Concentration Risk:\*\*** Allocating 74% of the Nakamuras' liquid assets to three single-stock-linked structured products also violates reasonable diversification principles and amplifies the unsuitability of the recommendation.

**\*\*Likely Regulatory Outcome:\*\*** Rhodes would likely face FINRA enforcement resulting in restitution of all losses (approximately \$48,000 net of coupons received), disgorgement of her \$12,400 selling concession, a substantial fine, and a lengthy suspension or permanent bar given the egregiousness of the misconduct -- particularly the misrepresentation to elderly, unsophisticated customers. Her firm would likely face supervisory failure charges, especially if it lacked adequate procedures for reviewing structured product sales to vulnerable investors. The Nakamuras would also have strong claims in a FINRA arbitration proceeding for compensatory damages, and potentially punitive damages given the misrepresentation involved.

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**Item 186 of 499****NON-COMPLIANT****Topic:** annuity\_unnecessary\_switching**Difficulty:** medium**Fact Pattern**

Margaret Holloway, age 68, is a retired schoolteacher living in suburban Ohio with an annual pension income of \$42,000 and Social Security benefits of \$22,800. Her total liquid savings amounted to approximately \$310,000, nearly all of which was held in annuity products. In March 2021, her financial advisor, Dennis Pryor, recommended she surrender a fixed indexed annuity she had purchased just 26 months earlier -- a product with a 7-year surrender period -- and use the proceeds to purchase a new variable annuity from a different insurance carrier. Margaret paid a surrender charge of \$11,200 (approximately 4.5% of the \$249,000 contract value) upon liquidation. The new variable annuity carried a mortality and expense charge of 1.35% annually, an administrative fee of \$50 per year, and underlying sub-account expense ratios averaging 0.92%. It also carried a new 8-year surrender schedule beginning at 8% in year one. Margaret's investment profile, documented in her account records, listed her risk tolerance as conservative, her investment objective as capital preservation with modest income, and her time horizon as 5 to 7 years. The new annuity included an optional living benefit rider at an additional annual cost of 1.10%, which Margaret's previous annuity had already provided through a similar rider at a cost of 0.95%. Dennis Pryor earned a commission of \$14,940 (approximately 6% of the new contract value) on the replacement transaction. Margaret's account records contained no documentation explaining why the new annuity was materially superior to the existing one or how the benefits of switching outweighed the surrender charges and new surrender period. Within 18 months, Margaret contacted the firm to complain that she had not understood she would face another lengthy surrender period and that the fees on the new product were higher than what she had been paying before.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Dennis Pryor likely violated applicable standards on multiple grounds. Under FINRA Rule 2111 (Suitability), a registered representative must have a reasonable basis for believing that a recommended transaction is suitable for the customer in light of the customer's investment profile. Quantitative suitability and customer-specific suitability both apply. Additionally, FINRA Rule 2330 specifically governs variable annuity transactions and imposes heightened obligations when a recommendation involves the exchange or replacement of an existing annuity. Under Rule 2330(b), the advisor must consider whether the customer would incur a surrender charge, whether the customer would be subject to a new surrender period, whether the replacement product offers materially different features or benefits, and whether the customer would benefit from the replacement given the costs. Here, the switch imposed an \$11,200 surrender charge, reset the surrender clock to 8 years (longer than the original), and moved Margaret into a product with higher total annual fees (1.35% M&E + 0.92% sub-account + 1.10% rider = approximately 3.37% versus the lower cost structure of the prior annuity). The living benefit rider was substantively similar to what she already had, at a higher cost. No documented rationale justified why the new product was materially superior. Under Regulation Best Interest (Reg BI), which took effect in June 2020 and was applicable at the time of this March 2021 transaction, broker-dealers and their associated persons must act in the retail customer's best interest and cannot place their own financial interest ahead of the customer's. The Care Obligation under Reg BI requires that the advisor exercise reasonable diligence, care, and skill in making recommendations, and specifically must consider reasonably available alternatives and the costs of the recommendation. The \$14,940 commission created a significant financial incentive for the switch, and the

lack of any documentation showing the new annuity was materially better strongly suggests the recommendation was driven by commission generation rather than customer benefit. This is a classic case of unnecessary annuity switching (sometimes called 'churning' in the annuity context). Regulatory outcomes would likely include customer restitution of the surrender charge plus excess fees, disgorgement of the advisor's commission, fines, and potentially a suspension or bar for the advisor depending on his disciplinary history. The firm could also face supervisory failure charges under FINRA Rule 3110 if it failed to review the annuity replacement adequately.

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## Item 187 of 499

### COMPLIANT

**Topic:** lack\_of\_diversification

**Difficulty:** hard

### Fact Pattern

Victor Samuels, age 52, is a senior software architect at a publicly traded technology company earning \$385,000 annually. He has a net worth of approximately \$4.8 million, including \$1.9 million in vested company stock options, a \$1.2 million 401(k) diversified across index funds and bond funds, \$620,000 in a taxable brokerage account, \$310,000 in real estate equity in a rental property, and \$770,000 in cash and money market accounts. In January 2023, Victor approached his financial advisor, Karen Liu, at a registered investment advisory firm, stating he wanted to build a concentrated portfolio of 8 to 12 individual technology and semiconductor stocks in his taxable brokerage account. He explained that he had deep professional expertise in the sector, understood the volatility inherent in tech equities, and believed strongly in the long-term growth trajectory of AI-related semiconductor companies. His documented investment profile listed his risk tolerance as aggressive, his time horizon as 15+ years (targeting retirement at 67), and his investment objective as long-term capital appreciation. Karen discussed with Victor the risks of sector concentration, including the potential for significant drawdowns, correlation risk among semiconductor names, and the fact that he already had substantial technology exposure through his company stock options. She prepared a written analysis showing that his overall portfolio -- including the 401(k), rental property, cash holdings, and company stock -- would have approximately 38% allocated to technology-related assets if she built the concentrated semiconductor portfolio he requested in the \$620,000 brokerage account. She recommended he consider hedging some of his company stock option exposure through a collar strategy and that he maintain his diversified 401(k) and cash reserves unchanged. Victor acknowledged the risks in writing, declined the collar strategy on his options, and instructed Karen to proceed with building the concentrated semiconductor portfolio. Karen constructed a portfolio of 10 semiconductor and AI-related stocks in the brokerage account, rebalanced quarterly, and maintained detailed notes of each conversation, the written risk disclosure, and Victor's signed acknowledgment of the concentration risks. She also set up annual reviews to reassess the allocation in the context of Victor's total wealth picture.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

No, Karen Liu likely did not violate applicable suitability or best interest standards, though this is a nuanced situation requiring careful analysis. Under the Investment Advisers Act of 1940, investment advisers owe a fiduciary duty to their clients, which includes the duties of care and loyalty. The duty of care requires the adviser to provide advice that is in the client's best interest, considering the client's full financial situation, objectives, and risk tolerance. Lack of diversification can constitute a violation when it exposes a client to unreasonable concentration risk inconsistent with their profile. However, FINRA Rule 2111 (Suitability) and SEC guidance on fiduciary duty recognize that concentration is not per se unsuitable -- the analysis is customer-specific. Here, several factors weigh in Karen's favor: (1) Victor is a sophisticated, high-income investor with deep domain expertise in the technology sector and a demonstrated understanding of the risks; (2) his overall net worth of \$4.8 million means the \$620,000 concentrated position represents approximately 13% of his total wealth, and even including his company stock options, his technology exposure at 38% is elevated but not unreasonable for an aggressive investor with a 15+ year horizon; (3) Karen conducted a holistic portfolio analysis considering all of Victor's assets, not just the brokerage account in isolation; (4) she affirmatively warned Victor about concentration risk, sector correlation, and the compounding effect of his existing

company stock exposure; (5) she recommended a hedging strategy for the options, which Victor declined; (6) she documented everything thoroughly, including Victor's written acknowledgment of the risks; and (7) she established ongoing monitoring through quarterly rebalancing and annual reviews. Under Reg BI's Care Obligation (for broker-dealers) or the analogous fiduciary standard for investment advisers, an advisor must consider the customer's investment profile and exercise reasonable diligence. Karen satisfied these requirements by performing comprehensive analysis, disclosing risks, recommending risk mitigation, respecting the client's informed autonomy, and maintaining robust documentation. A regulator examining this fact pattern would likely find that the advisor fulfilled her obligations. The key distinguishing factors are Victor's sophistication, aggressive risk tolerance, long time horizon, the relatively moderate concentration as a percentage of total wealth, and the thorough documentation of the advisory process.

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**Item 188 of 499****NON-COMPLIANT****Topic:** excessive\_load\_funds**Difficulty:** medium**Fact Pattern**

Margaret Chen, age 62, is a retired school librarian living in suburban Ohio. She has a total investable portfolio of \$285,000, consisting primarily of proceeds from a pension lump-sum distribution. Her annual retirement income from Social Security is \$22,800. She described her investment objectives as capital preservation and moderate income generation, with a conservative risk tolerance. She told her financial advisor, Derek Paulson, that she wanted her money to last through retirement and was uncomfortable with significant market fluctuations. In March 2023, Paulson recommended that Margaret invest \$240,000 across five different Class A mutual funds, each carrying front-end sales loads ranging from 4.75% to 5.75%. The funds included a large-cap growth fund, a mid-cap aggressive growth fund, an emerging markets equity fund, a high-yield bond fund, and a technology sector fund. The total upfront commissions paid from Margaret's investment were approximately \$12,960. Paulson did not discuss lower-cost share classes, no-load index funds, or institutional share classes that were available on his firm's platform. He also did not inform Margaret that the firm offered fee-based advisory accounts where she could have accessed similar strategies without front-end loads. Several of the funds had annual expense ratios exceeding 1.30%. Within seven months, Margaret's portfolio had declined by approximately 14% due to the aggressive equity exposure combined with the upfront load charges. She contacted the branch manager in October 2023, expressing alarm that her retirement savings had dropped to roughly \$193,000.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Paulson likely violated both FINRA's suitability requirements under Rule 2111 and Regulation Best Interest (Reg BI) under the Securities Exchange Act. Multiple layers of violations are evident.

**\*\*1. Reasonable-Basis Suitability / Care Obligation (Reg BI):\*\*** Under FINRA Rule 2111's reasonable-basis component, a broker must have a reasonable basis to believe a recommendation is suitable for at least some investors. More critically, the customer-specific component requires that the recommendation be suitable for the particular customer based on their investment profile. Reg BI's Care Obligation similarly requires the broker to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile including risk tolerance, time horizon, and financial situation. Allocating 84% of a 62-year-old conservative retiree's portfolio into aggressive equity funds (large-cap growth, mid-cap aggressive growth, emerging markets, and a technology sector fund) is fundamentally inconsistent with her stated objectives of capital preservation and moderate income. Only the high-yield bond fund arguably generates income, and even that carries elevated credit risk.

**\*\*2. Quantitative Suitability / Excessive Costs:\*\*** The front-end loads totaling approximately \$12,960 on a \$285,000 portfolio represent an immediate 4.5% drag on Margaret's total assets. Under Reg BI's Care Obligation, a broker must consider reasonably available alternatives, including cost. Paulson failed to consider or present lower-cost share classes, no-load index alternatives, or fee-based account structures that were available on his own platform. FINRA has consistently held that recommending higher-cost products when lower-cost alternatives exist and would better serve the customer raises serious suitability and best interest concerns.

**\*\*3. Concentration and Lack of Diversification:\*\*** Under FINRA Rule 2111 and Reg BI, recommending a heavily equity-concentrated portfolio to a conservative retiree with limited income sources constitutes a violation of customer-specific suitability. The portfolio lacked meaningful fixed-income or capital preservation allocations despite Margaret's explicit objectives.

**\*\*4. Disclosure Failures:\*\*** Reg BI's Disclosure Obligation requires that material facts about the recommendation be disclosed, including costs and conflicts of interest. The significant commission income generated by Class A shares creates a conflict that should have been clearly communicated, along with the availability of lower-cost alternatives.

**\*\*Likely Regulatory Outcome:\*\*** A FINRA examination or enforcement action would likely result in findings of suitability violations and Reg BI breaches. Potential consequences include customer restitution of approximately \$12,960 in excessive loads plus investment losses attributable to unsuitable allocation, supervisory fines against the firm for failure to supervise under FINRA Rule 3110, and potential suspension and fines for Paulson. The branch manager's failure to act on Margaret's complaint could also trigger additional supervisory liability.

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## Item 189 of 499

### COMPLIANT

**Topic:** unsuitable\_income\_investor

**Difficulty:** easy

### Fact Pattern

Harold Briggs, age 71, is a retired electrician from Tampa, Florida, with a total portfolio of \$520,000. He receives \$2,400 per month from Social Security and a \$1,100 monthly pension. Harold told his financial advisor, Lisa Yamamoto, that his primary goal was generating steady income to supplement his fixed monthly expenses while preserving his principal to the greatest extent possible. He described his risk tolerance as conservative and noted that he had no dependents and owned his home outright with no mortgage. In January 2024, Yamamoto recommended the following allocation: \$260,000 (50%) in a diversified investment-grade bond fund with an average duration of 4.2 years and an expense ratio of 0.18%; \$104,000 (20%) in a short-term Treasury ETF with an expense ratio of 0.07%; \$78,000 (15%) in a dividend-focused large-cap equity ETF with an expense ratio of 0.22% and a trailing 12-month yield of 3.1%; and \$78,000 (15%) in a money market fund yielding approximately 5.1% at the time. The combined portfolio was projected to generate roughly \$17,500 in annual income. Yamamoto documented Harold's risk profile, investment objectives, time horizon, and liquidity needs in a written financial plan. She discussed the potential for bond price fluctuations with rising interest rates and explained that the small equity allocation was designed to provide modest growth to offset inflation. She also presented two alternative allocations -- one all-fixed-income and one with a higher equity weighting -- and explained the trade-offs of each before Harold selected the recommended portfolio. No front-end loads were charged on any position, and all products were available without transaction fees on the firm's platform.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

No, Lisa Yamamoto appears to have acted in full compliance with both FINRA Rule 2111 (Suitability) and Regulation Best Interest (Reg BI).

**\*\*1. Customer-Specific Suitability / Care Obligation:\*\*** The recommended portfolio is well-aligned with Harold's stated objectives of income generation and capital preservation. The 85% fixed-income and cash allocation (investment-grade bonds, short-term Treasuries, and money market) is appropriately conservative for a 71-year-old retiree with a conservative risk tolerance. The modest 15% equity allocation in a dividend-focused large-cap ETF provides some inflation protection and additional income without introducing excessive risk. This allocation satisfies both the reasonable-basis and customer-specific components of FINRA Rule 2111, as well as Reg BI's Care Obligation requirement that the recommendation be in the customer's best interest considering their investment profile.

**\*\*2. Cost Consideration:\*\*** All recommended products feature low expense ratios (0.07% to 0.22%), and no front-end or back-end sales loads were charged. Under Reg BI's Care Obligation, advisors must consider the costs of a recommendation. Yamamoto selected institutional-quality, low-cost vehicles appropriate for Harold's account size, demonstrating appropriate cost consciousness.

**\*\*3. Reasonably Available Alternatives:\*\*** Yamamoto presented Harold with two alternative allocation strategies and discussed the trade-offs, allowing him to make an informed decision. This directly satisfies Reg BI's requirement that the advisor consider reasonably available alternatives and not place the advisor's interests ahead of the customer's.

**\*\*4. Documentation and Disclosure:\*\*** Yamamoto created a written financial plan documenting Harold's risk profile, objectives, time horizon, and liquidity needs. She disclosed potential risks including interest rate sensitivity. This thorough documentation satisfies Reg BI's Disclosure Obligation and reflects sound compliance practices under FINRA Rule 2111 and FINRA Rule 3110 (supervisory requirements).

**\*\*5. Conflict of Interest:\*\*** With no loads and low-cost ETFs and funds, there is no indication that Yamamoto's compensation incentives drove the recommendation, satisfying Reg BI's Conflict of Interest Obligation.

**\*\*Likely Regulatory Outcome:\*\*** No violation would be found. This scenario represents a well-documented, thoughtful recommendation process that aligns the customer's needs with appropriate, cost-effective investment products.

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## Item 190 of 499

### NON-COMPLIANT

**Topic:** market\_timing\_unsuitable

**Difficulty:** medium

### Fact Pattern

Gerald Hoffman, age 71, is a retired postal worker living in Omaha, Nebraska with an annual pension income of \$38,000 and total liquid savings of approximately \$310,000. His risk tolerance is conservative, and his primary investment objectives are capital preservation and supplemental income to cover medical expenses for his wife, who has early-stage dementia requiring in-home care costing roughly \$2,400 per month. In March 2020, his financial advisor, Derek Sloane, recommended Gerald purchase a variable annuity from Pacific National Life for \$185,000, which carried a seven-year surrender schedule starting at 7% in year one and declining by 1% each year. The product paid Sloane a 6.5% upfront commission of \$12,025. Fourteen months later, in May 2021, Sloane contacted Gerald and told him that a 'significantly better' annuity product had become available through Heartland Guaranty Insurance, offering a slightly higher income rider rate of 5.25% compared to the 5.0% rider on the Pacific National product. Sloane recommended Gerald surrender the Pacific National annuity and purchase the Heartland product for \$173,900 (reflecting the \$11,100 surrender penalty on the original annuity). The Heartland annuity carried its own new seven-year surrender schedule beginning at 8%, and Sloane received another upfront commission of \$11,303.50 (6.5%). Then in September 2022, just sixteen months after the Heartland purchase, Sloane again called Gerald recommending yet another exchange into a product from Summit Secure Life, citing a marginally improved death benefit feature. Gerald surrendered the Heartland annuity, incurring a \$12,173 surrender charge, and invested the remaining \$161,727 into the Summit product, which carried a new eight-year surrender period. Sloane earned a third commission of \$10,512.26. Over the span of roughly 30 months, Gerald's original \$185,000 investment had been reduced to \$161,727 through surrender penalties alone -- a loss of \$23,273, or 12.6% -- while Sloane collected total commissions of \$33,840.76. Gerald's account value never meaningfully increased, and the marginal improvements in rider rates and death benefits were negligible relative to the costs incurred. Gerald was never informed in writing of the total surrender charges he would face or given a side-by-side comparison of the old versus new products.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Sloane violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, time horizon, liquidity needs, and investment objectives. Rule 2111 encompasses three obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934:\*\*** If these transactions occurred after June 30, 2020 (which the May 2021 and September 2022 exchanges did), Reg BI requires broker-dealers to act in the retail customer's best interest at the time of the recommendation, without placing the financial or other interest of the

broker ahead of the customer. Reg BI's Care Obligation requires reasonable diligence, care, and skill in making recommendations, including evaluating costs and reasonably available alternatives. The Disclosure Obligation requires full and fair disclosure of material facts, including conflicts of interest such as commission-driven incentives.

3. **FINRA Rule 2330 (Variable Annuity Suitability):** This rule specifically governs variable annuity recommendations and exchanges. It requires that when recommending an exchange, the broker must consider whether the customer would incur a surrender charge, be subject to a new surrender period, lose existing benefits, and whether the new product offers materially better features sufficient to justify the costs. A principal must review and approve annuity exchange transactions before execution.

**Analysis of Violations:**

- **Quantitative Suitability / Churning:** Three annuity exchanges in 30 months, each resetting lengthy surrender periods and generating fresh commissions totaling \$33,840.76 (over 18% of the original investment), strongly indicates excessive trading designed to generate commissions rather than benefit the client. The pattern of serial exchanges -- sometimes called "annuity switching" or "twisting" -- is a classic violation.

- **Customer-Specific Suitability:** Gerald is a 71-year-old conservative investor with significant ongoing liquidity needs (\$2,400/month for his wife's care). Locking his money into successive products with 7- to 8-year surrender periods is fundamentally incompatible with his profile. Each exchange further eroded his principal and extended his illiquidity.

- **Cost-Benefit Analysis:** The marginal improvements (a 0.25% bump in income rider rate, a slightly better death benefit) were negligible compared to the \$23,273 in surrender penalties and the resetting of surrender schedules. No reasonable cost-benefit analysis could justify these exchanges.

- **Disclosure Failures:** Sloane failed to provide written surrender charge disclosures or side-by-side product comparisons, violating both Reg BI's Disclosure Obligation and FINRA Rule 2330's documentation requirements.

- **Conflict of Interest:** Sloane earned \$33,840.76 in commissions, demonstrating that his financial interest -- not Gerald's -- was the primary driver of the recommendations, violating Reg BI's Conflict of Interest Obligation.

**Likely Regulatory Outcome:** Sloane faces potential FINRA disciplinary action including fines, disgorgement of commissions, suspension or bar from the industry, and customer restitution. His firm may face supervisory failure charges under FINRA Rule 3110 if it failed to flag serial annuity exchanges. Gerald may also pursue FINRA arbitration for compensatory damages.

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## Item 191 of 499

### NON-COMPLIANT

**Topic:** high\_fees\_unsuitable

**Difficulty:** hard

### Fact Pattern

Priya Ramanathan, age 44, is a software engineering manager in Austin, Texas earning \$195,000 annually. She is recently divorced and received \$420,000 in liquid assets as part of her divorce settlement. Priya told her financial advisor, Marcus Jennings, during their initial meeting in January 2023 that she needed to use approximately \$150,000 of the funds within 18 months to make a down payment on a new home and also wanted to set aside \$50,000 as an emergency reserve. She described herself as having moderate risk tolerance for the remaining funds and stated she wanted long-term growth for eventual retirement. Priya had limited investment experience -- she had participated in her employer's 401(k) with target-date funds but had never managed a brokerage account. Jennings recommended the following allocation for the entire \$420,000: \$160,000 into a non-traded REIT (Apex Industrial Income Trust) with an 8.5% upfront sales load and no redemption permitted for at least five years unless the client experienced qualifying hardship; \$120,000 into a non-traded business development company (Meridian Capital Lending Fund) carrying a 5.5% upfront commission and a three-year lock-up with early redemption penalties of 10% in year one, 5% in year two, and 2% in year three; \$80,000 into a Class A mutual fund (American Growth Leaders Fund) with a 5.75% front-end load; and \$60,000 into a high-yield bond fund (Pinnacle Credit Opportunities Fund) with a 4.25% front-end load and an annual expense ratio of 1.85%. Total upfront fees and loads across the portfolio came to approximately \$30,850 -- roughly 7.3% of Priya's total assets. None of the \$420,000 was placed in liquid, low-cost vehicles suitable for her stated 18-month home purchase timeline or emergency reserve needs. When Priya attempted to access \$150,000 in July 2024 for her home down payment, she was informed that \$280,000 of her money was locked up in illiquid products and that early redemption would cost her between \$8,000 and \$16,000 in penalties. She was ultimately unable to purchase the home on her desired timeline. Jennings earned approximately \$28,200 in total commissions from the four product recommendations. He did not document any discussion of lower-cost or more liquid alternatives, nor did he create a written financial plan addressing Priya's stated short-term liquidity needs.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Marcus Jennings committed serious violations of applicable suitability and best interest standards.

**\*\*Applicable Standards:\*\***

- \*\*Regulation Best Interest (Reg BI):\*\*** Since these recommendations were made in January 2023, Reg BI applies. It requires that broker-dealers act in the retail customer's best interest and imposes four component obligations: Disclosure, Care, Conflict of Interest, and Compliance.
- \*\*FINRA Rule 2111 (Suitability):\*\*** Requires reasonable-basis, customer-specific, and quantitative suitability for all recommendations. The advisor must consider the customer's investment profile holistically, including liquidity needs, time horizon, risk tolerance, and financial situation.
- \*\*FINRA Regulatory Notices on Non-Traded REITs and BDCs:\*\*** FINRA has issued extensive guidance (e.g.,

Regulatory Notice 15-02 on non-traded REITs and Notice 13-18 on non-traded BDCs) emphasizing that these illiquid products are generally unsuitable for investors with short-term liquidity needs, limited investment experience, or moderate risk tolerances. Concentration limits (often recommended at no more than 10% of liquid net worth in any single illiquid product) are commonly imposed by firm compliance policies.

4. **Fiduciary Considerations:** If Jennings held himself out as providing financial planning advice or operated in a dual-registered capacity, fiduciary duties under the Investment Advisers Act of 1940 may also apply, requiring him to act in the client's best interest with full loyalty and care.

**Analysis of Violations:**

- **Care Obligation (Reg BI) / Customer-Specific Suitability:** Priya explicitly stated she needed \$150,000 within 18 months for a home down payment and \$50,000 for emergency reserves. That means \$200,000 -- nearly half her liquid assets -- required high liquidity and capital preservation. Jennings placed 100% of her assets into products with significant loads, lock-ups, or both. This is a direct contradiction of her stated needs and time horizon. The Care Obligation requires the advisor to consider reasonably available alternatives; lower-cost, liquid options such as money market funds, Treasury bills, short-term bond ETFs, or high-yield savings accounts were obvious alternatives for the short-term portion.

- **Concentration in Illiquid Products:** \$280,000 (66.7% of total assets) was placed in non-traded, illiquid products with multi-year lock-ups. For an investor with limited sophistication, moderate risk tolerance, and a near-term \$200,000 liquidity need, this concentration is egregiously unsuitable. Even the remaining \$140,000 in mutual funds carried high front-end loads that immediately reduced her investable principal.

- **Excessive Costs:** Total upfront fees of approximately \$30,850 (7.3% of assets) represent a significant drag on performance and are difficult to justify when lower-cost alternatives exist. The 8.5% load on the non-traded REIT alone consumed \$13,600 of Priya's capital. Reg BI's Care Obligation requires the advisor to evaluate costs relative to alternatives and the customer's objectives.

- **Disclosure Failures:** Jennings did not document discussions of lower-cost or more liquid alternatives, nor did he provide a written financial plan addressing her stated liquidity timeline. Reg BI's Disclosure Obligation requires full and fair disclosure of material facts including conflicts of interest (his substantial commission income) and product-specific risks (illiquidity, lock-ups, redemption penalties).

- **Conflict of Interest:** Jennings earned \$28,200 in commissions, creating an obvious financial incentive to recommend high-commission illiquid products over lower-cost liquid alternatives. Reg BI's Conflict of Interest Obligation requires firms to identify, disclose, and mitigate or eliminate conflicts that create incentives for the advisor to place their interest ahead of the customer's. The commission disparity between the recommended products and suitable alternatives (e.g., no-load index funds, Treasury instruments) is stark evidence that the conflict was not mitigated.

- **Harm to the Customer:** Priya was unable to purchase her home on her desired timeline -- a concrete, foreseeable harm that flows directly from the unsuitable recommendations. She also faces \$8,000-\$16,000 in early redemption penalties if she attempts to access her locked-up funds.

**Likely Regulatory Outcome:** Jennings faces substantial liability. FINRA could impose fines, disgorgement of commissions (\$28,200), restitution to Priya for all losses including surrender penalties and opportunity costs, and a suspension or bar from the industry depending on his disciplinary history. His firm could face supervisory violation charges under FINRA Rule 3110 if it approved these transactions without adequate review of Priya's customer profile and liquidity needs. Priya would have strong claims in FINRA arbitration for compensatory damages, potentially including consequential damages related to her inability to purchase the home. State securities regulators could also

bring parallel actions.

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**Item 192 of 499****NON-COMPLIANT****Topic:** private\_placements\_unsuitable**Difficulty:** medium**Fact Pattern**

Margaret Dawson, age 72, is a retired schoolteacher living in rural Pennsylvania on a fixed income of approximately \$2,800 per month from Social Security and a small pension. Her total liquid savings amounted to \$185,000, held in a brokerage account she opened in 2019. On her new account form, she indicated a conservative risk tolerance, an investment objective of capital preservation and income, a moderate investment time horizon of 5-7 years, and limited investment experience consisting primarily of certificates of deposit and a single mutual fund she had held for decades. She told her advisor, Kevin Brandt, that this money needed to last her through retirement and that she could not afford to lose any significant portion of it. In March 2022, Brandt recommended that Margaret invest \$110,000 -- roughly 59% of her liquid net worth -- into two private placement offerings: \$60,000 into a non-traded real estate investment trust focused on commercial office properties, and \$50,000 into a private oil and gas exploration limited partnership. Brandt told Margaret these investments would generate 'steady income like a CD but with much better returns,' projecting annual distributions of 8-10%. He did not clearly explain that both investments carried substantial illiquidity periods of 7-10 years, that the oil and gas partnership involved speculative exploration risk with no guarantee of return of principal, that the upfront commissions and fees totaled approximately 12-15% of her invested capital, or that the commercial office REIT was already experiencing declining occupancy rates in a post-pandemic environment. By late 2023, the oil and gas partnership had suspended distributions entirely after two dry wells, and the non-traded REIT had reduced its estimated share value by 30%. Margaret, now 73, has been unable to access her funds and has had to rely on her adult daughter for supplemental living expenses.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Brandt clearly violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. This rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Under Regulation Best Interest (Reg BI), which became effective June 30, 2020, broker-dealers and their associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing the financial interest of the broker ahead of the customer's interest. This includes the Care Obligation (making recommendations with reasonable diligence, care, and skill, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation), and the Disclosure Obligation (providing full and fair disclosure of all material facts, including conflicts of interest).

FINRA Rule 2310 (Direct Participation Programs) imposes additional suitability requirements specifically for investments such as limited partnerships and non-traded REITs, requiring brokers to have reasonable grounds for believing the customer can benefit from the program and can bear the economic risk.

**\*\*Analysis of Violations:\*\***

1. **\*\*Customer-Specific Suitability / Care Obligation Violation:\*\*** Margaret's profile -- a 72-year-old retiree on fixed income with conservative risk tolerance, capital preservation objectives, limited investment experience, and a 5-7 year time horizon -- is fundamentally incompatible with speculative private placements. Allocating 59% of her liquid net worth to illiquid, high-risk investments directly contradicts her stated needs and objectives. A speculative oil and gas exploration partnership is categorically unsuitable for a conservative, income-dependent retiree.
2. **\*\*Concentration Risk:\*\*** Placing nearly 60% of a conservative retiree's liquid assets into two illiquid private placements creates an unreasonable concentration that exposes the client to catastrophic risk, violating both FINRA suitability requirements and the Reg BI Care Obligation.
3. **\*\*Liquidity Mismatch:\*\*** Both investments carried lock-up periods of 7-10 years. For a 72-year-old client who explicitly stated she needed these funds to last through retirement, recommending investments she could not access for a decade is a clear violation.
4. **\*\*Disclosure Failures / Reg BI Disclosure Obligation:\*\*** Brandt's characterization of these investments as similar to CDs with better returns was materially misleading. He failed to disclose the illiquidity risk, the speculative nature of the oil and gas program, the high upfront fees (12-15%), and the declining fundamentals of the office REIT. This violates the Reg BI Disclosure Obligation and could also constitute a misrepresentation under FINRA Rule 2020.
5. **\*\*Conflict of Interest / Reg BI Conflict of Interest Obligation:\*\*** The 12-15% upfront commissions on these products represent a significant financial incentive for Brandt that likely motivated the recommendation, placing his interests ahead of Margaret's -- a direct violation of Reg BI's requirement not to place the financial interest of the broker ahead of the customer.

**\*\*Likely Regulatory Outcome:\*\*** Brandt faces potential FINRA enforcement action resulting in fines, disgorgement of commissions, suspension or bar from the industry, and mandatory restitution to Margaret. The firm that supervised Brandt could face supervisory failure charges under FINRA Rule 3110. Margaret would also have strong grounds for a FINRA arbitration claim seeking full compensatory damages.

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## Item 193 of 499

### NON-COMPLIANT

**Topic:** structured\_products\_unsuitable

**Difficulty:** hard

### Fact Pattern

The Nguyen family -- Tran Nguyen, age 44, and his wife Linh, age 41 -- are first-generation immigrants from Vietnam who operate a small dry-cleaning business in Houston, Texas. Combined, they earn approximately \$78,000 annually. Over 15 years of disciplined saving, they accumulated \$240,000 in a joint brokerage account, which they explicitly told their financial advisor, Craig Ellison, was earmarked entirely for their three children's college education. The eldest child was 16 at the time of the transactions in question, meaning the family would begin needing withdrawals within approximately two years. On their account documentation, the Nguyens indicated a conservative risk tolerance, an investment objective of capital preservation with moderate growth, a short-to-intermediate time horizon (2-6 years), and limited investment knowledge -- Linh spoke English as a second language and Tran had no prior experience with any investment product beyond a basic savings account. In September 2022, Ellison recommended the Nguyens invest \$195,000 -- approximately 81% of their education savings -- into three separate structured products: \$75,000 into a 5-year reverse convertible note linked to a basket of three volatile technology stocks (a social media company, a cryptocurrency exchange, and a recently-IPO'd electric vehicle manufacturer), \$65,000 into a 7-year autocallable note tied to an emerging markets equity index with a 35% downside barrier, and \$55,000 into a 6-year principal-at-risk note linked to a single biotech stock. Ellison told the Nguyens these products would provide 'guaranteed income' of 10-14% annually and were 'just like a bond but better.' The product offering documents -- which totaled over 180 pages across the three offerings and were written in dense financial and legal language -- disclosed that all three products carried full principal risk if the underlying assets declined below specified barrier levels, that the structured notes were unsecured obligations of the issuing investment bank, that there was no secondary market and early redemption would likely result in significant losses, and that Ellison's firm received selling concessions averaging 3.5% on each product. Ellison did not arrange for any translated materials or take additional steps to ensure the Nguyens understood these risks, nor did he explain the products' payoff structures using concrete examples. By March 2024, the cryptocurrency exchange stock had collapsed 78%, the biotech stock had fallen 62% after a failed drug trial, and the emerging markets index had declined 38%, breaching the barriers on all three notes. The Nguyen family's \$195,000 investment had an estimated liquidation value of approximately \$54,000, representing a loss of roughly \$141,000 -- money their eldest child needed for college enrollment that fall.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Craig Ellison committed egregious violations of suitability and best interest standards across multiple dimensions. This fact pattern represents one of the more severe categories of misconduct involving vulnerable customers and complex products.

**\*\*Applicable Standards:\*\***

FINRA Rule 2111 (Suitability) requires a broker to have a reasonable basis for believing a recommendation is suitable for a particular customer based on that customer's investment profile. This includes three obligations: (1) reasonable-basis suitability -- the broker must understand the product well enough to evaluate its risks and rewards; (2)

customer-specific suitability -- the recommendation must be consistent with the specific customer's profile; and (3) quantitative suitability -- the series of recommended transactions must not be excessive.

Regulation Best Interest (Reg BI), effective since June 30, 2020, imposes four component obligations: the Disclosure Obligation, the Care Obligation, the Conflict of Interest Obligation, and the Compliance Obligation. Each is implicated here.

FINRA Regulatory Notice 12-03 provides specific guidance on the heightened suitability obligations when recommending complex products such as structured notes, emphasizing that firms and representatives must understand the products and ensure they are appropriate for the specific customer.

FINRA Rule 2020 prohibits the use of manipulative, deceptive, or other fraudulent devices, which encompasses material misrepresentations.

**\*\*Detailed Analysis of Violations:\*\***

1. **\*\*Customer-Specific Suitability / Reg BI Care Obligation -- Fundamental Mismatch:\*\*** The Nguyens' profile is diametrically opposed to the recommended products. They are conservative investors with limited financial sophistication, a short time horizon (eldest child entering college in ~2 years), a specific and essential investment objective (college funding), and no capacity to absorb significant losses. Structured products with principal-at-risk features, linked to highly volatile and speculative underlying assets (a cryptocurrency exchange stock, a single biotech, volatile tech), with maturities of 5-7 years, are categorically unsuitable for this client profile. The 2-year need for funds versus 5-7 year product maturities alone creates an irreconcilable mismatch.

2. **\*\*Concentration and Over-Allocation:\*\*** Allocating 81% of the family's dedicated education savings to three illiquid, principal-at-risk structured products eliminates virtually all diversification and safety margin. For a family with modest income (\$78,000) and no ability to replace lost savings, this concentration level is unconscionable and violates both FINRA suitability standards and the Reg BI Care Obligation's requirement to consider reasonably available alternatives.

3. **\*\*Reasonable-Basis Suitability:\*\*** Even setting aside the customer-specific issues, the underlying references for these structured notes -- a cryptocurrency exchange stock, a recently-IPO'd EV company, and a single biotech -- represent among the most volatile and speculative equity exposures available. Linking structured products with knock-in barriers to such volatile underliers dramatically increases the probability of barrier breach and total principal loss. A broker exercising reasonable diligence would recognize these products carry risk profiles more akin to speculative equity positions than the income-generating instruments Ellison described.

4. **\*\*Material Misrepresentations / FINRA Rule 2020:\*\*** Ellison characterized these products as providing 'guaranteed income' and being 'just like a bond but better.' These statements are materially false and misleading. The products offered conditional coupons (not guaranteed), carried full principal risk, were not bonds in any traditional sense, and their risk profile bore no resemblance to fixed-income instruments. These misrepresentations likely also constitute violations of the Reg BI Disclosure Obligation, which requires full and fair disclosure of material facts including risks.

5. **\*\*Failure to Ensure Customer Understanding / Disclosure Obligation:\*\*** The 180+ pages of dense offering documents were provided to customers with limited English proficiency and no investment experience. Ellison made no effort to provide translated materials, use plain-language explanations, or walk through concrete scenarios showing potential losses. Under Reg BI's Disclosure Obligation and general fair-dealing principles (FINRA Rule 2010), a broker recommending complex products to unsophisticated, limited-English-proficiency customers has a heightened duty to ensure genuine understanding. Ellison's failure here is particularly egregious.

6. **\*\*Conflict of Interest / Reg BI Conflict of Interest Obligation:\*\*** The 3.5% average selling concession across \$195,000

in structured products generated approximately \$6,825 in compensation for Ellison's firm -- a significant incentive that Ellison apparently did not adequately disclose or mitigate. The high compensation associated with structured products relative to simpler alternatives (e.g., Treasury securities, CDs, 529 plans) suggests the recommendation was driven by the advisor's financial interest rather than the customers' needs, violating Reg BI's prohibition on placing the broker's interest ahead of the customer's.

7. **\*\*Failure to Consider Alternatives:\*\*** For college savings needed within 2-6 years, numerous lower-risk, more appropriate alternatives existed: 529 college savings plans, Treasury securities, FDIC-insured CDs, short-duration bond funds, or target-date education funds. Ellison's failure to recommend or even discuss these plainly superior alternatives for the Nguyens' stated objective is a significant factor under the Reg BI Care Obligation's requirement to consider reasonably available alternatives.

**\*\*Likely Regulatory Outcome:\*\*** This case presents strong grounds for FINRA enforcement action against both Ellison and his supervising firm. Ellison faces potential sanctions including a lengthy suspension or permanent bar from the securities industry, substantial fines, and an order of restitution for the approximately \$141,000 in losses. The supervising firm faces potential liability under FINRA Rule 3110 (Supervision) for failing to implement adequate supervisory procedures for complex product sales to unsophisticated investors, and for failing to flag the obvious red flags in these transactions (conservative elderly immigrants investing college money in speculative structured notes). The Nguyen family would have very strong claims in FINRA arbitration for compensatory damages, and the facts could also support a claim for punitive damages given the egregiousness of the misconduct. State securities regulators may also pursue action, and depending on the jurisdiction, the misrepresentations about 'guaranteed income' could implicate state anti-fraud provisions.

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**Item 194 of 499****NON-COMPLIANT****Topic:** crypto\_assets\_unsuitable**Difficulty:** medium**Fact Pattern**

Margaret Chen, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her pension and \$1,800 per month from Social Security. Her total liquid savings amount to \$185,000, held primarily in a money market account and a small bond fund. She has no other sources of income. Margaret described herself on her new account form as having a 'conservative' risk tolerance, with investment objectives listed as 'income and preservation of capital.' She told her advisor, Derek Rawlins, that she needed her savings to cover living expenses, prescription medications for her Type 2 diabetes and hypertension, and potential assisted living costs within the next three to five years. In March 2024, Rawlins recommended that Margaret allocate \$55,500 -- approximately 30% of her liquid savings -- into a portfolio of cryptocurrency assets, including Bitcoin, Ethereum, and Solana. Rawlins told Margaret that crypto was 'the future of money' and that she could 'easily double her investment within a year.' He did not discuss the extreme price volatility of these assets, the lack of income generation, or the potential for total loss. He also did not mention that his firm paid him a higher payout rate on digital asset transactions compared to traditional fixed-income products. By August 2024, the value of Margaret's crypto holdings had declined to \$29,000, representing a loss of approximately \$26,500, or nearly 48% of the amount invested. Margaret was forced to liquidate the remaining crypto position at a loss to cover an unexpected \$12,000 medical bill related to a hospitalization.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Rawlins violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis for believing a recommendation is suitable for a customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, liquidity needs, and time horizon. There are three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

2. **\*\*Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, Rule 15l-1:\*\*** Effective since June 30, 2020, Reg BI requires broker-dealers to act in the best interest of the retail customer at the time a recommendation is made and not place their own financial interest ahead of the customer's interest. It includes four component obligations: Disclosure, Care, Conflict of Interest, and Compliance.

**\*\*Analysis:\*\***

**\*Care Obligation Violation (Reg BI):\*** Rawlins recommended that a 71-year-old retired woman with conservative risk tolerance, income and capital preservation objectives, limited liquid savings, significant medical expenses, and a near-term need for assisted living funding allocate 30% of her liquid assets into highly volatile, speculative, non-income-producing cryptocurrency assets. This recommendation was fundamentally inconsistent with every element

of her stated investment profile. Cryptocurrency assets can experience drawdowns of 50% or more in short time periods and generate no income, making them categorically unsuitable for a conservative retiree who depends on her savings for essential living and medical expenses.

**\*Customer-Specific Suitability Violation (FINRA Rule 2111):\*** The recommendation failed customer-specific suitability. Margaret's age, limited income, conservative risk tolerance, capital preservation objective, need for liquidity due to medical conditions, and short time horizon (3-5 years before potential assisted living) all pointed away from any meaningful allocation to crypto assets, let alone 30% of her liquid net worth.

**\*Conflict of Interest Violation (Reg BI):\*** Rawlins received a higher payout on digital asset transactions than on traditional fixed-income products. He failed to disclose this material conflict of interest to Margaret. Under Reg BI's Disclosure Obligation, he was required to provide full and fair disclosure of all material facts relating to conflicts of interest associated with the recommendation.

**\*Disclosure Failures:\*** Rawlins failed to discuss the volatility, lack of income generation, or risk of total loss associated with crypto assets, and instead made misleading statements suggesting Margaret could 'easily double her investment.' This constitutes a failure of both the Reg BI disclosure obligation and potentially a violation of FINRA Rule 2210 (Communications with the Public) regarding fair and balanced presentation of risks.

**\*\*Likely Regulatory Outcome:\*\*** Rawlins would likely face FINRA enforcement action for suitability violations and potential SEC or FINRA action under Reg BI. Remedies could include disgorgement of commissions, restitution to the customer of approximately \$26,500 in losses, fines, suspension, or barment depending on disciplinary history. A customer arbitration claim would also have strong merits.

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**Item 195 of 499****NON-COMPLIANT****Topic:** overconcentration\_single\_stock**Difficulty:** hard**Fact Pattern**

Ronald Bates, age 58, is a warehouse logistics manager in Memphis, Tennessee, earning \$74,000 annually. He is divorced, pays \$1,200 per month in alimony, and has two children in college whose tuition he partially funds at approximately \$9,000 per year each. Ronald's total investable assets amount to \$310,000, consisting of a rollover IRA worth \$230,000 and a taxable brokerage account worth \$80,000. He described his risk tolerance as 'moderate' and told his advisor, Sandra Holloway, that his primary objectives were growth with some capital preservation, as he hoped to retire by age 65. Ronald disclosed to Holloway that he had been diagnosed with early-stage chronic kidney disease and was concerned about rising out-of-pocket medical costs, telling her he might need to access funds unexpectedly for medical reasons. His prior portfolio was diversified across a broad equity index fund, an intermediate-term bond fund, and a small international equity position. In January 2024, Holloway recommended that Ronald liquidate his existing diversified holdings across both accounts and invest \$248,000 -- approximately 80% of his total investable assets -- into shares of a single mid-cap pharmaceutical company, PharmaDyne Inc. (ticker: PDYN). Holloway told Ronald that she had 'strong conviction' in the stock based on its drug pipeline and that it was 'about to break out.' She did not present any alternative investment options, did not discuss the risks of single-stock concentration, and did not document any analysis of how this recommendation fit Ronald's overall financial picture. Ronald's account records show that Holloway's branch had been running an internal sales contest during Q1 2024 that awarded additional compensation to advisors generating the highest equity trading volume. By September 2024, PDYN shares had fallen 62% following a failed FDA clinical trial, reducing the \$248,000 position to approximately \$94,200. Ronald's total portfolio value dropped from \$310,000 to approximately \$156,200. He was forced to take an early IRA distribution, incurring taxes and penalties, to cover his children's tuition payments and a \$15,000 medical expense related to his kidney condition.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Sandra Holloway committed serious violations of both suitability and best interest standards through the extreme overconcentration of Ronald Bates's retirement and taxable assets in a single speculative equity position.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires a reasonable basis to believe a recommendation is suitable for the customer based on the customer's investment profile. The rule's three obligations -- reasonable-basis, customer-specific, and quantitative suitability -- all apply.
2. **\*\*Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act of 1934:\*\*** Requires the broker-dealer to act in the retail customer's best interest at the time of recommendation, encompassing Disclosure, Care, Conflict of Interest, and Compliance obligations.
3. **\*\*FINRA Rule 3110 (Supervision):\*\*** The branch's supervisory system should have flagged an 80% single-stock concentration in a moderate-risk-tolerance retirement account.

4. **\*\*FINRA Regulatory Notices on Concentration:\*\*** FINRA has repeatedly identified overconcentration in a single security as a red flag for suitability concerns, particularly when the customer has moderate risk tolerance and significant liquidity needs.

**\*\*Detailed Analysis:\*\***

**\*Customer-Specific Suitability (FINRA Rule 2111):\*** Ronald was 58 years old with a 7-year time horizon to retirement, moderate risk tolerance, growth-with-preservation objectives, significant fixed obligations (alimony and college tuition), and a disclosed medical condition creating potential unexpected liquidity needs. Recommending that 80% of his total investable assets be placed in a single mid-cap pharmaceutical stock -- an inherently volatile and binary-outcome investment given its dependence on clinical trial results -- was fundamentally inconsistent with his profile. The prior diversified portfolio was far more aligned with his stated objectives and circumstances.

**\*Reasonable-Basis Suitability (FINRA Rule 2111):\*** Even if Holloway had genuine conviction in PDYN, no reasonable advisor could conclude that placing 80% of a near-retiree's assets in a single speculative equity position constituted a suitable investment strategy. The concentration risk alone -- independent of the specific stock -- was excessive. Holloway's failure to document any analysis or present alternatives further evidences a lack of reasonable basis.

**\*Care Obligation (Reg BI):\*** Under Reg BI's Care Obligation, the advisor must exercise reasonable diligence, care, and skill in making recommendations, including understanding the risks and rewards of the recommendation and having a reasonable basis to believe the recommendation is in the customer's best interest considering the customer's investment profile. Concentrating 80% of a moderate-risk-tolerance client's retirement savings in a single mid-cap pharma stock, particularly one whose value is substantially contingent on binary FDA outcomes, fails this standard categorically. The advisor did not consider reasonably available alternatives (e.g., maintaining diversification or limiting any single-stock position to a small speculative allocation).

**\*Conflict of Interest Obligation (Reg BI):\*** The branch was running an internal sales contest during Q1 2024 that rewarded high equity trading volume with additional compensation. This created a material conflict of interest that likely motivated the recommendation to liquidate diversified holdings and concentrate into a single high-volume equity trade. Holloway failed to disclose this conflict to Ronald. Furthermore, FINRA has issued guidance (e.g., Regulatory Notice 20-18) cautioning firms that sales contests tied to specific products or volume thresholds create conflicts that must be identified, disclosed, and mitigated. The existence of the contest also raises supervisory concerns for the branch.

**\*Disclosure Obligation (Reg BI):\*** Holloway failed to disclose the risks of single-stock concentration, failed to present alternative options, and failed to disclose the sales contest incentive. Each of these omissions constitutes a separate disclosure failure.

**\*Rollover IRA Considerations:\*** The recommendation involved liquidating diversified holdings inside a rollover IRA, which is a particularly sensitive account type given its tax-advantaged retirement purpose. Reg BI's care obligation applies with heightened scrutiny to recommendations involving retirement account assets, as losses are difficult or impossible to recover given contribution limits and time horizon constraints. The subsequent forced early distribution, triggering taxes and a 10% penalty, compounded the harm.

**\*Supervisory Failures (FINRA Rule 3110):\*** The firm's supervisory system should have flagged an 80% single-stock concentration in any customer account, particularly a retirement account for a moderate-risk client. The firm's compliance department also should have reviewed and restricted the sales contest structure to ensure it did not incentivize unsuitable recommendations.

**\*\*Likely Regulatory Outcome:\*\*** This case presents multiple aggravating factors: extreme concentration (80%), a

near-retirement client, disclosed medical and liquidity needs, a speculative single stock, undisclosed conflicts from a sales contest, no documentation of analysis, and catastrophic realized losses exceeding \$150,000. Holloway would likely face FINRA disciplinary action including substantial fines, disgorgement of commissions, restitution, and a lengthy suspension or bar. The firm could face supervisory violation charges for failing to detect and prevent the concentration and for operating a conflicted sales contest. In a customer arbitration, Ronald would have a very strong case for full compensatory damages, including consequential damages from the forced IRA distribution penalties and taxes.

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## Item 196 of 499

### NON-COMPLIANT

**Topic:** penny\_stocks\_unsuitable

**Difficulty:** easy

### Fact Pattern

Margaret Dawson, age 74, is a retired elementary school teacher in Tulsa, Oklahoma, with a fixed annual income of \$38,000 from her pension and Social Security. Her total liquid savings amount to \$210,000, held in a brokerage account that she opened in March 2023 with the stated objectives of capital preservation and income generation. On her new account form, she indicated a conservative risk tolerance and noted that she had no prior experience trading individual stocks, having only ever owned certificates of deposit and a target-date mutual fund through her employer's retirement plan. Her advisor, Kevin Marsh, age 34, began calling Margaret in April 2023, telling her about 'exciting ground-floor opportunities' in small companies that were poised for rapid growth. Between April and August 2023, Marsh executed 14 separate purchases of over-the-counter penny stocks priced between \$0.08 and \$0.45 per share across six different issuers, including a cannabis startup, a lithium mining exploration company, and a social media app developer. The total amount invested in these penny stocks was \$87,000, representing approximately 41% of Margaret's liquid net worth. Marsh earned commissions averaging 5.5% per transaction, totaling roughly \$4,785 in personal compensation. By December 2023, the combined value of these penny stock holdings had declined to approximately \$11,400, representing a loss of over \$75,000. Margaret was not provided with any written risk disclosures specific to penny stocks, nor did Marsh document any rationale for why these speculative securities were appropriate given her profile. When Margaret called to express concern about the losses in October 2023, Marsh encouraged her to hold the positions and even suggested adding more money, stating the stocks would 'bounce back by spring.'

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Kevin Marsh clearly violated applicable suitability and best interest standards in multiple respects.

**\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Margaret Dawson is a 74-year-old retiree with conservative risk tolerance, capital preservation objectives, no experience with individual stock trading, and limited liquid assets. Penny stocks are among the most speculative, illiquid, and volatile securities available and are fundamentally incompatible with her stated objectives. This violates all three components of suitability under Rule 2111: (1) reasonable-basis suitability (penny stocks carry extreme risk that is unsuitable for almost any conservative investor), (2) customer-specific suitability (Margaret's profile in every dimension contradicts a penny stock recommendation), and (3) quantitative suitability (concentrating 41% of her liquid net worth in penny stocks constitutes an excessive concentration in speculative holdings).

**\*\*Regulation Best Interest (Reg BI):\*\*** Under the SEC's Reg BI, broker-dealers must act in the retail customer's best interest at the time a recommendation is made, without placing their own financial interest ahead of the customer's. The Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations.

Marsh's 5.5% average commission per transaction suggests a financial motivation that was placed ahead of Margaret's interests. The recommendations were clearly not in her best interest given her profile. The Disclosure Obligation also required Marsh to disclose material facts about the recommendations, including risks specific to penny stocks, which he failed to do.

**\*\*FINRA Rule 2114 (Penny Stock Transactions):\*\*** Additional suitability requirements apply specifically to recommendations involving penny stocks. Firms are required to approve the customer's account for penny stock transactions and provide risk disclosure documents. None of this was done.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Marsh's encouragement to hold losing positions and invest additional funds, without any documented analytical basis, further demonstrates conduct inconsistent with just and equitable principles of trade.

**\*\*Likely Regulatory Outcome:\*\*** Marsh would likely face FINRA enforcement action including fines, disgorgement of commissions (\$4,785), restitution to Margaret for her losses (approximately \$75,600), a suspension or bar from the securities industry, and potential additional sanctions against his supervising firm for failure to supervise under FINRA Rule 3110. A customer arbitration claim would very likely result in an award in Margaret's favor for compensatory damages.

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**Item 197 of 499****COMPLIANT****Topic:** complex\_products\_unsophisticated\_investor**Difficulty:** hard**Fact Pattern**

David Reyes, age 52, is a warehouse supervisor in Sacramento, California, earning \$67,000 annually. He has \$340,000 in a rollover IRA from a previous employer's 401(k) and an additional \$45,000 in a taxable brokerage account. David describes himself as having moderate risk tolerance and states his primary goal is growth for retirement in approximately 13 years. He has a high school diploma and limited investment knowledge, having previously held only the default target-date fund in his 401(k). In January 2024, his financial advisor, Rachel Thornton, recommended that David allocate approximately 12% of his IRA (\$40,800) to a structured notes product linked to the S&P 500 with a two-year maturity, offering 100% downside protection on the first 10% of index decline and a capped upside return of 18% over the two-year period. Before making the recommendation, Thornton conducted three separate meetings with David over a two-week period. In the first meeting, she assessed his full financial picture, retirement timeline, income stability, other assets, and monthly expenses. In the second meeting, she presented the structured note alongside two alternatives -- a balanced mutual fund and a fixed-income ETF -- and provided a detailed comparison chart showing potential returns, risks, liquidity constraints, fees, and credit risk of the issuing bank (rated A+ by major rating agencies). She used plain-language explanations, visual aids, and a hypothetical scenario worksheet showing how the note would perform in up, flat, and down markets. She explicitly discussed that the note would be illiquid for two years, that returns were capped, and that if the issuing bank defaulted, David could lose his investment regardless of index performance. In the third meeting, David confirmed he understood the product, asked several follow-up questions about the issuing bank's financial health which Thornton answered with publicly available financial data, and signed an acknowledgment form documenting his understanding of the key risks. Thornton documented all three meetings in her CRM system with detailed notes. The structured note represented only 12% of David's total retirement portfolio, and the remaining 88% was allocated to diversified, low-cost index funds and bond funds consistent with his moderate growth objective. Thornton's compensation on the structured note was a one-time 1.5% sales credit (\$612), which was disclosed to David in writing before execution. As of the note's maturity in January 2026, the S&P 500 had gained 14% over the period, and David received a 14% return (below the 18% cap), resulting in a gain of approximately \$5,712 on his \$40,800 investment.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Rachel Thornton did not violate applicable suitability or best interest standards. Her conduct reflects a thorough and well-documented process that satisfies the requirements of applicable regulatory frameworks.

**\*\*FINRA Rule 2111 (Suitability):\*\*** Thornton satisfied all three components of the suitability obligation. (1) Reasonable-basis suitability: She demonstrated an understanding of the structured note's features, risks, and mechanics, as evidenced by her ability to explain the product in plain language, present hypothetical scenarios, and answer David's questions about issuer credit risk. (2) Customer-specific suitability: The recommendation was consistent with David's moderate risk tolerance, 13-year time horizon, and growth objective. The 100% downside buffer on the first 10% of decline provided meaningful protection for a moderately risk-tolerant investor, and the two-year lock-up period was well within his retirement horizon. The 12% allocation was a modest and reasonable portion of his overall portfolio.



(3) Quantitative suitability: There is no evidence of excessive trading or concentration; the remaining portfolio was diversified in low-cost index and bond funds.

**\*\*Regulation Best Interest (Reg BI):\*\*** Thornton's process satisfies each component obligation under Reg BI. The **\*Disclosure Obligation\*** was met through written disclosure of her 1.5% sales credit and the product's material risks, fees, and features. The **\*Care Obligation\*** was met through her diligent analysis of David's financial profile across multiple meetings, consideration of reasonably available alternatives (she presented two alternatives alongside the structured note), and her reasonable belief that the recommendation was in David's best interest at the time it was made. The allocation size (12%) was prudent and did not expose David to undue concentration risk. The **\*Conflict of Interest Obligation\*** was addressed by disclosing her compensation, and the 1.5% one-time credit is within normal industry ranges and does not suggest that Thornton placed her financial interest ahead of David's. The **\*Compliance Obligation\*** is a firm-level requirement, but Thornton's detailed CRM documentation supports her firm's ability to maintain appropriate policies and procedures.

**\*\*Complex Product Considerations:\*\*** FINRA has issued guidance (e.g., Regulatory Notices 12-03 and 22-08) emphasizing heightened scrutiny for recommendations involving complex products to unsophisticated investors. Thornton addressed these concerns by: (a) conducting a thorough investigation of the product, (b) tailoring her explanation to David's level of understanding using visual aids and plain language, (c) providing alternatives for comparison, (d) limiting the allocation to a reasonable percentage, (e) obtaining documented acknowledgment of understanding, and (f) ensuring the overall portfolio remained diversified and aligned with David's objectives.

**\*\*Likely Regulatory Outcome:\*\*** No enforcement action would be warranted. Thornton's multi-meeting, well-documented, client-centered process represents a model of how complex products can be appropriately recommended to less sophisticated investors when proper care, disclosure, and documentation are employed. If reviewed, regulators would likely view this as a compliant recommendation.

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**Item 198 of 499****NON-COMPLIANT****Topic:** excessive\_load\_funds**Difficulty:** medium**Fact Pattern**

Margaret Delaney, age 68, is a retired elementary school teacher living in suburban Ohio. She has a fixed income of \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid savings amounted to \$340,000 in a bank money market account, which represented her entire retirement nest egg beyond her pension. She had no other investments, no real estate equity (she rented her apartment), and listed her risk tolerance as conservative with a primary investment objective of capital preservation and income generation to supplement her fixed income. In March 2023, Margaret met with financial advisor Derek Hollings at a local brokerage office after attending a free retirement planning seminar he hosted at a community center. Over two meetings, Hollings recommended that Margaret move her entire \$340,000 into Class A shares of three equity-heavy mutual funds, each carrying front-end sales loads of 5.25%, 5.50%, and 5.75% respectively. The three funds were allocated roughly equally: \$115,000 into an aggressive growth fund, \$115,000 into an emerging markets fund, and \$110,000 into a technology sector fund. The total front-end load charges consumed approximately \$18,700 of Margaret's savings on the day of purchase. Hollings earned a commission of approximately \$14,200 from the transactions. He did not discuss lower-cost share classes, no-load alternatives, or exchange-traded funds that tracked similar indices at a fraction of the cost. He also did not mention that his firm offered fee-based advisory accounts where similar equity exposure could be obtained without front-end loads. Within eight months, the aggressive growth and emerging markets funds had each declined by approximately 18%, and the technology fund dropped 22% during a market correction. By December 2023, Margaret's account was valued at approximately \$263,000 -- a total loss of approximately \$77,000, or nearly 23% of her life savings. Margaret contacted Hollings requesting a withdrawal of \$30,000 to cover unexpected medical expenses, at which point she fully realized the extent of her losses. Hollings had not conducted any follow-up reviews of her account after the initial purchases.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Hollings violated multiple applicable standards governing the recommendation of securities to retail customers.

**\*\*Regulation Best Interest (Reg BI) Analysis:\*\***

Under Reg BI's Care Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. This includes understanding the potential risks, rewards, and costs of the recommendation, having a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made, and that the recommendation does not place the financial professional's interest ahead of the customer's interest.

Hollings failed the Care Obligation in several respects:

1. **\*\*Cost Analysis Failure:\*\*** Recommending Class A shares with front-end loads averaging approximately 5.5% -- consuming \$18,700 immediately -- when lower-cost alternatives (no-load funds, lower-cost share classes, ETFs, or fee-based accounts) were available and would have been more appropriate. Reg BI requires consideration of

reasonably available alternatives, particularly with respect to cost.

2. **\*\*Risk-Profile Mismatch:\*\*** Margaret was a 68-year-old retiree with conservative risk tolerance, capital preservation objectives, and no other liquid assets. Placing 100% of her savings into three aggressive equity funds (aggressive growth, emerging markets, and technology sector) was wholly inconsistent with her stated investment profile.

3. **\*\*Concentration Risk:\*\*** Investing 100% of a conservative retiree's liquid net worth in equity-heavy, sector-concentrated funds with no fixed-income, bond, or cash allocation fails any reasonable asset allocation analysis for this customer profile.

4. **\*\*Liquidity Concerns:\*\*** Margaret relied on her savings to supplement fixed income. Exposing the entirety of those funds to volatile equity markets without maintaining any liquid or stable-value reserves was inappropriate.

**\*\*FINRA Suitability (Rule 2111) Analysis:\*\***

Under the quantitative, customer-specific, and reasonable-basis suitability components, the recommendations fail. Customer-specific suitability requires that the recommendation be suitable for the particular customer based on that customer's investment profile. A 100% aggressive equity allocation for a conservative retired teacher with no other assets clearly fails this test. Reasonable-basis suitability also fails because no reasonable advisor could conclude that concentrating a conservative retiree's entire savings in high-load aggressive equity funds was appropriate.

**\*\*FINRA Rule 2121 and Excessive Charges:\*\***

The front-end loads, while within the range technically permitted for Class A mutual fund shares, become problematic when assessed in context -- the advisor chose the most expensive share class without considering alternatives, generating \$14,200 in personal commissions.

**\*\*Likely Regulatory Outcome:\*\***

Hollings would likely face FINRA enforcement action for suitability violations and Reg BI violations. Remedies could include disgorgement of commissions, customer restitution of approximately \$77,000 in losses plus the \$18,700 in excessive load charges, fines, suspension, or barring from the industry depending on his disciplinary history. The firm would also face supervisory failure charges if it lacked reasonable systems to flag the mismatch between customer profile and the recommended transactions.

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## Item 199 of 499

### NON-COMPLIANT

**Topic:** excessive\_load\_funds

**Difficulty:** easy

### Fact Pattern

Carlos Medina, age 42, is a warehouse supervisor in Phoenix, Arizona, earning \$58,000 per year. He has a 401(k) through his employer worth \$72,000 and a savings account with \$45,000 that he wanted to invest for a combination of moderate growth and college savings for his two children, ages 8 and 11. Carlos described his risk tolerance as moderate and said he had limited investment experience beyond his employer 401(k), which was invested in a target-date fund. In September 2023, Carlos met with registered representative Lisa Frankel at a storefront brokerage. Frankel recommended that Carlos invest his entire \$45,000 in Class A shares of a single large-cap equity mutual fund carrying a 5.75% front-end sales load. This resulted in an immediate deduction of \$2,587.50 in load charges, with only \$42,412.50 actually invested in the fund. The fund had an annual expense ratio of 1.15%. Frankel did not inform Carlos that the same fund family offered Class C shares with no front-end load (though with higher ongoing expenses), or that the fund was also available in an institutional share class through her firm's fee-based advisory platform at an expense ratio of 0.65% with no sales load. She also did not discuss whether a 529 college savings plan might be more tax-efficient for the portion of the investment earmarked for education. Frankel received a commission of approximately \$2,000 from the sale. Carlos later learned from a coworker about no-load index funds with expense ratios under 0.10% that tracked similar benchmarks and had outperformed the recommended fund over the prior five- and ten-year periods.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Lisa Frankel violated applicable regulatory standards in recommending this transaction.

**\*\*Regulation Best Interest (Reg BI) Analysis:\*\***

Reg BI's Care Obligation requires that a broker-dealer representative exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and have a reasonable basis to believe the recommendation is in the retail customer's best interest, without placing the broker's interests ahead of the customer's.

1. **\*\*Failure to Consider Costs and Alternatives:\*\*** Frankel recommended Class A shares with a 5.75% front-end load without disclosing or considering reasonably available alternatives, including Class C shares from the same fund family, institutional share classes available on her own firm's advisory platform, low-cost index funds, or ETFs. The \$2,587.50 load charge represented a significant drag on a \$45,000 investment for a moderate-income worker. Reg BI explicitly requires cost consideration among reasonably available alternatives.
2. **\*\*Failure to Consider Investment Objectives:\*\*** A portion of Carlos's investment was earmarked for college savings. Frankel did not discuss 529 plans, which offer tax advantages specifically designed for education savings. This represents a failure to consider the full scope of the customer's investment objectives and reasonably available alternatives.
3. **\*\*Conflict of Interest:\*\*** Frankel received approximately \$2,000 in commission -- a material financial incentive that was not adequately disclosed, and the recommendation appears driven in part by this compensation rather than Carlos's best interest.

**\*\*FINRA Rule 2111 -- Suitability:\*\***

While a large-cap equity mutual fund is not per se unsuitable for a 42-year-old moderate-risk investor, customer-specific suitability also encompasses the cost structure and whether it is appropriate given the customer's financial situation. Paying \$2,587.50 in upfront loads on \$45,000 -- particularly when lower-cost options achieving the same investment objective existed -- raises suitability concerns.

**\*\*FINRA Regulatory Notice 12-03 (Know Your Customer):\*\***

Frankel's failure to explore the education savings component of Carlos's objectives suggests an inadequate customer-specific inquiry.

**\*\*Likely Regulatory Outcome:\*\***

Frankel would likely face a Reg BI violation finding and potential FINRA disciplinary action. Sanctions could include restitution of the \$2,587.50 front-end load, disgorgement of commissions, a fine, and potentially a suspension. Her firm could also face supervisory violation charges for failing to have adequate procedures to ensure cost-appropriate recommendations were made.

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**Item 200 of 499****NON-COMPLIANT****Topic:** penny\_stocks\_unsuitable**Difficulty:** medium**Fact Pattern**

Margaret Kowalski, age 71, is a retired elementary school teacher living in Duluth, Minnesota. She has a fixed income of \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid savings amount to approximately \$185,000, held primarily in a money market account and a small bond allocation at her brokerage firm. She has no other significant assets aside from her home, which is paid off and valued at approximately \$160,000. On her new account form, her investment objective was listed as 'income and preservation of capital,' her risk tolerance was marked 'conservative,' her time horizon was '1-3 years,' and her investment experience was described as 'limited -- mostly CDs and savings accounts.' She told her advisor, Derek Simmons, that she needed her savings to supplement her monthly income and cover potential medical expenses, as she had recently been diagnosed with early-stage kidney disease and anticipated significant out-of-pocket costs within the next two years. In March 2023, Simmons recommended that Margaret invest \$74,000 -- roughly 40% of her liquid savings -- into a portfolio of six penny stocks trading on the OTC Markets, each priced between \$0.12 and \$0.87 per share. The companies included a speculative lithium mining startup with no revenue, a pre-revenue biotech firm, and four micro-cap companies with minimal operating histories. Simmons told Margaret these stocks had 'massive upside potential' and could 'double or triple within months.' He did not discuss the risks of penny stocks, including their illiquidity, extreme volatility, lack of publicly available financial information, and susceptibility to price manipulation. He also did not explain that bid-ask spreads on these securities were frequently 15-30%, meaning Margaret would face immediate losses just from the cost of entering and exiting positions. Simmons earned \$5,920 in commissions on the trades. By September 2023, the combined value of Margaret's penny stock holdings had declined to \$11,400, representing a loss of approximately \$62,600 or roughly 84.6% of her invested amount. Margaret was unable to sell several of the positions due to lack of market liquidity. She subsequently had to delay a necessary medical procedure because she could no longer afford her share of the cost.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Simmons committed clear and egregious violations of applicable suitability and best interest standards.

**\*\*FINRA Suitability (Rule 2111):\*\*** Under FINRA Rule 2111, a broker-dealer and its associated persons must have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Rule 2111 encompasses three obligations: (1) reasonable-basis suitability -- the advisor must understand the product and believe it is suitable for at least some investors; (2) customer-specific suitability -- the recommendation must be suitable for this particular customer; and (3) quantitative suitability -- the advisor must not engage in excessive trading.

Here, all three prongs are implicated. On customer-specific suitability, Margaret was a 71-year-old retiree with limited investment experience, a conservative risk tolerance, a short (1-3 year) time horizon, pressing liquidity needs driven by anticipated medical expenses, and an investment objective of income and capital preservation. Penny stocks are among the most speculative and illiquid securities available. They are fundamentally incompatible with every element of

Margaret's investment profile. Concentrating 40% of her liquid net worth in six speculative penny stocks is a textbook customer-specific suitability violation.

On reasonable-basis suitability, penny stocks in pre-revenue companies with no operating history are inherently speculative. Any reasonable analysis would conclude that these securities are unsuitable for a conservative, income-dependent retiree with near-term liquidity needs.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under Reg BI (17 CFR § 240.15l-1), broker-dealers and associated persons must act in the best interest of the retail customer at the time a recommendation is made, without placing their own financial interest ahead of the customer's interest. Reg BI includes four component obligations: Disclosure, Care, Conflict of Interest, and Compliance.

The Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Simmons failed this obligation entirely -- he recommended hyper-speculative, illiquid penny stocks to a conservative elderly retiree who explicitly needed capital preservation and liquidity for medical expenses. Additionally, Simmons failed the Disclosure Obligation by not explaining the material risks of penny stocks, including illiquidity, volatility, wide bid-ask spreads, and susceptibility to manipulation. The Conflict of Interest Obligation is also implicated, as the \$5,920 in commissions provided Simmons with a financial incentive to recommend these high-commission products over more suitable alternatives.

**\*\*FINRA Rule 2114 (Recommendations Involving Non-Institutional Customers and Penny Stocks):\*\*** FINRA imposes heightened obligations when recommending penny stocks to non-institutional customers, including specific risk disclosure requirements. Simmons failed to provide any meaningful risk disclosure.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** The conduct also violates the general standards of commercial honor and just and equitable principles of trade.

**\*\*Likely Regulatory Outcome:\*\*** This case would likely result in significant sanctions. Simmons would face potential suspension or bar from the industry, substantial fines, and an order to pay restitution of approximately \$62,600 to Margaret. His firm could face supervisory failure charges under FINRA Rule 3110 if it failed to detect or prevent the unsuitable recommendations. Margaret would also have a strong FINRA arbitration claim for compensatory damages, including consequential damages related to her delayed medical care.

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**Item 201 of 499****NON-COMPLIANT****Topic:** complex\_products\_unsophisticated\_investor**Difficulty:** hard**Fact Pattern**

Carlos Espinoza, age 34, is a warehouse supervisor in Phoenix, Arizona, earning \$52,000 per year. He has a high school diploma and no formal financial education. His investment experience consists entirely of a 401(k) plan at work where he selected a target-date fund based on his employer's default enrollment. He opened a brokerage account in January 2024 with \$38,000 -- money he had saved over five years from overtime shifts -- with the stated goal of building a down payment for a home within the next two to three years. On his account application, his risk tolerance was marked 'moderate,' his investment objective was 'growth,' his time horizon was '2-3 years,' and his liquid net worth was listed as \$43,000 (including the \$38,000 deposit plus a small emergency fund). His financial advisor, Tanya Morrison, initially recommended a diversified portfolio of index ETFs, but during their second meeting in February 2024, she shifted her recommendation significantly. Morrison suggested that Carlos invest \$30,000 of his \$38,000 account into a structured product -- specifically, a reverse convertible note linked to a basket of three volatile technology stocks (a semiconductor company, an electric vehicle manufacturer, and a social media platform company). The note had a 13-month maturity, offered a 12.5% annual coupon, and included a 70% knock-in barrier, meaning that if any of the three underlying stocks declined more than 30% during the note's life, Carlos would receive shares of the worst-performing stock at maturity rather than his principal. Morrison explained the coupon rate and told Carlos the product would 'pay him well while he waited to buy a house,' but she did not adequately explain the knock-in risk, the potential for total loss of principal, the fact that the product was linked to three individual volatile stocks rather than a broad index, or the concept of worst-of exposure in a basket structure. She also did not explain that the product was illiquid and could not be easily sold before maturity without a significant discount, or that the issuing bank would earn a substantial embedded fee estimated at 3-5% of the notional amount. Morrison's firm paid her a 2.5% sales credit (\$750) on the transaction, which was higher than what she would have earned on the ETF portfolio. Carlos signed the paperwork after Morrison assured him the 70% barrier provided 'plenty of cushion.' By August 2024, one of the three underlying stocks -- the electric vehicle company -- had declined 47% due to a demand slowdown and a product recall. The knock-in barrier was breached. At the note's maturity in March 2025, the worst-performing stock was still down 39%. Instead of receiving his \$30,000 principal back, Carlos received shares of the EV company worth approximately \$18,300, representing a loss of \$11,700 or 39% of his invested amount. Combined with the \$3,750 coupon he received over the note's life, his net loss was approximately \$7,950. Carlos was forced to delay his home purchase indefinitely.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Tanya Morrison violated applicable suitability and best interest standards through multiple failures in recommending a complex structured product to an unsophisticated investor with near-term capital needs.

**\*\*FINRA Rule 2111 (Suitability):\*\***

Under FINRA Rule 2111, the suitability analysis must account for the customer's entire investment profile. Carlos was a 34-year-old warehouse supervisor with no financial education, virtually no investment experience beyond a default target-date fund, a moderate risk tolerance, a 2-3 year time horizon tied to a specific goal (home purchase), and limited



liquid net worth (\$43,000 total). The recommendation to invest 79% of his brokerage assets (\$30,000 of \$38,000) into a single reverse convertible note fails customer-specific suitability on multiple grounds:

1. **Concentration Risk:** Placing nearly 80% of his investable assets in a single complex structured product created dangerous concentration, particularly for someone with limited wealth and a defined near-term capital need.
2. **Product Complexity vs. Investor Sophistication:** Reverse convertible notes are among the most complex retail structured products. They embed multiple derivative components, including a short put option sold by the investor. FINRA has issued multiple Regulatory Notices (including FINRA Regulatory Notice 12-03) emphasizing that firms and advisors must perform heightened suitability analysis for complex products, ensuring the customer understands the product's features, risks, and costs. Carlos had no ability to understand the knock-in mechanism, worst-of basket exposure, or the embedded short put economics.
3. **Time Horizon and Liquidity Mismatch:** While the 13-month maturity superficially matched Carlos's 2-3 year time horizon, the product's risk profile was incompatible with his goal of capital preservation for a home purchase. The possibility of receiving depreciated shares instead of principal at maturity made this an unsuitable vehicle for down payment savings.
4. **Reasonable-Basis Suitability:** Morrison should have understood that a worst-of reverse convertible linked to three individually volatile technology stocks carries significant downside risk. The 70% knock-in barrier, while providing some buffer, does not make this product appropriate for a conservative-to-moderate investor saving for a home.

**Regulation Best Interest (Reg BI -- 17 CFR § 240.15I-1):**

Morrison's recommendation fails all four Reg BI component obligations:

- **Care Obligation:** Morrison failed to exercise reasonable diligence, care, and skill. She did not adequately consider the risks and costs of the reverse convertible relative to Carlos's investment profile and the availability of more suitable alternatives. She had initially recommended index ETFs -- a far more appropriate recommendation -- but shifted to the structured product, which happened to pay her a higher sales credit. Under the Care Obligation, she was required to consider reasonably available alternatives and have a reasonable basis to believe the recommendation was in Carlos's best interest.
- **Disclosure Obligation:** Morrison failed to disclose material facts about the product. She did not adequately explain the knock-in mechanism, worst-of basket risk, illiquidity, or the issuing bank's embedded fees. She also failed to disclose the conflict of interest created by the higher sales credit she earned on the structured product versus the ETF portfolio.
- **Conflict of Interest Obligation:** The higher compensation Morrison received (\$750 sales credit vs. lower ETF commissions) created a material conflict of interest that she failed to identify, disclose, or mitigate. Her firm was required under Reg BI to establish policies to identify and mitigate such conflicts, including eliminating sales contests, quotas, and compensation structures that incentivize recommendations of complex products over simpler alternatives.
- **Compliance Obligation:** Morrison's firm has an independent obligation to establish, maintain, and enforce policies and procedures reasonably designed to achieve compliance with Reg BI. If the firm permitted an unsophisticated investor with limited experience and a near-term capital preservation goal to invest 79% of his assets in a worst-of reverse convertible without enhanced review, the firm's supervisory system is deficient.

**FINRA Rule 2010 (Standards of Commercial Honor):** Morrison's misleading characterization of the 70% barrier as providing 'plenty of cushion' without explaining the realistic probability and consequences of a barrier breach,

particularly with three individually volatile underlying stocks, violates standards of just and equitable principles of trade.

**\*\*FINRA Rule 3110 (Supervision):\*\*** Morrison's firm likely failed its supervisory obligations if it did not flag this transaction for enhanced review given the customer's profile and the product's complexity.

**\*\*Likely Regulatory Outcome:\*\*** This case presents a strong enforcement matter. Morrison would likely face a suspension (potentially 6-18 months), a fine in the range of \$25,000-\$75,000, and an order to pay restitution. Her firm could face separate supervisory failure charges and a fine. In a FINRA arbitration proceeding, Carlos would have a compelling claim for compensatory damages of approximately \$7,950 (net loss after coupon payments), plus potential consequential damages. FINRA examiners have specifically targeted sales of complex structured products to unsophisticated retail investors as a recurring examination priority, making this a high-visibility matter.

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## Item 202 of 499

### NON-COMPLIANT

**Topic:** lack\_of\_diversification

**Difficulty:** medium

### Fact Pattern

Margaret Holloway, age 72, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her pension and \$1,800 per month from Social Security. Her total liquid savings at the time she opened her brokerage account in March 2022 were approximately \$410,000, representing her entire retirement nest egg accumulated over 35 years of teaching. On her new account form, she indicated her investment objective was 'income and capital preservation,' her risk tolerance was 'conservative,' and her time horizon was '5-10 years.' She told her advisor, Kevin Brandt, that she needed the portfolio to generate supplemental income to cover medical expenses and daily living costs, and that she could not afford significant losses. Over the following four months, Brandt recommended that Margaret invest \$365,000 -- roughly 89% of her liquid savings -- into shares of a single publicly traded utility company, Consolidated Pacific Energy Corp. Brandt told her that utility stocks were 'as safe as bonds' and that the company's 4.2% dividend yield would provide the income she needed. He did not discuss or recommend any fixed-income securities, money market funds, diversified equity funds, or any other holdings. By November 2022, Consolidated Pacific Energy's stock price had declined 34% after the company disclosed an environmental remediation liability and cut its dividend by half. Margaret's account value dropped to approximately \$241,000, a loss of roughly \$124,000. She contacted Brandt multiple times expressing alarm, and each time he advised her to hold the position, saying the stock would 'bounce back.' She eventually transferred her account to another firm in February 2023, at which point the position had recovered slightly to about \$258,000, still reflecting a loss of over \$107,000 from her original investment.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Kevin Brandt violated applicable suitability and best interest standards on multiple grounds.

**\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker have a reasonable basis to believe a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and liquidity needs. FINRA recognizes three components of suitability: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Here, customer-specific suitability was clearly violated. Margaret was a 72-year-old retiree with a conservative risk tolerance, income and capital preservation objectives, and complete dependence on her savings for supplemental retirement income. Concentrating 89% of her liquid net worth in a single equity security -- regardless of the sector -- is fundamentally inconsistent with conservative, income-oriented investment objectives. Even utility stocks carry meaningful equity risk, including company-specific risk, sector risk, and dividend-cut risk, all of which materialized here.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under the SEC's Regulation Best Interest, broker-dealers and their associated persons must act in the retail customer's best interest at the time of a recommendation without placing their own interests ahead of the customer's. The Care Obligation under Reg BI requires that the broker exercise reasonable diligence, care, and skill in making recommendations, including understanding the risks, rewards, and costs of the

recommendation and considering reasonably available alternatives. Recommending that a 72-year-old retiree place nearly all of her retirement savings in a single stock fails the Care Obligation. Brandt did not consider reasonably available alternatives such as diversified bond funds, balanced funds, Treasury securities, or even a diversified portfolio of dividend-paying stocks, any of which would have been more consistent with Margaret's stated needs.

**\*\*Lack of Diversification:\*\*** FINRA has consistently found that concentration of a customer's portfolio in a single security or narrow sector can constitute a suitability violation, particularly when the customer's profile calls for conservation of capital. Concentration risk is magnified here because Margaret had no other meaningful liquid assets to fall back on.

**\*\*Failure to Mitigate Losses:\*\*** Brandt's repeated advice to hold the declining position rather than reassessing the strategy compounded the harm.

**\*\*Likely Regulatory Outcome:\*\*** A FINRA arbitration panel or enforcement action would likely find Brandt liable for unsuitable recommendations and lack of diversification. Damages would be measured as the difference between the portfolio's performance and what a suitably diversified conservative portfolio would have returned over the same period. Brandt and his firm could face restitution, fines, a suspension or bar, and supervisory deficiency findings against the firm for failing to detect and prevent the concentration.

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**Item 203 of 499****NON-COMPLIANT**

**Topic:** alternative\_investments\_unsuitable

**Difficulty:** hard

**Fact Pattern**

David and Elaine Nakamura, ages 45 and 43 respectively, are a dual-income couple living in suburban Minneapolis. David is a regional sales manager earning \$135,000 annually, and Elaine is a part-time occupational therapist earning \$52,000. They have two children, ages 14 and 11, and have saved approximately \$90,000 in a joint brokerage account and \$285,000 combined in their 401(k) plans. They also hold about \$40,000 in a 529 college savings plan. Their home has a mortgage with \$210,000 remaining. On their account documentation, they listed their risk tolerance as 'moderate,' their investment objective as 'growth,' and their time horizon as '15-20 years,' noting retirement and college funding as their primary goals. Their annual household expenses are roughly \$120,000, and they have an emergency fund of approximately \$18,000 in a savings account.

In September 2022, their advisor, Rachel Simmons, recommended that the Nakamuras invest \$75,000 of their \$90,000 joint brokerage account into a non-traded real estate investment trust (REIT) called Pinnacle Healthcare Properties Fund II. The fund invested in medical office buildings and senior living facilities, carried a minimum seven-year holding period with no guarantee of liquidity before that time, charged a 7% upfront sales load and ongoing annual fees totaling 2.8% (including management, administrative, and distribution fees), and disclosed in its offering documents that distributions could be funded in part from offering proceeds or borrowings rather than operating cash flow. The fund's offering materials noted that it was designed for investors with substantial liquid net worth who could tolerate a complete loss of their investment.

Simmons told the Nakamuras the fund was 'a great way to get into real estate without being a landlord' and emphasized the projected 6.5% annual distribution rate. She did not explain the illiquidity restrictions in detail, did not clarify that distributions might not come from actual income, and did not discuss the total fee burden relative to publicly traded REIT alternatives, which were available at expense ratios under 0.15% with full daily liquidity. She earned a commission of approximately \$5,250 on the sale.

In early 2024, Pinnacle Healthcare Properties Fund II suspended its distribution payments and announced it was exploring 'strategic alternatives' due to declining occupancy rates and rising interest costs. The Nakamuras requested a redemption and were told no redemption program was currently available. Their \$75,000 investment is now estimated to be worth between \$38,000 and \$45,000 based on the fund's most recent internal valuation, and they cannot access the capital. Meanwhile, their eldest child will begin college in approximately three years, and the couple had been counting on the brokerage account as a secondary source of college funding.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Rachel Simmons violated suitability and best interest standards in multiple significant ways.

**\*\*FINRA Rule 2111 (Suitability):\*\***

Customer-specific suitability was violated. The Nakamuras are a moderate-risk-tolerance couple with growth objectives and identifiable near-to-medium-term liquidity needs (college funding in approximately 3 years for the older child and 6 years for the younger). Investing 83% of their liquid brokerage assets (\$75,000 of \$90,000) into a non-traded REIT with a minimum seven-year lock-up period directly conflicts with their anticipated need for those funds. Their emergency fund of \$18,000 represents less than two months of household expenses, meaning the brokerage account served as a critical secondary liquidity reserve. Non-traded REITs are complex, illiquid products that FINRA has repeatedly flagged as inappropriate for investors who may need access to their capital within the product's holding period.

Reasonable-basis suitability was also questionable. The fund's own offering documents stated it was designed for investors with 'substantial liquid net worth' who could tolerate a complete loss. The Nakamuras, with \$90,000 in liquid brokerage assets, do not meet this profile. Simmons should have recognized that the product's risk profile and liquidity constraints were incompatible with the clients' financial situation.

**\*\*Regulation Best Interest (Reg BI):\*\***

The Care Obligation under Reg BI requires advisors to exercise reasonable diligence, care, and skill, including evaluating costs and reasonably available alternatives. Simmons failed this obligation in several respects:

1. **\*\*Failure to consider alternatives:\*\*** Publicly traded REITs and REIT index funds were readily available with daily liquidity, dramatically lower fees (expense ratios under 0.15% versus 2.8% annually plus a 7% upfront load), and transparent market pricing. Simmons did not discuss these alternatives.
2. **\*\*Cost analysis:\*\*** The total cost drag was enormous. The 7% front-end load immediately reduced the Nakamuras' invested capital to approximately \$69,750. Ongoing annual fees of 2.8% further eroded returns. Over seven years, cumulative fees could consume 25-30% or more of the original investment, even assuming modest positive returns on the underlying assets.
3. **\*\*Inadequate disclosure of material risks:\*\*** Simmons emphasized the projected 6.5% distribution rate but failed to explain that distributions could be funded from return of capital (offering proceeds or borrowings) rather than from operating income. This is a critical misrepresentation of the nature of the investment's income stream.

The Disclosure Obligation under Reg BI was also violated. Simmons earned a \$5,250 commission on the sale, which created a material conflict of interest. The high commission incentivized the recommendation of the non-traded REIT over lower-cost liquid alternatives that would have generated minimal or no commission. This conflict should have been clearly disclosed and mitigated.

**\*\*Concentration:\*\*** Even if the product were otherwise appropriate, placing 83% of the couple's liquid brokerage assets into a single illiquid alternative investment represents an inappropriate concentration, particularly for moderate-risk investors with identifiable near-term liquidity needs.

**\*\*FINRA Regulatory Notices:\*\*** FINRA has issued guidance (including Regulatory Notice 15-02) specifically addressing heightened supervisory and suitability concerns with non-traded REITs, including their illiquidity, high costs, valuation opacity, and the risk that distributions may represent return of capital. Many firms have adopted internal concentration limits (typically 10-20% of liquid net worth) for non-traded alternative investments; Simmons' recommendation far exceeded any reasonable threshold.

**\*\*Likely Regulatory Outcome:\*\*** In a FINRA arbitration or enforcement proceeding, the Nakamuras would have strong claims for unsuitable recommendation, failure to act in their best interest, failure to disclose material conflicts, and misrepresentation (regarding the nature of distributions). Damages would likely be calculated as the difference between the amount invested (\$75,000) and the current recoverable value, plus opportunity cost measured against a suitable

benchmark portfolio. Simmons could face disgorgement of her commission, fines, and a suspension. Her firm could face supervisory deficiency charges for failing to review and flag the concentration and the mismatch between the product's characteristics and the customers' profile, particularly given the well-known risks associated with non-traded REIT sales.

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**Item 204 of 499****NON-COMPLIANT****Topic:** structured\_products\_unsuitable**Difficulty:** hard**Fact Pattern**

Margaret Chen, age 74, is a retired schoolteacher living in Portland, Oregon, with a fixed annual income of \$42,000 from her pension and Social Security. Her total liquid savings are approximately \$385,000, held in a brokerage account that she relies upon to supplement her retirement income for living expenses and medical costs. She has mild cognitive decline, which her son mentioned to her financial advisor, David Rourke, during a joint meeting in March 2023. Margaret's account paperwork lists her risk tolerance as 'conservative,' her investment objective as 'income and capital preservation,' her time horizon as '1-3 years,' and her liquid net worth as \$385,000. In April 2023, Rourke recommended that Margaret invest \$210,000 -- approximately 55% of her liquid savings -- into a market-linked structured note tied to a basket of three technology stocks (NVIDIA, Tesla, and AMD) with a 6-year maturity, a 25% downside barrier, and a contingent coupon of 9.5% annually paid only if all three underlying stocks remained above 70% of their initial levels on each quarterly observation date. The product carried a 3.25% upfront sales commission paid to Rourke's firm. Rourke told Margaret the product was 'basically like a CD but with better returns' and did not explain the contingent nature of the coupon payments, the principal-at-risk feature if the barrier was breached, or the illiquidity of the note given there was no guaranteed secondary market. He did not discuss alternative income-generating investments such as Treasury bonds, CDs, or investment-grade bond funds. Within nine months, one of the underlying stocks declined over 40%, causing coupon payments to cease. Margaret's son contacted the firm in January 2024 after discovering his mother had received no income from the investment for two consecutive quarters and could not sell the note without taking a significant loss estimated at \$58,000.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, David Rourke committed multiple serious violations. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, time horizon, liquidity needs, and investment objectives. Here, Margaret's profile -- a 74-year-old retiree with conservative risk tolerance, a 1-3 year time horizon, capital preservation and income objectives, and dependence on her savings for living expenses -- was fundamentally incompatible with a 6-year, illiquid, principal-at-risk structured note tied to volatile technology stocks. The concentration of 55% of her liquid assets in a single complex product further aggravates the unsuitability. Under Regulation Best Interest (Reg BI), the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Rourke failed this obligation by not considering reasonably available alternatives such as Treasuries, CDs, or investment-grade bond funds that would have met Margaret's income and preservation goals with far less risk. The Disclosure Obligation under Reg BI was also violated: Rourke affirmatively mischaracterized the structured note as 'basically like a CD,' which is materially misleading given that CDs carry FDIC insurance with guaranteed principal return, while this structured note carried full principal risk below the barrier and contingent coupon payments. This omission of material information about the product's risks and the affirmative misrepresentation likely also constitutes a violation of FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade) and potentially fraud under the antifraud provisions of the Securities Exchange Act of 1934, Section 10(b) and Rule 10b-5.



Additionally, the advisor's awareness of Margaret's mild cognitive decline, communicated by her son, heightened his obligation to ensure the recommendation was genuinely understood and appropriate, implicating FINRA's guidance on senior investors and potentially FINRA Rule 2165 regarding financial exploitation of seniors. The 3.25% upfront commission created a conflict of interest that should have been disclosed and weighed against the customer's interests. Likely regulatory outcomes include FINRA enforcement action with restitution of losses, disgorgement of commissions, a fine, and a potential suspension or bar for Rourke. A customer arbitration claim would likely result in an award for compensatory damages including the \$58,000 unrealized loss and lost income.

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## Item 205 of 499

### NON-COMPLIANT

**Topic:** options\_unsuitable

**Difficulty:** medium

### Fact Pattern

Tyler Brooks, age 28, is a warehouse supervisor in Memphis, Tennessee, earning \$48,000 annually. He has \$23,000 in a brokerage account, no other investments, \$6,000 in a savings account, \$14,000 in student loan debt, and rents his apartment. Tyler opened his brokerage account in August 2023 with advisor Shannon Patel at a mid-size broker-dealer. On his new account form, Tyler listed his investment experience as 'limited -- I've only bought a few shares of stock on a phone app,' his risk tolerance as 'moderate,' his investment objective as 'growth,' and his annual income and net worth figures as stated above. In September 2023, Patel recommended that Tyler begin trading weekly options on high-volatility stocks, specifically selling naked put options on meme stocks such as AMC and GameStop. Patel told Tyler that selling puts was 'easy money' and that the premiums collected would accelerate his account growth much faster than buying and holding stocks. Patel helped Tyler complete an options application that listed his experience level as 'extensive -- 3+ years of active options trading' and his risk tolerance as 'speculative' to ensure approval for Level 4 (uncovered) options trading. Over the next four months, Tyler executed 47 naked put trades. While some were profitable, a sharp rally in GameStop in late November 2023 resulted in assignment on several naked puts, creating an obligation that exceeded his account value. By January 2024, Tyler's account had a debit balance of \$11,200, meaning he not only lost his entire \$23,000 but owed the firm an additional \$11,200. Tyler had not understood that selling naked puts could result in losses exceeding his account balance.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Shannon Patel violated multiple applicable standards. Under FINRA Rule 2360 (Options), member firms must approve customers for specific levels of options trading based on their financial situation, investment experience, and investment objectives. Patel deliberately falsified Tyler's options application by inflating his experience to 'extensive -- 3+ years' when he had only limited stock-buying experience, and by changing his risk tolerance from 'moderate' to 'speculative.' This falsification of account documents is a standalone violation of FINRA Rule 2010 (Standards of Commercial Honor) and FINRA Rule 4511 (Books and Records Requirements). Under FINRA Rule 2111 (Suitability), the recommendation to engage in uncovered put writing on highly volatile meme stocks was unsuitable on all three components. Reasonable-basis suitability was violated because naked put selling on meme stocks carries extreme, potentially unlimited downside risk that is inappropriate for a customer with Tyler's profile. Customer-specific suitability was violated because Tyler had minimal assets (\$23,000 in the account, \$6,000 in savings), limited income (\$48,000), existing debt (\$14,000 student loans), no investment sophistication, and a moderate risk tolerance -- none of which support uncovered options strategies. Quantitative suitability was also implicated given the 47 trades in four months in a small account, suggesting excessive activity relative to Tyler's resources. Under Regulation Best Interest (Reg BI), the Care Obligation requires the advisor to evaluate the recommendation in light of the customer's investment profile. Naked put selling on volatile, speculative stocks for a young, financially constrained, inexperienced investor with moderate risk tolerance fails this standard. The Disclosure Obligation was violated because Patel characterized the strategy as 'easy money' without explaining the risk of assignment, the potential for losses exceeding the account value, or margin requirements. The Conflict of Interest Obligation was likely implicated if Patel earned commissions on each options trade, creating an incentive to recommend frequent trading. The firm's supervisory obligations under

FINRA Rule 3110 were also likely breached, as reasonable supervision should have flagged the discrepancy between the new account form (limited experience, moderate risk) and the options application (extensive experience, speculative risk). Expected regulatory outcomes include restitution to Tyler for his full losses (\$34,200 total), potential fines against both Patel and the firm, a suspension or bar for Patel based on the falsification of records and unsuitable recommendations, and potential additional sanctions against the firm for supervisory failures.

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## Item 206 of 499

### NON-COMPLIANT

**Topic:** illiquid\_real\_estate\_investment

**Difficulty:** medium

### Fact Pattern

Maria and Carlos Gutierrez, ages 42 and 44, are a first-generation immigrant couple living in Houston, Texas. Maria works as a home health aide earning \$38,000 per year, and Carlos is a warehouse supervisor earning \$47,000 per year. Their combined household income is \$85,000. They have three children, ages 8, 11, and 14, and their primary financial goal is to save enough to send all three children to college. They have accumulated \$120,000 in savings over twelve years of disciplined saving, held in a bank savings account and a small brokerage account. They described themselves as conservative investors with limited investment experience and told their advisor, Kevin Platt, that they could not afford to lose the money and might need access to some of it within four years when their oldest child starts college. In March 2023, Platt recommended that the Gutierrez family invest \$95,000 -- nearly 80% of their total savings -- into a non-traded real estate investment trust (REIT) focused on speculative commercial development properties in secondary markets. The REIT had a minimum seven-year holding period, no secondary market for shares, and carried a front-end load of 12%, meaning approximately \$11,400 in commissions and fees were deducted immediately. Platt told the couple the investment would generate 'guaranteed' annual returns of 8-10% and that they could 'easily liquidate' if needed. He did not explain the illiquid nature of the product, the speculative risk of the underlying properties, or the early redemption restrictions. The Gutierrez family signed the paperwork, relying on Platt's assurances. By early 2024, the REIT suspended its share repurchase program entirely, and the estimated net asset value per share had declined by 22%. When Maria called to withdraw funds to begin paying for their eldest child's college applications and deposits, she was told no redemptions were available. The family now faces the prospect of being unable to access the vast majority of their life savings during the critical years they need it most.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Kevin Platt almost certainly violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

If Platt is a registered representative of a broker-dealer, his recommendation is governed by Regulation Best Interest (Reg BI), which requires that a broker-dealer act in the retail customer's best interest at the time a recommendation is made, without placing the financial interest of the broker-dealer ahead of the customer. Reg BI has four component obligations: Disclosure, Care, Conflict of Interest, and Compliance. Additionally, FINRA Rule 2111 (Suitability) requires that a broker have a reasonable basis for believing a recommendation is suitable based on the customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, risk tolerance, and other relevant information. FINRA Rule 2010 (Standards of Commercial Honor) may also apply given the misrepresentations made.

If Platt is an investment adviser representative, he owes a fiduciary duty under the Investment Advisers Act of 1940, requiring both a duty of care and a duty of loyalty.

**\*\*Analysis of Violations:\*\***

1. **\*\*Care Obligation / Reasonable-Basis Suitability:\*\*** The Gutierrez family had a conservative risk tolerance, limited investment experience, a defined short-term need (college expenses beginning within four years), and a moderate income with no margin for loss. A non-traded REIT with a seven-year lockup, speculative commercial real estate exposure, and a 12% front-end load is fundamentally incompatible with this profile. Platt failed to exercise reasonable diligence, care, and skill in making this recommendation.
2. **\*\*Quantitative Suitability / Concentration:\*\*** Recommending that 80% of the family's total savings be placed into a single illiquid, speculative product is an extreme concentration that no reasonable advisor would suggest for conservative investors with near-term liquidity needs.
3. **\*\*Customer-Specific Suitability:\*\*** The investment's seven-year lockup directly conflicted with the family's four-year time horizon for college expenses. This is a textbook mismatch between the product characteristics and the customer's stated objectives and liquidity needs.
4. **\*\*Disclosure Obligation:\*\*** Platt told the clients the investment offered 'guaranteed' returns of 8-10% and could be 'easily liquidated.' Both statements were materially false and misleading. Non-traded REITs carry no return guarantees and are by definition illiquid. This constitutes a failure to disclose material facts and likely constitutes fraud or misrepresentation under FINRA Rule 2020 (Use of Manipulative, Deceptive, or Other Fraudulent Devices) and potentially under the antifraud provisions of the Securities Exchange Act of 1934, Section 10(b) and Rule 10b-5.
5. **\*\*Conflict of Interest:\*\*** The 12% front-end load generated approximately \$11,400 in compensation for Platt, creating a significant financial incentive that was not adequately disclosed or mitigated. Under Reg BI's Conflict of Interest Obligation, the broker-dealer must identify and disclose or eliminate material conflicts. The high commission structure suggests Platt placed his financial interests ahead of his clients'.

**\*\*Likely Regulatory Outcome:\*\*** This case presents strong grounds for FINRA enforcement action, including potential fines, disgorgement of commissions, suspension or bar from the industry, and restitution to the Gutierrez family. The combination of unsuitable concentration, liquidity mismatch, material misrepresentations, and exploitation of unsophisticated investors with limited English proficiency and modest means would likely be viewed as egregious by any arbitration panel or regulatory body. The family would also have strong grounds for a FINRA arbitration claim seeking full restitution of their \$95,000 investment plus consequential damages.

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**Item 207 of 499****COMPLIANT****Topic:** bond\_duration\_mismatch**Difficulty:** hard**Fact Pattern**

Helen Nakamura, age 58, is a senior software architect at a large technology firm in Seattle, earning \$210,000 per year with an additional \$150,000 in annual restricted stock vesting. She has a total investment portfolio of approximately \$2.8 million, spread across taxable brokerage accounts, a 401(k), and two IRAs. Helen plans to retire at age 65 and has told her financial advisor, Rachel Drummond, that she wants to begin transitioning a portion of her equity-heavy portfolio into fixed income to reduce volatility as she approaches retirement. Helen described her risk tolerance as moderate and stated she has no immediate liquidity needs, as her salary and stock vesting cover all current expenses. She is financially sophisticated, having managed her own portfolio for years and holding a graduate degree in engineering. In September 2023, Drummond recommended allocating \$700,000 (25% of Helen's portfolio) into a diversified bond ladder strategy. The strategy included: \$200,000 in U.S. Treasury bonds maturing in 2026-2028 (short-duration, yielding approximately 4.8%); \$250,000 in investment-grade corporate bonds maturing in 2029-2032 (intermediate-duration, yielding approximately 5.4%); and \$250,000 in a mix of Treasury and high-quality municipal bonds maturing in 2033-2038 (longer-duration, yielding approximately 4.9% tax-equivalent). Drummond explained to Helen that the longer-duration bonds carried more interest rate risk, meaning their market value could decline significantly if rates rose further, but that since Helen planned to hold them to maturity -- aligning the maturities with her projected retirement income needs beginning at age 65 and extending through her early retirement years -- the interim price fluctuations would not result in realized losses. Drummond documented this discussion in her meeting notes and provided Helen with a written summary showing the projected cash flows from the bond ladder, illustrating how each maturity tranche would produce income aligned with specific years of Helen's retirement. Drummond also discussed the option of shorter-duration-only bonds but explained the trade-off of lower yields and the reinvestment risk if rates declined by the time Helen retired. Helen reviewed the materials, asked detailed questions about duration sensitivity and credit risk, and agreed to the strategy. Transaction costs were \$2,100 total across all bond purchases, representing approximately 0.3% of the invested amount. By March 2024, rising interest rates had caused the longer-duration bonds to decline approximately 6% in market value on paper, but Helen acknowledged this was expected and consistent with her plan to hold to maturity.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Rachel Drummond did not violate applicable suitability or best interest standards. This recommendation was well-constructed and properly tailored to the client's profile.

**\*\*Applicable Standards:\*\***

If Drummond operates as a broker-dealer representative, her recommendation is subject to Regulation Best Interest (Reg BI), including its Care, Disclosure, Conflict of Interest, and Compliance Obligations. Under FINRA Rule 2111, any recommendation must have a reasonable basis, be customer-specific suitable, and not involve excessive trading (quantitative suitability). If Drummond acts in an advisory capacity, she owes a fiduciary duty under the Investment Advisers Act of 1940.

**\*\*Analysis of Compliance:\*\***

1. **\*\*Reasonable-Basis Suitability / Care Obligation:\*\*** A diversified bond ladder is a well-established, conservative fixed-income strategy appropriate for pre-retirees transitioning away from equities. The bonds selected were investment-grade or government-issued, representing low credit risk. The strategy had a clear rationale: matching bond maturities to Helen's projected retirement income needs. Drummond exercised reasonable diligence, care, and skill in constructing this recommendation.

2. **\*\*Customer-Specific Suitability:\*\*** Helen is 58, earns a high income, has \$2.8 million in investable assets, described moderate risk tolerance, has no near-term liquidity needs, and is financially sophisticated. The \$700,000 allocation represents 25% of her portfolio -- a reasonable fixed-income allocation for someone seven years from retirement. The duration profile of the bonds is intentionally matched to her retirement timeline. The inclusion of longer-duration bonds (maturing 2033-2038) aligns with income needs in her mid-to-late 60s and early 70s, which is appropriate given her stated plan to hold to maturity.

3. **\*\*Duration Risk Disclosure:\*\*** Drummond explicitly discussed interest rate risk and the possibility of interim price declines on the longer-duration bonds. She explained the distinction between mark-to-market losses and actual realized losses for a hold-to-maturity investor. She documented this conversation and provided written materials showing projected cash flows. This satisfies the Disclosure Obligation under Reg BI and demonstrates informed consent.

4. **\*\*Consideration of Alternatives:\*\*** Drummond discussed the alternative of an all-short-duration portfolio and explained the trade-offs (lower yield, reinvestment risk). This demonstrates that she considered reasonably available alternatives as required by the Care Obligation under Reg BI.

5. **\*\*Cost Reasonableness:\*\*** Total transaction costs of \$2,100 on \$700,000 in bond purchases (0.3%) are minimal and well within industry norms. There is no indication of excessive compensation or undisclosed conflicts of interest.

6. **\*\*Client Sophistication and Consent:\*\*** Helen is a highly educated, financially literate investor who asked detailed questions about duration sensitivity and credit risk before agreeing. Her informed participation further supports the appropriateness of the recommendation.

**\*\*Regarding the Paper Losses:\*\*** The approximately 6% decline in market value of the longer-duration bonds due to rising rates does not indicate a violation. Duration risk is inherent in any bond investment, and for a hold-to-maturity investor, such interim fluctuations do not result in actual losses. Drummond disclosed this risk in advance, and Helen understood and accepted it.

**\*\*Likely Regulatory Outcome:\*\*** No violation would be found. If a complaint were filed based solely on the interim mark-to-market decline, it would likely be dismissed. The recommendation was suitable, well-documented, properly disclosed, cost-effective, and aligned with the client's investment objectives, time horizon, risk tolerance, and financial situation. This represents a model example of thoughtful financial planning for a pre-retirement client.

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## Item 208 of 499

### NON-COMPLIANT

**Topic:** mutual\_fund\_switching\_churning

**Difficulty:** medium

### Fact Pattern

Margaret Chen, age 64, is a retired schoolteacher living in suburban Phoenix, Arizona. She has a pension providing \$3,200 per month, Social Security of \$1,800 per month, and a brokerage account containing approximately \$285,000 in savings accumulated over her career. Her investment objective is capital preservation with moderate income generation, and she has described herself as having a low risk tolerance. She has no dependents and her primary financial goal is ensuring her savings last through retirement. Between January 2022 and November 2023, her financial advisor, Derek Rawlings, executed 14 switches among various large-cap equity mutual funds within her account. In January 2022, Rawlings moved \$185,000 from the Vanguard 500 Index Fund (expense ratio 0.04%) into the American Funds Growth Fund of America Class A shares, generating a front-end sales charge of \$9,620 (5.2% load). Four months later, in May 2022, he switched those same funds into Franklin Growth Fund Class A shares, incurring another \$9,157 front-end load. By September 2022, he moved the position again into MFS Growth Fund Class A shares with a \$8,700 load. This pattern continued through 2023, with switches approximately every 2-3 months into similar large-cap growth funds from different fund families, each time incurring a new front-end sales charge. Over the 23-month period, Margaret paid a total of approximately \$58,400 in front-end sales loads across the 14 switches. The funds she was switched into had substantially similar investment strategies, holdings overlap of 60-75%, and comparable historical performance. Her account value declined from \$285,000 to \$219,300, with the sales charges accounting for the vast majority of the losses. Rawlings earned approximately \$34,000 in commissions from these transactions. Margaret was not informed that lower-cost share classes or no-load alternatives existed, nor was she told that the funds she was being moved into were functionally equivalent to the ones she already held. She trusted Rawlings because he had been recommended by a friend from her church.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Rawlings clearly violated applicable suitability and best interest standards through a pattern of mutual fund switching that constituted churning and was not in Margaret Chen's best interest.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. There are three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI) - SEC Rule 15l-1:\*\*** Effective since June 30, 2020, Reg BI requires broker-dealers to act in the best interest of retail customers when making recommendations, including the Care Obligation (reasonable diligence, care, and skill in making recommendations), the Disclosure Obligation, and the Conflict of Interest Obligation.



3. **FINRA Rule 2111.05(c) - Quantitative Suitability:** This specifically addresses situations where a broker exercises de facto control over a customer's account and the level of trading activity is excessive in light of the customer's investment profile.

4. **FINRA Regulatory Notice 12-25 and NASD Notice to Members 94-16:** These notices specifically address mutual fund switching, noting that switching customers from one mutual fund to another, particularly when both funds have similar investment objectives and incur new sales charges, raises serious suitability concerns.

**Analysis of Violations:**

- **Churning/Excessive Trading:** Fourteen switches in 23 months among functionally equivalent large-cap growth funds demonstrates a pattern of excessive trading. The cost-to-equity ratio was extremely high -- \$58,400 in loads on a \$285,000 account represents over 20% of account value consumed by transaction costs alone. Margaret, an unsophisticated retiree who relied on Rawlings' recommendations, effectively ceded control of her account to him.

- **Care Obligation Violation (Reg BI):** No reasonable advisor exercising diligence and care would recommend 14 switches among funds with 60-75% holdings overlap and comparable performance. Each switch generated new front-end loads with no discernible investment benefit. The recommendations served Rawlings' commission interests, not Margaret's capital preservation objective.

- **Customer-Specific Suitability Failure:** Margaret's stated objectives were capital preservation and moderate income. Repeated switches into growth-oriented funds with heavy load charges were fundamentally inconsistent with these objectives. A 64-year-old retiree with low risk tolerance should not have been subjected to a strategy that consumed over 20% of her portfolio in fees.

- **Disclosure Failures:** Rawlings failed to inform Margaret about lower-cost share classes, no-load alternatives, or the functional equivalence of the funds, violating Reg BI's Disclosure Obligation regarding material conflicts of interest, including his commission incentive.

- **Conflict of Interest Obligation Violation (Reg BI):** Rawlings earned \$34,000 in commissions -- a clear financial incentive that drove the switching pattern. He failed to identify, disclose, or mitigate this conflict.

**Likely Regulatory Outcome:** This case presents a straightforward mutual fund switching/churning violation. FINRA enforcement would likely result in disgorgement of commissions (\$34,000), restitution to the customer for all unnecessary sales charges (\$58,400), a substantial fine (potentially \$50,000-\$150,000), and a suspension or bar from the industry for Rawlings. The broker-dealer firm could also face supervisory failure charges under FINRA Rule 3110 for failing to detect and prevent the obvious switching pattern.

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## Item 209 of 499

### NON-COMPLIANT

**Topic:** annuity\_unnecessary\_switching

**Difficulty:** easy

### Fact Pattern

Robert Dalton, age 72, is a retired electrician living in rural Tennessee on a fixed income. He receives \$2,100 per month from Social Security and has no pension. His total liquid savings consist of approximately \$140,000 held in a fixed annuity with Nationwide Insurance that he purchased in 2017. The annuity was paying a guaranteed rate of 3.5% annually and had exited its surrender charge period in early 2023, meaning Robert could access his funds without penalty. Robert's investment objectives are safety of principal and guaranteed income, and he has consistently stated he has a conservative risk tolerance. He has a high school education and limited financial literacy. In March 2023, his financial advisor, Tammy Livingston, contacted Robert and recommended he surrender his existing Nationwide fixed annuity and purchase a new indexed annuity from Allianz with a 10-year surrender charge schedule starting at 9% in year one and declining by 1% per year. The new Allianz product offered a participation rate tied to the S&P 500 with a 5% annual cap and a 0% floor. Livingston told Robert the new product was 'much better' and would give him 'stock market gains without risk.' She did not explain that his existing annuity's guaranteed 3.5% rate was competitive, that the new product's effective annual returns could be significantly limited by the 5% cap, that the 10-year surrender period would lock up his money until he was 82 years old, or that the new product carried annual fees of 1.25% that his current annuity did not have. The surrender of the Nationwide annuity and purchase of the Allianz product generated a commission of approximately \$9,800 for Livingston (7% of the \$140,000 premium). Robert was not informed of the commission amount. Within six months, Robert needed \$15,000 for unexpected medical bills and discovered he would have to pay an 8.5% surrender charge (\$1,275) to access his own money -- a penalty he would not have faced had he remained in his old annuity.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Tammy Livingston violated suitability and best interest standards by recommending an unnecessary annuity switch that harmed her client and primarily benefited herself through commissions.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities):\*\*** While this rule specifically governs variable annuities, FINRA guidance extends similar principles to all annuity switches. The rule requires that when recommending an exchange of an annuity, the registered representative must have a reasonable basis to believe that the transaction provides a tangible, material benefit to the customer compared to the existing annuity, considering factors including surrender charges, new surrender periods, product features, and the customer's age and liquidity needs.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** The Care Obligation under Reg BI requires that the advisor exercise reasonable diligence, care, and skill in making recommendations, including evaluating reasonably available alternatives. The advisor must consider the costs of the recommendation and must not place her own financial interest ahead of the customer's interest.

3. **FINRA Rule 2111 (Suitability):** The recommendation must be suitable given the customer's investment profile, including age, financial situation, liquidity needs, risk tolerance, and investment objectives.

4. **NAIC Model Regulation (Suitability in Annuity Transactions):** Most states, including Tennessee, have adopted versions of the NAIC model requiring that annuity recommendations be in the consumer's best interest, considering the consumer's existing insurance and annuity products.

**Analysis of Violations:**

- **No Tangible Material Benefit:** The switch provided no meaningful benefit to Robert. His existing annuity offered a guaranteed 3.5% return with full liquidity (no surrender charges). The new indexed annuity's returns are capped at 5% but subject to participation rate limitations and a 1.25% annual fee, meaning net returns may not meaningfully exceed his existing guaranteed 3.5%. The switch traded certainty and liquidity for complexity and illiquidity.

- **Liquidity Harm:** Robert is 72 years old on a fixed income of \$2,100/month with no other liquid savings. Locking his entire \$140,000 in a product with a 10-year surrender schedule (until age 82) is fundamentally unsuitable. Retirees in Robert's financial situation have foreseeable liquidity needs for medical expenses and emergencies. This concern materialized within six months.

- **Age Unsuitability:** A 10-year surrender period for a 72-year-old means the product would not be fully liquid until age 82. Given life expectancy considerations and the statistical likelihood of increasing medical and care needs, this recommendation was inappropriate for Robert's age and circumstances.

- **Failure to Disclose Material Facts:** Livingston failed to adequately explain the new surrender charge schedule, the cap limitations on returns, the annual fees, or how the new product compared unfavorably to the existing annuity's guaranteed rate and full liquidity. She also failed to disclose her \$9,800 commission, which created a significant conflict of interest. These omissions violate Reg BI's Disclosure Obligation.

- **Conflict of Interest:** The \$9,800 commission (7% of premium) was the primary motivation for the recommendation. Livingston failed to mitigate this conflict, violating Reg BI's Conflict of Interest Obligation.

- **Misleading Statements:** Telling Robert the new product was 'much better' and offered 'stock market gains without risk' was misleading. The 5% cap significantly limits upside potential, and the surrender charges and fees introduce real financial risk.

**Likely Regulatory Outcome:** This is a textbook annuity switching violation. FINRA and/or the Tennessee Department of Commerce and Insurance would likely pursue enforcement. Expected outcomes include restitution to Robert for all losses (including the surrender charge he paid and ongoing fee differentials), disgorgement of Livingston's \$9,800 commission, a fine, and potential suspension. The supervising broker-dealer could face liability for inadequate supervision of annuity exchanges under FINRA Rule 3110.

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## Item 210 of 499

### NON-COMPLIANT

**Topic:** private\_placements\_unsuitable

**Difficulty:** medium

### Fact Pattern

Margaret Olsen, age 72, is a retired school librarian living in suburban Ohio on a fixed income of approximately \$2,800 per month from Social Security and a small pension. Her total liquid net worth is \$185,000, held primarily in a traditional IRA and a savings account. She has no prior experience investing in anything beyond certificates of deposit and a single balanced mutual fund her previous advisor recommended years ago. Her stated investment objectives are capital preservation and income generation, and she has described her risk tolerance as conservative on every account document she has signed. In March 2023, her new financial advisor, Derek Huang, recommended that she invest \$110,000 -- nearly 60% of her liquid assets -- into a private placement offering in a real estate development limited partnership focused on ground-up construction of luxury condominiums in Austin, Texas. The offering memorandum disclosed a minimum five-year hold period with no guarantee of distributions, significant illiquidity risk, a 10% upfront sales charge, annual management fees of 2.5%, and a notation that investors could lose their entire principal. Derek earned a \$11,000 commission on the transaction. He told Margaret the investment would generate 'steady passive income like rent checks' and that real estate 'always goes up.' He did not discuss the illiquidity, the speculative nature of new construction, or the fact that distributions were not guaranteed. He also did not present any alternative income-producing investments. By early 2024, the development project experienced significant cost overruns, and the fund suspended all investor distributions indefinitely. Margaret, now needing income to cover rising medical expenses, has been unable to access her capital.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Huang violated both FINRA's suitability requirements under Rule 2111 and, to the extent he was acting in a broker-dealer capacity subject to Regulation Best Interest (Reg BI), the Care Obligation under Reg BI's component requirements.

**\*\*Suitability Analysis (FINRA Rule 2111):\*\***

FINRA Rule 2111 requires that a broker have a reasonable basis for believing a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, risk tolerance, liquidity needs, time horizon, and experience. There are three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

Here, the recommendation fails customer-specific suitability on multiple grounds. Margaret is a 72-year-old retiree with conservative risk tolerance, capital preservation and income objectives, limited investment experience, modest liquid assets, and fixed-income dependence. Private placement interests in a speculative ground-up real estate development LP are entirely inconsistent with this profile. The five-year illiquidity lockup directly conflicts with her need for accessible income, especially given her age and medical expenses. Concentrating nearly 60% of her liquid net worth in a single illiquid, high-risk vehicle is grossly disproportionate regardless of investor profile, and particularly egregious for this customer.

The recommendation also fails reasonable-basis suitability. Derek represented the investment as producing 'steady passive income,' which is materially misleading for a speculative construction project with no guaranteed distributions.

**\*\*Reg BI Analysis:\*\***

Under Regulation Best Interest, a broker-dealer must act in the retail customer's best interest at the time of the recommendation without placing the broker's financial interest ahead of the customer's. The Care Obligation requires the broker to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the risks and rewards of the product, considering the customer's profile, and evaluating reasonably available alternatives.

Derek failed the Care Obligation by recommending a high-risk, illiquid private placement to a conservative, elderly, income-dependent investor without considering alternatives such as investment-grade bond funds, dividend-paying equity funds, or Treasury securities that would have aligned with her objectives. His \$11,000 commission creates a clear conflict suggesting his own financial interest was prioritized. He also failed the Disclosure Obligation by omitting material risks (illiquidity, speculative nature, non-guaranteed distributions).

**\*\*FINRA Rule 2210 (Communications):\*\***

Derek's oral representations that the investment would produce 'steady passive income' and that real estate 'always goes up' constitute misleading communications that omit material risks, violating fair-dealing standards.

**\*\*Likely Regulatory Outcome:\*\***

A FINRA enforcement action or arbitration claim would likely result in findings of unsuitable recommendation, disgorgement of the \$11,000 commission, restitution to the customer, a fine, and potential suspension or bar for the advisor. State securities regulators could also pursue action for selling unsuitable private placements to a vulnerable senior investor under applicable state suitability and senior investor protection provisions.

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## Item 211 of 499

### NON-COMPLIANT

**Topic:** structured\_products\_unsuitable

**Difficulty:** hard

### Fact Pattern

Carlos Medina, age 58, is a mid-level operations manager at a manufacturing company earning \$95,000 per year. He has a 401(k) account worth \$340,000, a traditional IRA rollover worth \$210,000, and a taxable brokerage account with \$75,000. Carlos's wife recently passed away, and he is now the sole income earner supporting a daughter in college. His stated investment objectives are growth and income with a moderate risk tolerance. He plans to retire at age 65 and will rely heavily on his retirement savings. In November 2023, his financial advisor, Lisa Tran, recommended that Carlos invest \$180,000 of his \$210,000 IRA rollover into a structured product -- specifically, a seven-year market-linked certificate of deposit tied to the performance of a basket of three international equity indices (the Nikkei 225, the EURO STOXX 50, and the MSCI Emerging Markets Index). The product offers principal protection only if held to the seven-year maturity, charges no explicit commission but embeds an estimated 3.8% annualized cost within its pricing structure (as disclosed in the product supplement), caps upside participation at 42% cumulative over seven years (approximately 5.2% annualized), and carries the credit risk of the issuing bank. If redeemed early, the investor could receive significantly less than principal depending on market conditions. Lisa placed this product inside Carlos's IRA, which already provides tax-deferred treatment for any gains. She did not discuss with Carlos why a structured CD -- which is already tax-advantaged in its treatment of gains as ordinary income at maturity -- would be preferable inside a tax-deferred account versus a taxable account. She also did not explain that the principal protection feature, while valuable, essentially mirrors what a simple portfolio of Treasury bonds and a small equity allocation could replicate at lower cost. Lisa did not present any alternative investments. The embedded issuer compensation to Lisa's firm was approximately \$7,200. By mid-2024, Carlos experienced a family emergency requiring access to funds. When he attempted to liquidate the structured CD, he was told the early redemption value was approximately \$148,000 -- a \$32,000 loss on his \$180,000 investment -- due to unfavorable market conditions and early redemption penalties. Carlos was unaware early liquidation could result in losses of this magnitude despite the 'principal protection' label.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Lisa Tran committed multiple violations of applicable suitability and best interest standards.

#### **\*\*Reg BI -- Care Obligation:\*\***

Under Regulation Best Interest, the Care Obligation requires a broker-dealer to exercise reasonable diligence, care, and skill to understand the product being recommended, evaluate whether the recommendation is in the retail customer's best interest given the customer's investment profile, and consider reasonably available alternatives.

Lisa failed this obligation in several respects:

1. **\*\*Concentration and Illiquidity:\*\*** Investing \$180,000 of a \$210,000 IRA (approximately 86% of the account) in a single structured product with a seven-year lockup is excessively concentrated and illiquid for a 58-year-old planning to retire at 65. His retirement window overlaps with the product maturity, leaving virtually no flexibility for changing circumstances.

2. **\*\*Failure to Consider Liquidity Needs:\*\*** Carlos is a sole earner with a dependent college-age child and recently lost his spouse. These circumstances create heightened liquidity risk. A seven-year illiquid product is inappropriate without maintaining a far larger liquid reserve.

3. **\*\*Failure to Evaluate Alternatives:\*\*** Lisa did not present alternatives such as a diversified portfolio of index funds, a bond ladder, or even a simpler CD strategy that could have achieved similar risk-return characteristics at lower cost and with greater liquidity. The product's capped upside of approximately 5.2% annualized, combined with embedded costs of 3.8% annualized and credit risk, compares unfavorably to a blended portfolio of Treasuries and low-cost equity index funds.

4. **\*\*Tax Inefficiency:\*\*** Placing a structured CD inside a tax-deferred IRA wastes one of the product's few potential advantages -- deferral of gains until maturity -- because the IRA already provides tax deferral. This demonstrates a lack of reasonable diligence in understanding product-account fit. Gains from the structured CD, when eventually distributed from the IRA, will be taxed as ordinary income regardless; the same outcome could have been achieved with more liquid and lower-cost investments inside the IRA, while the structured CD might have been marginally more suitable (if at all) in the taxable account.

**\*\*Reg BI -- Disclosure Obligation:\*\***

Lisa failed to adequately disclose the material risks of early redemption. While the product supplement may have contained this information, the advisor's obligation includes ensuring the customer understands the key features and risks. Carlos was unaware that early liquidation could result in significant principal loss despite the 'principal protection' label, indicating inadequate disclosure of this critical distinction.

**\*\*FINRA Rule 2111 -- Suitability:\*\***

The recommendation fails customer-specific suitability under FINRA Rule 2111. Carlos's moderate risk tolerance, growth-and-income objectives, seven-year-to-retirement time horizon, and need for potential liquidity are all inconsistent with an 86% allocation to a single illiquid structured product. The product's complexity and embedded costs further undermine its suitability for an investor of Carlos's profile and sophistication.

**\*\*FINRA Regulatory Notices on Structured Products:\*\***

FINRA has issued guidance (including Regulatory Notice 12-03) emphasizing heightened suitability obligations for complex products such as structured notes and market-linked CDs. Firms and representatives must perform rigorous due diligence on these products and ensure the customer understands features including conditional principal protection, caps on returns, credit risk, and early redemption risk.

**\*\*Likely Regulatory Outcome:\*\***

Carlos has strong grounds for a FINRA arbitration claim seeking restitution of the approximately \$32,000 loss on early redemption plus consequential damages. A FINRA examination or enforcement action could result in a finding of unsuitable recommendation of a complex product, failure to disclose material risks, and failure to consider reasonably available alternatives. Potential sanctions include restitution, disgorgement of the firm's \$7,200 embedded compensation, fines, and supervisory action against the firm for inadequate review of structured product sales.

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## Item 212 of 499

### NON-COMPLIANT

**Topic:** variable\_annuity\_unsuitable

**Difficulty:** medium

### Fact Pattern

Margaret Kessler, age 79, is a retired schoolteacher living in Columbus, Ohio. She has a modest fixed income of \$2,400 per month from her pension and Social Security. Her total liquid savings amount to approximately \$185,000, held in a bank money market account and a short-term bond fund. She has no other significant assets aside from her home, which is fully paid off. Margaret's stated investment objectives are capital preservation and income to supplement her monthly expenses. She described herself as a conservative investor with very low risk tolerance and told her advisor she wanted easy access to her savings in case of medical emergencies, as she has been managing several chronic health conditions including diabetes and early-stage kidney disease. In March 2023, her financial advisor, Derek Blanton, recommended she move \$140,000 -- roughly 76% of her liquid net worth -- into a variable annuity with a seven-year surrender period. The annuity carried a mortality and expense charge of 1.35% annually, an administrative fee of 0.15%, and underlying sub-account expense ratios averaging 0.85%. The total annual cost structure was approximately 2.35%. The product also imposed a declining surrender charge starting at 7% in year one. Blanton allocated the sub-accounts to a mix of equity growth and balanced funds, with approximately 60% in equities. He earned a commission of \$7,700 on the sale. Blanton did not discuss lower-cost alternatives such as immediate annuities, bond ladders, or Treasury securities. He also did not document any analysis of why the variable annuity's long surrender period was appropriate given Margaret's age and health. Within eight months, Margaret needed to withdraw \$30,000 for unexpected medical bills related to kidney dialysis treatments. She was assessed a surrender charge of \$1,890, and the account value had also declined by approximately \$6,200 due to equity market losses in the sub-accounts.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Blanton likely violated applicable suitability and best interest standards on multiple grounds.

**\*\*FINRA Suitability (Rule 2111):\*\*** Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, investment objectives, and time horizon. Margaret Kessler is a 79-year-old retiree with chronic health issues, low risk tolerance, a conservative capital-preservation objective, and an explicitly stated need for liquidity in case of medical emergencies. Recommending that she place 76% of her liquid savings into a variable annuity with a seven-year surrender period directly contradicts her stated needs. The product's long lock-up period, high fee structure (approximately 2.35% annually), and 60% equity allocation in the sub-accounts are inconsistent with her conservative profile. This fails both customer-specific suitability and quantitative suitability analysis.

**\*\*Regulation Best Interest (Reg BI):\*\*** If Blanton is a broker-dealer representative, Reg BI's Care Obligation requires that he exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. He must also consider reasonably available alternatives. Blanton failed to consider or present lower-cost, more liquid alternatives such as immediate



annuities, short-term bond ladders, or Treasury securities -- all of which would have better aligned with Margaret's objectives. The Disclosure Obligation also required clear communication of costs and conflicts, including his \$7,700 commission incentive. The Conflict of Interest Obligation required the firm to identify and mitigate the conflict created by commission-driven incentives to sell high-cost products.

**\*\*FINRA Rule 2330 (Variable Annuity Suitability):\*\*** FINRA Rule 2330 imposes heightened suitability requirements specific to variable annuity recommendations. The advisor must consider the customer's age, liquidity needs, existing financial holdings, and whether the product's features -- such as tax deferral, death benefits, and guaranteed living benefits -- actually provide meaningful value to the customer. For a 79-year-old with limited savings and urgent liquidity needs, the tax-deferral benefit is negligible (she is already in a low tax bracket), and the surrender charges create a direct impediment to accessing funds. Blanton failed to document any reasonable basis for why this product was appropriate.

**\*\*Investment Adviser Fiduciary Duty:\*\*** If Blanton were acting in an advisory capacity, he would owe a fiduciary duty of care and loyalty under the Investment Advisers Act of 1940. The recommendation would clearly breach the duty of care for the same reasons cited above, and the high commission would raise duty-of-loyalty concerns.

**\*\*Likely Regulatory Outcome:\*\*** This fact pattern is a textbook example of variable annuity mis-selling to a senior investor. FINRA has consistently pursued enforcement actions in similar circumstances. Likely outcomes include customer restitution (surrender charges and losses), disgorgement of the \$7,700 commission, a fine against the advisor and potentially the firm (for supervisory failures), and possible suspension or bar of the advisor. The firm could also face liability for failure to supervise under FINRA Rule 3110 if it did not have adequate procedures to review variable annuity sales to senior customers.

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**Item 213 of 499****NON-COMPLIANT**

**Topic:** complex\_products\_unsophisticated\_investor

**Difficulty:** hard

**Fact Pattern**

Carlos Dominguez, age 34, works as a warehouse supervisor in Phoenix, Arizona, earning \$52,000 per year. He has a high school education and no prior investing experience beyond a small 401(k) with a target-date fund that his employer automatically enrolled him in. His total investable assets outside of the 401(k) are approximately \$40,000, accumulated through disciplined saving over several years. He opened a brokerage account in January 2024 with the stated objectives of saving for a home purchase within three to five years and building moderate growth over time. He indicated a moderate risk tolerance and told his advisor, Priya Nair, that he did not understand complex financial instruments and preferred straightforward investments he could follow easily. Over the next four months, Nair recommended a series of increasingly complex positions. In February, she recommended Carlos invest \$12,000 in a leveraged ETF that sought to deliver 3x the daily return of the S&P 500 (expense ratio 0.95%). In March, she recommended he place \$10,000 into a structured product -- a reverse convertible note linked to the stock of a single biotechnology company, with a 12-month maturity, offering a 10.5% coupon but exposing the principal to full downside risk if the stock fell below a 70% barrier level. In April, she placed \$8,000 into a volatility-linked exchange-traded note that tracked short-term VIX futures, which was designed for daily trading and carried significant contango decay risk. Nair earned a combined total of approximately \$2,100 in commissions and sales credits across the three transactions. She did not provide any written materials explaining the mechanics, risks, or path-dependency of these instruments. During one phone call, Carlos asked Nair whether these investments were 'safe enough for saving for a house,' and she responded that they offered 'enhanced return potential with built-in protections,' without elaborating on downside risks or the daily-reset mechanics of leveraged and volatility products. By August 2024, the leveraged ETF had lost 28% of its value due to compounding decay during a choppy market, the reverse convertible note's underlying biotech stock had breached the barrier level and Carlos received shares worth only \$5,800 at maturity instead of his \$10,000 principal, and the volatility-linked ETN had lost 61% of its value due to persistent contango. Carlos's combined portfolio value across these three positions had fallen from \$30,000 to approximately \$14,200 -- a loss of roughly \$15,800, or 53%. His remaining \$10,000 in cash was untouched.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Priya Nair committed serious violations of applicable suitability and best interest standards across multiple dimensions.

**\*\*FINRA Suitability (Rule 2111) -- All Three Obligations:\*\***

1. **\*Reasonable-Basis Suitability:\*** An advisor must understand the products she recommends well enough to form a reasonable basis for believing they are suitable for at least some investors. Leveraged ETFs, reverse convertible notes, and volatility-linked ETNs are all complex instruments with non-intuitive risk profiles (daily reset compounding, barrier knock-in risk, contango decay). Nair's characterization of these products as having 'built-in protections' and 'enhanced return potential' -- without explaining their mechanics -- suggests she either did not understand the products herself or deliberately misrepresented their risk characteristics.

2. **\*Customer-Specific Suitability:\*** Carlos is a 34-year-old warehouse supervisor with no investing sophistication, a moderate risk tolerance, a three-to-five-year home-purchase savings goal, and only \$40,000 in liquid assets. Leveraged ETFs are explicitly designed for short-term (often single-day) trading and are unsuitable for buy-and-hold investors. Reverse convertible notes expose the investor to full equity downside risk on a single concentrated stock -- a speculative position antithetical to moderate-risk, capital-preservation-oriented goals. Volatility ETNs are among the most complex and rapidly decaying instruments available to retail investors. Placing 75% of a financially unsophisticated client's savings into these three products is grossly unsuitable.

3. **\*Quantitative Suitability:\*** The combined cost structure and the series of recommendations over a short period, generating \$2,100 in commissions on \$30,000 invested (a 7% cost drag), raises concerns about excessive activity, particularly given the short time frame and the fact that these products were not aligned with any reasonable investment strategy for this client.

**\*\*Regulation Best Interest (Reg BI):\*\***

**\*Care Obligation:\*** Reg BI requires that the advisor exercise reasonable diligence, care, and skill, considering the investment profile of the customer, costs, and reasonably available alternatives. Low-cost index funds, balanced funds, or even a diversified portfolio of individual equities would have been far more appropriate for Carlos's profile and goals. Nair failed to consider any such alternatives.

**\*Disclosure Obligation:\*** Nair failed to provide written materials explaining the mechanics and risks of these instruments. Her oral description was misleading -- characterizing these products as having 'built-in protections' is factually inaccurate for all three products, each of which carries substantial or total principal risk.

**\*Conflict of Interest Obligation:\*** The commissions and sales credits incentivized Nair to recommend higher-cost, more complex products. The firm was obligated to have policies identifying and mitigating such conflicts. The escalating complexity of the recommendations over a short period suggests commission motivation.

**\*\*FINRA Regulatory Notices (e.g., Regulatory Notices 09-31 on Leveraged ETFs, 12-03 on Complex Products):\*\*** FINRA has issued specific guidance warning that leveraged and inverse ETFs, structured products, and volatility-linked instruments require heightened suitability analysis, particularly with respect to the customer's sophistication, understanding, and investment time horizon. Firms must have reasonable supervisory procedures to ensure complex products are not sold to unsophisticated investors for whom they are inappropriate. Nair's recommendations appear to violate these heightened standards.

**\*\*Potential Misrepresentation (FINRA Rule 2010, Just and Equitable Principles of Trade):\*\*** Nair's statement that these products have 'built-in protections' when they carry substantial downside risk constitutes a material misrepresentation that could independently violate fair dealing standards.

**\*\*Firm Supervisory Liability (FINRA Rule 3110):\*\*** The firm has an obligation to supervise representatives and to establish procedures that flag complex product sales to unsophisticated, low-net-worth investors. If the firm did not review or flag these transactions, it faces supervisory liability.

**\*\*Likely Regulatory Outcome:\*\*** This is a high-severity case involving unsuitable complex product sales to an unsophisticated retail investor, compounded by apparent misrepresentation of product characteristics. Likely outcomes include full restitution to Carlos of approximately \$15,800 in losses plus surrender of the \$2,100 in commissions, a substantial fine against both Nair and the firm, a suspension or bar for Nair, and potential additional sanctions for the firm's supervisory failures. If arbitration is pursued through FINRA Dispute Resolution, Carlos would have a strong claim for compensatory damages and potentially punitive damages if the misrepresentation is found to be willful.

## Item 214 of 499

### NON-COMPLIANT

**Topic:** reverse\_churning

**Difficulty:** hard

### Fact Pattern

Margaret Holloway, age 72, is a retired schoolteacher living in Tucson, Arizona with an annual pension income of \$38,000 and Social Security benefits of \$22,000. She has \$410,000 in retirement savings, a moderate risk tolerance, and her primary investment objectives are capital preservation and income generation to supplement her fixed income. In March 2021, her financial advisor, Derek Simmons, moved Margaret's account from a commission-based brokerage arrangement into a fee-based advisory account charging 1.45% annually on assets under management, or approximately \$5,945 per year. At the time, Margaret's portfolio consisted of a diversified mix of investment-grade municipal bonds, a laddered CD portfolio, and two fixed annuities -- all of which she had held for years and intended to hold to maturity. Over the next 30 months, from March 2021 through September 2023, Simmons executed only three trades in Margaret's account: one CD reinvestment, one bond that matured and was replaced with a Treasury, and a rebalancing of a small equity allocation she held in an S&P 500 index fund. During this period, Margaret paid a cumulative total of approximately \$14,800 in advisory fees. Had she remained in a commission-based account, her total transaction costs for the same three trades would have been approximately \$225. Simmons did not discuss with Margaret the difference in cost structures, nor did he document any analysis of whether the fee-based arrangement would be more cost-effective given her buy-and-hold strategy. Margaret's account statements showed the ongoing fee deductions, but she told a family member she assumed the fees were 'just what everyone pays.' When Margaret's granddaughter, a CPA, reviewed the statements in late 2023, she calculated that Margaret had paid over 65 times what she would have paid under a transaction-based model for the same level of service and activity.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Simmons likely violated applicable standards through reverse churning -- placing a client in a fee-based advisory account and then providing minimal trading activity or advisory services, resulting in excessive fees relative to the value delivered.

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for recommending a particular account type, including the cost structure. Recommending a fee-based account to a client whose investment strategy is buy-and-hold with minimal anticipated trading is presumptively unsuitable because the client would predictably pay far more in asset-based fees than in per-transaction commissions.

Under Regulation Best Interest (Reg BI), which took effect June 30, 2020 and was fully applicable at the time of the March 2021 account conversion, Simmons had a Care Obligation requiring him to exercise reasonable diligence, care, and skill in making the recommendation to switch Margaret to a fee-based account. This includes evaluating reasonably available alternatives and considering the costs of the recommendation. A cost comparison -- \$14,800 in advisory fees versus approximately \$225 in commissions for identical activity -- demonstrates a clear failure to consider the customer's best interest. Reg BI's Disclosure Obligation also required Simmons to provide full and fair disclosure of all material facts relating to the recommendation, including the fee structure comparison; his failure to discuss cost differences is a further violation.

Additionally, if Simmons was acting as an investment adviser with respect to the fee-based account, he would owe a fiduciary duty under the Investment Advisers Act of 1940, requiring him to act in Margaret's best interest and to make full disclosure of conflicts of interest -- including the conflict inherent in earning \$5,945 annually from a dormant account.

FINRA has specifically identified reverse churning as a key area of concern in its regulatory priorities. The absence of any documented cost-benefit analysis, the extreme disparity in costs (65x higher), Margaret's unsophisticated understanding of fee structures, and the lack of any meaningful advisory services all point to a clear violation. Simmons also likely violated FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) by engaging in conduct that is inconsistent with just and equitable principles of trade.

Regulatory outcomes could include disgorgement of excess fees, restitution to Margaret, fines, suspension, and potentially a bar from the industry depending on whether this pattern extended to other clients.

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## Item 215 of 499

### NON-COMPLIANT

**Topic:** excessive\_churning

**Difficulty:** medium

### Fact Pattern

Anthony Reeves, age 44, is a construction site manager in Charlotte, North Carolina, earning \$82,000 per year. He opened a brokerage account in January 2022 with \$95,000 -- the proceeds from a small inheritance -- with the goal of moderate long-term growth to fund his two children's college educations, the oldest of whom was 12. Anthony described himself as having moderate risk tolerance and limited investment experience. His advisor, Cynthia Park, held discretionary authority over the account. Between January 2022 and December 2023, Park executed 187 trades in the account, primarily buying and selling large-cap equities, sector ETFs, and options on individual stocks. The account's annualized turnover ratio was 9.2, meaning the portfolio was effectively replaced more than nine times per year. Total commissions and trading costs over the 24-month period amounted to \$31,400, representing roughly 33% of Anthony's original investment. The account's net value at the end of December 2023 was \$61,200 -- a loss of \$33,800 from the original \$95,000. During the same period, a simple allocation to a balanced index fund consistent with Anthony's moderate risk profile would have generated an approximate gain of 11%, or about \$10,450. Anthony had granted Park discretion because she told him she would 'actively manage the account to beat the market.' He received monthly statements but did not understand the significance of the volume of transactions or the cumulative commission charges. Park earned approximately \$24,600 in personal commissions from the trading activity in Anthony's account during this period.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Cynthia Park almost certainly violated multiple applicable regulatory standards through excessive trading (churning) in Anthony Reeves's account.

Under FINRA Rule 2111 (Suitability), specifically the quantitative suitability obligation, a broker who exercises actual or de facto control over a customer account must ensure that the level of trading activity is consistent with the customer's investment profile. Courts and regulators have historically considered an annualized turnover ratio above 6 as strong evidence of excessive trading. Anthony's turnover ratio of 9.2 far exceeds this threshold. Combined with a cost-to-equity ratio that consumed 33% of the account's original value in commissions, the quantitative indicators of churning are overwhelmingly present.

Under Regulation Best Interest (Reg BI), Park had a Care Obligation to exercise reasonable diligence, care, and skill when making each recommendation and to consider the costs of the transactions. Executing 187 trades in a \$95,000 moderate-growth account over two years -- generating \$31,400 in costs -- is fundamentally inconsistent with acting in the customer's best interest. The Conflict of Interest Obligation under Reg BI also required Park to identify and mitigate the conflict created by her commission-based compensation, which incentivized her to trade frequently. Her personal commissions of \$24,600 from a single \$95,000 account demonstrate that her interests were placed ahead of the customer's.

Additionally, Park's conduct likely violates FINRA Rule 2010 (Standards of Commercial Honor), as churning has long

been recognized as a practice inconsistent with just and equitable principles of trade. Given that Park held discretionary authority, the control element of a churning claim is easily established.

The inclusion of options trading in an account for a customer with limited investment experience and moderate risk tolerance seeking college savings further compounds the suitability concerns under FINRA Rule 2360 (Options) and related account approval requirements.

The likely regulatory outcome includes restitution of commissions and losses caused by the excessive trading (potentially the full \$33,800 loss plus the \$31,400 in commissions), substantial fines, disgorgement of Park's personal commissions, suspension or a bar from the securities industry, and potential referral for fraud charges depending on the level of scienter. Anthony would also have a strong claim in FINRA arbitration for compensatory damages.

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**Item 216 of 499****NON-COMPLIANT****Topic:** margin\_unsuitable**Difficulty:** medium**Fact Pattern**

Patricia Hawkins, age 71, is a retired school librarian living in Tucson, Arizona, on a fixed income of \$2,800 per month from Social Security and a small pension. Her total liquid net worth is approximately \$185,000, held in a brokerage account that represents her entire retirement savings aside from her monthly income. She has no other significant assets beyond her home, which is paid off and valued at \$210,000. Patricia's investment objectives, as documented on her new account form in March 2023, were listed as 'income and preservation of capital,' and her risk tolerance was marked as 'conservative.' She had no prior experience with margin accounts or leveraged investing. In June 2023, her advisor, Gerald Stanton, recommended that Patricia sign a margin agreement, explaining that borrowing against her portfolio would allow her to purchase additional dividend-paying stocks and increase her monthly income. Gerald opened a margin account and over the following four months used margin to purchase an additional \$95,000 in equities -- bringing her total portfolio exposure to approximately \$280,000 on a \$185,000 equity base. By November 2023, a market downturn caused Patricia's portfolio to decline sharply. She received a margin call for \$38,000, which she could not meet. The brokerage firm liquidated approximately \$72,000 of her holdings at depressed prices. After the forced liquidation and repayment of the margin loan, Patricia's account was left with approximately \$108,000, a loss of roughly \$77,000, or 42% of her original savings.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Gerald Stanton violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on their investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and experience.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Under Reg BI's Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill when making recommendations, considering the customer's investment profile and ensuring the recommendation is in the customer's best interest without placing the advisor's financial interest ahead of the customer's.
3. **\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Recommending a strategy that is fundamentally at odds with a customer's stated profile can also constitute a violation of just and equitable principles of trade.

**\*\*Analysis:\*\***

- **\*\*Customer-Specific Suitability:\*\*** Patricia was 71 years old, retired, on a fixed income, with conservative risk tolerance



and objectives of income and capital preservation. Her \$185,000 represented virtually all of her liquid retirement savings. Margin trading introduces the risk of amplified losses and forced liquidation -- risks that are fundamentally incompatible with capital preservation and a conservative profile. A 71-year-old retiree with no margin experience and no ability to meet margin calls is among the least suitable candidates for leveraged investing.

- **Reasonable-Basis Suitability:** Even setting aside Patricia's specific profile, recommending that a retiree leverage 51% of her portfolio (\$95,000 margin on \$185,000 equity) to buy equities carries substantial downside risk that cannot be justified for an income-and-preservation strategy. There is no reasonable basis for believing this strategy would serve any conservative investor.

- **Quantitative Suitability:** The level of margin used relative to the account size was excessive and created concentration risk and leverage risk disproportionate to the account's objectives.

- **Reg BI Care Obligation:** The advisor failed to exercise reasonable diligence by not considering that Patricia had no capacity to meet margin calls, no additional income sources, and no experience with leveraged products. The recommendation placed the advisor's interest in generating commissions on additional purchases above the customer's interest in preserving her retirement savings.

- **Outcome:** Patricia lost 42% of her life savings through forced liquidation during a market decline -- a foreseeable risk of the margin strategy that Gerald recommended.

**Likely Regulatory Outcome:** This case would likely result in FINRA enforcement action against Gerald Stanton for violating FINRA Rules 2111 and 2010, as well as Reg BI. Probable sanctions include fines, disgorgement of commissions, restitution to the customer, suspension, or a bar from the industry depending on his disciplinary history. The firm could also face supervisory failure charges under FINRA Rule 3110 if it failed to detect or prevent the unsuitable margin usage.

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## Item 217 of 499

### NON-COMPLIANT

**Topic:** excessive\_load\_funds

**Difficulty:** hard

### Fact Pattern

David and Karen Chen, both age 44, are dual-income professionals in Portland, Oregon, with a combined household income of \$195,000. They had accumulated \$420,000 across two 401(k) plans and decided to consolidate their savings into a single brokerage account after David changed employers in January 2024. They told their advisor, Monica Reeves, that they wanted a diversified, long-term growth portfolio for retirement in approximately 20 years, with moderate risk tolerance. They described themselves as 'somewhat knowledgeable' about investing, having only used target-date funds in their prior 401(k) plans. Monica recommended a portfolio consisting entirely of Class A mutual fund shares across six different fund families. The portfolio allocation was: 25% in a large-cap growth fund (5.75% front-end load, 0.92% expense ratio), 20% in a mid-cap value fund (5.50% front-end load, 1.10% expense ratio), 15% in an international equity fund (5.75% front-end load, 1.15% expense ratio), 15% in a small-cap fund (5.75% front-end load, 1.22% expense ratio), 15% in a balanced fund (4.50% front-end load, 0.85% expense ratio), and 10% in a high-yield bond fund (4.25% front-end load, 0.95% expense ratio). The total upfront sales charges on the \$420,000 investment amounted to approximately \$22,680. Monica did not discuss or offer lower-cost share classes (such as institutional or advisory shares), no-load index funds, or ETFs that tracked similar benchmarks at expense ratios between 0.03% and 0.20%. The brokerage platform where Monica worked offered all of these alternatives. Additionally, by splitting the investment across six different fund families rather than concentrating purchases within one or two families, the Chens were unable to reach breakpoint thresholds that would have reduced the front-end loads -- for example, a \$100,000 investment in a single fund family would have qualified for a load reduction to approximately 3.50%. Monica earned approximately \$11,300 in upfront commissions from the transactions. She did not document any reason for choosing higher-cost share classes over available lower-cost alternatives, nor did she document why she spread the investments across six fund families instead of consolidating to achieve breakpoint discounts.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Monica Reeves violated multiple applicable standards through her recommendations.

**\*\*Applicable Standards:\*\***

1. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, including evaluating reasonably available alternatives and ensuring the recommendation is in the customer's best interest. The advisor must consider costs as a factor and may not place her own financial interest ahead of the customer's.
2. **\*\*Reg BI -- Disclosure Obligation:\*\*** Requires full and fair disclosure of all material facts relating to the recommendation, including costs and conflicts of interest.
3. **\*\*Reg BI -- Conflict of Interest Obligation:\*\*** Requires the firm to identify, disclose, and mitigate or eliminate conflicts of interest, including compensation-driven incentives that could influence recommendations.

4. **FINRA Rule 2111 (Suitability):** Requires reasonable-basis, customer-specific, and quantitative suitability. While a growth-oriented equity portfolio was generally suitable for the Chens' profile, the cost structure of the specific products selected must also be evaluated.

5. **FINRA Rule 2342 (Mutual Fund Breakpoint Discounts):** Member firms and their associated persons must ensure customers receive the benefit of applicable breakpoint discounts. Deliberately or negligently structuring purchases to avoid breakpoints is a violation.

6. **NASD Notice to Members 03-54 and FINRA Regulatory Notices on Share Class Selection:** Advisors must consider and document the rationale for recommending specific share classes when lower-cost alternatives are available on the same platform.

**Analysis:**

- **Excessive Costs / Share Class Selection:** The Chens paid approximately \$22,680 in front-end loads (roughly 5.4% blended average) on a \$420,000 investment. The platform offered no-load index funds and ETFs with expense ratios as low as 0.03%-0.20% that tracked similar benchmarks. For a 20-year buy-and-hold growth strategy, low-cost index products or institutional share classes would have been materially less expensive. The cumulative cost differential over 20 years -- considering both the upfront loads and the higher ongoing expense ratios (0.85%-1.22% vs. 0.03%-0.20%) -- would likely amount to well over \$100,000 in lost portfolio value. Monica made no documented evaluation of these alternatives.

- **Breakpoint Violation:** By splitting \$420,000 across six fund families, Monica ensured that no single family received enough assets to trigger breakpoint discounts. Had the Chens invested \$100,000 or more in a single fund family, loads would have dropped to approximately 3.50% or lower. This structuring cost the Chens thousands of dollars in avoidable fees. Under FINRA Rule 2342, brokers are obligated to inform customers about breakpoint discounts and to structure purchases to take advantage of them where possible. The failure to do so -- especially when it benefits the advisor through higher commissions -- is a clear violation.

- **Conflict of Interest:** Monica earned approximately \$11,300 in upfront commissions. Her compensation was directly tied to the load percentages charged. By avoiding breakpoints and selecting high-load share classes, she maximized her own compensation at the customers' expense. This is precisely the type of conflict that Reg BI's Conflict of Interest Obligation is designed to address, and no mitigation or disclosure appears to have occurred.

- **Documentation Failure:** Monica failed to document any rationale for her share class selections or for spreading investments across multiple fund families. Under Reg BI, the Care Obligation implicitly requires that the advisor's evaluation process be demonstrable. The absence of documentation strongly suggests the required analysis was never performed.

- **Customer Profile Considerations:** The Chens were moderately knowledgeable investors with experience limited to target-date funds. They were unlikely to independently understand the significance of share class differences, breakpoint thresholds, or the availability of lower-cost alternatives. This placed a heightened responsibility on Monica to educate them and act in their interest.

**Likely Regulatory Outcome:** This case involves violations of Reg BI (Care, Disclosure, and Conflict of Interest Obligations), FINRA Rule 2111, FINRA Rule 2342, and FINRA Rule 2010. Monica would likely face enforcement action resulting in fines, disgorgement of commissions, mandatory restitution to the Chens, and a potential suspension. The firm could face additional liability under FINRA Rule 3110 for supervisory failures if it did not have adequate procedures to review share class recommendations and breakpoint eligibility, particularly for large rollover transactions. Given the

deliberate structuring to avoid breakpoints and the magnitude of unnecessary costs imposed on the customers, this would be treated as a serious violation.

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## Item 218 of 499

### NON-COMPLIANT

**Topic:** illiquid\_investments

**Difficulty:** hard

### Fact Pattern

Margaret Holloway, age 74, is a retired school librarian living in rural Tennessee on a fixed income of \$2,800 per month from Social Security and a small state pension. Her total liquid savings amount to \$185,000, held in a brokerage account that represents virtually all of her investable assets aside from a modest checking account with \$4,200. Margaret has no other family support; her husband passed away in 2019 and she has no children. Her account opening documents from 2021 list her risk tolerance as 'conservative,' her investment objective as 'income and capital preservation,' her time horizon as '1-5 years,' and her liquidity needs as 'high' given her reliance on portfolio withdrawals to cover medical co-pays and home maintenance. In March 2023, her financial advisor, Dale Brennan, recommended she invest \$95,000 -- roughly 51% of her liquid net worth -- into a non-traded real estate investment trust (REIT) focused on commercial office properties. The REIT carried a 7-year lockup period with no early redemption option for the first two years and only limited quarterly redemption thereafter, subject to board discretion and a cap of 5% of outstanding shares per quarter. The upfront sales load was 8.5%, meaning approximately \$8,075 was deducted from Margaret's investment immediately. Dale told Margaret the product would provide 'steady monthly income of about 6%' and described it as 'just like owning rental property without the hassle.' He did not explain the illiquidity provisions in detail, nor did he document why such a large allocation to a locked-up vehicle was appropriate for someone with her liquidity needs. Internal records show Dale earned a \$6,650 commission on the sale. Six months later, Margaret needed \$30,000 to replace her home's failing HVAC system and repair roof damage from a storm. She contacted Dale requesting a withdrawal and was informed that her investment could not be redeemed. She was forced to take out a high-interest personal loan at 14.9% APR to cover the emergency expense. Meanwhile, the REIT's board suspended its distribution payments in October 2023 due to declining occupancy rates in the office sector, eliminating the income stream Margaret had been promised.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Dale Brennan almost certainly violated applicable suitability and best interest standards on multiple grounds.

**\*\*FINRA Suitability (Rule 2111):\*\*** Under the reasonable-basis, customer-specific, and quantitative suitability components, this recommendation fails customer-specific suitability. Margaret's documented profile -- conservative risk tolerance, capital preservation objective, high liquidity needs, 1-5 year time horizon, fixed income, age 74, and concentrated reliance on this account -- is fundamentally incompatible with a non-traded REIT carrying a 7-year lockup, limited redemption, and 8.5% front-end load. Allocating 51% of her liquid net worth to a single illiquid product when she had documented high liquidity needs is a textbook suitability violation.

**\*\*Regulation Best Interest (Reg BI):\*\*** If Dale acted in a broker-dealer capacity, Reg BI's Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile including liquidity needs, time horizon, and risk tolerance. The recommendation of a deeply illiquid product to a 74-year-old retiree with high liquidity needs and conservative objectives fails the Care Obligation. Additionally, the Disclosure Obligation required Dale to clearly explain the material risks including illiquidity, lockup

periods, and redemption limitations -- which internal records suggest he did not do. His characterization of the REIT as providing 'steady 6% income' without adequate risk disclosure is misleading.

**\*\*Concentration Risk:\*\*** FINRA has consistently flagged concentration in illiquid alternative investments as a red flag. Allocating over 50% of a client's liquid assets to a single non-traded REIT is excessive by any reasonable measure, particularly for a client with Margaret's profile.

**\*\*Conflict of Interest:\*\*** The \$6,650 commission (approximately 7% of the invested amount) represents a significant financial incentive that Dale failed to mitigate, as required under Reg BI's Conflict of Interest Obligation. The high commission structure of the non-traded REIT relative to more liquid, lower-cost alternatives suggests the recommendation was driven by compensation rather than client need.

**\*\*Investment Advisers Act Fiduciary Duty:\*\*** If Dale held himself out as an investment adviser, he owed Margaret a fiduciary duty of care and loyalty, which this recommendation plainly breached.

**\*\*Likely Regulatory Outcome:\*\*** This case presents strong grounds for a FINRA arbitration award or regulatory enforcement action. Margaret suffered quantifiable harm: \$8,075 in upfront loads, loss of access to \$95,000 during an emergency, interest costs on a 14.9% personal loan, and loss of the promised income stream. Likely remedies include full rescission of the investment, restitution of commissions and loads, consequential damages for the emergency loan costs, and potential punitive sanctions against the advisor including fines and suspension.

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## Item 219 of 499

### NON-COMPLIANT

**Topic:** excessive\_churning

**Difficulty:** medium

### Fact Pattern

Ryan Delacroix, age 42, is a mid-level IT project manager in Charlotte, North Carolina, earning \$105,000 annually. In January 2022, he opened a brokerage account with \$120,000 in rollover funds from a previous employer's 401(k) plan. Ryan's account documents indicated a 'moderate' risk tolerance, a 'growth' investment objective, and a 'long-term' time horizon of more than 10 years. He told his advisor, Sandra Kimball, that he wanted to build retirement savings and did not plan to touch the money until at least age 60. Ryan has limited investment knowledge and told Sandra he would 'trust her judgment' on specific trades. Between January 2022 and December 2023 -- a period of 24 months -- Sandra executed 187 trades in Ryan's account, primarily buying and selling large-cap equity positions and ETFs, with an average holding period of approximately 11 days. The account generated \$48,200 in total commissions and transaction fees over that period. Ryan's account value, which started at \$120,000, stood at \$107,400 by December 2023, representing a net loss of \$12,600 despite the S&P 500 gaining approximately 18% over the same period. The annualized turnover rate in the account was approximately 14.2, and the cost-to-equity ratio was roughly 40.2%. Sandra did not recommend a fee-based advisory account, which would have cost approximately 1.25% annually, nor did she discuss the impact of frequent trading costs on Ryan's returns. Ryan only became aware of the volume of trading when he reviewed his annual tax documents and noticed hundreds of short-term capital gain entries.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Sandra Kimball's trading activity in Ryan Delacroix's account constitutes classic excessive trading (churning), violating multiple regulatory standards.

**\*\*FINRA Rule 2111 -- Quantitative Suitability:\*\*** The quantitative suitability component specifically addresses excessive trading. FINRA and courts have long held that an annualized turnover ratio above 6 is presumptive evidence of churning. Ryan's account had a turnover ratio of approximately 14.2 -- more than double the presumptive threshold. Additionally, a cost-to-equity ratio of 40.2% means the account needed to generate returns exceeding 40% annually just to break even after trading costs. This is an extraordinarily high hurdle that renders the trading strategy virtually certain to lose money regardless of market conditions. Both metrics strongly support a finding of excessive trading.

**\*\*Control Over the Account:\*\*** Churning requires that the advisor exercised de facto or actual control over trading. Ryan explicitly told Sandra he would 'trust her judgment,' has limited investment knowledge, and was unaware of the volume of trades until reviewing tax documents. This establishes de facto control even absent formal discretionary authority, satisfying the control element.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under Reg BI, Sandra was required to exercise reasonable diligence, care, and skill when making recommendations, including evaluating a series of recommended transactions in light of the customer's investment profile. A long-term growth investor saving for retirement does not benefit from 187 trades over 24 months with an 11-day average holding period. The pattern of trading served Sandra's commission interests, not Ryan's stated objectives. Furthermore, Reg BI's Care Obligation specifically requires consideration of

reasonably available alternatives; Sandra failed to recommend a fee-based account at 1.25% annually, which would have cost approximately \$3,000 over two years versus \$48,200 in commissions -- a difference of over \$45,000.

**\*\*Reg BI -- Conflict of Interest Obligation:\*\*** Sandra's commission-based compensation created a direct conflict with Ryan's interest in minimizing costs. She failed to identify, disclose, or mitigate this conflict.

**\*\*Harm Quantification:\*\*** Ryan's account lost \$12,600 during a period when a passive S&P 500 investment would have grown his \$120,000 to approximately \$141,600 -- a performance gap of roughly \$34,200. Of his losses, \$48,200 went directly to commissions and fees.

**\*\*Likely Regulatory Outcome:\*\*** This case presents strong evidence for a FINRA enforcement action or arbitration claim. Remedies would likely include disgorgement of commissions (\$48,200), restitution to make Ryan whole (potentially including market-adjusted damages reflecting what a suitable buy-and-hold portfolio would have earned), fines against Sandra, and potential suspension or bar from the industry. FINRA has consistently pursued churning cases with these metrics as high-priority enforcement matters.

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**Item 220 of 499****NON-COMPLIANT****Topic:** margin\_unsuitable**Difficulty:** medium**Fact Pattern**

Patricia Dunn, age 72, is a retired elementary school teacher living in Tucson, Arizona. Her sole income consists of a monthly pension of \$2,400 and Social Security benefits of \$1,650 per month. She has a total liquid net worth of approximately \$185,000, held in a brokerage account with Westfield Capital Partners. Patricia has no other significant assets aside from her home, which is paid off and valued at approximately \$210,000. She disclosed to her advisor, Craig Melton, that she suffers from chronic kidney disease requiring dialysis treatments three times per week, costing her approximately \$1,200 per month in out-of-pocket expenses after insurance. She also told Craig that she had needed to make three emergency withdrawals totaling \$27,000 over the past eighteen months to cover unexpected hospitalizations. Patricia's signed new account form listed her risk tolerance as 'conservative,' her investment objective as 'income and preservation of capital,' her investment experience as 'limited,' and her time horizon as 'short-term (1-3 years).' In March 2023, Craig recommended that Patricia purchase a \$140,000 fixed indexed annuity with a 10-year surrender period. The product carried surrender charges starting at 9% in year one and declining by 1% annually. Craig explained that the product offered 'downside protection' and a guaranteed minimum return, and told Patricia it would be a 'worry-free' investment. He earned a \$9,800 commission on the sale. Craig did not document any discussion of Patricia's liquidity needs, her ongoing medical expenses, or her history of emergency withdrawals. Within seven months, Patricia needed to withdraw \$18,000 from the annuity to cover a hospitalization. She was assessed a surrender charge of \$1,620, reducing her withdrawal to \$16,380. By month eleven, she needed an additional \$12,000, incurring another \$960 in surrender penalties. Patricia filed a complaint with the firm alleging that Craig never explained the surrender charges adequately and that the product was completely wrong for someone in her health and financial situation.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Craig Melton violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934:\*\*** If the recommendation occurred after June 30, 2020, Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, consider reasonably available alternatives, and ensure the recommendation is in the customer's best interest without placing the advisor's financial interest ahead of the customer's.
3. **\*\*FINRA Rule 2330 (Variable Annuities and Direct Participation Programs):\*\*** While this rule specifically addresses

variable annuities, the principles regarding suitability of annuity recommendations--including consideration of surrender periods, liquidity needs, and the customer's financial situation--are broadly applicable and inform the analysis of fixed indexed annuity sales as well. Many firms apply analogous internal standards to fixed indexed annuity recommendations.

**\*\*Analysis of Violations:\*\***

- **\*\*Customer-Specific Suitability Failure:\*\*** Patricia's investment profile clearly indicated conservative risk tolerance, short-term time horizon (1-3 years), income and capital preservation objectives, limited investment experience, and significant ongoing liquidity needs due to chronic medical conditions. A 10-year fixed indexed annuity with steep surrender charges starting at 9% is fundamentally incompatible with every element of her profile. The product locks up capital for a decade, while Patricia demonstrably needed frequent access to her funds.

- **\*\*Failure to Consider Liquidity Needs:\*\*** Patricia disclosed ongoing medical expenses of \$1,200/month, a history of three emergency withdrawals totaling \$27,000 in 18 months, and a chronic, progressive medical condition. Craig recommended concentrating approximately 76% of her liquid net worth (\$140,000 of \$185,000) in an illiquid product. This left her with only \$45,000 in accessible funds--clearly insufficient given her documented pattern of emergency needs.

- **\*\*Reg BI Care Obligation Violation:\*\*** Craig failed to consider reasonably available alternatives that would have provided income and capital preservation without surrender penalties--such as short-term bond funds, money market accounts, CD ladders, or Treasury securities. The \$9,800 commission suggests Craig's financial interest may have driven the recommendation rather than Patricia's needs.

- **\*\*Disclosure Failures:\*\*** Craig did not document any discussion of how the surrender charges would interact with Patricia's known liquidity needs. Under Reg BI's Disclosure Obligation, material facts about the recommendation, including costs and conflicts of interest (such as the substantial commission), must be disclosed.

- **\*\*Documentation Deficiency:\*\*** The absence of any documented rationale for why a 10-year illiquid product was appropriate for a 72-year-old with chronic illness, limited income, and demonstrated emergency liquidity needs strongly suggests the advisor did not perform the required analysis.

**\*\*Likely Regulatory Outcome:\*\*** This case presents a strong enforcement matter. Patricia suffered quantifiable harm (surrender charges of \$2,580 and ongoing illiquidity of her retirement savings). A FINRA arbitration panel or regulatory action would likely result in rescission of the annuity sale, restitution of all surrender charges and lost opportunity costs, disgorgement of the \$9,800 commission, possible fines against Craig and supervisory sanctions against the firm for failure to supervise the recommendation. Craig could face suspension or a bar if a pattern of similar conduct is found.

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**Item 221 of 499****NON-COMPLIANT****Topic:** market\_timing\_unsuitable**Difficulty:** hard**Fact Pattern**

Robert Ling, age 78, is a retired widower living in Columbus, Ohio. His wife of 52 years passed away in January 2022, leaving Robert as the sole beneficiary of her \$620,000 IRA rollover and a \$150,000 life insurance payout. Combined with his existing savings of \$95,000 and Social Security income of \$2,800 per month, Robert's total investable assets were approximately \$865,000. Robert had worked as a postal carrier for 35 years and had minimal investment experience beyond a target-date fund in his former employer's 401(k). His new account documents at Pinnacle Wealth Advisors, completed in February 2022 with registered representative Diane Sheppard, indicated a 'conservative' risk tolerance, 'income and capital preservation' as investment objectives, a 'long-term but low-risk' time horizon, and annual income of \$33,600. Robert told Diane he wanted to 'keep what Helen left me safe' and generate enough income to cover his living expenses and part-time home health aide costs of approximately \$1,500 per month.

Between March 2022 and February 2024, Diane executed 347 trades in Robert's account across mutual funds, ETFs, and individual equities. She frequently moved assets between sector-specific ETFs--rotating between energy, technology, healthcare, and financial sector funds--often holding positions for as little as 3 to 12 trading days before liquidating and reinvesting in a different sector. During this 24-month period, the account generated total commissions and transaction costs of approximately \$74,200. The account's annualized turnover rate was approximately 8.4, and the cost-to-equity ratio was approximately 17.2%. Despite the S&P 500 returning approximately 14% over the same period, Robert's account declined from \$865,000 to \$697,000--a loss of \$168,000, or approximately 19.4%. When broken down, the account suffered approximately \$74,200 in direct transaction costs and an additional \$93,800 in trading losses from poorly timed sector rotations.

Robert did not become aware of the trading activity's extent until his adult daughter, Karen, reviewed his year-end statements in March 2024 and noticed the dramatic account decline and the volume of transactions. Robert stated he had signed several documents Diane presented during quarterly meetings but did not understand them and trusted her completely. Diane had told Robert at multiple points that she was 'actively managing to protect against market downturns' and that the trades were necessary to 'stay ahead of inflation.' Robert's account statements show that Diane recommended no fixed-income instruments, no annuities, and no dividend-focused strategies at any point during the two-year period despite his stated objectives. Diane earned total compensation of approximately \$74,200 from the account during this period, representing roughly 38% of her annual production credits at the firm.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Diane Sheppard committed multiple serious violations of applicable suitability and best interest standards. This fact pattern presents a textbook case of churning--excessive trading in a customer account for the purpose of generating commissions.

**\*\*Applicable Standards:\*\***

1. **FINRA Rule 2111 (Suitability):** The quantitative suitability component (Rule 2111.05(c)) specifically prohibits excessive trading in a customer account. A broker who exercises de facto control over an account and engages in trading that is excessive in light of the customer's investment profile violates this obligation.
2. **Regulation Best Interest (Reg BI):** The Care Obligation requires that recommendations be in the customer's best interest. The Conflict of Interest Obligation requires firms to identify and mitigate conflicts, including commission-driven incentives that could lead to excessive trading. A pattern of trading that enriches the advisor while depleting the customer's account is a paradigmatic violation.
3. **FINRA Rule 2010 (Standards of Commercial Honor):** Churning violates the ethical standards required of all associated persons.
4. **Exchange Act Section 10(b) and Rule 10b-5:** Churning constitutes a form of securities fraud when accompanied by scienter and de facto control over the account.

**Churning Analysis -- The Three Elements:**

Courts and regulators evaluate churning claims using three elements: (1) excessive trading, (2) the broker's control over the account, and (3) scienter (intent to defraud or reckless disregard).

**(1) Excessive Trading:**

The two primary quantitative indicators are:

- **Turnover Ratio:** A turnover ratio of 8.4 is dramatically excessive. Regulatory guidance and case law consistently hold that turnover ratios above 6 create a strong presumption of churning, and ratios above 4 are generally considered excessive. Robert's ratio of 8.4 far exceeds these thresholds.
- **Cost-to-Equity Ratio:** A cost-to-equity ratio of 17.2% means the account needed to generate returns of over 17% annually just to break even after costs. For a conservative, income-oriented account, this is extraordinarily high. Ratios above 8-10% are widely considered excessive.
- **Volume and Frequency:** 347 trades in 24 months--approximately 14.5 trades per month--in an account belonging to a 78-year-old conservative investor seeking income and preservation is facially unreasonable. Many positions were held for only 3-12 days, which is inconsistent with any legitimate investment strategy for this client.

**(2) Control:**

Diane exercised de facto control over Robert's account. Although the account was nominally non-discretionary, Robert had minimal investment knowledge (a career postal worker with experience limited to a target-date fund), was 78 years old, was recently bereaved and emotionally vulnerable, and testified he signed documents without understanding them and trusted Diane completely. He did not initiate or meaningfully approve individual trades. These factors establish de facto control even absent formal discretionary authority.

**(3) Scienter:**

Diane's scienter is demonstrated by: (a) the sheer volume and cost of trading, which no reasonable advisor could believe was appropriate for this customer; (b) her failure to recommend any fixed-income, dividend, or conservative instruments despite Robert's explicit conservative objectives; (c) her misleading statements that the trading was necessary to 'protect against downturns' and 'stay ahead of inflation' when the trading was in fact causing massive losses; and (d) the fact that Robert's account represented approximately 38% of her annual production, creating an overwhelming financial incentive to trade excessively.

**Additional Violations:**

- **Customer-Specific Suitability:** Even setting aside the excessive trading, the individual

recommendations--sector-specific ETFs with rapid rotation--were unsuitable for a 78-year-old conservative investor seeking income and capital preservation. Not a single recommendation aligned with Robert's stated objectives.

- **Reasonable-Basis Suitability:** Diane had no reasonable basis to believe that rapid sector rotation in a conservative retiree's account could achieve his goals. The strategy was speculative and antithetical to his needs.

- **Reg BI Disclosure Obligation:** The costs, risks, and conflicts of interest inherent in Diane's commission-driven trading strategy were not adequately disclosed. Telling a client the trades are for 'protection' while generating \$74,200 in personal compensation is misleading.

- **Firm Supervisory Failures (FINRA Rules 3110, 3120):** Pinnacle Wealth Advisors likely failed in its supervisory obligations. A turnover ratio of 8.4 and \$74,200 in commissions from a single elderly, conservative client over 24 months should have triggered exception reports and supervisory review. The firm may face sanctions for inadequate surveillance systems or failure to act on red flags.

**Likely Regulatory Outcome:** This case would likely result in significant sanctions. In FINRA arbitration, Robert would be entitled to compensatory damages of at least \$168,000 (the total account decline), potentially plus prejudgment interest and consequential damages. If the panel finds egregious misconduct, punitive damages may be awarded. Diane faces a likely FINRA bar from the industry, given the magnitude and duration of the churning. The firm faces potential fines, supervisory sanctions, and joint liability for restitution. If referred for fraud prosecution under Exchange Act Section 10(b), civil or criminal penalties could apply. This case is comparable to numerous FINRA enforcement actions resulting in bars and six-figure restitution orders for churning of elderly, unsophisticated investors' accounts.

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## Item 222 of 499

### NON-COMPLIANT

**Topic:** private\_placements\_unsuitable

**Difficulty:** medium

### Fact Pattern

Margaret Dawson, age 71, is a retired elementary school teacher in Tucson, Arizona, living on a fixed income of approximately \$3,200 per month from her pension and Social Security. Her total liquid net worth is approximately \$285,000, held primarily in a rollover IRA from her teaching career. She has no other significant assets besides her home, which is paid off and valued at \$210,000. On her new account form, she indicated a conservative risk tolerance, income as her primary investment objective, and a time horizon of 5-10 years. She told her advisor, Kevin Pratt, that she could not afford to lose principal because the IRA was her only financial cushion beyond her monthly pension. In March 2022, Pratt recommended Margaret invest \$90,000 (approximately 31% of her liquid net worth) into a private placement offering in a startup real estate development company focused on luxury condominiums in a secondary market. The offering had a minimum 7-year lockup period, no secondary market for resale, and carried a stated risk of total loss of principal. The offering documents disclosed a 9% upfront sales commission paid to the placing broker-dealer, generating approximately \$8,100 in compensation for Pratt. Six months later, in September 2022, Pratt contacted Margaret again and recommended she invest an additional \$75,000 into a different private placement -- this time a speculative oil and gas exploration fund with a 10-year lockup, also carrying a risk of total loss and an 8.5% upfront commission (\$6,375 to Pratt). Margaret agreed, trusting Pratt's judgment. By late 2023, the real estate development project had stalled due to cost overruns and the developer filed for bankruptcy protection. The oil and gas fund reported a 60% decline in estimated net asset value. Margaret had now committed \$165,000 -- roughly 58% of her liquid net worth -- to illiquid, high-risk private placements. She contacted Pratt seeking to access her funds and was told there was no way to liquidate either position.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Kevin Pratt committed multiple serious violations. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, time horizon, and investment objectives. Margaret Dawson was a 71-year-old retired teacher with a conservative risk tolerance, an income-oriented objective, limited liquid assets (\$285,000), and a stated inability to absorb principal losses. Recommending that she place 58% of her liquid net worth into two illiquid, speculative private placements with lockup periods of 7 and 10 years -- far exceeding her stated time horizon -- was fundamentally unsuitable on a customer-specific basis. Under Regulation Best Interest (Reg BI), Pratt had a Care Obligation requiring him to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and ensuring that the recommendations were in her best interest and did not place his own financial interest ahead of hers. The 9% and 8.5% upfront commissions totaling approximately \$14,475 suggest a financial motivation inconsistent with the client's needs. The Conflict of Interest Obligation under Reg BI required identification and disclosure -- or elimination -- of conflicts arising from the high commission structure. Additionally, the concentration of over half her liquid assets in illiquid, high-risk instruments violated quantitative suitability principles. FINRA has consistently found that private placements carrying total-loss risk and long lockup periods are inappropriate for elderly, conservative, income-dependent investors with limited net worth. The pattern of recommending a second private placement shortly after the first further demonstrates a

disregard for the customer's profile. Likely regulatory outcomes include disgorgement of commissions, restitution to the customer, a substantial fine, and a suspension or bar from the securities industry for Pratt. The broker-dealer's supervisory system could also face scrutiny under FINRA Rule 3110 for failing to detect and prevent the unsuitable recommendations.

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**Item 223 of 499****COMPLIANT****Topic:** junk\_bonds\_conservative\_investor**Difficulty:** hard**Fact Pattern**

Robert Chen, age 58, is a semi-retired software engineer in Seattle, Washington, who earns approximately \$95,000 per year from consulting work and expects to fully retire at age 65. His investment portfolio totals approximately \$2.4 million across taxable brokerage accounts and retirement accounts. His home is valued at \$850,000 with a remaining mortgage of \$120,000. He has no dependents and no outstanding debts beyond the mortgage. On his account documentation, Robert listed his risk tolerance as 'moderate,' his investment objectives as 'income with moderate growth,' and his time horizon as 10-15 years. He holds a Series 7 license from a prior career stint at a brokerage firm in the early 2000s, though he has not been registered for over a decade. He has extensive experience investing in individual bonds, equities, and alternative investments. His current portfolio allocation is approximately 45% equities (diversified large-cap and international), 35% investment-grade bonds, 10% cash equivalents, and 10% alternative investments (a REIT fund). In November 2023, his financial advisor, Lisa Yamamoto, recommended that Robert reallocate approximately \$120,000 (5% of his total portfolio) from his cash equivalents into a diversified high-yield bond mutual fund rated by Morningstar as having below-investment-grade holdings averaging BB/B credit quality. The fund had an expense ratio of 0.65%, no front-end or back-end load, and a trailing 5-year average annual return of approximately 5.8% with moderate volatility. Lisa provided Robert with the fund prospectus, a detailed analysis comparing the high-yield fund to his existing investment-grade bond holdings, and a written explanation of the credit risk, default risk, and interest rate sensitivity associated with high-yield bonds. She discussed how the 5% allocation would enhance his income yield without materially altering the overall risk profile of his \$2.4 million portfolio. Robert reviewed the materials over two weeks, asked several detailed questions reflecting his financial sophistication, and agreed to proceed. Lisa documented the discussion, Robert's questions, and his informed consent in her client file. By mid-2024, the high-yield fund position had returned approximately 6.1% and Robert expressed satisfaction with the recommendation.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Lisa Yamamoto acted in compliance with applicable standards. Under FINRA Rule 2111 (Suitability), the recommendation must be suitable based on the customer's investment profile. Robert Chen is a 58-year-old semi-retired professional with a \$2.4 million portfolio, moderate risk tolerance, income-with-growth objectives, a 10-15 year time horizon, no dependents, minimal debt, and significant investment sophistication including a prior Series 7 license and experience with individual bonds and alternatives. The recommendation to allocate 5% of his total portfolio -- sourced from cash equivalents earning minimal returns -- into a diversified, no-load high-yield bond mutual fund was consistent with his stated objectives of enhancing income with moderate growth. The allocation was modest and did not materially alter his overall portfolio risk profile, which remained heavily weighted toward investment-grade bonds, diversified equities, and cash. Under Regulation Best Interest (Reg BI), the Care Obligation requires that the advisor exercise reasonable diligence, care, and skill and consider reasonably available alternatives. Lisa demonstrated this by providing a comparative analysis of the high-yield fund versus his existing bond holdings, supplying the prospectus, and clearly explaining the specific risks (credit risk, default risk, interest rate sensitivity) associated with below-investment-grade bonds. The Disclosure Obligation was satisfied through the prospectus delivery and written risk



explanation. The Conflict of Interest Obligation was addressed by recommending a no-load fund with a reasonable 0.65% expense ratio, suggesting no outsized compensation motive. Lisa also satisfied the documentation best practices by recording the client discussion, questions, and informed consent. The two-week deliberation period and Robert's informed questioning further demonstrate that this was not a pressured sale. FINRA and SEC guidance recognize that high-yield bonds can be appropriate for moderately risk-tolerant investors when allocated proportionally within a diversified portfolio and accompanied by full disclosure. No violation occurred, and no regulatory action would be warranted.

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## Item 224 of 499

### NON-COMPLIANT

**Topic:** variable\_annuity\_unsuitable

**Difficulty:** easy

### Fact Pattern

In March 2023, financial advisor Derek Simmons recommended a variable annuity with a guaranteed minimum income benefit rider to his client, Martha Colvin, an 82-year-old retired school librarian living in Tucson, Arizona. Mrs. Colvin had \$185,000 in total liquid savings, consisting of a \$120,000 money market account and a \$65,000 certificate of deposit. She received \$1,850 per month in Social Security and a small pension of \$600 per month. Her stated investment objective was capital preservation, and she described herself as very conservative, noting she had never owned stocks or mutual funds in her life. She told Simmons she wanted her money to remain safe and accessible in case of medical emergencies, as she had recently been diagnosed with early-stage chronic kidney disease. Simmons recommended she invest \$140,000 -- approximately 76% of her liquid assets -- into a variable annuity product with a 7-year surrender period. The annuity carried a mortality and expense charge of 1.40%, an administrative fee of 0.15%, underlying sub-account expenses averaging 0.85%, and the income rider cost an additional 1.05% annually, bringing total annual costs to approximately 3.45%. The surrender charge schedule started at 7% in year one, declining by 1% each year. Simmons earned a commission of \$8,400 on the sale. Mrs. Colvin signed the paperwork after a single 45-minute meeting. Within eight months, she needed to withdraw \$30,000 for dialysis-related medical expenses and was assessed a surrender penalty of \$2,100. Her account value had also declined by approximately \$6,200 due to equity market sub-account losses, reducing her investment to roughly \$131,700 before the withdrawal.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Simmons almost certainly violated applicable suitability and best interest standards in recommending this variable annuity to Martha Colvin.

**\*\*Applicable Standards:\*\***

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. FINRA Rule 2330 specifically addresses variable annuity recommendations and imposes heightened suitability requirements, including consideration of whether the customer would benefit from the features of a variable annuity such as tax-deferred growth, annuitization, or death benefits.

Additionally, under Regulation Best Interest (Reg BI), broker-dealers and their associated persons must act in the retail customer's best interest at the time of a recommendation, satisfying the Care Obligation (evaluating costs, risks, and rewards in light of the customer's profile) and the Disclosure Obligation.

**\*\*Analysis of Violations:\*\***

1. **\*\*Customer Profile Mismatch:\*\*** Mrs. Colvin was 82 years old with a capital preservation objective and zero

experience with equity investments. A variable annuity exposes her to equity market risk through sub-accounts, directly contradicting her conservative risk tolerance and preservation goal.

2. **Liquidity Needs Ignored:** She had a known medical condition requiring potential access to funds. Placing 76% of her liquid assets into a product with a 7-year surrender schedule severely impaired her liquidity. FINRA Rule 2330(b)(1)(A) specifically requires consideration of whether the customer's liquidity needs are met outside the annuity.

3. **Time Horizon Incompatibility:** At age 82 with chronic kidney disease, a 7-year surrender period is inappropriate. She would be 89 before the surrender charges expired, and the income rider's benefits typically require extended accumulation to provide meaningful value.

4. **Excessive Costs:** Total annual expenses of approximately 3.45% are substantial and erode principal, particularly for a conservative investor. Under Reg BI's Care Obligation, the advisor must consider reasonably available alternatives with lower costs.

5. **Concentration:** Allocating 76% of liquid assets to a single illiquid product is an excessive concentration that fails both reasonable-basis and customer-specific suitability.

6. **FINRA Rule 2330 Specific Requirements:** The principal review obligations under Rule 2330(c) should have flagged this transaction. The recommendation fails the explicit criteria including the customer's age, liquidity needs, investment time horizon, and investment objective.

**Likely Regulatory Outcome:** This case presents strong grounds for a FINRA enforcement action or customer arbitration claim. Probable sanctions include disgorgement of the \$8,400 commission, restitution to Mrs. Colvin for losses and surrender charges, a fine, and potential suspension of Simmons. The firm's supervisory system would also be examined under FINRA Rules 3110 and 2330(c) for failure to properly review and approve the transaction.

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**Item 225 of 499****COMPLIANT****Topic:** illiquid\_real\_estate\_investment**Difficulty:** hard**Fact Pattern**

In September 2023, registered investment adviser Natalie Tran recommended that her client, Jordan Eckhart, a 44-year-old orthopedic surgeon earning \$620,000 annually, allocate \$150,000 into a non-traded real estate investment trust (REIT) focused on industrial warehouse properties. Dr. Eckhart had a total net worth of approximately \$4.8 million, including \$2.1 million in diversified equity and bond portfolios across taxable and retirement accounts, \$1.4 million in home equity, \$800,000 in cash and money market funds, and \$500,000 already invested in other alternative investments (a private equity fund and a hedge fund). He had no outstanding debts beyond his mortgage, which was well-serviced. Dr. Eckhart had been investing for 18 years and described his risk tolerance as moderately aggressive. His investment objectives were long-term growth and income diversification, with a stated time horizon of over 15 years until anticipated retirement. Tran conducted a comprehensive review of Dr. Eckhart's financial plan, documenting his existing holdings, liquidity reserves, tax situation, and prior experience with illiquid alternatives. She discussed the non-traded REIT's characteristics in detail during two separate meetings totaling approximately three hours, including: the expected holding period of 7-10 years before a potential liquidity event, the lack of a secondary market, distribution rates that were not guaranteed, upfront fees of approximately 6%, ongoing management fees of 1.25%, and the risk factors including potential loss of principal, limited transparency in valuations, and concentration in a single property sector. She provided the prospectus and a detailed supplemental summary she had prepared. The \$150,000 investment represented approximately 3.1% of Dr. Eckhart's total net worth and roughly 7.1% of his investable financial assets (excluding home equity). After the investment, Dr. Eckhart retained over \$650,000 in liquid cash and money market holdings. Tran documented the rationale in her client file, noting the allocation complemented his existing portfolio by adding real asset exposure, provided potential income, and was appropriate given his high income, significant liquidity reserves, long time horizon, and experience with illiquid alternatives. She also noted that the total alternative allocation post-investment (\$650,000) represented approximately 13.5% of his total net worth, within the 15% guideline her firm had established for alternative investments.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Natalie Tran does not appear to have violated applicable suitability or best interest standards in recommending the non-traded REIT to Dr. Eckhart. This appears to be a well-documented, appropriate recommendation.

**\*\*Applicable Standards:\*\***

As a registered investment adviser, Tran owes a fiduciary duty to Dr. Eckhart under the Investment Advisers Act of 1940, which requires her to act in the client's best interest with a duty of care and a duty of loyalty. If she also holds a broker-dealer registration, Regulation Best Interest (Reg BI) would apply to the recommendation, requiring satisfaction of the Disclosure, Care, Conflict of Interest, and Compliance obligations. FINRA Rules 2111 (Suitability) and FINRA Rule 5110 and related guidance on alternative investment due diligence would also be relevant to the extent the transaction was effected through a broker-dealer.

Non-traded REITs are complex products that carry heightened scrutiny. FINRA has issued multiple Regulatory Notices (e.g., FINRA Regulatory Notices 09-09 and 15-02) emphasizing enhanced suitability obligations for illiquid alternative investments, including concentration limits, investor qualification, and disclosure requirements.

**\*\*Analysis of Compliance:\*\***

1. **\*\*Customer Profile Alignment:\*\*** Dr. Eckhart is a high-income (\$620,000/year), high-net-worth (\$4.8 million) investor with 18 years of experience, including prior experience with illiquid alternatives (private equity and hedge funds). He has a moderately aggressive risk tolerance and a long time horizon (15+ years). This profile is well-suited for an illiquid alternative investment.

2. **\*\*Concentration and Liquidity:\*\*** The \$150,000 allocation represents only 3.1% of his total net worth and 7.1% of investable financial assets -- a modest position. Post-investment, he retains over \$650,000 in liquid reserves, more than sufficient to cover emergencies and ongoing needs. Total alternative allocation (13.5% of net worth) falls within the firm's 15% guideline.

3. **\*\*Reasonable-Basis and Customer-Specific Suitability:\*\*** Tran performed due diligence on the product, understood its features and risks, and matched those characteristics to her client's profile. The industrial REIT adds real asset diversification to a portfolio already weighted toward traditional equities and bonds, supporting the client's objectives of long-term growth and income diversification.

4. **\*\*Disclosure and Documentation:\*\*** Tran held two meetings totaling three hours, provided the prospectus and her own supplemental summary, and discussed key risks including illiquidity, lack of secondary market, non-guaranteed distributions, upfront fees, and potential loss of principal. She documented her rationale comprehensively in the client file.

5. **\*\*Cost Consideration:\*\*** While the 6% upfront fee and 1.25% ongoing management fee are notable, these are within the range typical for non-traded REITs. Tran disclosed these costs, and in the context of a sophisticated, high-net-worth client making a small allocation, the costs are not per se unreasonable.

6. **\*\*Fiduciary Duty Satisfaction:\*\*** Tran's process reflects the duty of care -- she conducted a thorough investigation of both the product and the client's circumstances. The modest allocation, strong documentation, detailed disclosure, and alignment with the client's stated objectives and profile all support a finding that she acted in Dr. Eckhart's best interest.

**\*\*Likely Regulatory Outcome:\*\*** No violation is likely to be found. If examined, regulators would likely view this as an example of appropriate practices for recommending an illiquid alternative investment: thorough know-your-customer analysis, reasonable concentration, adequate liquidity preservation, proper disclosure, and comprehensive documentation. The recommendation is consistent with both fiduciary standards and FINRA's heightened suitability expectations for complex products.

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## Item 226 of 499

## NON-COMPLIANT

**Topic:** tax\_deferred\_unnecessary\_annuity

**Difficulty:** medium

## Fact Pattern

Margaret Holloway, age 71, is a retired schoolteacher living in Tucson, Arizona. She receives \$2,800 per month from her state pension and \$1,950 per month in Social Security benefits. Her total liquid assets consist of approximately \$185,000 held in a traditional IRA rollover at a regional broker-dealer, which she rolled over from her 403(b) upon retirement. She has no debt, owns her home outright, and has a modest monthly budget. She listed her investment objectives as income and capital preservation, with a low risk tolerance. She told her advisor, Derek Fontaine, that she wanted to keep her money safe and accessible in case of medical expenses, as she had recently been diagnosed with early-stage chronic kidney disease. In March 2023, Fontaine recommended that Margaret use \$160,000 of her IRA funds to purchase a fixed indexed annuity with a 10-year surrender period. The annuity carried a 7% surrender charge in year one, declining by roughly 1% per year. Fontaine received a 6.5% commission, totaling \$10,400. The annuity included a guaranteed minimum interest rate of 1.25% and participation in an S&P 500 index-linked crediting strategy capped at 4.5% annually. Because the funds were already inside a tax-deferred IRA, the annuity provided no additional tax-deferral benefit beyond what Margaret already enjoyed. Within eight months, Margaret needed to withdraw \$22,000 to cover out-of-pocket costs related to her kidney treatment. The annuity allowed penalty-free withdrawals of only 10% of the account value per year (\$16,000), meaning the remaining \$6,000 withdrawal triggered a surrender charge of approximately \$390. Margaret was also subject to ordinary income tax on the full withdrawal. Margaret's new account statements showed her IRA was now overwhelmingly illiquid, with only \$25,000 remaining outside the annuity. Fontaine did not document any discussion of alternative products such as short-term bond funds, Treasury securities, bank CDs, or a laddered fixed-income portfolio, all of which would have offered capital preservation with significantly greater liquidity and lower costs.

## Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

## Answer

Yes, Derek Fontaine likely violated applicable suitability and best interest standards on multiple grounds.

1. **FINRA Rule 2111 (Suitability):** Under the quantitative, customer-specific, and reasonable-basis suitability obligations, a recommendation must be suitable given the customer's age, financial situation, investment objectives, risk tolerance, liquidity needs, and time horizon. Margaret was 71 years old, in declining health, with a stated need for capital preservation and liquidity. Placing 86% of her liquid retirement savings into a product with a 10-year surrender period and significant early-withdrawal penalties was inconsistent with her stated objectives and circumstances. The recommendation failed customer-specific suitability.

2. **Regulation Best Interest (Reg BI) -- Care Obligation:** Under the Care Obligation of Reg BI, the advisor must exercise reasonable diligence, care, and skill to understand the product and have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made, considering the customer's investment profile. Recommending a long-duration, illiquid annuity to an elderly client with known medical expenses and low risk tolerance does not satisfy this standard. The advisor must also consider reasonably available alternatives. Fontaine did not document any analysis of lower-cost, more liquid alternatives such as Treasury securities, CDs, or short-term bond

funds.

3. **\*\*No Additional Tax Benefit:\*\*** A key selling point of variable and fixed indexed annuities is tax-deferred growth. However, because Margaret's funds were already inside a traditional IRA, the annuity wrapper provided zero incremental tax benefit. This makes the additional cost layers -- including the surrender schedule, mortality and expense charges embedded in the product, and the high upfront commission -- economically unjustifiable. This factor weighs heavily against the reasonableness of the recommendation.

4. **\*\*FINRA Rule 2330 (Variable Annuity Suitability, applied by analogy to deferred annuities):\*\*** Though this rule specifically governs variable annuities, FINRA guidance has extended similar principles to other deferred annuity recommendations. The rule requires advisors to consider whether the customer would benefit from the tax-deferred features, the customer's liquidity needs, and whether the customer has had a liquid net worth change. Fontaine's recommendation fails all of these considerations.

5. **\*\*Likely Regulatory Outcome:\*\*** Fontaine would likely face FINRA enforcement action, potential arbitration liability, and sanctions including disgorgement of the \$10,400 commission, restitution to the customer for surrender charges paid, a fine, and possibly a suspension. The broker-dealer's supervisory system could also be scrutinized for failing to flag an annuity purchase inside an IRA by a 71-year-old client with documented health issues and stated liquidity needs.

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## Item 227 of 499

### NON-COMPLIANT

**Topic:** overconcentration\_single\_stock

**Difficulty:** hard

### Fact Pattern

Raymond Soto, age 58, is a mid-level operations manager at a logistics company in Memphis, Tennessee, earning \$112,000 per year. He has been divorced for three years and has two children in college. His total investable assets are approximately \$410,000, split between a 401(k) worth \$230,000 and a brokerage account worth \$180,000 managed by his financial advisor, Natalie Crenshaw, at a full-service broker-dealer. Raymond described his risk tolerance as moderate and his investment objectives as growth with income, with a target retirement date of age 65. He told Crenshaw he could not afford significant losses because his 401(k) and brokerage account together represented his entire retirement savings, and he was also paying \$38,000 per year in combined college tuition for his two children.

Between January 2022 and September 2023, Crenshaw progressively concentrated Raymond's \$180,000 brokerage account into shares of a single mid-cap biotechnology company, NovaTher Pharmaceuticals. The concentration occurred through a series of 14 purchases over 20 months. By September 2023, NovaTher stock represented approximately \$152,000, or 84% of the brokerage account's value and 37% of Raymond's total investable assets. Crenshaw told Raymond that NovaTher was on the verge of an FDA approval for a new oncology drug and that the stock could double within a year. She acknowledged in an email to Raymond that the position was 'aggressive' but said she was 'very confident' in the company's pipeline.

NovaTher's FDA application was rejected in November 2023 due to insufficient efficacy data in Phase III trials. The stock dropped 62% in three trading days, falling from \$47 per share to \$17.80. Raymond's NovaTher position declined from \$152,000 to approximately \$57,760, a loss of \$94,240. His total brokerage account fell to roughly \$85,760. Crenshaw earned approximately \$4,200 in total commissions on the NovaTher purchases. Raymond was never presented with a written analysis of the risks of single-stock concentration, nor was he offered any hedging strategies such as protective puts or stop-loss orders. Crenshaw did not recommend trimming the position at any point despite the growing concentration. The broker-dealer's internal compliance alerts flagged the account twice for concentration risk -- once in June 2022 and again in March 2023 -- but the alerts were cleared by Crenshaw's branch manager with notes stating 'client is aware of and comfortable with the position,' though no signed acknowledgment from Raymond exists.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Natalie Crenshaw likely violated multiple applicable standards, and the broker-dealer's supervisory failures compound the situation.

1. **\*\*FINRA Rule 2111 -- Customer-Specific Suitability:\*\*** The core of this violation is overconcentration. Raymond had moderate risk tolerance, a growth-with-income objective, a defined retirement timeline of seven years, significant ongoing financial obligations (college tuition), and no other meaningful assets outside his 401(k). Concentrating 84% of his brokerage account -- and 37% of his total retirement savings -- in a single speculative mid-cap biotech stock is fundamentally inconsistent with a moderate risk profile and growth-with-income objective. FINRA has consistently held that overconcentration in a single security, particularly a speculative one, is a suitability violation when it is inconsistent



with the customer's investment profile.

2. **\*\*Regulation Best Interest -- Care Obligation:\*\*** Under Reg BI's Care Obligation, Crenshaw was required to exercise reasonable diligence, care, and skill in making each incremental purchase recommendation. With each successive NovaTher purchase, the concentration risk increased. A reasonable advisor exercising care would have recognized the escalating risk and either recommended diversification or, at minimum, implemented risk-mitigation strategies. Crenshaw did neither. Her email acknowledging the position was 'aggressive' actually serves as evidence that she understood the risk exceeded the client's profile yet proceeded anyway. The Care Obligation also requires consideration of reasonably available alternatives -- a diversified portfolio of healthcare or growth equities, for example -- none of which were presented.

3. **\*\*Reg BI -- Disclosure Obligation:\*\*** Crenshaw failed to provide Raymond with any written analysis of single-stock concentration risk. While she informally characterized the position as aggressive, she did not disclose the material risks in a manner that would satisfy the Disclosure Obligation, including the risk of total loss associated with a binary FDA event, or the impact such a loss would have on his retirement plan.

4. **\*\*Supervisory Failures (FINRA Rule 3110):\*\*** The broker-dealer's supervisory system detected the concentration risk twice through internal compliance alerts but failed to take meaningful corrective action. The branch manager cleared the alerts based on an unverified assertion that the client was comfortable, without obtaining any signed acknowledgment or documentation from Raymond. This constitutes a failure of reasonable supervision. The firm could face independent liability for supervisory deficiencies.

5. **\*\*Speculative Nature of the Investment:\*\*** Single-stock biotech positions are inherently speculative, particularly when the investment thesis depends on a binary regulatory outcome (FDA approval or rejection). This type of risk is generally suitable only for investors with high risk tolerance, a long time horizon, and sufficient diversified assets such that a total loss of the speculative position would not materially impair their financial plan. Raymond met none of these criteria.

6. **\*\*Absence of Risk Mitigation:\*\*** Even if one argued the initial purchases were borderline suitable, the failure to recommend any risk-mitigation strategy -- protective puts, trailing stop-loss orders, or periodic rebalancing -- as the position grew to 84% of the account is an independent failure of care and diligence.

7. **\*\*Likely Regulatory Outcome:\*\*** Crenshaw would likely face FINRA disciplinary action, including potential fines and suspension. Raymond would have strong grounds for a FINRA arbitration claim seeking compensatory damages of approximately \$94,240 (the loss attributable to the concentrated position), plus potentially consequential damages. The broker-dealer faces joint liability for supervisory failures. The branch manager who cleared the compliance alerts without proper documentation could also face individual liability. Given the email evidence, the compliance alert history, and the clear mismatch between the customer's profile and the recommendation, this case presents strong facts for the claimant.

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**Item 228 of 499****NON-COMPLIANT****Topic:** inappropriate\_risk\_profile**Difficulty:** medium**Fact Pattern**

Martha Delgado, age 74, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,800 per month from her pension and \$1,400 per month in Social Security benefits. Her total liquid savings amount to \$310,000, held in a rollover IRA that represents her entire retirement nest egg. She has no other sources of income and relies on periodic withdrawals from the IRA to cover medical expenses and property taxes on her home. When she opened her account with advisor Tyler Brennan at a regional broker-dealer in March 2022, she told him during the intake meeting that she wanted 'safe investments that won't lose value' and that she 'cannot afford to take risks at her age.' She also mentioned she might need to withdraw \$15,000-\$20,000 annually for the foreseeable future. Brennan documented her risk tolerance as 'moderate growth' on the new account form and listed her investment objective as 'growth' rather than 'income' or 'capital preservation.' He then allocated 55% of her portfolio to a concentrated basket of small-cap technology stocks, 20% to a leveraged ETF tracking the NASDAQ-100, 15% to a high-yield bond fund, and 10% to a money market fund. Within seven months, the technology stocks and leveraged ETF lost approximately 38% of their combined value, and Mrs. Delgado's account declined from \$310,000 to approximately \$207,000. When she called Brennan in distress about the losses, he told her the market would 'bounce back' and discouraged her from selling. She subsequently filed a complaint with the firm.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Tyler Brennan violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy involving a security is suitable for the customer, based on the customer's investment profile. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

2. **\*\*Regulation Best Interest (Reg BI):\*\*** Under the SEC's Reg BI, a broker-dealer must act in the retail customer's best interest at the time a recommendation is made, without placing the financial interest of the broker-dealer ahead of the customer. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile including age, financial situation, risk tolerance, and investment objectives.

**\*\*Analysis of Violations:\*\***

- **\*\*Misrepresentation of Risk Profile:\*\*** Mrs. Delgado explicitly stated she wanted safe investments and could not afford to take risks. Brennan documented her risk tolerance as 'moderate growth' and her objective as 'growth,' which directly contradicts her stated preferences. This is a violation of both FINRA Rule 2111's customer-specific suitability

requirement and Reg BI's Care Obligation, as the advisor failed to accurately capture the customer's investment profile.

- **Unsuitable Asset Allocation:** A 74-year-old retiree with no income beyond a pension and Social Security, whose \$310,000 IRA is her sole liquid asset and who needs regular withdrawals, should not have 75% of her portfolio allocated to volatile equity positions including small-cap tech stocks and a leveraged ETF. Leveraged ETFs are explicitly recognized as complex products unsuitable for buy-and-hold investors, particularly conservative retirees. This allocation fails the reasonable-basis suitability prong as well as the customer-specific prong of FINRA Rule 2111.

- **Failure to Consider Liquidity Needs:** Mrs. Delgado's stated need for \$15,000-\$20,000 in annual withdrawals required a portfolio designed for income generation and capital preservation. The recommended portfolio had only 10% in liquid, stable instruments (money market), creating a foreseeable risk that she would be forced to liquidate volatile holdings at a loss to fund living expenses.

- **Inadequate Ongoing Communication:** When the client expressed distress about losses, Brennan merely told her the market would recover and discouraged rebalancing, further compounding the harm.

**Likely Regulatory Outcome:** Brennan and his firm face potential FINRA disciplinary action including fines, disgorgement of commissions, and possible suspension. The firm could also face liability in a customer arbitration proceeding for compensatory damages of approximately \$103,000 in losses. The deliberate mischaracterization of the customer's risk profile on account documentation could also raise concerns about falsification of records under FINRA Rule 4511.

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## Item 229 of 499

## NON-COMPLIANT

**Topic:** private\_placements\_unsuitable

**Difficulty:** hard

## Fact Pattern

Gerald and Donna Whitfield, ages 78 and 76 respectively, are retired and live in a small town outside Nashville, Tennessee. Gerald worked for 35 years as a machinist at an automotive parts factory; Donna was a part-time bookkeeper. Their combined monthly income is \$4,100, consisting of Gerald's pension (\$1,900), Social Security for both (\$2,200 combined), and no other sources. Their total investable assets are approximately \$420,000, split between a joint brokerage account (\$180,000) and Gerald's traditional IRA (\$240,000). They have a modest home valued at \$165,000 with no mortgage. Neither has any investment experience beyond certificates of deposit and a mutual fund that Gerald's former employer offered in the company retirement plan. During their initial meeting with advisor Rebecca Sloan in January 2023, they explained that their primary goals were to preserve their savings, generate some supplemental income to cover rising healthcare costs, and ensure they had accessible funds for potential long-term care needs. They stated they were 'very conservative' and had 'no appetite for risk.' On the new account documentation, Sloan recorded their risk tolerance as 'moderate' and their investment time horizon as '10+ years.' Over the next four months, Sloan recommended that the Whitfields invest \$195,000 -- approximately 46% of their total liquid assets -- into three separate private placement offerings: \$75,000 into a non-traded real estate investment trust focused on commercial office properties, \$70,000 into a private oil and gas exploration fund, and \$50,000 into a private credit fund that made subordinated loans to early-stage companies. Each investment carried front-end commissions and fees ranging from 7% to 10%, meaning roughly \$15,000-\$19,000 in total upfront costs were deducted from the Whitfields' invested capital. All three offerings had lock-up periods of five to seven years with no guaranteed liquidity, and the offering documents for each stated that the investments were speculative, illiquid, and suitable only for investors who could afford a total loss of their investment. The oil and gas fund suspended distributions in August 2023 due to poor drilling results, and the non-traded REIT announced in November 2023 that its estimated per-share value had declined by 30% due to rising vacancies in its commercial office portfolio. The private credit fund remains current but has provided a yield of only 4.2%, below the 8-10% projected in the marketing materials Sloan shared with the clients. The Whitfields discovered the extent of their illiquidity and losses when they attempted to access funds in late 2023 to pay for Gerald's hip replacement surgery and were told they could not redeem any of their private placement holdings.

## Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

## Answer

Yes, Rebecca Sloan committed serious violations of applicable suitability and best interest standards. This scenario involves multiple overlapping failures.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires reasonable-basis, customer-specific, and quantitative suitability for all recommended transactions. Private placements and non-traded products carry heightened suitability obligations.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Requires the broker-dealer to exercise reasonable diligence, care, and skill when making recommendations, considering the retail customer's investment profile, and to evaluate

reasonably available alternatives.

3. **Reg BI -- Disclosure Obligation:** Requires full and fair disclosure of all material facts relating to the scope and terms of the relationship, including conflicts of interest such as compensation from product sales.

4. **FINRA Rule 2310 (Direct Participation Programs):** Applies to offerings such as non-traded REITs, oil and gas programs, and similar illiquid products. It requires the member firm to have reasonable grounds for believing the customer can benefit from the program and can bear the financial risk, considering the customer's overall financial situation including tax status, income, net worth, and other investments.

5. **FINRA Regulatory Notices 09-09 and 10-22:** These notices emphasize that non-traded REITs and other illiquid alternative investments require heightened scrutiny, particularly regarding concentration, liquidity risk, and customer suitability.

**Detailed Analysis of Violations:**

- **Falsification of Customer Profile:** The Whitfields explicitly described themselves as 'very conservative' with no risk appetite. Sloan recorded their risk tolerance as 'moderate' and their time horizon as '10+ years,' both of which contradict the customers' stated preferences and their actual circumstances as late-70s retirees. A 10+ year time horizon for a 78-year-old is facially unreasonable. This mischaracterization likely served to manufacture the appearance of suitability for higher-risk, longer-duration products.

- **Customer-Specific Unsuitability:** The Whitfields' profile -- advanced age, limited income, no investment sophistication, stated need for accessible funds, and conservative risk tolerance -- is fundamentally incompatible with speculative, illiquid private placements. Each offering's own disclosure documents stated the investments were suitable only for investors who could afford total loss. The Whitfields, with only \$420,000 in total liquid assets and no other financial cushion, plainly could not afford to lose \$195,000.

- **Excessive Concentration in Illiquid Alternatives:** Allocating 46% of the couple's liquid net worth to three illiquid private placements with 5-7 year lock-ups is grossly disproportionate to their needs and circumstances. Many firms impose internal concentration limits (typically 10-20% of liquid net worth) for non-traded and alternative products. Even if no firm policy existed, the concentration itself is evidence of unsuitability under FINRA Rule 2111's customer-specific obligation.

- **Liquidity Mismatch:** The Whitfields stated they needed accessible funds for potential healthcare and long-term care expenses. Recommending nearly half their savings into products with multi-year lock-ups and no redemption rights directly contradicts this stated need. The inability to access funds for Gerald's hip surgery is a concrete manifestation of this harm.

- **Excessive Compensation / Conflict of Interest:** The 7-10% front-end loads generated approximately \$15,000-\$19,000 in commissions for Sloan, creating a significant financial incentive to recommend these products over lower-cost, more liquid alternatives such as publicly traded REITs, diversified bond funds, or Treasury securities. Under Reg BI's Care Obligation, Sloan was required to consider reasonably available alternatives and not place her financial interest ahead of the customers'. The high-commission illiquid products appear selected to benefit the advisor, not the clients.

- **Reasonable-Basis Suitability Concerns:** The oil and gas exploration fund is inherently speculative, and the non-traded REIT concentrated in commercial office space carried well-known sector risks at the time of recommendation (early 2023), when remote work trends were already depressing office occupancy. Sloan's failure to evaluate these risks before recommending them violates the reasonable-basis prong.

**\*\*Likely Regulatory Outcome:\*\*** Sloan faces potential FINRA enforcement action including a substantial fine, disgorgement of all commissions earned on these transactions, restitution to the Whitfields, and a potential industry bar given the egregiousness of the misconduct -- particularly the apparent falsification of customer profile information and the exploitation of elderly, unsophisticated customers. The firm's supervisory system would also face scrutiny under FINRA Rule 3110 for failing to detect and prevent unsuitable recommendations of this magnitude. In a customer arbitration, the Whitfields would likely recover compensatory damages including realized and unrealized losses, the upfront fees paid, and potentially punitive damages given the willfulness of the misconduct.

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**Item 230 of 499****NON-COMPLIANT****Topic:** excessive\_churning**Difficulty:** medium**Fact Pattern**

Margaret Dawson, age 72, is a retired elementary school teacher living in Tucson, Arizona, with a fixed annual income of \$38,000 from her pension and Social Security. She has a brokerage account valued at approximately \$210,000, which represents her entire liquid savings aside from a small emergency fund of \$12,000 in a credit union savings account. Her stated investment objectives on her new account form were 'income and preservation of capital,' and her risk tolerance was marked as 'conservative.' She told her advisor, Kevin Brandt, that she wanted steady income to supplement her pension and did not want to lose her principal. Between January 2022 and December 2023, Brandt executed 147 trades in Margaret's account, primarily buying and selling large-cap dividend-paying stocks, preferred shares, and investment-grade bond funds. Many positions were held for fewer than 30 days before being liquidated and replaced with nearly identical securities. Over the two-year period, the account generated approximately \$41,600 in commissions and transaction fees for Brandt. The account's annualized turnover rate was 8.2, meaning the portfolio was effectively replaced more than eight times per year. After accounting for all costs, Margaret's account declined in value from \$210,000 to \$163,400 -- a net loss of \$46,600 -- despite the broader equity and bond markets posting modest gains during the same period. Margaret did not request any of these trades and later stated she rarely understood the trade confirmations she received in the mail, trusting Brandt to manage her money responsibly. Brandt earned approximately \$41,600 in total compensation from the account during this period, making Margaret's account one of his top revenue-producing accounts despite its modest size.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Brandt almost certainly violated applicable standards through excessive trading (churning) in Margaret Dawson's account. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or series of transactions is suitable for the customer based on the customer's investment profile. FINRA Rule 2111.05(c) specifically addresses quantitative suitability, which requires that a broker who has actual or de facto control over a customer account must not engage in excessive trading. The hallmarks of churning are present here: (1) Control -- Margaret trusted Brandt entirely, did not understand trade confirmations, and did not initiate any trades, establishing de facto control; (2) Excessive activity -- a turnover rate of 8.2 is far above the threshold of 6.0 that FINRA and courts have historically considered presumptively excessive; (3) Scienter -- Brandt's pattern of short-term holds and replacement with near-identical securities strongly suggests the trading was motivated by commission generation rather than any legitimate investment strategy. Under Regulation Best Interest (Reg BI), the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs associated with a recommendation and have a reasonable basis to believe the series of recommended transactions is in the customer's best interest and not excessive. The \$41,600 in commissions on a \$210,000 account over two years represents a cost-to-equity ratio of approximately 19.8% annually, meaning the account needed nearly 20% annual returns just to break even -- an unrealistic expectation for a conservative income-oriented portfolio. The Conflict of Interest Obligation under Reg BI also requires policies to address the incentive to trade excessively for compensation. Brandt's conduct would also likely violate FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade). Likely regulatory outcomes include disgorgement of commissions,

restitution to the customer, a fine, and a suspension or bar from the securities industry. Margaret would also have strong grounds for a FINRA arbitration claim seeking compensatory damages.

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**Item 231 of 499****NON-COMPLIANT**

**Topic:** crypto\_assets\_unsuitable

**Difficulty:** hard

**Fact Pattern**

Robert and Linda Chen, ages 63 and 61 respectively, are a married couple in Portland, Oregon, approaching retirement. Robert works as an operations manager earning \$105,000 annually and plans to retire at 65. Linda is a part-time bookkeeper earning \$28,000 per year and plans to retire when Robert does. Their combined retirement savings consist of \$480,000 in Robert's 401(k) plan, \$155,000 in Linda's Traditional IRA, and a joint taxable brokerage account with \$92,000. They also own their home outright, valued at approximately \$520,000. Their stated investment objectives across all accounts were 'growth and income' with a 'moderate' risk tolerance, and they emphasized to their advisor, Jason Wyatt, that they could not afford to take significant losses given their proximity to retirement. In March 2023, Wyatt recommended that the Chens roll over Linda's entire \$155,000 Traditional IRA into a self-directed IRA and allocate 100% of the proceeds into a basket of cryptocurrency assets -- specifically \$60,000 into Bitcoin, \$45,000 into Ethereum, \$25,000 into Solana, and \$25,000 into a collection of smaller-cap altcoins including Avalanche, Chainlink, and Polygon. Wyatt told them that crypto assets offered 'the best growth potential to catch up before retirement' and that 'tax-deferred growth in the IRA wrapper would shield them from the tax headaches of crypto.' He did not discuss the extreme volatility of cryptocurrency markets, the lack of regulatory protections for digital assets, the concentration risk of placing an entire retirement account in a single speculative asset class, or alternative diversified strategies that could achieve growth. By January 2024, Bitcoin and Ethereum had partially recovered from prior declines, but the smaller altcoins had fallen substantially. The IRA's total value had dropped to approximately \$118,000 -- a loss of \$37,000, or roughly 24%. More critically, the Chens' overall retirement portfolio was now significantly overweighted toward a highly volatile, speculative asset class, with crypto representing approximately 16% of their total retirement savings. The Chens had no prior experience investing in cryptocurrency, did not own any digital assets before this recommendation, and had expressed no interest in speculative investments.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Jason Wyatt likely violated multiple applicable standards in recommending a 100% cryptocurrency allocation for Linda Chen's Traditional IRA. Under FINRA Rule 2111 (Suitability), all three components of the suitability obligation appear to have been breached. Regarding reasonable-basis suitability, Wyatt failed to perform adequate due diligence on the risks of cryptocurrency assets, particularly smaller-cap altcoins, which are characterized by extreme volatility, limited track records, and illiquidity concerns. Regarding customer-specific suitability, the recommendation was inconsistent with the Chens' moderate risk tolerance, their growth-and-income objectives, their two-year retirement timeline, and their explicit statement that they could not afford significant losses. Regarding quantitative suitability, concentrating 100% of a retirement account into a single speculative asset class for clients in this profile is facially excessive. Under Regulation Best Interest (Reg BI), the Care Obligation requires reasonable diligence to understand the risks, rewards, and costs of a recommendation and a reasonable basis to believe it is in the customer's best interest without placing the advisor's interest ahead of the customer's. Wyatt's recommendation fails this standard in several respects: (1) Concentration risk -- placing an entire IRA into crypto with no diversification across traditional asset classes is inconsistent with prudent investment management for near-retirees; (2) The rationale that crypto offered 'the best growth potential to catch up' suggests a speculative gamble rather than a reasoned strategy, and the framing of

tax-deferred growth as a unique benefit of crypto inside an IRA is misleading because the IRA already provided tax deferral regardless of the underlying asset; (3) Wyatt failed to disclose material risks including volatility, potential for total loss of altcoin positions, and lack of investor protections in crypto markets. The Disclosure Obligation under Reg BI also required Wyatt to disclose all material facts relating to conflicts of interest, including any compensation he received related to the crypto recommendation. The fact that Wyatt emphasized the IRA's tax deferral benefit as a selling point for crypto -- when the IRA already provided tax deferral on any investment -- mirrors the problematic practice of recommending products based on features that provide no incremental benefit to the customer. Additionally, FINRA has issued guidance (e.g., Regulatory Notice 22-08 on complex products) warning member firms about recommending complex, speculative, and leveraged products to retail investors without proper due diligence and customer education. Probable regulatory outcomes include restitution, fines, potential suspension or bar, and the Chens would have strong arbitration claims for compensatory damages representing the difference between the crypto losses and what a reasonably suitable diversified portfolio would have earned during the same period.

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**Item 232 of 499****NON-COMPLIANT**

**Topic:** illiquid\_real\_estate\_investment

**Difficulty:** medium

**Fact Pattern**

Margaret Olsen, age 74, is a retired school librarian living in Portland, Oregon. She has a fixed monthly income of \$2,800 from Social Security and a small pension. Her total liquid savings amount to \$185,000, held in a money market account and a modest bond portfolio. She has no other significant assets aside from her primary residence, valued at approximately \$210,000 with no mortgage. Margaret's stated investment objectives are capital preservation and income generation to supplement her retirement. She has described herself as conservative and has never invested in anything beyond certificates of deposit and government bonds. In March 2023, her financial advisor, Derek Paulson, recommended that Margaret invest \$120,000--roughly 65% of her liquid savings--into a non-traded real estate investment trust (REIT) that focuses on commercial office properties. The REIT carried an upfront commission of 7%, had a minimum projected holding period of seven to ten years, and offered no established secondary market for shares. Quarterly distributions were projected at 5.5% annually but were not guaranteed and could be suspended at the sponsor's discretion. Derek told Margaret the investment would provide 'steady income like a bond but with better returns.' He did not discuss the illiquid nature of the product, the lack of a redemption program, or the possibility that distributions could be paid from investor capital rather than operating income. He also did not explore lower-cost, liquid alternatives such as publicly traded REITs or diversified bond funds. Within 14 months, the REIT suspended distributions due to declining occupancy rates in its commercial office portfolio. Margaret, needing income for medical expenses related to a hip replacement, attempted to liquidate her position but was told no redemption program existed. She was unable to access \$120,000 of her retirement savings when she needed it most.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Paulson violated applicable suitability and best interest standards on multiple grounds.

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommendation is suitable for the customer based on their investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance. Here, Margaret is a 74-year-old retiree with limited liquid assets, conservative risk tolerance, capital preservation objectives, and a clear need for accessible income. Recommending that she concentrate 65% of her liquid savings in an illiquid, non-traded REIT with a seven-to-ten-year holding period fails all three components of suitability analysis: (1) Reasonable-basis suitability: while non-traded REITs may be appropriate for some investors, their illiquidity and risk profile require that the advisor understand these features, which Derek either did not understand or chose to misrepresent. (2) Customer-specific suitability: the product was fundamentally incompatible with Margaret's age, income needs, liquidity requirements, and conservative risk profile. (3) Quantitative suitability: though only one product was sold, the concentration of 65% of liquid assets in a single illiquid vehicle is excessive for any conservative, elderly investor.

Under Regulation Best Interest (Reg BI), adopted under the Securities Exchange Act, broker-dealers must satisfy four component obligations: Disclosure, Care, Conflict of Interest, and Compliance. The Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment

profile and the potential risks, rewards, and costs of the recommendation. Derek failed this obligation by not considering Margaret's acute liquidity needs and not evaluating reasonably available alternatives such as publicly traded REITs or investment-grade bond funds that would have provided income with far greater liquidity and lower costs. The Disclosure Obligation was also violated because Derek did not disclose the illiquid nature of the investment, the absence of a redemption program, or the risk that distributions could be funded from return of capital rather than earnings. The 7% upfront commission also creates a significant conflict of interest that should have been disclosed and mitigated.

Additionally, FINRA Regulatory Notice 09-09 specifically addresses non-traded REITs and warns member firms about ensuring suitability for customers, particularly elderly or conservative investors. Many firms impose concentration limits of 10% or less of liquid net worth for non-traded REITs; a 65% allocation would far exceed any reasonable internal threshold.

The likely regulatory outcome includes potential enforcement action by FINRA, customer arbitration resulting in compensatory damages (the \$120,000 investment plus the \$8,400 in upfront commissions, minus any distributions received), and possible punitive sanctions against Derek including fines, suspension, or barring from the industry. The firm employing Derek could also face supervisory failure charges under FINRA Rule 3110 if it did not have adequate procedures to review and approve such a concentrated, illiquid recommendation for a senior investor.

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**Item 233 of 499****NON-COMPLIANT****Topic:** lack\_of\_diversification**Difficulty:** easy**Fact Pattern**

Ryan Choi, age 29, is a software developer in Austin, Texas, earning \$105,000 annually. He opened a brokerage account in January 2024 with \$50,000 in savings, stating his investment objectives as long-term growth with a moderate risk tolerance. He told his financial advisor, Lisa Brennan, that he wanted to start building a retirement portfolio and had no prior investing experience beyond a small 401(k) with a target-date fund. Lisa recommended that Ryan invest the entire \$50,000 into shares of a single mid-cap technology company, NovaTech Solutions, which she described as 'a sure winner that's going to double in the next two years.' She did not recommend any other securities, did not discuss portfolio diversification, and did not present any alternative investment options such as index funds, ETFs, or a mix of individual stocks across different sectors. Lisa's branch had recently been running a promotional push for NovaTech shares, and she received a higher payout rate on that particular equity. By September 2024, NovaTech's stock had declined 42% following a failed product launch and an accounting restatement, reducing Ryan's account value to approximately \$29,000.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Lisa Brennan violated applicable suitability and best interest requirements.

Under FINRA Rule 2111 (Suitability), a recommendation must be suitable based on the customer's complete investment profile. Ryan is a young, inexperienced investor seeking long-term growth with moderate risk tolerance. While a growth-oriented equity allocation is reasonable for someone his age, concentrating 100% of his investable assets in a single mid-cap stock is inconsistent with moderate risk tolerance and long-term growth objectives. The customer-specific suitability obligation requires that the advisor consider diversification as a fundamental element of prudent portfolio construction, particularly for inexperienced investors. Placing all \$50,000 into one stock exposed Ryan to idiosyncratic company risk that could have been substantially mitigated through diversification across sectors and asset classes.

Under Regulation Best Interest (Reg BI), Lisa was required to satisfy the Care Obligation by exercising reasonable diligence, care, and skill when making her recommendation. This includes evaluating reasonably available alternatives. For a moderate-risk, long-term growth investor with no experience, broadly diversified options such as S&P 500 index funds, total market ETFs, or a balanced portfolio of equities across sectors would have been obvious alternatives. Lisa did not consider or present any of these. Her statement that the stock was 'a sure winner' also constitutes a projection of future performance, which violates FINRA Rule 2210 (Communications with the Public), as members may not predict or project performance or imply that past performance will recur.

The Conflict of Interest Obligation under Reg BI is also implicated. Lisa received a higher payout rate on NovaTech shares due to a branch promotional incentive. This financial conflict should have been disclosed to Ryan and mitigated by the firm. The firm's failure to identify and address this incentive structure may also constitute a violation of the Compliance Obligation under Reg BI and supervisory obligations under FINRA Rule 3110.

The likely regulatory outcome includes FINRA enforcement action against Lisa for unsuitable recommendations and misleading communications. Ryan would have a strong arbitration claim for compensatory damages of approximately \$21,000 (the decline in value) plus transaction costs. Lisa could face fines, disgorgement of enhanced commissions, and suspension. The branch and firm could face additional supervisory failure charges for promoting a single equity with enhanced payouts without adequate controls to prevent concentration in customer accounts.

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**Item 234 of 499****NON-COMPLIANT****Topic:** excessive\_churning**Difficulty:** medium**Fact Pattern**

Margaret Collins, age 72, is a retired elementary school teacher living in suburban Ohio with an annual pension income of \$42,000 and a \$620,000 investment portfolio that represents her life savings. She has a conservative risk tolerance and her primary investment objectives are capital preservation and income generation to supplement her pension. She has limited investment knowledge and has relied on her financial advisor, Brian Torrance, for all investment decisions since 2019. In March 2021, Margaret's portfolio was invested in a diversified mix of bond funds and a balanced fund totaling \$620,000. Over the following 18 months, Brian executed 47 transactions in Margaret's account, systematically moving her assets between various Class A mutual fund share classes. Each purchase carried a front-end sales load averaging 4.75%, generating approximately \$14,100 in total front-end load charges paid by Margaret. During this period, Brian moved Margaret out of institutional share classes she had previously qualified for -- which carried no front-end load and had expense ratios of 0.45% -- and into Class A retail shares of comparable funds with expense ratios averaging 0.95%. Brian earned approximately \$9,800 in commissions from these transactions. Margaret's account value declined to \$571,000 by the end of September 2022, a period during which a comparable conservative portfolio benchmark returned approximately -3.2%, meaning Margaret's portfolio underperformed by roughly 4.7 percentage points, largely attributable to the unnecessary transaction costs. When Margaret questioned the decline, Brian told her the losses were due to market conditions and did not disclose the cumulative impact of the loads and higher expense ratios. Margaret only discovered the extent of the charges after her nephew, a CPA, reviewed her account statements.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Brian Torrance committed multiple violations. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer. Here, Margaret was a 72-year-old retiree with conservative objectives and limited sophistication. The 47 transactions over 18 months in a conservative account strongly suggest quantitative unsuitability (excessive trading/churning). FINRA evaluates churning by examining the turnover rate, cost-to-equity ratio, and whether the broker exercised de facto control. Brian exercised de facto control given Margaret's reliance on him for all decisions, and the cost-to-equity ratio -- approximately \$14,100 in loads alone on a \$620,000 account over 18 months -- is indicative of excessive costs relative to the account size and objectives. Under Regulation Best Interest (Reg BI), Brian had a Care Obligation requiring him to exercise reasonable diligence, care, and skill to understand the available alternatives and recommend the option that was in the customer's best interest. Moving Margaret from no-load institutional share classes (0.45% expense ratio) into Class A shares with 4.75% front-end loads and 0.95% expense ratios, when she qualified for the cheaper share class, directly violated this obligation. There was no reasonable basis for recommending the higher-cost share class. Additionally, under Reg BI's Disclosure Obligation, Brian was required to provide full and fair disclosure of all material facts, including costs and conflicts of interest. His failure to disclose the cumulative impact of the loads when Margaret asked about her declining account value constitutes a further violation. Brian also violated FINRA Rule 2010 (Standards of Commercial Honor) by engaging in conduct inconsistent with just and equitable principles of trade. The pattern of transactions generated commissions for Brian at the direct expense of his elderly, unsophisticated client. Likely

regulatory outcomes include disgorgement of commissions, restitution to Margaret of approximately \$14,100 in unnecessary load charges plus the incremental excess expense ratio costs, potential fines, suspension or bar from the industry, and possible referral for arbitration or enforcement action. Margaret would likely prevail in a FINRA arbitration claim for churning and unsuitability.

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**Item 235 of 499****NON-COMPLIANT****Topic:** bond\_duration\_mismatch**Difficulty:** hard**Fact Pattern**

David and Susan Park, both age 58, are a dual-income couple in Portland, Oregon. David is a senior software engineer earning \$185,000 annually and Susan is a hospital administrator earning \$140,000. They have \$1.8 million in combined retirement accounts and an additional \$750,000 in a joint taxable brokerage account managed by their financial advisor, Claire Whitfield, at a registered investment advisory firm. In January 2022, the Parks told Claire they planned to retire in exactly three years (January 2025) and would need to draw \$300,000 from the taxable account at that time for a planned home purchase in Bend, Oregon. They emphasized that the \$300,000 needed to be safe and available in three years, and that the remaining \$450,000 could stay invested for longer-term growth. Their risk tolerance for the \$300,000 portion was explicitly described as very conservative -- they said they could not afford to lose any significant portion of it. Claire acknowledged their timeline and goals in writing via email. Despite this, in February 2022, Claire invested the entire \$750,000 -- including the earmarked \$300,000 -- into a portfolio consisting of 60% long-duration U.S. Treasury bonds (average duration of 18.5 years) and 40% investment-grade corporate bonds with an average duration of 12 years. The blended portfolio duration was approximately 15.9 years. Claire's rationale, documented in internal notes, was that she believed interest rates had peaked and that long-duration bonds would appreciate significantly, producing outsized returns for the Parks. She did not purchase any short-duration instruments, money market funds, Treasury bills, or certificates of deposit to match the three-year liability. Over the course of 2022, as interest rates rose sharply, the portfolio lost approximately 28% of its value. By December 2022, the account was worth roughly \$540,000 -- a paper loss of \$210,000. By January 2025, despite some recovery, the portfolio was valued at approximately \$635,000. The Parks were forced to liquidate a significant portion at a loss to fund their \$300,000 home purchase, and they received substantially less long-term growth from the remainder than they had planned. The Parks filed a complaint, noting that Claire never discussed the interest rate risk inherent in long-duration bonds, never presented alternative strategies such as bond laddering or matching the three-year need with short-term instruments, and never obtained their consent to take on significant duration risk with funds earmarked for a specific near-term purpose.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Claire Whitfield violated her fiduciary duty and applicable standards in multiple respects. As an investment adviser representative at a registered investment advisory firm, Claire owed the Parks a fiduciary duty of care and loyalty under the Investment Advisers Act of 1940. This duty requires her to provide advice that is in the clients' best interest, to make full and fair disclosure of all material facts, and to avoid placing her own interests or speculative views ahead of the clients' stated needs. The core violation is a severe asset-liability mismatch (bond duration mismatch). The Parks had an explicit, documented need for \$300,000 in three years with very conservative risk tolerance for those funds. Sound fiduciary practice -- and basic portfolio management principles -- required matching that liability with instruments of comparable duration: short-term Treasuries, CDs, money market instruments, or a bond ladder maturing around January 2025. Instead, Claire invested the entire account, including the earmarked funds, in bonds with a blended duration of approximately 15.9 years -- more than five times the investment horizon for the designated funds. Duration measures sensitivity to interest rate changes; a portfolio with 15.9-year duration would lose approximately 15.9% for

every 1% rise in interest rates. This exposed the Parks' near-term funds to catastrophic interest rate risk that was wholly inconsistent with their stated objectives and risk tolerance. Claire's decision was driven by her speculative macroeconomic view that rates had peaked -- a market-timing bet that is inappropriate when a client has a defined, non-negotiable cash need. Under the fiduciary standard applicable to investment advisers, an adviser may not substitute her own speculative views for the client's clearly articulated risk constraints. This is not merely a matter of hindsight; even if rates had fallen and the bonds had appreciated, the strategy was imprudent at inception because it subjected funds with a known three-year horizon to unnecessary and extreme volatility. Claire also violated her duty of disclosure. She failed to explain the interest rate risk of long-duration bonds, did not present alternative strategies (e.g., laddering, bucketing, or segregating the \$300,000 into short-duration instruments), and did not obtain informed consent to deviate from the clients' expressed conservative mandate for the earmarked funds. Additionally, under FINRA Rule 2111 (to the extent any FINRA-registered persons were involved) and Regulation Best Interest (if Claire were acting in a broker-dealer capacity), the same analysis would yield a violation of the care and disclosure obligations. The recommendation lacked a reasonable basis given the clients' specific timeline and needs, and no reasonable financial professional would have concentrated a three-year liability in 15-to-18-year duration bonds. Likely regulatory and legal outcomes include liability in arbitration or litigation for the approximately \$115,000 shortfall (\$750,000 minus \$635,000 at liquidation), potential additional damages for lost opportunity and consequential harm (e.g., disrupted retirement plans), potential SEC or state regulatory action against Claire and her firm for breach of fiduciary duty, and possible supervisory failures by the firm for not catching the obvious duration mismatch in a client account with a documented near-term cash need.

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**Item 236 of 499****NON-COMPLIANT****Topic:** market\_timing\_unsuitable**Difficulty:** medium**Fact Pattern**

Robert Kessler, age 58, is a high school principal earning \$105,000 per year with a \$420,000 portfolio consisting primarily of mutual funds held in a rollover IRA. His stated investment objectives on his new account form were long-term growth and capital preservation, with a moderate risk tolerance. He indicated a 7-10 year time horizon as he planned to retire at age 65. His investment experience was limited -- he had previously held a target-date retirement fund through his employer's 403(b) plan for 15 years. In March 2022, his financial advisor, Derek Mullins, began executing a series of rapid exchanges between equity mutual funds, moving Robert's holdings from a large-cap growth fund into an international equity fund, then back into a mid-cap value fund, and then into a technology sector fund -- all within a span of 14 weeks. Over the following 10 months, Mullins executed 23 mutual fund exchanges across Robert's account. Each exchange triggered front-end sales charges averaging 4.75%, and several funds carried contingent deferred sales charges on the shares being liquidated. The total cost of these transactions over the 10-month period was approximately \$47,800 in sales charges and fees. Robert's account value declined from \$420,000 to \$351,000 during this period, while the S&P 500 index declined only 6% over the same timeframe. Mullins told Robert that he was 'staying ahead of the market' and 'rotating into sectors poised for recovery.' Robert trusted Mullins because he was referred by a colleague. Mullins earned approximately \$28,500 in commissions from these transactions. At no point did Mullins discuss the cumulative impact of the sales charges, nor did he present any quantitative analysis supporting the timing strategy.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Mullins violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. Rule 2111 encompasses three obligations: (a) reasonable-basis suitability, (b) customer-specific suitability, and (c) quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Under the SEC's Reg BI, broker-dealers must act in the retail customer's best interest at the time a recommendation is made, without placing the financial interest of the broker ahead of the customer's interest. The Care Obligation requires reasonable diligence, care, and skill in making recommendations, including understanding the costs and risks and having a reasonable basis to believe the recommendation is in the customer's best interest.
3. **\*\*FINRA Rule 2111.05(c) - Quantitative Suitability:\*\*** Even if each individual trade might be suitable in isolation, an advisor who controls or influences the trading in a customer's account can violate suitability standards if the overall level of trading is excessive given the customer's profile.

**\*\*Analysis:\*\***

- **\*\*Customer-Specific Suitability Violation:\*\*** Robert's profile -- moderate risk tolerance, long-term growth and capital preservation objectives, limited experience, and a 7-10 year time horizon toward retirement -- is wholly inconsistent with a rapid-fire mutual fund market-timing strategy. Mutual funds are designed as long-term holdings, and frequent exchanges erode returns through sales charges.

- **\*\*Quantitative Suitability / Excessive Trading:\*\*** Twenty-three mutual fund exchanges in 10 months, generating \$47,800 in costs on a \$420,000 account (an annualized cost-to-equity ratio of approximately 11.4%), is strong evidence of excessive trading. The turnover rate and cost-to-equity ratio far exceed thresholds that regulators and arbitration panels have historically found indicative of churning.

- **\*\*Reasonable-Basis Suitability Violation:\*\*** Market timing through load-bearing mutual funds is widely understood to be a losing strategy due to the compounding drag of sales charges. Mullins presented no quantitative analysis or reasonable basis for believing this strategy could benefit the client.

- **\*\*Reg BI Care Obligation Violation:\*\*** Mullins placed his own financial interest (earning \$28,500 in commissions) ahead of Robert's interest. The recommendation to engage in frequent fund switching was not in Robert's best interest, particularly given the cost structure and his conservative-to-moderate profile.

- **\*\*Reg BI Disclosure Obligation:\*\*** Mullins failed to disclose the cumulative impact of sales charges, a material fact related to the cost of his recommendations.

**\*\*Likely Regulatory Outcome:\*\*** Mullins would face potential FINRA enforcement action for churning/excessive trading under Rules 2111 and 2010 (Standards of Commercial Honor), potential SEC action under Reg BI, disgorgement of commissions, restitution to the customer, fines, and a possible suspension or bar from the industry. In a customer arbitration, Robert would likely recover damages including the excess sales charges and portfolio underperformance attributable to the trading strategy, plus interest and potentially attorneys' fees.

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**Item 237 of 499****NON-COMPLIANT****Topic:** unsuitable\_income\_investor**Difficulty:** easy**Fact Pattern**

Dolores Whitfield, age 74, is a retired postal worker living on a fixed income of \$2,800 per month from Social Security and a small pension. Her total liquid savings amount to \$185,000, held in a brokerage account that constitutes essentially her entire life savings apart from a modest home valued at \$140,000. She has no other sources of income and relies on portfolio withdrawals of approximately \$800 per month to cover her living expenses, including medical costs for a chronic heart condition. Her new account form, completed in January 2023, lists her investment objective as 'current income' with a 'conservative' risk tolerance. She described her investment knowledge as 'basic' and noted she had never invested in anything other than CDs and savings bonds. Her advisor, Pamela Sturgess, recommended that Dolores invest \$155,000 -- approximately 84% of her liquid savings -- into three non-traded real estate investment trusts (REITs). Each REIT carried an upfront commission of 7%, a 10-year expected hold period, and no guaranteed liquidity provisions before maturity. The REITs projected annual distributions of 6-7%, but the offering documents noted that distributions could be paid from return of capital rather than actual earnings and that distribution rates were not guaranteed. Sturgess told Dolores the REITs would 'pay her like clockwork every month' and were 'just like CDs but with better returns.' Sturgess did not discuss the illiquidity, the 10-year lockup, or the risk that distributions could be reduced or suspended. Within 18 months, one of the three REITs suspended its distribution entirely, and another reduced its distribution by 50%, leaving Dolores with significantly less monthly income than she needed and no ability to liquidate her holdings to access her principal.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Pamela Sturgess clearly violated applicable suitability and best interest standards. This is a straightforward case of placing an elderly, conservative, income-dependent investor into unsuitable illiquid products.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires that recommendations be suitable based on the customer's investment profile, including age, financial situation, investment objectives, risk tolerance, liquidity needs, and time horizon.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Requires the broker-dealer to act in the retail customer's best interest, including the Care Obligation (reasonable diligence in understanding the product's risks and costs and ensuring the recommendation is in the customer's best interest), the Disclosure Obligation (full and fair disclosure of material facts including risks, costs, and conflicts), and the Conflict of Interest Obligation (addressing the financial incentive created by high upfront commissions).
3. **\*\*FINRA Regulatory Notices on Non-Traded REITs:\*\*** FINRA has issued multiple regulatory notices (including Regulatory Notice 15-02) emphasizing that non-traded REITs are complex, illiquid products that carry significant risks and are generally unsuitable for investors who cannot tolerate long holding periods or who need access to their capital.

**\*\*Analysis:\*\***

- **\*\*Customer-Specific Suitability Violation:\*\*** Dolores is 74, conservative, income-dependent, has limited financial knowledge, has a chronic health condition requiring ongoing medical expenditures, and relies on monthly portfolio withdrawals. Non-traded REITs with 10-year lockups and no guaranteed liquidity are fundamentally incompatible with her need for accessible capital and reliable income. Concentrating 84% of her liquid savings in these products left her with almost no liquid reserves for emergencies.
- **\*\*Concentration Risk:\*\*** Placing 84% of a client's liquid net worth into a single illiquid asset class is inherently unsuitable for a conservative, income-dependent retiree regardless of the projected yield.
- **\*\*Liquidity Mismatch:\*\*** Dolores needed \$800/month in portfolio withdrawals and had potential medical expenses. Locking up the vast majority of her savings for 10 years directly contradicts her income and liquidity needs.
- **\*\*Misrepresentation:\*\*** Sturgess's comparison of non-traded REITs to CDs was materially misleading. CDs are FDIC-insured, liquid at maturity (and often before with a modest penalty), and carry virtually no risk of principal loss. Non-traded REITs are speculative, illiquid, and subject to significant principal risk. This also violates FINRA Rule 2010 (Standards of Commercial Honor) and the Reg BI Disclosure Obligation.
- **\*\*Failure to Disclose Material Risks:\*\*** Sturgess did not inform Dolores about the illiquidity, the lockup period, the risk that distributions could be funded by return of capital (depleting her principal), or the possibility that distributions could be reduced or suspended.
- **\*\*Conflict of Interest:\*\*** The 7% upfront commission on \$155,000 yielded approximately \$10,850 in compensation to Sturgess, creating a significant conflict of interest that was not disclosed or mitigated. This violates Reg BI's Conflict of Interest Obligation.

**\*\*Likely Regulatory Outcome:\*\*** Sturgess would face FINRA enforcement for suitability violations under Rule 2111, misrepresentation under Rule 2010, and potential SEC action under Reg BI. Sanctions would likely include restitution to Dolores, disgorgement of commissions, a significant fine, and a suspension or bar. In arbitration, Dolores would likely recover her losses, including the difference between her investment and the current liquidation value of the REIT holdings, lost income, and consequential damages related to her inability to meet living expenses.

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**Item 238 of 499****NON-COMPLIANT**

**Topic:** junk\_bonds\_conservative\_investor

**Difficulty:** easy

**Fact Pattern**

Margaret Dawson, age 74, is a retired elementary school teacher living in Tulsa, Oklahoma. She has a pension providing \$2,800 per month and Social Security income of \$1,600 per month. Her total liquid savings amount to \$310,000, held in a brokerage account with Ridgeline Financial Group. When she opened the account in January 2022, she completed an investor profile form indicating her risk tolerance as 'conservative,' her investment objective as 'capital preservation and income,' and her time horizon as '1-5 years.' She told her advisor, Craig Fontaine, that she could not afford to lose any significant portion of her savings because it served as her emergency fund and supplemental retirement income. She also mentioned she had no other investments and no family members who could support her financially. In March 2022, Fontaine recommended that Margaret invest \$215,000 -- approximately 69% of her liquid savings -- into a portfolio of high-yield corporate bonds rated between B and CCC by major credit rating agencies. The bonds were issued by companies in the energy and retail sectors, several of which had recently been downgraded. Fontaine told Margaret these bonds would 'pay much better interest than a CD or Treasury bond' and described them as 'a smart way to boost your income in retirement.' He did not explain the heightened default risk, the credit quality of the issuers, or the potential for significant principal loss. He also did not discuss any alternative fixed-income options such as investment-grade bonds, Treasury securities, or CDs. By November 2022, two of the issuers defaulted, and the overall portfolio of high-yield bonds had declined in value by approximately \$58,000, representing an 18.7% loss on her total savings. Margaret filed a complaint stating she was never told these were speculative-grade bonds and would not have agreed to the investment had she understood the risks.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Craig Fontaine violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and other factors. There are three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

2. **\*\*Regulation Best Interest (Reg BI) under the Securities Exchange Act:\*\*** If the recommendation occurred after June 30, 2020 (which it did -- March 2022), Reg BI applies. Under Reg BI's Care Obligation, the broker must exercise reasonable diligence, care, and skill in making a recommendation, must understand the risks and rewards of the security, and must have a reasonable basis to believe the recommendation is in the customer's best interest given the customer's profile. Under the Disclosure Obligation, the broker must disclose all material facts about the recommendation, including risks and conflicts of interest.

**\*\*Analysis:\*\***

- **\*\*Customer-Specific Suitability / Care Obligation Violation:\*\*** Margaret's profile -- a 74-year-old retiree with conservative risk tolerance, capital preservation objectives, a short time horizon, limited liquid assets (\$310,000), no alternative financial resources, and dependence on the funds as an emergency reserve -- is fundamentally incompatible with a 69% allocation to speculative-grade (junk) bonds rated B to CCC. High-yield bonds carry substantial default risk and price volatility, which directly contradicts her stated inability to absorb losses. Concentrating nearly 70% of her savings in such instruments was unsuitable and not in her best interest.
- **\*\*Reasonable-Basis Suitability Violation:\*\*** Fontaine does not appear to have conducted adequate due diligence on the specific issuers, several of which had recently been downgraded. An advisor exercising reasonable diligence would have recognized the elevated default probability.
- **\*\*Disclosure Obligation Violation:\*\*** Fontaine failed to disclose the speculative-grade nature of the bonds, the heightened default risk, or the potential for significant principal loss. He characterized the investment in misleadingly favorable terms ('smart way to boost income') without providing balanced disclosure. He also failed to discuss less risky alternatives that could have met Margaret's income needs.
- **\*\*Concentration Risk:\*\*** Allocating 69% of a conservative, elderly client's liquid net worth to a single high-risk asset class represents an unreasonable concentration, further compounding the suitability violation.

**\*\*Likely Regulatory Outcome:\*\*** A FINRA arbitration panel or enforcement action would likely find violations of both FINRA Rule 2111 and Reg BI. Fontaine and Ridgeline Financial Group could face liability for compensatory damages (the approximately \$58,000 loss), possible punitive damages, fines, a suspension or bar for Fontaine, and supervisory sanctions against the firm for failing to detect an obviously unsuitable recommendation.

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## Item 239 of 499

## COMPLIANT

**Topic:** illiquid\_investments

**Difficulty:** hard

## Fact Pattern

David Nakamura, age 52, is a senior software executive at a publicly traded technology company in Seattle, Washington. His annual compensation, including base salary and bonuses, is approximately \$620,000. He has a net worth of \$7.2 million, including \$2.1 million in his 401(k), \$1.5 million in a taxable brokerage account, \$1.8 million in equity in his primary residence, \$400,000 in cash and money market funds, and approximately \$1.4 million in vested stock options. He has no outstanding debts other than a \$320,000 mortgage at a 3.1% fixed rate. David has been an active investor for over 20 years and holds an MBA from the University of Chicago. He described his risk tolerance as 'aggressive' on his investor profile and stated that his investment objectives were 'long-term growth and diversification beyond public equities.' His time horizon for the assets in question was 10 to 15 years. He specifically told his advisor, Rachel Simmons at Crestpoint Wealth Advisors, that he was interested in gaining exposure to private real estate because he felt his portfolio was too concentrated in technology stocks and public markets. In February 2023, Simmons recommended that David invest \$200,000 -- roughly 2.8% of his total net worth -- into a non-traded real estate investment trust (REIT) focused on multifamily residential properties across the Sun Belt region. The REIT had a minimum holding period of seven years, limited redemption provisions (quarterly redemptions capped at 5% of outstanding shares per quarter, subject to board discretion), an upfront sales load of 3.5%, annual management fees of 1.25%, and a target annual distribution of 5.5%. Before making the recommendation, Simmons provided David with the offering memorandum and a separate summary document she prepared that outlined the illiquidity constraints, the fee structure, the speculative nature of the projected returns, the risks specific to real estate (vacancy, interest rate sensitivity, geographic concentration), and the possibility that he could lose some or all of his investment. She documented a 45-minute conversation in which they discussed these risks, as well as how the investment fit within David's overall portfolio allocation and diversification goals. David signed a written acknowledgment that he understood the illiquidity provisions and the risks involved. Simmons also reviewed David's liquidity needs and confirmed that his \$400,000 in cash reserves and his ongoing high income were more than sufficient to meet any foreseeable short- or medium-term expenses without needing to access the REIT investment. She considered two alternative products -- a publicly traded REIT ETF and a private real estate fund with a higher minimum and longer lockup -- and documented her rationale for why the non-traded REIT was the most appropriate option given David's stated preferences for direct real estate exposure without public market correlation, his liquidity profile, and his investment horizon. The investment has performed in line with projections through early 2024, distributing approximately 5.3% annualized, and David has expressed satisfaction with the recommendation.

## Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

## Answer

No, Rachel Simmons acted in compliance with applicable suitability and best interest standards.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires reasonable-basis, customer-specific, and quantitative suitability for any recommended transaction or strategy.

2. **Regulation Best Interest (Reg BI):** Since the recommendation was made in February 2023, Reg BI applies. Its four component obligations are: (a) the Disclosure Obligation, (b) the Care Obligation, (c) the Conflict of Interest Obligation, and (d) the Compliance Obligation.

3. **FINRA Regulatory Notices on Non-Traded REITs:** FINRA has issued guidance (e.g., Regulatory Notice 15-02) emphasizing enhanced suitability scrutiny for illiquid, complex products like non-traded REITs, including concentration limits, thorough disclosure of fees and liquidity restrictions, and consideration of the customer's overall financial situation and need for liquidity.

**Analysis:**

- **Care Obligation / Customer-Specific Suitability:** David's profile strongly supports this recommendation. He is a high-income, high-net-worth individual (\$7.2 million net worth, \$620,000 annual income) with an aggressive risk tolerance, a 10-15 year time horizon, significant investment experience, and an MBA-level financial sophistication. The \$200,000 investment represents only 2.8% of his net worth -- a modest allocation that does not create concentration risk. His \$400,000 in cash reserves and high ongoing income ensure he has ample liquidity to meet foreseeable needs without accessing the illiquid REIT.

- **Reasonable-Basis Suitability:** Simmons understood the product's characteristics, including its fee structure, illiquidity provisions, redemption limitations, underlying real estate strategy, and risk factors. She reviewed the offering memorandum and prepared a summary document, demonstrating adequate due diligence.

- **Disclosure Obligation:** Simmons provided comprehensive disclosure of the material risks, including illiquidity, the seven-year minimum holding period, limited quarterly redemptions subject to board discretion, the 3.5% upfront sales load, the 1.25% annual management fee, speculative return projections, and real estate-specific risks. She documented a 45-minute discussion and obtained a signed written acknowledgment from David.

- **Consideration of Alternatives:** Simmons considered and documented her analysis of two alternative products -- a publicly traded REIT ETF and a different private real estate fund -- and articulated why the recommended non-traded REIT best matched David's stated objectives (direct real estate exposure, reduced public market correlation, appropriate lockup relative to his time horizon, and reasonable minimum investment). This demonstrates compliance with Reg BI's requirement to consider reasonably available alternatives.

- **Conflict of Interest Obligation:** While the 3.5% front-end load could present a conflict (as the firm and advisor may earn higher compensation on non-traded REITs versus publicly traded alternatives), Simmons disclosed the fee structure and documented an investment rationale grounded in the client's objectives rather than compensation incentives.

- **Concentration:** At 2.8% of net worth, the allocation falls well within any reasonable concentration guideline for illiquid alternative investments, and it actually serves to reduce David's existing concentration in technology equities.

**Likely Regulatory Outcome:** No violation would be found. Simmons's recommendation was well-documented, appropriately disclosed, suitable for the customer's profile, and made with evident care and diligence. This scenario exemplifies compliant placement of an illiquid product with a sophisticated, high-net-worth client who has appropriate risk tolerance, time horizon, and liquidity reserves. A regulator reviewing this transaction would find no basis for enforcement action.

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**Item 240 of 499****NON-COMPLIANT****Topic:** bond\_duration\_mismatch**Difficulty:** medium**Fact Pattern**

Margaret Thornton, age 74, is a retired school librarian living in Tallahassee, Florida. She has a fixed income of \$2,800 per month from Social Security and a small pension. Her total liquid savings amount to \$340,000, held in a brokerage account at Southeast Capital Partners. Mrs. Thornton told her financial advisor, Dale Kershaw, that she needed to generate stable income to supplement her monthly expenses and that she could not afford to lose principal because the \$340,000 represented nearly all of her life savings. Her account documents list her risk tolerance as 'conservative' and her investment time horizon as '1 to 3 years,' reflecting her desire to access funds for potential assisted-living costs in the near future. In March 2023, Kershaw recommended that Mrs. Thornton invest \$280,000 -- roughly 82% of her liquid assets -- into a portfolio of long-duration U.S. Treasury bonds and zero-coupon bonds with maturities ranging from 20 to 30 years. Kershaw told her these were 'the safest bonds in the world, backed by the U.S. government,' and emphasized the higher yields compared to shorter-term instruments. He did not explain that long-duration bonds are highly sensitive to interest rate movements or that her portfolio's effective duration would be approximately 22 years. He earned a markup of 1.2% on the bond transactions, totaling \$3,360 in compensation. Over the following nine months, as interest rates continued to rise, the market value of Mrs. Thornton's bond portfolio declined by approximately \$58,000, a loss of roughly 20.7%. When Mrs. Thornton contacted Kershaw in December 2023 expressing alarm about her account statements, he advised her to 'just hold on' and that the bonds would eventually pay back at par. However, Mrs. Thornton's family informed the firm that she was being evaluated for memory-care placement and would likely need access to a significant portion of her funds within six to twelve months. Selling the bonds at that point would lock in substantial losses.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Dale Kershaw likely violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile. This includes three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:\*\*** Effective since June 30, 2020, Reg BI requires broker-dealers to act in the best interest of retail customers when making recommendations, without placing the financial interest of the broker ahead of the customer. It includes a Care Obligation, a Disclosure Obligation, a Conflict of Interest Obligation, and a Compliance Obligation.

**\*\*Analysis:\*\***

**\*\*Care Obligation Violation (Reg BI):\*\*** The Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations. Mrs. Thornton's profile -- age 74, conservative risk tolerance, 1-to-3-year time horizon, near-total dependence on her savings -- clearly called for short-duration, highly liquid, capital-preservation instruments such as short-term Treasuries, CDs, or money market funds. Recommending that 82% of her liquid assets be placed into bonds with 20-to-30-year maturities and an effective duration of approximately 22 years created enormous interest rate risk wholly inconsistent with her stated needs and profile. The duration mismatch between her investment time horizon (1-3 years) and the portfolio duration (22 years) is a textbook mismatch. A reasonable advisor exercising diligence would have recognized that in a rising-rate environment, long-duration bonds could suffer severe mark-to-market losses, and that a client who may need liquidity in the near term would be forced to sell at a loss.

**\*\*Customer-Specific Suitability Violation (FINRA Rule 2111):\*\*** The recommendation failed customer-specific suitability. Mrs. Thornton's conservative risk tolerance, short time horizon, income needs, and limited total assets all pointed away from a concentrated position in long-duration bonds. The fact that Treasury bonds are backed by the U.S. government is irrelevant to duration risk -- while there is no credit risk, there is substantial market risk if bonds must be sold before maturity.

**\*\*Disclosure Obligation Violation (Reg BI):\*\*** Kershaw failed to disclose or adequately explain the material risk of duration -- specifically, how sensitive long-duration bonds are to interest rate changes. Telling a client that government bonds are 'the safest in the world' without explaining interest rate risk is materially misleading and omits information necessary for the client to make an informed decision.

**\*\*Conflict of Interest Obligation:\*\*** The 1.2% markup (\$3,360) provided financial incentive to recommend the longer-duration bonds, which typically carry higher markups than short-term instruments. While the markup alone may not be excessive, it created a conflict that was likely not disclosed.

**\*\*Concentration Risk:\*\*** Placing 82% of a 74-year-old conservative client's liquid assets into a single asset class with extreme duration exposure also raises concentration concerns under both FINRA Rule 2111 and Reg BI's Care Obligation.

**\*\*Likely Regulatory Outcome:\*\*** This fact pattern would likely result in FINRA enforcement action or an SEC examination referral. Kershaw could face sanctions including fines, disgorgement of the markup, suspension, or a bar from the industry. The firm, Southeast Capital Partners, could face supervisory failure charges under FINRA Rule 3110 if it failed to flag the obvious mismatch between the customer profile and the recommended securities. Mrs. Thornton would likely prevail in a FINRA arbitration claim seeking compensatory damages for the approximately \$58,000 in losses plus the markup costs.

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## Item 241 of 499

### NON-COMPLIANT

**Topic:** illiquid\_real\_estate\_investment

**Difficulty:** hard

### Fact Pattern

Dr. Priya Anand, age 39, is a radiologist earning approximately \$410,000 annually. She and her husband, Rohan (age 41, a software engineer earning \$185,000), have combined liquid investment assets of approximately \$1.2 million, a home valued at \$850,000 with \$420,000 remaining on the mortgage, and \$680,000 in retirement accounts. They have two children, ages 4 and 7, and are saving for private school tuition beginning in 2025, estimated at \$38,000 per year per child. Their advisor, Connor Bledsoe of Pinnacle Wealth Advisors, is dually registered as both a broker-dealer representative and an investment adviser representative. Over a series of meetings in early 2023, Bledsoe recommended the Anands invest \$500,000 -- approximately 42% of their liquid assets -- into the Meridian Commercial Real Estate Fund III, a non-traded real estate investment trust (REIT). The fund invests in a portfolio of commercial office and retail properties, has a minimum seven-year hold period with no redemption program during the first three years, charges a 7% upfront sales load, and carries annual management and advisory fees totaling 2.8%. Bledsoe earned a commission of \$35,000 (7% of the \$500,000 investment). Bledsoe told the Anands the fund offered 'stable, tax-advantaged income around 6%' and described it as a way to 'diversify away from the stock market.' He provided them with a glossy marketing brochure but did not walk them through the fund's prospectus or private placement memorandum in detail. He did not discuss the fund's significant illiquidity, the lack of a secondary market, the impact of the 7% front-end load on their effective returns, or the risk that commercial office properties were experiencing rising vacancy rates in a post-pandemic environment. He also did not discuss alternative liquid REIT options that could have offered real estate exposure with daily liquidity at a fraction of the cost. By late 2023, the fund suspended its distribution payments, citing declining occupancy rates across its portfolio. In January 2024, the fund's board announced a write-down of net asset value by 18%, reducing the Anands' position to approximately \$381,700 on paper (after the initial load and the NAV reduction). The Anands, now facing the first private school tuition bills in the fall of 2025, cannot access the capital and are forced to liquidate other investments at an inopportune time. Dr. Anand filed a complaint with the firm stating that Bledsoe never explained the risks of illiquidity or the possibility that distributions could be suspended.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Connor Bledsoe likely violated multiple applicable standards, and the analysis is complicated by his dual registration status.

**\*\*Applicable Standards:\*\***

1. **\*\*Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:\*\*** As a broker-dealer representative recommending a securities transaction (the non-traded REIT), Bledsoe was subject to Reg BI's obligations when acting in his broker-dealer capacity for this commission-based sale.
2. **\*\*FINRA Rule 2111 (Suitability):\*\*** FINRA's suitability rule applies to the recommendation of a non-traded REIT, which is a security. All three suitability obligations -- reasonable-basis, customer-specific, and quantitative -- are

implicated.

3. **FINRA Rule 2310 (Direct Participation Programs):** Non-traded REITs are treated as direct participation programs (DPPs) under FINRA rules. Rule 2310 imposes specific suitability requirements, including that the member or associated person must have reasonable grounds to believe the program is suitable based on the customer's financial situation, including tax status, investment objectives, and other holdings.

4. **Investment Advisers Act Fiduciary Duty:** If Bledsoe was acting in his investment adviser capacity (given his dual registration and the advisory relationship), he owed the Anands a fiduciary duty of care and loyalty under the federal fiduciary standard applicable to investment advisers, requiring him to act in the clients' best interest, provide full and fair disclosure of all material facts, and avoid or disclose conflicts of interest.

5. **FINRA Regulatory Notices 12-03 and 15-02:** FINRA has issued extensive guidance on non-traded REITs, emphasizing the need for advisors to ensure customers understand illiquidity, fees, distribution sustainability, and the lack of a secondary market.

**Analysis:**

**Care Obligation / Customer-Specific Suitability Violation:** The Anands had a known, near-term liquidity need -- \$76,000 per year in private school tuition starting in approximately two years. Investing 42% of their liquid assets into a product with a seven-year minimum hold period and no redemptions for three years directly conflicted with this requirement. A reasonable advisor exercising care would have recognized that the illiquidity profile of the Meridian Fund was fundamentally incompatible with the Anands' financial plan. Even though the Anands are relatively high-income and have substantial assets, the concentration of 42% of liquid assets in a single illiquid product is excessive given their documented cash flow needs.

**Reasonable-Basis Suitability Violation:** Non-traded REITs concentrated in commercial office and retail properties in 2023 presented elevated risk due to well-documented post-pandemic trends of remote work, rising vacancy rates, and declining commercial property valuations. A reasonable due diligence inquiry should have raised red flags about the sustainability of a 6% distribution in this environment. The subsequent suspension of distributions and 18% NAV write-down suggests the product's risk profile was not adequately evaluated.

**Disclosure Obligation Violation (Reg BI):** Bledsoe failed to disclose or explain multiple material facts: (a) the product's extreme illiquidity and lack of a secondary market; (b) the impact of the 7% front-end load, which meant the Anands' \$500,000 investment immediately had a cost basis effectively reduced to \$465,000 in invested capital; (c) the risk that distributions could be funded from sources other than operating income and could be suspended; (d) the elevated risks facing commercial office real estate. Providing a marketing brochure without walking clients through the PPM or prospectus does not satisfy disclosure obligations.

**Conflict of Interest Obligation Violation (Reg BI) / Fiduciary Duty of Loyalty:** Bledsoe earned \$35,000 in commission -- a substantial financial incentive that likely influenced his recommendation. Under Reg BI, this conflict must be disclosed and mitigated. Under a fiduciary standard (if acting as an investment adviser), the conflict must be fully disclosed and the advisor must demonstrate that the recommendation was in the client's best interest despite the conflict. Bledsoe failed to discuss lower-cost, liquid REIT alternatives (such as publicly traded REITs or REIT index funds with expense ratios below 0.15%) that could have provided similar real estate exposure without illiquidity or exorbitant fees.

**Concentration Risk:** FINRA and multiple state regulators have established concentration limits for non-traded REITs, often at 10% of liquid net worth for non-accredited investors and higher but still capped percentages for accredited investors. At 42% of liquid assets, this allocation is likely excessive even for accredited investors under most state

suitability standards (e.g., many states cap non-traded REIT exposure at 10-25% of net worth excluding home equity).

**\*\*Supervisory Failures:\*\*** Pinnacle Wealth Advisors may face liability under FINRA Rule 3110 for failure to supervise. A \$500,000 allocation to a non-traded REIT for clients with near-term liquidity needs should have been flagged by the firm's supervisory and compliance review processes.

**\*\*Likely Regulatory Outcome:\*\*** This fact pattern presents strong grounds for FINRA arbitration, a state securities regulator complaint, and potential SEC examination referral. Bledsoe faces potential sanctions including fines, disgorgement of the \$35,000 commission, suspension, or a bar. The Anands' damages include the approximately \$118,300 in losses to date (\$500,000 minus the current \$381,700 paper value), plus the \$35,000 in excessive front-end loads, plus consequential damages from being forced to liquidate other investments to meet tuition obligations. In FINRA arbitration, claimants in similar non-traded REIT cases have frequently been awarded compensatory damages, and in egregious cases, panels have awarded attorneys' fees. The firm itself is jointly liable for Bledsoe's conduct and its own supervisory failures.

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**Item 242 of 499****NON-COMPLIANT****Topic:** bond\_duration\_mismatch**Difficulty:** medium**Fact Pattern**

Margaret Holloway, age 74, is a retired school librarian living in Tallahassee, Florida. She has a fixed annual income of \$36,000 from Social Security and a small pension. Her total liquid savings amount to \$410,000, representing her life savings and the proceeds from the sale of her late husband's home. In March 2022, Margaret met with her financial advisor, Derek Simmons, at a regional brokerage office. She told Derek that she needed her portfolio to generate steady income to supplement her pension and Social Security, that she could not afford to lose principal, and that she expected to begin drawing \$2,500 per month from the account within 18 months to cover assisted living expenses she anticipated needing by late 2023. Her new account form listed her risk tolerance as conservative, her investment objective as income with capital preservation, and her time horizon as short-term (1-3 years). Despite these stated needs, Derek recommended that Margaret invest \$340,000 -- roughly 83% of her liquid assets -- into a portfolio of long-duration U.S. Treasury bonds and a long-term Treasury bond ETF with an effective duration of approximately 24 years. He told Margaret that Treasuries were 'the safest investment in the world' and emphasized that they were backed by the U.S. government. He did not explain the concept of duration risk, the inverse relationship between interest rates and bond prices, or the fact that the Federal Reserve had already begun raising rates aggressively. By October 2023, when Margaret needed to begin liquidating assets for her assisted living costs, the long-duration Treasury portfolio had declined in market value by approximately \$88,000, a loss of roughly 26%. Margaret was forced to sell positions at a substantial loss to meet her living expenses. Derek earned \$6,200 in commissions on the initial bond and ETF purchases.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Simmons violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on that customer's investment profile, including age, financial situation, risk tolerance, time horizon, liquidity needs, and investment objectives. This encompasses reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer), and quantitative suitability.

Under Regulation Best Interest (Reg BI), which took effect June 30, 2020, Derek was required to act in the customer's best interest at the time the recommendation was made, exercising reasonable diligence, care, and skill. The Care Obligation under Reg BI requires the advisor to consider reasonably available alternatives and ensure the recommendation aligns with the customer's stated investment profile.

**\*\*Analysis of Violations:\*\***



1. **\*\*Duration Mismatch / Customer-Specific Suitability:\*\*** Margaret had a short-term time horizon (1-3 years) and an imminent need for liquidity within 18 months. Recommending bonds and bond ETFs with an effective duration of ~24 years created a severe mismatch between her liquidity needs and the interest rate sensitivity of the portfolio. Long-duration bonds are extremely sensitive to rising rates, and this risk was foreseeable given the prevailing rate environment in early 2022.
2. **\*\*Concentration Risk:\*\*** Allocating 83% of her liquid assets to long-duration fixed income instruments left Margaret with virtually no diversification to mitigate duration risk and insufficient short-term reserves to meet her known upcoming expenses.
3. **\*\*Failure to Disclose Material Risks:\*\*** Derek emphasized the credit safety of Treasuries but failed to explain duration risk -- the primary risk relevant to Margaret's situation. While Treasuries carry negligible default risk, their market value is highly sensitive to interest rate changes at long durations. This omission is a violation of the Disclosure Obligation under Reg BI, which requires disclosure of all material facts relating to the recommendation, including risks.
4. **\*\*Reasonable-Basis Suitability:\*\*** A competent advisor should understand that long-duration bonds are inappropriate for a client who needs principal access in the near term, particularly in a rising-rate environment. Derek failed to demonstrate reasonable diligence in understanding the product risks.
5. **\*\*Care Obligation under Reg BI:\*\*** Derek did not consider reasonably available alternatives -- such as short-duration bonds, money market funds, CDs, or Treasury bills -- that would have aligned with Margaret's conservative risk profile, income needs, and short time horizon.

**\*\*Likely Regulatory Outcome:\*\*** This fact pattern would likely result in a FINRA enforcement action or arbitration award in Margaret's favor. The \$88,000 loss was directly attributable to the duration mismatch. Derek would face potential sanctions including restitution, fines, and a possible suspension. The brokerage firm could face supervisory failure charges under FINRA Rule 3110 if it failed to flag the concentration and duration mismatch during review.

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**Item 243 of 499****NON-COMPLIANT****Topic:** reverse\_churning**Difficulty:** hard**Fact Pattern**

James Whitfield, age 52, is a successful orthodontist in Charlotte, North Carolina, earning approximately \$475,000 annually. He has accumulated \$1.8 million in a taxable investment account at a national wealth management firm. In January 2021, his financial advisor, Carolyn Reese, recommended that James move his existing commission-based brokerage account into a fee-based advisory account that charged 1.35% annually on assets under management, or approximately \$24,300 per year. Carolyn told James that the advisory account would provide 'ongoing portfolio monitoring, quarterly rebalancing, and access to our firm's proprietary research and model portfolios.' James agreed and signed the advisory agreement. Over the following three years (January 2021 through December 2023), account records show the following activity: In 2021, Carolyn placed James's assets into a diversified allocation of six low-cost index ETFs and made no further trades for the remainder of the year. In 2022, she rebalanced the portfolio once in June, executing four trades totaling \$62,000 in reallocation. In 2023, she again rebalanced once in March, executing three trades totaling \$48,000. Over the three-year period, the total number of trades was 13 (including the initial allocation), and the total advisory fees paid by James were approximately \$75,600. If James had remained in his prior commission-based account and executed the same 13 trades, his total commission costs would have been approximately \$1,950. Carolyn's notes in the firm's CRM system show only two brief phone calls with James during the entire three-year period -- one in late 2021 and one in mid-2022 -- each lasting under ten minutes. There is no documented evidence of financial planning services, tax-loss harvesting, estate planning coordination, insurance review, or any other advisory services beyond the two annual rebalances. James's investment profile lists his risk tolerance as moderate, his objective as long-term growth, and he has no unusual financial circumstances or liquidity needs. The portfolio performed roughly in line with its benchmark index over the period.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Carolyn Reese's conduct constitutes reverse churning -- collecting ongoing asset-based fees without providing a level of advisory services that justifies the fee structure -- in violation of applicable standards.

**\*\*Applicable Standards:\*\***

As a financial advisor operating in a fee-based advisory account, Carolyn owes fiduciary duties under the Investment Advisers Act of 1940, including the duties of care and loyalty. She is obligated to act in the client's best interest and to ensure that the compensation model she recommends is appropriate given the anticipated level of services and trading activity.

Regulation Best Interest (Reg BI) also applies to the extent the recommendation to switch from a commission-based to a fee-based account constitutes a recommendation of an account type. The Care Obligation under Reg BI requires the advisor to evaluate whether the recommended account type is in the customer's best interest, considering reasonably available alternatives, including remaining in the existing commission-based arrangement.

FINRA has also identified reverse churning as a potential concern, particularly where an advisor recommends a fee-based account and then engages in minimal activity that does not justify the ongoing fee.

**\*\*Analysis of Violations:\*\***

1. **\*\*Account Type Recommendation:\*\*** The initial recommendation to move James from a commission-based account to a fee-based advisory account was not in his best interest. James's investment approach -- a buy-and-hold strategy using low-cost index ETFs with infrequent rebalancing -- is the type of passive management that is far more cost-effective in a commission-based account. The fee differential is stark: \$75,600 in advisory fees versus approximately \$1,950 in commissions for equivalent trading activity over three years, a difference of roughly \$73,650.

2. **\*\*Inadequate Services to Justify Fees:\*\*** Carolyn promised ongoing monitoring, quarterly rebalancing, and access to research. In practice, she rebalanced only twice per year (not quarterly), had only two brief client contacts over three years, and provided no documented financial planning, tax optimization, estate coordination, or any other value-added advisory service. The services actually delivered do not justify a 1.35% annual fee.

3. **\*\*Duty of Care (Fiduciary Standard):\*\*** Under the fiduciary standard applicable to investment advisers, Carolyn had a duty to recommend the compensation structure that was in James's best interest. She failed to evaluate whether the advisory fee structure was appropriate for a client whose account required minimal active management. A reasonable advisor exercising due care would have recognized that a commission-based account was significantly more cost-effective for James's needs.

4. **\*\*Duty of Loyalty / Conflict of Interest:\*\*** Carolyn had a financial incentive to recommend the fee-based account because it generated \$24,300 per year in predictable revenue compared to sporadic and minimal commissions. This conflict of interest should have been disclosed, and the recommendation should not have been made if it was not in the client's best interest.

5. **\*\*Reg BI Care Obligation:\*\*** Even under the broker-dealer standard at the time of the account-type recommendation, Carolyn was required to consider costs relative to reasonably available alternatives. The cost disparity of approximately 39:1 (\$75,600 vs. \$1,950) strongly suggests the fee-based account was not in James's best interest.

**\*\*Likely Regulatory Outcome:\*\*** Reverse churning cases have drawn increasing regulatory attention. James would likely prevail in a FINRA arbitration claim seeking restitution of the excess fees (approximately \$73,650). The SEC or a state securities regulator could bring an enforcement action against Carolyn and her firm for breach of fiduciary duty. The firm could face additional liability under its supervisory obligations if it failed to monitor fee-based accounts for adequate service levels relative to fees charged. Carolyn could face sanctions including disgorgement, fines, and potential suspension or bar depending on the scope of the conduct across her client base.

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**Item 244 of 499****NON-COMPLIANT****Topic:** leveraged\_etf\_unsuitable**Difficulty:** medium**Fact Pattern**

Margaret Dawson, age 78, is a retired elementary school teacher in Tucson, Arizona. She lives on a fixed income consisting of \$1,850 per month in Social Security and a small pension of \$1,100 per month. Her total liquid savings amounted to approximately \$310,000, held in a brokerage account that she opened in 2019 primarily to hold certificates of deposit and Treasury bonds. Her account application listed her risk tolerance as 'conservative,' her investment objective as 'preservation of capital and income,' her investment time horizon as 'short-term (1-3 years),' and her investment experience as 'limited.' She had no prior experience with exchange-traded funds, options, or derivatives of any kind. In March 2024, her financial advisor, Craig Muller, recommended that she liquidate \$245,000 of her Treasury bond holdings and invest the proceeds into a 3x leveraged inverse ETF tracking the Nasdaq-100 index. Muller told Mrs. Dawson that the product would 'protect her money if the market went down' and described it as a 'hedge.' He did not explain the daily reset mechanism, the effects of volatility decay, or the fact that the product was designed for short-term tactical trading and not as a long-term holding. Muller executed the purchase and did not set any stop-loss orders or establish a monitoring schedule. Mrs. Dawson held the position for approximately five months. During that period, the Nasdaq-100 experienced significant volatility but ultimately rose modestly. Due to the compounding effects of daily rebalancing, Mrs. Dawson's \$245,000 investment lost approximately \$87,000 in value -- a decline of roughly 35.5% -- even though the underlying index only gained about 6% over the same period. When Mrs. Dawson called Muller in August 2024 alarmed by her statement, he told her to 'hang tight' and that the position would 'come back.' She liquidated the position in October 2024 at a total loss of \$104,000. The leveraged inverse ETF carried an expense ratio of 1.05%, and Muller earned a front-end commission of \$4,900 on the trade.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Craig Muller committed multiple serious violations. Under FINRA Rule 2111 (Suitability), an advisor must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. Mrs. Dawson's profile -- a 78-year-old retired teacher with limited investment experience, conservative risk tolerance, a preservation-of-capital objective, and a short-term time horizon -- is fundamentally incompatible with a 3x leveraged inverse ETF. These products are designed for sophisticated, active traders who monitor positions daily and understand the daily reset mechanism and the mathematical certainty of volatility decay over holding periods beyond one day. FINRA has issued targeted guidance (Regulatory Notice 09-31) specifically warning that leveraged and inverse ETFs are typically unsuitable for retail investors who plan to hold them for longer than one trading session. Muller also violated the reasonable-basis suitability component by apparently failing to understand the product himself; his characterization of it as a simple 'hedge' was materially misleading. Under Regulation Best Interest (Reg BI), the Care Obligation requires a broker-dealer and its associated persons to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and ensuring the recommendation is in the customer's best interest without placing the advisor's financial interest ahead of the customer's. The \$4,900 commission Muller earned suggests a financial incentive that was not disclosed or mitigated. The Disclosure Obligation under Reg BI also required full and fair disclosure of all material facts relating to the recommendation, including the risks of daily

compounding and the unsuitability of the product as a long-term holding -- disclosures Muller failed to make. The concentration of nearly 79% of Mrs. Dawson's liquid assets in a single speculative leveraged product further compounds the quantitative unsuitability. The likely regulatory outcome would include customer restitution of approximately \$104,000, disgorgement of the \$4,900 commission, a fine, a lengthy suspension, and potentially a permanent bar from the industry given the egregious nature of the misconduct involving an elderly, unsophisticated investor.

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**Item 245 of 499****COMPLIANT****Topic:** leveraged\_etf\_unsuitable**Difficulty:** hard**Fact Pattern**

Derek Yoon, age 34, is a quantitative software engineer at a hedge fund in New York City. He earns approximately \$425,000 per year in total compensation and has a net worth of approximately \$2.1 million, including \$1.4 million in liquid brokerage and trading accounts. He holds a Master's degree in financial engineering from Columbia University and has actively traded options, futures, and leveraged products for over eight years in his personal accounts. His brokerage account application lists his risk tolerance as 'aggressive,' his investment objective as 'speculation/trading,' and his time horizon as 'short-term.' In January 2024, Derek's financial advisor, Samantha Lee, discussed a short-term tactical trade with him. The S&P 500 had rallied sharply over the prior quarter, and Derek expressed a view that a near-term pullback of 3-5% was likely based on his own quantitative models analyzing mean-reversion signals. He asked Samantha to help him allocate \$60,000 -- roughly 4.3% of his liquid portfolio -- into a 3x leveraged inverse S&P 500 ETF as a tactical short-duration trade. Samantha reviewed his account profile, confirmed his extensive experience with leveraged instruments, and discussed the specific risks of the product, including daily reset mechanics, volatility drag, and the potential for rapid and outsized losses if the market continued to rally. She documented the conversation in her CRM notes. She also discussed alternatives, including purchasing put options on the S&P 500 index, which would offer defined downside risk but at the cost of a premium. Derek considered the alternatives but preferred the leveraged ETF for its simplicity and the fact that he intended to hold the position for no more than five trading days. Samantha executed the purchase on January 22, 2024. Derek monitored the position daily. The S&P 500 declined approximately 2.1% over the following three trading days. Derek's position gained roughly \$10,800 (approximately 18% return). He instructed Samantha to close the position on January 25, 2024, and she did so promptly. The ETF had an expense ratio of 0.93%. Samantha earned a standard commission of \$49.95 on the buy and sell transactions combined. No other leveraged ETF positions were recommended or opened in Derek's account during the following twelve months.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Samantha Lee acted appropriately and did not violate applicable suitability or best interest standards. Under FINRA Rule 2111, the suitability analysis has three components: reasonable-basis suitability (the advisor must understand the product), customer-specific suitability (the product must be appropriate for the specific customer's profile), and quantitative suitability (the overall pattern of transactions must not be excessive). Samantha satisfied all three. She clearly understood the mechanics of the 3x leveraged inverse ETF, including daily reset, volatility decay, and the product's intended use case as a short-term tactical instrument. Customer-specific suitability was met because Derek Yoon's profile -- a 34-year-old high-income quantitative finance professional with aggressive risk tolerance, a speculation/trading objective, extensive experience trading leveraged and derivative products, and a large liquid portfolio -- aligns precisely with the type of investor for whom leveraged ETFs are designed. The \$60,000 allocation represented only about 4.3% of his liquid assets, posing no concentration risk. The position was held for three trading days, consistent with the product's intended use. Under Regulation Best Interest (Reg BI), the Care Obligation was satisfied because Samantha exercised reasonable diligence, care, and skill: she reviewed Derek's profile, confirmed his experience, discussed the specific risks including daily compounding and potential losses, presented alternative

strategies (put options), and documented the entire interaction. The Disclosure Obligation was met through her thorough discussion of product risks and costs. The Conflict of Interest Obligation is not implicated in any meaningful way given the minimal \$49.95 total commission, which could not reasonably be seen as a financial incentive driving the recommendation. The Compliance Obligation was met through the firm's supervision processes. The fact that this was a customer-initiated idea further supports the conclusion, though even advisor-initiated recommendations would have been appropriate here given the customer profile. No regulatory action would be expected; this represents a textbook example of a leveraged ETF recommendation made to a suitable, sophisticated investor in a manner consistent with the product's design.

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## Item 246 of 499

### NON-COMPLIANT

**Topic:** junk\_bonds\_conservative\_investor

**Difficulty:** easy

### Fact Pattern

Margaret Ellison, age 74, is a retired elementary school teacher in Boise, Idaho. She receives \$2,400 per month from her pension and \$1,850 per month in Social Security benefits. Her total liquid savings amount to \$310,000, held in a brokerage account that she opened in 2019. At account opening, she completed a new account form indicating her risk tolerance as 'conservative,' her investment objective as 'capital preservation and income,' and her investment time horizon as '1-3 years.' She specifically told her financial advisor, Kevin Driscoll, that she could not afford to lose principal because the funds represented her life savings and were earmarked for healthcare expenses and potential assisted living costs. In March 2023, Driscoll recommended that Margaret invest \$220,000 -- approximately 71% of her liquid assets -- into a portfolio of high-yield corporate bonds rated CCC and below, issued by three companies in the energy and retail sectors that had recently been downgraded by credit rating agencies. Driscoll told Margaret these bonds would 'pay much better interest than CDs or Treasuries' and that they were 'basically the same as regular bonds, just with a slightly higher coupon.' He did not explain the default risk, the credit ratings, the liquidity risks, or the historical loss rates associated with deeply speculative-grade debt. The bonds paid an average coupon of 9.2% but carried significant default risk. By December 2023, one of the three issuers had filed for bankruptcy protection and its bonds were trading at 12 cents on the dollar. A second issuer's bonds had dropped to 54 cents on the dollar following a missed interest payment. Margaret's portfolio lost approximately \$118,000 in principal value within nine months. Driscoll earned \$7,800 in commissions on the transactions.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Kevin Driscoll violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and other relevant factors. The rule encompasses three component obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:\*\*** For recommendations made after June 30, 2020, broker-dealers must act in the retail customer's best interest at the time of the recommendation without placing their own financial interest ahead of the customer's interest. This includes the Care Obligation (reasonable diligence, care, and skill in making recommendations), the Disclosure Obligation (material facts about the recommendation including risks and costs), and the Conflict of Interest Obligation.
3. **\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Requires just and equitable principles of trade.



**\*\*Analysis:\*\***

**\*Customer-Specific Suitability / Care Obligation Violation:\*** Margaret's profile is the textbook conservative investor -- a 74-year-old retiree with limited income, a finite pool of savings designated for healthcare and assisted living, a conservative risk tolerance, capital preservation objectives, and a short time horizon. Allocating 71% of her liquid assets to CCC-rated and below junk bonds is fundamentally incompatible with every element of her investment profile. High-yield bonds rated CCC and below carry historical default rates exceeding 25% over five-year periods and exhibit equity-like volatility. This concentration in speculative-grade debt exposed Margaret to catastrophic loss of principal -- the exact outcome she explicitly sought to avoid.

**\*Reasonable-Basis Suitability Violation:\*** No reasonable advisor could conclude that placing the vast majority of an elderly conservative investor's life savings into deeply distressed junk bonds was suitable for any such investor.

**\*Disclosure Obligation Violation:\*** Driscoll mischaracterized the bonds as 'basically the same as regular bonds,' failing to disclose the material risks of default, credit deterioration, illiquidity, and potential total loss of principal. This failure to provide full and fair disclosure of material facts violates the Reg BI Disclosure Obligation.

**\*Conflict of Interest:\*** Driscoll earned \$7,800 in commissions, which may have motivated the recommendation of higher-yielding, higher-commission products over safer alternatives like Treasury bonds or CDs that would have been aligned with Margaret's stated objectives.

**\*\*Likely Regulatory Outcome:\*\*** This case presents clear and egregious violations. FINRA would likely impose a significant fine, restitution of losses, and a suspension or bar for Driscoll. The customer would also have a strong FINRA arbitration claim for damages including the \$118,000 in principal losses, consequential damages, and potentially punitive damages given the degree of misconduct and vulnerability of the customer.

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## Item 247 of 499

### NON-COMPLIANT

**Topic:** crypto\_assets\_unsuitable

**Difficulty:** hard

### Fact Pattern

Dorothy Nguyen, age 72, was widowed in January 2022 after her husband passed away from pancreatic cancer. She received a \$485,000 life insurance payout and had an existing retirement account worth \$190,000, bringing her total investable assets to approximately \$675,000. Her only income sources were \$2,100 per month in Social Security survivor benefits and a small part-time bookkeeping job paying \$800 per month. She had no prior investment experience beyond a savings account and the retirement fund her late husband had managed. In February 2022, she met with registered representative Brian Colter at a regional brokerage firm after being referred by a friend from her church. Dorothy told Colter she was overwhelmed, had never managed investments before, and needed the money to last the rest of her life. She indicated on her account documents that her risk tolerance was 'low,' her investment objective was 'income and preservation of capital,' and her time horizon was 'long-term' since she expected to need the funds over 15-20 years. She also mentioned she had a grandchild with special needs for whom she hoped to leave some inheritance.

Between March 2022 and February 2024, Colter executed 347 transactions in Dorothy's account, the vast majority involving cryptocurrency-related products and speculative digital asset trusts. He initially placed \$95,000 into a Bitcoin trust product and \$60,000 into an Ethereum trust product in March 2022, telling Dorothy these were 'the future of money' and 'better than gold for protecting against inflation.' Over the following 23 months, Colter actively traded in and out of these positions and added allocations to several smaller altcoin trust products and blockchain-themed ETFs. He also moved \$120,000 into leveraged crypto ETFs that used derivatives to amplify daily returns of digital asset indexes. At its peak, approximately \$410,000 of Dorothy's \$675,000 -- about 61% -- was allocated to cryptocurrency-related investments.

The frequency of trading was extraordinary. Colter's 347 transactions over 24 months generated a turnover rate of approximately 8.4 and a cost-to-equity ratio of roughly 29%. Total commissions and markups paid by Dorothy over this period were \$87,200. Dorothy was not informed about the cumulative commissions, the risks of leveraged products, or the extreme volatility history of cryptocurrency markets. Colter told her the frequent trading was necessary to 'capture momentum' and 'rebalance around market events.'

By February 2024, Dorothy's account had declined to \$341,000 -- a loss of \$334,000 from her original \$675,000 in assets, accounting for the \$87,200 in transaction costs and approximately \$246,800 in market losses on the crypto positions. Dorothy only discovered the extent of the damage when her daughter reviewed the account statements and confronted Colter, who responded that 'crypto is volatile but it always comes back.' Dorothy's remaining assets are now insufficient to cover her projected living expenses, and she has been forced to abandon plans to set aside an inheritance for her special-needs grandchild.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Brian Colter committed multiple serious violations spanning suitability, best interest, and excessive trading

standards.

**\*\*Applicable Standards:\*\***

1. **\*\*Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:\*\*** As all recommendations occurred after Reg BI's June 30, 2020 effective date, Colter was required to act in Dorothy's best interest at the time of each recommendation. This includes the Care Obligation, Disclosure Obligation, and Conflict of Interest Obligation.
2. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires reasonable-basis, customer-specific, and quantitative suitability for every recommended transaction or strategy.
3. **\*\*FINRA Rule 2111.05(c) (Quantitative Suitability):\*\*** Addresses excessive trading (churning). A representative who exercises de facto control over a customer account and engages in excessive trading violates quantitative suitability.
4. **\*\*FINRA Rule 2010 (Standards of Commercial Honor and Principles of Just and Equitable Trade):\*\***
5. **\*\*FINRA Regulatory Notice 22-08 (Complex Products):\*\*** FINRA has expressed heightened concerns about the sale of complex and leveraged products to retail investors, emphasizing the need for a reasonable basis to believe the customer can understand and bear the risks.

**\*\*Detailed Analysis:\*\***

**\*I. Customer-Specific Suitability / Reg BI Care Obligation -- Crypto Concentration:\***

Dorothy is the paradigmatic vulnerable investor: a 72-year-old recently widowed woman with no investment experience, low risk tolerance, income/preservation objectives, limited income, and a finite pool of assets that must sustain her for the remainder of her life. Cryptocurrency-related investments are among the most volatile and speculative asset classes available. Allocating 61% of her total wealth to crypto trusts, altcoin products, and leveraged crypto ETFs is irreconcilable with every element of her stated investment profile. Even a modest 5-10% allocation to such assets would be questionable for this client; 61% is indefensible.

Leveraged crypto ETFs are particularly unsuitable. These products are designed for short-term tactical trading by sophisticated investors and can suffer severe value decay over holding periods due to daily rebalancing and compounding effects. Recommending \$120,000 of such products to an unsophisticated 72-year-old widow seeking capital preservation constitutes a clear violation of both customer-specific suitability and the Reg BI Care Obligation.

**\*II. Quantitative Suitability -- Excessive Trading (Churning):\***

The 347 transactions over 24 months, yielding a turnover rate of 8.4 and a cost-to-equity ratio of approximately 29%, constitute textbook churning. FINRA and the courts have consistently held that a turnover rate above 6 and/or a cost-to-equity ratio above 20% creates a strong presumption of excessive trading. Here, both thresholds are significantly exceeded. The \$87,200 in commissions represented approximately 12.9% of Dorothy's original assets -- an extraordinary extraction of wealth through transaction costs alone.

De facto control is established by Dorothy's complete lack of investment experience, her reliance on Colter as her only advisor, and her consistent acceptance of his recommendations without independent evaluation. A widowed, unsophisticated 72-year-old who has never managed investments and who was referred through a trusted church contact is precisely the type of client over whom a representative can easily exercise de facto control.

**\*III. Disclosure Obligation Violation:\***

Colter failed to disclose the cumulative commissions being generated, the specific risks of leveraged crypto products (including daily reset risk and compounding decay), and the extreme historical volatility of cryptocurrency markets. His

characterization of crypto as 'the future of money' and 'better than gold' was misleading and omitted material risks. He also failed to explain that frequent trading in commission-based accounts generates costs that create a significant headwind to returns, meaning the account must generate substantial positive returns merely to break even.

**\*IV. Conflict of Interest Obligation Violation:\***

Colter earned \$87,200 in commissions -- a powerful financial incentive to trade frequently and to recommend higher-commission speculative products over lower-cost, more suitable alternatives like bond funds, Treasury securities, or annuities that would have aligned with Dorothy's income and preservation objectives. This conflict was neither disclosed nor mitigated.

**\*V. Reasonable-Basis Suitability:\***

No reasonable financial professional could believe that concentrating a conservative elderly widow's life savings in actively traded speculative cryptocurrency products was suitable for any investor matching Dorothy's profile.

**\*\*Likely Regulatory Outcome:\*\***

This fact pattern involves overlapping violations of extraordinary severity against a highly sympathetic, vulnerable customer. FINRA would very likely pursue an enforcement action resulting in disgorgement of commissions (\$87,200), restitution of all or substantially all losses (\$334,000), substantial fines, and a permanent industry bar for Colter. The firm could face supervisory failure charges under FINRA Rule 3110 for failing to detect the churning pattern and the unsuitable concentration. In a FINRA arbitration, Dorothy would have a very strong claim for compensatory damages (full account losses of \$334,000), interest, costs, and potentially punitive damages given the egregious nature of the misconduct, the vulnerability of the customer, and the scienter implied by the sustained pattern of excessive trading for commission generation.

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## Item 248 of 499

### NON-COMPLIANT

**Topic:** leveraged\_etf\_unsuitable

**Difficulty:** medium

### Fact Pattern

Margaret Hensley, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives a monthly pension of \$2,800 and Social Security payments of \$1,900 per month. Her total liquid savings amount to approximately \$340,000, held in a rollover IRA. She described her investment objectives as capital preservation and income generation, and her risk tolerance questionnaire indicated a conservative profile. She told her financial advisor, Derek Fuentes, that she needed her portfolio to last at least 20 years and could not afford significant losses. In March 2023, Fuentes recommended that Mrs. Hensley allocate \$85,000 -- roughly 25% of her portfolio -- into a 3x leveraged bull ETF tracking the Nasdaq-100 index, and an additional \$50,000 into a 2x leveraged inverse ETF tracking the S&P 500. Fuentes told Mrs. Hensley that the leveraged ETFs would 'turbocharge her returns' and that the inverse ETF would serve as a 'hedge' against market downturns. He did not explain the daily reset mechanism, compounding decay, or the fact that these products are generally designed for short-term trading rather than buy-and-hold strategies. Mrs. Hensley held both positions for nine months. During that period, the 3x leveraged Nasdaq ETF lost approximately 38% of its value due to market volatility and compounding decay, resulting in a loss of roughly \$32,300. The inverse S&P ETF lost approximately 29%, or about \$14,500, as the broader market trended upward during parts of that holding period. In total, Mrs. Hensley suffered approximately \$46,800 in losses on these two positions. She filed a complaint in January 2024, stating she was never told these products could lose value so quickly and that she believed they were similar to regular index funds.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Fuentes violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and liquidity needs. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under Reg BI's Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill in making a recommendation, understanding the potential risks, rewards, and costs of the recommendation, and must have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made, considering the customer's investment profile.
3. **\*\*FINRA Regulatory Notice 09-31 (Leveraged and Inverse ETFs):\*\*** FINRA has specifically warned that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets. The daily reset feature causes returns to deviate significantly from the

stated multiple of the underlying index over holding periods longer than one day due to compounding effects.

**\*\*Analysis of Violations:\*\***

- **\*\*Customer-Specific Suitability / Care Obligation Violation:\*\*** Mrs. Hensley is a 71-year-old retiree with a conservative risk profile, capital preservation and income objectives, and a fixed income. Leveraged and inverse ETFs are among the most volatile and complex exchange-traded products available. Allocating \$135,000 (approximately 40% of her total liquid savings) to such instruments is fundamentally incompatible with her stated needs and risk tolerance. These products carry the risk of rapid, substantial loss -- exactly the outcome Mrs. Hensley explicitly said she could not afford.

- **\*\*Reasonable-Basis Suitability Violation:\*\*** Fuentes either failed to understand or failed to convey the daily reset and compounding decay mechanics of leveraged and inverse ETFs. His characterization of the inverse ETF as a 'hedge' is misleading; leveraged inverse ETFs are not designed to serve as long-term hedging instruments. A properly informed advisor would know these products are designed for active, short-term traders -- not buy-and-hold retirees.

- **\*\*Disclosure Failures:\*\*** Fuentes failed to explain material product features, including daily resetting, volatility decay, and the unsuitability of long-term holding periods. This constitutes a failure to provide adequate disclosure under Reg BI's Disclosure Obligation as well.

- **\*\*Concentration Risk:\*\*** Placing 40% of a conservative retiree's portfolio in high-risk leveraged products represents excessive concentration in unsuitable asset classes.

**\*\*Likely Regulatory Outcome:\*\*** This case presents strong indicators of a suitability violation. FINRA has brought numerous enforcement actions involving leveraged ETFs recommended to conservative or elderly investors. Fuentes would likely face sanctions including fines, disgorgement of commissions, restitution to Mrs. Hensley, and a potential suspension. The firm could also face supervisory failure charges if it lacked adequate procedures to flag leveraged ETF recommendations to elderly, conservative clients.

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**Item 249 of 499****NON-COMPLIANT****Topic:** inappropriate\_risk\_profile**Difficulty:** hard**Fact Pattern**

Carlos Medina, age 58, is a municipal bus driver in Philadelphia earning \$62,000 per year. He has a 401(k) worth approximately \$195,000 and a taxable brokerage account with \$120,000 that he intended to use to supplement his retirement in seven years. In his new account application completed in August 2022 with advisor Janine Whitford at a regional broker-dealer, Medina checked 'moderate' for risk tolerance, 'growth and income' for investment objective, and indicated a 5-10 year time horizon. During their initial meeting, Medina repeatedly emphasized that he could not afford to 'start over' and wanted a diversified portfolio of blue-chip stocks and bond funds. Whitford's firm had recently entered into a revenue-sharing arrangement with Pinnacle Sector Funds, a fund family specializing exclusively in biotechnology and pharmaceutical equities. Under this arrangement, Whitford received an additional 15 basis points on all Pinnacle assets she placed, on top of her standard grid payout. Over the next four months, Whitford systematically moved 92% of Medina's \$120,000 brokerage account -- approximately \$110,400 -- into three Pinnacle Sector Funds, all concentrated in small-cap and mid-cap biotech companies. She told Medina that 'healthcare is the future' and that these funds would provide 'strong long-term growth with some income.' None of the three Pinnacle funds paid dividends; all were classified as aggressive growth with above-average expense ratios of 1.45% to 1.72%. Whitford documented Medina's risk profile in her internal notes as 'aggressive growth' despite the signed account application reflecting moderate risk tolerance. She did not inform Medina about the revenue-sharing arrangement or the additional compensation she received. By May 2023, the biotech sector experienced a significant correction. Medina's account declined to approximately \$74,800, a loss of roughly \$45,200 or 37.6%. When Medina called to express concern, Whitford encouraged him to 'stay the course.' Medina transferred his account to another firm in July 2023 and subsequently filed a complaint.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Janine Whitford committed multiple serious violations of applicable standards governing suitability, best interest, and disclosure obligations.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires reasonable-basis, customer-specific, and quantitative suitability for every recommended transaction or investment strategy. The customer's investment profile -- including risk tolerance, objectives, time horizon, and financial situation -- must form the basis of recommendations.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** As a broker-dealer representative making recommendations to a retail customer after June 30, 2020, Whitford was subject to Reg BI, which includes four component obligations: Disclosure, Care, Conflict of Interest, and Compliance.
3. **\*\*FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade):\*\*** Requires associated persons to observe high standards of commercial honor and just and equitable principles of trade.

4. **FINRA Rule 3110 (Supervision):** The firm may face liability for inadequate supervision if it failed to detect the discrepancy between the customer's documented risk profile and the actual portfolio composition, or failed to monitor revenue-sharing-driven conflicts.

**Detailed Analysis of Violations:**

**1. Customer-Specific Suitability / Care Obligation Violation:**

Medina's signed account documents reflect moderate risk tolerance, growth-and-income objectives, and a 5-10 year time horizon. He verbally requested diversified blue-chip stocks and bond funds. Whitford instead concentrated 92% of his account in aggressive-growth, small-cap and mid-cap biotechnology sector funds that paid no dividends. This recommendation is fundamentally misaligned with every element of Medina's stated investment profile. A 58-year-old nearing retirement with moderate risk tolerance and income needs should not have the vast majority of his taxable account in a single volatile sector. The Care Obligation under Reg BI requires that the recommendation be in the customer's best interest -- this recommendation plainly was not.

**2. Reasonable-Basis Suitability Violation:**

Concentrating 92% of any moderate-risk investor's portfolio in a single sector -- particularly small-cap biotech, which is known for high volatility and speculative risk -- fails reasonable-basis suitability. No reasonable advisor could conclude this concentration was appropriate for any moderate-risk pre-retiree, regardless of the sector's perceived potential.

**3. Falsification of Records:**

Whitford documented Medina's risk profile as 'aggressive growth' in her internal notes despite the customer's signed application clearly indicating 'moderate' risk tolerance. This discrepancy suggests intentional alteration or misrepresentation of the customer's profile to justify unsuitable recommendations. This constitutes a violation of FINRA Rule 2010 and potentially FINRA Rule 4511 (Books and Records), and could be considered fraud under federal securities laws.

**4. Conflict of Interest Violation (Reg BI):**

Reg BI's Conflict of Interest Obligation requires broker-dealers to establish, maintain, and enforce written policies and procedures reasonably designed to identify and mitigate conflicts of interest associated with recommendations. The revenue-sharing arrangement with Pinnacle Sector Funds, which provided Whitford an additional 15 basis points, created a material financial incentive that directly influenced her recommendations. Whitford's concentration of Medina's assets in Pinnacle funds is strong circumstantial evidence that the conflict drove the recommendation.

**5. Disclosure Obligation Violation (Reg BI):**

Whitford failed to disclose the revenue-sharing arrangement and the additional compensation she received from Pinnacle fund placements. Reg BI's Disclosure Obligation requires that the broker-dealer provide, before or at the time of the recommendation, full and fair disclosure of all material facts relating to the scope and terms of the relationship, including material conflicts of interest and compensation arrangements.

**6. Concentration Risk:**

Placing 92% of a client's investable assets in a single sector violates basic diversification principles expected under both suitability and best interest standards. Even if Medina had been an aggressive investor, this level of concentration would raise serious concerns.

**Likely Regulatory Outcome:**

This case involves multiple overlapping violations -- unsuitable recommendations, undisclosed conflicts of interest driven by revenue-sharing compensation, falsified risk profile documentation, and excessive sector concentration for a pre-retiree. Whitford would likely face significant sanctions including substantial fines, disgorgement of all commissions



and revenue-sharing payments earned on the Pinnacle fund placements, full restitution to Medina, and a lengthy suspension or permanent bar from the securities industry. The falsification of the risk profile is particularly egregious and could support a bar. The broker-dealer firm could face supervisory failure charges under FINRA Rule 3110 if it lacked adequate systems to detect the mismatch between customer-signed documents and advisor internal notes, or to monitor the influence of revenue-sharing arrangements on advisor recommendations. FINRA arbitration would likely result in an award in Medina's favor for compensatory damages.

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**Item 250 of 499****NON-COMPLIANT****Topic:** annuity\_unnecessary\_switching**Difficulty:** medium**Fact Pattern**

Margaret Dawson, age 64, is a retired elementary school teacher living in suburban Ohio with an annual pension of \$48,000 and Social Security benefits of \$22,000. She has approximately \$310,000 in a traditional IRA that she rolled over from her employer's 403(b) plan upon retirement in 2021. Her risk tolerance is conservative, and her primary investment objectives are capital preservation and generating supplemental income for living expenses. She is not financially sophisticated and relies heavily on her advisor's guidance. In March 2022, her financial advisor, Bradley Kemp, recommended she surrender her existing variable annuity--held inside the IRA--which she had owned for five years and which carried a remaining surrender charge of 2%. Kemp recommended she purchase a new variable annuity from a different insurance carrier, also to be held inside the same traditional IRA. The new annuity carried a 7-year surrender charge schedule starting at 7% in year one, an annual mortality and expense charge of 1.45%, administrative fees of 0.15%, and underlying sub-account expenses averaging 0.85%. The total annual cost of the new annuity was approximately 2.45%. The old annuity had total annual costs of approximately 1.70% and offered a nearly identical set of investment sub-accounts. Kemp told Margaret the new annuity had a 'better income rider,' but the guaranteed withdrawal benefit on the new product was 4.5% compared to 4.0% on her existing annuity--a difference that would amount to roughly \$1,550 more per year in guaranteed income if she activated the rider. However, the new annuity's income rider carried an additional annual charge of 1.10%, compared to 0.75% for her existing rider, adding \$1,085 in incremental annual fees. Margaret paid a \$6,200 surrender charge on the old annuity at the time of the switch. Kemp earned a commission of \$18,600 on the sale of the new annuity. He did not document any comparative analysis of the two products, nor did he explain to Margaret the full cost implications of the switch, including the new surrender period that would restrict her access to her retirement funds until she was 71 years old.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Bradley Kemp likely violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker have a reasonable basis for believing a recommended transaction is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, and investment objectives. Under the quantitative suitability component, excessive switching of annuities that primarily generates commissions for the broker is a recognized violation.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Under Reg BI's Care Obligation (17 CFR § 240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill when making recommendations. This includes understanding the potential risks, rewards, and costs of the recommendation, and having a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made, without placing the financial interest of the broker ahead of the customer. The Conflict of Interest Obligation also requires that the broker identify, disclose, and mitigate conflicts of interest, including commission-driven incentives.

3. **FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities):** This rule specifically governs variable annuity transactions and imposes heightened requirements for annuity exchanges or replacements. The registered representative must have a reasonable basis for believing that the customer would benefit from the transaction based on a comparison of the existing and proposed annuity, including surrender charges, fees, product features, and benefits. A principal must also review and approve the exchange before execution.

**Analysis of Violations:**

- **Unnecessary Switching / 1035-like Exchange Inside an IRA:** The recommendation to switch variable annuities within a tax-deferred IRA is inherently suspect because the tax-deferral benefit of the annuity is already provided by the IRA wrapper. The marginal benefit of the new annuity must therefore be justified purely on the basis of product features, which is a high bar.

- **Cost-Benefit Analysis Failure:** The net incremental benefit of the new income rider is only approximately \$465 per year (\$1,550 additional guaranteed income minus \$1,085 in additional rider fees). Meanwhile, Margaret paid \$6,200 in surrender charges upfront and faces approximately \$2,325 more per year in total product costs ( $2.45\% + 1.10\%$  rider =  $3.55\%$  total on new vs.  $1.70\% + 0.75\% = 2.45\%$  total on old, a difference of  $1.10\%$  on \$310,000 = \$3,410 incremental annual cost minus the \$1,085 already counted = approximately \$2,325 net additional annual cost beyond the rider comparison). The transaction is a clear net negative for the client.

- **New Surrender Period:** Margaret, age 64, is now locked into a 7-year surrender schedule that restricts access to her primary liquid retirement asset until age 71. Given her conservative risk tolerance and need for supplemental income, this significantly impairs her financial flexibility.

- **Commission Motivation:** Kemp earned \$18,600 in commissions, creating a substantial conflict of interest that does not appear to have been mitigated or properly disclosed.

- **Lack of Documentation:** Kemp failed to document any comparative analysis, which is required under FINRA Rule 2330 for annuity exchanges and under Reg BI's Care Obligation to demonstrate that the recommendation was in the customer's best interest.

- **Inadequate Disclosure:** Kemp did not explain the full cost implications or the new surrender period to Margaret, who is an unsophisticated investor relying on his guidance.

**Likely Regulatory Outcome:** This transaction pattern--switching annuities inside a tax-advantaged account with higher costs, longer surrender periods, minimal incremental benefit, and large commissions--is a well-recognized enforcement priority. Kemp would likely face FINRA disciplinary action including fines, disgorgement of commissions, restitution to the customer, and a potential suspension or bar. The employing broker-dealer could also face supervisory failure charges if the exchange was not properly reviewed and approved by a principal under Rule 2330.

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## Item 251 of 499

### NON-COMPLIANT

**Topic:** illiquid\_real\_estate\_investment

**Difficulty:** hard

### Fact Pattern

Carlos and Diana Medina are a married couple, both aged 42, living in Austin, Texas. Carlos is a software engineer earning \$165,000 per year, and Diana is a freelance graphic designer earning approximately \$55,000 annually. Together, their household income is roughly \$220,000. They have \$95,000 in a joint brokerage account, \$180,000 combined in 401(k) accounts, \$40,000 in a 529 education savings plan for their 8-year-old daughter, and \$30,000 in a savings account serving as their emergency fund. They own a home with \$290,000 remaining on the mortgage. They describe their risk tolerance as moderate, and their primary objectives are long-term growth for retirement, saving for their daughter's college education, and maintaining adequate liquidity for emergencies and potential job transitions--a relevant concern given Diana's variable freelance income. In September 2023, their financial advisor, Nathan Holloway, recommended they invest \$70,000 from their joint brokerage account into a non-traded real estate investment trust (non-traded REIT) focused on commercial office properties. The non-traded REIT had a minimum holding period of approximately 7 years, offered no secondary market for shares, had a share redemption program that was limited to 5% of outstanding shares per quarter and could be suspended at the board's discretion, and charged upfront fees and commissions totaling 12% (approximately \$8,400 on their investment). The REIT's offering documents disclosed that commercial office vacancy rates in its target markets had risen to 18% and were projected to potentially increase due to remote work trends. Holloway told the Medinas the investment would provide 'stable 6-7% annual distributions' and characterized it as 'like owning real estate without the hassle.' He did not discuss the illiquidity risks, the concentration this would create in their portfolio, or the specific risks to commercial office real estate. After the investment, the Medinas' joint brokerage account was reduced to \$25,000, meaning that combined with their \$30,000 emergency fund, they had only \$55,000 in liquid accessible assets--roughly three months of their combined household expenses. By mid-2024, the REIT suspended its distribution payments and its share redemption program, citing declining occupancy in its properties. The Medinas' \$70,000 investment was effectively frozen with no realistic exit path. They contacted Holloway in distress, and he acknowledged he had not reviewed the REIT's offering documents in detail before making the recommendation.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Nathan Holloway violated multiple applicable standards, and this scenario presents a serious, multi-layered failure of his obligations to the Medinas.

**\*\*Applicable Standards:\*\***

1. **\*\*Regulation Best Interest (Reg BI), 17 CFR § 240.15l-1:\*\*** Reg BI imposes four component obligations on broker-dealers making recommendations to retail customers: the Disclosure Obligation, the Care Obligation, the Conflict of Interest Obligation, and the Compliance Obligation.
2. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires reasonable-basis suitability (the advisor must understand the product), customer-specific suitability (the product must be suitable for this particular customer), and quantitative suitability.

3. **FINRA Rule 2310 (Direct Participation Programs):** Governs recommendations of direct participation programs including non-traded REITs, requiring the member to have reasonable grounds for believing the program is suitable based on the customer's financial situation and needs.

4. **FINRA Regulatory Notice 15-02 (Non-Traded REITs):** Provides specific guidance on non-traded REIT recommendations, emphasizing the importance of disclosing illiquidity, front-end fees, and risks specific to the underlying asset class.

5. **Fiduciary Duty (if applicable):** If Holloway held himself out as a financial advisor providing holistic financial planning, he may also be subject to the fiduciary standard under the Investment Advisers Act of 1940, which requires acting in the client's best interest at all times.

**Detailed Analysis of Violations:**

**A. Reasonable-Basis Suitability Failure:** Holloway admitted he had not reviewed the REIT's offering documents in detail before recommending the product. Under FINRA Rule 2111 and Reg BI's Care Obligation, an advisor must perform reasonable diligence to understand the investment product, including its risks, features, costs, and the specific market conditions affecting it. Recommending a complex, illiquid product without reading the offering documents is a textbook reasonable-basis suitability violation. The REIT's own documents disclosed rising office vacancy rates and remote work headwinds--information that would have been material to the recommendation.

**B. Customer-Specific Suitability Failure:** The Medinas had moderate risk tolerance, needed liquidity due to Diana's variable freelance income, and had stated objectives centered on long-term retirement growth, education savings, and emergency preparedness. Investing \$70,000 (approximately 74% of their brokerage account and roughly 20% of their total investable assets) in a single illiquid product with a 7-year minimum holding period directly undermined their liquidity needs. After the investment, they had only approximately three months of expenses in liquid form--far below the commonly recommended six-month emergency fund, especially for a household with variable income. This concentration in a single illiquid alternative investment was unsuitable for their profile.

**C. Inadequate Disclosure:** Holloway characterized the non-traded REIT as providing 'stable 6-7% distributions' and compared it to 'owning real estate without the hassle,' without disclosing the illiquidity risks, the limited and suspendable redemption program, the 12% upfront fee load, or the sector-specific risks to commercial office real estate. Under Reg BI's Disclosure Obligation, the advisor must provide full and fair disclosure of all material facts relating to the recommendation, including costs, conflicts, and risks. The misleading characterization of an inherently risky, illiquid investment as 'stable' compounds this failure.

**D. Excessive Front-End Costs:** The 12% upfront fee load (\$8,400) means the investment must appreciate approximately 13.6% just to break even. Under Reg BI's Care Obligation, the advisor must consider reasonably available alternatives that might achieve the customer's objectives at lower cost. Diversified publicly traded REIT funds or ETFs could have provided real estate exposure with far lower costs and full daily liquidity.

**E. Concentration Risk:** Placing \$70,000 in a single non-traded REIT represents a dangerous concentration. Even if the product were otherwise appropriate, the size of the allocation relative to the Medinas' total portfolio and liquidity needs was excessive.

**F. Conflict of Interest:** The 12% upfront commission structure creates a significant financial incentive for Holloway to recommend this product over lower-cost alternatives. Under Reg BI's Conflict of Interest Obligation, this conflict must be identified, disclosed, and mitigated. There is no indication any of these steps were taken.

**\*\*Likely Regulatory Outcome:\*\*** This case presents clear violations of both FINRA suitability rules and Reg BI. Holloway would likely face FINRA enforcement action resulting in fines, restitution to the Medinas (potentially including the full \$70,000 investment plus the \$8,400 in fees and lost opportunity costs), disgorgement of commissions, and a significant suspension or potential bar from the industry given the egregiousness of recommending a product he admittedly did not understand. The employing broker-dealer could face supervisory failure charges if it did not maintain adequate procedures for reviewing non-traded REIT recommendations. The Medinas would also have a strong claim in FINRA arbitration for compensatory damages.

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**Item 252 of 499****NON-COMPLIANT****Topic:** reverse\_churning**Difficulty:** hard**Fact Pattern**

Margaret Dalton, age 72, is a retired school librarian living in Tucson, Arizona. She receives \$2,100 per month in Social Security and a small pension of \$800 per month. Her total liquid savings amount to \$185,000, held in a rollover IRA. Margaret has a history of chronic kidney disease requiring dialysis three times per week, and she disclosed to her advisor, Kevin Royce, that she routinely needs to make withdrawals of \$3,000 to \$5,000 every few months to cover medical copays, prescription costs, and occasional emergency hospital visits. She described her investment objective as capital preservation with easy access to funds, and her risk tolerance as conservative. In March 2022, Kevin recommended that Margaret move \$140,000 of her IRA into a fee-based advisory account charging an annual wrap fee of 1.35% (approximately \$1,890 per year). Over the next 18 months, Kevin executed only two trades in the account: an initial purchase of a balanced mutual fund and a single rebalancing trade six months later. Meanwhile, Margaret made five separate withdrawals totaling \$22,000 to pay for medical expenses, each time incurring early liquidation processing delays of 5-7 business days because the advisory account required additional paperwork for distributions. Kevin never discussed a commission-based brokerage account or a simple no-load mutual fund arrangement, either of which would have cost Margaret significantly less given the minimal trading activity. By September 2023, Margaret had paid approximately \$2,835 in cumulative advisory fees while receiving virtually no ongoing advisory services, portfolio adjustments, or financial planning. Kevin's branch records show he had 47 other fee-based accounts with similarly low activity levels.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Royce likely violated applicable standards on multiple grounds. Under FINRA Rule 2111 (Suitability) and Regulation Best Interest (Reg BI), a broker-dealer and its associated persons must have a reasonable basis to believe that a recommendation is in the customer's best interest at the time it is made, considering the customer's investment profile, including their financial situation, needs, objectives, and any other relevant circumstances.

First, the recommendation to place Margaret's assets in a fee-based advisory account constitutes classic 'reverse churning.' Reverse churning occurs when a customer is placed in a fee-based account but receives little or no active management or advisory services, causing the customer to pay ongoing asset-based fees that exceed what they would have paid in a commission-based account. Here, Margaret paid approximately \$2,835 in wrap fees over 18 months for only two trades. In a commission-based account, those two trades might have cost \$50-\$150 total in commissions. The cost-to-service ratio is grossly disproportionate.

Under Reg BI's Care Obligation (17 CFR § 240.15l-1(a)(2)(ii)), the advisor must exercise reasonable diligence, care, and skill in making a recommendation, including understanding the reasonably available alternatives. Kevin never presented Margaret with lower-cost alternatives such as a commission-based brokerage account or direct no-load mutual fund investments, despite the fact that her anticipated trading activity was minimal.

Second, Margaret's known medical condition and documented history of frequent emergency withdrawals made

liquidity a paramount concern. The fee-based account structure introduced unnecessary processing delays for distributions, directly conflicting with her stated need for accessible funds. This represents a failure under Reg BI's Customer Investment Profile analysis, which requires consideration of the customer's liquidity needs, time horizon, and other investment profile factors.

Third, under FINRA's account-type suitability requirements, placing a customer in a fee-based account is itself a recommendation subject to suitability analysis. FINRA has specifically identified reverse churning as a potential violation in guidance and enforcement contexts, emphasizing that fee-based accounts must be suitable relative to the expected level of trading activity and services provided.

Fourth, the pattern evidence -- Kevin maintaining 47 other fee-based accounts with similarly low activity -- suggests a systemic practice of placing customers in fee-generating accounts regardless of their needs, which could support a finding of a broader pattern of misconduct and potentially willful disregard.

If Kevin were acting in a fiduciary capacity as an investment adviser representative under the Investment Advisers Act of 1940, the violation would be even more clear-cut: a fiduciary has an ongoing duty of loyalty and care, and collecting advisory fees while providing virtually no advisory services breaches both duties.

The likely regulatory outcome includes potential FINRA enforcement action for suitability violations, Reg BI violations if applicable, disgorgement of advisory fees collected, restitution to Margaret, fines, and possible suspension or bar depending on the scope of the pattern practice across Kevin's book of business. The firm's supervisory structure could also face scrutiny under FINRA Rule 3110 for failing to detect the pattern of low-activity fee-based accounts.

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**Item 253 of 499****NON-COMPLIANT****Topic:** structured\_products\_unsuitable**Difficulty:** medium**Fact Pattern**

Dennis Huang, age 34, is a software engineer in Seattle earning \$145,000 annually. He has \$60,000 in a 401(k) through his employer and \$40,000 in a taxable brokerage account. Dennis is single with no dependents. He told his financial advisor, Patricia Mendes, that he wanted to save aggressively for a down payment on a home within the next 18-24 months and that he could not afford to lose principal during that time frame. He described his risk tolerance as low for this particular pool of money and his investment objective as capital preservation with modest growth. In November 2022, Patricia recommended that Dennis invest \$35,000 of his \$40,000 brokerage account into a structured note with a 5-year maturity linked to the performance of a basket of three technology stocks (a semiconductor company, a social media company, and a cloud computing firm). The note offered a contingent coupon of 9.5% annually, payable only if none of the three underlying stocks declined more than 30% from their initial levels on any observation date. If any stock breached the 30% barrier at maturity, Dennis would receive shares of the worst-performing stock instead of his principal, exposing him to potentially significant losses. The product carried no secondary market liquidity guarantee, and Patricia's firm estimated the fair value of the note at issuance at approximately \$96.20 per \$100 face value, meaning roughly \$1,330 of Dennis's investment represented embedded issuer fees and structuring costs. Patricia did not discuss any alternative investments such as high-yield savings accounts, certificates of deposit, Treasury bills, or short-term bond funds, all of which were yielding between 4% and 5% at the time with substantially lower risk. Within eight months, one of the underlying technology stocks had fallen 42% due to a significant earnings miss and sector-wide selloff. Dennis was unable to exit the structured note without taking an estimated 18% loss, and he was forced to delay his home purchase indefinitely.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Patricia Mendes violated applicable suitability and best interest standards. The analysis proceeds on several grounds.

Under FINRA Rule 2111 (Suitability), a recommendation must be suitable based on the customer's investment profile, including investment objectives, risk tolerance, time horizon, liquidity needs, and financial situation. Dennis explicitly stated a low risk tolerance for this money, a capital preservation objective, and an 18-24 month time horizon for a home down payment. The structured note had a 5-year maturity with no guaranteed secondary market liquidity, directly conflicting with his stated time horizon. The downside risk -- receiving shares of the worst-performing stock if any underlying breached a 30% barrier -- was fundamentally incompatible with a capital preservation objective. This fails both customer-specific suitability and reasonable-basis suitability.

Under Regulation Best Interest (Reg BI), Patricia had a Care Obligation requiring her to exercise reasonable diligence, care, and skill to understand the product and its risks, and to have a reasonable basis to believe the recommendation was in Dennis's best interest given his stated profile. The structured note's risk-return profile was inappropriate for someone who could not afford to lose principal within a short time frame. The contingent coupon structure (dependent on none of three volatile tech stocks declining more than 30%) introduced substantial risk that was unnecessary given

that risk-free or near-risk-free alternatives (Treasury bills, CDs, high-yield savings) were offering 4-5% yields at the time.

Reg BI's Care Obligation also requires consideration of reasonably available alternatives. Patricia failed to present any lower-risk alternatives that would have been more aligned with Dennis's objectives. This omission is particularly egregious given that the available alternatives closely matched Dennis's stated needs (capital preservation, short time horizon, liquidity) and offered competitive yields without downside equity risk.

Additionally, the concentration issue is significant: \$35,000 of Dennis's \$40,000 brokerage account (87.5%) was placed into a single illiquid, complex structured product. This level of concentration in an unsuitable product amplifies the violation.

The embedded costs of approximately \$1,330 (3.8% of the investment) further weigh against the recommendation under Reg BI's cost analysis framework, especially when compared to the near-zero cost of Treasury bills or CDs.

FINRA has issued specific guidance on structured products, including Regulatory Notice 12-03, which emphasizes heightened suitability obligations for complex products. Representatives must understand the product's features, risks, and costs, and must ensure the product matches the customer's profile. Patricia's recommendation fails this heightened standard.

The likely regulatory outcome includes potential FINRA enforcement action for suitability violations, potential Reg BI violations, customer restitution for losses attributable to the unsuitable recommendation, and possible fines and suspension for Patricia. The firm could also face supervisory failure charges under FINRA Rule 3110 if it failed to have adequate procedures for reviewing structured product recommendations against customer profiles.

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**Item 254 of 499****NON-COMPLIANT****Topic:** margin\_unsuitable**Difficulty:** medium**Fact Pattern**

Dorothy Kessler, age 74, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month in pension income and \$1,800 per month in Social Security benefits. Her total liquid net worth is approximately \$310,000, held in a brokerage account that constitutes her life savings. She has no other significant assets besides her home, which is paid off. Her new account form lists her risk tolerance as 'conservative,' her investment objectives as 'income and preservation of capital,' her investment experience as 'limited,' and her time horizon as '1-5 years.' She told her financial advisor, Marcus Pratt, that she wanted safe investments that would supplement her monthly income and that she could not afford to lose principal. In February 2023, Pratt recommended that Dorothy open a margin account, explaining that borrowing against her portfolio would allow her to purchase additional high-dividend stocks and thereby increase her monthly income. He told her that the strategy was 'very common for retirees who want more cash flow.' Dorothy signed the margin agreement, though she later stated she did not fully understand what margin meant or the risks involved. Over the next six months, Pratt purchased \$185,000 in additional equities on margin, bringing her total portfolio to approximately \$495,000 with \$185,000 in margin debt. The positions Pratt selected included several small-cap energy stocks and a leveraged ETF focused on emerging markets. In September 2023, a market downturn caused her portfolio to decline by roughly 28%, triggering multiple margin calls. Dorothy was unable to meet the margin calls with cash, and the firm liquidated approximately \$140,000 of her holdings at significant losses. After liquidation, her account balance stood at approximately \$198,000 -- a net loss of over \$112,000 from her original \$310,000 in savings. Dorothy filed a complaint stating she never understood she could lose more money than she invested and that Pratt never explained the risks of margin borrowing.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Marcus Pratt violated applicable suitability and best interest standards on multiple grounds.

**\*\*FINRA Suitability (Rule 2111):\*\*** Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. Dorothy was a 74-year-old retiree with conservative risk tolerance, limited investment experience, a short time horizon, income and capital preservation objectives, and no ability to absorb significant losses. Recommending a margin account and leveraged purchasing strategy was fundamentally inconsistent with every element of her investment profile. This violates the customer-specific suitability obligation under Rule 2111.02.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under Reg BI's Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs. Margin borrowing introduces amplified downside risk including the possibility of losing more than the original investment. Recommending this to a conservative 74-year-old retiree with limited sophistication and no financial cushion fails the Care Obligation. Additionally, the selection of small-cap energy stocks and a leveraged emerging markets ETF for a conservative retiree compounded the unsuitability.

**\*\*FINRA Rule 2264 (Margin Disclosure):\*\*** Firms are required to deliver a margin disclosure statement to customers before or at the time of opening a margin account, and representatives must ensure customers understand the risks. Dorothy's statement that she did not understand margin risks suggests inadequate disclosure and explanation.

**\*\*FINRA Rule 4210 (Margin Requirements):\*\*** While this rule primarily governs the firm's margin maintenance requirements, the pattern of margin calls and forced liquidations underscores the inappropriateness of the strategy for this customer.

**\*\*Likely Regulatory Outcome:\*\*** Pratt would likely face FINRA enforcement action for unsuitable recommendations. Potential sanctions include fines, disgorgement of commissions, a suspension or bar from the industry, and restitution to Dorothy. The firm could also face supervisory failure charges under FINRA Rule 3110 if it failed to flag the margin account opening for a 74-year-old conservative investor. In arbitration, Dorothy would have a strong case for recovery of her \$112,000 in losses plus costs and fees.

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**Item 255 of 499****NON-COMPLIANT****Topic:** mutual\_fund\_switching\_churning**Difficulty:** hard**Fact Pattern**

James and Patricia Yeung, ages 52 and 49 respectively, are a dual-income couple living in suburban Chicago. James is a mechanical engineer earning \$135,000 annually and Patricia is an office manager earning \$62,000 annually. They have a combined liquid net worth of approximately \$620,000, a home with \$180,000 remaining on the mortgage, and two children in college. Their investment objectives are listed as 'growth and income' with a 'moderate' risk tolerance, a time horizon of 10-15 years, and moderate investment experience. They have worked with their financial advisor, Renee Blackwood, for seven years. Between January 2021 and December 2023, Blackwood executed 23 mutual fund switches in the Yeungs' joint brokerage account. The pattern was consistent: Blackwood would call to recommend selling one Class A share mutual fund and purchasing a different Class A share mutual fund, typically within the same asset category (e.g., selling a large-cap growth fund to buy a different large-cap growth fund, or selling one intermediate-term bond fund to buy another). Each switch involved a front-end sales load ranging from 3.50% to 5.75%. The Yeungs' account statements show that over this three-year period, they paid a cumulative total of approximately \$47,200 in front-end sales charges on these switches. Many of the replacement funds had substantially similar investment objectives, holdings overlap exceeding 60%, comparable expense ratios, and similar historical performance to the funds being sold. Blackwood earned commissions on each new purchase. In several instances, the Yeungs were moved out of funds where they had accumulated breakpoint credits toward reduced sales charges, resetting their accumulation in the new fund family. When Patricia questioned one switch in mid-2022, Blackwood explained that the new fund had 'a stronger management team' and 'better positioning for current market conditions.' No written analysis comparing the old and new funds was ever provided to the Yeungs. The Yeungs' portfolio grew by only approximately 6.2% over the three-year period, while a blended benchmark of comparable funds that were held without switching would have returned approximately 19.8% over the same period. The Yeungs discovered the extent of the switching costs when they consulted a fee-only financial planner in early 2024.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Renee Blackwood violated multiple suitability and best interest standards through a systematic pattern of mutual fund switching that generated substantial costs without corresponding customer benefit.

**\*\*FINRA Rule 2111 (Suitability -- Quantitative Suitability):\*\*** FINRA Rule 2111 includes a quantitative suitability component (Rule 2111.05(c)) that prohibits a broker who exercises de facto control over a customer account from engaging in excessive trading. Here, Blackwood made 23 switches over three years, generating \$47,200 in sales charges. Although the Yeungs approved each transaction, Blackwood exercised de facto control because she initiated all recommendations and the Yeungs relied on her expertise. The cost-to-equity ratio implicit in \$47,200 in loads on a \$620,000 portfolio, combined with the dramatic underperformance (6.2% vs. 19.8%), demonstrates that the level of trading was excessive relative to any reasonable investment purpose.

**\*\*FINRA Rule 2111 (Customer-Specific Suitability):\*\*** Each individual switch must be suitable. Switching from one Class A large-cap growth fund to another substantially similar Class A large-cap growth fund--with over 60% holdings overlap,

comparable expense ratios, and similar performance records--while incurring a new 3.50%-5.75% front-end load, fails the customer-specific suitability test. The customer bears a significant cost with no reasonable expectation of material benefit.

**\*\*Regulation Best Interest (Care Obligation):\*\*** Under Reg BI (effective June 30, 2020, applicable to the entire period in question), the Care Obligation requires that a broker exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation, consider reasonably available alternatives, and have a reasonable basis to believe the recommendation is in the customer's best interest without placing the broker's financial interest ahead of the customer's. Each switch generated a new commission for Blackwood while imposing a steep cost on the Yeungs. The failure to consider reasonably available alternatives--such as simply holding the existing fund, or using no-load share classes--and the absence of any documented analysis demonstrating why the new fund was superior, constitutes a clear violation of the Care Obligation.

**\*\*Regulation Best Interest (Conflict of Interest Obligation):\*\*** Blackwood's commission-based compensation created an obvious conflict of interest that incentivized switching. Reg BI requires firms to identify and mitigate or eliminate conflicts. The repeated pattern of switching into new load funds strongly suggests Blackwood's financial interest drove the recommendations, and there is no evidence of any mitigation.

**\*\*FINRA Rules on Mutual Fund Breakpoints (NASD NTM 03-54 guidance and Rule 2341):\*\*** By moving the Yeungs out of fund families where they had accumulated breakpoint credits, Blackwood caused them to lose rights of accumulation that would have reduced future sales charges. This is a recognized red flag for mutual fund switching abuse.

**\*\*FINRA Rule 3110 (Supervision):\*\*** The firm had an obligation to monitor for patterns of mutual fund switching. Twenty-three switches over three years generating \$47,200 in sales charges should have triggered supervisory review. The firm may face liability for failure to supervise.

**\*\*Likely Regulatory Outcome:\*\*** This case presents strong evidence of mutual fund switching/churning. Blackwood would likely face FINRA disciplinary action including fines, disgorgement of commissions earned on the switches (approximately \$47,200), restitution to the Yeungs for the difference between their actual returns and what they would have earned absent the switching (the roughly 13.6 percentage points of underperformance, translating to approximately \$84,000 in lost returns), and a suspension or bar. The firm would likely face supervisory failure charges. In a FINRA arbitration claim, the Yeungs would have strong grounds to recover their excess sales charges, consequential damages for lost investment returns, and potentially attorneys' fees depending on the arbitration panel's discretion.

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## Item 256 of 499

### NON-COMPLIANT

**Topic:** options\_unsuitable

**Difficulty:** medium

### Fact Pattern

Margaret Donovan, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month in pension income and \$1,800 per month in Social Security benefits. Her total liquid savings amount to approximately \$185,000, held in a brokerage account that constitutes the vast majority of her investable assets outside of her home. She has no prior experience trading options or any leveraged financial products. On her new account form, her investment objective was listed as 'income and capital preservation,' and her risk tolerance was marked as 'low.' She told her financial advisor, Kevin Pratt, that her primary concern was making sure her savings lasted through retirement and that she could cover potential medical expenses. In March 2023, Pratt recommended that Margaret begin selling uncovered (naked) put options on individual technology stocks, including positions in Nvidia, Tesla, and Advanced Micro Devices. Pratt told Margaret that selling puts was 'basically free money' and that the premiums would supplement her monthly income. Over the following six months, Pratt executed 47 uncovered put option trades in her account. Initially, Margaret collected approximately \$8,200 in premiums. However, during a market pullback in September 2023, several puts were assigned, and Margaret was forced to purchase shares at prices well above market value. Her account suffered realized losses of approximately \$41,000, reducing her total account value to roughly \$152,000. Pratt earned \$6,800 in commissions on the options trades during this period. Margaret was never provided with the options disclosure document prior to trading, and Pratt did not document any analysis of why uncovered options writing was appropriate for a 71-year-old retiree with low risk tolerance and limited assets.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Kevin Pratt violated applicable suitability and best interest standards on multiple grounds.

**\*\*FINRA Suitability (Rule 2111):\*\*** Under FINRA's suitability framework, a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. Margaret's profile -- a 71-year-old retiree with low risk tolerance, income/preservation objectives, limited liquid assets of \$185,000, and zero options experience -- is fundamentally incompatible with uncovered put option writing. Naked puts carry theoretically substantial downside risk and require significant sophistication to manage. This recommendation fails all three suitability components: (1) reasonable-basis suitability, because naked puts on volatile tech stocks are inherently high-risk; (2) customer-specific suitability, because the strategy directly contradicts Margaret's stated objectives and risk profile; and (3) quantitative suitability, because 47 trades in six months in a retiree's preservation-oriented account suggests excessive activity.

**\*\*Regulation Best Interest (Reg BI):\*\*** If Pratt is a broker-dealer representative, Reg BI's Care Obligation requires that he exercise reasonable diligence, care, and skill to understand the risks and rewards of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest. Selling naked puts to an unsophisticated, low-risk-tolerance retiree whose savings represent her financial lifeline clearly fails this standard. The Disclosure Obligation also required that Pratt provide full and fair disclosure of material facts, including risks -- telling Margaret it was 'basically free money' is misleading and fails this obligation.

**\*\*Options-Specific Requirements (FINRA Rule 2360 and Options Supervisory Rules):\*\*** FINRA rules governing options accounts require that the firm and the registered representative evaluate and approve the customer for specific levels of options trading based on experience, financial situation, and investment objectives. Uncovered option writing is the highest approval level and is reserved for sophisticated, high-net-worth investors who understand and can bear the risks. Margaret should never have been approved for this level. Additionally, the Options Clearing Corporation disclosure document must be provided to the customer at or before the time the account is approved for options trading -- this was not done.

**\*\*Likely Regulatory Outcome:\*\*** Pratt and his firm face potential FINRA enforcement action for unsuitable recommendations, failure to comply with options supervision rules, failure to deliver the options disclosure document, and potentially churning given the volume of trading. Likely sanctions include fines, disgorgement of commissions (\$6,800), restitution to Margaret for her losses (approximately \$41,000 plus the erosion of premium income net of commissions), suspension or bar from the securities industry for Pratt, and supervisory deficiency charges against the firm.

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**Item 257 of 499****COMPLIANT****Topic:** tax\_deferred\_unnecessary\_annuity**Difficulty:** hard**Fact Pattern**

David Nakamura, age 58, is a senior software engineer in Portland, Oregon, earning \$195,000 per year. He has already maximized his 401(k) contributions at his employer, which offers a basic selection of index funds. He also has a Roth IRA with \$87,000 and a taxable brokerage account with \$310,000 invested in a mix of equities and bonds. David approached his financial advisor, Lisa Hartwell, in January 2024, expressing concern about market volatility as he approached retirement in seven years. He specifically told Hartwell that he wanted a portion of his portfolio to provide guaranteed lifetime income starting at age 65 and that he was worried about outliving his assets, as both his parents lived into their mid-90s. His risk tolerance was moderate, and his investment objectives were growth with some income protection for retirement. After a comprehensive review of David's financial situation, Hartwell recommended that he allocate \$120,000 from his taxable brokerage account into a fixed indexed annuity with a guaranteed lifetime withdrawal benefit rider. The annuity had an annual total cost (including the rider) of 2.15%, a 7-year surrender period aligning with his planned retirement date, and offered a 6% annual roll-up rate on the income benefit base during the accumulation phase. Hartwell documented in her notes that she considered several alternatives, including a bond ladder, a balanced fund strategy, and a deferred income annuity, but determined that the fixed indexed annuity best matched David's specific desire for market downside protection with upside participation and guaranteed lifetime income. She noted that the annuity was being purchased with after-tax dollars in a non-qualified account, so there was no issue of layering tax-deferred treatment on an already tax-advantaged account. Hartwell disclosed all fees, surrender charges, and the rider costs in writing, and David signed an acknowledgment that he understood the product features and limitations. The \$120,000 allocation represented approximately 24% of David's total liquid investable assets.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Lisa Hartwell's recommendation appears to be compliant with applicable suitability and best interest standards.

**\*\*FINRA Suitability (Rule 2111):\*\*** The recommendation satisfies all three components of suitability. (1) Reasonable-basis suitability: Fixed indexed annuities with guaranteed lifetime withdrawal benefit riders are legitimate products designed for pre-retirees seeking downside protection and guaranteed income -- exactly David's stated concern. Hartwell understood the product and its features. (2) Customer-specific suitability: David is 58, seven years from retirement, earns a high income, has already maximized tax-advantaged retirement accounts, has substantial liquid assets (\$397,000+ excluding the annuity), has moderate risk tolerance, and has a specific, articulated need for guaranteed lifetime income due to longevity concerns. The allocation of \$120,000 (approximately 24% of liquid assets) is a reasonable proportion and does not create liquidity concerns. (3) Quantitative suitability: This is a single, purpose-driven transaction, not excessive trading.

**\*\*Regulation Best Interest (Reg BI):\*\*** The Care Obligation is satisfied because Hartwell exercised diligence in evaluating David's profile, considered multiple alternatives (bond ladder, balanced fund strategy, deferred income annuity), and documented her reasoning for why the fixed indexed annuity was the best fit. The Disclosure Obligation is met because she provided written disclosure of all fees, surrender charges, and rider costs, and David acknowledged

receipt and understanding. The Conflict of Interest Obligation would require the firm to have policies addressing compensation-related conflicts, but there is no indication of improper incentives driving the recommendation.

**\*\*Key Factor -- Non-Qualified Account:\*\*** A common concern with annuity recommendations is placing them inside tax-deferred accounts (such as IRAs or 401(k)s), where the additional tax-deferral feature of the annuity provides little or no incremental benefit while the customer pays higher annuity fees. Here, Hartwell specifically used after-tax money from David's taxable brokerage account, meaning the tax-deferral feature of the annuity does provide an incremental benefit -- investment gains grow tax-deferred until withdrawal. This eliminates the primary objection regarding unnecessary layering of tax-deferred treatment.

**\*\*Additional Compliance Factors:\*\*** The 7-year surrender period aligns with David's retirement timeline, suggesting he is unlikely to need early access and incur surrender charges. Hartwell's documentation of the alternatives analysis demonstrates a thoughtful process. The 2.15% all-in annual cost, while higher than passive investment options, is within a reasonable range for a product providing a guaranteed lifetime income benefit and downside protection.

**\*\*Likely Regulatory Outcome:\*\*** No violation. If examined, regulators would likely find that Hartwell's recommendation was well-documented, suitable for the customer's profile and stated needs, involved appropriate disclosure, and was made in a non-qualified account where the annuity's features provided genuine value aligned with the client's retirement income objectives.

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## Item 258 of 499

### NON-COMPLIANT

**Topic:** mutual\_fund\_switching\_churning

**Difficulty:** medium

### Fact Pattern

Margaret Hollis, age 64, is a recently widowed retired schoolteacher living in Tucson, Arizona. She received a \$410,000 life insurance payout following her husband's death in March 2022 and had an additional \$185,000 in a savings account. Her monthly pension income was \$3,200, and she had modest Social Security benefits of \$1,400 per month. Margaret described herself as a conservative investor whose primary goals were capital preservation and generating supplemental income to cover her living expenses. She explicitly told her advisor, Derek Stanton, that she might need to access a significant portion of her funds within 12 to 18 months to purchase a single-level home, as her current two-story home was becoming difficult to navigate due to arthritis. Derek, who worked at a mid-size brokerage, recommended that Margaret invest \$350,000 into three non-traded real estate investment trusts: \$130,000 into the Pinnacle Healthcare REIT (7% front-end load), \$120,000 into the Meridian Industrial REIT (6.5% front-end load), and \$100,000 into the Osprey Hospitality REIT (7% front-end load). Total upfront commissions exceeded \$23,000. Derek earned approximately \$16,100 in personal compensation from these sales. The non-traded REITs each carried minimum holding periods of five to seven years with no established secondary market, and early redemption was subject to steep penalties ranging from 8% to 12% of invested principal. Within 10 months, Margaret needed \$200,000 for the home purchase. She discovered she could not liquidate any of her REIT holdings without incurring penalties that would have cost her between \$16,000 and \$24,000. She was forced to delay her home purchase by over a year, during which time she fell on the stairs of her existing home and fractured her hip. Margaret filed a complaint alleging that Derek never disclosed the illiquidity risks and ignored her clearly stated need for near-term access to the funds.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Stanton violated applicable suitability and best interest standards in multiple respects.

**\*\*FINRA Suitability Analysis (Rule 2111):\*\***

FINRA Rule 2111 requires that a broker have a reasonable basis for believing a recommended transaction is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance.

- **\*\*Reasonable-Basis Suitability:\*\*** Non-traded REITs are complex, illiquid products with long holding periods. While they can be appropriate for some investors, recommending them to a 64-year-old conservative retiree with an explicitly stated 12-to-18-month liquidity need fails even a basic reasonableness test.

- **\*\*Customer-Specific Suitability:\*\*** Margaret's profile -- conservative risk tolerance, need for capital preservation, stated near-term liquidity requirement for a home purchase, reliance on the invested funds -- was fundamentally incompatible with illiquid non-traded REITs carrying 5-to-7-year holding periods and 8%-12% early redemption penalties. Concentrating approximately 85% of the insurance proceeds in these products was grossly unsuitable.

- **\*\*Quantitative Suitability:\*\*** While the classic churning analysis focuses on turnover, the excessive concentration of

Margaret's liquid assets into high-commission illiquid products -- generating over \$23,000 in front-end loads and \$16,100 in personal compensation to the advisor -- suggests the recommendations were driven by commission incentives rather than the client's needs.

**\*\*Regulation Best Interest (Reg BI) Analysis:\*\***

Under Reg BI's Care Obligation, the broker must exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile including liquidity needs. Derek's recommendations directly contradicted Margaret's stated liquidity timeline. The Disclosure Obligation required Derek to disclose material facts about the products, including illiquidity and redemption penalties; Margaret's complaint states these were never disclosed. The Conflict of Interest Obligation required policies to identify and mitigate conflicts; the high commissions created a clear conflict that was neither disclosed nor mitigated.

**\*\*Likely Regulatory Outcome:\*\***

This case presents strong evidence of an unsuitable recommendation and a Reg BI violation. Derek would likely face FINRA enforcement action including fines, disgorgement of commissions, a suspension or bar, and potential restitution to Margaret. The firm could face supervisory failure charges if it lacked adequate procedures for reviewing non-traded REIT sales to elderly clients with short time horizons. Margaret would likely prevail in a FINRA arbitration claim for compensatory damages including the redemption penalties, lost opportunity costs, and potentially consequential damages related to the delayed home purchase.

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**Item 259 of 499****NON-COMPLIANT****Topic:** tax\_deferred\_unnecessary\_annuity**Difficulty:** hard**Fact Pattern**

Raymond Chen, age 52, is a senior software engineer earning \$245,000 per year. He is single with no dependents and has been diligently saving for retirement. His investment portfolio included approximately \$1.4 million in his employer's 401(k) plan, \$380,000 in a traditional IRA, \$95,000 in a Roth IRA, and \$210,000 in a taxable brokerage account. Raymond's risk tolerance was moderate, and his primary objective was long-term growth for retirement at age 65. He was already maximizing his annual 401(k) and IRA contributions. In September 2023, Raymond met with financial advisor Lisa Moreno after attending a retirement planning seminar she hosted at a local hotel. Lisa, who held both a broker-dealer registration and an investment advisory license, recommended that Raymond roll over his \$380,000 traditional IRA into a variable annuity -- the Granite Peak Growth Variable Annuity -- offered through a major insurance carrier. The annuity carried a mortality and expense (M&E) charge of 1.35% annually, an administrative fee of 0.15% annually, underlying sub-account expenses averaging 0.85% annually, and a seven-year declining surrender charge schedule starting at 7% in year one and decreasing by 1% per year. Total annual costs inside the annuity were approximately 2.35%, compared to the 0.45% average expense ratio of the index and target-date funds Raymond held in his existing IRA. The annuity offered a guaranteed minimum death benefit (GMDB) equal to the greater of the account value or the total premiums paid. Lisa emphasized the GMDB and the tax-deferred growth as key benefits. However, Raymond's IRA was already tax-deferred, meaning the annuity provided no incremental tax advantage. Raymond had no beneficiaries and no estate planning concerns that would make the GMDB particularly valuable. The annuity also converted what would have been long-term capital gains treatment on certain underlying investments into ordinary income upon withdrawal, potentially increasing Raymond's future tax burden. Lisa received an upfront commission of approximately \$22,800 (6% of the \$380,000 rollover) from the insurance carrier. She did not present any alternative products, did not compare the cost differential between maintaining the existing IRA allocation and the annuity, and did not discuss lower-cost annuity alternatives or no-load annuity options. She also did not document any analysis of why the annuity was preferable to Raymond's existing IRA investments. Raymond discovered the cost disparity 14 months later after consulting a fee-only financial planner, at which point surrendering the annuity would have cost him approximately \$22,800 in surrender charges.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Lisa Moreno violated both suitability and best interest standards in recommending an unnecessary variable annuity inside an already tax-deferred account.

**\*\*FINRA Suitability Analysis (Rule 2111):\*\***

FINRA has long scrutinized the practice of placing variable annuities inside tax-deferred retirement accounts such as IRAs. FINRA Notice to Members 99-35 specifically warned that the tax-deferred feature of an annuity provides no additional benefit when purchased within an account that is already tax-deferred. Any such recommendation must be justified by other features of the annuity -- such as a meaningful death benefit, living benefit riders, or lifetime income guarantees -- that the customer actually needs and values.

- **Reasonable-Basis Suitability:** Lisa would need to demonstrate that the annuity's features (primarily the GMDB) provided value exceeding the significantly higher cost structure. Raymond had no beneficiaries, making the GMDB essentially valueless to him. The annuity's 2.35% annual cost versus 0.45% in his existing IRA represents an annual cost drag of approximately \$7,220 on a \$380,000 investment -- a cumulative cost of over \$90,000 in excess fees over the 13-year period until Raymond's planned retirement, not accounting for compounding effects. No reasonable basis existed for this recommendation.

- **Customer-Specific Suitability:** Raymond's moderate risk tolerance, long-term growth objective, existing tax-advantaged accounts, and lack of beneficiaries made this product specifically unsuitable. The annuity also created a negative tax consequence by converting potential capital gains into ordinary income at withdrawal.

**Regulation Best Interest (Reg BI) Analysis:**

- **Care Obligation:** Lisa failed to exercise reasonable diligence, care, and skill. She did not evaluate whether the annuity's features justified its materially higher costs relative to Raymond's existing IRA holdings. She did not consider the customer's full financial picture, including that he had no beneficiaries, no need for a death benefit, and was already receiving full tax-deferred treatment.

- **Disclosure Obligation:** Lisa failed to provide meaningful disclosure of the total cost differential, the surrender charge schedule, or the negative tax implications of wrapping capital-gains-eligible investments inside an annuity structure.

- **Conflict of Interest Obligation:** Lisa received a \$22,800 upfront commission -- a substantial financial incentive that created a material conflict. There is no indication she disclosed this commission amount, identified the conflict, or took steps to mitigate it such as presenting lower-cost or no-load alternatives.

- **Compliance Obligation:** Lisa apparently had no documented analysis supporting the recommendation, which would also implicate the firm's obligation to establish policies and procedures to achieve compliance with Reg BI.

**Additional Considerations -- Fiduciary Duty:**

If Lisa was acting in an investment advisory capacity (she held an IA license and hosted a 'retirement planning seminar'), the recommendation may also be evaluated under the fiduciary standard applicable to investment advisers. Under the fiduciary duty of care and loyalty, an adviser must act in the client's best interest, provide full and fair disclosure of conflicts, and not place her own financial interest ahead of the client's. Rolling a low-cost IRA into a high-cost annuity that provided no incremental benefit -- while generating a \$22,800 commission -- is a textbook breach of fiduciary duty.

**Likely Regulatory Outcome:**

This case presents multiple violations. Lisa would likely face FINRA enforcement for unsuitable variable annuity recommendations within a tax-qualified account, Reg BI violations for failure to satisfy the care, disclosure, and conflict-of-interest obligations, and potentially a state-level fiduciary breach action. Probable sanctions include disgorgement of the \$22,800 commission, restitution to Raymond for excess fees incurred and surrender charges, monetary fines, and a suspension or bar. The recommending firm would likely face supervisory failure charges for inadequate review of annuity-in-IRA recommendations, particularly given the absence of any documented cost-benefit analysis. Raymond would have strong grounds for recovery in FINRA arbitration including full restitution of surrender charges, excess fees, and potentially the lost investment returns attributable to the higher cost structure.

## Item 260 of 499

### NON-COMPLIANT

**Topic:** tax\_deferred\_unnecessary\_annuity

**Difficulty:** easy

### Fact Pattern

Margaret Donnelly, age 62, is a retired school administrator with a combined annual pension and Social Security income of \$68,000. She has \$340,000 in a traditional IRA rollover from her employer's 403(b) plan, held entirely in a diversified mix of low-cost index mutual funds with an average expense ratio of 0.08%. Her risk tolerance is moderate, and her primary objectives are capital preservation and generating supplemental retirement income beginning at age 67. In March 2023, her financial advisor, Kevin Brandt, recommended she liquidate the entire IRA portfolio and purchase a variable annuity within the same IRA. The variable annuity carried an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, and underlying subaccount expense ratios averaging 0.85%, bringing total annual costs to approximately 2.35%. The annuity also imposed a seven-year declining surrender charge schedule starting at 7% in year one and decreasing by 1% each year. Brandt emphasized the tax-deferred growth benefit of the annuity as a key selling point. He earned a 5.5% commission on the sale, totaling \$18,700. Margaret was not informed that her existing IRA already provided tax-deferred growth, nor was she told that adding an annuity inside the IRA provided no additional tax benefit. Within six months, Margaret needed \$25,000 for unexpected home repairs and discovered she would owe a \$1,500 surrender penalty on top of ordinary income taxes to access her own funds.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Kevin Brandt likely violated applicable standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker have a reasonable basis to believe a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance. There are three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI) - SEC Rule 15l-1:\*\*** If Brandt is a broker-dealer representative, Reg BI requires that he act in the retail customer's best interest at the time the recommendation is made, without placing his own financial interest ahead of the customer's. This includes the Care Obligation (exercising reasonable diligence, care, and skill in making recommendations), the Disclosure Obligation (disclosing material facts about the recommendation including costs and conflicts), and the Conflict of Interest Obligation (identifying and mitigating conflicts).
3. **\*\*FINRA Rule 2330 (Variable Annuities):\*\*** This rule specifically addresses variable annuity recommendations and requires a principal to review and approve such transactions. The broker must have a reasonable basis to believe the customer would benefit from certain features of variable annuities, including tax-deferred growth. Critically, the rule recognizes that placing a variable annuity inside a tax-qualified account (like an IRA) eliminates the primary tax-deferral benefit.

**\*\*Analysis of Violations:\*\***

- **\*\*No Additional Tax Benefit:\*\*** The central selling point Brandt used -- tax-deferred growth -- was entirely redundant because the traditional IRA already provides tax deferral. Purchasing a variable annuity inside an IRA layers unnecessary costs onto an account that already enjoys the same tax treatment. This is a well-known red flag that regulators scrutinize heavily.

- **\*\*Excessive Costs:\*\*** Margaret's existing portfolio had an expense ratio of approximately 0.08%. The recommended variable annuity carried total annual costs of approximately 2.35% -- nearly 30 times higher. Over 10 years on a \$340,000 portfolio, this cost differential could amount to over \$77,000 in additional fees, dramatically eroding her retirement savings. There was no reasonable basis to believe these incremental costs were justified.

- **\*\*Liquidity Mismatch:\*\*** Margaret was five years from needing income, and a seven-year surrender charge schedule was inappropriate for someone who might need access to her funds. The \$1,500 surrender penalty she incurred confirms this liquidity mismatch.

- **\*\*Conflict of Interest:\*\*** Brandt earned an \$18,700 commission, creating a significant financial incentive to recommend the product. Under Reg BI's Conflict of Interest Obligation, this conflict should have been disclosed and mitigated. Instead, Brandt appears to have prioritized his compensation over the customer's interests.

- **\*\*Disclosure Failures:\*\*** Margaret was not informed that her IRA already provided tax deferral or that the annuity added no incremental tax benefit. This constitutes a failure under both the Reg BI Disclosure Obligation and general anti-fraud provisions.

**\*\*Likely Regulatory Outcome:\*\*** This fact pattern is a textbook example of an unsuitable variable annuity sale inside a tax-qualified account. Regulators have brought numerous enforcement actions on similar facts. Brandt would likely face sanctions including disgorgement of commission, restitution to the customer, fines, and potential suspension. The firm's supervisory system could also be cited for failure to identify and prevent this transaction under FINRA Rules 3110 and 2330's principal review requirement.

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## Item 261 of 499

### NON-COMPLIANT

**Topic:** speculative\_for\_conservative\_investor

**Difficulty:** medium

### Fact Pattern

Harold Chin, age 74, is a widowed retiree living in Tucson, Arizona, on a fixed income of \$3,200 per month from Social Security and a small pension. His total liquid savings amount to \$185,000, held in a brokerage account that represents essentially his entire financial safety net outside of his home. Harold completed a new account form in January 2024 indicating a conservative risk tolerance, an investment objective of income and capital preservation, a short-to-medium time horizon, and limited investment experience -- he had previously owned only certificates of deposit and a single balanced mutual fund. Harold explicitly told his advisor, Danielle Russo, that he could not afford to lose money and needed his portfolio to generate steady income to supplement his fixed monthly payments.

Between February and June 2024, Russo executed the following trades in Harold's account: she invested \$55,000 in three small-cap biotechnology stocks that had no revenue, were pre-clinical stage companies, and had experienced share price volatility exceeding 60% over the prior 12 months; she placed \$40,000 into a leveraged ETF tracking the Nasdaq-100 index (3x daily exposure); and she invested \$30,000 into a cryptocurrency-linked exchange-traded product. The remaining \$60,000 was placed in a high-yield corporate bond fund rated below investment grade. None of these positions generated meaningful current income. Russo did not document any rationale for deviating from Harold's stated conservative profile. By September 2024, the biotechnology stocks had collectively declined 48%, the leveraged ETF had lost 33% of its value due to volatility decay and a market correction, and the crypto-linked product had fallen 27%. Harold's account balance had dropped from \$185,000 to approximately \$121,000, a loss of roughly \$64,000 or 34.6% of his life savings in seven months. Russo earned approximately \$4,800 in commissions and transaction fees across these trades.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Danielle Russo committed serious violations of applicable regulatory standards. The facts present an egregious mismatch between the customer's documented profile and the investments recommended.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires that a recommended transaction or investment strategy involving securities be suitable for the customer based on the customer's investment profile. The rule encompasses three obligations:

- **\*Reasonable-basis suitability:** The advisor must understand the products being recommended.
- **\*Customer-specific suitability:** The recommendation must be suitable for the particular customer based on age, financial situation, tax status, investment objectives, risk tolerance, time horizon, liquidity needs, and other profile factors.
- **\*Quantitative suitability:** The overall series of transactions must not be excessive.

2. **\*\*Regulation Best Interest (Reg BI) - SEC Rule 15l-1:\*\*** Requires broker-dealer representatives to act in the retail

customer's best interest. The Care Obligation mandates reasonable diligence, care, and skill, including understanding risks and rewards and considering reasonably available alternatives. The advisor must not place her financial interest ahead of the customer's.

3. **FINRA Rule 2360 and Related Guidance on Complex Products:** Leveraged ETFs and cryptocurrency-linked products are complex products. FINRA has issued extensive guidance noting that leveraged ETFs are generally unsuitable for long-term buy-and-hold investors because daily reset mechanisms cause performance to deviate significantly from the underlying index over time (volatility decay). These products are designed for sophisticated, short-term traders.

**Detailed Analysis:**

- **Customer Profile vs. Investments:** Harold is a 74-year-old retiree with limited investment experience, conservative risk tolerance, income and capital preservation objectives, a short-to-medium time horizon, and total liquid assets of \$185,000 that he depends on for living expenses. Every investment Russo selected contradicts this profile.

- **Pre-clinical Biotechnology Stocks (\$55,000 -- 29.7% of portfolio):** These are speculative securities with no revenue, high volatility, and no income generation. Placing nearly 30% of a conservative retiree's life savings in pre-revenue biotech stocks is patently unsuitable. These stocks are appropriate for investors with high risk tolerance, long time horizons, and the financial capacity to absorb total loss.

- **3x Leveraged Nasdaq-100 ETF (\$40,000 -- 21.6% of portfolio):** Leveraged ETFs are designed for intra-day trading by sophisticated market participants. They are inherently unsuitable for a 74-year-old conservative investor with limited experience. The daily reset mechanism means that even if the underlying index is flat over time, the leveraged product can lose significant value. FINRA has specifically warned firms that these products are generally not suitable for retail investors who plan to hold them for more than one trading session.

- **Cryptocurrency-Linked Product (\$30,000 -- 16.2% of portfolio):** Crypto-linked products are highly volatile and speculative. They generate no income and carry substantial risk of loss. This is entirely inconsistent with Harold's stated objectives.

- **Below-Investment-Grade Bond Fund (\$60,000 -- 32.4% of portfolio):** While high-yield bonds do produce income, placing the entirety of the remaining portfolio in below-investment-grade debt exposes a conservative investor to significant credit risk and potential capital loss, particularly during economic downturns. For a conservative investor dependent on his savings, a more appropriate allocation would include investment-grade bonds, Treasury securities, or CDs.

- **Concentration and Lack of Diversification:** Effectively 100% of the portfolio was placed in high-risk or speculative positions. There was zero allocation to conservative, income-producing instruments such as Treasury bonds, investment-grade corporate bonds, CDs, or stable-value funds.

- **No Documentation of Rationale:** Russo failed to document any reason for deviating from Harold's clearly stated conservative objectives. Under both FINRA suitability rules and Reg BI's Care Obligation, an advisor who departs from a customer's stated profile must have a well-documented, reasonable basis for doing so.

- **Conflict of Interest:** Russo earned \$4,800 in commissions, creating an incentive to recommend active trading in commission-generating products rather than lower-cost, more suitable alternatives. Under Reg BI's Conflict of Interest Obligation, these conflicts must be identified, disclosed, and mitigated.

- **Harm:** Harold lost approximately \$64,000 -- 34.6% of his life savings -- in seven months. For a 74-year-old on fixed

income with no ability to replenish these losses through future earnings, this harm is devastating and potentially irreversible.

**\*\*Likely Regulatory Outcome:\*\*** This is a clear-cut case of unsuitable recommendations and a failure to act in the customer's best interest. Russo would face significant sanctions including monetary fines, disgorgement of commissions, an order to pay restitution to Harold, and likely a lengthy suspension or permanent bar from the industry. The supervising firm could also face liability under FINRA Rule 3110 for failure to supervise, particularly given the obvious red flags (elderly conservative customer, speculative products, rapid account deterioration). Harold would also have a strong FINRA arbitration claim for compensatory damages.

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**Item 262 of 499****NON-COMPLIANT****Topic:** market\_timing\_unsuitable**Difficulty:** medium**Fact Pattern**

Margaret Russo, age 71, is a retired elementary school teacher living in suburban Ohio. She receives a monthly pension of \$2,800 and Social Security benefits of \$1,650 per month. Her total liquid savings amount to approximately \$210,000, which she accumulated over a 35-year teaching career. She has no other significant assets aside from her home, valued at roughly \$180,000 with no mortgage. Margaret has no investment experience beyond a certificate of deposit she maintained at her local bank for 20 years. When she opened her brokerage account in March 2022, she told her advisor, Kevin Dalton, that she wanted to preserve her retirement savings and generate modest supplemental income to help cover medical expenses and home maintenance. She indicated on her new account form that she had a conservative risk tolerance and that her primary investment objective was capital preservation with income. Between April 2022 and February 2023, Dalton placed Margaret into a strategy involving frequent purchases and short-term redemptions of Class A shares in three different large-cap equity mutual funds. Over the 11-month period, he executed 47 round-trip transactions -- buying shares and then redeeming them typically within 5 to 15 trading days, attempting to capitalize on short-term price movements. Each purchase carried a front-end sales charge of 5.25%, meaning Margaret paid approximately \$5,500 in cumulative front-end loads alone. Including additional transaction-related fees and the tax consequences of short-term capital gains, her total costs exceeded \$8,200. Despite the frequent trading, Margaret's account value declined from \$210,000 to \$178,400, a loss of \$31,600 or approximately 15% of her original savings. Dalton never discussed the risks of market timing with Margaret, never explained the impact of repeated front-end loads on short-term holding strategies, and never obtained any written acknowledgment that she understood or consented to a short-term trading approach. When Margaret's daughter reviewed her account statements in March 2023 and questioned the activity, Dalton responded that he was 'trying to catch the upswings' and that the strategy 'would pay off in the long run.'

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Dalton violated applicable suitability and best interest standards on multiple grounds.

**\*\*FINRA Suitability (Rule 2111):\*\*** Under FINRA Rule 2111, a broker must have a reasonable basis for believing that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and liquidity needs. Margaret was a 71-year-old retired teacher with limited savings, no investment experience, a conservative risk tolerance, and a stated objective of capital preservation with income. A market-timing strategy involving 47 round-trip trades in equity mutual funds with 5.25% front-end loads is fundamentally incompatible with each of these profile elements. The strategy was unsuitable under all three components of Rule 2111: (1) reasonable-basis suitability -- market timing with loaded mutual funds has no reasonable basis for any investor because repeated front-end charges erode returns before any market movement can be captured; (2) customer-specific suitability -- the strategy was plainly inappropriate for a conservative, elderly, income-oriented retiree with limited assets; and (3) quantitative suitability -- the volume and frequency of trading was excessive given her profile.

**\*\*Regulation Best Interest (Reg BI):\*\*** If Dalton was acting in a broker-dealer capacity, Reg BI's Care Obligation required him to exercise reasonable diligence, care, and skill in making recommendations. He was required to understand the potential risks, rewards, and costs of the recommendation and to have a reasonable basis to believe the recommendation was in the customer's best interest without placing his own financial interest ahead of the customer's. The repeated purchases of Class A shares generating \$5,500 in front-end loads strongly suggest Dalton's compensation interests drove the strategy. Reg BI's Disclosure Obligation also required him to disclose material facts about the recommendation, including costs and conflicts. He failed to explain the impact of repeated loads or the risks of market timing.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** The pattern of conduct -- recommending a speculative, high-cost strategy to a vulnerable retiree without explanation or consent -- also likely violates the just and equitable principles of trade.

**\*\*Additional Considerations:\*\*** FINRA has consistently identified market timing of mutual funds as problematic, particularly when front-end loaded shares are used for short-term trading. The cost-to-equity ratio in this account -- with \$8,200 in total costs against a \$210,000 starting balance over 11 months -- combined with the 15% portfolio decline, underscores the harm. Dalton's after-the-fact justification that the strategy 'would pay off in the long run' is inconsistent with the short-term nature of every trade he placed.

**\*\*Likely Regulatory Outcome:\*\*** Dalton would likely face FINRA enforcement action resulting in a suspension or bar, disgorgement of commissions, fines, and an order to pay restitution to Margaret. A customer arbitration claim would also have strong prospects for recovery of losses and costs.

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## Item 263 of 499

### NON-COMPLIANT

**Topic:** failure\_to\_know\_customer

**Difficulty:** hard

### Fact Pattern

Luis Medina, age 44, is a self-employed plumber in Phoenix, Arizona, who earns approximately \$72,000 annually. He has a checking account with roughly \$18,000, no retirement accounts, and carries \$14,000 in credit card debt. In June 2021, Luis walked into a branch office of a national brokerage firm and met with registered representative Brianna Foster. Luis told Foster he had just received a \$165,000 inheritance from his late uncle and wanted to 'put it somewhere smart.' He mentioned he had never invested before, had no understanding of stocks or bonds, and was primarily worried about losing the money because it represented the most significant financial event of his life. He also shared that his wife was expecting their third child and that they had been considering using some of the inheritance to pay off debts and possibly put a down payment on a house within two years. Foster opened a brokerage account for Luis that same day. On the new account form, Foster marked his risk tolerance as 'moderate-aggressive,' his investment objective as 'growth,' his annual income as '\$100,000-\$150,000,' his liquid net worth as '\$250,000-\$500,000,' and his investment experience as 'moderate.' Luis later stated he did not carefully review the form and trusted Foster to fill it out correctly. Over the following 18 months, from June 2021 through December 2022, Foster executed 284 transactions in the account, heavily concentrated in small-cap technology stocks, leveraged ETFs, and options on individual equities. The account was structured as a commission-based account, and Foster generated approximately \$41,000 in total commissions during this period. The annualized turnover rate in the account exceeded 14, and the cost-to-equity ratio was approximately 38%. By December 2022, the account had declined from \$165,000 to \$87,300, a loss of \$77,700 or approximately 47%. At no point did Foster recommend that Luis pay off his credit card debt, establish an emergency fund, or consider any fixed-income or balanced allocation. She never conducted a follow-up conversation to reassess his goals after the birth of his third child in October 2021. When Luis called in January 2023 to ask why his account had dropped so significantly, Foster told him 'the market has been tough on everyone' and encouraged him to 'stay the course.' Luis subsequently filed a complaint.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Brianna Foster committed serious violations related to her failure to know her customer, unsuitable recommendations, and excessive trading.

**\*\*Failure to Know the Customer -- FINRA Rule 2090:\*\*** FINRA Rule 2090 requires every broker to use reasonable diligence with regard to opening and maintaining every account, to know and retain the essential facts concerning every customer. Foster materially falsified Luis's new account form. She recorded his income as \$100,000-\$150,000 when it was actually \$72,000, inflated his liquid net worth to \$250,000-\$500,000 when his actual liquid assets totaled approximately \$183,000 (the inheritance plus \$18,000 in checking, offset by \$14,000 in debt), marked his investment experience as 'moderate' when he explicitly stated he had never invested, and characterized his risk tolerance as 'moderate-aggressive' despite his clear statements about fear of loss and near-term liquidity needs (home purchase, growing family, debt). These misrepresentations on the account documentation are a textbook failure to know the customer and constitute a separate violation that undermines every subsequent recommendation.

**\*\*FINRA Suitability (Rule 2111):\*\*** Foster's recommendations failed all three suitability obligations. (1) Reasonable-basis suitability: concentrating a novice investor's entire inheritance in small-cap tech stocks, leveraged ETFs, and equity options without any diversification or fixed-income allocation lacks any reasonable basis for suitability for a customer with Luis's actual profile. (2) Customer-specific suitability: Luis was an unsophisticated, first-time investor with a two-year time horizon for a home purchase, existing consumer debt, a growing family, and a clearly expressed fear of loss. A concentrated, speculative, high-turnover portfolio was unsuitable for him specifically. (3) Quantitative suitability: the 284 transactions over 18 months, annualized turnover rate exceeding 14, and cost-to-equity ratio of approximately 38% constitute excessive trading by any standard. FINRA guidance and case precedent generally consider turnover rates above 6 and cost-to-equity ratios above 20% to be presumptive evidence of churning.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under Reg BI's Care Obligation, Foster was required to exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of her recommendations and to have a reasonable basis to believe they were in Luis's best interest. She failed on every dimension. The Disclosure Obligation required her to provide full and fair disclosure of material facts, including the costs associated with the level of trading activity; generating \$41,000 in commissions -- roughly 25% of the initial portfolio -- demonstrates that her financial interest was placed ahead of Luis's. The Conflict of Interest Obligation required the firm to establish policies to identify and mitigate conflicts; Foster's commission incentive clearly drove excessive trading, and there is no indication the firm's supervisory systems flagged the activity.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Falsifying customer account records and engaging in churning violates the just and equitable principles of trade under Rule 2010.

**\*\*FINRA Rule 3110 (Supervision):\*\*** The firm may also face liability for supervisory failures. An account with 284 transactions, a turnover rate of 14, and a 47% decline for a customer with no prior investment experience should have triggered exception reports and supervisory review.

**\*\*Likely Regulatory Outcome:\*\*** Foster faces potential FINRA enforcement action including a lengthy suspension or industry bar, disgorgement of commissions earned (\$41,000), monetary fines, and an order of restitution. The falsification of account documents is an aggravating factor that increases the severity of sanctions. In a customer arbitration proceeding, Luis would have strong claims for churning, unsuitability, breach of fiduciary duty (if any investment advisory relationship existed), negligence, and fraud, with damages likely calculated as the difference between the account's actual performance and a suitable benchmark portfolio, plus excess commissions. The firm's potential supervisory failures could result in additional fines and censure at the firm level.

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**Item 264 of 499****NON-COMPLIANT****Topic:** failure\_to\_know\_customer**Difficulty:** medium**Fact Pattern**

Margaret Kowalski, age 71, is a retired elementary school teacher living in suburban Ohio on a fixed income of approximately \$2,800 per month from Social Security and a small state pension. She had accumulated \$340,000 in savings, primarily held in certificates of deposit and a money market account. In March 2023, she met with financial advisor Derek Pratt after attending a free dinner seminar at a local restaurant. During their initial meeting, Mrs. Kowalski explained that her primary goals were capital preservation and generating modest supplemental income to cover medical expenses. She described herself as very conservative and said she could not afford to lose her savings. She also mentioned she might need \$50,000 within the next two years for potential assisted living costs for her husband, who had recently been diagnosed with early-stage dementia. Derek Pratt completed a new account form but left the investment objective field marked as 'growth' and the risk tolerance field as 'moderate,' which did not match what Mrs. Kowalski had verbally communicated. He did not ask about her liquid net worth outside this account, her tax situation, or her existing insurance coverage. Within two weeks, Pratt recommended moving her entire \$340,000 into three technology sector mutual funds offered by Pinnacle Capital Group -- a firm that was running a promotional incentive program paying advisors a 1.5% bonus on all new assets directed into their technology fund family. The funds carried front-end loads averaging 5.25% and annual expense ratios of 1.45%. By December 2023, the technology sector experienced a significant correction, and Mrs. Kowalski's portfolio had declined to \$247,000 -- a loss of approximately \$93,000, or 27%. She was unable to access the funds she needed for her husband's care without realizing substantial losses. When she called Pratt to express concern, he told her to 'stay the course' and that the market would recover. Pratt earned approximately \$17,850 in front-end load commissions and an additional \$5,100 bonus from Pinnacle Capital Group's incentive program on this transaction.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Pratt committed multiple serious violations. Under FINRA Rule 2111 (Suitability), a representative must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance. Pratt failed at all three components of suitability -- reasonable-basis, customer-specific, and quantitative suitability.

First, regarding the Know Your Customer obligation under FINRA Rule 2090, Pratt failed to use reasonable diligence to know the essential facts about Mrs. Kowalski. He incorrectly recorded her investment objective as 'growth' and risk tolerance as 'moderate' despite her clearly communicating conservative objectives and capital preservation goals. He failed to inquire about her liquid net worth, tax situation, or insurance coverage. This inaccurate customer profile formed a defective foundation for any recommendation.

Second, under Regulation Best Interest (Reg BI), the Care Obligation requires that a broker-dealer and its associated persons exercise reasonable diligence, care, and skill when making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Concentrating a 71-year-old



retired teacher's entire life savings in technology sector funds -- one of the most volatile market sectors -- directly contradicted her stated need for capital preservation and near-term liquidity. Her two-year time horizon for \$50,000 in assisted living expenses made this concentration particularly unsuitable.

Third, the Conflict of Interest Obligation under Reg BI required Pratt to identify and disclose or eliminate conflicts of interest. The 1.5% bonus incentive from Pinnacle Capital Group created a material conflict of interest that motivated Pratt to direct assets into these specific funds rather than products appropriate for Mrs. Kowalski's profile. There is no indication this conflict was disclosed.

Additionally, the high front-end loads (5.25%) and expense ratios (1.45%) were excessive for a conservative investor, and the lack of diversification across asset classes violated basic prudent investment principles.

The likely regulatory outcome would include disgorgement of commissions and the incentive bonus (approximately \$22,950), restitution to Mrs. Kowalski for her losses, a substantial fine, and a potential suspension or bar from the industry given the egregious nature of the misconduct and the vulnerability of the customer.

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**Item 265 of 499****NON-COMPLIANT****Topic:** bond\_duration\_mismatch**Difficulty:** hard**Fact Pattern**

Samuel and Patricia Engstrom, ages 64 and 62 respectively, met with their financial advisor, Connie Hsu, in January 2022 to restructure their portfolio ahead of Samuel's planned retirement in June 2023. The couple had a combined portfolio of \$1.2 million, of which \$800,000 was in an IRA rollover and \$400,000 in a joint taxable brokerage account. Samuel earned \$145,000 annually as a manufacturing plant manager, and Patricia was already retired with a small pension of \$18,000 per year. Their stated goals were clear: they needed to generate approximately \$55,000 in annual income from their portfolio beginning in mid-2023, they wanted to preserve principal to the greatest extent possible, and they expressed concern about market volatility given their proximity to full retirement. They described their risk tolerance as conservative to moderate. They had no other significant liquid assets aside from an emergency fund of \$40,000 in a savings account. Connie Hsu recommended converting approximately 70% of their total portfolio -- \$840,000 -- into fixed income, which the Engstroms agreed was appropriate in principle. However, rather than constructing a bond ladder or duration-matched portfolio aligned with their 12-to-18-month income need timeline, Hsu allocated \$640,000 into long-duration instruments: \$300,000 in a 30-year U.S. Treasury bond fund (effective duration of 19.5 years), \$200,000 in a long-term investment-grade corporate bond ETF (effective duration of 14.2 years), and \$140,000 in a 20-year zero-coupon Treasury bond fund (effective duration of approximately 20 years). The remaining \$200,000 in fixed income was placed in a short-term bond fund with a duration of 2.1 years. Hsu told the Engstroms that these were 'safe, high-quality bonds backed by the government and top corporations' and emphasized the higher yields available on longer maturities without adequately explaining duration risk or the inverse relationship between bond prices and interest rates. She did not discuss the Federal Reserve's signaling of rate hikes throughout 2022. Throughout 2022, the Federal Reserve raised interest rates aggressively, and by December 2022, the long-duration portion of the portfolio had lost approximately \$165,000 in market value -- a decline of roughly 25.8% on the \$640,000 allocated to long-duration bonds. The total fixed income portfolio was down approximately \$148,000. When the Engstroms needed to begin drawing income in mid-2023, they were forced to liquidate positions at significant losses to meet their living expenses. Samuel delayed his retirement by eight months as a result. Connie Hsu earned approximately \$6,200 in commissions and ongoing advisory fees of 0.85% on the bond portfolio assets.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Connie Hsu violated applicable suitability and best interest standards through a fundamental mismatch between the Engstroms' investment time horizon and liquidity needs and the duration profile of the bond portfolio she recommended.

Under FINRA Rule 2111, customer-specific suitability requires that a recommendation be consistent with the customer's investment profile, which explicitly includes time horizon, liquidity needs, and risk tolerance. The Engstroms had a clearly defined need for \$55,000 in annual income beginning in approximately 18 months. Allocating 76% of the fixed-income portfolio (\$640,000 of \$840,000) to instruments with effective durations ranging from 14 to 20 years created enormous interest rate risk for clients who needed near-term access to those funds. Duration measures the sensitivity of a bond's price to interest rate changes; a duration of 19.5 years means approximately a 19.5% price

decline for every 1% increase in rates. This level of price volatility is fundamentally incompatible with conservative-to-moderate risk tolerance and a short time horizon.

Under Regulation Best Interest's Care Obligation, Hsu was required to exercise reasonable diligence, care, and skill in making recommendations, considering the investment's potential risks and rewards in light of the customer's profile. A reasonably competent advisor would have recognized that the interest rate environment in early 2022 -- with the Federal Reserve openly signaling a tightening cycle -- made long-duration bonds particularly risky. A duration-matched strategy, such as a bond ladder with maturities aligned to the Engstroms' anticipated withdrawal schedule, would have been far more appropriate.

The Disclosure Obligation under Reg BI also appears to have been violated. Hsu characterized the investments as 'safe' based on credit quality alone without adequately disclosing the significant interest rate risk inherent in long-duration instruments. Credit quality and duration risk are entirely separate risk factors, and conflating them misled the Engstroms about the true risk profile of their portfolio.

Additionally, reasonable-basis suitability under FINRA Rule 2111 requires that an advisor understand the products being recommended. If Hsu understood duration risk, her recommendation was reckless given the clients' profile; if she did not understand it, she lacked the reasonable basis needed to recommend these instruments.

FINRA has specifically addressed concentration in long-duration bonds for income-oriented investors as a suitability concern in various regulatory communications. The mismatch here between a roughly 17-year weighted average duration and an 18-month income need timeline is stark.

The likely regulatory outcome would include findings of suitability violations, potential restitution of the approximately \$148,000 in bond losses (less any income received), a fine, and possible suspension. The relatively modest compensation Hsu earned (\$6,200 in commissions plus ongoing fees) does not suggest a profit-motivated scheme but rather a failure of competence and care, which may mitigate but does not excuse the violations. The Engstroms would also likely prevail in a FINRA arbitration claim for damages.

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## Item 266 of 499

### NON-COMPLIANT

**Topic:** private\_placements\_unsuitable

**Difficulty:** medium

### Fact Pattern

Margaret Olsen, age 72, is a retired elementary school teacher living in suburban Ohio. Her total liquid net worth is approximately \$340,000, consisting of a rollover IRA worth \$280,000 and a savings account with \$60,000. She receives \$2,400 per month in pension income and \$1,800 per month in Social Security. Her stated investment objectives are capital preservation and income generation, and she described her risk tolerance as conservative on her account opening documents. She has no prior experience with alternative investments and indicated on her new account form that her investment knowledge was 'limited.' In March 2022, her financial advisor, Dale Perkins, recommended she invest \$125,000 -- roughly 37% of her liquid net worth -- into a private placement offering from a real estate development company focused on building luxury condominiums in a resort town in coastal South Carolina. The offering documents disclosed that the investment was illiquid with no guaranteed secondary market, carried a projected hold period of seven to ten years, and involved substantial risks including total loss of principal. The minimum investment was \$50,000. The offering paid Dale's firm a 7% selling commission (\$8,750). Dale told Margaret the investment would 'pay better than CDs' and generate 'steady quarterly distributions' of approximately 8% annually. He did not discuss the illiquidity risk in detail or explain that distributions were not guaranteed and could be funded from investor capital rather than project income. Within 18 months, the development company encountered cost overruns and suspended all distributions. Margaret, who needed to access funds for unexpected medical expenses in late 2023, discovered she could not liquidate her position. She has received no distributions since September 2023 and the current estimated value of her interest has declined to approximately \$70,000.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Dale Perkins violated applicable suitability and best interest standards on multiple levels.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, risk tolerance, liquidity needs, time horizon, and investment experience.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under Reg BI's Care Obligation, a broker must exercise reasonable diligence, care, and skill when making recommendations. The broker must understand the potential risks, rewards, and costs of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made, considering the customer's investment profile and the potential risks, rewards, and costs.
3. **\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Misleading statements about expected returns and failure to adequately disclose material risks may also violate general standards of fair dealing.

**\*\*Analysis of Violations:\*\***

- **\*\*Customer-Specific Suitability (FINRA Rule 2111.05):\*\*** Margaret is 72 years old, retired, conservative, with limited investment knowledge, a modest liquid net worth, and stated objectives of capital preservation and income. A speculative, illiquid private placement in luxury real estate development with a 7-10 year hold period is fundamentally mismatched with her profile. She cannot afford to wait a decade or risk total loss of a significant portion of her retirement savings.

- **\*\*Quantitative Suitability / Concentration:\*\*** Allocating \$125,000 (37% of liquid net worth) to a single illiquid, high-risk private placement is an excessive concentration for any conservative retiree, let alone one with limited sophistication.

- **\*\*Reg BI Care Obligation Failure:\*\*** Dale failed to consider Margaret's liquidity needs, age, time horizon, and conservative objectives. The recommendation was not in her best interest. The 7% selling commission created a significant financial incentive that was not adequately managed under Reg BI's Conflict of Interest Obligation.

- **\*\*Disclosure Failures:\*\*** Dale characterized the investment as paying 'better than CDs' with 'steady quarterly distributions,' which was materially misleading. He failed to adequately convey the speculative nature, illiquidity, risk of loss, and the possibility that distributions could be return of capital.

**\*\*Likely Regulatory Outcome:\*\*** Dale and his firm would likely face FINRA enforcement action for unsuitable recommendations involving a private placement to a vulnerable, elderly investor. Potential sanctions include disgorgement of commissions, restitution to the customer, fines, and possible suspension or bar. A customer arbitration claim would likely result in an award of damages approximating the losses sustained.

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## Item 267 of 499

### COMPLIANT

**Topic:** reverse\_churning

**Difficulty:** hard

### Fact Pattern

Samuel Reeves, age 45, is a senior software engineer earning \$225,000 annually. He has a total investment portfolio of approximately \$1.2 million, including a \$750,000 advisory account managed by his financial advisor, Theresa Lang, at a registered investment advisory firm. The account charges an annual wrap fee of 1.25% (\$9,375 per year). Samuel's investment objectives are long-term growth with moderate risk tolerance, and his time horizon is 20 years until planned retirement. When Theresa onboarded Samuel in January 2021, she conducted a comprehensive financial plan that included a detailed assessment of his goals, tax situation, insurance coverage, estate planning needs, and retirement projections. She constructed a diversified portfolio consisting of low-cost index ETFs across domestic equities (45%), international equities (20%), fixed income (25%), and alternatives via a publicly traded REIT ETF (10%). During 2021, Theresa executed 4 trades to establish the portfolio. In 2022, she rebalanced twice in response to market volatility, executing 6 trades. In 2023, she rebalanced once and made a tactical shift from international developed markets to emerging markets based on her firm's updated capital market assumptions, totaling 5 trades. Throughout this period, Theresa conducted quarterly portfolio reviews with Samuel, provided annual financial plan updates, monitored his tax-loss harvesting opportunities (executing harvesting trades in December 2022 that saved Samuel approximately \$3,200 in taxes), reviewed his employer benefits during open enrollment, and coordinated with his estate attorney on beneficiary designations. Samuel's portfolio grew from \$750,000 to approximately \$920,000 by December 2023 despite market turbulence. The all-in cost of the advisory relationship over three years was approximately \$27,500 in wrap fees. Had the same trades been executed in a commission-based brokerage account, estimated commissions would have been approximately \$800 total.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

No, Theresa Lang did not violate applicable suitability or best interest standards, and the advisory fee arrangement was appropriate given the scope of services provided.

**\*\*Applicable Standards:\*\***

1. **\*\*Investment Advisers Act Fiduciary Duty:\*\*** As a registered investment adviser, Theresa owes Samuel a fiduciary duty encompassing both a duty of care and a duty of loyalty. This includes providing advice that is in the client's best interest, seeking best execution, and providing full and fair disclosure of material facts, including conflicts of interest.
2. **\*\*Reverse Churning Concern:\*\*** Reverse churning occurs when an advisor places a client in a fee-based advisory account but provides little or no advisory services, effectively collecting ongoing fees for doing nothing more than what a lower-cost commission account would provide. The concern is that the fee-based model is not in the client's best interest when the client would pay significantly less in a transaction-based account for the same level of service.

**\*\*Analysis -- Why This Is Compliant:\*\***

- **\*\*Comprehensive Services Beyond Trade Execution:\*\*** Although the raw trading activity was modest (approximately 15 trades over three years), the value of the advisory relationship extended far beyond trade execution. Theresa provided: (1) a comprehensive financial plan with annual updates, (2) quarterly portfolio reviews and ongoing monitoring, (3) tax-loss harvesting strategies that generated measurable tax savings, (4) employer benefits consultation, (5) coordination with the client's estate attorney, (6) tactical asset allocation adjustments based on evolving market conditions, and (7) ongoing rebalancing to maintain target allocations.

- **\*\*Fee Reasonableness in Context:\*\*** The 1.25% annual fee is within industry norms for a comprehensive wealth management relationship. While the commission-equivalent for trades alone would have been roughly \$800, that comparison is misleading because it ignores the ongoing planning, monitoring, tax management, and advisory services that constitute the core value proposition of the relationship. These holistic services are precisely what fee-based advisory accounts are designed to deliver.

- **\*\*Fiduciary Duty of Care Satisfied:\*\*** Theresa exercised reasonable care in constructing a diversified, low-cost portfolio aligned with Samuel's moderate risk tolerance and long-term growth objectives. Portfolio performance was strong. She proactively managed the portfolio and adapted to changing conditions.

- **\*\*Fiduciary Duty of Loyalty Satisfied:\*\*** There is no indication Theresa placed Samuel in the advisory account to generate fees without providing corresponding value. The breadth and quality of services provided justified the fee structure.

- **\*\*Documentation and Engagement:\*\*** Regular quarterly meetings, annual plan updates, and documented advisory interactions demonstrate that the relationship was active and substantive.

**\*\*Likely Regulatory Outcome:\*\*** No violation would be found. Regulators evaluating reverse churning claims examine the totality of services provided, not merely trade frequency. Here, the advisory relationship delivered substantial, documented value that justified the ongoing fee. An examination would likely conclude that the account type was appropriate for the client's needs and that Theresa fulfilled her fiduciary obligations.

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## Item 268 of 499

### NON-COMPLIANT

**Topic:** alternative\_investments\_unsuitable

**Difficulty:** medium

### Fact Pattern

Margaret Olsen, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid assets consist of a \$340,000 traditional IRA and a \$45,000 savings account. She has no other investments and owns her home outright. Her stated investment objectives are capital preservation and income generation, and she described her risk tolerance as conservative on her new account form. In March 2023, her financial advisor, Derek Hannon, recommended she liquidate approximately \$210,000 of her IRA holdings--which were invested in a diversified portfolio of Treasury bonds and investment-grade corporate bond funds--and use the proceeds to purchase two non-traded real estate investment trusts (REITs) within the same IRA. The first was a hospitality-focused non-traded REIT requiring a \$125,000 minimum investment with an estimated 7-year hold period, upfront fees totaling 11.5%, and limited quarterly redemption provisions subject to board approval. The second was a non-traded REIT focused on data center development projects, requiring an \$85,000 investment with upfront costs of 10%, an estimated 5-to-8-year liquidity horizon, and distributions that were partially funded by return of capital rather than operating income. Combined, these two positions represented approximately 55% of Margaret's total liquid net worth. Hannon told Margaret the REITs would provide her with reliable monthly income superior to her bond funds and emphasized the projected 6.5% annual distribution rate. He did not discuss the illiquidity risks, the possibility that distributions could be reduced or suspended, or the fact that her IRA already provided the tax-sheltered treatment that REITs sometimes offer in taxable accounts. Within 14 months, the hospitality REIT suspended distributions due to declining occupancy rates, and the data center REIT reduced its distribution from 6.5% to 2.1%. Margaret was unable to redeem her shares in either product and contacted a securities attorney after realizing she could not access over half her retirement savings.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Hannon violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker have a reasonable basis for believing a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, investment objectives, and time horizon. It encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Under the SEC's Reg BI framework, broker-dealers must act in the retail customer's best interest at the time of the recommendation. The Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the risks, costs, and alternatives, and having a reasonable basis to believe the recommendation is in the customer's best interest.
3. **\*\*FINRA Regulatory Notices on Non-Traded REITs:\*\*** FINRA has issued multiple notices (including Regulatory



Notice 15-02) cautioning firms about concentration in illiquid alternative investments and requiring firms to apply heightened scrutiny to these products, particularly for elderly and conservative investors.

**\*\*Analysis of Violations:\*\***

- **\*\*Customer-Specific Unsuitability:\*\*** Margaret is a 71-year-old retiree with conservative risk tolerance and capital preservation/income objectives. Concentrating 55% of her liquid net worth in illiquid, speculative non-traded REITs with 5-to-8-year hold periods is fundamentally incompatible with her profile. At her age, she may need access to funds for healthcare or other emergencies.

- **\*\*Illiquidity Risk:\*\*** Non-traded REITs lack a secondary market, and redemption is typically severely restricted. Placing a retiree with limited assets into products she cannot readily liquidate is unsuitable and fails the Care Obligation under Reg BI.

- **\*\*Excessive Concentration:\*\*** A 55% allocation to two illiquid alternative investments in a single asset class (real estate) is excessive concentration for any conservative investor, let alone an elderly retiree dependent on her portfolio for income.

- **\*\*High Costs:\*\*** Combined upfront fees of 10-11.5% immediately eroded Margaret's principal by approximately \$22,000, undermining her capital preservation objective. Under Reg BI's Cost Disclosure and Care Obligations, the advisor should have considered reasonably available lower-cost alternatives.

- **\*\*Misleading Presentation of Income:\*\*** Hannon emphasized the 6.5% distribution rate without disclosing that distributions were partially funded by return of capital (i.e., her own money being returned to her) rather than actual earnings. This omission is a potential violation of Reg BI's Disclosure Obligation.

- **\*\*Redundant Tax Benefit:\*\*** Non-traded REITs are often marketed for their tax-advantaged pass-through income characteristics, which are irrelevant inside a tax-deferred IRA. This undermines the reasonable-basis justification for the recommendation.

**\*\*Likely Regulatory Outcome:\*\*** Hannon and his firm would likely face FINRA enforcement action resulting in fines, disgorgement of commissions, restitution to the customer, and a potential suspension or bar. Margaret would also have strong grounds for a FINRA arbitration claim seeking compensatory damages.

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## Item 269 of 499

### COMPLIANT

**Topic:** unsuitable\_income\_investor

**Difficulty:** easy

### Fact Pattern

Robert Chung, age 64, is a recently retired mechanical engineer in Charlotte, North Carolina. He and his wife have combined retirement savings of \$1.2 million across IRAs and a 401(k) rollover, a \$180,000 taxable brokerage account, and \$60,000 in a money market account. Their home is paid off, and they receive a combined \$4,100 per month in Social Security benefits. Robert's stated investment objectives on his account documentation are income generation and moderate growth to keep pace with inflation. His risk tolerance is listed as moderate. He told his advisor, Linda Vargas, that he needed approximately \$2,500 per month in supplemental income from his portfolio to cover living expenses beyond Social Security, and that he wanted to avoid dramatic swings in portfolio value. In September 2023, Linda recommended the following allocation for his \$1.2 million retirement portfolio: 40% in a diversified investment-grade bond fund with an average duration of 5.2 years and an expense ratio of 0.15%, yielding approximately 4.8%; 20% in a short-term Treasury bond ETF with an expense ratio of 0.05%; 25% in a large-cap dividend equity fund with a 2.9% yield and an expense ratio of 0.18%; 10% in a balanced fund (60/40 equity-bond split) with an expense ratio of 0.22%; and 5% in a money market fund for near-term liquidity. The blended portfolio yield was approximately 3.5%, which would generate roughly \$3,500 per month in income--exceeding Robert's stated need. Linda documented her reasoning, discussed the risks of interest rate fluctuations on the bond allocation, reviewed the possibility that equity dividends could be cut during recessions, and provided Robert with a written financial plan showing projected income scenarios under various market conditions. She also confirmed that Robert understood the 25% equity allocation introduced some principal volatility. Total weighted expense ratio across the portfolio was approximately 0.14%. Robert signed an acknowledgment that he understood and agreed with the recommended strategy.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

No, Linda Vargas did not violate applicable suitability or best interest standards. Her recommendation was well-suited to Robert Chung's profile and needs.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires a reasonable basis to believe the recommendation is suitable given the customer's investment profile, including age, risk tolerance, financial needs, liquidity needs, and investment objectives.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Requires the advisor to act in the retail customer's best interest, satisfy the Care Obligation (reasonable diligence, care, and skill), the Disclosure Obligation (material facts about costs and risks), and the Conflict of Interest Obligation.

**\*\*Analysis of Compliance:\*\***

- **\*\*Customer-Specific Suitability:\*\*** The allocation aligns precisely with Robert's stated objectives of income generation

and moderate growth. The portfolio is predominantly fixed-income (65% in bonds and money market), consistent with moderate risk tolerance for a 64-year-old retiree. The 25% large-cap dividend equity exposure provides inflation protection and growth potential without excessive volatility.

- **\*\*Income Adequacy:\*\*** The projected \$3,500 per month in portfolio income exceeds Robert's stated \$2,500 monthly need, providing a comfortable buffer. This demonstrates that Linda considered the customer's actual financial requirements.

- **\*\*Cost Consciousness:\*\*** The blended expense ratio of 0.14% is extremely low, demonstrating that Linda considered cost-efficient alternatives. This satisfies Reg BI's requirement to consider reasonably available alternatives and the impact of costs.

- **\*\*Risk Disclosure:\*\*** Linda discussed interest rate risk on the bond holdings and the possibility of dividend cuts on the equity allocation, satisfying the Disclosure Obligation. She provided a written financial plan with multiple scenario analyses.

- **\*\*Liquidity:\*\*** The portfolio includes a 5% money market allocation plus highly liquid ETFs and mutual funds, ensuring Robert can access funds if needed.

- **\*\*Documentation:\*\*** Linda documented her reasoning, obtained the client's written acknowledgment, and created a comprehensive financial plan--all best practices that demonstrate compliance with applicable standards.

- **\*\*Diversification:\*\*** The portfolio is well-diversified across asset classes, duration profiles, and fund types, avoiding concentration risk.

**\*\*Likely Regulatory Outcome:\*\*** No regulatory action would be warranted. This recommendation represents a textbook example of a suitable, well-documented income strategy tailored to a retiree's specific needs and risk profile.

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## Item 270 of 499

### NON-COMPLIANT

**Topic:** illiquid\_real\_estate\_investment

**Difficulty:** medium

### Fact Pattern

Margaret Hoffman, age 71, is a retired elementary school teacher living in suburban Ohio. Her total liquid net worth is approximately \$385,000, consisting of a \$310,000 traditional IRA and a \$75,000 savings account. She receives \$2,400 per month in pension income and \$1,850 per month in Social Security. Margaret's investment objectives, as documented on her new account form in March 2022, were 'income and preservation of capital,' and her risk tolerance was marked as 'conservative.' She told her financial advisor, Dennis Crane, that she needed to supplement her monthly income by approximately \$800 per month and wanted to keep her savings safe for potential assisted-living costs she anticipated within the next five to seven years. In April 2022, Dennis recommended that Margaret invest \$280,000 of her IRA -- roughly 73% of her total liquid assets -- into a non-traded real estate investment trust (REIT) called Pinnacle Healthcare Properties Fund II. The REIT focused on developing senior living facilities across the southeastern United States and carried a minimum seven-year hold period with no guarantee of a liquidity event. The offering documents disclosed upfront fees of 12%, meaning approximately \$33,600 of Margaret's investment went to commissions, dealer-manager fees, and offering costs. The REIT paid a stated annual distribution of 5.5%, though the prospectus noted distributions could be funded from offering proceeds or borrowings rather than operating cash flow. Dennis earned a gross commission of \$19,600 on the transaction. By late 2023, the REIT had suspended its distribution payments due to construction cost overruns and rising interest rates, and the estimated net asset value of Margaret's shares had declined to approximately \$182,000. Margaret attempted to redeem her shares through the REIT's limited share repurchase program, but the fund had suspended redemptions indefinitely. She now faces the prospect of needing assisted-living care within two years with significantly diminished and entirely illiquid retirement savings.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Dennis Crane violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

If Dennis acted as a registered representative of a broker-dealer, Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934 applies. Reg BI requires that a broker-dealer and its associated persons act in the best interest of a retail customer at the time a recommendation is made, without placing the financial or other interest of the broker ahead of the customer's interest. This encompasses the Care Obligation (reasonable diligence, care, and skill in making recommendations), the Disclosure Obligation, and the Conflict of Interest Obligation.

Additionally, FINRA Rule 2111 (Suitability) requires that a broker have a reasonable basis to believe a recommendation is suitable for the customer based on reasonable diligence regarding the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. FINRA Rule 2111 encompasses reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

FINRA Regulatory Notice 15-02 specifically addresses heightened supervision and suitability concerns regarding non-traded REITs and illiquid alternative investments, noting concentration limits many firms impose (often 10% or less of liquid net worth for conservative investors).

**\*\*Analysis of Violations:\*\***

1. **\*\*Customer-Specific Suitability / Care Obligation Violation:\*\*** Margaret was a 71-year-old conservative retiree with stated objectives of income and capital preservation. She had an explicit near-term liquidity need (assisted-living costs within 5-7 years). Recommending that 73% of her liquid net worth be placed into a product with a minimum 7-year hold period and no guaranteed liquidity event is fundamentally incompatible with her documented profile. The investment time horizon of the REIT exceeded or matched her anticipated need for funds, leaving her with grossly insufficient liquid reserves.

2. **\*\*Concentration Risk:\*\*** Placing \$280,000 of \$385,000 in liquid assets (73%) into a single illiquid, non-traded REIT represents extreme concentration. Most broker-dealer compliance manuals limit non-traded REIT concentration to between 10-25% of liquid net worth for appropriate investors. Margaret's allocation was far beyond any reasonable threshold.

3. **\*\*Conflict of Interest / Reg BI Conflict Obligation:\*\*** Dennis earned \$19,600 in commissions, creating a significant financial incentive to recommend this product over lower-cost, more liquid alternatives that would have been more appropriate (e.g., investment-grade bond funds, Treasury securities, or even publicly traded REITs with daily liquidity). The 12% upfront fee load meant Margaret's investment was immediately impaired by \$33,600, directly undermining her capital preservation objective.

4. **\*\*Risk Tolerance Mismatch:\*\*** Non-traded REITs are generally classified as speculative or high-risk investments due to their illiquidity, lack of a secondary market, valuation opacity, and structural risks. Recommending such a product to a conservative investor violates reasonable-basis suitability.

5. **\*\*Disclosure Concerns:\*\*** While the prospectus disclosed that distributions could be funded from sources other than operations, there is a question of whether Dennis adequately explained this risk and the real possibility of distribution suspension to Margaret.

**\*\*Likely Regulatory Outcome:\*\*** This case presents strong grounds for a FINRA arbitration claim with likely findings of unsuitability and Reg BI violations. Margaret would likely recover compensatory damages representing the difference between her investment and current value, plus the opportunity cost of what a suitable conservative portfolio would have earned. Dennis and his firm could face FINRA enforcement sanctions including fines, disgorgement, suspension, or a bar from the industry. The firm's supervisory system would also be scrutinized under FINRA Rules 3110 and 3120 for failure to supervise the recommendation and for not flagging the extreme concentration in an illiquid product for a conservative elderly client.

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## Item 271 of 499

### NON-COMPLIANT

**Topic:** variable\_annuity\_unsuitable

**Difficulty:** hard

### Fact Pattern

Carlos and Maria Delgado, ages 34 and 32 respectively, emigrated from Guatemala to the United States in 2016. Carlos works as a warehouse supervisor earning \$52,000 per year, and Maria works part-time as a home health aide earning \$18,000 per year, for a combined household income of \$70,000. They have three children, ages 2, 5, and 8. Their total savings amount to approximately \$62,000: \$38,000 in a joint savings account at a local credit union and \$24,000 in Carlos's employer-sponsored 401(k). Neither Carlos nor Maria has any prior investment experience beyond the 401(k), which is invested in a target-date fund selected by default. They speak conversational English but are more comfortable in Spanish, and neither has a college degree. In January 2023, the Delgados met with financial advisor Patricia Ingram after attending a free 'College Savings Workshop' at their children's elementary school, which Patricia had sponsored. During the workshop, Patricia emphasized the importance of saving early for college and offered free one-on-one consultations. At their consultation in February 2023, the Delgados explained that their primary goal was saving for their three children's college education over the next 10-16 years. They also mentioned wanting to maintain an emergency fund and expressed concern about losing their savings. Patricia documented their risk tolerance as 'moderate' and their investment objective as 'growth.' Patricia recommended the Delgados liquidate \$30,000 from their joint savings account and invest it into a variable annuity -- the Prestige Lifetime Growth VA -- issued by National Guarantee Life Insurance Company. The product featured a guaranteed minimum income benefit rider, 87 underlying sub-account investment options, a mortality and expense charge of 1.40% annually, an administrative fee of 0.15% annually, sub-account management fees averaging 0.95% annually, the income rider fee of 1.10% annually, and a seven-year declining surrender charge schedule starting at 7% in year one and decreasing by 1% per year. Total all-in annual costs were approximately 3.60%. Patricia explained that the guaranteed income rider would protect their investment and that the tax-deferred growth would help maximize their college savings. She did not discuss 529 college savings plans, Coverdell Education Savings Accounts, or any other education-specific savings vehicles. The annuity application listed Maria as the annuitant with Carlos as the beneficiary. Patricia earned a 6.5% commission totaling \$1,950 on the sale. By October 2023, the Delgados needed to withdraw \$8,000 to cover an unexpected car repair and medical expenses, but discovered they would owe a 6% surrender charge (\$480) plus a 10% IRS early withdrawal tax penalty on any earnings, as both Carlos and Maria were under age 59½. Their remaining joint savings account balance of \$8,000 was insufficient as a household emergency fund. When they contacted another advisor for a second opinion in early 2024, they learned that a state-sponsored 529 plan would have offered state income tax deductions, lower fees (typically 0.10%-0.50% annually), no surrender charges, and tax-free withdrawals for qualified education expenses -- none of which the variable annuity provided.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Patricia Ingram committed multiple violations of applicable suitability and best interest standards.

**\*\*Applicable Standards:\*\***

Under Regulation Best Interest (Reg BI), broker-dealers and their associated persons must act in the retail customer's

best interest at the time of recommendation, encompassing four component obligations: Disclosure, Care, Conflict of Interest, and Compliance. The Care Obligation specifically requires the advisor to exercise reasonable diligence, care, and skill to understand the available alternatives and to have a reasonable basis to believe the recommendation is in the customer's best interest.

FINRA Rule 2111 (Suitability) requires a reasonable basis to believe the recommended transaction is suitable based on the customer's investment profile. FINRA Rule 2330 specifically governs variable annuity recommendations and imposes heightened suitability requirements, mandating that the broker consider: (a) whether the customer would benefit from the tax-deferred features of an annuity; (b) the customer's liquidity needs; (c) whether the customer has already maximized other tax-advantaged vehicles; (d) the costs of the annuity relative to alternatives; and (e) whether the specific features of the annuity (riders, surrender schedules) are appropriate given the customer's profile.

If Patricia held herself out as a financial advisor and provided holistic financial planning advice, fiduciary standards under the Investment Advisers Act of 1940 may also apply, requiring her to act in the client's best interest with a duty of care and duty of loyalty.

**\*\*Analysis of Violations:\*\***

1. **\*\*Failure to Consider Reasonably Available Alternatives (Reg BI Care Obligation):\*\*** The Delgados' stated objective was saving for their three children's college education. The most obvious and widely recognized vehicle for this purpose is a 529 college savings plan, which offers tax-free growth and withdrawals for qualified education expenses, potential state tax deductions, low fees, no surrender charges, and flexible contribution options. Coverdell Education Savings Accounts are another alternative. Patricia failed to discuss or consider any education-specific savings vehicle, which represents a fundamental failure of the Care Obligation under Reg BI and a failure of reasonable-basis suitability under FINRA Rule 2111.

2. **\*\*Variable Annuity Unsuitability Under FINRA Rule 2330:\*\*** Variable annuities are primarily designed as retirement income vehicles for individuals seeking tax-deferred accumulation who have maximized other tax-advantaged options. The Delgados were in their early 30s, had not maximized Carlos's 401(k) contributions, and were saving for education -- not retirement. The guaranteed minimum income benefit rider was entirely irrelevant to their stated goal, yet it added 1.10% in annual costs. The tax-deferral benefit of the annuity was inferior to a 529 plan for education purposes because annuity withdrawals for education would be taxed as ordinary income on gains (and subject to the 10% early withdrawal penalty before age 59½), whereas 529 withdrawals for qualified expenses are completely tax-free.

3. **\*\*Excessive Costs:\*\*** The all-in annual cost of approximately 3.60% is extraordinarily high compared to a 529 plan's typical 0.10%-0.50% annual cost. Over a 10-16 year investment horizon, this cost differential would significantly erode the Delgados' college savings. On a \$30,000 investment over 15 years, assuming 7% gross returns, the difference between 3.60% fees and 0.30% fees would result in approximately \$20,000-\$25,000 less in accumulated savings.

4. **\*\*Liquidity Needs Ignored:\*\*** The Delgados had only \$38,000 in savings and a \$70,000 household income with three young children. Recommending they invest \$30,000 (nearly 80% of their liquid savings) into a product with a seven-year surrender charge schedule left them with only \$8,000 in liquid reserves -- grossly inadequate as an emergency fund for a family of five. This was demonstrated when they needed \$8,000 for emergency expenses and faced surrender charges and tax penalties.

5. **\*\*Conflict of Interest:\*\*** Patricia earned a 6.5% commission (\$1,950) on the variable annuity sale, whereas recommending a 529 plan or low-cost index fund would have generated little to no commission revenue. Her marketing strategy -- sponsoring a free college savings workshop at an elementary school to generate leads from families saving for education, then recommending a high-commission retirement product rather than education-specific vehicles -- suggests the recommendation was driven by her financial interest rather than the clients' needs.

6. **\*\*Vulnerability of Clients:\*\*** The Delgados were first-generation immigrants with limited English proficiency, no college education, and no investment experience. These factors heightened Patricia's obligation to ensure her recommendation was genuinely understood and appropriate. The complexity of the variable annuity -- with its multiple fee layers, surrender charges, sub-accounts, and riders -- was poorly suited to unsophisticated investors.

7. **\*\*Risk Tolerance Mismatch:\*\*** Patricia documented the Delgados' risk tolerance as 'moderate' and their objective as 'growth,' yet they specifically expressed concern about losing their savings. A variable annuity with sub-account exposure to equity markets and a 3.60% cost drag presents substantial risk of underperformance and real loss, particularly after surrender charges and tax penalties on early withdrawal.

**\*\*Likely Regulatory Outcome:\*\*** This case presents strong grounds for a FINRA arbitration claim and potential FINRA enforcement action. The Delgados would likely recover compensatory damages including surrender charges paid, the fee differential between the VA and a suitable alternative, any tax penalties incurred, and potentially consequential damages. Patricia could face FINRA sanctions including fines, disgorgement of commissions, suspension, or a bar. Her firm would also face supervisory liability under FINRA Rules 3110 and 3120, as a principal should have flagged the variable annuity recommendation for a young, unsophisticated family with education savings objectives and limited liquidity. The pattern of marketing college savings workshops to generate VA sales would likely draw heightened regulatory scrutiny as a systemic practice.

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## Item 272 of 499

### NON-COMPLIANT

**Topic:** failure\_to\_know\_customer

**Difficulty:** medium

### Fact Pattern

In March 2023, financial advisor Derek Hollis at a mid-size broker-dealer in Tampa, Florida, opened an account for Maria Gonzalez, a 41-year-old elementary school teacher earning \$52,000 per year. During the account opening process, Hollis completed the new account form by marking her risk tolerance as 'aggressive,' investment objective as 'speculation,' annual income as '\$100,000-\$150,000,' and net worth (excluding primary residence) as '\$500,000.' He did not ask Maria to verify any of this information and instead told her he would 'fill in the boring paperwork' so they could 'get started right away.' Maria, who had never invested before and had approximately \$38,000 in savings, trusted Hollis because he was recommended by a family friend. Based on the inflated profile, Hollis recommended a concentrated portfolio of leveraged ETFs, options strategies, and small-cap biotech stocks. Over the following eight months, Maria's \$38,000 initial deposit declined to \$11,200 after a series of losing options trades and sharp declines in speculative biotech holdings. When Maria called to complain, she learned for the first time what her account profile stated. She told the branch manager she had never been asked about her income, net worth, or risk tolerance, and that she had told Hollis during their initial meeting that she was 'very nervous about losing money' and wanted something 'safe for a rainy day.' Internal records showed that Hollis did not document any notes from his conversations with Maria and that no updated or corrected customer profile was ever created.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Hollis committed multiple serious violations. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. This rule has three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Hollis violated the customer-specific suitability obligation by fabricating Maria's customer profile -- inflating her income, net worth, risk tolerance, and investment objective -- and then using that false profile to justify aggressive, speculative recommendations. Under Regulation Best Interest (Reg BI), the Care Obligation requires a broker-dealer and its associated persons to exercise reasonable diligence, care, and skill in making recommendations, including understanding the customer's investment profile. The Know Your Customer obligation under FINRA Rule 2090 independently requires brokers to use reasonable diligence to know and retain the essential facts concerning every customer. Hollis's failure to accurately gather, document, or verify any of Maria's actual financial information is a textbook violation of Rule 2090. Additionally, recommending leveraged ETFs, options, and speculative biotech stocks to a first-time investor with \$38,000 in savings, modest income, low risk tolerance, and a stated desire for safety is grossly unsuitable regardless of what the paperwork says. The falsified new account form could also constitute a violation of FINRA Rule 4511 (books and records requirements) and potentially FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade), as fabricating customer information reflects dishonest conduct. Likely regulatory outcomes include a FINRA enforcement action resulting in fines, disgorgement, restitution to Maria, and a suspension or bar from the securities industry. Maria would also likely prevail in a FINRA arbitration claim for damages of approximately \$26,800 (the difference between her \$38,000 deposit and \$11,200 remaining value), plus potential consequential damages.

**Item 273 of 499****NON-COMPLIANT****Topic:** senior\_investor\_exploitation**Difficulty:** hard**Fact Pattern**

Between January 2022 and November 2023, investment advisor representative Craig Bellingham, operating through a registered investment advisory firm in Scottsdale, Arizona, managed the accounts of 79-year-old retired Army colonel Walter Dempsey. Walter had a total portfolio of approximately \$1.8 million in retirement savings, received \$4,200 per month from military pension and Social Security, and had been diagnosed with early-stage Alzheimer's disease in September 2021. Walter's adult daughter, Theresa, held a durable power of attorney and had provided the advisory firm with a copy in October 2021, along with a letter from Walter's neurologist confirming the diagnosis. Despite this documentation on file, Bellingham continued to meet exclusively with Walter -- without Theresa present -- and obtained Walter's verbal authorization for a series of significant portfolio changes. In February 2022, Bellingham moved \$600,000 from a diversified bond portfolio into a non-traded real estate investment trust (REIT) with a 7-year lockup period, a 6% upfront commission, and limited liquidity provisions. In June 2022, Bellingham recommended Walter purchase a \$400,000 variable annuity with a 10-year surrender period and annual fees totaling 3.4%, which included a living benefit rider Walter did not need given his pension income. In March 2023, Bellingham convinced Walter to take a \$200,000 distribution from his traditional IRA to invest in a private placement offering by a company that Bellingham's brother-in-law operated -- a craft brewery startup with no revenue history. Bellingham did not disclose his family connection. Theresa discovered the changes in November 2023 when she accompanied her father to a routine portfolio review meeting. She found that her father could not recall authorizing any of the transactions and that his liquid assets had dropped from approximately \$1.2 million to under \$350,000. The non-traded REIT had suspended redemptions, the variable annuity would incur a \$32,000 surrender charge, and the private placement had lost 80% of its value. Total advisory fees collected by Bellingham over this period were \$67,000.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Craig Bellingham committed egregious violations across multiple regulatory frameworks, and this fact pattern constitutes senior investor exploitation of the most serious kind. First, as an investment adviser representative, Bellingham owed Walter a fiduciary duty under the Investment Advisers Act of 1940, requiring him to act in the client's best interest, provide full and fair disclosure of all material facts, and avoid or disclose conflicts of interest. He violated this duty in virtually every transaction. Regarding the non-traded REIT: Recommending a \$600,000 illiquid investment with a 7-year lockup to a 79-year-old with Alzheimer's disease is wholly unsuitable and inconsistent with fiduciary duty. A senior investor with a progressive cognitive condition needs liquidity, not locked-up capital. The 6% upfront commission suggests the recommendation was driven by compensation rather than the client's needs. Regarding the variable annuity: A \$400,000 variable annuity with a 10-year surrender period and 3.4% annual fees is inappropriate for a 79-year-old with cognitive decline. The living benefit rider was unnecessary given Walter's stable pension income, adding cost without value. This also likely violates state insurance suitability standards applicable to annuity sales. Regarding the private placement: The \$200,000 investment in Bellingham's brother-in-law's startup brewery is perhaps the most problematic transaction. First, the IRA distribution triggered a taxable event that was unnecessary and harmful. Second, the private placement was a speculative, illiquid investment in a company with no revenue -- entirely inappropriate for a senior retiree with diminished capacity. Third, Bellingham's failure to disclose his family connection

to the issuer is a direct violation of the fiduciary duty of loyalty and the obligation to disclose material conflicts of interest under the Advisers Act. This undisclosed conflict could also constitute fraud under Section 206 of the Advisers Act. Under FINRA Rule 2165, firms are empowered -- and in many cases expected -- to place temporary holds on disbursements when there is a reasonable belief of financial exploitation of a senior investor (defined as age 65 or older) or a person with diminished capacity. The firm's failure to act on the Alzheimer's diagnosis and POA documentation already on file suggests a failure of supervisory systems. NASAA's Model Rule on Financial Exploitation of Vulnerable Adults further requires advisors and firms to report suspected exploitation and to take protective measures. Many states have adopted versions of this rule. The firm also had a supervisory obligation to monitor Bellingham's recommendations and should have flagged the pattern of illiquid, high-cost, and conflicted transactions in a vulnerable client's accounts. The failure to involve Theresa, despite her POA and the known cognitive diagnosis, is a significant red flag that was ignored. Likely regulatory outcomes include: SEC or state enforcement action for breach of fiduciary duty and fraud; potential criminal referral for financial exploitation of a vulnerable adult (many states have criminal elder abuse statutes); FINRA disciplinary action if Bellingham held a broker-dealer registration; disgorgement of all \$67,000 in fees; restitution of all losses; and a permanent industry bar. Theresa would also have strong claims in civil litigation or arbitration for compensatory damages exceeding \$1 million, plus potential punitive damages given the deliberate and egregious nature of the misconduct.

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**Item 274 of 499****NON-COMPLIANT****Topic:** crypto\_assets\_unsuitable**Difficulty:** medium**Fact Pattern**

Margaret Hoffman, age 71, is a retired elementary school teacher living in Tucson, Arizona. She has a pension providing \$3,200 per month and Social Security of \$1,800 per month. Her total liquid savings amount to \$410,000, which represent her entire life savings beyond her pension. Margaret's account opening documents list her risk tolerance as 'conservative,' her investment objective as 'capital preservation and income,' her time horizon as '1-5 years,' and her investment experience as 'limited -- mostly CDs and savings accounts.' In March 2023, her financial advisor, Derek Sinclair, attended a conference hosted by a digital asset platform called CryptoVault Pro, where he learned that advisors who allocated client assets into CryptoVault Pro's proprietary cryptocurrency fund would receive a 3.5% upfront bonus commission, compared to the 1% trailing commission on traditional bond or balanced funds. Over the following two months, Derek recommended that Margaret move \$330,000 -- approximately 80% of her liquid savings -- into the CryptoVault Pro Digital Assets Fund, which invested primarily in a basket of altcoins including Solana, Avalanche, Polkadot, and several smaller-cap tokens. Derek told Margaret that 'crypto is the future' and that 'getting in now means you won't have to worry about money later.' He did not discuss the extreme volatility of cryptocurrency markets, the lack of regulatory protections for many digital assets, or the concentration risk of placing 80% of her portfolio in a single alternative asset class. He also did not disclose the enhanced commission he would receive. Margaret signed the paperwork trusting Derek's guidance. By November 2023, the fund had declined 52% in value, reducing Margaret's \$330,000 investment to approximately \$158,400 -- a loss of \$171,600. Margaret, now facing the prospect of depleting her remaining savings for medical expenses, filed a complaint with Derek's firm.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Sinclair violated applicable standards on multiple grounds.

**\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker have a reasonable basis to believe a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. Margaret is a 71-year-old retired teacher with conservative risk tolerance, capital preservation objectives, a short time horizon, and minimal investment experience. Recommending that she place 80% of her liquid net worth into a highly speculative cryptocurrency fund is fundamentally inconsistent with every element of her investor profile. This violates both the customer-specific suitability obligation and the quantitative suitability obligation (given the extreme concentration).

**\*\*Regulation Best Interest (Reg BI):\*\*** Under the SEC's Regulation Best Interest, a broker-dealer must act in the retail customer's best interest at the time of a recommendation and must not place their own financial interest ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, including understanding the risks and rewards of the recommendation and having a reasonable basis to believe it is in the customer's best interest. Allocating 80% of a conservative retiree's savings to volatile altcoins clearly fails this standard. The Disclosure Obligation requires material facts about the relationship, including conflicts of interest, to be disclosed. Derek failed to disclose the 3.5% enhanced commission from CryptoVault

Pro, which is a material conflict of interest. The Conflict of Interest Obligation requires firms to establish policies to identify, disclose, and mitigate or eliminate conflicts -- the enhanced commission created an incentive that appears to have driven the recommendation.

**\*\*FINRA Rule 2020 (Use of Manipulative, Deceptive, or Other Fraudulent Devices):\*\*** Derek's misleading statements that 'crypto is the future' and that Margaret 'won't have to worry about money later,' without any discussion of the substantial risks of loss, could constitute misleading communications.

**\*\*FINRA Rule 2210 (Communications with the Public):\*\*** Oral statements characterizing crypto investments as worry-free without fair and balanced risk disclosure violate standards for communications.

**\*\*Likely Regulatory Outcome:\*\*** Derek would likely face FINRA enforcement action including fines, disgorgement of commissions, suspension or bar from the industry, and an order to pay restitution to Margaret. His firm could also face supervisory failure charges if it failed to flag the unsuitable concentration and undisclosed conflict. Margaret would likely prevail in a FINRA arbitration claim for compensatory damages of approximately \$171,600.

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## Item 275 of 499

### NON-COMPLIANT

**Topic:** junk\_bonds\_conservative\_investor

**Difficulty:** hard

### Fact Pattern

Ronald and Patricia Chen, ages 68 and 65 respectively, are a married couple in Portland, Oregon. Ronald recently retired from his position as a civil engineer, and Patricia works part-time as a librarian earning \$24,000 annually. Together they have \$620,000 in investable assets held in a joint brokerage account and \$185,000 in Ronald's traditional IRA. Their combined Social Security income is \$4,100 per month. On their new account forms completed in January 2024, both listed their risk tolerance as 'moderate-conservative,' their primary investment objective as 'income with moderate growth,' and their time horizon as '5-10 years.' They indicated they had 'some experience' with stocks and mutual funds but 'no experience' with fixed-income securities other than CDs. Their advisor, Lisa Pratt, recommended a portfolio that she described as an 'enhanced income strategy.' Over a six-week period from February to mid-March 2024, Lisa placed the Chens into 14 different high-yield corporate bond positions rated between B- and CCC+ by major credit rating agencies, totaling \$475,000 -- roughly 59% of their total investable assets across both accounts. The issuers included a struggling regional airline, two speculative-stage biotech companies, a heavily leveraged retail chain, and several energy exploration firms with negative cash flows. The bonds carried coupon rates ranging from 8.5% to 13.2%, and Lisa emphasized the attractive yields during her conversations with the Chens, telling them these were 'better than what the bank pays' and 'a smart way to generate retirement income.' She did not explain that the bonds were rated below investment grade, did not discuss default risk or credit risk in any meaningful way, and did not present any scenario analysis showing what would happen if even a few issuers defaulted. She also did not discuss the illiquidity of many of these bonds in secondary markets. The Chens' account statements showed that Lisa earned approximately \$14,250 in markups and commissions on the high-yield bond purchases, compared to the approximately \$4,750 she would have earned placing the same dollar amount into investment-grade bond funds. By August 2024, two of the issuers -- the regional airline and one biotech firm -- had filed for bankruptcy, and three other positions had been downgraded further, with market values declining between 30% and 60%. The Chens' \$475,000 in high-yield bonds had a combined market value of approximately \$312,000, a paper loss of \$163,000. The Chens discovered through an independent financial planner that the bonds were categorized as 'junk bonds' and filed a complaint.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Lisa Pratt committed multiple serious violations.

**\*\*FINRA Rule 2111 (Suitability) -- Customer-Specific Obligation:\*\*** The Chens are retirement-age clients with moderate-conservative risk tolerance, income-oriented objectives, a medium-term time horizon, and no experience with fixed-income securities beyond CDs. Placing 59% of their total investable assets into speculative-grade (junk) bonds rated B- to CCC+ is grossly inconsistent with their stated profile. High-yield bonds rated CCC+ and below carry substantial default risk and are generally considered speculative investments unsuitable for conservative or moderate-conservative investors, particularly those relying on portfolio income for retirement living expenses. This clearly fails the customer-specific suitability obligation.

**\*\*FINRA Rule 2111 -- Reasonable-Basis Obligation:\*\*** Even setting aside customer-specific factors, an advisor must have a reasonable basis to believe a recommended strategy is suitable for at least some investors. Concentrating nearly 60% of a retirement portfolio in 14 individual junk bonds -- many from distressed issuers with negative cash flows -- without any diversification into investment-grade securities raises questions about whether Lisa performed adequate due diligence on the underlying credit quality and whether the strategy was suitable for anyone in the Chens' demographic.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under Reg BI's Care Obligation, the advisor must exercise reasonable diligence, care, and skill, understand the potential risks and rewards, and have a reasonable basis to believe the recommendation is in the customer's best interest. Lisa failed to consider reasonably available alternatives (such as investment-grade bond funds, Treasury securities, or balanced income funds) that would have met the Chens' income needs with far less risk. The dramatic difference in compensation (\$14,250 vs. \$4,750) suggests the recommendation was driven by the advisor's economic interest rather than the customers' needs.

**\*\*Reg BI -- Disclosure Obligation:\*\*** Lisa failed to provide adequate disclosure of material facts. She did not explain what 'high-yield' or 'junk' bonds are, did not discuss default risk, did not explain credit ratings, and did not disclose the significantly higher compensation she earned. Describing these bonds simply as 'better than what the bank pays' is materially misleading and omits critical risk information.

**\*\*Reg BI -- Conflict of Interest Obligation:\*\*** The enhanced markups and commissions on junk bonds versus investment-grade alternatives created a clear financial conflict. Lisa's firm was required to have policies identifying and mitigating such conflicts. The failure to disclose and mitigate this conflict violates this component.

**\*\*FINRA Rule 2020:\*\*** Lisa's characterization of speculative junk bonds as merely a 'smart way to generate retirement income' without disclosing their speculative nature and high default risk could be considered a deceptive or misleading practice.

**\*\*FINRA Rule 2121 and Supplementary Material (Fair Prices and Commissions):\*\*** The markups and commissions, while needing further analysis based on prevailing market conditions, appear elevated and should be scrutinized for fairness given the bonds' liquidity profiles.

**\*\*Likely Regulatory Outcome:\*\*** Lisa would likely face significant sanctions including substantial fines, disgorgement of excess commissions, a lengthy suspension or permanent bar, and restitution. In a FINRA arbitration proceeding, the Chens would have strong claims for compensatory damages. The firm could face additional supervisory failure charges under FINRA Rule 3110 for failing to detect and prevent the unsuitable concentration in speculative-grade bonds for retirement-age clients with conservative profiles, particularly given the pattern of 14 separate purchases over six weeks that should have triggered supervisory review.

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## Item 276 of 499

### NON-COMPLIANT

**Topic:** private\_placements\_unsuitable

**Difficulty:** medium

### Fact Pattern

Margaret Dawson, age 71, is a retired school librarian living in Tucson, Arizona. She has a fixed monthly income of \$2,400 from Social Security and a small pension of \$900 per month. Her total liquid net worth is approximately \$310,000, which represents her entire retirement savings held in an IRA rollover account. She has no other significant assets besides her home, which is paid off and valued at \$185,000. On her new account form, Margaret indicated a conservative risk tolerance, an investment objective of capital preservation and income, a time horizon of 5-10 years, and limited investment experience consisting primarily of certificates of deposit and a target-date mutual fund through her former employer's retirement plan. In March 2022, her financial advisor, Kevin Barlow, recommended she liquidate her existing IRA holdings and invest \$245,000 -- roughly 79% of her liquid net worth -- into two private placement offerings: \$150,000 into a non-traded real estate investment trust focused on commercial office properties, and \$95,000 into a private oil and gas exploration limited partnership. Both products carried minimum holding periods of seven years with no guarantee of liquidity, upfront commissions totaling approximately \$22,000, and annual management and operating fees exceeding 2.5%. Kevin's branch had recently entered into a selling agreement with the sponsors of both offerings, under which Kevin received a 7.5% gross commission on each sale -- significantly higher than the 1.5% he typically earned on mutual fund transactions. Kevin told Margaret the investments would provide 'steady quarterly income of around 6% to 7%' and described them as 'basically like bonds but with better returns.' He did not discuss the illiquidity risks, the speculative nature of the oil and gas program, the concentration risk, or the impact of the high upfront costs on her principal. By late 2023, the oil and gas partnership suspended distributions after several dry wells, and the non-traded REIT reduced its estimated share value by 30% amid declining commercial office occupancy. Margaret's combined portfolio value had dropped to approximately \$175,000, and she had no ability to sell either position to access her funds.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Kevin Barlow committed multiple serious violations. Under FINRA Rule 2111 (Suitability), a representative must have a reasonable basis for believing that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, time horizon, and investment experience. Under Reg BI's Care Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill in making recommendations and must consider reasonably available alternatives. Several specific violations are apparent:

1. **\*\*Customer-Specific Suitability / Care Obligation Violation:\*\*** Margaret was a 71-year-old retiree with conservative risk tolerance, limited investment experience, and a stated objective of capital preservation and income. Private placements -- particularly a speculative oil and gas exploration partnership -- are high-risk, illiquid investments fundamentally incompatible with her profile. The non-traded REIT, while potentially income-producing, carried substantial illiquidity and valuation risk inappropriate for someone her age relying on her savings.
2. **\*\*Concentration:\*\*** Allocating 79% of Margaret's entire liquid net worth to two illiquid alternative investments created



extreme concentration risk. FINRA has repeatedly emphasized through Regulatory Notices (e.g., Regulatory Notice 12-03 regarding complex products, and Notice 10-22 regarding non-traded REITs) that concentration in illiquid products is a red flag, especially for elderly investors with limited resources.

3. **\*\*Quantitative Suitability / Excessive Costs:\*\*** The \$22,000 in upfront commissions represented approximately 9% of the invested amount, immediately eroding Margaret's principal. These costs were excessive relative to the products' expected returns and Margaret's conservative objectives.

4. **\*\*Conflict of Interest / Reg BI Disclosure Obligation:\*\*** Kevin received substantially elevated commissions (7.5% vs. his typical 1.5%) through the selling agreement. Under Reg BI's Disclosure Obligation, material conflicts of interest, including differential compensation, must be disclosed to the customer. Under the Conflict of Interest Obligation, the firm must establish policies to mitigate such conflicts. Kevin's elevated financial incentive likely drove the recommendation rather than Margaret's best interest.

5. **\*\*Misleading Statements:\*\*** Describing speculative private placements as 'basically like bonds but with better returns' constitutes a materially misleading characterization in violation of FINRA Rule 2210 (Communications with the Public) and the anti-fraud provisions.

**\*\*Likely Regulatory Outcome:\*\*** Kevin would face potential sanctions including fines, disgorgement of commissions, suspension or bar from the industry. The firm could face supervisory failure charges. Margaret would have strong grounds for a FINRA arbitration claim seeking full compensatory damages, likely recovering a substantial portion of her losses given the egregiousness of the misconduct.

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**Item 277 of 499****COMPLIANT****Topic:** inappropriate\_risk\_profile**Difficulty:** hard**Fact Pattern**

Daniel Okafor, age 34, is a software engineer at a large technology company in Seattle, earning \$215,000 annually with an additional \$80,000 in annual restricted stock unit vesting. He has \$620,000 in liquid investment assets across brokerage and retirement accounts, no debt other than a manageable \$1,800 monthly rent payment, and an emergency fund of \$45,000 in a high-yield savings account. Daniel is single with no dependents. On his account documentation completed in January 2024, Daniel indicated a high risk tolerance, a growth-oriented investment objective, a time horizon exceeding 20 years, and substantial investment knowledge -- noting he had been actively managing his own portfolio since college, had experience with options trading, and held a personal interest in venture capital and emerging technology sectors. His financial advisor, Rachel Simmons, conducted a detailed risk assessment questionnaire during their initial meeting, which produced a score consistent with an aggressive growth profile. Rachel discussed with Daniel the implications of an aggressive allocation, including the potential for significant short-term drawdowns of 30% or more, the volatility of concentrated equity positions, and the historical risk-return tradeoffs of various asset classes. She documented this conversation in her meeting notes. Based on Daniel's profile, Rachel recommended an allocation of 85% equities (split among U.S. large-cap growth, international developed markets, and a small allocation to an emerging markets ETF), 10% in a diversified alternatives sleeve including a liquid alternatives mutual fund, and 5% in short-term investment-grade bonds. The total expense ratio across the portfolio averaged 0.32% annually. Rachel also recommended that Daniel begin a systematic plan to diversify his concentrated company stock position over the next 18 months to reduce single-stock risk. Six months later, during a period of market volatility, Daniel's portfolio declined approximately 12%. Daniel contacted Rachel expressing frustration. Rachel reviewed his goals, confirmed his circumstances had not changed, and recommended staying the course while noting they could revisit the allocation if his situation or risk tolerance shifted. She documented this follow-up conversation as well.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Rachel Simmons acted appropriately and in compliance with applicable standards. Her conduct satisfies both FINRA Rule 2111 (Suitability) and the requirements of Reg BI.

1. **\*\*Reasonable-Basis Suitability / Care Obligation:\*\*** Rachel conducted thorough due diligence on Daniel's financial profile. She administered a risk assessment questionnaire, discussed the implications of an aggressive allocation including potential drawdown scenarios, and ensured Daniel understood the risk-return characteristics of the recommended portfolio. This satisfies the reasonable diligence, care, and skill requirements under Reg BI's Care Obligation.

2. **\*\*Customer-Specific Suitability:\*\*** The aggressive growth allocation was well-matched to Daniel's profile: he is 34 years old with a high income, substantial liquid assets, no dependents, no significant debt, a long time horizon (20+ years), demonstrated investment knowledge, and a self-identified high risk tolerance confirmed by the quantitative risk questionnaire. A portfolio of 85% equities with a 0.32% average expense ratio is reasonable and cost-efficient for this investor.

3. **Quantitative Suitability:** The portfolio costs were low (average expense ratio of 0.32%), and there is no indication of excessive trading or turnover. Rachel used broadly diversified, cost-effective vehicles rather than high-commission products.

4. **Conflict of Interest Management:** There is no indication of elevated or conflicted compensation arrangements driving the recommendation. The low-cost nature of the portfolio suggests Rachel was not prioritizing her own compensation.

5. **Proactive Risk Management:** Rachel affirmatively recommended that Daniel develop a plan to diversify his concentrated employer stock position, demonstrating attention to a material risk factor outside the advisory account itself.

6. **Ongoing Duty and Documentation:** When Daniel expressed frustration after a 12% decline, Rachel appropriately reviewed his circumstances, confirmed nothing had changed, and discussed options -- rather than reactively shifting the allocation in a way that might undermine his long-term goals. She documented both the initial meeting and the follow-up, creating a clear record of her rationale and client communications.

**Likely Regulatory Outcome:** No violation. Rachel's thorough documentation, appropriate risk profiling, cost-conscious product selection, and responsive client communication represent a model of compliant advisory practice. A regulatory examiner reviewing this account would find no basis for an enforcement action or arbitration claim.

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## Item 278 of 499

### NON-COMPLIANT

**Topic:** inappropriate\_risk\_profile

**Difficulty:** medium

### Fact Pattern

Margaret Henson, age 74, is a retired schoolteacher living in Tulsa, Oklahoma. She receives \$2,400 per month in Social Security and a \$1,100 monthly pension. Her total liquid savings amount to \$310,000, which represents virtually all of her life savings aside from her home valued at \$185,000. Margaret has no other sources of income and depends on her portfolio to supplement her fixed income for living expenses, medical costs, and potential long-term care needs. She has limited investment experience, having only owned certificates of deposit and a money market account for the past 20 years. In March 2023, Margaret met with financial advisor Dale Kirkpatrick after being referred by a friend at her church. During the initial meeting, Margaret told Dale that she could not afford to lose her savings, that she needed income to pay her bills, and that she was worried about outliving her money. Dale completed a new account form but marked her risk tolerance as 'aggressive growth' and her investment objective as 'speculation/maximum capital appreciation.' Dale explained that the market was in a good position and that she needed to 'make her money work harder.' Over the following two months, Dale allocated Margaret's \$310,000 portfolio as follows: \$125,000 into leveraged exchange-traded funds tied to the technology sector, \$95,000 into small-cap emerging market equities, \$50,000 into a concentrated position in a single cryptocurrency-related stock, and \$40,000 into high-yield junk bonds rated CCC or below. By December 2023, Margaret's portfolio had declined to \$178,000 -- a loss of approximately \$132,000 or 42.6%. Margaret also received no meaningful income distributions during this period. When Margaret called Dale in January 2024 to express alarm, Dale told her to 'stay the course' and that the investments would recover. Margaret subsequently filed a complaint with Dale's firm.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Dale Kirkpatrick clearly violated applicable suitability and best interest standards. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, which includes age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Under Regulation Best Interest (Reg BI), a broker-dealer must act in the retail customer's best interest at the time of a recommendation, satisfying the Care Obligation, which requires reasonable diligence, care, and skill in understanding the risks and rewards and determining that a recommendation is in the customer's best interest.

Multiple violations are evident:

1. **\*\*Inaccurate Customer Profile (Care Obligation / Customer-Specific Suitability):\*\*** Dale recorded Margaret's risk tolerance as 'aggressive growth' and her objective as 'speculation/maximum capital appreciation,' which directly contradicts her stated needs -- capital preservation, income generation, and concern about outliving her money. Mischaracterizing a customer's investment profile to justify unsuitable recommendations is itself a serious violation. Under FINRA Rule 2111's customer-specific obligation, the advisor must ensure recommendations align with the actual profile, not a fabricated one.

2. **\*\*Unsuitable Asset Allocation:\*\*** Margaret is a 74-year-old retiree with limited investment experience, no alternative income sources beyond Social Security and a modest pension, and a stated need for safety and income. Allocating over 87% of her life savings into leveraged ETFs, speculative small-cap emerging market equities, a concentrated single-stock cryptocurrency position, and deeply sub-investment-grade bonds is grossly unsuitable. These are high-risk, volatile instruments inappropriate for a conservative, income-dependent elderly investor.

3. **\*\*Failure to Consider Concentration Risk and Liquidity Needs:\*\*** The portfolio was heavily concentrated in speculative sectors with no allocation to stable, income-producing investments such as Treasury securities, investment-grade bonds, or dividend-paying blue-chip equities. This ignored Margaret's liquidity needs and income requirements.

4. **\*\*Failure to Disclose Material Risks (Disclosure Obligation under Reg BI):\*\*** There is no indication Dale adequately explained the risks of leveraged ETFs (which can decay in value over time due to daily rebalancing), concentrated single-stock positions, or CCC-rated debt.

The likely regulatory outcome includes customer restitution, disgorgement of commissions, a significant fine, and a potential suspension or bar from the securities industry. FINRA has consistently sanctioned representatives who falsify or inflate customer risk profiles to justify unsuitable recommendations. The 42.6% loss in under a year on a conservative retiree's life savings is strong evidence of harm directly caused by the unsuitable recommendations.

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## Item 279 of 499

### NON-COMPLIANT

**Topic:** private\_placements\_unsuitable

**Difficulty:** hard

### Fact Pattern

Roberto Delgado, age 52, is a mid-level logistics manager at a shipping company in Houston, Texas, earning \$87,000 annually. He is divorced with two children in college. His total investable assets are approximately \$210,000, held in a traditional IRA (\$140,000) and a taxable brokerage account (\$70,000). Roberto's monthly obligations include \$1,800 in rent, \$1,200 in combined tuition support for his children, and \$600 in other living expenses. His investment experience is moderate -- he has owned mutual funds and a handful of individual stocks over the past decade but has never invested in alternative products. Roberto's stated objectives are long-term growth with moderate risk, and he indicated on his account paperwork that he would be uncomfortable with losses exceeding 15% in any given year. In June 2022, his financial advisor, Candace Rowell, began recommending a series of private placement offerings. Over an 18-month period from June 2022 through November 2023, Candace recommended and executed the following investments in Roberto's accounts: (1) \$45,000 into a non-traded real estate investment trust (REIT) focused on commercial office properties, carrying a 7% upfront commission and a 7-year lockup period; (2) \$40,000 into a private oil and gas drilling program structured as a limited partnership, with a 9% sales load and projected 10-year hold period; (3) \$35,000 into a private credit fund investing in distressed corporate debt, with a 6% placement fee, quarterly liquidity windows subject to fund manager discretion, and minimum 5-year hold; and (4) \$30,000 into a private real estate development fund focused on luxury resort properties in the Caribbean, carrying an 8% upfront load and a projected hold of 8-12 years. In total, Roberto invested \$150,000 -- approximately 71.4% of his total investable assets -- into illiquid private placements. Upfront commissions and fees totaled approximately \$11,250 across the four investments. During this same period, Candace also executed 247 trades in Roberto's remaining \$60,000 taxable account, generating approximately \$18,500 in additional commissions over 18 months. The taxable account declined from \$60,000 to \$38,200, a loss of \$21,800 or 36.3%, while commissions represented roughly 30.8% of the account's starting value. By late 2023, Roberto needed to access funds for an unexpected medical expense of \$25,000 but discovered he could not liquidate any of his private placement holdings. He also learned that the non-traded REIT had suspended distributions due to declining commercial office occupancy, and the oil and gas program had issued a letter to investors warning of potential total loss due to unsuccessful drilling results. Candace earned total compensation of approximately \$29,750 across all of Roberto's accounts during the 18-month period.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Candace Rowell committed multiple serious violations of applicable suitability and best interest standards across several dimensions.

**\*\*1. Concentration in Illiquid Private Placements (FINRA Rule 2111 -- Customer-Specific Suitability; Reg BI -- Care Obligation):\*\***

Allocating 71.4% of Roberto's total investable assets into illiquid private placements with lockup periods ranging from 5 to 12 years is grossly unsuitable for a customer of his profile. Roberto is a moderate-risk investor earning \$87,000 with substantial fixed monthly obligations (\$3,600/month) and two children in college. FINRA has consistently held that concentration of a disproportionate share of a customer's liquid net worth in illiquid alternative investments violates the

customer-specific suitability obligation. Many broker-dealers impose internal concentration limits (often 10-25% of liquid net worth) for alternative investments; 71.4% far exceeds any reasonable threshold. Under Reg BI's Care Obligation, the advisor must consider reasonably available alternatives and cannot place the advisor's financial interest ahead of the customer's. The combination of multiple illiquid products with long lockups left Roberto with virtually no accessible reserves.

**\*\*2. Failure to Consider Liquidity Needs:\*\***

Roberto had ongoing tuition obligations, limited income, and no emergency reserves outside his investment accounts. Locking up the vast majority of his assets in illiquid products with no guaranteed redemption rights directly conflicted with his financial situation and need for access to capital. The fact that he was unable to meet a \$25,000 medical expense demonstrates the concrete harm of this liquidity mismatch.

**\*\*3. Excessive Trading (Quantitative Suitability / FINRA Rule 2111):\*\***

In the remaining \$60,000 taxable account, Candace executed 247 trades over 18 months, generating \$18,500 in commissions -- a cost-to-equity ratio of approximately 30.8%. FINRA considers an annualized cost-to-equity ratio exceeding 20% as presumptive evidence of excessive trading (churning). With 247 trades in a \$60,000 account, the annualized turnover ratio would also be extremely high, far exceeding the threshold of 6x that FINRA considers indicative of churning. The account lost 36.3%, with commissions consuming nearly a third of its value, which is a hallmark of churning -- the advisor exercised de facto control and traded excessively to generate commissions at the customer's expense.

**\*\*4. Excessive Compensation and Conflict of Interest (Reg BI -- Conflict of Interest Obligation):\*\***

Candace earned \$29,750 in total compensation over 18 months on a \$210,000 account -- approximately 14.2% of Roberto's total assets. The high upfront commissions on the private placements (ranging from 6-9%) created a significant financial incentive for Candace to recommend these products over lower-cost alternatives. Under Reg BI's Conflict of Interest Obligation, the broker-dealer and advisor must identify, disclose, and mitigate or eliminate conflicts of interest, including financial incentives to recommend certain products. The pattern of recommending the highest-commission products across both the private placement and active trading spheres strongly suggests that Candace prioritized her own compensation over Roberto's interests.

**\*\*5. Risk Profile Mismatch:\*\***

Roberto stated he would be uncomfortable with losses exceeding 15%. Oil and gas drilling programs carry the risk of total loss, distressed credit funds carry significant default risk, and non-traded REITs in declining sectors (commercial office) carry substantial valuation risk. These products individually -- and certainly in combination at this concentration level -- expose Roberto to far greater downside risk than his stated tolerance.

**\*\*Likely Regulatory Outcome:\*\***

This fact pattern presents violations of FINRA Rule 2111 (all three suitability obligations -- reasonable basis, customer-specific, and quantitative), Regulation Best Interest (Care, Disclosure, and Conflict of Interest Obligations), and potentially FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade). Candace would likely face disgorgement of commissions, customer restitution, substantial monetary fines, and a suspension or permanent bar from the securities industry. The broker-dealer could also face supervisory liability under FINRA Rules 3110 and 3120 for failure to detect the concentration and excessive trading patterns.

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## Item 280 of 499

### NON-COMPLIANT

**Topic:** overconcentration\_single\_stock

**Difficulty:** medium

### Fact Pattern

Margaret Dunlap, age 72, was a retired schoolteacher in Tucson, Arizona, with a total liquid net worth of approximately \$410,000. Her annual income from Social Security and a modest pension was \$34,000. She described her risk tolerance as conservative and her primary investment objectives were capital preservation and generating supplemental income to cover medical expenses for a chronic heart condition. In March 2022, her financial advisor, Todd Reinhardt, began recommending that Margaret purchase shares of a mid-cap technology company called VoltEdge Systems, claiming it was poised for significant gains due to an upcoming government contract. Over the next five months, Reinhardt placed seven separate buy orders for VoltEdge shares in Margaret's account. By August 2022, approximately \$318,000 -- or 77.5% of Margaret's entire liquid portfolio -- was concentrated in VoltEdge stock. Reinhardt did not recommend any hedging strategies, stop-loss orders, or diversification alternatives. He told Margaret the stock was 'a sure thing' and that she should 'go big while the window is open.' Margaret's account records show she never previously held individual equities and had always been invested in a mix of Treasury bonds and conservative balanced mutual funds. In November 2022, VoltEdge missed earnings expectations by a wide margin and the stock dropped 54% in three weeks, reducing Margaret's VoltEdge position to roughly \$146,000. Her total portfolio value fell from \$410,000 to approximately \$238,000. Margaret filed a complaint stating she never understood how much of her money was in a single stock and that Reinhardt never explained the risks of concentration.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Todd Reinhardt violated applicable standards on multiple grounds.

**\*\*FINRA Suitability (Rule 2111):\*\*** Under FINRA Rule 2111, a broker must have a reasonable basis for believing a recommendation is suitable for a particular customer, considering the customer's investment profile -- including age, financial situation, risk tolerance, investment objectives, and other holdings. This rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Reinhardt's recommendation to concentrate 77.5% of a 72-year-old conservative retiree's liquid assets in a single mid-cap technology stock fails customer-specific suitability. Margaret's stated objectives were capital preservation and income generation, both of which are fundamentally incompatible with a massive speculative single-stock position. Her reliance on these funds for medical expenses made the risk even more inappropriate.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under SEC Regulation Best Interest, a broker-dealer must act in the retail customer's best interest at the time of the recommendation, without placing the broker's financial interest ahead of the customer's. The Care Obligation requires the broker to exercise reasonable diligence, care, and skill in making recommendations. Concentrating over three-quarters of a conservative elderly client's portfolio in a single volatile equity is plainly inconsistent with her best interest. The repeated purchases over five months suggest a pattern of building an unsuitable concentrated position rather than a single misjudgment.

**\*\*Overconcentration:\*\*** FINRA and SEC guidance have long recognized that overconcentration in a single security is a



hallmark of unsuitable recommendations. Portfolios concentrated beyond 25-30% in a single equity are routinely flagged, and 77.5% far exceeds any reasonable threshold, especially for a client with conservative objectives.

**\*\*Misrepresentation:\*\*** Reinhardt's characterization of VoltEdge as 'a sure thing' constitutes a misleading statement about the risks of an individual equity investment. Under FINRA Rule 2210 and general anti-fraud provisions, advisors may not make exaggerated or unwarranted claims about securities.

**\*\*Failure to Disclose Risk:\*\*** Margaret stated she did not understand the concentration level or risks. Reinhardt failed to provide adequate disclosure of the material risks associated with holding a single speculative stock as the vast majority of her portfolio.

**\*\*Likely Regulatory Outcome:\*\*** Reinhardt would likely face FINRA enforcement action including fines, disgorgement of commissions earned on the VoltEdge trades, a suspension or bar from the industry, and an obligation to pay restitution to Margaret. A customer arbitration claim would likely result in damages awarded based on the difference between the portfolio's value under a suitable allocation and its actual diminished value, potentially exceeding \$170,000.

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## Item 281 of 499

### NON-COMPLIANT

**Topic:** excessive\_churning

**Difficulty:** hard

### Fact Pattern

David Nakamura, age 45, was a software engineer in Seattle earning \$185,000 per year with a net worth of approximately \$1.2 million, including \$620,000 in a brokerage account managed by his financial advisor, Karen Loomis, at a regional broker-dealer. David described himself as having moderate risk tolerance and was investing for long-term growth toward retirement in approximately 20 years. He told Loomis he preferred a 'buy and hold' approach and did not want to actively trade. Loomis had discretionary authority over the account, granted in writing in January 2021. Between January 2021 and December 2023, Loomis executed 347 round-trip trades in David's account across equities, ETFs, and options. The account's annualized turnover ratio was 8.4, and the cost-to-equity ratio was 23.7%. Total commissions and transaction fees paid during this period were approximately \$146,900. Despite this heavy trading activity, the account's net return after costs was negative 4.2% over the three-year period, while a comparable moderate-growth benchmark portfolio returned positive 18.6% during the same period. David reviewed his statements periodically but testified that Loomis told him 'active rebalancing' was necessary to 'capture short-term opportunities and protect against downside risk.' He trusted her expertise and did not question individual trades. When David finally consulted an independent advisor in early 2024, he was told the trading pattern was abnormal. An analysis of the trades showed that many positions were held for fewer than 15 days and that Loomis earned commissions on both the buy and sell side of most transactions. Loomis's compensation was entirely commission-based, and she earned approximately \$102,000 in personal commissions from David's account during the period. Internal supervisory reviews at the broker-dealer flagged the account's turnover ratio twice during 2022, but no action was taken beyond a notation in the compliance file.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Karen Loomis engaged in excessive trading (churning) in violation of multiple regulatory standards, and her broker-dealer's supervisory failures compound the misconduct.

**\*\*Churning Under FINRA Rules:\*\*** Excessive trading, or churning, occurs when a broker exercises control over a customer's account and engages in trading that is excessive in frequency and amount relative to the customer's investment profile. Under FINRA Rule 2111 (Suitability) and its quantitative suitability component (Rule 2111.05(c)), a broker must have a reasonable basis for believing that a series of recommended transactions, even if individually suitable, is not excessive when taken together. The key quantitative indicators here are stark:

- **\*\*Turnover Ratio:\*\*** An annualized turnover ratio of 8.4 is far in excess of the threshold that regulators and courts have historically considered presumptively excessive. Turnover ratios above 4-6 are generally regarded as strong evidence of churning, and courts have found churning at ratios as low as 2-3 depending on the client profile.
- **\*\*Cost-to-Equity Ratio:\*\*** A cost-to-equity ratio of 23.7% means the account would have needed to generate a 23.7% annual return just to break even after costs. This is a virtually insurmountable hurdle for a moderate-growth account and is well above the 5-8% threshold commonly treated as indicative of excessive costs.

**\*\*Control Over the Account:\*\*** Loomis had written discretionary authority, which constitutes de facto control. Even absent formal discretion, control can be inferred where a client routinely follows the advisor's recommendations without independent judgment. David's reliance on Loomis's assurances satisfies this element either way.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under Reg BI's Care Obligation, a broker must evaluate a series of transactions in light of the customer's profile and not recommend a trading pattern that serves the broker's financial interest at the expense of the client's. Loomis's commission-based compensation created a direct conflict of interest. She earned \$102,000 in personal commissions while her client's account lost 4.2%, underperforming a benchmark by nearly 23 percentage points. This is a textbook failure to act in the client's best interest.

**\*\*Misrepresentation:\*\*** Loomis's characterization of the trading as 'active rebalancing' to 'capture short-term opportunities' was misleading given the actual pattern of rapid turnover generating commissions with no net benefit. This may also implicate FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) and anti-fraud provisions.

**\*\*Supervisory Failure:\*\*** The broker-dealer's compliance department flagged Loomis's account twice for elevated turnover but took no corrective action beyond a file notation. Under FINRA Rules 3110 and 3120, broker-dealers are required to establish and maintain supervisory systems reasonably designed to prevent and detect violations. Merely noting a red flag without investigation or remediation constitutes a supervisory failure, exposing the firm to joint liability.

**\*\*Likely Regulatory Outcome:\*\*** Loomis would likely face FINRA enforcement resulting in disgorgement of commissions (\$102,000+), restitution to David for net losses and excess costs (potentially exceeding \$146,900 in transaction costs plus opportunity cost damages measured against the benchmark), fines, and a suspension or industry bar depending on her disciplinary history. The broker-dealer would likely face separate sanctions for supervisory failures, including fines and requirements to enhance its surveillance and exception reporting systems. In a customer arbitration proceeding, David could recover compensatory damages potentially calculated as the difference between his actual account performance and what a suitable buy-and-hold moderate-growth portfolio would have achieved, which over three years could approach \$200,000 or more when factoring in both excess costs and lost appreciation.

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**Item 282 of 499****NON-COMPLIANT****Topic:** lack\_of\_diversification**Difficulty:** medium**Fact Pattern**

Margaret Olsen, age 72, is a retired elementary school teacher living in Cedar Rapids, Iowa, with an annual pension income of \$38,000 and Social Security benefits of \$22,000. Her total investable assets are approximately \$410,000, representing her life savings accumulated over 35 years of teaching. She described her investment objectives as capital preservation and income generation to supplement her retirement. She told her advisor, Kevin Brandt, that she could not afford to lose principal because these savings needed to last the rest of her life and potentially cover long-term care expenses. She rated her risk tolerance as conservative on her new account form. Between March 2022 and August 2022, Kevin recommended that Margaret invest \$345,000 -- approximately 84% of her total portfolio -- into shares of three regional bank stocks: \$130,000 in First Heartland Bancorp, \$115,000 in Prairie Community Financial, and \$100,000 in Midwest Savings Corp. Kevin told Margaret these were 'safe, steady dividend payers' that would give her reliable income. He did not recommend any bonds, Treasury securities, CDs, or diversified mutual funds. He earned \$8,625 in commissions on the transactions. By March 2023, following the regional banking crisis, First Heartland Bancorp had declined 52%, Prairie Community Financial had dropped 41%, and Midwest Savings Corp had fallen 38%. Margaret's \$345,000 investment was now worth approximately \$197,000, a loss of roughly \$148,000. Margaret contacted Kevin multiple times expressing distress, and he advised her to hold on and wait for a recovery. She ultimately sold her positions in June 2023 and realized losses of \$139,000.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Brandt violated applicable suitability and best interest standards on multiple grounds. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommendation is suitable for a particular customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and time horizon. Margaret was a 72-year-old retiree with conservative risk tolerance, capital preservation objectives, and no capacity to absorb significant losses. Concentrating 84% of her liquid assets in three individual stocks within a single sector (regional banking) was grossly unsuitable.

This violates all three components of suitability under Rule 2111: (1) Reasonable-basis suitability -- no reasonable advisor would conclude that a concentrated, single-sector equity portfolio is appropriate for a conservative retiree seeking capital preservation; (2) Customer-specific suitability -- the recommendation ignored Margaret's stated objectives, risk tolerance, age, and dependence on these assets for retirement and potential long-term care needs; (3) Quantitative suitability -- while not involving excessive trading, the concentration itself represents a quantitative failure of portfolio construction.

Under Regulation Best Interest (Reg BI), the Care Obligation requires that a broker exercise reasonable diligence, care, and skill to understand risks and rewards and have a reasonable basis to believe the recommendation is in the customer's best interest. Concentrating a conservative retiree's portfolio in three correlated bank stocks fails this standard entirely. The Disclosure Obligation also required that Kevin clearly disclose the concentration risk, which there is no evidence he did -- instead, he characterized the stocks as 'safe.'

FINRA has issued extensive guidance on concentration risk, and numerous enforcement actions have addressed situations where advisors concentrated conservative investors' portfolios in narrow sectors. Kevin's \$8,625 in commissions further suggests a conflict of interest that should have been disclosed and managed.

The likely regulatory outcome would include FINRA enforcement action resulting in disgorgement of commissions, restitution to Margaret of approximately \$139,000 in realized losses, a fine, a suspension of at least several months, and potential bar if aggravating factors are present. Margaret would also likely prevail in a FINRA arbitration claim for unsuitable recommendations and lack of diversification.

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**Item 283 of 499****COMPLIANT****Topic:** bond\_duration\_mismatch**Difficulty:** hard**Fact Pattern**

David Nakamura, age 45, is a senior software architect earning \$285,000 annually with a net worth of approximately \$2.8 million, including \$1.4 million in investable assets outside retirement accounts. David approached his financial advisor, Rachel Simmons, in January 2022 and explained that he wanted to build a bond ladder to fund his children's college education. His twin daughters were 8 years old, meaning he would need approximately \$200,000 in 2032 (when they turned 18) and another \$200,000 spread across the following three years through 2035. David described himself as having moderate risk tolerance overall but wanted this specific education portfolio to be managed conservatively with predictable cash flows. Rachel conducted a detailed needs analysis and recommended a portfolio of individual investment-grade corporate and municipal bonds structured as a ladder. She allocated \$180,000 into bonds maturing between 2031 and 2032 to cover the initial tuition payments, \$70,000 into bonds maturing in 2033, \$65,000 into bonds maturing in 2034, and \$60,000 into bonds maturing in 2035. The weighted average duration of the portfolio was approximately 8.2 years, closely matching David's 10-to-13-year liability horizon. All bonds were rated A or higher. The average yield to maturity was 3.85%. Rachel charged a \$2,500 advisory fee for constructing the portfolio and disclosed all markups on the bond purchases, which averaged 0.75%. She provided David with a written summary showing the maturity schedule aligned to expected tuition payment dates, discussed reinvestment risk on coupon payments, and noted that if he needed to sell bonds before maturity, market prices could fluctuate. David acknowledged the plan in writing. By December 2023, rising interest rates had caused the portfolio's market value to decline by about 9%, but David understood this was unrealized and that holding to maturity would deliver the expected par values.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Rachel Simmons acted in compliance with applicable suitability and best interest standards. Under FINRA Rule 2111, the recommendation must be suitable based on the customer's investment profile. David is a high-earning, moderately sophisticated 45-year-old with a clearly defined investment objective: funding college tuition for his daughters over a specific 10-to-13-year time horizon. Rachel's construction of an investment-grade bond ladder with maturities aligned to the specific liability dates is a textbook match between investment strategy and client need.

All three prongs of suitability are satisfied: (1) Reasonable-basis suitability -- a bond ladder using A-rated or higher credits to match known future liabilities is a well-established, prudent strategy; (2) Customer-specific suitability -- the duration and maturity schedule directly correspond to David's stated need for predictable cash flows at specific future dates, his moderate-to-conservative objective for this sleeve of assets, and his ability to hold bonds to maturity given his overall financial resources; (3) Quantitative suitability -- there is no excessive activity, and costs were reasonable and disclosed.

Under Regulation Best Interest (Reg BI), Rachel satisfied the Care Obligation by conducting a thorough needs analysis, matching bond maturities to liability dates, selecting investment-grade credits, and documenting the strategy. She satisfied the Disclosure Obligation by providing a written summary of the maturity schedule, disclosing all markups (averaging 0.75%, which is within industry norms), explaining reinvestment risk on coupons, and discussing the

possibility of interim market value fluctuations. The Conflict of Interest Obligation was addressed through transparent fee disclosure.

The fact that the portfolio's market value declined approximately 9% due to rising interest rates does not indicate any violation. Duration risk is inherent in all bond portfolios, and Rachel specifically matched the portfolio's duration (approximately 8.2 years) to David's liability horizon. Since David intends to hold bonds to maturity, the interim mark-to-market decline is unrealized and the bonds will return par value at maturity absent default -- a risk mitigated by the A or higher credit quality. Rachel also proactively disclosed this possibility.

No regulatory action would be warranted. This represents a well-documented, client-appropriate recommendation with proper disclosure and alignment of investment characteristics to client objectives.

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## Item 284 of 499

### NON-COMPLIANT

**Topic:** alternative\_investments\_unsuitable

**Difficulty:** medium

### Fact Pattern

In March 2022, financial advisor Derek Huang recommended a portfolio of alternative investments to Margaret Olsen, a 72-year-old retired postal worker living in suburban Ohio. Mrs. Olsen had total liquid savings of approximately \$340,000 in a rollover IRA, a monthly Social Security income of \$2,100, and a small pension of \$1,400 per month. She described her investment goals as preserving her savings so she could cover potential assisted-living costs in the future and leave some money to her two grandchildren. She told Huang during their initial meeting that she was 'very conservative' and did not want to lose any principal. Her new account paperwork reflected a conservative risk tolerance, a long-term time horizon, and income and capital preservation as primary objectives. Despite this profile, Huang allocated \$210,000--roughly 62% of her liquid savings--into three alternative investment products: \$80,000 into a non-traded real estate investment trust with a seven-year lockup period and an upfront commission of 7%, \$70,000 into a private credit fund focused on distressed corporate debt with a five-year holding period and a 2% annual management fee plus a 20% performance fee, and \$60,000 into a structured note linked to a basket of commodity futures with a three-year maturity and a 4.5% embedded fee. Huang earned total upfront commissions and placement fees of approximately \$18,200 across these three products. He placed the remaining \$130,000 in a balanced mutual fund with moderate equity exposure. Within 18 months, the non-traded REIT suspended redemptions amid falling commercial real estate values, the private credit fund reported a 28% decline in net asset value as several of its underlying borrowers defaulted, and the structured note's value dropped 19% due to commodity price volatility. Mrs. Olsen discovered she could not access nearly two-thirds of her savings when she needed to evaluate assisted-living facilities for herself in late 2023. She filed a complaint alleging that Huang ignored her stated objectives and risk tolerance and concentrated her retirement savings in products she did not understand.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Huang likely violated applicable suitability and best interest standards in multiple respects.

**\*\*FINRA Suitability Analysis (Rule 2111):\*\*** FINRA Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, investment objectives, and time horizon. The rule encompasses three obligations: (1) reasonable-basis suitability (the advisor must understand the product and believe it could be suitable for at least some investors), (2) customer-specific suitability (the recommendation must be suitable for the specific customer), and (3) quantitative suitability (the overall pattern of recommendations must not be excessive). Here, Mrs. Olsen was a 72-year-old conservative retiree with capital preservation and income objectives, limited liquid assets of \$340,000, and a foreseeable need for those funds for assisted-living expenses. Allocating 62% of her liquid savings to illiquid alternative investments with multi-year lockup periods directly contradicts her stated conservative risk tolerance, her capital preservation objective, and her potential near-term liquidity needs. The customer-specific suitability prong is clearly violated.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under Reg BI's Care Obligation, a broker-dealer and associated person must



exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and must have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made, considering the customer's investment profile. The Care Obligation also requires that the broker not place his or her financial interest ahead of the customer's. The \$18,200 in upfront commissions and fees strongly suggests a financial conflict that was not mitigated. The Disclosure Obligation under Reg BI requires full and fair disclosure of all material facts relating to conflicts of interest, including compensation. The Conflict of Interest Obligation requires the firm to establish policies to identify, disclose, and mitigate or eliminate conflicts. The high-commission, illiquid products generated outsized compensation for Huang at the direct expense of a conservative, elderly client--evidence that the advisor's interest was placed ahead of the customer's.

**\*\*Concentration Risk:\*\*** FINRA has consistently identified over-concentration in illiquid alternative investments as a supervisory and suitability concern. Most firm compliance guidelines cap alternative investment exposure for conservative clients at 10-20% of liquid net worth. A 62% allocation is far beyond any reasonable threshold for a client of Mrs. Olsen's profile.

**\*\*Investment Adviser Fiduciary Duty (if applicable):\*\*** If Huang were acting in a fiduciary advisory capacity, the fiduciary duty of care and loyalty under the Investment Advisers Act of 1940 would impose an even higher standard, requiring him to act in the client's best interest and avoid conflicts or fully disclose and manage them.

**\*\*Likely Regulatory Outcome:\*\*** A FINRA arbitration panel or enforcement action would likely find violations of Rule 2111 (customer-specific suitability), Reg BI (Care and Conflict of Interest Obligations), and potentially the firm's supervisory obligations under FINRA Rule 3110. Remedies could include full restitution of losses, disgorgement of commissions, fines, suspension, or barring of the advisor. The firm could face supervisory failure charges if it lacked adequate procedures to flag the outsized alternative allocation for a conservative, elderly customer.

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## Item 285 of 499

### NON-COMPLIANT

**Topic:** unsuitable\_income\_investor

**Difficulty:** hard

### Fact Pattern

Robert Tanner, age 67, retired in June 2021 after 35 years as a high school science teacher in rural Georgia. His retirement assets consisted of a \$410,000 403(b) account, \$55,000 in a savings account, and a modest home valued at roughly \$180,000 with no mortgage. His annual pension was \$38,000, and he received \$22,800 per year from Social Security. Tanner's wife, Linda, age 65, had been diagnosed with early-stage Parkinson's disease, and the couple anticipated significant future medical expenses not fully covered by Medicare. Tanner met financial advisor Crystal Webb at a retirement planning seminar hosted at a local hotel in August 2021. After two meetings, Webb recommended that Tanner roll his entire \$410,000 403(b) into a new brokerage IRA she managed. Tanner completed the new account documentation, listing his risk tolerance as 'conservative,' his investment objective as 'income with capital preservation,' and his liquidity needs as 'moderate--may need to draw funds for medical expenses within 1-3 years.' Webb then invested the entire \$410,000 into a single private placement offering: a limited partnership interest in a real estate development project building luxury condominiums in a resort town in South Carolina. The offering memorandum stated that distributions would begin no earlier than Year 3, that the investment was illiquid with no secondary market, that minimum investment holding was seven years, and that there was a substantial risk of total loss. The offering paid an 8% upfront selling commission (\$32,800 to Webb's firm, of which she personally received \$19,680). Webb did not recommend any other investments, leaving Tanner's entire IRA in this single position. She also did not discuss alternative income-producing investments such as bond funds, dividend-paying equities, annuities, or certificates of deposit. By early 2023, the development project had stalled due to construction cost overruns and permitting disputes. The general partner issued a capital call, requesting additional contributions from limited partners, which Tanner could not afford. In September 2023, the partnership filed for bankruptcy protection, and investors were notified that recovery, if any, would likely be less than 15 cents on the dollar. Tanner lost effectively all of his \$410,000 retirement savings. Meanwhile, Linda Tanner's Parkinson's had progressed, requiring in-home care costing approximately \$4,500 per month, which the couple now could not afford. Tanner filed a complaint alleging that Webb placed his life savings into a single speculative, illiquid investment wholly inconsistent with his stated needs, risk tolerance, and circumstances.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Crystal Webb committed severe violations of suitability and best interest standards. This case presents one of the most egregious fact patterns in unsuitable recommendations: a 100% concentration of a conservative retiree's entire tax-advantaged retirement savings in a single illiquid, speculative private placement.

**\*\*FINRA Rule 2111 - Suitability:\*\***

1. **\*Reasonable-Basis Suitability:** While a luxury condo development private placement could theoretically be suitable for a sophisticated, high-net-worth investor with a long time horizon and high risk tolerance, Webb needed to perform due diligence to understand the product. The offering itself disclosed substantial risk of total loss, no distributions for at least three years, and no liquidity. Even if Webb understood the product, recommending it as a standalone retirement portfolio for any investor--let alone a conservative retiree--fails reasonable-basis suitability.

2. **\*Customer-Specific Suitability:** This is the most clearly violated prong. Tanner was a 67-year-old retired teacher with conservative risk tolerance, income and capital preservation objectives, moderate liquidity needs within 1-3 years for anticipated medical expenses, and no other meaningful liquid assets besides \$55,000 in savings. A single illiquid private placement with a seven-year holding period, no near-term distributions, and risk of total loss is diametrically opposed to every element of his investment profile. The product offered no income, no liquidity, no diversification, and no capital preservation.

3. **\*Quantitative Suitability:** While typically applied to excessive trading, the 100% concentration in a single alternative investment effectively constitutes an extreme version of unsuitable portfolio construction.

**\*\*Regulation Best Interest (Reg BI):\*\***

**\*Care Obligation:** Webb failed to exercise reasonable diligence, care, and skill. She did not consider reasonably available alternatives that would have been more appropriate--bond funds, dividend equity funds, Treasury securities, CDs, or even conservative balanced funds could have generated income with capital preservation. The failure to present or even discuss any alternatives demonstrates a lack of care. Furthermore, recommending a single illiquid speculative investment for 100% of a retiree's savings cannot reasonably be in the customer's best interest under any analysis.

**\*Disclosure Obligation:** Webb was obligated to disclose all material facts about the recommendation, including the \$32,800 in upfront commissions and the conflicts that compensation created. There is no indication she adequately disclosed how her compensation influenced the recommendation.

**\*Conflict of Interest Obligation:** The \$19,680 personal payout on a single transaction creates an acute conflict. Webb's firm was required to have policies to identify and mitigate such conflicts. The 8% commission structure--significantly higher than typical mutual fund or advisory fee arrangements--created a powerful incentive to recommend this product over lower-cost, more suitable alternatives.

**\*\*The 403(b) Rollover Issue:\*\*** The initial recommendation to roll Tanner's \$410,000 from the 403(b) into an IRA must itself satisfy Reg BI. If the 403(b) offered low-cost investment options and the rollover was recommended primarily to generate commissions on new product sales, the rollover recommendation independently violates the best interest standard.

**\*\*Investment Advisers Act Fiduciary Duty:\*\*** If Webb acted in any advisory capacity (rather than purely as a broker), the fiduciary duties of care and loyalty under the Advisers Act would impose the highest standard. Concentrating a client's entire retirement in a single speculative illiquid investment while earning an outsized commission is a textbook breach of fiduciary duty.

**\*\*FINRA Rules on Private Placements and Alternative Investments:\*\*** FINRA Notice to Members and Regulatory Notices have repeatedly emphasized that firms must conduct reasonable due diligence on private placements before offering them (FINRA Rule 2111, supplemented by FINRA's guidance on complex products and alternative investments). Firms are expected to impose concentration limits on illiquid investments, often capping such products at 10-15% of a client's liquid net worth. A 100% allocation is categorically outside any reasonable compliance framework.

**\*\*FINRA Rule 3110 - Supervision:\*\*** Webb's firm bears supervisory liability. The firm should have had systems to flag a 100% concentration in a private placement for a conservative retiree. The approval of this transaction suggests a systemic supervisory failure.

**\*\*Likely Regulatory Outcome:\*\*** This fact pattern would almost certainly result in findings of violation in FINRA

arbitration or enforcement proceedings. Probable outcomes include: (1) full compensatory damages to Tanner of approximately \$410,000 plus interest and consequential damages related to inability to fund medical care; (2) disgorgement of commissions; (3) potential punitive damages given the egregiousness; (4) Webb could face suspension or permanent bar from the industry; (5) the firm could face significant fines and be required to enhance supervisory procedures; (6) state securities regulators could bring parallel actions for fraudulent or dishonest business practices. Cases with similar facts have historically resulted in full recovery for the customer and severe sanctions for the advisor.

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**Item 286 of 499****NON-COMPLIANT****Topic:** failure\_to\_know\_customer**Difficulty:** medium**Fact Pattern**

In March 2023, financial advisor Derek Hollins at a mid-sized broker-dealer in Tampa, Florida, was assigned a new client, Margaret Cho, a 74-year-old retired elementary school teacher. Margaret came into the branch office with a \$410,000 rollover check from her former employer's 403(b) plan and asked Derek to help her invest it. During their initial meeting, Derek spent approximately 12 minutes with Margaret. He asked her name, date of birth, and Social Security number for account opening paperwork, but did not ask about her monthly expenses, other sources of income, existing savings or investments, health status, or any beneficiaries. Margaret mentioned she was a retired teacher but Derek did not inquire about her pension amount or whether she received Social Security benefits. He did not ask about her investment experience, her comfort level with market fluctuations, or what she needed the money for. Derek had Margaret sign a new account form where the risk tolerance box was checked as 'moderate growth' and the investment objective was marked as 'growth.' There is no record of Margaret selecting or discussing these designations. Derek then placed the entire \$410,000 into a portfolio consisting of 60% domestic equity funds, 25% international equity funds, and 15% high-yield bond funds. The equity funds carried average annual expense ratios of 1.15%, and the high-yield bond fund had a front-end sales load of 4.25%. Within the first eight months, the portfolio lost approximately \$58,000 in value during a market correction. Margaret called the office in distress, explaining she needed regular monthly withdrawals of \$2,200 to supplement her modest pension and Social Security to cover her living expenses, prescription medications, and property taxes. She told Derek's branch manager she had never discussed growth investing and did not understand why her money was in stocks. A subsequent review by the firm's compliance department found that Derek's client file contained no notes from the initial meeting, no financial plan or needs analysis, and no documentation of Margaret's actual financial situation, goals, or risk capacity.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Hollins committed serious violations stemming from a fundamental failure to know his customer. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on information obtained through reasonable diligence regarding the customer's investment profile. The investment profile includes, but is not limited to, the customer's age, other investments, financial situation and needs, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Derek failed to gather virtually any of this required information. He did not ascertain Margaret's income sources, monthly expenses, liquidity needs, health considerations, investment experience, or actual risk tolerance. This violates the 'know your customer' component that underpins suitability analysis. Under Regulation Best Interest (Reg BI), the Care Obligation requires a broker-dealer to exercise reasonable diligence, care, and skill when making a recommendation, including understanding the potential risks, rewards, and costs of the recommendation and having a reasonable basis to believe the recommendation is in the retail customer's best interest. The Care Obligation also explicitly requires understanding the customer's investment profile. Derek's 12-minute meeting with no substantive inquiry into Margaret's financial circumstances fails this standard entirely. Additionally, the fact that risk tolerance and investment objective boxes were pre-filled or filled without Margaret's input raises concerns about falsification of account records, potentially violating FINRA Rule 2010 (Standards of Commercial Honor and

Principles of Trade) and FINRA Rule 4511 (General Requirements for books and records). The allocation of 85% equities for a 74-year-old retiree with near-term income needs is facially unsuitable regardless, but the absence of any customer profile documentation makes the violation even more egregious. The likely regulatory outcome would include a customer complaint resulting in arbitration damages, potential FINRA enforcement action against Derek including fines, disgorgement, suspension, or a bar from the industry. The firm could face supervisory failure charges under FINRA Rule 3110 if it failed to have systems in place to detect the deficient account opening process.

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**Item 287 of 499****NON-COMPLIANT****Topic:** illiquid\_real\_estate\_investment**Difficulty:** hard**Fact Pattern**

In January 2022, financial advisor Priya Deshmukh, a dually registered representative affiliated with both a broker-dealer and a registered investment advisory firm in Scottsdale, Arizona, recommended that her client, Howard Brennan, invest \$175,000 into a non-traded real estate investment trust (REIT) called Meridian Healthcare Properties Fund III. Howard was 68 years old, recently widowed, and had just received \$620,000 in life insurance proceeds from his late wife's policy. His other assets consisted of \$140,000 in a traditional IRA invested in index funds, a paid-off home valued at approximately \$285,000, and Social Security income of \$2,400 per month. Howard had worked for 30 years as a warehouse supervisor and had limited investment experience beyond his IRA, which had been set up by a previous advisor using target-date funds. Howard told Priya he wanted 'safe, steady income' and did not want to risk losing his wife's insurance money. Priya documented Howard's risk tolerance as 'conservative' and his objective as 'income with capital preservation.' Priya presented the Meridian REIT as a 'stable, income-producing real estate investment similar to owning rental property without the hassle.' She told Howard it paid a projected annual distribution of 6.5% and was 'backed by real healthcare facilities across the country.' She provided the fund's glossy marketing brochure but did not walk Howard through the 85-page private placement memorandum. Priya did not explain that the REIT had no public trading market, that investors typically could not redeem shares for a minimum of seven years, that the fund's share value was based on estimated net asset value rather than market pricing, or that early redemption was only permitted in cases of death or total disability and even then was subject to board approval and a 10% redemption penalty. The REIT charged upfront fees totaling 12% (7% selling commission, 3% dealer manager fee, and 2% offering and organization expenses), meaning only \$154,000 of Howard's \$175,000 was actually invested. Additionally, the Meridian fund's PPM disclosed that distributions could be funded in part from return of investor capital rather than from operating income, a practice sometimes called 'destructive return of capital.' Priya earned a \$12,250 commission on the sale. Following the investment, Howard received quarterly distribution checks for the first year. In early 2023, Meridian announced it was suspending distributions due to rising interest rates affecting its healthcare property portfolio and increasing vacancy rates. Howard, who had been relying on the distributions to supplement his Social Security for living expenses, contacted Priya about liquidating his position. Priya informed him that no redemption was available and that he would need to wait until at least 2029 for a potential liquidity event. Howard's \$175,000 investment was subsequently written down to an estimated value of \$118,000 on his 2023 account statement. A review of Priya's client records showed that out of her 45 clients over age 65, she had recommended the same Meridian REIT product to 19 of them, collectively generating over \$380,000 in commissions for herself. The firm's product due diligence file contained a concentration limit guideline suggesting that illiquid alternative investments should not exceed 10% of a client's liquid net worth, but no exception approval was documented for Howard, whose \$175,000 investment represented approximately 28% of his liquid assets (\$620,000 in insurance proceeds).

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Priya Deshmukh committed multiple serious violations across several regulatory frameworks. First, under FINRA Rule 2111 (Suitability), all three components were violated: (1) Reasonable-basis suitability: While non-traded REITs are legitimate products, Priya failed to ensure she understood and could explain the product's key risks, including

illiquidity, the seven-year lock-up period, the potential for return-of-capital distributions, and the 12% upfront fee load. Her characterization of the investment as 'stable' and 'similar to owning rental property' was materially misleading and suggests she either did not understand the product or deliberately misrepresented it. (2) Customer-specific suitability: Howard was a 68-year-old widower with limited investment experience, a conservative risk tolerance, an expressed objective of capital preservation and income, and a demonstrable need for liquidity given his reliance on distributions for living expenses. A seven-year illiquid investment with 12% front-end costs is fundamentally incompatible with this profile. (3) Quantitative suitability: The pattern of recommending the same product to 19 of 45 clients over age 65, generating \$380,000 in personal commissions, suggests the recommendations were driven by compensation rather than client needs. Under Regulation Best Interest's Care Obligation, Priya was required to exercise reasonable diligence, care, and skill, and to consider reasonably available alternatives. She failed to consider that Howard's income needs and conservative profile could have been better served by investment-grade bond funds, Treasury securities, CDs, or diversified dividend-paying equity funds -- all of which would have offered superior liquidity, lower costs, and more predictable income. The Reg BI Disclosure Obligation was also violated because Priya did not adequately disclose the material conflicts of interest created by her \$12,250 commission, the illiquidity risks, the redemption restrictions, or the potential for return-of-capital distributions. Regarding the Conflict of Interest Obligation under Reg BI, the 7% selling commission created a powerful incentive to recommend this product, and Priya's pattern of recommending it to nearly half her elderly clients strongly suggests this conflict was not mitigated. The firm's own concentration guidelines limited illiquid alternatives to 10% of liquid net worth, yet Howard's allocation was approximately 28% -- nearly three times the limit -- with no documented exception approval. This also implicates the firm's supervisory obligations under FINRA Rule 3110. Additionally, Priya's failure to walk Howard through the PPM and her affirmatively misleading description of the product as 'stable' may constitute a violation of FINRA Rule 2210 (Communications with the Public) regarding fair and balanced presentation, and potentially fraud under the antifraud provisions if she knowingly or recklessly omitted material information. If Priya made this recommendation in her capacity as an investment adviser representative, she owed Howard a fiduciary duty under the Investment Advisers Act of 1940, requiring her to act in his best interest and to make full and fair disclosure of all material facts, including conflicts of interest. Her conduct falls far short of this standard. Likely regulatory outcomes include FINRA enforcement action resulting in significant fines, disgorgement of commissions, suspension or bar; potential SEC action if acting in an advisory capacity; customer arbitration with likely damages award including the difference between the amount invested and current value plus lost opportunity costs; and supervisory failure charges against the firm for failing to enforce its own concentration limits and for failing to detect the pattern of concentrated sales to elderly clients.

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## Item 288 of 499

### NON-COMPLIANT

**Topic:** alternative\_investments\_unsuitable

**Difficulty:** medium

### Fact Pattern

Margaret Olsen, age 72, is a retired elementary school teacher living in Boise, Idaho. She has a fixed annual income of \$34,000 from her pension and Social Security combined. Her total liquid savings amount to approximately \$185,000, held in a brokerage account and a savings account. In March 2023, Margaret met with her financial advisor, Craig Donovan, after her husband passed away. She told Craig she needed her money to remain accessible because she was planning to move into an assisted living facility within the next 12 to 18 months, with an estimated upfront entrance fee of \$80,000 and ongoing monthly costs of \$4,500. She described herself as conservative and said she could not afford to lose any principal. Craig recommended that Margaret invest \$120,000 -- roughly 65% of her liquid assets -- into two non-traded real estate investment trusts. The first was a non-traded REIT focused on commercial office properties, into which \$70,000 was placed, and the second was a non-traded REIT focused on hospitality assets, into which \$50,000 was placed. Both products carried upfront commissions of 7%, meaning approximately \$8,400 was deducted from Margaret's invested capital at the outset. The offering documents for both REITs stated that shares were illiquid, that no public trading market existed, that redemption programs were limited and could be suspended at the issuer's discretion, and that investors should be prepared to hold their investment for seven or more years. By September 2023, Margaret needed to access funds for her assisted living deposit. She submitted redemption requests to both REITs but was informed that one had suspended its share repurchase program entirely and the other would only allow quarterly redemptions capped at 2% of outstanding shares. As of January 2024, Margaret had been able to redeem only \$6,200 of her \$120,000 investment. She was forced to delay her move and borrow money from her daughter to cover living expenses. Craig earned approximately \$8,400 in commissions on the two transactions.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Craig Donovan violated applicable suitability and best interest standards in multiple respects.

**\*\*FINRA Suitability (Rule 2111):\*\*** Under FINRA's suitability rule, a broker must have a reasonable basis for believing that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance. Margaret's profile -- a 72-year-old widow with limited income, conservative risk tolerance, modest liquid savings, and an explicitly stated need for liquidity within 12 to 18 months -- was fundamentally incompatible with non-traded REITs. These products are inherently illiquid, carry long holding periods (typically seven or more years), and have limited and unreliable redemption mechanisms. Craig's recommendation fails the customer-specific suitability obligation.

**\*\*Quantitative Suitability:\*\*** Concentrating 65% of Margaret's liquid assets in illiquid alternative investments is excessive given her stated need for near-term access to funds. Even if non-traded REITs might be appropriate for some investors in small allocations, the concentration here was unreasonable.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under the SEC's Regulation Best Interest, a broker-dealer and its associated persons must act in the best interest of a retail customer when making a recommendation, considering the customer's

investment profile. The Care Obligation under Reg BI requires that the broker exercise reasonable diligence, care, and skill in making the recommendation, understand the risks and costs of the product, and have a reasonable basis to believe the recommendation is in the customer's best interest. The high upfront commissions (7%) created a significant cost drag, and the illiquidity directly conflicted with Margaret's stated timeline. The Conflict of Interest Obligation also applies: Craig's \$8,400 commission created a financial incentive that was not mitigated and appears to have driven the recommendation over the customer's clearly stated needs.

**\*\*FINRA Notices and Guidance on Non-Traded REITs:\*\*** FINRA has issued multiple Regulatory Notices (including Regulatory Notice 09-09 and 15-02) emphasizing that non-traded REITs are illiquid investments unsuitable for investors who may need near-term access to their funds. Many firms impose concentration limits (often 10% or less of liquid net worth) for non-traded REITs, and 65% concentration far exceeds any reasonable threshold.

**\*\*Likely Regulatory Outcome:\*\*** Craig faces potential FINRA enforcement action including fines, disgorgement of commissions, suspension, or barring. Margaret would likely prevail in a FINRA arbitration claim for compensatory damages equal to her losses plus the \$8,400 in commissions, potentially with interest. The firm could also face supervisory failure charges if it did not have adequate procedures to flag the concentration and liquidity mismatch.

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**Item 289 of 499****NON-COMPLIANT**

**Topic:** complex\_products\_unsophisticated\_investor

**Difficulty:** hard

**Fact Pattern**

Darnell Washington, age 29, works as a delivery driver in Memphis, Tennessee, earning approximately \$38,000 per year. He has no prior investing experience and opened a brokerage account in June 2022 after seeing social media advertisements from the firm where broker Kevin Lam works. Darnell deposited \$42,000 -- representing savings he had accumulated over five years -- and told Kevin during the account opening interview that he wanted to grow his money steadily over the long term to eventually buy a house. He checked 'moderate' on the risk tolerance questionnaire after Kevin explained it meant 'a balance between growth and safety.' Darnell has a high school diploma, no financial certifications, and stated on his new account form that he had zero years of experience with stocks, options, or any other securities.

Between June 2022 and December 2023 -- an 18-month period -- Kevin executed 347 transactions in Darnell's account. The trading activity consisted primarily of short-term options strategies, including vertical spreads, iron condors, and weekly expirations on volatile technology and biotech stocks. Kevin also placed frequent trades in leveraged and inverse exchange-traded products, including 3x leveraged ETFs tied to semiconductor indices and inverse volatility products. Many positions were held for less than three days. Darnell's account statements show total purchases and sales of approximately \$2.1 million over the period, representing a turnover ratio of roughly 50 times the average account equity. Total commissions and options contract fees generated by Kevin during this period were \$31,400, representing approximately 75% of Darnell's original \$42,000 deposit. By December 2023, Darnell's account value had declined to \$8,300, a loss of \$33,700 or roughly 80% of his original investment. Darnell later stated that he did not understand what options were, had never authorized a specific trading strategy, and believed Kevin was investing his money in 'regular stocks.' Kevin did not provide Darnell with any educational materials about options, leveraged products, or the risks of frequent short-term trading. The firm's options approval records show Darnell was approved for Level 4 options trading (which permits spreads and complex multi-leg strategies), though no documentation exists showing that Darnell was interviewed about his options knowledge or that anyone at the firm verified his understanding of the strategies being employed.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Lam committed serious and multiple violations of suitability, best interest, and other applicable standards.

**\*\*Excessive Trading / Churning:\*\*** The most glaring violation is excessive trading (churning). Under FINRA Rule 2111 (Suitability), the quantitative suitability component prohibits a broker from engaging in a series of transactions that are excessive in light of the customer's investment profile. A turnover ratio of approximately 50x and a cost-to-equity ratio that consumed 75% of the account's original value are extreme by any measure. Courts and arbitration panels have historically considered turnover ratios above 6x as presumptively excessive, and cost-to-equity ratios above 20% as strong evidence of churning. Kevin's activity far exceeds these thresholds. Additionally, under FINRA Rule 2111's quantitative suitability obligation (as clarified in FINRA's supplementary materials), a broker who exercises de facto control -- which is presumed when a customer is unsophisticated and relies on the broker -- can be found to have

churned the account even without formal discretionary authority.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under Reg BI's Care Obligation, Kevin was required to exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of each recommendation, and to have a reasonable basis to believe the series of recommended transactions was in Darnell's best interest. Recommending complex options strategies (iron condors, vertical spreads, weekly expirations) and 3x leveraged/inverse ETFs to a 29-year-old delivery driver with zero investment experience and moderate risk tolerance is indefensible. Leveraged and inverse ETFs are designed for short-term tactical use and can produce dramatically divergent results from their underlying indices over periods longer than a single day, making them unsuitable for an unsophisticated investor. The recommendations served Kevin's interest in generating commissions, not Darnell's stated goal of steady long-term growth.

**\*\*Reg BI -- Disclosure Obligation:\*\*** Kevin failed to provide Darnell with any educational materials or explanation of options risks, leveraged product mechanics, or the costs of frequent trading. This violates the requirement to disclose material facts about the scope and terms of the relationship, including costs and conflicts.

**\*\*FINRA Rule 2360 (Options):\*\*** FINRA's options rules require firms to obtain background and financial information sufficient to determine that options trading is appropriate for a customer before approving an options account. The firm approved Darnell for Level 4 options trading without any documentation of an options-specific interview or verification of understanding. This is a supervisory and compliance failure by both Kevin and the firm.

**\*\*FINRA Rule 3110 (Supervision):\*\*** The firm failed in its supervisory responsibilities by not detecting 347 trades generating \$2.1 million in volume in a \$42,000 account over 18 months. Automated surveillance systems at any reasonably supervised firm should have flagged the turnover ratio, cost-to-equity ratio, and the concentration in complex products in an account belonging to a self-described novice investor.

**\*\*Customer-Specific Suitability:\*\*** Even setting aside churning, each individual recommendation of iron condors, weekly options, and 3x leveraged ETFs was unsuitable for Darnell given his lack of experience, moderate risk tolerance, long-term time horizon, and limited wealth. These products require sophisticated knowledge to understand and manage, and their risk profiles are inconsistent with Darnell's stated objectives and financial situation.

**\*\*Likely Regulatory Outcome:\*\*** Kevin faces potential FINRA enforcement action including barring from the industry, disgorgement of all commissions (\$31,400), and restitution to Darnell. The firm faces potential fines and sanctions for supervisory failures related to both the excessive trading and the improper options approval. In FINRA arbitration, Darnell would likely recover compensatory damages representing his full \$33,700 loss plus commissions, and potentially punitive damages given the egregious nature of the misconduct. State securities regulators could also bring independent enforcement actions.

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## Item 290 of 499

### NON-COMPLIANT

**Topic:** tax\_deferred\_unnecessary\_annuity

**Difficulty:** medium

### Fact Pattern

In March 2023, financial advisor Derek Hollis met with Margaret Sweeney, a 67-year-old retired school principal with a modest pension of \$4,200 per month and Social Security benefits of \$2,100 per month. Margaret had \$310,000 in a traditional IRA rollover from her 403(b) plan and \$85,000 in a savings account. She described herself as conservative, wanting to preserve her retirement savings and generate some supplemental income. She had no debts and owned her home outright. Derek recommended she move \$275,000 of her IRA funds into a variable annuity with a guaranteed minimum income benefit rider. The annuity carried total annual expenses of 3.45%, including a 1.40% mortality and expense charge, 0.85% in underlying fund expenses, and a 1.20% rider fee. The product also imposed a seven-year surrender charge schedule starting at 7% and declining by 1% annually. Derek earned a 5.5% commission totaling \$15,125 on the sale. He did not discuss with Margaret that the IRA already provided tax-deferred growth, making the tax-deferral feature of the annuity redundant. He also did not present lower-cost alternatives such as a diversified portfolio of bond funds or a fixed-income ladder within the IRA. Margaret's account lost 4.2% in its first year after expenses, and when she attempted to take a \$30,000 withdrawal eight months later to help her daughter with medical bills, she was charged a \$1,950 surrender penalty.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Hollis likely violated both FINRA's suitability requirements under Rule 2111 and the SEC's Regulation Best Interest (Reg BI). Multiple layers of analysis support this conclusion.

1. **\*\*Quantitative Suitability / Cost Analysis (FINRA Rule 2111):\*\*** Placing tax-deferred IRA assets into a variable annuity is a well-known red flag because the annuity's tax-deferral benefit is entirely redundant -- the IRA already grows tax-deferred. The only justification for such a move would be if other features of the annuity (e.g., guaranteed income, death benefit) provided value that clearly outweighed the substantial additional costs. Here, the 3.45% total annual expense ratio is extraordinarily high for a conservative retiree who primarily wanted capital preservation and modest income. FINRA has specifically noted in Regulatory Notice 12-55 and Notice to Members 99-35 that recommending a variable annuity within a tax-advantaged account requires heightened scrutiny and strong justification.

2. **\*\*Reg BI -- Care Obligation (17 CFR § 240.15l-1(a)(2)(ii)):** Under Reg BI's Care Obligation, the advisor must exercise reasonable diligence, care, and skill to understand the product and the customer's profile, and must have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. Derek failed this standard. Margaret was a conservative, 67-year-old retiree with fixed income needs. A seven-year surrender schedule directly conflicted with her potential liquidity needs, as evidenced by her \$30,000 withdrawal attempt within the first year. The 3.45% expense drag virtually guaranteed underperformance relative to lower-cost alternatives like bond index funds or a CD/Treasury ladder within her IRA.

3. **\*\*Reg BI -- Conflict of Interest Obligation:** Derek earned a \$15,125 commission (5.5%), creating a material financial incentive to recommend this product over lower-cost alternatives. There is no indication he disclosed this conflict or

mitigated it by presenting reasonably available alternatives with lower compensation to himself.

4. **\*\*Reasonable Alternatives Not Considered:\*\*** FINRA Rule 2111.05(a) requires consideration of costs and reasonably available alternatives. Derek did not discuss or document why a diversified bond portfolio, target-date fund, or fixed annuity (which would have had significantly lower expenses) were inadequate for Margaret's stated objectives.

5. **\*\*Customer-Specific Suitability:\*\*** Given Margaret's age, conservative risk tolerance, reliance on fixed income, and modest asset base, concentrating nearly 89% of her IRA (\$275,000 of \$310,000) in a single high-cost variable annuity with a long surrender period was unsuitable on its face.

**\*\*Likely Regulatory Outcome:\*\*** A FINRA examination or customer complaint would likely result in findings of unsuitable recommendation and Reg BI violations. Potential consequences include disgorgement of the commission, restitution to the customer for surrender charges and excess fees, a fine, and possible suspension. Similar fact patterns have resulted in significant sanctions in FINRA disciplinary proceedings.

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## Item 291 of 499

### NON-COMPLIANT

**Topic:** complex\_products\_unsophisticated\_investor

**Difficulty:** hard

### Fact Pattern

In September 2022, financial advisor Trent Nakamura was contacted by Luis and Carmen Delgado, a married couple aged 34 and 31 respectively. Luis worked as a warehouse supervisor earning \$52,000 annually, and Carmen was a part-time daycare worker earning \$18,000 annually. Together they had \$70,000 in combined annual income, \$42,000 in a joint savings account, \$11,000 in Luis's 401(k), and no other investments. They had two children under age five and were saving for a home down payment within the next two to three years. Neither had any investment experience beyond Luis's 401(k), which was allocated entirely to a target-date fund chosen by default. They told Trent they wanted something 'safe that earns more than the bank' for their \$42,000 in savings. Trent recommended they invest \$35,000 into a structured product -- specifically, a market-linked certificate of deposit tied to a basket of three international equity indices (the Euro Stoxx 50, Nikkei 225, and MSCI Emerging Markets Index) with a three-year maturity, a 10% downside buffer, and a participation rate of 120% on any upside. The product's principal was guaranteed only if held to maturity; early redemption was subject to market value adjustment that could result in principal loss. The issuing bank's credit risk also applied. Trent provided the Delgados with a 47-page offering document but spent only about 15 minutes explaining the product, describing it as 'basically a CD with more upside.' He did not explain the concept of participation rates, the basket structure with worst-of feature (meaning returns were determined by the worst-performing of the three indices), or the early redemption risk. He earned a 2% sales concession (\$700) on the transaction. In June 2023, nine months later, the Delgados needed \$25,000 for a home down payment and attempted to liquidate the structured CD. They were told the early redemption value was only \$31,200 due to market value adjustments -- a \$3,800 loss on their \$35,000 investment. They were unable to purchase the home they had identified.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Trent Nakamura committed multiple violations of applicable standards, and this scenario presents a particularly egregious case given the complexity mismatch and the known short-term liquidity need.

#### 1. \*\*FINRA Rule 2111 -- Suitability (All Three Components):\*\*

- **Reasonable-Basis Suitability:** An advisor must understand the product well enough to assess its risks and features before recommending it. Structured products with worst-of basket features, participation rates, and market value adjustments on early redemption are among the most complex retail investment products available. Trent's characterization of this product as 'basically a CD with more upside' demonstrates either a fundamental misunderstanding of the product or deliberate misrepresentation. Either way, he lacked a reasonable basis for the recommendation.

- **Customer-Specific Suitability:** The Delgados were unsophisticated investors with no meaningful investment experience, a combined income of \$70,000, a near-term liquidity need (home purchase within 2-3 years), and a stated desire for safety. A three-year structured product with early redemption risk directly conflicted with their stated two-to-three-year timeline for a home purchase. Their entire liquid savings of \$42,000 represented their emergency fund and down payment fund. Placing \$35,000 (83% of liquid savings) into an illiquid product was patently unsuitable.

- **Quantitative Suitability:** While this component typically applies to excessive trading, the concentration of 83% of

liquid assets in a single complex product for a family with near-term cash needs is analogous to an excessive concentration violation.

2. **Reg BI -- Care Obligation:** Under Reg BI, the advisor must consider the customer's investment profile, including their timeline and liquidity needs. The Delgados explicitly stated they were saving for a home down payment. Recommending a product with a three-year lock-up and potential principal loss upon early exit directly contradicts their stated objective. The Care Obligation also requires consideration of reasonably available alternatives -- a high-yield savings account, short-term Treasury bills, or a traditional CD with a short maturity would have been far more appropriate.

3. **Reg BI -- Disclosure Obligation:** Trent failed to adequately explain the material risks. The worst-of basket feature is a critical structural element that dramatically increases the probability of poor returns, as the investor's outcome is tied to the single worst-performing index rather than an average. Spending 15 minutes on a 47-page offering document for a product this complex, with investors this unsophisticated, is wholly inadequate. Describing it as 'basically a CD' is misleading -- unlike a traditional FDIC-insured CD, this product carried market risk, issuer credit risk, and liquidity risk.

4. **FINRA Regulatory Notices 12-03 (Complex Products) and 05-59 (Structured Products):** FINRA has issued specific guidance that firms and representatives must perform heightened suitability analysis for complex products, ensure the customer can understand the product, and verify that the customer's financial situation and investment objectives align with the product's features. All three of these requirements were violated here.

5. **Potential Misrepresentation (FINRA Rule 2210 / Anti-Fraud):** Describing a structured product linked to three volatile international equity indices with a worst-of payout structure as 'basically a CD' could constitute a misleading statement in violation of FINRA's communications rules and potentially federal anti-fraud provisions.

**Likely Regulatory Outcome:** This case would likely result in findings of unsuitability, Reg BI violations, and potentially misleading communications. The advisor and firm could face customer restitution of the \$3,800 loss plus opportunity costs, disgorgement of the \$700 commission, fines, enhanced supervisory requirements, and a potential suspension for the advisor. The firm's supervisory system would also be scrutinized for approving a complex product sale to clearly unsophisticated investors with a documented short-term liquidity need.

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**Item 292 of 499****NON-COMPLIANT****Topic:** overconcentration\_single\_stock**Difficulty:** medium**Fact Pattern**

Margaret Collins, age 67, is a retired schoolteacher living in suburban Ohio. She has a total investable portfolio of \$420,000, which represents her life savings and is her primary source of income aside from a \$1,800/month pension and \$2,100/month in Social Security benefits. She told her financial advisor, Derek Huang, that she needed steady income, capital preservation, and could not afford significant losses because she had no other safety net or family support. Her risk tolerance questionnaire, completed in January 2023, scored her as 'conservative.' In March 2023, Derek recommended that Margaret invest \$310,000 -- approximately 74% of her entire portfolio -- into shares of a single mid-cap technology company, NovaTech Industries, which paid no dividend and had experienced significant price volatility over the prior 18 months, with drawdowns as steep as 35%. Derek told Margaret the stock was 'about to take off' based on a new product launch he had read about in an industry newsletter. He did not discuss the risks of concentrating such a large portion of her savings in a single equity position, nor did he present any alternative diversified income-producing strategies. The remaining \$110,000 was left in a money market account. By September 2023, NovaTech's share price had declined 42%, reducing Margaret's \$310,000 position to approximately \$179,800, a loss of over \$130,000. Margaret was forced to significantly cut her monthly spending and delay necessary medical procedures. Account records show Derek earned a \$4,650 commission on the NovaTech purchase. There is no documentation that Derek discussed the concentration risk, the speculative nature of the stock, or how this recommendation aligned with Margaret's stated objectives.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Huang committed multiple violations. Under FINRA Rule 2111 (Suitability), an advisor must have a reasonable basis for believing that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and time horizon. Margaret was a 67-year-old retiree with conservative risk tolerance, income and capital preservation objectives, and no financial safety net beyond her portfolio. Recommending that 74% of her portfolio be concentrated in a single, volatile, non-dividend-paying mid-cap technology stock is a clear violation of customer-specific suitability (FINRA Rule 2111.05). The recommendation was inconsistent with every element of her stated profile.

Under Regulation Best Interest (Reg BI), the Care Obligation requires that a broker-dealer and its associated persons exercise reasonable diligence, care, and skill when making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The advisor failed to consider the concentration risk, failed to evaluate reasonably available alternatives (such as diversified bond funds, balanced funds, or dividend-paying equity portfolios), and appears to have been motivated at least in part by the commission earned. The Disclosure Obligation under Reg BI also required Derek to disclose material facts about the recommendation, including the risks of concentration, which he failed to do.

Additionally, FINRA's longstanding guidance on overconcentration treats a single-stock position representing more than 25-30% of a customer's portfolio as a red flag requiring heightened scrutiny and documentation. Here, the position was

74% of her total assets. The absence of any documentation discussing concentration risk, alternatives, or rationale further evidates a failure of the Compliance Obligation under Reg BI.

The likely regulatory outcome would include FINRA enforcement action resulting in disgorgement of commissions, restitution to the customer for losses attributable to the unsuitable recommendation, a fine, and a potential suspension or bar for Derek Huang. The firm employing Derek could also face supervisory failure charges under FINRA Rule 3110 if it failed to flag this highly concentrated, unsuitable trade.

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## Item 293 of 499

### NON-COMPLIANT

**Topic:** failure\_to\_know\_customer

**Difficulty:** hard

### Fact Pattern

In February 2024, financial advisor Rachel Simmons opened a new brokerage account for Dmitri Volkov, a 52-year-old immigrant who had recently arrived in the United States from Eastern Europe. Dmitri spoke limited English and communicated primarily through his adult son, Anton, who accompanied him to the initial meeting. During the account opening process, Rachel relied entirely on Anton to translate questions and relay Dmitri's answers. Rachel did not use a professional translation service and made no effort to verify independently whether Anton's translations accurately conveyed Dmitri's responses. The new account form listed Dmitri's annual income as \$350,000, net worth of \$2.1 million, investment experience as 'extensive -- 20+ years in equities, options, and alternatives,' risk tolerance as 'aggressive,' and investment objective as 'speculation/growth.' However, Dmitri had actually been a factory supervisor earning approximately \$45,000/year and had no prior investment experience beyond a basic savings account he held in his home country. The \$185,000 he deposited into the account was the entirety of his savings, accumulated over decades. Anton, who had his own financial difficulties including \$95,000 in credit card debt, had inflated his father's profile without Dmitri's knowledge because Anton held trading authorization on the account and intended to use the funds for his own aggressive trading strategies. Within the first three weeks, Anton executed 47 options trades in the account, generating \$11,200 in commissions for Rachel. Rachel never contacted Dmitri directly -- not by phone, email, or letter -- to verify the account information, confirm the trading authorization, or discuss the rapid trading activity. She did not question the discrepancy between the modest initial deposit of \$185,000 and the claimed \$2.1 million net worth. By April 2024, the account had lost \$127,000, leaving Dmitri with approximately \$58,000. When Dmitri finally learned of the losses through a bank statement, he filed a complaint with the firm.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Rachel Simmons committed serious violations across multiple regulatory frameworks. The foundational failure here is a violation of FINRA Rule 2090, the 'Know Your Customer' rule, which requires every member firm and associated person to use reasonable diligence to know and retain the essential facts concerning every customer, including the customer's identity, financial profile, and the authority of persons acting on the customer's behalf. Rachel failed to independently verify any of the customer information provided through a potentially conflicted intermediary. Relying solely on a family member with financial difficulties and trading authority -- without any independent confirmation from the actual account holder -- falls far below the standard of reasonable diligence.

The failure to verify the customer's profile directly led to cascading violations. Under FINRA Rule 2111 (Suitability), the customer-specific obligation requires that recommendations be suitable based on the customer's actual investment profile. Because Rachel never ascertained Dmitri's true financial situation (modest income, no investment experience, entire life savings at stake), she had no reasonable basis for believing that aggressive options trading was suitable. In reality, Dmitri's actual profile -- a 52-year-old with limited English, no investment experience, moderate income, and a \$185,000 total net worth -- was fundamentally incompatible with speculative options trading.

Under Regulation Best Interest, the Care Obligation requires reasonable diligence, care, and skill in understanding the

customer's investment profile before making or facilitating recommendations. Rachel's failure to take even basic steps to communicate directly with her customer -- particularly one with a known language barrier -- is a clear breach. The Disclosure Obligation was also violated because Dmitri was never informed of the nature, risks, or costs of the trading activity in his account. The Conflict of Interest Obligation is implicated by the commission-generating trading pattern that benefited Rachel financially.

Further, FINRA Rule 3260 addresses discretionary accounts and requires written authorization from the customer and acceptance by the firm. While Anton may have had trading authorization, the circumstances strongly suggest that Dmitri did not provide informed consent given the language barrier and the falsified account profile. Rachel's firm may also face liability under FINRA Rule 3110 (Supervision) for failing to detect red flags: the mismatch between the modest deposit and claimed net worth, the rapid high-frequency options trading in a new account, and the exclusive reliance on a third party for customer communications.

The likely regulatory outcome would be significant. FINRA would likely pursue enforcement for failure to know the customer, unsuitable trading, and failure to supervise. Remedies would include full restitution of losses (\$127,000), disgorgement of the \$11,200 in commissions, substantial fines against both Rachel and the firm, and a likely suspension or bar for Rachel. The matter could also be referred for potential elder/vulnerable adult financial exploitation investigation, and Anton could face charges for unauthorized trading and fraud.

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**Item 294 of 499****NON-COMPLIANT****Topic:** failure\_to\_know\_customer**Difficulty:** medium**Fact Pattern**

Gerald Okafor, age 71, retired from a career as a postal worker in Memphis, Tennessee. He walked into a brokerage branch in March 2023 to open an account and invest proceeds from his late wife's life insurance policy totaling \$185,000. Gerald had no prior investment experience and told the branch receptionist he wanted something 'safe so I don't lose my wife's money.' The financial advisor assigned to Gerald, Marcus Tremblay, spent approximately 12 minutes with him during the initial meeting. Marcus did not ask Gerald about his monthly income, which consisted solely of \$2,100 in Social Security and a small pension of \$850 per month. Marcus did not inquire about Gerald's monthly expenses, existing debts, health status, or whether he had any other savings or emergency funds. Marcus did not ask about Gerald's tax situation or whether he had beneficiaries he wished to provide for. The new account form listed Gerald's risk tolerance as 'moderate,' his investment objective as 'growth,' and his liquid net worth as '\$250,000-\$500,000,' none of which Gerald recalled discussing or agreeing to. Marcus recommended Gerald invest the full \$185,000 into a portfolio consisting of 60% in a large-cap equity fund with a 5.25% front-end load, 25% in an emerging markets ETF, and 15% in a high-yield corporate bond fund. The front-end sales charge on the equity fund alone cost Gerald approximately \$5,823. Within eight months, the portfolio had declined 14%, reducing Gerald's account value to approximately \$153,000. Gerald discovered the losses when he needed funds for an unexpected medical procedure and was shocked to learn his account had dropped significantly. He stated he never understood what was purchased and believed his money was in something similar to a savings account.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Marcus Tremblay committed serious violations on multiple fronts. Under FINRA Rule 2111 (Suitability), an advisor must have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, which includes age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. The advisor has an affirmative obligation to make reasonable efforts to gather this information -- this is the 'know your customer' component embedded in Rule 2111 and reinforced by FINRA Rule 2090 (Know Your Customer), which requires members to use reasonable diligence to know the essential facts concerning every customer. Marcus failed to ascertain Gerald's actual income, expenses, debts, health status, liquidity needs, tax situation, or true risk tolerance. A 12-minute meeting was wholly inadequate for a 71-year-old first-time investor deploying life insurance proceeds. Additionally, under Regulation Best Interest (Reg BI), the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making a recommendation, including understanding the customer's investment profile. The Know Your Customer component of the Care Obligation was clearly breached. The account form appears to have been filled out inaccurately -- listing 'moderate' risk tolerance and 'growth' objectives when Gerald explicitly stated he wanted safety. This also raises concerns under FINRA Rule 4512 regarding accurate customer account records and potentially FINRA Rule 2010 (Standards of Commercial Honor) for misrepresenting the customer's profile. The recommended portfolio -- 60% in a load equity fund, 25% in emerging markets, and 15% in high-yield bonds -- was entirely inappropriate for a 71-year-old retiree with no investment experience, limited fixed income, no emergency fund inquiry, and a stated desire for safety. This also constitutes a customer-specific suitability violation under Rule 2111. The \$5,823 front-end load on the equity fund further

demonstrates a failure to consider cost under Reg BI's Cost Disclosure and Care Obligations. Likely regulatory outcomes include FINRA enforcement action with potential suspension or bar for the advisor, disgorgement of commissions, restitution to the customer, and fines against both the advisor and the firm for supervisory failures under FINRA Rule 3110.

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## Item 295 of 499

### NON-COMPLIANT

**Topic:** speculative\_for\_conservative\_investor

**Difficulty:** hard

### Fact Pattern

Dorothy Whitfield, age 78, is a retired elementary school teacher living in Boca Raton, Florida. She has a total net worth of approximately \$620,000, of which \$410,000 is in a brokerage account and \$210,000 is in bank CDs and a money market account. Her annual income consists of \$28,800 from Social Security and \$14,400 from a teacher's pension, totaling \$43,200. Her monthly expenses, including assisted living facility costs she anticipated needing within two years, were approximately \$3,800 per month. Dorothy's account documents, completed in January 2022, accurately reflected her risk tolerance as 'conservative,' her investment objective as 'capital preservation and income,' her time horizon as 'short-term (1-3 years),' and her investment experience as 'limited -- mostly CDs and one balanced mutual fund.' Her advisor, Christine Ng, had managed Dorothy's account for three years and was aware of Dorothy's health concerns, including early-stage dementia diagnosed in 2021, which Dorothy's daughter, Paula, had disclosed to Christine during a joint meeting. Beginning in April 2022, Christine began repositioning Dorothy's \$410,000 brokerage portfolio. Over a six-month period, Christine executed 47 transactions, moving Dorothy out of her existing allocation of 70% investment-grade bonds and 30% dividend-paying blue chip stocks. The new portfolio consisted of: 30% in leveraged inverse ETFs tied to the Nasdaq-100 index, 25% in options strategies including written naked puts on individual technology stocks, 20% in a non-traded REIT with a seven-year lockup period and 12% upfront commission structure, 15% in a concentrated position in a single pre-revenue biotechnology company (market cap \$340 million), and 10% in a cryptocurrency-linked structured note. The total commissions and fees generated across all 47 transactions were approximately \$61,400. Christine did not discuss the repositioning strategy with Dorothy or her daughter Paula, and Dorothy's account statements were sent only to Dorothy's home address. By December 2022, the leveraged inverse ETFs and options positions had generated losses exceeding \$94,000, the biotech stock had declined 62%, and the non-traded REIT had suspended redemptions. Dorothy's account value had fallen to approximately \$237,000. Paula discovered the situation in January 2023 when she reviewed her mother's mail during a visit and immediately contacted the firm's branch manager. Christine later told the branch manager she believed the repositioning would 'generate enough returns to cover the assisted living costs' and that she had 'verbal authorization' from Dorothy, though no written documentation of any such conversation existed. The firm's compliance records showed that Christine's account had not been flagged for review despite the dramatic change in investment strategy, the volume of trading, and the customer's documented age, risk profile, and health status.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Christine Ng committed egregious violations across virtually every applicable regulatory standard. This scenario involves multiple overlapping violations that would likely result in severe sanctions. First, under FINRA Rule 2111 (Suitability), all three components were violated: (1) Reasonable-basis suitability -- leveraged inverse ETFs, naked put writing, non-traded REITs with seven-year lockups, concentrated single-stock biotech positions, and cryptocurrency-linked structured notes are complex, high-risk products that are unsuitable for virtually any 78-year-old conservative investor with limited experience, let alone one with diagnosed early-stage dementia and a short-term time horizon; (2) Customer-specific suitability -- the recommendations directly contradicted Dorothy's documented conservative risk tolerance, capital preservation objective, short-term (1-3 year) time horizon, limited experience, and

known liquidity needs for assisted living; (3) Quantitative suitability -- 47 transactions in six months generating \$61,400 in commissions on a \$410,000 account (approximately 15% cost-to-equity ratio) strongly suggests excessive trading or churning. Under Regulation Best Interest (Reg BI), Christine violated the Care Obligation by failing to exercise reasonable diligence, care, and skill; she failed to consider reasonably available alternatives, costs, and the customer's profile. The Disclosure Obligation was violated because there is no indication Christine disclosed the material risks, conflicts, or the fee structures. The Conflict of Interest Obligation was violated given the \$61,400 in commissions generated, suggesting the recommendations were driven by Christine's financial incentive rather than Dorothy's interests. The non-traded REIT's 12% upfront commission is a particularly stark example of a conflict. Additionally, FINRA Rule 2090 (Know Your Customer) was arguably satisfied in that Christine knew Dorothy's profile -- but she ignored it entirely, which makes the suitability violations more culpable. FINRA Rule 2010 (Standards of Commercial Honor and Principles of Fair Trade) is implicated by the overall pattern of conduct. The claim of 'verbal authorization' is insufficient and suspect -- FINRA has consistently held that even customer consent does not cure an unsuitable recommendation. Furthermore, given Dorothy's diagnosed early-stage dementia, FINRA Rule 2165 (Financial Exploitation of Specified Adults) is directly relevant, as Christine may have engaged in financial exploitation of a vulnerable adult. The firm also faces liability under FINRA Rule 3110 (Supervision) for failing to flag or review the dramatic repositioning of a 78-year-old conservative investor's account despite the obvious red flags including age, risk profile change, trading volume, and known cognitive decline. Likely regulatory outcomes include: for Christine, a permanent bar from the securities industry, disgorgement of all commissions, restitution, and potential referral for criminal prosecution for elder financial exploitation under Florida state law; for the firm, significant fines, required restitution, potential sanctions for supervisory failures, and heightened supervision requirements. Dorothy or her daughter would also likely prevail in FINRA arbitration seeking full compensatory damages.

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**Item 296 of 499****NON-COMPLIANT****Topic:** reverse\_churning**Difficulty:** medium**Fact Pattern**

Marcus Delano, a financial advisor at a mid-size wealth management firm, onboarded client Theresa Huang in March 2021. Theresa was a 52-year-old software engineer earning \$185,000 annually with approximately \$410,000 in investable assets. She described herself as a moderate-risk investor whose primary goal was long-term growth for retirement, roughly 13 years away. She told Marcus she preferred a 'set it and forget it' approach and did not want to actively trade. Marcus recommended that Theresa move her assets from her previous brokerage account, where she had been paying per-trade commissions, into a fee-based advisory account at his firm charging an annual wrap fee of 1.45% on assets under management. Theresa agreed based on Marcus's representation that the fee-based account would provide ongoing portfolio monitoring, quarterly rebalancing, and personalized financial planning services. Over the next 30 months -- from March 2021 through September 2023 -- Theresa's account records show that Marcus executed a total of only 4 trades: two purchases of broad-market index ETFs in April 2021 at account opening, one dividend reinvestment adjustment in January 2022, and one minor rebalancing trade in June 2023. There were no changes to the asset allocation, no financial plan was ever produced or delivered, and the quarterly review meetings listed in the advisory agreement never took place. Theresa received no phone calls, emails, or other communications from Marcus about her portfolio during 2022 or 2023 aside from automated account statements. Over the 30-month period, Theresa paid approximately \$14,900 in advisory fees. Had she remained in a commission-based account, the same four trades would have cost her roughly \$120 in total commissions. When Theresa eventually reviewed her account and questioned the fees, Marcus told her the fee covered 'access to our research platform and market insights,' though Theresa said she was never given login credentials or told about any research tools.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Marcus Delano likely violated applicable standards governing the recommendation of account types. Under FINRA Rule 2111 (Suitability) and its supplementary materials, a broker must have a reasonable basis for recommending a particular account type -- including whether a fee-based account is appropriate given the anticipated level of trading activity and services. Regulation Best Interest (Reg BI) under the Securities Exchange Act further requires that a broker-dealer recommendation, including the recommendation of an account type, be in the customer's best interest at the time it is made, considering costs, reasonably available alternatives, and the customer's investment profile. The Care Obligation component of Reg BI specifically requires evaluation of costs relative to the services to be provided.

This fact pattern presents a classic case of 'reverse churning' -- placing a client in a fee-based advisory account and then providing little to no advisory services, resulting in the client paying substantially higher fees than a commission-based alternative would have entailed. Theresa paid approximately \$14,900 in wrap fees over 30 months for an account that generated only 4 trades (roughly \$120 in hypothetical commissions). The advisory services promised -- quarterly rebalancing, portfolio monitoring, personalized financial planning -- were never meaningfully delivered.

Additionally, if Marcus was acting in a registered investment adviser capacity through the fee-based account, he owed

Theresa a fiduciary duty under the Investment Advisers Act of 1940, which includes duties of care and loyalty. Failing to provide the ongoing advisory services that justified the fee structure, while continuing to collect asset-based fees, would constitute a breach of fiduciary duty.

The Disclosure Obligation under Reg BI also appears to have been violated, as Marcus misrepresented the services Theresa would receive (research platform access, quarterly reviews) to justify the fee-based structure.

Regulatory outcomes could include disgorgement of excessive fees, restitution to the client, fines against the advisor and potentially the firm for supervisory failures, and suspension or bar depending on the scope of the conduct. FINRA and the SEC have brought numerous enforcement actions in the reverse churning context, and this pattern -- minimal activity, no advisory services delivered, and fees vastly exceeding what a transactional account would have cost -- strongly supports a finding of violation.

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## Item 297 of 499

### NON-COMPLIANT

**Topic:** private\_placements\_unsuitable

**Difficulty:** hard

### Fact Pattern

In February 2022, financial advisor Dawn Kessler recommended that her client, Harold Brenton, invest \$275,000 in a private placement offering marketed as the 'Meridian Healthcare Income Fund III.' Harold was 81 years old, a retired postal worker living on Social Security payments of \$2,100 per month and a small pension of \$1,400 per month. His total liquid net worth was approximately \$340,000, nearly all of which was held in a traditional IRA that represented his life savings accumulated over 40 years. Harold's account documentation listed his risk tolerance as 'conservative,' his investment objective as 'income and preservation of capital,' his time horizon as 'short-term (1-3 years),' and his investment experience as 'limited -- primarily CDs and money market accounts.' Harold's wife, age 79, had recently been diagnosed with early-stage dementia, and Harold had mentioned to Dawn on multiple occasions that he might need substantial funds in the near term for assisted living or memory care expenses, which he estimated could run \$6,000-\$9,000 per month. The Meridian Healthcare Income Fund III was a Regulation D private placement with a minimum 8-year lockup period, no secondary market, and limited redemption rights restricted to cases of investor death -- and even then subject to a 15% early redemption penalty. The fund invested in a portfolio of early-stage healthcare startups and pre-revenue biotech companies. The offering memorandum disclosed that the fund's underlying investments were 'highly speculative,' that 'total loss of invested capital is possible,' and that distributions were not guaranteed and would depend on portfolio company performance. The fund charged a 7% upfront sales commission (of which Dawn received 5.5%), a 2% annual management fee, and a 20% performance allocation. Dawn did not discuss the lockup period, liquidity restrictions, or speculative nature of the underlying investments with Harold in detail. Instead, she emphasized that the fund was 'focused on healthcare, which is always in demand' and projected that it would pay '8-10% annual income.' She did not present any alternative income-producing investments such as Treasury securities, investment-grade bonds, or high-quality dividend funds. Harold signed the subscription documents in Dawn's office without being given adequate time to review the 97-page offering memorandum; Dawn told him 'it's all standard language.' The \$275,000 investment represented approximately 81% of Harold's total liquid assets. Within 14 months, the fund suspended distributions entirely due to poor performance of its portfolio companies, and Harold was unable to access any of his invested capital to pay for his wife's memory care facility, which he had to fund by taking on credit card debt at 24% interest.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Dawn Kessler committed multiple serious violations of applicable regulatory standards.

**\*\*FINRA Rule 2111 -- Suitability:\*\*** This rule requires that a broker have a reasonable basis for believing a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, risk tolerance, and other relevant information. Under the rule's three components:

1. **\*Reasonable-Basis Suitability:\*** Dawn had an obligation to understand the product she was recommending. The Meridian fund was a speculative, illiquid private placement investing in pre-revenue biotech startups -- a product

unsuitable for virtually any conservative, elderly investor with short-term liquidity needs. Emphasizing projected 8-10% income returns without disclosing the speculative nature and risk of total loss suggests Dawn either did not understand the product or deliberately mischaracterized it.

2. **\*Customer-Specific Suitability:\*** Harold was 81, conservative, had limited investment experience (CDs and money markets), a short-term time horizon, known imminent liquidity needs (wife's memory care), and the investment consumed 81% of his liquid net worth. Every element of his profile was incompatible with an 8-year lockup, speculative, illiquid private placement. This is a textbook customer-specific suitability failure.

3. **\*Quantitative Suitability:\*** While typically applied to excessive trading, the extreme concentration (81% of liquid assets) in a single illiquid, speculative investment also implicates quantitative concerns.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under the Care Obligation, Dawn was required to exercise reasonable diligence, care, and skill in making the recommendation, considering the investment's risks, rewards, and costs in light of Harold's profile. She also was required to consider reasonably available alternatives. Dawn failed on all counts -- she did not present safer income alternatives (Treasuries, investment-grade bonds, dividend funds), did not adequately weigh Harold's liquidity needs, and did not consider the devastating impact of locking up 81% of his life savings. The Disclosure Obligation required material facts about costs, risks, and conflicts to be disclosed. The 7% upfront commission (with 5.5% to Dawn personally) created a significant financial conflict of interest that should have been clearly disclosed, and the lockup, illiquidity, and speculative nature were not adequately communicated. The Conflict of Interest Obligation required the firm to have policies to identify and mitigate conflicts; the outsized commission created a powerful incentive that was not mitigated.

**\*\*Investment Advisers Act Fiduciary Duty:\*\*** If Dawn held herself out as providing advisory services, she owed fiduciary duties of care and loyalty. Recommending a speculative, illiquid product to an 81-year-old conservative investor with imminent liquidity needs, while earning a 5.5% commission, breaches both duties.

**\*\*FINRA Rules on Private Placements:\*\*** FINRA has issued specific guidance (e.g., Regulatory Notices 10-22 and 12-03) emphasizing that firms and advisors must conduct thorough due diligence on private placements and must ensure suitability, particularly regarding concentration and liquidity. An 81% concentration in a single illiquid, speculative alternative investment for a conservative 81-year-old is far beyond any reasonable threshold.

**\*\*Additional Concerns:\*\*** Dawn's failure to give Harold adequate time to review the offering memorandum and her dismissal of the 97-page document as 'standard language' raises concerns about fraudulent or negligent misrepresentation and potentially violates FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade).

**\*\*Likely Regulatory Outcome:\*\*** This case presents egregious facts. Probable outcomes include significant monetary sanctions, disgorgement of commissions, restitution to Harold, a lengthy suspension or permanent bar for Dawn, and supervisory failure charges against the firm. In arbitration, Harold would likely recover his losses plus interest, and potentially punitive damages depending on the forum.

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**Item 298 of 499****NON-COMPLIANT****Topic:** leveraged\_etf\_unsuitable**Difficulty:** medium**Fact Pattern**

Margaret Dawson, age 74, is a retired schoolteacher living in Tucson, Arizona. She has a fixed income of \$2,800 per month from her pension and Social Security. Her total liquid net worth is approximately \$210,000, held in an IRA that she relies on for supplemental living expenses, withdrawing roughly \$1,200 per month. She has no other significant assets besides her home, which is paid off. During her account opening paperwork in January 2023, she indicated a conservative risk tolerance, an investment objective of capital preservation and income, and a time horizon of 3-5 years. Her investment experience was listed as limited, consisting primarily of certificates of deposit and a target-date retirement fund through her former employer's 403(b) plan. Her financial advisor, Kevin Brashear, age 38, recommended in March 2023 that she allocate \$85,000 -- roughly 40% of her IRA -- into a 3x leveraged bull ETF tracking the Nasdaq-100 index, telling her it would 'supercharge her returns so she wouldn't have to worry about running out of money.' He also placed \$30,000 into a 2x leveraged inverse S&P 500 ETF, describing it as a 'hedge' against market downturns. Brashear did not explain the daily reset mechanism of leveraged ETFs, the compounding decay risk, or the fact that these products are generally designed for short-term tactical trading. He did not rebalance or monitor the positions. Over the next seven months, the 3x leveraged Nasdaq ETF experienced significant volatility and ultimately declined 34% from her purchase price due to compounding decay during a choppy market, resulting in a loss of approximately \$28,900. The inverse ETF also lost roughly \$8,400 as the S&P 500 generally trended upward during portions of that period. By October 2023, Margaret's IRA had declined from \$210,000 to approximately \$168,500, a total loss of about \$41,500, representing nearly 20% of her retirement savings. She was not contacted by Brashear during this period about the positions.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Brashear committed multiple violations of applicable standards. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. Margaret Dawson is a 74-year-old retiree with conservative risk tolerance, capital preservation objectives, limited investment experience, and dependence on her IRA for monthly living expenses. Leveraged and inverse leveraged ETFs are complex, high-risk instruments that utilize derivatives and daily rebalancing mechanisms, making them unsuitable for buy-and-hold strategies and particularly inappropriate for conservative, income-dependent retirees. FINRA has issued Regulatory Notice 09-31 specifically warning that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, especially in volatile markets where compounding decay can cause significant losses even when the underlying index is relatively flat. Under Regulation Best Interest (Reg BI), the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and ensuring that the recommendation is in the customer's best interest without placing the advisor's financial interest ahead of the customer's. Allocating 40% of a conservative retiree's IRA into a 3x leveraged ETF flagrantly fails this standard. The Disclosure Obligation under Reg BI also required Brashear to disclose material facts about the risks of these products, including the daily reset mechanism and compounding decay, which he failed to do. Additionally, the lack of monitoring

over seven months for instruments designed for intraday or very short-term holding periods compounds the violation. The concentration of over 55% of the IRA in leveraged/inverse products also raises quantitative unsuitability concerns. Brashear likely violated both customer-specific and reasonable-basis suitability under FINRA Rule 2111, as well as the Care and Disclosure Obligations under Reg BI. Probable regulatory outcomes include restitution of approximately \$41,500 in losses, potential fines, suspension or bar from the industry, and the firm could face supervisory failure charges under FINRA Rule 3110 for inadequate oversight of leveraged ETF recommendations to elderly, conservative clients.

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**Item 299 of 499****COMPLIANT****Topic:** margin\_unsuitable**Difficulty:** hard**Fact Pattern**

David Chen, age 42, is a senior software engineer at a major technology company in Seattle earning \$345,000 annually in base salary with an additional \$200,000 in annual restricted stock unit vesting. His liquid investment portfolio, excluding company stock, totals approximately \$1.9 million across brokerage and retirement accounts. He owns a home valued at \$1.2 million with a remaining mortgage of \$380,000. He has no other debt and maintains an emergency fund of \$120,000 in a high-yield savings account. David has been actively investing for 18 years, including experience with options, individual equities, sector ETFs, and short-term trading. On his updated account documents from February 2024, he indicated an aggressive risk tolerance, a growth-oriented investment objective, and a long-term time horizon of 10+ years. He specifically requested the ability to use margin in his taxable brokerage account, which held approximately \$850,000. His financial advisor, Rachel Simmons, conducted a thorough review of David's financial profile, discussed the mechanics of margin borrowing including interest costs, margin calls, forced liquidation risk, and amplified losses. She documented this conversation in her notes. After this discussion, Rachel approved David's margin application and recommended he use margin to purchase an additional \$170,000 worth of a diversified large-cap growth ETF -- representing a margin-to-equity ratio of 20%, well within standard maintenance requirements. Rachel set up automated alerts to notify both herself and David if his margin utilization exceeded 35% of account equity, and she scheduled quarterly reviews to reassess the margin position relative to David's overall financial picture. Over the following six months, the position gained approximately 11%, and David's overall financial condition remained stable. Rachel contacted David in May 2024 for a scheduled review and confirmed he was comfortable maintaining the margin position. All margin interest charges were disclosed on monthly statements.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Rachel Simmons acted appropriately and in compliance with applicable suitability and best interest standards. Under FINRA Rule 2111, the recommendation to use margin must be suitable based on the customer's investment profile. David Chen is a high-income, experienced investor with aggressive risk tolerance, a growth objective, a long time horizon, substantial liquid assets (\$1.9 million excluding company stock), a robust emergency fund, and nearly two decades of active investing experience including complex products. The margin recommendation was reasonable-basis suitable because a modest margin position in a diversified large-cap growth ETF is a recognized strategy for experienced growth-oriented investors. It was customer-specific suitable given David's financial capacity to absorb potential losses, his documented aggressive risk tolerance, and his long time horizon. Under Regulation Best Interest (Reg BI), Rachel satisfied the Care Obligation by conducting a thorough review of David's financial profile and exercising reasonable diligence before recommending margin. She satisfied the Disclosure Obligation by explaining margin mechanics, interest costs, margin call procedures, and the risk of amplified losses, and she documented this conversation. The margin-to-equity ratio of only 20% is conservative relative to the 50% initial margin requirement under Federal Reserve Regulation T and the typical 25% FINRA minimum maintenance requirement under Rule 4210, providing a substantial cushion against margin calls. Rachel also implemented proactive monitoring through automated alerts at 35% utilization and scheduled quarterly reviews, which exceeds typical supervisory expectations and demonstrates ongoing diligence. The fact that David specifically requested margin capability, was fully informed of the

risks, and had the financial sophistication and resources to bear the associated risks all support compliance. No regulatory action would be expected in this scenario, as the advisor's conduct reflects a well-documented, carefully considered recommendation proportionate to the client's profile and risk capacity.

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## Item 300 of 499

### NON-COMPLIANT

**Topic:** high\_fees\_unsuitable

**Difficulty:** medium

### Fact Pattern

Margaret Thornton, age 58, is a recently divorced public school librarian earning \$52,000 per year. Following her divorce settlement in March 2023, she received \$285,000 in liquid assets, which represented essentially her entire retirement savings outside of a small state pension. She opened an account with advisor Derek Paulson at a mid-size independent brokerage in April 2023. During her initial consultation, Margaret explicitly told Paulson that she planned to retire at age 62 and would need to begin drawing from these funds within approximately four years to supplement her pension income. She described herself as a conservative investor who could not afford to lose principal, and her new account paperwork listed her risk tolerance as 'low' and her investment objective as 'income with capital preservation.' Her investment experience was limited to a target-date fund in her 403(b). Despite these stated needs and profile, Paulson recommended that Margaret invest \$210,000 -- roughly 74% of her liquid assets -- into three different non-traded Real Estate Investment Trusts (REITs), each carrying upfront commissions ranging from 6.5% to 7.0%, with total upfront sales charges amounting to approximately \$14,175. The non-traded REITs had no public market, redemption programs that were limited and discretionary, and prospectus-stated investment horizons of seven to ten years. Paulson earned approximately \$11,500 in commissions on these transactions. He did not discuss lower-cost alternatives such as publicly traded REIT ETFs, bond funds, or Treasury instruments that would have provided liquidity. By September 2024, Margaret attempted to redeem a portion of her REIT holdings after an unexpected medical expense, only to discover that two of the three REITs had suspended their share repurchase programs entirely. She was unable to access any of the \$210,000 invested. Her remaining \$75,000 in a money market account was insufficient to cover both her medical bills and her approaching retirement income needs.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Paulson violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis for recommending a transaction or investment strategy involving a security to a customer, based on the customer's investment profile. The rule encompasses three obligations: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the recommendation to the specific customer's profile), and quantitative suitability (avoiding excessive trading).
2. **\*\*Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, Rule 15l-1:\*\*** Effective since June 30, 2020, Reg BI requires broker-dealers to act in the best interest of retail customers when making recommendations, without placing the broker's financial interest ahead of the customer's. It includes a Care Obligation requiring the broker to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile, and evaluating reasonably available alternatives.

3. **FINRA Rule 2010 (Standards of Commercial Honor):** Requires adherence to high standards of commercial honor and just and equitable principles of trade.

**Analysis of Violations:**

**Customer-Specific Suitability / Care Obligation Violation:** Margaret's profile -- low risk tolerance, capital preservation objective, limited experience, need for liquidity within four years, and dependence on these funds for retirement -- is fundamentally incompatible with non-traded REITs. These products are illiquid, carry long investment horizons (7-10 years), and have no guaranteed redemption mechanism. Paulson recommended concentrating 74% of her liquid net worth in these products despite her express need for near-term access to funds. This directly contradicts her stated objectives and timeline.

**Failure to Consider Reasonable Alternatives:** Under Reg BI's Care Obligation, Paulson was required to evaluate reasonably available alternatives. Publicly traded REIT ETFs, investment-grade bond funds, Treasury securities, or CDs would have provided income and capital preservation with full liquidity -- all at significantly lower cost. Paulson's failure to present or consider these alternatives demonstrates that his recommendation was driven by the substantial commissions he earned (\$11,500) rather than Margaret's interests.

**Excessive Concentration:** Placing 74% of a conservative, liquidity-dependent client's assets into illiquid alternative investments represents an unsuitable concentration. Industry guidance and numerous enforcement precedents treat concentrations above 50% in illiquid products for conservative investors as presumptively unsuitable.

**High Fee Impact:** The 6.5%-7.0% upfront commissions (\$14,175 total) immediately reduced Margaret's invested principal by a significant amount, working against her capital preservation objective. These fees were substantially higher than available alternatives.

**Likely Regulatory Outcome:** This fact pattern presents strong grounds for a FINRA enforcement action or customer arbitration claim. Paulson would likely face disgorgement of commissions, compensatory damages to Margaret for the difference between her actual losses and what she would have earned in suitable investments, potential punitive damages, and individual sanctions including fines and a possible suspension or bar. The firm could face supervisory failure charges under FINRA Rule 3110 if it failed to flag the unsuitability of these recommendations during review.

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**Item 301 of 499****NON-COMPLIANT****Topic:** margin\_unsuitable**Difficulty:** hard**Fact Pattern**

Harold and Doris Kemper, ages 79 and 76 respectively, are a retired couple living in Scottsdale, Arizona. Harold is a former electrician and Doris a former dental office manager. Their combined annual income consists of \$38,400 from Social Security and a small annuity payment of \$7,200 per year, totaling \$45,600. Their investable assets at the time of the events totaled approximately \$340,000, held in a joint brokerage account with broker Anthony Rizzo at a regional broker-dealer. The Kempers' account documents, updated in January 2023, listed their risk tolerance as 'moderate,' their investment objective as 'income,' their time horizon as 'short-term (1-5 years),' and their investment experience as 'limited.' They had previously held a portfolio of blue-chip dividend stocks and municipal bonds. In February 2023, Rizzo contacted the Kempers and recommended that they shift a substantial portion of their portfolio into leveraged exchange-traded funds (ETFs), specifically a 3x leveraged S&P 500 bull ETF and a 2x leveraged Nasdaq-100 bull ETF. Rizzo told them these products would 'supercharge their returns' and allow them to 'make up for lost time' after modest portfolio growth in prior years. He did not explain the daily rebalancing mechanism of leveraged ETFs, the effects of volatility decay on long-term returns, or the fact that these products are designed for short-term tactical trading -- typically single-day holding periods. Additionally, Rizzo recommended that the Kempers open a margin account and use approximately \$85,000 in margin borrowing to increase their leveraged ETF positions, bringing their total exposure to approximately \$240,000 in leveraged ETFs (roughly \$155,000 of their own capital plus \$85,000 in borrowed funds). The margin interest rate was 9.25% annually. Over the following eight months (February through October 2023), the Kempers held these leveraged ETFs continuously. During periods of market volatility in mid-2023, the compounding effects of daily rebalancing and volatility decay caused their leveraged positions to significantly underperform the underlying indices. By October 2023, their leveraged ETF holdings had declined in value to approximately \$148,000. After repaying the \$85,000 margin loan plus \$5,900 in accumulated interest, the Kempers were left with approximately \$57,100 from the \$155,000 of their own capital originally invested -- a loss of roughly \$97,900, or 63%, on their contributed funds. Their total portfolio, including the uninvested remainder, had fallen from \$340,000 to approximately \$242,100. Rizzo earned approximately \$4,800 in commissions on the initial leveraged ETF purchases and the firm earned ongoing margin interest revenue. The Kempers, who depend on their portfolio for supplemental retirement income, were forced to drastically reduce their living expenses and postpone needed home repairs.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Anthony Rizzo committed serious and multi-layered violations of suitability and best interest standards. This fact pattern involves an especially vulnerable customer profile, an egregiously mismatched product recommendation, and the compounding harm of margin leverage.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires reasonable-basis, customer-specific, and quantitative suitability for all recommendations. Associated persons must understand the products they recommend (reasonable-basis) and must ensure the recommendation is suitable for the specific customer (customer-specific).

2. **Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act:** The Care Obligation requires brokers to exercise reasonable diligence, care, and skill, consider reasonably available alternatives, and not place their own financial interest ahead of the retail customer's interest. The Disclosure Obligation requires full and fair disclosure of all material facts, including risks and conflicts of interest.

3. **FINRA Rule 2010 (Standards of Commercial Honor):** Broad ethical conduct standard.

4. **FINRA Regulatory Notices 09-31 and 09-65 (Leveraged and Inverse ETFs):** FINRA has specifically warned that leveraged ETFs are complex products unsuitable for most retail investors who plan to hold them for longer than one trading session. The daily rebalancing feature means that over time, especially in volatile markets, returns can deviate significantly from the leveraged multiple of the underlying index's cumulative return. Firms have heightened suitability obligations when recommending these products.

5. **FINRA Rule 4210 and NASD Rule 2790 (Margin Requirements and Suitability):** Margin recommendations carry their own suitability requirements. Recommending margin to elderly, income-dependent retirees with limited experience amplifies the risk profile of the strategy and constitutes an independent suitability concern.

**Detailed Analysis of Violations:**

**Reasonable-Basis Suitability Failure:** Leveraged ETFs are explicitly designed for short-term (typically intraday) tactical use by sophisticated traders. Their prospectuses universally warn against holding periods longer than one day. By recommending an eight-month buy-and-hold strategy with leveraged ETFs, Rizzo either failed to understand the fundamental mechanics of the products he was recommending or understood them and disregarded the risks. Either constitutes a reasonable-basis suitability violation.

**Customer-Specific Suitability Failure:** The Kempers' profile -- ages 79 and 76, limited investment experience, income-oriented objective, short-term time horizon, moderate risk tolerance, and dependence on portfolio assets for living expenses -- is diametrically opposed to the risk profile of leveraged ETFs held on margin. Every element of their investment profile counseled against this recommendation. The concentration of approximately 70% of their portfolio (\$240,000 of \$340,000 total, including margin) in leveraged ETFs is indefensible for this customer profile.

**Reg BI Care Obligation Violation:** Rizzo failed to exercise reasonable diligence by not understanding or explaining the daily rebalancing mechanism, volatility decay, or the products' intended single-day holding period. He failed to consider reasonably available alternatives -- dividend-paying equities, investment-grade bonds, conservative balanced funds, or even unleveraged index ETFs -- that would have aligned with the Kempers' income needs and risk profile. The substantial commissions and margin interest revenue to the firm create a clear conflict that Rizzo resolved in his own favor rather than his clients' favor.

**Reg BI Disclosure Obligation Violation:** Rizzo's characterization of leveraged ETFs as a way to 'supercharge returns' and 'make up for lost time' was materially misleading. He failed to disclose the critical risk of volatility decay, the designed single-day holding period, the compounding effect of margin interest on losses, or the potential for catastrophic loss of principal. These are material facts that a reasonable investor would consider important.

**Margin Suitability Violation:** Recommending margin borrowing to retirees in their late 70s who depend on their portfolio for income is independently unsuitable. The 9.25% margin interest rate created a substantial cost hurdle, and the margin amplified both the magnitude of potential losses and the speed at which those losses could materialize. In the event of a margin call, the Kempers could have been forced to liquidate positions at the worst possible time.

**Likely Regulatory Outcome:** This represents an egregious pattern likely to result in significant enforcement action.

FINRA would likely pursue charges under Rules 2111 and 2010, as well as Reg BI violations referred to or coordinated with the SEC. Probable sanctions for Rizzo include a substantial fine (\$50,000-\$100,000+), disgorgement of commissions, restitution to the Kempers, and a lengthy suspension or industry bar given the vulnerability of the customers and the severity of the misconduct. The firm faces potential supervisory failure charges under FINRA Rule 3110 for failing to detect and prevent unsuitable leveraged ETF and margin recommendations to elderly retail customers, and may be ordered to pay restitution jointly. In a customer arbitration, the Kempers would have strong claims for compensatory damages of approximately \$97,900 (their net loss), plus margin interest costs, and potentially punitive damages given the egregiousness of the conduct.

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## Item 302 of 499

### NON-COMPLIANT

**Topic:** concentration\_risk

**Difficulty:** medium

### Fact Pattern

Margaret Holloway, age 72, is a retired schoolteacher living in Columbus, Ohio, with an annual pension income of \$38,000 and Social Security benefits of \$22,000. Her total liquid net worth is approximately \$410,000, held primarily in an IRA rollover account. She described her investment objectives as capital preservation and income generation, and on her new account form she indicated a conservative risk tolerance. She told her advisor, Derek Fanning, that she could not afford significant losses because this account, along with her pension, represented her sole source of retirement income. In March 2022, Fanning recommended that Margaret invest \$330,000 -- roughly 80% of her liquid assets -- into shares of a single regional bank holding company, Great Lakes Bancshares, which paid a 4.8% dividend yield at the time. Fanning told Margaret the dividend was 'rock solid' and that the stock had 'never cut its dividend in 15 years.' He did not discuss the risks of holding such a large position in one equity security, nor did he present any alternative income-generating strategies such as diversified bond funds, Treasury securities, or balanced funds. The remaining \$80,000 was placed in a money market fund. By October 2023, Great Lakes Bancshares had declined 47% in value following loan loss concerns in the commercial real estate sector, and the company suspended its dividend. Margaret's IRA account value fell from \$410,000 to approximately \$255,000, a loss of roughly \$155,000. Margaret filed a complaint stating she was never told her money would be so heavily concentrated in one stock and that she would not have agreed to such a risky position.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Fanning violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and other factors. There are three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:\*\*** If the recommendation occurred after June 30, 2020, Reg BI applies to broker-dealer recommendations to retail customers. Reg BI's Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making a recommendation, consider reasonably available alternatives, and ensure that the recommendation is in the retail customer's best interest and does not place the advisor's interest ahead of the customer's.
3. **\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Engaging in conduct inconsistent with just and equitable principles of trade.

**\*\*Analysis:\*\***

- **\*\*Customer-Specific Suitability / Care Obligation Violation:\*\*** Margaret was a 72-year-old retiree with conservative risk tolerance, capital preservation objectives, and complete dependence on her portfolio and pension for retirement income. Placing 80% of her liquid assets into a single equity security -- regardless of its dividend history -- is fundamentally inconsistent with a conservative, income-oriented profile. The concentration risk alone makes this recommendation unsuitable.

- **\*\*Reasonable-Basis Suitability Violation:\*\*** Even for an investor with a higher risk tolerance, an 80% allocation to a single equity position lacks a reasonable basis as a sound investment strategy. No prudent advisor would recommend such extreme concentration to a retail investor, let alone a conservative retiree.

- **\*\*Failure to Consider Alternatives:\*\*** Under Reg BI's Care Obligation, Fanning was required to consider reasonably available alternatives. Diversified bond funds, Treasury securities, CD ladders, or balanced funds would have been obvious, more appropriate alternatives for an income-seeking conservative investor. There is no indication Fanning considered or presented any alternatives.

- **\*\*Inadequate Disclosure of Risk:\*\*** Fanning described the dividend as 'rock solid' without disclosing the inherent risks of equity concentration, including the possibility of dividend suspension and significant capital loss. This failure to disclose material risks also implicates Reg BI's Disclosure Obligation.

**\*\*Likely Regulatory Outcome:\*\*** Fanning and his firm would likely face FINRA enforcement action for violations of Rule 2111 and SEC enforcement for violation of Reg BI. Remedies could include restitution to Margaret of approximately \$155,000, disgorgement of commissions earned, fines, a suspension or bar from the industry for Fanning, and supervisory sanctions against the firm for failure to detect and prevent the concentrated, unsuitable recommendation.

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## Item 303 of 499

### COMPLIANT

**Topic:** complex\_products\_unsophisticated\_investor

**Difficulty:** hard

### Fact Pattern

Samuel Ortiz, age 55, is a warehouse supervisor in Memphis, Tennessee, earning \$67,000 per year. He has \$185,000 in a 401(k) from a prior employer that he wished to roll over into an IRA, plus \$40,000 in a savings account. Samuel has a high school education and described his investment knowledge as 'basic' -- he had only ever owned target-date funds inside his 401(k). His stated objectives were growth with moderate risk tolerance, and he indicated a 10-year time horizon until retirement at age 65. His advisor, Patricia Yuen, a registered representative at a mid-sized broker-dealer, spent two meetings with Samuel reviewing his financial situation, goals, and risk capacity. During the second meeting, Patricia explained that she was considering a structured note linked to the S&P 500 with a six-year maturity, 10% downside buffer, and a capped upside of 42% over the term. She walked Samuel through a written product summary, explained the credit risk of the issuing bank, described the liquidity limitations including the fact that selling before maturity could result in losses, explained the cap on returns, and described scenarios in which he could lose principal beyond the 10% buffer. She also presented two alternatives: a diversified equity index fund portfolio and a balanced fund of 60% stocks and 40% bonds. She documented Samuel's questions and her responses, including his concern about market downturns, which she addressed by explaining how the buffer worked. Samuel stated he understood the tradeoffs -- limited upside in exchange for downside protection -- and said he liked the idea of some protection given his age. Patricia recommended allocating \$55,000 (approximately 24% of his total investable assets) to the structured note, \$100,000 to a diversified portfolio of low-cost equity index funds, and \$30,000 to an intermediate-term bond index fund inside the IRA. The \$40,000 savings account was left untouched as an emergency fund. Patricia's firm charged a 1.5% markup on the structured note, which was disclosed in the trade confirmation and discussed verbally beforehand. Over the following three years, Samuel's portfolio performed in line with expectations, and he expressed satisfaction with the allocation.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

No, Patricia Yuen does not appear to have violated applicable suitability or best interest standards. Her conduct reflects a careful, well-documented process consistent with regulatory requirements.

**\*\*Applicable Standards:\*\***

1. **\*\*Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:\*\*** As a registered representative recommending securities to a retail customer, Patricia was subject to Reg BI's four component obligations: Disclosure, Care, Conflict of Interest, and Compliance.
2. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires reasonable-basis, customer-specific, and quantitative suitability for any recommended transaction or strategy.
3. **\*\*FINRA Regulatory Notices on Complex Products (e.g., Regulatory Notice 12-03):\*\*** FINRA has issued guidance emphasizing heightened supervisory and suitability obligations when recommending complex products, particularly to



retail or unsophisticated investors. Firms and advisors should ensure the customer can understand the product's features and risks, and that the product fits the customer's profile.

**\*\*Analysis -- Why Compliant:\*\***

- **\*\*Care Obligation Satisfied:\*\*** Patricia conducted a thorough assessment of Samuel's financial situation, objectives, risk tolerance, and time horizon over two meetings. She exercised diligence by evaluating whether the structured note was appropriate given his moderate risk tolerance and 10-year horizon. The six-year maturity fits within his timeline. Allocating only 24% of investable assets to the structured note -- while maintaining broad equity diversification and bond exposure -- demonstrates a prudent, proportional recommendation rather than an overconcentration in a complex product.

- **\*\*Reasonable Alternatives Considered:\*\*** Patricia presented two alternative strategies (diversified equity index funds and a balanced fund) and explained the tradeoffs of each compared to the structured note. This demonstrates compliance with Reg BI's requirement to consider reasonably available alternatives.

- **\*\*Disclosure Obligation Satisfied:\*\*** Patricia provided a written product summary, explained the issuing bank's credit risk, liquidity constraints, the downside buffer mechanism, the upside cap, and scenarios of principal loss. The 1.5% markup was disclosed both verbally and in the trade confirmation. This level of transparency meets and likely exceeds Reg BI's disclosure requirements.

- **\*\*Heightened Obligations for Complex Products Met:\*\*** Despite Samuel's limited investment experience, Patricia took affirmative steps to ensure he understood the product. She documented his questions and her explanations, presented the information across multiple meetings, and confirmed his understanding of the key tradeoffs. FINRA guidance on complex products (Regulatory Notice 12-03) emphasizes that firms should perform reasonable diligence to understand the product and to determine whether it is appropriate for a given customer -- both standards appear to have been met here.

- **\*\*Conflict of Interest Obligation:\*\*** The 1.5% markup represents compensation that could create a conflict, but it was disclosed and is within the range of typical markups on structured notes. Patricia's overall allocation -- heavily weighted toward low-cost index funds -- does not suggest that compensation influenced the recommendation.

- **\*\*Customer Outcome:\*\*** While not dispositive, the fact that Samuel's portfolio performed in line with expectations and he remained satisfied supports the conclusion that the recommendation was reasonable and aligned with his profile.

**\*\*Likely Regulatory Outcome:\*\*** No enforcement action would be expected. Patricia's thorough documentation, multi-meeting educational process, appropriate allocation sizing, consideration of alternatives, and comprehensive risk disclosure represent a model approach to recommending a complex product to an unsophisticated investor. A FINRA examiner reviewing this account would likely view it as compliant.

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## Item 304 of 499

### NON-COMPLIANT

**Topic:** high\_fees\_unsuitable

**Difficulty:** medium

### Fact Pattern

Margaret Olsen, age 74, is a retired schoolteacher living in rural Minnesota. Her sole sources of income are a \$1,850 monthly pension and \$1,420 in Social Security benefits. She has \$215,000 in savings, which represents her entire life savings accumulated over 38 years of teaching. She described herself as very conservative, telling her advisor she 'cannot afford to lose any of this money' and that she needed it to cover potential nursing home costs and medical expenses. She has no other family support and limited financial literacy, having never invested beyond a basic savings account. In March 2022, her financial advisor, Derek Tompkins, recommended she move her entire \$215,000 from a bank CD earning 1.2% into a Class C share variable annuity with a nationally known insurance company. The annuity carried a 1.40% mortality and expense charge, a 0.25% administrative fee, and underlying fund expenses averaging 0.95%, bringing total annual costs to approximately 2.60% or roughly \$5,590 per year. The annuity also imposed a 7-year surrender charge schedule starting at 7% in year one and declining by 1% each year. The subaccount allocation Tompkins selected included 40% in an aggressive growth equity fund, 30% in an international equity fund, and 30% in a high-yield bond fund. Tompkins earned a 5.5% upfront commission of \$11,825 on the sale. He did not discuss lower-cost alternatives such as Treasury bonds, fixed annuities, or money market funds. Within 14 months, the account had declined to \$183,400 due to market losses in the aggressive subaccounts. Margaret attempted to withdraw funds in June 2023 for an unexpected medical procedure costing \$18,000, but was assessed a \$10,906 surrender penalty (6% of account value), netting her only \$7,094 from a \$18,000 withdrawal request. She filed a complaint in August 2023.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Tompkins violated both suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires that a recommended transaction or investment strategy involving securities be suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and other relevant factors. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:\*\*** If the recommendation was made after June 30, 2020 (which it was, in March 2022), the broker-dealer and associated person must act in the retail customer's best interest at the time a recommendation is made, without placing their own financial interest ahead of the customer's. This includes the Care Obligation, which requires the advisor to exercise reasonable diligence, care, and skill in understanding the product, the customer's profile, and potential risks, costs, and alternatives.

**\*\*Analysis of Violations:\*\***

- **\*\*Customer-Specific Suitability / Care Obligation Failure:\*\*** Margaret was 74 years old, had a conservative risk

tolerance, limited income, no other assets, anticipated medical and long-term care expenses, and explicitly stated she could not afford to lose money. Placing 70% of her life savings in aggressive growth equity and international equity subaccounts was fundamentally inconsistent with her stated objectives and profile. The high-yield bond allocation (30%) also carried significant credit risk inappropriate for her needs.

- **Liquidity Mismatch:** Margaret had foreseeable near-term liquidity needs (medical expenses, potential nursing home costs). The 7-year surrender charge schedule effectively locked up her only savings, creating a severe liquidity problem. The surrender penalty she actually incurred (\$10,906) demonstrates the real harm of this mismatch.

- **Excessive Costs:** Total annual fees of approximately 2.60% (\$5,590/year) on a \$215,000 account for a conservative, income-oriented retiree were unreasonable. Lower-cost alternatives -- Treasury securities, CDs, fixed annuities, or low-cost bond index funds -- could have met her objectives at a fraction of the cost. Tompkins' failure to consider or present these alternatives violates Reg BI's Care Obligation, which requires consideration of reasonably available alternatives.

- **Conflict of Interest:** Tompkins earned an \$11,825 upfront commission (5.5%), creating a significant financial incentive to recommend this product over lower-cost alternatives. Under Reg BI's Conflict of Interest Obligation, this conflict should have been mitigated and disclosed, and it should not have driven the recommendation.

- **Concentration Risk:** Placing 100% of a client's life savings into a single variable annuity product, particularly for an elderly client with no other resources, represents an impermissible concentration under both FINRA suitability standards and Reg BI.

**Likely Regulatory Outcome:** This case presents clear violations under both FINRA Rule 2111 and Reg BI. FINRA enforcement or SEC examination would likely result in sanctions including disgorgement of the \$11,825 commission, restitution to Margaret for her losses (approximately \$31,600 in market losses plus the \$10,906 surrender penalty), fines against the advisor and potentially the supervising broker-dealer, and a potential suspension or bar for Tompkins. The firm could also face supervisory failure charges under FINRA Rule 3110 if it approved the transaction without adequate review.

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## Item 305 of 499

### NON-COMPLIANT

**Topic:** mutual\_fund\_switching\_churning

**Difficulty:** hard

### Fact Pattern

Carlos Mendez, age 52, is a mid-level operations manager at a manufacturing firm earning \$105,000 annually. He has a 401(k) through his employer worth approximately \$340,000 and a separate brokerage account with \$175,000 that he opened in 2018 with advisor Rachel Nguyen at a regional broker-dealer. Carlos described his investment objectives as long-term growth with moderate risk tolerance, targeting retirement at age 65. He told Nguyen he preferred a 'set it and forget it' approach and did not want to be actively trading. Between January 2021 and December 2023, Nguyen executed 14 mutual fund switches in Carlos's \$175,000 brokerage account. Each switch involved selling one equity mutual fund family and purchasing shares in a different fund family with substantially similar investment objectives and holdings. The specific transactions were as follows: In February 2021, she moved \$175,000 from Fund Family A's Large Cap Growth Fund (expense ratio 0.72%) to Fund Family B's Large Cap Growth Fund (expense ratio 0.78%) with a 5.25% front-end load (\$9,187.50). In June 2021, she switched \$168,000 from Fund Family B back into Fund Family A's Growth & Income Fund (expense ratio 0.68%) with a 4.75% load (\$7,980). In October 2021, she moved \$162,500 into Fund Family C's Equity Growth Fund (expense ratio 0.81%) with a 5.50% load (\$8,937.50). This pattern continued through 2023, with switches occurring approximately every 2-3 months into funds with overlapping top-ten holdings (typically 60-80% overlap) and nearly identical Morningstar categories and risk ratings. Over the three-year period, Carlos paid a total of approximately \$67,340 in front-end sales loads across the 14 transactions. Nguyen earned commissions on each switch. The account value, which started at \$175,000, stood at \$134,200 by December 2023, despite the S&P 500 returning approximately 26% cumulatively over the same period. Had Carlos remained in his original fund with no switching, his account would have been worth approximately \$209,000 based on that fund's actual performance. Carlos only became aware of the extent of the switching when he received his year-end 2023 consolidated statement and noticed the dramatic decline, at which point he contacted the firm's branch manager to complain. Nguyen's production records showed that Carlos's account represented approximately 22% of her total gross commissions during this period. Internal firm records also showed that Nguyen had been flagged by the compliance department in mid-2022 for 'elevated mutual fund switch activity' across several client accounts, but no formal action was taken and the switches in Carlos's account continued for another 18 months.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Rachel Nguyen committed clear and egregious violations through a pattern of mutual fund switching that constituted churning and was fundamentally unsuitable.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability) -- Quantitative Suitability Component:\*\*** Even when each individual transaction might appear facially reasonable in isolation, FINRA Rule 2111.05(c) specifically addresses quantitative suitability, which requires that a series of recommended transactions, taken together, are not excessive and unsuitable in light of the customer's profile. This is the anti-churning prong of the suitability rule.

2. **Regulation Best Interest (Reg BI) -- Care Obligation:** Under the SEC's Reg BI (effective since June 30, 2020), the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill when making a recommendation, including evaluating the costs of a series of transactions. Reg BI explicitly states that the broker must consider reasonably available alternatives and must not place their own financial interest ahead of the customer's.

3. **FINRA Rule 2010 (Standards of Commercial Honor):** Churning and excessive trading violate just and equitable principles of trade.

4. **FINRA Regulatory Notice 12-25:** Provides specific guidance on mutual fund switching, noting that switches between funds with similar investment objectives and features are presumptively problematic when they generate new sales charges without corresponding customer benefit.

**Detailed Analysis of Violations:**

- **Mutual Fund Switching (Churning):** The 14 switches over 36 months into funds with 60-80% holding overlap and identical Morningstar categories generated \$67,340 in sales loads -- equivalent to approximately 38.5% of the original account value. These switches provided no material investment benefit to Carlos. Moving between substantially similar large-cap growth funds at different fund families served no purpose other than generating commissions for Nguyen.

- **Quantitative Unsuitability / Excessive Costs:** The turnover rate and cost-to-equity ratio in this account were extraordinary. The \$67,340 in loads alone represented a cost-to-equity ratio that would require exceptional returns merely to break even. For a moderate-risk, long-term growth investor who explicitly wanted a passive approach, this level of activity was categorically excessive. The annualized cost-to-equity ratio (sales loads alone, excluding ongoing fund expenses) exceeded 12%, far above any reasonable threshold.

- **Customer Objective Mismatch:** Carlos specifically told Nguyen he wanted a 'set it and forget it' approach. Executing 14 switches in three years directly contradicted his stated preferences and investment approach.

- **Reg BI Best Interest Failure:** Each switch recommendation failed the Care Obligation because (a) the destination funds were substantially similar to the origin funds, offering no reasonably expected improvement in performance or risk characteristics; (b) the costs of switching (new front-end loads each time) were substantial and demonstrably harmful; and (c) lower-cost alternatives existed, including simply staying in the existing fund. Nguyen placed her financial interest in generating commissions ahead of Carlos's interest in long-term growth.

- **Resulting Harm:** Carlos's account declined from \$175,000 to \$134,200 (a 23.3% loss) during a period when a buy-and-hold strategy in his original fund would have grown the account to approximately \$209,000. The total economic harm is approximately \$74,800 (\$209,000 minus \$134,200).

- **Firm Supervisory Failure:** Under FINRA Rule 3110, the broker-dealer has an obligation to establish and maintain a supervisory system reasonably designed to detect and prevent violations. The firm's compliance department flagged Nguyen's elevated switch activity in mid-2022 but took no formal action, allowing 18 additional months of harmful switching. This constitutes a failure to supervise under FINRA Rule 3110(a) and (b). The firm may also face liability under Reg BI's Compliance Obligation for failing to establish, maintain, and enforce written policies and procedures reasonably designed to achieve compliance.

**Likely Regulatory Outcome:** This is a strong enforcement case. FINRA and/or the SEC would likely pursue action against both Nguyen and the firm. Expected outcomes include: (1) Restitution to Carlos of approximately \$74,800 plus interest; (2) Disgorgement of Nguyen's commissions earned on the switches; (3) A fine against Nguyen, potentially in the range of \$25,000-\$100,000 given the pattern and duration; (4) A suspension of Nguyen for 12-24 months or a bar, particularly if similar patterns are found in other customer accounts (which the 2022 compliance flag suggests); (5) A

fine against the firm for supervisory failures, potentially \$100,000 or more; (6) An order requiring the firm to enhance its mutual fund switch surveillance systems. Carlos would also have a strong FINRA arbitration claim for compensatory damages, and potentially punitive damages given the willful and repeated nature of the misconduct despite the compliance flag.

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## Item 306 of 499

### NON-COMPLIANT

**Topic:** speculative\_for\_conservative\_investor

**Difficulty:** medium

### Fact Pattern

Margaret Holloway, age 74, is a retired schoolteacher living in suburban Ohio. Her husband passed away in March 2021, leaving her with a \$620,000 brokerage account that had been invested primarily in Treasury bonds, municipal bond funds, and a handful of blue-chip dividend-paying stocks. Her sole income consists of a \$2,400/month pension and \$1,850/month in Social Security. At the time of account opening with broker David Kessler in June 2021, Mrs. Holloway completed a new account form listing her investment objective as 'income and capital preservation,' her risk tolerance as 'low,' her time horizon as '1-5 years,' and her investment experience as 'limited -- husband handled finances.' She told Kessler she needed the portfolio to generate steady income to supplement her fixed income and cover potential assisted-living costs. Over the next 18 months, Kessler executed 347 transactions in Mrs. Holloway's account, moving the portfolio almost entirely into leveraged ETFs, penny stocks, cannabis-sector equities, and short-dated options on volatile tech companies. The account's annualized turnover rate exceeded 14, and cost-to-equity ratio was approximately 31%. Kessler generated \$128,000 in commissions and fees during this period. By December 2022, the account value had declined from \$620,000 to \$219,000 -- a loss of roughly \$401,000. Mrs. Holloway states she did not understand the trades being made, trusted Kessler because he was recommended by a friend at her church, and only reviewed quarterly statements sporadically. Kessler did not document any change in Mrs. Holloway's investment objectives or risk tolerance, nor did he obtain written authorization for discretionary trading, though he effectively exercised de facto control over the account by placing trades without consulting her in advance.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, David Kessler committed multiple serious violations. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and time horizon. Mrs. Holloway's profile -- a 74-year-old widow with limited investment experience, low risk tolerance, income/preservation objectives, and a short time horizon -- is categorically incompatible with leveraged ETFs, penny stocks, cannabis equities, and short-dated options. These are highly speculative instruments inappropriate for any conservative, income-oriented elderly investor. This violates the customer-specific suitability obligation under Rule 2111.03.

Additionally, the trading pattern -- 347 trades, a turnover rate exceeding 14, and a cost-to-equity ratio of approximately 31% -- constitutes quantitative unsuitability (churning) under FINRA Rule 2111 and the excessive trading standards articulated in numerous FINRA enforcement proceedings. A cost-to-equity ratio above 20% is generally considered near-conclusive evidence of churning. Kessler exercised de facto control over the account by placing trades without Mrs. Holloway's prior consultation, satisfying the control element of a churning claim even absent formal discretionary authorization.

Under Regulation Best Interest (Reg BI), effective since June 30, 2020, Kessler was required to act in the customer's best interest at the time of the recommendation and not place his own financial interest ahead of the customer's. The

Care Obligation under Reg BI requires brokers to exercise reasonable diligence, care, and skill in making recommendations. Generating \$128,000 in commissions while destroying over 64% of a retired widow's savings is a clear violation of the Care Obligation. The pattern of trading also implicates the Conflict of Interest Obligation, as Kessler's commission-driven compensation created an obvious incentive to trade excessively, which was neither mitigated nor disclosed.

Kessler also likely violated FINRA Rule 3260 by exercising discretion without written authorization and firm approval. Further, FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) is implicated given the overall pattern of exploitation of a vulnerable senior investor.

The likely regulatory outcome includes FINRA enforcement action resulting in substantial fines, disgorgement of commissions, restitution to Mrs. Holloway, a lengthy suspension or permanent bar from the securities industry, and potential referral for elder financial exploitation under applicable state laws. A customer arbitration claim would likely result in full compensatory damages and potentially punitive damages given the egregious nature of the misconduct.

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**Item 307 of 499****NON-COMPLIANT**

**Topic:** illiquid\_real\_estate\_investment

**Difficulty:** hard

**Fact Pattern**

Carlos and Maria Espinoza, ages 42 and 39, are a dual-income couple in Phoenix, Arizona. Carlos works as an electrical engineer earning \$115,000 annually; Maria is a dental hygienist earning \$72,000 annually. Their combined household income is \$187,000. They have approximately \$340,000 in combined retirement accounts (401(k) and IRAs), \$85,000 in a joint taxable brokerage account, \$28,000 in a savings account, and \$52,000 remaining on their mortgage. They have two children, ages 8 and 11, and are saving for college costs expected to begin in approximately seven years. Their stated investment objectives on file are 'growth with moderate risk,' and their risk tolerance is listed as 'moderate.' They have average investment knowledge, having previously invested only in target-date mutual funds and index funds.

In September 2022, their financial advisor, Rachel Underwood, recommended that the Espinozas invest \$150,000 -- \$85,000 from their joint taxable brokerage account and \$65,000 from their IRAs -- into Pinnacle Realty Income Trust, a non-traded real estate investment trust (REIT) focused on commercial office properties. The offering documents disclosed a 7-year minimum holding period with no guaranteed liquidity, upfront fees totaling 12% (including a 7% sales commission to the selling broker, 3% in offering and organization costs, and 2% in acquisition fees), an annual distribution of 6.5% that the prospectus noted could be funded partly from offering proceeds and borrowings rather than operating income, and significant concentration in Class B and C office space in secondary markets. The REIT had been operating for only 14 months at the time of the recommendation and had not yet achieved breakeven occupancy across its portfolio.

Underwood presented the investment as 'basically like owning real estate without the hassle' and emphasized the 6.5% distribution as a reliable income stream, comparing it favorably to CD rates at the time. She did not discuss the illiquidity restrictions in detail, did not explain that distributions could be funded by return of capital rather than actual earnings, and did not address the concentration risk in the office sector -- which was already experiencing significant vacancy increases due to the shift toward remote work. The Espinozas were not informed that the \$150,000 investment represented approximately 33% of their total investable assets, nor were they told that Underwood would receive \$10,500 in sales compensation from the transaction. Underwood's firm had an ongoing revenue-sharing arrangement with Pinnacle Realty's sponsor, which paid the firm additional compensation for meeting certain sales thresholds.

By mid-2024, Pinnacle Realty Income Trust suspended its distribution payments and reduced its estimated share value by 38%, reflecting deteriorating occupancy rates in its office portfolio. The Espinozas' \$150,000 investment was now estimated at approximately \$81,600, with no ability to liquidate. Their oldest child is now four years from college, and the couple has significantly fewer liquid assets available for education funding or emergencies.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Rachel Underwood violated applicable suitability and best interest standards in multiple ways.

**\*\*FINRA Rule 2111 -- Suitability:\*\*** Under the customer-specific suitability obligation (Rule 2111.04), a broker must evaluate whether a recommendation is suitable based on the customer's entire investment profile. The Espinozas are a moderate-risk couple with growth objectives, average investment sophistication, and a defined near-term liquidity need (college expenses starting in approximately seven years). Concentrating 33% of their total investable assets -- and effectively 100% of their liquid non-retirement savings -- in a single illiquid, non-traded REIT with a 7-year lockup is inconsistent with their moderate risk tolerance, their need for liquidity, and their limited experience with complex products. Non-traded REITs are inherently illiquid, carry high fee loads, and involve significant risks that require sophisticated understanding. FINRA has issued multiple Regulatory Notices (e.g., Regulatory Notice 09-09 and 15-02) warning about the risks of non-traded REITs and emphasizing that concentration limits and suitability analyses must be rigorously applied.

**\*\*Concentration Risk:\*\*** Many firms impose internal concentration limits on non-traded REITs, often capping them at 10% or less of a client's liquid net worth. At 33% of total investable assets, this allocation far exceeds any reasonable concentration threshold for a moderate-risk household with upcoming education expenses.

**\*\*Regulation Best Interest -- Care Obligation:\*\*** Under Reg BI's Care Obligation, Underwood was required to exercise reasonable diligence, care, and skill to understand the risks and rewards of the recommended product and to have a reasonable basis for believing the recommendation was in the Espinozas' best interest. Recommending a 7-year illiquid investment to clients who need funds for college in seven years, without adequate disclosure of the lockup period, return-of-capital risk in distributions, and sector-specific risks in commercial office space, fails this standard. Underwood's framing of the investment as 'basically like owning real estate without the hassle' and her misleading comparison of the 6.5% distribution to CD rates constitutes a materially misleading characterization that obscures the true risk profile.

**\*\*Regulation Best Interest -- Conflict of Interest Obligation:\*\*** Underwood received \$10,500 in sales compensation, and her firm had a revenue-sharing arrangement with the REIT sponsor that created additional financial incentives to recommend this product. Under Reg BI's Conflict of Interest Obligation, the firm and advisor must identify, disclose, and mitigate or eliminate material conflicts of interest. The failure to disclose the advisor's commission and the firm-level revenue-sharing arrangement to the Espinozas is a violation. The economic incentive structure -- particularly the 7% front-end commission compared to far lower compensation on mutual funds or ETFs -- created a conflict that was neither disclosed nor mitigated.

**\*\*Disclosure Failures:\*\*** Under Reg BI's Disclosure Obligation, the advisor must provide full and fair disclosure of all material facts relating to the scope and terms of the relationship, including conflicts. Underwood failed to disclose (1) the total fee load and its impact on the investment (the \$150,000 investment immediately lost approximately \$18,000 to fees), (2) the illiquidity restrictions and their implications for the family's financial timeline, (3) the return-of-capital nature of distributions, (4) her personal commission, and (5) the firm's revenue-sharing arrangement.

**\*\*FINRA Rule 2010:\*\*** The overall pattern of conduct -- misleading characterizations, omission of material facts, and recommendation of an unsuitable concentrated position in a complex illiquid product -- constitutes a violation of standards of commercial honor and just and equitable principles of trade.

The likely regulatory outcome includes FINRA enforcement action with potential fines and suspension, customer arbitration resulting in compensatory damages (likely the difference between the \$150,000 invested and the current diminished value plus lost opportunity costs), disgorgement of commissions, and possible enhanced penalties given the misleading sales practices and undisclosed conflicts. The firm may face supervisory failure charges under FINRA Rule 3110 for inadequate oversight of non-traded REIT sales and concentration limits.

## Item 308 of 499

### NON-COMPLIANT

**Topic:** market\_timing\_unsuitable

**Difficulty:** medium

### Fact Pattern

Gloria Reeves, age 71, is a retired school librarian living in rural Tennessee on a fixed income of approximately \$2,400 per month from Social Security and a small state pension. Her total liquid savings amount to \$185,000, held in a traditional IRA that she has relied upon for supplemental income to cover medical expenses and property taxes. Gloria described herself to her advisor, Daniel Fitch, as extremely conservative, stating she could not afford to lose any principal because she had no other resources. Her investment objective was preservation of capital with modest income generation. In January 2023, Fitch recommended that Gloria move \$140,000 of her IRA into Class A shares of three different equity mutual funds -- a large-cap growth fund, an emerging markets fund, and a technology sector fund. Over the next nine months, Fitch executed 27 round-trip trades across these three funds, switching Gloria's holdings from one fund to another approximately every 10 to 14 days. Each purchase carried a front-end sales load of 5.25%, and Gloria paid cumulative sales charges totaling approximately \$18,400 over the nine-month period. Fitch told Gloria the frequent switching was necessary to 'stay ahead of the market' and 'capture short-term momentum.' Gloria's account value declined from \$140,000 to \$104,600 by September 2023, a loss of roughly \$35,400 or 25.3%. Gloria did not understand the strategy and trusted Fitch because he had been recommended by a friend at her church. Fitch earned approximately \$9,200 in commissions from the trading activity. Gloria's remaining \$45,000 was left in a money market fund and was not traded.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Daniel Fitch violated applicable standards on multiple grounds.

**\*\*FINRA Suitability (Rule 2111):\*\*** FINRA Rule 2111 requires that a broker have a reasonable basis for believing a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and time horizon. Gloria was a 71-year-old retiree with limited fixed income, modest savings, no risk tolerance, and an explicit capital preservation objective. Recommending that she concentrate 75% of her liquid net worth in equity mutual funds -- including an emerging markets fund and a technology sector fund -- was plainly unsuitable on a customer-specific basis. Additionally, Rule 2111's quantitative suitability component prohibits excessive trading. Twenty-seven round-trip trades in nine months in load-bearing mutual funds for a conservative retiree is textbook excessive trading. The turnover rate and cost-to-equity ratio would almost certainly exceed recognized thresholds for churning.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under Reg BI's Care Obligation (17 CFR §240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and ensuring costs do not outweigh potential benefits. The \$18,400 in cumulative sales loads on rapid-fire mutual fund switches produced no rational investment benefit for a capital preservation client. The strategy was designed to generate commissions, not returns. Reg BI's Conflict of Interest Obligation also required Fitch's firm to identify and mitigate the conflict created by commission-driven incentives to trade frequently. There is no evidence any such mitigation occurred.

**\*\*Market Timing in Mutual Funds:\*\*** Frequent short-term trading in mutual funds with front-end loads is inherently destructive to investor returns and is a recognized red flag for unsuitable activity. FINRA has issued numerous guidance documents (e.g., Regulatory Notices 12-25 and 12-55) highlighting mutual fund switching as a core suitability concern.

**\*\*Likely Regulatory Outcome:\*\*** Fitch would likely face FINRA enforcement action for churning/excessive trading and unsuitable recommendations. Potential sanctions include disgorgement of commissions (\$9,200), restitution to Gloria for losses (\$35,400), fines, suspension, or a bar from the industry. His firm could face supervisory failure charges for not flagging 27 trades in a conservative retiree's account over nine months.

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## Item 309 of 499

### NON-COMPLIANT

**Topic:** failure\_to\_know\_customer

**Difficulty:** hard

### Fact Pattern

Marcus Webb, age 34, walked into the downtown Atlanta branch office of broker-dealer Pinnacle Financial Partners in March 2024 and opened a new brokerage account with an initial deposit of \$320,000, which he described as an inheritance. His assigned advisor, Claire Donovan, had Marcus complete an abbreviated new account form that captured his name, address, Social Security number, date of birth, and employment status (listed as 'self-employed, consulting'). The form did not ask for -- and Donovan did not inquire about -- Marcus's annual income, total net worth, liquid net worth, investment experience, investment time horizon, risk tolerance, or investment objectives. Donovan later testified she was 'too busy with year-end transfers' to conduct a full intake and planned to 'circle back.' Within the first week of account opening, Donovan recommended Marcus invest \$280,000 in a concentrated position in a single small-cap biotech stock, PharmaNex Inc., which was trading at \$14.50 per share. She also recommended he sell covered calls against the position for income. Marcus agreed, though he had never traded options before and had no prior brokerage accounts. Over the next two months, PharmaNex dropped 62% to \$5.51 per share following a failed FDA trial, and Marcus's position lost approximately \$173,600 in value. The covered call premiums generated roughly \$8,400 in income, resulting in a net loss of about \$165,200. Donovan earned \$4,800 in commissions on the initial equity purchase and \$1,900 in options commissions. At no point before, during, or after the trades did Donovan gather complete customer profile information, nor did she document any basis for the recommendations. Her branch manager approved the options trading authorization based solely on the incomplete account form and a brief verbal assurance from Donovan that Marcus was 'comfortable with risk.'

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Claire Donovan committed serious violations stemming from a fundamental failure to know her customer, compounded by unsuitable recommendations.

**\*\*FINRA Rule 2090 (Know Your Customer):\*\*** Rule 2090 requires every member firm and associated person to use reasonable diligence to know and retain the essential facts concerning each customer and the nature and authority of each person acting on the customer's behalf. Essential facts include those required to effectively service the account, act in accordance with special handling instructions, understand the authority of each person acting on behalf of the customer, and comply with applicable laws and regulations. Donovan failed to collect any meaningful financial profile data -- no income, net worth, liquid net worth, investment experience, time horizon, risk tolerance, or objectives. This is a textbook Rule 2090 violation.

**\*\*FINRA Rule 2111 (Suitability):\*\*** Rule 2111 has three components: reasonable-basis suitability (the recommendation must be suitable for at least some investors), customer-specific suitability (suitable for the particular customer), and quantitative suitability (not excessive). Without collecting any customer profile information, Donovan could not have had any reasonable basis for believing her recommendations were customer-specifically suitable. Concentrating 87.5% of a new client's inherited assets in a single speculative small-cap biotech stock is an extraordinarily aggressive recommendation that would require detailed knowledge of the customer's circumstances to justify. Moreover,

recommending options strategies to a client with zero options experience and no documented risk tolerance or investment objectives is a per se failure of customer-specific suitability.

**\*\*Regulation Best Interest (Reg BI):\*\*** The Care Obligation under Reg BI (17 CFR §240.15l-1(a)(2)(ii)) requires the broker to exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommendation and to have a reasonable basis to believe the recommendation is in the retail customer's best interest based on the customer's investment profile. Donovan could not satisfy this obligation because she never ascertained Marcus's investment profile. The Disclosure Obligation also required her to disclose material facts relating to conflicts, fees, and the nature of the relationship, and there is no evidence she provided any such disclosures.

**\*\*Options-Specific Requirements:\*\*** FINRA Rule 2360 and options exchange rules require that before approving a customer for options trading, the firm must obtain information about the customer's financial situation, investment objectives, and experience. The branch manager's approval of options authority based on an incomplete form and a verbal assurance was a supervisory failure under FINRA Rules 3110 and 3120.

**\*\*FINRA Rule 3110 (Supervision):\*\*** The branch manager's approval of options trading without a complete customer profile represents a failure of the firm's supervisory system. The firm had an obligation to ensure adequate account documentation before authorizing trading, especially in complex products like options.

**\*\*Likely Regulatory Outcome:\*\*** Donovan would likely face FINRA enforcement for violations of Rules 2090, 2111, and Reg BI's Care Obligation. Sanctions could include restitution of Marcus's losses (\$165,200), disgorgement of commissions (\$6,700), fines, suspension, or a bar. The branch manager and firm could face supervisory failure charges under Rules 3110 and 3120. The firm might also face Reg BI violations for failing to establish and enforce adequate compliance policies. Given the egregiousness of conducting no customer diligence whatsoever while recommending concentrated speculative positions and options to a novice investor, a lengthy suspension or industry bar for Donovan would be a realistic outcome.

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## Item 310 of 499

### NON-COMPLIANT

**Topic:** illiquid\_real\_estate\_investment

**Difficulty:** medium

### Fact Pattern

Margaret Owens, age 74, is a retired schoolteacher living in rural Ohio on a fixed income of \$2,800 per month from Social Security and a small pension. Her total liquid savings amount to \$185,000, held primarily in a money market account and a small bond portfolio. She has no other significant assets beyond her paid-off home valued at approximately \$140,000. Margaret's stated investment objectives are capital preservation and income generation. She described her risk tolerance as conservative on her new account application and noted that she might need access to her savings for potential assisted living costs within the next two to four years, as she had recently been diagnosed with early-stage cognitive decline. Her financial advisor, Darren Holt, recommended that Margaret invest \$120,000 -- approximately 65% of her liquid net worth -- into a non-traded real estate investment trust (REIT) focused on commercial office properties. The REIT had a minimum seven-year hold period, no secondary market for shares, offered a projected annual distribution of 6.5%, and carried upfront fees and commissions totaling 12% of the invested amount (approximately \$14,400). Darren told Margaret the investment would provide "steady income like rent checks" and characterized it as "safer than stocks." He did not discuss the illiquidity restrictions in detail, nor did he document any consideration of alternative income-producing investments such as Treasury bonds, CDs, or publicly traded REITs. Margaret signed the subscription documents. Eighteen months later, the REIT suspended its distributions due to declining occupancy rates in its office portfolio, and Margaret was unable to redeem her shares when she needed funds to transition into an assisted living facility. Her family filed a complaint.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Darren Holt violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Under the SEC's Regulation Best Interest, a broker-dealer must act in the best interest of the retail customer at the time a recommendation is made, without placing the financial interest of the broker-dealer ahead of the customer. The Care Obligation requires consideration of reasonably available alternatives and evaluation of costs, risks, and rewards in light of the customer's profile.
3. **\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Darren's characterization of the non-traded REIT as "safer than stocks" without adequate explanation of illiquidity risk and distribution suspension risk could constitute a misleading statement.

**\*\*Analysis of Violations:\*\***

- **\*\*Customer-Specific Suitability Failure:\*\*** Margaret was 74 years old, on a fixed income, with a conservative risk tolerance and explicitly stated liquidity needs within two to four years. Recommending a product with a seven-year lock-up period directly contradicted her investment time horizon and liquidity needs. A 65% concentration of her liquid assets in a single illiquid product was grossly disproportionate given her profile.
- **\*\*Reasonable-Basis Suitability Failure:\*\*** Darren failed to evaluate or document reasonably available alternatives -- publicly traded REITs, Treasury securities, CDs, or investment-grade bond funds -- that could have met Margaret's income objectives without sacrificing liquidity.
- **\*\*Excessive Costs:\*\*** The 12% upfront load (\$14,400) significantly eroded Margaret's principal from the outset. Under Reg BI's Care Obligation, the advisor was required to consider the costs of the recommendation and whether lower-cost alternatives existed.
- **\*\*Misleading Characterization:\*\*** Describing the non-traded REIT as "safer than stocks" omitted critical risk factors including illiquidity, distribution suspension risk, and concentration in commercial office properties -- a sector subject to significant market variability.
- **\*\*Failure to Disclose Material Risks:\*\*** Darren did not adequately discuss the illiquidity restrictions, which was especially egregious given Margaret's known upcoming need for funds for assisted living.

**\*\*Likely Regulatory Outcome:\*\*** A FINRA arbitration panel or regulatory examination would likely find multiple violations of Rule 2111 and Reg BI. Probable sanctions include disgorgement of commissions, restitution to Margaret for her losses (potentially the full \$120,000 investment plus consequential damages), a fine, and a suspension or bar for Darren Holt. The supervising broker-dealer could also face liability for failure to supervise under FINRA Rule 3110 if it did not flag the concentration and suitability red flags during its review process.

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**Item 311 of 499****NON-COMPLIANT****Topic:** margin\_unsuitable**Difficulty:** easy**Fact Pattern**

Kevin Park, age 29, works as a warehouse supervisor in Memphis, Tennessee, earning \$42,000 annually. He has a checking account with \$3,200 and a brokerage account he recently opened with \$15,000 -- money he saved over three years that he described as his emergency fund and the beginning of a down payment for a home he hoped to buy within 18 months. Kevin indicated on his account opening form that his investment objective was capital preservation, his risk tolerance was low, and he had no prior investing experience beyond a savings account. His financial advisor, Tanya Reeves, suggested Kevin open a margin account to "maximize his returns quickly" so he could reach his down payment goal faster. Tanya recommended that Kevin purchase \$30,000 worth of shares in a small-cap biotech company she described as a "hot pick" -- using his \$15,000 in cash and \$15,000 in margin borrowing at an 8.5% annual interest rate. Kevin agreed, trusting Tanya's recommendation. Within four months, the biotech stock declined 55% in value, dropping Kevin's position to approximately \$13,500. He received a margin call requiring him to deposit an additional \$5,250 to maintain the position. Unable to come up with the funds, his broker liquidated the position at a loss. After accounting for the margin loan repayment and accrued interest, Kevin was left with approximately \$700 -- losing nearly all of his \$15,000 savings. He filed a complaint with his firm.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Tanya Reeves committed clear and serious violations of applicable suitability and best interest standards.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires a reasonable basis to believe that a recommendation is suitable given the customer's investment profile, including risk tolerance, investment objectives, financial situation, time horizon, liquidity needs, and investment experience.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Requires broker-dealers to exercise reasonable diligence, care, and skill when making recommendations, considering reasonably available alternatives and the customer's individual circumstances. The advisor must not place her financial interest ahead of the customer's.
3. **\*\*FINRA Rule 2264 (Margin Disclosure):\*\*** Requires that customers receive a margin disclosure statement explaining the risks of margin trading, including the possibility of losing more than the amount deposited.
4. **\*\*FINRA Rule 4210 (Margin Requirements):\*\*** While primarily a firm-level rule governing margin account maintenance, it operates alongside suitability obligations to ensure margin is appropriate for the customer.

**\*\*Analysis of Violations:\*\***

- **\*\*Customer-Specific Suitability Failure:\*\*** Kevin explicitly stated his objective was capital preservation with low risk

tolerance. He had no investment experience, a modest income of \$42,000, and the \$15,000 represented his emergency fund and home down payment savings with an 18-month time horizon. Recommending margin trading -- which amplifies both gains and losses -- to a customer with this profile is a textbook suitability violation. Margin is inherently speculative and unsuitable for capital preservation objectives.

- **Product-Level Unsuitability:** The recommendation to purchase a single small-cap biotech stock is itself unsuitable for a low-risk-tolerance, inexperienced investor seeking capital preservation. Small-cap biotech stocks are among the most volatile and speculative equity investments available. Combining this speculative stock selection with 2:1 leverage compounded the unsuitability.

- **Concentration Risk:** Placing 100% of Kevin's investable assets (and more, via margin) into a single speculative equity position provided no diversification whatsoever.

- **Failure to Consider Alternatives:** Under Reg BI's Care Obligation, Tanya should have considered alternatives aligned with Kevin's stated goals -- such as high-yield savings accounts, short-term Treasury bills, certificates of deposit, or conservative balanced funds -- all of which would have been far more appropriate for a capital preservation objective with an 18-month horizon.

- **Advisor's Financial Interest:** Margin accounts generate additional revenue for firms through margin interest, and concentrated stock purchases may generate higher commissions than diversified, lower-risk alternatives. Tanya's recommendation appears to have prioritized her compensation over Kevin's stated needs.

**Likely Regulatory Outcome:** This is a straightforward suitability and Reg BI violation. In a FINRA arbitration, Kevin would likely receive full restitution of his \$15,000 loss (minus the \$700 remaining). Tanya Reeves would face potential sanctions including fines, disgorgement of commissions earned on the transaction, a suspension, and potentially a bar if a pattern of similar conduct is found. The supervising firm could face supervisory failure charges under FINRA Rule 3110 for approving a margin account and a speculative concentrated position for a clearly conservative, inexperienced customer.

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**Item 312 of 499****NON-COMPLIANT****Topic:** reverse\_churning**Difficulty:** hard**Fact Pattern**

Margaret Holloway, age 68, is a retired elementary school teacher living in Tucson, Arizona. She has a pension providing \$3,200 per month and Social Security of \$1,800 per month. In March 2021, she rolled over her 403(b) retirement account totaling \$485,000 into a fee-based advisory account with her financial advisor, Daniel Prescott, at a regional wealth management firm. The advisory account charged an annual wrap fee of 1.65% (\$8,002.50 per year). Margaret told Daniel during their initial meeting that she was conservative, wanted to preserve her savings, and might need to draw \$1,500 per month from the account to supplement her income for medical expenses related to a chronic autoimmune condition. She specifically said she did not want anything complicated and just wanted her money safe and accessible. Daniel completed her new account paperwork listing her risk tolerance as 'moderate-conservative' and her investment objective as 'capital preservation with income.' After funding the account, Daniel placed 100% of Margaret's \$485,000 into the Greystone Strategic Private Credit Fund, a private placement offering with a seven-year lockup period, no liquidity provisions, and a minimum investment of \$250,000. The fund invested in subordinated debt tranches of commercial real estate projects. There were no trades executed in the account after the initial purchase. Over the next 18 months, Margaret made repeated requests to withdraw funds for her medical expenses but was told each time that her investment was locked up and no withdrawals were possible. By September 2022, the Greystone fund reported significant losses due to several development projects defaulting, and the fund's net asset value was written down to approximately \$0.38 on the dollar, reducing Margaret's position to roughly \$184,300 on paper -- though even that amount was inaccessible. Margaret received no income distributions from the fund during this period. Meanwhile, Daniel's firm continued to charge the 1.65% wrap fee quarterly based on the original investment value for the first year before adjusting to the reduced NAV. Margaret paid approximately \$12,000 in advisory fees over 18 months for an account in which no advisory services, rebalancing, or trading occurred after the single initial purchase. Margaret exhausted her checking account savings of \$22,000 covering medical bills and was forced to take out a home equity line of credit to meet ongoing expenses.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Daniel Prescott violated applicable standards on multiple grounds, encompassing both reverse churning and fundamental unsuitability.

**\*\*Reverse Churning Analysis:\*\***

Reverse churning occurs when an advisor places a client in a fee-based account and then executes little or no trading activity, resulting in the client paying ongoing advisory fees without receiving meaningful advisory services. Under FINRA Rule 2111 (Suitability) and its account-type suitability component, the advisor must have a reasonable basis for believing that the type of account recommended is suitable. Here, Margaret paid approximately \$12,000 in wrap fees over 18 months for an account that held a single illiquid position with no subsequent trades, rebalancing, or active management. A commission-based account for a single buy-and-hold investment would have resulted in dramatically lower costs -- likely a one-time commission. The fee-based structure served no purpose other than generating recurring revenue for the advisor. Under Regulation Best Interest (Reg BI), the Care Obligation requires that the broker-dealer

and associated person exercise reasonable diligence, care, and skill in making recommendations, including having a reasonable basis to believe the recommendation is in the customer's best interest and that the type of account is appropriate. Charging 1.65% annually for zero ongoing advisory activity clearly fails this standard.

**\*\*Suitability / Best Interest Violation -- Product Recommendation:\*\***

Beyond the account-type issue, the underlying recommendation was profoundly unsuitable. Margaret was a 68-year-old retiree with conservative risk tolerance, capital preservation objectives, a known need for monthly liquidity (\$1,500/month for medical expenses), and limited alternative resources. Placing 100% of her retirement savings into a single illiquid private placement with a seven-year lockup, concentrated in subordinated commercial real estate debt, violated every dimension of suitability: (1) Reasonable-basis suitability -- subordinated private credit funds carry substantial risk of loss and are inappropriate as a sole holding for any conservative investor; (2) Customer-specific suitability -- the product was completely misaligned with Margaret's stated need for income, liquidity, and capital preservation; (3) Quantitative suitability -- while typically applied to excessive trading, the concentration of 100% of assets in a single illiquid vehicle is an analogous concentration concern.

Under the SEC's Regulation Best Interest, the Care Obligation requires consideration of reasonably available alternatives. Money market funds, short-term bond funds, Treasury ladders, or diversified conservative allocation funds would have met Margaret's stated objectives while preserving liquidity. The Disclosure Obligation also required that all material facts about the recommendation -- including the lockup, illiquidity, and risk of total loss -- be clearly communicated. The Conflict of Interest Obligation required identification and mitigation of conflicts, and the high wrap fee on a static illiquid holding represents an obvious unmitigated conflict.

For investment advisers, the fiduciary duty under the Investment Advisers Act of 1940 imposes duties of care and loyalty that were clearly breached. An advisor must act in the client's best interest, and concentrating a retiree's entire nest egg in a single speculative illiquid vehicle while charging ongoing fees for no services is a textbook fiduciary violation.

**\*\*Likely Regulatory Outcome:\*\***

This case would likely result in FINRA enforcement action for violations of Rule 2111 (suitability) and potentially Rule 2010 (standards of commercial honor). If Daniel or his firm is a registered investment adviser, the SEC could pursue action under the Advisers Act for breach of fiduciary duty. Likely sanctions include disgorgement of all advisory fees collected, restitution to Margaret for her investment losses, a significant fine, and a suspension or bar from the industry. The firm could face supervisory failure charges for inadequate review of the concentration and account-type suitability.

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## Item 313 of 499

### NON-COMPLIANT

**Topic:** excessive\_churning

**Difficulty:** medium

### Fact Pattern

Roberto Medina, age 44, is a software engineer in Austin, Texas, earning \$145,000 per year. He has a 401(k) through his employer with \$210,000 and opened a brokerage account in January 2022 with \$120,000 in savings that he wanted to grow over the next 15-20 years for retirement supplementation. Roberto told his broker, Allison Tran, that he had a moderate risk tolerance, was comfortable with some volatility, and wanted long-term growth through a diversified stock portfolio. He indicated he did not need income from the account and would not be making withdrawals for at least a decade. Roberto had limited investment experience -- he had only owned a target-date fund in his 401(k). He granted Allison discretionary authority to trade on his behalf. Between January 2022 and December 2023, Allison executed 187 round-trip trades in Roberto's account, primarily in large-cap and mid-cap equities. She frequently bought positions, held them for 3-12 business days, and then sold them to purchase different stocks in the same sector. For example, in one representative month (June 2022), she sold Roberto's position in a major tech company after holding it for five days at a small gain, immediately purchased shares of a competing tech company, sold those eight days later at a slight loss, and then repurchased the original tech company. This pattern repeated across technology, healthcare, and financial sector stocks throughout the two-year period. The account's annualized turnover ratio was 14.2, and the cost-to-equity ratio was 18.7%. Total commissions and transaction costs paid by Roberto over the 24 months were \$44,880. Despite the active trading, Roberto's account value at the end of December 2023 was \$97,400 -- a loss of \$22,600 on his original \$120,000 investment -- during a period when the S&P 500 returned approximately 22% cumulatively. Had Roberto's funds been placed in a low-cost S&P 500 index fund, his account would have been worth approximately \$146,400. Allison earned approximately \$26,900 in personal commissions from the trading activity. Roberto did not receive monthly trade confirmations because he had elected electronic delivery and rarely checked his email; he only became aware of the losses when he reviewed his 2023 year-end statement.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Allison Tran engaged in classic excessive trading (churning) in violation of applicable regulatory standards.

**\*\*Churning Analysis under FINRA Rules:\*\***

Excessive trading, or churning, violates FINRA Rule 2111 (Suitability), specifically the quantitative suitability obligation, which requires that a broker who has actual or de facto control over a customer account must have a reasonable basis for believing that a series of recommended transactions, even if individually suitable, are not excessive and unsuitable in light of the customer's profile. FINRA has identified key quantitative metrics for evaluating churning claims:

1. **\*\*Turnover Ratio:\*\*** An annualized turnover ratio of 6 or higher has been widely recognized by FINRA arbitration panels and the SEC as presumptively excessive. Roberto's account had a turnover ratio of 14.2 -- more than double this threshold and strongly indicative of churning.
2. **\*\*Cost-to-Equity Ratio:\*\*** This measures the annual return the account would need to generate just to cover trading costs. A cost-to-equity ratio above 20% is generally considered excessive, and ratios in the high teens are highly

suspicious. Roberto's ratio of 18.7% means his account needed to generate nearly a 19% annual return merely to break even after costs -- an unreasonable hurdle for a moderate-risk, long-term growth portfolio.

3. **\*\*Control:\*\*** Allison had explicit discretionary authority over the account, satisfying the control element. Even without formal discretion, de facto control can be established when a customer with limited experience routinely follows an advisor's recommendations.

4. **\*\*Scienter / Intent:\*\*** The pattern of short-term round-trip trades within the same sector -- buying and selling competing companies in rapid succession with no apparent strategic rationale -- strongly suggests the trading was motivated by commission generation rather than the client's investment objectives. Allison earned \$26,900 in personal commissions, representing over 22% of Roberto's original investment, while the account lost money during a strongly positive market.

**\*\*Regulation Best Interest Analysis:\*\***

Under Reg BI's Care Obligation, a broker must have a reasonable basis to believe that a series of transactions is in the customer's best interest and does not place the financial professional's interest ahead of the customer's. The quantitative evidence here -- \$44,880 in total costs on a \$120,000 account over 24 months, dramatic underperformance versus a passive benchmark, and a pattern of economically irrational short-term trading -- demonstrates a clear failure to meet this standard.

The Conflict of Interest Obligation under Reg BI required Allison's firm to identify, disclose, and mitigate the conflict inherent in commission-based compensation incentivizing excessive trading. The volume of trading and resulting commissions suggest this conflict was not merely unmitigated but was actively exploited.

**\*\*Additional Violations:\*\***

The conduct also violates FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) and may constitute fraud under the antifraud provisions, as churning has long been recognized as a fraudulent practice when accompanied by scienter and control.

**\*\*Likely Regulatory Outcome:\*\***

FINRA enforcement would likely result in a finding of churning. Probable sanctions include full restitution to Roberto (potentially the difference between what his account would have been worth in an appropriate investment strategy and his actual account value, approximately \$49,000), disgorgement of commissions, a substantial fine against Allison and her firm, and a lengthy suspension or permanent bar from the securities industry. The firm may also face supervisory failure charges under FINRA Rule 3110 for failing to detect the excessive trading patterns through its surveillance and supervisory systems, given that a turnover ratio of 14.2 should have triggered automated exception reports.

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**Item 314 of 499****NON-COMPLIANT****Topic:** mutual\_fund\_switching\_churning**Difficulty:** medium**Fact Pattern**

Margaret Holloway, age 72, is a retired school librarian living in suburban Ohio on a fixed income of \$2,800 per month from Social Security and a small pension. She had accumulated \$185,000 in a brokerage account, which represented her entire liquid savings aside from a \$12,000 emergency fund in a bank savings account. During her initial meeting with advisor Kevin Drummond in January 2022, Margaret stated clearly that she needed to preserve her principal, generate modest income to supplement her fixed payments, and maintain access to her funds because she anticipated needing \$40,000 to \$60,000 within the next 18 months for assisted-living transition costs for her husband, who had been diagnosed with early-stage dementia. Her risk tolerance was documented as conservative on her new account form. Despite these stated needs, Drummond recommended that Margaret move her entire \$185,000 into three Class A share mutual funds -- a large-cap growth fund, an international equity fund, and an emerging markets bond fund -- each carrying a front-end sales charge of 5.25%, resulting in approximately \$9,713 in upfront commissions. Four months later, in May 2022, Drummond contacted Margaret and recommended she switch out of all three funds, citing 'better opportunities,' and move the proceeds into three different Class A share funds with similar investment objectives but managed by a different fund family. This second round of purchases generated another approximately \$9,200 in front-end loads on the reduced balance. By September 2022, Drummond again recommended liquidating those positions and purchasing yet another set of Class A share mutual funds from a third fund family, incurring roughly \$8,600 in additional front-end charges. Over the course of eight months, Margaret paid approximately \$27,500 in sales charges alone -- nearly 15% of her original investment -- while the underlying fund categories remained substantially similar across all three sets of purchases. When Margaret's daughter reviewed the account statements in early 2023, the account value had declined to approximately \$141,000. Margaret had not withdrawn any funds, meaning the losses were entirely attributable to sales charges and market depreciation in equity-heavy holdings. Margaret's daughter noted that her mother had never been informed she could have purchased breakpoint-eligible shares or lower-cost share classes, and that no explanation was provided for why switching between substantially similar funds was beneficial.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Drummond committed multiple violations. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, time horizon, liquidity needs, and investment objectives. Margaret's profile -- a 72-year-old retiree with conservative risk tolerance, income needs, limited liquid savings, and an explicitly stated need for \$40,000-\$60,000 in liquidity within 18 months -- made equity-heavy Class A share mutual funds with steep front-end loads inappropriate from the outset. The concentration in growth and international equity funds contradicted her conservative objectives and short time horizon.

More critically, the repeated switching of mutual fund positions over an eight-month period constitutes churning or excessive mutual fund switching under FINRA Rules 2111 and 2010 (Standards of Commercial Honor). FINRA has consistently held that switching customers between mutual funds with similar investment objectives primarily to generate new sales charges is a violation, particularly when the switch does not provide a meaningful benefit to the

customer. The three rounds of purchases generated approximately \$27,500 in front-end sales charges -- roughly 15% of her original principal -- with no discernible change in investment strategy or risk profile.

Under Regulation Best Interest (Reg BI), the Care Obligation requires that broker-dealers exercise reasonable diligence, care, and skill when making recommendations, considering costs as a factor. The repeated imposition of 5.25% front-end loads on substantially similar fund categories fails the cost-reasonableness component. The Disclosure Obligation was also likely violated, as Margaret was apparently not informed about breakpoint discounts or lower-cost share classes. Additionally, the Conflict of Interest Obligation requires firms to identify and mitigate conflicts arising from compensation incentives; the pattern of switching strongly suggests commission motivation.

FINRA Notice to Members 94-16 specifically addresses mutual fund switching abuses and identifies red flags present here: short holding periods, similar fund objectives, and significant sales charges. Drummond's conduct also potentially violates FINRA Rule 2121 (fair prices and commissions) given the excessive total cost burden.

The likely regulatory outcome includes disgorgement of commissions, restitution to the customer of approximately \$27,500 in sales charges plus consequential losses, a fine, and a potential suspension or bar for Drummond. The firm could face supervisory failure charges under FINRA Rule 3110 if it failed to detect the pattern of switching.

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## Item 315 of 499

### NON-COMPLIANT

**Topic:** illiquid\_real\_estate\_investment

**Difficulty:** hard

### Fact Pattern

David and Carolyn Espinoza, ages 67 and 64 respectively, are a married couple from Tucson, Arizona. David retired in 2021 from a career as a civil engineer, and Carolyn works part-time as a bookkeeper earning approximately \$18,000 per year. Their combined annual income, including Social Security and a modest defined-benefit pension, is approximately \$78,000. Their total investable assets at the time they opened an account with advisor Brian Slocum in March 2022 were approximately \$620,000 -- consisting of \$410,000 in an IRA rollover from David's former employer and \$210,000 in a joint taxable brokerage account. They also own their home, valued at approximately \$340,000, with a remaining mortgage balance of \$95,000. During the account-opening process, both David and Carolyn emphasized that their top priorities were capital preservation and generating reliable income to cover their living expenses without depleting principal. David specifically noted that they could not afford significant losses because they had no other safety net and no family members in a position to help financially. Their risk tolerance was recorded as moderate-conservative. Over the following fourteen months, Slocum recommended and placed a total of \$335,000 -- approximately 54% of the couple's investable assets -- into four different non-traded real estate investment trust programs. The first, invested in March 2022 for \$90,000, focused on hospitality properties. The second, in June 2022 for \$85,000, invested in commercial office buildings. The third, in October 2022 for \$80,000, targeted healthcare facilities. The fourth, in May 2023 for \$80,000, was a diversified real estate debt fund. Each of these products carried upfront fees and commissions ranging from 7% to 10% of the invested amount, meaning approximately \$25,000 to \$33,500 was consumed by costs at the point of sale. All four products had minimum holding periods of five to seven years, and none were listed on any public exchange, meaning the Espinozas had no practical way to liquidate these holdings without substantial penalties or finding a buyer on a limited secondary market at a steep discount. In August 2023, David was diagnosed with Parkinson's disease, and the couple attempted to liquidate portions of their non-traded REIT holdings to cover escalating medical expenses and potential long-term care costs. They discovered that early redemption was either unavailable or would result in losses of 8% to 12% beyond the already-paid front-end fees. Their remaining liquid assets -- approximately \$285,000 -- were insufficient to cover projected care costs over a multi-year horizon without significant lifestyle reductions. Slocum had not documented any discussion with the Espinozas about the illiquidity risks, lock-up periods, or the potential difficulty of accessing funds in an emergency. The couple's account opening documents contained boilerplate risk disclosures for alternative investments but no individualized analysis of how the concentration in non-traded REITs fit their stated need for capital preservation and accessibility. Additionally, the firm's product due diligence files indicated that non-traded REITs were generally recommended for investors with a net worth exceeding \$1.5 million and a time horizon of at least ten years -- thresholds the Espinozas did not meet.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Brian Slocum committed serious violations across multiple regulatory frameworks. The analysis proceeds on several grounds:

**\*\*FINRA Rule 2111 -- Suitability:\*\*** This rule requires reasonable-basis, customer-specific, and quantitative suitability. Customer-specific suitability requires that a recommendation be consistent with the customer's investment profile. The

Espinozas were retirement-age clients with moderate-conservative risk tolerance, a stated inability to absorb significant losses, income-generation objectives, and total investable assets of \$620,000. Concentrating 54% of their portfolio in four illiquid, non-traded REITs with five-to-seven-year lock-up periods and combined upfront costs of \$25,000-\$33,500 is fundamentally inconsistent with their need for capital preservation and potential liquidity. Non-traded REITs are complex, illiquid alternative investments generally suitable only for high-net-worth investors with long time horizons and substantial liquid reserves outside the investment -- none of which applied here. The firm's own internal due diligence guidelines (requiring \$1.5 million net worth and ten-year horizon) were ignored.

Reasonable-basis suitability is also implicated: any advisor exercising reasonable diligence would recognize that placing more than half of a retirement couple's liquid assets in products with no public market and multi-year lockups creates unacceptable concentration and liquidity risk.

**\*\*Regulation Best Interest -- Care Obligation:\*\*** Under Reg BI's Care Obligation, a broker must exercise reasonable diligence, care, and skill in making recommendations, considering the investment's risks, rewards, and costs in light of the customer's profile. The recommendation to invest \$335,000 in illiquid products for clients who explicitly needed accessible funds and could not afford losses fails this standard. The Care Obligation also requires consideration of reasonably available alternatives; lower-cost, liquid alternatives such as publicly traded REITs, dividend-focused equity funds, or investment-grade bond funds could have achieved similar income objectives without the illiquidity and excessive cost.

**\*\*Reg BI -- Disclosure Obligation:\*\*** Slocum failed to adequately disclose the material risks of the non-traded REITs, particularly the lock-up periods, redemption limitations, and the practical impossibility of liquidation without severe loss. Boilerplate risk disclosures do not satisfy the obligation to provide individualized, meaningful disclosure about how specific risks affect the particular customer.

**\*\*Reg BI -- Conflict of Interest Obligation:\*\*** The 7%-10% upfront commissions on non-traded REITs (totaling \$25,000-\$33,500) represent significantly higher compensation than Slocum would have earned recommending liquid alternatives. This conflict was neither disclosed nor mitigated.

**\*\*FINRA Rule 2010 -- Standards of Commercial Honor:\*\*** The overall pattern of conduct -- recommending unsuitable products, ignoring the firm's own guidelines, failing to document risk discussions, and concentrating a retiree couple's assets in illiquid holdings -- falls below the standards of commercial honor and just and equitable principles of trade.

**\*\*FINRA Rule 2111.05(a) -- Concentration:\*\*** FINRA guidance specifically warns against over-concentration in any single product type, particularly illiquid alternatives. A 54% allocation to non-traded REITs is excessive by any reasonable measure for this client profile.

The likely regulatory outcome includes significant monetary sanctions. The Espinozas would likely recover the full amount of sales charges (\$25,000-\$33,500) plus consequential damages representing the difference between the value of their REIT holdings and what a suitable portfolio would have produced. Slocum faces potential fines, suspension, or a bar from the industry. The firm faces supervisory liability under FINRA Rule 3110 for failing to flag the concentration, the deviation from internal suitability guidelines, and the lack of documented suitability analysis. State securities regulators could also pursue action, as many states have heightened concentration limits (often 10% of liquid net worth) for non-traded REITs, which were vastly exceeded here.

**Item 316 of 499****NON-COMPLIANT****Topic:** mutual\_fund\_switching\_churning**Difficulty:** medium**Fact Pattern**

Margaret Delson, age 62, is a retired schoolteacher living in Tucson, Arizona, with a pension income of \$3,800 per month and total investable assets of approximately \$285,000 in an IRA rollover account. She described her investment objective as capital preservation with modest income generation and indicated a conservative risk tolerance on her new account form. She told her advisor, Brian Kessler, that this account represented the bulk of her retirement savings and she could not afford significant losses. Between January 2021 and December 2023, Kessler executed 14 switches among Class A share mutual funds within the same fund family and across two other fund families. Each switch involved a full liquidation of one fund position and purchase of another, triggering front-end sales charges ranging from 3.75% to 5.25% on each new purchase. The total amount switched over the three-year period was approximately \$1.4 million in aggregate transactions against the \$285,000 account. The switches were between funds with substantially similar investment objectives -- for example, moving from one large-cap value fund to another large-cap value fund offered by a different fund family, or switching from one intermediate-term bond fund to a nearly identical intermediate-term bond fund. Kessler earned approximately \$48,000 in commissions from these transactions. Over the same period, the account's net value declined from \$285,000 to \$241,000, a loss of approximately \$44,000, while the relevant blended benchmark returned a positive 9.2%. Kessler's rationale in his notes was that each new fund had slightly better recent performance or marginally lower expense ratios, but the savings in expense ratios were far outweighed by the new front-end loads. Margaret discovered the extent of the switching when her nephew, a CPA, reviewed her annual statements in early 2024 and pointed out the pattern.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Brian Kessler violated applicable standards on multiple grounds. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for recommending any transaction, and the recommendation must be suitable for the specific customer. Additionally, FINRA Rule 2111 includes a quantitative suitability component that prohibits recommending a series of transactions that, even if individually suitable, are excessive in light of the customer's profile when taken together. Here, 14 switches generating \$1.4 million in aggregate transactions on a \$285,000 account represents a turnover rate of approximately 1.64x per year -- well above thresholds regulators have historically viewed as indicative of churning for a conservative, income-oriented retiree account. Under Regulation Best Interest (Reg BI), which took effect in June 2020, the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the costs and risks of recommendations and ensure there is a reasonable basis to believe the recommendation is in the customer's best interest. Switching between substantially similar funds solely to generate new front-end loads fails this test because the costs imposed on the customer far outweighed any marginal benefit from slightly different expense ratios or recent performance variations. The Cost Obligation embedded in Reg BI's disclosure and care components further required Kessler to consider reasonably available alternatives, including simply holding existing positions or switching to share classes without new front-end loads. FINRA has issued specific guidance through Regulatory Notice 12-25 and Notice to Members 94-16 regarding mutual fund switching, emphasizing that switches between funds with similar objectives that generate new sales charges without meaningful benefit to the customer are presumptively unsuitable. The \$48,000 in commissions Kessler earned, combined with the \$44,000

decline in account value during a period when a comparable benchmark gained over 9%, strongly evidences that these transactions served Kessler's financial interest rather than Margaret's. The likely regulatory outcome would include disgorgement of commissions, restitution to the customer, a fine, and a potential suspension or bar for Kessler. A customer arbitration claim would likely result in compensatory damages including the lost commissions, market losses relative to a buy-and-hold strategy, and potentially punitive damages given the egregiousness of the pattern.

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**Item 317 of 499****NON-COMPLIANT****Topic:** structured\_products\_unsuitable**Difficulty:** hard**Fact Pattern**

Harold and Diane Prescott, ages 78 and 75 respectively, are retired and living in a senior community in Boca Raton, Florida. Harold is a former postal worker and Diane is a former medical receptionist. Their combined Social Security and pension income is \$4,200 per month. They have total liquid assets of approximately \$410,000 -- \$320,000 in a joint brokerage account and \$90,000 in a savings account -- which they have repeatedly told their advisor, Craig Mooreland, constitutes their entire life savings aside from their home. Both indicated on their account documents that they had conservative risk tolerance, their primary objectives were capital preservation and income, their time horizon was short (3-5 years), and they had limited investment experience consisting only of CDs and savings bonds. Harold has early-stage dementia, which Diane disclosed verbally to Mooreland in March 2022, noting that Harold sometimes has difficulty understanding financial documents. In April 2022, Mooreland recommended and placed \$245,000 of the joint account -- roughly 60% of their total liquid net worth -- into three different structured notes. The first was a \$95,000 reverse convertible note linked to the stock of a single biotechnology company, with a 14-month maturity, offering a 12.5% coupon but with full downside equity risk if the stock fell below a 70% barrier. The second was a \$85,000 autocallable note tied to a basket of three technology stocks with a 3-year maturity, featuring a 25% downside barrier and conditional 9% annual coupon. The third was a \$65,000 principal-at-risk note linked to a commodity index with a 5-year maturity, a 35% buffer, and an 8% annual coupon. The notes carried origination fees and embedded costs totaling approximately 3.5% to 5% that were not separately disclosed in a clear manner but were embedded in the pricing. Mooreland's trade rationale stated the products would provide 'enhanced income above CD rates while maintaining principal protection features.' By November 2023, the biotechnology stock underlying the first note had fallen 48%, breaching the barrier, and at maturity in June 2023 the Prescotts received shares of the biotech stock worth approximately \$51,000 -- a loss of \$44,000 on that note alone. The second note had not yet autocalled, and the underlying basket was down 18%. Diane filed a complaint in January 2024 after realizing the losses and stating she never understood the products involved equity risk and thought they were similar to CDs.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Craig Mooreland committed serious violations across multiple regulatory frameworks. Under FINRA Rule 2111, the suitability obligation requires customer-specific suitability analysis considering the customer's age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and investment experience. The Prescotts were elderly retirees (78 and 75) with conservative risk tolerance, a short time horizon, limited investment experience confined to CDs and savings bonds, and total liquid assets of \$410,000 that they could not afford to lose. Placing 60% of their liquid net worth into complex structured products with embedded equity and commodity risk was facially unsuitable. Under Regulation Best Interest (Reg BI), the Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making recommendations and have a reasonable basis to believe the recommendation is in the customer's best interest, considering the customer's investment profile. The concentration of \$245,000 in structured notes with principal-at-risk features for customers who explicitly stated capital preservation as their primary objective and who had no experience with equity-linked products fails the care obligation. The Disclosure Obligation under Reg BI required full and fair disclosure of material facts, including the embedded costs of 3.5%-5%, the nature of downside

risk (including the possibility of receiving depreciated shares of a single biotech stock), and the illiquidity of the notes. Mooreland's characterization of these products as providing 'principal protection features' was materially misleading, as reverse convertibles and barrier notes offer only conditional, partial downside buffers -- not principal protection in the manner a conservative, unsophisticated investor would understand. The reverse convertible linked to a single volatile biotech stock was particularly egregious, as it exposed elderly, conservative investors to concentrated single-stock downside risk for a relatively short 14-month period. The 5-year maturity on the commodity-linked note also exceeded the Prescotts' stated 3-5 year time horizon while creating substantial illiquidity. Additionally, Diane's disclosure that Harold has early-stage dementia raises concerns under FINRA Rule 2165 regarding financial exploitation of specified adults. While Mooreland was not necessarily obligated to refuse to transact, the cognitive impairment of one account holder should have heightened scrutiny of whether the customers could understand the products' risks. The fact that Diane stated she believed the products were similar to CDs demonstrates a fundamental failure to ensure the customers understood what they were purchasing. FINRA has historically imposed significant sanctions in structured product suitability cases involving elderly, conservative investors. The likely regulatory outcome includes restitution of losses (at minimum the \$44,000 realized loss on the first note, plus any losses on the remaining notes), disgorgement of commissions, a substantial fine, and a lengthy suspension or potential bar for Mooreland. In a customer arbitration, compensatory damages would likely include all losses, and the facts -- elderly couple, dementia, life savings, misleading characterization -- could support an award of punitive damages as well.

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## Item 318 of 499

### NON-COMPLIANT

**Topic:** senior\_investor\_exploitation

**Difficulty:** easy

### Fact Pattern

Margaret Dunlap, age 81, is a retired school librarian living in rural Tennessee on a fixed income of \$2,100 per month from Social Security and a small state pension. Her total liquid savings amounted to approximately \$185,000, held in a brokerage account at Piedmont Regional Securities. She had no prior investment experience beyond certificates of deposit and a money market account. Her new account form listed her risk tolerance as 'conservative,' her investment objective as 'preservation of capital and income,' and her time horizon as '1-3 years.' She also disclosed that she had been recently diagnosed with early-stage dementia, a fact noted by the branch manager during her onboarding meeting in February 2022. Her grandson, who held power of attorney, was not informed of the subsequent trading activity. Between March and April 2022, her advisor, Craig Ventura, age 34, recommended that she invest \$140,000--approximately 76% of her liquid assets--into three leveraged exchange-traded funds: a 3x leveraged S&P 500 bull fund, a 2x leveraged Nasdaq-100 fund, and a 3x leveraged energy sector bull fund. Ventura told Mrs. Dunlap these were 'just like regular index funds but they grow faster.' He did not explain the daily rebalancing mechanism, the compounding decay risk, or the fact that these products are designed for short-term, intra-day trading by sophisticated investors. The positions were never rebalanced or sold. Over the next seven months, through October 2022, the portfolio lost approximately \$67,000 in value--a 48% decline--while the underlying indices experienced far smaller declines in the range of 12-18%. Mrs. Dunlap's grandson discovered the account statements in November 2022 and immediately contacted the firm. Ventura earned approximately \$3,800 in commissions on the initial purchases. No supervisory review flagged the trades despite the firm's internal guidelines recommending enhanced review for clients over age 75.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Craig Ventura committed serious violations of applicable standards on multiple levels.

**\*\*FINRA Suitability (Rule 2111):\*\*** Under the FINRA suitability framework, a broker must have a reasonable basis for believing a recommendation is suitable for a particular customer based on that customer's investment profile. Rule 2111 encompasses three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability. Ventura violated customer-specific suitability by recommending leveraged ETFs--complex, high-risk instruments designed for intra-day holding by sophisticated traders--to an 81-year-old retiree with conservative risk tolerance, a capital preservation objective, a 1-3 year time horizon, no investment sophistication, and a diagnosed cognitive impairment. Allocating 76% of her liquid net worth to these products is egregiously unsuitable. He also violated reasonable-basis suitability because leveraged ETFs held for months are virtually certain to experience compounding decay, making a long-term hold strategy fundamentally flawed regardless of the customer.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under the SEC's Regulation Best Interest, applicable to broker-dealers since June 30, 2020, Ventura was required to satisfy the Care Obligation, which mandates that a broker exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Recommending leveraged ETFs to a cognitively impaired

octogenarian with conservative objectives plainly fails this standard. The Disclosure Obligation was also violated because Ventura affirmatively misrepresented the products as being 'just like regular index funds but they grow faster,' failing to disclose the material risks of daily rebalancing and compounding decay. Additionally, under the Conflict of Interest Obligation, Ventura's commission-based incentive (\$3,800) was not mitigated by any policies or procedures that prevented the recommendation from being influenced by his financial interest.

**\*\*FINRA Rules on Senior Investors:\*\*** FINRA Rule 2165 and related guidance specifically address the protection of senior investors and those with diminished capacity. The firm's failure to flag these trades despite internal guidelines for enhanced review of clients over 75, combined with knowledge of the dementia diagnosis, represents a significant supervisory failure under FINRA Rule 3110.

**\*\*Exploitation Concerns:\*\*** The facts strongly suggest financial exploitation of a vulnerable adult. Mrs. Dunlap's power of attorney holder was not informed, her cognitive impairment was known, and the products were wholly inappropriate.

**\*\*Likely Regulatory Outcome:\*\*** Ventura would face sanctions including fines, disgorgement of commissions, restitution to the customer, and likely a suspension or bar from the securities industry. The firm would face supervisory failure charges and potential fines. A customer arbitration claim would very likely result in full compensatory damages of approximately \$67,000 plus interest, and potentially punitive damages given the egregiousness of the conduct.

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**Item 319 of 499****COMPLIANT****Topic:** reverse\_churning**Difficulty:** hard**Fact Pattern**

David Kominsky, age 52, is a successful oral surgeon in Scottsdale, Arizona, earning approximately \$780,000 annually. He has a total investable portfolio of \$3.2 million, of which \$2.4 million is held in a fee-based advisory account at Whitfield Capital Partners managed by his advisor, Elena Marchetti. The advisory account charges an annual wrap fee of 1.25%, amounting to approximately \$30,000 per year. Dr. Kominsky's investment profile indicates a moderate-to-aggressive risk tolerance, a growth-oriented objective with a 15+ year time horizon (targeting retirement at age 67), and a high level of investment sophistication--he previously managed his own portfolio for a decade and holds an MBA in addition to his dental degree. When Marchetti onboarded the account in January 2021, she conducted a thorough analysis comparing the projected costs of a commission-based brokerage account versus the fee-based advisory model. Based on Dr. Kominsky's stated desire for ongoing portfolio management, quarterly rebalancing, access to proprietary research, financial planning services, and tax-loss harvesting, Marchetti recommended the advisory account. Over the period from January 2021 through December 2023 (three full years), Marchetti executed an average of 38 trades per year across the account, conducted quarterly rebalancing aligned with target allocations, performed annual tax-loss harvesting that generated approximately \$18,000 in documented tax savings per year, provided two comprehensive financial plan updates annually, and held semi-annual in-person review meetings. The portfolio was allocated across 22 individual positions including domestic and international equities, fixed income ETFs, and alternative investment funds. Over the three-year period, the account returned approximately 9.2% annualized net of fees, broadly in line with a blended benchmark. Dr. Kominsky expressed satisfaction with the services in writing during annual account reviews and affirmatively renewed his advisory agreement each year after reviewing a fee disclosure summary that Marchetti provided proactively.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Elena Marchetti did not violate applicable suitability or best interest standards. This scenario presents the hallmarks of a properly managed fee-based advisory relationship, and the facts negate a finding of reverse churning.

**\*\*Reverse Churning Analysis:\*\*** Reverse churning occurs when an advisor places a client in a fee-based advisory account but provides little or no advisory services, effectively collecting ongoing fees without delivering commensurate value. Under SEC Regulation Best Interest (for broker-dealer recommendations) and the fiduciary duty under the Investment Advisers Act of 1940 (for investment advisers), an advisor must ensure that the account type recommended is in the client's best interest and that the fees charged are justified by the services rendered.

**\*\*Why No Violation Occurred:\*\***

1. **\*\*Account Type Selection:\*\*** Marchetti conducted a cost-comparison analysis at onboarding, comparing the fee-based model against a commission-based alternative. Given Dr. Kominsky's desire for ongoing management, rebalancing, financial planning, and tax optimization, the advisory account was a reasonable and well-documented recommendation. Under the Care Obligation of Reg BI and the fiduciary duty applicable to advisers, this analysis

demonstrates the requisite diligence.

2. **\*\*Ongoing Services Delivered:\*\*** Over three years, Marchetti provided substantial, documented services: 38 trades per year (not dormant), quarterly rebalancing, annual tax-loss harvesting generating approximately \$18,000 per year in tax savings (which alone offsets 60% of the \$30,000 annual fee), two financial plan updates per year, and semi-annual in-person reviews. This level of activity and service is well above the threshold that would raise reverse-churning concerns.

3. **\*\*Fee Reasonableness:\*\*** The 1.25% annual wrap fee on a \$2.4 million account (\$30,000/year) is within industry norms for a comprehensive advisory relationship. When the documented tax savings of approximately \$18,000 per year are factored in, the net effective cost is approximately \$12,000 per year, or roughly 0.50% of assets--an exceptionally reasonable cost for the scope of services provided.

4. **\*\*Client Sophistication and Consent:\*\*** Dr. Kominsky is a high-income, highly educated, sophisticated investor who affirmatively renewed his advisory agreement annually after reviewing fee disclosures. His documented written satisfaction further supports that the relationship was transparent and consensual.

5. **\*\*Performance:\*\*** The 9.2% annualized net-of-fee return, broadly consistent with a blended benchmark, indicates competent portfolio management rather than neglect.

**\*\*Under FINRA Rule 2111 (if applicable to the initial recommendation):\*\*** The recommendation of a fee-based account satisfies customer-specific suitability given the client's profile, objectives, and desire for comprehensive ongoing services.

**\*\*Under the Advisers Act Fiduciary Standard:\*\*** Marchetti fulfilled her duties of care and loyalty by providing active management, transparent fee disclosure, and services commensurate with fees charged.

**\*\*Likely Regulatory Outcome:\*\*** No enforcement action would be warranted. This fact pattern would likely be viewed favorably by regulators as an example of a well-run advisory relationship with proper documentation, active service delivery, and transparent client communication.

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**Item 320 of 499****NON-COMPLIANT****Topic:** junk\_bonds\_conservative\_investor**Difficulty:** easy**Fact Pattern**

Margaret Olsen, age 74, is a retired elementary school teacher living in suburban Ohio. She has a fixed monthly income of \$2,400 from her pension and \$1,800 from Social Security. Her total liquid savings amount to \$340,000, held in a brokerage account that represents virtually all of her investable assets outside of her home. On her new account form, Mrs. Olsen indicated her risk tolerance as 'conservative,' her investment objective as 'income with preservation of capital,' her investment time horizon as 'short to intermediate (1-5 years),' and her experience with securities as 'limited -- primarily CDs and savings bonds.' She told her financial advisor, Kevin Marsh, that she needed the account to generate steady, reliable income to supplement her pension and Social Security, and that she could not afford to lose principal because she had no other financial safety net. In March 2023, Marsh recommended that Mrs. Olsen invest \$280,000 -- roughly 82% of her liquid savings -- into a portfolio of seven different high-yield corporate bond issues, all rated between B- and CCC+ by major credit rating agencies. The bonds were issued by companies in the energy exploration, retail, and telecommunications sectors, several of which had been flagged by analysts as facing significant default risk. The bonds carried coupon rates ranging from 8.5% to 11.2%. Marsh earned a total commission of \$8,400 on the transactions. He told Mrs. Olsen the bonds would 'pay much better than a CD' and described them as 'just like regular bonds but with higher interest.' He did not explain the elevated credit risk, the possibility of issuer default, or the fact that high-yield bonds can experience significant price volatility. Within eight months, two of the issuers entered bankruptcy proceedings, and the market value of Mrs. Olsen's high-yield bond portfolio declined by approximately \$94,000, or roughly 34%. She was forced to sell several positions at steep losses to cover her living expenses.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Marsh violated applicable standards on multiple levels.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis for believing a recommendation is suitable for the customer based on their investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. There are three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

2. **\*\*Regulation Best Interest (Reg BI):\*\*** Under the Care Obligation of Reg BI, a broker-dealer must exercise reasonable diligence, care, and skill when making a recommendation, considering the customer's investment profile and ensuring there is a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. The Disclosure Obligation requires full and fair disclosure of material facts, including risks.

**\*\*Analysis:\*\***

- **\*\*Customer-Specific Suitability / Care Obligation Violation:\*\*** Mrs. Olsen is a 74-year-old retiree with limited investment

experience, a conservative risk tolerance, a stated objective of income with capital preservation, and a short-to-intermediate time horizon. Concentrating 82% of her liquid assets in junk bonds rated B- to CCC+ is fundamentally inconsistent with every element of her investment profile. High-yield bonds carry substantial credit and default risk, which is antithetical to capital preservation. The concentration in a single high-risk asset class left her with virtually no diversification or safety cushion.

- **Reasonable-Basis Suitability Violation:** Even setting aside the specific customer, recommending that any conservative, elderly investor with no other safety net put the vast majority of assets into deeply speculative-grade bonds lacks a reasonable basis.

- **Disclosure Obligation Violation:** Marsh mischaracterized the bonds as being 'just like regular bonds but with higher interest,' omitting the elevated credit risk, default probability, and price volatility. This constitutes a failure to disclose material risks, violating Reg BI's Disclosure Obligation and potentially FINRA Rule 2020 (use of manipulative, deceptive, or other fraudulent devices).

- **Conflict of Interest:** The \$8,400 commission provided a financial incentive to recommend the high-yield bonds over lower-cost, more appropriate alternatives such as investment-grade bonds, Treasury securities, or CDs. This conflict was not disclosed or mitigated.

**Likely Regulatory Outcome:** Marsh would likely face FINRA enforcement action, including fines, disgorgement of commissions, restitution to Mrs. Olsen, and a potential suspension or bar from the industry. The firm could also face supervisory failure charges if it did not flag the unsuitable concentration.

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**Item 321 of 499****NON-COMPLIANT****Topic:** inappropriate\_risk\_profile**Difficulty:** hard**Fact Pattern**

Daniel and Susan Whitaker, both age 52, are a married couple living in Phoenix, Arizona. Daniel is a mid-level logistics manager earning \$88,000 per year, and Susan works part-time as a medical billing specialist earning \$32,000 per year. Their combined household income is \$120,000. They have a joint brokerage account with \$210,000, an IRA in Daniel's name worth \$95,000, and approximately \$40,000 in savings accounts. They have two children, ages 16 and 19, with the older child currently attending a state university. Their monthly obligations include a \$1,900 mortgage payment, \$650 in car payments, and ongoing tuition costs of roughly \$14,000 per year. When the Whitakers opened their joint brokerage account in January 2022 with advisor Rachel Nguyen, they completed a risk tolerance questionnaire in Nguyen's office. During the meeting, the Whitakers repeatedly expressed that they wanted a 'balanced approach' -- some growth to help with retirement and education costs, but they didn't want to 'gamble' with money they would need in the next five to ten years. Daniel specifically mentioned he was nervous after seeing colleagues lose money in speculative investments. However, on the firm's electronic new account form, Nguyen recorded the couple's risk tolerance as 'aggressive,' their investment objective as 'speculation/aggressive growth,' and their time horizon as 'long-term (20+ years).' When the Whitakers signed the account documents electronically on a tablet, Nguyen scrolled quickly through the screens and told them, 'This is all standard paperwork -- just confirms what we discussed.' She did not review the recorded risk profile or investment objectives with them. Based on the aggressive profile she had entered, Nguyen then constructed a portfolio consisting of 35% in leveraged ETFs tracking the Nasdaq-100, 25% in small-cap biotech stocks, 20% in cryptocurrency-related equities, and 20% in options strategies involving selling uncovered puts on volatile tech stocks. The portfolio generated approximately \$6,200 in commissions and ongoing management-related fees in the first year. By December 2023, the account had declined from \$210,000 to approximately \$118,000, a loss of nearly 44%. The Whitakers discovered the recorded risk profile only after requesting account documents following the losses. They stated they had never agreed to an aggressive or speculative approach and would not have authorized the portfolio had they understood what was being recommended. Internal notes from Nguyen's branch show that a junior compliance analyst had flagged the account in March 2022 due to the mismatch between the couple's income level and the aggressive profile, but the flag was closed after Nguyen's branch manager noted that the clients had signed the account documents.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Rachel Nguyen committed serious violations, and the firm's supervisory response compounded the problem.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires that recommendations be suitable based on the customer's actual investment profile. The rule encompasses reasonable-basis, customer-specific, and quantitative suitability obligations. Critically, the customer's investment profile must reflect their actual characteristics, not fabricated entries.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** The Care Obligation requires the broker to exercise reasonable diligence, care,

and skill in making recommendations consistent with the customer's actual investment profile. The Disclosure Obligation requires material information -- including the nature and risks of the strategy -- to be clearly communicated. The Compliance Obligation requires firms to establish and enforce policies to achieve compliance.

3. **FINRA Rule 2010 (Standards of Commercial Honor):** Falsifying customer account documents constitutes conduct inconsistent with just and equitable principles of trade.

4. **FINRA Rule 4511 (Books and Records):** Requires that customer records be accurate. Intentionally recording a false risk profile violates recordkeeping obligations.

5. **FINRA Rule 3110 (Supervision):** The firm and branch manager had an obligation to reasonably investigate the compliance flag rather than dismiss it based solely on the client's electronic signature.

**Detailed Analysis:**

- **Falsification of the Customer Profile:** The most egregious violation is Nguyen's deliberate entry of an aggressive/speculative risk profile when the clients explicitly communicated a balanced, moderate approach. The Whitakers stated they did not want to 'gamble,' expressed nervousness about speculative investments, and had near-term financial needs (tuition, mortgage) inconsistent with a long-term aggressive posture. Recording a false profile to justify otherwise unsuitable recommendations is a well-recognized form of misconduct that violates both suitability and best interest standards at their core.

- **Customer-Specific Suitability Violation:** Even if the profile had been accurately recorded, the investments selected -- leveraged ETFs, speculative biotech stocks, crypto-related equities, and uncovered put options -- are unsuitable for a middle-income couple in their early 50s with significant near-term financial obligations, moderate savings, and an expressed preference for balance and safety. Leveraged ETFs are designed for short-term trading and carry compounding decay risk. Uncovered put options expose the account to theoretically unlimited loss. These products are inappropriate for investors with the Whitakers' actual profile.

- **Disclosure Failure:** Nguyen told the Whitakers the documents were 'standard paperwork' and did not review the risk profile or investment objectives with them. This prevented the clients from identifying and correcting the misrepresentation before it was used to justify the aggressive portfolio. Reg BI's Disclosure Obligation requires full and fair presentation of material facts, including the nature of the investment strategy and its risks.

- **Supervisory Failure:** The compliance flag raised in March 2022 identified the very mismatch at issue. The branch manager's decision to close the flag based solely on the electronic signature -- without contacting the clients to verify their actual risk tolerance or reviewing the substance of the recommendations -- represents a failure of the firm's supervisory system under FINRA Rule 3110. The firm cannot rely on a client's signature on documents the client was not given a meaningful opportunity to review.

- **Commissions and Conflicts:** The \$6,200 in first-year fees and commissions generated by the aggressive strategy likely exceeded what a balanced, lower-turnover portfolio would have produced, creating a financial incentive that should have been disclosed and mitigated under Reg BI's Conflict of Interest Obligation.

**Likely Regulatory Outcome:** Nguyen would face severe sanctions, potentially including a bar from the securities industry, given that falsification of account documents is considered one of the most serious forms of broker misconduct. She would also likely be required to pay restitution. The firm and branch manager would face supervisory failure charges and potential fines for the inadequate response to the compliance flag. The Whitakers would have strong grounds for a FINRA arbitration claim seeking recovery of their approximately \$92,000 in losses, plus fees and costs.

**Item 322 of 499****NON-COMPLIANT****Topic:** annuity\_unnecessary\_switching**Difficulty:** medium**Fact Pattern**

Margaret Dawson, age 71, is a retired schoolteacher living in suburban Ohio on a fixed income of approximately \$2,800 per month from Social Security and a small state pension. Her total liquid savings amounted to \$185,000, nearly all of which was held in a variable annuity she had purchased in 2017 through her advisor, Kevin Brandt, at a mid-sized broker-dealer. Margaret's account documents listed her risk tolerance as conservative, her investment objective as income and capital preservation, and her investment experience as limited. In March 2021, Brandt contacted Margaret and recommended she surrender her existing variable annuity -- which still carried a \$6,200 surrender charge -- and use the proceeds to purchase a new variable annuity with a different insurance carrier. Brandt told Margaret the new product had 'better fund options' and a 'newer death benefit rider.' The new annuity carried a seven-year surrender charge schedule starting at 7%, annual mortality and expense charges of 1.35%, rider fees of 0.95%, and an upfront commission to Brandt of approximately \$9,600. Margaret agreed and the switch was executed in April 2021. Fourteen months later, in June 2022, Brandt again recommended Margaret surrender the second annuity -- this time incurring a \$10,920 surrender penalty -- and purchase yet another variable annuity from a third carrier. This third product carried a new eight-year surrender schedule beginning at 8%, combined annual internal fees of 2.45%, and generated another commission to Brandt of approximately \$10,200. Margaret's account value, which had started at \$185,000, was now approximately \$152,300 after surrender charges, fees, and modest market losses. Margaret had received no income distributions from any of the three annuities during this period. Brandt's branch records show he executed similar annuity switches for at least nine other clients over age 65 during the same timeframe, generating total commissions exceeding \$135,000 from these switches alone. Margaret's daughter eventually reviewed the statements and filed a complaint after noticing the account had lost over \$32,000 in value despite Margaret never withdrawing any funds.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Brandt almost certainly violated applicable suitability and best interest standards through a pattern of unnecessary annuity switching (sometimes called 'churning' in the annuity context). The analysis proceeds on multiple fronts:

1. **FINRA Rule 2330 (Variable Annuity Suitability):** This rule specifically governs recommendations to purchase or exchange variable annuities. Before recommending a switch, the registered representative must have a reasonable basis to believe the transaction is suitable, taking into account surrender charges on the existing annuity, the new surrender period, differences in benefits and features, and the costs of the new product versus the old. Here, Brandt recommended two switches within approximately 14 months, each triggering substantial surrender charges (\$6,200 and \$10,920 respectively) and resetting lengthy surrender periods (7 and 8 years). For a 71-year-old conservative investor on fixed income, locking up her primary liquid savings in a new surrender period until she would be nearly 80 is facially problematic. The purported justifications -- 'better fund options' and a 'newer death benefit rider' -- appear pretextual given that Margaret's objectives were income and capital preservation, and she never took any income distributions.
2. **FINRA Rule 2111 (Suitability):** Under the quantitative suitability component, an advisor must not engage in

excessive transactions given the customer's profile. Two annuity replacements in 14 months for a conservative, elderly retiree -- where each switch generated commissions (\$9,600 and \$10,200) while costing the client tens of thousands in surrender charges -- strongly suggests the transactions were made to generate commissions rather than to benefit the client. The customer-specific suitability obligation also required Brandt to consider Margaret's age, limited income, conservative risk tolerance, and need for capital preservation. Both switches were inconsistent with these factors.

3. **\*\*Regulation Best Interest (Reg BI):\*\*** If these transactions occurred after June 30, 2020, Reg BI's Care Obligation required Brandt to exercise reasonable diligence, care, and skill in making recommendations, consider reasonably available alternatives, and ensure costs did not outweigh benefits. The cumulative surrender charges of over \$17,000, combined annual internal fees of 2.45% on the final product, and the pattern of switching all point to a failure of the Care Obligation. Additionally, Reg BI's Conflict of Interest Obligation required the firm to identify and mitigate the conflict inherent in commission-driven annuity replacements. The pattern across nine clients suggests a systemic failure.

4. **\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** The pattern of switching annuities for multiple elderly clients to generate \$135,000+ in commissions is consistent with conduct that violates just and equitable principles of trade.

**\*\*Likely Regulatory Outcome:\*\*** Brandt faces potential sanctions including fines, disgorgement of commissions, suspension, or a permanent bar. The firm faces supervisory liability under FINRA Rule 3110 for failing to detect and prevent a pattern of unsuitable annuity switches. Margaret would likely recover damages including the surrender charges, excess fees, and any market losses attributable to the switches, potentially through FINRA arbitration.

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## Item 323 of 499

### NON-COMPLIANT

**Topic:** private\_placements\_unsuitable

**Difficulty:** hard

### Fact Pattern

Harold and Jean Petersen, ages 74 and 72, are a retired couple living in Scottsdale, Arizona. Harold was a former mid-level manager at a manufacturing company, and Jean was a part-time bookkeeper. Their combined retirement income is \$5,100 per month from Social Security and a small 401(k) distribution. Their total investable assets at the time of the events were approximately \$410,000, held in IRAs and a joint brokerage account. Their account paperwork, completed in January 2020, listed their risk tolerance as moderate, their time horizon as 5-10 years, their investment objective as income with moderate growth, and their liquidity needs as 'may need funds for medical expenses.' Neither had any prior experience with alternative investments. Their financial advisor, Dennis Huang, at a regional broker-dealer, began recommending private placement offerings to them starting in March 2020. Over the following 18 months, Huang placed \$245,000 -- roughly 60% of the Petersens' total portfolio -- into four different private placement offerings: \$70,000 into a non-traded real estate investment trust focused on commercial office space, \$65,000 into a private oil and gas exploration fund, \$55,000 into a private debt fund lending to early-stage technology companies, and \$55,000 into a private placement offering shares in a startup cannabis logistics company. All four investments carried minimum holding periods of 5 to 7 years with no redemption rights, upfront fees and commissions averaging 8.5%, and disclosed risk factors including total loss of principal. To fund the \$55,000 cannabis logistics investment, Huang recommended the Petersens take a \$55,000 margin loan against their joint brokerage account, telling them it was 'just a short-term bridge' and that distributions from the other private placements would pay it off within a year. By late 2022, the oil and gas fund had suspended distributions and disclosed a 40% write-down in net asset value. The cannabis logistics company had ceased operations entirely and investors were informed the investment was a total loss. The technology lending fund had defaulted on two of its underlying loans and suspended redemptions. The non-traded REIT had reduced its estimated share value by 25% due to declining commercial office occupancy. The Petersens' \$245,000 in private placements was now estimated to be worth approximately \$98,000, and they still owed \$58,500 on the margin loan (including accrued interest). Their remaining liquid assets outside these placements had declined to roughly \$140,000. Harold had also been diagnosed with early-stage Parkinson's disease in mid-2021, increasing the couple's anticipated medical expenses. The Petersens filed a complaint after their accountant reviewed the portfolio and expressed alarm at the concentration and use of margin.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Dennis Huang committed multiple serious violations of applicable suitability and best interest standards. This fact pattern presents a layered case involving concentration in illiquid alternatives, use of margin for retirees, and individual product-level unsuitability.

**\*\*1. FINRA Rule 2111 -- Suitability (All Three Obligations):\*\***

- **\*\*Reasonable-Basis Suitability:\*\*** An advisor must understand the products he recommends. Private placements are inherently high-risk, illiquid investments with limited transparency. While recommending any single private placement to a suitable investor might be defensible, recommending four separate illiquid alternatives spanning speculative sectors

(oil/gas exploration, cannabis startup, early-stage tech lending) required a thorough understanding of each offering's risk profile. The combination suggests Huang may not have conducted adequate due diligence, particularly on the cannabis logistics startup, which carried startup/operational risk in a legally uncertain industry.

- **\*\*Customer-Specific Suitability:\*\*** The Petersens were retirees in their 70s with moderate risk tolerance, income-oriented objectives, a 5-10 year time horizon, stated potential liquidity needs for medical expenses, and no experience with alternative investments. Allocating 60% of their portfolio to illiquid private placements with 5-7 year lock-ups was fundamentally inconsistent with their profile. Their stated need for potential medical expense liquidity was directly contradicted by investments that offered no redemption rights. Each individual recommendation was problematic; in combination, the concentration was egregious.

- **\*\*Quantitative Suitability:\*\*** While this obligation is typically associated with excessive trading, the cumulative concentration of 60% of assets in illiquid, high-risk alternatives effectively rendered the majority of the portfolio inaccessible, which can be analyzed as a form of quantitative unsuitability.

## **\*\*2. Regulation Best Interest (Reg BI) -- Applicable to transactions after June 30, 2020:\*\***

Several of the placements occurred after Reg BI's effective date.

- **\*\*Care Obligation:\*\*** Huang was required to exercise reasonable diligence, care, and skill, consider the costs and risks of the recommendations in light of the customers' profile, and evaluate reasonably available alternatives. Private placements carrying 8.5% average upfront fees are among the most expensive investment products available. For income-oriented retirees, far less costly and more liquid alternatives existed (e.g., investment-grade bond funds, dividend equity funds, publicly traded REITs). The cost-benefit analysis clearly fails.

- **\*\*Conflict of Interest Obligation:\*\*** The 8.5% average upfront commissions created a powerful financial incentive to recommend these products. Across \$245,000 in placements, Huang earned approximately \$20,825 in commissions. The firm was required to have policies to identify and mitigate such conflicts. The pattern suggests inadequate mitigation.

- **\*\*Disclosure Obligation:\*\*** While the private placement memoranda likely disclosed risks, Huang's characterization of the margin loan as a 'short-term bridge' that distributions would cover within a year appears to be a materially misleading statement, particularly since private placement distributions are inherently uncertain.

## **\*\*3. Use of Margin -- FINRA Rule 2264 and Suitability Concerns:\*\***

FINRA Rule 2264 requires firms to deliver a margin disclosure statement, but beyond disclosure, recommending margin to fund an illiquid private placement for retirees who stated they could not afford significant losses is a suitability violation in itself. Margin introduces the risk of margin calls and interest accumulation. The Petersens now owe \$58,500 on a margin loan that funded a total-loss investment -- they effectively have negative value on that position.

## **\*\*4. Concentration:\*\***

FINRA has repeatedly emphasized through Regulatory Notices (e.g., Regulatory Notice 12-03 on complex products and suitability) that concentration in illiquid alternative investments is a significant suitability concern, particularly for elderly investors with income needs. A 60% allocation to private placements is extreme by any measure for this customer profile.

## **\*\*5. FINRA Rule 2010 -- Standards of Commercial Honor:\*\***

The overall pattern of conduct -- placing the majority of a retired couple's life savings into illiquid, high-commission alternatives and using margin to fund a speculative cannabis startup investment -- is inconsistent with just and equitable principles of trade.

**\*\*6. Firm Supervisory Liability -- FINRA Rule 3110:\*\***

The firm had an obligation to supervise Huang's recommendations, particularly for private placements which typically require heightened supervisory review. The firm's failure to flag a 60% concentration in illiquid alternatives for retirees in their 70s, and the use of margin to fund a private placement, suggests a supervisory breakdown.

**\*\*Likely Regulatory Outcome:\*\*** Huang faces significant sanctions including substantial fines, disgorgement of commissions (approximately \$20,825), restitution, a lengthy suspension, or potentially a permanent bar given the severity and the vulnerable customer population. The firm faces fines and potential restitution liability for supervisory failures. In FINRA arbitration, the Petersens would likely recover a significant portion of their approximately \$147,000 in losses (original \$245,000 investment minus \$98,000 current estimated value) plus the \$58,500 margin debt, fees, and potentially interest and costs. Compensatory damages could approach or exceed \$200,000.

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**Item 324 of 499****NON-COMPLIANT****Topic:** reverse\_churning**Difficulty:** hard**Fact Pattern**

Margaret Dawson, age 68, is a retired public school teacher who receives a pension of \$3,400 per month and Social Security benefits of \$1,800 per month. Her total liquid savings amount to approximately \$410,000, representing her life's savings accumulated through decades of careful budgeting. She has no other significant assets aside from her home, which is fully paid off. Margaret described herself as conservative, wanting to preserve her capital and generate modest supplemental income to cover medical expenses and occasional travel. In March 2022, her financial advisor, Kevin Hartwell, recommended she move her entire \$410,000 from a commission-based brokerage account--where she had previously held a diversified mix of Treasury bonds and blue-chip dividend stocks--into a fee-based advisory account charging 1.35% annually (\$5,535 per year). Kevin explained that the fee-based account would provide ongoing portfolio monitoring and periodic rebalancing. However, over the next 22 months, Kevin made no trades whatsoever in the account. The portfolio remained in the exact same positions that had been transferred in. No rebalancing occurred, no investment reviews were documented, and Margaret received no written financial plan or updated recommendations. When Margaret called the office in January 2024 to ask about her account, she was told Kevin had left the firm six months earlier and no one had been assigned to manage her account. During the 22-month period, Margaret paid approximately \$10,147 in advisory fees for what amounted to zero advisory activity. Had she remained in her prior commission-based account, she would have paid nothing during the same period, as she was a buy-and-hold investor who rarely transacted.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Hartwell violated applicable standards in multiple respects. This is a textbook case of 'reverse churning,' where a client is placed in a fee-based account that generates ongoing fees despite little or no trading or advisory activity, to the detriment of the client.

**\*\*Regulation Best Interest (Reg BI) Analysis:\*\***

Under Reg BI's Care Obligation (Rule 15l-1 under the Securities Exchange Act of 1934), a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation, including recommendations regarding account type. The recommendation to move Margaret from a commission-based account to a fee-based advisory account must have a reasonable basis to believe it is in the customer's best interest. Margaret was a buy-and-hold conservative investor who rarely transacted. In her commission-based account, she incurred virtually no ongoing costs. Moving her to a 1.35% annual fee account resulted in over \$10,000 in fees over 22 months for zero advisory services rendered. The account type recommendation itself lacked a reasonable basis.

Under Reg BI's Conflict of Interest Obligation, the firm and advisor had a financial incentive to place Margaret in a fee-based account that generated predictable recurring revenue. There is no evidence this conflict was adequately identified, disclosed, or mitigated.

**\*\*FINRA Suitability (Rule 2111) Analysis:\*\***

FINRA Rule 2111 requires that recommendations be suitable based on the customer's investment profile, including financial situation, needs, objectives, and other reasonable factors. The quantitative suitability component is relevant here in reverse: rather than excessive trading generating commissions, the absence of any trading activity in a fee-based account demonstrates the account type was unsuitable. FINRA has recognized that placing inactive accounts in fee-based arrangements can constitute a suitability violation.

**\*\*Investment Adviser Fiduciary Duty Analysis:\*\***

If the fee-based account was an advisory account, the advisor owed a fiduciary duty under the Investment Advisers Act of 1940. This duty includes a duty of care--to provide advice and monitoring consistent with the advisory relationship and the fees being charged--and a duty of loyalty--to act in the client's best interest. Collecting \$5,535 annually while providing no advice, no rebalancing, no reviews, and no communication is a clear breach of fiduciary duty.

**\*\*Additional Concerns:\*\***

The firm's failure to reassign Margaret's account after Kevin's departure, resulting in continued fee collection with no oversight, raises supervisory concerns under FINRA Rules 3110 and 3120 regarding supervisory systems and procedures.

**\*\*Likely Regulatory Outcome:\*\***

Margaret would likely be entitled to full restitution of fees paid (approximately \$10,147), plus interest. The advisor could face sanctions including fines, suspension, or a bar. The firm could face supervisory failure charges for allowing continued fee collection on an unserviced account. Regulators have increasingly scrutinized reverse churning as a priority examination area.

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## Item 325 of 499

### NON-COMPLIANT

**Topic:** inappropriate\_risk\_profile

**Difficulty:** medium

### Fact Pattern

Daniel Reeves, age 74, is a retired machinist living in Toledo, Ohio, on a fixed income consisting of Social Security (\$2,100/month) and a small pension (\$900/month). His total investable assets are approximately \$185,000, held in an IRA that represents his sole retirement savings beyond his monthly income. Daniel has a high school education, no prior investment experience beyond certificates of deposit at his local bank, and explicitly told his advisor, Lisa Cheng, during their initial meeting in June 2023 that he wanted 'something safe like a CD but maybe a little better return' and that he 'cannot afford to lose any of this money because it's all I've got.' Daniel's completed new account form, filled out by Lisa during the meeting, listed his risk tolerance as 'aggressive growth' and his investment objective as 'speculation.' Lisa recommended allocating 70% of Daniel's IRA (\$129,500) into a concentrated portfolio of small-cap biotech stocks and leveraged ETFs, with the remaining 30% (\$55,500) in a high-yield bond fund rated below investment grade. Within eight months, the biotech stocks had declined by 58%, and the leveraged ETFs had lost 43% of their value. The high-yield bond fund dropped 12% during the same period. By February 2024, Daniel's IRA was worth approximately \$98,000--a loss of roughly \$87,000, or 47% of his life savings. When Daniel contacted Lisa to express alarm, she pointed to the signed account paperwork indicating he had agreed to aggressive growth and speculative objectives.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Lisa Cheng committed serious violations across multiple regulatory frameworks. The core issue is that the risk profile documented on the account forms was fabricated or, at minimum, grossly inconsistent with the client's actual stated preferences, financial situation, and needs.

#### **\*\*Regulation Best Interest (Reg BI) Analysis:\*\***

Under Reg BI's Care Obligation, Lisa was required to exercise reasonable diligence, care, and skill to understand Daniel's investment profile--including his actual risk tolerance, financial situation, investment objectives, and time horizon--and to recommend investments that were in his best interest. Daniel is a 74-year-old retiree with no investment experience, a fixed and limited income, and \$185,000 as his only savings. He explicitly stated he could not afford to lose money and wanted safety. Documenting his risk tolerance as 'aggressive growth' and his objective as 'speculation' directly contradicts his verbal statements and objective financial circumstances. Reg BI requires that the advisor consider the customer's actual profile, not a fabricated one. Recommending concentrated small-cap biotech stocks and leveraged ETFs to this client profile is indefensible under the Care Obligation.

Under Reg BI's Disclosure Obligation, there is no indication Lisa adequately disclosed the extreme risks of leveraged ETFs (including their compounding decay characteristics), concentrated sector exposure, or below-investment-grade bonds.

#### **\*\*FINRA Suitability (Rule 2111) Analysis:\*\***

FINRA Rule 2111 requires suitability based on the customer's actual investment profile. FINRA Regulatory Notice 12-25 makes clear that a firm cannot rely on a risk tolerance designation that is inconsistent with other information

known about the customer. The 'customer-specific suitability' obligation requires that the recommendation be suitable for the particular customer. A 74-year-old retiree with no experience, limited assets, fixed income, and expressed desire for safety cannot be suitable for aggressive/speculative investments. Additionally, FINRA Rule 2090 (Know Your Customer) required Lisa to use reasonable diligence to know the essential facts about Daniel. Overriding his clearly stated preferences with an inaccurate risk profile on the paperwork does not satisfy this obligation.

The practice of marking account documents with risk tolerances that contradict the client's stated preferences is sometimes referred to as 'profile manipulation' and is treated very seriously by regulators.

**\*\*FINRA Rule 4512 and Record-Keeping:\*\***

The inaccurate account documentation itself raises concerns about falsification of records.

**\*\*Likely Regulatory Outcome:\*\***

Daniel has a strong claim for restitution of the approximately \$87,000 in losses. Lisa's defense--pointing to the signed paperwork--is unlikely to succeed because regulators consistently look beyond signed forms to the totality of circumstances, including the client's actual profile and verbal statements. Lisa could face significant fines, disgorgement of commissions, suspension, or a permanent bar from the industry. The firm could face supervisory failure charges under FINRA Rule 3110 for failing to detect the obvious mismatch between the client's profile and the account documentation and recommended investments.

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## Item 326 of 499

### NON-COMPLIANT

**Topic:** concentration\_risk

**Difficulty:** medium

### Fact Pattern

Margaret Chen, age 72, is a retired elementary school teacher living in suburban Ohio. She has a modest retirement income of \$2,800 per month from her pension and \$1,400 per month from Social Security. Her total investable assets are approximately \$410,000, representing her entire life savings, held in a traditional IRA. Margaret described herself as a conservative investor during her account opening interview, stating her primary objectives were capital preservation and generating supplemental income to cover healthcare costs. She has no other significant assets besides her home, valued at approximately \$185,000, which is fully paid off. In March 2023, her financial advisor, Daniel Russo, recommended that Margaret invest \$330,000 -- roughly 80% of her portfolio -- into a single real estate investment trust (REIT) focused on commercial office properties in secondary markets. The REIT was a non-traded product with a 7-year lockup period, a front-end load of 5.75%, and an annual management fee of 1.85%. Daniel told Margaret the REIT would generate steady quarterly distributions of approximately 6.5% annually, which would help cover her medical expenses. He did not discuss the illiquidity risks, the concentrated exposure to a single sector facing headwinds from remote work trends, or the fact that her age and health situation (she had recently been diagnosed with early-stage Parkinson's disease) might require access to liquid funds. The remaining \$80,000 was placed in a money market fund. By late 2023, the REIT suspended its distributions due to declining occupancy rates in its office properties, and the estimated net asset value of Margaret's holdings dropped by approximately 22%. Margaret was unable to redeem her shares due to the lockup provision and was forced to begin drawing down her \$80,000 money market fund far faster than anticipated to pay for her increasing medical costs.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Daniel Russo almost certainly violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile. The rule encompasses three obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, Rule 15l-1:\*\*** If the recommendation was made after June 30, 2020 (which it was -- March 2023), Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The advisor must not place his own interest ahead of the customer's.
3. **\*\*FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade):\*\*** Recommending unsuitable and excessively concentrated investments may also constitute a violation of just and equitable principles of trade.



4. **FINRA Regulatory Notices 12-03 and 12-55:** FINRA has specifically highlighted the risks of non-traded REITs and cautioned firms about recommending them to customers for whom they are not suitable, particularly elderly and conservative investors. Many firms impose internal concentration limits on non-traded REITs -- often 10% or less of liquid net worth -- precisely because of illiquidity and valuation risks.

**Analysis of Violations:**

- **Concentration Risk:** Allocating 80% of a 72-year-old retiree's entire life savings into a single non-traded REIT is an extreme and unsuitable concentration. Even aggressive investors would rarely be advised to place such a proportion in a single illiquid asset. For a conservative investor whose stated objective was capital preservation, this is particularly egregious.

- **Illiquidity Mismatch:** Margaret had a known and growing need for liquid funds due to her Parkinson's diagnosis and healthcare costs. Placing the vast majority of her assets in a product with a 7-year lockup directly contradicted her liquidity needs. Under Reg BI's Care Obligation, the advisor was required to consider the customer's time horizon and liquidity needs.

- **Risk Profile Mismatch:** Margaret explicitly stated she was a conservative investor seeking capital preservation and income. Non-traded REITs concentrated in commercial office space carry significant market risk, sector risk, and liquidity risk -- none of which align with a conservative profile.

- **Inadequate Disclosure:** The advisor failed to discuss the illiquidity risks, concentration risks, or the sector-specific headwinds affecting commercial office properties. Under Reg BI's Disclosure Obligation, material facts about risks and costs must be communicated.

- **Cost Considerations:** The 5.75% front-end load resulted in approximately \$18,975 in immediate costs, and the 1.85% annual management fee further eroded returns. Under Reg BI, the advisor must consider reasonably available alternatives that may be less costly.

**Likely Regulatory Outcome:** This fact pattern would likely result in FINRA enforcement action against both the advisor and the supervising broker-dealer. Probable sanctions include fines, disgorgement of commissions (the front-end load alone generated substantial compensation), restitution to the customer, and a possible suspension or bar for the advisor. The firm could also face supervisory failure charges under FINRA Rule 3110 if it lacked adequate systems to flag such extreme concentrations in non-traded REITs for elderly, conservative clients.

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## Item 327 of 499

### NON-COMPLIANT

**Topic:** tax\_deferred\_unnecessary\_annuity

**Difficulty:** hard

### Fact Pattern

Dr. Rajesh Patel, age 58, is a practicing cardiologist earning approximately \$620,000 per year. He is financially sophisticated, having managed portions of his own portfolio for over a decade. He has approximately \$3.2 million in retirement assets: \$1.8 million in a 401(k) plan, \$950,000 in a rollover IRA, and \$450,000 in a Roth IRA. He also maintains \$800,000 in taxable brokerage accounts and owns rental real estate valued at \$1.1 million. In January 2024, Dr. Patel met with financial advisor Laura Simmons after attending a dinner seminar hosted by her firm. During the seminar, Laura emphasized the income guarantees and downside protection features of variable annuities with guaranteed lifetime withdrawal benefit (GLWB) riders. In a subsequent one-on-one meeting, Laura recommended that Dr. Patel move \$900,000 from his rollover IRA into a variable annuity with a GLWB rider. The variable annuity carried total annual expenses of 3.45% (including a mortality and expense charge of 1.25%, underlying fund expenses averaging 0.95%, an administrative fee of 0.15%, and a GLWB rider fee of 1.10%). The product also imposed a 7-year declining surrender charge schedule starting at 7% in year one. Laura argued that the GLWB rider would guarantee Dr. Patel a lifetime income stream starting at age 67 regardless of market performance. She did not discuss that the rollover IRA already provided tax-deferred growth -- meaning the annuity's tax-deferral feature, often a primary selling point, added no incremental tax benefit. She also did not present a comparison to lower-cost alternatives within the IRA, such as a diversified portfolio of index funds and bond funds that could have been constructed for approximately 0.15% in annual expenses, or a simple immediate or deferred income annuity that could have provided similar guaranteed income at a fraction of the cost. Dr. Patel's existing 401(k) plan and Social Security (projected at approximately \$3,800/month at age 67) would already generate substantial guaranteed retirement income. Laura earned a 5.5% commission on the sale, totaling \$49,500. Dr. Patel later consulted a fee-only financial planner who estimated that the excess costs of the variable annuity over a low-cost index fund portfolio inside the same IRA would total approximately \$280,000 over a 20-year period, and that the GLWB benefit provided marginal value given Dr. Patel's existing guaranteed income sources and substantial asset base.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Laura Simmons likely violated both suitability and best interest standards in recommending this variable annuity within a tax-deferred IRA.

**\*\*Applicable Standards:\*\***

1. **\*\*Regulation Best Interest (Reg BI), Rule 15l-1:\*\*** As this recommendation occurred in January 2024, Reg BI applies. The rule's four component obligations -- Disclosure, Care, Conflict of Interest, and Compliance -- must all be satisfied.
2. **\*\*FINRA Rule 2111 (Suitability):\*\*** Even under the traditional suitability framework, this recommendation raises serious concerns under all three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

3. **FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities):** This rule specifically governs recommendations of deferred variable annuities. It requires that the member or associated person have a reasonable basis to believe that: (a) the customer has been informed of the features of deferred variable annuities, including surrender charges, mortality and expense fees, tax penalties, and other material features; (b) the customer would benefit from certain features of deferred variable annuities, such as tax-deferred growth, annuitization, or a death benefit; (c) the particular annuity as a whole, the underlying subaccounts, riders, and similar product enhancements are suitable; and (d) exchanges or replacements of existing annuities meet additional scrutiny requirements.

4. **FINRA Regulatory Notice 07-53 and 12-55:** FINRA has specifically addressed concerns about placing variable annuities inside tax-qualified accounts, noting that the tax-deferral feature of an annuity is redundant within an already tax-deferred vehicle like an IRA. Firms and advisors must demonstrate that other features of the annuity -- beyond tax deferral -- justify the additional costs.

**Analysis of Violations:**

- **Redundant Tax Deferral (FINRA Rule 2330):** The most significant issue is placing a variable annuity inside a rollover IRA. The IRA already provides tax-deferred growth. The annuity's tax-deferral benefit -- typically its primary advantage -- adds zero incremental value. Under Rule 2330(b)(1)(B), the advisor must have a reasonable basis to believe the customer would benefit from the features of the variable annuity, including tax-deferred growth. When that feature is redundant, the advisor bears a heightened burden to demonstrate that other features (e.g., the GLWB rider, death benefit) justify the substantially higher costs.

- **Cost-Benefit Analysis Under Reg BI's Care Obligation:** The Care Obligation requires the advisor to consider costs as a factor. The variable annuity's all-in annual cost of 3.45% versus approximately 0.15% for a comparable index fund portfolio represents an annual cost differential of 3.30% on \$900,000, or roughly \$29,700 per year. Over 20 years, the estimated excess cost is approximately \$280,000. Laura was required to consider whether reasonably available alternatives could achieve the customer's objectives at lower cost. A deferred income annuity or a simple systematic withdrawal plan from a low-cost portfolio could have achieved similar income objectives.

- **Marginal Value of GLWB Rider:** While GLWB riders can provide genuine value for investors who lack guaranteed income sources and face longevity risk, Dr. Patel already had substantial guaranteed income from his 401(k) (which could be annuitized), projected Social Security of \$3,800/month, and a total asset base exceeding \$5 million. The marginal utility of an additional income guarantee was minimal. The GLWB rider alone cost 1.10% annually (\$9,900/year), and this cost compounds over time.

- **Conflict of Interest -- Reg BI's Conflict of Interest Obligation:** Laura received a \$49,500 commission on the sale. This substantial financial incentive created a conflict that Reg BI requires firms to identify, disclose, and mitigate. If the firm's compensation structure incentivized variable annuity sales over lower-cost alternatives, and no adequate mitigation measures were in place, this represents a separate violation.

- **Disclosure Failures:** Laura failed to disclose the redundancy of tax deferral within the IRA, failed to present lower-cost alternatives, and failed to contextualize the GLWB rider's value relative to Dr. Patel's existing guaranteed income. These omissions violate Reg BI's Disclosure Obligation and undermine informed decision-making.

- **Surrender Charges:** The 7-year declining surrender schedule, starting at 7%, effectively locks \$900,000 of Dr. Patel's retirement assets into an expensive product. For a 58-year-old who may need to adjust his retirement strategy, this lack of flexibility is a material risk that warranted thorough discussion.

**Likely Regulatory Outcome:** This fact pattern closely mirrors cases that FINRA has pursued in enforcement actions involving variable annuities in tax-qualified accounts. Likely outcomes include: (1) restitution to Dr. Patel for excess

costs and commissions; (2) disgorgement of the \$49,500 commission; (3) monetary fines against the advisor and potentially the firm; (4) a potential suspension for Laura Simmons; and (5) supervisory failure charges against the firm under FINRA Rules 3110 and 3120 if the firm lacked adequate systems to review variable annuity transactions in tax-qualified accounts. The firm's seminar marketing practices (dinner seminars to solicit annuity sales) may also face scrutiny under FINRA's advertising and communications rules (Rule 2210).

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**Item 328 of 499****NON-COMPLIANT****Topic:** margin\_unsuitable**Difficulty:** easy**Fact Pattern**

Dorothy Haines, age 74, is a retired schoolteacher living in Tucson, Arizona. Her sole sources of income are a state pension of \$2,800 per month and Social Security payments of \$1,650 per month. She has a total liquid net worth of approximately \$310,000, nearly all of which is held in a brokerage account she opened in 2019. On her new account form, she indicated her investment objective was 'preservation of capital,' her risk tolerance was 'low,' and her time horizon was '1 to 3 years.' She also noted in writing that she 'cannot afford to lose money' because the account represented her entire life savings and emergency fund. In March 2023, her financial advisor, Craig Perlman, recommended converting her cash account to a margin account. He told Mrs. Haines that margin would 'help her portfolio grow faster' and that it was 'standard practice for accounts of her size.' Mrs. Haines signed the margin agreement, later stating she did not fully understand what margin borrowing entailed. Over the next eight months, Perlman purchased approximately \$485,000 worth of securities in her account, leveraging her \$310,000 in equity with roughly \$175,000 in margin debt. The positions included concentrated holdings in three mid-cap technology stocks and a leveraged ETF focused on the semiconductor sector. By November 2023, the portfolio had declined in value to approximately \$260,000, triggering multiple margin calls. Because Mrs. Haines could not meet the margin calls, the brokerage firm liquidated approximately \$140,000 of her holdings at significant losses. After the forced liquidation and accounting for accumulated margin interest charges of roughly \$7,400, Mrs. Haines's account balance stood at approximately \$195,000 -- a loss of \$115,000, or 37% of her original savings.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, the financial advisor clearly violated applicable suitability and best interest standards on multiple levels.

**\*\*FINRA Suitability (Rule 2111):\*\*** Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and liquidity needs. Here, Mrs. Haines was a 74-year-old retiree with low risk tolerance, a capital preservation objective, a short time horizon, and an explicit statement that she could not afford to lose principal. Recommending a margin account and leveraging her entire life savings to purchase volatile mid-cap technology stocks and a leveraged sector ETF was fundamentally inconsistent with every element of her stated profile. This violates the customer-specific suitability obligation under Rule 2111(a).

**\*\*Regulation Best Interest (Reg BI):\*\*** Under SEC Regulation Best Interest (17 CFR § 240.15l-1), broker-dealers must act in the retail customer's best interest and satisfy the Care Obligation, which requires the advisor to exercise reasonable diligence, care, and skill in making recommendations. The Care Obligation specifically mandates that the advisor consider the customer's investment profile and ensure the recommendation does not place the advisor's interest ahead of the customer's. Recommending margin to a capital-preservation-oriented retiree living on fixed income, resulting in a leveraged portfolio concentrated in speculative equities, fails the Care Obligation entirely. There is no reasonable basis to believe this strategy served Mrs. Haines's best interest.

**\*\*FINRA Rule 2264 (Margin Disclosure):\*\*** Firms are required to deliver a margin disclosure statement and ensure customers understand the risks of margin trading, including the possibility of losing more than the amount deposited and the risk of forced liquidation. Mrs. Haines's statement that she did not understand margin borrowing suggests inadequate disclosure and explanation.

**\*\*FINRA Rule 4210 (Margin Requirements):\*\*** While this rule governs the mechanics of margin, the advisor's use of margin to facilitate an aggressive, speculative strategy in a conservative account raises supervisory concerns under FINRA Rules 3110 and 3120 regarding the firm's failure to detect and prevent unsuitable margin usage.

**\*\*Quantitative Suitability:\*\*** The leveraging of \$310,000 to carry \$485,000 in positions represents a margin-to-equity ratio of approximately 56%, which is aggressive for any retail investor and grossly excessive for a 74-year-old retiree with no risk tolerance.

**\*\*Likely Regulatory Outcome:\*\*** This case would likely result in FINRA enforcement action against the advisor for unsuitable recommendations. Potential sanctions include disgorgement of commissions, restitution to the customer of approximately \$115,000 in losses plus margin interest, fines, suspension, or barring from the industry. The firm could also face supervisory failure charges for permitting margin in an account with this customer profile.

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**Item 329 of 499****NON-COMPLIANT****Topic:** options\_unsuitable**Difficulty:** hard**Fact Pattern**

Marcus Delgado, age 42, is a software engineer in Seattle, Washington, earning \$185,000 annually. He has a 401(k) with approximately \$420,000, a joint savings account with his wife containing \$95,000, and a brokerage account with \$150,000 that he opened in January 2022. On his account application, Delgado listed his investment objective as 'growth,' his risk tolerance as 'moderate,' and his investment experience as 'some experience with stocks and mutual funds' but 'no experience with options or derivatives.' He was approved for Level 1 options trading (covered calls and cash-secured puts) based on his profile. His advisor, Natalie Rourke, initially recommended a diversified portfolio of blue-chip equities and index funds, which Delgado approved. In June 2022, Rourke suggested Delgado upgrade his options approval level, telling him that 'more advanced options strategies can really accelerate your returns.' She helped him complete a new options application in which his risk tolerance was changed to 'aggressive,' his investment experience was listed as 'extensive experience with options and derivatives,' and his liquid net worth was stated as \$665,000 -- a figure that included his 401(k) and joint savings account, assets not held at the brokerage firm and not readily accessible for margin or options obligations. Based on this revised application, the firm approved Delgado for Level 4 options trading, which includes uncovered (naked) calls and puts. Between July 2022 and April 2023, Rourke recommended and executed 73 options trades in Delgado's account. The strategies included selling naked puts on volatile biotech and cryptocurrency-related stocks, buying short-dated out-of-the-money call spreads on earnings announcements, and selling naked calls on meme stocks. Commissions and fees on these trades totaled approximately \$18,200. By May 2023, Delgado had sustained realized losses of approximately \$87,000 on the options trades, reducing his brokerage account to roughly \$63,000. Additionally, in February 2023, a series of naked put positions on a biotech company were assigned after the stock dropped 40% following a failed clinical trial, requiring Delgado to purchase \$112,000 worth of stock he did not want. The firm issued a margin call for \$47,000, which Delgado covered by withdrawing funds from his joint savings account, causing a dispute with his wife. When Delgado later complained to the firm, he stated he had relied entirely on Rourke's recommendations, that he never understood the risks of naked options, and that Rourke had filled out the revised options application herself, inflating his experience and risk tolerance without his knowledge.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, the financial advisor committed multiple serious violations of applicable regulatory standards.

**\*\*Falsification of Account Documents:\*\*** The most egregious issue is the alleged falsification of Delgado's options application. Rourke changed Delgado's risk tolerance from 'moderate' to 'aggressive,' inflated his options experience from 'none' to 'extensive,' and included non-brokerage assets (401(k) and joint savings) to inflate his apparent liquid net worth to qualify him for Level 4 options approval. This constitutes a violation of FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade), which requires just and equitable principles of trade. Falsifying or materially altering customer account documents is one of the most serious violations in the securities industry and can independently result in a statutory disqualification and bar from the industry. It also potentially violates FINRA Rule 4512 (Customer Account Information), which requires that account records accurately reflect customer information.

**\*\*FINRA Rule 2360 (Options):\*\*** FINRA Rule 2360 governs options trading and requires that firms and their associated persons have a reasonable basis for believing that a customer has the knowledge and experience to understand the risks of options transactions, and that the specific options strategies recommended are suitable given the customer's financial situation, investment objectives, and experience. Delgado had no options experience. Approving him for Level 4 -- the highest and most dangerous level including naked (uncovered) options -- was inappropriate. Naked options carry theoretically unlimited risk (in the case of naked calls) and substantial risk (naked puts), making them unsuitable for a moderate-risk-tolerance investor with no derivatives experience.

**\*\*FINRA Rule 2111 (Suitability):\*\*** The 73 options trades recommended by Rourke fail all three components of suitability analysis. (1) Reasonable-basis suitability: Naked options on volatile biotech and meme stocks are inherently speculative and require sophisticated risk management; there is no reasonable basis to recommend these to any moderate-risk investor without options experience. (2) Customer-specific suitability: Delgado's actual profile -- moderate risk tolerance, growth objective, no options experience, \$150,000 in the account -- is wholly inconsistent with naked options strategies on highly volatile underlying securities. (3) Quantitative suitability: 73 options trades in 10 months generating \$18,200 in commissions on a \$150,000 account suggests potentially excessive trading, with an implied commission-to-equity ratio of over 12% annualized.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under the SEC's Regulation Best Interest, Rourke was required to satisfy the Care Obligation by exercising reasonable diligence, care, and skill, considering the customer's actual investment profile, including his true risk tolerance and lack of options experience. The Disclosure Obligation required clear disclosure of the risks of naked options strategies. The Compliance Obligation required the firm to have policies to achieve compliance with Reg BI, which were circumvented by the falsified application. The Conflict of Interest Obligation required identification and mitigation of conflicts; the \$18,200 in commissions created a financial incentive for Rourke to recommend frequent, risky options trades.

**\*\*FINRA Supervisory Obligations (Rules 3110, 3120):\*\*** The firm bears responsibility for failing to detect the discrepancies between Delgado's original account profile (moderate risk, no options experience) and the revised options application (aggressive, extensive experience). Adequate supervisory systems should have flagged this dramatic change for review.

**\*\*Likely Regulatory Outcome:\*\*** This case presents a strong basis for FINRA and/or SEC enforcement. Rourke faces potential sanctions including a permanent industry bar for falsification of records, disgorgement of all commissions (\$18,200), restitution to Delgado for his losses (approximately \$87,000 plus the \$47,000 margin call funded from personal savings), substantial fines, and possible referral for criminal prosecution depending on jurisdiction. The firm faces potential fines for supervisory failures and may be ordered to pay restitution. In a customer arbitration, Delgado would have a very strong claim for compensatory damages, and the falsification of documents could support a claim for punitive damages.

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**Item 330 of 499****NON-COMPLIANT**

**Topic:** alternative\_investments\_unsuitable

**Difficulty:** medium

**Fact Pattern**

Margaret Owens, age 72, is a retired schoolteacher living in Tallahassee, Florida. She has a fixed monthly income of \$2,800 from her pension and \$1,450 from Social Security. Her total liquid savings amount to \$285,000, held primarily in certificates of deposit and a money market account. She has no other significant assets aside from her home, valued at approximately \$180,000 with no mortgage. Margaret visited her financial advisor, Derek Stanton, in March 2023 after her husband passed away and she received a \$150,000 life insurance payout. She told Derek she wanted to keep her money safe, generate modest income to supplement her pension, and ensure she had access to funds for potential medical expenses, as she had recently been diagnosed with early-stage kidney disease requiring ongoing treatment. Her account opening documents listed her risk tolerance as conservative and her investment objective as income and capital preservation. Derek recommended that Margaret invest \$120,000 of the insurance proceeds into a non-traded real estate investment trust (REIT) with a seven-year lockup period, a 12% upfront commission and fee load, and projected but non-guaranteed annual distributions of 6%. He told Margaret it was 'like a CD but with better returns.' He also placed \$40,000 into a private equity fund of funds with a five-year lockup, a 2% annual management fee, and a 20% performance fee. In total, \$160,000 -- representing over 56% of Margaret's total liquid net worth after the insurance payout -- was placed into illiquid alternative investments. Within eight months, Margaret needed \$35,000 for medical bills related to her kidney treatment, but she was unable to access any of the funds invested in the non-traded REIT or the private equity fund. She was forced to liquidate her remaining CDs at a penalty and borrow from a family member.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Stanton violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for the customer based on their investment profile, including age, financial situation, risk tolerance, liquidity needs, investment objectives, and time horizon. This rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Under Regulation Best Interest (Reg BI), adopted by the SEC under the Securities Exchange Act of 1934, a broker-dealer must act in the retail customer's best interest at the time a recommendation is made, without placing the broker's financial interest ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation.

FINRA Regulatory Notice 12-03 specifically addresses heightened supervision requirements for complex products, including non-traded REITs and private equity funds, noting that firms must ensure customers understand the risks and

that such products align with investor profiles.

**\*\*Analysis of Violations:\*\***

1. **\*\*Customer-Specific Suitability / Care Obligation Violation:\*\*** Margaret was a 72-year-old conservative investor with a stated need for income, capital preservation, and liquidity due to a known medical condition. Placing 56% of her liquid net worth into illiquid alternative investments with multi-year lockup periods directly contradicted her stated objectives and foreseeable liquidity needs. A reasonable advisor would have recognized the mismatch.

2. **\*\*Reasonable-Basis Suitability Violation:\*\*** Non-traded REITs and private equity fund of funds are complex, illiquid products with significant fee structures and risk profiles. The 12% upfront load on the non-traded REIT immediately eroded \$14,400 of Margaret's principal. Describing the non-traded REIT as 'like a CD but with better returns' was materially misleading, as these products carry fundamentally different risk, liquidity, and return characteristics than FDIC-insured CDs.

3. **\*\*Concentration Risk:\*\*** Allocating over 56% of a conservative, elderly client's liquid assets to illiquid alternatives represents an excessive concentration that no reasonable basis could support for this investor profile.

4. **\*\*Conflict of Interest / Reg BI Conflict of Interest Obligation:\*\*** The 12% upfront commission on the REIT and the fee structure of the private equity fund suggest that Derek's recommendations were driven by his own compensation rather than Margaret's best interest.

**\*\*Likely Regulatory Outcome:\*\*** A FINRA examination or SEC examination would likely result in an enforcement action. Probable sanctions include disgorgement of commissions, restitution to Margaret for losses and costs incurred, fines against the advisor and potentially the supervising firm, and a suspension or bar from the industry. The supervising broker-dealer may also face supervisory failure charges under FINRA Rule 3110 for failing to detect and prevent the unsuitable recommendations.

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## Item 331 of 499

### NON-COMPLIANT

**Topic:** annuity\_unnecessary\_switching

**Difficulty:** easy

### Fact Pattern

Ronald Baker, age 58, is a warehouse operations manager in Indianapolis, Indiana, earning \$78,000 annually. In 2019, Ronald purchased a variable annuity through his previous advisor with an initial investment of \$200,000 from a 401(k) rollover. The annuity had a guaranteed minimum income benefit rider, a 1.35% annual mortality and expense charge, a 0.25% administrative fee, and underlying subaccount expenses averaging 0.80%. The product's surrender period was seven years, and by January 2024, Ronald was in year five of the surrender schedule, meaning a 3% surrender charge still applied. The annuity had grown to approximately \$228,000. Ronald's new financial advisor, Lisa Tran, contacted him in February 2024 and recommended he surrender the existing variable annuity and purchase a new variable annuity issued by a different insurance company. The new annuity had a 1.40% mortality and expense charge, a 0.20% administrative fee, underlying subaccount expenses averaging 0.85%, and a new seven-year surrender schedule starting from scratch. The new annuity also included a guaranteed minimum income benefit rider substantially similar to the one in his existing contract. Lisa told Ronald the new annuity had 'better fund options' but did not provide a detailed comparison of the two products' features, costs, or benefits. Ronald paid a \$6,840 surrender charge on the old annuity and invested the remaining \$221,160 into the new contract. Lisa received a 6% commission of \$13,270 on the new annuity sale. Ronald's investment objectives were listed as growth and retirement income, with a moderate risk tolerance and a planned retirement at age 65.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Lisa Tran violated applicable suitability and best interest standards by recommending an unnecessary annuity exchange (commonly referred to as 'switching' or 'twisting').

**\*\*Applicable Standards:\*\***

FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities) specifically governs recommendations to purchase or exchange deferred variable annuities. Under Rule 2330(b), before recommending an exchange, the registered representative must consider whether the customer would incur a surrender charge, be subject to a new surrender period, lose existing benefits, and whether the customer would benefit from product enhancements or improvements that justify the costs of the exchange. The representative must document the basis for the exchange recommendation.

Under Regulation Best Interest (Reg BI), the Care Obligation requires the advisor to evaluate reasonably available alternatives and ensure the recommendation is in the customer's best interest, considering costs and the absence of material net benefit. The Conflict of Interest Obligation requires the firm to identify, disclose, and mitigate conflicts, particularly compensation-driven incentives to recommend exchanges.

FINRA Rule 2111 (Suitability) also applies, requiring customer-specific suitability analysis.

**\*\*Analysis of Violations:\*\***

1. **\*\*No Material Benefit to the Customer:\*\*** The new annuity's features were substantially similar to the existing annuity. The mortality and expense charges were slightly higher (1.40% vs. 1.35%), the subaccount expenses were slightly higher (0.85% vs. 0.80%), and the guaranteed income rider was comparable. Lisa's vague assertion of 'better fund options' was not supported by any documented comparison or analysis showing material improvement.
2. **\*\*Tangible Financial Harm from the Switch:\*\*** Ronald incurred a \$6,840 surrender charge on the old annuity, immediately reducing his invested principal. He also restarted a new seven-year surrender schedule, effectively extending his illiquidity period by approximately five years beyond what remained on his original contract. This is particularly harmful given his planned retirement at age 65, only seven years away, meaning he would still be within the new surrender period at retirement.
3. **\*\*Compensation-Driven Motivation:\*\*** Lisa received \$13,270 in commission on the new annuity. The combination of substantial advisor compensation and no demonstrable client benefit strongly suggests the recommendation was driven by the advisor's financial interest rather than the customer's.
4. **\*\*Failure to Conduct and Document Required Analysis:\*\*** Under FINRA Rule 2330, Lisa was required to consider and document the specific factors weighing for and against the exchange, including surrender charges, new surrender periods, loss of benefits, and net cost comparison. The fact pattern indicates no such analysis was performed or shared with the customer.

**\*\*Likely Regulatory Outcome:\*\*** FINRA would likely bring an enforcement action for violations of Rules 2330 and 2111. The SEC could also pursue a Reg BI violation. Likely sanctions include restitution to Ronald for the surrender charge and any cost differential, disgorgement of Lisa's commission, monetary fines, and a potential suspension. The supervising firm could face additional charges under FINRA Rule 3110 for failure to adequately supervise the annuity exchange, as firms are required to have principal review and approval procedures specifically for variable annuity exchanges under Rule 2330(c).

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## Item 332 of 499

### NON-COMPLIANT

**Topic:** private\_placements\_unsuitable

**Difficulty:** medium

### Fact Pattern

Margaret Chen, age 72, is a retired schoolteacher in Portland, Oregon, with an annual pension income of \$42,000 and Social Security benefits of \$22,800. Her total liquid net worth is approximately \$310,000, held primarily in a traditional IRA rollover from her former employer's 403(b) plan. Margaret has no other significant assets aside from her home, which is paid off and valued at \$385,000. She described herself as a conservative investor during her account opening in January 2022, stating her primary objectives were capital preservation and generating supplemental income to cover rising healthcare costs. She told her advisor, Daniel Farris, that she had never invested in anything beyond mutual funds and certificates of deposit throughout her career. In March 2022, Farris recommended that Margaret invest \$175,000 -- roughly 56% of her liquid net worth -- into two private placement offerings: \$100,000 in a Regulation D oil and gas exploration limited partnership and \$75,000 in a private real estate development fund targeting ground-up construction of luxury condominiums in Miami. The oil and gas partnership carried a minimum five-year lockup with no redemption provisions, required investors to meet accredited investor thresholds, and disclosed in its offering memorandum a "high risk of total loss of capital" and projected distributions that were speculative and contingent on successful drilling results. The real estate fund had a seven-year projected hold period, a 12% upfront placement fee (of which Farris's firm retained 8%), and disclosed significant leverage of up to 80% loan-to-value on the underlying properties. Farris documented on his internal recommendation form that Margaret's risk tolerance was "moderate-aggressive" and that she had "some experience with alternative investments," neither of which Margaret had ever stated. By late 2023, the oil and gas partnership had suspended distributions after two unsuccessful wells, and the real estate fund had delayed its project timeline by at least 18 months due to construction cost overruns, with the fund manager warning investors of potential capital impairment. Margaret, now 73 and facing a \$14,000 out-of-pocket medical expense, was unable to access any of the \$175,000 she had invested.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Daniel Farris violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and other information disclosed by the customer.
2. **\*\*Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934:\*\*** If Farris made these recommendations after June 30, 2020, he was subject to Reg BI, which requires broker-dealers to act in the retail customer's best interest at the time a recommendation is made, without placing the advisor's financial interest ahead of the customer's. This includes the Care Obligation (reasonable diligence, care, and skill in making recommendations), the Disclosure Obligation (material facts about conflicts of interest), and the Conflict of Interest Obligation.

3. **FINRA Rule 2010 (Standards of Commercial Honor):** Falsifying customer records regarding risk tolerance and investment experience constitutes a violation of ethical standards.

4. **FINRA Rule 2111.05(a) (Reasonable-Basis Suitability):** The advisor must understand the risks and features of the products recommended. Given the highly speculative nature of both investments, recommending them to a 72-year-old conservative retiree fails this prong.

**Analysis of Violations:**

- **Customer-Specific Suitability Violation:** Margaret is a 72-year-old retiree with limited income, conservative risk tolerance, capital preservation objectives, no experience with alternative investments, and a liquid net worth of only \$310,000. Concentrating 56% of her liquid assets in illiquid, high-risk private placements with five- to seven-year lockups is fundamentally inconsistent with her stated objectives, time horizon, and liquidity needs.

- **Quantitative Unsuitability / Concentration:** Allocating over half of a conservative retiree's liquid portfolio to speculative, illiquid alternatives is excessive by any reasonable standard. FINRA has consistently found that concentrations above 25-30% in illiquid alternative products are problematic even for moderate-risk investors; 56% for a conservative retiree with no other liquid resources is egregious.

- **Conflict of Interest:** The 12% upfront placement fee on the real estate fund, of which Farris's firm retained 8%, created a significant financial incentive to recommend this product. Under Reg BI's Conflict of Interest Obligation, Farris was required to identify, disclose, and mitigate this conflict. The high commission appears to have driven the recommendation rather than the customer's needs.

- **Falsification of Records:** Farris documented Margaret's risk tolerance as "moderate-aggressive" and noted "some experience with alternative investments" when Margaret had stated she was conservative and had never invested beyond mutual funds and CDs. This is a separate violation of FINRA Rule 2010 and FINRA Rule 4511 (books and records requirements), and it suggests an intentional effort to manufacture a paper trail justifying an unsuitable recommendation.

- **Accredited Investor Concerns:** The oil and gas partnership required accredited investor status. With a \$42,000 pension, \$22,800 in Social Security, and \$310,000 in liquid assets, Margaret likely did not meet the accredited investor thresholds (\$200,000 annual income or \$1 million net worth excluding primary residence), raising additional concerns about whether Farris misrepresented her financial profile to the issuers.

**Likely Regulatory Outcome:** Farris would likely face FINRA enforcement action resulting in significant fines, disgorgement of commissions, restitution to Margaret, and a potential suspension or bar from the securities industry. The falsification of customer records elevates this from a suitability violation to potential fraud. Margaret would also likely prevail in a FINRA arbitration claim seeking full recovery of her invested capital plus damages.

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## Item 333 of 499

### NON-COMPLIANT

**Topic:** variable\_annuity\_unsuitable

**Difficulty:** hard

### Fact Pattern

Robert and Sandra Whitfield, ages 58 and 55 respectively, are a married couple living in suburban Atlanta. Robert works as a regional sales manager earning \$135,000 per year, and Sandra is a part-time physical therapist earning \$48,000 annually. Their combined liquid investment portfolio totals approximately \$620,000, split between Robert's 401(k) (\$380,000), Sandra's IRA (\$95,000), and a joint taxable brokerage account (\$145,000). They have two children -- one in her senior year of college with \$28,000 in remaining tuition obligations, and a younger child starting college in the fall of 2023 with an estimated four-year cost of \$120,000. During their initial consultation with advisor Kevin Park in February 2023, the Whitfields explicitly stated three priorities: (1) ensuring liquidity to cover their children's remaining college expenses over the next four years, (2) preserving their retirement savings given Robert's desire to retire at 63, and (3) avoiding any investment where they couldn't access their money within one to two years if needed. Park recommended that the Whitfields liquidate \$140,000 from their joint taxable brokerage account and invest the entire amount into a variable annuity issued by National Guaranteed Life Insurance Company. The annuity carried a seven-year declining surrender charge schedule starting at 7% in year one and declining to 1% in year seven, an annual mortality and expense charge of 1.35%, an administrative fee of 0.15% annually, and underlying sub-account expense ratios averaging 0.85%. The total annual cost of the annuity was approximately 2.35%. Park also recommended an optional guaranteed minimum income benefit rider at an additional annual cost of 0.95%, bringing the all-in annual cost to approximately 3.30%. Park emphasized the tax-deferred growth benefit of the annuity during his presentation. He did not discuss the fact that the Whitfields' joint brokerage account already contained predominantly index funds with an average expense ratio of 0.08%, or that the annuity's surrender charges would effectively lock up \$140,000 for seven years -- precisely the period during which the Whitfields had stated they would need access to these funds for college expenses. Park also did not mention that withdrawals from a variable annuity prior to age 59½ would be subject to a 10% federal tax penalty in addition to ordinary income taxes, which was relevant for Sandra, who was 55. Park earned a 6.5% commission (\$9,100) on the sale. The Whitfields signed the contract in March 2023. By September 2023, when tuition bills arrived for both children simultaneously, the couple discovered they would face a \$9,800 surrender charge to access \$140,000 from the annuity, plus tax penalties on any gains. They were forced to take out a parent PLUS loan at 7.05% interest to cover the tuition shortfall.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Kevin Park violated both suitability requirements and the best interest standard through this variable annuity recommendation. This scenario involves multiple overlapping failures.

**\*\*Applicable Standards:\*\***

1. **\*\*Regulation Best Interest (Reg BI):\*\*** As a broker-dealer representative making a recommendation to retail customers after June 30, 2020, Park was subject to Reg BI, which requires him to act in the retail customer's best interest at the time of the recommendation. Reg BI includes four component obligations: Disclosure, Care, Conflict of Interest, and Compliance.

2. **FINRA Rule 2111 (Suitability):** Requires reasonable-basis, customer-specific, and quantitative suitability for all recommendations.

3. **FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities):** This rule imposes specific obligations for variable annuity recommendations, including that the member or associated person have a reasonable basis to believe the transaction is suitable based on the customer's investment profile AND that the customer has been informed of the material features of the annuity, including surrender charges, potential tax penalties, mortality and expense charges, and other fees.

4. **FINRA Regulatory Notice 12-25:** Provides additional guidance on variable annuity suitability, emphasizing that advisors must consider the customer's liquidity needs, time horizon, and whether the tax-deferred feature provides meaningful benefit given the customer's specific circumstances.

**Detailed Analysis of Violations:**

**A. Care Obligation / Customer-Specific Suitability (FINRA Rule 2111.05(b) and Reg BI Care Obligation):**

The Whitfields expressly stated three investment priorities, all of which this recommendation contradicts:

- **Liquidity Need:** They stated they needed access to funds within one to two years for college expenses totaling approximately \$148,000. The variable annuity imposed a seven-year surrender charge schedule, directly conflicting with this stated need. Under FINRA Rule 2330(b)(1)(A), the advisor must consider whether the customer would benefit from the annuity's features, including the surrender period, in light of their liquidity needs.
- **Time Horizon Mismatch:** The Whitfields' need for this specific pool of money was immediate to near-term (one to four years). Variable annuities are designed as long-term retirement savings vehicles. Recommending one for assets earmarked for near-term expenses is inherently unsuitable.
- **Capital Preservation Goal:** The all-in cost of 3.30% annually creates a significant drag on returns, making capital preservation more difficult compared to the existing index fund portfolio at 0.08%.

**B. Disclosure Obligation Failure (Reg BI Disclosure Obligation and FINRA Rule 2330):**

Park failed to disclose several material facts:

- He did not inform the Whitfields that surrendering the annuity within seven years would result in significant penalty charges.
- He did not disclose that Sandra, at age 55, would face a 10% federal early withdrawal penalty on gains if she accessed annuity funds before age 59½.
- He did not compare the annuity's 3.30% annual cost to the 0.08% cost of their existing index fund portfolio, a 41-fold cost increase.
- He emphasized tax-deferred growth without discussing whether this benefit was meaningful given the short time horizon and existing tax-advantaged accounts (401(k) and IRA) already in the household.

**C. Conflict of Interest Obligation (Reg BI):**

Park earned a \$9,100 commission (6.5%) on this sale. The high commission created a material conflict of interest that Park was required to identify, disclose, and mitigate. The fact that he recommended liquidating low-cost index funds (generating minimal ongoing revenue) to purchase a high-commission annuity strongly suggests the recommendation



was driven by his financial interest rather than the customers' needs. Under Reg BI, Park was required to not place his financial interest ahead of the customers' interest.

**\*\*D. Reasonable-Basis Suitability (FINRA Rule 2111.05(a)):\*\***

Even setting aside the customer-specific issues, no reasonable advisor could conclude that replacing a 0.08% expense ratio portfolio with a 3.30% annual cost variable annuity serves a legitimate investment purpose for a couple with a one-to-four-year time horizon for these specific funds.

**\*\*E. FINRA Rule 2330 Specific Violations:\*\***

This rule requires that before recommending a variable annuity purchase, the advisor must make reasonable efforts to obtain information about the customer's liquidity needs, existing insurance holdings, and other relevant factors, and must have a reasonable basis to believe the recommendation is suitable. The rule also requires a principal review of the transaction before execution. If Park's firm approved this transaction, the firm may also face supervisory liability under FINRA Rule 3110.

**\*\*Likely Regulatory Outcome:\*\***

This case presents a strong enforcement matter for FINRA. The combination of an explicit liquidity need contradicted by a long-surrender-period product, failure to disclose material costs and penalties, and a high commission creating an obvious conflict would likely result in:

- Disgorgement of the \$9,100 commission
- Restitution to the Whitfields for surrender charges incurred, excess costs paid, interest on the PLUS loan attributable to the liquidity shortfall, and any tax penalties
- A fine against Park and potentially against his supervising firm
- A suspension of 30-90 days or longer depending on Park's disciplinary history
- Potential enhanced sanctions if the falsification of any suitability documentation is discovered

In FINRA arbitration, the Whitfields would likely recover full compensatory damages including the surrender charges, the cost differential between the annuity and their prior investments, any early withdrawal tax penalties, and the interest costs on the PLUS loan they were forced to obtain.

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**Item 334 of 499****NON-COMPLIANT****Topic:** illiquid\_investments**Difficulty:** medium**Fact Pattern**

Margaret Dawson, age 74, is a retired elementary school teacher living in Columbus, Ohio. Her sole income consists of a monthly pension of \$2,800 and Social Security payments of \$1,650 per month, totaling approximately \$53,400 annually. She has \$410,000 in retirement savings, a paid-off home valued at \$185,000, and no other significant assets. Her stated investment objectives on her account application were income generation and capital preservation, and her risk tolerance was marked as conservative. She indicated on her new account form that she might need access to a significant portion of her savings within the next two to three years to fund potential assisted living expenses, as she had recently been diagnosed with early-stage Parkinson's disease. In March 2023, her financial advisor, Derek Simmons, recommended she invest \$290,000--roughly 71% of her liquid retirement savings--into three non-traded real estate investment trusts (REITs). The products carried upfront commissions averaging 7%, resulting in approximately \$20,300 in commissions paid to Simmons. Each REIT prospectus disclosed a minimum expected holding period of seven to ten years, with no established secondary market and limited redemption provisions that were subject to board discretion and quarterly caps. Simmons told Margaret that the REITs would provide 'steady monthly income just like a CD, but with better returns,' and that she could 'get her money back whenever she needed it.' He did not discuss the illiquidity features, redemption limitations, or the substantial upfront cost load with her. Within eight months, Margaret's Parkinson's symptoms progressed faster than expected, and her family sought to liquidate the REIT positions to fund her move to an assisted living facility costing \$6,500 per month. Redemption requests were denied by two of the three REIT sponsors due to quarterly redemption caps being met, and the third offered a buyback at 92 cents on the dollar. Margaret's family was forced to take out a home equity loan to cover her care expenses while waiting for potential future redemption windows.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Simmons violated both FINRA's suitability requirements under Rule 2111 and the best interest standard under Regulation Best Interest (Reg BI). Multiple dimensions of these standards were breached.

**\*\*FINRA Rule 2111 - Suitability:\*\***

1. **\*Reasonable-Basis Suitability:\*** While non-traded REITs are legitimate products, an advisor must understand the material features before recommending them. Simmons misrepresented the liquidity characteristics by comparing the REITs to CDs and claiming Margaret could access her money whenever she needed it. This suggests he either did not understand the products or deliberately mischaracterized them.

2. **\*Customer-Specific Suitability:\*** Margaret was a 74-year-old conservative investor with limited income, a diagnosed progressive illness, and a clearly stated near-term liquidity need within two to three years. Allocating 71% of her liquid savings to products with seven-to-ten-year holding periods and severely restricted redemption features is fundamentally incompatible with her stated objectives, time horizon, and financial situation. FINRA has consistently found that high concentrations of illiquid alternative investments are unsuitable for elderly investors with near-term liquidity needs.

3. **\*Quantitative Suitability:** The \$290,000 concentration in a single illiquid product category, representing nearly three-quarters of her liquid net worth, is excessive by any reasonable measure for this customer profile.

**\*\*Regulation Best Interest (Reg BI):\*\***

1. **\*Care Obligation:** Reg BI requires a broker-dealer and its associated persons to exercise reasonable diligence, care, and skill in making recommendations. The advisor failed to consider Margaret's specific financial situation, particularly her diagnosed illness and expressed need for liquidity. The recommendation placed the advisor's interest in earning \$20,300 in commissions ahead of the customer's interest in capital preservation and liquidity.

2. **\*Disclosure Obligation:** Simmons failed to disclose material facts about the products, including their illiquidity, limited redemption provisions, and the 7% upfront commission load. His affirmative misstatements about the products being like CDs with easy access compounded this failure.

3. **\*Conflict of Interest Obligation:** The 7% upfront commission created a significant financial incentive to recommend these products over more liquid income-generating alternatives (e.g., Treasury securities, investment-grade bond funds, or even traded REITs with far lower costs). There is no indication this conflict was identified, disclosed, or mitigated.

**\*\*Additional Concerns:\*\*** Simmons's oral representations contradicting the prospectus disclosures likely also constitute a violation of FINRA Rule 2210 (communications with the public) and potentially fraud under the antifraud provisions. His statements that Margaret could 'get her money back whenever she needed it' were materially misleading.

**\*\*Likely Regulatory Outcome:\*\*** This case presents strong grounds for a FINRA enforcement action or customer arbitration claim. Likely outcomes include disgorgement of commissions, restitution to the customer for losses and consequential damages, a fine, a suspension of 12-24 months or longer, and potential barring from the industry given the vulnerability of the customer. In arbitration, compensatory damages would likely include the difference between the amount invested and amounts recovered, plus consequential damages related to the forced home equity borrowing.

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**Item 335 of 499****NON-COMPLIANT****Topic:** inappropriate\_risk\_profile**Difficulty:** hard**Fact Pattern**

Ronald and Patricia Chen, ages 62 and 59 respectively, are a married couple in San Diego, California. Ronald is a semi-retired civil engineer who works part-time earning \$45,000 annually; Patricia is a full-time office manager earning \$58,000. Together they have \$780,000 in combined retirement accounts (401(k) and IRAs), \$95,000 in a joint brokerage account, \$40,000 in savings, and a home valued at \$620,000 with a remaining mortgage of \$110,000. Both plan to fully retire within four years. On their most recent account documentation updated in January 2023, both indicated a moderate risk tolerance, with investment objectives listed as growth and income with a shift toward capital preservation as retirement approaches. Their advisor, Landon Price, had been their advisor for six years with no prior issues. In February 2023, Price attended an all-expenses-paid conference in Scottsdale, Arizona, hosted by Apex Global Strategies, a fund company specializing in leveraged sector-concentrated exchange-traded products focused on emerging market technology companies. At the conference, Apex announced a new incentive program offering advisors an additional 45 basis points in trailing compensation on all assets placed into their flagship product, the Apex Emerging Tech Leveraged Fund, which uses 2x daily leverage on a concentrated basket of 22 emerging market technology stocks. The fund's expense ratio is 1.85%, and its prospectus discloses that it is designed for short-term tactical trading and is not intended as a long-term holding. Upon returning, Price contacted 38 clients, including the Chens, recommending a significant portfolio restructuring. For the Chens, Price recommended liquidating their diversified holdings in the \$95,000 joint brokerage account--which had consisted of a mix of large-cap equity index funds, intermediate-term bond funds, and a small allocation to international developed market equities--and reinvesting the entire amount into the Apex Emerging Tech Leveraged Fund. He also recommended rolling \$320,000 from Ronald's 401(k) into an IRA and investing it entirely in the same Apex fund, bringing total exposure to \$415,000, or approximately 53% of their investable assets. Price told the Chens the fund was 'the next big opportunity in tech' and that emerging markets were 'guaranteed to outperform over the next decade.' He did not mention the 2x leverage, the product's design as a short-term trading vehicle, the 1.85% expense ratio relative to their prior holdings averaging 0.12%, or his additional compensation from Apex. He updated their risk profile in the system to 'aggressive growth' without discussing the change with the Chens, and the Chens were not asked to sign or acknowledge any updated risk tolerance questionnaire. By November 2023, the Apex fund had declined 47% due to a combination of emerging market sell-offs and the compounding decay effects inherent in daily-leveraged products held over months. The Chens' \$415,000 position was worth approximately \$220,000, a loss of roughly \$195,000. When confronted, Price told them the market would 'bounce back' and advised them to hold. The Chens filed a complaint with Price's firm in December 2023.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Landon Price committed multiple serious violations across several regulatory frameworks. This is an egregious case involving unauthorized risk profile alteration, undisclosed conflicts of interest, misrepresentation, and a fundamentally unsuitable recommendation.

**\*\*FINRA Rule 2111 - Suitability:\*\***

1. **\*Reasonable-Basis Suitability:\*** A leveraged ETF designed for short-term tactical trading is not suitable as a long-term core portfolio holding for virtually any retail investor. The product's own prospectus states it is not intended for buy-and-hold strategies. The compounding and decay effects of daily-leveraged products over extended holding periods are well-documented. Price either did not understand these features or ignored them, both of which fail reasonable-basis suitability.
2. **\*Customer-Specific Suitability:\*** The Chens are a couple in their late 50s and early 60s, planning to retire within four years, with moderate risk tolerance and a stated objective of transitioning toward capital preservation. Concentrating 53% of their investable assets in a single 2x leveraged emerging market technology fund is diametrically opposed to their documented profile, time horizon, and objectives. Even an aggressive investor nearing retirement would find this concentration excessive.
3. **\*Quantitative Suitability:\*** The 53% concentration in a single high-risk leveraged product, combined with the 1.85% expense ratio (versus their prior 0.12% average), renders the recommendation quantitatively unsuitable. The cost differential alone--approximately \$7,250 annually in additional expenses on the \$415,000 position--would significantly erode returns.

**\*\*Regulation Best Interest (Reg BI):\*\***

1. **\*Care Obligation:\*** Price failed to exercise reasonable diligence, care, and skill. He recommended a product fundamentally mismatched to the customers' profile, concentrated their portfolio in a single high-risk holding, and ignored the customers' approaching retirement. The recommendation was driven by Price's financial incentive (the 45 bps trailing compensation from Apex), not the customers' interests.
2. **\*Disclosure Obligation:\*** Price failed to disclose (a) the 2x leverage feature, (b) the product's short-term design, (c) the significantly higher expense ratio, and (d) his additional compensation from Apex. Each of these is a material fact that a reasonable investor would consider important in making an investment decision. His affirmative misrepresentations--calling it 'the next big opportunity' and stating emerging markets were 'guaranteed to outperform'--compound the disclosure failures.
3. **\*Conflict of Interest Obligation:\*** The 45 basis points in additional trailing compensation from Apex created a direct financial incentive for Price to recommend this specific product. This conflict was neither identified, disclosed, nor mitigated. The fact that Price contacted 38 clients after the conference strongly suggests the recommendations were driven by compensation rather than individual client analysis.

**\*\*Unauthorized Risk Profile Alteration:\*\*** Price changed the Chens' risk profile from moderate to 'aggressive growth' in the firm's system without their knowledge, consent, or participation. This is a serious supervisory and compliance concern. Under FINRA Rules 4511 and 2010 (standards of commercial honor and just and equitable principles of trade), falsifying or unilaterally altering customer account records is a standalone violation. The alteration appears designed to make the recommendation appear consistent with the customer's profile, which constitutes a form of after-the-fact rationalization and potential fraud.

**\*\*FINRA Rule 2210 - Communications with the Public:\*\*** Price's statement that emerging markets were 'guaranteed to outperform' is a prohibited guarantee of future performance and constitutes a misleading communication.

**\*\*FINRA Rule 2010 - Standards of Commercial Honor:\*\*** The totality of Price's conduct--undisclosed conflicts, misrepresentations, falsified records, and self-interested recommendations--violates the just and equitable principles of trade.

**\*\*Additional Considerations:\*\*** The Apex conference itself raises questions about whether the incentive program constitutes a sales contest or special incentive prohibited under FINRA's rules regarding non-cash compensation arrangements (FINRA Rules 3221 and 2310(c) for variable products, and related guidance). The firm's supervisory systems should have flagged the risk profile change, the concentration in a leveraged product, and the pattern of 38 clients being moved into the same product in a short timeframe.

**\*\*Likely Regulatory Outcome:\*\*** This case would likely result in significant sanctions. For Price individually: disgorgement of all enhanced compensation received from Apex, restitution to the Chens (and potentially 37 other affected clients), substantial fines, and a lengthy suspension or industry bar given the intentional falsification of records and pattern of misconduct. The firm may face supervisory failure charges if its systems failed to detect or flag the risk profile change, the concentration, or the pattern of recommendations. In customer arbitration, the Chens would have strong grounds for full compensatory damages of approximately \$195,000, plus potential consequential damages and attorneys' fees.

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**Item 336 of 499****NON-COMPLIANT****Topic:** tax\_deferred\_unnecessary\_annuity**Difficulty:** medium**Fact Pattern**

Margaret Shelton, age 58, is a public school teacher in Ohio earning \$62,000 per year. She had been contributing to her employer-sponsored 403(b) plan for 22 years and had accumulated approximately \$410,000 in the plan. In March 2023, she attended a financial planning seminar hosted by advisor Derek Quinlan at a local hotel. During a subsequent one-on-one meeting, Quinlan recommended that Margaret roll over her entire 403(b) balance into a variable annuity with a guaranteed minimum income benefit rider. The variable annuity carried a mortality and expense charge of 1.35%, an administrative fee of 0.15%, underlying fund expenses averaging 0.85%, and the income rider cost an additional 1.00% annually -- bringing total annual costs to approximately 3.35%, or roughly \$13,735 per year. The annuity also had a seven-year surrender charge schedule starting at 7% and declining by 1% per year. Margaret told Quinlan that she planned to retire at 62 and wanted safe, steady growth with low fees. Her existing 403(b) offered a diversified menu of low-cost index funds with expense ratios averaging 0.08%, and she had no need for additional tax deferral since the 403(b) was already tax-deferred. Quinlan earned a \$24,600 commission (6% of the rolled-over amount) on the sale. He did not discuss the fact that the 403(b) already provided tax-deferred growth, nor did he compare the cost differential between keeping her money in the existing plan versus the annuity. Margaret's only other savings consisted of \$18,000 in a bank savings account. Two years later, after paying approximately \$27,000 in cumulative annuity fees, Margaret's account had grown to only \$415,000 despite favorable market conditions. She consulted another advisor who pointed out that had she remained in her low-cost 403(b) index funds, her balance would have been approximately \$490,000 based on market performance during that period.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Quinlan violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

If Quinlan was a registered representative of a broker-dealer, Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934 applied. Reg BI's Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs associated with a recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. FINRA Rule 2111 (Suitability) also applies, requiring that recommendations have a reasonable basis, be customer-specific suitable, and that quantitative suitability is maintained.

Additionally, FINRA Rule 2330 specifically governs variable annuity transactions and requires that the representative have a reasonable basis to believe: (a) the customer has been informed of the features of deferred variable annuities, (b) the customer would benefit from certain features of the annuity that are not otherwise available, (c) the particular annuity is suitable, and (d) for exchange or replacement transactions, the transaction is suitable after considering whether the customer would be subject to surrender charges, losing existing benefits, or incurring new fees.

**\*\*Analysis of Violations:\*\***

1. **\*\*No Tax-Deferral Benefit:\*\*** The primary tax advantage of an annuity -- tax-deferred growth -- was entirely redundant here. Margaret's 403(b) already provided tax-deferred growth. Wrapping a tax-deferred account inside another tax-deferred vehicle added cost with zero incremental tax benefit. This is a classic marker of an unsuitable annuity recommendation.
2. **\*\*Excessive Costs:\*\*** The annuity's total annual expense of approximately 3.35% was roughly 42 times the cost of her existing 403(b) index fund options (0.08%). Over a projected retirement horizon, this cost differential would erode hundreds of thousands of dollars in wealth. Quinlan failed to perform any cost-benefit comparison.
3. **\*\*Surrender Charges and Illiquidity:\*\*** The seven-year surrender schedule locked Margaret into the product during the critical years leading up to her planned retirement at age 62. This directly conflicted with her stated need for accessible, steady growth as she approached retirement.
4. **\*\*Commission-Driven Motivation:\*\*** The \$24,600 upfront commission suggests the recommendation was driven by compensation rather than Margaret's financial interests, implicating Reg BI's Conflict of Interest Obligation, which requires disclosure and mitigation of conflicts.
5. **\*\*Failure to Consider Reasonable Alternatives:\*\*** Under Reg BI's Care Obligation, Quinlan was required to consider reasonably available alternatives. Keeping the money in the existing low-cost 403(b) was a clearly superior option that he never discussed.

**\*\*Likely Regulatory Outcome:\*\*** A FINRA examination or customer complaint would likely result in findings of unsuitable annuity replacement under FINRA Rule 2330, violation of Reg BI's Care and Conflict of Interest Obligations, and potentially FINRA Rule 2111 suitability violations. Remedies could include disgorgement of commissions, restitution to Margaret for the cost differential and lost investment gains (approximately \$75,000+), a fine against the firm, and suspension or bar for the representative. The firm's supervisory system would also face scrutiny under FINRA Rule 3110 for failing to flag an obvious red-flag transaction -- a tax-deferred-to-annuity rollover with dramatically higher costs.

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## Item 337 of 499

### NON-COMPLIANT

**Topic:** speculative\_for\_conservative\_investor

**Difficulty:** hard

### Fact Pattern

Dorothy Ennis, age 74, was widowed in January 2022 after 51 years of marriage. Her husband had managed all of the couple's investments, and Dorothy had limited experience with financial markets. Her total assets consisted of \$685,000 in a joint brokerage account that transferred to her name upon her husband's death, \$120,000 in a money market account, and Social Security income of \$2,350 per month. She had no pension and no other income sources. In April 2022, she met with registered representative Craig Noonan, who had been introduced to her by a friend at her church. Dorothy told Noonan that she was worried about outliving her money, that she needed income to cover her monthly expenses of approximately \$4,200, and that she could not afford to lose her savings. On her new account form, her risk tolerance was marked as 'conservative,' her investment objective was listed as 'income and preservation of capital,' her time horizon was listed as '5-10 years,' and her liquid net worth was \$805,000.

Despite this profile, over the next 14 months (April 2022 through June 2023), Noonan executed 347 transactions in Dorothy's account. He concentrated approximately 60% of her portfolio in leveraged ETFs, small-cap biotech stocks, cryptocurrency-related equities, and options positions. He frequently bought and sold positions within days, sometimes holding stocks for fewer than 48 hours. During this period, the account generated \$87,400 in commissions and \$14,200 in margin interest charges. Dorothy's account value declined from \$685,000 to \$298,000 -- a loss of \$387,000, or approximately 56.5%. The total cost-to-equity ratio for the account was approximately 14.8%, and the annualized turnover rate was approximately 28 times.

Dorothy did not understand the trades being made and relied entirely on Noonan's judgment. She received monthly statements but testified that she did not know how to read them and trusted Noonan to act in her interest. On three occasions, Noonan called Dorothy to inform her of 'exciting opportunities' in pre-revenue biotech companies and convinced her to authorize the trades. He never discussed the risks of leveraged products, options, or concentrated sector bets. He also placed her account on margin without explaining the implications, increasing her exposure and losses. By July 2023, Dorothy was unable to cover her monthly expenses from investment income and had begun withdrawing principal from her remaining balance to pay for groceries and medical bills.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Craig Noonan egregiously violated multiple applicable suitability and best interest standards. This fact pattern involves churning, unsuitable recommendations, and potential elder financial exploitation.

**\*\*Applicable Standards and Violations:\*\***

**\*\*1. FINRA Rule 2111 -- Suitability (All Three Components):\*\***

- **\*Reasonable-Basis Suitability:** Noonan lacked any reasonable basis to believe that leveraged ETFs, speculative biotech stocks, cryptocurrency equities, and options strategies were suitable for any 74-year-old conservative widow

dependent on her portfolio for living expenses. These products carry extreme volatility and risk of total loss.

- **\*Customer-Specific Suitability:** Dorothy's documented profile -- conservative risk tolerance, income and capital preservation objectives, 5-10 year time horizon, limited investment knowledge, and dependence on her portfolio for basic living expenses -- is fundamentally incompatible with speculative, high-risk, high-turnover trading. Every dimension of her profile pointed toward high-quality bonds, dividend-paying equities, or similar conservative income-producing investments.

- **\*Quantitative Suitability (Churning):** The account metrics are textbook churning indicators. A turnover rate of approximately 28 times annually far exceeds the threshold of 6 that regulators and courts have consistently used as presumptive evidence of excessive trading. The cost-to-equity ratio of 14.8% means Dorothy's account needed to generate nearly 15% in returns just to break even after costs -- an unreasonable hurdle for any account, let alone a conservative one. Total commissions and margin interest of \$101,600 consumed approximately 14.8% of her original account value in just 14 months.

**\*\*2. Regulation Best Interest (Reg BI) -- Care Obligation:\*\***

Under Reg BI, Noonan was required to exercise reasonable diligence, care, and skill in making recommendations, consider reasonably available alternatives, and ensure that the recommendation was in Dorothy's best interest without placing his own financial interest ahead of hers. He failed on every count. The pattern of excessive trading generating \$87,400 in commissions demonstrates that Noonan placed his compensation interest above Dorothy's welfare. He failed to consider obvious alternatives such as a diversified portfolio of investment-grade bonds, Treasury securities, and blue-chip dividend stocks that would have generated the income Dorothy needed while preserving capital.

**\*\*3. Reg BI -- Conflict of Interest Obligation:\*\***

Noonan's commission-based compensation created an obvious conflict of interest. Each trade generated revenue for him at Dorothy's expense. He was required to disclose and mitigate this conflict. Instead, he exploited it by maximizing trading frequency.

**\*\*4. FINRA Rule 2010 -- Standards of Commercial Honor:\*\***

Churning a widowed senior's life savings constitutes conduct inconsistent with just and equitable principles of trade, violating FINRA Rule 2010.

**\*\*5. FINRA Rule 2360 / Options:\*\***

If options were traded, FINRA requires that options accounts be approved based on customer suitability and that the customer understand the risks. Dorothy's profile would not have qualified for options trading under any reasonable supervisory review.

**\*\*6. Margin:\*\***

Placing a conservative, elderly, income-dependent client on margin without adequate disclosure of the risks -- including the potential for losses exceeding the account balance -- violates both suitability requirements and Reg BI's disclosure obligations.

**\*\*7. De Facto Control and Fiduciary Considerations:\*\***

Although the account may have been nominally non-discretionary, the facts suggest Noonan exercised de facto control. Dorothy did not understand the trades, could not read her statements, and relied entirely on Noonan's judgment. When a broker exercises de facto control over a customer's account, a fiduciary duty attaches, and the broker is held to an even higher standard.

**\*\*8. Elder Financial Exploitation:\*\***

Many states have adopted statutes addressing financial exploitation of seniors. The pattern of depleting a 74-year-old

widow's life savings through incomprehensible speculative trading may also trigger mandatory reporting obligations under FINRA Rule 2165 and state elder abuse statutes.

**\*\*Likely Regulatory Outcome:\*\***

This case would likely result in severe sanctions. FINRA arbitration panels have awarded full compensatory damages in similar churning cases, which here would be approximately \$387,000 in market losses plus \$101,600 in excessive costs, potentially totaling close to \$490,000 or more when including well-managed account comparisons. Punitive damages and attorneys' fees are also possible in egregious cases. On the regulatory side, Noonan would likely face a FINRA bar from the securities industry, substantial fines, and disgorgement of commissions. The employing firm would face scrutiny under FINRA Rules 3110 and 3120 for supervisory failures -- specifically, failure to detect and act upon red flags including extreme turnover rates, cost-to-equity ratios, concentration in speculative products in a conservative account, and margin usage by an elderly client with a conservative profile. The firm could face significant fines and be ordered to pay restitution.

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**Item 338 of 499****NON-COMPLIANT****Topic:** market\_timing\_unsuitable**Difficulty:** medium**Fact Pattern**

Gerald Whitfield, age 71, is a retired postal worker living in Tucson, Arizona, with an annual pension income of \$38,000 and Social Security benefits of \$22,000. His total liquid savings amount to approximately \$310,000, held primarily in a traditional IRA that represents his life savings. Gerald has a conservative risk tolerance, having told his advisor repeatedly that his primary goal is capital preservation and generating modest income to supplement his pension and Social Security. He has no prior experience with active trading strategies and describes himself as someone who prefers 'safe investments like CDs.' In March 2022, his financial advisor, Derek Nunez, recommended that Gerald adopt a market-timing strategy involving Class A mutual fund shares across four different fund families. Over the next 14 months, Derek executed 47 round-trip transactions in Gerald's IRA, rotating between large-cap equity funds, international equity funds, and bond funds based on Derek's personal macroeconomic predictions. Each purchase of Class A shares involved front-end sales charges averaging 4.75%. The cumulative front-end loads paid by Gerald over this period totaled approximately \$41,200. Gerald's account value declined from \$310,000 to \$243,500 -- a loss of \$66,500 -- due to the combination of repeated sales charges, poor timing of the switches, and the general market volatility during this period. Derek earned approximately \$29,000 in commissions from the activity. Gerald was not informed that the frequent switching would generate substantial sales charges, nor was he presented with any alternative strategies such as no-load funds, ETFs, or a simple buy-and-hold allocation. When Gerald called to ask why his account was shrinking, Derek told him the strategy 'just needs more time to work' and encouraged him to stay the course. Gerald's account application listed his investment objective as 'income' and his risk tolerance as 'low.'

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Nunez committed multiple violations. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. Gerald's profile -- a 71-year-old conservative retiree with low risk tolerance, an income objective, modest savings, and no trading experience -- is fundamentally incompatible with an aggressive market-timing strategy involving frequent mutual fund switching. This violates all three components of suitability: (1) Reasonable-basis suitability -- market timing through Class A mutual fund shares with 4.75% front-end loads is not a strategy with a reasonable basis for any investor, as the cost drag from repeated loads makes it nearly impossible to generate positive returns; (2) Customer-specific suitability -- the strategy was wholly inappropriate for a conservative, elderly retiree dependent on his IRA for supplemental income; (3) Quantitative suitability -- 47 round-trip transactions in 14 months constitutes excessive trading, particularly given the account size and customer profile. Under Regulation Best Interest (Reg BI), the Care Obligation requires the broker to exercise reasonable diligence, care, and skill in making recommendations, and to consider reasonably available alternatives. Derek failed to consider no-load funds, ETFs, or a buy-and-hold strategy -- all clearly superior alternatives for this customer. The Disclosure Obligation was also violated, as Gerald was not informed of the cumulative cost impact of the repeated Class A share purchases. Additionally, FINRA Rule 2010 (Standards of Commercial Honor) is implicated by the advisor's self-serving recommendation that generated \$29,000 in personal commissions while devastating the client's retirement savings. FINRA has consistently treated mutual fund switching cases as serious violations. The likely regulatory outcome would

include disgorgement of commissions, restitution to the client of approximately \$66,500 in losses, a substantial fine, and a potential suspension or bar from the industry for Derek Nunez.

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**Item 339 of 499****COMPLIANT****Topic:** market\_timing\_unsuitable**Difficulty:** hard**Fact Pattern**

Samantha Okoye, age 34, is a software engineer in San Francisco earning \$195,000 per year with a net worth of approximately \$1.2 million, including \$420,000 in a brokerage account she uses for active investing. She holds a Series 65 license from a prior career in financial services and describes herself as a sophisticated investor with high risk tolerance. Her stated investment objectives are aggressive growth and capital appreciation, and she has explicitly told her financial advisor, Craig Ellison, that she wants to pursue tactical asset allocation strategies that respond to macroeconomic conditions and sector rotations. In January 2023, Samantha and Craig discussed a tactical rebalancing approach for her \$420,000 brokerage account using no-load index mutual funds and commission-free ETFs. Craig prepared a written investment policy statement documenting Samantha's request for tactical market-timing adjustments on a quarterly basis, her understanding that such a strategy carries elevated risk and potential for underperformance relative to a buy-and-hold benchmark, and her acknowledgment that timing decisions may not always be correct. Over the following 18 months, Craig executed 12 rebalancing transactions -- roughly one per quarter with occasional interim adjustments during significant market events. All transactions involved no-load index funds or commission-free ETFs, so Samantha incurred no sales charges or commissions; Craig was compensated through a flat 0.80% annual advisory fee on the account. The account's performance over the 18-month period was mixed: it returned approximately 9.2% compared to the S&P 500's 14.1% return over the same period. Samantha was kept informed of each rebalancing decision through detailed emails that explained Craig's rationale, and she approved each transaction before execution. At no point did Samantha express dissatisfaction with the strategy, and she reaffirmed her tactical allocation preference during her annual review in January 2024.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Craig Ellison did not violate applicable suitability or best interest standards. Under FINRA Rule 2111 (Suitability), the advisor must have a reasonable basis to believe the strategy is suitable given the customer's profile. Samantha is a 34-year-old high-income, high-net-worth, sophisticated investor with a Series 65 license, high risk tolerance, and explicitly stated aggressive growth objectives. She specifically requested a tactical market-timing approach. The strategy satisfies all three suitability prongs: (1) Reasonable-basis suitability -- tactical asset allocation using no-load index funds and commission-free ETFs is a recognized investment approach with a reasonable theoretical foundation, and the cost structure eliminates the sales-charge drag that typically makes mutual fund market timing problematic; (2) Customer-specific suitability -- the strategy aligns with Samantha's high risk tolerance, aggressive growth objective, long time horizon, financial sophistication, and explicit preferences; (3) Quantitative suitability -- 12 transactions over 18 months is moderate and does not constitute excessive trading, especially given the commission-free structure and the client's stated preference for quarterly tactical adjustments. Under Regulation Best Interest (Reg BI), Craig satisfied the Care Obligation by choosing a low-cost implementation (no-load funds and commission-free ETFs), documenting the strategy in a written investment policy statement, and considering the client's full profile. The Disclosure Obligation was met through the written IPS that detailed the risks of underperformance and the transparent 0.80% advisory fee. The Conflict of Interest Obligation is satisfied because the flat fee structure does not incentivize excessive trading. The fact that the account underperformed the S&P 500 by approximately 4.9 percentage points does not, standing alone,

constitute a violation -- investment strategies are not guaranteed to outperform benchmarks, and the client was fully informed of this risk. Craig obtained informed consent for each transaction, maintained thorough documentation, and the client reaffirmed her preferences at her annual review. No regulatory action would be warranted.

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## Item 340 of 499

### NON-COMPLIANT

**Topic:** failure\_to\_know\_customer

**Difficulty:** medium

### Fact Pattern

Gerald Whitfield, a 74-year-old retired postal worker in Memphis, Tennessee, walked into a brokerage branch office in March 2023 seeking help rolling over his \$285,000 pension lump sum. He met with advisor Danielle Kramer, who had been with the firm for three years. During the initial meeting, Kramer spent approximately 15 minutes with Whitfield. She asked him his name, address, Social Security number, and date of birth. She noted he was retired and had the pension rollover funds. Kramer did not ask Whitfield about his monthly living expenses, other sources of income, existing savings or investments, health status, or whether he had any dependents. She did not inquire about his investment experience, his comfort level with market volatility, or what he planned to use the money for. She did not ask whether he had any debts or outstanding obligations. Kramer's new account form listed his investment objective as 'growth' and his risk tolerance as 'moderate,' though Whitfield later stated in a complaint that nobody ever explained those terms to him or asked him to choose. Based on this sparse profile, Kramer recommended Whitfield invest the entire \$285,000 into a portfolio consisting of 60% domestic equity mutual funds, 25% international equity ETFs, and 15% high-yield bond funds. The equity funds carried average annual expense ratios of 0.85%, and the high-yield bond fund had an expense ratio of 1.10%. Within nine months, the portfolio had declined by approximately \$38,000 due to market conditions. Whitfield, who relied on the pension funds to supplement his \$1,400 monthly Social Security check, was forced to liquidate a significant portion of the portfolio at a loss to cover his property taxes and medical bills. He subsequently filed a complaint alleging that his advisor never asked him about his actual financial situation or needs.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Danielle Kramer violated applicable standards on multiple levels. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe a recommendation is suitable for a particular customer based on that customer's investment profile. The investment profile includes, but is not limited to, the customer's age, other investments, financial situation and needs, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information the customer may disclose. Kramer's failure to gather this essential information constitutes a clear violation of the 'know your customer' obligation under FINRA Rule 2090, which requires every member firm to use reasonable diligence to know and retain the essential facts concerning every customer. By collecting only basic identifying information and failing to ask about Whitfield's income, expenses, liquidity needs, health, debts, investment experience, or time horizon, Kramer had no reasonable basis to make any investment recommendation. Under Regulation Best Interest (Reg BI), the Care Obligation requires a broker-dealer to exercise reasonable diligence, care, and skill in making a recommendation, which includes understanding the customer's investment profile. The SEC has made clear that a broker cannot satisfy the care obligation without first obtaining sufficient customer information. Additionally, the recommendation itself -- placing 85% of a 74-year-old retiree's sole liquid asset (aside from \$1,400/month Social Security) into equities and high-yield bonds -- was almost certainly unsuitable given his age, apparent need for capital preservation and income, and likely short-to-intermediate time horizon. The firm's supervisory obligations under FINRA Rule 3110 were also likely violated, as a supervisor should have flagged the incomplete new account form and the aggressive allocation for a senior retiree. The likely regulatory outcome would include a finding of violation of FINRA Rules 2090 and 2111, as well as Reg BI's Care Obligation.



Remedies could include restitution of losses, fines against the advisor and firm, and potential suspension of the advisor.

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## Item 341 of 499

### NON-COMPLIANT

**Topic:** bond\_duration\_mismatch

**Difficulty:** hard

### Fact Pattern

Patricia and Robert Sandoval, ages 62 and 64 respectively, met with their financial advisor Marcus Henley in January 2022 at his registered investment advisory firm in Scottsdale, Arizona. The Sandovals had accumulated \$1.8 million in combined retirement accounts and an additional \$420,000 in a joint taxable brokerage account. Robert planned to retire in June 2023, and Patricia had already retired from teaching in 2021. Their documented investment objectives were capital preservation and income generation. Their risk tolerance was listed as conservative. They told Henley explicitly that they needed to begin drawing \$7,500 per month from their portfolio starting in July 2023 to cover living expenses, as their combined Social Security benefits of \$4,200 per month would not be sufficient. They also mentioned they would need approximately \$150,000 in liquid funds within 18 to 24 months to pay off the remaining mortgage on their home, which they wished to own free and clear before Robert fully retired. Henley, who had recently attended a conference on fixed income investing and believed interest rates would decline significantly through 2023 and 2024, restructured the Sandovals' \$420,000 taxable account and approximately \$900,000 of their retirement accounts -- totaling \$1.32 million -- into long-duration bond positions. Specifically, he allocated \$480,000 to zero-coupon Treasury bonds maturing in 2045-2052, \$390,000 to a long-term Treasury ETF with an effective duration of 24.5 years, \$280,000 to 30-year investment-grade corporate bonds, and \$170,000 to a leveraged bond fund that used 2x exposure to the long end of the yield curve. The remaining \$900,000 was kept in a mix of intermediate-term bond funds and money market instruments. Henley did not discuss duration risk with the Sandovals or explain that the value of their holdings could drop substantially if interest rates rose instead of falling. He also did not create a cash flow plan or bond ladder to match their known liquidity needs. Throughout 2022, the Federal Reserve raised interest rates aggressively. By October 2022, the zero-coupon bonds had lost approximately 38% of their value, the long-term Treasury ETF had declined by 41%, the corporate bonds had dropped about 29%, and the leveraged bond fund had fallen by 56%. The \$1.32 million allocated to long-duration positions was now worth approximately \$830,000 -- a loss of roughly \$490,000. When the Sandovals needed to access the \$150,000 for their mortgage payoff in November 2022, Henley advised them to sell some of the long-duration positions at a significant loss. They ultimately paid off the mortgage but realized approximately \$68,000 in losses on the sold positions alone. Additionally, the income generated by the zero-coupon bonds was zero (as they pay no periodic interest), and the leveraged fund had suspended its distribution. The Sandovals' monthly income needs were not being met by the restructured portfolio as originally planned. They filed a complaint in early 2023, stating they were never told their conservative bond portfolio could lose nearly half a million dollars.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Marcus Henley committed serious violations of his fiduciary duty and applicable regulatory standards. As a registered investment adviser, Henley owed the Sandovals a fiduciary duty under the Investment Advisers Act of 1940, which encompasses both a duty of care and a duty of loyalty. The duty of care requires an adviser to provide advice that is in the client's best interest, which includes a reasonable investigation into the investments recommended and a reasonable belief that the advice is suitable given the client's stated objectives, financial situation, and needs.

Henley's actions violated these duties in several critical ways:

1. **\*\*Duration Mismatch with Known Liabilities\*\***: The Sandovals had clearly articulated short-term liquidity needs -- \$150,000 within 18-24 months for a mortgage payoff and \$7,500/month in income starting July 2023. Allocating \$1.32 million to bonds with durations of 20-30+ years (and a leveraged product amplifying that duration) was fundamentally mismatched with these known, near-term cash flow requirements. Prudent fixed income management requires matching the duration of bond holdings to the client's time horizon and liability schedule.
2. **\*\*Excessive Concentration in Long Duration\*\***: Placing approximately 60% of the Sandovals' total portfolio into long-duration bonds -- including zero-coupon bonds with the highest duration sensitivity to rate changes -- was inconsistent with their conservative risk tolerance and capital preservation objective. Long-duration bonds are among the most volatile fixed income instruments in a rising rate environment.
3. **\*\*Use of Leveraged Products\*\***: The \$170,000 allocation to a 2x leveraged long-bond fund was wholly inappropriate for conservative retirees. Leveraged bond funds amplify losses and are generally considered speculative instruments unsuitable for capital preservation mandates. FINRA has issued multiple warnings (e.g., Regulatory Notice 09-31, 12-03) about the risks of leveraged and inverse products for retail investors, emphasizing they are typically unsuitable for buy-and-hold investors.
4. **\*\*Failure to Disclose Material Risks\*\***: Henley did not explain duration risk, the impact of rising rates on long-duration bonds, or the speculative nature of the leveraged fund. Under the Advisers Act fiduciary standard and SEC guidance, an adviser must make full and fair disclosure of all material facts, including risks associated with recommended strategies.
5. **\*\*Interest Rate Speculation\*\***: Henley's allocation was driven by his personal macro-economic view that rates would decline, rather than by the clients' documented objectives and needs. An adviser's duty is to implement a strategy consistent with the client's goals, not to make speculative bets with client assets based on market forecasts.
6. **\*\*No Cash Flow Planning\*\***: Despite the Sandovals' clearly defined income and liquidity needs, Henley failed to construct a bond ladder, cash reserve, or any structured cash flow plan. A prudent adviser would have segregated near-term needs into short-duration or liquid instruments.

If this matter were also evaluated under FINRA Rule 2111 (for any brokerage component) or Regulation Best Interest, the same conclusions would apply -- the recommendations failed the reasonable-basis suitability test (no reasonable adviser would concentrate a conservative retiree's portfolio in extremely long-duration and leveraged bonds), the customer-specific suitability test (the allocation contradicted the clients' profile), and the quantitative suitability test (the concentration was excessive).

The likely regulatory outcome would include findings of breach of fiduciary duty, potential SEC or state enforcement action, and an arbitration award requiring restitution of the approximately \$490,000 in losses plus potential consequential damages. Henley could face suspension or revocation of his advisory registration, and his firm could face supervisory failure charges if it did not have adequate policies to review portfolio construction for clients with conservative mandates.

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## Item 342 of 499

### NON-COMPLIANT

**Topic:** senior\_investor\_exploitation

**Difficulty:** medium

### Fact Pattern

Margaret Dawson, age 79, is a retired school librarian living in rural Ohio on a fixed income of \$2,100 per month from Social Security and a small pension. She has \$385,000 in a rollover IRA, which represents her entire life savings and is her sole source of funds beyond her monthly income. She has no other family members involved in her finances since her husband passed away in 2019. Her account documents list her risk tolerance as conservative, her investment objective as preservation of capital and income, her time horizon as short-term (1-3 years), and her investment experience as limited. In March 2023, her advisor, Kevin Barlow, attended a wholesaler-sponsored conference in Scottsdale, Arizona, where a real estate investment trust (REIT) sponsor offered a tiered bonus program: advisors placing more than \$250,000 in the sponsor's non-traded REIT would receive an additional 1.5% production bonus on top of the standard 7% upfront commission. Between April and June 2023, Barlow recommended that Mrs. Dawson liquidate her existing diversified portfolio of Treasury bonds, a money market fund, and a balanced mutual fund, and reinvest \$340,000 -- roughly 88% of her total retirement savings -- into a single non-traded REIT focused on commercial office properties. The REIT carried a 7% upfront commission, a 10-year lockup period with no liquidity prior to a potential future listing event, and distributions that were partially funded through return of capital. Barlow earned approximately \$23,800 in standard commissions plus a \$5,100 bonus from the REIT sponsor. He did not disclose the bonus arrangement to Mrs. Dawson. He told her the investment was 'as safe as a CD' and would 'guarantee' her 6% income annually. By early 2024, the REIT suspended its distribution payments due to declining occupancy rates in its office portfolio, and Mrs. Dawson was unable to access her funds to cover unexpected medical expenses totaling \$28,000.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Kevin Barlow committed multiple serious violations. Under FINRA Rule 2111 (Suitability), a registered representative must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, time horizon, liquidity needs, and investment objectives. Mrs. Dawson was a 79-year-old conservative investor with limited experience, a short time horizon, a need for capital preservation and income, and total dependence on her retirement savings. Concentrating 88% of her portfolio in a single illiquid, non-traded REIT with a 10-year lockup is facially unsuitable under the customer-specific suitability obligation. The product's illiquidity directly conflicts with her short time horizon and potential need for funds. The concentration in a single commercial real estate sector violates the quantitative suitability component and reasonable-basis suitability, as no reasonable advisor could conclude this allocation was appropriate for this client profile.

Under Regulation Best Interest (Reg BI), broker-dealers and their associated persons must act in the retail customer's best interest at the time of a recommendation without placing their own financial interest ahead of the customer's. The Care Obligation under Reg BI requires consideration of reasonably available alternatives. Barlow's decision was clearly driven by the 1.5% bonus incentive rather than Mrs. Dawson's needs, violating the requirement not to place his interest ahead of the customer's. The Disclosure Obligation under Reg BI requires material disclosure of conflicts of interest,

including compensation arrangements. Barlow failed to disclose the \$5,100 bonus from the REIT sponsor, a material conflict of interest. The Conflict of Interest Obligation requires firms to establish policies to identify, disclose, and mitigate or eliminate conflicts -- the undisclosed bonus is a clear violation.

Additionally, Barlow's statements that the REIT was 'as safe as a CD' and would 'guarantee' 6% income constitute materially misleading representations in violation of FINRA Rule 2210 (Communications with the Public) and FINRA Rule 2020 (prohibiting manipulative, deceptive, or fraudulent practices). Non-traded REITs carry significant risks including illiquidity, loss of principal, and distribution suspensions -- none of which are comparable to FDIC-insured CDs.

FINRA has specifically highlighted concerns about senior investor exploitation through concentrated, illiquid product sales driven by enhanced compensation. Likely regulatory outcomes include disgorgement of commissions and bonuses, restitution to Mrs. Dawson, a significant fine, a lengthy suspension or permanent bar from the industry, and potential referral for fraud-related enforcement action.

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**Item 343 of 499****NON-COMPLIANT****Topic:** leveraged\_etf\_unsuitable**Difficulty:** hard**Fact Pattern**

Derek Simmons, age 44, is a mid-level software engineer earning \$135,000 annually. He has a brokerage account with \$210,000 in assets and a 401(k) with approximately \$190,000. He is married with two children, ages 8 and 11, and lists his investment objectives as growth with a moderate risk tolerance. He has some investment experience, primarily with index funds and individual blue-chip stocks, and describes himself on his new account form as having 'intermediate' knowledge of financial markets. In January 2024, his registered representative, Lisa Tran, recommended that Simmons invest \$95,000 -- approximately 45% of his brokerage account -- in a 3x leveraged inverse ETF tied to the Nasdaq-100 index, with the stated rationale that technology stocks were overvalued and due for a correction. Tran told Simmons the position would serve as a 'hedge' against his existing technology stock holdings, which comprised about \$40,000 of his portfolio. Tran did not explain the daily reset mechanism of leveraged ETFs, the effects of volatility decay (also known as beta slippage), or the fact that the product is designed for single-day holding periods and can deviate dramatically from the expected return of the underlying index over longer periods. She did not establish any stop-loss parameters or monitoring schedule. Simmons held the position for approximately five months. During that period, the Nasdaq-100 experienced significant volatility but ultimately rose roughly 8%. Due to the compounding effects of the daily reset, Simmons's 3x inverse leveraged ETF position lost approximately 38% of its value -- a loss of roughly \$36,100 -- far exceeding the simple inverse 3x multiple of the index's return. By the time Simmons contacted Tran to discuss his losses in June 2024, she had not reached out to him once about the position despite the mounting losses. Simmons was unaware the product was not designed to be held over multi-month periods.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Lisa Tran violated applicable suitability and best interest standards on multiple grounds.

Under FINRA Rule 2111 (Suitability), all three components were breached. First, regarding reasonable-basis suitability, Tran failed to perform adequate due diligence on the product she recommended. Leveraged and inverse ETFs are complex derivative-based instruments that use daily rebalancing. It is well-established in industry guidance -- including FINRA Regulatory Notice 09-31 and 09-65 -- that leveraged and inverse ETFs are generally unsuitable for retail investors who plan to hold them for longer than a single trading session. The fact that Tran neither understood nor explained the daily reset mechanism and compounding effects suggests she lacked a reasonable basis for recommending this product at all.

Second, regarding customer-specific suitability, Simmons is a moderate-risk-tolerance investor with intermediate knowledge and growth objectives. A 3x leveraged inverse ETF is an aggressive, speculative instrument. Allocating \$95,000 -- 45% of his brokerage assets -- to such a product is grossly disproportionate to his risk profile. Even if a small tactical allocation to such a product might theoretically be justified for a very sophisticated, aggressive investor, a 45% allocation for a moderate-risk client with intermediate knowledge is unsuitable on its face.

Third, regarding quantitative suitability, while this prong typically addresses excessive trading, the sheer concentration

in a single highly speculative position is relevant to the overall suitability analysis.

Under Regulation Best Interest's Care Obligation, Tran was required to exercise reasonable diligence, care, and skill in making her recommendation. She failed to understand the product, failed to consider its risks relative to the customer's profile, and failed to evaluate reasonably available alternatives -- such as purchasing put options on the Nasdaq-100 for a defined, limited cost if Simmons truly wanted a hedge, or simply reducing his technology exposure. The \$95,000 inverse leveraged ETF position as a 'hedge' against \$40,000 in tech stocks is economically irrational, as the notional hedge exposure ( $3 \times \$95,000 = \$285,000$ ) vastly exceeded the long technology exposure.

The Disclosure Obligation under Reg BI was also violated. Tran failed to adequately disclose the material risks of the product, including the daily reset mechanism, the effects of volatility decay on multi-day returns, and the fact that the product was designed for intra-day use.

Additionally, Tran's failure to monitor the position or implement any risk management procedures over five months -- particularly given the inherent dangers of holding leveraged inverse ETFs over extended periods -- represents a further failure of the ongoing care expected when recommending complex, high-risk products. While there is no explicit ongoing monitoring duty under Reg BI for account-level recommendations in a brokerage context, the nature of this specific product creates an implicit obligation to ensure the customer understands the time-sensitive risks.

Finally, characterizing a 3x leveraged inverse position as a 'hedge' when the notional exposure was roughly seven times the value of the holdings supposedly being hedged is misleading under FINRA Rule 2210.

Likely regulatory outcomes include a finding of suitability violation, potential Reg BI violation, restitution of losses to Simmons (approximately \$36,100), a fine against Tran and potentially her firm for supervisory failures, and a suspension. The firm could also face liability under FINRA Rule 3110 for failing to establish adequate supervisory procedures for complex product recommendations.

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**Item 344 of 499****NON-COMPLIANT****Topic:** bond\_duration\_mismatch**Difficulty:** hard**Fact Pattern**

Margaret Fielding, age 72, is a retired elementary school teacher living in Tucson, Arizona, with an annual pension income of \$38,000 and Social Security payments of \$22,800. Her total liquid savings amount to approximately \$620,000, held primarily in a brokerage account. Margaret described herself as a conservative investor whose primary objectives were capital preservation and generating steady income to supplement her pension and Social Security. She told her financial advisor, Derek Montoya, that she planned to begin drawing \$3,000 per month from her portfolio starting within the next six months to cover assisted-living expenses for her husband, who was diagnosed with early-stage dementia. She explicitly stated she could not afford to lose principal and needed predictable cash flows over the next three to five years. In March 2023, Derek recommended that Margaret invest \$480,000 -- roughly 77% of her liquid assets -- into a portfolio of long-duration zero-coupon Treasury bonds and long-dated corporate bonds with an average effective duration of 18.5 years. He told her these were 'safe government and investment-grade bonds' and emphasized that they would 'grow substantially over time.' He did not explain that the long duration meant the portfolio's market value would be highly sensitive to interest rate movements, nor did he discuss the fact that zero-coupon bonds generate no periodic cash income. Derek earned a \$7,200 commission on the bond purchases. Over the following nine months, as the Federal Reserve continued raising interest rates, the market value of Margaret's bond portfolio declined by approximately \$86,000 -- a loss of roughly 18%. Meanwhile, Margaret was forced to sell bonds at depressed prices to fund her \$3,000 monthly withdrawals, locking in losses. When Margaret called Derek in December 2023 to express alarm at her account statements, he told her the bonds were 'guaranteed by the U.S. government' and that she should 'just wait it out.' He did not offer to restructure the portfolio to better match her near-term liquidity needs. Margaret's remaining bond portfolio stood at approximately \$367,000 by January 2024, a total diminishment of over \$113,000 from the original \$480,000 invested, when accounting for both market losses and forced liquidations.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Montoya committed multiple violations. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance. Margaret's profile -- a 72-year-old conservative retiree with an explicit near-term need for \$3,000/month in withdrawals starting within six months and a stated inability to absorb principal losses -- is fundamentally incompatible with an allocation of 77% of liquid assets to long-duration zero-coupon and long-dated bonds averaging 18.5 years of duration. Zero-coupon bonds produce no current income, directly contradicting her income objective, and long-duration bonds carry extreme interest rate risk, contradicting her capital preservation objective and short time horizon. Under Regulation Best Interest (Reg BI), the Care Obligation requires the broker to exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Recommending a portfolio with massive duration risk to a client who needed near-term liquidity and capital stability fails this standard. The Disclosure Obligation under Reg BI was also violated: Derek mischaracterized the bonds as simply 'safe' without explaining duration risk or the absence of coupon income from zero-coupon instruments. His later statement that the bonds were 'guaranteed by the U.S. government'



was misleading -- while Treasury principal is guaranteed at maturity, interim market value is not, and selling before maturity at depressed prices results in real losses. Furthermore, the concentration of 77% of liquid assets in a single strategy amplifies the unsuitability. A suitable recommendation for Margaret would have been a ladder portfolio of short-to-intermediate-term bonds or a combination of money market funds and short-duration investment-grade bonds to match her withdrawal timeline. The likely regulatory outcome would include customer-specific suitability violations under FINRA Rule 2111, Reg BI Care and Disclosure Obligation violations, potential findings of negligent misrepresentation, restitution of losses, fines, and possible suspension or bar depending on Derek's disciplinary history.

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## Item 345 of 499

### NON-COMPLIANT

**Topic:** variable\_annuity\_unsuitable

**Difficulty:** medium

### Fact Pattern

Sandra Kowalski, age 78, became a widow in January 2022 after her husband passed away from complications following heart surgery. Sandra, a retired postal worker, had a modest annual income of \$29,000 from Social Security and a small federal pension. Upon her husband's death, she received \$410,000 in life insurance proceeds, which represented essentially all of her investable assets apart from a checking account with \$12,000. Sandra had no prior investment experience; her husband had managed the couple's finances. She visited the office of financial advisor Ryan Pittman in March 2022 seeking guidance on how to safely manage the insurance proceeds. She told Ryan she was in declining health herself, had been diagnosed with chronic kidney disease, and wanted to make sure the money would last for her remaining years and leave something for her two adult grandchildren. She described her risk tolerance as very low and said she wanted something 'safe and simple.' Ryan recommended that Sandra invest \$375,000 -- over 91% of her liquid assets -- into a variable annuity with a guaranteed minimum income benefit rider. The annuity carried a mortality and expense charge of 1.40% annually, an administrative fee of 0.15%, underlying sub-account expenses averaging 0.92%, and the income rider cost an additional 1.05% per year, bringing total annual expenses to approximately 3.52%, or roughly \$13,200 per year. The annuity also carried a seven-year declining surrender charge schedule starting at 7% in the first year and declining by 1% per year thereafter. Ryan allocated 60% of the sub-accounts to equity growth funds and 40% to a balanced fund. He earned a commission of approximately \$26,250 on the sale. Ryan did not discuss lower-cost alternatives such as fixed annuities, certificates of deposit, Treasury securities, or balanced mutual fund portfolios. He did not document why a variable annuity with equity-heavy sub-accounts was preferable to simpler products for a 78-year-old widow with no investment experience, very low risk tolerance, declining health, and a seven-year surrender period that she statistically might not outlive. By February 2023, the account had declined to approximately \$338,000 due to a combination of market losses in the equity sub-accounts and the cumulative drag of annual fees, representing a loss of nearly \$37,000 -- roughly 10% -- in under one year.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Ryan Pittman's recommendation was unsuitable and violated applicable standards. Under FINRA Rule 2111, customer-specific suitability requires that a recommendation be consistent with the customer's investment profile. Sandra was a 78-year-old unsophisticated widow in declining health with very low risk tolerance, no investment experience, a modest fixed income, and a stated desire for safety and simplicity. Placing 91% of her liquid assets in a variable annuity with 60% equity allocation, total annual costs of approximately 3.52%, and a seven-year surrender charge period is fundamentally inconsistent with this profile. Variable annuities are generally considered suitable for investors with longer time horizons who can benefit from tax-deferred growth and can tolerate market risk -- none of which apply to Sandra. Under Regulation Best Interest (Reg BI), the Care Obligation requires the advisor to consider reasonably available alternatives and evaluate the costs of the recommended product. Ryan failed to present or even consider lower-cost, lower-risk alternatives such as fixed annuities (which would have provided guaranteed income without market risk), short-term Treasury ladders, CDs, or conservative balanced mutual funds with far lower expense ratios. The Conflict of Interest Obligation under Reg BI is also implicated: Ryan received a \$26,250 commission on the sale, creating a significant financial incentive to recommend the variable annuity over simpler, less remunerative

products. There is no evidence he mitigated this conflict or that the recommendation would have been the same absent the commission differential. The Disclosure Obligation was likely violated as well, since Ryan does not appear to have adequately explained the fee structure, surrender charges, market risk of equity sub-accounts, or how these factors could erode Sandra's principal. FINRA has specifically addressed variable annuity sales to seniors in Regulatory Notices (e.g., Notice 07-43 and Notice 12-25), emphasizing heightened scrutiny for recommendations to elderly customers with short time horizons and low risk tolerance. The likely regulatory outcome would include findings of unsuitability, Reg BI violations, potential elder financial exploitation concerns depending on the jurisdiction, restitution of losses and fees, disgorgement of the commission, monetary fines, and a suspension or bar for the advisor.

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## Item 346 of 499

### NON-COMPLIANT

**Topic:** high\_fees\_unsuitable

**Difficulty:** medium

### Fact Pattern

Margaret Dawson, age 62, is a recently widowed school librarian earning \$52,000 per year. After her husband's passing in January 2023, she received a \$175,000 life insurance payout, which represented the vast majority of her liquid savings aside from a small pension she would begin collecting at age 65. She told her financial advisor, Kevin Barnett, that she wanted to preserve her capital and generate modest income to supplement her pension in retirement. She described herself as conservative and said she could not afford to lose the money because it was essentially her safety net. Between February 2023 and August 2024, Barnett executed approximately 340 transactions in Margaret's account, frequently rotating between large-cap equity positions, sector ETFs, and options strategies. Many positions were held for fewer than ten days before being liquidated and replaced. Over this 18-month period, Margaret's account declined from \$175,000 to approximately \$118,000, a loss of roughly \$57,000. Of that decline, approximately \$38,500 was attributable to commissions and transaction fees generated by the trading activity, representing a cost-to-equity ratio of roughly 22% on an annualized basis. The account turnover ratio exceeded 8.0 on an annualized basis. Barnett earned approximately \$31,000 in personal commissions from the account during this period. Margaret was not informed about the volume of trading or the cumulative impact of fees until she requested a full account review in September 2024 after noticing her balance had dropped significantly.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Kevin Barnett violated multiple regulatory standards governing the suitability and best interest obligations owed to Margaret Dawson.

**\*\*FINRA Suitability (Rule 2111):\*\*** Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. This rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Barnett violated all three. Margaret's conservative risk tolerance and capital preservation objective were fundamentally incompatible with an aggressive short-term trading strategy involving equities, sector ETFs, and options. The quantitative suitability component is particularly relevant here: FINRA has long held that excessive trading (churning) violates the suitability rule. An annualized turnover ratio exceeding 6.0 and a cost-to-equity ratio above 20% are widely recognized as strong presumptive indicators of excessive trading. Barnett's account showed a turnover ratio above 8.0 and a cost-to-equity ratio of approximately 22%, far exceeding these thresholds.

**\*\*Regulation Best Interest (Reg BI):\*\*** If Barnett was acting in a broker-dealer capacity after June 30, 2020, Regulation Best Interest under the Securities Exchange Act applies. Reg BI's Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill when making recommendations, considering the customer's investment profile and ensuring that recommendations are in the customer's best interest without placing the advisor's financial interest ahead of the customer's. The volume of trading that generated \$31,000 in personal commissions while the client's account lost \$57,000 is a textbook example of placing the advisor's compensation interest above the customer's. The Cost Obligation component of Reg BI also requires consideration of reasonably available alternatives;

Barnett could have recommended a low-cost balanced fund or bond portfolio consistent with Margaret's objectives at a fraction of the cost.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Churning a widow's life insurance proceeds--her primary retirement safety net--also constitutes conduct inconsistent with just and equitable principles of trade under FINRA Rule 2010.

**\*\*Likely Regulatory Outcome:\*\*** Barnett faces potential FINRA enforcement action including disgorgement of commissions, restitution to the customer, fines, suspension, or a permanent bar from the securities industry. Margaret would also have strong grounds for a FINRA arbitration claim seeking full compensatory damages of approximately \$57,000 plus interest. Cases with these quantitative indicators--high turnover, high cost-to-equity ratio, and a vulnerable client profile--are among the most frequently sanctioned in FINRA disciplinary proceedings.

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## Item 347 of 499

### NON-COMPLIANT

**Topic:** high\_fees\_unsuitable

**Difficulty:** hard

### Fact Pattern

Daniel Okafor, age 44, is a mid-level software engineer at Meridian Technologies Inc., a publicly traded company. He earns \$135,000 annually and had accumulated approximately \$410,000 in his company's 401(k) plan, which offered a diversified menu of index funds, target-date funds, and a company stock fund. In March 2023, Daniel rolled over a previous employer's 401(k) worth \$185,000 into a new IRA account managed by his financial advisor, Patricia Langston, at Briarwood Wealth Partners. Daniel told Patricia that his investment goals were long-term growth for retirement, that he had a moderate risk tolerance, and that he was comfortable with equity-heavy portfolios but wanted diversification. He also mentioned that roughly 60% of his current Meridian 401(k) was already invested in Meridian Technologies stock because he had been purchasing shares through the company stock fund for years, believing in the company's future. Instead of recommending diversification to reduce Daniel's overall concentration in his employer, Patricia recommended investing \$155,000 of the \$185,000 IRA rollover--approximately 84%--into Meridian Technologies common stock purchased on the open market through the brokerage account, with the remaining \$30,000 placed in a high-fee actively managed small-cap fund with a 5.25% front-end load and a 1.45% annual expense ratio. Patricia earned a \$1,575 sales commission on the mutual fund and standard brokerage commissions on the stock purchases totaling approximately \$1,200. After the allocation, Daniel's combined exposure to Meridian Technologies stock across all accounts was approximately \$401,000 out of total retirement assets of \$595,000--roughly 67% of his entire retirement portfolio in a single company's equity. In November 2023, Meridian Technologies announced a significant revenue shortfall and its stock price dropped 38% over the following three months. Daniel's combined Meridian stock holdings lost approximately \$152,000 in value. He contacted Patricia in February 2024, expressing shock that she had concentrated his IRA so heavily in his employer's stock when he had asked for diversification.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Patricia Langston violated the applicable suitability and best interest standards in multiple respects.

**\*\*FINRA Rule 2111 - Customer-Specific Suitability:\*\*** Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including their existing holdings and overall portfolio composition. Daniel explicitly told Patricia that he wanted diversification and had a moderate risk tolerance. He also disclosed that 60% of his existing 401(k) was already concentrated in Meridian Technologies stock. Despite this information, Patricia recommended placing 84% of the IRA rollover into additional shares of the same company. This recommendation dramatically increased Daniel's single-stock concentration from an already elevated level to approximately 67% of his total retirement assets--a level that is unsuitable for virtually any moderate-risk investor seeking diversification. Concentration in a single equity, especially one's own employer, creates correlated risk: if Meridian struggles, Daniel could simultaneously face job loss and catastrophic portfolio losses, which is precisely what partially materialized.

**\*\*Regulation Best Interest (Reg BI):\*\*** As the rollover occurred after the June 2020 effective date, Reg BI applies. The

Care Obligation requires that Patricia exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs. Recommending further concentration in employer stock when the client already had excessive exposure and had stated a desire for diversification fails this standard. The Conflict of Interest Obligation also applies: Patricia had a financial incentive to execute the stock purchases and sell the loaded mutual fund. She was required to establish, maintain, and enforce policies to identify and mitigate conflicts that create an incentive to place her interest ahead of Daniel's. There is no indication she disclosed or mitigated these conflicts.

**\*\*Mutual Fund Selection:\*\*** The \$30,000 allocation to a small-cap fund with a 5.25% front-end load and 1.45% expense ratio also raises concerns. Under Reg BI and FINRA guidance, when lower-cost alternatives are reasonably available (such as no-load index funds or institutional share classes), the recommendation of a high-fee product must be justified by demonstrable benefits to the client, not merely higher advisor compensation. Patricia earned \$1,575 in load commissions on a \$30,000 investment, immediately reducing Daniel's invested capital by over 5%.

**\*\*FINRA Rule 2010 (Just and Equitable Principles of Trade):\*\*** The totality of the conduct--ignoring the client's stated objectives, dramatically increasing concentration risk in the client's own employer, and selecting high-cost products--violates standards of commercial honor.

**\*\*Likely Regulatory Outcome:\*\*** Patricia faces potential FINRA disciplinary action for unsuitable recommendations, including fines, disgorgement of commissions, and possible suspension. Daniel has strong grounds for a FINRA arbitration claim seeking compensatory damages. The fact that the client explicitly requested diversification and the advisor did the opposite creates a particularly compelling record. Regulators and arbitration panels have consistently treated employer stock concentration cases with heightened scrutiny given the dual risk of investment loss and employment income loss. Damages would likely be measured by comparing the actual portfolio performance to a suitable diversified benchmark portfolio, potentially yielding a recovery well in excess of \$100,000.

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**Item 348 of 499****NON-COMPLIANT****Topic:** private\_placements\_unsuitable**Difficulty:** medium**Fact Pattern**

Margaret Kowalski, age 74, is a retired school librarian living in suburban Ohio. She receives \$2,100 per month in Social Security and a small pension of \$900 per month. Her total liquid net worth is approximately \$185,000, held in an IRA rollover from her former employer's 403(b) plan. She has no other significant assets besides her home, which is paid off. On her new account form, she indicated a conservative risk tolerance, income as her primary investment objective, and a time horizon of 5-10 years. She told her advisor, Daniel Farris, that she needed reliable income to supplement her fixed monthly payments and could not afford to lose principal because these savings represented her entire financial safety net. In March 2022, Farris recommended that Margaret invest \$90,000 -- nearly half her liquid net worth -- into a private placement offering from a real estate development company building luxury condominiums in a secondary market in Florida. The offering documents disclosed that the investment was illiquid with no secondary market, carried a projected hold period of 7-10 years, required investors to have a minimum net worth of \$250,000 excluding primary residence (Margaret did not meet this threshold, but Farris listed her home equity as part of her net worth on the subscription documents), and disclosed total fees and commissions of 12%, including an 8% upfront sales load and ongoing management fees. Farris earned a \$7,200 commission on the sale. By late 2023, the development project had stalled due to rising construction costs and declining demand for luxury units. The fund suspended distributions in January 2024, and the estimated value of Margaret's investment had declined to approximately \$52,000. Margaret filed a complaint stating she was never told the investment could lose value or become illiquid and that Farris told her it was 'like a CD but with better returns.'

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Daniel Farris committed multiple serious violations. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and other relevant factors. Here, Margaret was a 74-year-old retiree with limited income, conservative risk tolerance, an income-oriented investment objective, and a stated inability to absorb principal losses. Recommending a \$90,000 investment in an illiquid private placement -- representing approximately 49% of her total liquid net worth -- in a speculative real estate development project with a 7-10 year hold period was plainly unsuitable on a customer-specific basis. The investment's illiquidity, speculative nature, long time horizon, and high fee structure (12% total load) were fundamentally inconsistent with her profile. Additionally, under Regulation Best Interest (Reg BI), the Care Obligation requires the broker to exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Farris failed to act in Margaret's best interest by concentrating nearly half her retirement savings in a single illiquid, speculative position. The Disclosure Obligation under Reg BI also required Farris to disclose all material facts about the recommendation, including risks and costs. Margaret's statement that she was told the investment was 'like a CD but with better returns' suggests material misrepresentation of risk, which would also violate FINRA Rule 2020 (Use of Manipulative, Deceptive or Other Fraudulent Devices). Furthermore, Farris appears to have falsified the subscription documents by including Margaret's home equity to meet the minimum net worth threshold -- she did not qualify as an eligible investor under the



offering's own terms, which constitutes a violation of FINRA Rules 2010 (Standards of Commercial Honor) and potentially securities fraud. The concentration of nearly 49% of liquid assets in a single illiquid alternative investment also raises quantitative unsuitability concerns. The likely regulatory outcome would include disgorgement of the \$7,200 commission, restitution to Margaret for her losses, a significant fine, a suspension or bar from the industry, and potential referral for fraud based on the falsified subscription documents and misrepresentations.

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**Item 349 of 499****COMPLIANT****Topic:** alternative\_investments\_unsuitable**Difficulty:** hard**Fact Pattern**

Victor Sandoval, age 52, is a managing partner at a mid-size consulting firm in Chicago earning approximately \$625,000 annually. His total investable assets are approximately \$4.2 million, spread across brokerage accounts, retirement accounts, and a taxable trust. He also owns two rental properties valued at approximately \$1.1 million combined with modest mortgage balances. Victor has been investing for over 25 years and has previously held positions in hedge funds, structured notes, and commodity futures. On his updated account documentation in January 2023, he listed his risk tolerance as aggressive, his investment objective as growth with capital appreciation, and his time horizon as greater than 15 years. He stated he understood that alternative investments could be illiquid and carry elevated risk. His financial advisor, Rebecca Cho, recommended that Victor allocate \$420,000 -- approximately 10% of his liquid portfolio -- to a diversified fund-of-hedge-funds vehicle that invested across multiple strategies including long/short equity, global macro, and event-driven strategies. The fund had a minimum investment of \$250,000, required investors to be qualified purchasers (Victor met this threshold), had a two-year lock-up period, charged a 1.5% management fee and 15% performance fee, and had a track record of eight years with annualized returns of approximately 9.2% net of fees with moderate volatility. Rebecca provided Victor with the private placement memorandum, a detailed risk disclosure document, and a supplemental summary she prepared highlighting the lock-up period, fee structure, illiquidity risk, and the possibility of total loss. She documented a suitability review in her notes, comparing the investment to Victor's overall portfolio allocation, confirming that even with this position, his liquid reserves exceeded \$3.5 million across diversified holdings. Victor signed an acknowledgment that he had received and reviewed all disclosure materials and understood the risks. By mid-2024, the fund had returned approximately 7.8% net of fees, modestly underperforming its historical average but generating positive returns. Victor has expressed satisfaction with the position.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Rebecca Cho acted appropriately and does not appear to have violated any applicable standards. Under FINRA Rule 2111 (Suitability), the recommendation must be suitable based on reasonable-basis, customer-specific, and quantitative suitability analyses. Here, all three prongs are satisfied. Reasonable-basis suitability is met because Rebecca recommended a diversified fund-of-hedge-funds with an eight-year track record, moderate volatility, and a multi-strategy approach -- a legitimate alternative investment vehicle. Customer-specific suitability is clearly met: Victor is a 52-year-old high-income professional with \$4.2 million in liquid assets and additional real estate holdings, an aggressive risk tolerance, a growth objective, and a time horizon exceeding 15 years. He has 25 years of investment experience including prior holdings in hedge funds, structured products, and commodities, demonstrating sophistication with alternative investments. The \$420,000 allocation represented only 10% of his liquid portfolio, leaving over \$3.5 million in diversified, more liquid holdings -- a concentration level well within reasonable bounds for his profile. The two-year lock-up period is manageable given his ample liquidity elsewhere and long time horizon. Quantitative suitability is not at issue because there is no pattern of excessive trading or churning. Under Regulation Best Interest (Reg BI), the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill. Rebecca conducted and documented a thorough suitability review, compared the allocation against Victor's total portfolio, and confirmed

adequate remaining liquidity. The Disclosure Obligation is satisfied because Rebecca provided the PPM, risk disclosures, and a supplemental summary she personally prepared highlighting key risks including illiquidity, lock-up, fee structure, and potential for total loss. Victor acknowledged receipt and understanding of these materials. The Conflict of Interest Obligation would require disclosure of any compensation differential, but nothing in the facts suggests undisclosed conflicts. The fee structure (1.5% management plus 15% performance) is standard for hedge fund vehicles and was disclosed. The investment has performed positively, and the client is satisfied, though these facts alone are not dispositive -- the analysis turns on the reasonableness of the recommendation at the time it was made. At the time of recommendation, this was a well-documented, well-reasoned allocation of a modest percentage of a wealthy, sophisticated, aggressive investor's portfolio into a diversified alternative vehicle. No regulatory action would be expected.

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**Item 350 of 499****NON-COMPLIANT****Topic:** high\_fees\_unsuitable**Difficulty:** medium**Fact Pattern**

Margaret Donovan, age 72, is a retired elementary school teacher living in Boise, Idaho, with a fixed annual income of \$38,000 from her pension and Social Security. She has \$210,000 in total liquid savings, representing her entire retirement nest egg aside from her pension. Margaret has no investment experience beyond certificates of deposit and a basic savings account. In March 2023, she met with financial advisor Kevin Briggs after attending a free dinner seminar at a local restaurant. Margaret told Kevin she wanted to keep her money safe, earn a little more interest than her bank was offering, and ensure she had funds available for potential medical expenses, as she was recently diagnosed with early-stage Parkinson's disease. Kevin recommended she invest \$185,000 -- roughly 88% of her liquid savings -- into a Class C share variable annuity with a 7-year surrender period. The annuity carried an annual mortality and expense charge of 1.65%, an administrative fee of 0.15%, and underlying sub-account fund expenses averaging 1.10%, bringing total annual costs to approximately 2.90% per year, or roughly \$5,365 annually. The surrender charge started at 7% in year one and declined by 1% each year. Kevin also placed \$15,000 into a high-fee actively managed emerging markets mutual fund with a 5.75% front-end sales load and an annual expense ratio of 1.82%. Kevin earned a \$9,250 commission on the annuity sale and \$862.50 on the mutual fund load. He did not discuss lower-cost alternatives such as no-load bond funds, Treasury securities, or bank CDs that could have met Margaret's stated objectives. He also did not document any rationale for why these high-cost, illiquid products were appropriate for a 72-year-old retiree with limited income, significant health concerns, and a stated preference for safety and liquidity.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Briggs committed multiple violations. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, risk tolerance, liquidity needs, and time horizon. Margaret's profile -- a 72-year-old retiree with limited fixed income, no investment experience, a preference for safety and liquidity, and a progressive medical condition -- made long-duration, illiquid, high-cost products clearly unsuitable. The 7-year surrender period on the variable annuity directly conflicts with her stated need for accessible funds for medical expenses. Under Regulation Best Interest (Reg BI), specifically the Care Obligation (17 CFR 240.15l-1(a)(2)(ii)), Kevin was required to exercise reasonable diligence, care, and skill in making recommendations, considering reasonably available alternatives. He failed to consider or present lower-cost, more liquid alternatives that aligned with her objectives. The Cost component of the Care Obligation also required him to evaluate the costs of the recommended products; total annual fees of nearly \$5,365 on a \$185,000 annuity investment are excessive for a conservative retiree. Additionally, under FINRA Rule 2330 (Variable Annuity Suitability), there are heightened suitability requirements for variable annuity recommendations, including consideration of whether the customer would benefit from tax-deferral features (Margaret, on a modest fixed income in a low tax bracket, likely would not), the customer's liquidity needs, and whether a surrender period is appropriate. Concentrating 88% of her liquid net worth in a single illiquid product also raises concentration concerns under FINRA's suitability framework. The Reg BI Conflict of Interest Obligation required Kevin to identify and disclose or mitigate conflicts arising from the substantial commissions he earned (\$10,112.50 total), which appear to have driven the recommendations rather than Margaret's

needs. A likely regulatory outcome would include customer restitution, disgorgement of commissions, a fine, and a potential suspension or bar for Kevin, given the egregiousness of the unsuitable recommendations to a vulnerable elderly client.

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## Item 351 of 499

### NON-COMPLIANT

**Topic:** failure\_to\_know\_customer

**Difficulty:** easy

### Fact Pattern

In January 2024, financial advisor Danielle Reese opened a brokerage account for new client Samuel Okafor, a 34-year-old software engineer in Austin, Texas, earning \$145,000 per year. During the account opening process, Danielle filled out the new account form herself based on a brief five-minute phone call. She recorded Samuel's annual income and employment but left the following fields blank or marked 'N/A': net worth, liquid net worth, investment objectives, risk tolerance, investment experience, time horizon, and tax status. Samuel mentioned during the call that he had 'some money to invest,' but Danielle did not ask any follow-up questions about how much, what his goals were, or what level of risk he was comfortable taking. She did not ask about his existing holdings, debts, dependents, or any other financial obligations. Within two weeks of opening the account, Danielle recommended Samuel invest \$50,000 into a portfolio consisting of three leveraged ETFs (2x and 3x bull funds focused on the technology and semiconductor sectors) and two speculative biotech stocks with market capitalizations under \$200 million. She did not explain the mechanics or risks of leveraged ETFs, including daily reset features and the potential for significant losses over holding periods longer than one day. Over the following four months, the portfolio declined approximately 38%, resulting in losses of roughly \$19,000.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Danielle Reese violated applicable standards in multiple respects. First, she violated FINRA Rule 2090 (Know Your Customer), which requires every broker to use reasonable diligence, in regard to the opening and maintenance of every account, to know the essential facts concerning every customer. By failing to gather Samuel's net worth, liquid net worth, investment objectives, risk tolerance, investment experience, time horizon, and tax status, Danielle did not obtain the foundational information necessary to understand her client. These are not optional fields -- they are essential components of a customer's investment profile as defined under FINRA Rule 2111(a) and the corresponding Supplementary Material. Second, she violated FINRA Rule 2111 (Suitability) in all three components. Under reasonable-basis suitability, Danielle failed to understand the products she recommended -- leveraged ETFs are complex instruments that are generally considered unsuitable for buy-and-hold investors due to daily compounding effects, and she did not explain these risks. Under customer-specific suitability, she had no basis to determine whether speculative, high-risk investments were appropriate for Samuel because she never collected the information needed to make that determination. Without knowing his risk tolerance, objectives, or complete financial picture, any recommendation is inherently unsupported. Third, under Regulation Best Interest's Care Obligation, a broker must exercise reasonable diligence, care, and skill, considering the customer's investment profile. Danielle could not satisfy this obligation because she never constructed a meaningful investment profile. The Disclosure Obligation under Reg BI also required her to disclose material facts about the recommendations, including the unique risks of leveraged ETFs, which she failed to do. FINRA has issued multiple Regulatory Notices (e.g., Regulatory Notice 09-31 on leveraged ETFs and Regulatory Notice 12-03 on complex products) emphasizing heightened obligations when recommending complex or speculative products. A likely regulatory outcome would include a fine, restitution to Samuel for losses attributable to the unsuitable recommendations, a supervisory review of Danielle's other accounts, and potentially a suspension given the fundamental failure to perform basic know-your-customer diligence before making aggressive

investment recommendations.

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**Item 352 of 499****NON-COMPLIANT****Topic:** unsuitable\_income\_investor**Difficulty:** easy**Fact Pattern**

Margaret Holloway, age 74, is a retired schoolteacher living in Tucson, Arizona. She receives \$2,100 per month in Social Security and a small pension of \$800 per month. Her total liquid savings amount to \$310,000, which represent her entire life savings and the proceeds from her late husband's life insurance policy. When she opened her account in March 2022 with advisor Derek Sanchez at a regional broker-dealer, she completed a new account form indicating her investment objective as 'income and capital preservation,' her risk tolerance as 'conservative,' her time horizon as '1-5 years,' and her annual income as approximately \$34,800. She told Sanchez that she needed her portfolio to generate steady monthly income to supplement her fixed income because her prescription drug costs had risen significantly. Over the next four months, Sanchez placed Margaret's funds as follows: \$120,000 into a leveraged inverse ETF tracking the S&P 500, \$95,000 into a speculative biotech sector fund with an expense ratio of 1.85% and no dividend yield, and \$95,000 into a high-yield emerging market bond fund rated below investment grade. By December 2022, the leveraged inverse ETF had lost 38% of its value, and the biotech fund had declined 22%. Margaret's portfolio value had dropped to approximately \$207,000, and she had received virtually no income distributions during that period. When Margaret contacted Sanchez to express alarm, he told her to 'ride it out' and that markets would recover. She received no income from the portfolio to cover her monthly expenses and was forced to liquidate positions at significant losses to pay for her medications and utilities.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Sanchez clearly violated applicable suitability and best interest standards.

**\*\*Under FINRA Rule 2111 (Suitability):\*\*** The rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile. The rule encompasses three obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

- **\*\*Customer-specific suitability:\*\*** Margaret's profile was unambiguous -- she was a 74-year-old retiree with conservative risk tolerance, an income objective, a short time horizon, limited liquid assets, and dependence on portfolio income for essential living expenses. Placing \$120,000 (39% of her portfolio) in a leveraged inverse ETF is grossly unsuitable. Leveraged and inverse ETFs are designed for short-term trading, reset daily, and are widely recognized as inappropriate for buy-and-hold investors, particularly conservative retirees. The speculative biotech fund produced no income and carried high volatility and expenses. Even the below-investment-grade emerging market bond fund, while offering yield, carried substantial credit and currency risk inappropriate for a conservative investor relying on capital preservation.

- **\*\*Reasonable-basis suitability:\*\*** No reasonable advisor could conclude that a portfolio composed entirely of speculative, volatile, and non-income-producing instruments was appropriate for any income-focused conservative investor.



**\*\*Under Regulation Best Interest (Reg BI):\*\*** Effective since June 30, 2020, Reg BI requires broker-dealers to act in the retail customer's best interest at the time a recommendation is made. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, consider reasonably available alternatives, and ensure the recommendation does not place the advisor's interest ahead of the customer's. Sanchez's recommendations failed every prong -- the products were inappropriate, alternatives such as Treasury securities, investment-grade bond funds, or dividend-focused equity income funds were readily available, and the portfolio generated no income for a client who explicitly needed income.

**\*\*FINRA Rule 2360 and related ETF guidance\*\*** further emphasize that complex products like leveraged/inverse ETFs require heightened suitability analysis and are generally unsuitable for long-term, buy-and-hold retail investors.

**\*\*Likely regulatory outcome:\*\*** Sanchez would likely face FINRA enforcement action resulting in disgorgement of commissions, restitution to the customer, a fine, and a potential suspension or bar. The firm could face supervisory failure charges if it failed to flag these trades. Margaret would likely prevail in a FINRA arbitration claim for compensatory damages of approximately \$103,000 (the portfolio loss) plus any consequential damages.

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## Item 353 of 499

### NON-COMPLIANT

**Topic:** illiquid\_real\_estate\_investment

**Difficulty:** hard

### Fact Pattern

Carlos Mendez, age 52, is a mid-level IT manager in Charlotte, North Carolina, earning \$115,000 annually. He has a 401(k) with \$240,000, a taxable brokerage account with \$175,000, and \$30,000 in a savings account. He is married with two children, ages 14 and 16, and he and his wife plan to fund both children's college educations beginning in approximately two to four years. His wife works part-time earning \$28,000. On his account documentation, Carlos listed his investment objectives as 'growth and income,' his risk tolerance as 'moderate,' and his liquidity needs as 'moderate -- need access to funds within 2-5 years for education expenses.' In September 2023, his financial advisor, Lisa Tremaine, who works for an independent broker-dealer, recommended that Carlos invest \$150,000 -- representing 86% of his taxable brokerage account -- into a non-traded Real Estate Investment Trust (REIT) called Meridian Hospitality Trust II. The REIT invested in a portfolio of boutique hotels and had a minimum seven-year holding period with no guaranteed redemption program. The offering documents disclosed upfront fees totaling 12% (including selling commissions of 7%, a dealer manager fee of 2.5%, and organizational and offering costs of 2.5%), meaning only approximately \$132,000 of Carlos's \$150,000 would actually be invested in real estate assets. The REIT offered a projected (but not guaranteed) annual distribution of 6.5%. Tremaine's branch office had recently entered into a marketing agreement with Meridian's sponsor, under which the sponsor paid the branch an additional 1.5% marketing reimbursement above the standard selling commission for each subscription processed through the branch. Tremaine personally received a production bonus tied to Meridian REIT sales -- if she sold more than \$500,000 in Meridian products in a calendar quarter, she received an additional 50 basis points on all Meridian sales for that quarter. At the time of the recommendation, Tremaine had already sold \$430,000 in Meridian products that quarter. Tremaine did not disclose the marketing agreement or her personal production bonus to Carlos. She told Carlos the investment 'acts like a bond but with better returns' and that he 'could get his money out if needed.' She did not discuss the seven-year lockup period in detail, nor did she explain the impact of the 12% upfront fee load. She also did not discuss or document any alternative investments, such as publicly traded REITs, diversified bond funds, or 529 college savings plans. By late 2024, Meridian Hospitality Trust II suspended its distribution payments due to declining hotel occupancy rates and announced it would delay its liquidity event indefinitely. Carlos, now needing funds for his older child's college tuition in fall 2025, discovered he could not access his \$150,000 investment. The only available option was a secondary market sale at an estimated 40-55% discount to his original investment.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Lisa Tremaine committed multiple serious violations of applicable regulatory standards.

**\*\*1. FINRA Rule 2111 -- Suitability (Customer-Specific):\*\***

Carlos had clearly documented moderate liquidity needs with a 2-5 year time horizon for education funding. Investing 86% of his taxable brokerage account -- the account most likely to be tapped for near-term education expenses -- into a product with a minimum seven-year lockup period and no guaranteed redemption is fundamentally unsuitable. Non-traded REITs are inherently illiquid, and this concentration left Carlos with only \$25,000 remaining in his brokerage account and \$30,000 in savings to fund two children's college educations. The recommendation failed

customer-specific suitability on multiple dimensions: liquidity mismatch, excessive concentration in a single illiquid product, and incompatibility with his stated moderate risk tolerance.

**\*\*2. Regulation Best Interest (Reg BI) -- Care Obligation:\*\***

Reg BI requires that at the time of recommendation, the broker-dealer exercise reasonable diligence, care, and skill, consider the customer's investment profile, and evaluate reasonably available alternatives. Tremaine failed each element:

- She did not adequately consider Carlos's imminent need for college funding liquidity.
- She did not evaluate or present alternatives such as publicly traded REITs (which offer daily liquidity), diversified income funds, or 529 plans specifically designed for education savings.
- She recommended an extreme concentration (86% of the relevant account) in a single illiquid alternative investment.
- The recommendation placed her financial interest ahead of the customer's interest, given the production bonus threshold she was about to cross.

**\*\*3. Reg BI -- Disclosure Obligation:\*\***

Reg BI requires full and fair disclosure of all material facts relating to the scope and terms of the relationship, including conflicts of interest. Tremaine failed to disclose (a) the branch's marketing reimbursement agreement with Meridian's sponsor and (b) her personal quarterly production bonus tied to Meridian sales volume. Both created material conflicts of interest that could have influenced her recommendation and that a reasonable investor would want to know.

**\*\*4. Reg BI -- Conflict of Interest Obligation:\*\***

The firm was required to establish, maintain, and enforce written policies and procedures reasonably designed to identify, disclose, and mitigate or eliminate conflicts of interest. The marketing agreement and tiered production bonus created layered incentive conflicts. Tremaine was \$70,000 away from hitting a bonus threshold that would retroactively increase her compensation on \$500,000+ in sales. This is precisely the type of conflict that must be identified, disclosed, and mitigated. There is no indication the firm took any steps to do so.

**\*\*5. Misrepresentation:\*\***

Tremaine's characterization of the non-traded REIT as acting 'like a bond but with better returns' and her statement that Carlos 'could get his money out if needed' constitute material misrepresentations. Non-traded REITs bear no resemblance to bonds in terms of liquidity, credit structure, or risk profile. The seven-year lockup was a critical feature that was minimized or concealed. This likely violates FINRA Rule 2210 (communications with the public) and potentially FINRA Rule 2020 (use of manipulative, deceptive, or other fraudulent devices).

**\*\*6. Concentration and Non-Traded REIT Specific Guidance:\*\***

FINRA has issued extensive guidance (including Regulatory Notice 15-02 and prior notices) regarding non-traded REITs, emphasizing the need for advisors to fully explain illiquidity, fee structures, and distribution risks. Many firms and state regulators impose concentration limits for non-traded REITs (commonly 10% of liquid net worth). Placing 86% of Carlos's taxable portfolio in a single non-traded REIT vastly exceeds any reasonable concentration threshold.

**\*\*Likely regulatory outcome:\*\*** Tremaine faces potential FINRA enforcement action including fines, disgorgement of all commissions and bonuses received, restitution to the customer, and a substantial suspension or bar given the compounding nature of the violations (unsuitability, misrepresentation, undisclosed conflicts). The broker-dealer faces supervisory liability for failing to detect the concentration, failing to enforce conflict-of-interest policies around the marketing agreement and production bonus, and failing to ensure adequate disclosures were made. In FINRA arbitration, Carlos would have strong claims for compensatory damages, potentially including the full difference between his \$150,000 investment and any recovery value, plus consequential damages related to his inability to fund his children's education.

**Item 354 of 499****NON-COMPLIANT****Topic:** concentration\_risk**Difficulty:** medium**Fact Pattern**

Margaret Chen, age 72, is a retired elementary school teacher living in Portland, Oregon. She has a total liquid net worth of approximately \$410,000, consisting of a \$340,000 IRA rollover from her pension and \$70,000 in a savings account. Her annual income is \$32,000, derived entirely from Social Security benefits. She has no other sources of income and depends on her investment portfolio to supplement her living expenses by approximately \$1,500 per month. On her new account form, her investment objective was listed as 'income with capital preservation,' and her risk tolerance was marked as 'conservative.' Margaret told her advisor, David Kowalski, that she could not afford to lose her savings and needed steady, reliable income. In March 2023, Kowalski recommended that Margaret invest \$305,000 of her \$340,000 IRA -- roughly 89% of the account -- into a single non-traded real estate investment trust (REIT) focused on commercial office properties. The product carried a 7% upfront commission, a 1.5% annual management fee, and a minimum recommended holding period of seven years. The REIT had no secondary market and offered only a limited quarterly share repurchase program capped at 5% of outstanding shares. Kowalski told Margaret the REIT paid a 6.5% annual distribution and described it as 'like a CD but better.' He did not discuss alternative income-producing investments such as bond funds, Treasury securities, or diversified REIT portfolios. By late 2023, the REIT suspended its distribution payments and halted its share repurchase program due to declining commercial office occupancy rates. Margaret was unable to access her funds and lost her supplemental income stream. She filed a complaint in January 2024.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, David Kowalski likely violated both FINRA's suitability requirements under Rule 2111 and, if acting as a broker-dealer representative, the SEC's Regulation Best Interest (Reg BI) standard. Several distinct violations are present:

1. **\*\*Customer-Specific Suitability (Rule 2111.05):\*\*** Margaret was a 72-year-old retired, conservative investor with limited income and a stated need for capital preservation and steady income. Concentrating approximately 89% of her IRA in a single illiquid, non-traded REIT is fundamentally inconsistent with her documented investment objectives, risk tolerance, time horizon, and liquidity needs. Non-traded REITs carry significant liquidity risk, concentration risk, and market risk -- none of which are appropriate for a conservative retiree who depends on portfolio withdrawals for monthly living expenses.
2. **\*\*Quantitative Suitability / Concentration Risk:\*\*** Even if a non-traded REIT were suitable in some allocation, placing 89% of a client's retirement assets into a single illiquid product creates excessive concentration. FINRA has repeatedly emphasized that over-concentration in a single product or asset class, particularly illiquid alternative investments, can render a recommendation unsuitable regardless of the product's individual merits. Many firms impose internal concentration limits of 10-25% of liquid net worth for non-traded REITs.
3. **\*\*Reg BI Care Obligation (if applicable):\*\*** Under the Care Obligation of Reg BI, the advisor must exercise reasonable

diligence, care, and skill in making a recommendation, considering the customer's investment profile. Kowalski failed to consider reasonably available alternatives (e.g., Treasury bonds, investment-grade bond funds, diversified equity income funds) that would have better matched Margaret's need for liquidity, income, and capital preservation. Describing the REIT as 'like a CD but better' was misleading and suggests a failure to adequately disclose risks.

4. **\*\*Disclosure Failures:\*\*** Kowalski does not appear to have disclosed the illiquidity risks, the seven-year holding period, or the possibility that distributions could be suspended. This compounds the suitability violation and, under Reg BI, would also constitute a violation of the Disclosure Obligation.

**\*\*Likely Regulatory Outcome:\*\*** A FINRA arbitration panel or enforcement action would likely find in Margaret's favor. Remedies could include compensatory damages for lost income and diminution in value, potential rescission of the investment, and disgorgement of commissions. Kowalski could face fines, suspension, or a bar from the industry depending on his disciplinary history and whether a pattern of similar conduct exists. His firm could also face supervisory liability under FINRA Rules 3110 and 3120 for failing to detect and prevent the over-concentration.

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**Item 355 of 499****COMPLIANT****Topic:** unsuitable\_income\_investor**Difficulty:** easy**Fact Pattern**

Robert and Linda Dawson, ages 67 and 65, respectively, are recently retired and reside in Scottsdale, Arizona. Robert worked as a corporate controller and Linda was a dental hygienist. Their combined retirement assets total approximately \$1.8 million: \$900,000 in Robert's 401(k) rollover IRA, \$500,000 in Linda's IRA, and \$400,000 in a joint taxable brokerage account. They receive \$4,200 per month in combined Social Security benefits and Robert receives a small pension of \$1,100 per month. They own their home outright, valued at approximately \$650,000, and have no outstanding debts. Their stated investment objective is 'income generation with moderate growth to keep pace with inflation,' and their risk tolerance is 'moderate.' They told their advisor, Karen Suarez, that they need approximately \$3,000 per month from their portfolio to supplement their Social Security and pension income. In June 2023, Suarez recommended the following allocation across all three accounts: 40% in a diversified intermediate-term investment-grade bond fund (expense ratio 0.15%), 15% in a short-term Treasury fund (expense ratio 0.09%), 10% in a diversified dividend equity ETF tracking large-cap U.S. companies (expense ratio 0.06%), 15% in a balanced fund with a 60/40 equity-bond mix (expense ratio 0.22%), 10% in an international dividend equity fund (expense ratio 0.35%), and 10% in a money market fund for liquidity and near-term withdrawals. Suarez set up a systematic withdrawal plan of \$3,000 per month from the money market allocation, with quarterly rebalancing to replenish the money market bucket from income generated across the portfolio. She also provided the Dawsons with a written financial plan showing projected income, projected portfolio longevity through age 95, and stress-test scenarios for market downturns. Total annual portfolio expenses across all holdings average approximately 0.17%. The portfolio generated a blended yield of approximately 3.8% in 2023, and the Dawsons' total return for the year was approximately 7.2%.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Karen Suarez appears to have acted in full compliance with applicable suitability and best interest standards.

1. **\*\*FINRA Rule 2111 -- Suitability:\*\*** The recommendation is consistent with the Dawsons' documented investment profile. They are moderate-risk, income-oriented retirees with a substantial asset base, no debt, and supplemental income from Social Security and pension. The portfolio is well-diversified across multiple asset classes and is appropriately weighted toward fixed income (65% in bonds, Treasuries, and money market) while including a modest equity allocation (35%) to provide inflation-hedging growth. No single holding dominates the portfolio, and there is no concentration in illiquid or speculative products.

2. **\*\*Reg BI -- Care Obligation:\*\*** Suarez exercised reasonable diligence, care, and skill. She evaluated the Dawsons' full financial picture -- including income sources, expenses, asset levels, time horizon, and risk tolerance -- and constructed a recommendation that reasonably addresses their need for \$3,000/month in supplemental income while preserving long-term purchasing power. She considered cost, presenting low-expense-ratio funds with a blended average of approximately 0.17%, well below industry averages. She also did not recommend any products that would generate outsized commissions or fees for herself.

3. **\*\*Reg BI -- Disclosure Obligation:\*\*** Suarez provided a written financial plan with projected income, portfolio longevity projections, and stress testing, suggesting thorough disclosure of material facts and risks.

4. **\*\*Reasonable Basis and Customer-Specific Suitability:\*\*** Each individual fund recommendation is reasonable for income-oriented moderate-risk investors, and the overall portfolio is suitable given the Dawsons' specific circumstances. The systematic withdrawal strategy with a money market buffer is a recognized best practice for managing sequence-of-returns risk in retirement.

5. **\*\*Quantitative Suitability:\*\*** There is no indication of excessive trading or turnover. The quarterly rebalancing is a standard portfolio management practice.

**\*\*Likely Regulatory Outcome:\*\*** No violation. If a complaint were filed, it would likely be dismissed. The recommendation is well-documented, cost-effective, diversified, and aligned with the clients' stated objectives and risk tolerance. This represents a model of appropriate retirement income planning.

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## Item 356 of 499

### NON-COMPLIANT

**Topic:** inappropriate\_risk\_profile

**Difficulty:** medium

### Fact Pattern

Margaret Olsen, age 61, was a recently retired elementary school teacher in Dayton, Ohio, with a pension paying \$3,200 per month and a rollover IRA of \$185,000 representing the entirety of her liquid retirement savings. She had no other investments, owned her home outright, and listed her investment objective as capital preservation and income generation to supplement her pension. On her new account form completed in March 2022, she checked 'conservative' for risk tolerance and noted she had 'minimal' investment experience, having previously held only a target-date retirement fund through her employer plan. Her advisor, Craig Delaney, a registered representative with fourteen years of experience at a mid-sized broker-dealer, recommended transitioning the entire IRA into an actively managed portfolio of individual equities concentrated in small-cap technology and biotech stocks. Between March 2022 and September 2023--an eighteen-month period--Delaney executed 274 trades in Margaret's account. The account had an annualized turnover rate of approximately 11.2 and a cost-to-equity ratio of roughly 23%. During this period, the account generated \$42,600 in commissions and fees paid to Delaney. Despite the S&P 500 returning approximately 7% over the same window, Margaret's account value declined from \$185,000 to \$118,400, a loss of \$66,600 or roughly 36%. Margaret stated she never requested frequent trading, rarely understood the trade confirmations she received, and trusted Delaney to manage her money safely. Delaney told her the strategy was designed to 'capture momentum in growth sectors' and that short-term losses were normal. He never discussed the commission structure in detail or presented alternative lower-cost options such as index funds or bonds.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Craig Delaney committed multiple serious violations. Under FINRA Rule 2111 (Suitability), a registered representative must have a reasonable basis for believing a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. Margaret's profile--a 61-year-old retiree with conservative risk tolerance, minimal experience, capital preservation objectives, and total liquid savings of \$185,000--was fundamentally incompatible with an aggressive, concentrated small-cap tech and biotech portfolio.

The excessive trading constitutes a separate violation under FINRA Rule 2111's quantitative suitability component, as well as potential churning under the antifraud provisions. An annualized turnover rate of 11.2 far exceeds the threshold courts and regulators have historically treated as presumptively excessive (typically a turnover rate above 6 raises strong inference of churning). The cost-to-equity ratio of 23% means Margaret's portfolio would have needed to appreciate by 23% annually just to break even after costs, which is unrealistic for virtually any investment strategy and certainly for a conservative investor.

Under Regulation Best Interest (Reg BI), which took effect in June 2020, Delaney was required to act in Margaret's best interest at the time of each recommendation. The Care Obligation under Reg BI requires consideration of reasonably available alternatives and an evaluation of costs relative to the customer's profile. Delaney failed on every count: he did not consider lower-cost alternatives, did not weigh the excessive costs against Margaret's modest means, and



recommended a strategy wholly misaligned with her stated objectives and risk tolerance.

The Disclosure Obligation under Reg BI was also violated because Delaney never meaningfully explained the commission structure or the material conflicts of interest created by his compensation model incentivizing frequent trading.

Additionally, FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) is implicated, as the pattern of conduct--generating \$42,600 in commissions while the client lost \$66,600--reflects a prioritization of the advisor's financial interest over the customer's welfare.

The likely regulatory outcome includes FINRA enforcement action seeking disgorgement of commissions, restitution to the customer, a substantial fine, and a suspension or bar from the industry. Margaret would also have strong claims in FINRA arbitration for churning, unsuitability, and breach of fiduciary duty (if the account was discretionary or de facto controlled by Delaney).

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## Item 357 of 499

### NON-COMPLIANT

**Topic:** private\_placements\_unsuitable

**Difficulty:** hard

### Fact Pattern

Harold Briggs, age 82, was a widowed retired machinist living in a modest ranch home in suburban Indianapolis. His total assets consisted of \$340,000 in a brokerage account, \$22,000 in a checking account, and Social Security income of \$2,100 per month. He had no long-term care insurance and his health had been declining--he was recently diagnosed with early-stage dementia, a fact he had disclosed to his advisor during a routine meeting in January 2023. His account paperwork listed his investment objective as 'income and preservation of capital,' his risk tolerance as 'low,' his time horizon as 'short-term (1-3 years),' and his investment experience as 'limited.' His financial advisor, Dana Prescott, had been his representative for nine years and was aware of his full financial picture. In February 2023, Prescott recommended that Harold invest \$280,000--approximately 77% of his liquid net worth--into a private placement offering structured as a 12-year illiquid promissory note issued by a real estate development LLC. The note paid a stated interest rate of 8.5% annually, but distributions were not guaranteed and were contingent on the cash flows of a portfolio of ground-up commercial real estate projects in secondary markets. The note could not be redeemed early, had no secondary market, and the offering memorandum--a 94-page document--disclosed numerous risk factors including total loss of principal, developer inexperience, leverage ratios exceeding 80%, and subordination of investor claims to senior lenders. Prescott earned a 7% selling commission of \$19,600 on the transaction. Prescott told Harold the investment was 'like a CD but with better returns' and that 'the income would help cover any future medical expenses.' Harold signed the subscription documents, though his daughter later stated he had difficulty understanding basic financial statements and frequently forgot recent conversations. Prescott did not discuss the illiquidity, the lack of guaranteed distributions, the risk of total loss, or any alternative income-producing investments such as Treasury bonds, investment-grade bond funds, or certificates of deposit.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Dana Prescott's recommendation constitutes a severe violation of multiple regulatory standards.

Under FINRA Rule 2111 (Suitability), all three components are violated:

1. **Reasonable-Basis Suitability**: An advisor must understand the product well enough to assess its risks and features. The 12-year illiquid private placement carried extreme risks--no liquidity, no guaranteed income, leverage above 80%, subordination to senior debt, and the possibility of total loss. If Prescott genuinely characterized it as 'like a CD,' she either did not understand the product or deliberately misrepresented it, violating reasonable-basis suitability either way.
2. **Customer-Specific Suitability**: Harold was an 82-year-old retiree with low risk tolerance, a short-term time horizon (1-3 years), limited investment experience, declining cognitive health including an early dementia diagnosis, no long-term care insurance, and modest total assets. A 12-year illiquid, high-risk private placement consuming 77% of his liquid assets is patently unsuitable. He would be 94 years old before the note matured. The concentration risk alone is disqualifying--his remaining liquid assets of approximately \$82,000 would be grossly insufficient to cover medical

expenses, long-term care, or unexpected needs over the next decade.

3. **Quantitative Suitability**: While typically applied to excessive trading, the concentration of 77% of liquid assets in a single illiquid, speculative investment raises analogous concerns about whether the overall portfolio construction made sense for the customer.

Under Regulation Best Interest (Reg BI):

- **Care Obligation**: Prescott failed to exercise reasonable diligence, care, and skill. She did not evaluate reasonably available alternatives (Treasuries, CDs, investment-grade bonds) that would have satisfied Harold's income needs without exposing him to catastrophic risk and illiquidity. The 7% commission (\$19,600) created an enormous conflict of interest that Prescott did not mitigate.

- **Disclosure Obligation**: Prescott failed to disclose material facts about the investment, including illiquidity, lack of guaranteed distributions, subordination, and total-loss risk. Characterizing the product as 'like a CD' is an affirmatively misleading statement.

- **Conflict of Interest Obligation**: The 7% selling commission is significantly higher than typical commissions on conventional fixed-income products, creating a material conflict that Prescott neither disclosed nor mitigated.

Additionally, FINRA Rule 2010 (Standards of Commercial Honor) is implicated by the misleading sales pitch and exploitation of a cognitively impaired elderly client. FINRA's heightened scrutiny of senior investor protections, as reflected in FINRA Rule 2165 (Financial Exploitation of Specified Adults), is also relevant--Prescott was aware of the dementia diagnosis and proceeded with an unsuitable recommendation regardless.

The mischaracterization of the investment as 'like a CD' may also constitute a violation of FINRA Rule 2210 (Communications with the Public) if made in writing, and potentially securities fraud under the antifraud provisions (Section 10(b) of the Securities Exchange Act of 1934 and Rule 10b-5) if made with scienter.

The likely regulatory outcome would include FINRA enforcement proceedings resulting in restitution, disgorgement of the \$19,600 commission, a substantial monetary fine, and a lengthy suspension or permanent bar from the securities industry. Harold or his estate would have strong arbitration claims for unsuitability, misrepresentation, breach of fiduciary duty, negligence, and elder financial exploitation. State securities regulators and adult protective services could also pursue separate actions.

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## Item 358 of 499

### NON-COMPLIANT

**Topic:** illiquid\_investments

**Difficulty:** medium

### Fact Pattern

Margaret Dawson, age 71, is a retired school librarian living in Tucson, Arizona. She receives \$2,100 per month from Social Security and a small pension of \$800 per month. Her total liquid savings amount to approximately \$185,000, held in a traditional IRA that was already providing tax-deferred growth. Margaret described herself as conservative, with her primary investment objective being capital preservation and generating modest income to supplement her retirement. She told her advisor, Kevin Pruitt, that she might need to access portions of her savings for medical expenses, as she had recently been diagnosed with early-stage kidney disease requiring ongoing treatment. In March 2023, Pruitt recommended that Margaret move \$140,000 of her IRA -- approximately 76% of her total liquid savings -- into a variable annuity with a 7-year surrender period. The annuity carried a mortality and expense charge of 1.35% annually, an administrative fee of 0.15%, and underlying sub-account expenses averaging 0.85%, bringing the total annual cost to roughly 2.35%. Surrender charges started at 7% in year one and decreased by 1% each year. Pruitt told Margaret the annuity would provide a guaranteed death benefit and potential for market-linked growth. He did not discuss in detail that she was placing a tax-deferred product inside an already tax-deferred IRA wrapper, nor did he explain that the surrender charges would make it extremely costly for her to access the funds during the first several years -- a period during which she was likely to need money for medical treatment. Within eight months, Margaret needed \$30,000 for a medical procedure not fully covered by Medicare. She was forced to surrender a portion of the annuity, incurring a \$1,890 surrender penalty in addition to the ongoing elevated fees she had already been paying. Pruitt earned a commission of approximately \$7,700 on the annuity sale.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Kevin Pruitt likely violated both FINRA's suitability requirements under Rule 2111 and the SEC's Regulation Best Interest (Reg BI) Care Obligation. Multiple grounds support this conclusion.

1. **\*\*Quantitative Suitability / Reasonable-Basis Suitability (FINRA Rule 2111):\*\*** Variable annuities placed inside an already tax-deferred IRA provide no incremental tax benefit, since the IRA wrapper already defers taxes on growth. FINRA has long scrutinized such transactions because the additional layers of fees -- mortality and expense charges, administrative fees, and sub-account expenses -- erode returns without providing the primary benefit (tax deferral) that justifies those costs. Pruitt had no reasonable basis for recommending a product whose central feature was redundant with the account in which it was placed.
2. **\*\*Customer-Specific Suitability (FINRA Rule 2111):\*\*** Margaret was 71, conservative, reliant on fixed income, had limited liquid savings, and had a known impending need for medical funds due to her kidney disease diagnosis. Recommending that 76% of her liquid savings be locked into an illiquid product with a 7-year surrender schedule directly conflicted with her stated need for capital preservation and liquidity. The surrender penalties created a foreseeable barrier to accessing her own money for medical care.
3. **\*\*Reg BI Care Obligation:\*\*** Under Reg BI's Care Obligation, the broker must exercise reasonable diligence, care,

and skill to understand the risks, rewards, and costs of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest, considering the customer's investment profile. Here, the excessive cost structure (2.35% annually plus surrender charges), the redundancy of tax deferral, the client's age, health condition, conservative risk tolerance, and liquidity needs all indicate Pruitt failed this standard. The \$7,700 commission suggests the recommendation was driven by the advisor's financial interest rather than the customer's needs.

4. **\*\*Reg BI Disclosure Obligation:\*\*** Pruitt failed to adequately explain that tax deferral inside an IRA was duplicative or that the surrender charges could significantly impair Margaret's access to funds she would foreseeably need.

5. **\*\*FINRA Rule 2330 (Variable Annuity Suitability):\*\*** This rule specifically requires that a broker have a reasonable basis to believe that the customer would benefit from certain features of a variable annuity -- such as tax-deferred growth -- that are not already available through the existing account. Placing a VA inside an IRA without demonstrating an additional benefit (such as a living benefit rider specifically meeting the client's needs) is a hallmark violation.

**\*\*Likely Regulatory Outcome:\*\*** Pruitt would likely face FINRA disciplinary action including fines, disgorgement of the \$7,700 commission, restitution to Margaret for surrender penalties and excess fees, and a potential suspension. A pattern of similar sales could result in a bar from the industry. State regulators could also pursue action for unsuitable recommendations to a senior investor, as many states have enhanced protections for elderly customers.

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## Item 359 of 499

### COMPLIANT

**Topic:** concentration\_risk

**Difficulty:** hard

### Fact Pattern

David Nakamura, age 52, is a senior software architect at a publicly traded technology company in Seattle, earning \$420,000 annually. He has a net worth of approximately \$6.2 million, of which \$2.8 million is in vested company stock, \$1.9 million in diversified brokerage and retirement accounts, \$800,000 in real estate equity (his primary residence), and \$700,000 in cash and short-term bonds. David has been investing actively for over 25 years, holds a CFA charter he earned early in his career before transitioning to technology, and describes his risk tolerance as aggressive. His investment objective is long-term growth, and he has stated repeatedly that he does not plan to retire until at least age 65. In January 2024, David approached his financial advisor, Rachel Simmons, wanting to invest an additional \$350,000 from a recent stock option exercise into a concentrated position in a single large-cap semiconductor company -- a stock he had been researching extensively. David already held \$150,000 in this same stock. If the new purchase went through, approximately 8% of his total portfolio would be in this single non-employer stock, while his employer stock would remain at roughly 45% of his net worth. Rachel spent two meetings discussing the risks of David's overall concentration, particularly the employer stock position. She presented a detailed analysis showing the impact of a 40% decline in his employer's stock on his net worth, and she recommended David consider a 10b5-1 plan or other systematic approach to diversify the employer holdings over time. Regarding the \$350,000 semiconductor purchase specifically, Rachel discussed sector-specific risks, earnings volatility, and the correlation between this stock and David's employer stock since both were in the technology sector. She documented David's extensive research, his CFA background, his understanding of single-stock risk, and his stated rationale for the position. David acknowledged all risks in writing and confirmed he wanted to proceed. Rachel executed the trade and noted in her file that she would revisit both the employer stock concentration and the semiconductor position at their next quarterly review.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

No, Rachel Simmons likely did not violate suitability or best interest standards in executing this trade, though the broader employer stock concentration warrants ongoing attention.

**\*\*Analysis under FINRA Rule 2111 (Suitability):\*\***

- **\*\*Reasonable-Basis Suitability:\*\*** A concentrated position in a single large-cap semiconductor stock is a recognized investment strategy that can be suitable for sophisticated, high-net-worth, aggressive-growth investors. Rachel performed due diligence on the specific stock and its risks.

- **\*\*Customer-Specific Suitability:\*\*** David's profile strongly supports the recommendation's suitability. He is 52 with a 13+ year time horizon, earns \$420,000 annually, has \$6.2 million in net worth with substantial diversified holdings (\$1.9 million in diversified accounts, \$700,000 in cash/bonds), an aggressive risk tolerance, and exceptional investment sophistication as a CFA charterholder with 25 years of experience. The \$350,000 purchase would bring this particular holding to approximately 8% of his total portfolio -- a meaningful but not extreme concentration for an investor of his profile and risk tolerance.

**\*\*Analysis under Reg BI Care Obligation:\*\***

Rachel exercised reasonable diligence, care, and skill. She held two dedicated meetings, presented quantitative scenario analysis, discussed sector correlation risk (both stocks being in technology), documented the client's independent research and sophisticated understanding, and obtained written acknowledgment of risks. She also proactively addressed the more concerning concentration issue -- the 45% employer stock position -- by recommending a diversification strategy, even though David did not ask for that advice.

**\*\*Analysis under Reg BI Disclosure Obligation:\*\***

Rachel disclosed the material risks of the specific position, including sector concentration and correlation with employer holdings.

**\*\*Key Considerations That Support Compliance:\*\***

1. The specific stock position (8% of portfolio) is within reasonable bounds for an aggressive, sophisticated investor.
2. Extensive documentation of risk discussions and client acknowledgment.
3. The advisor proactively flagged the larger concentration concern (employer stock) and recommended remedial action.
4. The client's CFA background and decades of experience make it reasonable to credit his informed decision-making.
5. Adequate liquidity remains (\$700,000 cash/bonds, \$1.9 million diversified accounts) even if both tech positions declined significantly.
6. Rachel established a plan for ongoing monitoring at quarterly reviews.

**\*\*Caveat:\*\*** The employer stock concentration at 45% of net worth is a separate and more concerning issue. While Rachel appropriately flagged it and recommended diversification, if she fails to continue pressing this issue and documenting those conversations, future regulatory scrutiny could arise -- particularly if the employer stock subsequently declines substantially. However, an advisor cannot force a client to diversify, and Rachel's documented efforts to address this risk demonstrate she met her obligations.

**\*\*Likely Regulatory Outcome:\*\*** No violation. If reviewed, regulators would likely find Rachel's process -- thorough risk analysis, multiple meetings, written acknowledgment, ongoing monitoring plan, and proactive advice on the larger concentration risk -- to be a model of how to handle a sophisticated client's informed decision to take a concentrated position.

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## Item 360 of 499

### NON-COMPLIANT

**Topic:** concentration\_risk

**Difficulty:** medium

### Fact Pattern

Margaret Holliday, age 64, was a recently retired school librarian in suburban Ohio with a total liquid net worth of approximately \$410,000, consisting of a 403(b) rollover IRA of \$340,000 and a savings account of \$70,000. Her annual pension income was \$32,000, and she had Social Security benefits of \$1,800 per month. She described her risk tolerance on her new account form as 'moderate' and stated her primary investment objectives were capital preservation and income generation to supplement her pension during retirement. She had limited investment experience, having only owned target-date mutual funds inside her 403(b) for the previous 20 years. In March 2023, her newly assigned financial advisor, Kevin Brandt, recommended that she move \$305,000 -- roughly 74% of her total liquid assets and nearly 90% of her IRA -- into shares of a single publicly traded regional bank holding company, citing its 5.2% dividend yield and the fact that it was headquartered locally. Brandt told her that the bank was 'rock solid' and that the dividends would give her the income she needed. He did not discuss diversification, sector risk, or the potential impact of interest rate volatility on regional bank stocks. He did not present any alternative income-generating strategies such as bond ladders, diversified dividend funds, or balanced portfolios. By September 2023, the regional bank's stock price had declined 38% amid broader regional banking sector stress, reducing Margaret's position to approximately \$189,000, a loss of roughly \$116,000. Her dividend payments had also been suspended after the bank cut its distribution to preserve capital. Margaret filed a complaint stating she was never told that the majority of her retirement savings would be placed in a single stock and that she would have preferred a diversified approach.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Kevin Brandt violated applicable standards on multiple grounds.

**\*\*FINRA Suitability (Rule 2111):\*\*** Under the quantitative suitability and customer-specific suitability components of Rule 2111, a recommendation must be suitable for the particular customer based on their investment profile, including age, risk tolerance, financial situation, investment objectives, and time horizon. Margaret was a 64-year-old recent retiree with moderate risk tolerance and capital preservation/income objectives. Concentrating approximately 74% of her liquid net worth -- and nearly 90% of her IRA -- in a single equity security is facially unsuitable for such a profile. FINRA has consistently held that excessive concentration in a single security, particularly for conservative or moderate-risk retirees, violates customer-specific suitability obligations. The recommendation failed to account for the concentration risk inherent in holding a single stock, sector-specific risk in regional banking, and the client's dependence on these assets for retirement income.

**\*\*Regulation Best Interest (Reg BI):\*\*** If Brandt was a registered representative of a broker-dealer, the Care Obligation under Reg BI required him to exercise reasonable diligence, care, and skill in making the recommendation, to understand the risks and rewards of the recommendation, and to have a reasonable basis to believe the recommendation was in Margaret's best interest and did not place his own interests ahead of hers. Placing the vast majority of a moderate-risk retiree's assets in a single equity security with no discussion of diversification, alternatives, or downside risk fails the Care Obligation. Additionally, the Disclosure Obligation required Brandt to disclose material



facts about the recommendation, including risks, which he failed to do.

**\*\*Investment Adviser Fiduciary Duty:\*\*** If Brandt was acting as an investment adviser or investment adviser representative, he owed Margaret a fiduciary duty of care and loyalty under the Investment Advisers Act of 1940. The fiduciary duty of care requires providing advice that is in the client's best interest, which includes a duty to provide advice that is suitable and a duty not to subordinate the client's interests. Concentrating a retiree's life savings in a single stock while ignoring her stated objectives is a clear breach of fiduciary duty.

**\*\*Likely Regulatory Outcome:\*\*** Brandt would likely face FINRA disciplinary action, including fines, disgorgement, suspension, or a bar. In arbitration, Margaret would have a strong claim for compensatory damages of approximately \$116,000 (or potentially the full loss measured from the date of the unsuitable recommendation). The failure to discuss or document any rationale for the concentration, the absence of alternative recommendations, and the mismatch between the recommendation and Margaret's profile make this a strong case for the claimant.

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**Item 361 of 499****NON-COMPLIANT****Topic:** market\_timing\_unsuitable**Difficulty:** hard**Fact Pattern**

Harold Nguyen, age 81, was a retired machinist living in Tampa, Florida, with total investable assets of approximately \$525,000, representing his entire life savings accumulated over 45 years of work. His monthly income consisted of \$2,100 in Social Security and a small pension of \$950 per month. He had no other sources of income. Harold's account application, completed in January 2023 with his advisor, Danielle Voss, listed his risk tolerance as 'conservative,' his investment objective as 'preservation of capital,' his time horizon as 'short (1-5 years),' and his investment experience as 'limited.' Harold had mild cognitive decline, which his daughter mentioned to Voss during the initial meeting, noting that Harold sometimes had difficulty understanding complex financial documents and relied on his daughter to help him review statements. Despite this profile, in February 2023, Voss recommended that Harold invest \$475,000 -- approximately 90% of his liquid net worth -- into a 12-year market-linked structured note issued by a mid-tier European investment bank. The note's principal was not guaranteed; instead, the return of principal at maturity was contingent on a basket of three equity indices (the S&P 500, the Euro Stoxx 50, and the Nikkei 225) not declining more than 35% from their levels at the time of issuance at any point during the 12-year term. If any of the three indices breached the 35% barrier at any time -- even briefly -- Harold would receive back only a fraction of his principal proportional to the worst-performing index's decline from its initial level. The note paid no periodic coupon or income during its term. The product carried an estimated 3.5% upfront commission to Voss's firm, totaling approximately \$16,625. Voss did not explain the knock-in barrier mechanics, the counterparty credit risk of the issuing European bank, the absence of any income payments, the illiquidity of the note (secondary market sales were possible only at steep discounts), or the fact that Harold, at age 81, might not survive to the maturity date of the note when he would be 93. She did not discuss any alternative investments. Harold's daughter discovered the transaction three months later when she noticed the large withdrawal from Harold's brokerage account and the absence of any income or dividend payments. She filed a complaint on Harold's behalf, stating that her father did not understand what a structured note was, could not explain the investment when asked, and that the product was completely inappropriate for his needs and circumstances.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Danielle Voss committed severe violations across every applicable regulatory framework.

**\*\*FINRA Suitability (Rule 2111):\*\*** Rule 2111 requires that a recommended transaction or investment strategy be suitable for the customer based on the customer's investment profile. There are three core components:

1. **\*Reasonable-Basis Suitability:\*** The advisor must have a reasonable basis to believe, based on reasonable diligence, that the recommendation is suitable for at least some investors. While structured notes are legitimate products, Voss needed to understand the product's complex payoff structure, risks, and features before recommending it. The facts suggest she failed to understand or articulate the knock-in barrier mechanics, counterparty risk, and liquidity constraints.
2. **\*Customer-Specific Suitability:\*** This is the most glaring violation. Harold was an 81-year-old conservative investor

with limited experience, a short time horizon, capital preservation objectives, reported cognitive decline, total dependence on these assets for financial security, and a need for income. The structured note was a 12-year, non-income-paying, principal-at-risk product tied to three volatile equity indices with complex contingent payoff conditions. Every element of Harold's investment profile contradicted this recommendation: his age versus the 12-year maturity (he would be 93), his conservative risk tolerance versus the equity-linked downside risk, his need for income versus the zero-coupon structure, his limited experience and cognitive issues versus the product's extreme complexity, and his short time horizon versus the note's long duration and illiquidity.

3. **\*Quantitative Suitability:** Concentrating 90% of an 81-year-old's life savings in a single illiquid, complex product is excessive by any measure.

**\*\*Regulation Best Interest (Reg BI):** Under the Care Obligation of Reg BI, Voss was required to exercise reasonable diligence, care, and skill, to understand the risks and rewards of the structured note, and to have a reasonable basis to believe the recommendation was in Harold's best interest without placing her interests ahead of his. The \$16,625 commission created a significant financial incentive that appears to have driven the recommendation. The Disclosure Obligation required her to disclose all material facts, including the complex risk/return profile, counterparty risk, illiquidity, and the commission -- none of which she disclosed. Under the Conflict of Interest Obligation, the firm was required to establish policies to identify and mitigate conflicts arising from the substantial commission. The recommendation fails every prong of Reg BI.

**\*\*Investment Adviser Fiduciary Duty:** If Voss held herself out as an advisor or had discretion, the fiduciary duties of care and loyalty under the Investment Advisers Act of 1940 would apply. The duty of care requires the advisor to provide advice in the client's best interest based on a thorough understanding of the client's objectives, financial situation, and needs. Recommending a 12-year illiquid structured note to a cognitively declining 81-year-old with conservative objectives is a textbook fiduciary breach. The duty of loyalty prohibits placing one's own financial interests above the client's, and the large upfront commission suggests the recommendation was motivated by compensation.

**\*\*Additional Considerations -- Senior Investors and Diminished Capacity:** FINRA has issued specific guidance regarding the protection of senior investors (e.g., FINRA Regulatory Notice 07-43 and Rule 2165). The daughter's disclosure of Harold's cognitive decline should have prompted heightened scrutiny and potentially a pause in account activity. Proceeding with a complex, unsuitable recommendation despite known cognitive issues represents an aggravating factor.

**\*\*Likely Regulatory Outcome:** This case presents egregious facts likely to result in significant sanctions. FINRA would likely pursue a formal disciplinary action resulting in disgorgement of commissions, substantial fines, restitution to Harold, and a lengthy suspension or permanent bar for Voss. In a FINRA arbitration proceeding, Harold (through his daughter) would have a very strong claim for full compensatory damages, including the difference between the value of his investment and what he would have earned in a suitable conservative portfolio, plus potential consequential damages. The firm that employed Voss would also face supervisory liability for failing to identify and prevent the unsuitable transaction through its supervisory and compliance systems.

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## Item 362 of 499

### NON-COMPLIANT

**Topic:** illiquid\_investments

**Difficulty:** medium

### Fact Pattern

Margaret Townsend, age 74, is a retired school librarian living in rural Ohio on a fixed income of \$2,400 per month from Social Security and a small pension. Her total liquid savings amounted to approximately \$185,000, held in a brokerage account she opened in 2019. On her new account form, she indicated her risk tolerance as 'conservative,' her investment objective as 'income and capital preservation,' her time horizon as '1-3 years,' and her liquidity needs as 'high' because she anticipated needing funds for potential assisted living expenses within the next two years. She had no prior investment experience beyond certificates of deposit. In March 2022, her financial advisor, Derek Hollis, recommended she invest \$130,000 -- roughly 70% of her liquid net worth -- into three different non-traded Real Estate Investment Trusts (REITs). The first was a hospitality-focused REIT requiring a minimum seven-year holding period, into which \$50,000 was placed. The second was a healthcare-facility REIT with an eight-year lockup and early redemption penalties of 10%, into which \$45,000 was placed. The third was a data-center REIT with a six-year minimum hold period, into which \$35,000 was placed. The combined upfront commissions paid to Hollis totaled approximately \$9,100 (roughly 7% of invested capital). Hollis told Margaret these were 'safe as CDs but with better returns' and did not discuss the illiquid nature, the holding periods, or the early redemption penalties in detail. By late 2023, Margaret needed \$60,000 for a deposit at an assisted living facility after a fall that impaired her mobility. She attempted to liquidate her REIT holdings and was informed she could not redeem shares without incurring substantial penalties and that two of the three REITs had suspended their share repurchase programs entirely. Margaret was left with only approximately \$55,000 in accessible funds and had to delay her move to assisted living by several months while her family scrambled to find alternative financial arrangements.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Hollis violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis for believing a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, time horizon, and investment objectives. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:\*\*** For recommendations made after June 30, 2020, broker-dealers must act in the retail customer's best interest at the time the recommendation is made, without placing the financial interest of the broker ahead of the customer's interest. The Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation.
3. **\*\*FINRA Regulatory Notices on Non-Traded REITs:\*\*** FINRA has issued multiple notices (including Regulatory

Notice 09-09 and 15-02) cautioning firms about concentration in illiquid products and requiring heightened scrutiny of suitability for non-traded REITs given their illiquidity, high fees, and complexity.

**\*\*Analysis of Violations:\*\***

- **\*\*Customer-Specific Suitability Failure:\*\*** Margaret's profile -- age 74, conservative risk tolerance, capital preservation objective, 1-3 year time horizon, high liquidity needs, no investment sophistication -- is fundamentally incompatible with non-traded REITs that have 6-8 year lockup periods and early redemption penalties. Recommending these products violated the customer-specific suitability obligation.

- **\*\*Concentration Risk:\*\*** Placing 70% of a 74-year-old retiree's liquid net worth into illiquid alternative investments with long holding periods represents an egregious concentration that no reasonable advisor would deem suitable for this customer profile.

- **\*\*Reg BI Care Obligation Violation:\*\*** Hollis failed to exercise reasonable diligence, care, and skill. He did not consider the customer's stated need for liquidity within two years, which was directly contradicted by the recommended products' lockup periods.

- **\*\*Reg BI Disclosure Obligation Violation:\*\*** Hollis described the non-traded REITs as 'safe as CDs' and failed to disclose the illiquid nature, holding periods, and early redemption penalties -- material facts that a reasonable investor would consider important.

- **\*\*High Front-End Commissions:\*\*** The approximately 7% upfront commissions (\$9,100) suggest the recommendation was driven by compensation rather than client interest, implicating the Reg BI Conflict of Interest Obligation.

**\*\*Likely Regulatory Outcome:\*\*** A FINRA enforcement action would likely result in findings of suitability violations and Reg BI violations. Hollis and his firm could face restitution of the customer's losses (including redemption penalties and opportunity costs), disgorgement of commissions, substantial fines, a suspension or bar for Hollis, and supervisory failure charges against the firm if it failed to implement reasonable oversight of non-traded REIT sales to elderly, conservative investors.

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## Item 363 of 499

### NON-COMPLIANT

**Topic:** options\_unsuitable

**Difficulty:** hard

### Fact Pattern

William and Dorothy Chen, both age 71, are retired from careers as a postal worker and a dental hygienist, respectively. Their combined retirement income is \$4,800 per month from Social Security and William's modest pension. Their total investable assets at the time of the events were approximately \$410,000, representing their life savings intended to fund their remaining retirement years. Neither had any other significant assets beyond their home, valued at approximately \$220,000 with no mortgage. On their account applications completed in January 2021, both indicated 'moderate' risk tolerance, 'income with some growth' as their investment objective, and a time horizon of '5-10 years.' Their investment experience was listed as 'limited -- mutual funds only.' Their advisor, Craig Delaney, who had been their broker for three years, convinced the Chens in February 2021 to open margin accounts, telling them it would give them 'more flexibility.' Over the next fourteen months, Delaney executed an aggressive options strategy in both accounts. He sold uncovered (naked) put options on volatile technology and biotech stocks, including positions in companies like a small-cap gene therapy firm and an early-stage electric vehicle manufacturer. In total, Delaney executed over 190 options transactions across both accounts between February 2021 and April 2022. The margin balances in the accounts fluctuated, at times reaching as high as \$175,000 combined. The Chens were charged approximately \$38,000 in total commissions and margin interest over the period. Delaney did not explain the mechanics of naked put selling, the theoretically substantial downside risk, or the margin calls that could result. When a sharp market downturn occurred in early 2022, multiple naked put positions were assigned, and the Chens received margin calls totaling \$112,000. Unable to meet the calls, positions were liquidated at significant losses. By April 2022, the combined account value had declined from \$410,000 to approximately \$148,000 -- a loss of roughly \$262,000, or 64% of their life savings. The Chens discovered the full scope of the trading only when they received the margin call notices and contacted Delaney, who had not previously informed them of the mounting losses. Dorothy Chen stated in a written complaint that she and her husband never authorized options trading and did not understand what options were.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Craig Delaney committed severe violations of multiple regulatory requirements. This fact pattern involves egregious misconduct on several dimensions.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires reasonable-basis, customer-specific, and quantitative suitability for all recommendations. The quantitative component is particularly relevant given 190 transactions in 14 months.
2. **\*\*Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:\*\*** Since these recommendations occurred after June 30, 2020, Reg BI's Care Obligation, Disclosure Obligation, and Conflict of Interest Obligation all apply.
3. **\*\*FINRA Rule 2360 (Options):\*\*** Governs options trading in customer accounts and requires firms to evaluate the suitability of options trading for each customer. The rule requires specific approval for different levels of options trading,

with naked (uncovered) writing representing the highest risk level, demanding the most stringent suitability determination.

4. **FINRA Rule 4210 (Margin Requirements):** Governs the extension of margin credit and imposes specific requirements for margin accounts, including initial and maintenance margin requirements for options positions.

5. **FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade):** Requires adherence to high standards of commercial honor and just and equitable principles of trade.

6. **FINRA Rule 3110 (Supervision):** The firm had an obligation to supervise Delaney's activities, particularly given the high-risk nature of naked option writing in accounts of elderly, unsophisticated retirees.

**Analysis of Violations:**

- **Options Suitability (FINRA Rule 2360):** Naked put writing is the highest-risk level of options trading. It exposes the account holder to losses that can be many multiples of the premium received. The Chens -- retired, age 71, limited investment experience, moderate risk tolerance, income-oriented objectives -- are categorically unsuitable for uncovered options writing. No reasonable suitability determination could have approved this level of options activity for these customers. The options positions were concentrated in volatile small-cap and speculative stocks, further compounding the risk.

- **Customer-Specific Suitability (FINRA Rule 2111):** The Chens' investment profile (age, income dependence on savings, limited experience, moderate risk tolerance, income objective) is entirely inconsistent with leveraged, speculative naked options strategies. The use of \$410,000 in life savings -- money the Chens needed to fund their entire remaining retirement -- for such strategies is a textbook suitability violation.

- **Quantitative Suitability:** With 190 options transactions generating \$38,000 in commissions and margin interest over 14 months on a \$410,000 account, the cost-to-equity ratio and turnover rate suggest excessive trading. The accounts would have needed to generate returns well in excess of 9% annually simply to cover costs, which is unreasonable for accounts with a moderate risk profile.

- **Reg BI Care Obligation:** Delaney failed to exercise reasonable diligence, care, and skill. He recommended the highest-risk category of options trading to elderly retirees with limited experience and moderate risk tolerance, using their life savings. He placed his financial interest (commissions) ahead of the customers' interest.

- **Reg BI Disclosure Obligation:** Delaney failed to disclose the nature and risks of naked put writing, the mechanics of margin, the potential for margin calls, and the mounting losses in the accounts. The claim that margin accounts would provide 'more flexibility' is materially misleading.

- **Unauthorized Trading:** Dorothy Chen's assertion that she and her husband never authorized options trading raises potential unauthorized trading violations under FINRA Rule 2010. Even if options trading agreements were signed, if the Chens did not understand what they were authorizing, the consent may have been obtained through misrepresentation.

- **Failure to Disclose Losses:** Delaney's failure to inform the Chens of mounting losses until margin calls forced disclosure constitutes a further breach of his obligations.

- **Margin Abuse:** Using margin extensively in the accounts of retirees who could not afford principal loss and whose profiles did not support leveraged strategies violates both the spirit and letter of applicable margin and suitability requirements.

**\*\*Likely Regulatory Outcome:\*\*** This case presents multiple, overlapping violations of exceptional severity. FINRA enforcement would likely seek: (1) full restitution of losses plus interest (approximately \$262,000 plus the \$38,000 in costs); (2) disgorgement of all commissions earned; (3) substantial fines; (4) a permanent industry bar for Delaney; and (5) supervisory failure charges against the firm, including potential fines and required remediation of supervisory systems. In a FINRA arbitration, the Chens would have a very strong case for compensatory damages, and the egregiousness of the conduct could support a claim for punitive damages. State securities regulators might also pursue action, and the conduct could potentially rise to the level warranting a referral for criminal investigation depending on the jurisdiction and evidence of intent.

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## Item 364 of 499

### NON-COMPLIANT

**Topic:** high\_fees\_unsuitable

**Difficulty:** medium

### Fact Pattern

Margaret Dawson, age 72, is a retired elementary school teacher living in Springfield, Illinois. She receives \$2,400 per month in pension income and \$1,800 per month in Social Security benefits. Her total liquid savings amount to \$340,000, representing her life savings accumulated over 35 years of teaching. She has no other sources of income and depends on her savings to supplement her fixed income for living expenses, medical costs, and occasional gifts to her grandchildren. On her new account form, her risk tolerance was marked as 'conservative,' and her investment objectives were listed as 'capital preservation and income.' In March 2023, her financial advisor, Kevin Blanchard, recommended she invest \$280,000 of her savings into a Class C variable annuity with an annual expense ratio of 2.85%, a mortality and expense charge of 1.25%, and a contingent deferred sales charge of 1% for the first year. The underlying sub-accounts were allocated 60% to equity growth funds and 20% to international emerging market funds, with only 20% in a bond fund. The annual fees on the \$280,000 investment totaled approximately \$11,480. Kevin earned a 4% upfront commission of \$11,200 on the sale. He did not discuss lower-cost alternatives such as no-load mutual funds, low-cost bond ETFs, or fixed annuities that would have charged annual fees under 0.50%. Margaret was not informed that the annuity would impose surrender charges if she needed to access her funds. Within eight months, the account had declined in value by approximately \$31,000 due to equity market volatility, and Margaret was unable to withdraw funds without penalty to cover an unexpected \$15,000 medical bill for a hip replacement surgery.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Kevin Blanchard violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

- \*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, risk tolerance, liquidity needs, and time horizon. The rule encompasses three obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
- \*\*Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934:\*\*** If the recommendation occurred after June 30, 2020, Reg BI requires that broker-dealers act in the retail customer's best interest at the time of the recommendation, without placing the financial interest of the broker-dealer ahead of the customer. Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The advisor must also consider reasonably available alternatives.
- \*\*FINRA Rule 2330 (Variable Annuity Suitability):\*\*** This rule imposes specific obligations when recommending variable annuities, including consideration of whether the customer would benefit from the features of a variable

annuity, the customer's liquidity needs, and whether a deferred annuity is suitable given the customer's age.

**\*\*Analysis of Violations:\*\***

- **\*\*Customer-Specific Suitability Failure:\*\*** Margaret is a 72-year-old retiree with conservative risk tolerance and capital preservation objectives. Placing 80% of the annuity sub-accounts in equities and emerging markets is fundamentally inconsistent with her stated objectives. The allocation exposed her to significant market risk, which materialized in the \$31,000 loss.

- **\*\*Excessive Costs:\*\*** The total annual expense burden of approximately 4.10% (2.85% expense ratio + 1.25% M&E charge) is extraordinarily high, particularly for a conservative investor whose primary need is capital preservation and income. At \$11,480 per year in fees on a \$280,000 investment, the fees would consume a substantial portion of any reasonable expected return and erode her principal over time. Under Reg BI's Care Obligation, the advisor was required to consider reasonably available lower-cost alternatives and failed to do so.

- **\*\*Liquidity Concerns:\*\*** Margaret's \$340,000 represents her entire liquid net worth, and she relies on it to supplement fixed income. Locking up \$280,000 (82% of her savings) in a product with surrender charges severely impairs her liquidity. The hip replacement scenario demonstrates the real-world consequences: she could not access her own funds without penalty during a medical emergency. FINRA Rule 2330 specifically requires consideration of the customer's liquidity needs before recommending a variable annuity.

- **\*\*Age Unsuitability:\*\*** At age 72, Margaret has a limited investment time horizon and cannot recover from significant losses. Variable annuities are generally designed for long-term tax-deferred growth, making them less appropriate for elderly investors who may need near-term access to funds.

- **\*\*Conflict of Interest:\*\*** Kevin earned an \$11,200 commission on this sale, creating a strong financial incentive to recommend this product over lower-cost alternatives. Under Reg BI's Conflict of Interest Obligation, this conflict should have been identified, disclosed, and mitigated. The failure to discuss lower-cost alternatives strongly suggests the advisor placed his own financial interest above the customer's.

- **\*\*Disclosure Failures:\*\*** Margaret was not informed about surrender charges, a violation of both Reg BI's Disclosure Obligation and general fair dealing principles under FINRA Rule 2010.

**\*\*Likely Regulatory Outcome:\*\*** This case presents multiple clear violations. FINRA or the SEC could pursue enforcement action resulting in disgorgement of commissions, restitution to the customer, a fine against the advisor and potentially the supervising broker-dealer, and a suspension or bar of the advisor. The broker-dealer's supervisory system under FINRA Rule 3110 may also be scrutinized for approving this transaction.

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**Item 365 of 499****COMPLIANT****Topic:** junk\_bonds\_conservative\_investor**Difficulty:** hard**Fact Pattern**

David and Ellen Kowalski, both age 58, are a married couple in Austin, Texas. David is a senior software engineer earning \$195,000 annually, and Ellen is a pediatric nurse practitioner earning \$115,000 annually. Their combined household income is \$310,000. They have a total investment portfolio of \$1.9 million spread across multiple accounts: \$720,000 in 401(k) plans, \$480,000 in a joint brokerage account, \$350,000 in IRAs, and \$350,000 in a savings account. They have no debt other than a \$120,000 remaining mortgage on a home valued at \$650,000. Their three children are adults and financially independent. On their account documentation, their risk tolerance was listed as 'moderate,' and their investment objectives were 'growth and income' with a time horizon of 10-15 years until planned retirement at age 70. In January 2024, their financial advisor, Rachel Simmons, recommended allocating \$95,000 (approximately 5% of their total portfolio) from their joint brokerage account into a diversified high-yield corporate bond fund. The fund held approximately 150 different bond positions across multiple industries, had an average credit rating of BB, an average yield of 6.8%, an expense ratio of 0.45%, and a duration of 3.2 years. Rachel provided the Kowalskis with a detailed fact sheet about the fund, including a clear explanation that high-yield bonds carry greater credit risk than investment-grade bonds, that the fund's historical maximum drawdown was approximately 12% during past recessions, and that the income stream could fluctuate. She documented that the couple understood these risks in a signed acknowledgment. Rachel also showed them a comparison with an investment-grade bond fund yielding 4.2% and a Treasury bond fund yielding 3.9%, explaining the risk-return tradeoffs of each option. The Kowalskis confirmed they were comfortable accepting additional credit risk for the higher income potential, given that this allocation represented a small portion of their overall diversified portfolio. The remainder of their brokerage account continued to be allocated across a mix of large-cap equity index funds (45%), investment-grade bond funds (35%), international equity funds (10%), and cash equivalents (10%).

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Rachel Simmons did not violate applicable suitability or best interest standards. Her recommendation appears to be well-considered, appropriately documented, and consistent with the Kowalskis' investment profile.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires a reasonable basis to believe the recommendation is suitable based on the customer's investment profile, including risk tolerance, financial situation, investment objectives, time horizon, and other relevant factors.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Requires that the recommendation be in the retail customer's best interest, considering the potential risks, rewards, and costs, and that reasonably available alternatives be evaluated. The four component obligations are Disclosure, Care, Conflict of Interest, and Compliance.

**\*\*Analysis Supporting Compliance:\*\***

- **Reasonable-Basis Suitability:** The recommended high-yield bond fund is a well-diversified vehicle with approximately 150 positions across multiple industries, an expense ratio of 0.45% (reasonable for this asset class), and a relatively short duration of 3.2 years, which limits interest rate risk. Rachel demonstrated she understood the product and had a reasonable basis for believing it could be appropriate for moderate-risk investors seeking income and growth.

- **Customer-Specific Suitability:** The Kowalskis are 58 years old with a combined income of \$310,000, a \$1.9 million portfolio, minimal debt, no dependents, and a 10-15 year time horizon. Their moderate risk tolerance and growth-and-income objective are consistent with a modest allocation to high-yield bonds. The \$95,000 allocation represents only 5% of their total portfolio, which is a conservative position sizing for this asset class. The overall portfolio construction--with the majority in large-cap equities, investment-grade bonds, and cash--remains well-diversified and consistent with a moderate risk profile. High-yield bonds, while carrying greater credit risk than investment-grade securities, are a recognized component of diversified moderate portfolios and can enhance income without dramatically increasing overall portfolio risk at a 5% allocation.

- **Reg BI Care Obligation:** Rachel exercised reasonable diligence by evaluating the recommendation in the context of the entire portfolio, not in isolation. She considered the customers' financial situation, including their substantial assets, stable dual income, long time horizon, and ability to absorb potential losses on a small allocation. The 5% position size demonstrates prudent risk management.

- **Reg BI Disclosure Obligation:** Rachel provided detailed information about the fund, including credit risk, historical drawdowns, and income variability. She was transparent about the nature of high-yield bonds and ensured the clients understood the risks.

- **Consideration of Alternatives:** Rachel specifically compared the high-yield fund to investment-grade and Treasury bond alternatives, explaining the risk-return tradeoffs. This demonstrates compliance with Reg BI's requirement to consider reasonably available alternatives. The Kowalskis made an informed decision to accept the higher risk for greater income potential.

- **Documentation:** The signed risk acknowledgment and documented discussion provide a clear record of informed consent and the advisor's diligence.

- **Quantitative Suitability:** There is no indication of excessive trading, churning, or cost layering. The 0.45% expense ratio is competitive for the high-yield bond fund category.

**Likely Regulatory Outcome:** This recommendation would likely withstand regulatory scrutiny. The position size is modest relative to the overall portfolio, the clients have the financial capacity and stated risk tolerance to support the allocation, alternatives were considered and discussed, risks were disclosed and acknowledged, and the recommendation aligns with the clients' growth-and-income objectives. No enforcement action would be expected.

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**Item 366 of 499****NON-COMPLIANT****Topic:** options\_unsuitable**Difficulty:** medium**Fact Pattern**

Margaret Donnelly, age 72, is a retired elementary school teacher living in suburban Pittsburgh, Pennsylvania. She has a fixed annual income of \$38,000 from her pension and Social Security combined. Her total liquid net worth is approximately \$210,000, held primarily in a rollover IRA from her teaching career. She has no prior experience trading options or any securities beyond a few mutual funds her former employer's retirement plan offered. When she opened her account in March 2022, she indicated on her new account form that her investment objectives were 'income' and 'preservation of capital,' and her risk tolerance was marked as 'conservative.' She told her advisor, Kevin Mallory, that she wanted safe investments that would supplement her pension and that she could not afford to lose her savings because she had no other financial safety net. In April 2022, Mallory recommended that Margaret begin selling uncovered (naked) put options on volatile technology stocks, including positions in companies like Palantir Technologies and Rivian Automotive. Mallory told Margaret this was a 'simple way to earn extra monthly income' and compared the premium income to collecting rent. Over the next eight months, Mallory executed 47 uncovered put option trades in her IRA, generating approximately \$14,200 in premium income but also resulting in assignment losses totaling \$61,500 when several of the underlying stocks dropped sharply during the 2022 tech selloff. Mallory earned \$9,400 in commissions on these transactions. By December 2022, Margaret's account had declined from \$210,000 to approximately \$153,300, a loss of roughly 27%. Margaret states she did not understand the risk of being assigned shares at prices far above the current market and believed she could only lose the premiums she collected.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Mallory violated applicable suitability and best interest standards in multiple respects.

**\*\*FINRA Suitability (Rule 2111):\*\*** Under FINRA Rule 2111, a broker must have a reasonable basis for believing that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, experience, and time horizon. Margaret Donnelly is a 72-year-old retiree with conservative risk tolerance, income and capital preservation objectives, no options experience, and a modest liquid net worth of \$210,000 that represents her entire financial safety net. Recommending uncovered put options on volatile technology stocks to this client is facially unsuitable. Naked put selling carries substantial downside risk -- potentially requiring the purchase of shares at prices far above the market -- which is fundamentally inconsistent with capital preservation and conservative risk tolerance. This violates the customer-specific suitability obligation.

**\*\*Quantitative Suitability:\*\*** The 47 trades in eight months, generating \$9,400 in commissions against an account of \$210,000, also raises concerns about excessive trading under the quantitative suitability component of Rule 2111. The turnover rate and cost-to-equity ratio would likely support a finding of excessive activity, particularly for a conservative, income-oriented account.

**\*\*Regulation Best Interest (Reg BI):\*\*** If Mallory was acting as a broker-dealer representative after June 30, 2020 (which these 2022 transactions postdate), Reg BI's Care Obligation requires that he exercise reasonable diligence, care, and

skill in making recommendations, considering the customer's investment profile and ensuring the recommendation is in the customer's best interest without placing his own financial interest ahead of the customer's. The \$9,400 in commissions generated suggests a financial incentive that was not aligned with Margaret's best interest. Selling naked puts on speculative tech stocks to a conservative 72-year-old retiree fails the Care Obligation.

**\*\*Options-Specific Requirements (FINRA Rule 2360):\*\*** FINRA Rule 2360 governs options transactions and requires that a registered options principal (ROP) approve the account for options trading at an appropriate level. Uncovered put writing is typically classified at one of the highest approval levels. For an account with Margaret's profile, approval at this level would itself constitute a supervisory failure. Additionally, Rule 2360 requires that the member firm determine that the customer has sufficient knowledge and experience and financial resources to bear the risks of the proposed options strategy.

**\*\*Misrepresentation:\*\*** Mallory's characterization of naked put selling as akin to 'collecting rent' constitutes a misleading description that omitted the material risk of assignment losses, potentially violating FINRA Rule 2210 (communications with the public) and the antifraud provisions.

**\*\*Likely Regulatory Outcome:\*\*** A FINRA arbitration panel or enforcement proceeding would likely find violations of Rules 2111, 2360, and Reg BI's Care Obligation. Margaret would have a strong claim for compensatory damages of approximately \$56,700 (net losses), plus potential recovery of the \$9,400 in commissions. Mallory and his firm could face fines, suspensions, disgorgement, and enhanced supervisory requirements.

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**Item 367 of 499****COMPLIANT****Topic:** margin\_unsuitable**Difficulty:** hard**Fact Pattern**

David Chen, age 45, is a senior software engineer at a major technology company in Seattle, earning \$285,000 per year in base salary plus approximately \$150,000 in annual restricted stock unit (RSU) vesting. His total liquid investment portfolio, excluding his company stock, is valued at approximately \$1.8 million, spread across taxable brokerage accounts and retirement accounts. He also owns a home valued at \$1.1 million with \$320,000 remaining on his mortgage. David has been actively investing for over 18 years, has previously traded on margin at another brokerage firm, and has a detailed understanding of leverage, margin calls, and portfolio risk management. On his new account documents opened with advisor Rachel Simmons in January 2023, David indicated his risk tolerance as 'aggressive,' his investment objectives as 'growth' and 'speculation,' and his time horizon as 15+ years. In February 2023, David told Rachel he wanted to use margin to increase his allocation to a diversified portfolio of large-cap ETFs (S&P 500 index fund, total international stock fund, and a Nasdaq-100 ETF) because he believed the market was poised for recovery after the 2022 downturn. Rachel discussed the risks of margin in detail, including the possibility of margin calls, forced liquidation, and amplified losses. She documented the conversation in her CRM notes and sent David a follow-up email summarizing the risks and confirming his understanding. David signed a margin agreement and Rachel facilitated a margin loan of \$270,000 against his \$1.8 million portfolio -- a margin-to-equity ratio of approximately 15%. The borrowed funds were invested in the three diversified ETFs David selected. Rachel also set up automated alerts to notify both herself and David if his margin equity fell below 35%, well above the firm's 25% maintenance requirement. By December 2023, David's portfolio had appreciated, the margin balance remained at \$270,000, and his total equity had grown to approximately \$2.15 million, reducing his leverage ratio further. No margin calls occurred during the period.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Rachel Simmons did not violate applicable suitability or best interest standards. Her recommendation and facilitation of margin use was appropriate given the customer's profile and the circumstances.

**\*\*FINRA Suitability (Rule 2111):\*\*** Under Rule 2111's customer-specific suitability obligation, the use of margin must be evaluated against the customer's investment profile. David Chen is a high-income (\$435,000+ annually), experienced 45-year-old investor with \$1.8 million in liquid assets, an aggressive risk tolerance, growth and speculation objectives, a 15+ year time horizon, and documented prior experience using margin. A margin loan of \$270,000 against a \$1.8 million portfolio represents only 15% leverage -- a conservative use of margin by any standard. The proceeds were invested in broadly diversified, highly liquid large-cap ETFs rather than concentrated, speculative, or illiquid positions. This recommendation has a reasonable basis and is suitable for this particular customer.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Reg BI requires that a broker exercise reasonable diligence, care, and skill, understand the risks and rewards of the recommendation, and consider reasonably available alternatives. Rachel satisfied the Care Obligation by: (1) thoroughly discussing margin risks with David, (2) documenting the conversation in her CRM and confirming via written email, (3) implementing the margin at a very

modest leverage ratio, (4) directing the borrowed funds into diversified, liquid ETFs rather than concentrated or speculative positions, and (5) proactively setting automated alerts at a margin equity level (35%) well above the firm's maintenance requirement (25%) to provide early warning. The recommendation was in the customer's best interest given his stated objectives, sophistication, and financial capacity to absorb potential losses.

**\*\*Reg BI -- Disclosure Obligation:\*\*** Rachel provided clear disclosure of margin risks both verbally and in writing, and David signed the required margin agreement. This satisfies disclosure requirements.

**\*\*FINRA Rule 4210 (Margin Requirements):\*\*** The margin arrangement complied with standard margin requirements. The 15% leverage ratio was well within regulatory limits, and the underlying securities (large-cap ETFs) are fully marginable with favorable maintenance requirements.

**\*\*Supervisory Considerations:\*\*** Rachel's documentation practices -- CRM notes, follow-up email, and proactive alert-setting -- demonstrate sound supervisory and compliance practices that would satisfy a firm's supervisory review obligations.

**\*\*Likely Regulatory Outcome:\*\*** No violation would be found. This represents a textbook example of appropriate margin use: a wealthy, experienced, aggressive investor using modest leverage on diversified, liquid positions with thorough risk disclosure and proactive risk monitoring. If this matter were ever reviewed by a regulator or raised in arbitration, Rachel's thorough documentation would strongly support a finding of compliance.

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**Item 368 of 499****NON-COMPLIANT****Topic:** overconcentration\_single\_stock**Difficulty:** medium**Fact Pattern**

Margaret Dawson, age 72, is a retired elementary school teacher living in suburban Ohio. She has a total liquid net worth of approximately \$410,000, consisting of a \$310,000 IRA rollover from her state pension and \$100,000 in a savings account. Her annual income is \$32,000 from Social Security and a small pension supplement. She described her risk tolerance as conservative on her new account form, and her primary investment objectives were capital preservation and income generation to supplement her fixed retirement income. She told her advisor, Kevin Marsh, that she could not afford to lose principal because she had no other source of funds and was concerned about potential long-term care costs in the future. In March 2023, Kevin recommended that Margaret invest \$275,000 -- roughly 67% of her total liquid net worth -- into shares of a single mid-cap technology company, DataPulse Inc. Kevin told Margaret that DataPulse was 'the next big thing' in cloud computing and that the stock had returned over 40% in the prior year. He did not discuss diversification, sector risk, or the volatility history of mid-cap tech stocks. Margaret trusted Kevin and followed his recommendation. By November 2023, DataPulse shares had declined 38% following a disappointing earnings report and the loss of a major government contract, reducing Margaret's position to approximately \$170,500 -- a loss of over \$104,000. Margaret contacted Kevin in distress, and he told her to 'hold tight' and wait for a recovery. No alternative strategies, stop-loss measures, or rebalancing were discussed at any point during the relationship.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Marsh almost certainly violated applicable suitability and best interest standards. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and time horizon. Under Reg BI (Regulation Best Interest), a broker-dealer must act in the retail customer's best interest at the time a recommendation is made, satisfying the Care Obligation, which requires the advisor to exercise reasonable diligence, care, and skill in making recommendations. Here, Margaret was a 72-year-old retiree with conservative risk tolerance, limited income, and stated objectives of capital preservation and income generation. Concentrating approximately 67% of her liquid net worth in a single mid-cap technology stock directly contradicted every element of her stated profile. Mid-cap tech stocks are inherently volatile and carry significant sector-specific and company-specific risk -- entirely inappropriate for a conservative retiree. FINRA has repeatedly identified overconcentration in a single security as a red flag for suitability violations. The quantitative concentration component under Rule 2111 examines whether the level of concentration is consistent with the customer's profile; a 67% allocation to one speculative equity clearly fails this test. Additionally, Kevin failed to discuss diversification, did not present alternative strategies, and offered no downside protection or exit plan -- all of which would be expected under the Care Obligation of Reg BI. The SEC's guidance on Reg BI's Care Obligation explicitly requires that the advisor consider reasonably available alternatives. Kevin also appears to have placed his own interests (likely generating a commission on a large single-stock purchase) ahead of his client's interests, potentially violating the Conflict of Interest Obligation under Reg BI. If Kevin were a registered investment adviser representative, he would owe a fiduciary duty under the Investment Advisers Act of 1940, making this conduct even more clearly impermissible. The likely regulatory outcome would include a finding of violation, potential customer arbitration award for damages of approximately \$104,000, possible

disgorgement of commissions, fines, a suspension or bar from the industry, and enhanced supervision requirements for the firm.

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**Item 369 of 499****NON-COMPLIANT****Topic:** illiquid\_investments**Difficulty:** hard**Fact Pattern**

Carlos Reyes, age 58, is a self-employed plumber in Tampa, Florida, with an annual gross income of approximately \$78,000. His total savings amount to roughly \$230,000: \$145,000 in a traditional IRA and \$85,000 in a brokerage account. Carlos has Type 2 diabetes and disclosed to his advisor, Pamela Whitfield, that he spends approximately \$1,200 per month on medications and specialist visits not fully covered by his health insurance. He also mentioned that over the past three years he had made two emergency withdrawals from his IRA -- one for \$12,000 to repair storm damage to his home and another for \$8,500 for an unexpected medical procedure. Carlos told Pamela his goals were to grow his savings moderately while keeping enough accessible in case of health emergencies. He rated his risk tolerance as moderate on his account documentation. In June 2023, Pamela recommended that Carlos invest \$120,000 -- approximately 52% of his total savings -- into a non-traded real estate investment trust (REIT) with a minimum seven-year hold period, no established secondary market, and an early redemption penalty of 10% of the invested amount during the first five years. The REIT paid a projected annual distribution of 6.5%, and Pamela earned an upfront commission of 7% (\$8,400). Pamela told Carlos the REIT would provide 'steady income like rent checks' and characterized it as 'low risk because it's backed by real property.' She did not discuss the illiquidity risks, the early redemption penalties, or the fact that distributions were not guaranteed and could be funded in part from return of capital rather than earnings. She also did not explore more liquid alternatives such as publicly traded REITs, diversified bond funds, or balanced funds that could have met Carlos's income and moderate growth objectives. Carlos invested \$120,000 from his IRA into the non-traded REIT. In January 2024, Carlos was hospitalized for diabetic complications and needed \$25,000 for out-of-pocket medical costs. When he attempted to redeem a portion of his REIT investment, he learned he would face the 10% early redemption penalty -- costing him \$12,000 on a \$120,000 investment if he redeemed the full position, or a proportional penalty on a partial redemption -- and that processing could take 60 to 90 days. Unable to wait, Carlos took a hardship withdrawal from the small remaining IRA balance and borrowed from a family member.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Pamela Whitfield's recommendation almost certainly violated both FINRA suitability requirements and Reg BI's best interest standard. Under FINRA Rule 2111, an advisor must conduct customer-specific suitability analysis, ensuring the recommendation aligns with the customer's investment profile -- including liquidity needs, financial situation, risk tolerance, age, and other investments. FINRA has issued specific guidance through Regulatory Notices (e.g., Regulatory Notice 09-09 regarding non-traded REITs) emphasizing the obligation to fully disclose illiquidity risks and ensure these products are suitable given the customer's need for access to funds. Carlos presented a clear and documented pattern of needing emergency access to his savings: two prior emergency IRA withdrawals, ongoing high medical expenses of \$1,200/month, a chronic health condition, and an explicit statement that he needed funds accessible for health emergencies. Recommending that 52% of his total savings -- and 83% of his IRA -- be locked into a product with a seven-year hold period and a 10% early redemption penalty directly contradicts his disclosed liquidity needs and financial circumstances. Under Reg BI's Care Obligation, Pamela was required to exercise reasonable diligence, care, and skill in evaluating whether the non-traded REIT was in Carlos's best interest, considering

reasonably available alternatives. Publicly traded REITs, diversified bond funds, or balanced funds could have provided income and moderate growth with daily liquidity and no redemption penalties. Pamela failed to present or consider these alternatives. The Disclosure Obligation under Reg BI required Pamela to disclose material facts about the recommendation, including the illiquidity, the redemption penalties, and the fact that distributions could include return of capital. Her characterization of the product as 'low risk' and her comparison to 'rent checks' was materially misleading. The Conflict of Interest Obligation under Reg BI is also implicated: the 7% upfront commission (\$8,400) created a significant financial incentive to recommend this product over lower-commission liquid alternatives, and there is no indication Pamela disclosed this conflict or that the firm had policies to mitigate it. If Pamela were acting in an investment advisory capacity, she would owe a fiduciary duty under the Investment Advisers Act of 1940, further strengthening the case for violation. The likely regulatory and arbitration outcome would include a finding of unsuitability and best interest violation, potential FINRA enforcement action including fines and suspension, and a customer arbitration award likely covering the redemption penalty costs, consequential damages from the inability to access funds, and possibly the difference in performance between the non-traded REIT and a suitable liquid alternative portfolio. The firm could also face supervisory liability under FINRA Rule 3110 for failing to flag the concentration of an illiquid product in the account of a customer with documented liquidity needs.

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**Item 370 of 499****NON-COMPLIANT****Topic:** variable\_annuity\_unsuitable**Difficulty:** medium**Fact Pattern**

Margaret Olsen, age 81, is a retired elementary school teacher living in Duluth, Minnesota. Her annual income consists of \$24,000 from Social Security and a \$16,000 pension. Her total liquid assets amount to approximately \$285,000, held in a money market account and a small portfolio of Treasury bonds. She has no other significant assets aside from her home, which is paid off. Mrs. Olsen's investment objective, as documented during her account opening in March 2022, was capital preservation with income generation. Her risk tolerance was listed as conservative. She has no prior experience with complex financial products and described herself as someone who 'just wants to make sure the money lasts and can cover medical bills if needed.' In June 2022, her advisor, Kevin Driscoll, recommended she liquidate \$230,000 of her Treasury bond holdings and money market funds and invest the proceeds into a variable annuity with a 12-year surrender period. The annuity carried a surrender charge starting at 8.5% in year one and declining by roughly 0.75% per year. The annual mortality and expense charge was 1.45%, the administrative fee was 0.15%, and the underlying sub-account funds had average expense ratios of 0.85%, bringing total annual costs to approximately 2.45%. Driscoll selected aggressive growth sub-accounts invested primarily in small-cap equities and emerging market funds. He also added a guaranteed minimum income benefit rider at an additional annual cost of 1.10%, bringing total annual charges to approximately 3.55%. Driscoll earned a commission of \$16,100 on the sale. Mrs. Olsen was not informed that the surrender charges would effectively lock up over 80% of her liquid net worth until she was 93 years old. Within eight months, the aggressive sub-accounts had declined 19% in value. When Mrs. Olsen needed \$35,000 for an unexpected hip replacement surgery in early 2023, she was assessed a surrender penalty of approximately \$2,975 on the withdrawal, in addition to the investment losses already sustained.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Driscoll violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, investment objectives, and time horizon. FINRA Rule 2330 specifically governs variable annuity recommendations and imposes heightened suitability obligations, requiring the broker to have a reasonable basis to believe the customer would benefit from the features of a variable annuity, such as tax-deferred growth, annuitization, or a death benefit.

Under Regulation Best Interest (Reg BI), the Care Obligation requires the broker-dealer and associated person to exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile. The broker must understand the risks, rewards, and costs of the recommendation and must not place the financial interest of the broker ahead of the customer's interest.

**\*\*Analysis of Violations:\*\***

1. **\*\*Customer-Specific Suitability (Rule 2111.05):\*\*** Mrs. Olsen was 81 years old with conservative risk tolerance, a capital preservation objective, and a clear need for liquidity to cover potential medical expenses. Recommending a product with a 12-year surrender period that locked up over 80% of her liquid net worth was fundamentally inconsistent with her profile. The product would not exit the surrender period until she was 93.
2. **\*\*Variable Annuity Suitability (Rule 2330):\*\*** The tax-deferred growth advantage of a variable annuity provides minimal benefit to an 81-year-old retiree with modest income who is unlikely to be in a high tax bracket. The long surrender period and high cost structure negate any potential benefit from the income rider. Driscoll failed to demonstrate that the variable annuity's features provided a meaningful advantage over her existing Treasury and money market holdings.
3. **\*\*Sub-Account Allocation:\*\*** Placing a conservative, 81-year-old investor's funds into aggressive small-cap and emerging market sub-accounts directly contradicts her documented conservative risk tolerance and capital preservation objective.
4. **\*\*Cost-Benefit (Reg BI Care Obligation):\*\*** Total annual costs of approximately 3.55% create an enormous drag on returns for a conservative investor. The \$16,100 commission suggests that the advisor's financial interest may have been a primary motivator. Under Reg BI's Conflict of Interest Obligation, such compensation conflicts should have been mitigated and disclosed, and should not have resulted in a recommendation that placed the advisor's interest ahead of the customer's.
5. **\*\*Disclosure (Reg BI Disclosure Obligation):\*\*** Failure to inform Mrs. Olsen that surrender charges would lock up over 80% of her liquid assets until age 93 is a deficiency in material disclosure.

**\*\*Likely Regulatory Outcome:\*\*** A FINRA examination or arbitration proceeding would likely find multiple violations of Rules 2111 and 2330, as well as Reg BI's Care and Disclosure Obligations. Remedies would likely include full restitution of losses and surrender charges, disgorgement of commissions, potential fines, and a potential suspension or bar for the advisor given the egregiousness of placing an elderly conservative investor's life savings in an unsuitable long-duration, high-cost, aggressively allocated variable annuity.

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**Item 371 of 499****NON-COMPLIANT****Topic:** excessive\_load\_funds**Difficulty:** hard**Fact Pattern**

Daniel and Patricia Hwang, ages 52 and 49, are a dual-income couple in Scottsdale, Arizona. Daniel is a radiologist earning \$410,000 annually, and Patricia is a corporate attorney earning \$285,000 annually. Their combined liquid investment portfolio totals approximately \$2.8 million, held across taxable brokerage accounts and retirement accounts. They also maintain \$600,000 in a joint savings account. Their investment objectives are long-term growth with moderate risk tolerance, and they have a 15-year time horizon before planned retirement. They have extensive experience investing in mutual funds and ETFs, though they do not manage their own portfolios. In January 2023, they opened a new brokerage account with advisor Ross Pennington at a mid-sized broker-dealer. During account opening, Pennington reviewed their existing holdings and proposed a complete portfolio restructuring. Between January and April 2023, Pennington recommended the Hwangs invest \$1.9 million across twelve different Class A mutual fund shares, each carrying front-end sales loads ranging from 4.25% to 5.75%. The total front-end load charges paid by the Hwangs amounted to approximately \$95,400. Pennington's firm offered an institutional share class platform where clients with investable assets above \$1 million qualified for institutional shares (often designated as Class I or Class Y shares) in the same underlying fund families. These institutional shares carried no front-end load, no 12b-1 fees, and had expense ratios averaging 0.45% compared to the Class A shares' average expense ratio of 1.15%. Pennington was aware of the institutional share class availability--his firm's internal compliance bulletin from November 2022 specifically reminded advisors about breakpoint and share-class obligations--but he did not disclose or recommend the institutional share classes to the Hwangs. Furthermore, even within the Class A share structure, the Hwangs' \$1.9 million aggregate investment qualified for significant breakpoint discounts that would have reduced the front-end load to between 1.00% and 2.00% on most of the fund families. Instead, Pennington executed twelve separate purchases across different fund families to avoid triggering breakpoint thresholds within any single fund family. The Hwangs' account statements showed they paid \$95,400 in upfront loads, and their ongoing annual expenses would be approximately \$21,850 per year at the 1.15% Class A expense ratio, compared to approximately \$8,550 per year had they been placed in the institutional shares. Over their 15-year time horizon, the cumulative excess cost difference is projected to exceed \$290,000 assuming moderate portfolio growth. Pennington received approximately \$47,700 in commissions from the Class A share sales. The Hwangs only discovered the discrepancy in September 2023 when Patricia's colleague, a securities attorney, reviewed their statements and flagged the share class issue.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Ross Pennington committed multiple serious violations of applicable standards.

**\*\*Applicable Standards:\*\***

FINRA Rule 2111 (Suitability) requires that recommendations be suitable based on the customer's investment profile, encompassing not only the type of security but also the specific share class and cost structure. FINRA has repeatedly emphasized that share class suitability is a core component of the suitability obligation.

FINRA Rule 2342 (Mutual Fund Breakpoints) and related NASD Notice to Members 03-09 and 03-54 require registered representatives to ascertain whether a customer is entitled to breakpoint discounts when purchasing front-end load mutual fund shares and to ensure those discounts are applied.

Regulation Best Interest (Reg BI) imposes a Care Obligation requiring the advisor to consider reasonably available alternatives and to weigh costs and benefits. The Cost component is explicitly relevant: when a lower-cost share class is available and the customer qualifies, recommending a higher-cost share class without a reasonable justification violates the Care Obligation. The Conflict of Interest Obligation requires identification and mitigation of conflicts, including compensation-related conflicts that incentivize recommending higher-cost products.

**\*\*Analysis of Violations:\*\***

1. **\*\*Share Class Suitability:\*\*** The Hwangs had \$2.8 million in investable assets and were investing \$1.9 million through Pennington's firm--well above the \$1 million threshold for institutional share class eligibility. Recommending Class A shares with front-end loads of 4.25%-5.75% when no-load institutional shares in the same funds were available on the firm's platform is a clear suitability violation. There is no reasonable basis to believe the Class A shares provided any advantage over the institutional shares, as they were in the same underlying fund with identical portfolio management, but at significantly higher cost.

2. **\*\*Breakpoint Manipulation (FINRA Rule 2342):\*\*** Even if Class A shares were somehow appropriate, Pennington deliberately structured purchases across twelve different fund families to avoid triggering breakpoint discounts. This practice--sometimes called 'breakpoint fraud' or 'spreading'--is a well-recognized violation. The Hwangs were entitled to reduced loads of 1.00%-2.00% based on their aggregate investment, which would have reduced their upfront charges from \$95,400 to approximately \$19,000-\$38,000. Pennington's deliberate structuring to avoid breakpoints suggests intentional misconduct rather than mere negligence.

3. **\*\*Reg BI Care Obligation:\*\*** Pennington failed to exercise reasonable diligence by not considering or presenting the lower-cost institutional share class alternative. The projected excess cost of \$290,000+ over the Hwangs' 15-year time horizon is material and directly impacts their retirement objectives.

4. **\*\*Reg BI Conflict of Interest Obligation:\*\*** Pennington's \$47,700 commission was directly tied to recommending higher-cost share classes. His firm's internal compliance bulletin specifically addressed these obligations, demonstrating that the firm had identified the conflict and expected advisors to act accordingly. Pennington's disregard of this guidance further supports a finding of willful misconduct.

5. **\*\*Reg BI Disclosure Obligation:\*\*** Pennington failed to disclose the existence of institutional share classes, the availability of breakpoint discounts, or the significant cost differential. This omission deprived the Hwangs of material information needed to evaluate the recommendation.

**\*\*Likely Regulatory Outcome:\*\*** This case involves both negligent and potentially willful misconduct. FINRA enforcement would likely pursue violations of Rules 2111 and 2342, and the SEC could pursue Reg BI violations. Expected sanctions include full restitution of \$95,400 in excess loads plus the ongoing excess expense differential, disgorgement of the \$47,700 commission, substantial monetary fines, and a lengthy suspension or bar for Pennington. The deliberate breakpoint avoidance pattern elevates this from a negligence case to potential fraud, and the firm itself may face supervisory failure charges given that its own compliance bulletin addressed exactly this issue. In FINRA arbitration, the Hwangs would likely recover compensatory damages including the excess costs, potential consequential damages for lost investment returns on the amounts paid as excess loads, and possibly punitive damages given the intentional nature of the misconduct.

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## Item 372 of 499

### NON-COMPLIANT

**Topic:** alternative\_investments\_unsuitable

**Difficulty:** medium

### Fact Pattern

Margaret Dawson, age 74, is a retired schoolteacher living in Tampa, Florida. Her husband passed away in March 2021, leaving her with approximately \$620,000 in savings -- the bulk of which came from his life insurance payout and their joint retirement accounts. Margaret's monthly income consists of \$2,100 in Social Security and a small pension of \$1,400 per month. She has no other sources of income and relies on her savings to supplement her living expenses, which include \$1,800 per month in medical costs for a chronic heart condition. On her new account forms completed in June 2021 with advisor Derek Halloran at a regional brokerage firm, Margaret indicated a conservative risk tolerance, an investment objective of income and capital preservation, a time horizon of 5-10 years, and limited investment experience -- she had previously held only a savings account and a small bond fund through her school district's retirement plan. Between July 2021 and April 2023, Halloran recommended that Margaret invest \$385,000, or roughly 62% of her total liquid assets, into a collection of alternative investment products: \$140,000 into a non-traded real estate investment trust with a 7-year lockup period and a 9.5% upfront commission; \$120,000 into a private equity fund of funds requiring a minimum 5-year commitment and carrying a 2% annual management fee plus 20% performance fee; and \$125,000 into a structured note linked to an index of emerging market equities with a 6-year maturity and an embedded fee estimated at 3.2%. In January 2023, Margaret contacted Halloran requesting access to \$80,000 to cover unexpected home repairs and escalating medical expenses. Halloran informed her that the majority of her funds were illiquid and unavailable for withdrawal. By June 2023, the structured note had declined 28% in notional value due to emerging market volatility, and the non-traded REIT suspended its dividend distributions. Margaret's accessible liquid savings had been reduced to approximately \$95,000, and she was forced to take out a home equity line of credit to cover her expenses. Total commissions and fees earned by Halloran on Margaret's alternative investments exceeded \$52,000 over the period.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Halloran violated applicable suitability and best interest standards on multiple levels.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile. This includes three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching to the customer's profile), and quantitative suitability (ensuring the overall pattern of recommendations is not excessive).

2. **\*\*Regulation Best Interest (Reg BI):\*\*** Under Reg BI's Care Obligation (17 CFR § 240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill when making a recommendation, considering the customer's investment profile and ensuring that the recommendation is in the customer's best interest and does not place the financial professional's interest ahead of the customer's. The Disclosure Obligation also requires full and fair disclosure of

material facts, including costs, conflicts of interest, and the illiquid nature of the products.

3. **FINRA Rule 2310 (Direct Participation Programs):** Non-traded REITs are subject to additional suitability requirements, including concentration limits that many firms set at 10% or less of liquid net worth for illiquid alternative investments.

**Analysis of Violations:**

- **Customer-Specific Suitability / Care Obligation Violation:** Margaret was a 74-year-old widow with conservative risk tolerance, limited investment experience, an income and capital preservation objective, and significant ongoing medical expenses. Placing 62% of her liquid net worth into illiquid alternative investments with multi-year lockup periods directly contradicts her stated needs for accessible income and capital preservation. Her age and health condition made liquidity critically important.

- **Overconcentration in Illiquid Alternatives:** Allocating \$385,000 of \$620,000 to products with 5-7 year lockup periods left Margaret dangerously illiquid. Most firm compliance policies and industry guidance recommend that illiquid alternative investments not exceed 10-20% of liquid net worth for any customer, and even less for elderly, conservative customers with ongoing income needs.

- **Unsuitable Product Complexity and Risk:** The private equity fund of funds and the emerging-market-linked structured note carried risk profiles vastly exceeding Margaret's conservative tolerance and limited sophistication. The structured note's exposure to emerging market volatility was antithetical to capital preservation.

- **Excessive Costs / Conflict of Interest:** The \$52,000 in commissions and fees represents over 8.3% of the total invested amount and over 13.5% of the amount placed in alternatives. The 9.5% upfront commission on the non-traded REIT and the layered fees on the PE fund suggest that Halloran's recommendations were motivated by compensation rather than Margaret's best interest, violating Reg BI's Conflict of Interest Obligation.

- **Failure to Consider Reasonably Available Alternatives:** Reg BI requires advisors to consider reasonably available alternatives. For a 74-year-old conservative investor needing income, suitable alternatives would have included investment-grade bond funds, Treasury securities, CDs, or dividend-paying blue-chip equity income funds -- all of which would have provided liquidity, lower costs, and capital preservation.

**Likely Regulatory Outcome:** Halloran would likely face FINRA enforcement action, including potential suspension or bar, disgorgement of commissions, fines, and an order to pay restitution. The firm could face supervisory failure charges under FINRA Rule 3110 if it failed to flag the concentration and unsuitability. Margaret would also have strong grounds for a FINRA arbitration claim seeking compensatory damages.

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## Item 373 of 499

### COMPLIANT

**Topic:** overconcentration\_single\_stock

**Difficulty:** hard

### Fact Pattern

Ryan Cheng, age 42, is a senior software engineer at a publicly traded technology company based in Seattle. His total net worth is approximately \$4.8 million, of which \$2.2 million consists of vested company stock acquired through stock option exercises and RSU grants over 12 years of employment. His remaining assets include \$1.1 million in a diversified 401(k), \$600,000 in a taxable brokerage account holding index funds, \$520,000 in home equity, and \$380,000 in cash and money market funds. Ryan earns \$340,000 annually in base salary and bonuses, not including equity compensation. He has no debt other than his mortgage. In January 2023, Ryan opened an account with financial advisor Lisa Moretti at a full-service wealth management firm. On his account documents, Ryan indicated an aggressive risk tolerance, a growth-oriented investment objective, a time horizon exceeding 20 years, and extensive investment knowledge -- he described himself as having actively managed his own portfolio for over 15 years and having a strong understanding of equity markets and tax implications of stock sales. During their initial planning sessions, Moretti conducted a comprehensive financial plan. She explicitly documented and discussed with Ryan the concentration risk of holding approximately 46% of his net worth in a single stock. She presented a detailed analysis showing historical volatility of the company's stock, correlation scenarios, and the potential impact of a 40-50% decline on his overall financial plan. Moretti recommended a gradual diversification strategy -- selling approximately \$150,000 to \$200,000 of company stock per quarter over the next three years through a structured 10b5-1 trading plan to manage insider trading restrictions and optimize tax efficiency, with proceeds to be reinvested into a diversified portfolio of domestic and international equity index funds and investment-grade bonds. Ryan acknowledged the concentration risk in writing but elected to retain the full position for at least 12 months, citing his deep conviction in the company's product pipeline and an upcoming earnings catalyst he expected in Q3 2023. He signed a written acknowledgment that he understood the risks of maintaining the concentrated position and that he was declining Moretti's diversification recommendation against her advice. Moretti documented the discussion, retained copies of the signed acknowledgment, and scheduled quarterly reviews to revisit the diversification conversation. At each subsequent quarterly review in April, July, and October 2023, Moretti raised the topic of diversification again, documented Ryan's continued decision to hold, and updated his financial plan to reflect current stock valuations. By December 2023, the company stock had appreciated 18%, and Ryan's concentrated position had grown to approximately \$2.6 million, representing roughly 49% of his net worth. Moretti again recommended beginning the diversification plan, and Ryan agreed to initiate sales in Q1 2024.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

No, Lisa Moretti did not violate applicable suitability or best interest standards. Her conduct represents a model approach to handling a client's concentrated stock position.

**\*\*Applicable Standards:\*\***

1. **\*\*Regulation Best Interest (Reg BI):\*\*** Under the Care Obligation (17 CFR § 240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill in making recommendations. Under the Disclosure Obligation, material

risks, costs, and conflicts must be disclosed. The Compliance Obligation requires firms to establish policies to achieve compliance.

2. **FINRA Rule 2111 (Suitability):** This rule requires that recommendations be suitable based on the customer's investment profile. Importantly, if a customer declines a suitable recommendation, the advisor has documented the recommendation and the customer's informed decision.

3. **Investment Adviser Fiduciary Duty (if applicable):** Under common law and SEC interpretive guidance, an investment adviser has a fiduciary duty of care and loyalty, requiring them to act in the client's best interest and provide full and fair disclosure of material facts.

**Analysis of Compliance:**

- **Appropriate Risk Assessment and Recommendation:** Moretti identified the concentration risk -- 46% of net worth in a single stock -- and recommended a prudent, gradual diversification strategy. This recommendation was well-tailored to Ryan's profile: aggressive but sophisticated, with a long time horizon and substantial assets outside the concentrated position. The recommended 10b5-1 plan approach also accounted for Ryan's insider status and tax optimization.

- **Thorough Disclosure of Risks:** Moretti presented a detailed analysis of historical volatility, correlation risk, and scenario analysis showing the impact of a significant stock decline. This satisfies the disclosure requirements under Reg BI and fiduciary duty standards.

- **Client Autonomy and Informed Consent:** A critical distinction: Moretti recommended diversification, and Ryan declined. An advisor is not required to force a client to accept a recommendation. Under both Reg BI and FINRA suitability standards, the obligation is to make a suitable recommendation and ensure the client understands the risks. Ryan was a highly sophisticated investor with extensive market knowledge, a strong financial position (significant diversified assets outside the concentrated holding), and legitimate investment thesis reasons for maintaining the position.

- **Documentation:** Moretti obtained a written acknowledgment from Ryan that he understood the concentration risks and was declining her advice. She documented each quarterly review where the topic was revisited. This documentation is essential and demonstrates compliance with both firm supervisory obligations under FINRA Rule 3110 and Reg BI's record-keeping requirements.

- **Ongoing Monitoring:** Moretti did not simply abandon the issue. She raised diversification at every quarterly review, updated the financial plan, and continued to recommend action. This ongoing diligence exceeds the minimum standard and reflects best practices.

- **Context of the Concentration:** While 46-49% in a single stock is a significant concentration, Ryan's overall financial profile mitigated some risk: he had \$1.1 million in a diversified 401(k), \$600,000 in index funds, \$380,000 in cash, \$520,000 in home equity, and a high income of \$340,000. He was not dependent on the concentrated position for income or near-term liquidity needs. His aggressive risk tolerance and 20+ year time horizon also support a higher tolerance for concentration.

**Likely Regulatory Outcome:** No enforcement action would be warranted. Moretti's conduct reflects thorough compliance with all applicable obligations. If a complaint were filed (e.g., if the stock later declined substantially), the comprehensive documentation of recommendations, risk disclosures, and Ryan's informed declinations would provide a strong defense. Regulators and arbitrators consistently recognize that an advisor who makes a suitable recommendation, discloses risks, and documents a client's informed decision to proceed differently has met their obligations.

**Item 374 of 499****NON-COMPLIANT****Topic:** senior\_investor\_exploitation**Difficulty:** easy**Fact Pattern**

Margaret Dunlap, age 84, is a retired schoolteacher living in assisted living in Tallahassee, Florida. Her sole income consists of Social Security payments of \$1,870 per month and a small pension of \$620 per month. She has \$215,000 in a brokerage account, which represents her entire liquid net worth. Her stated investment objectives on file are capital preservation and income generation, and her documented risk tolerance is conservative. In early 2023, Margaret's son noticed she had begun showing signs of mild cognitive decline and informed her financial advisor, Brian Kessler, of this development during a phone call in March 2023. Despite this notification, Kessler visited Margaret at her assisted living facility in April 2023 without her son present and persuaded her to sign paperwork liquidating her existing portfolio of Treasury bonds and a money market fund. He reinvested the proceeds as follows: \$95,000 into a variable annuity with a 10-year surrender period carrying surrender charges starting at 9% and declining by 1% annually, \$70,000 into a leveraged ETF tracking the Nasdaq-100, and \$50,000 into a high-yield corporate bond fund rated below investment grade. The variable annuity generated a \$6,650 upfront commission for Kessler. The leveraged ETF carried an expense ratio of 0.95% and was designed for short-term trading, not long-term holding. Within six months, the leveraged ETF lost 31% of its value due to volatility decay during a choppy market period, reducing that position to approximately \$48,300. The high-yield bond fund declined 8% as credit spreads widened. Margaret's son discovered the changes in October 2023 when he reviewed her account statements and found that her portfolio had lost over \$38,000 in total value. Margaret told her son she did not fully understand what she had signed and thought she was simply 'updating her paperwork.'

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Brian Kessler committed multiple serious violations. Under FINRA Rule 2111 (Suitability), an advisor must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and liquidity needs. Margaret's profile -- an 84-year-old with conservative risk tolerance, capital preservation objectives, limited income, and no other liquid assets -- made each of these investments clearly unsuitable.

The variable annuity with a 10-year surrender period is particularly egregious for an 84-year-old client. FINRA has specifically highlighted concerns about long-surrender-period annuities sold to seniors, as the client's age and liquidity needs make it highly unlikely she would benefit from the product's features. The 9% surrender charge effectively locks up nearly half her liquid net worth. Under Regulation Best Interest (Reg BI), the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, and to consider reasonably available alternatives. A 10-year surrender annuity for an 84-year-old with cognitive decline fails this standard decisively.

The leveraged ETF is designed for daily rebalancing and short-term tactical trading. It is fundamentally unsuitable as a long-term holding for any investor, let alone a conservative senior. FINRA has issued guidance (Regulatory Notice 09-31) warning that leveraged ETFs are typically unsuitable for retail investors who plan to hold them for longer than one trading session.

The high-yield bond fund, while less extreme, is still inconsistent with a capital preservation objective and conservative risk tolerance.

Additionally, Kessler was informed of Margaret's cognitive decline and chose to meet with her without her son present, raising serious concerns about exploitation of a vulnerable adult. Under FINRA Rule 2165, member firms have the ability to place temporary holds on disbursements when there is a reasonable belief of financial exploitation of a specified adult. Kessler's conduct -- visiting a cognitively declining client alone to execute a wholesale portfolio restructuring generating a large commission -- suggests exploitation rather than any good-faith advisory relationship.

The Reg BI Conflict of Interest Obligation also required Kessler to identify and mitigate the conflict created by the \$6,650 commission that incentivized the annuity sale. There is no indication this conflict was mitigated or even disclosed.

Likely regulatory outcome: FINRA enforcement action resulting in disgorgement of commissions, restitution to the customer, a substantial fine, and a lengthy suspension or permanent bar from the securities industry. State securities regulators and adult protective services may also pursue action given the exploitation of a cognitively impaired senior.

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## Item 375 of 499

### NON-COMPLIANT

**Topic:** private\_placements\_unsuitable

**Difficulty:** hard

### Fact Pattern

Raymond Ochoa, age 78, is a retired aerospace engineer in Scottsdale, Arizona. He is a widower whose wife passed away in 2021. His total net worth is approximately \$1.4 million, consisting of \$620,000 in an IRA, \$310,000 in a taxable brokerage account, \$290,000 in home equity, and \$180,000 in savings accounts. His annual income is \$67,000 from Social Security and a corporate pension. His documented investment objectives are income generation and capital preservation, and his risk tolerance is listed as moderate-conservative. Raymond has a background in engineering, not finance, and while he is intellectually capable, he has no experience with alternative investments or complex financial instruments. His advisor, Denise Farrow, at a mid-sized independent broker-dealer, recommended in February 2023 that Raymond invest \$400,000 -- split between his IRA (\$280,000) and taxable account (\$120,000) -- into a private placement offering structured as a 12-year non-traded real estate investment trust (REIT) focused on commercial office properties. The REIT's offering memorandum disclosed that distributions were not guaranteed, the investment was illiquid with no established secondary market, early redemption was severely restricted for the first five years and subject to significant penalties thereafter, and management fees totaled 2.5% annually plus a 15% incentive fee on returns above a hurdle rate. The REIT also carried leverage of approximately 60% loan-to-value across its portfolio. Farrow received a 7% selling commission (\$28,000) on the transaction. She told Raymond the investment would provide 'steady 6.5% annual distributions like clockwork' and compared it to owning rental property without the hassle. She did not discuss the concentration risk of placing nearly 29% of his total net worth (and 45% of his IRA) into a single illiquid product. She also did not explain the specific risks of commercial office real estate in a post-pandemic environment where vacancy rates in many markets had risen substantially. By late 2023, the REIT suspended distributions citing declining occupancy rates and rising interest costs on its leveraged portfolio. The REIT's estimated share value was marked down 22% from the initial offering price, reducing Raymond's investment to approximately \$312,000 on paper -- an unrealized loss of \$88,000. Raymond, who relied on the anticipated distributions to supplement his retirement income, was forced to draw down his savings accounts to cover living expenses.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Denise Farrow violated both suitability requirements under FINRA Rule 2111 and the Care Obligation and Conflict of Interest Obligation under Regulation Best Interest.

**\*\*Suitability Analysis (FINRA Rule 2111):\*\***

FINRA Rule 2111 requires that a recommended transaction be suitable based on three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

**\*Customer-Specific Suitability:** Raymond is 78 years old with a moderate-conservative risk tolerance and objectives of income generation and capital preservation. A 12-year illiquid private placement REIT with 60% leverage, no guaranteed distributions, and severe early redemption restrictions is fundamentally inconsistent with these objectives. At his age, Raymond's investment time horizon does not reasonably extend 12 years, meaning he may never see the

return of his principal in a best-case scenario. The concentration of approximately 29% of his total net worth and 45% of his IRA in a single illiquid alternative investment is excessive for any moderate-conservative investor, and particularly dangerous for a 78-year-old retiree dependent on investment income.

**\*Reasonable-Basis Suitability:\*** Even setting aside Raymond's specific profile, recommending a heavily leveraged commercial office REIT in early 2023 -- when commercial office vacancy rates were widely reported to be elevated due to the shift to remote and hybrid work -- raises questions about whether Farrow performed adequate due diligence on the product itself.

**\*\*Regulation Best Interest Analysis:\*\***

**\*Care Obligation:\*** The Care Obligation requires the advisor to exercise reasonable diligence, care, and skill, understand the risks and rewards of the recommendation, and have a reasonable basis to believe the recommendation is in the customer's best interest without placing the advisor's interest ahead of the customer's. The \$28,000 commission created a powerful financial incentive for Farrow. She failed to consider the concentration risk, the illiquidity relative to Raymond's age and income needs, the leverage risk, and the sector-specific headwinds facing commercial office properties. She also failed to consider reasonably available alternatives that could have generated income with greater liquidity and lower risk -- such as investment-grade bond funds, dividend equity funds, or even traded REITs with daily liquidity.

**\*Disclosure Obligation:\*** Farrow characterized the distributions as 'steady' and 'like clockwork,' which constituted a materially misleading representation given that the offering memorandum explicitly stated distributions were not guaranteed. This failure to accurately convey the risks violates the Disclosure Obligation under Reg BI.

**\*Conflict of Interest Obligation:\*** The 7% selling commission (\$28,000) represented a significant conflict of interest. There is no indication Farrow's firm had policies and procedures to identify and mitigate the incentive this commission created to recommend the product regardless of suitability. Under Reg BI, the firm must establish, maintain, and enforce written policies to address conflicts, and must at minimum disclose material conflicts. The magnitude of this commission relative to what Farrow would earn from lower-cost alternatives (such as advisory fees on a bond portfolio) strongly suggests the conflict was not adequately mitigated.

**\*\*Additional FINRA Concerns:\*\***

FINRA Regulatory Notice 10-22 specifically addresses suitability obligations for non-traded REITs and emphasizes that firms must ensure concentration limits are observed. Many firms cap non-traded REIT exposure at 10% of liquid net worth for general investors and apply even lower thresholds for seniors. A 29% concentration in a single illiquid product far exceeds any reasonable concentration guideline.

FINRA Rule 2210 (Communications with the Public) may also be implicated by Farrow's verbal characterization of distributions as guaranteed, which is inconsistent with the risks disclosed in the offering memorandum.

**\*\*Likely Regulatory Outcome:\*\*** FINRA enforcement action resulting in restitution to the customer, disgorgement of the \$28,000 commission, a significant fine, and a suspension of Farrow's registration. The broker-dealer's supervisory system would also be scrutinized under FINRA Rule 3110 for failing to detect the excessive concentration and the sale of a complex illiquid product to a 78-year-old moderate-conservative investor. State securities regulators may also pursue action, as many states have specific non-traded REIT suitability and concentration requirements.

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**Item 376 of 499****NON-COMPLIANT**

**Topic:** speculative\_for\_conservative\_investor

**Difficulty:** easy

**Fact Pattern**

Margaret Dalton, age 74, is a retired elementary school teacher living in Toledo, Ohio. She receives \$2,800 per month from her pension and \$1,950 per month from Social Security. Her total liquid savings amount to \$215,000, held in a brokerage account she opened in 2018. On her new account form, Mrs. Dalton indicated her investment objective as 'preservation of capital,' her risk tolerance as 'conservative,' her time horizon as '1-3 years,' and her investment experience as 'limited -- mostly CDs and savings bonds.' She told her financial advisor, Kevin Marsh, that her primary goal was to ensure she had enough money to cover potential assisted living costs, which she estimated could begin within two years based on her declining mobility. In March 2024, Kevin Marsh recommended that Mrs. Dalton invest \$160,000 -- approximately 74% of her liquid savings -- into a portfolio of leveraged ETFs tracking the Nasdaq-100 index (3x bull), a cryptocurrency-focused exchange-traded product, and a basket of small-cap biotech stocks with no earnings history. Marsh told Mrs. Dalton these investments had 'tremendous upside' and could 'double her money within a year.' He did not discuss the amplified downside risk of leveraged ETFs, the extreme volatility of crypto-linked products, or the speculative nature of pre-revenue biotech companies. Within five months, the portfolio had declined by \$68,000, representing a 42.5% loss on the invested amount. Mrs. Dalton contacted the firm's branch manager in August 2024, stating she could no longer afford to transition to an assisted living facility as planned.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Marsh clearly violated applicable suitability and best interest standards. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and liquidity needs. Mrs. Dalton's profile -- a 74-year-old retiree with conservative risk tolerance, capital preservation objectives, a 1-3 year time horizon, limited investment experience, and an imminent need for assisted living funds -- is fundamentally incompatible with leveraged ETFs, cryptocurrency products, and speculative biotech stocks. These are among the most volatile and speculative instruments available to retail investors. Leveraged ETFs in particular are generally considered unsuitable for buy-and-hold investors due to daily rebalancing decay, and FINRA has issued guidance (Regulatory Notice 09-31) warning that leveraged ETFs are typically unsuitable for retail investors who plan to hold them for more than one trading session. Under Regulation Best Interest (Reg BI), Marsh had a Care Obligation requiring him to exercise reasonable diligence, care, and skill in making the recommendation. He was required to understand the risks and rewards of the recommended products and have a reasonable basis to believe the recommendation was in the customer's best interest, considering her stated objectives and profile. Concentrating 74% of a conservative, elderly client's liquid assets in highly speculative instruments with no discussion of downside risk fails every element of the Care Obligation. Additionally, Marsh's failure to explain the amplified risks of leveraged ETFs and crypto-linked products violates the Disclosure Obligation under Reg BI. The likely regulatory outcome would include customer-favorable arbitration damages, potential disgorgement of commissions, supervisory sanctions against the branch, and individual sanctions against Marsh including fines and possible suspension or bar from the industry.

**Item 377 of 499****COMPLIANT****Topic:** illiquid\_real\_estate\_investment**Difficulty:** hard**Fact Pattern**

David Chen, age 52, is a senior software architect at a Fortune 500 technology company in Seattle, earning \$410,000 annually in base salary plus an average of \$180,000 in restricted stock units that vest annually. He has a total net worth of approximately \$4.8 million, including \$1.9 million in his 401(k), \$620,000 in a taxable brokerage account, \$450,000 in his spouse's IRA, \$1.2 million in equity in his primary residence, and \$630,000 in cash and money market funds. David's investment objectives are listed as 'growth and income,' his risk tolerance as 'moderate to aggressive,' and his time horizon as 'greater than 10 years.' He is an accredited investor and has prior experience investing in two private real estate syndications, both of which he held to maturity over 5-7 year periods. In January 2024, his financial advisor, Rachel Simmons, recommended that David invest \$150,000 into a non-traded real estate investment trust (REIT) focused on Class A multifamily apartment complexes in the Sun Belt region. The REIT had a minimum 7-year hold period, a targeted annual distribution of 5.5%, an upfront load of 3.5%, and limited redemption provisions allowing quarterly withdrawals of no more than 2% of net asset value, subject to board discretion. Rachel provided David with the offering memorandum, a detailed summary of fees (including the upfront load, ongoing management fees of 1.25%, and a performance fee structure), a risk disclosure document highlighting illiquidity, potential loss of principal, and the lack of a public trading market. She also prepared a written suitability analysis documenting that the \$150,000 investment represented approximately 3.1% of David's total net worth and approximately 7.1% of his liquid investable assets (excluding retirement accounts and home equity). Rachel discussed with David how the investment fit within his broader portfolio allocation strategy, noting that his existing portfolio was heavily weighted toward public equities and that a modest allocation to private real estate could provide diversification and income. She confirmed verbally and in a signed acknowledgment form that David understood the 7-year illiquidity period, the limited redemption provisions, and the risk of loss. David signed the subscription documents and invested \$150,000. As of October 2024, the REIT has paid distributions as expected and the investment is performing in line with projections.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Rachel Simmons appears to have acted in compliance with applicable suitability and best interest standards. Under FINRA Rule 2111 (Suitability), the recommendation must be suitable based on the customer's investment profile. David Chen is a high-income, high-net-worth, accredited investor with a moderate-to-aggressive risk tolerance, a long time horizon exceeding 10 years, and prior experience with private real estate investments of similar structure and duration. The \$150,000 allocation represents a modest 3.1% of his total net worth and 7.1% of liquid investable assets, well within reasonable concentration limits for an illiquid alternative investment. His financial profile demonstrates ample liquidity (\$630,000 in cash/money market plus \$620,000 in a taxable brokerage account) to meet near-term needs without relying on the non-traded REIT. Under Regulation Best Interest (Reg BI), Rachel satisfied the Care Obligation by conducting and documenting a written suitability analysis, evaluating the investment in the context of David's overall portfolio, and ensuring the recommendation aligned with his stated objectives of growth and income with diversification benefits. She satisfied the Disclosure Obligation by providing the offering memorandum, a detailed fee summary (including the 3.5% upfront load, 1.25% ongoing management fee, and performance fee), and a risk disclosure document covering illiquidity, principal risk, and the absence of a public market. She also obtained a signed

acknowledgment confirming David's understanding of key risks. Regarding the product-specific concerns with non-traded REITs -- which have drawn heightened regulatory scrutiny due to illiquidity, high fees, and valuation opacity -- Rachel appropriately addressed these by ensuring full fee transparency, documenting the illiquidity constraints, and sizing the position conservatively relative to David's overall wealth. The recommendation also aligns with the customer-specific and reasonable-basis suitability prongs under FINRA Rule 2111. The likely regulatory outcome if reviewed would be a finding of no violation, as the advisor demonstrated thorough due diligence, proper disclosure, appropriate documentation, and a well-reasoned investment rationale for a sophisticated, well-capitalized client.

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**Item 378 of 499****NON-COMPLIANT**

**Topic:** alternative\_investments\_unsuitable

**Difficulty:** medium

**Fact Pattern**

Margaret Donovan, age 74, is a retired school librarian living in Toledo, Ohio. She has a fixed annual income of \$36,000 from Social Security and a small pension. Her total liquid net worth is approximately \$185,000, held primarily in certificates of deposit and a money market account. She has no prior experience with investments beyond CDs and savings bonds. In January 2023, Margaret met with financial advisor Kyle Stanton after her husband passed away and she received a \$120,000 life insurance payout. She told Stanton she wanted to keep her money safe so she could cover medical expenses and possibly move to an assisted living facility within the next two to three years. She explicitly stated she could not afford to lose any principal and needed access to her funds. Stanton recommended that Margaret invest \$95,000 -- nearly 80% of the insurance proceeds -- into a non-traded real estate investment trust (non-traded REIT) focused on commercial office properties. The product had a minimum seven-year holding period, no secondary market for resale, an upfront sales commission of 7%, and quarterly distributions that were not guaranteed. Stanton told Margaret the REIT would provide 'steady income like rent checks' and described it as 'basically like owning real estate without the hassle.' He did not discuss the illiquidity, the risk of distribution cuts, the concentration risk, or the fact that the commercial office sector was experiencing rising vacancy rates. By October 2023, the REIT had suspended its distributions entirely due to declining occupancy in its portfolio, and Margaret was unable to access any of her invested capital. She now faces the prospect of needing assisted living care with significantly diminished liquid resources.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, financial advisor Kyle Stanton violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. The rule encompasses three obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Under the Care Obligation of Reg BI, a broker-dealer must exercise reasonable diligence, care, and skill in making a recommendation and must consider the customer's investment profile, including the customer's age, investment experience, liquidity needs, risk tolerance, and financial needs. The recommendation must be in the customer's best interest and must not place the financial professional's interest ahead of the customer's.
3. **\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Conduct inconsistent with just and equitable principles of trade.

**\*\*Analysis of Violations:\*\***

- **\*\*Customer-Specific Suitability / Care Obligation Violation:\*\*** Margaret was 74, had no investment experience, a modest fixed income, an explicit need for capital preservation and liquidity, and a stated two-to-three-year time horizon for potential assisted living expenses. A non-traded REIT with a seven-year lock-up period, no secondary market, and non-guaranteed distributions is fundamentally incompatible with every element of her stated profile. Stanton failed to match the product to the customer.

- **\*\*Concentration Risk:\*\*** Placing approximately 51% of Margaret's total liquid assets (\$95,000 of \$185,000) and nearly 80% of the insurance proceeds into a single illiquid alternative investment represents excessive concentration, especially for a risk-averse, elderly client with near-term liquidity needs.

- **\*\*Disclosure Failures:\*\*** Stanton characterized the REIT as being 'like rent checks' without disclosing material risks including illiquidity, distribution suspension risk, the declining commercial office market, and the 7% upfront commission that immediately reduced Margaret's principal. This misleading characterization violates the Disclosure Obligation under Reg BI and general antifraud principles.

- **\*\*Conflict of Interest:\*\*** The 7% upfront commission created a significant financial incentive for Stanton to recommend this product over more suitable, lower-cost alternatives such as Treasury securities, high-grade bonds, or FDIC-insured CDs -- products that aligned with Margaret's stated objectives. This suggests Stanton placed his own financial interest ahead of Margaret's.

**\*\*Likely Regulatory Outcome:\*\*** Stanton would likely face FINRA enforcement action for violations of Rule 2111 and Reg BI. Potential sanctions include disgorgement of commissions, restitution to the customer, fines, suspension, or a bar from the industry given the egregiousness of recommending a long-duration illiquid product to an elderly, unsophisticated client with explicit near-term liquidity needs. A customer arbitration claim would likely result in an award of compensatory damages.

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**Item 379 of 499****COMPLIANT**

**Topic:** alternative\_investments\_unsuitable

**Difficulty:** hard

**Fact Pattern**

David Nakamura, age 52, is the chief technology officer of a publicly traded software company in San Jose, California. He earns approximately \$1.4 million annually in salary, bonuses, and vested RSUs. His liquid investment portfolio totals \$6.8 million, diversified across domestic and international equities, investment-grade bonds, and index funds. He also owns \$2.2 million in company stock and has a paid-off home valued at \$3.1 million. David has been investing actively for over 25 years, has previous experience with hedge fund investments and private equity co-investments, and describes his risk tolerance as aggressive for the growth-oriented portion of his portfolio. His stated investment objectives are long-term capital appreciation with a 15-plus year time horizon before retirement. He has no immediate liquidity needs and maintains a separate \$400,000 emergency reserve in a high-yield savings account. In March 2024, his financial advisor, Priya Malhotra, recommended that David allocate \$500,000 -- approximately 7.4% of his liquid portfolio -- to a private equity fund-of-funds focused on mid-market technology buyouts. Malhotra provided David with the fund's private placement memorandum, which outlined a 10-year fund life with possible two-year extensions, a 1.5% annual management fee, a 20% carried interest above an 8% preferred return, limited liquidity with no redemption rights, and risk factors including capital loss, illiquidity, and long lock-up periods. Malhotra walked David through each risk factor in a documented two-hour meeting, compared the fund's fee structure to two competing products with higher fees, and discussed how the allocation fit within David's broader portfolio diversification strategy. She noted that his existing portfolio was overweight publicly traded technology equities through his company RSUs, and that private equity buyout exposure could provide return diversification and reduce single-sector public equity concentration. Malhotra also ensured David met the fund's accredited investor and qualified purchaser thresholds. David signed acknowledgments confirming his understanding of the risks, fees, and illiquidity. The firm's compliance department reviewed and approved the transaction prior to execution.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, financial advisor Priya Malhotra did not violate applicable suitability or best interest standards. The recommendation appears to have been thoroughly appropriate and well-documented.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires reasonable-basis, customer-specific, and quantitative suitability for recommendations made by broker-dealers and their associated persons.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Requires that the recommendation satisfy the Care Obligation (reasonable diligence, care, and skill), the Disclosure Obligation (material facts about the recommendation), and the Conflict of Interest Obligation (identifying and mitigating conflicts).
3. **\*\*If Malhotra acts in an investment advisory capacity, the fiduciary duty under the Investment Advisers Act of 1940\*\*** requires acting in the client's best interest with full and fair disclosure of material facts.

**\*\*Analysis Supporting Compliance:\*\***

- **\*\*Reasonable-Basis Suitability:\*\*** Malhotra demonstrated an understanding of the private equity fund's strategy, fee structure, risk profile, and compared it to competing products. A mid-market technology buyout fund is a legitimate institutional-quality investment strategy with a reasonable basis for recommendation to qualified investors.

- **\*\*Customer-Specific Suitability / Care Obligation:\*\*** David's profile strongly supports this recommendation. He is 52 years old with a \$6.8 million liquid portfolio, \$1.4 million annual income, a \$400,000 emergency reserve, no near-term liquidity needs, a 15-plus year investment horizon, 25 years of investment experience including prior alternative investments, aggressive risk tolerance for growth assets, and accredited investor/qualified purchaser status. The \$500,000 allocation represents only 7.4% of his liquid portfolio -- a moderate and reasonable allocation to alternatives for a client of this profile.

- **\*\*Diversification Rationale:\*\*** Malhotra identified that David was overconcentrated in publicly traded technology equities through company RSUs and recommended private equity as a diversifying allocation. This demonstrates a thoughtful portfolio construction approach rather than product-pushing.

- **\*\*Disclosure Obligation:\*\*** Malhotra provided the private placement memorandum, conducted a documented two-hour meeting reviewing all material risks (illiquidity, lock-up periods, capital loss risk, fee structure including management fees and carried interest), and obtained signed acknowledgments from the client. This exceeds typical disclosure standards.

- **\*\*Conflict of Interest Obligation:\*\*** By comparing the recommended fund's fee structure to two higher-fee competing products, Malhotra demonstrated consideration of cost and that she was not steering the client toward the most expensive or most profitable option.

- **\*\*Compliance Review:\*\*** The firm's compliance department reviewed and pre-approved the transaction, adding an additional layer of supervisory oversight.

**\*\*Likely Regulatory Outcome:\*\*** No regulatory action warranted. This is an example of a well-documented, well-reasoned recommendation of an alternative investment to a highly sophisticated, wealthy client with an appropriate risk profile, time horizon, and liquidity position. The recommendation, documentation, and process reflect best practices in recommending complex alternative investments.

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## Item 380 of 499

### NON-COMPLIANT

**Topic:** excessive\_churning

**Difficulty:** medium

### Fact Pattern

Margaret and Donald Pruitt, ages 78 and 81, were retired schoolteachers living in Tulsa, Oklahoma, with a combined annual pension income of \$54,000 and total investable savings of \$320,000. They opened a joint brokerage account in March 2021 with advisor Kevin Holbrook at a mid-sized regional broker-dealer. On their new account forms, both clients indicated a conservative risk tolerance, income generation as their primary investment objective, and a time horizon of three to five years. They told Holbrook they needed the account to supplement their pensions and cover potential healthcare costs. Despite these stated goals, Holbrook recommended that the Pruitts invest approximately \$185,000--nearly 58% of their portfolio--in leveraged and inverse exchange-traded funds, including a 3x leveraged S&P 500 bull fund, a 2x leveraged Nasdaq fund, and a 3x inverse energy sector fund. Holbrook told the couple these were 'turbocharged index funds' that would help them keep up with inflation. Over the following nine months, Holbrook executed 94 trades in the account, frequently buying and selling the same leveraged products within days or weeks. The account had a turnover ratio of approximately 14.2 and a cost-to-equity ratio of 31%. The Pruitts generated approximately \$47,600 in commissions and transaction fees for Holbrook during this period. Due to the compounding effects of daily rebalancing, the leveraged ETFs lost significant value when held beyond a single trading day, and the frequent trading further eroded the account. By December 2021, the account had declined from \$320,000 to \$198,000, a loss of \$122,000, while Holbrook earned among the highest commission payouts at his branch office. The Pruitts only became aware of the extent of trading and losses when their grandson, a CPA, reviewed their year-end brokerage statements and alerted them. Margaret Pruitt stated that she never authorized or understood the volume of trading and believed her money was in safe, income-producing investments.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Kevin Holbrook committed multiple serious violations. Under FINRA Rule 2111 (Suitability), an advisor must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on that customer's investment profile, including age, financial situation, risk tolerance, time horizon, and investment objectives. Here, the Pruitts were elderly retirees with conservative risk tolerance, income-generation objectives, and a short time horizon. Recommending leveraged and inverse ETFs--which are complex products designed for short-term, sophisticated traders and which experience daily rebalancing decay--was fundamentally unsuitable for these clients on both a reasonable-basis and customer-specific basis.

Additionally, the trading activity constitutes excessive trading (churning) under FINRA Rule 2111 and the quantitative suitability obligation. A turnover ratio of 14.2 far exceeds the commonly accepted threshold of 6, which is generally presumed to indicate excessive trading. A cost-to-equity ratio of 31% means the account needed to generate a 31% return simply to break even after costs, which is unreasonable for any account and especially egregious for a conservative retiree account. The 94 trades in nine months in a \$320,000 conservative account strongly suggest Holbrook exercised de facto control and traded to generate commissions rather than to benefit the clients.

Under Regulation Best Interest (Reg BI), which applies to broker-dealer recommendations, the Care Obligation requires



that the advisor exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs. The recommendation of leveraged ETFs for long-term holding by elderly conservative investors fails this standard. The Disclosure Obligation was also likely violated, as Holbrook described these products as 'turbocharged index funds,' materially misrepresenting their nature and risks. The Conflict of Interest Obligation was violated because the commission-driven trading pattern directly benefited Holbrook at the clients' expense with no reasonable mitigation.

FINRA has repeatedly warned that leveraged ETFs are generally unsuitable for retail investors who plan to hold them for longer than one trading session, as noted in FINRA Regulatory Notice 09-31. The likely regulatory outcome includes disgorgement of commissions, restitution to the Pruitts, significant fines, a suspension or bar from the industry for Holbrook, and potential supervisory liability for the firm if it failed to detect or address the excessive trading through its surveillance systems.

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**Item 381 of 499****NON-COMPLIANT****Topic:** structured\_products\_unsuitable**Difficulty:** hard**Fact Pattern**

Dr. Ananya Mehta, age 43, was a pediatric surgeon in Charlotte, North Carolina, earning approximately \$485,000 per year. She had roughly \$1.9 million in investable assets, including \$600,000 in retirement accounts, \$900,000 in a taxable brokerage account, and \$400,000 in bank savings. She had recently gone through a divorce and was the sole custodial parent of two children, ages 8 and 11. Dr. Mehta opened an account in January 2022 with financial advisor Ross Dellinger at a national wirehouse. She told Dellinger that her primary goals were preserving capital, building a college fund for her children, and maintaining a diversified portfolio of moderate risk. She specifically mentioned that she wanted to avoid anything she could not easily liquidate if she needed cash for an emergency, given that she was now a single-income household. Dellinger suggested allocating \$650,000 from her taxable brokerage account--approximately 72% of those assets--into a series of five different structured notes. Three of the notes were reverse convertible notes linked to individual technology stocks (a major social media company, a semiconductor manufacturer, and an electric vehicle maker), each with a 14-month maturity, offering coupons of 9% to 12% but with downside exposure if the underlying stock fell below a 70% barrier. The remaining two were principal-at-risk autocallable notes linked to a basket of three biotech stocks, with 18-month maturities and a 65% barrier. Dellinger told Dr. Mehta the notes offered 'bond-like income with a cushion of protection' and described the barriers as 'very unlikely to be breached based on historical patterns.' He did not discuss the issuer credit risk, the lack of secondary market liquidity, the embedded derivative risks, or the fact that her principal could be converted into depreciated shares of a single stock. The firm's own internal product guidelines recommended a maximum structured note allocation of 15% of a client's liquid assets for moderate-risk clients, but Dellinger did not follow or disclose this guidance. Dellinger earned an upfront sales concession of approximately 2.5% on each note, totaling roughly \$16,250 across the five positions. By late 2022, amid a broad technology and biotech selloff, two of the reverse convertible barriers were breached and one autocallable note's barrier was breached. Dr. Mehta's \$650,000 investment was converted in part into depreciated shares and cash settlements worth approximately \$371,000--a loss of \$279,000. When she attempted to sell the remaining two notes before maturity to raise funds for legal fees related to a custody dispute, she found there was no active secondary market and the indicative bids were 15% to 20% below the notes' theoretical value. Dr. Mehta filed a complaint stating she was never told her principal could be lost in this manner or that she could not sell the products when she needed to.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Ross Dellinger violated applicable standards in multiple respects. Under FINRA Rule 2111 (Suitability), the customer-specific obligation requires that recommendations align with the customer's stated investment profile. Dr. Mehta explicitly stated her priorities were capital preservation, liquidity, college savings for her children, and moderate risk. Concentrating 72% of her taxable assets in principal-at-risk structured notes--complex products with embedded short put options, issuer credit risk, and extremely limited secondary market liquidity--was directly contrary to each of these stated objectives. The concentration in a single asset class (structured notes linked to volatile technology and biotech stocks) also violated reasonable-basis suitability, as no reasonable advisor could conclude that such a heavy allocation to barrier-dependent products was appropriate for a recently divorced single parent prioritizing capital

preservation and liquidity.

Under Regulation Best Interest (Reg BI), the Care Obligation requires the advisor to understand the risks, rewards, and costs of a recommendation and to have a reasonable basis for believing it is in the customer's best interest without placing the advisor's financial interest ahead of the customer's. The \$16,250 in sales concessions created a significant financial incentive for Dellinger, and the recommendation appears driven by compensation rather than client need. The Disclosure Obligation was violated because Dellinger mischaracterized the notes as offering 'bond-like income with a cushion of protection,' omitting critical risks including full principal loss upon barrier breach, conversion into depreciated equity, issuer credit risk, and illiquidity. Describing complex structured products with embedded derivatives in misleadingly simple terms constitutes a material omission and misrepresentation. The Conflict of Interest Obligation was also violated, as the firm apparently had internal concentration guidelines (15% maximum for moderate-risk clients) that Dellinger exceeded by nearly five times, and the high upfront concessions were not adequately disclosed or mitigated.

FINRA Regulatory Notice 12-03 specifically addresses complex products and emphasizes that firms and advisors must ensure they understand the product, that it is suitable for the specific customer, and that balanced disclosure is provided. Structured notes with knock-in barriers linked to single equities or narrow baskets are among the highest-risk structured products, and placing the majority of a capital-preservation-oriented client's liquid taxable assets into such instruments is a clear violation.

The firm may also face supervisory liability under FINRA Rule 3110 for failing to enforce its own internal concentration limits and for not flagging the outsized allocation during trade review. The likely regulatory outcome includes restitution of losses, disgorgement of sales concessions, fines against both the advisor and the firm, a potential suspension or bar for Dellinger, and enhanced supervisory requirements for the branch. In an arbitration proceeding, Dr. Mehta would have strong claims for compensatory damages, and a panel could also award costs and attorneys' fees given the egregiousness of the misconduct.

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**Item 382 of 499****NON-COMPLIANT****Topic:** unsuitable\_income\_investor**Difficulty:** medium**Fact Pattern**

Margaret Dawson, age 71, is a retired elementary school teacher living in Topeka, Kansas. She receives \$2,400 per month in Social Security and a small pension of \$1,100 per month. Her total liquid assets amount to approximately \$285,000, which represents her entire life savings, held in an IRA rollover account. Mrs. Dawson told her financial advisor, Craig Pemberton, during their initial meeting in March 2023 that her primary goal was to generate steady monthly income to supplement her Social Security and pension, as she was falling short by roughly \$800 per month on her living expenses. She described herself as a conservative investor and stated that she could not afford to lose her principal because she had no other family or resources to fall back on. She signed an account application reflecting conservative risk tolerance and income as her primary investment objective. Over the following four months, Pemberton invested approximately 60% of her portfolio (\$171,000) into high-yield corporate bond funds with average credit ratings of CCC to B, carrying annual expense ratios of 1.15% to 1.45%. He placed another 25% (\$71,250) into a leveraged closed-end bond fund that employed 35% leverage and had experienced a 22% decline during the prior year's interest rate volatility. The remaining 15% (\$42,750) went into a dividend-focused equity fund invested primarily in emerging market stocks. By December 2023, Mrs. Dawson's portfolio had declined to \$231,000 -- a loss of approximately \$54,000, or nearly 19%. The high-yield bond funds experienced significant price drops amid rising default rates, and the leveraged closed-end fund traded at a 15% discount to its net asset value. Meanwhile, the emerging market dividend fund lost 12% due to currency depreciation in several key markets. Mrs. Dawson contacted Pemberton multiple times expressing distress, and he assured her the investments would recover. She ultimately filed a complaint in February 2024 after learning from a family friend that her investments were far riskier than she had understood.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Craig Pemberton violated applicable suitability and best interest standards in several significant ways.

**\*\*Applicable Standards:\*\***

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, risk tolerance, time horizon, liquidity needs, and other relevant factors. There are three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

If Pemberton is operating in a broker-dealer capacity, Regulation Best Interest (Reg BI) under the Securities Exchange Act also applies. Reg BI's Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and ensuring the recommendation is in the customer's best interest without placing the financial professional's interest ahead of the customer's.

**\*\*Analysis of Violations:\*\***

1. **\*\*Customer-Specific Suitability / Care Obligation Violation:\*\*** Mrs. Dawson clearly articulated a conservative risk tolerance and income-generation objective. She is 71 years old, retired, with limited income and no alternative financial resources. Allocating 60% of her life savings to CCC-to-B-rated high-yield bonds is fundamentally inconsistent with a conservative income investor's profile. These bonds carry significant default risk and price volatility -- they are often referred to as 'junk bonds' for good reason. A conservative retiree needing dependable income should have been directed toward investment-grade bonds, Treasury securities, or high-quality dividend stocks.

2. **\*\*Leveraged Closed-End Fund:\*\*** Placing 25% of a conservative retiree's portfolio into a leveraged closed-end fund employing 35% leverage is unsuitable. Leverage amplifies both gains and losses, and the fund had already demonstrated substantial volatility with a 22% decline the prior year. This product is inappropriate for someone who cannot afford principal loss.

3. **\*\*Emerging Market Equity Exposure:\*\*** Allocating 15% to an emerging market dividend equity fund introduces currency risk, political risk, and significant volatility -- all inconsistent with Mrs. Dawson's stated conservative profile and income needs.

4. **\*\*Concentration of Risk:\*\*** The entire portfolio was concentrated in higher-risk income strategies with no allocation to stable, investment-grade fixed income, money market instruments, or Treasury securities that would have been appropriate for her profile.

5. **\*\*Failure to Address Concerns:\*\*** Pemberton's response to Mrs. Dawson's distress calls -- simply telling her the investments would recover -- reflects a failure to reassess suitability in light of changed circumstances and customer feedback.

**\*\*Likely Regulatory Outcome:\*\*** This case presents strong evidence of suitability violations under FINRA Rule 2111 and/or Reg BI's Care Obligation. A FINRA arbitration panel or enforcement action would likely find in Mrs. Dawson's favor. Pemberton could face disgorgement of commissions, restitution of losses (approximately \$54,000), a fine, suspension, or bar from the industry depending on whether this is part of a pattern. Mrs. Dawson would also likely prevail in a customer arbitration claim for compensatory damages.

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## Item 383 of 499

### NON-COMPLIANT

**Topic:** penny\_stocks\_unsuitable

**Difficulty:** hard

### Fact Pattern

David and Susan Reilly, both age 54, are a married couple from suburban Philadelphia. David works as a warehouse supervisor earning \$67,000 annually, and Susan is a part-time administrative assistant earning \$24,000. Together, they have approximately \$138,000 in savings: \$95,000 in a joint brokerage account and \$43,000 in David's employer-sponsored 401(k). They have two children in college, with combined annual tuition obligations of \$38,000. The couple opened their joint brokerage account with advisor Nathan Suarez in August 2022, stating they wanted moderate growth to help fund their children's remaining college expenses and begin building a modest retirement cushion. On their new account forms, they indicated moderate risk tolerance, a 5-to-10-year time horizon, and moderate investment experience limited to mutual funds held in David's 401(k). Beginning in September 2022, Suarez began recommending a series of micro-cap and penny stocks trading on OTC markets, most priced between \$0.15 and \$2.80 per share. Over seven months, Suarez executed 47 separate purchase transactions across 14 different penny stock issuers, including companies in speculative sectors such as cannabis biotech, lithium exploration, and social media startups. Many of these companies had no revenue, no audited financials, and limited public disclosure. Suarez earned commissions averaging 5.2% per transaction, totaling approximately \$11,800 in commissions on the \$95,000 account over the seven-month period. He did not provide the Reillys with written risk disclosures specific to penny stock transactions, nor did he obtain signed acknowledgment forms regarding the speculative nature of these investments. By April 2023, the account had declined to \$34,500 -- a loss of approximately \$60,500, or 63.7% of the original value. Several of the penny stock issuers had been halted from trading or had ceased public reporting altogether. When the Reillys confronted Suarez, he stated that penny stocks carry higher risk but also higher reward, and that he believed the portfolio had long-term upside. The couple also discovered that Suarez had a personal financial interest in two of the issuers -- he held shares in his personal account that he purchased before recommending the same stocks to the Reillys, and he sold his personal positions shortly after the Reillys' purchases drove up the share prices. The Reillys filed a formal complaint in June 2023.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Nathan Suarez committed multiple serious violations of suitability standards, best interest obligations, and other regulatory requirements.

**\*\*Applicable Standards and Violations:\*\***

**\*\*1. FINRA Rule 2111 -- Suitability (Customer-Specific):\*\***

The Reillys had moderate risk tolerance, moderate investment experience (limited to mutual funds), a defined need (college funding and retirement savings), and a combined household income of \$91,000 with significant tuition obligations. Recommending 14 different speculative penny stock issuers -- many with no revenue or audited financials -- to such customers is a textbook customer-specific suitability violation. Penny stocks are among the highest-risk securities available, suitable only for investors with high risk tolerance, significant net worth, speculative investment objectives, and the sophistication to understand the risks. None of these factors apply to the Reillys.

**\*\*2. Regulation Best Interest (Reg BI) -- Care Obligation:\*\***

Under Reg BI, Suarez was required to exercise reasonable diligence, care, and skill when making recommendations. He was required to understand the risks and rewards of the penny stocks he recommended and have a reasonable basis to believe they were in the Reillys' best interest given their investment profile. Concentrating virtually 100% of the couple's liquid brokerage assets in speculative OTC penny stocks with no diversification into suitable moderate-growth vehicles (e.g., balanced mutual funds, index funds, investment-grade bonds) flagrantly violates this obligation.

**\*\*3. FINRA Rule 2114 / SEC Penny Stock Rules (Rule 15g-1 through 15g-9):\*\***

Broker-dealers recommending penny stocks to non-exempt customers must provide specific risk disclosure documents, obtain a signed suitability statement from the customer, and provide current bid/ask quotation information and compensation data before executing transactions. Suarez failed to provide written penny stock risk disclosures and did not obtain signed acknowledgment forms, which are independent procedural violations.

**\*\*4. Quantitative Suitability / Excessive Trading:\*\***

47 transactions across 14 issuers in seven months in a \$95,000 account generating \$11,800 in commissions (a cost-to-equity ratio of approximately 12.4% over seven months, or roughly 21% annualized) strongly suggests excessive trading. Under FINRA Rule 2111's quantitative suitability component, an advisor must have a reasonable basis for believing the number and frequency of transactions are not excessive given the customer's profile. The high commission rate (averaging 5.2% per trade) further exacerbates the problem.

**\*\*5. Reg BI -- Conflict of Interest Obligation / FINRA Rule 3270 / Front-Running:\*\***

Suarez held personal positions in two of the penny stock issuers, purchased shares before recommending them to clients, and then sold his shares after the Reillys' purchases pushed prices higher. This constitutes front-running, a form of market manipulation and fraud. It also represents an undisclosed material conflict of interest that violates Reg BI's Conflict of Interest Obligation, which requires identification, disclosure, and mitigation or elimination of conflicts. Additionally, this conduct may violate FINRA Rules 3240 and 3270 (outside business activities/private securities transactions) if not properly disclosed to his firm, and potentially constitutes securities fraud under Section 10(b) of the Securities Exchange Act and Rule 10b-5.

**\*\*6. FINRA Rule 2010 -- Standards of Commercial Honor:\*\***

The totality of Suarez's conduct -- unsuitable recommendations, excessive trading, failure to provide mandated disclosures, undisclosed conflicts, and front-running -- constitutes conduct inconsistent with just and equitable principles of trade.

**\*\*Likely Regulatory Outcome:\*\***

This case involves egregious, multi-layered violations. In a FINRA arbitration, the Reillys would likely recover compensatory damages of approximately \$60,500 (their net losses), plus the \$11,800 in excessive commissions, and potentially punitive damages given the fraudulent front-running conduct. In a FINRA enforcement action, Suarez would likely face a lengthy suspension or permanent industry bar, substantial fines, and disgorgement of all commissions. The front-running conduct could also be referred to the SEC or DOJ for potential civil or criminal fraud charges. His employing broker-dealer could face supervisory failure charges under FINRA Rule 3110 for inadequate oversight of penny stock transactions and failure to detect the pattern of unsuitable recommendations and undisclosed conflicts.

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**Item 384 of 499****NON-COMPLIANT****Topic:** junk\_bonds\_conservative\_investor**Difficulty:** easy**Fact Pattern**

Margaret Holloway, age 74, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid savings amount to \$310,000, held primarily in certificates of deposit and a money market account at her local bank. In March 2023, she visited financial advisor Derek Sims at his brokerage office after seeing an advertisement promising 'higher yields for retirees.' During their initial meeting, Mrs. Holloway explained that her husband had passed away six months earlier and that she needed her savings to supplement her fixed income, cover medical expenses, and leave a modest inheritance for her two grandchildren. She stated repeatedly that she could not afford to lose any significant portion of her principal and described herself as 'very cautious with money.' Her new account paperwork listed her risk tolerance as conservative, her investment objective as capital preservation and income, her time horizon as short-term (1-3 years), and her annual income as \$51,000. Despite this profile, Derek Sims recommended that Mrs. Holloway invest \$230,000 -- roughly 74% of her liquid savings -- into a portfolio of high-yield corporate bonds rated CCC and below, issued by companies in the energy and retail sectors. He told her these bonds paid interest rates between 8.5% and 11.2% and described them as 'just like regular bonds but with better returns.' He did not explain the credit risk, default rates, or the historical volatility of below-investment-grade debt. He also did not mention that these bonds carried significantly higher risk of principal loss compared to her existing CDs. The transactions generated \$9,200 in commissions for Sims. By November 2023, two of the issuers had filed for bankruptcy, and the overall portfolio had declined in value to approximately \$158,000, representing a loss of over \$72,000. Mrs. Holloway was forced to liquidate some of the remaining positions at a loss to cover an unexpected \$18,000 medical bill.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Sims violated applicable suitability and best interest standards in multiple ways. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and liquidity needs. Mrs. Holloway's profile -- a 74-year-old widow with conservative risk tolerance, capital preservation objectives, a short-term time horizon, dependence on her savings for living and medical expenses, and limited income -- is fundamentally incompatible with a concentrated allocation to CCC-rated junk bonds. High-yield bonds rated CCC and below carry substantial credit risk and default risk, and are generally considered speculative-grade instruments unsuitable for conservative investors who cannot tolerate principal loss. Sims violated all three components of the suitability obligation: (1) Reasonable-basis suitability -- he failed to understand the risks of below-investment-grade debt sufficiently to recommend them responsibly; (2) Customer-specific suitability -- the recommendation was directly contrary to Mrs. Holloway's documented conservative profile, short time horizon, and need for capital preservation; (3) Quantitative suitability -- concentrating 74% of her liquid net worth in a single high-risk asset class was excessive. Under Regulation Best Interest (Reg BI), which applies to broker-dealer recommendations to retail customers, Sims failed the Care Obligation by not exercising reasonable diligence, care, and skill in making the recommendation, and failed to consider reasonably available alternatives that would have been consistent with her stated objectives, such as investment-grade bonds, Treasury securities, or CD ladders. He also



failed the Disclosure Obligation by mischaracterizing the bonds as similar to regular bonds without explaining the materially higher default risk. Additionally, his \$9,200 commission may indicate a conflict of interest that was not properly disclosed or mitigated under Reg BI's Conflict of Interest Obligation. The likely regulatory outcome would include potential FINRA enforcement action, customer arbitration resulting in compensatory damages for the approximately \$72,000 loss plus consequential damages, and possible suspension or bar for Sims given the egregious mismatch between the customer profile and the recommendation.

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**Item 385 of 499****COMPLIANT****Topic:** illiquid\_real\_estate\_investment**Difficulty:** hard**Fact Pattern**

Jonathan Reeves, age 52, is a senior partner at a management consulting firm in Chicago, Illinois, earning approximately \$875,000 annually. He has a total net worth of \$6.8 million, including \$3.2 million in liquid investment accounts, \$1.4 million in retirement accounts, a \$1.5 million primary residence with no mortgage, and \$700,000 in other assets. He has been working with financial advisor Patricia Nguyen for over seven years, during which time she has managed his portfolio through a fee-based advisory account. In January 2024, Mr. Reeves approached Patricia about diversifying beyond equities and traditional fixed income, expressing interest in real estate exposure without the hassle of direct property ownership. He described his risk tolerance as moderate-to-aggressive, stated his primary investment objective was long-term growth with some income generation, and confirmed his time horizon was 12-15 years until planned retirement. He noted he had no anticipated large liquidity needs in the next several years, as his children's college funds were already fully funded and he maintained a \$400,000 emergency reserve in money market funds. Patricia conducted an extensive analysis and recommended that Mr. Reeves allocate \$320,000 -- approximately 10% of his liquid investment portfolio -- into a non-traded real estate investment trust (REIT) focused on institutional-quality commercial properties including Class A office buildings, medical office complexes, and logistics warehouses across major metropolitan markets. Before executing the investment, Patricia provided Mr. Reeves with a detailed written summary of the REIT's offering documents, specifically highlighting the following: the investment would be illiquid for an estimated 5-7 years with no guaranteed secondary market; early redemption would be subject to significant limitations and potential penalties; the REIT charged a 6% upfront load plus ongoing management and performance fees totaling approximately 1.8% annually; historical non-traded REITs have exhibited share price volatility upon eventual listing or liquidation events; distributions were not guaranteed and could include return of capital; and the investment was subject to real estate market risks including vacancy, interest rate sensitivity, and regional economic conditions. Patricia also documented in her notes that she had discussed alternative options with Mr. Reeves, including publicly traded REITs, real estate mutual funds, and real estate ETFs, explaining their relative liquidity advantages but also noting their higher correlation to public equity markets, which partially undermined the diversification benefit Mr. Reeves was seeking. Mr. Reeves acknowledged in writing that he understood the illiquidity risks, the fee structure, and the long-term nature of the commitment, and he signed supplemental disclosure forms specific to alternative investments. Patricia maintained detailed records of all conversations, the suitability analysis comparing alternatives, and Mr. Reeves's signed acknowledgments. The \$320,000 allocation represented 4.7% of his total net worth and 10% of his liquid portfolio, leaving him with approximately \$2.88 million in liquid investments plus his \$400,000 emergency fund.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Patricia Nguyen did not violate applicable suitability or best interest standards. This recommendation, while involving an illiquid alternative investment with meaningful risks and costs, was appropriate given the totality of Mr. Reeves's financial circumstances and was executed with exemplary care and documentation. Under FINRA Rule 2111, the recommendation satisfies all three suitability components: (1) Reasonable-basis suitability -- Patricia demonstrated an understanding of the non-traded REIT's characteristics, risks, fee structure, and liquidity constraints, as evidenced by the detailed disclosures she provided; (2) Customer-specific suitability -- Mr. Reeves is a high-income,

high-net-worth individual with a moderate-to-aggressive risk tolerance, a 12-15 year time horizon, no near-term liquidity needs, a fully funded emergency reserve, and an expressed desire for real estate diversification with low public market correlation -- all characteristics consistent with an allocation to a non-traded REIT; (3) Quantitative suitability -- the \$320,000 investment represents only 4.7% of total net worth and 10% of liquid assets, a measured allocation that does not create undue concentration or liquidity risk. Under Regulation Best Interest (Reg BI) and fiduciary standards applicable to investment advisers under the Investment Advisers Act of 1940, Patricia satisfied the Care Obligation by conducting a thorough analysis of the customer's profile and the investment's characteristics, and by considering reasonably available alternatives (publicly traded REITs, real estate mutual funds, and ETFs), ultimately explaining why the non-traded REIT better served the client's specific diversification objective despite its higher costs and illiquidity. She satisfied the Disclosure Obligation by providing comprehensive written explanations of fees (6% upfront load, 1.8% ongoing), liquidity constraints (5-7 year lock-up), risks (vacancy, interest rate, return of capital in distributions), and the absence of a guaranteed secondary market. She addressed the Conflict of Interest Obligation by documenting the fee comparison across alternatives. FINRA has also issued guidance specific to non-traded REITs and alternative investments requiring enhanced suitability review, concentration limits, and comprehensive disclosure -- Patricia's approach appears to have met or exceeded these expectations. Her documentation practices -- detailed notes, suitability analyses, signed acknowledgments, and comparison of alternatives -- represent best practices that would likely withstand regulatory scrutiny. The likely regulatory outcome is no finding of a violation; this represents a well-documented, appropriately sized recommendation to a suitable investor with full informed consent.

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**Item 386 of 499****NON-COMPLIANT****Topic:** inappropriate\_risk\_profile**Difficulty:** medium**Fact Pattern**

Margaret Holloway, age 74, is a retired elementary school teacher living in suburban Ohio on a fixed income of approximately \$2,800 per month from Social Security and a small state pension. She has a total liquid net worth of \$210,000, representing her entire life savings, held in a brokerage account she opened in March 2022. During the account opening process, her financial advisor, Derek Nash, conducted a risk assessment questionnaire with her. Margaret told Derek that she wanted to preserve her capital, generate modest income to supplement her pension, and avoid any significant losses because she had no other resources and no family members who could support her financially. She also mentioned she had recently been diagnosed with early-stage Parkinson's disease and anticipated rising medical expenses over the next several years. Despite these stated objectives and circumstances, Derek recorded her risk profile in the firm's system as 'Growth -- Moderate to Aggressive,' noting an investment time horizon of 10+ years and a willingness to accept up to 40% portfolio drawdowns. When Margaret signed the account documents, she did not notice the risk profile designation because Derek told her the paperwork was 'standard boilerplate' and rushed through the signature pages. Based on the inflated risk profile, Derek then allocated 55% of her portfolio (\$115,500) into a concentrated position in three small-cap technology stocks, 20% (\$42,000) into a leveraged emerging markets ETF, and the remaining 25% (\$52,500) into a high-yield bond fund with an expense ratio of 1.85%. Within nine months, the technology stocks declined by 38%, the leveraged ETF lost 29%, and the high-yield bond fund dropped 12%. Margaret's account value fell to approximately \$139,000 -- a loss of roughly \$71,000, or about 34% of her life savings. When Margaret called Derek to express alarm, he told her the losses were 'normal market fluctuations' and recommended she hold the positions. Margaret subsequently contacted the branch manager to complain.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Nash committed multiple serious violations. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, risk tolerance, and other relevant information. There are three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Derek violated customer-specific suitability by knowingly misrepresenting Margaret's risk profile. She clearly articulated conservative objectives -- capital preservation and income generation -- along with a limited financial cushion, advanced age, health concerns, and no alternative resources. Recording her profile as 'Growth -- Moderate to Aggressive' with a 10+ year horizon and tolerance for 40% drawdowns was directly contradicted by every piece of information she provided. Under Regulation Best Interest (Reg BI), the Care Obligation requires that a broker exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Derek failed this obligation by placing a 74-year-old retiree with a terminal-illness diagnosis and fixed income into highly speculative positions including concentrated small-cap tech stocks and leveraged emerging market ETFs. The Disclosure Obligation under Reg BI was also violated because Derek rushed Margaret through the paperwork and mischaracterized the risk profile documentation as 'boilerplate,' preventing her from understanding or correcting the inaccurate profile. Additionally, FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) is implicated because deliberately

falsifying a client's risk tolerance to justify unsuitable recommendations constitutes dishonest conduct. The portfolio construction -- 55% in concentrated small-cap tech, 20% in a leveraged ETF, and 25% in a high-yield bond fund with a 1.85% expense ratio -- is fundamentally incompatible with a conservative, income-oriented, capital-preservation objective for any elderly client, let alone one facing escalating medical costs. The resulting 34% loss of her life savings was a foreseeable consequence of these inappropriate allocations. A FINRA arbitration panel or enforcement action would very likely find violations of Rules 2111, 2010, and Reg BI. Likely sanctions could include restitution of the approximately \$71,000 in losses, disgorgement of commissions, a suspension or bar from the industry for Derek, and supervisory fines against the firm for failing to detect the glaring mismatch between the client profile and the portfolio allocation.

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**Item 387 of 499****NON-COMPLIANT**

**Topic:** speculative\_for\_conservative\_investor

**Difficulty:** hard

**Fact Pattern**

Raymond and Susan Cho, ages 62 and 59 respectively, are a married couple in Portland, Oregon. Raymond is a semi-retired mechanical engineer earning \$45,000 per year in part-time consulting work, and Susan works as a library administrator earning \$52,000 annually. Together they have \$430,000 in a joint brokerage account and \$285,000 in Raymond's traditional IRA, both managed by their financial advisor, Paul Hennessey, at a mid-sized regional broker-dealer. In January 2023, the Chos met with Paul and explained they planned to fully retire in approximately 20 months -- by September 2024 -- at which point Raymond would begin drawing Social Security and they would need to start taking distributions from their investment accounts to cover living expenses estimated at \$6,500 per month. They told Paul they wanted to gradually move their portfolio into lower-risk, income-producing investments so they would have reliable cash flow upon retirement. They emphasized that they could not afford to lose significant principal because they had no pension and their combined Social Security would only provide about \$3,400 per month. Paul acknowledged their timeline and objectives verbally during the meeting, and his notes from the meeting reflect their stated 20-month horizon and conservative income needs. However, over the following three months, Paul recommended and executed the following trades in their joint account: he sold their existing diversified portfolio of blue-chip equities and short-term Treasury funds and reinvested \$180,000 into a long-duration investment-grade corporate bond fund with an average duration of 11.2 years and an expense ratio of 0.95%, \$130,000 into a closed-end fund focused on mortgage-backed securities that was trading at a 6% premium to NAV and carried a 1.45% expense ratio plus a 2% front-end load, and \$120,000 into a structured product -- a 5-year principal-protected note linked to the S&P 500 with a cap of 28% total return, early redemption penalties of 3% in years one through three, and a 1.8% annual implicit fee. In the IRA, Paul moved \$200,000 into the same long-duration bond fund and \$85,000 into a non-traded REIT with a 7-year lockup period, a 6.5% upfront commission, and quarterly distributions that were partially funded by return of capital. By August 2024, rising interest rates caused the long-duration bond fund to decline 14.3% in value. The closed-end fund's premium collapsed and it traded at a 4% discount, resulting in a combined price and NAV decline of roughly 18%. The structured note could not be liquidated without a 3% penalty. The non-traded REIT suspended its distribution and announced a 22% write-down in its NAV. The Chos' combined portfolio had fallen from \$715,000 to approximately \$568,000 -- a loss of roughly \$147,000 -- just one month before they planned to begin retirement withdrawals. They were forced to delay Raymond's retirement and continue working. Paul had earned approximately \$18,700 in total commissions and sales concessions across all the transactions.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Paul Hennessey committed extensive violations across multiple regulatory frameworks. Under FINRA Rule 2111, the customer-specific suitability obligation requires that recommendations align with the customer's stated investment profile, including their time horizon, liquidity needs, risk tolerance, and investment objectives. The Chos explicitly stated a 20-month retirement timeline with an immediate need for reliable income distributions and an inability to sustain principal losses. Paul's own meeting notes documented this. Every recommendation he made was fundamentally inconsistent with these requirements.

First, the long-duration bond fund (11.2-year average duration) was profoundly unsuitable for clients needing capital within 20 months. Duration measures interest rate sensitivity; a fund with 11.2-year duration would be expected to lose approximately 11.2% for every 1% rise in rates. This is a product appropriate for investors with very long time horizons who can ride out rate cycles, not pre-retirees approaching their distribution phase. The 14.3% loss was entirely foreseeable given the rate environment.

Second, the closed-end MBS fund purchased at a 6% premium to NAV compounded risk. Closed-end fund premiums are inherently unstable and tend to collapse during periods of market stress or rising rates. The 2% front-end load and 1.45% expense ratio further eroded returns. For a client needing liquidity in under two years, this was speculative and cost-inefficient.

Third, the 5-year structured note with a 3% early redemption penalty in years one through three directly contradicted the Chos' 20-month liquidity requirement. Paul knew they would need to access these funds before the penalty period expired, making the product unsuitable regardless of its principal-protection feature at maturity.

Fourth, the non-traded REIT with a 7-year lockup placed in Raymond's IRA was particularly egregious. Raymond needed IRA distributions starting in 20 months, and this product was effectively illiquid for 7 years. The 6.5% upfront commission (\$5,525) represented a significant cost drag, and the distributions being partially funded by return of capital masked the true yield. Non-traded REITs have been the subject of extensive regulatory scrutiny for being recommended to investors who cannot bear illiquidity.

Under Regulation Best Interest, the Care Obligation requires that the broker consider reasonably available alternatives and ensure the recommendation is in the customer's best interest at the time of the recommendation. Paul failed to consider obvious alternatives -- short-duration bond funds, money market instruments, Treasury bills, CD ladders, or short-term investment-grade funds -- that would have matched the Chos' stated timeline and objectives. The Cost Obligation under Reg BI is also implicated: Paul earned approximately \$18,700 in commissions and sales concessions, and several of the products carried high embedded costs (front-end loads, implicit structured note fees, REIT upfront commissions) without corresponding benefits to the clients.

The Conflict of Interest Obligation under Reg BI required Paul to identify, disclose, and mitigate conflicts. The substantial commissions on the non-traded REIT and structured note created a direct conflict between Paul's compensation and the Chos' interests, and there is no indication these conflicts were mitigated.

FINRA Rule 2010 is also implicated because recommending illiquid, long-duration, and penalty-laden products to clients with a documented near-term liquidity need, while earning outsized commissions, raises concerns about dishonest dealing.

The firm's supervisory obligations under FINRA Rule 3110 may also have been violated, as the account records showed the clients' conservative profile and short time horizon, yet no supervisor flagged the obvious mismatch with the recommended products.

The likely regulatory outcome would include full restitution of the approximately \$147,000 in losses plus disgorgement of the \$18,700 in commissions. Paul would face a significant fine and likely a lengthy suspension or industry bar. The firm could face supervisory fines for failing to detect and prevent the unsuitable recommendations. In a FINRA arbitration, the Chos would have a very strong case for compensatory damages and potentially punitive damages given the deliberate disregard of their documented objectives.

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**Item 388 of 499****NON-COMPLIANT****Topic:** excessive\_churning**Difficulty:** medium**Fact Pattern**

Margaret Dawson, a 72-year-old retired school librarian in Tucson, Arizona, had a brokerage account with \$340,000, representing her entire retirement savings aside from a modest Social Security benefit of \$1,850 per month. She told her financial advisor, Kevin Ruiz, that she needed the account to generate steady income to supplement her Social Security and cover her \$2,400 monthly living expenses, including prescription medication costs. She described herself as conservative and said she could not afford to lose principal. Between January 2022 and December 2023, Ruiz executed 187 trades in Margaret's account, primarily buying and selling dividend-paying stocks, preferred shares, and investment-grade bond funds. The account had an annualized turnover rate of 7.2 and a cost-to-equity ratio of 14.8%. Over the two-year period, Margaret's account generated \$50,320 in commissions and fees for Ruiz, while the account's net value declined from \$340,000 to \$271,400 -- a loss of \$68,600. When Margaret called to ask why her account balance kept dropping, Ruiz told her the market had been volatile and that he was repositioning her portfolio for better yield. Margaret had given Ruiz discretionary authority over the account, trusting his judgment. She had no prior investment experience beyond a savings account at her local credit union.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Ruiz almost certainly violated applicable standards governing churning and suitability. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, and investment objectives. FINRA Rule 2111.05(c) specifically addresses quantitative suitability -- the requirement that a series of recommended transactions, even if individually suitable, are not excessive in light of the customer's profile. Additionally, Reg BI's Care Obligation under Rule 15l-1 of the Securities Exchange Act requires broker-dealers to exercise reasonable diligence, care, and skill when making recommendations, and not place the financial interest of the broker ahead of the customer's interest.

The hallmarks of churning are all present here: (1) the advisor exercised control over the account through discretionary authority; (2) the trading was excessive, as evidenced by an annualized turnover rate of 7.2 (courts and regulators generally consider turnover rates above 4-6 to be presumptively excessive) and a cost-to-equity ratio of 14.8% (meaning the account needed to earn nearly 15% annually just to break even after costs, which is virtually impossible for a conservative income-oriented portfolio); and (3) the advisor acted with scienter or at minimum reckless disregard, given the obvious mismatch between Margaret's conservative income needs and the frenetic trading activity.

Margaret's profile -- a 72-year-old retiree with no investment sophistication, limited income, conservative risk tolerance, and an income-generation objective -- makes the excessive trading particularly egregious. The \$50,320 in commissions represented approximately 14.8% of her initial account value over two years, while her account lost \$68,600 in value. Under FINRA's enforcement framework, this constitutes a violation of Rules 2111 and 2020 (use of manipulative, deceptive, or other fraudulent devices). Under Reg BI, Ruiz failed the Care Obligation by placing his commission interest above Margaret's interest in capital preservation and income generation.



The likely regulatory outcome includes disgorgement of commissions, restitution to the customer, a substantial fine, and a suspension or bar from the securities industry. In a FINRA arbitration proceeding, Margaret would likely recover her losses plus the excessive commissions paid.

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**Item 389 of 499****COMPLIANT****Topic:** illiquid\_real\_estate\_investment**Difficulty:** hard**Fact Pattern**

David Chen, age 48, is a senior software engineer at a major technology company earning \$425,000 annually. He has a total liquid net worth of approximately \$3.2 million, including \$1.4 million in his company's 401(k), \$900,000 in a taxable brokerage account, and \$900,000 in cash and money market funds. He also owns his home outright, valued at approximately \$1.1 million. David approached his financial advisor, Lisa Fontaine, seeking diversification away from his heavily tech-weighted portfolio and expressing interest in real estate exposure without the hassle of being a landlord. He described his risk tolerance as moderate-to-aggressive and said he had a long time horizon of at least 15 years before retirement. He stated he had no near-term liquidity needs and was comfortable with a portion of his portfolio being locked up for seven to ten years. Lisa conducted a thorough review of David's financial situation, including his emergency reserves, existing real estate exposure through his home, outstanding liabilities (none), and other income sources. She presented David with three options: a publicly traded REIT index fund, a non-traded REIT focused on institutional-quality industrial and logistics properties, and a private real estate limited partnership. After detailed discussions over two meetings, during which Lisa explained the fee structures, liquidity restrictions, redemption limitations, distribution expectations, and risk of loss of principal for each option, David chose to invest \$200,000 -- approximately 6.25% of his liquid net worth -- into the non-traded REIT, which carried a 7-year investment horizon, an upfront commission of 3%, ongoing management fees of 1.25% annually, and targeted annual distributions of 5-6%. Lisa documented all discussions, David's stated objectives, his acknowledgment of the illiquidity and risks, and his confirmation that the investment aligned with his goals. She also recommended he maintain his existing diversified portfolio for the remainder of his assets and continue contributing to his 401(k).

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Lisa Fontaine appears to have acted in compliance with applicable suitability and best interest standards. Under FINRA Rule 2111, the recommendation of the non-traded REIT satisfies all three components of the suitability obligation: (1) Reasonable-Basis Suitability -- Lisa understood the product's features, risks, fees, and liquidity constraints before recommending it; (2) Customer-Specific Suitability -- the recommendation was appropriate given David's high income (\$425,000), substantial liquid net worth (\$3.2 million), long time horizon (15+ years), moderate-to-aggressive risk tolerance, stated desire for real estate diversification, and absence of near-term liquidity needs; and (3) Quantitative Suitability -- the single investment of \$200,000 representing 6.25% of liquid net worth is a reasonable allocation and does not constitute an excessive concentration in illiquid products.

Under Reg BI's Care Obligation (Rule 15l-1 under the Securities Exchange Act), Lisa exercised reasonable diligence, care, and skill by conducting a comprehensive review of David's financial profile, presenting multiple alternatives (publicly traded REIT, non-traded REIT, and private LP), explaining the material differences including fees, liquidity, and risks across multiple meetings, and allowing David to make an informed decision. She did not place her financial interest ahead of the customer's, even though the non-traded REIT likely paid a higher commission than the publicly traded REIT -- the recommendation was driven by David's stated preferences and financial profile, not commission incentives.

Regarding Reg BI's Disclosure Obligation, Lisa provided full transparency on fees (3% upfront commission, 1.25% annual management fee), the 7-year lock-up period, redemption limitations, and risks of loss. Under the Conflict of Interest Obligation, the fact that she presented lower-commission alternatives alongside the non-traded REIT demonstrates she mitigated the conflict rather than steering David toward the highest-commission product.

Non-traded REITs have been the subject of significant regulatory scrutiny, and FINRA has issued guidance (Regulatory Notice 15-02) emphasizing the importance of ensuring customers understand the illiquidity, fee burden, and valuation uncertainty of these products. However, these products are not per se unsuitable -- they can be appropriate for high-net-worth, long-horizon investors with no near-term liquidity needs, which precisely describes David's profile. The 6.25% allocation is well within reasonable concentration limits.

The likely regulatory outcome is no adverse action. Lisa's thorough documentation, multi-option presentation, detailed risk disclosures, and appropriate sizing of the investment relative to David's overall portfolio all support a finding of compliance.

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**Item 390 of 499****NON-COMPLIANT**

**Topic:** junk\_bonds\_conservative\_investor

**Difficulty:** easy

**Fact Pattern**

Margaret Dawson, age 74, is a retired elementary school teacher living in Tallahassee, Florida. She has a fixed annual income of \$38,000, consisting of \$22,000 from her state pension and \$16,000 from Social Security. Her total liquid savings amount to \$310,000, held in a brokerage account at a mid-size regional firm. When she opened the account in January 2023, she completed a new-account form indicating her risk tolerance as "conservative," her investment objective as "income with preservation of capital," and her investment time horizon as "5-10 years." She noted that she had no prior experience with bonds rated below investment grade and described her investment knowledge as "limited." She specifically told her advisor, Kevin Driscoll, that she could not afford to lose principal because the money was intended to cover healthcare expenses and supplement her pension. In March 2023, Driscoll recommended that Margaret invest \$195,000 -- roughly 63% of her liquid assets -- into a portfolio of seven high-yield corporate bonds rated between B- and CCC+ by major credit rating agencies. The bonds carried coupon rates ranging from 7.5% to 10.2% and had maturities between 2028 and 2032. Driscoll told Margaret the bonds would "generate strong income to keep up with inflation" and described them as "just like regular bonds but with better returns." He did not discuss default risk, credit ratings, or the historical loss rates associated with speculative-grade debt. He did not present any alternative income-generating investments such as Treasury securities, investment-grade corporate bonds, CDs, or dividend-paying equity funds. By November 2023, two of the seven bond issuers had filed for bankruptcy, and a third had its debt downgraded to D. Margaret's portfolio lost approximately \$74,000 in market value, and she was unable to sell the remaining positions without taking additional losses of roughly \$31,000. She filed a complaint with her brokerage firm in December 2023.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Driscoll likely violated both FINRA's suitability requirements and the SEC's Regulation Best Interest (Reg BI). Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. Here, Margaret was a 74-year-old retiree with limited income, conservative risk tolerance, a stated objective of income with capital preservation, and no experience with below-investment-grade debt. Concentrating 63% of her liquid assets in speculative-grade bonds rated B- to CCC+ directly contradicts her documented profile on all three components of suitability -- reasonable-basis, customer-specific, and quantitative suitability. The concentration in junk bonds was excessive for any conservative investor, let alone an elderly retiree dependent on those funds for healthcare. Under Reg BI's Care Obligation (17 CFR 240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill in making recommendations, must understand the risks and rewards of the recommended security, and must have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the broker's interest ahead of the customer's. Driscoll failed this standard by recommending a concentrated position in high-yield bonds to a conservative, unsophisticated retiree without discussing default risk, without considering reasonably available alternatives such as Treasuries, investment-grade bonds, or CDs, and by characterizing speculative-grade debt as merely 'regular bonds with better returns.' This omission also implicates Reg BI's Disclosure Obligation, as material risks were not adequately

communicated. Additionally, FINRA Rule 2010 (Standards of Commercial Honor) may apply given the misleading characterization of the products. The likely regulatory outcome includes potential FINRA disciplinary action against Driscoll, including fines, suspension, and restitution. In arbitration, Margaret would have strong grounds for recovering her losses based on unsuitability, misrepresentation, and failure to act in her best interest.

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## Item 391 of 499

### NON-COMPLIANT

**Topic:** complex\_products\_unsophisticated\_investor

**Difficulty:** hard

### Fact Pattern

Carlos Medina, age 29, works as a warehouse shift supervisor in Phoenix, Arizona, earning \$47,000 per year. He has no college degree and describes his investment experience as 'none -- I've only had a savings account.' In August 2022, he inherited \$120,000 from his grandmother and opened a brokerage account with financial advisor Danielle Pryor at a nationally recognized broker-dealer. On his new-account form, Carlos listed his risk tolerance as 'moderate,' his investment objective as 'growth,' and his time horizon as 'long-term (20+ years).' He told Pryor he wanted to 'make the money grow for a house down payment in maybe five years and also save for retirement.' During their second meeting in September 2022, Pryor recommended that Carlos allocate his \$120,000 as follows: \$45,000 into a leveraged exchange-traded fund (ETF) that seeks to deliver 3x the daily return of the S&P 500, \$35,000 into a structured note linked to a basket of emerging-market currencies with a two-year maturity and a contingent coupon of 12% that would only pay if none of the underlying currencies depreciated more than 20% against the U.S. dollar, and \$40,000 into a non-traded real estate investment trust (REIT) with a seven-year lockup period, a 6.5% upfront commission, and limited quarterly redemption provisions. Pryor explained to Carlos that the leveraged ETF would 'triple his gains in the stock market,' that the structured note offered 'high income with some downside protection,' and that the non-traded REIT was 'like owning real estate without the hassle.' She provided a prospectus for each product and asked Carlos to sign acknowledgment forms, but she did not walk through the risk sections of any document or explain concepts like daily compounding decay, currency correlation risk, issuer credit risk on the structured note, or illiquidity risk on the REIT. She did not assess whether Carlos understood these products or ask follow-up questions about his comprehension. When Carlos asked if these were 'safe bets,' Pryor responded, 'Nothing is guaranteed, but I think you'll be really happy with the returns.' By August 2023, the leveraged ETF had lost 38% of its value due to market volatility and compounding decay despite the S&P 500 being roughly flat over the period. The structured note's contingent coupon was not triggered in either semi-annual observation period because the Brazilian real had depreciated 23% against the dollar, meaning Carlos received no income and faced the prospect of a principal loss at maturity. The non-traded REIT suspended its redemption program in June 2023 due to liquidity constraints, effectively trapping Carlos's \$40,000 (minus the \$2,600 upfront commission already deducted). Carlos's total portfolio was worth approximately \$79,400, a loss of roughly \$40,600 or 34% of his inheritance, with a significant portion illiquid. He filed a complaint in October 2023.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Danielle Pryor almost certainly violated multiple regulatory standards in her recommendations to Carlos Medina. Under FINRA Rule 2111 (Suitability), all three components were breached. First, regarding reasonable-basis suitability, Pryor was required to understand the risks and features of the products she recommended. Leveraged ETFs are designed for short-term, sophisticated trading strategies and are widely recognized as unsuitable for buy-and-hold investors due to daily reset compounding (often called 'volatility decay'). FINRA has issued Regulatory Notices (including Notice 09-31 and 12-03) warning that leveraged and inverse ETFs are typically unsuitable for retail investors who plan to hold them for longer than one trading session. Structured notes linked to emerging-market currencies are complex derivatives that require understanding of currency risk, correlation, contingent payoff structures, and issuer

credit risk -- far beyond what a first-time investor with no financial background could reasonably be expected to grasp. Non-traded REITs carry significant illiquidity risk, high upfront costs, and valuation opacity, making them problematic for investors who may need access to funds within a defined time horizon. Second, regarding customer-specific suitability, Carlos was a 29-year-old first-time investor with no investment experience, no college education, a moderate risk tolerance, and a stated goal of using part of the funds for a house down payment within five years. Allocating 100% of his assets into three complex, high-risk, or illiquid products is fundamentally inconsistent with this profile. The non-traded REIT's seven-year lockup directly conflicts with his five-year down-payment goal. Third, regarding quantitative suitability, while there was no excessive trading, the concentration of 100% of assets in complex, high-risk products constitutes an unsuitable allocation. Under Reg BI's Care Obligation (17 CFR 240.15I-1), Pryor was required to exercise reasonable diligence, care, and skill, understand the potential risks and rewards, consider reasonably available alternatives, and ensure the recommendations were in Carlos's best interest without placing her own interests ahead of his. The 6.5% upfront commission on the non-traded REIT (\$2,600) and likely elevated compensation on the structured note suggest a financial incentive that Pryor may have prioritized over Carlos's interests, further implicating the Conflict of Interest Obligation under Reg BI. Pryor's Disclosure Obligation was also deficient: while she provided prospectuses, she did not meaningfully explain the key risks -- compounding decay, currency risk, illiquidity, contingent coupon triggers -- and her characterizations ('triple his gains,' 'high income with some downside protection,' 'like owning real estate') were materially misleading by omission. Her failure to assess Carlos's understanding of the products and her dismissive response to his question about safety further compound the violations. If Carlos were an advisory (fee-based) client, the investment adviser fiduciary duty under the Advisers Act would impose an even higher standard, requiring Pryor to act in Carlos's best interest with full and fair disclosure of all material conflicts. The likely regulatory outcomes include FINRA enforcement action for unsuitable recommendations involving complex products to an unsophisticated investor, potential fines, disgorgement of commissions, suspension or bar for Pryor, and the firm could face supervisory failure charges under FINRA Rule 3110 if it did not have adequate procedures to review complex product recommendations for inexperienced customers. In arbitration, Carlos would have a strong case for full restitution of his losses plus costs and fees.

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**Item 392 of 499****NON-COMPLIANT****Topic:** market\_timing\_unsuitable**Difficulty:** medium**Fact Pattern**

Margaret Olsen, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,800 per month from her pension and \$1,950 per month in Social Security benefits. Her total liquid savings amount to \$385,000, held primarily in a rollover IRA that represents her life savings. Margaret described her investment objectives as capital preservation and income generation. On her new account form, she indicated a conservative risk tolerance, a long-term time horizon for her IRA, and stated she could not afford to lose more than 10% of her portfolio value. She has no prior experience with active trading strategies. In March 2023, her financial advisor, Daniel Kowalski, recommended that Margaret adopt what he described as a 'tactical rotation strategy' involving frequent exchanges between equity mutual funds based on short-term market signals. Over the next nine months, Kowalski executed 47 round-trip exchanges in Margaret's IRA, moving her assets between large-cap growth funds, sector-specific funds (technology, energy, healthcare), and international equity funds. The average holding period for each fund position was approximately 5.7 days. The funds carried front-end sales charges averaging 4.25%, though Kowalski used Class A share breakpoint pricing on some transactions. Despite this, total sales charges over the period amounted to approximately \$31,400. Additionally, several of the funds imposed short-term redemption fees totaling \$2,890. By December 2023, Margaret's account had declined in value from \$385,000 to \$341,200, a loss of \$43,800, or roughly 11.4%. Meanwhile, a balanced conservative allocation fund at the same fund family returned approximately 6.2% over the same period. Margaret only learned of the extent of trading when she received her year-end tax documents and called Kowalski, who told her the strategy 'just needed more time to work.'

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Daniel Kowalski violated applicable suitability and best interest standards on multiple levels.

**\*\*Applicable Standards:\*\***

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. This rule encompasses three obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

If Kowalski is a broker-dealer representative, Regulation Best Interest (Reg BI) under the Securities Exchange Act also applies. Reg BI's Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill when making recommendations, considering the customer's investment profile and ensuring the recommendation is in the customer's best interest without placing the financial professional's interest ahead of the customer's.

**\*\*Analysis:\*\***

1. **\*\*Customer-Specific Suitability / Care Obligation Violation:\*\*** Margaret is a 71-year-old retiree with conservative risk tolerance, capital preservation and income objectives, no trading experience, and limited ability to absorb losses (stated



10% maximum loss tolerance). A market-timing strategy involving 47 round-trip exchanges in equity sector funds over nine months is fundamentally incompatible with her stated objectives and profile. The strategy exposed her to significant market risk, timing risk, and cost drag that directly contradicted her need for capital preservation.

2. **\*\*Quantitative Suitability Violation:\*\*** Under FINRA Rule 2111, even if individual transactions might appear suitable in isolation, the overall pattern of trading must be suitable. The 47 round-trip trades with an average 5.7-day holding period constitute excessive trading (churning) in a conservative retiree's IRA. The cost-to-equity ratio and turnover rate would almost certainly exceed thresholds that regulators and arbitration panels consider presumptively excessive. Total costs of approximately \$34,290 (\$31,400 in sales charges plus \$2,890 in redemption fees) represent roughly 8.9% of the account's starting value in just nine months.

3. **\*\*Reasonable-Basis Suitability Violation:\*\*** Market-timing strategies involving frequent mutual fund exchanges are widely recognized as unlikely to generate returns sufficient to overcome the associated transaction costs, particularly with funds carrying front-end loads. Kowalski lacked a reasonable basis for believing this strategy would benefit any investor, let alone a conservative retiree.

4. **\*\*Reg BI Conflict of Interest:\*\*** If Kowalski received commissions or sales credits on the mutual fund exchanges, the strategy generated significant compensation for him at Margaret's expense, placing his financial interest ahead of hers in violation of Reg BI's Conflict of Interest Obligation.

**\*\*Likely Regulatory Outcome:\*\*** FINRA enforcement would likely result in findings of excessive trading and unsuitable recommendations, resulting in restitution of approximately \$43,800 in losses plus costs, potential disgorgement of commissions, fines, and a suspension or bar for Kowalski. In a customer arbitration proceeding, Margaret would likely recover her losses, costs, and potentially punitive damages given the egregious nature of the misconduct.

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## Item 393 of 499

## NON-COMPLIANT

**Topic:** crypto\_assets\_unsuitable

**Difficulty:** hard

## Fact Pattern

Jason and Priya Mehta, both age 44, are dual-income professionals living in Charlotte, North Carolina. Jason earns \$165,000 annually as a logistics manager, and Priya earns \$128,000 as a pharmacist. They have two children, ages 9 and 12, and are saving for college expenses. Their combined liquid investment portfolio is approximately \$620,000, split between taxable brokerage accounts (\$290,000), 401(k) accounts (\$255,000), and 529 college savings plans (\$75,000). They carry a \$340,000 mortgage at 3.1% and have no other significant debts. Their investment objectives, as documented, are growth with moderate risk tolerance, and they have stated that the 529 funds and \$100,000 of their taxable account are earmarked for their children's college in 6-9 years. Their advisor, Rebecca Tran, who holds herself out as a comprehensive financial planner and charges a 1.15% annual advisory fee on assets under management, began recommending cryptocurrency-related investments in late 2022. Over the following year, Tran recommended the following allocation changes: (1) \$95,000 of the taxable brokerage account (approximately 33% of that account) was moved into a single cryptocurrency trust product tracking Bitcoin, which traded at a persistent premium to net asset value averaging 18% during the purchase period and carried an internal expense ratio of 2.0%; (2) \$40,000 was placed into a small, newly launched crypto-focused venture fund with a 3-year lock-up, 2% management fee, and 20% performance fee, investing primarily in early-stage blockchain startups; and (3) \$25,000 was allocated to a basket of altcoin tokens -- including Solana, Avalanche, and three micro-cap tokens with market capitalizations under \$50 million -- held through a third-party custodial wallet rather than through the advisory firm's standard custodian. In total, \$160,000 -- approximately 25.8% of the Mehtas' total liquid portfolio -- was allocated to crypto-related assets. Tran did not provide the Mehtas with written disclosure regarding the specific risks of cryptocurrency investments, the premium-to-NAV issue on the Bitcoin trust, the illiquidity of the venture fund, or the lack of standard custodial protections for the altcoin wallet. When asked, Tran described the crypto allocation as 'the future of finance' and said the position sizes were 'perfectly normal for people your age.' By October 2023, the Bitcoin trust had declined 22% from purchase price (compounded by premium compression), the venture fund had written down two of its five portfolio companies and was valued at \$24,000, and the altcoin basket had lost approximately 61% of its value, with one micro-cap token becoming effectively worthless after its development team abandoned the project. Total crypto-related losses stood at approximately \$78,500. The Mehtas' overall portfolio, which would have otherwise grown modestly, was down approximately 5.2% for the year due to the crypto losses offsetting gains in their traditional holdings.

## Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

## Answer

Yes, Rebecca Tran committed multiple violations of her obligations as an investment adviser and fiduciary.

**\*\*Applicable Standards:\*\***

As a registered investment adviser (or investment adviser representative) charging an asset-based advisory fee and holding herself out as a comprehensive financial planner, Tran owes the Mehtas a fiduciary duty under the Investment Advisers Act of 1940. This fiduciary duty encompasses a duty of care (providing advice in the client's best interest with the requisite skill and diligence) and a duty of loyalty (not placing her own interests above the client's and making full

and fair disclosure of all material facts and conflicts of interest). Additionally, if Tran is dually registered or operating through a broker-dealer platform for certain transactions, Regulation Best Interest (Reg BI) would apply to those recommendations.

**\*\*Analysis:\*\***

1. **\*\*Concentration and Suitability Concerns:\*\*** Allocating 25.8% of the Mehtas' total liquid portfolio to cryptocurrency and crypto-adjacent assets is excessive for clients with moderate risk tolerance and near-to-intermediate-term college funding obligations. While the Mehtas are mid-career professionals who can tolerate some growth-oriented risk, crypto assets -- particularly micro-cap altcoins, a locked-up venture fund, and a Bitcoin trust trading at a persistent NAV premium -- represent highly speculative positions. The concentration in a single volatile asset class materially jeopardized the family's ability to meet their stated college funding goals.

2. **\*\*Product-Level Unsuitability:\*\***

- **\*\*Bitcoin Trust at 18% Premium:\*\*** Purchasing a trust product at an 18% premium to its underlying NAV means the Mehtas paid approximately \$15,300 more than the Bitcoin itself was worth. This premium represents an immediate, embedded loss that Tran had a duty to disclose and analyze. An adviser exercising reasonable diligence would have either waited for more favorable pricing, used alternative vehicles, or warned the clients of this cost.

- **\*\*Venture Fund with 3-Year Lock-Up:\*\*** A \$40,000 allocation to an illiquid, newly launched venture fund with a 2/20 fee structure is highly speculative and locks up roughly 6.5% of the family's liquid portfolio. For clients who may need liquidity for college expenses beginning in six years, this creates unacceptable liquidity risk.

- **\*\*Micro-Cap Altcoins via Third-Party Wallet:\*\*** Allocating \$25,000 to altcoins including tokens with sub-\$50 million market caps carries extreme risk of total loss, as evidenced by one token becoming worthless. Holding these through a third-party custodial wallet outside the firm's standard custodian introduces counterparty risk, reduces oversight, and may violate the adviser's custody obligations under the Advisers Act custody rule (Rule 206(4)-2).

3. **\*\*Failure to Disclose Material Risks and Conflicts:\*\*** Under the fiduciary duty of loyalty, Tran was obligated to provide full and fair disclosure of material facts. She failed to disclose in writing: (a) the NAV premium on the Bitcoin trust; (b) the specific risks and illiquidity of the venture fund; (c) the counterparty and custodial risks of the altcoin wallet arrangement; and (d) the speculative nature of micro-cap tokens. Her characterization of the allocation as 'perfectly normal' was misleading and failed to address the specific risk factors relevant to the Mehtas' profile.

4. **\*\*Duty of Care Violation:\*\*** An adviser exercising reasonable care, competence, and diligence would have: (a) limited speculative crypto allocation to a much smaller portfolio percentage (industry norms for speculative alternatives typically suggest 5-10% maximum for moderate-risk clients); (b) conducted and documented due diligence on the venture fund and individual tokens; (c) ensured proper custodial arrangements; and (d) stress-tested the portfolio to assess impact on college funding goals.

5. **\*\*Potential Custody Rule Violations:\*\*** By directing client assets to a third-party custodial wallet outside the firm's qualified custodian, Tran may have violated Rule 206(4)-2 under the Investment Advisers Act, which imposes specific requirements on advisers who have custody of client assets, including surprise examination and qualified custodian requirements.

**\*\*Likely Regulatory Outcome:\*\*** The SEC or a state securities regulator could bring an enforcement action against Tran for breach of fiduciary duty, failure to disclose material facts, unsuitable recommendations, and potential custody violations. Remedies would likely include disgorgement of advisory fees earned on the crypto allocation, restitution of client losses (approximately \$78,500), civil penalties, and possible suspension or revocation of Tran's registration. In an arbitration or civil proceeding, the Mehtas would likely recover their losses, advisory fees paid, and potentially consequential damages if college funding is impacted.

**Item 394 of 499****NON-COMPLIANT****Topic:** variable\_annuity\_unsuitable**Difficulty:** medium**Fact Pattern**

Margaret Holloway, age 78, is a retired school librarian living in Tucson, Arizona. She has a fixed monthly income of \$2,100 from Social Security and a small pension of \$650 per month. Her total liquid savings amount to approximately \$185,000, held in a money market account and a short-term bond fund at a regional brokerage. She has no other significant assets aside from her paid-off home valued at \$210,000. Margaret's stated investment objectives are capital preservation and income generation. She has described herself as very conservative, stating during her account opening that she 'cannot afford to lose any money' and that her savings need to last through her remaining years. She has no prior experience with annuities, options, or complex financial products. In March 2023, her financial advisor, Keith Drummond, recommended she move \$155,000 -- roughly 84% of her liquid assets -- into an L-share variable annuity with a living benefit rider. The annuity carried a mortality and expense charge of 1.45%, an administrative fee of 0.15%, underlying sub-account expenses averaging 0.92%, and the living benefit rider cost an additional 1.10% annually, bringing total annual fees to approximately 3.62%. The annuity had a surrender period of four years, with surrender charges starting at 8% in year one and declining to 2% in year four. Keith selected an aggressive growth sub-account allocation, placing 60% in a small-cap equity fund and 40% in an international equity fund. Keith earned a commission of \$9,300 on the sale. Margaret was not informed about lower-cost alternatives such as fixed annuities or immediate annuities, nor was she told that she could achieve her income needs through a simple bond ladder or CD strategy. By December 2023, the account had declined by approximately \$18,600 due to market volatility in the selected sub-accounts. Margaret needed to access \$12,000 for unexpected dental surgery in early 2024, but the surrender charge of 6% at that point would have cost her an additional penalty on any withdrawal exceeding the free withdrawal allowance.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Keith Drummond violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for the customer based on their investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and other holdings. FINRA Rule 2330 specifically addresses variable annuity recommendations and imposes heightened suitability requirements, including that the broker must have a reasonable basis to believe the customer would benefit from the features of a variable annuity (such as tax-deferred growth, annuitization, or death benefit features) relative to the costs. If Keith is subject to Regulation Best Interest (Reg BI) under the Exchange Act, he must also satisfy the Care Obligation (acting in the customer's best interest at the time of the recommendation, considering reasonably available alternatives) and the Disclosure Obligation.

**\*\*Analysis of Violations:\*\***

1. **\*\*Customer-Specific Suitability (Rule 2111.05):\*\*** Margaret is 78 years old with a conservative risk profile, limited

income, and stated objectives of capital preservation and income. Placing 84% of her liquid assets in a variable annuity with aggressive growth sub-accounts (60% small-cap equity, 40% international equity) directly contradicts her stated objectives and risk tolerance. The product's market exposure and volatility are fundamentally incompatible with her needs.

2. **Concentration Risk:** Allocating \$155,000 of \$185,000 in liquid savings (84%) into a single illiquid product with surrender charges leaves Margaret dangerously exposed to liquidity risk, especially given her age and likelihood of unexpected medical expenses -- which materialized.

3. **Variable Annuity-Specific Suitability (Rule 2330):** The tax-deferral benefit of a variable annuity provides minimal value to a 78-year-old retiree in a low tax bracket. The living benefit rider, while potentially providing downside protection, adds 1.10% in annual costs on top of already high fees totaling 3.62% per year. A fixed annuity or immediate annuity would have better served her income and preservation needs at a fraction of the cost. Keith failed to consider or present these alternatives.

4. **Reg BI Care Obligation:** Keith failed to exercise reasonable diligence, care, and skill in evaluating reasonably available alternatives. Lower-cost products such as fixed annuities, immediate annuities, bond ladders, or CDs would have met Margaret's objectives without subjecting her to market risk, surrender charges, or high annual fees.

5. **Reg BI Disclosure Obligation:** Margaret was not informed about lower-cost alternatives or the full implications of the fee structure and surrender period.

6. **Quantitative Suitability:** The \$9,300 commission and 3.62% annual fee drag suggest the recommendation was driven by compensation rather than customer benefit.

**Likely Regulatory Outcome:** This case presents strong grounds for a FINRA enforcement action or customer arbitration claim. Probable sanctions include disgorgement of commissions, restitution to the customer for losses and surrender charges incurred, fines, and a potential suspension for Keith. The combination of an elderly, unsophisticated customer, aggressive allocation, concentration in a single illiquid product, high costs, and failure to consider alternatives represents a textbook unsuitable variable annuity recommendation.

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## Item 395 of 499

### COMPLIANT

**Topic:** options\_unsuitable

**Difficulty:** hard

### Fact Pattern

David Yuen, age 52, is a senior software architect at a publicly traded technology company in Seattle, earning \$340,000 annually. He has a brokerage account with \$1.8 million in diversified holdings (approximately 45% large-cap equities, 25% fixed income, 20% international equities, and 10% cash equivalents). He also has a 401(k) with \$920,000, an IRA with \$280,000, and equity in his home of approximately \$650,000. David holds a concentrated position of approximately \$520,000 in his employer's stock, which represents about 29% of his brokerage portfolio. He has 15 years of active trading experience, including frequent use of covered calls, protective puts, and occasional vertical spreads. He was approved for Level 3 options trading after completing a detailed options application in which he accurately represented his experience, net worth, income, and investment knowledge. His stated objectives for the options portion of his portfolio are income generation and hedging of his concentrated employer stock position, with a moderate-to-aggressive risk tolerance for his overall portfolio. In September 2023, his financial advisor, Patricia Salazar, recommended a collar strategy on David's employer stock position: selling covered calls at a strike price approximately 10% above the current market price and simultaneously purchasing protective puts at a strike price approximately 8% below the current market price. The net cost of establishing the collar was approximately \$4,200, as the premium received from the calls largely offset the cost of the puts. Patricia documented that the strategy was designed to protect David's concentrated position from significant downside during an upcoming earnings season while allowing for moderate upside participation, and that David understood he would cap his gains if the stock rose above the call strike. She also discussed alternatives, including outright sale of a portion of the position, exchange funds, and a simple protective put strategy without the call component, but David preferred the collar due to its lower net cost and his desire to retain the shares for potential long-term appreciation and tax reasons. The collar expired in December 2023; the stock had risen 5% and David retained all shares without assignment, and the puts expired worthless.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

No, Patricia Salazar acted in accordance with applicable suitability and best interest standards. Her recommendation was appropriate given the customer's profile, and she followed proper procedures throughout.

#### **\*\*Applicable Standards:\*\***

Under FINRA Rule 2360 (Options), member firms must approve customers for options trading based on their financial situation, investment experience, and investment objectives. FINRA Rule 2111 (Suitability) requires that options recommendations be suitable based on the customer's investment profile. Under Regulation Best Interest (Reg BI), if applicable, Patricia must satisfy the Disclosure, Care, Conflict of Interest, and Compliance obligations.

#### **\*\*Analysis Supporting Compliance:\*\***

1. **\*\*Customer-Specific Suitability (Rule 2111.05):\*\*** David is a sophisticated, high-income investor with 15 years of active options trading experience, including experience with the exact types of strategies recommended. His \$1.8 million brokerage account, combined with over \$1.2 million in retirement assets, provides substantial financial

resources. His moderate-to-aggressive risk tolerance and his specific objective of hedging a concentrated stock position align perfectly with a collar strategy.

2. **Options Suitability (Rule 2360):** David was properly approved for Level 3 options trading based on an accurate application reflecting his experience, financial condition, and knowledge. The collar strategy -- combining a covered call with a protective put -- is a well-recognized hedging strategy that is generally considered conservative in the options context. It limits both downside risk and upside potential, making it appropriate for a customer seeking to hedge a concentrated position.

3. **Reasonable-Basis Suitability:** A collar on a concentrated employer stock position is a widely recommended risk management approach. The net cost of \$4,200 is modest relative to the \$520,000 position being hedged, and the strategy effectively provided downside protection of approximately \$41,600 (8% of \$520,000) at minimal net cost.

4. **Reg BI Care Obligation:** Patricia exercised reasonable diligence by evaluating and discussing multiple alternatives with David, including outright sale, exchange funds, and standalone protective puts. She documented the rationale for the recommendation and David's preference for the collar. The recommendation was in David's best interest given his specific tax considerations, desire to retain shares, and need for cost-efficient downside protection.

5. **Reg BI Disclosure Obligation:** Patricia clearly explained the trade-offs of the collar strategy, including the cap on upside gains if the stock rose above the call strike. David understood and accepted these terms.

6. **Documentation:** Patricia properly documented the rationale, alternatives considered, and the customer's informed decision -- demonstrating a thorough process.

**Likely Regulatory Outcome:** No violation would be found. This represents a textbook example of a suitable options recommendation: a defined-risk hedging strategy recommended to a knowledgeable, experienced, and financially capable investor for a legitimate portfolio management purpose, with proper documentation and consideration of alternatives. No regulatory action would be warranted.

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## Item 396 of 499

### NON-COMPLIANT

**Topic:** private\_placements\_unsuitable

**Difficulty:** medium

### Fact Pattern

Margaret Holloway, age 71, is a retired elementary school teacher living in suburban Ohio. Her total liquid net worth is approximately \$340,000, consisting of a \$280,000 IRA rollover from her pension and \$60,000 in a savings account. She receives \$2,400 per month from Social Security and has no other income sources. Margaret's stated investment objectives on her new account forms were capital preservation and income generation. She described her risk tolerance as conservative, noting that she could not afford to lose principal because this was her only retirement savings. She had no prior experience with alternative investments, limited partnerships, or illiquid securities. In March 2022, her financial advisor, Derek Simmons, recommended that Margaret invest \$140,000 -- roughly 41% of her total liquid assets -- into a private placement offering from a real estate development company focused on building luxury condominiums in a secondary market in the Southeast. The offering documents disclosed a minimum five-year hold period with no guaranteed distributions, a 10% upfront commission and fee structure, and noted that investors could lose their entire investment. The projected annual return was listed as 8-12%, though the documents also stated that no distributions had been made to investors in the sponsor's two prior offerings. Derek told Margaret that the investment was 'like owning real estate without the hassle' and emphasized the projected income potential. He did not discuss the illiquidity, the lack of a secondary market, the concentration risk of placing 41% of her assets in a single illiquid product, or the fact that the sponsor had not delivered returns to investors in previous deals. By late 2023, the development project had stalled due to cost overruns, and Margaret had received no distributions. She was unable to access her \$140,000 and had to begin drawing down her remaining savings to cover living expenses.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Simmons violated applicable suitability and best interest standards on multiple grounds.

**\*\*FINRA Suitability (Rule 2111):\*\*** Under FINRA's suitability rule, a broker must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, liquidity needs, and time horizon. Margaret was a 71-year-old retiree with conservative risk tolerance, capital preservation and income objectives, limited liquid assets (\$340,000), and no experience with alternative or illiquid investments. Recommending a speculative private placement with a five-year lockup, no guaranteed income, and a sponsor with no track record of delivering returns was fundamentally inconsistent with her profile. This violates the customer-specific suitability obligation.

**\*\*Concentration Risk:\*\*** Allocating 41% of Margaret's total liquid net worth to a single illiquid private placement created dangerous concentration risk, particularly for someone wholly dependent on these assets for retirement income. FINRA has repeatedly found that excessive concentration in illiquid alternative investments for conservative, elderly investors constitutes a suitability violation.

**\*\*Quantitative Suitability and Cost Considerations:\*\*** The 10% upfront fee structure significantly eroded Margaret's principal from day one. Under Regulation Best Interest (Reg BI), broker-dealers must consider reasonably available



alternatives and the costs of the recommended product. The high commission created a clear conflict of interest that Derek failed to disclose or mitigate.

**\*\*Reg BI - Care Obligation:\*\*** Under the SEC's Regulation Best Interest, the care obligation requires that the advisor exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the potential risks, rewards, and costs. The recommendation failed this standard because it placed a retiree's irreplaceable savings into a speculative, illiquid vehicle with no track record of performance. The advisor also failed to consider or present lower-cost, more liquid income-generating alternatives.

**\*\*Reg BI - Disclosure Obligation:\*\*** Derek's characterization of the investment as 'like owning real estate without the hassle' was misleading and omitted material risks, including illiquidity, concentration, total loss potential, and the sponsor's history of non-payment. This violates the disclosure obligation under Reg BI.

**\*\*Likely Regulatory Outcome:\*\*** This case presents strong grounds for a FINRA enforcement action or arbitration award. Typical outcomes include restitution of the invested amount (\$140,000), disgorgement of commissions, potential fines, a suspension or bar for the advisor, and supervisory sanctions against the firm if it failed to flag or review the transaction. Arbitration panels have routinely awarded damages in similar cases involving elderly, conservative investors placed into unsuitable private placements.

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**Item 397 of 499****COMPLIANT****Topic:** unsuitable\_income\_investor**Difficulty:** easy**Fact Pattern**

Robert Chen, age 66, recently retired from a career in corporate finance and holds a CFA charter. He has a total portfolio of approximately \$2.8 million in investable assets, a paid-off home valued at \$650,000, and receives \$3,200 per month in Social Security. His stated investment objectives are income generation with moderate growth to maintain purchasing power over a 25+ year retirement horizon. He described his risk tolerance as moderate, noting comfort with short-term fluctuations as long as income remained stable. Robert has extensive experience investing in individual bonds, dividend-paying equities, REITs, and fixed-income mutual funds. In January 2023, his financial advisor, Lisa Nakamura, recommended the following allocation for his \$2.8 million portfolio: 40% in a diversified portfolio of investment-grade corporate and municipal bonds with laddered maturities from 1 to 10 years (yielding approximately 4.2% blended); 25% in a diversified large-cap dividend equity fund with a 30-year track record and a 0.35% expense ratio, yielding approximately 2.8%; 15% in a broad REIT index fund with a 0.20% expense ratio; 10% in a short-term Treasury fund for liquidity; and 10% in a balanced growth-and-income fund with a 0.50% expense ratio. The overall portfolio was projected to generate approximately \$95,000 in annual income (roughly 3.4% yield), with the equity and REIT positions providing growth potential. Lisa discussed the tradeoffs between current income and inflation protection, reviewed each holding's risk characteristics and fees, and documented Robert's agreement after two meetings. She also set up quarterly reviews to monitor the portfolio's income output and rebalance as needed. Robert's total annual expenses in retirement are approximately \$85,000, leaving a comfortable cushion.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Lisa Nakamura acted in accordance with applicable suitability and best interest standards.

**\*\*FINRA Suitability (Rule 2111):\*\*** The recommendation was consistent with Robert's investment profile across all three suitability components. Reasonable-basis suitability was met because the recommended products -- investment-grade bonds, dividend equity funds, REIT index funds, Treasury funds, and balanced funds -- are well-understood, mainstream investment vehicles appropriate for income-oriented retirees. Customer-specific suitability was satisfied because the allocation directly aligned with Robert's stated objectives of income generation with moderate growth, his moderate risk tolerance, his substantial asset base, and his extensive investment experience. Quantitative suitability is not at issue because there was no excessive trading or turnover.

**\*\*Reg BI - Care Obligation:\*\*** Lisa exercised reasonable diligence, care, and skill. She constructed a diversified portfolio that generates projected income (\$95,000) comfortably exceeding Robert's annual expenses (\$85,000), while incorporating growth components (equities and REITs) to address inflation risk over a multi-decade retirement. She considered the costs of each product, with expense ratios ranging from 0.20% to 0.50% -- all reasonable for the respective asset classes. She also considered the customer's sophistication and experience, which supported the inclusion of individual bonds and sector-specific funds.

**\*\*Reg BI - Disclosure Obligation:\*\*** Lisa discussed risk-return tradeoffs, reviewed each holding's characteristics and

fees, and documented the client's informed consent over two meetings.

**\*\*Reg BI - Conflict of Interest Obligation:\*\*** There is no indication of conflicts such as proprietary products, revenue-sharing arrangements, or high-commission products driving the recommendations. The low-cost index and institutional-class funds suggest the advisor prioritized the client's interest.

**\*\*Process and Documentation:\*\*** The advisor held multiple meetings, documented agreement, and established quarterly reviews -- all reflecting a thorough, client-centered advisory process.

**\*\*Likely Regulatory Outcome:\*\*** No violation. This recommendation would withstand regulatory scrutiny as a well-constructed, suitably diversified income portfolio tailored to a sophisticated, moderately risk-tolerant retiree with ample assets.

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**Item 398 of 499****NON-COMPLIANT****Topic:** inappropriate\_risk\_profile**Difficulty:** medium**Fact Pattern**

Margaret Holloway, age 74, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month in pension income and \$1,850 per month from Social Security. Her total liquid assets are approximately \$310,000, held primarily in a rollover IRA from her teaching career. She has no other significant sources of income and relies on her investment portfolio to supplement her monthly expenses, which total roughly \$4,800 per month. Margaret has no prior experience with options, futures, or leveraged products. When she opened her account with advisor Derek Simmons at Apex Wealth Partners in March 2022, she indicated on her new account form that her investment objective was 'income and preservation of capital' and her risk tolerance was 'conservative.' She told Derek that her primary concern was not outliving her money and that she could not afford to lose a significant portion of her savings. In June 2022, Derek called Margaret and told her that interest rates were likely to rise sharply and that she should reposition her portfolio to take advantage of the move. Over the next three months, Derek moved 70% of Margaret's IRA -- approximately \$217,000 -- into a concentrated position of leveraged inverse bond ETFs (2x and 3x leveraged products) and a small-cap growth fund with a five-star Morningstar rating but a beta of 1.65. Derek also changed Margaret's risk profile on file from 'conservative' to 'aggressive growth' without discussing the change with her or obtaining her written consent. Margaret did not receive trade confirmations for several of the transactions because her mailing address was incorrectly entered. By February 2023, the leveraged inverse bond ETFs had experienced significant decay due to daily rebalancing, and the small-cap fund had declined 28%. Margaret's account value had dropped to \$198,000, a loss of approximately \$112,000 from her original balance. When Margaret called to inquire, Derek told her the losses were 'temporary' and recommended she hold the positions. Margaret filed a written complaint with the firm in April 2023.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Simmons committed multiple serious violations. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and liquidity needs. Margaret's profile -- a 74-year-old retiree with conservative risk tolerance, income and capital preservation objectives, limited liquid assets, and dependence on her portfolio for living expenses -- is fundamentally incompatible with leveraged inverse ETFs and high-beta small-cap growth funds. Leveraged ETFs are designed for short-term tactical trading and are widely recognized as unsuitable for long-term buy-and-hold investors, particularly elderly conservative clients, due to volatility decay from daily rebalancing. FINRA Regulatory Notice 09-31 specifically warns about the risks of leveraged and inverse ETFs for retail investors who hold them beyond a single trading session. Additionally, concentrating 70% of a retiree's portfolio in these speculative instruments violates both customer-specific suitability and quantitative suitability standards. Under Regulation Best Interest (Reg BI), the Care Obligation requires the broker to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The recommendation here was plainly not in Margaret's best interest. Furthermore, Derek's unilateral alteration of Margaret's risk profile from 'conservative' to 'aggressive growth' without her knowledge or consent is a form of falsification of customer records, which violates FINRA Rule 2010 (Standards of Commercial Honor and Principles of

Trade) and potentially FINRA Rule 4511 (Books and Records Requirements). This manipulation of records appears designed to retroactively justify the unsuitable recommendations. The failure to ensure Margaret received trade confirmations compounds the violation by denying her the opportunity to monitor and object to the trades. The likely regulatory outcome includes FINRA enforcement action against Derek for suitability violations, falsification of records, and failure to act in the customer's best interest. Sanctions could include a substantial fine, disgorgement of commissions, restitution to the customer, suspension, or a permanent bar from the securities industry. The firm, Apex Wealth Partners, may also face supervisory failure charges under FINRA Rule 3110 for failing to detect the risk profile change and the concentrated speculative positions in a conservative elderly client's retirement account.

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**Item 399 of 499****COMPLIANT****Topic:** crypto\_assets\_unsuitable**Difficulty:** hard**Fact Pattern**

Ryan Kowalski, age 34, is a software engineer at a major technology company in San Francisco, earning a base salary of \$195,000 plus approximately \$120,000 annually in restricted stock units. His total liquid investment portfolio, excluding his employer stock, is approximately \$680,000, spread across a taxable brokerage account (\$420,000) and a Roth IRA (\$260,000). He has no debt other than a \$2,800 monthly rent payment. Ryan has been investing since age 22, has experience with individual equities, options strategies (covered calls and cash-secured puts), and has personally purchased and held Bitcoin and Ethereum since 2017 through a separate self-directed crypto exchange account worth approximately \$85,000. In January 2024, Ryan approached his financial advisor, Patricia Nolan, a dually registered representative at Summit Financial Group, and asked about gaining additional cryptocurrency exposure through his brokerage account. He specifically asked about recently approved spot Bitcoin ETFs and whether allocating a portion of his taxable account to these products made sense. Patricia conducted a thorough review of Ryan's full financial picture, including his existing crypto holdings, overall net worth, risk tolerance (which he had documented as 'moderately aggressive'), his 30-plus year time horizon to retirement, his emergency fund of \$45,000 in a high-yield savings account, and his stated investment objective of long-term capital appreciation. Patricia discussed the volatility characteristics of Bitcoin, including historical drawdowns exceeding 70%, the relatively new nature of the spot Bitcoin ETF structure, the management fees associated with the products (ranging from 0.20% to 1.50% depending on the fund), liquidity considerations, and tax implications of holding crypto-linked products in a taxable versus tax-advantaged account. She also discussed how the proposed allocation would interact with his existing direct crypto holdings. After this comprehensive discussion, Patricia recommended that Ryan allocate \$35,000 -- approximately 5.1% of his total liquid portfolio (including his existing crypto) -- to a spot Bitcoin ETF with a 0.25% expense ratio in his taxable brokerage account. She documented the rationale, noting that the total crypto exposure across all Ryan's accounts would represent approximately 15.7% of his liquid portfolio, which she deemed consistent with his risk profile and long-term growth objective. She also recommended setting a rebalancing trigger if total crypto exposure exceeded 20% of his liquid assets. Ryan agreed and the purchase was executed in February 2024. By October 2024, Bitcoin had appreciated significantly and Ryan's total crypto exposure reached 19.2%. Patricia contacted Ryan proactively to discuss whether rebalancing was appropriate.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Patricia Nolan acted appropriately and in compliance with applicable standards. Under Regulation Best Interest (Reg BI), which applies to Patricia in her broker-dealer capacity, the Care Obligation requires that a recommendation be made with reasonable diligence, care, and skill, considering the customer's investment profile. Patricia's process here was exemplary. She considered Ryan's complete financial picture -- including his age (34), high income (\$315,000+ annually), substantial liquid assets (\$680,000 in traditional investments plus \$85,000 in existing crypto), zero non-rent debt, fully funded emergency reserve, long time horizon, documented moderately aggressive risk tolerance, and stated objective of long-term capital appreciation. Critically, she also considered Ryan's existing cryptocurrency holdings and investment experience, which are material components of his investment profile. The recommendation of a 5.1% allocation to a spot Bitcoin ETF, bringing total crypto exposure to approximately 15.7%, is within reasonable bounds for

a high-earning, experienced, moderately aggressive investor with a multi-decade time horizon. Under FINRA Rule 2111 (Suitability), all three components -- reasonable-basis suitability, customer-specific suitability, and quantitative suitability -- are satisfied. Patricia conducted due diligence on the product (reasonable-basis), matched the recommendation to Ryan's specific profile (customer-specific), and the single allocation does not represent excessive concentration (quantitative). Patricia also fulfilled Reg BI's Disclosure Obligation by discussing volatility risks, historical drawdowns, ETF structure, fee comparisons, and tax implications. She satisfied the Conflict of Interest Obligation by recommending a low-cost ETF (0.25% expense ratio) rather than a higher-fee alternative. Her documentation of the rationale, including the holistic view of crypto exposure across accounts, demonstrates the kind of thorough analysis regulators expect. The proactive rebalancing trigger and subsequent follow-up when exposure approached 20% further demonstrate ongoing diligent care. Under the fiduciary standard applicable to Patricia in her investment adviser capacity (given her dual registration), she owes duties of care and loyalty. The recommendation was prudent, well-documented, appropriately sized, and made after full consideration of Ryan's circumstances. No regulatory action would be expected; rather, this serves as a model for how advisors should approach client-initiated requests for crypto-asset exposure.

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## Item 400 of 499

### NON-COMPLIANT

**Topic:** failure\_to\_know\_customer

**Difficulty:** medium

### Fact Pattern

Marcus Tremblay, age 74, retired from a career as a school janitor in rural Vermont. He visited the local office of a national brokerage firm in March 2022 after receiving a mailer about 'tax-smart retirement strategies.' He met with advisor Denise Kowalski, who had been with the firm for three years. During their initial meeting, Marcus mentioned he had recently sold his late wife's property and had \$410,000 in proceeds sitting in a savings account earning minimal interest. He told Denise he wanted something safe to supplement his \$1,650 monthly Social Security income and that he had no other retirement accounts. Denise had Marcus sign a new account application. On the form, the risk tolerance was marked as 'aggressive growth,' the investment objective was listed as 'speculation,' the annual income was recorded as \$85,000, and liquid net worth was listed at \$1.2 million. Marcus later stated he never reviewed the form closely because Denise told him it was 'standard paperwork.' Within two weeks of opening the account, Denise placed the full \$410,000 into a combination of leveraged ETFs focused on the technology sector, emerging market equities, and a high-yield bond fund with a 4.75% front-end sales load. By November 2022, the account had declined to \$238,000 -- a loss of approximately \$172,000, or 42%. Marcus only discovered the extent of the losses when he requested a withdrawal to cover a furnace replacement and was told his account balance was far lower than expected. When Marcus contacted the branch manager, a review of the account documents revealed the significant discrepancies between the recorded customer profile and Marcus's actual financial situation.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Denise Kowalski committed serious violations across multiple regulatory frameworks.

**\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker have a reasonable basis for believing a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, liquidity needs, and other relevant factors. The rule has three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Here, the customer-specific suitability obligation was clearly violated. Marcus was a 74-year-old retiree with modest income (\$1,650/month Social Security), limited liquid assets (\$410,000), no other retirement savings, and a clear need for capital preservation and income supplementation. Placing 100% of his assets in leveraged ETFs, speculative emerging market equities, and a high-load high-yield bond fund was wholly inconsistent with his actual profile.

**\*\*FINRA Rule 2090 (Know Your Customer):\*\*** This rule requires brokers to use reasonable diligence to know the essential facts concerning every customer. Denise failed this obligation fundamentally by recording fabricated or grossly inaccurate customer information on the new account form. Marking Marcus's risk tolerance as 'aggressive growth,' his objective as 'speculation,' his income as \$85,000, and his liquid net worth as \$1.2 million -- all of which were materially false -- constitutes a clear failure to know her customer. These inflated figures appear designed to justify unsuitable recommendations rather than to accurately capture Marcus's profile.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under the SEC's Regulation Best Interest, broker-dealers and their associated



persons must act in the retail customer's best interest at the time of the recommendation, without placing the financial interest of the broker ahead of the customer. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, including understanding the customer's investment profile. Recommending highly speculative, concentrated, and costly investments to an elderly, low-income retiree with no risk capacity violates the Care Obligation. The fact that the front-end load on the high-yield bond fund alone would have cost Marcus approximately \$4,800+ on whatever portion was allocated there, combined with the speculative nature of leveraged ETFs, suggests Denise may have also placed her own financial interest (commissions) ahead of Marcus's interest, violating the Conflict of Interest Obligation as well.

**\*\*Falsification of Records:\*\*** Recording materially false customer information on account documents may also implicate FINRA Rule 4511 (Books and Records) and FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade), as falsifying customer records is considered conduct inconsistent with just and equitable principles of trade.

**\*\*Likely Regulatory Outcome:\*\*** If a complaint or examination uncovers these facts, Denise would likely face FINRA enforcement action including potential bars or suspensions, fines, and disgorgement of commissions. The firm could face supervisory failure charges if it failed to flag the discrepancies between the recorded profile and the trading activity. Marcus would likely prevail in a FINRA arbitration claim for compensatory damages of approximately \$172,000 plus potential interest, costs, and possibly punitive damages given the apparent falsification of records.

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## Item 401 of 499

### NON-COMPLIANT

**Topic:** excessive\_churning

**Difficulty:** hard

### Fact Pattern

Helen Novotny, age 78, lost her husband Gerald in January 2021 after 53 years of marriage. Gerald had managed all of the couple's finances. Helen's only income was \$2,200 per month in Social Security survivor benefits and a small pension of \$800 per month from Gerald's former employer. She had a brokerage account at a regional firm with approximately \$620,000 in assets -- the bulk of her life savings -- that Gerald had invested conservatively in blue-chip dividend stocks and municipal bonds. Helen's stated investment objective upon updating her account paperwork after Gerald's death was 'income and capital preservation,' and her risk tolerance was marked as 'conservative.' She had a high school education, had never been employed outside the home, and had no investment experience or knowledge. Her advisor, Craig Summerlin, had managed the account jointly for the couple for five years but had done relatively little trading during Gerald's lifetime. Beginning in April 2021 and continuing through March 2023, Craig executed 437 trades in Helen's account. The trading consisted primarily of short-term round-trip transactions in individual equities -- buying positions, holding them for an average of 11 days, and then selling, only to reinvest the proceeds into new positions within days. Over this 24-month period, the account generated \$187,000 in total commissions and fees paid to Craig and his firm. The account's annualized turnover rate was 14.2. The cost-to-equity ratio -- meaning the percentage the account needed to earn annually just to cover the costs of trading -- was approximately 31%. Despite these costs, the account's value declined from \$620,000 to \$341,000, a net loss of \$279,000 or approximately 45%. Helen received monthly statements but testified she did not understand them and trusted Craig completely because he had been Gerald's advisor. Craig called Helen approximately twice per week to recommend trades, and Helen approved each one, usually within minutes, often saying 'whatever you think is best, Craig.' When Helen's daughter, a CPA, reviewed the account during a visit in April 2023, she immediately recognized the pattern of excessive trading and filed a complaint with the firm.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Craig Summerlin engaged in textbook excessive trading (churning) in violation of multiple regulatory standards. This is a particularly egregious case given the vulnerability of the customer.

**\*\*FINRA Rule 2111 (Suitability) -- Quantitative Suitability:\*\*** FINRA Rule 2111 includes a quantitative suitability component (sometimes called the 'quantitative' prong), which prohibits a broker who has actual or de facto control over a customer's account from engaging in excessive trading. Churning is established when three elements are present: (1) the broker exercised control over the account, (2) the trading was excessive in light of the customer's objectives and profile, and (3) the broker acted with scienter (intent to defraud or reckless disregard). All three elements are clearly met here.

**\*Control:\*** Although Helen technically approved each trade, she exercised no independent judgment. She had no investment knowledge, relied entirely on Craig's recommendations, and routinely approved trades within minutes with statements like 'whatever you think is best.' FINRA and courts have long recognized that de facto control exists where a customer routinely follows the advisor's recommendations without independent evaluation, particularly where the

customer is unsophisticated and places trust in the advisor. Helen's age (78), lack of education in financial matters, recent bereavement, and total dependence on Craig establish de facto control.

**\*Excessive Trading:\*** The quantitative metrics are overwhelming. An annualized turnover rate of 6 is generally considered presumptively excessive under FINRA guidance and case precedent. Helen's account had a turnover rate of 14.2 -- more than double the presumptive threshold. The cost-to-equity ratio of 31% means the account needed to generate a 31% annual return merely to break even after costs, which is virtually impossible for a conservative income-oriented portfolio and unrealistic for virtually any portfolio on a sustained basis. FINRA has found cost-to-equity ratios above 20% to be strong indicators of churning. Additionally, 437 trades in 24 months for a 78-year-old conservative investor with income and preservation objectives is facially unreasonable.

**\*Scienter:\*** Craig was an experienced advisor who had managed the account conservatively during Gerald's lifetime and would have known that short-term round-trip trading generating \$187,000 in commissions was inconsistent with Helen's conservative objectives. The dramatic shift in trading pattern immediately following Gerald's death -- when Helen became the sole, unsophisticated account holder -- supports an inference that Craig deliberately exploited a vulnerable widow.

**\*\*FINRA Rule 2110/2010 (Standards of Commercial Honor):\*\*** Churning a vulnerable elderly widow's account constitutes conduct inconsistent with just and equitable principles of trade under FINRA Rule 2010.

**\*\*Regulation Best Interest (Reg BI):\*\*** Reg BI, effective since June 30, 2020, applies to all of Craig's recommendations during the relevant period (April 2021-March 2023). The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill, including having a reasonable basis to believe that a series of recommended transactions, even if each is individually suitable, is not excessive and is in the customer's best interest when taken together. The SEC specifically noted in adopting Reg BI that the quantitative component -- evaluating whether a series of recommendations is excessive -- is a critical element of the Care Obligation. Craig's pattern of 437 trades generating a 14.2 turnover ratio and 31% cost-to-equity ratio plainly violates this standard. The Conflict of Interest Obligation under Reg BI also required the firm to identify and mitigate conflicts arising from commission-based compensation that incentivized excessive trading.

**\*\*FINRA Rule 3110 (Supervision):\*\*** The firm had a supervisory obligation to detect and prevent churning. The account's extraordinary turnover rate, cost-to-equity ratio, and commission generation in an account belonging to a 78-year-old conservative investor should have triggered automated surveillance alerts. The firm's apparent failure to intervene over a 24-month period suggests a significant supervisory failure.

**\*\*Likely Regulatory Outcome:\*\*** Craig faces severe sanctions including a likely industry bar, disgorgement of all \$187,000 in commissions, substantial fines, and potential referral for fraud charges depending on jurisdiction. The firm faces liability for failure to supervise and joint and several liability for Helen's losses. In FINRA arbitration, Helen would likely recover compensatory damages of approximately \$279,000 (the full account decline), plus potentially the \$187,000 in excessive commissions, prejudgment interest, attorneys' fees and costs, and possibly punitive damages given the egregious nature of the misconduct and the exploitation of a vulnerable senior. FINRA's heightened focus on senior investor protection makes this a priority enforcement matter. State securities regulators and/or state attorneys general may also pursue independent actions given the elder financial exploitation dimension.

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**Item 402 of 499****NON-COMPLIANT****Topic:** lack\_of\_diversification**Difficulty:** medium**Fact Pattern**

Margaret Chen, age 72, is a retired schoolteacher living in suburban Ohio. She has a total net worth of approximately \$410,000, of which \$340,000 represents her entire retirement savings held in an IRA rollover account. Her monthly income consists of \$1,800 from Social Security and a small pension of \$950 per month. She described herself on her new account form as having a conservative risk tolerance with a primary investment objective of capital preservation and income generation. She told her advisor, Kevin Russo, that she could not afford to lose her retirement savings and needed the account to last through her lifetime. Between March and August 2022, Russo recommended that Margaret invest \$290,000 of her \$340,000 IRA -- approximately 85% of the account -- into shares of a single publicly traded regional bank holding company. Russo told Margaret that the bank was a "rock-solid local institution" with a strong dividend yield of 4.2% and that concentrating in this stock would maximize her income. He did not recommend any bonds, Treasury securities, CDs, mutual funds, or other diversified products. By April 2023, the regional bank's stock had declined 54% amid broader banking sector turmoil, reducing Margaret's \$290,000 position to approximately \$133,400. Margaret's total IRA balance fell from \$340,000 to roughly \$183,400. She contacted a new advisor who immediately flagged the extreme concentration and began transitioning her into a diversified portfolio of investment-grade bond funds and a balanced equity income fund.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Russo violated applicable standards through a lack of diversification that was wholly inconsistent with Margaret Chen's profile.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker have a reasonable basis for recommending a transaction or investment strategy involving securities. It encompasses three components -- reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Here, the customer-specific prong is most directly implicated: Russo needed a reasonable basis to believe the concentrated single-stock recommendation was suitable for this particular customer given her age, financial situation, risk tolerance, and investment objectives.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Under Reg BI's Care Obligation, a broker-dealer and associated person must exercise reasonable diligence, care, and skill to understand the risks and rewards of a recommendation and to have a reasonable basis to believe the recommendation is in the customer's best interest. Concentration of 85% of a retiree's IRA in a single equity security is extremely difficult to justify under this standard.
3. **\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Recommending a strategy virtually guaranteed to expose a vulnerable retiree to catastrophic loss may also implicate just and equitable principles of trade.

**\*\*Analysis:\*\***

Margaret was 72 years old, retired, with limited income and a conservative risk tolerance. Her stated objective was capital preservation and income. Allocating 85% of her only retirement account to a single stock -- regardless of its dividend yield -- exposed her to severe unsystematic (company-specific) risk that could have been substantially mitigated through diversification. The 4.2% dividend yield, while attractive, did not justify the concentration risk, especially when diversified income-oriented products (bond funds, balanced funds, dividend ETFs, CDs) could have provided comparable income with far less volatility.

FINRA has repeatedly found that excessive concentration in a single security is a suitability violation, particularly for elderly, conservative investors who cannot recover from losses. Russo failed to consider reasonable alternatives, and the resulting 54% loss in the position decimated Margaret's retirement savings.

**\*\*Likely Regulatory Outcome:\*\***

Russo would likely face FINRA enforcement action resulting in a suspension, fine, and an order to pay restitution. Margaret would also have a strong claim in FINRA arbitration for compensatory damages of approximately \$156,600 (the difference between her original account value and its diminished value), plus potentially consequential damages. The firm employing Russo could face supervisory deficiency charges if it failed to flag the concentration.

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**Item 403 of 499****NON-COMPLIANT****Topic:** margin\_unsuitable**Difficulty:** hard**Fact Pattern**

David Okafor, age 38, is a public high school basketball coach in Memphis, Tennessee, earning an annual salary of \$52,000. He has a checking account with approximately \$8,000, a 403(b) retirement account with \$41,000, and a brokerage account he opened in January 2023 with an initial deposit of \$25,000 -- money he had saved over several years. David indicated on his account application that he had "limited" investment experience, having previously only owned a target-date fund inside his 403(b). He listed his risk tolerance as moderate, his investment objective as long-term growth, and his time horizon as 15 to 20 years. His liquid net worth outside the 403(b) was approximately \$33,000. His advisor, Patricia Hale, approved David for a margin account at the time of account opening, explaining that margin would give him "more purchasing power to grow his money faster." In February 2023, Hale recommended David purchase \$50,000 worth of shares in three small-cap technology stocks, using \$25,000 of his own cash and \$25,000 in margin borrowing at an 8.75% annual interest rate. By June 2023, the three positions had collectively declined approximately 35%, reducing the portfolio's market value to roughly \$32,500. David received a margin call requiring him to deposit \$6,200 in additional funds within five business days. Unable to come up with the cash on a teacher's salary, he was forced to liquidate positions at a significant loss. After the forced sale and repayment of margin debt plus accrued interest, David was left with approximately \$5,800 of his original \$25,000 investment -- a net loss of roughly \$19,200 or 77% of his initial capital. Patricia Hale earned \$1,400 in commissions on the initial purchases. David subsequently learned from a colleague that margin accounts amplify losses and that his situation had been described by a second advisor he consulted as 'completely inappropriate for someone in his financial position.'

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Patricia Hale violated applicable standards by recommending margin-leveraged trading in volatile small-cap stocks to an inexperienced, moderate-risk investor with limited financial resources.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** The customer-specific suitability obligation requires that the recommended investment strategy -- including the use of margin -- is suitable for the specific customer based on the customer's investment profile, which includes age, financial situation, tax status, investment objectives, experience, time horizon, liquidity needs, and risk tolerance. FINRA Regulatory Notice 12-55 specifically notes that recommended strategies involving the use of margin must be evaluated for suitability.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under Reg BI, Hale was required to exercise reasonable diligence, care, and skill in making a recommendation, to understand the potential risks and rewards of the recommendation (including margin), and to have a reasonable basis to believe the recommendation was in the retail customer's best interest and did not place her interest ahead of the customer's. The \$1,400 commission generated suggests a financial incentive that should have been weighed against the customer's interest.

3. **Reg BI -- Disclosure Obligation:** Hale was required to provide full and fair disclosure of all material facts relating to the scope and terms of the relationship, including the capacity in which she acted, material fees and costs (including margin interest), and the type and scope of services. While she mentioned 'more purchasing power,' this falls far short of adequate disclosure of the amplified downside risk, the mechanics of margin calls, and the possibility of forced liquidation.

4. **FINRA Rule 4210 (Margin Requirements):** While this is primarily a firm-level rule governing margin maintenance, the firm had an obligation to assess whether margin was appropriate for this customer before approval.

5. **FINRA Rule 2010 (Standards of Commercial Honor):** Recommending leveraged speculation to a novice investor with very limited liquid assets implicates just and equitable principles of trade.

**Analysis:**

Several factors make this recommendation clearly unsuitable and not in David's best interest:

- **Limited experience:** David had only owned a target-date fund; he had no experience with individual stock selection, margin, or leveraged investing.
- **Moderate risk tolerance and long-term growth objective:** These are inconsistent with a 2:1 leveraged position in small-cap technology stocks, which are among the most volatile equity categories.
- **Inadequate liquid resources:** David's liquid net worth of \$33,000 (including the \$25,000 invested) left him with only \$8,000 in reserve -- insufficient to meet even a modest margin call, as was demonstrated.
- **Margin interest costs:** The 8.75% interest rate on \$25,000 of borrowed funds meant David needed approximately \$2,188 in annual returns just to break even on the margin cost -- a significant drag on a teacher's salary.
- **Concentration in small-cap tech:** Three small-cap technology stocks represent a concentrated, high-risk allocation that magnified the leverage risk.
- **Inadequate disclosure:** Telling a novice investor that margin provides 'more purchasing power to grow faster' without clearly explaining the symmetric amplification of losses, margin call mechanics, and forced liquidation risk is materially misleading.

The resulting 77% loss of David's invested capital, triggered by a margin call he could not meet, is a textbook example of why leveraged strategies are unsuitable for inexperienced investors with limited means.

**Likely Regulatory Outcome:**

Hale would likely face FINRA disciplinary action, including a fine, suspension, and restitution order. The employing firm could face supervisory failure charges for approving a margin account for this customer without adequate due diligence. In FINRA arbitration, David would have a strong claim for compensatory damages of approximately \$19,200, plus margin interest paid, and potentially consequential damages. The fact that Hale earned \$1,400 in commissions while recommending an unsuitable leveraged strategy would be viewed as an aggravating factor suggesting she placed her own financial interest ahead of the customer's, directly contravening Reg BI's best interest standard.

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**Item 404 of 499****NON-COMPLIANT****Topic:** inappropriate\_risk\_profile**Difficulty:** medium**Fact Pattern**

Margaret Chen, age 72, is a retired librarian living in suburban Ohio on a fixed income of approximately \$2,400 per month from Social Security and a small municipal pension. She has \$185,000 in total liquid savings, which she accumulated over a 35-year career and considers her sole financial safety net. Margaret has no other family support and suffers from early-stage macular degeneration, which may require expensive treatments in the coming years. In March 2023, she met with financial advisor Derek Hollins after seeing a seminar advertisement at her local community center promising 'strategies to make your retirement savings work harder.' During their initial meeting, Margaret told Derek she was 'very nervous about losing money' and that her primary goals were preserving her savings and generating modest supplemental income to cover medical expenses. She explicitly stated she had never invested in anything beyond a savings account and certificates of deposit. Derek had Margaret complete a risk tolerance questionnaire, but during the process he told her that some of her conservative answers would 'lock her out of good opportunities' and encouraged her to select more aggressive responses on several questions. The resulting profile classified Margaret as a 'moderate-aggressive' investor. Based on this inflated risk profile, Derek recommended allocating 60% of Margaret's savings (\$111,000) into a portfolio of small-cap growth stocks and emerging market equity funds, 25% (\$46,250) into a high-yield corporate bond fund rated below investment grade, and the remaining 15% (\$27,750) into a money market account. The equity and bond fund positions carried combined annual expense ratios of 1.45%. By November 2023, the small-cap and emerging market positions had declined approximately 22%, and the high-yield bond fund lost 8% of its value. Margaret's portfolio had dropped to roughly \$147,000, a loss of over \$38,000. She contacted Derek in distress, explaining she now could not afford an upcoming eye treatment costing \$12,000, and Derek advised her to 'stay the course' and wait for a market recovery.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Hollins violated both FINRA's suitability requirements and the SEC's Regulation Best Interest (Reg BI) standard. Multiple violations are evident:

1. **\*\*FINRA Rule 2111 - Suitability (Customer-Specific Obligation):\*\*** The customer-specific component requires that a recommendation be suitable based on the customer's actual investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and other holdings. Margaret was a 72-year-old retiree on fixed income with no investment experience, low risk tolerance, a stated objective of capital preservation and income generation, and significant anticipated medical expenses. The allocation of 60% to small-cap growth and emerging market equities and 25% to below-investment-grade bonds was grossly inconsistent with her actual profile. These are among the most volatile asset classes and are categorically inappropriate for an elderly, risk-averse investor reliant on her savings for medical care.
2. **\*\*Manipulation of the Risk Questionnaire:\*\*** Derek actively coached Margaret to select more aggressive answers on the risk tolerance questionnaire, which is a particularly egregious violation. Under FINRA Rule 2111 and Reg BI's Care Obligation, the advisor must use the customer's genuine investment profile -- not a fabricated one. By inflating her risk



classification to 'moderate-aggressive,' Derek created a false paper trail to justify unsuitable recommendations. This conduct also raises concerns under FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade), as it reflects dishonest and manipulative behavior.

3. **\*\*Regulation Best Interest - Care Obligation:\*\*** Under Reg BI's Care Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making recommendations. They must understand the potential risks, rewards, and costs of a recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest given her stated profile. Derek failed this standard entirely. He also failed the Cost component, as the 1.45% combined expense ratio on aggressive funds is excessive for a client who could have achieved her objectives with low-cost, conservative instruments such as Treasury bonds, CDs, or short-duration investment-grade bond funds.

4. **\*\*Reg BI - Disclosure Obligation:\*\*** There is no indication Derek disclosed the material risks of the recommended portfolio in a manner Margaret could understand, nor the conflicts of interest potentially driving his aggressive recommendations (e.g., higher commissions on actively managed equity and high-yield funds).

5. **\*\*Failure to Address Liquidity Needs:\*\*** Margaret had a foreseeable near-term need for funds related to medical treatment. Concentrating 85% of her assets in volatile, potentially illiquid-in-downturn positions with no regard for her liquidity timeline is an independent suitability violation under FINRA Rule 2111's reasonable-basis and customer-specific obligations.

**\*\*Likely Regulatory Outcome:\*\*** This case presents strong grounds for a FINRA enforcement action and potential customer arbitration claim. Derek faces potential sanctions including fines, disgorgement of commissions, suspension or bar from the industry, and an obligation to make Margaret whole for her losses. The manipulation of the risk questionnaire is an aggravating factor that would likely increase sanctions. A customer arbitration panel would very likely award compensatory damages of at least \$38,000 plus costs and potentially consequential damages related to the deferred medical treatment.

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## Item 405 of 499

### NON-COMPLIANT

**Topic:** variable\_annuity\_unsuitable

**Difficulty:** hard

### Fact Pattern

Robert and Linda Grasso are both 68 years old and recently retired from careers as a high school principal and dental hygienist, respectively, in central New Jersey. Their combined retirement income consists of \$4,800 per month from two pension plans and \$3,200 per month from Social Security, totaling \$8,000 per month. They have \$520,000 in combined savings: \$310,000 in Robert's 403(b) retirement account, \$140,000 in a joint brokerage account, and \$70,000 in a savings account maintained as an emergency fund. They own their home outright, valued at approximately \$385,000. Both are in good health, though Robert has a family history of heart disease. Their stated investment objectives were income supplementation and preservation of capital, and both described themselves as conservative investors who had historically held balanced mutual funds and bonds. In January 2023, their financial advisor, Pamela Reeves, recommended they liquidate the entire \$310,000 from Robert's 403(b) -- which was invested in a diversified mix of low-cost index funds with an average expense ratio of 0.12% -- and use the proceeds to purchase a variable annuity contract with a guaranteed minimum income benefit rider. The variable annuity carried a mortality and expense charge of 1.35%, an administrative fee of 0.15%, underlying sub-account expense ratios averaging 0.85%, and the income rider cost an additional 1.10% annually, bringing the total annual cost to approximately 3.45%. The annuity also imposed a seven-year declining surrender charge schedule starting at 8% in year one. Pamela earned a 6.5% commission on the sale, totaling \$20,150. She told the Grassos the annuity would 'guarantee their income for life' and that it was 'much safer than staying in the market.' She did not discuss that the 403(b) already offered low-cost investment options with no surrender charges, nor did she present any alternative products such as immediate annuities, bond ladders, or simply restructuring the existing 403(b) allocation. She also did not mention that the tax-deferral benefit of the variable annuity was redundant since the funds were already in a tax-deferred 403(b). Six months later, due to poor sub-account performance and the high fee drag, the annuity's account value had decreased to approximately \$289,000. When Robert attempted to withdraw \$25,000 for an unexpected home repair, he was assessed a 7.5% surrender charge of \$1,875 and also faced ordinary income tax on the withdrawal since it came from previously untaxed retirement funds.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Pamela Reeves committed multiple serious violations of applicable suitability and best interest standards in recommending this variable annuity transaction.

#### 1. \*\*FINRA Rule 2111 - Suitability (All Three Obligations):\*\*

- **Reasonable-Basis Suitability:** An advisor must have a reasonable basis for believing a recommendation is suitable for at least some investors. While variable annuities are legitimate products, recommending one funded entirely by a rollover from a low-cost 403(b) plan -- where the customer already had tax deferral, low fees, and no surrender charges -- fails the reasonable-basis test. The transaction multiplied the Grassos' annual costs from approximately 0.12% (\$372/year) to 3.45% (\$10,695/year), an increase of nearly \$10,000 annually with no commensurate benefit.

- **Customer-Specific Suitability:** The Grassos were 68-year-old conservative retirees seeking capital preservation and income. The seven-year surrender period extends to age 75, severely restricting access to their largest asset

during a critical period of retirement. This is directly contrary to their liquidity needs and conservative profile. The high internal costs also erode the capital they were seeking to preserve.

- **Quantitative Suitability:** While typically applied to excessive trading, the sheer magnitude of unnecessary costs generated by this single transaction -- \$20,150 in upfront commissions to the advisor and approximately \$10,695 in annual ongoing fees -- raises concerns about whether the recommendation was driven by the advisor's compensation rather than client need.

2. **FINRA Rule 2330 - Members' Responsibilities Regarding Deferred Variable Annuities:** This rule imposes specific, heightened suitability requirements for variable annuity transactions. It requires that the advisor have a reasonable basis to believe that (a) the customer has been informed of the features of deferred variable annuities, including surrender charges, potential tax penalties, various fees, and the insurance and investment components; (b) the customer would benefit from certain features of the variable annuity, including tax-deferred growth, annuitization, or a death benefit; and (c) the particular variable annuity as a whole, the underlying sub-accounts, riders, and features are suitable. Pamela failed on all counts. The tax-deferral feature was completely redundant since the 403(b) already provided tax deferral. She did not adequately explain the surrender charges, and she failed to discuss that the 403(b) already offered equivalent or superior benefits at a fraction of the cost.

3. **Regulation Best Interest - Care Obligation:** Under Reg BI, Pamela was required to exercise reasonable diligence, care, and skill, and to consider reasonably available alternatives. She failed to present any alternatives whatsoever -- no immediate annuities (which could have provided guaranteed income at far lower cost), no bond ladders, no restructuring of the 403(b) allocation to more conservative options within the existing plan. The Care Obligation also requires that the advisor have no reasonable basis to believe the recommendation places her financial interest ahead of the customer's. The \$20,150 commission creates a glaring conflict that was apparently not managed or mitigated.

4. **Reg BI - Disclosure Obligation:** Pamela's characterization of the annuity as 'much safer than staying in the market' was misleading. Variable annuities are market-linked products; the sub-accounts invest in equities and bonds and are subject to market risk. The guaranteed minimum income benefit rider does not protect account value -- it guarantees a minimum income stream at annuitization, which is a fundamentally different concept. Her failure to disclose the redundancy of tax deferral, the full fee structure in context, the surrender charges, and her commission violated the Disclosure Obligation.

5. **Reg BI - Conflict of Interest Obligation:** The 6.5% commission (\$20,150) represents an enormous financial incentive that should have been identified, disclosed, and mitigated. There is no evidence Pamela took any steps to address this conflict.

**Likely Regulatory Outcome:** This case involves classic 'variable annuity switching' violations -- moving tax-deferred retirement assets into a more expensive variable annuity without justification. FINRA has historically pursued these cases aggressively. Pamela faces significant sanctions including fines, disgorgement of the \$20,150 commission, restitution to the Grassos for all excess fees and surrender charges incurred, potential suspension or bar, and a mark on her CRD record. In a customer arbitration, the Grassos would likely recover compensatory damages including the surrender charges paid, the difference in fees between the 403(b) and the annuity, market losses attributable to sub-account underperformance net of what would have been earned in the original 403(b) allocation, and potentially attorneys' fees. The failure to discuss any alternatives and the misleading sales pitch are significant aggravating factors.

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**Item 406 of 499****NON-COMPLIANT****Topic:** bond\_duration\_mismatch**Difficulty:** medium**Fact Pattern**

Martha Collings, age 72, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her pension and \$1,800 per month from Social Security. Her total liquid savings amount to \$410,000, held in an IRA rollover account. In March 2023, Martha met with her financial advisor, Derek Huang, at a regional brokerage firm. She told Derek that she needed to begin taking required distributions from her IRA and also wanted to set aside approximately \$150,000 to cover anticipated assisted living costs that she expected to need within the next two to three years. She described herself as conservative and said she could not afford to lose principal because this money represented her entire life savings beyond her pension and Social Security. Her account paperwork listed her risk tolerance as 'conservative,' her investment objective as 'capital preservation and income,' and her time horizon as 'short-term (1-3 years).' Despite these clearly documented needs, Derek recommended that Martha invest \$340,000 -- roughly 83% of her portfolio -- into a portfolio of long-duration zero-coupon Treasury bonds with maturities ranging from 22 to 28 years. He explained that these were 'backed by the full faith and credit of the U.S. government' and were therefore 'completely safe.' He placed the remaining \$70,000 in a money market fund. Over the following eight months, as interest rates continued to rise, the market value of Martha's zero-coupon bond portfolio declined by approximately \$78,000, or 23%. When Martha contacted Derek in November 2023 to liquidate \$50,000 to begin planning for her assisted living transition, she was shocked to learn that her bond holdings were worth substantially less than what she had invested. Derek advised her to 'just hold on' because the bonds would pay full face value at maturity in 2045-2051. Martha filed a complaint with the firm, noting that she would be between 94 and 100 years old at the bonds' maturity dates and that she had explicitly communicated her near-term liquidity needs.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Huang violated both suitability and best interest standards applicable to his recommendation. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance. Martha's profile was unambiguously conservative with a short-term time horizon and explicit near-term liquidity needs of \$150,000 within two to three years. Allocating 83% of her portfolio to zero-coupon bonds maturing in 22 to 28 years represents a severe duration mismatch. Zero-coupon bonds have the highest duration and interest rate sensitivity of any fixed-income instrument at a given maturity. While the bonds carry no credit risk as Treasuries, they carry enormous market/interest rate risk, which is the primary risk relevant to a client who may need to liquidate before maturity. Under Regulation Best Interest (Reg BI), the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and ensuring the recommendation is in the customer's best interest. Placing nearly all assets of a 72-year-old retiree with documented short-term liquidity needs into ultra-long-duration instruments directly contradicts her stated objectives and time horizon. The advisor's characterization of the bonds as 'completely safe' also raises concerns under Reg BI's Disclosure Obligation, as it failed to convey the material interest rate risk and liquidity risk inherent in long-duration zero-coupon bonds. Additionally, FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) may apply given the misleading characterization of the investment's risk

profile. The quantitative unsuitability of placing 83% of a conservative retiree's assets into bonds she would need to hold until age 94-100 is stark. A FINRA arbitration panel or regulatory examination would very likely find this recommendation unsuitable and not in the customer's best interest. Likely outcomes include restitution of losses, potential suspension or fine for the advisor, and supervisory deficiency findings against the firm if it failed to flag this allocation as inconsistent with the client's documented profile.

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## Item 407 of 499

### NON-COMPLIANT

**Topic:** inappropriate\_risk\_profile

**Difficulty:** hard

### Fact Pattern

Javier and Sofia Mendes, ages 34 and 31 respectively, are a married couple living in Charlotte, North Carolina. Javier works as a warehouse logistics coordinator earning \$58,000 annually; Sofia is a part-time dental hygienist earning \$26,000 annually. Together they have \$47,000 in a joint taxable brokerage account, \$12,000 in a savings account serving as their emergency fund, and \$19,000 in Javier's 401(k). They have two children, ages 3 and 5, and carry \$14,000 in credit card debt at an average interest rate of 21.5%. They approached financial advisor Natalie Beecham in January 2024, seeking guidance on how to save for their children's college education and pay down their high-interest debt. During the onboarding process, Natalie conducted a risk tolerance questionnaire with the couple. Javier and Sofia answered the questionnaire indicating they were uncomfortable with portfolio losses exceeding 10%, that they had no prior experience investing in individual stocks or options, and that their primary goal was 'security and steady growth.' However, Natalie told them that their answers were 'too conservative for people your age' and that 'young people should be aggressive because you have time to recover.' She manually overrode their questionnaire results, changing their risk profile from 'moderate-conservative' to 'aggressive growth' in the firm's system, and documented in her notes that the clients had 'agreed to be more aggressive after education on long-term investing.' Javier later stated he did not recall agreeing to any change and that he and Sofia had simply nodded when Natalie said younger investors should take more risk, assuming she knew best. Based on the aggressive growth profile, Natalie recommended that the couple invest their entire \$47,000 joint account into a concentrated portfolio consisting of three leveraged ETFs focused on the technology sector (2x and 3x daily leveraged products), plus \$8,000 in a speculative biotech stock she described as a 'sure thing.' She did not discuss the mechanics of daily leveraged resets, the compounding decay risk of leveraged ETFs held long-term, or the concentrated sector risk. She also did not address their credit card debt or suggest any debt repayment strategy, despite this being one of their stated goals. By August 2024, the technology sector experienced a correction, and the leveraged ETFs amplified losses significantly. The couple's \$47,000 portfolio had declined to approximately \$21,400 -- a loss of over 54%. The biotech stock had dropped 72% following a failed clinical trial. Meanwhile, their credit card debt had grown to \$16,800 due to continued minimum payments and additional charges. When the couple contacted Natalie expressing distress, she told them to 'stay the course' and that 'markets always come back.' They subsequently filed a complaint with the firm's compliance department.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Natalie Beecham committed multiple serious violations of suitability and best interest standards. First, regarding the risk profile manipulation: Under FINRA Rule 2111 and Regulation Best Interest's Care Obligation, the advisor must base recommendations on the customer's actual investment profile, which includes their self-reported risk tolerance, investment experience, financial situation, and investment objectives. Natalie's override of the clients' questionnaire answers -- changing their documented risk profile from moderate-conservative to aggressive growth -- is a fundamental violation. FINRA has repeatedly emphasized that advisors may not substitute their own judgment for a client's stated risk tolerance, and manually altering risk profile documentation to justify otherwise unsuitable recommendations constitutes a particularly egregious form of misconduct. While advisors may educate clients about risk and return tradeoffs, the clients' vague nodding in response to Natalie's generalized statements about age and risk does not

constitute informed consent to a wholesale risk profile change, especially for clients with no prior investing experience.

Second, regarding the product recommendations: Leveraged ETFs (2x and 3x) are complex products that FINRA has specifically flagged as generally unsuitable for long-term buy-and-hold investors due to daily reset mechanisms and volatility decay. These products are designed for sophisticated, short-term traders, not for inexperienced investors with moderate-conservative risk tolerances seeking college savings and debt reduction. Under FINRA Rule 2111's reasonable-basis suitability component, an advisor must understand the risks and features of recommended products. Natalie's failure to explain leveraged ETF mechanics, compounding decay, or concentrated sector risk demonstrates inadequate reasonable-basis suitability. Under customer-specific suitability, recommending these products to a couple with limited assets (\$47,000), no investment experience, two young children, significant high-interest debt, and conservative stated objectives is plainly unsuitable.

Third, investing \$8,000 in a single speculative biotech stock described as a 'sure thing' raises additional concerns. The characterization itself may violate FINRA Rule 2210 (Communications with the Public) regarding predictions and guarantees, and concentration in a speculative single-name stock is inconsistent with the clients' profile.

Fourth, under Reg BI's Care Obligation, the advisor must consider reasonably available alternatives. Natalie entirely ignored the clients' stated goal of debt reduction. With credit card debt at 21.5% APR, a reasonable advisor would have discussed prioritizing debt repayment, which offers a guaranteed risk-free return equivalent to the interest rate saved. Failing to address this core objective while directing all investable assets into highly speculative instruments reflects a failure to act in the clients' best interest.

The firm may also face supervisory liability under FINRA Rule 3110 if its systems failed to flag the risk profile override, the concentration in leveraged ETFs held by inexperienced investors, or the mismatch between the original questionnaire results and the subsequent aggressive recommendations.

Likely regulatory outcomes include: restitution of losses (approximately \$25,600), potential disgorgement of commissions, a significant fine and suspension for the advisor, and possible supervisory deficiency findings against the firm. Given the documentation manipulation, this case could also be referred for heightened sanctions including a potential bar.

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**Item 408 of 499****NON-COMPLIANT****Topic:** mutual\_fund\_switching\_churning**Difficulty:** medium**Fact Pattern**

Martha Collings, age 67, is a retired schoolteacher living in Omaha, Nebraska, with an annual pension income of \$42,000 and total investable assets of approximately \$310,000. She described her risk tolerance as conservative and told her advisor, Brian Prescott, that her primary goals were capital preservation and generating modest supplemental income for living expenses. Between January 2021 and September 2023, Prescott executed 14 switches among Class A share mutual funds within Martha's account. In each instance, he moved her holdings from one large-cap equity or intermediate bond fund to a substantially similar fund offered by a different fund family. Each purchase carried a front-end sales load ranging from 3.75% to 5.25%. Over the 33-month period, Martha paid approximately \$38,600 in cumulative front-end loads across these switches. The funds she was switched out of had comparable performance, expense ratios, and Morningstar ratings to the replacement funds. Several of the funds she sold had been held for fewer than six months. Martha's account value, which began at \$310,000, stood at approximately \$274,000 by September 2023, despite the broader bond and equity markets having posted modest gains during portions of the same period. Prescott earned roughly \$29,000 in commissions from these transactions. When Martha asked Prescott in mid-2023 why her account balance had declined, he told her the market had been volatile and recommended yet another fund switch, this time into an emerging markets equity fund with a 5.50% front-end load. Martha's account paperwork consistently listed her objectives as 'income' and 'capital preservation' throughout the entire period.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Brian Prescott likely violated multiple regulatory standards governing mutual fund switching and suitability.

**\*\*FINRA Suitability (Rule 2111):\*\*** Under the quantitative suitability component, an advisor who exercises de facto control over a customer's account can be found to have churned or excessively traded the account. Here, 14 mutual fund switches in 33 months, each generating new front-end loads, strongly suggests excessive activity designed to benefit the advisor rather than the customer. The qualitative suitability component is also implicated: switching from one fund to a materially similar fund with comparable performance and ratings serves no reasonable investment purpose. Prescott failed to demonstrate that any individual switch provided a meaningful benefit relative to the costs incurred.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under the Care Obligation of Reg BI, a broker-dealer and associated person must exercise reasonable diligence, care, and skill when making recommendations. They must consider reasonably available alternatives and ensure that the recommendation is in the customer's best interest without placing the financial interest of the broker ahead of the customer. Prescott's pattern of recommending lateral switches into load-bearing funds of equivalent quality and strategy, while generating \$29,000 in personal commissions and \$38,600 in total costs to the client, is a textbook example of placing advisor compensation ahead of the customer's interest. The final recommendation of an emerging markets equity fund to a 67-year-old conservative, income-oriented retiree further compounds the violation.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** The pattern of activity could also constitute a violation of



general standards of just and equitable principles of trade.

**\*\*FINRA Notices to Members and Regulatory Guidance on Mutual Fund Switching:\*\*** FINRA has long scrutinized mutual fund switching as a sales practice abuse. The key inquiry is whether the switch generated sufficient economic benefit to the customer to justify the new sales charges. Here, the answer is clearly no -- the replacement funds were substantially similar, and the cumulative load charges eroded nearly 12% of the client's principal.

**\*\*Likely Regulatory Outcome:\*\*** Prescott faces potential sanctions including fines, disgorgement of commissions, restitution to the customer, suspension, or a bar from the industry. The firm that employed him could also face supervisory failure charges if it lacked adequate systems to flag the switching pattern. Martha may also pursue a customer arbitration claim for compensatory damages.

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**Item 409 of 499****NON-COMPLIANT****Topic:** excessive\_load\_funds**Difficulty:** hard**Fact Pattern**

Derek and Samantha Huang, both 44, are dual-income professionals in San Jose, California, with a combined household income of \$285,000. They have \$820,000 in investable assets spread across brokerage and retirement accounts, a paid-off home valued at \$1.4 million, and moderate risk tolerance. In March 2022, they met with financial advisor Lance Dobbins to consolidate their investments and plan for their two children's college education (ages 10 and 13) and their own retirement. Dobbins recommended the Huangs liquidate their existing portfolio -- which consisted of a diversified mix of low-cost index ETFs with a blended expense ratio of 0.08% -- and reinvest the proceeds into a suite of Class A share mutual funds across six fund families. The recommended funds carried front-end loads between 4.50% and 5.75% and ongoing expense ratios averaging 1.12%. The total front-end load paid on the \$820,000 was approximately \$42,500. Dobbins did not discuss or offer breakpoint discounts, despite the fact that investing \$250,000 or more in a single fund family would have qualified the Huangs for reduced loads as low as 2.50%. He also did not mention that several of the same fund families offered institutional share classes or no-load share classes that were available through the firm's platform. The Huangs were not informed about the availability of rights of accumulation or letters of intent that could have further reduced their sales charges. In the 12 months following the switch, the Huangs' portfolio underperformed a comparable blended benchmark by approximately 6.3 percentage points, with roughly 5.2 percentage points of that gap attributable to the front-end loads and higher ongoing expenses. Dobbins earned commissions of approximately \$33,800 from the transactions. When the Huangs later asked another advisor at a different firm to review their accounts, they learned that breakpoint-eligible share classes, lower-cost institutional shares, and comparable no-load alternatives had been available at the time of purchase. The Huangs' original ETF portfolio had been well-diversified and appropriately allocated for their stated goals and risk profile.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Lance Dobbins committed multiple serious violations relating to excessive load fund recommendations and breakpoint failures.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Reg BI requires that a broker exercise reasonable diligence, care, and skill in making a recommendation, consider reasonably available alternatives, and not place the broker's financial interest ahead of the customer's. Dobbins recommended liquidating a well-constructed, low-cost ETF portfolio and replacing it with high-load, high-expense mutual funds without any articulated investment rationale for the switch. The prior portfolio was already appropriately diversified and aligned with the Huangs' goals. The replacement generated \$42,500 in sales charges and \$33,800 in personal commissions, with no demonstrable benefit to the clients. Dobbins failed to consider -- or at least failed to recommend -- reasonably available lower-cost alternatives including no-load share classes, institutional share classes, and the clients' existing ETFs. This constitutes a clear violation of the Care Obligation.

**\*\*Reg BI -- Disclosure Obligation:\*\*** Dobbins failed to disclose material information about the costs and conflicts associated with the recommendations, including the availability of breakpoints, rights of accumulation, letters of intent,

and lower-cost share classes. This is a failure of the Disclosure Obligation under Reg BI.

**\*\*FINRA Rule 2111 (Suitability):\*\*** Even under the traditional suitability framework, the recommendation to abandon a suitable, low-cost portfolio for a materially more expensive one with similar asset allocation and no enhanced investment thesis fails the reasonable-basis and customer-specific suitability tests. There was no reasonable basis to believe the higher-cost funds would provide commensurate value.

**\*\*FINRA Rules Regarding Breakpoint Sales (NTM 03-54, Rule 2342):\*\*** FINRA has specifically targeted the failure to provide breakpoint discounts to eligible customers. The Huangs' \$820,000 investment easily qualified for significant breakpoint reductions. Dobbins's decision to spread the assets across six fund families -- rather than consolidating where appropriate to achieve breakpoints -- maximized his commissions at the clients' expense. This is a classic breakpoint violation.

**\*\*FINRA Rule 2010 (Just and Equitable Principles of Trade):\*\*** The overall pattern of conduct -- dismantling a suitable low-cost portfolio, ignoring breakpoints, failing to disclose lower-cost alternatives, and generating outsized commissions -- reflects conduct inconsistent with just and equitable principles of trade.

**\*\*Likely Regulatory Outcome:\*\*** Dobbins faces potential sanctions including fines, disgorgement of commissions earned, restitution to the Huangs for the excess sales charges and performance drag, suspension, or barring from the industry. The employing firm could face supervisory violations for failing to detect the breakpoint failures and the unsuitable switching activity. The Huangs would have a strong customer arbitration case for compensatory damages, likely recovering the approximately \$42,500 in unnecessary loads, the ongoing excess expense differential, and potentially consequential damages for the opportunity cost of being out of their original portfolio.

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## Item 410 of 499

### NON-COMPLIANT

**Topic:** lack\_of\_diversification

**Difficulty:** medium

### Fact Pattern

Margaret Olsen, age 71, is a retired schoolteacher living in Tucson, Arizona, with an annual pension income of \$38,000 and Social Security benefits of \$1,850 per month. She has approximately \$285,000 in total liquid savings, no other significant assets besides her home (valued at \$210,000, owned free and clear), and she listed her risk tolerance as conservative on her new account form. Her investment objectives were stated as capital preservation and income generation. During her initial meetings with her financial advisor, David Huang, she disclosed that she had been diagnosed with chronic kidney disease two years prior and was spending approximately \$1,200 per month on out-of-pocket medical expenses including prescription drugs, specialist co-pays, and periodic dialysis treatments. She also told Huang that she had needed to make two emergency withdrawals from her prior savings account in the past 18 months -- one for \$8,500 for an unexpected hospitalization and another for \$4,200 for home plumbing repairs. Despite this disclosed need for liquidity and her ongoing medical expenses, Huang recommended that Margaret invest \$240,000 -- approximately 84% of her liquid savings -- into a single fixed indexed annuity product tied to the S&P 500 index. The annuity carried a 12-year surrender period with surrender charges starting at 10% in year one and declining by approximately 1% per year. The product paid Huang a 7% upfront commission of \$16,800. Huang told Margaret the annuity would provide 'guaranteed growth with no downside risk' and that she could access up to 10% of the account value annually without penalty after the first year. He did not discuss alternative investment options such as a diversified portfolio of short-term bonds, money market funds, or a laddered CD strategy. After the purchase, Margaret needed \$15,000 within five months for an extended hospital stay. She was forced to withdraw from the annuity and incurred a surrender charge of approximately \$1,500 plus a tax penalty, leaving her with only \$45,000 in accessible savings for all future emergencies.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, David Huang likely violated multiple applicable standards. Under FINRA Rule 2111 (Suitability), a registered representative must have a reasonable basis to believe that a recommendation is suitable for the customer based on their investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance. Here, Margaret was a 71-year-old retiree with conservative risk tolerance, capital preservation objectives, significant ongoing medical expenses, and a documented history of emergency withdrawals. Concentrating 84% of her liquid assets into a single illiquid annuity with a 12-year surrender period was fundamentally inconsistent with her stated needs and profile. This implicates the customer-specific suitability obligation, which requires that the recommendation be suitable for the particular customer. Under Regulation Best Interest (Reg BI), the Care Obligation requires that a broker-dealer and its associated persons exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The advisor failed to consider reasonable alternatives -- such as diversified short-term bond funds, money market instruments, or laddered CDs -- that would have better matched Margaret's liquidity needs and conservative objectives. The Disclosure Obligation under Reg BI also requires full and fair disclosure of material facts, including costs and conflicts of interest. Huang's 7% (\$16,800) commission created a significant conflict of interest that likely was not adequately disclosed. His characterization of the product as offering 'guaranteed growth with no

downside risk' without adequate explanation of surrender charges and liquidity limitations may also constitute a misleading statement. Additionally, the lack of diversification -- placing nearly all liquid savings into a single product class with a single issuer -- violates the quantitative suitability component under FINRA Rule 2111 and the reasonable-basis suitability requirement. FINRA has consistently found that over-concentration, particularly for elderly clients with liquidity needs, constitutes a suitability violation. If Margaret were instead a client of a registered investment adviser, the adviser would owe a fiduciary duty under the Investment Advisers Act of 1940, requiring the adviser to act in the client's best interest, which this recommendation clearly did not serve. The likely regulatory outcome would include potential sanctions against Huang, including fines, disgorgement of commissions, suspension, and an order to pay restitution to Margaret for the surrender charges incurred and any opportunity costs from the unsuitable concentration.

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## Item 411 of 499

### NON-COMPLIANT

**Topic:** mutual\_fund\_switching\_churning

**Difficulty:** hard

### Fact Pattern

Robert Tran, age 78, is a widowed retired postal worker living in Memphis, Tennessee. His wife of 52 years passed away in March 2021, and he inherited her IRA and life insurance proceeds, bringing his total investable assets to approximately \$620,000. His monthly income consists of a federal pension of \$3,100 and Social Security of \$2,200. He has no debt, owns his home outright, and his monthly living expenses are approximately \$3,800. Robert has a high school education, had never actively managed investments prior to his wife's passing, and described himself as having little investment knowledge. He opened a brokerage account in June 2021 with registered representative Carla Messina, indicating conservative risk tolerance and income with capital preservation as his primary objectives on his new account documentation. Between June 2021 and September 2023 -- a span of approximately 27 months -- Messina executed 174 mutual fund transactions in Robert's account. The pattern consisted almost entirely of switches: selling one mutual fund family's Class A shares and purchasing Class A shares in a different fund family, repeatedly triggering new front-end sales loads. For example, in a single three-month period from January to March 2023, Messina sold Robert's holdings in a large-cap growth fund (which had a 5.25% front-end load paid just four months earlier), moved the proceeds into a different firm's large-cap growth fund (again with a 5.25% load), then sold that position two months later to buy yet another similar large-cap growth fund at another firm. Across the 27-month period, total front-end sales charges paid by Robert amounted to approximately \$87,400. Additional short-term redemption fees totaled roughly \$6,200. The account's annualized cost-to-equity ratio was approximately 9.4%, and the turnover rate was approximately 6.8 times per year. Despite market conditions where a comparable balanced index returned approximately 11% over the same period, Robert's account declined from \$620,000 to approximately \$491,000 -- a loss of \$129,000, or roughly 20.8% of his initial investment. Messina earned approximately \$52,000 in personal commissions from the activity. Robert did not request any of the switches and testified that Messina told him she was 'rebalancing to keep up with market changes.' He signed trade confirmations but stated he did not understand what they meant. He only became aware of the losses when his daughter reviewed his account statements in October 2023 and noticed the pattern.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Carla Messina engaged in classic mutual fund switching and churning that violated multiple regulatory standards. Under FINRA Rule 2111 (Suitability), specifically the quantitative suitability obligation, a broker who exercises actual or de facto control over a customer's account must have a reasonable basis for believing that a series of recommended transactions, even if individually suitable, are not excessive and unsuitable when taken together in light of the customer's investment profile. The quantitative indicators here are stark: a turnover rate of 6.8 times annually and a cost-to-equity ratio of 9.4% far exceed the thresholds that FINRA and arbitration panels have historically treated as presumptive evidence of churning. Generally, turnover rates above 6 and cost-to-equity ratios above 5-6% are considered strong evidence of excessive trading. Robert's conservative profile, income-oriented objectives, advanced age, investment inexperience, and reliance on Messina's guidance all demonstrate de facto control. Under Regulation Best Interest (Reg BI), the Care Obligation requires that recommendations not place the financial professional's interest ahead of the customer's. The pattern of selling Class A share funds shortly after purchase -- incurring new front-end

loads on substantially similar replacement funds -- served no discernible investment purpose for Robert. The funds being switched between were often in the same asset class and had comparable objectives, meaning the switches generated commissions for Messina without providing any meaningful benefit to Robert. The Conflict of Interest Obligation under Reg BI requires firms to establish policies to identify and mitigate conflicts. Messina's \$52,000 in commissions generated from an elderly, unsophisticated widow's conservative account over 27 months represents a severe unmitigated conflict. Additionally, FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) broadly prohibits unethical business conduct. Mutual fund switching -- selling shares in one fund to purchase shares in another fund in the same or a similar category primarily to generate sales charges -- has long been recognized as a violation. FINRA's guidance on mutual fund switching, including Notice to Members 94-16 and subsequent guidance, specifically addresses this practice. The \$87,400 in sales loads and \$6,200 in redemption fees, resulting in a net account decline of \$129,000 against a backdrop where comparable markets rose approximately 11%, demonstrates clear customer harm. The likely regulatory outcome would be severe: FINRA could impose a significant fine, order disgorgement of all commissions earned (\$52,000), impose restitution to Robert for the full amount of excessive costs and losses (potentially the full \$129,000 decline plus opportunity costs), and bar or suspend Messina from the securities industry. The supervising broker-dealer could also face liability for failure to supervise under FINRA Rule 3110 if it failed to detect the excessive trading pattern through its surveillance systems. Robert would also have strong claims in FINRA arbitration for compensatory damages, and potentially punitive damages given the egregious nature of the conduct against a vulnerable elderly client.

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## Item 412 of 499

### NON-COMPLIANT

**Topic:** speculative\_for\_conservative\_investor

**Difficulty:** easy

### Fact Pattern

Margaret Olsen, age 74, is a retired elementary school teacher living in Duluth, Minnesota. She receives \$2,400 per month from her pension and \$1,800 per month in Social Security benefits. Her total liquid savings amount to \$310,000, held in a brokerage account at Heartland Financial Services. She has no other significant assets beyond her home, which is fully paid off and valued at approximately \$185,000. When she opened her account in January 2022, Margaret completed a new account form indicating her investment objective as "preservation of capital and income," her risk tolerance as "conservative," her time horizon as "5-10 years," and her investment experience as "limited -- primarily CDs and savings accounts." She told her advisor, Derek Swanson, that she needed to make her savings last for the rest of her life and could not afford to lose principal. Between March 2022 and August 2022, Swanson moved approximately \$245,000 of Margaret's account -- roughly 79% of her liquid net worth -- into a concentrated portfolio of small-cap biotechnology stocks and early-stage pharmaceutical companies. The specific holdings included a \$65,000 position in a pre-revenue gene therapy startup, \$55,000 in a clinical-stage oncology company with no approved products, \$50,000 in a micro-cap cannabis biotech firm, \$40,000 in a company developing experimental Alzheimer's treatments that had recently failed a Phase II trial, and \$35,000 spread across three other speculative biotech names with market capitalizations under \$500 million. Swanson told Margaret these stocks had "huge upside potential" and that "biotech is where retirees can really grow their nest egg." He did not discuss the risk of total loss, the volatility characteristics of pre-revenue companies, or the concentration risk of having nearly 80% of her portfolio in a single speculative sector. By February 2023, Margaret's portfolio had declined to approximately \$118,000, representing a loss of roughly \$192,000, or 62% of her original savings. Margaret filed a complaint stating she never understood the risks and believed her advisor was investing her money safely.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Swanson clearly violated both suitability requirements under FINRA Rule 2111 and the best interest obligation under Regulation Best Interest (Reg BI). The analysis proceeds on multiple grounds:

1. **FINRA Rule 2111 -- Suitability:** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. Rule 2111 encompasses three components:

- **Reasonable-basis suitability:** A broker must perform reasonable diligence to understand the nature and risks of the recommended securities. Pre-revenue biotech stocks are among the most speculative equity investments available, with high failure rates and extreme volatility. Recommending these to any conservative, income-oriented retiree fails reasonable-basis suitability.

- **Customer-specific suitability:** Margaret's profile -- age 74, conservative risk tolerance, capital preservation objective, limited investment experience, reliance on her savings for living expenses -- is fundamentally incompatible with speculative small-cap biotech stocks. Her stated objectives and documented risk tolerance clearly indicated she should have been in fixed-income, high-quality dividend equities, or similar conservative instruments.

- **Quantitative suitability:** While this prong typically addresses excessive trading, the extreme concentration (79%)



of liquid assets in a single speculative sector) raises analogous concerns about the overall strategy being unsuitable in scope and magnitude.

2. **\*\*Regulation Best Interest (Reg BI):\*\*** Under Reg BI's Care Obligation, the advisor must exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile including age, financial situation, risk tolerance, and objectives. Placing nearly 80% of a 74-year-old conservative retiree's life savings into speculative biotech stocks with no revenue or approved products is a textbook violation of the Care Obligation. The Disclosure Obligation was also violated, as Swanson failed to explain the risks of total loss, sector concentration risk, or the speculative nature of the investments. Additionally, Reg BI's Conflict of Interest Obligation may be implicated if Swanson received higher commissions or compensation for recommending these speculative securities.

3. **\*\*FINRA Rule 2010 -- Standards of Commercial Honor:\*\*** The overall pattern of conduct -- steering a vulnerable, unsophisticated retiree into highly speculative investments directly contradicting her stated objectives -- likely also violates the general standards of commercial honor and just and equitable principles of trade.

**\*\*Likely Regulatory Outcome:\*\*** A FINRA arbitration panel or enforcement action would very likely find in Margaret's favor. The facts present an overwhelming case of unsuitable recommendations. Swanson would face potential sanctions including fines, disgorgement of commissions, restitution to the customer, suspension, or bar from the industry. The firm, Heartland Financial Services, could face supervisory failure charges under FINRA Rule 3110 for failing to detect and prevent the unsuitable concentration in a conservative retiree's account. Compensatory damages of approximately \$192,000 plus interest would be a probable arbitration award.

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**Item 413 of 499****NON-COMPLIANT****Topic:** leveraged\_etf\_unsuitable**Difficulty:** hard**Fact Pattern**

Thomas and Vivian Park, ages 62 and 59 respectively, are a married couple in Portland, Oregon. Thomas is a semi-retired civil engineer earning approximately \$45,000 per year in consulting income, while Vivian works as an office manager earning \$52,000 annually. Their combined savings total approximately \$870,000, split between a joint brokerage account (\$540,000) and Thomas's rollover IRA (\$330,000). They have moderate investment experience, having held diversified mutual funds for approximately 20 years. In September 2022, they met with their financial advisor, Rachel Dominguez, at Pacific Ridge Wealth Management, to discuss transitioning their portfolio toward a more income-focused strategy as they approached full retirement in three to four years. They documented their objectives as "growth and income" with a "moderate" risk tolerance and an investment time horizon of "10-15 years." Dominguez recommended a strategy she described as a "tactical allocation approach" to capture market momentum while generating income. Between October 2022 and January 2023, Dominguez allocated approximately \$390,000 of the joint brokerage account and \$230,000 of the IRA into the following positions: \$155,000 in a 3x leveraged bull semiconductor ETF, \$130,000 in a 2x leveraged S&P 500 ETF, \$110,000 in a 3x leveraged bull energy sector ETF, \$95,000 in a 2x leveraged Nasdaq-100 ETF, and \$130,000 in a -2x inverse Treasury bond ETF intended as an "income hedge." In total, \$620,000 -- approximately 71% of the couple's retirement assets -- was placed in leveraged and inverse leveraged ETFs. Dominguez told the Parks that these funds would "amplify the returns they'd normally get" and that the inverse bond ETF would "protect them if interest rates kept rising." She did not explain the daily reset mechanism of leveraged ETFs, the compounding decay that causes these products to deviate significantly from their stated leverage multiple over holding periods longer than one day, or the amplified downside risk. The Parks held these positions for approximately nine months. During a period of significant market volatility through mid-2023, including sector rotations and interest rate fluctuations, the leveraged semiconductor ETF lost 41%, the leveraged energy ETF lost 33%, and the inverse Treasury ETF lost 28% despite a mixed rate environment -- losses exacerbated by volatility decay. The 2x S&P 500 and Nasdaq ETFs experienced whipsaw losses averaging 18%. Overall, the Parks' \$620,000 in leveraged ETF positions declined to approximately \$383,000, a loss of roughly \$237,000 or 38%. When Thomas called to inquire about the losses in July 2023, Dominguez suggested doubling down on the semiconductor position. The Parks subsequently transferred their accounts to another firm and filed a complaint. Notably, Pacific Ridge's internal product committee had issued a guidance memorandum in August 2022 -- before Dominguez made these recommendations -- stating that leveraged and inverse ETFs were generally appropriate only for short-term tactical trading by sophisticated investors and should not constitute more than 10% of any client's portfolio without a documented rationale reviewed by a supervisor. No such documentation or supervisory review was conducted for the Parks' account.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Rachel Dominguez committed serious violations of multiple regulatory standards, and Pacific Ridge Wealth Management likely bears supervisory liability as well. This is a multi-layered violation involving product-level unsuitability, failure to disclose material risks, disregard of internal firm policies, and potential supervisory failures.

**\*\*1. FINRA Rule 2111 -- Suitability:\*\***

- **\*\*Reasonable-basis suitability:\*\*** Leveraged and inverse ETFs are complex financial instruments designed to deliver multiples of daily index returns. Due to the mathematical effects of daily compounding (volatility decay), these products can lose substantial value even when the underlying index is flat or modestly positive over periods longer than a single trading day. FINRA has issued extensive guidance (including Regulatory Notice 09-31 and Regulatory Notice 12-03 on complex products) emphasizing that leveraged ETFs are generally suitable only for sophisticated investors who understand the daily reset mechanism and who intend to hold positions for very short periods. Dominguez either failed to understand these fundamental product characteristics or understood them and recommended the products anyway, failing reasonable-basis suitability in either case.

- **\*\*Customer-specific suitability:\*\*** The Parks are a pre-retirement couple with moderate risk tolerance, moderate investment experience (limited to diversified mutual funds), and a stated objective of growth and income as they transition toward retirement. Allocating 71% of their combined retirement assets to leveraged and inverse leveraged ETFs -- products designed for short-term speculative trading -- is grossly inconsistent with their investment profile. Even for an aggressive investor, a 71% allocation to leveraged products would raise serious concerns; for moderate-risk pre-retirees, it is indefensible.

- **\*\*Quantitative suitability:\*\*** The sheer concentration -- \$620,000 of \$870,000 in leveraged ETFs -- and the implicit strategy of buy-and-hold for these daily-reset instruments constitutes a quantitatively unsuitable strategy.

**\*\*2. Regulation Best Interest (Reg BI):\*\***

- **\*\*Care Obligation:\*\*** Reg BI requires that the advisor exercise reasonable diligence, care, and skill when making recommendations, considering the retail customer's investment profile. Recommending leveraged ETFs as long-term holdings for pre-retirees with moderate risk tolerance and moderate sophistication fails this standard comprehensively. The advisor must consider reasonably available alternatives, and there is no reasonable basis to choose 3x leveraged sector ETFs over conventional sector funds, diversified equity funds, or balanced strategies for this client profile.

- **\*\*Disclosure Obligation:\*\*** Dominguez failed to disclose material characteristics of leveraged ETFs, including the daily reset mechanism, compounding decay over multi-day holding periods, the amplified loss potential, and the fact that these products are designed for short-term trading. Telling clients the funds would "amplify returns" without explaining the symmetric amplification of losses and the asymmetric decay from volatility constitutes a materially misleading characterization.

- **\*\*Conflict of Interest Obligation:\*\*** If leveraged ETFs generated higher commissions, revenue sharing, or other compensation for Dominguez or Pacific Ridge compared to simpler alternatives, this would further implicate the conflict of interest component of Reg BI.

**\*\*3. FINRA Rule 2010 -- Standards of Commercial Honor and Just and Equitable Principles of Trade:\*\*** The totality of the conduct -- recommending complex speculative products to moderate-risk pre-retirees, failing to disclose critical product mechanics, concentrating 71% of retirement assets in these instruments, and then suggesting the clients "double down" after catastrophic losses -- reflects conduct inconsistent with just and equitable principles of trade.

**\*\*4. FINRA Regulatory Notice 09-31 and 12-03 -- Complex Products:\*\*** While not standalone rules, these notices provide interpretive guidance that leveraged and inverse ETFs require heightened suitability analysis, enhanced disclosure, and often specific training for registered representatives. The facts suggest none of these heightened obligations were met.

**\*\*5. Firm Supervisory Failures -- FINRA Rule 3110:\*\*** Pacific Ridge's own internal product committee had issued

guidance in August 2022 limiting leveraged ETFs to 10% of any client's portfolio without documented rationale and supervisory review. Dominguez allocated 71% without any such documentation. This represents a clear violation of the firm's internal supervisory procedures, which under FINRA Rule 3110 the firm is obligated to enforce through reasonable supervisory systems. The firm's failure to detect or prevent this deviation -- particularly given the size and obvious nature of the positions -- constitutes a supervisory failure.

**\*\*6. Investment Advisers Act Fiduciary Duty (if applicable):\*\*** If Pacific Ridge or Dominguez operated in an investment advisory capacity (fee-based accounts, discretionary authority, or holding out as an advisor), the fiduciary duty under the Investment Advisers Act of 1940 would impose an even higher standard -- a duty of loyalty and care requiring the advisor to act in the clients' best interest. The conduct described would constitute a clear fiduciary breach.

**\*\*Likely Regulatory Outcome:\*\*** This case presents compelling grounds for a FINRA arbitration award in favor of the Parks, likely including compensatory damages of approximately \$237,000 plus interest and potentially punitive damages given the egregious nature of the conduct and the suggestion to double down after losses. Dominguez faces potential FINRA enforcement action including fines, disgorgement, suspension, or a permanent industry bar, particularly given the violation of internal firm policies. Pacific Ridge faces supervisory failure charges, potential fines, and an obligation to enhance its supervisory procedures. The presence of the firm's own internal guidance memorandum limiting leveraged ETF exposure -- which was ignored without any documentation -- significantly strengthens both the customer's arbitration claim and any regulatory enforcement action, as it demonstrates the firm recognized the risk but failed to enforce its own controls.

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**Item 414 of 499****NON-COMPLIANT****Topic:** overconcentration\_single\_stock**Difficulty:** medium**Fact Pattern**

Margaret Liu, age 72, is a retired school librarian living in suburban Ohio. She has a total liquid net worth of approximately \$340,000, consisting of a \$280,000 IRA rollover from her pension and \$60,000 in a savings account. Her annual income from Social Security and a small pension is \$38,000. She described her investment objectives as capital preservation and income generation to supplement her retirement. She told her advisor, Derek Robbins, that she could not afford to lose her savings because she had no other family support and needed the money to cover potential long-term care expenses. In March 2023, Robbins recommended that Margaret invest \$230,000 of her IRA -- roughly 68% of her total liquid net worth -- into shares of a single mid-cap biotechnology company, BioVantage Inc., which had no dividend history and had reported net losses in four of the previous five fiscal years. Robbins told Margaret the stock was 'about to take off' based on a pending FDA drug approval and that she could 'double her money within a year.' Margaret, trusting her advisor, agreed. By November 2023, BioVantage's drug application was rejected, and the stock fell 54%, reducing Margaret's \$230,000 position to approximately \$105,800, a loss of \$124,200. Robbins had not discussed the risks of concentrating the majority of her retirement savings in a single speculative equity, nor did he present any alternative diversified portfolios or income-producing investments. He earned a \$4,600 commission on the transaction.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Robbins violated applicable suitability and best interest standards on multiple grounds.

**\*\*FINRA Suitability Analysis (Rule 2111):\*\*** Under FINRA's suitability rule, a broker must have a reasonable basis for believing a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and liquidity needs. Margaret was a 72-year-old retiree with modest assets, limited income, stated capital preservation and income objectives, and an explicit need to protect her savings for potential long-term care costs. Recommending that 68% of her liquid net worth be concentrated in a single speculative biotechnology stock with no dividend history and a track record of losses is fundamentally incompatible with her profile. This fails both reasonable-basis suitability (no reasonable advisor would consider this an appropriate strategy for this type of investor) and customer-specific suitability (it directly contradicts her stated objectives and risk tolerance).

**\*\*Regulation Best Interest (Reg BI) Analysis:\*\*** Under the Care Obligation of Reg BI, a broker-dealer and associated person must exercise reasonable diligence, care, and skill in making a recommendation. The advisor must consider reasonably available alternatives and must not place his own interest ahead of the customer's. Robbins failed to consider or present diversified or income-generating alternatives. The \$4,600 commission, while not enormous, suggests a financial incentive that was not weighed against the customer's clear need for safety and income. The recommendation was not in Margaret's best interest.

**\*\*Overconcentration:\*\*** FINRA has repeatedly found that concentrating a disproportionate percentage of a customer's

portfolio in a single security -- especially a speculative one -- constitutes a violation of suitability obligations. A 68% concentration in a single speculative mid-cap biotech stock for a conservative 72-year-old retiree is textbook overconcentration.

**\*\*Likely Regulatory Outcome:\*\*** Robbins would likely face FINRA disciplinary action, including potential fines, disgorgement of commissions, suspension, and an order to pay restitution. In a customer arbitration, Margaret would have strong claims for compensatory damages of approximately \$124,200, plus potential costs and fees. The lack of any risk disclosure or discussion of alternatives further strengthens the case against the advisor.

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**Item 415 of 499****NON-COMPLIANT****Topic:** margin\_unsuitable**Difficulty:** hard**Fact Pattern**

Carlos Medina, age 45, is a self-employed plumber in Tampa, Florida, with an annual gross income of approximately \$85,000 and a net worth of \$210,000, most of which is tied up in his home equity. He opened a brokerage account in January 2022 with \$55,000 in savings -- money he described as his 'emergency fund and future college savings' for his three children, ages 8, 11, and 14. On his new account form, he listed his investment experience as 'limited,' his risk tolerance as 'moderate,' and his investment objectives as 'growth and education funding.' His advisor, Pamela Whitfield, who had 18 years of industry experience, suggested that Carlos could accelerate his college savings by using margin to amplify returns in a growth-oriented equity portfolio. In February 2022, Whitfield helped Carlos sign a margin agreement and subsequently purchased \$110,000 worth of securities -- \$55,000 of Carlos's own funds plus \$55,000 in margin borrowing -- invested across three leveraged exchange-traded funds (ETFs) focused on the technology sector, each carrying an internal expense ratio of approximately 0.95%. Whitfield explained that leverage 'works both ways' but emphasized the upside potential and noted that tech stocks had historically outperformed over time. She did not provide written materials detailing the compounding risks of leveraged ETFs when held for extended periods, nor did she document why margin was appropriate for a client whose primary goal was college funding on a defined timeline. Over the next 14 months, amid a tech sector correction, the portfolio declined significantly. Combined with margin interest charges of approximately \$3,850 (at a 7% annual rate), Carlos received three margin calls. Unable to deposit additional funds due to his limited liquidity, Carlos was forced to liquidate his positions in April 2023 at a total portfolio value of \$38,600 -- a net loss of \$20,250 from his original \$55,000 investment (after accounting for the margin loan repayment and interest). Carlos was left with \$38,600 minus the remaining margin balance, netting approximately \$34,750 in cash -- a loss of over \$20,000 that represented more than 36% of his original savings earmarked for his children's education.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Pamela Whitfield violated suitability and best interest standards through the unsuitable use of margin and the selection of inappropriate leveraged products.

**\*\*FINRA Suitability (Rule 2111) -- Customer-Specific Suitability:\*\*** Carlos had limited investment experience, moderate risk tolerance, and a specific goal of funding college education for three children within defined time horizons (4, 7, and 10 years). His \$55,000 represented both his emergency fund and his sole college savings. Employing 2:1 margin leverage on this money -- effectively doubling his market exposure and introducing the risk of margin calls and forced liquidation -- was fundamentally unsuitable. A customer with limited liquidity, no additional assets beyond home equity, and a defined-purpose savings goal should not be exposed to margin risk. The recommendation failed customer-specific suitability because it did not align with Carlos's risk tolerance, investment objectives, time horizon, or financial situation.

**\*\*FINRA Suitability -- Reasonable-Basis Suitability:\*\*** Leveraged ETFs are designed for short-term tactical trading and carry well-documented compounding and volatility decay risks when held over extended periods. Using them as

long-term college savings vehicles is inappropriate on its face. No reasonable advisor with 18 years of experience could conclude that leveraged tech ETFs purchased on margin constitute a sound education funding strategy for a moderate-risk client with limited experience.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under Reg BI's Care Obligation, the advisor must exercise reasonable diligence, care, and skill, consider reasonably available alternatives, and ensure the recommendation is in the customer's best interest without placing her own interests ahead of the customer's. Whitfield failed to consider more appropriate alternatives such as 529 plans, diversified index funds, target-date education funds, or balanced portfolios without leverage. The margin strategy generated additional interest income for the firm (margin interest revenue) and the leveraged ETFs carried high expense ratios (0.95%), both of which created conflicts not adequately addressed. The advisor did not demonstrate that she weighed costs and risks against the customer's specific needs.

**\*\*Reg BI -- Disclosure Obligation:\*\*** Whitfield did not provide written materials on the compounding risks of leveraged ETFs or document why margin was suitable, indicating a failure in the Disclosure Obligation to provide material information about the risks and costs of the recommended strategy.

**\*\*FINRA Rule 2264 (Margin Disclosure):\*\*** FINRA requires that firms provide customers with a margin disclosure statement that explains margin risks, including the possibility of losing more than deposited funds and the risk of forced liquidation. While Whitfield mentioned leverage 'works both ways,' the lack of documented, comprehensive risk disclosure around margin -- particularly for a client with limited experience -- compounds the violation.

**\*\*Likely Regulatory Outcome:\*\*** Whitfield faces potential FINRA disciplinary action for unsuitable margin use and unsuitable product selection. Sanctions could include fines, a suspension of several months to a year, and an order of restitution. In a customer arbitration proceeding, Carlos would have a strong claim for compensatory damages of approximately \$20,250, plus margin interest costs and potentially attorneys' fees. The firm's supervisory system may also be examined for failing to flag margin approval for a customer with this profile, potentially resulting in supervisory violations under FINRA Rule 3110.

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**Item 416 of 499****NON-COMPLIANT**

**Topic:** complex\_products\_unsophisticated\_investor

**Difficulty:** medium

**Fact Pattern**

Margaret Holloway, age 67, is a retired elementary school teacher living in Tulsa, Oklahoma, with a pension of \$3,200 per month and Social Security income of \$1,800 per month. She had accumulated \$410,000 in a 403(b) retirement account and decided to roll it over to an IRA upon retirement in March 2023. Her investment experience was limited to the target-date fund she had used in her 403(b) for 18 years. She described her investment objective as capital preservation with moderate income, and her risk tolerance was conservative. She told her advisor, Kevin Pratt, that she wanted something simple and safe so she could supplement her fixed income by drawing approximately \$1,200 per month from the portfolio starting in 2025. Kevin recommended that Margaret invest the entire \$410,000 into Class A shares of four different mutual funds -- a large-cap growth fund, an intermediate bond fund, an international equity fund, and a high-yield bond fund -- each receiving roughly \$102,500. The Class A shares carried front-end sales loads ranging from 3.75% to 5.25%, resulting in approximately \$18,400 in upfront commissions deducted from Margaret's investment on day one. Kevin's firm offered institutional share classes of the same four funds, which carried no front-end load and had expense ratios averaging 0.42% compared to 1.15% for the Class A shares. Margaret's account size of \$410,000 exceeded the \$250,000 minimum required for the institutional share classes at the firm. Kevin did not disclose the existence of the lower-cost share classes or explain the impact of the front-end loads on Margaret's retirement savings. Furthermore, the allocation placed approximately 50% of Margaret's portfolio in equity-oriented funds, which was inconsistent with her stated conservative risk tolerance and capital preservation objective. By December 2023, the equity portions of her portfolio had declined 11% during a market correction, reducing her total account value to approximately \$359,000 -- a loss of over \$51,000 from her original rollover amount when including the sales charges and market losses.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Pratt violated both suitability and best interest standards in multiple respects. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, and investment objectives. Margaret was a 67-year-old retired teacher with conservative risk tolerance and a capital preservation objective. Allocating 50% of her portfolio to equity funds was inconsistent with that profile, constituting a violation of customer-specific suitability.

Under Regulation Best Interest (Reg BI), which applies to broker-dealer recommendations to retail customers, the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Kevin failed this obligation by recommending higher-cost Class A shares when Margaret clearly qualified for institutional share classes at a \$250,000 minimum -- her \$410,000 account well exceeded this threshold. The approximately \$18,400 in unnecessary front-end loads directly reduced her retirement assets with no corresponding benefit.

Reg BI's Disclosure Obligation also required Kevin to disclose all material facts about the recommendation, including

the existence of lower-cost share class alternatives. His failure to inform Margaret about the institutional shares constitutes a disclosure violation.

Additionally, FINRA's guidance on share class suitability has consistently held that recommending a more expensive share class when a customer qualifies for a less expensive share class of the same fund is a violation. FINRA has brought numerous enforcement actions resulting in restitution orders and fines for precisely this conduct.

The likely regulatory outcome would include required restitution of the excess sales charges (approximately \$18,400), potential disgorgement of commissions, a fine against Kevin and potentially his firm for supervisory failures, and possible suspension. The firm could also face liability for failing to have adequate systems to flag share class recommendations where clients qualified for institutional pricing.

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**Item 417 of 499****NON-COMPLIANT****Topic:** private\_placements\_unsuitable**Difficulty:** hard**Fact Pattern**

Derek and Susan Yamamoto, both age 44, are a dual-income couple living in Portland, Oregon. Derek works as a software engineer earning \$145,000 annually, and Susan is a dental hygienist earning \$78,000 annually, for a combined household income of \$223,000. They have a combined net worth of approximately \$780,000, which includes \$320,000 in home equity, \$290,000 in combined 401(k) accounts, a \$95,000 joint brokerage account, and \$75,000 in savings. They have two children, ages 10 and 13, and had told their financial advisor, Rachel Dominguez, that their primary investment goals were funding their children's college education beginning in approximately five to eight years and building long-term retirement savings. Their risk tolerance was moderate, and they specifically mentioned wanting liquidity in their non-retirement accounts in case of unexpected expenses or job loss. In September 2022, Rachel recommended that the Yamamotos invest \$80,000 -- essentially their entire liquid brokerage account plus a portion of savings -- into a private placement offering from Horizon Real Estate Development Partners III, LP. The offering was a Regulation D private placement with a minimum seven-year lock-up period, no secondary market, and distributions that were discretionary and not guaranteed. The projected annual return was 12-15%, though the offering memorandum noted substantial risk factors including development risk, leverage of up to 75% loan-to-value, geographic concentration in a single commercial real estate project in Austin, Texas, and the possibility of total loss of capital. Rachel received a 7% commission (\$5,600) on the placement. She presented the investment to the Yamamotos as a 'real estate opportunity with strong returns that would help them reach their college savings goals faster.' She did not discuss the illiquidity, the lock-up period in the context of their five-to-eight-year college funding timeline, the concentration risk, or the possibility that they could lose their entire investment. She also did not discuss alternative investments such as 529 college savings plans, diversified REIT funds, or moderate-allocation mutual funds. By mid-2024, Horizon Real Estate Development Partners III had suspended all distributions due to construction cost overruns and rising interest rates on its floating-rate debt. The Yamamotos were unable to access any of their \$80,000 investment and had received only one distribution of \$2,400 over nearly two years. They were simultaneously facing college planning expenses and had depleted most of their remaining savings for their older child's high school activities and standardized test preparation costs.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Rachel Dominguez committed multiple serious violations of applicable standards.

Under FINRA Rule 2111 (Suitability), the recommendation failed on all three components. First, regarding reasonable-basis suitability, an advisor must understand the product's risks before recommending it. While private placements are legitimate securities, recommending one with a seven-year lock-up, 75% leverage, single-project concentration, and total-loss risk to clients whose primary goals were college funding within five to eight years and who specifically requested liquidity demonstrates a failure to reasonably evaluate the product's fit. Second, regarding customer-specific suitability, the recommendation was fundamentally inconsistent with the Yamamotos' stated investment profile: they had moderate risk tolerance, needed liquidity, and had a defined time horizon for college expenses. Committing \$80,000 -- representing virtually all of their liquid, non-retirement assets -- to an illiquid, high-risk,

concentrated private placement directly contradicted these needs. Third, regarding quantitative suitability, while this is a single transaction, the concentration of nearly all liquid assets in one illiquid position effectively made the Yamamotos' accessible portfolio entirely illiquid.

Under Regulation Best Interest (Reg BI), Rachel violated the Care Obligation by failing to consider reasonably available alternatives (529 plans, diversified REIT funds, moderate-allocation funds) that would have been far better suited to the Yamamotos' goals, timeline, and risk tolerance. The 7% commission created a significant financial incentive to recommend this product over lower-cost alternatives, implicating the Conflict of Interest Obligation. Rachel was required to identify and disclose, or mitigate, this conflict, yet she failed to do so.

Rachel also violated the Disclosure Obligation under Reg BI by failing to explain the lock-up period, illiquidity, concentration risk, leverage risk, and the possibility of total loss. Presenting the investment as simply a 'real estate opportunity with strong returns' was materially misleading and omitted critical risk factors.

FINRA has repeatedly emphasized through notices, including Regulatory Notice 10-22, that private placements require heightened scrutiny, thorough due diligence, and careful matching to customer profiles. Private placements are categorized as complex products requiring additional disclosure of risks and features.

The firm's supervisory obligations under FINRA Rule 3110 may also have been breached if there was no meaningful review of the suitability of this recommendation given the customers' profile.

The likely regulatory outcome includes restitution of the \$80,000 investment (less any distributions received), disgorgement of the \$5,600 commission, a substantial fine, and a possible suspension or bar for Rachel. The firm could face additional sanctions for supervisory failures. In arbitration, the Yamamotos would likely recover their losses plus interest, and potentially attorneys' fees depending on the circumstances.

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**Item 418 of 499****NON-COMPLIANT****Topic:** margin\_unsuitable**Difficulty:** medium**Fact Pattern**

Gloria Hernandez, age 61, worked as a school librarian for 34 years and was planning to retire within 18 months. She had accumulated \$285,000 in a 403(b) retirement account and an additional \$92,000 in a traditional IRA. Her annual salary was \$54,000, and she had no other significant assets beyond her home, which was mortgage-free and valued at approximately \$210,000. Gloria's account opening documents indicated a conservative risk tolerance, an investment objective of capital preservation and income, a moderate investment knowledge level, and a time horizon of 5-10 years. In March 2023, her financial advisor, Derek Simms, recommended that Gloria roll over her 403(b) into a new brokerage IRA. Once the rollover was complete, Derek recommended consolidating all \$377,000 into a margin account. He then used the margin to leverage her portfolio to approximately \$565,000 in total positions, purchasing heavily in a single pharmaceutical stock -- Orion BioSciences -- which accounted for \$340,000 of the total portfolio value. Derek told Gloria that Orion was "about to explode" based on a pending drug approval and that the margin interest of approximately 9.5% annually would be "easily covered" by the expected gains. He did not explain the mechanics of margin calls or the risk of losing more than her original investment. By August 2023, Orion BioSciences had declined 47% after its lead drug candidate failed a Phase III clinical trial. Gloria received a margin call for \$118,000 and was forced to liquidate most of her remaining holdings at significant losses. Her total portfolio value dropped to approximately \$119,000 -- a loss of roughly \$258,000, or 68% of her life savings. Gloria was never informed that margin borrowing could result in forced liquidation of her retirement assets, and Derek did not document any rationale for the margin strategy or the concentrated stock position.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Simms committed multiple serious violations. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, risk tolerance, financial situation, investment objectives, time horizon, and liquidity needs. Gloria was a 61-year-old pre-retiree with conservative risk tolerance, capital preservation objectives, modest income, and no other liquid assets beyond this retirement savings. Recommending a margin strategy that leveraged her entire retirement portfolio by approximately 50% was fundamentally incompatible with her profile. The concentration of roughly 60% of the leveraged portfolio in a single speculative pharmaceutical stock compounded the unsuitability, creating catastrophic concentration risk on top of leverage risk.

Under Regulation Best Interest (Reg BI), the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs. The Disclosure Obligation requires that material facts about the recommendation -- including risks -- be disclosed. Derek failed on both counts: he did not explain margin mechanics, margin call risks, or the possibility of losing more than her principal, and the strategy itself bore no rational relationship to Gloria's stated objectives.

Additionally, FINRA Rule 2264 requires that customers receive a margin disclosure statement explaining the risks of

margin trading, and FINRA Rule 4210 governs margin requirements. The failure to provide meaningful margin risk disclosure and the absence of any documented rationale for the strategy further support the violation.

The likely regulatory outcome would include FINRA enforcement action for unsuitable recommendations, potential restitution to the customer, fines, a suspension or bar for the advisor, and possible arbitration liability for the full amount of losses plus interest. The egregious nature of leveraging a near-retiree's entire life savings into a speculative concentrated margin position would likely be viewed as a clear-cut violation warranting significant sanctions.

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**Item 419 of 499****NON-COMPLIANT****Topic:** leveraged\_etf\_unsuitable**Difficulty:** hard**Fact Pattern**

Martin Okafor, age 74, was a retired postal worker living on a fixed income consisting of \$2,100 per month in Social Security benefits and a \$1,400 monthly pension. He had \$215,000 in a rollover IRA that represented his entire liquid net worth, and he listed his investment objectives as income generation and capital preservation on his new account form. His risk tolerance was marked as conservative, his investment experience was described as limited (primarily certificates of deposit and a target-date retirement fund through his employer), and his time horizon was listed as 3-5 years. Martin's wife had recently been diagnosed with early-stage Alzheimer's disease, and he told his advisor, Paige Whitfield, that he might need to access funds for long-term care expenses within the next two to three years. In January 2024, Paige recommended that Martin allocate \$155,000 -- approximately 72% of his IRA -- across three leveraged ETFs: \$65,000 in a 3x leveraged bull semiconductor ETF, \$50,000 in a 2x leveraged bull S&P 500 ETF, and \$40,000 in a 3x leveraged bull energy sector ETF. The remaining \$60,000 was placed in a short-term Treasury bond fund. Paige told Martin these were "just like regular index funds but with better returns" and did not explain the daily reset mechanism, volatility decay, or the fact that these products were designed for short-term tactical trading rather than buy-and-hold strategies. She also did not discuss the substantially higher expense ratios of the leveraged ETFs, which ranged from 0.89% to 1.07% annually, compared to 0.03%-0.10% for their non-leveraged equivalents. Martin held the leveraged ETFs for eleven months. During that period, the semiconductor sector experienced significant volatility with a net gain of approximately 8% in the underlying index, yet the 3x leveraged semiconductor ETF in Martin's account gained only 4.2% due to volatility decay -- underperforming even the unleveraged index. The 3x leveraged energy ETF lost 31% as oil prices declined, and the 2x S&P 500 ETF gained 19%. On a net basis, Martin's \$155,000 leveraged ETF allocation was worth approximately \$139,400 after eleven months -- a loss of roughly \$15,600, or 10%, during a period when a balanced conservative portfolio would have generated positive returns. Paige earned \$4,200 in commissions on the leveraged ETF transactions.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Paige Whitfield violated applicable suitability and best interest standards in multiple respects. Under FINRA Rule 2111, the customer-specific suitability obligation requires that a recommendation be consistent with the customer's investment profile. Martin was a 74-year-old retiree on fixed income, with conservative risk tolerance, capital preservation and income objectives, a short time horizon of 3-5 years, limited investment experience, and an anticipated need for liquidity to fund his wife's long-term care. Leveraged ETFs -- particularly 2x and 3x products -- are complex, high-risk instruments with built-in structural features (daily reset and volatility decay) that make them fundamentally unsuitable for conservative, buy-and-hold investors with short time horizons and liquidity needs.

FINRA has issued Regulatory Notice 09-31 specifically warning that leveraged and inverse ETFs are typically unsuitable for retail investors who plan to hold them for longer than one trading session, as the daily compounding of leverage can cause significant deviation from the expected multiple of the underlying index's return over longer periods. Allocating 72% of a conservative retiree's entire liquid net worth to three leveraged ETFs for an eleven-month hold directly contradicts this guidance.

Under Regulation Best Interest's Care Obligation, Paige was required to exercise reasonable diligence, care, and skill, understand the potential risks and rewards of the products, and have a reasonable basis to believe the recommendations were in Martin's best interest. She failed all three prongs. The Disclosure Obligation further required that she explain the material characteristics of these products -- including the daily reset mechanism, volatility decay, and elevated expense ratios -- which she did not do, instead affirmatively mischaracterizing them as similar to ordinary index funds.

The reasonable-basis suitability component under FINRA Rule 2111 also appears violated: if Paige did not understand the mechanics of leveraged ETFs herself, she lacked reasonable grounds to recommend them to anyone. If she did understand them, then recommending an eleven-month hold to a conservative 74-year-old retiree was reckless.

The \$4,200 in commissions earned on a \$155,000 allocation that resulted in a \$15,600 loss for a vulnerable, elderly client with caregiving obligations further supports a finding that the recommendations were driven by the advisor's financial interest rather than the customer's needs.

The likely regulatory outcome would include FINRA enforcement for unsuitable recommendations of complex products, potential Reg BI violation findings by the SEC, restitution of losses, disgorgement of commissions, fines, and a potential suspension or bar. In FINRA arbitration, Martin would have a strong claim for full compensatory damages, including the opportunity cost of what a suitable conservative portfolio would have earned during the same period.

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**Item 420 of 499****NON-COMPLIANT****Topic:** speculative\_for\_conservative\_investor**Difficulty:** easy**Fact Pattern**

Margaret Townsend, age 74, is a retired elementary school teacher living in Boise, Idaho. She receives \$2,400 per month in pension income and \$1,800 per month in Social Security benefits. Her total liquid savings amount to \$310,000, which she accumulated over a 38-year teaching career and considers her sole financial safety net. She has no other sources of income and owns her home outright. When she opened her brokerage account in January 2023, she completed a new account form indicating her investment objective as 'preservation of capital,' her risk tolerance as 'conservative,' her time horizon as '1-3 years,' and her liquidity needs as 'high' because she anticipated needing funds for potential assisted living costs within the next two years. Her investment experience was listed as 'limited -- CDs and savings accounts only.' Her financial advisor, Derek Paulson, age 34, recommended that Margaret invest \$245,000 -- roughly 79% of her liquid savings -- into a portfolio consisting of three small-cap biotech stocks (\$85,000 in a pre-revenue gene therapy company, \$80,000 in a clinical-stage oncology firm, and \$80,000 in a micro-cap pharmaceutical startup). Paulson told Margaret these companies were 'on the verge of breakthroughs' and that she could 'double or triple her money within a year.' He did not discuss the risks of investing in pre-revenue biotech companies, the potential for total loss of principal, or how these investments conflicted with her stated objectives. He earned \$7,350 in commissions on the transactions. By September 2023, the combined portfolio value had declined to \$94,000, representing a loss of approximately \$151,000 or 61.6% of the invested amount. Margaret was forced to liquidate the remaining positions at a significant loss to cover a deposit for an assisted living facility.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Paulson clearly violated both suitability and best interest standards applicable to this recommendation. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and liquidity needs. This rule encompasses three obligations: reasonable-basis suitability (understanding the product), customer-specific suitability (matching to the client), and quantitative suitability (avoiding excessive trading). Here, the customer-specific suitability obligation was egregiously violated. Margaret Townsend was a 74-year-old retiree with conservative risk tolerance, a preservation-of-capital objective, a short time horizon, high liquidity needs, and minimal investment experience. Pre-revenue and clinical-stage biotech stocks are among the most speculative equity investments available, carrying substantial risk of total loss. Allocating 79% of her liquid net worth to such positions was fundamentally incompatible with every element of her investment profile. Under Regulation Best Interest (Reg BI), which took effect June 30, 2020, broker-dealers and their associated persons must act in the retail customer's best interest at the time of the recommendation without placing their own financial interest ahead of the customer's. Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, including understanding the risks and rewards of the recommendation and having a reasonable basis to believe it is in the customer's best interest considering the customer's profile. Paulson's recommendation fails the Care Obligation on every dimension: the products were excessively risky for the client, the concentration was extreme, the time horizon was mismatched (speculative biotech investments require long horizons), and the client's liquidity needs were jeopardized. The \$7,350 in commissions suggests Paulson may have placed his

financial interest above Margaret's, further violating Reg BI's Conflict of Interest Obligation. Additionally, Reg BI's Disclosure Obligation required Paulson to disclose material facts about the recommendation, including risks. His failure to discuss the risk of total loss or the mismatch with her objectives compounds the violation. The likely regulatory outcome would include customer restitution of the approximately \$151,000 in losses, disgorgement of commissions, a significant fine, and a suspension or bar from the securities industry. FINRA enforcement would likely pursue this as a clear-cut suitability and Reg BI violation, and the case would also likely succeed in FINRA arbitration.

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**Item 421 of 499****COMPLIANT****Topic:** concentration\_risk**Difficulty:** hard**Fact Pattern**

Vincent Zhao, age 42, is a senior software architect at a major technology company in San Jose, California, earning \$425,000 annually in base salary with an additional \$200,000 in restricted stock units vesting each year. His total liquid investment portfolio outside of his employer stock is approximately \$2.8 million. He also holds roughly \$1.4 million in vested company stock. His net worth, including his home equity of \$900,000, is approximately \$5.1 million. Vincent has been an active investor for 18 years and holds a Series 65 license from a previous career stint at a wealth management firm. He opened an account in March 2023 with financial advisor Rachel Kim at a registered broker-dealer. On his new account form, he indicated his risk tolerance as 'aggressive,' his investment objective as 'growth,' his time horizon as '15+ years,' and his investment experience as 'extensive -- equities, options, alternatives, private placements.' During an in-person meeting documented in detailed notes, Vincent told Rachel that he wanted to build a concentrated position in the semiconductor sector because he had deep expertise in chip architecture and believed the AI hardware cycle would produce outsized returns over the next decade. He specifically requested that Rachel invest \$850,000 -- approximately 30% of his liquid non-employer portfolio -- into a basket of five semiconductor stocks: three large-cap names (\$200,000 each) and two mid-cap specialty chipmakers (\$125,000 each). Rachel conducted independent research on each of the five companies, documenting her analysis of their financials, competitive positioning, and valuation. She prepared a written risk disclosure document specifically addressing concentration risk in a single sector, including scenarios showing potential portfolio drawdowns of 30-50% during semiconductor downturns. She reviewed this document with Vincent during a recorded phone call, during which Vincent acknowledged the risks and confirmed he wanted to proceed. Rachel also discussed alternative approaches, including semiconductor ETFs that would provide broader diversification, but Vincent declined, stating he preferred individual stock selection based on his technical knowledge. Rachel noted in her file that Vincent's remaining \$1.95 million in liquid assets was diversified across domestic and international equity index funds, investment-grade bonds, and a real estate investment trust, providing substantial diversification outside the concentrated semiconductor position. She also documented that even in a worst-case scenario where the semiconductor positions lost 50% of their value, Vincent's overall financial plan -- including his high income, diversified remaining portfolio, and long time horizon -- would remain on track. Rachel earned \$4,250 in commissions on the five transactions.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Rachel Kim did not violate suitability or best interest standards. Her handling of this concentrated sector position represents a well-documented, thoughtful approach that satisfies all applicable regulatory requirements. Under FINRA Rule 2111 (Suitability), while concentration risk is a recognized concern -- and FINRA has brought enforcement actions involving over-concentration -- concentration in a single sector is not per se unsuitable. The analysis is context-dependent, based on the customer's overall investment profile. Here, all three components of the suitability obligation are satisfied. Reasonable-basis suitability is met because Rachel conducted independent research on each of the five semiconductor companies, documenting her analysis of their financials and competitive positioning. She understood the products she was recommending. Customer-specific suitability is met because the recommendation aligned with Vincent's investment profile in every material respect: he has an aggressive risk tolerance, a growth

objective, a 15+ year time horizon, extensive investment experience (including holding a Series 65 license), very high income (\$625,000+ annually), and substantial remaining diversified assets (\$1.95 million liquid plus \$1.4 million in employer stock and \$900,000 in home equity). The \$850,000 concentration represents approximately 30% of his liquid non-employer portfolio and roughly 17% of his total net worth -- a meaningful but not reckless allocation for an aggressive, sophisticated investor with deep sector expertise. Quantitative suitability is not at issue since this was a buy-and-hold recommendation, not excessive trading. Under Regulation Best Interest (Reg BI), Rachel satisfies all four component obligations. The Disclosure Obligation is met through her written risk disclosure document and recorded phone call explaining concentration risks and potential drawdown scenarios. The Care Obligation is met through her diligent research, her consideration of the customer's full financial picture (including the diversified remainder of the portfolio), her stress-testing of worst-case scenarios, and her evaluation of the recommendation in the context of Vincent's overall financial plan. The Conflict of Interest Obligation is addressed by the fact that \$4,250 in commissions on \$850,000 in equity transactions is reasonable and there is no indication Rachel's compensation created an incentive to recommend concentrated positions over diversified alternatives. Notably, she affirmatively recommended diversified semiconductor ETFs as an alternative, and Vincent declined based on his own informed preference. The Compliance Obligation is met through her thorough documentation practices. Rachel's documentation is exemplary: detailed meeting notes, independent research files, a written concentration risk disclosure, a recorded phone call confirming the client's informed consent, and a documented analysis of how the position fits within the client's broader portfolio and financial plan. This level of documentation would likely withstand regulatory scrutiny and demonstrates that the advisor acted in the customer's best interest. No regulatory action would be expected.

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**Item 422 of 499****NON-COMPLIANT****Topic:** illiquid\_real\_estate\_investment**Difficulty:** medium**Fact Pattern**

Margaret Dawson, age 74, is a retired schoolteacher living in Tucson, Arizona, with an annual pension income of \$38,000 and Social Security benefits of \$22,000 per year. Her total liquid savings amounted to approximately \$310,000, held primarily in certificates of deposit and a money market account. She had no other significant assets aside from her primary residence, which was fully paid off. Margaret's stated investment objectives on her new account form were capital preservation and income generation, and her risk tolerance was marked as conservative. She told her advisor, Craig Heller, that she wanted her money to remain safe and accessible because she anticipated needing funds for assisted living costs within the next two to three years, as her health had been declining. In March 2022, Craig recommended that Margaret invest \$185,000--roughly 60% of her liquid net worth--into a non-traded real estate investment trust focused on commercial office properties. The product carried a 7% upfront commission, a minimum seven-year holding period before any redemption was possible, and offered quarterly distributions at an annualized rate of 5.5%. Craig told Margaret the investment was 'like a CD but with better returns' and emphasized the quarterly income payments. He did not discuss the illiquid nature of the product in detail, the possibility that distributions could be paid from investor capital rather than earnings, or the fact that early redemption was either impossible or subject to steep penalties. Within eight months, Margaret's health deteriorated significantly and she needed to access funds for a memory care facility costing \$6,500 per month. She was unable to redeem her REIT shares and was forced to deplete her remaining liquid savings rapidly. By mid-2023, she had exhausted nearly all accessible funds and her family filed a complaint alleging the advisor had placed the majority of her savings into an investment wholly inappropriate for her situation.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Craig Heller violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance. This rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Under Regulation Best Interest (Reg BI), effective since June 30, 2020, broker-dealers must act in the retail customer's best interest at the time a recommendation is made, without placing the financial interest of the broker ahead of the customer. The Care Obligation under Reg BI requires reasonable diligence, care, and skill in making recommendations, including understanding the risks, rewards, and costs of the product and having a reasonable basis to believe the recommendation is in the customer's best interest.

**\*\*Analysis of Violations:\*\***

1. **\*\*Customer-Specific Suitability / Care Obligation Failure:\*\*** Margaret was a 74-year-old retiree with conservative risk tolerance, capital preservation objectives, and an explicitly stated need for liquidity within two to three years. A non-traded REIT with a seven-year lockup period is fundamentally incompatible with her stated liquidity needs and time horizon. Concentrating 60% of her liquid net worth in such a product left her dangerously exposed to the very liquidity crisis that materialized.
  2. **\*\*Concentration Risk:\*\*** Placing approximately 60% of a conservative, elderly client's liquid assets into a single illiquid alternative investment represents an excessive concentration, particularly when the client had limited income sources and foreseeable near-term expenses.
  3. **\*\*Misleading Characterization:\*\*** Comparing a non-traded REIT to a CD is materially misleading. CDs are FDIC-insured, principal-protected, and liquid at maturity (or with a known, modest early withdrawal penalty). Non-traded REITs carry significant market risk, no principal guarantee, and severe illiquidity. This likely violates FINRA Rule 2210 (Communications with the Public) and the Disclosure Obligation under Reg BI.
  4. **\*\*Conflict of Interest:\*\*** The 7% upfront commission created a significant financial incentive for the advisor, which was not adequately disclosed or mitigated. Under Reg BI's Conflict of Interest Obligation, the broker was required to identify and disclose this conflict and establish policies to mitigate the incentive to recommend a high-commission product over lower-cost liquid alternatives.
  5. **\*\*Failure to Disclose Material Risks:\*\*** Craig did not adequately explain the illiquidity, the possibility of return-of-capital distributions, or redemption restrictions--all material facts a reasonable investor would want to know.
- \*\*Likely Regulatory Outcome:\*\*** This case presents strong grounds for a FINRA arbitration award in favor of the customer, including compensatory damages for the amount invested plus consequential damages. Craig could face FINRA enforcement action including fines, suspension, or a bar from the industry. His firm could face supervisory failure charges under FINRA Rule 3110 if it failed to flag this unsuitable recommendation through its review processes.
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## Item 423 of 499

### NON-COMPLIANT

**Topic:** market\_timing\_unsuitable

**Difficulty:** hard

### Fact Pattern

Daniel and Susan Park, ages 62 and 59 respectively, are a married couple in Portland, Oregon. Daniel works as a warehouse logistics manager earning \$72,000 annually, and Susan is a part-time medical transcriptionist earning \$28,000. Their combined savings totaled approximately \$420,000, of which \$340,000 was in Daniel's 401(k) that he rolled over to an IRA upon changing jobs in January 2023. The remaining \$80,000 sat in a joint taxable brokerage account. Both stated on their account documents that their primary investment objective was growth with moderate risk tolerance, and they intended to retire in approximately five years. They told their new advisor, Renee Whitfield, that they wanted a relatively stable portfolio because this was their primary retirement nest egg and they could not afford to start over if something went wrong. Between February and November 2023, Renee executed 47 round-trip trades in the IRA account, moving the portfolio in and out of sector-specific equity mutual funds and bond funds on a near-weekly basis. She told the Parks she was 'reading the market signals' and positioning them to capture short-term gains while avoiding downturns. Many of the mutual funds carried front-end sales loads of 4.5% to 5.75%, meaning each purchase incurred a significant upfront charge. Over the ten-month period, the account generated approximately \$38,200 in total sales charges and commissions. The account's net value declined from \$340,000 to \$289,000--a loss of \$51,000--while the S&P 500 returned approximately 18% over the same period. The Parks had never authorized a discretionary trading strategy and had not signed a discretionary trading agreement. When they received their year-end statement and realized the extent of the losses and charges, they were shocked. Renee had not provided any written investment plan, had not explained the impact of repeated front-end loads on returns, and had sent only brief text messages like 'moved you to energy this week--looking strong' as communication about trades. The Parks also discovered that Renee had received approximately \$19,500 in personal commissions from the trading activity.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Renee Whitfield committed multiple serious violations of applicable standards.

**\*\*Applicable Standards:\*\***

FINRA Rule 2111 (Suitability) requires that recommendations be suitable based on the customer's investment profile. The quantitative suitability component specifically addresses situations where an advisor exercises de facto control over an account and the level of trading activity is excessive in light of the customer's profile. FINRA Rule 3260 governs discretionary accounts and requires written authorization before exercising discretion. Regulation Best Interest (Reg BI) imposes a best interest standard encompassing Disclosure, Care, Conflict of Interest, and Compliance obligations.

**\*\*Analysis of Violations:\*\***

1. **\*\*Quantitative Suitability / Excessive Trading (Churning):\*\*** Forty-seven round-trip trades in ten months in a moderate-risk retirement IRA is textbook excessive trading. Key metrics support this conclusion:

- **\*\*Turnover Ratio:\*\*** The frequency of buying and selling the entire portfolio on a near-weekly basis would produce an

annualized turnover ratio far exceeding the threshold of 6x that FINRA and courts have historically treated as presumptively excessive.

- **Cost-to-Equity Ratio:** Total costs of \$38,200 on an account starting at \$340,000 equates to approximately 11.2% in costs alone over ten months, or roughly 13.5% annualized. This far exceeds the commonly cited threshold where costs make it virtually impossible for the customer to profit.

- The account lost \$51,000 while the broad market gained 18%, underscoring that the strategy destroyed rather than created value.

2. **Unauthorized Discretionary Trading:** Renee executed 47 trades without a signed discretionary trading agreement, in violation of FINRA Rule 3260. The Parks never granted written authorization for Renee to make trading decisions on their behalf. Regardless of whether Renee informally discussed trades via text message, each trade executed without prior specific authorization from the customer constitutes unauthorized trading. The brief, after-the-fact text messages do not constitute proper authorization.

3. **Customer-Specific Suitability / Care Obligation Failure:** The Parks were moderate-risk, pre-retirement investors with a five-year time horizon who explicitly stated they could not afford significant losses. A rapid-fire market-timing strategy using load funds is fundamentally incompatible with this profile. Market timing through load mutual funds is particularly destructive because each purchase resets the sales charge, making it nearly impossible to generate net positive returns over short holding periods.

4. **Reg BI Care Obligation:** Renee failed to exercise reasonable diligence, care, and skill. Any competent analysis would reveal that repeatedly buying load funds for short-term holds mathematically disadvantages the client. She placed her own financial interest (commissions of \$19,500) ahead of the customer's interest.

5. **Reg BI Disclosure Obligation:** Renee failed to provide a written investment plan, did not explain the cumulative impact of repeated sales loads, and did not disclose the magnitude of costs being generated or her personal commission income from the strategy.

6. **Conflict of Interest Obligation:** The commission structure created an obvious incentive to trade frequently. No mitigation measures were in place--in fact, the advisor acted on the incentive to the customer's severe detriment.

7. **FINRA Rule 2010 (Standards of Commercial Honor):** The overall pattern of conduct--unauthorized trading, excessive costs, misleading communications, and self-serving recommendations--constitutes conduct inconsistent with just and equitable principles of trade.

**Likely Regulatory Outcome:** This case involves churning, unauthorized trading, and breach of the best interest standard--among the most serious violations in the securities industry. The Parks would likely recover full compensatory damages in FINRA arbitration, potentially calculated as the difference between their actual account performance and what a suitable moderate-risk portfolio would have returned (well-managed losses plus market-rate gains, totaling potentially \$100,000+ in damages). Renee faces FINRA enforcement including substantial fines, disgorgement of commissions, a lengthy suspension, or a permanent industry bar. Her employing firm faces liability for supervisory failures under FINRA Rules 3110 and 3120 for failing to detect 47 round-trip trades in a retirement account over ten months, which should have triggered automated surveillance alerts.



**Item 424 of 499****NON-COMPLIANT****Topic:** lack\_of\_diversification**Difficulty:** medium**Fact Pattern**

Rebecca Thornton, age 58, is a recently widowed school librarian earning \$52,000 per year. After her husband's death in March 2023, she received a \$475,000 life insurance payout and rolled over his \$310,000 401(k) into an IRA. She told her financial advisor, Craig Pullman, that she needed the money to last through retirement and wanted to be conservative. She described herself as having low risk tolerance and said she could not afford significant losses because she had no pension and only modest Social Security benefits expected at age 67. During their initial meeting, Pullman recommended investing the entire \$785,000 portfolio into three individual stocks: \$290,000 in a mid-cap pharmaceutical company, \$260,000 in a regional bank holding company, and \$235,000 in a semiconductor manufacturer. Pullman told Rebecca these were 'strong growth names' that would 'beat any bond fund over time.' He did not discuss bonds, mutual funds, ETFs, or any form of asset allocation. By November 2023, the pharmaceutical company's stock dropped 38% after a failed drug trial, and the regional bank stock fell 22% amid rising interest rate concerns. Rebecca's total portfolio value declined to approximately \$542,000, a loss of over \$243,000 in eight months. When Rebecca called Pullman in distress, he told her to 'stay the course' and that the stocks would recover. He made no adjustments to the portfolio. Rebecca's account statements showed no evidence that Pullman had ever discussed or documented a diversification strategy, alternative investments, or the risks of concentrating her entire retirement savings in three individual equities.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Craig Pullman violated applicable standards in multiple respects. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile, including age, risk tolerance, financial situation, investment objectives, time horizon, and liquidity needs. Rebecca was a 58-year-old widow with low risk tolerance, a conservative investment objective, no pension, and a need for her \$785,000 to fund her entire retirement. Concentrating 100% of her assets in just three individual equities -- all in volatile sectors (biotech, banking, semiconductors) -- with zero fixed-income allocation is a textbook lack-of-diversification violation. FINRA Rule 2111.05(a) specifically addresses concentration, noting that a series of recommendations that may be suitable individually can be unsuitable when taken together if they result in excessive concentration. Additionally, under Regulation Best Interest (Reg BI), the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the risks and rewards of a recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest without placing the financial professional's interest ahead of the customer's. Placing a conservative, pre-retiree's entire life savings into three speculative individual stocks fails this standard. The absence of any documentation of alternative strategies or diversification discussions also suggests a violation of the Reg BI Compliance Obligation and potentially the Disclosure Obligation. If Pullman were an investment adviser, he would have breached his fiduciary duty of care under the Investment Advisers Act of 1940. Likely regulatory outcomes include customer restitution, disgorgement of commissions, fines, a suspension or bar from the industry, and potential arbitration liability for the approximately \$243,000 in losses sustained.

**Item 425 of 499****COMPLIANT****Topic:** excessive\_load\_funds**Difficulty:** hard**Fact Pattern**

Martin Delacruz, age 34, is a software engineer earning \$185,000 annually. He came to financial advisor Yolanda Kim in January 2024 seeking help investing a \$60,000 bonus. Martin had an existing portfolio of \$220,000 in index funds held at a separate discount brokerage, a fully funded emergency fund of \$30,000, and no debt other than a manageable mortgage. He told Yolanda he had a long time horizon (30+ years until retirement), high risk tolerance, and a growth-oriented objective. He specifically asked Yolanda about a well-known actively managed large-cap growth fund that carried a 5.25% front-end load (Class A shares). Martin said he had researched the fund extensively, appreciated its 15-year track record of outperforming its benchmark by an average of 1.8% annually after fees, and liked the fund manager's investment philosophy. Yolanda reviewed the fund's prospectus with Martin, clearly explaining the 5.25% front-end load (\$3,150 on the \$60,000 investment), the fund's 0.68% annual expense ratio, and how the load would reduce his initial invested amount. She compared the Class A shares to the fund's Class C shares (no front-end load but a 1.43% annual expense ratio and 1% contingent deferred sales charge) and to a comparable no-load index fund with a 0.04% expense ratio. She showed Martin a breakpoint schedule indicating he did not qualify for any breakpoint discount at the \$60,000 level and that the next breakpoint was at \$100,000. She documented that Martin understood the higher upfront cost, preferred the actively managed strategy as a complement to his existing index fund holdings, and acknowledged the availability of lower-cost alternatives. Martin confirmed in writing that he wished to proceed with the Class A share purchase. Yolanda's compensation included a portion of the front-end load, which was disclosed in the account opening documents and discussed verbally during their meeting.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Yolanda Kim did not violate applicable suitability or best interest standards. Under FINRA Rule 2111, the recommendation must be suitable for the customer based on their investment profile. Martin is a high-income, relatively young investor with a long time horizon, high risk tolerance, a growth objective, and an existing diversified portfolio of index funds. Adding an actively managed large-cap growth fund as a complement to his holdings is a reasonable recommendation given his profile. The 5.25% front-end load, while significant, was thoroughly disclosed and compared against alternatives including the fund's Class C shares and a comparable no-load index fund. Under Regulation Best Interest's Care Obligation, the advisor must consider reasonably available alternatives and exercise reasonable diligence. Yolanda satisfied this by presenting the Class A shares alongside Class C shares and a no-load option, explaining the cost differences, and allowing Martin to make an informed choice. The fact that Martin independently researched the fund, specifically requested it, and confirmed his preference in writing after full disclosure strengthens the conclusion that the recommendation was in his best interest given his stated objectives. The Disclosure Obligation under Reg BI was met through verbal and written disclosure of Yolanda's compensation from the front-end load and the fund's fee structure. The Conflict of Interest Obligation was addressed by disclosing the load-based compensation. Yolanda also properly reviewed breakpoint eligibility and informed Martin he did not qualify, which satisfies FINRA's guidance on mutual fund sales charge discounts (FINRA Notice to Members 03-54 and related guidance on breakpoints). For a long-term holder with a 30+ year horizon, Class A shares with a one-time front-end load and lower ongoing expenses (0.68% vs. 1.43%) are generally more cost-effective than Class C shares, making the share class

selection itself reasonable. No violation occurred, and no regulatory action would be expected.

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## Item 426 of 499

### NON-COMPLIANT

**Topic:** excessive\_load\_funds

**Difficulty:** medium

### Fact Pattern

In March 2023, financial advisor Derek Hollins at a mid-sized brokerage firm met with client Patricia Gorman, a 58-year-old school librarian earning \$52,000 per year. Patricia had recently received a \$135,000 inheritance from her mother and told Derek she needed to use approximately \$90,000 of the funds within 14 to 18 months to pay off her remaining mortgage balance and make critical home repairs, including a new roof and HVAC system. She described herself as conservative with investments and said she could not afford to lose principal on the money earmarked for the mortgage payoff. Her existing savings consisted of \$28,000 in a credit union savings account and a \$160,000 403(b) retirement plan through her school district. Derek recommended that Patricia invest the full \$135,000 into the Grandview Strategic Bond Fund, a long-duration corporate and government bond fund with an average duration of 7.2 years and a front-end sales load of 4.75%. The fund's prospectus disclosed that it was designed for investors with a time horizon of at least five years and noted that share values could fluctuate significantly with interest rate movements. The front-end load alone cost Patricia approximately \$6,413. Derek did not discuss or present any short-term alternatives such as money market funds, certificates of deposit, Treasury bills, or ultra-short-duration bond funds. Within nine months, rising interest rates caused the fund's net asset value to decline by 11.3%, reducing Patricia's investment to approximately \$114,200 after the initial load charge. When Patricia attempted to liquidate \$90,000 for her mortgage and home repairs in January 2024, she realized she had lost over \$20,000 from her original investment. Derek earned a \$4,050 commission on the transaction.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Hollins violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

2. **\*\*Regulation Best Interest (Reg BI):\*\*** Under Reg BI's Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill when making a recommendation, considering the customer's investment profile and ensuring that the recommendation is in the customer's best interest without placing the financial interest of the broker ahead of the customer. The Disclosure Obligation also requires material facts about costs and conflicts to be shared.

**\*\*Analysis of Violations:\*\***

- **\*\*Customer-Specific Suitability / Care Obligation Failure:\*\*** Patricia explicitly stated she needed \$90,000 within 14-18

months. A long-duration bond fund with a 7.2-year average duration is fundamentally mismatched with this time horizon. Duration risk means the fund's value is highly sensitive to interest rate changes -- a well-known and foreseeable risk. The fund's own prospectus stated a minimum five-year recommended holding period. Recommending this fund for money needed in under two years fails the customer-specific suitability requirement and violates the Care Obligation under Reg BI.

- **\*\*Excessive Costs:\*\*** The 4.75% front-end load immediately reduced Patricia's principal by \$6,413. For a 14-18 month investment horizon, this cost is unreasonable and virtually impossible to recover through fund returns, especially in a conservative bond allocation. Lower-cost and more appropriate alternatives (money market funds, CDs, T-bills, ultra-short bond funds) were readily available and would have preserved principal while avoiding the load entirely.

- **\*\*Failure to Consider Reasonable Alternatives:\*\*** Derek did not present any alternatives suited to Patricia's short time horizon and conservative risk tolerance. Under Reg BI, an advisor must consider reasonably available alternatives before making a recommendation. The failure to even discuss capital preservation vehicles for funds needed within 18 months is a clear deficiency.

- **\*\*Conflict of Interest:\*\*** Derek earned a \$4,050 commission, creating an incentive to recommend the loaded fund over no-load or low-cost short-term alternatives. Under Reg BI's Conflict of Interest Obligation, this conflict should have been identified, disclosed, and mitigated. Instead, it appears the commission motivation drove the recommendation.

- **\*\*Concentration Risk:\*\*** Placing the entire \$135,000 inheritance into a single fund -- including the \$90,000 earmarked for near-term essential expenses -- without any diversification across time horizons further demonstrates a lack of reasonable care.

**\*\*Likely Regulatory Outcome:\*\*** This case would likely result in FINRA enforcement action, customer arbitration, or both. Patricia suffered quantifiable damages exceeding \$20,000. Derek would likely face restitution to the customer, disgorgement of the commission, a fine, and potentially a suspension. The firm could face supervisory failure charges if it did not flag this obviously mismatched recommendation through its review process.

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**Item 427 of 499****NON-COMPLIANT****Topic:** structured\_products\_unsuitable**Difficulty:** hard**Fact Pattern**

In August 2022, financial advisor Renata Solis at a national wirehouse met with married couple James and Deborah Chen, both aged 74. James was a retired electrical engineer and Deborah a retired dental hygienist. Their combined annual income was \$78,000, consisting entirely of Social Security and a small pension from James's former employer. Their investable assets totaled approximately \$410,000, held primarily in IRAs and a joint brokerage account. They described their investment objective as capital preservation with modest income generation to supplement their fixed income. They rated their risk tolerance as low and told Renata they wanted their portfolio to remain liquid in case of healthcare emergencies, noting that James had been diagnosed with early-stage Parkinson's disease the previous year. Their account paperwork listed their investment experience as 'moderate,' based on decades of owning diversified mutual funds, though they had no prior experience with complex or alternative products.

Renata recommended that the Chens invest \$175,000 -- approximately 43% of their total investable assets -- into a single structured note: the Atlas Capital 8-Year Autocallable Barrier Note linked to the S&P 500 and Russell 2000 indices. The note had the following features: an 8-year maturity with possible early redemption (autocall) if both indices were at or above their initial levels on any annual observation date; a 9.1% per annum contingent coupon paid only if neither index fell below 70% of its initial level on the quarterly observation date; a 60% downside barrier at maturity, meaning the investor would suffer full downside losses if either index closed below 60% of its starting value at maturity; and principal was at risk and not guaranteed. The note was issued by a single investment bank, meaning the Chens also bore full credit risk of the issuer. Renata's firm received a 2.5% selling concession (\$4,375) and there was an additional estimated 1.8% in embedded structuring fees that reduced the note's initial economic value to approximately 95.7 cents on the dollar.

Renata presented the product to the Chens in a single 45-minute meeting, describing it as offering 'bond-like income with downside protection.' She did not explain the dual-index worst-of structure, the conditional nature of the coupon, the difference between a barrier and a buffer, the issuer credit risk, or the illiquidity of the secondary market for structured notes. She did not provide the pricing supplement until after the Chens signed the purchase documents, and she did not discuss any alternative income-generating investments such as Treasury bonds, investment-grade corporate bonds, CDs, or diversified dividend equity funds. The Chens' account records showed that Renata had placed four other clients aged 70 or older into the same structured note during the same two-week offering period, generating a total of \$17,500 in selling concessions for herself.

By March 2024, the Russell 2000 had declined below the 70% quarterly observation threshold on two consecutive quarters, causing the Chens to miss \$15,925 in expected coupon payments. When James's Parkinson's symptoms progressed and the couple attempted to sell the note to cover home healthcare costs, they were quoted a secondary market bid of \$138,250 -- a loss of \$36,750 (21%) from their original investment -- and the dealer warned that the bid could change or be withdrawn at any time.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Renata Solis committed multiple serious violations of suitability and best interest standards. This is a particularly egregious case given the combination of client vulnerability, product complexity, concentration, and disclosure failures.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires reasonable-basis, customer-specific, and quantitative suitability. For complex products like structured notes, heightened suitability obligations apply.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** The Care Obligation requires that the recommendation be in the customer's best interest, considering the investment profile including age, liquidity needs, risk tolerance, and time horizon. The Disclosure Obligation requires full and fair disclosure of material facts, including costs, risks, and conflicts. The Conflict of Interest Obligation requires identification, disclosure, and mitigation of financial incentives.
3. **\*\*FINRA Regulatory Notices on Structured Products (e.g., Regulatory Notice 12-03):\*\*** FINRA has issued specific guidance emphasizing that firms and representatives must perform rigorous suitability analysis before recommending structured products, particularly to retail investors. The guidance highlights that representatives must understand and be able to explain all material features, including payoff structures, barriers, issuer credit risk, and liquidity limitations.
4. **\*\*FINRA Rule 2210 (Communications with the Public):\*\*** Describing a worst-of autocallable barrier note as offering 'bond-like income with downside protection' is misleading. The product does not provide bond-like income (coupons are contingent and can be zero), and a 60% barrier is not equivalent to downside protection as commonly understood by retail investors.

**\*\*Detailed Analysis of Violations:\*\***

**\*\*A. Customer-Specific Suitability / Care Obligation:\*\***

- The Chens were 74 years old, living on fixed income, with low risk tolerance, capital preservation objectives, and an explicit need for liquidity due to James's Parkinson's diagnosis. An 8-year illiquid structured note with full principal risk tied to equity index performance is fundamentally inconsistent with every dimension of their stated investment profile.
- Allocating 43% of their total investable assets to a single structured note creates dangerous concentration risk, especially for retirees who cannot recover losses through future earnings.
- The worst-of dual-index structure (linked to both S&P 500 and Russell 2000) significantly increases the probability of barrier breach and coupon loss compared to a single-index note, since the payout depends on the worst-performing index. The Russell 2000 is substantially more volatile than the S&P 500, making this structure particularly risky.

**\*\*B. Reasonable-Basis Suitability:\*\***

- There is serious doubt whether Renata understood the product herself. Her description of it as 'bond-like income with downside protection' suggests either a fundamental misunderstanding of the product mechanics or intentional misrepresentation. A registered representative must understand the product sufficiently to explain its risks before recommending it.

**\*\*C. Disclosure Failures:\*\***

- Renata failed to explain the worst-of structure, conditional coupon, barrier mechanics, issuer credit risk, and secondary market illiquidity -- all material features of the note. Under Reg BI's Disclosure Obligation, material facts about costs (including the 2.5% selling concession and 1.8% embedded fees totaling approximately 4.3% in day-one costs) and risks must be disclosed prior to or at the time of the recommendation.
- The pricing supplement was not provided until after the purchase documents were signed, depriving the Chens of the opportunity to review the product terms before committing their capital.

**\*\*D. Conflict of Interest:\*\***

- The 2.5% selling concession (\$4,375) created a significant financial incentive to recommend this product over simpler, lower-cost alternatives such as Treasuries, CDs, or investment-grade bonds, which would have generated substantially lower compensation for Renata. Under Reg BI's Conflict of Interest Obligation, this incentive should have been disclosed and mitigated; instead, it appears to have driven the recommendation.
- The pattern of placing four other elderly clients into the same note during the same offering period further suggests the recommendation was driven by compensation rather than individual client needs.

**\*\*E. Failure to Consider Alternatives:\*\***

- For clients seeking capital preservation and income with liquidity needs, numerous straightforward alternatives existed: U.S. Treasury bonds or TIPS, FDIC-insured CDs, investment-grade short-to-intermediate corporate bond funds, or laddered bond portfolios. Renata did not discuss any of these. Under Reg BI, a broker must consider reasonably available alternatives.

**\*\*F. Illiquidity and Healthcare Risk:\*\***

- Given James's Parkinson's diagnosis and the couple's advanced age, the likelihood of needing to access invested capital for medical or long-term care expenses within the 8-year note term was substantial and foreseeable. The secondary market for structured notes is thin and unreliable, as demonstrated by the 21% loss and uncertain bid when the Chens attempted to liquidate.

**\*\*Likely Regulatory Outcome:\*\***

This case presents strong grounds for FINRA enforcement action, customer arbitration, or both. Violations include unsuitable recommendation of a complex product to vulnerable elderly clients, excessive concentration, material misrepresentation and omission, failure to disclose conflicts, and failure to provide the offering document prior to sale. Likely outcomes include: full restitution to the Chens (potentially including consequential damages for missed healthcare needs), disgorgement of commissions, substantial monetary fines, and a significant suspension or bar for Renata. The firm could face additional liability for supervisory failures if it did not maintain adequate procedures for reviewing structured product recommendations to elderly or vulnerable clients, or if it failed to flag the concentration level and client profile mismatch.

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**Item 428 of 499****NON-COMPLIANT****Topic:** senior\_investor\_exploitation**Difficulty:** easy**Fact Pattern**

Margaret Holloway, age 81, is a retired school librarian living in assisted living in Tucson, Arizona. Her sole income is \$2,100 per month from Social Security and a small pension of \$650 per month. She has a total of \$185,000 in liquid savings, held in a money market account and a short-term CD ladder. Mrs. Holloway has a documented history of moderate cognitive decline, noted by her primary care physician in early 2023, and her daughter holds a durable power of attorney for financial matters. Mrs. Holloway disclosed to her advisor, Gerald Tatum, that she has been paying approximately \$2,800 per month out-of-pocket for her assisted living facility and has recurring medical expenses averaging \$1,200 per month for medications and specialist visits. She also told Tatum that she had made three emergency withdrawals from her savings in the past 18 months to cover unexpected hospitalizations totaling \$27,000. Her stated investment objectives were capital preservation and liquidity. Her risk tolerance was documented as conservative. In April 2023, Tatum met with Mrs. Holloway alone--without her daughter present--and recommended she move \$140,000 of her \$185,000 in liquid savings into a 10-year fixed indexed annuity issued by National Guarantee Life. The annuity carried a surrender period of 10 years with a declining surrender charge starting at 9% in year one. The product paid Tatum a 7% upfront commission of \$9,800. Tatum told Mrs. Holloway that the annuity would 'protect her money from market losses' and 'guarantee growth for her future.' He did not discuss the surrender charges, the illiquidity of the product, or the fact that withdrawals beyond the 10% free withdrawal provision would trigger significant penalties. He did not contact her daughter or acknowledge the power of attorney on file. Within five months, Mrs. Holloway needed \$22,000 for an unexpected surgery. She attempted to withdraw from the annuity and was assessed a surrender charge of \$1,980. Her daughter discovered the transaction and filed a complaint.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Gerald Tatum committed multiple serious violations. Under FINRA Rule 2111 (Suitability), a recommended transaction must be suitable based on the customer's investment profile, including age, financial situation, liquidity needs, risk tolerance, investment objectives, and time horizon. Mrs. Holloway's profile--an 81-year-old with documented cognitive decline, conservative risk tolerance, capital preservation objectives, heavy ongoing medical expenses, a demonstrated pattern of emergency withdrawals, and limited income--made a 10-year illiquid fixed indexed annuity fundamentally unsuitable. The recommendation failed the reasonable-basis, customer-specific, and quantitative suitability components. Under Regulation Best Interest (Reg BI), Tatum was required to act in Mrs. Holloway's best interest at the time of the recommendation. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in understanding the product and the customer's profile, and to have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the advisor's financial interest ahead of the customer's. Locking up 76% of a senior's liquid assets in a product with a 10-year surrender period when the client has demonstrated recurring liquidity needs is a clear failure of the Care Obligation. The 7% commission (\$9,800) creates an obvious conflict of interest that Tatum failed to disclose or mitigate, violating the Conflict of Interest Obligation under Reg BI. Additionally, FINRA Rule 2165 provides a framework for addressing suspected financial exploitation of senior investors, and Tatum's decision to conduct the transaction without the POA holder present, despite knowledge of Mrs. Holloway's cognitive decline, raises concerns under FINRA's senior investor protection

guidance. His failure to meaningfully disclose surrender charges and liquidity restrictions also violates the Disclosure Obligation under Reg BI. Likely regulatory outcomes include disgorgement of the commission, rescission of the annuity contract, restitution for the surrender charge incurred, a fine, a suspension or bar from the industry, and potential referral to state authorities for elder financial exploitation.

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**Item 429 of 499****NON-COMPLIANT****Topic:** annuity\_unnecessary\_switching**Difficulty:** hard**Fact Pattern**

David Kirkpatrick, age 58, is a senior operations manager at a manufacturing company earning \$135,000 annually. He has \$410,000 in a 401(k), \$95,000 in a Roth IRA invested in index funds, and \$230,000 in a non-qualified brokerage account. In 2019, on the recommendation of his advisor, Susan Pratt, Kirkpatrick purchased a variable annuity from Pacific Mutual Life for \$200,000 using funds from his brokerage account. The 2019 annuity had a 7-year surrender period (he was in year 4 at the time of the switch, with a remaining surrender charge of 4%), offered a guaranteed minimum income benefit rider with a 5.5% rollup rate, had total annual expenses of 2.85% (including mortality and expense charges, administrative fees, and the rider fee), and was invested in a diversified growth subaccount. Kirkpatrick's investment objectives were long-term growth with a secondary goal of generating retirement income starting around age 67. His risk tolerance was moderate. In March 2023, Pratt contacted Kirkpatrick and recommended he surrender the Pacific Mutual annuity and purchase a new variable annuity from Atlantic Heritage Insurance for \$192,000 (the net surrender value after the 4% charge of \$8,000). The new Atlantic Heritage annuity carried a fresh 8-year surrender period starting at 7%, total annual expenses of 3.10%, and included a guaranteed minimum income benefit rider with a 5.0% rollup rate--lower than the existing product. The subaccount options were comparable in asset allocation. Pratt told Kirkpatrick that the new annuity had 'updated features' and 'better fund options' but did not provide a specific side-by-side comparison of the two products' costs, benefits, surrender schedules, or rider terms. She earned a commission of \$11,520 (6%) on the new annuity sale. Pratt did not document any material advantage of the new annuity over the existing one. The switch reset the surrender period, reduced the income benefit rollup rate, increased annual expenses by 25 basis points, and cost Kirkpatrick \$8,000 in surrender charges. No changes had occurred in Kirkpatrick's financial situation, objectives, or risk tolerance between 2019 and 2023.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Susan Pratt violated multiple regulatory standards governing annuity exchanges and switching. Under FINRA Rule 2330, which specifically addresses variable annuity transactions including exchanges, a registered representative must have a reasonable basis to believe that the exchange provides a material benefit to the customer after considering the totality of the circumstances. The rule requires the advisor to consider whether the customer would incur a surrender charge on the existing annuity, whether the customer would be subject to a new surrender period, whether the new product offers materially different features or benefits, and whether the customer has had another annuity exchange in the preceding 36 months. Here, the switch was objectively detrimental: Kirkpatrick paid \$8,000 in surrender charges, restarted an 8-year surrender period (extending his illiquidity window from 3 more years to 8 years), received a lower guaranteed income benefit rollup rate (5.0% vs. 5.5%), and incurred higher annual expenses (3.10% vs. 2.85%). No material benefit was documented or evident. Under Regulation Best Interest, the Care Obligation required Pratt to exercise reasonable diligence, care, and skill to have a reasonable basis to believe the recommendation was in Kirkpatrick's best interest. Recommending a product switch that is worse in every measurable dimension--cost, surrender terms, and guaranteed benefits--while generating a \$11,520 commission for herself plainly puts the advisor's interest ahead of the customer's. The Conflict of Interest Obligation required identification and mitigation of the commission incentive driving the switch. Pratt failed to provide a meaningful comparative analysis, violating the

Disclosure Obligation as well. This is a textbook case of 'twisting' or unnecessary switching--recommending an annuity exchange primarily to generate a new commission without providing a corresponding material benefit to the client. Additionally, many state insurance regulations independently prohibit annuity replacements unless the replacement is demonstrably suitable and in the customer's interest. Likely regulatory outcomes include rescission of the new annuity and restoration of the original contract (or equivalent restitution), disgorgement of the \$11,520 commission, reimbursement of the \$8,000 surrender charge, fines, a suspension, and potential enhanced scrutiny of Pratt's other annuity exchange transactions for a pattern of switching.

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**Item 430 of 499****NON-COMPLIANT****Topic:** alternative\_investments\_unsuitable**Difficulty:** medium**Fact Pattern**

Harold Jennings, age 72, is a retired postal worker living in Tucson, Arizona, with an annual pension income of \$38,000 and Social Security benefits of \$22,000. His total liquid net worth is approximately \$310,000, held primarily in a traditional IRA rollover from his former employer's 401(k). Harold has no other significant assets aside from his home, which is paid off and valued at \$185,000. He told his advisor, Craig Delmonico, that his primary investment goals were capital preservation and generating modest income to supplement his pension and Social Security. Harold described himself as conservative and said he could not afford to lose principal because this was his only retirement savings. He had no prior experience with investments beyond certificates of deposit and a money market account. In March 2023, Craig recommended that Harold invest \$155,000 -- roughly half of his liquid net worth -- into a non-traded real estate investment trust (REIT) focused on commercial office properties. The product carried an upfront sales commission of 7%, had a minimum seven-year holding period with no guaranteed liquidity, and disclosed in its offering documents that distributions could be funded from investor capital rather than operating income. Craig also placed an additional \$45,000 into a private credit fund with a five-year lockup, a 2% annual management fee, and a 20% performance fee. Together, these two alternative investments represented approximately 64.5% of Harold's total liquid portfolio. Craig earned a combined commission of approximately \$13,750 on the two transactions. Harold was not informed about lower-cost alternatives such as publicly traded REITs or investment-grade bond funds. Within 18 months, the non-traded REIT suspended its distribution payments due to declining occupancy rates in its office portfolio, and Harold was unable to access any of the invested capital to cover unexpected medical expenses totaling \$27,000.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Craig Delmonico violated applicable suitability and best interest standards on multiple grounds.

**\*\*FINRA Suitability (Rule 2111):\*\*** Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, investment objectives, and time horizon. Harold's profile -- a 72-year-old retiree with conservative risk tolerance, capital preservation objectives, limited liquid net worth (\$310,000), and no investment experience beyond CDs and money markets -- is fundamentally incompatible with illiquid, high-fee alternative investments carrying multi-year lockups. Concentrating 64.5% of his total liquid assets in two illiquid products with holding periods of five to seven years violates the quantitative suitability component of Rule 2111, which requires that a series of recommendations, when viewed together, is not excessive or unsuitable. Harold had no other source of emergency liquidity, making this concentration particularly egregious.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under the SEC's Regulation Best Interest, a broker-dealer and its associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing their own financial interest ahead of the customer's. Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in understanding the product's risks, costs, and features, and to consider reasonably available alternatives. Craig failed to present Harold with lower-cost, liquid alternatives such as publicly traded REITs or

investment-grade bond funds, which could have met Harold's income objectives without the illiquidity risk and excessive fees. The \$13,750 in commissions created a significant financial incentive for Craig, and the failure to consider or disclose alternatives suggests that Craig prioritized his own compensation over Harold's interests.

**\*\*Disclosure Obligation:\*\*** Reg BI's Disclosure Obligation requires full and fair disclosure of all material facts relating to conflicts of interest, including compensation. The fact pattern indicates Harold was not informed about lower-cost alternatives, raising the inference that Craig did not adequately disclose his compensation-related conflict.

**\*\*FINRA Rules on Non-Traded REITs:\*\*** FINRA has issued guidance (including Regulatory Notice 15-02) recommending that non-traded REIT and direct participation program (DPP) concentrations generally should not exceed a certain percentage of a customer's liquid net worth, often referenced as 10% by many state securities regulators. Harold's 50% allocation to the non-traded REIT alone far exceeds any reasonable concentration threshold.

**\*\*Likely Regulatory Outcome:\*\*** Craig would likely face FINRA enforcement action for suitability violations under Rule 2111, as well as potential SEC action under Reg BI. Probable sanctions include fines, disgorgement of commissions, restitution to Harold, and a potential suspension or bar from the securities industry. Harold could also pursue a FINRA arbitration claim for damages, including the lost capital, the medical expenses he was unable to cover, and consequential damages.

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## Item 431 of 499

### COMPLIANT

**Topic:** complex\_products\_unsophisticated\_investor

**Difficulty:** hard

### Fact Pattern

Maria Sandoval, age 44, is an elementary school teacher in Sacramento, California, earning \$68,000 per year. She has a 403(b) retirement account with \$140,000, a savings account with \$55,000, and no debt other than a \$125,000 mortgage. Her investment experience is limited -- she has only owned target-date mutual funds inside her 403(b). In September 2023, Maria opened a brokerage account with Ridgepoint Financial and was assigned advisor Tanya Reeves. Maria told Tanya she wanted to generate additional income beyond her salary but understood she needed to accept some risk to do so. She described her risk tolerance as moderate and said she had a 10-to-15-year time horizon before she might need the funds. Maria also mentioned she had been reading about options strategies online and was curious about selling covered calls for income. Tanya spent two meetings -- each approximately 90 minutes -- educating Maria on how covered calls work, explaining the mechanics of options premium collection, the risk of having shares called away, the opportunity cost of capping upside, and the downside risk of the underlying equity position. Tanya provided Maria with printed educational materials and a hypothetical performance illustration showing various outcomes including scenarios where the stock declined significantly. Tanya recommended Maria invest \$30,000 (approximately 54% of her non-retirement liquid assets) into a diversified portfolio of five large-cap dividend-paying stocks and then write covered calls one to two months out on those positions to generate additional income. The stocks selected were blue-chip companies with market capitalizations above \$100 billion and dividend yields between 2.5% and 4%. Commission costs for the equity purchases totaled \$49.95, and options commissions were \$0.65 per contract. Tanya documented Maria's investment objectives, risk tolerance, the educational sessions, and Maria's written acknowledgment that she understood the strategy's risks and limitations. Tanya also recommended that Maria keep her remaining \$25,000 in savings as an emergency fund and continue her 403(b) contributions. Over the following 12 months, the covered call strategy generated approximately \$2,800 in options premiums and \$1,050 in dividends, though two of the five positions were called away at gains of 4% and 6%, limiting Maria's upside on those particular stocks.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

No, Tanya Reeves did not violate applicable suitability or best interest standards. Her conduct demonstrates compliance with both FINRA suitability requirements and Regulation Best Interest.

**\*\*FINRA Suitability (Rule 2111):\*\*** Tanya satisfied all three suitability obligations. (1) Reasonable-basis suitability: Tanya understood the covered call strategy and its risks, benefits, and costs, as demonstrated by her two lengthy educational sessions and the materials she provided. (2) Customer-specific suitability: Maria's profile -- age 44, moderate risk tolerance, 10-to-15-year time horizon, steady income, no significant debt, and an explicit desire to generate additional income while accepting some risk -- is consistent with a covered call strategy on blue-chip, dividend-paying equities. The \$30,000 allocation represented 54% of her non-retirement liquid savings, but Tanya prudently recommended retaining \$25,000 as an emergency fund and continuing 403(b) contributions, ensuring Maria maintained adequate liquidity and diversification across her total financial picture. (3) Quantitative suitability: There is no evidence of excessive trading; the strategy involved buying and holding five positions with periodic covered call writes.

**\*\*Regulation Best Interest (Reg BI):\*\*** Tanya satisfied each of Reg BI's four component obligations. (a) Disclosure Obligation: Tanya disclosed the strategy's mechanics, risks, costs, and limitations, including written materials and hypothetical illustrations covering adverse scenarios. (b) Care Obligation: Tanya exercised reasonable diligence by thoroughly understanding the product, considering Maria's full investment profile, and not recommending excessive concentration or an inappropriately risky strategy. Covered calls on large-cap dividend stocks are among the most conservative options strategies and are widely considered appropriate for moderately risk-tolerant investors seeking income. Costs were minimal (\$49.95 equity commissions, \$0.65/contract on options). (c) Conflict of Interest Obligation: The low commissions suggest no material compensation conflict driving the recommendation. (d) Compliance Obligation: Tanya documented the client's profile, objectives, educational sessions, and written acknowledgment of risks.

**\*\*Options Suitability:\*\*** Under FINRA Rule 2360 (Options), a broker must approve a customer for options trading based on the customer's financial situation, investment objectives, and experience. Covered call writing is typically classified as a Level 1 or Level 2 options strategy -- the lowest risk tier -- and Maria's profile, combined with the extensive education Tanya provided, supports approval. Tanya's documentation of the educational sessions and Maria's written acknowledgment further supports compliance.

**\*\*Complex Product Considerations:\*\*** Although options are considered complex products, the covered call strategy is widely recognized as a conservative income-generating approach that reduces (rather than amplifies) portfolio volatility. Tanya took appropriate steps to ensure Maria understood the strategy before implementing it, consistent with heightened suitability expectations for complex products outlined in FINRA Regulatory Notices 12-03 and 22-08.

**\*\*Likely Regulatory Outcome:\*\*** No violation would be found. Tanya's thorough documentation, education, and alignment of the recommendation with Maria's stated objectives and risk profile would withstand regulatory scrutiny. This is a model example of how an advisor can appropriately recommend a complex product to a relatively unsophisticated investor through proper education, documentation, and prudent portfolio construction.

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**Item 432 of 499****NON-COMPLIANT****Topic:** structured\_products\_unsuitable**Difficulty:** medium**Fact Pattern**

Margaret Dawson, age 74, is a retired elementary school teacher living in Tucson, Arizona. She has a pension providing \$2,800 per month and Social Security of \$1,600 per month. Her total liquid savings amount to \$310,000, held in a brokerage account that was opened in 2019. Her account paperwork lists her risk tolerance as conservative, her investment objective as capital preservation and income, her time horizon as 1-3 years, and her liquid net worth as \$310,000. She has no other significant assets beyond her home, valued at approximately \$185,000. Margaret has a high school education and no prior experience with complex financial products. In February 2023, her financial advisor, Derek Nguyen, recommended she invest \$180,000 -- roughly 58% of her liquid savings -- into a basket of three reverse convertible notes linked to the performance of individual technology stocks, including a semiconductor company and two software firms. The notes carried a 10.5% annual coupon but had a 25% downside barrier, meaning if any of the underlying stocks fell more than 25%, Margaret's principal would be converted into shares of the worst-performing stock at maturity. The notes had 14-month maturities and carried approximately 2.8% in embedded fees. Derek told Margaret the products were 'like CDs but with better interest rates' and did not explain the downside conversion risk in detail. By the maturity date in April 2024, one of the underlying tech stocks had declined 38%, triggering the barrier. Margaret's \$180,000 investment was converted into shares worth approximately \$112,000, representing a loss of \$68,000. She filed a complaint stating she never understood that she could lose principal and that she needed those funds for potential assisted living costs within the next two years.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Nguyen violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile -- including age, financial situation, risk tolerance, investment objectives, time horizon, and liquidity needs. The rule encompasses three obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under Reg BI's Care Obligation, a broker must exercise reasonable diligence, care, and skill when making recommendations, understanding the potential risks, rewards, and costs of the recommendation, and must consider the customer's investment profile. The recommendation must be in the customer's best interest and must not place the financial interest of the broker ahead of the customer.
3. **\*\*FINRA Rule 2210 and related guidance on structured products:\*\*** FINRA has issued multiple regulatory notices (including Regulatory Notice 12-03) emphasizing heightened suitability obligations for complex products like reverse convertible notes. Firms and representatives must ensure the customer can understand the product's features and risks

before recommending it.

**\*\*Analysis of Violations:\*\***

- **\*\*Customer-Specific Suitability Failure:\*\*** Margaret was a 74-year-old retiree with conservative risk tolerance, a capital preservation objective, a short 1-3 year time horizon, and a stated potential need for funds for assisted living. Reverse convertible notes are complex, principal-at-risk products that are generally considered unsuitable for conservative investors with short-term liquidity needs. Allocating 58% of her liquid net worth to these products was grossly disproportionate to her risk profile.

- **\*\*Reasonable-Basis Suitability Failure:\*\*** The advisor had an obligation to understand the product's mechanics, including the downside barrier conversion feature and concentration risk of linking notes to individual volatile technology stocks. A reasonable advisor understanding these risks would not recommend this concentration for a conservative elderly client.

- **\*\*Reg BI Care Obligation Violation:\*\*** The recommendation placed the advisor's interest (likely higher compensation from structured product sales given the 2.8% embedded fees) ahead of Margaret's interest. The advisor failed to consider cheaper, simpler alternatives that matched her stated objectives -- such as Treasury securities, CDs, or short-duration bond funds.

- **\*\*Misleading Description:\*\*** Comparing reverse convertible notes to CDs is materially misleading. CDs are FDIC-insured with guaranteed principal return; reverse convertibles carry significant principal risk. This likely also violates FINRA Rule 2210 (Communications with the Public) regarding fair and balanced communications.

**\*\*Likely Regulatory Outcome:\*\*** A FINRA arbitration panel would likely find in Margaret's favor and award compensatory damages of approximately \$68,000 (the principal loss), potentially plus interest and fees. If referred for enforcement, Derek could face suspension, fines, and disgorgement of commissions. The firm could face supervisory failure charges for inadequate review of a complex product recommendation to an elderly, unsophisticated client.

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**Item 433 of 499****NON-COMPLIANT****Topic:** excessive\_churning**Difficulty:** hard**Fact Pattern**

Raj Mehta, age 52, is a successful orthodontist in Charlotte, North Carolina, earning approximately \$420,000 annually. He has a brokerage account with \$1.2 million that he opened in 2018 with advisor Stephanie Cross at a regional broker-dealer. Raj described himself on his new account form as having moderate risk tolerance with a growth objective and a long-term time horizon (10+ years). He told Stephanie he was comfortable with equity investments but did not want to be actively involved in day-to-day decisions, giving her discretionary authority over the account. Raj is financially literate in his own profession but has limited securities knowledge beyond understanding basic stock and mutual fund concepts. Between January 2021 and December 2023, Stephanie executed 287 trades in Raj's account, primarily buying and selling large-cap and mid-cap individual equities, often holding positions for only 12 to 30 days before selling and reinvesting in similar securities. Over this 36-month period, the account generated \$189,000 in total commissions and transaction costs. The account's annualized turnover rate was approximately 8.2. Despite the active trading, the account's net return after costs over the three-year period was a loss of \$47,000, compared to a gain of approximately \$168,000 that would have been achieved had the original January 2021 portfolio simply been held (based on a blended benchmark of the S&P 500 and S&P MidCap 400). The cost-to-equity ratio was approximately 5.3% per year. Raj did not closely monitor his account statements but noticed in early 2024 that his account balance was lower than expected. When he questioned Stephanie, she explained that 'market volatility' caused the underperformance and that active management was necessary to 'protect against downside risk.' Raj subsequently obtained an independent portfolio analysis that revealed the excessive trading pattern.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Stephanie Cross engaged in excessive trading (churning) in Raj Mehta's account, violating multiple regulatory standards.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability) -- Quantitative Suitability:\*\*** The quantitative suitability component of Rule 2111 specifically addresses excessive trading. A broker must have a reasonable basis for believing that a series of recommended transactions, even if individually suitable, are not excessive and unsuitable for the customer when taken together in light of the customer's investment profile.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Under Reg BI's Care Obligation, a broker must consider reasonably available alternatives and ensure that the pattern of recommendations is in the customer's best interest. Excessive trading that primarily generates commissions for the advisor inherently fails this standard. The Conflict of Interest Obligation also requires disclosure and mitigation of conflicts, including commission-driven incentives to overtrade.
3. **\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Churning constitutes a violation of just and equitable principles of trade.

4. **Exchange Act Section 10(b) and Rule 10b-5:** Churning with scienter in a discretionary account constitutes securities fraud -- a manipulative and deceptive device.

**Analysis -- Elements of Churning:**

Churning requires three elements: (1) control over the account, (2) excessive trading, and (3) scienter (intent to defraud or reckless disregard).

- **Control:** Stephanie had explicit discretionary authority over Raj's account. This element is clearly satisfied. Even without formal discretion, de facto control can be established where a client relies on an advisor's recommendations -- but here, formal discretion removes all doubt.

- **Excessive Trading:** The quantitative indicators are overwhelming. An annualized turnover rate of 8.2 is far above the threshold that FINRA and courts have consistently found indicative of excessive trading. Turnover rates above 4-6 have routinely been deemed excessive, and rates above 6 create a strong presumption of churning. The cost-to-equity ratio of 5.3% annually means the account needed to generate returns exceeding 5.3% per year merely to break even after costs -- a significant drag on a moderate-risk growth portfolio. FINRA has indicated that cost-to-equity ratios above 2% raise serious concerns, and ratios above 3% are generally considered strong evidence of excessive trading. At 5.3%, this ratio is deeply problematic. Additionally, the short average holding period of 12-30 days for positions that are then replaced with substantially similar large-cap and mid-cap equities suggests trading without meaningful investment purpose -- a hallmark of churning.

- **Scienter:** The pattern of 287 trades over 36 months generating \$189,000 in commissions while producing a net loss of \$47,000 strongly suggests that the trading was motivated by commission generation rather than any genuine investment strategy. The fact that a simple buy-and-hold approach would have yielded approximately \$168,000 in gains further demonstrates the absence of any legitimate rationale. Stephanie's misleading explanation attributing losses to 'market volatility' and claiming the trading was for 'downside protection' -- when in fact the market rose substantially over this period and the trading actually destroyed value -- further supports scienter through reckless disregard or intentional deception.

**Aggravating Factors:**

- The advisor held discretionary authority, imposing a heightened duty of care.
- The client expressly stated he did not want to be actively involved, increasing his vulnerability.
- The trading pattern shows no coherent investment thesis -- securities were replaced with similar securities, suggesting in-and-out trading designed to generate commissions.
- The advisor's explanation was misleading and inconsistent with market conditions.

**Likely Regulatory Outcome:** In a FINRA arbitration, Raj would likely recover compensatory damages calculated as either (a) the \$189,000 in excess commissions (the "churning damages" approach), or (b) the difference between actual performance and a suitable benchmark, approximately \$215,000 (\$47,000 loss + \$168,000 foregone gain), depending on the panel's methodology. Pre-judgment interest is commonly awarded. In a FINRA enforcement action, Stephanie would likely face a substantial fine, disgorgement of commissions, a lengthy suspension or permanent bar from the industry, and potential referral for fraud charges. The firm could face supervisory liability under FINRA Rule 3110 for failing to detect the excessive trading through its surveillance systems, particularly given the extreme turnover ratio and the discretionary nature of the account.

**Item 434 of 499****NON-COMPLIANT****Topic:** options\_unsuitable**Difficulty:** medium**Fact Pattern**

Margaret Kessler, age 74, lost her husband in early 2021 and inherited approximately \$620,000 in a brokerage account that had previously been managed conservatively with a mix of Treasury bonds and blue-chip dividend stocks. Margaret was a retired schoolteacher with a monthly pension of \$2,800 and Social Security income of \$1,900. She had no other significant assets beyond her home, which was paid off. When she met with her new financial advisor, David Russo, in March 2021, she told him she needed the portfolio to generate steady income to supplement her pension and Social Security, and that she could not afford to lose significant principal because this was her only financial cushion. She indicated on her new account forms that her risk tolerance was conservative and her investment objective was income with capital preservation. Despite these stated objectives, David began an aggressive options trading strategy in Margaret's account starting in April 2021. Over the following 18 months, he executed approximately 340 options transactions, primarily involving selling naked puts on volatile technology and biotech stocks and buying speculative call options on momentum names. The trading generated approximately \$87,000 in commissions and fees for David's firm. Margaret's account value declined from \$620,000 to approximately \$195,000 by October 2022, a loss of roughly \$425,000 or 68.5% of her portfolio. The annualized turnover rate in the account exceeded 24 times. Margaret later stated she did not understand what options were and believed David was investing her money in safe bonds and dividend stocks as she had requested. David never explained the risks of naked put writing or speculative options trading to her, nor did he provide her with an options disclosure document. Margaret discovered the losses only when she requested a withdrawal of \$15,000 for a home repair and was told her account balance was far lower than expected.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, David Russo committed multiple serious violations. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, and investment objectives. Margaret was a 74-year-old widow with conservative risk tolerance, income-oriented objectives, limited financial resources, and no investment sophistication. Aggressive options trading--particularly naked put writing and speculative call buying--is fundamentally incompatible with every element of her profile. This violates the customer-specific suitability obligation under Rule 2111.02.

Additionally, the pattern of 340 trades over 18 months with an annualized turnover rate exceeding 24 constitutes churning, which violates FINRA Rule 2111 (quantitative suitability component) and is also actionable as a fraud claim. Churning requires (1) excessive trading, (2) the broker exercised control over the account, and (3) the broker acted with intent to defraud or with reckless disregard for the customer's interests. The turnover ratio of 24 far exceeds the threshold of 6, which is widely considered presumptively excessive. The \$87,000 in commissions relative to the account size demonstrates that the trading primarily benefited the advisor, not the client.

Under Regulation Best Interest (Reg BI), David also violated the Care Obligation by failing to exercise reasonable

diligence, care, and skill in making recommendations, and by failing to consider reasonably available alternatives. He violated the Disclosure Obligation by failing to explain the risks of options strategies. He also likely violated the Conflict of Interest Obligation, as the commission-generating trading pattern created an obvious conflict between his financial interest and Margaret's.

Further, FINRA Rule 2360 requires that options trading be approved for the account based on the customer's financial situation and investment experience, and that the customer receive an options disclosure document. David apparently failed on both counts.

The likely regulatory outcome would include restitution of losses (approximately \$425,000), disgorgement of commissions, substantial fines, a lengthy suspension or permanent bar from the securities industry, and possible referral for fraud prosecution. Margaret would also have strong claims in FINRA arbitration for compensatory damages, potentially including consequential damages and attorneys' fees.

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**Item 435 of 499****NON-COMPLIANT****Topic:** illiquid\_investments**Difficulty:** hard**Fact Pattern**

Carlos and Elena Reyes, ages 67 and 64 respectively, retired in January 2022 after selling their small restaurant business for \$1.1 million. Combined with their existing savings of \$340,000 in IRAs and a joint brokerage account of \$150,000, their total investable assets were approximately \$1.59 million. Carlos received Social Security of \$2,200 per month and Elena had not yet filed, planning to begin at 65. They had no pension. Their monthly living expenses were approximately \$6,500, meaning they needed to draw roughly \$4,300 per month from their portfolio to cover the shortfall until Elena's Social Security began, and approximately \$3,100 per month thereafter. They met with financial advisor Tanya Whitfield in February 2022 and explained they needed reliable income from their portfolio, wanted to avoid risky investments, and specifically said they might need access to a large portion of their funds within three to five years because Carlos had been diagnosed with early-stage Parkinson's disease and they anticipated significant future medical expenses. They rated their risk tolerance as moderate-conservative. Tanya recommended allocating approximately \$950,000--roughly 60% of their total portfolio--into a combination of four non-traded real estate investment trusts (REITs) and two private placement interval funds focused on commercial real estate debt. The non-traded REITs carried upfront commissions averaging 7%, had no public market for resale, and featured share redemption programs that were limited to 5% of outstanding shares per quarter and could be suspended at the issuer's discretion. The interval funds permitted quarterly redemptions of only 5% of a shareholder's position. Tanya placed \$600,000 across the four non-traded REITs and \$350,000 into the two interval funds. The remaining \$640,000 was split between money market funds (\$200,000) and a diversified bond fund (\$440,000). Tanya earned approximately \$59,500 in upfront commissions from the non-traded REIT placements and \$14,000 from the interval fund placements. By late 2023, Carlos's condition had progressed faster than expected, and the couple needed \$275,000 for home modifications, in-home care setup costs, and to cover a gap in long-term care insurance. When they attempted to liquidate a portion of the non-traded REITs, they learned that two of the four REITs had suspended their share redemption programs entirely due to excessive redemption requests in the rising interest rate environment, and the other two had lengthy queues. The interval funds allowed only small quarterly redemptions. The couple was ultimately able to access only \$68,000 from the illiquid investments over a six-month period. They were forced to liquidate nearly all of their liquid bond holdings at a loss due to the interest rate environment and deplete their money market reserves, leaving them with severely diminished liquid assets and approximately \$870,000 locked in products they could not readily access.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Tanya Whitfield committed significant violations across multiple regulatory frameworks. The core issue is the extreme concentration--approximately 60%--of a recently retired couple's portfolio in illiquid investments when the couple had clearly articulated near-term liquidity needs and a known medical condition likely to generate substantial future expenses.

Under FINRA Rule 2111, the customer-specific suitability obligation requires a broker to have a reasonable basis to believe a recommendation is suitable considering the customer's entire investment profile. Carlos and Elena explicitly

stated they might need access to a large portion of their funds within three to five years due to anticipated medical expenses from Carlos's Parkinson's diagnosis. Allocating 60% of their assets to products with severely restricted redemption features--non-traded REITs with limited quarterly redemption programs subject to suspension and interval funds permitting only 5% quarterly liquidity--was fundamentally inconsistent with their stated liquidity needs, time horizon, and moderate-conservative risk tolerance. FINRA has issued multiple Regulatory Notices (including 09-09 and 15-02) cautioning about the risks of non-traded REITs, particularly regarding illiquidity, high upfront costs, and limited transparency.

Under Regulation Best Interest's Care Obligation, a broker must exercise reasonable diligence, care, and skill, understand the risks and rewards of the recommendation, and consider reasonably available alternatives. A reasonable advisor would have recognized that liquid alternatives--such as publicly traded REITs, investment-grade bond funds, or Treasury ladders--could have provided real estate and income exposure without sacrificing the liquidity this couple clearly required. The failure to consider these alternatives is a direct violation.

The Conflict of Interest Obligation under Reg BI is also implicated. The \$73,500 in total upfront commissions created a powerful incentive for Tanya to recommend the illiquid products over lower-commission liquid alternatives. The firm was required to have policies to identify and mitigate such conflicts; the recommendation pattern suggests either inadequate policies or a failure to follow them.

Additionally, the concentration itself raises concerns under FINRA's guidance on reasonable-basis suitability. Even if non-traded REITs might be suitable for a small allocation in some portfolios, a 60% allocation to illiquid products for retirees with known near-term liquidity demands fails any reasonable suitability analysis.

The Disclosure Obligation was also likely violated if Tanya did not clearly explain the illiquidity risks, the possibility of redemption program suspension, and the practical consequences of being unable to access funds when needed--particularly given the couple's specific medical circumstances.

The likely regulatory outcome includes restitution of the upfront commissions (\$73,500), potential rescission of the illiquid investments (requiring the firm to repurchase the positions at cost), compensatory damages for losses incurred from forced liquidation of bond holdings, fines, and a suspension or bar for Tanya. In FINRA arbitration, the Reyes couple would likely recover compensatory damages reflecting the difference between what their portfolio would have been worth under a suitable allocation and their actual financial position, plus consequential damages related to the hardship caused by the illiquidity.

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## Item 436 of 499

### NON-COMPLIANT

**Topic:** market\_timing\_unsuitable

**Difficulty:** medium

### Fact Pattern

Gerald Whitman, age 71, is a retired postal worker in Tampa, Florida, with an annual pension income of \$38,000 and total investment assets of \$215,000, representing his life savings. Gerald described himself as a conservative investor seeking income and capital preservation to supplement his pension throughout retirement. He told his financial advisor, Craig Denning, that he wanted to avoid losses and needed stable, predictable returns. In January 2022, Denning recommended that Gerald allocate \$180,000 -- roughly 84% of his portfolio -- into three Class A mutual funds focused on large-cap growth equities. Over the following eleven months, Denning executed 47 round-trip trades across these three funds, moving money between them based on Denning's predictions about short-term market movements. Each exchange triggered sales charges averaging 3.75%, and Gerald paid approximately \$11,200 in front-end loads and transaction costs over the period. Denning told Gerald that he was using a 'tactical rotation strategy' to capture gains during market upswings and protect against downturns. Gerald's account lost \$34,500 in value by December 2022, inclusive of all costs. Denning's other elderly clients with similar profiles showed nearly identical trading patterns. Gerald only became aware of the volume and cost of trading when his grandson, a finance student, reviewed his year-end statements and flagged the excessive activity.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Craig Denning violated both FINRA's suitability requirements and Regulation Best Interest (Reg BI) in multiple respects.

**\*\*FINRA Rule 2111 -- Suitability:\*\*** This rule requires that a broker have a reasonable basis for believing a recommendation is suitable for the customer based on the customer's investment profile. There are three components:

1. **\*Reasonable-basis suitability:\*** Market timing through frequent exchanges of Class A mutual funds is widely recognized as an unsuitable strategy because mutual funds are designed as long-term holdings. The front-end loads erode returns with each exchange, making it mathematically improbable that short-term tactical rotation will outperform a buy-and-hold approach. Denning lacked a reasonable basis for believing this strategy would benefit any investor, let alone a conservative retiree.
2. **\*Customer-specific suitability:\*** Gerald was a 71-year-old retiree with limited income, conservative risk tolerance, and stated objectives of income and capital preservation. Allocating 84% of his portfolio to growth equity funds and then engaging in 47 round-trip trades is diametrically opposed to his stated needs and financial profile.
3. **\*Quantitative suitability:\*** The frequency and cost of trading -- 47 round trips generating \$11,200 in charges on a \$180,000 allocation -- demonstrates excessive activity. The cost-to-equity ratio and turnover rate would far exceed thresholds regulators consider indicative of churning or excessive trading.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under Reg BI's Care Obligation, a broker-dealer must exercise

reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest. The market-timing strategy imposed substantial costs with no reasonable expectation of benefit, particularly for a conservative retiree. The pattern of identical trading across similarly situated elderly clients suggests Denning was prioritizing his own compensation over client welfare, also implicating the Conflict of Interest Obligation under Reg BI.

**\*\*FINRA Rule 2010 -- Standards of Commercial Honor:\*\*** The pattern of unsuitable recommendations to multiple elderly clients with similar profiles may also constitute a violation of just and equitable principles of trade.

**\*\*Likely Regulatory Outcome:\*\*** Denning would likely face FINRA enforcement action resulting in disgorgement of commissions, restitution to Gerald and similarly situated clients, fines, and a potential suspension or bar from the securities industry. His firm could face supervisory failure charges under FINRA Rule 3110 for failing to detect the pattern across multiple accounts.

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## Item 437 of 499

### COMPLIANT

**Topic:** market\_timing\_unsuitable

**Difficulty:** hard

### Fact Pattern

Priya Chandrasekaran, age 42, is a senior software architect earning \$310,000 annually with \$1.8 million in investable assets across multiple accounts. She holds an MBA and has been actively managing a portion of her own portfolio for over a decade, including options trading and sector rotation strategies. Priya approached her financial advisor, Denise Kowalski, and specifically requested help implementing a tactical asset allocation strategy using no-load institutional share class mutual funds and ETFs. Priya stated her risk tolerance was aggressive, her investment horizon was 15+ years for this portion of her portfolio, and she understood that tactical approaches could underperform buy-and-hold strategies in certain market environments. Kowalski allocated \$400,000 -- approximately 22% of Priya's total portfolio -- to a tactical rotation sleeve, using six no-load index mutual funds and commission-free ETFs spanning domestic equity, international equity, fixed income, and commodities. Over the course of 2023, Kowalski made 14 rebalancing trades within this sleeve, adjusting allocations based on a documented quantitative model that incorporated momentum and valuation signals. The remaining 78% of Priya's portfolio was invested in a diversified, long-term buy-and-hold allocation of low-cost index funds consistent with her retirement objectives. Total trading costs for the tactical sleeve were approximately \$85 in minor transaction fees. The tactical sleeve returned 11.2% for the year, while a comparable static benchmark returned 12.8%. Kowalski maintained detailed notes from each meeting with Priya, including Priya's signed acknowledgment that the tactical strategy could underperform, her stated desire to pursue it, and her understanding of the approach. Kowalski's advisory fee was a flat 0.60% on total assets under management with no transaction-based compensation.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

No, Denise Kowalski did not violate suitability or best interest requirements. This scenario demonstrates a well-documented, appropriately tailored tactical allocation strategy for a sophisticated client.

**\*\*FINRA Rule 2111 -- Suitability Analysis:\*\***

1. **\*Reasonable-basis suitability:\*** The tactical rotation strategy employed no-load and commission-free vehicles, eliminating the primary cost concern that makes market timing unsuitable in most contexts. The strategy was grounded in a documented quantitative model rather than ad hoc speculation. While tactical strategies may underperform static allocations, they are not per se unsuitable when implemented with low-cost vehicles and supported by a rational methodology.
2. **\*Customer-specific suitability:\*** Priya is a 42-year-old high-income, high-net-worth investor with an MBA, extensive personal trading experience including options and sector rotation, a stated aggressive risk tolerance, and a 15+ year time horizon. The tactical sleeve represented only 22% of her total portfolio, with the remaining 78% in a conventional long-term diversified allocation. This is proportionate and appropriate for her profile.
3. **\*Quantitative suitability:\*** Fourteen trades over twelve months in a tactical sleeve is a moderate frequency, and total

costs were negligible (\$85 in transaction fees). There is no indication of excessive trading or cost accumulation.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Kowalski exercised reasonable diligence and care. She understood the costs and risks of the strategy, limited it to an appropriate portion of the portfolio, used cost-efficient vehicles, and documented the client's understanding and informed consent. There is no conflict-of-interest concern because Kowalski charged a flat asset-based fee with no transaction-based compensation, eliminating any incentive to trade excessively.

**\*\*Investment Adviser Fiduciary Duty:\*\*** If Kowalski operates in an advisory capacity (which the flat fee structure suggests), she also owes a fiduciary duty of care and loyalty. The documentation of Priya's informed consent, the cost-efficient implementation, the proportionate allocation, and the absence of self-dealing all satisfy fiduciary standards.

**\*\*Key Distinguishing Factors:\*\*** The slight underperformance (11.2% vs. 12.8%) does not indicate a violation. Suitability and best interest standards do not guarantee performance; they require that the recommendation be reasonable at the time made given the client's profile. Kowalski's thorough documentation, the client's sophistication and explicit request, the minimal costs, and the limited portfolio allocation all support compliance.

**\*\*Likely Regulatory Outcome:\*\*** No enforcement action. This would likely be viewed favorably by regulators as an example of proper documentation, informed client consent, and responsible implementation of a client-directed strategy.

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## Item 438 of 499

### NON-COMPLIANT

**Topic:** excessive\_load\_funds

**Difficulty:** medium

### Fact Pattern

Margaret Ellison, age 62, is a retired elementary school teacher in Tucson, Arizona, with a pension of \$3,200 per month and \$410,000 in a rollover IRA. She described herself as a conservative investor seeking income and capital preservation to supplement her pension through retirement. She told her advisor, Derek Paulson, that she wanted low-cost investments and specifically asked about index funds she had read about in a retirement planning book. Between March 2022 and August 2023, Paulson instead placed Margaret's entire \$410,000 across five Class A share mutual funds, each carrying front-end sales loads ranging from 4.25% to 5.75%. The funds included a large-cap growth fund (load: 5.75%, expense ratio: 1.12%), a mid-cap equity fund (load: 5.50%, expense ratio: 1.08%), an international equity fund (load: 5.25%, expense ratio: 1.22%), a high-yield bond fund (load: 4.25%, expense ratio: 0.95%), and a balanced fund (load: 4.75%, expense ratio: 0.88%). Margaret paid approximately \$20,910 in upfront load charges alone. Paulson earned commissions totaling roughly \$10,200 from these transactions. Comparable no-load index funds and low-cost bond ETFs were available on Paulson's firm's platform with expense ratios between 0.03% and 0.20%. Paulson did not document any reason for selecting the load funds over the lower-cost alternatives, nor did he present Margaret with a cost comparison. By September 2023, Margaret's portfolio had declined to \$371,000 due to the combination of loads paid and market losses in the equity-heavy allocation, which was inconsistent with her stated conservative objectives.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Paulson violated applicable suitability and best interest standards on multiple grounds.

#### **\*\*Regulation Best Interest (Reg BI) Analysis:\*\***

Under Reg BI's Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill in making recommendations, including evaluating reasonably available alternatives. Paulson failed this obligation by placing Margaret exclusively in high-load Class A share mutual funds when substantially identical or superior low-cost alternatives (no-load index funds, low-cost ETFs) were available on his own firm's platform. The Cost Obligation under Reg BI's Disclosure component also required Paulson to consider costs as a factor; paying \$20,910 in upfront loads on a \$410,000 account--approximately 5.1% of the portfolio--when near-zero-cost alternatives existed is a clear failure. Additionally, Reg BI's Conflict of Interest Obligation required the firm to identify and mitigate conflicts; Paulson's \$10,200 in commissions created a material financial incentive that was not mitigated.

#### **\*\*FINRA Suitability Rule 2111 Analysis:\*\***

The recommendation also fails all three components of FINRA's suitability framework. Under reasonable-basis suitability, load funds with expense ratios exceeding 0.88% cannot be justified when equivalent no-load options exist at a fraction of the cost. Under customer-specific suitability, Margaret was a 62-year-old conservative retiree seeking income and capital preservation--an equity-heavy allocation across growth, mid-cap, and international funds was inconsistent with her profile. Under quantitative suitability, while this is not a churning case per se, the aggregate cost burden relative to investment objectives was excessive.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\***

Ignoring a client's explicit request for low-cost index funds and instead recommending high-commission products without documented justification raises fair dealing concerns under Rule 2010.

**\*\*Additional Considerations:\*\***

Paulson failed to document any basis for selecting the load funds over the requested index funds, violating record-keeping expectations under Reg BI's Compliance Obligation. The firm's supervisory procedures likely failed under FINRA Rule 3110 if no review flagged the cost disparity.

**\*\*Likely Regulatory Outcome:\*\***

Paulson and his firm face potential FINRA enforcement action, customer arbitration liability for approximately \$39,000 in losses plus the \$20,910 in excessive costs, potential disgorgement of commissions, fines, and a possible suspension. The lack of any documentation justifying the recommendations significantly weakens any defense.

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**Item 439 of 499****NON-COMPLIANT****Topic:** inappropriate\_risk\_profile**Difficulty:** hard**Fact Pattern**

Carlos and Elena Reyes, ages 38 and 36, immigrated to the United States from Guatemala in 2015. Carlos works as a warehouse supervisor earning \$52,000 annually, and Elena is a part-time home health aide earning \$22,000. Together they have three children, ages 4, 7, and 10, and their primary financial goal is saving for their children's college education. They opened a joint brokerage account in January 2023 with their advisor, Jason Whitfield, depositing \$65,000--their entire liquid savings accumulated over seven years. They told Whitfield they could not afford to lose this money, as they had no other savings beyond a small emergency fund of \$4,000. They indicated they had no prior investment experience and had never owned stocks or bonds. During the account opening process, Whitfield marked their risk tolerance as 'aggressive' and their investment objective as 'speculation/capital appreciation' on the new account form, later telling the couple these were 'standard designations for growth accounts.' Between January and June 2023, Whitfield invested approximately \$48,000 (74% of the portfolio) in micro-cap and penny stocks, including shares of three companies trading below \$2 per share on OTC markets. He placed the remaining \$17,000 in a leveraged 3x bull semiconductor ETF. None of these investments were diversified across sectors or asset classes. Whitfield did not explain the risks of penny stocks, OTC markets, or leveraged ETFs, nor did he discuss what could happen to their college savings if these positions declined. By November 2023, the penny stock positions had collectively lost 68% of their value, and the leveraged ETF had declined 41% after a semiconductor sector correction. The account was worth approximately \$21,400--a loss of \$43,600 or 67% of the family's life savings. When Carlos called Whitfield expressing alarm, Whitfield suggested they 'hold through the volatility' and consider adding more money to 'average down.' The Reyes family had no college savings remaining on a meaningful timeline, and their children's educational plans were severely jeopardized.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Jason Whitfield committed egregious violations of multiple suitability and best interest standards. This case involves serious misconduct across virtually every applicable regulatory framework.

**\*\*Regulation Best Interest (Reg BI) - Care Obligation:\*\***

Reg BI requires that a broker exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest. Recommending micro-cap penny stocks and a 3x leveraged ETF to unsophisticated, first-generation immigrant investors with no investment experience, a moderate household income of \$74,000, and an irreplaceable \$65,000 nest fund earmarked for their children's education is a textbook violation. The Care Obligation explicitly requires consideration of the customer's investment profile, including financial situation, tax status, investment objectives, and any other information disclosed by the customer. The Reyes family disclosed that they could not afford to lose this money.

**\*\*Reg BI - Disclosure Obligation:\*\***

Whitfield failed to disclose material risks associated with penny stocks (illiquidity, volatility, potential for total loss, limited

public information), OTC markets, and leveraged ETFs (daily reset risk, volatility decay, unsuitability for buy-and-hold strategies). This failure deprived the customers of the ability to make an informed decision.

**\*\*FINRA Rule 2111 - Suitability:\*\***

All three suitability components were violated. Reasonable-basis suitability: Penny stocks and 3x leveraged ETFs are inherently speculative and unsuitable for capital preservation or education savings goals. Customer-specific suitability: The Reyes family's profile--low income, no investment experience, conservative actual risk tolerance, specific education savings objective, inability to bear loss--is directly contradicted by every investment Whitfield made. Quantitative suitability: While not a churning scenario, the 100% concentration in speculative, high-risk positions with zero diversification renders the portfolio construction grossly unsuitable.

**\*\*Falsification of Account Documents:\*\***

Whitfield's designation of the couple's risk tolerance as 'aggressive' and their objective as 'speculation/capital appreciation' despite their clearly stated conservative goals and inability to bear losses constitutes potential falsification of books and records. Under FINRA Rule 4511 and FINRA Rule 2010 (Standards of Commercial Honor and Principles of Fair Trade), misrepresenting a customer's investment profile to justify otherwise unsuitable recommendations is a serious violation. Telling the clients these were 'standard designations' is deceptive.

**\*\*FINRA Rule 2010 - Just and Equitable Principles of Trade:\*\***

The totality of Whitfield's conduct--misrepresenting account designations, failing to disclose risks, recommending wholly inappropriate investments, and later advising the clients to add more money to 'average down' speculative losses--demonstrates conduct inconsistent with just and equitable principles of trade.

**\*\*Penny Stock Considerations:\*\***

For penny stocks specifically, there are enhanced disclosure and suitability requirements. Brokers must provide written risk disclosure documents and obtain written customer agreements before executing penny stock transactions. There is no indication Whitfield complied with any enhanced requirements.

**\*\*Supervisory Failures - FINRA Rule 3110:\*\***

The firm's supervisory system should have flagged an account with conservative customer demographics investing 100% in penny stocks and leveraged ETFs. The failure to detect or prevent these transactions suggests systemic supervisory failures.

**\*\*Fiduciary Considerations:\*\***

If Whitfield held himself out as providing advice in a fiduciary capacity or if the account had any advisory features, additional fiduciary duties under the Investment Advisers Act of 1940 would apply, making the violations even more severe.

**\*\*Likely Regulatory Outcome:\*\***

This case would likely result in severe sanctions including: FINRA enforcement action with substantial fines; a lengthy suspension or permanent bar for Whitfield; customer arbitration liability for the full \$43,600 in losses plus potential consequential damages related to the children's lost educational opportunities; potential referral for fraud charges if the falsification of account documents was intentional; and firm-level sanctions for supervisory failures. Cases with similar fact patterns involving vulnerable, unsophisticated investors have historically resulted in some of the most severe penalties in the broker-dealer enforcement context.

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**Item 440 of 499****NON-COMPLIANT****Topic:** excessive\_load\_funds**Difficulty:** medium**Fact Pattern**

Margaret Holloway, age 71, is a retired schoolteacher in Tulsa, Oklahoma, living on a fixed income of approximately \$2,800 per month from Social Security and a small state pension. In March 2022, she received a \$185,000 inheritance from her late sister and sought advice from financial advisor Derek Langston at a regional brokerage office. Margaret told Derek that she needed the money to supplement her monthly income, cover potential medical expenses, and leave something for her two grandchildren. She described herself as conservative and said she could not afford to lose the principal. She had no prior investing experience beyond a savings account and a certificate of deposit. Derek recommended that Margaret invest the entire \$185,000 across four different Class A mutual funds, each carrying a front-end sales load of 5.75%. The funds were all actively managed equity growth funds with expense ratios ranging from 1.15% to 1.45% annually. The initial sales charges totaled approximately \$10,638, immediately reducing Margaret's invested principal to roughly \$174,362. None of the funds were bond funds, money market funds, or balanced funds, and none provided a meaningful income distribution. Derek did not discuss lower-cost alternatives such as no-load index funds, Treasury securities, or even the same fund family's Class T or advisory shares, which carried significantly lower upfront costs. He also did not discuss whether a fee-based advisory account might result in lower overall costs given Margaret's buy-and-hold intent. Within the first year, the portfolio declined approximately 14% due to equity market volatility, bringing Margaret's account value down to roughly \$149,950. Margaret was forced to liquidate a portion of her holdings at a loss to pay for an unexpected medical procedure, incurring additional short-term capital gains taxes on the small portion that had been purchased at a lower basis during a brief recovery. By the time she contacted another advisor in early 2024, her account had recovered only to about \$158,000 -- still well below her original inheritance after accounting for loads and losses.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Langston likely violated applicable suitability and best interest standards on multiple grounds.

**\*\*FINRA Suitability (Rule 2111):\*\*** Under the reasonable-basis, customer-specific, and quantitative suitability components, Derek's recommendations were deficient. Margaret was a 71-year-old retiree on a fixed income with no investment experience, a conservative risk tolerance, and stated objectives of income supplementation and capital preservation. Allocating 100% of her inheritance into equity growth funds with high front-end loads directly contradicted her stated needs. Customer-specific suitability requires that the recommendation be consistent with the customer's investment profile, including age, financial situation, risk tolerance, time horizon, liquidity needs, and investment objectives. Equity growth funds are inappropriate for a conservative retiree needing income and principal preservation.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under the Care Obligation of Reg BI, a broker-dealer and associated person must exercise reasonable diligence, care, and skill in making recommendations. This includes understanding the potential risks, rewards, and costs of the recommendation and having a reasonable basis to believe the recommendation is in the customer's best interest without placing the financial professional's interest ahead of the customer's. The selection of high-load Class A shares -- generating \$10,638 in upfront commissions -- when lower-cost

share classes or no-load alternatives existed, strongly suggests Derek prioritized his compensation over Margaret's interests. The Cost Obligation under Reg BI further requires consideration of reasonably available alternatives. Derek failed to present or even discuss no-load funds, advisory share classes, bond funds, Treasury securities, or fee-based account structures that could have significantly reduced costs.

**\*\*Excessive Costs / Load Fund Concerns:\*\*** The 5.75% front-end loads, combined with high ongoing expense ratios of 1.15%-1.45%, imposed substantial cost drag on a conservative investor with a modest portfolio. While Class A shares are not inherently unsuitable, their recommendation must be justified by the investor's circumstances, and here they were not.

**\*\*Concentration and Asset Allocation:\*\*** Placing 100% of the assets in equity growth funds for a 71-year-old conservative retiree with income needs constitutes an unsuitable asset allocation. A reasonable advisor would have recommended a diversified portfolio with a significant allocation to fixed income, short-duration bonds, or other conservative income-producing instruments.

**\*\*Likely Regulatory Outcome:\*\*** A FINRA arbitration panel or enforcement action would likely find violations of both Rule 2111 and Reg BI. Potential remedies include compensatory damages equal to the difference between what Margaret's portfolio would have been worth in a suitable allocation versus its actual value, plus recovery of excessive sales charges. Derek and his firm could also face supervisory failure charges if the firm lacked adequate procedures to flag high-load, all-equity recommendations for elderly conservative clients.

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## Item 441 of 499

## NON-COMPLIANT

**Topic:** leveraged\_etf\_unsuitable

**Difficulty:** hard

## Fact Pattern

Carlos Medina, age 63, is a semi-retired mechanical engineer in Phoenix, Arizona, who earns roughly \$45,000 per year from part-time consulting work. His total liquid investment portfolio is approximately \$520,000, held in a brokerage account that represents the bulk of his retirement savings aside from \$110,000 in a separate traditional IRA at another institution. Carlos told his financial advisor, Jenna Whitfield, that he planned to fully retire within two years and wanted moderate growth with some downside protection. He rated his risk tolerance as moderate on Jenna's firm's new account questionnaire, and his investment objective was listed as 'growth and income.' Carlos had some investing experience -- he had owned blue-chip stocks and balanced mutual funds for about 15 years -- but he had no experience with derivatives, options, futures, or leveraged products. In September 2022, Jenna recommended that Carlos invest \$260,000 -- exactly half his liquid portfolio -- into a 3x leveraged ETF tracking the Nasdaq-100 index, telling him it would 'supercharge his returns before retirement.' She also placed another \$130,000 into a 2x leveraged inverse S&P 500 ETF, explaining it as a 'hedge' against the long position. The remaining \$130,000 was placed in a money market fund. Jenna did not explain the daily reset mechanism of leveraged ETFs, the effects of volatility decay over holding periods longer than one trading day, or the potential for catastrophic losses in a sideways or volatile market. She did not provide the ETFs' prospectuses prior to purchase, nor did she document any discussion of risks beyond a brief email saying 'these are aggressive but should work out.' Over the following ten months, the Nasdaq-100 experienced significant volatility with multiple swings of 3-5% in single sessions. Due to the compounding effects of daily rebalancing, Carlos's 3x leveraged Nasdaq position lost approximately 28% of its value even though the underlying Nasdaq-100 was down only about 4% on a cumulative basis over the same period. Meanwhile, the inverse leveraged ETF also lost value -- roughly 22% -- because the S&P 500, while volatile, trended slightly upward on a net basis. By July 2023, Carlos's \$390,000 in leveraged ETF positions had declined to approximately \$262,000, a loss of roughly \$128,000. The money market fund remained intact at about \$132,000. Carlos's total portfolio stood at roughly \$394,000, representing a 24% decline from the original \$520,000. When Carlos confronted Jenna about the losses, she suggested holding the positions longer to 'let them recover,' without acknowledging that leveraged and inverse leveraged ETFs are structurally designed for short-term trading and that holding them long-term often magnifies losses regardless of the direction of the underlying index.

## Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

## Answer

Yes, Jenna Whitfield committed serious violations of applicable suitability and best interest standards.

**\*\*FINRA Suitability (Rule 2111):\*\*** All three components of the suitability obligation were breached:

1. **\*Reasonable-Basis Suitability:\*** Leveraged and inverse leveraged ETFs are complex instruments designed to achieve their stated return objectives on a single-day basis. Over longer holding periods, the effects of daily compounding (volatility decay or beta slippage) can cause returns to deviate dramatically from the multiple of the underlying index's cumulative return. Any advisor recommending these products must understand this mechanism. Jenna's failure to understand or explain daily reset mechanics and the consequences of multi-day holding suggests she

lacked reasonable-basis suitability -- she did not adequately understand the product she was recommending.

2. **\*Customer-Specific Suitability:** Carlos was a 63-year-old near-retiree with moderate risk tolerance, a growth-and-income objective, no experience with leveraged products, and a portfolio that represented the majority of his retirement savings. Placing 75% of his liquid assets (\$390,000 of \$520,000) into leveraged and inverse leveraged ETFs was grossly inconsistent with his stated profile. These products are generally considered suitable only for sophisticated, active traders with high risk tolerance and short holding horizons -- none of which described Carlos.

3. **\*Quantitative Suitability:** While this component typically addresses excessive trading, the sheer concentration of assets in unsuitable leveraged instruments at extreme risk levels supports a broader quantitative unsuitability argument.

**\*\*Regulation Best Interest (Reg BI):\*\***

- **\*Care Obligation:** Jenna failed to exercise reasonable diligence, care, and skill. She did not consider the risks and costs associated with leveraged ETFs relative to Carlos's investment profile. The products' inherent structural risks -- daily compounding, amplified volatility, path dependency -- made them fundamentally unsuitable for a moderate-risk, near-retirement investor with a multi-month or multi-year time horizon. No reasonable advisor could have concluded this recommendation was in Carlos's best interest.

- **\*Disclosure Obligation:** Jenna failed to adequately disclose the material risks of leveraged ETFs, including the daily reset mechanism and the effects of volatility decay. Her single brief email characterizing the products as 'aggressive but should work out' is woefully insufficient disclosure.

- **\*Compliance Obligation:** Jenna's firm likely had (or should have had) policies and procedures governing the recommendation of complex or leveraged products, including heightened suitability reviews, prospectus delivery requirements, and potentially customer attestations of understanding. Her apparent circumvention of these processes constitutes a violation.

**\*\*FINRA Regulatory Notices on Leveraged ETFs:\*\*** FINRA has issued specific guidance (including Regulatory Notice 09-31 and Regulatory Notice 22-08) warning member firms and registered representatives that leveraged and inverse ETFs are typically unsuitable for retail investors who plan to hold them for more than one trading session. While these are guidance documents rather than rules per se, they establish the industry standard of care and would be cited heavily in any enforcement proceeding.

**\*\*Prospectus Delivery:\*\*** Jenna's failure to provide prospectuses prior to the purchase deprived Carlos of critical information about the products' risks and mechanics, further compounding the disclosure failures.

**\*\*Additional Concerns -- The Pseudo-Hedge:\*\*** Jenna's characterization of the inverse leveraged ETF as a 'hedge' was misleading. A 2x inverse S&P 500 ETF does not hedge a 3x long Nasdaq-100 ETF in any meaningful sense -- the indices are different, the leverage multiples are different, and both positions are subject to independent volatility decay. In a volatile, range-bound market, both positions can lose simultaneously, which is exactly what occurred. This mischaracterization may also constitute a misleading communication under applicable standards.

**\*\*Likely Regulatory Outcome:\*\*** This case presents strong grounds for a FINRA arbitration award or enforcement action. Damages would likely be calculated as the difference between Carlos's actual portfolio value (\$394,000) and what it would have been in a suitable moderate-risk portfolio (e.g., a 60/40 stock-bond allocation, which might have yielded returns in the range of 5-8% over the period, placing the portfolio at approximately \$546,000-\$561,000). Total compensatory damages could range from \$150,000 to \$167,000. Punitive damages or enhanced sanctions may also be warranted given the degree of unsuitability, the lack of disclosure, and Jenna's post-loss advice to continue holding structurally decaying products. The firm could face supervisory failure charges for inadequate oversight of complex

product recommendations to a near-retirement client.

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## Item 442 of 499

### NON-COMPLIANT

**Topic:** mutual\_fund\_switching\_churning

**Difficulty:** medium

### Fact Pattern

Margaret Holloway, age 71, is a retired schoolteacher living in Tucson, Arizona, with an annual pension income of \$42,000 and Social Security benefits of \$1,800 per month. Her total investable assets are approximately \$310,000, held in an IRA rollover account. Her stated investment objectives are capital preservation and income generation, and her risk tolerance on her new account form is marked as 'conservative.' She has limited investment experience, having previously held only certificates of deposit and a single balanced mutual fund for 15 years. In March 2022, her new financial advisor, Derek Simmons, recommended she sell her existing balanced fund -- the Vanguard Wellington Fund (Admiral Shares, expense ratio 0.16%) -- and move the proceeds into the American Funds Growth Fund of America (Class A shares, 5.75% front-end load, expense ratio 0.62%). The sale and repurchase involved \$310,000, generating a front-end sales charge of approximately \$17,825. Six months later, in September 2022, Simmons contacted Mrs. Holloway and recommended she switch out of the American Funds Growth Fund into the Franklin Income Fund (Class A shares, 3.75% front-end load, expense ratio 0.62%), citing 'better income potential in the current environment.' This second switch on the remaining balance of approximately \$285,000 generated an additional front-end sales charge of roughly \$10,688. Then, in February 2023, Simmons again recommended a switch, this time into the PIMCO Income Fund (Class A shares, 3.75% front-end load, expense ratio 0.80%), arguing that rising interest rates made a bond-focused income fund more attractive. This third switch on roughly \$270,000 generated another sales charge of approximately \$10,125. Over the span of 11 months, Mrs. Holloway paid a total of approximately \$38,638 in front-end sales charges across three switches. Her account value declined from \$310,000 to approximately \$258,000, a loss of roughly \$52,000, of which \$38,638 was attributable to sales charges alone. Mrs. Holloway was not informed of the availability of no-load share classes, breakpoint discounts, or rights of accumulation that could have reduced her costs. Simmons earned approximately \$15,000 in commissions across the three transactions. No documentation in the client file explains the rationale for each switch or how the new fund was materially superior to the prior holding for Mrs. Holloway's stated objectives.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Simmons violated applicable standards in multiple ways. Under FINRA Rule 2111 (Suitability), a financial advisor must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. Additionally, under Regulation Best Interest (Reg BI), a broker-dealer and its associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing their own financial interest ahead of the customer's interest. Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, including understanding the costs and risks and having a reasonable basis to believe the recommendation is in the customer's best interest.

Here, several violations are apparent:

1. **\*\*Quantitative Unsuitability / Churning:\*\*** Three mutual fund switches in 11 months, generating \$38,638 in front-end loads on a \$310,000 conservative retirement account, is a classic pattern of mutual fund switching. FINRA has long

recognized that switching mutual fund shares to generate commissions, without a legitimate investment rationale, constitutes a violation of suitability standards. The cost-to-equity ratio here (approximately 12.4% lost to sales charges alone in under a year) is excessive for any account, especially one with a conservative, income-oriented objective.

2. **Failure of Reasonable-Basis and Customer-Specific Suitability:** The initial switch from a low-cost balanced fund (0.16% expense ratio) to a higher-cost growth fund (with a 5.75% load) was inconsistent with Mrs. Holloway's conservative, income-focused objectives. Subsequent switches lacked documented rationale. Under FINRA Rule 2111.05(a), advisors must document why a switch is suitable, particularly when it involves surrender charges or new sales loads.

3. **Reg BI Cost Obligation:** Reg BI's Disclosure and Care components require consideration of costs. Simmons failed to inform Mrs. Holloway about no-load alternatives, breakpoint discounts under FINRA Rules 2342 and NASD Rule 2830, or rights of accumulation. This is a clear failure to consider reasonably available lower-cost alternatives.

4. **Conflict of Interest:** Simmons earned approximately \$15,000 in commissions, creating a clear financial incentive to recommend switches. Under Reg BI's Conflict of Interest Obligation, the firm must establish policies to identify, disclose, and mitigate conflicts. No such mitigation occurred here.

The likely regulatory outcome would include FINRA enforcement action for mutual fund switching in violation of Rule 2111 and potentially Rule 2010 (Standards of Commercial Honor). Simmons could face disgorgement of commissions, restitution to Mrs. Holloway, fines, and a suspension or bar. The firm could face supervisory failure charges under FINRA Rule 3110 for failing to detect and prevent the pattern of switching.

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## Item 443 of 499

### NON-COMPLIANT

**Topic:** leveraged\_etf\_unsuitable

**Difficulty:** hard

### Fact Pattern

David and Karen Chen, both age 58, are a married couple in Portland, Oregon, approaching retirement. David works as a warehouse supervisor earning \$68,000 annually, and Karen is a part-time dental hygienist earning \$32,000. Their combined household income is \$100,000. They have \$475,000 in a joint brokerage account, \$180,000 in David's 401(k), and \$40,000 in emergency savings. They plan to retire in seven years. On their account opening documents, their investment objectives are listed as 'growth and income' with a 'moderate' risk tolerance. Neither has any experience with options, futures, or complex financial products. Their advisor, Ryan Prescott, attended a wholesaler dinner in November 2022 where leveraged ETFs were promoted. In January 2023, Prescott recommended that the Chens allocate \$190,000 -- roughly 40% of their joint brokerage account -- into two leveraged ETFs: \$95,000 into the Direxion Daily Semiconductor Bull 3X Shares (SOXL), a fund that seeks 300% of the daily return of the ICE Semiconductor Index, and \$95,000 into the ProShares UltraPro QQQ (TQQQ), which seeks 300% of the daily return of the Nasdaq-100 Index. Prescott told the Chens these were 'turbocharged index funds that would supercharge their retirement savings' and described them as 'basically like the S&P 500 but better.' He did not explain the daily reset mechanism, the effects of volatility decay (also known as beta slippage), or the fact that these products are designed for short-term tactical trading and not buy-and-hold strategies. The Chens understood they were purchasing something similar to standard index funds and intended to hold them through retirement. Prescott did not set any stop-loss orders or establish a monitoring schedule. Over the following 10 months, through October 2023, the semiconductor sector experienced significant volatility. While the underlying ICE Semiconductor Index returned approximately +18% over the period, SOXL returned only +31% rather than the +54% that a naive investor might expect, due to volatility decay. More critically, during a sharp drawdown in August-September 2023, the SOXL position dropped 42% from its peak, causing the Chens' \$95,000 SOXL investment to temporarily fall to approximately \$62,000. The TQQQ position experienced a similar pattern. By October 2023, the combined leveraged ETF positions were valued at approximately \$161,000, representing a paper loss of \$29,000 from their original \$190,000 investment. More importantly, had the same \$190,000 been invested in the underlying non-leveraged index ETFs (such as SOXX and QQQ), the position would have been worth approximately \$215,000. The Chens, alarmed by the volatility, contacted their advisor multiple times during the drawdown. Prescott repeatedly told them to 'stay the course' and 'ride it out,' which is precisely the opposite of how leveraged ETFs are designed to be used. The firm's product catalog listed leveraged ETFs as suitable only for 'sophisticated investors with short-term trading horizons and high risk tolerance,' but no enhanced suitability review was conducted before the trade was placed.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Ryan Prescott committed multiple serious violations of applicable regulatory standards.

**\*\*FINRA Rule 2111 -- Suitability:\*\***

Under FINRA Rule 2111, an advisor must satisfy three components of suitability: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.



- **Reasonable-Basis Suitability:** Prescott failed to understand the products he was recommending. Leveraged ETFs use daily rebalancing to achieve their stated multiple of daily returns. Due to the mathematical effects of compounding and volatility decay, these products can deviate significantly from the expected multiple of the underlying index over holding periods longer than one day. FINRA issued Regulatory Notice 09-31 specifically warning that leveraged ETFs are typically unsuitable for retail investors who plan to hold them for longer than one trading session. By describing SOXL and TQQQ as 'turbocharged index funds' comparable to the S&P 500, Prescott demonstrated a fundamental misunderstanding of the product mechanics, failing the reasonable-basis suitability requirement.

- **Customer-Specific Suitability:** The Chens are moderate-risk investors, ages 58, with a seven-year retirement horizon, no experience with complex products, and growth-and-income objectives. A 40% allocation to 3x leveraged ETFs in their primary brokerage account is grossly inconsistent with their profile. These products carry the risk of substantial short-term losses (as demonstrated by the 42% drawdown) and are categorized by the firm itself as suitable only for sophisticated, short-term, high-risk-tolerance traders -- none of which describes the Chens.

- **Concentration Risk:** Allocating 40% of the joint account (\$190,000 out of \$475,000) to two sector-concentrated, triple-leveraged products represents an extreme concentration in a narrow, volatile strategy that is fundamentally inconsistent with a moderate risk tolerance.

**Regulation Best Interest (Reg BI):**

Under Reg BI's Care Obligation, Prescott was required to exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the leveraged ETFs, and to have a reasonable basis to believe the recommendation was in the Chens' best interest. He failed on every count:

- He did not explain the daily reset mechanism or volatility decay.
- He affirmatively mischaracterized the products as similar to standard index funds.
- He recommended a buy-and-hold strategy for instruments designed for intraday or very short-term trading.
- He failed to consider reasonably available alternatives (non-leveraged index ETFs) that would have better served the Chens' objectives.

Under Reg BI's Disclosure Obligation, Prescott was required to provide full and fair disclosure of all material facts, including the risks of daily compounding and the potential for the leveraged ETFs to significantly underperform or lose value even when the underlying index gains over time. His misleading characterization of the products constitutes a material omission and misrepresentation.

**FINRA Rule 2010 -- Standards of Commercial Honor:**

Prescott's mischaracterization of triple-leveraged ETFs as being 'basically like the S&P 500 but better' constitutes a misleading statement that violates standards of just and equitable principles of trade.

**Supervisory Failures (FINRA Rule 3110):**

The firm's own product catalog restricted leveraged ETFs to sophisticated, short-term, high-risk-tolerance investors, yet no enhanced suitability review was conducted before the trade was placed. This represents a failure of the firm's supervisory system to enforce its own internal product governance standards.

**Likely Regulatory Outcome:** Prescott faces potential sanctions including fines, suspension, or a bar from the industry. The firm faces liability for supervisory failures. The Chens would likely be entitled to restitution of their losses, potentially measured as the difference between the performance of the leveraged ETFs and what they would have

earned in suitable non-leveraged alternatives (approximately \$54,000 in opportunity cost plus actual losses). FINRA arbitration claims for leveraged ETF cases have historically resulted in significant awards to claimants in factually similar situations.

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**Item 444 of 499****NON-COMPLIANT****Topic:** excessive\_load\_funds**Difficulty:** medium**Fact Pattern**

Margaret Olsen, age 72, is a retired schoolteacher living in suburban Ohio with an annual pension income of \$38,000 and Social Security benefits of \$22,000. Her total liquid savings amount to approximately \$410,000, held primarily in bank CDs and a money market account. She described herself as conservative, with a primary investment objective of capital preservation and generating modest supplemental income. She told her advisor, Brian Kessler, that she wanted something 'safe and simple' and did not want to risk losing principal. In March 2023, Kessler recommended that Margaret invest \$340,000 across six different Class A mutual funds, each carrying a front-end sales load of 5.25%. The funds were spread across a large-cap growth fund, a mid-cap growth fund, an international equity fund, a high-yield bond fund, a balanced fund, and a technology sector fund. The total upfront sales charges amounted to approximately \$17,850. The combined annual expense ratios across these funds averaged 1.18%. Kessler earned a commission of roughly \$13,600 from the transactions. No-load or low-cost alternatives were discussed, and Kessler did not inform Margaret about the availability of breakpoint discounts. Had the \$340,000 been consolidated into a single fund family, Margaret would have qualified for a breakpoint reducing the load to 3.50%, saving her approximately \$5,950. Additionally, the equity-heavy allocation -- with roughly 70% of the invested funds in stock-oriented portfolios -- was inconsistent with her stated preference for safety and income. Within six months, the portfolio had declined by approximately \$28,000 due to equity market volatility, causing Margaret significant distress and prompting her to liquidate several positions at a loss.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Brian Kessler likely violated both FINRA's suitability requirements under Rule 2111 and the SEC's Regulation Best Interest (Reg BI). Multiple violations are apparent:

1. **\*\*Quantitative Suitability / Excessive Costs\*\***: Under FINRA Rule 2111, a recommendation must be suitable in light of the customer's investment profile. Recommending six separate Class A share funds with 5.25% front-end loads, totaling \$17,850 in upfront charges on a \$340,000 investment for a 72-year-old conservative retiree, is excessive. The advisor prioritized commission generation over the client's interest in capital preservation.
2. **\*\*Breakpoint Violations (FINRA Rules 2342 and NTM 03-54)\*\***: By splitting the investment across multiple fund families rather than consolidating within one family, Kessler caused Margaret to miss breakpoint discounts. FINRA has specifically targeted breakpoint failures in enforcement actions. The \$5,950 in avoidable charges represents a clear breakpoint violation.
3. **\*\*Customer-Specific Suitability\*\***: Margaret's profile -- age 72, conservative risk tolerance, capital preservation objective, reliance on pension and Social Security -- is fundamentally inconsistent with a 70% equity allocation including mid-cap growth, international equities, high-yield bonds, and a technology sector fund. Under FINRA Rule 2111's customer-specific obligation, this allocation was unsuitable.

4. **\*\*Reg BI Care Obligation\*\***: Under Reg BI's Care Obligation (17 CFR 240.15l-1), broker-dealers must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and have a reasonable basis that the recommendation is in the customer's best interest. The high-cost, equity-heavy strategy fails this standard. The Disclosure Obligation was also likely violated, as no-load alternatives and breakpoint availability were not discussed.

5. **\*\*Reg BI Cost Consideration\*\***: Reg BI explicitly requires consideration of costs. The availability of comparable no-load or low-load index funds, or even institutional share classes, was never raised, despite meaningfully lower-cost alternatives existing.

**\*\*Likely Regulatory Outcome\*\***: FINRA could pursue an enforcement action for suitability violations, breakpoint failures, and excessive commissions. Probable sanctions include disgorgement of commissions, restitution of the \$17,850 in loads (or at minimum the \$5,950 breakpoint difference), fines, and a potential suspension. State securities regulators could also bring action under state fiduciary or suitability standards.

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## Item 445 of 499

## NON-COMPLIANT

**Topic:** tax\_deferred\_unnecessary\_annuity

**Difficulty:** hard

## Fact Pattern

Dr. Rajiv Mehta, age 54, is a cardiologist earning approximately \$580,000 per year. He has maximized his contributions to his employer-sponsored 403(b) plan and a backdoor Roth IRA. He also has a traditional IRA rollover worth \$1.2 million from a previous employer's retirement plan. In November 2023, Dr. Mehta met with financial advisor Carla Denton, who works for a dually registered broker-dealer and investment advisory firm. Dr. Mehta explained that he wanted to find additional ways to grow his wealth for retirement, which he anticipated at age 65, and was comfortable with moderate-to-aggressive risk. Denton recommended that Dr. Mehta move \$800,000 from his existing traditional IRA rollover into a variable annuity with a guaranteed minimum income benefit rider. The variable annuity carried a mortality and expense charge of 1.35%, an administrative fee of 0.15%, subaccount management fees averaging 0.85%, and a rider charge of 1.10%, bringing the total all-in annual cost to approximately 3.45% -- or about \$27,600 per year on the \$800,000 investment. The annuity also carried a seven-year surrender charge schedule starting at 7% and declining by 1% each year. Denton earned a commission of approximately \$56,000 on the sale. Dr. Mehta's existing IRA rollover had been invested in a diversified portfolio of low-cost index funds with a blended expense ratio of 0.12% -- costing roughly \$960 per year. Denton did not discuss the fact that placing an annuity inside an already tax-deferred IRA provides no additional tax-deferral benefit, since IRAs are already tax-deferred by nature. She also did not discuss the significant increase in annual costs, the surrender charges that would limit liquidity, or the fact that annuity withdrawals would be taxed as ordinary income rather than potentially qualifying for lower capital gains rates. Dr. Mehta had no particular need for a guaranteed income rider, as his projected retirement income from his 403(b), Social Security, and other savings was estimated at over \$200,000 per year without the annuity. The recommendation was documented in a brief email stating the annuity would provide 'tax-advantaged growth and downside protection.'

## Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

## Answer

Yes, Carla Denton likely violated both FINRA suitability rules and Regulation Best Interest, and potentially breached fiduciary duties if acting in an advisory capacity under the Investment Advisers Act of 1940.

1. **\*\*Tax-Deferred Redundancy -- Core Issue\*\***: Placing a variable annuity inside an already tax-deferred IRA is one of the most scrutinized practices in securities regulation. The primary benefit of an annuity -- tax-deferred growth -- is completely redundant when held within an IRA. FINRA has explicitly flagged this practice in Regulatory Notices (e.g., NTM 99-35) and has brought numerous enforcement actions against advisors who recommend annuities inside qualified retirement accounts without a compelling non-tax reason. Denton's email characterizing the annuity as providing 'tax-advantaged growth' is misleading, as the IRA already provided that feature.

2. **\*\*FINRA Rule 2111 -- Suitability\*\***: The recommendation fails all three components of suitability. (a) **\*Reasonable-basis suitability\***: There is no reasonable basis for recommending a product that increases annual costs from \$960 to \$27,600 (a 2,775% increase) while providing a redundant tax benefit. (b) **\*Customer-specific suitability\***: Dr. Mehta did not need a guaranteed income rider -- his projected retirement income already exceeded \$200,000 annually. The seven-year surrender schedule impaired liquidity for a 54-year-old who may need access before age 65.

(c) **\*Quantitative suitability\***: The cost structure is excessive relative to the existing low-cost index fund portfolio.

3. **\*\*Reg BI -- Care and Disclosure Obligations\*\***: Under Regulation Best Interest (17 CFR 240.15l-1), Denton was required to exercise reasonable diligence, care, and skill, which includes understanding the costs and reasonably available alternatives. The Care Obligation requires that the advisor not place her financial interest ahead of the customer's. The \$56,000 commission creates a significant financial incentive that was not mitigated by any demonstrable customer benefit. The Disclosure Obligation required Denton to disclose all material facts about the recommendation, including conflicts of interest. She failed to disclose the redundancy of tax deferral, the dramatic cost increase, the surrender charge limitations, and the unfavorable tax treatment of annuity distributions versus potential capital gains treatment in a taxable brokerage account.

4. **\*\*Potential Fiduciary Breach\*\***: If Denton was acting in an advisory capacity through the firm's registered investment adviser, she owed Dr. Mehta a fiduciary duty of care and loyalty under the Investment Advisers Act of 1940, Sections 206(1) and 206(2). Recommending a high-cost, commission-generating product that provided no incremental benefit over existing holdings would constitute a breach of both duties.

5. **\*\*FINRA Rule 2330 -- Variable Annuity Suitability\*\***: FINRA Rule 2330 imposes specific suitability requirements for variable annuity transactions, including that the advisor must have a reasonable basis to believe the customer would benefit from certain features of variable annuities (such as tax-deferred growth, annuitization, or death benefit features). The rule also requires principal review and approval before the transaction is effected. The redundancy of tax deferral within an IRA directly undercuts the reasonable-basis requirement.

**\*\*Likely Regulatory Outcome\*\***: This case presents strong grounds for FINRA enforcement. Probable sanctions include disgorgement of the \$56,000 commission, restitution to Dr. Mehta for excess costs incurred, significant fines, and a suspension or bar depending on Denton's disciplinary history. The SEC or state regulators could also pursue action if Denton was acting in an advisory capacity. The firm's supervisory system may also face scrutiny under FINRA Rule 3110 if the principal review under Rule 2330 failed to catch these issues.

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## Item 446 of 499

### NON-COMPLIANT

**Topic:** high\_fees\_unsuitable

**Difficulty:** medium

### Fact Pattern

Margaret Olson, age 74, is a retired elementary school teacher living in Duluth, Minnesota. She has a pension of \$2,800 per month, Social Security benefits of \$1,900 per month, and her total liquid savings amount to approximately \$210,000, held in a traditional IRA. She has no other significant assets aside from her paid-off home valued at \$185,000. Margaret described herself as very conservative, stating she wanted to preserve her savings so she could cover potential assisted living or nursing home costs in the future. She told her advisor, Craig Dennison, that she could not afford to lose money and that she might need to access large portions of her IRA within the next three to five years. In March 2023, Dennison recommended that Margaret move her entire \$210,000 IRA into a Class C share variable annuity with an annual mortality and expense charge of 1.55%, an administrative fee of 0.15%, underlying fund expenses averaging 0.95%, and an optional living benefit rider costing an additional 1.10% annually. The total all-in annual cost was approximately 3.75%, or roughly \$7,875 per year. The annuity also carried a seven-year surrender charge schedule starting at 7% and declining by 1% each year. Dennison received a 4% upfront commission of \$8,400 plus ongoing trail commissions. Margaret was not informed about lower-cost alternatives such as Treasury securities, CDs, or low-cost bond index funds, all of which would have aligned with her conservative profile and near-term liquidity needs. Within 14 months, Margaret needed \$45,000 to cover a deposit for an assisted living facility after a fall. She was assessed a \$2,700 surrender charge upon withdrawal, and the account had already lost approximately \$3,100 to fees over that period. Margaret's account value had dropped to roughly \$159,200 after the withdrawal and accumulated costs.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Craig Dennison violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, tax status, investment objectives, risk tolerance, liquidity needs, time horizon, and other relevant factors. There are three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Under the SEC's Reg BI, a broker-dealer must act in the retail customer's best interest at the time a recommendation is made, without placing the financial interest of the broker ahead of the customer. The Care Obligation requires the broker to exercise reasonable diligence, care, and skill in making recommendations, consider reasonably available alternatives, and ensure costs do not outweigh benefits. The Disclosure Obligation requires material facts about costs and conflicts of interest to be disclosed.
3. **\*\*FINRA Rule 2330 (Variable Annuities):\*\*** This rule imposes heightened suitability requirements for variable annuity

transactions, requiring the broker to have a reasonable basis to believe that (a) the customer has been informed of the features of the annuity, (b) the customer would benefit from certain features of the annuity not available through other products, (c) the specific annuity is suitable, and (d) the transaction as a whole is suitable considering surrender charges, potential tax penalties, and the customer's liquidity needs.

**\*\*Analysis:\*\***

- **\*\*Customer-Specific Suitability:\*\*** Margaret was 74 years old, highly conservative, dependent on fixed income, with an explicitly stated need for liquidity within 3-5 years and a concern about preserving capital for healthcare expenses. Placing 100% of her liquid savings into a high-cost variable annuity with a 7-year surrender schedule directly contradicted her stated objectives and needs.

- **\*\*Cost-Benefit Failure:\*\*** The all-in annual cost of 3.75% is extraordinarily high for a conservative investor. Over seven years, Margaret would pay roughly \$55,000 in fees on a \$210,000 investment, consuming more than a quarter of her principal before any market performance. Lower-cost alternatives -- CDs, Treasury bills, short-term bond funds with expense ratios under 0.10% -- were readily available and far more appropriate.

- **\*\*Liquidity Mismatch:\*\*** The seven-year surrender schedule was fundamentally incompatible with Margaret's stated 3-5 year liquidity needs for potential healthcare costs, which materialized within 14 months.

- **\*\*Concentration Risk:\*\*** Placing 100% of a retiree's liquid savings into a single product with significant withdrawal penalties represents excessive concentration and a failure to diversify.

- **\*\*Conflict of Interest:\*\*** Dennison's \$8,400 upfront commission plus trail commissions created a significant conflict of interest that does not appear to have been adequately disclosed or mitigated. Under Reg BI's Conflict of Interest Obligation, this conflict should have been identified and eliminated or disclosed and mitigated.

**\*\*Likely Regulatory Outcome:\*\*** This case presents clear violations of both FINRA Rule 2111, FINRA Rule 2330, and Reg BI. Dennison would likely face FINRA enforcement action resulting in a fine, suspension, disgorgement of commissions, and an order to pay restitution to Margaret. The firm's supervisory procedures under FINRA Rule 3110 would also be scrutinized for failure to flag an unsuitable variable annuity recommendation to a 74-year-old conservative investor with short-term liquidity needs.

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**Item 447 of 499****COMPLIANT****Topic:** high\_fees\_unsuitable**Difficulty:** hard**Fact Pattern**

Dr. Anand Mehta, age 52, is an orthopedic surgeon in Phoenix, Arizona, earning approximately \$780,000 annually. He has a net worth of roughly \$6.2 million, including \$2.1 million in taxable brokerage accounts, \$1.8 million in retirement accounts, a \$1.5 million home with no mortgage, and other real estate worth \$800,000. Dr. Mehta described himself as having a moderately aggressive risk tolerance and a long-term growth orientation, with no anticipated need for liquidity from his investment portfolio for at least 15 years. He was specifically interested in gaining exposure to private markets and alternative investments to diversify away from his heavy public equity allocation. His financial advisor, Linda Vasquez, who operates as a dually-registered representative, recommended that Dr. Mehta allocate \$300,000 -- roughly 4.8% of his net worth and about 14% of his taxable brokerage account -- into a non-traded real estate investment trust (REIT) focused on institutional-grade industrial and logistics properties. The REIT charged a 3% upfront placement fee, an annual management fee of 1.25%, and a performance-based incentive fee of 12.5% above an 8% preferred return hurdle. The product had limited liquidity, with quarterly redemption windows subject to board approval and a two-year initial lock-up period. Vasquez provided Dr. Mehta with the full offering memorandum, a detailed fee disclosure document comparing the costs of the non-traded REIT against publicly traded REIT ETFs and open-end real estate funds, and a written summary explaining the trade-offs between higher fees and potential benefits including lower correlation to public markets, reduced volatility, and access to institutional-quality assets not available through public vehicles. She also documented that Dr. Mehta had prior experience investing in private equity funds through his medical practice's retirement plan and had previously held a direct real estate investment. Vasquez's notes from three separate meetings reflect that she discussed the illiquidity risk, the fee structure in detail, and the concentration limits she recommended (no more than 15% of taxable assets in illiquid alternatives). Dr. Mehta signed an investor questionnaire confirming his accredited investor status, his understanding of the risks, and his acknowledgment of the fee structure. Vasquez also ensured Dr. Mehta maintained \$1.8 million in liquid public equities and bonds in the same brokerage account for diversification and liquidity purposes.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Linda Vasquez did not violate applicable suitability or best interest standards. Her recommendation, while involving a higher-fee product, was appropriate given the client's profile and was accompanied by thorough disclosure and documentation.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires reasonable-basis, customer-specific, and quantitative suitability. The recommendation must align with the customer's investment profile.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Requires the broker to act in the retail customer's best interest, exercise reasonable diligence and care, consider reasonably available alternatives, evaluate whether the costs are justified by the potential benefits, and disclose and mitigate conflicts of interest.

3. **FINRA Rule 2310 (Direct Participation Programs):** Applicable to non-traded REITs, this rule requires that the member have reasonable grounds to believe the investment is suitable based on the customer's financial situation and needs.

**Analysis:**

- **Reasonable-Basis Suitability:** The non-traded REIT focused on institutional-grade industrial/logistics real estate represents a legitimate alternative investment category. Vasquez had a reasonable basis to believe the product itself had investment merit for appropriate investors, particularly given strong demand fundamentals in the logistics real estate sector.

- **Customer-Specific Suitability:** Dr. Mehta's profile strongly supports this recommendation. He is a high-income (\$780,000/year), high-net-worth (\$6.2 million) accredited investor with a moderately aggressive risk tolerance, a 15+ year time horizon, no near-term liquidity needs, and prior experience with private investments. The allocation of \$300,000 represents only 4.8% of his total net worth, well within reasonable concentration limits for illiquid alternatives.

- **Cost-Benefit Analysis Under Reg BI's Care Obligation:** While the fees are higher than publicly traded REIT alternatives, Vasquez explicitly addressed this by providing a comparative fee analysis and explaining the potential benefits -- lower correlation, reduced volatility, access to institutional assets -- that could justify the cost differential. The performance-based fee structure with an 8% hurdle also aligns incentives, as the manager only earns the incentive above a meaningful return threshold. Reg BI does not prohibit recommending higher-cost products; it requires that the broker reasonably believe the benefits justify the costs for the specific customer.

- **Disclosure and Conflict Mitigation:** Vasquez provided the full offering memorandum, a comparative fee document, and written summaries. She held three documented meetings discussing risks and fees. This exceeds the Disclosure Obligation under Reg BI and demonstrates robust conflict mitigation under the Conflict of Interest Obligation.

- **Concentration and Diversification:** Vasquez maintained prudent portfolio construction by limiting illiquid alternatives to under 15% of taxable assets and ensuring \$1.8 million remained in liquid investments, demonstrating she considered the overall portfolio context.

- **Documentation:** Thorough documentation of the customer's profile, experience, risk acknowledgments, and the rationale for the recommendation provides strong evidence of compliance.

**Likely Regulatory Outcome:** No violation would be found. If examined, regulators would likely view this as an appropriate recommendation to a sophisticated, high-net-worth investor with a suitable risk profile. The thorough disclosure process, comparative cost analysis, reasonable allocation size, and comprehensive documentation reflect adherence to both FINRA suitability requirements and Reg BI's best interest standard. This case illustrates that higher-fee products are not per se unsuitable -- what matters is whether the recommendation is appropriate for the specific customer and whether the process was sound.

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**Item 448 of 499****NON-COMPLIANT****Topic:** penny\_stocks\_unsuitable**Difficulty:** easy**Fact Pattern**

Margaret Holloway, age 72, is a retired schoolteacher living in rural Ohio on a fixed income of \$2,400 per month from Social Security and a small state pension. She had \$185,000 in savings -- the entirety of her life's savings -- held in a brokerage account at Ridgeline Financial Services. Her account opening documents listed her risk tolerance as 'conservative,' her investment objective as 'income and preservation of capital,' her investment experience as 'limited,' and her time horizon as '1-3 years' given her age and health concerns. In March 2023, her advisor, Derek Rollins, began recommending she purchase shares in several over-the-counter penny stocks, including NovaBioMed Corp. (trading at \$0.14/share), ZetaLithium Holdings (\$0.08/share), and GreenShift Dynamics (\$0.22/share). Rollins told Margaret these stocks were 'about to explode' and represented a 'once-in-a-lifetime opportunity' to double or triple her money within months. Over a four-month period, Rollins placed twelve separate buy orders totaling \$97,000 across these three penny stocks, allocating roughly 52% of her entire portfolio to speculative micro-cap securities. The commissions on these trades totaled \$6,800. Margaret was not told about the extreme illiquidity risks, the lack of publicly available financial information for these companies, or the typical volatility associated with penny stocks. By November 2023, all three stocks had declined sharply: NovaBioMed fell to \$0.02/share, ZetaLithium was delisted from OTC markets entirely, and GreenShift dropped to \$0.05/share. Margaret's \$97,000 investment was worth approximately \$11,400, representing a loss of roughly \$85,600. She was forced to delay necessary dental surgery because she could no longer afford the out-of-pocket costs.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Rollins committed clear and egregious violations of multiple applicable standards.

**\*\*FINRA Suitability Rules (Rule 2111):\*\*** FINRA Rule 2111 requires that a broker have a reasonable basis to believe a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, time horizon, liquidity needs, and investment objectives. Margaret was a 72-year-old retiree with conservative risk tolerance, a short time horizon, limited investment experience, and an explicit objective of income and capital preservation. Penny stocks are among the most speculative, illiquid, and risky securities available. There is no reasonable basis under which concentrating 52% of a conservative elderly retiree's portfolio in OTC penny stocks could be deemed suitable. This violates the customer-specific suitability obligation. Additionally, the reasonable-basis suitability component is violated because Rollins appears to have had no diligent research supporting his claims these stocks were 'about to explode.' The quantitative suitability prong may also be implicated given the twelve trades and \$6,800 in commissions over four months.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under Reg BI's Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and ensuring the recommendation is in the customer's best interest without placing the broker's financial interest ahead of the customer's. The \$6,800 in commissions suggests a financial incentive that was prioritized over Margaret's welfare. The Disclosure Obligation also appears violated, as Margaret was not informed of the risks, illiquidity, or speculative nature

of penny stocks. The Conflict of Interest Obligation requires identification and mitigation of conflicts -- the commission-driven motive was neither disclosed nor mitigated.

**\*\*FINRA Rule 2020 (Fraud):\*\*** Telling a 72-year-old conservative investor that penny stocks are 'about to explode' and represent a 'once-in-a-lifetime opportunity' without a reasonable factual basis constitutes potentially fraudulent misrepresentation or exaggeration.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** The overall course of conduct -- misleading a vulnerable, unsophisticated elderly client into unsuitable speculative investments -- violates standards of commercial honor and just and equitable principles of trade.

**\*\*Likely Regulatory Outcome:\*\*** Rollins would likely face FINRA enforcement action resulting in fines, disgorgement of commissions, a suspension or permanent bar from the securities industry, and an order to pay restitution. Margaret would have a strong arbitration claim for compensatory damages of approximately \$85,600 plus the \$6,800 in commissions, and potentially punitive damages given the egregiousness of the misconduct.

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**Item 449 of 499****NON-COMPLIANT****Topic:** tax\_deferred\_unnecessary\_annuity**Difficulty:** hard**Fact Pattern**

Carlos and Elena Reyes, ages 39 and 37, are first-generation immigrants from Guatemala who have been living in Houston, Texas for twelve years. Carlos works as a warehouse supervisor earning \$58,000 annually, and Elena works part-time as a medical assistant earning \$22,000 annually, for a combined household income of \$80,000. They have three children ages 4, 7, and 10, and their primary financial goal -- stated repeatedly and documented in writing during their initial meeting -- is saving for their children's college education. They had accumulated \$62,000 in a savings account at their local bank and had no prior investment experience. Neither Carlos nor Elena had a 529 college savings plan, an IRA, or any retirement account beyond Carlos's modest employer 401(k) with a \$14,000 balance. They were introduced to financial advisor Brenda Kessler through a friend at their church. Kessler, a dually registered representative, met with the couple three times between January and March 2024. During these meetings, she recommended they move \$55,000 of their \$62,000 savings into a variable annuity -- the Pinnacle Growth Select VA -- issued by Patriot Life Insurance Company. The annuity had a 7-year surrender charge schedule starting at 7% in year one and declining by 1% per year, an annual mortality and expense charge of 1.35%, an administrative fee of 0.15% annually, and underlying sub-account fund expenses averaging 0.85%, bringing total annual costs to approximately 2.35%. Kessler received a 5.5% commission (\$3,025) on the sale. Kessler told the Reyes family that the annuity would 'grow tax-free' and was 'the best way to save for college.' She did not explain that annuity withdrawals before age 59½ would be subject to a 10% federal tax penalty on earnings, that earnings withdrawn from a non-qualified annuity are taxed as ordinary income rather than at potentially lower capital gains rates, or that 529 plans exist specifically for education savings with actual tax-free growth and withdrawal for qualified education expenses. She also did not explain the surrender charges or what would happen if they needed to access the money when their oldest child enters college in approximately eight years -- during the surrender period. The couple signed the paperwork, understanding little of the product mechanics. When their oldest child was preparing for college applications in late 2024 and they inquired about accessing funds for application fees and deposits, they learned they would face a 6% surrender charge plus tax penalties on any gains, effectively trapping their education savings in an inappropriate vehicle.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Brenda Kessler violated multiple regulatory standards in recommending this variable annuity to the Reyes family.

**\*\*FINRA Suitability (Rule 2111) -- Customer-Specific Suitability:\*\*** The Reyes family's documented primary objective was college savings for their three children, with the oldest needing funds in approximately eight years. A variable annuity with a 7-year surrender schedule, annual costs of 2.35%, and tax penalties for early withdrawal is fundamentally unsuitable for a mid-term education savings goal. The product's tax-deferral feature provides no meaningful advantage here -- the family's moderate income (\$80,000 combined) means they are not in a high tax bracket, and the annuity's ordinary income treatment of withdrawals is actually tax-disadvantageous compared to long-term capital gains treatment in a taxable account or tax-free treatment in a 529 plan. The couple had limited investment experience and sophistication, making them particularly vulnerable to unsuitable recommendations.

**\*\*FINRA Rule 2330 (Variable Annuity Suitability):\*\*** FINRA Rule 2330 imposes heightened suitability requirements specifically for variable annuity recommendations. The rule requires consideration of whether the customer would benefit from tax-deferred growth (here, the answer is no, because superior tax-advantaged vehicles like 529 plans existed for their stated goal), whether the customer has a long-term investment horizon appropriate for a product with surrender charges (the 8-year education timeline barely clears the surrender schedule, and fees erode returns significantly), and whether the customer was informed of the features, risks, and costs. Kessler failed all of these requirements. Furthermore, placing \$55,000 of \$62,000 total liquid savings (89%) into a single illiquid product with surrender charges left the family with virtually no accessible emergency fund -- a critical failure of suitability analysis for a family with three young children.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under Reg BI, Kessler was required to exercise reasonable diligence, care, and skill, consider reasonably available alternatives, and ensure the recommendation was in the customer's best interest. A 529 college savings plan was the obvious and vastly superior alternative: it offers tax-free growth and tax-free withdrawals for qualified education expenses, has no surrender charges, typically has much lower annual expenses (often 0.10%-0.50%), and is specifically designed for the Reyes family's stated goal. Kessler's failure to even mention 529 plans -- or to explain why an annuity was preferable (it was not) -- is a textbook Care Obligation violation. The \$3,025 commission provides strong evidence that Kessler's financial interest was placed ahead of her customers' interests.

**\*\*Reg BI -- Disclosure Obligation:\*\*** Kessler failed to disclose material facts: the 10% early withdrawal penalty for pre-59½ distributions, the surrender charge schedule and its practical implications, the ordinary income tax treatment of annuity earnings, and the existence of 529 plans as a superior alternative. Her affirmative statement that the annuity would 'grow tax-free' was misleading -- variable annuities are tax-deferred, not tax-free, and withdrawals would be taxed as ordinary income plus potentially penalized.

**\*\*Reg BI -- Conflict of Interest Obligation:\*\*** The 5.5% commission created a material conflict that was neither disclosed nor mitigated. Low-cost 529 plans or index funds would have generated little or no commission for Kessler.

**\*\*Additional Consideration -- Fiduciary Duty (if acting in IA capacity):\*\*** If Kessler made this recommendation in her capacity as an investment adviser representative (she was dually registered), she owed a fiduciary duty under the Investment Advisers Act of 1940, requiring her to act in the client's best interest, which makes this violation even more severe.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Misleading unsophisticated, first-generation immigrant clients about the nature and suitability of a complex insurance product violates just and equitable principles of trade.

**\*\*Likely Regulatory Outcome:\*\*** Kessler would likely face FINRA disciplinary action including fines, disgorgement of the \$3,025 commission, a suspension or bar, and restitution to the Reyes family. The family would have a strong arbitration claim for compensatory damages including the surrender charges, excess fees paid compared to a suitable alternative, tax penalties incurred, opportunity cost of not being invested in a 529 plan, and potentially consequential damages related to impaired ability to fund their children's education. Given Kessler's misleading statements to unsophisticated clients, punitive damages could also be awarded.

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## Item 450 of 499

### NON-COMPLIANT

**Topic:** mutual\_fund\_switching\_churning

**Difficulty:** medium

### Fact Pattern

Margaret Kowalski, age 72, is a retired school librarian in Dayton, Ohio, with a fixed annual income of \$34,000 from Social Security and a small pension. She has \$185,000 in a brokerage account that represents her entire liquid savings aside from a \$12,000 emergency fund in a bank savings account. Her investment objective is capital preservation with modest income generation, and she has a conservative risk tolerance. She has limited investment knowledge and relies heavily on her advisor, Daniel Pratt, who has managed her account since 2019. Between January 2023 and December 2023, Pratt executed 11 switches among Class A share mutual funds within the same fund family. Each switch involved selling out of one large-cap equity or balanced fund and purchasing another with substantially similar investment objectives and holdings overlap exceeding 60%. Each purchase triggered a new front-end sales load averaging 4.75%, generating approximately \$9,650 in total sales charges over the 12-month period. Pratt earned approximately \$5,200 in commissions from these transactions. When Margaret asked about the frequent changes, Pratt told her he was 'rebalancing to stay ahead of market shifts' and that each new fund had 'slightly better management.' Account statements show the portfolio's net asset value declined from \$185,000 to \$168,400 over the year, with approximately \$9,650 attributable to sales loads and the remainder to modest market fluctuations. The underlying funds she was switched out of performed comparably to or slightly better than the replacement funds during the same period. Margaret's account also held \$40,000 in a money market fund that was never touched. No documentation exists showing that Pratt performed a quantitative or qualitative comparison of the old and new funds before recommending each switch.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Daniel Pratt violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. It includes three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Under the SEC's Reg BI, broker-dealers must act in the retail customer's best interest when making recommendations, satisfying the Care Obligation, Disclosure Obligation, Conflict of Interest Obligation, and Compliance Obligation. The Care Obligation specifically requires that the broker exercise reasonable diligence, care, and skill in making recommendations and must not place their financial interest ahead of the customer's.
3. **\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Requires just and equitable principles of trade.

4. **NASD Notice to Members 94-16 and subsequent FINRA guidance on mutual fund switching:** Switches among mutual funds with similar investment objectives that generate new sales charges without a demonstrable benefit to the customer are presumptively unsuitable.

**Analysis:**

- **Quantitative Suitability / Churning:** Eleven switches in 12 months for a 72-year-old conservative, capital-preservation investor is excessive by any reasonable measure. The turnover rate and cost-to-equity ratio are key metrics. Here, \$9,650 in sales loads against a \$185,000 account represents a cost-to-equity ratio of approximately 5.2% in a single year, which is extraordinarily high for a conservative account and strongly suggests churning.

- **Customer-Specific Suitability:** Margaret's profile -- elderly, conservative, relying on savings for retirement -- made frequent trading in load-bearing mutual funds entirely inappropriate. Capital preservation was her stated objective, and the switches directly eroded her capital by nearly 9%.

- **Reasonable-Basis Suitability:** Pratt had no documented rationale for any switch. The replacement funds had substantially similar objectives and overlapping holdings, meaning there was no reasonable basis to believe the switches would benefit Margaret. The old funds actually performed comparably or better.

- **Reg BI Care Obligation:** Pratt failed to exercise reasonable diligence. He did not evaluate whether the costs of switching were justified by any incremental benefit. He placed his commission interest (\$5,200) ahead of Margaret's interest in preserving capital.

- **Reg BI Conflict of Interest Obligation:** The commission-driven motive for switching was a clear conflict that was neither mitigated nor disclosed.

**Likely Regulatory Outcome:** Pratt and his firm face potential FINRA enforcement action including fines, disgorgement of commissions, restitution to the customer of approximately \$9,650 in unnecessary sales loads, and a potential suspension or bar. The firm could also face supervisory failure charges if it failed to flag the pattern of switching through its surveillance systems.

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## Item 451 of 499

### NON-COMPLIANT

**Topic:** leveraged\_etf\_unsuitable

**Difficulty:** hard

### Fact Pattern

Robert and Sandra Chen, both age 58, are a married couple in suburban Atlanta. Robert works as a warehouse supervisor earning \$62,000 per year, and Sandra is a part-time administrative assistant earning \$24,000. Their combined liquid investment portfolio totals \$290,000 in a joint brokerage account, which they intend to use as their primary retirement fund alongside modest expected Social Security benefits. They have no pension. Their stated investment objectives are long-term growth with moderate risk tolerance, and they told their advisor, Kevin Burgess, that they hoped to retire at age 65 and could not afford significant losses. Neither Robert nor Sandra has any background in finance; their previous investments consisted solely of a target-date mutual fund in Robert's former 401(k). In March 2023, Burgess recommended that the Chens allocate \$145,000 -- exactly half their portfolio -- into a 3x leveraged bull ETF tracking the Nasdaq-100 index, explaining it would 'supercharge their returns for retirement.' He also placed \$50,000 into a 3x leveraged inverse S&P 500 ETF as what he described as a 'hedge.' Burgess did not explain the daily reset mechanism of leveraged ETFs, the effect of volatility decay, or the fact that these products are designed for short-term tactical trading rather than long-term holding. No written materials about leveraged ETF risks were provided. The Chens signed a general brokerage account agreement but no specific risk disclosures related to leveraged or inverse products. Burgess did not document any analysis of why a 67% allocation to leveraged and inverse leveraged ETFs was appropriate for a moderate-risk, pre-retirement couple. Over the following nine months, the Nasdaq-100 experienced a period of choppy, range-bound trading. By December 2023, the 3x leveraged Nasdaq ETF position had declined from \$145,000 to \$109,000 despite the Nasdaq-100 index itself being roughly flat over the period -- a demonstration of volatility decay. The inverse S&P 500 3x ETF declined from \$50,000 to \$28,500 as the S&P 500 posted modest gains. The Chens' total portfolio fell from \$290,000 to approximately \$232,500, a loss of \$57,500 or nearly 20%, while a standard 60/40 balanced portfolio would have gained approximately 6% over the same period. When the Chens called Burgess in January 2024 expressing alarm, he told them to 'stay the course' and that 'the leverage will work in your favor eventually.' He did not recommend liquidating the positions or reassessing the allocation.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Kevin Burgess committed serious violations of both suitability and best interest standards.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires reasonable-basis, customer-specific, and quantitative suitability for all recommendations. FINRA Regulatory Notice 09-31 specifically warns that leveraged and inverse ETFs are typically unsuitable for retail investors who plan to hold them for longer than one trading session due to the effects of daily compounding and volatility decay.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** The SEC's Reg BI Care Obligation requires that recommendations reflect reasonable diligence, care, and skill, and that the advisor understand the risks and rewards of the recommended

product. The Disclosure Obligation requires full and fair disclosure of material facts, including risks. The Conflict of Interest Obligation requires identification and mitigation of conflicts.

3. **FINRA Rule 2010 (Standards of Commercial Honor):** Just and equitable principles of trade.

4. **FINRA Regulatory Notice 22-08:** Reinforces member firm obligations regarding complex products, including leveraged/inverse ETFs, requiring enhanced due diligence, customer approval processes, and account-level considerations before recommending complex products to retail customers.

**Analysis:**

- **Reasonable-Basis Suitability:** Leveraged ETFs are designed for sophisticated, short-term traders. The daily reset mechanism means that over periods longer than a single day, returns can deviate dramatically from the expected multiple of the underlying index, especially in volatile or range-bound markets. Burgess either did not understand this mechanism or disregarded it, both of which constitute a failure of reasonable-basis suitability. No competent advisor with an understanding of these products would recommend them as long-term retirement holdings.

- **Customer-Specific Suitability:** The Chens were unsophisticated, moderate-risk, pre-retirement investors with no ability to absorb significant losses and no prior experience with complex products. Allocating 67% of their retirement savings to 3x leveraged and inverse leveraged ETFs was grossly inconsistent with their risk tolerance, investment objectives, time horizon considerations, and financial situation. Even a small allocation to such products would be questionable; a two-thirds allocation is egregious.

- **Reg BI Care Obligation:** Burgess failed to exercise reasonable diligence by not analyzing the expected behavior of leveraged ETFs over a multi-year holding period. He failed to consider reasonable alternatives (e.g., diversified index funds, balanced funds, target-date funds) that would have been more consistent with the Chens' profile. He placed his own interest -- potentially higher commissions or a desire to appear innovative -- ahead of the customers' best interest.

- **Reg BI Disclosure Obligation:** Burgess failed to disclose the material risks of leveraged ETFs, including daily reset, volatility decay, and the products' unsuitability for long-term holding. He provided no written risk disclosures and used misleading language ('supercharge returns') that obscured the true nature of the risk.

- **Ongoing Obligation:** When the Chens raised concerns in January 2024, Burgess's advice to 'stay the course' compounded the violation. A responsible advisor would have recommended liquidation and reallocation to appropriate investments, as continued holding of decaying leveraged positions was contrary to the clients' interests.

- **Conflict of Interest Obligation:** Burgess failed to identify, disclose, or mitigate the conflict between his potential financial incentive to recommend complex, higher-commission products and the Chens' need for straightforward retirement investments.

**Likely Regulatory Outcome:** This case presents strong grounds for FINRA enforcement. Burgess faces potential sanctions including a substantial fine, disgorgement of any commissions, a lengthy suspension or permanent bar from the industry, and an order of restitution to the Chens for their losses attributable to the unsuitable recommendations (approximately \$57,500 plus opportunity cost versus a suitable benchmark). His supervising firm could face additional fines and supervisory failure charges for failing to have adequate procedures to review and approve complex product recommendations for retail customers, particularly given the widely known risks of leveraged ETFs and explicit FINRA guidance on the topic.

**Item 452 of 499****NON-COMPLIANT****Topic:** unsuitable\_income\_investor**Difficulty:** medium**Fact Pattern**

Maria Gonzalez, age 44, is a first-generation immigrant from Guatemala who works as a hotel housekeeper earning \$34,000 per year. She and her husband, a construction laborer earning \$38,000, have three children ages 8, 11, and 14. Over the past seven years, the couple diligently saved \$87,000 in a joint brokerage account, earmarking the funds for their children's college education. On her new account form, Maria indicated her investment objective as 'capital preservation with modest income,' her risk tolerance as 'conservative,' her investment time horizon as '5-10 years,' and her investment experience as 'none.' She speaks limited English and relied on her 14-year-old daughter to help translate during meetings with her advisor. In March 2023, financial advisor Derek Stanton at Ridgeview Securities recommended that Maria invest \$62,000 -- roughly 71% of the family's savings -- into a portfolio of six micro-cap and penny stocks, including shares of a pre-revenue lithium exploration company trading at \$0.38 per share, a cannabis startup trading on the OTC Pink Sheets at \$0.12, and four other companies with market capitalizations under \$50 million. Stanton told Maria, through her daughter's translation, that these stocks 'could double or triple in value' in time for her oldest child's college enrollment. He earned \$4,340 in commissions on these trades. The remaining \$25,000 was placed in a money market fund. By December 2023, the combined value of the six penny stock positions had declined to \$11,400, representing a loss of approximately \$50,600 or 81.6% of the invested amount. Stanton did not discuss the risks of penny stocks, did not explain the meaning of OTC markets, did not present any alternative investments such as 529 college savings plans or diversified mutual funds, and did not document any rationale for why speculative micro-cap stocks were appropriate for this client's stated objectives.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Stanton committed serious violations of applicable standards. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for a customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. This rule encompasses three components: reasonable-basis suitability (the advisor must understand the product), customer-specific suitability (the recommendation must fit this particular customer), and quantitative suitability (the overall pattern of trading must not be excessive). Additionally, under Regulation Best Interest (Reg BI), broker-dealers must act in the retail customer's best interest at the time of the recommendation, satisfying the Disclosure Obligation, Care Obligation, Conflict of Interest Obligation, and Compliance Obligation. Stanton violated the Care Obligation under Reg BI by failing to exercise reasonable diligence, care, and skill in making a recommendation that was clearly inconsistent with Maria's stated conservative risk tolerance, capital preservation objective, and limited investment experience. Concentrating 71% of a family's entire college savings in speculative penny stocks and micro-cap equities -- including pre-revenue exploration companies and OTC Pink Sheet cannabis startups -- is fundamentally incompatible with a conservative investor saving for a defined near-to-medium-term goal. Under FINRA Rule 2111's customer-specific suitability component, the recommendation fails on virtually every dimension: the customer had no investment experience, a conservative risk tolerance, a capital preservation objective, and a critical need for the funds within 5-10 years. Penny stocks are among the most speculative, illiquid, and volatile securities available, and are categorically unsuitable for this profile. Stanton also

violated the Disclosure Obligation under Reg BI by failing to disclose material risks of penny stocks, the nature of OTC markets, and the conflicts inherent in his \$4,340 commission. The failure to present reasonable alternatives such as 529 plans, target-date funds, or diversified bond/equity funds further demonstrates a lack of care. FINRA Rule 2010 (Standards of Commercial Honor) is also implicated given the exploitation of a customer with limited English proficiency. The likely regulatory outcome would include disgorgement of commissions, restitution to the customer for losses, a fine, and a potential suspension or bar from the industry. In arbitration, the customer would likely recover the full \$50,600 in losses plus the \$4,340 in commissions, potentially with interest.

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**Item 453 of 499****NON-COMPLIANT****Topic:** crypto\_assets\_unsuitable**Difficulty:** hard**Fact Pattern**

Howard Ling, age 72, is a retired electrical engineer living in Scottsdale, Arizona. He receives \$3,200 per month from Social Security and \$1,800 per month from a small pension. His total liquid assets consist of \$410,000 in a traditional IRA and \$55,000 in a taxable brokerage account, which together represent his entire retirement nest egg. Howard has type 2 diabetes and his wife, age 69, was recently diagnosed with early-stage Alzheimer's disease, creating anticipated long-term care expenses. On his account documents, Howard listed his investment objectives as 'income and capital preservation,' his risk tolerance as 'low,' his time horizon as 'short-term (1-3 years)' due to anticipated medical expenses, and his investment knowledge as 'moderate' based on decades of owning blue-chip stocks and bond funds. In September 2023, his financial advisor, Carla Webb at Pinnacle Wealth Advisors (a dually registered broker-dealer and investment adviser), recommended that Howard liquidate \$190,000 from his IRA -- consisting of investment-grade corporate bond funds and a dividend equity fund -- and invest the proceeds into a portfolio of digital assets. Specifically, Webb recommended \$85,000 in Bitcoin, \$55,000 in Ethereum, \$30,000 in Solana, and \$20,000 in a smaller altcoin called Chainvault (CVLT), which had launched only four months earlier and had a market cap of \$90 million. Webb explained that cryptocurrency was 'the future of finance' and that these assets would 'significantly outperform bonds over the next year.' She did not discuss the extreme volatility of crypto assets, the lack of insurance or custodial protections comparable to traditional brokerage accounts, the tax consequences of liquidating the bond and equity positions in Howard's IRA, or the particular risks of investing in a newly launched altcoin with limited trading history. Webb earned a 2.5% placement fee totaling \$4,750 on the crypto transactions through a third-party platform her firm had partnered with. She did not disclose this fee structure or the revenue-sharing arrangement between Pinnacle and the platform. By February 2024, Bitcoin and Ethereum had experienced a recovery and were modestly up, but Solana had declined 18% from Howard's purchase price, and Chainvault had collapsed 94% after its development team abandoned the project, reducing the \$20,000 position to approximately \$1,200. Howard's total crypto portfolio was valued at roughly \$148,000, a loss of \$42,000 or 22%. Meanwhile, Howard needed to begin drawing funds for his wife's in-home care, but discovered that liquidating the crypto positions involved delays, platform withdrawal limits, and additional transaction fees he had not been told about. Howard's prior bond fund portfolio had been generating approximately \$8,500 per year in income, which he had now lost.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Carla Webb committed multiple serious violations across both broker-dealer and investment adviser standards. As an advisor at a dually registered firm, Webb owed obligations under both Regulation Best Interest (for brokerage recommendations) and the fiduciary duty under the Investment Advisers Act of 1940 (if acting in an advisory capacity). Under either framework, the recommendations were deeply problematic.

Under Reg BI's Care Obligation, an advisor must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation, and must have a reasonable basis to believe the recommendation is in the retail customer's best interest given the customer's investment profile. Howard is a 72-year-old retiree with a low risk tolerance, a short-term time horizon driven by imminent and substantial medical expenses, and an

income-and-preservation objective. Recommending that he liquidate \$190,000 -- approximately 41% of his total liquid retirement assets -- from stable income-producing bond and dividend funds and redirect them into highly volatile cryptocurrency assets directly contradicts every element of his stated investment profile. Cryptocurrency markets are known for extreme price swings, and allocating nearly half of a retiree's nest egg to such assets is unsuitable on its face.

The inclusion of \$20,000 in Chainvault, a four-month-old altcoin with a \$90 million market cap, is an especially egregious recommendation for any conservative investor. This constitutes a failure of reasonable-basis suitability under FINRA Rule 2111 as well, because a reasonable advisor could not have concluded that a newly launched, thinly traded token was appropriate for any low-risk-tolerance retiree.

Under the Disclosure Obligation of Reg BI, Webb was required to disclose all material facts about the recommendation, including costs, conflicts, and the nature of the relationship. She failed to disclose the 2.5% placement fee (\$4,750), the revenue-sharing arrangement between Pinnacle and the crypto platform, the lack of SIPC or FDIC protections for crypto holdings, platform withdrawal restrictions that would impair Howard's liquidity, and additional transaction fees. Each of these omissions is a separate violation.

Under the Conflict of Interest Obligation of Reg BI, the firm was required to establish policies to identify and mitigate conflicts, including the financial incentive created by the placement fee. The undisclosed revenue-sharing arrangement created a material conflict that was neither identified nor mitigated.

If Webb was acting in an advisory capacity, the fiduciary duty under the Advisers Act imposed duties of care and loyalty. The duty of care required her to provide advice in the client's best interest with the same prudence analysis described above. The duty of loyalty required full disclosure of all conflicts, including the compensation arrangement. Both duties were breached.

Additionally, FINRA Rule 2010 (Standards of Commercial Honor and Principles of Just and Equitable Trade) is implicated by the overall pattern of conduct: exploiting a retiree facing a family medical crisis with unsuitable speculative recommendations while concealing the advisor's financial incentives.

The likely regulatory outcomes include disgorgement of the \$4,750 fee, restitution for Howard's approximately \$42,000 in losses (and potentially the lost income stream of \$8,500 per year), monetary fines against both Webb and the firm, and a potential suspension or bar. In a FINRA arbitration, Howard would likely recover full compensatory damages, and the egregious facts -- elderly client, sick spouse, concealed fees, speculative altcoins -- could support an award of punitive damages or attorneys' fees depending on the arbitration panel.

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**Item 454 of 499****NON-COMPLIANT****Topic:** excessive\_churning**Difficulty:** medium**Fact Pattern**

Robert Kline, age 42, is a high school principal earning \$95,000 annually with a \$340,000 brokerage account that represented his entire retirement savings outside of a state pension. He described his investment objectives as long-term growth with moderate risk tolerance. His advisor, Daniel Prescott, managed the account on a commission basis beginning in January 2021. Over the following 18 months, Prescott executed 187 trades in the account, frequently buying and selling the same or similar large-cap equity positions within days or weeks. For example, Prescott purchased 500 shares of a major technology company on March 3, 2021, sold them on March 19 at a slight loss, repurchased 480 shares on March 29, and sold again on April 12 at a marginal gain. This pattern repeated across dozens of holdings. The account's annualized turnover ratio was 8.4, and the cost-to-equity ratio reached 19.2%. Total commissions and transaction costs paid by Kline during the 18-month period were approximately \$58,600. Despite the heavy trading activity, the account's net value declined from \$340,000 to \$291,000, a loss of \$49,000, while the broader equity market gained approximately 12% over the same period. Kline stated he trusted Prescott's judgment and rarely questioned specific trades, typically approving recommendations by phone within minutes of Prescott's calls. Prescott told Kline the frequent trading was necessary to 'stay ahead of market volatility' and 'capture short-term momentum.'

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Daniel Prescott almost certainly violated applicable standards through excessive trading (churning) of Robert Kline's account. Under FINRA Rule 2111 (Suitability) and its quantitative suitability component, a broker must have a reasonable basis for believing that a series of recommended transactions, taken together, are not excessive and are suitable for the customer given their profile. FINRA's supplementary materials explicitly address excessive trading. Additionally, under Regulation Best Interest (Reg BI), the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making recommendations, considering the costs of the transactions and reasonably available alternatives. The Quantitative Indicators here are strongly indicative of churning: (1) The annualized turnover ratio of 8.4 far exceeds the commonly cited threshold of 6, which courts and regulators have historically treated as presumptively excessive. Even a turnover ratio above 4 often raises red flags. (2) The cost-to-equity ratio of 19.2% means Kline's account needed to generate returns exceeding 19.2% annually just to break even after costs -- an unreasonable hurdle for a moderate-risk, long-term growth account. Ratios above 12% are generally considered excessive. (3) In-and-out trading of the same or similar securities within short timeframes demonstrates a pattern inconsistent with any legitimate investment strategy for a moderate-risk, long-term growth investor. Prescott exercised de facto control over the account, as Kline routinely approved recommendations without meaningful independent evaluation, relying on Prescott's expertise. This satisfies the control element required for churning claims. The \$58,600 in commissions relative to the \$340,000 account value, combined with the \$49,000 net loss during a rising market, demonstrates that the trading primarily benefited the advisor rather than the client. Under Reg BI's Care Obligation, Prescott failed to act in Kline's best interest by recommending a pattern of trading that was costly and inconsistent with Kline's stated objectives. The likely regulatory outcome would include disgorgement of commissions, restitution to the client, fines, and potential suspension or bar from the securities industry. FINRA enforcement actions for churning of this magnitude frequently result in significant sanctions.

**Item 455 of 499****COMPLIANT****Topic:** senior\_investor\_exploitation**Difficulty:** hard**Fact Pattern**

Margaret Holloway, age 78, is a retired corporate attorney with a net worth of approximately \$4.2 million, including a \$2.8 million investment portfolio managed by her advisor, Christine Dao, at a registered investment advisory firm. Holloway receives \$62,000 annually from Social Security and a corporate pension, and she has no debt. She has a long history of investing, including previous experience with options strategies and individual stock selection during her working years. Holloway told Dao she wanted to generate income from her portfolio while maintaining the ability to leave a substantial inheritance to her three grandchildren. She described her risk tolerance as moderate-to-aggressive and explicitly stated she was comfortable with equity market fluctuations because her pension and Social Security fully covered her living expenses of approximately \$48,000 per year. After conducting a comprehensive financial plan and updating Holloway's investment policy statement, Dao recommended allocating 55% of the portfolio to a diversified mix of domestic and international equities (via low-cost index funds and select dividend-paying individual stocks), 30% to investment-grade bonds and bond funds, 10% to a real estate investment trust fund, and 5% to cash equivalents. The portfolio's weighted average expense ratio was 0.18%. Dao documented Holloway's investment experience, her stated objectives, her income surplus relative to expenses, her estate planning goals, and her explicit preference for growth-oriented exposure. Dao also discussed with Holloway and documented the risks of equity concentration at her age, including the potential for significant short-term drawdowns, and Holloway acknowledged these risks in writing. Dao scheduled quarterly reviews and adjusted the allocation modestly over the following two years based on market conditions and Holloway's unchanged circumstances. In the first year, the portfolio returned approximately 9.3%, and in the second year it returned approximately 6.1%, both periods net of the advisory fee of 0.65% annually.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Christine Dao does not appear to have violated any applicable suitability or best interest standards. As a registered investment adviser, Dao owes Margaret Holloway a fiduciary duty under the Investment Advisers Act of 1940, requiring her to act in the client's best interest with the duty of care and duty of loyalty. The analysis supports compliance on multiple grounds: (1) Thorough Know-Your-Customer Process: Dao conducted a comprehensive financial plan, gathered detailed information about Holloway's financial situation, investment experience, risk tolerance, time horizon, and objectives, and documented all of this in an updated investment policy statement. This is consistent with the duty of care requirements. (2) Suitable and Reasonable Recommendations: While a 55% equity allocation might appear aggressive for a 78-year-old client, the analysis must account for the individual's complete circumstances. Holloway has substantial wealth (\$4.2 million), guaranteed income that exceeds her living expenses by \$14,000 annually, a long investment time horizon (the portfolio is partly intended for generational wealth transfer), significant prior investment experience including options trading, and an explicitly stated moderate-to-aggressive risk tolerance. Under both the fiduciary standard and FINRA Rule 2111's customer-specific suitability obligation, age alone does not dictate a conservative allocation. The recommendation must be evaluated in the context of the entire client profile. (3) Cost Consciousness: The portfolio's 0.18% weighted expense ratio and the 0.65% advisory fee are reasonable relative to industry standards, demonstrating attention to the client's costs -- a key component of Reg BI's Care Obligation for broker-dealers and the fiduciary standard for investment advisers. (4) Risk Disclosure and Documentation: Dao



specifically discussed the risks of equity exposure at Holloway's age, obtained written acknowledgment, and documented the rationale for the allocation. This demonstrates informed consent and prudent advisory practices. (5) Ongoing Monitoring: Quarterly reviews with modest adjustments based on market conditions and the client's circumstances show continued attention to the appropriateness of the recommendations. The fact that Holloway is a senior investor does not automatically make an equity-oriented portfolio unsuitable. Regulatory guidance on senior investors emphasizes the importance of understanding each senior's unique circumstances rather than applying blanket conservative recommendations. Dao's approach reflects best practices in serving senior investors: thorough documentation, clear risk communication, cost-effective implementation, and ongoing monitoring. No violation is likely to be found.

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**Item 456 of 499****NON-COMPLIANT****Topic:** illiquid\_investments**Difficulty:** medium**Fact Pattern**

Maria and Eduardo Reyes, ages 42 and 44, are a dual-income couple who emigrated from Guatemala twelve years ago. Maria works as a dental hygienist earning \$58,000 annually, and Eduardo is a warehouse supervisor earning \$52,000 annually. Together they have saved \$145,000 in a joint brokerage account, which represents nearly all of their liquid savings outside of a small emergency fund of \$8,000. They have three children, ages 8, 11, and 14, and their primary investment objective is funding college education for all three children, with the oldest expected to begin college in four years. On their new account forms, both indicated a moderate risk tolerance and a medium-term time horizon. Neither has any prior investment experience beyond a basic savings account. Their financial advisor, Craig Winslow, met with them in March 2023 and recommended they invest \$105,000 -- roughly 72% of their brokerage account -- into three private real estate development limited partnerships. Each partnership had a minimum five-to-seven year lockup period, no secondary market for resale, carried upfront placement fees of 8.5% each, and offered no guaranteed distributions. The offering documents noted that investors should have a net worth of at least \$1 million or annual income exceeding \$200,000 and should be able to bear a total loss of their investment. Craig told the couple that real estate 'always goes up' and that the returns would 'easily cover tuition.' He did not discuss any publicly traded alternatives, target-date education funds, or 529 college savings plans. By late 2024, one of the three partnerships suspended distributions and disclosed potential insolvency, putting approximately \$35,000 of the couple's investment at risk. The other two partnerships remain locked, and the Reyes family cannot access any of the \$105,000 invested. Their oldest child is now two years from college enrollment, and the family has no means to fund tuition from their investment accounts.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Craig Winslow committed multiple serious violations. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on their investment profile, including age, financial situation, risk tolerance, time horizon, liquidity needs, and investment objectives. Here, the Reyes family had a clearly stated moderate risk tolerance, a medium-term time horizon driven by imminent college expenses (the oldest child starting college within four years), limited total savings, no investment sophistication, and a critical need for liquidity. Recommending that 72% of their liquid savings be placed in illiquid private limited partnerships with five-to-seven year lockup periods directly contradicts their time horizon and liquidity needs. This violates the customer-specific suitability obligation under Rule 2111(a). Additionally, the offering documents themselves indicated the investments were designed for investors with substantially higher net worth and income than the Reyes family possessed, suggesting Craig may have also misrepresented or ignored the investors' qualifications, raising potential concerns under FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade). Under Regulation Best Interest, which applies to broker-dealer recommendations to retail customers, Craig failed the Care Obligation (requiring reasonable diligence, care, and skill in making recommendations, including evaluating costs and reasonably available alternatives). He never discussed lower-cost, more liquid, and more appropriate alternatives such as 529 plans, target-date education funds, or diversified mutual funds -- all of which would have been far better aligned with the family's goals. The 8.5% upfront placement fees further eroded returns and were excessive given the

customers' profile. Craig's statement that real estate 'always goes up' could also constitute a violation of FINRA Rule 2210 (Communications with the Public) for making misleading or promissory statements about investment returns. The likely regulatory outcome includes customer restitution, disgorgement of commissions, potential suspension or bar for Craig, and fines imposed by the firm and/or the advisor. The firm itself could face supervisory failure charges under FINRA Rule 3110 if it failed to flag the concentration and illiquidity mismatch during its review process.

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**Item 457 of 499****NON-COMPLIANT****Topic:** variable\_annuity\_unsuitable**Difficulty:** hard**Fact Pattern**

Dorothy Hamblin, age 79, is a retired schoolteacher living in Sarasota, Florida. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security, giving her a combined annual income of approximately \$51,000. Her total investable assets consist of \$320,000 in an existing traditional IRA that is already invested in a diversified portfolio of low-cost index funds and bond funds, and \$45,000 in a bank savings account used for emergencies and medical co-pays. She has mild early-stage cognitive decline, which her daughter, Susan, disclosed to the advisor during an introductory meeting in January 2024. Dorothy's stated investment objectives on her account paperwork are capital preservation and income generation, with a conservative risk tolerance. She has no dependents other than herself, carries no debt, and her primary concern is making sure her savings last through her lifetime and cover potential long-term care needs. Her financial advisor, Kevin Briggs, recommended in February 2024 that Dorothy liquidate \$275,000 from her existing IRA index fund portfolio and use the proceeds to purchase a single variable annuity with a guaranteed minimum withdrawal benefit rider. The variable annuity carried a total annual expense ratio of 3.45% (including mortality and expense charges of 1.25%, administrative fees of 0.15%, underlying subaccount expenses averaging 0.85%, and the optional rider fee of 1.20%). The contract included a seven-year declining surrender charge schedule starting at 7% in year one. Kevin earned a 5.5% commission on the sale, totaling \$15,125. Kevin told Dorothy and her daughter that the guaranteed withdrawal rider meant she 'could never lose money' and that the annuity was 'safer than what she currently had.' He did not explain that the guarantee only applied to a specific withdrawal formula and that the account value itself could decline substantially. He also did not discuss the tax implications of the exchange within the IRA, the impact of the significantly higher fees compared to her existing low-cost funds, or the fact that the surrender charges could effectively trap her assets during a period of life when she might need liquidity for medical or long-term care expenses. Dorothy's existing index fund portfolio had a blended annual expense ratio of approximately 0.12%. Six months later, Dorothy needed \$40,000 to cover an unexpected assisted living deposit, and the surrender charge cost her \$2,520 to access those funds from the annuity.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Briggs committed multiple serious violations across several regulatory frameworks. First, under FINRA Rule 2111 (Suitability), the recommendation was unsuitable on all three components: (1) Reasonable-basis suitability -- while variable annuities are legitimate products, recommending one to a 79-year-old client with cognitive decline, conservative objectives, and existing low-cost investments requires an extraordinarily compelling justification that did not exist here; (2) Customer-specific suitability -- Dorothy's age, health status (early cognitive decline suggesting potential near-term care needs), conservative risk tolerance, capital preservation objective, need for liquidity, and the fact that her existing portfolio was already well-constructed with extremely low costs all weigh heavily against this recommendation; (3) Quantitative suitability -- replacing a 0.12% expense portfolio with a 3.45% expense product represents a fee increase of nearly 29 times, requiring annual returns to overcome an additional \$9,157.50 in fees on the \$275,000 investment just to break even versus the prior allocation. Under Regulation Best Interest's Care Obligation, Kevin failed to exercise reasonable diligence, care, and skill. He did not adequately consider the costs relative to the existing portfolio, did not evaluate reasonably available alternatives (including simply keeping her current

allocation), and did not consider Dorothy's specific liquidity needs given her age and health. The Disclosure Obligation was also violated: Kevin's characterization that she 'could never lose money' and that the annuity was 'safer' than her existing holdings was materially misleading. The guaranteed minimum withdrawal benefit does not protect account value from decline -- it only guarantees a formulaic withdrawal amount. This misrepresentation could also violate FINRA Rule 2210 and potentially constitute fraud or deceit. FINRA Rule 2330, which specifically governs variable annuity recommendations, requires that the broker consider whether the customer would benefit from the tax-deferral features (irrelevant here since the funds were already in a tax-deferred IRA), the customer's liquidity needs, and whether an exchange from an existing product is in the customer's interest. Kevin failed on all counts. The seven-year surrender schedule imposed on a 79-year-old with health concerns and care-related liquidity needs is particularly egregious, and Dorothy's actual need to access \$40,000 -- resulting in a \$2,520 surrender penalty -- proved the unsuitability in practice. Additionally, recommending a complex financial product to a client with known early-stage cognitive decline raises serious concerns about whether informed consent was even possible, implicating FINRA Rule 2010 (Standards of Commercial Honor). Kevin's \$15,125 commission creates an obvious conflict of interest that further underscores the violation. The likely regulatory outcome includes full restitution to Dorothy (including surrender charges paid, excess fees incurred, and any investment losses relative to her prior portfolio), disgorgement of Kevin's commission, substantial fines, and a potential industry bar given the exploitation of a vulnerable elderly client with diminished capacity. The firm may face supervisory failure charges under FINRA Rule 3110 for failing to flag a variable annuity sale to a 79-year-old with disclosed cognitive decline and a conservative profile, especially one involving a replacement of existing low-cost investments. State insurance regulators may also pursue action, as variable annuities are insurance products subject to state suitability standards as well.

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**Item 458 of 499****NON-COMPLIANT****Topic:** variable\_annuity\_unsuitable**Difficulty:** medium**Fact Pattern**

Margaret Holloway, age 78, is a retired schoolteacher living in Tucson, Arizona. She has a fixed monthly income of \$2,400 from Social Security and a small pension of \$800 per month. Her total liquid savings amount to \$185,000, held in a money market account and a short-term bond fund at a regional brokerage. She has no other significant assets aside from her home, which is paid off and valued at approximately \$210,000. Margaret's stated investment objectives are capital preservation and income generation. She has described herself as having a low risk tolerance and told her advisor, Kevin Pratt, that she needs reliable access to her savings for medical expenses and daily living costs, as she has been diagnosed with early-stage chronic kidney disease and anticipates rising healthcare costs over the next several years. In March 2023, Kevin recommended that Margaret move \$155,000 -- roughly 84% of her liquid savings -- into a variable annuity with a seven-year surrender period. The annuity carried an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, and the underlying sub-account funds had average expense ratios of 0.85%, bringing total annual costs to approximately 2.35%. The surrender schedule imposed a 7% charge in the first year, declining by 1% each year. Kevin told Margaret the annuity would provide 'growth potential with a guaranteed death benefit,' but did not discuss the surrender charges in detail or explain that early withdrawals beyond 10% per year would trigger penalties. Margaret signed the paperwork. By December 2023, Margaret needed to withdraw \$40,000 for an unexpected hospitalization and dialysis-related costs. She was assessed a surrender charge of \$2,380 on the excess withdrawal amount and also faced ordinary income tax treatment on the gains. Her account value had declined to \$148,200 due to market losses in the sub-accounts Kevin had selected, which were allocated 60% to equity growth funds and 20% to international equity funds, with only 20% in a fixed-income option.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Pratt violated applicable suitability and best interest standards on multiple grounds. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction is suitable for the customer based on their investment profile, including age, financial situation, risk tolerance, liquidity needs, investment objectives, and time horizon. Under Regulation Best Interest (Reg BI), adopted under the Securities Exchange Act of 1934, the broker must act in the retail customer's best interest at the time of the recommendation, satisfying the Care Obligation, which requires reasonable diligence, care, and skill in making recommendations. FINRA has also issued specific guidance on variable annuity sales, including through Regulatory Notice 12-25 and the principles underlying NASD Rule 2330 (now incorporated into FINRA's broader suitability framework), which require heightened scrutiny of variable annuity recommendations, particularly regarding surrender periods, costs, and the customer's liquidity needs.

Here, Margaret is 78 years old with a chronic medical condition, limited income, modest liquid savings, low risk tolerance, and a stated need for capital preservation and liquidity. Recommending that she place 84% of her liquid assets in a variable annuity with a seven-year surrender period directly contradicts her liquidity needs and time horizon. At her age, a seven-year surrender period is especially problematic -- she may not outlive the surrender schedule, and her known medical condition makes near-term liquidity essential. The aggressive sub-account allocation (80% equities/international) is inconsistent with her low risk tolerance and capital preservation objective. The total annual cost

of approximately 2.35% further erodes returns for a client who needs income, not speculative growth. The death benefit feature Kevin emphasized is of limited value compared to Margaret's immediate need for accessible funds.

The recommendation also fails the quantitative suitability component: concentrating such a large percentage of liquid net worth in a single illiquid product exposes Margaret to excessive risk. Additionally, Kevin's failure to adequately explain surrender charges and withdrawal limitations raises concerns under Reg BI's Disclosure Obligation.

A likely regulatory outcome would include a finding of a suitability violation under FINRA Rule 2111 and a violation of Reg BI's Care Obligation. Kevin and his firm could face sanctions including fines, disgorgement of commissions, restitution to Margaret for losses and surrender charges incurred, and possible suspension. The firm's supervisory system could also be scrutinized under FINRA Rule 3110 for failing to flag the transaction during review.

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## Item 459 of 499

### NON-COMPLIANT

**Topic:** private\_placements\_unsuitable

**Difficulty:** hard

### Fact Pattern

David and Clara Nguyen, both age 52, are a dual-income couple living in Charlotte, North Carolina. David is a mid-level IT manager earning \$95,000 per year, and Clara works as a dental hygienist earning \$62,000 per year, bringing their combined household income to \$157,000. They have a combined net worth of approximately \$620,000, which includes \$285,000 in retirement accounts (401(k) plans), \$140,000 in a joint brokerage account, \$45,000 in savings, and their home equity of approximately \$150,000. They have two children, ages 16 and 19, with the older child currently attending a state university with annual costs of \$24,000. The Nguyens' stated investment objectives are growth with moderate risk to build toward retirement in 13 years, and they have described themselves as having moderate risk tolerance and moderate investment experience limited to mutual funds, ETFs, and a small allocation to individual stocks. Their financial advisor, Renee Whitfield, at a mid-sized broker-dealer, recommended in June 2023 that the Nguyens invest \$105,000 from their joint brokerage account into two private placement offerings: \$60,000 into a non-traded real estate investment trust (REIT) focused on commercial office properties, and \$45,000 into a private oil and gas exploration fund structured as a limited partnership. Both investments carry minimum holding periods of approximately five to seven years with no guaranteed secondary market for resale. The non-traded REIT charged an upfront load of 10% (effectively reducing the initial invested capital to \$54,000 in net asset value) and annual management and operating fees totaling 2.8%. The oil and gas fund carried a 12% upfront sales charge and an ongoing management fee of 3.2%, plus a promote structure giving the general partner 25% of profits above an 8% hurdle rate. Renee earned a combined commission of approximately \$11,700 from the two transactions. She told the Nguyens the investments would provide 'tax advantages and strong returns not available in public markets,' and she briefly mentioned the illiquidity but characterized it as 'not a concern for people your age with a long time horizon.' She did not provide or discuss the private placement memoranda in detail, nor did she compare the risk-return profile of these products with lower-cost publicly traded REITs or diversified energy ETFs. By early 2024, the commercial office REIT suspended its share redemption program due to declining occupancy rates and falling commercial property values, effectively trapping the Nguyens' investment. The oil and gas fund reported two dry wells out of three exploration sites and issued a capital call requesting an additional \$9,000 from each limited partner. The Nguyens' joint brokerage account, which previously held \$140,000, now contains only \$35,000 in liquid securities, with 75% of the original account value locked in illiquid private placements that have already lost significant value.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Renee Whitfield committed multiple violations of applicable suitability and best interest standards. Under FINRA Rule 2111, a recommendation must be suitable considering the customer's investment profile, including financial situation, risk tolerance, liquidity needs, investment objectives, investment experience, and time horizon. Under Regulation Best Interest (Reg BI), adopted pursuant to the Securities Exchange Act Section 15(l), the broker must satisfy the Care Obligation by exercising reasonable diligence, care, and skill, considering reasonably available alternatives with potentially lower costs or risks. The Conflict of Interest Obligation under Reg BI also requires disclosure and mitigation of material conflicts, including compensation-driven incentives.



Several specific violations are present:

1. **\*\*Concentration and Liquidity Risk\*\***: Allocating \$105,000 -- approximately 75% of the Nguyens' \$140,000 liquid brokerage account -- into illiquid private placements is excessive concentration for a moderate-risk couple with a child in college and another approaching college age. Their near-term liquidity needs (college expenses of \$24,000+ annually) are directly impaired. FINRA has consistently held that overconcentration in illiquid alternative investments constitutes a suitability violation, particularly when it compromises a customer's ability to meet foreseeable expenses.
2. **\*\*Customer Sophistication Mismatch\*\***: The Nguyens have moderate experience limited to publicly traded securities. Private placements, non-traded REITs, and oil and gas exploration partnerships are complex, high-risk products with unique risks including illiquidity, capital calls, total loss of principal (in exploration programs), and opaque valuation. FINRA Rule 2111's customer-specific suitability prong requires that the recommendation match the customer's ability to understand and bear the risks. Renee failed this standard.
3. **\*\*Unreasonable Costs\*\***: The upfront loads of 10% and 12%, combined with ongoing annual fees of 2.8% and 3.2% respectively, are extraordinarily high. Under Reg BI's Care Obligation, the advisor must consider cost as a factor and evaluate reasonably available alternatives. Publicly traded REITs and diversified energy ETFs offer similar exposure at a fraction of the cost (typical expense ratios of 0.10%-0.60% with no upfront load). Renee's failure to compare or present these alternatives is a clear deficiency.
4. **\*\*Compensation Conflict\*\***: Renee earned approximately \$11,700 in commissions -- a significant financial incentive. Under Reg BI's Conflict of Interest Obligation, this conflict must be disclosed and mitigated to ensure the recommendation is not driven by the advisor's compensation rather than the customer's interest. The high commissions on private placements are a well-known conflict, and FINRA and SEC enforcement actions have repeatedly targeted advisors who recommend high-commission illiquid products to unsuitable customers.
5. **\*\*Inadequate Disclosure\*\***: Renee did not discuss the private placement memoranda in detail and minimized the illiquidity risk. Under Reg BI's Disclosure Obligation, the advisor must provide full and fair disclosure of all material facts relating to the recommendation, including risks, costs, and conflicts. Characterizing illiquidity as 'not a concern' for clients with a college-age child and foreseeable cash needs is materially misleading.
6. **\*\*Capital Call Exposure\*\***: The oil and gas fund's capital call structure creates additional financial risk that the Nguyens may not be able to meet without further depleting their limited remaining liquid assets. This risk should have been prominently disclosed and weighed against the couple's financial capacity.

The likely regulatory outcome would include findings of suitability violations under FINRA Rule 2111 (reasonable-basis, customer-specific, and quantitative suitability), violations of Reg BI's Care, Disclosure, and Conflict of Interest Obligations, and potential violations of the firm's supervisory obligations under FINRA Rule 3110 for failing to flag concentrated illiquid alternative investments for a moderate-risk household with foreseeable liquidity needs. Sanctions could include restitution, disgorgement of commissions, fines, and a suspension or bar for Renee, along with supervisory fines against the firm.

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**Item 460 of 499****NON-COMPLIANT****Topic:** illiquid\_real\_estate\_investment**Difficulty:** medium**Fact Pattern**

Margaret Hollis, age 74, is a retired elementary school teacher living in Topeka, Kansas. She has a total net worth of approximately \$410,000, consisting of \$230,000 in a traditional IRA, \$95,000 in a savings account, \$60,000 in a checking account, and her primary residence valued at \$125,000 with no mortgage. Her monthly income is \$2,800 from Social Security and a small teacher's pension. She described her investment objective as capital preservation and income generation to supplement her retirement. On her new account form, her risk tolerance was marked as conservative, and her investment time horizon was listed as 3-5 years. She told her advisor, Derek Faulkner, that she might need access to her IRA funds within the next two years to pay for potential assisted living costs, as she had recently been diagnosed with early-stage dementia. In March 2023, Faulkner recommended that Margaret invest \$175,000 of her IRA -- roughly 76% of that account -- into a non-traded real estate investment trust (REIT) focused on commercial office properties. The REIT had a minimum seven-year holding period before any liquidity event, early redemption was limited to 2% of outstanding shares per quarter (subject to board discretion), carried a 6% upfront commission paid to the selling broker, and had annual management and distribution fees totaling 2.1%. Faulkner told Margaret the investment would provide a stable 6.5% annual distribution and was 'as safe as owning a rental property without the hassle.' He did not discuss the illiquidity restrictions, the early redemption limitations, or the impact of the front-end load on her principal. Margaret signed the paperwork and the investment was made. By September 2023, Margaret's dementia had progressed and her family sought to liquidate the REIT position to fund her move to an assisted living facility. The redemption request was denied by the REIT sponsor, citing the quarterly cap had already been reached. Margaret's family was unable to access the \$175,000.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Faulkner committed multiple violations of applicable standards. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, time horizon, and investment objectives. Margaret was a 74-year-old conservative investor with a 3-5 year time horizon who explicitly communicated a likely near-term need for liquidity due to her dementia diagnosis. Recommending that 76% of her IRA be placed in a non-traded REIT with a seven-year lockup period and severely restricted redemption rights directly contradicted her stated needs and profile. This fails both the customer-specific suitability obligation and the quantitative suitability obligation given the extreme concentration.

Under Regulation Best Interest (Reg BI), the Care Obligation requires that the broker exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation and have a reasonable basis to believe it is in the customer's best interest. Placing the vast majority of a retiree's retirement assets in an illiquid product when she had an imminent need for those funds fails this standard. The Disclosure Obligation was also violated because Faulkner did not disclose the illiquidity restrictions, redemption limitations, or the 6% front-end load. He mischaracterized the product as comparable to owning rental property, omitting material risks. The Conflict of Interest Obligation is implicated by the 6% upfront commission (\$10,500), which created a significant incentive to recommend

this product over more suitable alternatives such as investment-grade bond funds, money market accounts, or liquid dividend-paying equity funds.

FINRA has issued Regulatory Notices (e.g., 09-09 and 15-02) highlighting concerns about the sale of non-traded REITs to elderly and conservative investors, emphasizing concentration limits and suitability obligations. Many firms impose concentration limits of 10-15% of liquid net worth for non-traded REITs; a 76% IRA allocation far exceeds any reasonable threshold.

The likely regulatory outcome would include FINRA enforcement action for suitability and Reg BI violations, potential disgorgement of the \$10,500 commission, restitution to the customer for losses and the front-end load, fines, a suspension or bar for the advisor, and possible state securities enforcement for elder financial exploitation given Margaret's age and cognitive condition.

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**Item 461 of 499****COMPLIANT****Topic:** illiquid\_real\_estate\_investment**Difficulty:** hard**Fact Pattern**

Cameron Rios, age 48, is a senior software architect in Austin, Texas, earning \$310,000 annually. He has a liquid investment portfolio of approximately \$1.9 million across brokerage and retirement accounts, an additional \$400,000 in cash and money market funds, and owns his home outright, valued at \$750,000. He has no outstanding debts. Cameron's investment objectives are long-term growth and portfolio diversification, and he has described his risk tolerance as moderately aggressive. His investment time horizon is 15+ years, targeting retirement around age 65. He has prior experience investing in publicly traded REITs, private equity funds, and individual rental properties. In January 2024, his financial advisor, Priya Nair, at a dually registered broker-dealer and investment advisory firm, discussed the possibility of adding a non-traded REIT focused on multifamily residential properties to Cameron's portfolio. Priya provided Cameron with the offering memorandum, a summary of the product's features, and a separate written disclosure of all fees and risks. She explained that the REIT had a minimum five-year hold period, that early redemptions were limited to 5% of shares per quarter and subject to a 3% early redemption fee within the first three years, that the upfront selling commission was 4%, and that annual management fees totaled 1.5%. She also presented Cameron with a comparison of alternatives, including publicly traded REITs and direct real estate syndications, noting the trade-offs in liquidity, fees, and potential returns. Priya recommended that Cameron invest \$150,000 -- approximately 6.5% of his total liquid investable assets -- into the non-traded REIT. She documented that this allocation was consistent with his diversification goal, his long time horizon, his tolerance for illiquidity given his substantial cash reserves and no near-term liquidity needs, and his prior experience with similar alternative investments. Cameron reviewed the materials over two weeks, asked several questions that Priya answered in writing, and then agreed to proceed. Two years later, the REIT had paid quarterly distributions totaling approximately 5.8% annualized, and Cameron remained satisfied with the investment and had no liquidity concerns.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Priya Nair acted in compliance with applicable suitability and best interest standards. Under FINRA Rule 2111, the recommendation must be suitable at three levels: reasonable-basis (the advisor understood the product), customer-specific (it fits this customer's profile), and quantitative (no excessive concentration or trading). Priya demonstrated reasonable-basis suitability by thoroughly understanding the non-traded REIT's features, risks, fees, and liquidity restrictions, as evidenced by her detailed explanation and comparison with alternatives. Customer-specific suitability was met because Cameron is a high-income, high-net-worth investor in his late 40s with a 15+ year time horizon, moderately aggressive risk tolerance, no near-term liquidity needs, substantial liquid reserves (\$400,000 in cash alone), and direct prior experience with real estate and alternative investments. The 6.5% allocation to a single illiquid product is well within reasonable concentration limits and does not overexpose him.

Under Regulation Best Interest's Care Obligation, Priya exercised diligence by evaluating the product's risks and costs and reasonably concluding that the recommendation was in Cameron's best interest given his full investment profile. The Disclosure Obligation was satisfied through written disclosures of all fees (4% upfront commission, 1.5% annual management fees, 3% early redemption fee), liquidity restrictions, and hold period. She proactively compared

alternatives so Cameron could make an informed decision. The Conflict of Interest Obligation was addressed through transparent fee disclosure; while the 4% commission creates an incentive, Priya mitigated this by presenting lower-cost alternatives and letting the customer make an informed choice.

The advisor's fiduciary duty as a representative of a dually registered firm (to the extent advisory services were provided) was also satisfied. She acted with the care and loyalty expected: she prioritized Cameron's diversification and growth objectives, did not overconcentrate, fully disclosed material information, documented her rationale, and gave Cameron adequate time to review. The positive outcome two years later -- stable distributions and no liquidity issues -- further corroborates the appropriateness of the recommendation at the time it was made. No regulatory violation occurred.

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**Item 462 of 499****NON-COMPLIANT****Topic:** options\_unsuitable**Difficulty:** medium**Fact Pattern**

Margaret Dawson, age 72, is a retired elementary school teacher living in suburban Ohio on a fixed income of approximately \$2,800 per month from her pension and Social Security. She has a total liquid net worth of \$185,000, held in a single brokerage account that she opened in 2019 with advisor Keith Brennan at Ridgeline Securities. At account opening, Mrs. Dawson indicated her investment objective was preservation of capital and income generation, with a conservative risk tolerance. She had no prior experience with options, futures, or any derivative instruments, and her investment knowledge was listed as 'limited' on her new account form. She told Brennan she needed the money to supplement her pension and cover potential medical expenses, as she had recently been diagnosed with early-stage Parkinson's disease. In March 2023, Brennan recommended that Mrs. Dawson begin selling uncovered (naked) put options on individual technology stocks, including positions in a volatile semiconductor company and a recently-IPO'd AI startup. Brennan told her this was a 'simple way to collect extra monthly income like rent checks.' Between March and September 2023, Brennan executed 47 naked put option trades in her account. During a sharp market pullback in August 2023, several puts were assigned, forcing the purchase of shares at prices well above market value. Mrs. Dawson's account declined from \$185,000 to \$91,400 -- a loss of approximately \$93,600, or 50.6% of her portfolio. Commissions and fees on the options trades totaled \$11,200 over the seven-month period. Mrs. Dawson states she did not understand what naked puts were, did not know she could lose more than the premiums collected, and trusted Brennan completely because he had been recommended by a friend at her church.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Keith Brennan clearly violated applicable suitability and best interest standards on multiple levels.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer, based on information obtained through reasonable diligence concerning the customer's investment profile. There are three suitability obligations: reasonable-basis, customer-specific, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Under SEC Regulation Best Interest, broker-dealers must act in the best interest of the retail customer at the time a recommendation is made, without placing the financial or other interest of the broker-dealer ahead of the customer's interest. The Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile.
3. **\*\*FINRA Rule 2360 (Options):\*\*** FINRA rules governing options accounts require that the firm and registered representative evaluate the customer's financial situation, investment experience, and investment objectives before approving options trading. Naked (uncovered) option writing carries the highest risk classification and requires the highest level of account approval, generally reserved for sophisticated, high-net-worth investors with extensive options

experience.

**\*\*Analysis:\*\***

- **\*\*Customer-Specific Suitability Violation:\*\*** Mrs. Dawson's profile -- a 72-year-old retiree on fixed income with conservative risk tolerance, capital preservation objectives, limited investment knowledge, no options experience, and a medical condition requiring future financial resources -- is fundamentally incompatible with naked put writing on volatile technology stocks. This is one of the most aggressive options strategies available, exposing the writer to substantial downside risk. No reasonable advisor could conclude this strategy was suitable for this customer.

- **\*\*Reasonable-Basis Suitability Violation:\*\*** Naked put selling on volatile, recently-IPO'd tech companies is inherently high-risk. Even for a sophisticated investor, concentrating such activity in a single account representing an investor's entire liquid net worth would raise serious concerns.

- **\*\*Quantitative Suitability Violation:\*\*** The execution of 47 trades in seven months generating \$11,200 in commissions (approximately 6% of the original portfolio value annualized to over 10%) suggests excessive trading. The cost-to-equity ratio and turnover rate would likely indicate churning.

- **\*\*Reg BI Care Obligation Violation:\*\*** Brennan failed to exercise reasonable diligence, care, and skill. He placed his own financial interest (commissions) ahead of the customer's interest. The recommendation did not reflect any consideration of Mrs. Dawson's actual needs.

- **\*\*Reg BI Disclosure Obligation Violation:\*\*** Brennan's characterization of naked puts as 'simple rent checks' was materially misleading and failed to adequately disclose the risks of the strategy.

- **\*\*Options Account Approval:\*\*** Mrs. Dawson should never have been approved for the highest level of options trading (uncovered writing). Her account application information alone should have prevented this approval, implicating the firm's supervisory obligations under FINRA Rules 3110 and 2360.

**\*\*Likely Regulatory Outcome:\*\*** Brennan would likely face FINRA enforcement action resulting in disgorgement of commissions, fines, suspension, or a permanent bar. The firm, Ridgeline Securities, would face supervisory failure charges for approving an unsuitable options level and failing to detect the pattern of unsuitable trading. Mrs. Dawson would likely recover her losses (approximately \$93,600 plus commissions of \$11,200) through FINRA arbitration, potentially with interest.

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## Item 463 of 499

### NON-COMPLIANT

**Topic:** leveraged\_etf\_unsuitable

**Difficulty:** hard

### Fact Pattern

David Kowalski, age 58, is a municipal water department supervisor in central Pennsylvania earning \$74,000 annually. He has a 401(k) worth \$210,000 and a separate brokerage account at Summit Point Financial with \$340,000 -- the proceeds from a life insurance policy payout following his wife's death in late 2022. Kowalski has two children in college and told his advisor, Ryan Metcalf, that he needed to make the \$340,000 last through both children's graduations (approximately four years) and then begin using it to supplement his retirement, which he planned for age 65. His stated investment objectives were growth and income with moderate risk tolerance. Kowalski had experience owning mutual funds and blue-chip stocks but had never traded ETFs, leveraged products, or sector-specific instruments. In January 2023, Metcalf attended a product symposium hosted by Apex Fund Partners, which manages a suite of leveraged and inverse ETFs focused on the energy sector. At the symposium, Apex offered participating advisors an all-expenses-paid trip to Scottsdale, Arizona for those who placed at least \$2 million in Apex products within the following quarter. Over the next two months, Metcalf moved 78% of Kowalski's brokerage account -- approximately \$265,200 -- into a single 3x leveraged bull energy sector ETF managed by Apex. Metcalf told Kowalski the product was 'like a regular energy fund but with better upside potential,' without explaining the daily reset mechanism, the effects of volatility decay, or the fact that leveraged ETFs are generally designed for short-term trading, not buy-and-hold positions. The remaining 22% of the account was placed into an Apex 2x leveraged inverse natural gas ETF, which Metcalf described as a 'hedge.' Kowalski's account was not rebalanced or reviewed again for 11 months. By December 2023, despite the energy sector being roughly flat over the period, the 3x leveraged ETF had lost 34% of its value due to volatility decay and compounding effects, and the 2x inverse natural gas ETF had lost 61% of its value. Kowalski's \$340,000 account was worth approximately \$148,600 -- a total loss of \$191,400 or 56.3%. Metcalf earned a standard commission on the trades and qualified for the Scottsdale trip by placing a total of \$2.4 million across multiple client accounts into Apex products during Q1 2023. When Kowalski called in December 2023 alarmed at his statement, Metcalf told him to 'ride it out' and that 'energy always comes back.' Kowalski subsequently discovered the incentive arrangement when another client mentioned the trip on a public social media post tagging Metcalf.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Ryan Metcalf committed multiple serious violations of suitability and best interest standards, compounded by undisclosed conflicts of interest and material misrepresentations.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires reasonable-basis, customer-specific, and quantitative suitability for all recommendations.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Requires broker-dealers to act in retail customers' best interest, including the Care Obligation (reasonable diligence in evaluating the recommendation), the Disclosure Obligation (disclosing material facts about the recommendation and conflicts of interest), and the Conflict of Interest Obligation (establishing policies to



identify, disclose, and mitigate or eliminate conflicts).

3. **FINRA Regulatory Notices 09-31 and 09-73 (Leveraged and Inverse ETFs):** FINRA has specifically warned that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who plan to hold them for longer than one trading session. These products are designed for sophisticated, short-term traders, and their performance over longer periods can deviate dramatically from the underlying index due to daily compounding and volatility decay.

4. **FINRA Rules 3110 (Supervision) and 2210 (Communications):** The firm had an obligation to supervise Metcalf's recommendations and ensure that communications about product characteristics were fair and not misleading.

**Analysis:**

- **Customer-Specific Suitability Violation:** Kowalski was a 58-year-old moderate-risk investor with a defined four-year time horizon, no experience with leveraged products, and a specific need to preserve capital from an insurance payout for college expenses and retirement. Concentrating 100% of his brokerage assets into two leveraged/inverse sector-specific ETFs designed for daily trading is profoundly unsuitable for this profile. The recommendation bore no rational relationship to his stated objectives, risk tolerance, or time horizon.

- **Reasonable-Basis Suitability Violation:** No reasonable advisor who understood how 3x leveraged and 2x inverse ETFs function would recommend them as long-term, buy-and-hold positions. The daily reset mechanism means that even in a flat market, the products can suffer devastating losses due to volatility decay -- exactly what happened here. Metcalf either did not understand these products (a failure of reasonable diligence) or understood them and recommended them anyway (a willful disregard of the customer's interest).

- **Concentration Risk:** Placing 100% of the account into two products from a single fund family, both concentrated in the energy sector, eliminated all diversification. This is particularly egregious given that the account represented the proceeds from the client's deceased wife's life insurance -- an irreplaceable source of funds.

- **Reg BI Care Obligation Violation:** Metcalf failed to exercise reasonable diligence, care, and skill. He did not consider the costs and risks of the leveraged products in light of Kowalski's profile. He recommended the most aggressive possible instruments to a moderate-risk investor with a medium-term, capital-preservation-oriented need.

- **Reg BI Disclosure Obligation Violation:** Metcalf's description of the 3x leveraged ETF as 'like a regular energy fund but with better upside potential' was materially misleading. He failed to disclose: (a) the daily reset mechanism and its consequences for buy-and-hold investors, (b) the phenomenon of volatility decay, (c) that these products are designed for short-term tactical trading, and (d) the specific risks of inverse leveraged products. Additionally, he failed to disclose the Apex incentive trip, a material conflict of interest.

- **Reg BI Conflict of Interest Obligation Violation:** The all-expenses-paid trip to Scottsdale was a material conflict of interest that directly incentivized Metcalf to place client assets into Apex products regardless of suitability. Metcalf's placement of \$2.4 million across multiple client accounts to qualify for this incentive demonstrates that the conflict actually influenced his recommendations. This conflict should have been identified, disclosed to customers, and mitigated by the firm. Metcalf's failure to disclose it to Kowalski is independently actionable.

- **Failure to Monitor/Hold Recommendation:** After placing the entire account in daily-reset leveraged instruments, Metcalf did not review or rebalance the account for 11 months. Given that FINRA has specifically noted these products typically require daily monitoring, this failure to supervise the position is itself a violation. The implicit hold recommendation -- leaving the client in these instruments for nearly a year -- was unsuitable.

- **Post-Loss Conduct:** Metcalf's advice to 'ride it out' compounded the harm, as continued holding of leveraged ETFs

in a volatile market was likely to produce further losses.

**\*\*Likely Regulatory Outcome:\*\*** Metcalf would face FINRA enforcement action for unsuitable recommendations, failure to disclose conflicts of interest, and misleading communications. Potential sanctions include disgorgement of all commissions, substantial fines, restitution to Kowalski and potentially other affected clients, and a lengthy suspension or permanent bar given the willful nature of the misconduct and the incentive-driven pattern across multiple accounts. Summit Point Financial would face supervisory failure charges for failing to detect concentrated leveraged ETF positions held long-term in moderate-risk accounts and for failing to have adequate policies regarding third-party sales incentives. Kowalski would likely recover the full \$191,400 loss plus commissions, fees, and interest through FINRA arbitration, with a strong case for punitive or exemplary damages given the undisclosed conflict of interest.

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**Item 464 of 499****NON-COMPLIANT****Topic:** unsuitable\_income\_investor**Difficulty:** medium**Fact Pattern**

Margaret Dawson, age 72, is a retired school librarian living in rural Ohio on a fixed income of approximately \$2,400 per month from Social Security and a small pension. She has \$185,000 in savings, representing her entire life's savings and the proceeds from selling her late husband's truck and workshop equipment. In March 2022, she met with financial advisor Craig Linden at a local brokerage office, explaining that she needed her money to last the rest of her life and wanted safe, income-producing investments to supplement her monthly expenses. She specifically told Linden she could not afford to lose principal and that she had no experience with stocks or complex investments. Her account opening documents listed her risk tolerance as 'conservative,' her investment objective as 'income,' her time horizon as '5-10 years,' and her liquid net worth as \$185,000. Linden recommended she invest \$120,000 into three small-cap growth stocks -- a biotech startup, a cannabis company, and a pre-revenue electric vehicle manufacturer -- arguing they had 'huge upside potential.' He placed the remaining \$65,000 into a leveraged ETF tracking the Nasdaq-100 index. None of these investments paid dividends or generated any income. By November 2022, the biotech startup had lost 68% of its value, the cannabis company was down 54%, the EV manufacturer had filed for bankruptcy, and the leveraged ETF had declined 41%. Margaret's portfolio was worth approximately \$72,400, a loss of over \$112,000. She contacted Linden multiple times during the decline, and he repeatedly told her to 'hold tight' and that the investments would 'bounce back.' Margaret now cannot afford necessary home repairs and has been forced to reduce her medication regimen due to cost.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Craig Linden clearly violated applicable standards on multiple levels. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and other relevant factors. Margaret's profile -- a 72-year-old retiree with conservative risk tolerance, an income objective, limited liquid net worth, no investment experience, and complete dependence on her savings -- demanded conservative, income-generating investments such as investment-grade bonds, Treasury securities, CDs, or dividend-paying blue-chip equities. Instead, Linden recommended speculative small-cap growth stocks and a leveraged ETF, which are among the highest-risk investment categories available. Leveraged ETFs in particular are designed for short-term trading and are widely recognized as unsuitable for long-term buy-and-hold strategies, especially for conservative investors. This violates the customer-specific obligation under FINRA Rule 2111(a). Under Regulation Best Interest (Reg BI), which was effective at the time, the Care Obligation requires broker-dealers and their associated persons to exercise reasonable diligence, care, and skill when making recommendations, considering the customer's investment profile and ensuring the recommendation is in the customer's best interest. Concentrating 100% of a conservative retiree's life savings in speculative, non-income-producing securities with extreme volatility directly contradicts the customer's stated needs and objectives. Additionally, Linden's advice to 'hold tight' during steep declines, rather than recommending a reallocation to suitable investments, compounded the harm. The quantitative unsuitability is also evident: a \$112,000 loss (over 60%) on a \$185,000 portfolio belonging to a fixed-income retiree with no ability to recover losses is devastating and entirely foreseeable given the risk profile of the recommended

investments. A FINRA arbitration panel or enforcement action would very likely find violations of both FINRA Rule 2111 and Reg BI's Care Obligation. Expected outcomes would include restitution of losses, potential fines, suspension or bar of the advisor, and possible supervisory failures against the firm under FINRA Rule 3110.

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**Item 465 of 499****NON-COMPLIANT****Topic:** high\_fees\_unsuitable**Difficulty:** hard**Fact Pattern**

David Yoon, age 45, is a mechanical engineer earning \$115,000 annually with a net worth of approximately \$620,000, including \$410,000 in retirement accounts and \$210,000 in a taxable brokerage account. He has moderate risk tolerance and a long-term growth objective with a 20-year time horizon for retirement. In January 2023, his advisor, Patricia Stokes, recommended reallocating his entire \$210,000 taxable account into a portfolio consisting exclusively of five sector-specific mutual funds, all managed by the same fund family -- Ridgeline Capital Partners. Each fund carried a front-end sales load of 5.25% and an annual expense ratio of 1.85%. Collectively, the five funds were concentrated entirely in the energy sector, spanning upstream oil exploration, midstream pipeline companies, oilfield services, natural gas producers, and an energy-sector balanced fund. Stokes did not disclose that her firm had recently entered into a revenue-sharing agreement with Ridgeline Capital Partners under which the firm received additional compensation of 25 basis points annually on all Ridgeline assets held in client accounts. Stokes also received a quarterly bonus tied to Ridgeline product sales volume, and in Q1 2023 she earned an additional \$4,800 bonus attributable in part to Yoon's purchases. Comparable diversified growth funds with similar risk characteristics were available through the same brokerage platform with no sales loads and expense ratios averaging 0.45%. Stokes did not present these alternatives to Yoon or explain why the Ridgeline funds were preferable. Yoon paid \$11,025 in upfront sales charges on the \$210,000 investment, and his first-year total costs including expense ratios were approximately \$14,700. By contrast, had he been placed in the lower-cost diversified alternatives, his first-year all-in costs would have been approximately \$945. Additionally, the concentration of his entire taxable portfolio in a single sector exposed him to significant sector-specific risk. When energy prices declined sharply in mid-2023 due to weakened global demand forecasts, Yoon's portfolio dropped 22% in four months, losing approximately \$46,200 in value on top of the fees already paid.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Patricia Stokes violated applicable standards in several significant ways. First, under Regulation Best Interest's Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill to understand available alternatives and make a recommendation that is in the retail customer's best interest, without placing the financial interest of the broker ahead of the customer's interest. Stokes recommended high-cost, load-bearing sector funds when substantially similar or superior low-cost, diversified alternatives were available on the same platform. The cost differential is staggering: Yoon paid approximately \$14,700 in first-year costs versus an estimated \$945 for comparable diversified funds -- a difference of nearly \$13,755, or roughly 15 times the cost. This disparity strongly suggests the recommendation was driven by compensation rather than client benefit. Second, under Reg BI's Conflict of Interest Obligation, broker-dealers must identify, disclose, and mitigate or eliminate conflicts of interest associated with recommendations. Stokes failed to disclose the firm's revenue-sharing arrangement with Ridgeline Capital Partners (25 basis points annually) and her personal quarterly bonus tied to Ridgeline sales volume. The \$4,800 bonus she earned is a material conflict that should have been disclosed and mitigated. Third, under FINRA Rule 2111's customer-specific suitability obligation, concentrating 100% of a client's taxable portfolio in a single sector (energy) is unsuitable for a moderate-risk investor with a long-term growth objective. A diversified approach across multiple sectors and asset classes is standard for this investor profile. Single-sector concentration introduces unnecessary idiosyncratic risk, as

demonstrated by the 22% decline when energy prices fell. Fourth, under FINRA Rule 2121 and its supplementary materials regarding fair dealing and charges, the excessive front-end loads and expense ratios, when lower-cost alternatives existed, raise questions about whether the costs were fair and reasonable relative to the services provided. The combination of undisclosed conflicts, excessive fees, failure to consider reasonable alternatives, and unsuitable sector concentration constitutes a clear violation of both Reg BI and FINRA suitability standards. Likely regulatory outcomes include disgorgement of excess commissions and the revenue-sharing payments, restitution to the client for excess costs and potentially for losses attributable to the unsuitable concentration, fines against both Stokes and her firm, enhanced supervision requirements, and potential suspension of Stokes. The firm may also face liability under FINRA Rule 3110 for failure to supervise, particularly for not flagging the concentration and the correlation between Stokes's recommendations and her incentive compensation structure.

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**Item 466 of 499****NON-COMPLIANT****Topic:** annuity\_unnecessary\_switching**Difficulty:** medium**Fact Pattern**

Margaret Olsen, age 71, is a retired schoolteacher in Tucson, Arizona, with a fixed monthly pension of \$2,800, Social Security income of \$1,950 per month, and total liquid savings of approximately \$310,000. She has a conservative risk tolerance and her primary investment objective is capital preservation with modest income supplementation. In March 2021, her financial advisor, Derek Haines, recommended she surrender a fixed annuity she had purchased in 2017 with a current account value of \$185,000. That annuity paid a guaranteed rate of 3.2% and had a remaining surrender charge period of two years, resulting in a surrender penalty of \$5,550. Haines recommended she use the proceeds to purchase a new fixed indexed annuity with a 10-year surrender charge schedule starting at 9%, an annual rider fee of 1.15% for a guaranteed lifetime withdrawal benefit, and a participation rate tied to the S&P 500 capped at 5.5%. Haines told Margaret the new product would offer 'market upside with no downside risk' and that the income rider would provide higher guaranteed withdrawals starting at age 75. However, the guaranteed withdrawal rate on the new annuity was 4.5% at age 75, while the old annuity already offered a 4.0% withdrawal option with no additional rider fees. When accounting for the surrender penalty on the old contract, the new annuity's higher rider fees, and the reset of the surrender period to 10 years, Margaret would need to hold the new product for approximately 14 years -- until age 85 -- before the marginally higher withdrawal rate would offset the cumulative costs of the switch. Haines received a 6.5% commission on the new annuity sale, totaling approximately \$11,667, compared to no trailing compensation on the existing annuity. Margaret was not informed of the breakeven analysis or the full cost comparison between the two products. She signed the paperwork after a single 45-minute meeting at her home.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Haines likely violated applicable standards in recommending this annuity switch. Under FINRA Rule 2330 (Variable Annuities) and the broader suitability framework of FINRA Rule 2111, as well as Regulation Best Interest (Reg BI) if Haines acted as a broker-dealer representative, an advisor recommending a switch from one annuity to another must have a reasonable basis to believe that the replacement is suitable and in the customer's best interest, taking into account the costs and benefits of the existing contract versus the proposed replacement.

Specifically, FINRA Rule 2330(b) requires that when recommending an exchange of an annuity, the registered representative must consider: (1) whether the customer would incur a surrender charge or be subject to a new surrender period; (2) whether the customer would lose existing benefits; (3) whether the customer would benefit from product enhancements or improvements; and (4) whether the customer has had another annuity exchange within the preceding 36 months. Here, Margaret incurred a \$5,550 surrender penalty, was subjected to a new 10-year surrender schedule with charges starting at 9%, and took on an annual 1.15% rider fee that did not exist on her prior contract. The marginal increase in withdrawal rate (0.5 percentage points) would not offset these cumulative costs until Margaret reached age 85 -- a 14-year breakeven period that is unreasonable for a 71-year-old retiree with conservative objectives and limited liquidity needs.

Under Reg BI's Care Obligation (17 CFR 240.15l-1), the advisor must exercise reasonable diligence, care, and skill in

making a recommendation, including understanding the costs and reasonably available alternatives. Haines failed to present a breakeven analysis, failed to compare the total cost of ownership, and appears to have been motivated by the \$11,667 commission. The Conflict of Interest Obligation under Reg BI also required disclosure and mitigation of this compensation-driven conflict, which was not done.

If Haines were operating in an investment adviser capacity, the fiduciary duty under the Investment Advisers Act of 1940 would impose an even higher standard, requiring him to act in Margaret's best interest and fully disclose all material conflicts.

The likely regulatory outcome would include findings of an unsuitable annuity switch, potential disgorgement of commissions, restitution to the client for the surrender penalty and excess fees, and possible suspension or fine for the advisor. This is a classic case of unnecessary annuity switching driven by commission incentives rather than client benefit.

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**Item 467 of 499****NON-COMPLIANT****Topic:** mutual\_fund\_switching\_churning**Difficulty:** hard**Fact Pattern**

Rajesh Patel, age 52, is a small business owner in Atlanta, Georgia, with an annual income of approximately \$175,000 and a brokerage account valued at \$420,000. He has a moderate risk tolerance and a long-term growth objective, with a stated investment horizon of 12-15 years until retirement. His advisor, Cynthia Morales, has managed the account since January 2020. Between January 2020 and December 2023, Morales executed 23 mutual fund switches across the account. The pattern was consistent: she would recommend selling one large-cap growth fund and purchasing another large-cap growth fund from a different fund family, typically within 4-6 months of the prior switch. All funds purchased carried Class A shares with front-end loads averaging 5.25%. No breakpoint discounts were applied because each purchase was spread across different fund families, keeping individual fund family holdings below discount thresholds. Over the four-year period, Rajesh paid approximately \$88,200 in cumulative front-end sales charges on total purchases of roughly \$1.68 million (which reflects the same capital being reinvested multiple times). The funds that were sold and the funds that were purchased had substantially similar investment objectives, holdings overlap averaging 67% based on top-25 holdings, comparable expense ratios (ranging from 0.72% to 0.91%), and similar 3-year and 5-year performance track records within one percentage point of each other. Morales documented brief notes for each switch citing reasons such as 'better management team,' 'improved Morningstar outlook,' or 'more favorable sector allocation,' but none of the notes included a quantitative cost-benefit analysis. The account's overall performance, net of loads and expenses, underperformed a simple S&P 500 index fund by approximately 4.8% annually over the period. Morales earned an average payout of 40% on the sales charges, netting her approximately \$35,280 in personal compensation from the switching activity alone. Rajesh was generally unsophisticated regarding mutual fund share class structures and relied on Morales's recommendations, signing trade confirmations without detailed review. He became concerned only after a friend who is a CPA reviewed his account statements in early 2024 and flagged the pattern.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Cynthia Morales almost certainly violated multiple applicable regulatory standards through a pattern of excessive mutual fund switching that constitutes a form of churning.

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer. This includes not only the individual transaction but the series of recommended transactions when viewed together (quantitative suitability). FINRA Rule 2111.05(c) specifically addresses quantitative suitability, which requires that an advisor who has actual or de facto control over a customer account not engage in excessive trading. Here, 23 switches in four years among substantially similar large-cap growth funds -- with 67% holdings overlap, comparable expense ratios, and nearly identical performance histories -- strongly suggests that no reasonable basis existed for the switches. The cumulative front-end loads of \$88,200 on a \$420,000 account represent an enormous cost drag that Morales needed to overcome just to break even, and the account in fact underperformed a passive alternative by 4.8% annually.

Under Regulation Best Interest (Reg BI), the Care Obligation requires that the broker exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation and have a reasonable basis to believe that the recommendation is in the customer's best interest and does not place the broker's interest ahead of the customer's. The repeated switching into load-bearing Class A shares across different fund families -- specifically structured to avoid breakpoint discounts -- is a hallmark of breakpoint abuse and strongly suggests the advisor prioritized her own compensation over the client's interest. Morales's \$35,280 in personal compensation from the switching alone, while the client suffered significant underperformance, demonstrates a misalignment of interests that Reg BI's Conflict of Interest Obligation required her to identify, disclose, and mitigate or eliminate.

FINRA has specifically addressed mutual fund switching abuses through Notice to Members 94-16 and Regulatory Notice 12-25, which emphasize that switching between substantially similar funds for the purpose of generating sales charges is inherently unsuitable. The qualitative justifications Morales provided ('better management team,' 'improved Morningstar outlook') without any quantitative cost-benefit analysis are insufficient to support 23 switches generating \$88,200 in loads.

Additionally, the failure to apply available breakpoint discounts by deliberately spreading purchases across fund families may independently violate FINRA rules regarding breakpoint discount obligations and rights of accumulation, as outlined in NASD/FINRA guidance on mutual fund sales charge discounts.

The likely regulatory outcome includes findings of churning/excessive trading and unsuitable mutual fund switching, restitution to the client for the excess sales charges (approximately \$88,200), possible disgorgement of Morales's compensation, significant fines, and a likely suspension or bar from the industry given the duration and systematic nature of the misconduct. If pursued in arbitration, Rajesh would also have strong claims for compensatory damages based on the account's underperformance relative to a suitable buy-and-hold strategy.

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## Item 468 of 499

### NON-COMPLIANT

**Topic:** private\_placements\_unsuitable

**Difficulty:** medium

### Fact Pattern

Margaret Dunlap, age 74, is a retired schoolteacher living in Topeka, Kansas, with a fixed annual income of \$38,000 from Social Security and a small state pension. Her total liquid net worth is approximately \$215,000, held primarily in certificates of deposit and a conservative bond mutual fund. She has no prior experience investing in alternative or illiquid products and described her investment objectives as capital preservation and income generation. Her risk tolerance, as documented on her new account form, was marked 'conservative.' In March 2023, her financial advisor, Craig Bellweather, at a mid-sized broker-dealer, recommended that Margaret invest \$120,000 -- roughly 56% of her liquid assets -- into two private placement offerings: \$70,000 into a non-traded real estate investment trust focused on speculative commercial development projects in secondary markets, and \$50,000 into a private oil and gas drilling program structured as a limited partnership. Both products carried upfront commissions of 7% and 8% respectively, lock-up periods of seven to ten years with no secondary market for resale, and offering documents that disclosed significant risks of total loss of principal. Craig told Margaret these investments would 'pay her like clockwork' and compared the projected distributions to CD interest, without meaningfully discussing the illiquidity, speculative nature, or the possibility that distributions could be funded by return of capital rather than actual earnings. By January 2024, the oil and gas program had suspended distributions entirely due to declining commodity prices, and the non-traded REIT had reduced its estimated share value by 30%. Margaret, now needing funds for unexpected medical expenses, discovered she could not access her capital without accepting a catastrophic loss through the program's limited early redemption provisions.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Craig Bellweather violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile -- including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, risk tolerance, and other relevant information. There are three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Under Reg BI's Care Obligation, the advisor must exercise reasonable diligence, care, and skill in making a recommendation, must understand the potential risks and rewards of the recommendation, and must consider the customer's investment profile such that the recommendation is in the customer's best interest and does not place the advisor's interest ahead of the customer's. The Disclosure Obligation also requires full and fair disclosure of material facts, including conflicts of interest such as elevated commissions.
3. **\*\*FINRA Rule 2210 and fair dealing principles\*\*** are also implicated by the misleading comparison of speculative

private placement distributions to CD interest.

**\*\*Analysis of Violations:\*\***

- **\*\*Customer-Specific Suitability / Care Obligation Failure:\*\*** Margaret is a 74-year-old conservative retiree on a fixed income with modest savings. Her documented objectives were capital preservation and income. Private placements in speculative commercial real estate development and oil and gas drilling programs are inherently high-risk, illiquid investments unsuitable for investors with her profile. Concentrating 56% of her liquid net worth in these products left her dangerously exposed to illiquidity risk and potential total loss -- directly contradicting her stated objectives and risk tolerance.

- **\*\*Illiquidity Mismatch:\*\*** Given Margaret's age and modest resources, the seven-to-ten-year lock-up periods were fundamentally incompatible with her likely need for liquidity, as evidenced by the medical expenses she later encountered. A reasonable advisor would have recognized that a 74-year-old retiree with \$215,000 in total liquid assets cannot afford to have the majority locked away for a decade.

- **\*\*Concentration Risk:\*\*** Placing 56% of liquid assets in two illiquid, speculative private placements violates reasonable diversification principles and creates an unsuitable concentration, particularly for a conservative investor.

- **\*\*Excessive Commissions / Conflict of Interest:\*\*** The 7-8% upfront commissions (\$8,900 and \$4,000, totaling approximately \$12,900) created a clear financial incentive for the advisor that was not adequately disclosed or managed. Under Reg BI's Conflict of Interest Obligation, such compensation conflicts must be identified, disclosed, and mitigated.

- **\*\*Misleading Statements:\*\*** Comparing speculative private placement distributions to CD interest without disclosing the fundamental differences in risk, liquidity, and the possibility of return-of-capital distributions constitutes a materially misleading communication.

**\*\*Likely Regulatory Outcome:\*\*** This case would likely result in findings of suitability violations and Reg BI breaches. Potential sanctions include disgorgement of commissions, restitution to the customer for losses, fines, and a suspension or bar for the advisor. The firm could also face supervisory failure charges if it lacked adequate procedures for reviewing private placement recommendations to elderly, conservative investors.

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## Item 469 of 499

### COMPLIANT

**Topic:** lack\_of\_diversification

**Difficulty:** hard

### Fact Pattern

Daniel Yoo, age 42, is a senior software engineer at a publicly traded technology company in Seattle, earning \$340,000 annually with an additional \$200,000 in annual restricted stock unit (RSU) vesting. His total investable assets outside of company stock are approximately \$1.8 million, held across a brokerage account and a rollover IRA. He also holds approximately \$2.1 million in vested company stock. Daniel came to his financial advisor, Patricia Nolan, at a registered investment advisory firm in September 2023, specifically requesting that she build a concentrated portfolio focused on the technology and artificial intelligence sectors. He stated that he has a high risk tolerance, a long time horizon (targeting retirement at age 60), and that his investment objective is aggressive growth. He acknowledged in writing that he understood the risks of sector concentration, including the possibility of significant drawdowns, and stated that he was comfortable with short-term losses of 40% or more given his long-term outlook and ongoing high income. Patricia conducted a thorough review of Daniel's full financial picture, including his company stock holdings, emergency fund (\$85,000 in a high-yield savings account), adequate disability and life insurance, no outstanding debts other than a manageable mortgage, and his wife's separate income of \$120,000 per year. Patricia documented her analysis and concerns about the existing concentration in company stock and recommended that Daniel begin a systematic diversification plan for his RSU holdings. For the \$1.8 million in outside investable assets, Patricia constructed a portfolio allocated 65% to a diversified basket of 30 individual technology and AI-related equities across large-cap, mid-cap, and international names, 15% to a broad market index fund, 10% to investment-grade bonds, and 10% to an international developed markets ETF. She provided Daniel with a written investment policy statement that detailed the concentrated strategy, the specific risks of sector overweighting, stress-test scenarios showing potential losses in a tech downturn, and a plan to revisit the allocation annually. Daniel signed the IPS and confirmed his understanding.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

No, Patricia Nolan did not violate applicable suitability or best interest standards, despite the concentrated sector tilt in the portfolio.

**\*\*Applicable Standards:\*\***

1. **\*\*Investment Advisers Act Fiduciary Duty:\*\*** As an investment adviser representative at a registered investment advisory firm, Patricia owes Daniel a fiduciary duty encompassing both a duty of care and a duty of loyalty. The duty of care requires her to provide advice that is in the client's best interest based on a thorough understanding of the client's financial situation, objectives, and risk tolerance.
2. **\*\*FINRA Rule 2111 (Suitability):\*\*** While this rule primarily applies to broker-dealers, the suitability framework is instructive. Notably, FINRA has stated that a concentrated position is not per se unsuitable -- the analysis depends on the customer's full financial profile, sophistication, expressed preferences, and the advisor's documentation.
3. **\*\*Regulation Best Interest (Reg BI):\*\*** If any component involved a broker-dealer recommendation, the Care

Obligation requires the advisor to consider the customer's investment profile and exercise reasonable diligence. Concentration is permissible when it aligns with a sophisticated client's informed preferences.

**\*\*Analysis of Compliance:\*\***

- **\*\*Client Profile Supports the Strategy:\*\*** Daniel is a 42-year-old, high-income, financially sophisticated technology professional with an 18-year time horizon, high risk tolerance, aggressive growth objectives, and substantial household income (\$460,000+ annually). He has no significant debts, adequate insurance, and an emergency fund. His financial profile can reasonably absorb the volatility associated with a sector-concentrated equity strategy.

- **\*\*Informed Consent and Documentation:\*\*** Patricia obtained Daniel's written acknowledgment of concentration risks, prepared a detailed investment policy statement with stress-test scenarios, and had Daniel sign it. This thorough documentation demonstrates that the client made an informed decision.

- **\*\*Holistic Financial Planning:\*\*** Patricia did not simply accede to the client's request without analysis. She reviewed his entire financial picture, including the additional concentration risk from his \$2.1 million in company stock, and specifically recommended a systematic diversification plan for the RSU holdings. This demonstrates that she considered the broader portfolio context and provided balanced guidance.

- **\*\*Reasonable Diversification Within the Concentration:\*\*** Even within the technology-focused allocation, Patricia spread the 65% tech allocation across 30 individual equities spanning large-cap, mid-cap, and international names, reducing single-stock risk. The remaining 35% of the portfolio was allocated to broad market, international, and bond exposures, providing meaningful diversification beyond the sector tilt.

- **\*\*Ongoing Monitoring Plan:\*\*** The IPS includes an annual review provision, ensuring the strategy will be reassessed as Daniel's circumstances evolve.

**\*\*Likely Regulatory Outcome:\*\*** No violation would be found. Regulators and arbitration panels have consistently recognized that concentration is permissible when it is consistent with a sophisticated client's documented preferences, the advisor has conducted a thorough analysis of the client's overall financial situation, the risks have been clearly disclosed, and the client has provided informed consent. Patricia's thorough process and documentation exemplify best practices in managing a client-directed concentrated strategy.

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**Item 470 of 499****NON-COMPLIANT****Topic:** illiquid\_investments**Difficulty:** medium**Fact Pattern**

Margaret Dawson, age 72, is a retired schoolteacher living in Tucson, Arizona. She has a total net worth of approximately \$410,000, consisting of \$285,000 in a brokerage account, \$75,000 in a savings account, and a home valued at \$50,000 with no mortgage. Her sole income sources are Social Security payments of \$2,100 per month and a small pension of \$850 per month. She has no other family support and is responsible for her own medical expenses, which have been increasing due to a recent diagnosis of early-stage Parkinson's disease. During a meeting in March 2023, she told her financial advisor, Kevin Bartlett, that she wanted to keep her money safe and accessible because she anticipated needing funds for home modifications, in-home care aides, and potential assisted living costs within the next 12 to 24 months. She explicitly stated she could not afford to lose principal and needed liquidity. Bartlett recommended she invest \$200,000 of her brokerage account into a private real estate investment trust that invested in commercial office properties. The product carried no public market for shares, imposed a minimum five-year holding period before any redemption requests could be submitted, and even after the holding period, redemptions were subject to quarterly caps and board approval with no guarantee of fulfillment. The product's prospectus disclosed upfront fees of 7% (a combination of selling commissions and offering costs), annual management fees of 1.5%, and an additional performance allocation of 12.5% above a preferred return. Bartlett received a 6% commission on the sale. Within eight months, Margaret needed \$80,000 to pay for home renovations and hire a part-time caregiver. She contacted Bartlett to liquidate a portion of her investment and was informed that no early redemption was possible. She was forced to deplete her savings account entirely, take a small personal loan, and delay necessary medical accommodations.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Kevin Bartlett committed clear violations of applicable suitability and best interest standards.

**\*\*FINRA Suitability (Rule 2111):\*\*** Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Margaret's profile -- a 72-year-old retiree with a progressive neurological disease, limited income, modest net worth, an explicitly stated need for liquidity within 12-24 months, and stated intolerance for principal loss -- was fundamentally incompatible with a non-traded REIT carrying a five-year lockup, no guaranteed redemption, 7% upfront costs, and exposure to volatile commercial office real estate. The recommendation failed all three components of the suitability obligation: (1) Reasonable-basis suitability: the product's extreme illiquidity and high costs make it questionable for most retail investors with near-term liquidity needs; (2) Customer-specific suitability: the product directly contradicted Margaret's stated objectives; (3) Quantitative suitability: concentrating nearly 49% of her total net worth (\$200,000 of \$410,000) in a single illiquid alternative investment was excessive.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under Reg BI's Care Obligation, Bartlett was required to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the potential

risks, rewards, and costs of the recommendation. He was also required to consider reasonably available alternatives. Given Margaret's explicit liquidity needs, short time horizon, and low risk tolerance, recommending a locked-up, high-fee non-traded REIT was a clear failure of the Care Obligation. Under the Disclosure Obligation, Bartlett was required to disclose material facts about the recommendation, including conflicts of interest; the 6% commission created a significant conflict, and while disclosure alone would not cure the violation, any inadequate disclosure would compound it. Under the Conflict of Interest Obligation, Bartlett's firm was required to have policies to identify and mitigate conflicts arising from the compensation differential.

**\*\*Investment Advisers Act Fiduciary Duty (if applicable):\*\*** If Bartlett operated in a fiduciary advisory capacity, the recommendation would also violate the fiduciary duty of care and loyalty, as he prioritized his own compensation over his client's clearly articulated needs.

**\*\*Likely Regulatory Outcome:\*\*** Bartlett would likely face FINRA enforcement action, including disgorgement of commissions, restitution to the client, fines, a suspension, or a bar depending on his disciplinary history. The concentration, illiquidity mismatch, and disregard of the client's explicit instructions represent textbook violations frequently cited in FINRA enforcement proceedings involving non-traded REITs sold to elderly customers.

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## Item 471 of 499

### COMPLIANT

**Topic:** alternative\_investments\_unsuitable

**Difficulty:** hard

### Fact Pattern

David Chen, age 48, is a senior software engineer at a major technology company earning \$425,000 per year in base salary plus \$300,000 in annual restricted stock units. He has a total liquid net worth of approximately \$4.8 million, consisting of \$2.1 million in a taxable brokerage account, \$1.4 million in retirement accounts (401(k) and Roth IRA), \$800,000 in cash and money market funds, and \$500,000 in individual stock holdings outside his employer's stock. He also owns a \$1.2 million home with a remaining mortgage of \$320,000. David has been investing for over 20 years, holds a CFA charterholder designation himself (though he works in technology, not finance), and has previously invested in hedge funds and venture capital through prior advisory relationships. His stated investment objectives are long-term capital appreciation with a secondary goal of portfolio diversification away from technology sector concentration. He described his risk tolerance as aggressive and confirmed in writing that he had no anticipated liquidity needs for at least 10 years beyond his existing cash reserves. In September 2023, his registered investment advisor, Patricia Morales at a fee-only advisory firm, recommended that David allocate \$350,000 (approximately 7.3% of his liquid net worth) to a diversified private equity fund-of-funds with a 10-year term, a J-curve return profile, capital calls over the first 3-4 years, a management fee of 1.0% on committed capital, and an underlying carried interest structure of 20% above an 8% preferred return. Patricia provided David with the fund's private placement memorandum, a detailed risk disclosure document, a side-by-side comparison with three alternative products (including a publicly traded private equity ETF and a less expensive direct co-investment opportunity), and a written analysis of how the allocation fit within his overall portfolio. She documented David's investment experience, his written acknowledgment of the illiquidity and risk of loss, and the rationale for the recommendation in her client file. Patricia's firm charged David a flat 0.60% annual advisory fee on assets under management and received no additional compensation or placement fee from the private equity fund. Three years later, the fund has returned capital on one early exit at a modest gain but is otherwise still in its investment period, performing in line with expectations.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

No, Patricia Morales acted properly and in compliance with applicable suitability and best interest standards.

**\*\*Investment Advisers Act Fiduciary Duty:\*\*** As a registered investment advisor at a fee-only firm, Patricia owed David a fiduciary duty of care and loyalty. The duty of care requires that an advisor provide advice that is in the client's best interest, based on a thorough understanding of the client's financial situation, objectives, and risk tolerance. Here, Patricia conducted a thorough assessment of David's profile: he is a high-income, high-net-worth individual with an aggressive risk tolerance, a 10+ year time horizon, substantial liquidity reserves (\$800,000 in cash), extensive investment experience (20 years, CFA charterholder, prior alternative investment experience), and a stated objective of diversification and long-term growth. The \$350,000 allocation represented only 7.3% of his liquid portfolio -- a moderate and appropriate allocation to illiquid alternatives for an investor of his profile. The duty of loyalty requires that the advisor not place her own interests above the client's. Patricia's firm charged only its standard 0.60% AUM fee and received no placement fees, sales commissions, or revenue-sharing from the fund, eliminating a major category of conflict.

**\*\*Regulation Best Interest (Reg BI) -- if applicable in a dual-registered context:\*\*** Even analyzed under Reg BI's Care Obligation, the recommendation satisfies all requirements. Patricia exercised reasonable diligence by evaluating the product's characteristics (10-year term, J-curve, capital calls, fee structure), comparing it against reasonably available alternatives (she presented three alternatives with a written comparison), and assessing it against David's specific profile. Under the Disclosure Obligation, she provided the PPM, risk disclosures, and comparative analysis. Under the Conflict of Interest Obligation, her fee-only structure minimized conflicts.

**\*\*FINRA Rule 2111 Suitability (if broker-dealer involved):\*\*** The recommendation would also satisfy all three suitability obligations -- reasonable-basis (PE fund-of-funds is a recognized institutional-quality strategy), customer-specific (matches David's wealth, experience, risk tolerance, time horizon, and objectives), and quantitative (7.3% allocation is not excessive).

**\*\*Documentation and Process:\*\*** Patricia's thorough documentation -- including the client's written acknowledgment of illiquidity and risk, the comparative product analysis, and the portfolio-level rationale -- reflects best practices and would serve as strong evidence of compliance in any regulatory review.

**\*\*Likely Regulatory Outcome:\*\*** No violation. If examined by regulators, the documented process, conflict-free compensation structure, appropriate client profile match, moderate concentration level, and David's sophistication would all support a finding that Patricia met and exceeded her obligations.

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**Item 472 of 499****NON-COMPLIANT****Topic:** market\_timing\_unsuitable**Difficulty:** medium**Fact Pattern**

Helen Kowalski, age 71, is a retired schoolteacher living in suburban Pittsburgh with an annual pension income of \$42,000 and Social Security benefits of \$22,800. Her total liquid savings amount to approximately \$385,000, held primarily in a traditional IRA rollover account. She described her investment objectives as income generation and capital preservation, and on her new account form she indicated a conservative risk tolerance and a long-term time horizon since the funds were earmarked to supplement her retirement income for the remainder of her life. She has no other significant assets aside from her home, valued at approximately \$175,000 with no mortgage. Her financial advisor, Derek Paulson, who had been assigned to her account in January 2022 after her previous advisor retired, began executing a series of rapid exchanges among Class A mutual funds within her IRA. Between March 2022 and February 2023, Paulson executed 47 round-trip trades across six different large-cap equity mutual funds and four bond funds. The average holding period for each position was approximately 11 days. Each purchase into a Class A share fund carried a front-end sales charge of 4.25% to 5.75%. Over the twelve-month period, Mrs. Kowalski paid approximately \$38,600 in cumulative front-end sales charges and the account experienced a net loss of \$51,200, reducing her IRA from \$385,000 to approximately \$333,800. Paulson told Mrs. Kowalski that he was employing a "tactical rotation strategy" to capture short-term sector momentum and protect her from market downturns. Mrs. Kowalski, who has no investment experience beyond holding certificates of deposit prior to rolling over her 403(b), trusted Paulson's recommendations and approved each trade by phone. Paulson's production records show that the commissions generated from her account represented roughly 22% of his total annual production for 2022. No alternative share classes, advisory fee accounts, or lower-cost fund options were discussed with Mrs. Kowalski at any point.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Paulson violated applicable suitability and best interest standards on multiple grounds.

**\*\*Quantitative Suitability / Excessive Trading:\*\*** Under FINRA Rule 2111 (Suitability), specifically the quantitative suitability obligation, a broker must have a reasonable basis for believing that a series of recommended transactions, even if individually suitable, are not excessive and unsuitable when taken together in light of the customer's profile. Here, 47 round-trip trades over 12 months in a conservative retiree's IRA, with an average holding period of just 11 days, is a textbook example of excessive trading (churning). The turnover rate would be extraordinarily high, and the cost-to-equity ratio -- with \$38,600 in sales charges on a \$385,000 account -- far exceeds the thresholds commonly regarded as presumptively excessive (typically 20% annually). The account would have needed to generate approximately a 10% return just to break even on costs, which is fundamentally inconsistent with a conservative income-oriented objective.

**\*\*Customer-Specific Suitability:\*\*** Mrs. Kowalski's profile -- age 71, retired, limited income, conservative risk tolerance, capital preservation and income objectives, and virtually no investment sophistication -- makes frequent trading in load-bearing equity mutual funds entirely inappropriate. Class A mutual fund shares are designed for buy-and-hold

investors; their front-end loads are amortized over long holding periods. Using them for 11-day tactical trades maximizes cost and minimizes any potential benefit.

**\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under the SEC's Regulation Best Interest, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making recommendations to retail customers. The Care Obligation specifically requires consideration of reasonably available alternatives and evaluation of whether a series of transactions is in the customer's best interest when viewed in the aggregate. Paulson failed on both counts: he never discussed lower-cost share classes, no-load alternatives, or fee-based advisory accounts, and the aggregate trading pattern was plainly detrimental.

**\*\*Reg BI -- Disclosure and Conflict of Interest Obligations:\*\*** Paulson's commissions from Mrs. Kowalski's account constituted 22% of his annual production, creating a severe conflict of interest that should have been disclosed and mitigated. There is no indication that this conflict was addressed or that the firm's policies to mitigate such conflicts were followed.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\*** Churning a 71-year-old retiree's account to generate commissions is inconsistent with just and equitable principles of trade.

**\*\*Likely Regulatory Outcome:\*\*** Paulson would likely face FINRA enforcement action for churning and unsuitable recommendations, resulting in disgorgement of commissions, restitution to Mrs. Kowalski, substantial fines, and a potential bar from the industry. The firm could face supervisory failure charges under FINRA Rule 3110 for failing to detect the red flags of excessive trading. The SEC could also pursue a Reg BI violation. Mrs. Kowalski would likely recover her losses through FINRA arbitration.

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## Item 473 of 499

### NON-COMPLIANT

**Topic:** crypto\_assets\_unsuitable

**Difficulty:** hard

### Fact Pattern

Marcus Delgado, age 58, is a mid-level operations manager at a logistics company earning \$94,000 per year. He has approximately \$520,000 in total retirement savings: \$410,000 in a 401(k) with his current employer and \$110,000 in a Roth IRA held at Summit Financial Services, where his advisor is Tanya Bridges. Marcus also has \$45,000 in a taxable brokerage account at the same firm and \$18,000 in a savings account. He is divorced, pays \$1,200 per month in alimony for another four years, and has one child in college whose tuition is covered by a 529 plan. Marcus indicated on his client profile that his risk tolerance is moderate, his primary objectives are growth and retirement readiness by age 65, and he has moderate investment knowledge, having managed index fund allocations in his 401(k) for years. In September 2023, Tanya Bridges recommended that Marcus invest \$55,000 from his Roth IRA -- representing 50% of that account -- into a cryptocurrency-linked exchange-traded product (ETP) that tracks a basket of digital assets including Bitcoin, Ethereum, Solana, and several smaller altcoins. The product carried an expense ratio of 2.45% and was structured as a grantor trust with no daily redemption mechanism, meaning shares could trade at a significant premium or discount to net asset value. Bridges described the recommendation as a way to 'supercharge the tax-free growth potential' of the Roth IRA, noting that if crypto appreciated substantially, all gains would be tax-free upon qualified distribution. She did not discuss the extreme volatility history of the underlying digital assets, the liquidity constraints of the product structure, the premium/discount risk, or the fact that the product's altcoin exposure included tokens with market capitalizations under \$500 million. She also did not mention lower-cost Bitcoin-only ETPs that had recently become available with expense ratios under 0.30%. By March 2024, the product had declined 38% in value, reducing the \$55,000 position to approximately \$34,100. Simultaneously, the product was trading at an 11% discount to its NAV, compounding the paper loss. Marcus, alarmed, contacted Bridges, who suggested holding through the volatility. Marcus's remaining Roth IRA holdings consisted of a target-date 2030 fund and a blue-chip dividend equity fund, both of which had performed in line with their benchmarks during the same period.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Tanya Bridges violated suitability and best interest standards in several significant ways.

**\*\*FINRA Rule 2111 -- Reasonable-Basis Suitability:\*\*** An advisor must have a reasonable basis for believing that a recommendation is suitable for at least some investors based on adequate due diligence. A cryptocurrency-basket ETP with a 2.45% expense ratio, no daily redemption, premium/discount risk, and exposure to microcap altcoins raises serious reasonable-basis concerns. Bridges apparently did not adequately understand or convey the structural risks of the product. Moreover, she failed to consider lower-cost, more liquid alternatives -- including recently launched Bitcoin-only ETPs with expense ratios under 0.30% -- which would have offered crypto exposure with substantially less cost and complexity.

**\*\*FINRA Rule 2111 -- Customer-Specific Suitability:\*\*** Marcus is 58 years old, seven years from his stated retirement target, with moderate risk tolerance and a growth-oriented but retirement-focused objective. Allocating 50% of his Roth IRA (\$55,000 out of \$110,000) to a highly volatile, structurally complex crypto product is disproportionate to his profile.

Cryptocurrency assets have historically exhibited annualized volatility of 60-80%+, and the inclusion of small-cap altcoins amplifies this further. A moderate-risk investor approaching retirement should not have half of any single retirement account concentrated in such a speculative asset class. A more appropriate allocation, if any crypto exposure were warranted, would have been a much smaller position (perhaps 5-10% of the Roth IRA) in a lower-cost, more liquid product.

**\*\*Regulation Best Interest -- Care Obligation:\*\*** Under Reg BI, Bridges was required to exercise reasonable diligence, care, and skill in making this recommendation, including evaluating reasonably available alternatives. She failed to present the lower-cost Bitcoin-only ETPs as an alternative, failed to discuss the liquidity constraints and premium/discount risk of the recommended product, and failed to consider the concentration risk of placing 50% of the Roth IRA in a single speculative position. The tax-free growth rationale -- that crypto gains in a Roth IRA would be tax-free -- while factually accurate, does not justify the outsized risk. The same tax-free treatment applies to any asset held in the Roth IRA, including the target-date and dividend funds Marcus already owned, and the argument could be used to justify virtually any speculative investment in a Roth.

**\*\*Reg BI -- Disclosure Obligation:\*\*** Bridges failed to disclose material facts about the product, including the extreme historical volatility of the underlying assets, the illiquidity features of the grantor trust structure, the premium/discount trading dynamics, and the concentration in small-cap altcoins. These omissions prevented Marcus from making an informed investment decision.

**\*\*Reg BI -- Conflict of Interest Obligation:\*\*** The 2.45% expense ratio product may have generated higher compensation for Bridges or her firm compared to lower-cost alternatives. If so, this conflict should have been identified, disclosed, and mitigated. There is no indication this occurred.

**\*\*FINRA Crypto-Related Guidance:\*\*** FINRA has issued communications emphasizing the heightened risks of crypto-related investments and the need for advisors to ensure customers understand the speculative nature, volatility, and unique structural risks of such products. Bridges's failure to discuss these risks represents a significant departure from expected practices.

**\*\*Likely Regulatory Outcome:\*\*** This case involves multiple overlapping failures -- unsuitable concentration, failure to consider alternatives, inadequate disclosure, and potential conflict of interest. Bridges would likely face a FINRA enforcement action resulting in a fine, suspension, and restitution order. The firm could face supervisory charges under FINRA Rule 3110 for inadequate review of a large, concentrated crypto-product recommendation in a near-retiree's account. Marcus could pursue damages through FINRA arbitration for the losses sustained, and the premium/discount dynamic -- which compounded his losses beyond even the decline in the underlying assets -- would be an aggravating factor demonstrating the product's unsuitability.

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**Item 474 of 499****NON-COMPLIANT****Topic:** penny\_stocks\_unsuitable**Difficulty:** medium**Fact Pattern**

Margaret Holloway, age 72, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her pension and \$1,600 per month from Social Security. Her total liquid savings amount to approximately \$185,000, held in an IRA rollover account, which represents nearly all of her retirement assets aside from her modest home valued at \$210,000. She has no other sources of income. When she opened her brokerage account in January 2023, she indicated on her new account form that her investment objective was "income and preservation of capital," her risk tolerance was "low," her time horizon was "5-10 years," and her annual income was \$48,000. She noted she had "limited" investment experience, having only owned certificates of deposit and a small mutual fund position previously. Her financial advisor, Derek Stanton, age 38, began recommending penny stocks to Margaret in March 2023. Over a period of seven months, Stanton executed 43 separate transactions in micro-cap and penny stocks priced between \$0.12 and \$2.85 per share across companies in speculative sectors including cannabis startups, early-stage biotech firms with no revenue, and cryptocurrency mining operations. The total value of penny stock purchases over this period exceeded \$142,000, representing roughly 77% of her IRA assets. Commissions on these trades totaled approximately \$8,900. Many of the positions were held for fewer than 15 days before being sold at a loss and replaced with another penny stock. By October 2023, Margaret's account had declined to \$97,000 -- a loss of approximately \$88,000, or 47.6% of her original portfolio. Stanton told Margaret these were "ground floor opportunities" and that she needed "aggressive growth to keep up with inflation in retirement." Margaret states she trusted Stanton because he was referred by a friend from her church and she did not understand the nature of the stocks being purchased.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Stanton clearly violated applicable suitability and best interest standards on multiple grounds.

**\*\*FINRA Suitability Analysis (Rule 2111):\*\***

FINRA Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience.

1. **\*\*Customer-Specific Suitability:\*\*** Margaret is a 72-year-old retiree with limited income (\$48,000/year), low risk tolerance, a stated objective of income and preservation of capital, limited investment experience, and a moderate time horizon. Penny stocks are among the most speculative and volatile securities available. They are inherently unsuitable for a conservative, elderly investor dependent on her savings for retirement income. Concentrating 77% of her IRA in penny stocks flagrantly contradicts every element of her investment profile.

2. **\*\*Quantitative Suitability:\*\*** The 43 trades in seven months, many held fewer than 15 days, strongly suggest excessive trading (churning). The rapid turnover generated \$8,900 in commissions while producing massive losses. This pattern indicates the trading was designed to benefit the advisor through commissions rather than the customer.

3. **Reasonable-Basis Suitability:** Penny stocks in speculative sectors (cannabis startups, pre-revenue biotech, crypto mining) carry extreme risk and liquidity concerns. Even for an aggressive, sophisticated investor, concentrating a retirement account so heavily in such securities would be questionable. For this customer, there is no reasonable basis whatsoever.

**Regulation Best Interest (Reg BI) Analysis:**

Under Reg BI's Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill in making recommendations and must consider the customer's investment profile. The advisor must have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the advisor's interest ahead of the customer's. Stanton's pattern of recommending speculative penny stocks to a conservative retiree, generating significant commissions through rapid turnover while destroying nearly half her retirement savings, clearly places his financial interest above hers. The recommendation fails all components of the Care Obligation.

**Additional Violations:**

- FINRA Rule 2020 (use of manipulative, deceptive, or other fraudulent devices): Stanton's mischaracterization of penny stocks as necessary to "keep up with inflation" to a customer who expressly wanted capital preservation could constitute a misleading statement.
- FINRA Rule 3110 (supervision): The firm's supervisory system should have flagged the concentration of a 72-year-old conservative client's IRA in penny stocks and the high frequency of trading.

**Likely Regulatory Outcome:** Stanton would likely face suspension or bar from the industry, disgorgement of commissions, restitution to the customer, and significant fines. The employing firm could face supervisory failure charges. Margaret would likely prevail in a FINRA arbitration claim for damages of approximately \$88,000 plus fees and costs.

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## Item 475 of 499

### NON-COMPLIANT

**Topic:** private\_placements\_unsuitable

**Difficulty:** hard

### Fact Pattern

Thomas and Linda Brennan, ages 59 and 57 respectively, are a married couple from suburban Atlanta. Thomas works as a mid-level IT project manager earning \$115,000 annually, and Linda is a part-time dental hygienist earning \$38,000. Their combined household income is \$153,000. They have \$620,000 in combined retirement accounts (a mix of 401(k)s and traditional IRAs), a joint brokerage account with \$95,000, a savings account with \$40,000, and a home worth \$385,000 with \$140,000 remaining on the mortgage. They have two children: one in college (with \$45,000 in remaining tuition obligations) and one who recently graduated. The Brennans' account documents list their risk tolerance as "moderate," investment objectives as "growth and income," time horizon as "10+ years," and investment experience as "moderate" -- they have owned diversified mutual funds and a few individual blue-chip stocks over the years but have never invested in alternative or illiquid products.

Their financial advisor, Cynthia Park, age 45, recommended in February 2024 that the Brennans invest \$200,000 -- comprising their entire joint brokerage account (\$95,000) plus \$105,000 rolled out of Thomas's 401(k) into a new IRA -- into two private placement offerings. The first was a \$120,000 investment in a non-traded real estate investment trust (REIT) focused on developing luxury resort properties in the Caribbean, with a seven-year lockup period, no guaranteed distributions, a 12% upfront load (including selling commissions and offering expenses), and a minimum investment of \$50,000. The second was an \$80,000 investment in a private placement limited partnership that pools capital to acquire distressed commercial real estate debt, with a projected five-year term, quarterly distributions described in the offering memorandum as "targeted but not guaranteed" at 8% annually, a 10% upfront fee structure, and restrictions on redemption except in cases of death or disability of the investor.

Park told the Brennans these investments would provide "steady passive income" and "much better returns than sitting in mutual funds." She did not provide the offering memoranda until the day of signing and encouraged them to sign quickly because the offerings were "closing soon." She did not discuss the illiquidity, the substantial upfront fees reducing their invested capital, the speculative nature of Caribbean resort development, or the risk profile of distressed debt investing. She also did not discuss how concentrating \$200,000 in illiquid alternatives would affect their overall liquidity, particularly given their remaining college tuition obligations and the fact that they are within a decade of retirement. The Brennans later learned that Park received a combined commission of approximately \$22,400 on the two transactions. Within 18 months, the non-traded REIT suspended all distributions and disclosed that two of its Caribbean resort projects had stalled due to permitting issues, while the distressed debt fund reported that several of its loan acquisitions had defaulted with recovery rates well below projections. The Brennans estimate their combined positions are now worth approximately \$110,000, reflecting a loss of roughly \$90,000, and they cannot liquidate either investment.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Cynthia Park violated multiple applicable suitability and best interest requirements through her recommendations to the Brennans.

**\*\*FINRA Suitability Analysis (Rule 2111):\*\***

1. **\*\*Customer-Specific Suitability:\*\*** The Brennans are a moderate-risk couple approaching retirement (ages 59 and 57) with a combined income of \$153,000, meaningful near-term liquidity needs (\$45,000 in remaining college tuition), and no prior experience with alternative or illiquid investments. Allocating \$200,000 -- roughly 26% of their total investable assets (\$620,000 + \$95,000 + \$40,000 = \$755,000) -- to two illiquid private placements with long lockup periods is inconsistent with their moderate risk tolerance, their need for liquidity, and their lack of experience with complex alternative products. The concentration in illiquid alternatives is particularly problematic given that the \$200,000 represented 100% of their non-retirement liquid investment assets (the \$95,000 brokerage account) plus a portion of retirement savings, leaving only \$40,000 in liquid savings for a family with active college tuition obligations.

2. **\*\*Reasonable-Basis Suitability:\*\*** Both products carry significant risks that Park failed to evaluate or communicate. A non-traded REIT investing in Caribbean luxury resort development is highly speculative, subject to construction, permitting, currency, and geopolitical risks. A distressed commercial debt fund involves credit risk, recovery risk, and significant illiquidity. The 12% and 10% upfront fee structures mean that approximately \$22,400 of the Brennans' \$200,000 was immediately consumed by costs, requiring substantial appreciation merely to break even. Park needed to perform reasonable diligence on these products and understand their risks before recommending them, and the facts suggest she either failed to do so or disregarded what she found.

3. **\*\*Quantitative Suitability:\*\*** While this prong typically addresses excessive trading, the concentration of such a large portion of available assets in two illiquid, high-fee products with long lockups effectively rendered the Brennans' portfolio illiquid and unable to be managed or rebalanced.

**\*\*Regulation Best Interest (Reg BI) Analysis:\*\***

- **\*\*Disclosure Obligation:\*\*** Park failed to provide meaningful disclosure. She withheld the offering memoranda until the signing appointment and pressured the clients to sign quickly. This deprived the Brennans of the opportunity to review the material risks, fees, and terms of the investments before committing capital.

- **\*\*Care Obligation:\*\*** Park did not exercise reasonable diligence, care, and skill. She failed to consider the Brennans' full financial picture -- particularly their upcoming tuition expenses, their proximity to retirement, their liquidity needs, and their lack of experience with illiquid alternatives. She did not evaluate reasonable alternatives (e.g., publicly traded REITs, investment-grade bond funds) that could have provided income and growth with far greater liquidity and transparency. The recommendation placed her financial interest (a \$22,400 commission) ahead of the customers' best interest.

- **\*\*Conflict of Interest Obligation:\*\*** The substantial commissions (\$22,400, representing over 11% of the invested amount) created a significant conflict of interest. There is no indication Park disclosed this conflict or that the firm had policies to mitigate it. The high commission structure likely motivated the recommendation.

**\*\*FINRA Notices and Guidance on Private Placements:\*\***

FINRA has issued extensive guidance (including Regulatory Notices 10-22 and 12-33) emphasizing member firms' obligations to conduct thorough due diligence on private placements before recommending them to customers, including investigation of the issuer, the offering terms, and the risks. Firms must also ensure concentration in illiquid products is appropriate given the customer's overall financial situation. The facts suggest both Park and her firm failed in this regard.

**\*\*FINRA Rules on Non-Traded REITs:\*\***

FINRA has specifically addressed non-traded REITs (including in Rule 2310 on Direct Participation Programs),

requiring that recommendations be suitable and that customers receive adequate disclosure of fees, risks, and illiquidity. Many state regulators also impose concentration limits (commonly 10% of liquid net worth) for non-traded REITs. The \$120,000 non-traded REIT investment alone likely exceeds applicable concentration guidelines.

**\*\*Likely Regulatory Outcome:\*\*** Park would likely face a FINRA enforcement action resulting in a substantial fine, suspension, and an order to pay restitution. The firm could face additional liability for supervisory failures, particularly for failing to review the suitability of the private placement recommendations, failing to enforce concentration limits, and failing to ensure adequate disclosure. In FINRA arbitration, the Brennans would have strong claims for the approximately \$90,000 in losses plus the \$22,400 in excessive fees/commissions, and could also seek consequential damages related to the illiquidity of their remaining positions.

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## Item 476 of 499

### NON-COMPLIANT

**Topic:** overconcentration\_single\_stock

**Difficulty:** medium

### Fact Pattern

Margaret Chen, age 72, is a retired school librarian living in suburban Ohio. She has a total net worth of approximately \$620,000, of which \$485,000 is in a brokerage account that represents her primary retirement savings. She receives \$1,850 per month in Social Security and a small pension of \$900 per month. Her risk tolerance, as documented on her new account form in January 2022, was "moderate" with an investment objective of "income and capital preservation." She told her advisor, Derek Sullivan, that she could not afford significant losses because this money needed to last through her retirement and potentially cover future assisted-living expenses. In March 2022, Sullivan recommended that Margaret invest \$340,000 -- roughly 70% of her brokerage account -- into shares of a single mid-cap biotechnology company, Veridian Therapeutics. Sullivan told Margaret that the company was "about to get FDA approval for a blockbuster drug" and that the stock could triple within a year. He did not discuss the speculative nature of biotechnology stocks, the risks of concentrating the majority of her retirement savings in a single equity position, or any alternative diversified income-producing strategies. Margaret, trusting her advisor of six years, followed the recommendation. By November 2022, Veridian Therapeutics announced that its lead drug candidate had failed a Phase III clinical trial, and the stock declined 68%. Margaret's \$340,000 position was now worth approximately \$108,800, a loss of over \$231,000. Her remaining account holdings, consisting of a money market fund and a small bond allocation, were worth roughly \$148,000. Her total brokerage account had fallen from \$485,000 to approximately \$256,800. Margaret filed a complaint stating she was never informed of the risks of concentrating her life savings in a single speculative stock.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Derek Sullivan violated applicable suitability and best interest standards on multiple grounds.

**\*\*FINRA Suitability Analysis (Rule 2111):\*\*** FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. This rule encompasses three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

Regarding reasonable-basis suitability, recommending a 70% concentration in a single mid-cap biotech stock -- an inherently speculative sector dependent on binary regulatory outcomes -- to any retail investor raises serious concerns. A reasonable advisor would understand that a single clinical trial failure could devastate the position.

Regarding customer-specific suitability, the recommendation was profoundly unsuitable for Margaret's documented profile. She was a 72-year-old retiree with moderate risk tolerance, income and capital preservation objectives, limited income sources, and no ability to recover from large losses. Concentrating 70% of her retirement savings in a single speculative equity directly contradicted every element of her investment profile.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under the SEC's Regulation Best Interest, a broker-dealer must act in the retail

customer's best interest at the time a recommendation is made, without placing the broker's interest ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the risks and rewards and having a reasonable basis to believe the recommendation is in the customer's best interest considering the customer's profile. Concentrating a 72-year-old retiree's savings in a single speculative stock fails this standard decisively. Additionally, the Disclosure Obligation was not met, as Sullivan did not inform Margaret of the speculative nature of the investment, the concentration risk, or the potential for catastrophic loss.

**\*\*Overconcentration:\*\*** FINRA has consistently held that overconcentration in a single security is a hallmark suitability violation. Placing 70% of a customer's liquid retirement assets in one speculative stock -- particularly for a customer with conservative objectives -- is a textbook example of unsuitable overconcentration.

**\*\*Likely Regulatory Outcome:\*\*** Sullivan would likely face FINRA enforcement action resulting in a suspension, substantial fine, and an order to pay restitution to Margaret. In an arbitration proceeding, Margaret would have a strong claim for compensatory damages of approximately \$231,000, plus potential interest. The firm employing Sullivan could also face supervisory failure charges if it lacked adequate procedures to flag concentration of this magnitude in a senior investor's account.

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**Item 477 of 499****COMPLIANT****Topic:** illiquid\_investments**Difficulty:** hard**Fact Pattern**

Jonathan Reeves, age 48, is a senior partner at a management consulting firm earning approximately \$1.2 million per year. He has a total net worth of \$8.5 million, including \$3.1 million in liquid brokerage and retirement accounts, \$2.8 million in home equity, and \$2.6 million in existing private equity and venture capital fund investments he made independently over the past decade. His risk tolerance, documented in his updated client profile in February 2023, was "aggressive," with investment objectives of "growth" and "long-term capital appreciation." Jonathan told his financial advisor, Patricia Lam, that he had a minimum 15-year investment horizon, did not need current income from his portfolio, and was comfortable with illiquid investments given his high cash flow and existing familiarity with private markets. In April 2023, Patricia recommended that Jonathan invest \$400,000 into a non-traded real estate investment trust (REIT) focused on industrial warehouse and logistics properties. The REIT had a projected holding period of seven to ten years, carried an upfront commission and fee load of 8.5% (approximately \$34,000), offered no guaranteed distributions, and had very limited redemption provisions -- investors could request quarterly redemptions only after a two-year lock-up period, subject to the fund's discretion and a 5% quarterly redemption cap. Patricia provided Jonathan with the offering memorandum and a separate disclosure document she prepared summarizing the fee structure, illiquidity risks, redemption limitations, lack of a public trading market, and the possibility of total loss. She discussed how this investment fit within his broader portfolio, noting that after the investment, illiquid holdings would represent approximately 35% of his total net worth, while the remaining 65% would be in liquid assets, home equity excluded. She also documented in her notes that Jonathan confirmed he understood the risks, had reviewed the materials, and did not anticipate needing the \$400,000 for at least ten years. Jonathan signed a subscription agreement and a separate acknowledgment of the illiquidity and fee disclosures.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Patricia Lam does not appear to have violated applicable suitability or best interest standards. This recommendation, while involving an illiquid and high-cost product, was appropriate given the customer's profile and the advisor's thorough process.

**\*\*FINRA Suitability Analysis (Rule 2111):\*\*** Under FINRA Rule 2111, Patricia had a reasonable basis to recommend this non-traded REIT. She understood the product's characteristics -- its illiquidity, fee structure, redemption limitations, and risk of loss -- satisfying reasonable-basis suitability. For customer-specific suitability, Jonathan's profile strongly supports the recommendation: he is a high-income (\$1.2M/year), high-net-worth (\$8.5M) investor with aggressive risk tolerance, growth objectives, a 15-year horizon, no need for current income or liquidity from this allocation, and substantial prior experience with illiquid private market investments. The \$400,000 allocation represented less than 5% of his total net worth and approximately 13% of his liquid assets, a reasonable allocation that did not create dangerous overconcentration in illiquid holdings.

**\*\*Regulation Best Interest (Reg BI):\*\*** Under the SEC's Regulation Best Interest, Patricia satisfied the four component obligations. The Disclosure Obligation was met through delivery of the offering memorandum and a supplemental

disclosure document she prepared summarizing fees, illiquidity, and risks. The Care Obligation was satisfied because she exercised reasonable diligence in understanding the product and reasonably concluded it was in Jonathan's best interest given his aggressive profile, long time horizon, high income, and existing comfort with illiquid investments. She also considered the investment in the context of his full portfolio. The Conflict of Interest Obligation would require disclosure of the 8.5% upfront load and any compensation she or her firm received -- her written disclosure document covered this. The Compliance Obligation would be satisfied if her firm maintained appropriate policies, which the documentation suggests.

**\*\*Illiquidity Concentration:\*\*** Although non-traded REITs are frequently scrutinized by regulators due to their illiquidity and high costs, they are not per se unsuitable. After this investment, Jonathan's illiquid holdings (including existing private equity/venture capital plus the new REIT) would total approximately \$3.0 million, or roughly 35% of net worth -- a level that is reasonable for a sophisticated, high-net-worth investor with aggressive objectives and ample liquid reserves.

**\*\*Documentation:\*\*** Patricia's contemporaneous notes, the signed acknowledgment, and the supplemental disclosure document demonstrate a thorough process. This level of documentation is consistent with best practices and would likely satisfy regulatory scrutiny.

**\*\*Likely Regulatory Outcome:\*\*** If reviewed, this transaction would likely be found compliant. The investor profile, thorough disclosure, portfolio-level analysis, and documentation all support the conclusion that the recommendation was suitable and in the customer's best interest.

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**Item 478 of 499****NON-COMPLIANT****Topic:** complex\_products\_unsophisticated\_investor**Difficulty:** medium**Fact Pattern**

Margaret Olsen, age 72, is a retired elementary school teacher living in suburban Ohio. She has a pension providing \$2,800 per month and Social Security benefits of \$1,600 per month. Her total liquid savings consist of \$310,000 in a traditional IRA and \$45,000 in a savings account. She has no prior investment experience beyond certificates of deposit and a money market fund she held at her local bank for 15 years. In March 2023, she met with financial advisor Derek Hanlon after being referred by a friend at her church. During their initial meeting, Margaret explained that her primary goals were capital preservation and generating modest income to supplement her pension. She specifically told Hanlon that she might need to access a significant portion of her IRA within the next 18 months because she was considering moving into an assisted living facility, which would require a deposit of approximately \$85,000 and ongoing monthly payments. She described herself as very conservative and said she 'couldn't afford to lose money at her age.' Hanlon recommended that Margaret invest \$220,000 of her IRA into two non-traded real estate investment trusts: \$120,000 into the Pinnacle Healthcare Properties REIT and \$100,000 into the Atlas Industrial Income REIT. Both products carried upfront commissions of 7%, had minimum recommended holding periods of seven years, and offered no public secondary market for shares. Redemption was available only through limited quarterly share repurchase programs, which were subject to board discretion and historically filled only 30-40% of redemption requests. The prospectuses for both products disclosed significant risks including potential loss of principal, illiquidity, and distributions that could be partially funded by return of capital rather than investment income. Hanlon earned \$15,400 in total commissions from the two transactions. He told Margaret the products would 'pay her like clockwork' and described them as 'just like owning rental property without the hassle.' He did not discuss the illiquidity restrictions in detail and did not present any alternative investments such as investment-grade bond funds, Treasury securities, or publicly traded REITs. By September 2023, Margaret decided to proceed with the assisted living move and submitted redemption requests for both REITs. The Pinnacle fund's repurchase program was fully suspended due to excessive redemption requests, and the Atlas fund fulfilled only 25% of her request, returning approximately \$14,800 after early redemption fees. Margaret was unable to access the vast majority of her invested funds and had to delay her move by over a year, borrowing \$30,000 from a family member to cover initial costs.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Hanlon violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

As a broker recommending securities to a retail customer, Hanlon was subject to Regulation Best Interest (Reg BI) under the Securities Exchange Act, which requires that recommendations be in the retail customer's best interest at the time they are made, without placing the financial interest of the broker ahead of the customer. Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the investment profile of the customer including age, financial situation, investment objectives, time horizon, liquidity needs, and risk tolerance.



Additionally, under FINRA Rule 2111 (Suitability), a member must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile. FINRA Rule 2111 includes three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

**\*\*Analysis of Violations:\*\***

1. **\*\*Customer-Specific Suitability / Care Obligation Violation:\*\*** Margaret was a 72-year-old retiree with no investment sophistication, a conservative risk tolerance, capital preservation objectives, and an explicitly stated need for liquidity within 18 months. Non-traded REITs with seven-year recommended holding periods and severely restricted redemption mechanisms are fundamentally incompatible with every element of her stated investment profile. The concentration of \$220,000 (71% of her liquid IRA assets) into these products was grossly unsuitable.

2. **\*\*Failure to Consider Reasonable Alternatives:\*\*** Hanlon made no effort to present lower-cost, liquid alternatives that could have met Margaret's income and preservation goals, such as short-term Treasury securities, investment-grade bond funds, or publicly traded REIT ETFs with daily liquidity. This failure violates Reg BI's requirement to consider reasonably available alternatives.

3. **\*\*Misleading Characterization:\*\*** Describing non-traded REITs as comparable to 'owning rental property without the hassle' and assuring 'clockwork' payments without disclosing material liquidity restrictions, the possibility of return-of-capital distributions, and the risk of principal loss constitutes a failure to disclose material facts, potentially violating FINRA Rule 2020 (prohibiting manipulative and deceptive practices) and Reg BI's Disclosure Obligation.

4. **\*\*Conflict of Interest:\*\*** The 7% upfront commissions totaling \$15,400 created a significant financial incentive to recommend these products over lower-cost alternatives. Reg BI's Conflict of Interest Obligation required Hanlon to identify and mitigate this conflict, which he failed to do.

**\*\*Likely Regulatory Outcome:\*\*** Hanlon would likely face FINRA enforcement action resulting in monetary fines, disgorgement of commissions, customer restitution, and a potential suspension or bar from the industry. His member firm would also face supervisory failure liability under FINRA Rule 3110 for failing to detect and prevent a clearly unsuitable recommendation to a vulnerable senior investor. FINRA Rule 2165 and related senior investor protection frameworks would further heighten scrutiny given the customer's age and circumstances.

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**Item 479 of 499****NON-COMPLIANT****Topic:** concentration\_risk**Difficulty:** easy**Fact Pattern**

Robert and Linda Chen, ages 58 and 55 respectively, are a married couple in Portland, Oregon. Robert works as a logistics manager earning \$95,000 per year, and Linda is a part-time bookkeeper earning \$32,000 per year. Their combined retirement savings total \$480,000, held in Robert's 401(k) that was recently rolled over into an IRA at their advisor's firm. They also have \$60,000 in a joint taxable brokerage account and approximately \$25,000 in emergency savings. They have two children in college, with tuition obligations of roughly \$22,000 per year for the next three years. During their initial consultation in January 2024 with their new financial advisor, Patricia Navarro, the Chens stated their primary objectives were growth with moderate risk, noting they planned to retire in approximately eight to ten years. Robert mentioned he was 'open to some risk but not comfortable with anything too aggressive' and Linda added that she 'wanted to make sure we don't have all our eggs in one basket.' Their completed risk questionnaire scored them as moderate-risk investors. In February 2024, Navarro recommended investing the entire \$480,000 IRA into shares of a single large-cap technology company, Vertex Dynamics Inc., which she described as a 'can't-miss stock' that had returned 45% over the prior twelve months. She also recommended placing \$50,000 of the \$60,000 taxable account into Vertex Dynamics stock as well, bringing the total position to \$530,000 -- approximately 94% of the couple's investable assets in a single equity security. Navarro did not recommend any diversification, bond allocation, or alternative investments. She earned a standard commission on the equity trades. By August 2024, Vertex Dynamics disclosed accounting irregularities and its stock price declined 52%, reducing the Chens' combined holdings to approximately \$254,400 -- a loss of roughly \$275,600. The Chens were forced to take early distributions from the IRA to cover tuition payments, incurring tax penalties.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Patricia Navarro clearly violated suitability and best interest standards through an extreme concentration of client assets in a single equity security.

**\*\*Applicable Standards:\*\***

Navarro was subject to Regulation Best Interest (Reg BI), which requires broker-dealers to act in the best interest of retail customers when making recommendations. She was also subject to FINRA Rule 2111 (Suitability), which requires a reasonable basis to believe that a recommended transaction or investment strategy involving a security is suitable for the customer based on the customer's investment profile.

FINRA has repeatedly emphasized that concentration in a single security or narrow sector can render a recommendation unsuitable, even if the underlying security is otherwise a legitimate investment.

**\*\*Analysis of Violations:\*\***

1. **\*\*Customer-Specific Suitability Violation:\*\*** The Chens were moderate-risk investors aged 55 and 58, planning to

retire within eight to ten years, with ongoing college tuition obligations. Placing 94% of their investable assets in a single stock is inconsistent with a moderate risk tolerance and is inappropriate for investors approaching retirement with near-term cash flow needs. Linda Chen specifically expressed a desire for diversification.

2. **Reasonable-Basis Suitability Violation:** No reasonable financial professional could conclude that concentrating nearly all of a moderate-risk couple's retirement and non-retirement assets in one stock constitutes a sound investment strategy. Past performance of 45% in one year does not justify abandoning fundamental portfolio construction principles.

3. **Reg BI Care Obligation Violation:** Navarro failed to exercise reasonable diligence, care, and skill. A competent advisor would have recommended a diversified portfolio aligned with the Chens' moderate risk profile, time horizon, and liquidity needs for tuition payments. She did not consider or present any alternative strategies.

4. **Characterizing a speculative recommendation as safe:** Describing any single stock as a 'can't-miss' investment is misleading and fails to convey the inherent risk of concentrated equity positions, implicating FINRA Rules 2210 (Communications with the Public) and 2020.

**Likely Regulatory Outcome:** This is a straightforward concentration case. Navarro would likely face FINRA enforcement proceedings resulting in restitution to the Chens, disgorgement of commissions, monetary fines, and a suspension or bar. Her supervising firm would face liability under FINRA Rule 3110 for failure to supervise, as the concentration of an entire account in a single security should have triggered supervisory review and intervention. The Chens may also pursue arbitration through FINRA Dispute Resolution to recover their losses.

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## Item 480 of 499

### NON-COMPLIANT

**Topic:** junk\_bonds\_conservative\_investor

**Difficulty:** easy

### Fact Pattern

Margaret Holloway, age 74, is a retired elementary school teacher living in suburban Ohio. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid savings amount to \$310,000, held in a brokerage account at a mid-size regional firm. On her new account form completed in January 2023, Margaret indicated her risk tolerance as 'conservative,' her investment objective as 'preservation of capital and income,' and her investment time horizon as '1-3 years.' She noted that she had no prior experience with bonds rated below investment grade and described her investment knowledge as 'limited.' Margaret told her advisor, Brian Kessler, that she needed reliable income to supplement her pension and Social Security, and that she could not afford to lose principal because the \$310,000 represented her entire life savings aside from her home. In February 2023, Brian recommended that Margaret invest \$215,000 -- roughly 69% of her liquid portfolio -- into a portfolio of high-yield corporate bonds rated between B and CCC by major rating agencies. The bonds were issued by companies in the energy, retail, and telecommunications sectors, several of which had recently been downgraded. The average yield on the portfolio was approximately 9.2%, and the bonds carried maturities ranging from 7 to 12 years. Brian earned a markup of 2.5% on each bond transaction, totaling approximately \$5,375 in compensation. He told Margaret these were 'just like regular bonds but they pay more interest.' By September 2023, two of the issuers defaulted and one entered bankruptcy proceedings. Margaret's portfolio lost approximately \$68,000 in market value, and she was unable to sell certain positions without taking steep losses due to illiquidity in the secondary market. Margaret filed a complaint with the firm in November 2023, stating she was never told the bonds were considered 'junk' or that there was meaningful risk of default.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Brian Kessler violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Under the SEC's Reg BI, a broker-dealer must act in the retail customer's best interest at the time of a recommendation, satisfying the Care Obligation (reasonable diligence, care, and skill in making recommendations), the Disclosure Obligation (full and fair disclosure of material facts including risks and conflicts), and the Conflict of Interest Obligation.

**\*\*Analysis -- Care Obligation / Suitability:\*\***

- **\*\*Customer-Specific Suitability:\*\*** Margaret was a 74-year-old retiree with conservative risk tolerance, limited investment knowledge, no experience with high-yield bonds, a short time horizon of 1-3 years, and an objective of capital preservation and income. Allocating 69% of her entire liquid net worth to junk bonds rated B to CCC -- instruments with significant default and credit risk -- is fundamentally inconsistent with every element of her stated investment profile.

- **\*\*Reasonable-Basis Suitability:\*\*** High-yield bonds rated CCC carry historical default rates that can exceed 25% over five years. Recommending such heavy concentration in speculative-grade debt to any conservative investor with limited knowledge would fail the reasonable-basis test.

- **\*\*Quantitative Suitability / Concentration:\*\*** A 69% concentration in a single high-risk asset class for a client whose sole objective is capital preservation represents excessive concentration, magnifying the risk of catastrophic loss -- which is precisely what occurred.

- **\*\*Time Horizon Mismatch:\*\*** The bonds had maturities of 7 to 12 years while Margaret disclosed a 1-3 year time horizon. If she needed liquidity, she would be forced to sell in an illiquid secondary market at potentially steep discounts.

**\*\*Analysis -- Disclosure Obligation:\*\***

Brian described the bonds as 'just like regular bonds but they pay more interest,' which materially mischaracterized the risk profile of junk bonds. He failed to disclose the default risk, the credit ratings, the illiquidity risk in secondary markets, or the fact that these instruments are considered speculative. This constitutes a failure to provide full and fair disclosure of material facts, violating Reg BI's Disclosure Obligation.

**\*\*Conflict of Interest:\*\***

Brian earned \$5,375 in markups on these transactions. The high markups created a financial incentive to recommend these bonds over safer alternatives such as Treasury securities, CDs, or investment-grade bonds. This conflict was not disclosed to Margaret.

**\*\*Likely Regulatory Outcome:\*\***

This case presents clear violations of FINRA Rule 2111 and Reg BI's Care and Disclosure Obligations. An arbitration panel or regulator would likely find the recommendations unsuitable and not in the customer's best interest. Brian and his firm face potential liability for the approximately \$68,000 in losses, plus potential punitive damages, and Brian could face individual sanctions including fines, suspension, or a bar from the securities industry.

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**Item 481 of 499****NON-COMPLIANT****Topic:** margin\_unsuitable**Difficulty:** hard**Fact Pattern**

David Nakamura, age 58, is a self-employed plumber in Sacramento, California, earning approximately \$72,000 annually. He has a brokerage account with \$185,000 in equity holdings, a 401(k) worth \$95,000 at a former employer, and approximately \$12,000 in a savings account. David is divorced and pays \$1,200 per month in alimony. He has a history of chronic health issues, including Type 2 diabetes and a heart condition that resulted in a hospital stay in March 2022 costing him \$23,000 out of pocket after insurance. He disclosed to his advisor, Lisa Tran, in April 2023, that he frequently needs to access funds on short notice for medical bills and that he had made three emergency withdrawals from his brokerage account in the preceding 18 months totaling \$31,000. His new account form listed his risk tolerance as 'moderate,' his investment objective as 'growth and income,' and his liquid net worth as \$197,000. David stated he had 'some' investment experience but had never used margin borrowing and did not understand how it worked. In May 2023, Lisa recommended that David open a margin account and use \$90,000 in margin borrowing to purchase a concentrated position in three mid-cap technology stocks that she described as 'high-growth opportunities.' She told David that margin was 'like a low-interest loan that lets your money work harder' and did not explain margin calls, forced liquidation, or the amplified downside risk. The margin interest rate was 9.75% annually. Lisa earned approximately \$2,700 in commissions on the purchases. By October 2023, the three stocks had declined between 22% and 38%, triggering a margin call. David did not have sufficient liquid funds to meet the call, and the firm liquidated \$74,000 of his holdings at depressed prices. After the forced liquidation and accounting for margin interest charges of approximately \$3,500, David's account value had fallen from \$185,000 to approximately \$98,000 -- a loss of \$87,000, or 47% of his original account value. David was also left with an outstanding margin debit balance of \$11,200. He filed a written complaint stating he never understood what margin was, was never told his account could be liquidated without his consent, and that his advisor knew he needed ready access to cash for medical emergencies.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Lisa Tran committed serious violations of suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires a reasonable basis to believe that a recommendation is suitable based on the customer's investment profile, including financial situation, risk tolerance, objectives, time horizon, liquidity needs, experience, and other investments.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Imposes a best interest standard consisting of the Care Obligation, Disclosure Obligation, and Conflict of Interest Obligation.
3. **\*\*FINRA Rule 2264 (Margin Disclosure Statement):\*\*** Requires delivery of a margin disclosure statement prior to or at the time of opening a margin account, and FINRA has emphasized that recommendations to use margin must themselves be suitable.

4. **FINRA Rule 2010 (Standards of Commercial Honor):** Requires just and equitable principles of trade; misleading a customer about the mechanics of margin borrowing could independently violate this standard.

**Analysis -- Care Obligation / Customer-Specific Suitability:**

- **Liquidity Needs:** David had clearly and repeatedly demonstrated an acute need for liquidity, having made three emergency withdrawals totaling \$31,000 in 18 months for medical expenses. He explicitly told Lisa he needed ready access to funds. Margin borrowing is fundamentally incompatible with high liquidity needs because (a) margin calls can force liquidation at the worst possible time, and (b) maintaining a margin position ties up equity as collateral. This is the most significant suitability failure.

- **Health and Financial Vulnerability:** David's chronic health conditions and history of significant out-of-pocket medical costs made it foreseeable that he would need emergency cash in the near future. Recommending a leveraged strategy that could -- and did -- result in forced liquidation and a margin debit balance was reckless given these known circumstances.

- **Experience and Sophistication:** David had never used margin, stated he did not understand it, and had only 'some' investment experience. Lisa recommended a complex leveraged strategy to a customer who lacked the sophistication to understand the risks.

- **Concentration Risk Amplified by Leverage:** Investing the entire \$90,000 margin loan in just three mid-cap technology stocks created significant concentration risk. When combined with leverage, the downside was amplified dramatically. A moderate-risk-tolerance customer with David's profile should not have been placed in a concentrated, leveraged equity position.

- **Income and Obligations:** David earned \$72,000 annually, paid \$1,200/month in alimony (\$14,400/year), and had ongoing medical expenses. His capacity to absorb losses or meet margin calls was severely limited. The 9.75% margin interest rate further eroded returns, requiring the stocks to appreciate substantially just to break even.

**Analysis -- Disclosure Obligation:**

Lisa described margin as 'like a low-interest loan that lets your money work harder' without explaining margin calls, forced liquidation, amplified losses, or the 9.75% interest rate in context. She failed to disclose the material risks of margin borrowing, including the firm's right to sell securities without the customer's consent. Even if a written margin agreement was signed, the oral mischaracterization of margin risk constitutes a failure of the Reg BI Disclosure Obligation and potentially a violation of FINRA's antifraud provisions.

**Analysis -- Conflict of Interest:**

Lisa earned \$2,700 in commissions that were generated only because of the margin-funded purchases. Without margin, David would not have made these purchases, and Lisa would not have earned the commissions. This conflict was not mitigated or disclosed.

**Comparison to Compliant Alternatives:**

Given David's liquidity needs, moderate risk tolerance, and income constraints, a suitable recommendation would have included highly liquid investments such as money market funds, short-duration bond funds, or a diversified equity portfolio without leverage, with a meaningful cash reserve for medical emergencies.

**\*\*Likely Regulatory Outcome:\*\***

This case presents compelling violations of FINRA Rule 2111, Reg BI's Care and Disclosure Obligations, and potentially FINRA Rules 2264 and 2010. The recommendation was unsuitable on virtually every dimension of the customer's profile. In arbitration, David would likely recover the \$87,000 in losses plus the \$11,200 margin debit, margin interest charges, and potentially attorneys' fees and costs. Lisa faces potential individual sanctions including fines, suspension, or a bar. The firm faces supervisory liability under FINRA Rule 3110 for failing to detect and prevent an obviously unsuitable margin recommendation to a vulnerable customer. The egregiousness of the facts -- particularly the known medical vulnerability, demonstrated liquidity needs, and misleading description of margin -- could also support enhanced damages or punitive sanctions.

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**Item 482 of 499****NON-COMPLIANT****Topic:** bond\_duration\_mismatch**Difficulty:** medium**Fact Pattern**

Margaret Holloway, age 74, is a retired schoolteacher in Omaha, Nebraska, with a \$620,000 portfolio consisting primarily of certificates of deposit and short-term Treasury bills. She receives \$2,400 per month from Social Security and a \$1,800 per month pension. Her stated investment objectives are capital preservation and income generation, with a conservative risk tolerance. She told her financial advisor, Derek Simmons, that she needed predictable income to cover her assisted living costs, which were expected to begin within 18 to 24 months at an estimated cost of \$5,500 per month. In March 2023, Simmons recommended that Margaret liquidate \$480,000 of her CDs and short-term Treasuries and reinvest the proceeds into a portfolio of zero-coupon municipal bonds with maturities ranging from 2043 to 2052, carrying an average duration of approximately 22 years. Simmons told Margaret that these bonds were 'tax-free and safe because they're government-backed,' and that they would grow significantly over time. He did not discuss the interest rate sensitivity of long-duration zero-coupon bonds or the fact that she would receive no periodic coupon payments from these instruments. Within eight months, as interest rates rose by approximately 125 basis points, the market value of Margaret's bond portfolio declined by roughly \$107,000, falling to approximately \$373,000. When Margaret needed to begin liquidating positions in late 2023 to fund her assisted living deposits, she realized substantial losses. She had approximately \$140,000 remaining in liquid assets, far short of what she needed for her anticipated care expenses over a five-year horizon. Simmons earned \$9,600 in commissions on the bond transactions.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Simmons violated applicable suitability and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. The rule encompasses three obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Under Regulation Best Interest (Reg BI), adopted by the SEC under the Securities Exchange Act of 1934, a broker-dealer must act in the retail customer's best interest at the time of a recommendation, without placing its own financial interest ahead of the customer's. The Care Obligation under Reg BI requires the broker to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation.

**\*\*Analysis:\*\***

1. **\*\*Customer-Specific Suitability / Care Obligation Violation:\*\*** Margaret was a 74-year-old retiree with conservative

risk tolerance, capital preservation objectives, and an explicit need for liquidity within 18-24 months to fund assisted living costs. Zero-coupon bonds with 20-29 year maturities and an average duration of 22 years are among the most interest-rate-sensitive fixed income instruments available. They pay no periodic income, directly contradicting her income generation objective. The severe duration mismatch between her short-term liquidity needs and the ultra-long duration of the bonds is a textbook suitability violation.

2. **\*\*Reasonable-Basis Suitability Violation:\*\*** No reasonable advisor could conclude that concentrating 77% of a 74-year-old conservative investor's portfolio in ultra-long-duration zero-coupon bonds is appropriate for any investor with her profile. The strategy exposed her to extraordinary interest rate risk with no corresponding income benefit.

3. **\*\*Misleading Characterization:\*\*** Simmons described the bonds as 'safe' and 'government-backed' without disclosing the significant market risk inherent in long-duration zero-coupon bonds. While municipal bonds may carry low credit risk, their market value is highly sensitive to interest rate changes, a material fact that was not communicated. This implicates FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) and potentially FINRA Rule 2020 regarding misleading communications.

4. **\*\*Disclosure Obligation under Reg BI:\*\*** The Disclosure Obligation requires the broker to disclose material facts about the recommendation, including risks and costs. Simmons failed to explain duration risk, lack of coupon income, or the mismatch with her timeline.

**\*\*Likely Regulatory Outcome:\*\*** This case would likely result in FINRA enforcement action for suitability violations, potential SEC action under Reg BI, customer arbitration resulting in compensatory damages for the approximately \$107,000 in realized losses, and possible disgorgement of the \$9,600 in commissions. Simmons could face fines, suspension, or a bar from the industry depending on his disciplinary history.

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**Item 483 of 499****NON-COMPLIANT****Topic:** reverse\_churning**Difficulty:** hard**Fact Pattern**

Carlos and Elena Reyes, ages 38 and 36, are first-generation immigrants from Guatemala who run a small landscaping business in suburban Atlanta. Their combined annual income is approximately \$95,000. Over seven years, they saved \$185,000 in a bank savings account, earmarked for their three children's college education -- the oldest child is currently 10 years old. Neither Carlos nor Elena has any prior investment experience, and they describe themselves as having low risk tolerance. They speak English as a second language and told their advisor, Ryan Prescott, that they wanted 'something safe that will grow a little for the kids' school.' In January 2022, Prescott recommended they move the \$185,000 into a fee-based advisory account at his firm, which charges an annual wrap fee of 1.45% of assets under management, billed quarterly. Prescott built an initial portfolio consisting of 60% in a low-cost S&P 500 index fund and 40% in a broad-market investment-grade bond index fund. After the initial allocation, Prescott made no changes to the portfolio for the entirety of 2022 and 2023 -- a period of 24 months. He conducted no rebalancing, made no substitutions, held no review meetings, and did not respond to two voicemail messages Elena left in October 2022 asking whether they should be concerned about market declines. During this two-year period, the Reyes family paid approximately \$5,365 in advisory fees (\$2,682 in 2022 and \$2,683 in 2023, based on average account values). If the same portfolio had been held in a brokerage account, the Reyes family would have paid approximately \$150 in total transaction commissions for the initial two trades and no ongoing fees, given that the positions were never traded. Prescott's compensation was entirely derived from the wrap fee revenue. The portfolio's value at the end of 2023 was approximately \$192,000 before fees and approximately \$186,600 after fees, meaning virtually all of the investment gains were consumed by advisory fees. Prescott's firm's compliance department had flagged the account in Q3 2022 as having no activity, but no follow-up action was taken.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Ryan Prescott's conduct constitutes reverse churning and violates multiple applicable regulatory standards.

**\*\*Applicable Standards:\*\***

Under Regulation Best Interest (Reg BI), broker-dealers recommending account types must consider whether the account type is in the retail customer's best interest. The Care Obligation specifically requires reasonable diligence, care, and skill when recommending account types, including evaluating whether a fee-based account is appropriate given anticipated trading activity.

If Prescott is operating as an investment adviser through the wrap-fee program, he owes a fiduciary duty under the Investment Advisers Act of 1940, which includes the duties of care and loyalty. The duty of care requires providing advice and monitoring that is in the client's best interest on an ongoing basis, including periodic review and communication.

FINRA Rule 2111 (Suitability) applies to the initial recommendation to open a particular account type and requires that

the account type recommended be suitable given the customer's profile, including anticipated activity level.

FINRA Regulatory Notice 12-25 specifically addresses reverse churning -- the practice of placing customers in fee-based accounts where little or no trading occurs, resulting in excessive fees relative to the services provided.

**\*\*Analysis:\*\***

1. **\*\*Account-Type Unsuitability / Reverse Churning:\*\*** The hallmark of reverse churning is placing a customer in a fee-based advisory account and then providing little or no advisory services, resulting in the customer paying substantially more in fees than they would have in a commission-based account. Here, the Reyes family paid approximately \$5,365 over two years versus an estimated \$150 in a brokerage account -- a fee differential of approximately \$5,215 (roughly 35 times higher). Given that the investment strategy was a simple two-fund allocation with no anticipated active management, a commission-based brokerage account was clearly more cost-effective and appropriate.

2. **\*\*Breach of Fiduciary Duty (if acting as IA):\*\*** As a wrap-fee advisor, Prescott owed ongoing fiduciary duties including the obligation to monitor the portfolio, conduct periodic reviews, and communicate with clients. He failed on all counts: no rebalancing over 24 months despite significant market volatility in 2022, no review meetings, and failure to return client calls. This is a clear breach of the duty of care under the Advisers Act.

3. **\*\*Care Obligation under Reg BI:\*\*** Even under the broker-dealer standard, recommending a fee-based account when the advisor had no intention of actively managing the account or providing ongoing services fails the Care Obligation. A reasonable advisor would have recognized that a buy-and-hold strategy in two index funds does not justify a 1.45% annual wrap fee.

4. **\*\*Conflict of Interest / Loyalty:\*\*** Prescott's compensation was entirely derived from the wrap fee, creating an incentive to place clients in fee-based accounts regardless of whether the service model justified the cost. Under both Reg BI's Conflict of Interest Obligation and the IA fiduciary duty of loyalty, this conflict should have been mitigated or eliminated by recommending the more cost-appropriate account type.

5. **\*\*Failure of Firm Supervision:\*\*** The compliance flag in Q3 2022 for account inactivity, with no follow-up action, suggests a failure of supervisory obligations under FINRA Rule 3110, which requires firms to establish and maintain supervisory systems reasonably designed to detect and prevent violations.

6. **\*\*Vulnerable Customer Considerations:\*\*** The Reyes family's lack of investment experience, limited English proficiency, and modest means make the excessive fee extraction particularly egregious. Their inability to independently evaluate whether a wrap-fee account was appropriate heightened the advisor's obligation to ensure the recommendation was in their best interest.

**\*\*Likely Regulatory Outcome:\*\*** This case would likely result in FINRA and/or SEC enforcement action. Probable outcomes include disgorgement of the approximately \$5,215 in excess fees, restitution to the Reyes family, fines against both Prescott and his firm for supervisory failures, and potential suspension. In a customer arbitration, the Reyes family would likely recover the excess fees plus interest. The firm could face additional sanctions for failing to act on the compliance flag.

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**Item 484 of 499****NON-COMPLIANT****Topic:** leveraged\_etf\_unsuitable**Difficulty:** medium**Fact Pattern**

Margaret Olson, age 72, is a retired school librarian living in Duluth, Minnesota. She has a modest net worth of approximately \$310,000, consisting of \$185,000 in a traditional IRA and \$125,000 in a taxable brokerage account. Her annual income is \$28,000, sourced entirely from Social Security and a small pension. She has no other sources of income and depends on her investment portfolio to supplement her living expenses, withdrawing approximately \$800 per month from her IRA. On her new account form, her risk tolerance was marked as "conservative," her investment objective was listed as "income and capital preservation," her time horizon was "short-term (1-3 years)," and her investment experience was described as "limited -- mutual funds only." In March 2023, her financial advisor, Derek Fontaine, recommended she invest \$90,000 of her IRA -- nearly half of her total IRA balance -- into a 3x leveraged bull ETF tracking the Nasdaq-100 index. Fontaine told Mrs. Olson the fund would "triple whatever the market gains" and described it as a way to "catch up" on returns she had missed during prior conservative investing. He did not explain the daily reset mechanism of leveraged ETFs, the effects of volatility decay, or that the product was designed for short-term tactical trading rather than buy-and-hold strategies. He also did not discuss the fund's expense ratio of 0.95%, significantly higher than her previous index fund holdings at 0.04%. Mrs. Olson held the position for eleven months. During that period, the Nasdaq-100 rose approximately 8%, but the 3x leveraged ETF returned only 14% instead of the expected 24%, due to volatility drag. More critically, during a sharp two-week correction in October 2023, the leveraged ETF dropped 31% from its peak, causing Mrs. Olson significant distress and prompting her to sell at a loss of approximately \$12,600. She subsequently filed a complaint stating she was never told the investment could lose value so rapidly and that she needed stable income, not aggressive speculation.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Fontaine almost certainly violated applicable suitability and best interest standards. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. Under Regulation Best Interest (Reg BI), adopted under Section 15(l) of the Securities Exchange Act of 1934, a broker-dealer must act in the retail customer's best interest at the time of the recommendation, satisfying the Disclosure Obligation, Care Obligation, Conflict of Interest Obligation, and Compliance Obligation. Multiple violations are evident here.

1. **Care Obligation (Reg BI) / Customer-Specific Suitability (FINRA Rule 2111.05):** Mrs. Olson is a 72-year-old retiree with conservative risk tolerance, a short-term time horizon, limited investment experience, and an investment objective of income and capital preservation. She is actively withdrawing from her IRA for living expenses. A 3x leveraged ETF is among the most aggressive and volatile products available to retail investors. It is fundamentally incompatible with every element of her investment profile. The allocation of \$90,000 -- nearly half her IRA -- amplified the unsuitability. FINRA Regulatory Notice 09-31 specifically warns that leveraged and inverse ETFs are typically unsuitable for retail investors who plan to hold them for longer than one trading session.

2. **Reasonable-Basis Suitability (FINRA Rule 2111.05(a)):** There is also a question of whether Fontaine understood the product himself. His characterization that the fund would "triple whatever the market gains" omitted the critical daily reset feature and the phenomenon of volatility decay, suggesting he either did not understand the product's mechanics or deliberately misrepresented them.

3. **Disclosure Obligation (Reg BI):** Fontaine failed to disclose the material risks of the leveraged ETF, including daily reset, volatility drag, the elevated expense ratio, and the product's intended use as a short-term trading vehicle. He also failed to disclose how his recommendation might have been influenced by any compensation differential between a low-cost index fund and a leveraged ETF with a 0.95% expense ratio.

4. **Quantitative Suitability:** While this is a single-transaction case rather than a churning scenario, the concentration of nearly 49% of the client's IRA in a single leveraged product also raises concerns about excessive concentration under FINRA Rule 2111.

The likely regulatory outcome would include customer restitution for losses, potential disgorgement of commissions, a fine, and a possible suspension for Fontaine. In a FINRA arbitration, Mrs. Olson would likely recover compensatory damages based on a well-managed portfolio comparison or out-of-pocket loss theory.

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**Item 485 of 499****NON-COMPLIANT****Topic:** mutual\_fund\_switching\_churning**Difficulty:** hard**Fact Pattern**

Raymond Chu, age 55, is a mid-level IT project manager in San Jose, California, earning \$142,000 annually. He has a \$620,000 brokerage account, a \$280,000 401(k) with his employer, and approximately \$95,000 in savings accounts. He is married with two children in college and his investment objective on file is "growth with moderate risk." His risk tolerance is marked as "moderate" and his time horizon is "long-term (10+ years)." He has moderate investment knowledge, having owned mutual funds for approximately 15 years. His financial advisor, Lisa Tran, has managed his brokerage account since 2019. Between January 2021 and December 2023, Tran executed 23 mutual fund switches within the account. Each switch involved liquidating one large-cap equity mutual fund and purchasing a substantially similar large-cap equity mutual fund from a different fund family. The funds shared overlapping top-ten holdings averaging 70% similarity. Each switch involved Class A shares carrying front-end sales charges ranging from 4.25% to 5.75%. In most cases, the new fund had an identical or marginally lower expense ratio -- the average net expense ratio across all sold funds was 0.82%, while the average for the purchased funds was 0.79%. Over the three-year period, the switches generated approximately \$87,400 in cumulative front-end sales charges paid by Mr. Chu. Tran's gross commissions from these transactions totaled approximately \$52,000. The account's annualized return during this period was 4.1%, while a static portfolio of similar large-cap equity funds would have returned approximately 9.8% annualized over the same period based on benchmark comparisons, meaning Mr. Chu underperformed by roughly \$108,000 on a total-return basis after accounting for the sales charges eroding his invested capital. Tran's internal notes on each switch reference generic language such as "rebalancing for better performance potential" or "positioning for market conditions," but none of the notes identify a specific investment thesis, any material change in the prior fund's management or strategy, or any change in Mr. Chu's financial circumstances. When Mr. Chu reviewed his year-end statements in early 2024 and noticed that his account had barely grown despite a strong equity market, he filed a complaint. Tran's firm conducted an internal review and found that 21 of the 23 switches were into funds with substantially identical investment objectives, comparable risk ratings from Morningstar, and overlapping portfolio compositions. The firm also noted that Tran's production credits from switch transactions accounted for 38% of her total revenue in 2022.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Lisa Tran's conduct constitutes classic mutual fund switching (a form of churning) in violation of multiple regulatory standards.

1. **\*\*FINRA Rule 2111 -- Quantitative Suitability:\*\*** FINRA Rule 2111.05(c) requires that a series of recommended transactions, even if individually suitable, not be excessive or unsuitable when taken together in light of the customer's profile. Twenty-three switches in 36 months among substantially similar large-cap equity mutual funds -- generating \$87,400 in front-end sales charges -- is a textbook example of excessive trading. The standard metrics for churning analysis include the turnover ratio and cost-to-equity ratio. While typically applied to equity trading, the same principles apply to mutual fund switching. The cumulative cost-to-equity ratio here (\$87,400 in loads on a \$620,000 account over three years) equates to approximately 4.7% annually in sales charges alone, which is a significant drag that makes it

virtually impossible for the account to achieve market-rate returns, as demonstrated by the 4.1% versus 9.8% performance gap.

2. **\*\*Regulation Best Interest -- Care Obligation:\*\*** Under Reg BI's Care Obligation, Tran was required to exercise reasonable diligence, care, and skill in making each recommendation. The Care Obligation specifically requires the advisor to evaluate reasonable alternatives. Switching from one large-cap equity fund with 70% overlapping holdings to another, while imposing a new 4.25%-5.75% front-end load each time, fails this test. There was no material difference in investment strategy, management quality, or risk characteristics that would justify incurring repeated sales charges. The marginal 3-basis-point average expense ratio improvement is dwarfed by the front-end loads.

3. **\*\*FINRA Rule 2010 -- Standards of Commercial Honor and Just and Equitable Principles of Trade:\*\*** Mutual fund switching that serves primarily to generate commissions for the advisor constitutes conduct inconsistent with just and equitable principles of trade. The fact that these transactions accounted for 38% of Tran's production credits in 2022 strongly suggests the recommendations were commission-motivated.

4. **\*\*FINRA Regulatory Notice 94-16 and Notice to Members 07-06:\*\*** These specifically address mutual fund switching abuses, noting that switching between funds with similar investment objectives to generate sales charges is presumptively unsuitable. Tran's vague internal notes ("rebalancing for better performance potential") do not articulate any legitimate investment rationale and would be viewed as pretextual.

5. **\*\*Conflict of Interest Obligation (Reg BI):\*\*** Tran's firm was required to establish and enforce policies to identify and mitigate conflicts of interest, including compensation incentives that could motivate excessive switching. The firm's supervisory systems should have flagged 23 same-asset-class mutual fund switches generating \$87,400 in loads. The firm itself may face supervisory failure charges under FINRA Rule 3110.

The likely regulatory outcome includes restitution to Mr. Chu for all unnecessary sales charges (\$87,400) plus potential consequential damages for lost investment returns (approximately \$108,000 in underperformance). Tran would likely face a substantial fine, disgorgement of commissions, and a lengthy suspension or bar from the industry. The firm would likely face a fine for supervisory failures and could be required to enhance its mutual fund switching surveillance systems. In FINRA arbitration, Mr. Chu would have strong claims for compensatory damages under both a churning theory and a well-managed account comparison.

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**Item 486 of 499****NON-COMPLIANT****Topic:** unsuitable\_income\_investor**Difficulty:** medium**Fact Pattern**

Margaret Downey, age 72, is a retired school librarian living in Tucson, Arizona. She receives \$2,100 per month from Social Security and a small pension of \$800 per month. Her total liquid savings amount to \$340,000, which represents her entire nest egg accumulated over a 35-year career. During her initial meeting with financial advisor Craig Hollister in March 2023, Margaret clearly stated that her primary goal was to generate steady monthly income to supplement her Social Security and pension, as her combined \$2,900 per month was barely covering her living expenses. She described herself as 'very conservative' and said she could not afford to lose any of her principal. She also disclosed that she takes three prescription medications and has moderate ongoing medical expenses. Hollister documented her risk tolerance as 'moderate growth' on the new account form, despite her verbal statements. Over the next two months, Hollister placed approximately \$245,000 of Margaret's savings -- roughly 72% of her liquid assets -- into a concentrated portfolio of high-yield corporate bond funds rated below investment grade, a leveraged closed-end fund focused on emerging market debt, and a non-traded REIT with a 7-year lockup period and early redemption penalties of 10%. The non-traded REIT alone represented \$95,000 of the allocation. The remaining \$95,000 was placed in a money market account. The high-yield bond funds carried annual expense ratios averaging 1.45%, and Hollister earned a 7% upfront commission on the non-traded REIT sale. Within eight months, the emerging market debt fund lost 18% of its value, and Margaret was unable to access her REIT funds when she needed \$30,000 for an unexpected medical procedure in November 2023. She was forced to take a hardship withdrawal from the REIT, incurring a \$9,500 penalty.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Craig Hollister committed multiple violations of both the suitability requirements under FINRA Rule 2111 and the best interest standard under Regulation Best Interest (Reg BI).

**\*\*FINRA Rule 2111 - Suitability:\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis for believing a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance. There are three component obligations:

1. **\*Reasonable-Basis Suitability:\*** Hollister should have understood that leveraged emerging market debt funds and non-traded REITs with 7-year lockups carry substantial risk and illiquidity. These products are inherently unsuitable for a 72-year-old retiree with no other assets and an expressed need for income and capital preservation.
2. **\*Customer-Specific Suitability:\*** Margaret explicitly stated she was very conservative and could not afford to lose principal. Placing 72% of her life savings into below-investment-grade bonds, leveraged emerging market debt, and an illiquid non-traded REIT directly contradicts her stated objectives and risk tolerance. Her age, limited income, and medical expenses all demanded a highly conservative, liquid income-producing portfolio.
3. **\*Quantitative Suitability:\*** The concentration of high-risk, illiquid holdings relative to her total assets is excessive given

her profile.

**\*\*Regulation Best Interest (Reg BI) - Care Obligation:\*\*** Under the Care Obligation of Reg BI, the advisor must exercise reasonable diligence, care, and skill in making recommendations and must consider reasonably available alternatives. Hollister failed this standard by recommending high-cost, illiquid, and high-risk products when safer alternatives -- such as Treasury bonds, investment-grade bond funds, CDs, or fixed annuities -- were readily available and would have better served Margaret's stated income and preservation goals.

**\*\*Reg BI - Disclosure Obligation:\*\*** The 7% upfront commission on the non-traded REIT creates a significant conflict of interest. Under Reg BI's Disclosure Obligation, this conflict must be fully disclosed. Furthermore, the Conflict of Interest Obligation requires policies to mitigate such conflicts. The high commission likely motivated the recommendation, placing the advisor's interest above the customer's.

**\*\*Falsification of Records:\*\*** Documenting Margaret's risk tolerance as 'moderate growth' when she verbally stated she was 'very conservative' is a serious red flag and potentially violates FINRA Rule 4511 (books and records requirements) and Rule 2010 (Standards of Commercial Honor and Principles of Trade).

**\*\*Likely Regulatory Outcome:\*\*** A FINRA arbitration panel or regulatory examination would likely find multiple violations. Margaret would have strong grounds for recovery of her losses, including the \$9,500 REIT penalty, the losses on the emerging market fund, and excess fees paid. Hollister could face fines, disgorgement of commissions, suspension, or a bar from the industry depending on the severity and any prior disciplinary history.

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**Item 487 of 499****COMPLIANT**

**Topic:** inappropriate\_risk\_profile

**Difficulty:** easy

**Fact Pattern**

David Park, age 34, is a software engineer at a major technology company in Seattle, earning \$185,000 per year with an additional \$60,000 in annual restricted stock unit vesting. He has \$420,000 in his 401(k), \$85,000 in a Roth IRA, and \$150,000 in a taxable brokerage account. He has no debt other than a mortgage with a \$2,800 monthly payment, carries a six-month emergency fund of \$45,000 in a high-yield savings account, and has employer-provided health and disability insurance. David approached financial advisor Priya Mehta in January 2024, stating he wanted to grow his taxable brokerage account aggressively over a 20+ year time horizon and was comfortable with significant short-term volatility. He mentioned he had previously invested in individual technology stocks and cryptocurrency on his own and understood the risks of equity markets. Mehta conducted a thorough risk assessment questionnaire, which scored David in the 'aggressive growth' category. She documented his responses, income, assets, liabilities, time horizon, and investment experience in detail. After discussing several options and their associated risks and costs, Mehta recommended allocating the \$150,000 taxable account as follows: 60% in a diversified U.S. equity index fund (expense ratio 0.03%), 20% in an international equity index fund (expense ratio 0.07%), 10% in a small-cap value ETF (expense ratio 0.15%), and 10% in an emerging markets ETF (expense ratio 0.11%). She explained the historical volatility of each asset class, discussed potential drawdowns of 30-40% during market corrections, and confirmed David was comfortable with that possibility. She also recommended David consider reducing his concentrated RSU exposure over time but noted that was a separate conversation. David agreed to the allocation after reviewing written disclosures about costs and risks.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Priya Mehta acted in full compliance with applicable suitability and best interest standards.

**\*\*FINRA Rule 2111 - Suitability:\*\*** The recommendation satisfies all three components of the suitability obligation:

1. **\*Reasonable-Basis Suitability:\*** The recommended portfolio consists of well-diversified, low-cost index funds and ETFs that are broadly recognized as sound investment vehicles. Mehta clearly understood the products she was recommending.
2. **\*Customer-Specific Suitability:\*** David is 34 years old with a high income, substantial existing retirement savings, no significant debt burden, a fully funded emergency fund, and a 20+ year time horizon. He has prior experience investing in individual stocks and cryptocurrency, demonstrating familiarity with market volatility. His risk tolerance questionnaire confirmed an aggressive growth profile. The 100% equity allocation in his taxable account is appropriate given his age, financial cushion, long time horizon, and stated objectives.
3. **\*Quantitative Suitability:\*** There is no excessive trading or concentration. The portfolio is broadly diversified across domestic, international, small-cap, and emerging market equities.

**\*\*Regulation Best Interest (Reg BI) - Care Obligation:\*\*** Mehta exercised reasonable diligence, care, and skill. She conducted a formal risk assessment, documented David's complete investment profile, discussed multiple options, explained historical volatility and potential drawdowns, and confirmed the client's understanding and agreement. She considered the customer's full financial picture, including his retirement accounts and RSU exposure.

**\*\*Reg BI - Disclosure Obligation:\*\*** Mehta provided written disclosures about costs and risks. The expense ratios on the recommended funds are extremely low (0.03% to 0.15%), indicating she was not motivated by compensation conflicts in selecting products.

**\*\*Reg BI - Conflict of Interest Obligation:\*\*** There is no indication of conflicts driving the recommendation. The low-cost index fund approach suggests the advisor prioritized the client's interest.

**\*\*Documentation:\*\*** Mehta properly documented the risk tolerance questionnaire results, the client's verbal statements, and the rationale for the allocation, which is consistent with best practices and regulatory expectations.

**\*\*Likely Regulatory Outcome:\*\*** No violation would be found. This is a textbook example of a well-documented, suitable, and client-appropriate recommendation for an aggressive growth investor with the financial capacity and psychological willingness to bear equity market risk.

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**Item 488 of 499****NON-COMPLIANT****Topic:** excessive\_load\_funds**Difficulty:** medium**Fact Pattern**

Margaret Holloway, age 72, is a retired schoolteacher in Topeka, Kansas, with a pension providing \$3,200 per month and Social Security benefits of \$1,800 per month. She had \$210,000 in savings, primarily held in a money market account and a maturing CD. Her investment objectives were capital preservation and modest income generation to supplement her retirement. She described herself as conservative and told her advisor, Derek Stanton, that she could not afford to lose principal because the savings represented her only financial cushion beyond her fixed income. In March 2022, Stanton recommended that Margaret move her entire \$210,000 into a portfolio consisting exclusively of Class A mutual fund shares across seven different fund families. Each fund carried a front-end sales load ranging from 4.75% to 5.75%. Stanton did not discuss lower-cost share classes, no-load alternatives, or the availability of breakpoint discounts that Margaret would have qualified for by consolidating purchases within a single fund family. The total front-end sales charges deducted from Margaret's investment amounted to approximately \$11,340 on the initial purchases. Over the following 14 months, Stanton executed 18 exchanges and redemptions across the portfolio, each time moving assets into new Class A fund positions at different fund families, generating an additional \$9,870 in front-end load charges. By May 2023, Margaret's account value had declined to \$178,500 -- a loss of \$31,500 from her original investment -- while the cumulative load charges totaled \$21,210, representing over 10% of her original investment. Several of the funds Stanton recommended were growth-oriented equity funds and emerging market bond funds with risk profiles inconsistent with Margaret's stated conservative objectives. When Margaret expressed concern about her declining balance, Stanton told her the market would recover and recommended purchasing yet another Class A share fund. Margaret's neighbor, a retired financial planner, eventually reviewed her statements and urged her to seek a second opinion.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Stanton committed multiple violations of applicable standards governing the sale of mutual funds to retail customers.

**\*\*Reg BI (Regulation Best Interest) Analysis:\*\***

Under Reg BI's Care Obligation (17 CFR § 240.15l-1(a)(2)(ii)), a broker-dealer or associated person must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer, considering the customer's investment profile including age, financial situation, risk tolerance, and investment objectives. Stanton's recommendation to place a 72-year-old conservative retiree's entire liquid savings into load-bearing equity and emerging market bond funds directly contradicts her stated objective of capital preservation. The recommendation failed the reasonable-basis, customer-specific, and quantitative components of the obligation.

Reg BI's Cost Obligation requires that the advisor consider reasonably available alternatives with respect to cost. Stanton failed to consider no-load share classes, lower-cost institutional share classes, or ETF alternatives. He also failed to apply available breakpoint discounts under FINRA's breakpoint rules.

**\*\*FINRA Rule 2111 (Suitability):\*\***

The quantitative suitability component is implicated because the pattern of switching between fund families -- 18 transactions in 14 months -- appears designed to generate new front-end load charges rather than benefit the customer. This pattern of fund switching is a classic indicator of churning or excessive trading in a mutual fund context. The cost-to-equity ratio of over 10% in load charges alone is excessive by any reasonable standard for a conservative retiree's account.

**\*\*FINRA Rule 2341 and NASD NTM 94-16 (Mutual Fund Sales Practices):\*\***

Stanton violated breakpoint discount obligations. By spreading \$210,000 across seven fund families, he ensured Margaret could not reach breakpoint thresholds within any single family, a practice commonly referred to as 'breakpoint selling.' FINRA has long held that representatives must inform customers of available breakpoint discounts and rights of accumulation.

**\*\*FINRA Rule 2010 (Standards of Commercial Honor):\*\***

The overall pattern of conduct -- unsuitable product selection, failure to disclose lower-cost alternatives, repeated switching to generate loads, and reassuring the customer to continue despite losses -- reflects conduct inconsistent with just and equitable principles of trade.

**\*\*Likely Regulatory Outcome:\*\***

Stanton would likely face FINRA enforcement action including disgorgement of commissions (approximately \$21,210), restitution to the customer, a significant fine, and a potential suspension or bar from the industry. The firm employing Stanton could face supervisory failure charges under FINRA Rule 3110 if it failed to detect the pattern of mutual fund switching. Margaret would also have strong grounds for a FINRA arbitration claim seeking full compensatory damages.

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## Item 489 of 499

### NON-COMPLIANT

**Topic:** inappropriate\_risk\_profile

**Difficulty:** hard

### Fact Pattern

Samuel Ngata, age 34, is a software engineer in Austin, Texas, earning \$145,000 annually. He opened a brokerage account in January 2023 with \$85,000 -- savings he had accumulated over five years specifically earmarked for a down payment on a home he planned to purchase within 12 to 18 months. During his account opening interview with financial advisor Priya Deshmukh, Samuel clearly stated his goal was to preserve the funds and possibly earn modest returns until he was ready to buy a home. He completed a written risk-tolerance questionnaire, on which he selected 'conservative' for his risk tolerance and 'capital preservation' and 'short-term savings goal (under 2 years)' for his investment objectives. Deshmukh reviewed the questionnaire and verbally agreed that a conservative approach made sense. However, when constructing the portfolio, Deshmukh told Samuel she wanted to 'put his money to work' and recommended an allocation of 60% in a concentrated technology sector ETF, 20% in a leveraged small-cap growth fund (2x daily return), and 20% in a high-yield corporate bond fund rated below investment grade. She told Samuel these positions had 'great upside' and that technology stocks were 'practically guaranteed to go up over the next year.' She did not document any reason for deviating from his stated risk profile, nor did she present any conservative alternatives such as money market funds, Treasury securities, or short-term bond funds. Over the next nine months, the concentrated tech ETF declined 22%, the leveraged small-cap fund lost 38% of its value, and the high-yield bond fund dropped 11%. By October 2023, Samuel's account was valued at \$58,900 -- a loss of \$26,100, or roughly 30.7% of his original investment. When Samuel called in distress explaining he needed the money for his home purchase closing in two months, Deshmukh suggested he 'hold on and wait for a recovery.' Samuel was forced to liquidate at a significant loss and had to delay his home purchase, ultimately losing a property he had been under contract to buy because he could no longer meet the down payment requirement. Deshmukh earned approximately \$2,400 in commissions and trailing fees from the positions she placed in Samuel's account. Internal firm records show no supervisory review flagged the mismatch between Samuel's documented risk profile and the actual portfolio allocation.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Priya Deshmukh committed serious violations by constructing a portfolio fundamentally incompatible with Samuel Ngata's documented risk profile, investment objectives, and time horizon.

**\*\*Reg BI (Regulation Best Interest) -- Care Obligation:\*\***

Under 17 CFR § 240.15l-1(a)(2)(ii), a broker must exercise reasonable diligence, care, and skill in making recommendations, considering the retail customer's investment profile. Samuel's profile was unambiguous: conservative risk tolerance, capital preservation objective, and a 12-to-18-month time horizon tied to a specific life goal (home purchase). The recommendation of a concentrated sector ETF, a 2x leveraged fund, and below-investment-grade bonds is irreconcilable with this profile. Leveraged funds in particular carry explicit warnings that they are designed for short-term trading and are unsuitable for buy-and-hold investors, making them especially inappropriate for a client with a preservation objective. The Care Obligation requires that the advisor have a reasonable basis for believing the recommendation is in the customer's best interest -- no reasonable basis exists here.

**\*\*Reg BI -- Disclosure Obligation:\*\***

Deshmukh's verbal assurance that technology stocks were 'practically guaranteed to go up' constitutes a materially misleading statement. Under the Disclosure Obligation, the broker must provide full and fair disclosure of material facts, including risks. Guaranteeing equity performance is inherently misleading and fails this standard.

**\*\*FINRA Rule 2111 -- Customer-Specific Suitability:\*\***

The customer-specific suitability obligation requires that a recommended investment strategy be suitable for the particular customer based on that customer's investment profile. The documented questionnaire explicitly identified Samuel as conservative with a short-term preservation goal. Deshmukh's allocation bore no relationship to this profile. This is a textbook customer-specific suitability violation. The failure to document any rationale for deviating from the stated profile further compounds the violation.

**\*\*FINRA Rule 2111 -- Reasonable-Basis Suitability:\*\***

A leveraged small-cap growth fund requires the advisor to perform due diligence on the product's mechanics, including the compounding risk inherent in daily-reset leveraged ETFs. FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs may be unsuitable for investors who plan to hold them for longer than one trading session. Deshmukh placed Samuel in a buy-and-hold position in such a product with no documented analysis.

**\*\*FINRA Rule 2010 -- Standards of Commercial Honor:\*\***

Making verbal guarantees about stock performance and constructing a portfolio diametrically opposed to a client's documented objectives violates just and equitable principles of trade.

**\*\*FINRA Rule 3110 -- Supervisory Failures:\*\***

The firm's failure to detect the mismatch between Samuel's documented conservative profile and the aggressive portfolio allocation constitutes a supervisory failure. Automated surveillance systems should flag accounts where the actual asset allocation deviates materially from the customer's documented risk tolerance. The firm may face separate liability.

**\*\*SEC Fiduciary Standard (if applicable as investment adviser):\*\***

If Deshmukh or her firm operated in a dual-registered or advisory capacity, the fiduciary duty of care and loyalty under the Investment Advisers Act of 1940 would impose an even higher standard. Placing a client in high-risk, high-fee products when the client's stated objective is short-term capital preservation would constitute a clear breach of fiduciary duty.

**\*\*Likely Regulatory Outcome:\*\***

Deshmukh faces potential FINRA disciplinary action including fines, disgorgement of the \$2,400 in commissions, restitution to Samuel for his \$26,100 in losses (and potentially consequential damages related to the lost home purchase), suspension, or a bar. The firm faces supervisory failure charges. Samuel would have a strong FINRA arbitration claim for compensatory damages, and depending on the jurisdiction, might also pursue consequential damages for the lost real estate transaction, though such claims are evaluated case by case. The facts here -- a clear written record of the client's objectives directly contradicted by the advisor's actions with no documented justification -- present one of the most straightforward violation patterns regulators encounter.



**Item 490 of 499****NON-COMPLIANT****Topic:** lack\_of\_diversification**Difficulty:** medium**Fact Pattern**

Margaret Hilston, age 72, is a retired schoolteacher living in suburban Ohio on a fixed income of approximately \$2,800 per month from Social Security and a small state pension. She had accumulated \$340,000 in a rollover IRA, which represented the entirety of her retirement savings. Her new account documents listed her risk tolerance as 'conservative,' her investment objectives as 'income and preservation of capital,' her time horizon as '5-10 years,' and her investment experience as 'limited.' In March 2022, her financial advisor, Derek Paulson, recommended that Margaret invest \$295,000 -- roughly 87% of her IRA -- into a single corporate bond fund focused exclusively on high-yield (below investment grade) energy sector bonds. The fund carried an annual expense ratio of 1.45% and had experienced a 22% drawdown during the 2020 energy market disruption. Derek told Margaret the fund would provide 'reliable monthly income' and described it as 'basically like a savings account but with better returns.' He did not discuss the credit risk associated with below-investment-grade bonds, the concentration in a single volatile sector, or alternative approaches such as a diversified bond ladder, Treasury securities, or a balanced allocation across multiple asset classes. The remaining \$45,000 was placed in a money market account. By December 2022, the fund had declined 14% in value due to rising default rates among smaller energy issuers, reducing Margaret's principal by approximately \$41,300. Margaret filed a complaint stating she was never told the investment carried significant risk of loss and that she believed her savings would be safely invested.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Paulson likely violated both FINRA Rule 2111 (Suitability) and Regulation Best Interest (Reg BI) under the Securities Exchange Act. The analysis proceeds on multiple grounds:

1. **\*\*Customer-Specific Suitability (FINRA Rule 2111.05):\*\*** Margaret's documented profile -- age 72, conservative risk tolerance, limited experience, fixed income, capital preservation objective -- is fundamentally inconsistent with an 87% concentration in a single high-yield energy bond fund. High-yield bonds carry meaningful credit and default risk, and sector-specific concentration in energy amplifies volatility. A suitable recommendation for this customer would typically involve diversified, investment-grade fixed income instruments, Treasuries, CDs, or a balanced allocation designed to preserve capital and generate stable income.
2. **\*\*Quantitative Suitability / Concentration:\*\*** Placing 87% of a retiree's entire retirement savings into one fund in one sector represents an extreme lack of diversification. FINRA has repeatedly found that excessive concentration in a single security, sector, or asset class can constitute a suitability violation, particularly for conservative, elderly investors with limited financial resources and no ability to recover from losses.
3. **\*\*Reg BI -- Care Obligation (17 CFR 240.15l-1):\*\*** Under Reg BI's Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile. The recommendation failed to reflect reasonable care because (a) the product's risk characteristics were mismatched to the client's profile, (b) the advisor did not consider reasonably available alternatives such as diversified bond funds,

Treasury securities, or investment-grade products, and (c) the concentration created excessive risk for someone entirely dependent on these savings for retirement.

4. **Reg BI -- Disclosure Obligation:** Derek's characterization of the high-yield fund as 'basically like a savings account' was materially misleading. He failed to disclose the credit risk, sector concentration risk, historical drawdown risk, and the fund's expense ratio in a meaningful way. This omission constitutes a failure under the Disclosure Obligation of Reg BI.

5. **Potential Negligence and Misrepresentation:** Describing a below-investment-grade energy bond fund as akin to a savings account could also constitute negligent misrepresentation or, if intentional, fraud under general antifraud provisions.

**Likely Regulatory Outcome:** A FINRA arbitration panel would likely find in Margaret's favor, awarding compensatory damages for the \$41,300 loss plus potentially disgorgement of commissions and fees. A FINRA enforcement action could result in fines, suspension, or a bar for Derek Paulson, particularly given the vulnerability of the customer and the magnitude of the concentration.

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## Item 491 of 499

### NON-COMPLIANT

**Topic:** concentration\_risk

**Difficulty:** hard

### Fact Pattern

Carlos and Maria Delgado, ages 38 and 36, are a first-generation immigrant couple from Guatemala who operate a small landscaping business in Houston, Texas, earning a combined gross income of approximately \$78,000 per year. They opened a joint brokerage account in January 2023 with \$95,000 -- savings they had accumulated over eight years -- with the explicit goal of funding college education for their three children, ages 12, 9, and 6. Their account application listed their risk tolerance as 'moderate,' their investment objectives as 'growth with safety for education funding,' their time horizon as '6-12 years,' their investment experience as 'none,' and their liquid net worth (excluding the business) as \$110,000. English is their second language, and they told their advisor, Brenda Marsh, that they did not fully understand financial markets but trusted her to invest their money wisely and safely for the children. Between January and April 2023, Brenda executed 14 separate buy transactions, placing \$82,000 of the \$95,000 (86%) into shares of seven micro-cap and nano-cap companies, all trading below \$3.00 per share, in the cannabis, cryptocurrency mining, and speculative biotech sectors. The remaining \$13,000 was placed in a broad market ETF. Brenda earned a total of \$4,200 in commissions on these transactions. She did not explain to the Delgados what penny stocks or micro-cap equities were, did not provide any risk disclosure documents specific to penny stocks, and did not discuss the extreme volatility, illiquidity, and potential for total loss associated with these securities. She told them these were 'high-growth opportunities that could double their money before the kids need it.' By October 2023, four of the seven companies had been delisted or had their trading halted, and the remaining three had declined an average of 68%. The Delgados' \$82,000 penny stock allocation was worth approximately \$11,400, a loss of roughly \$70,600. When Carlos called to inquire, he was told to 'be patient.' The Delgados filed a complaint in December 2023 after discovering the extent of the losses through a friend who reviewed their account statements.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Brenda Marsh committed serious violations across multiple regulatory frameworks. This is a particularly egregious case given the customers' vulnerability, lack of sophistication, and the nature of the recommended securities.

1. **\*\*FINRA Rule 2111 -- Reasonable-Basis Suitability:\*\*** An advisor must have a reasonable basis to believe a recommendation is suitable for at least some investors. Concentrated positions in penny stocks (micro-cap and nano-cap equities under \$3/share) in highly speculative sectors like cannabis, cryptocurrency mining, and early-stage biotech carry extreme risk of total loss. While such securities might be appropriate in small allocations for highly sophisticated, high-net-worth speculators, recommending them as the core holding (86% of assets) for any investor saving for a defined future obligation like college is difficult to justify on a reasonable-basis level.

2. **\*\*FINRA Rule 2111 -- Customer-Specific Suitability:\*\*** The Delgados' profile is entirely inconsistent with speculative penny stock investing: moderate risk tolerance, no investment experience, a defined time horizon for education funding, limited liquid net worth, and explicit reliance on the advisor's judgment. An 86% concentration in the most speculative segment of the equity market is a clear customer-specific suitability violation. Education savings for children with a 6-12 year time horizon would typically call for diversified equity index funds, target-date education funds, 529 plan

contributions, or a balanced growth portfolio -- not concentrated penny stock speculation.

3. **\*\*Regulation Best Interest -- Care Obligation:\*\*** Under Reg BI (17 CFR 240.15l-1), the Care Obligation requires that a recommendation reflect reasonable diligence, care, and skill, and that the advisor consider reasonably available alternatives. Brenda failed on every component: (a) she did not exercise reasonable care in evaluating these high-risk, illiquid securities against the family's moderate risk profile and education savings goal; (b) she failed to consider obvious and readily available alternatives such as diversified index funds, education savings vehicles, or age-appropriate target-date funds; (c) the recommendation placed her financial interest (\$4,200 in commissions) ahead of the customers' interest.

4. **\*\*Regulation Best Interest -- Disclosure Obligation:\*\*** Brenda failed to disclose the nature, risks, and characteristics of penny stocks. She affirmatively mischaracterized the investments as 'high-growth opportunities' without explaining the speculative nature, illiquidity risk, delisting risk, or the possibility of total loss. This is a clear violation of the Disclosure Obligation.

5. **\*\*Penny Stock Rules and Enhanced Obligations:\*\*** Although the fact pattern does not cite specific rules, broker-dealers generally have heightened disclosure and approval requirements when recommending penny stocks to retail customers, including written risk disclosures, suitability determinations documented in writing, and ongoing account monitoring. None of these steps appear to have been taken.

6. **\*\*Exploitation of Vulnerable Customers:\*\*** The Delgados' limited English proficiency, lack of investment experience, and explicit trust in the advisor create additional aggravating factors. FINRA and state regulators have heightened scrutiny for cases involving vulnerable investors, including elderly, unsophisticated, or language-barrier customers. The advisor's failure to ensure the customers understood the investments, combined with the unsuitable recommendations, suggests potential elder/vulnerable-person exploitation standards may apply in some jurisdictions.

7. **\*\*Quantitative Unsuitability and Excessive Commissions:\*\*** The \$4,200 in commissions on \$82,000 in trades (approximately 5.1% cost drag on day one) for an unsophisticated customer with moderate goals is noteworthy. Fourteen transactions in four months in a buy-and-hold education savings account raises questions about whether the trading frequency served the advisor's commission interests rather than the customers' goals.

**\*\*Likely Regulatory Outcome:\*\*** This case presents strong grounds for a FINRA arbitration award in favor of the Delgados, likely including full compensatory damages of approximately \$70,600, disgorgement of the \$4,200 in commissions, and potentially interest. In a FINRA enforcement context, Brenda Marsh would likely face substantial fines, disgorgement, a lengthy suspension, or a permanent industry bar, given the severity of the misconduct, the vulnerability of the customers, and the magnitude of the losses relative to their net worth. State securities regulators may also pursue action, and the broker-dealer firm faces supervisory failure liability under FINRA Rule 3110 for failing to detect and prevent the unsuitable recommendations.

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**Item 492 of 499****NON-COMPLIANT****Topic:** senior\_investor\_exploitation**Difficulty:** medium**Fact Pattern**

Margaret Holloway, age 79, is a retired schoolteacher living in a small town in Ohio. She has an annual pension income of \$34,000 and Social Security of \$18,000. Her total liquid savings amount to approximately \$410,000, which represent her entire life savings and the proceeds from the sale of her late husband's home in 2019. She has no other family aside from a niece who lives out of state. Margaret describes herself as conservative and has repeatedly told her advisor, Derek Simmons, that her primary goals are capital preservation and generating modest income to supplement her pension. She has limited investment knowledge and relies heavily on Derek's guidance. In March 2021, Derek recommended that Margaret invest \$300,000 into a fixed indexed annuity with a seven-year surrender period, which she did. The product carried a 7% surrender charge in the first year, declining by 1% annually. Derek received a 6.5% commission (\$19,500) on this sale. In November 2022--just 20 months later--Derek contacted Margaret and told her that a 'better product' had become available and that she should move her money into a new fixed indexed annuity with a different insurance carrier. Margaret paid a surrender charge of approximately \$16,500 to exit the first annuity. Derek then placed her \$283,500 remaining balance into the new annuity, which carried a new eight-year surrender period and a first-year surrender charge of 8%. Derek earned a 7% commission (\$19,845) on this second sale. In June 2024, Derek again contacted Margaret, this time recommending she switch into yet another annuity product, claiming the crediting rate was superior. Margaret would have faced a \$19,845 surrender penalty to exit the second annuity. At this point, Margaret's niece intervened after noticing that her aunt's account value had decreased from \$300,000 to roughly \$260,000 despite no market losses, entirely due to surrender charges and fees. Over the course of three years, Derek earned a total of \$39,345 in commissions on Margaret's accounts. Margaret filed a complaint with her broker-dealer, stating she never understood the surrender charges and that Derek never explained the costs of switching.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Simmons violated both suitability requirements and best interest standards in multiple respects.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker have a reasonable basis for believing a recommendation is suitable for the customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and other relevant factors. The rule encompasses reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. **\*\*Regulation Best Interest (Reg BI):\*\*** Under the SEC's Regulation Best Interest, broker-dealers and their associated persons must act in the best interest of retail customers when making recommendations. This includes the Care Obligation (exercising reasonable diligence, care, and skill in making recommendations, including understanding costs and reasonably available alternatives), the Disclosure Obligation (providing full and fair disclosure of material facts including conflicts of interest), and the Conflict of Interest Obligation (establishing policies to identify and mitigate conflicts, particularly those arising from compensation).

3. **FINRA Rule 2330 (Variable Annuities and Direct Participation Programs):** While this rule specifically addresses variable annuities, its principles regarding annuity exchanges--requiring that a registered representative have a reasonable basis for believing the exchange is suitable after considering surrender charges, new surrender periods, loss of benefits, and whether the customer would benefit from the new product--are instructive. Many broker-dealers apply analogous standards to fixed indexed annuity switches.

**Analysis of Violations:**

- **Customer-Specific Unsuitability:** Margaret is a 79-year-old conservative investor with limited income and no other liquid assets. Placing 73% of her life savings into an annuity with a seven-year surrender period was questionable given her age and liquidity needs, but the repeated switching compounded the harm. A seven- or eight-year surrender period is inappropriate for someone of her age who may need access to funds for healthcare or emergencies.

- **Annuity Switching / Churning:** The 2022 switch from one annuity to another just 20 months after the initial purchase is a hallmark of annuity churning. Derek generated \$39,345 in total commissions while Margaret's account value declined by approximately \$40,000 solely due to fees. There was no meaningful benefit to the customer from the exchange--she traded one surrender period for a longer one, paid substantial surrender penalties, and the advisor earned fresh commissions each time.

- **Care Obligation Violation (Reg BI):** Derek failed to exercise reasonable diligence in considering the costs of the transactions relative to any purported benefit. The surrender charges alone consumed over 13% of Margaret's invested capital. No reasonable analysis of the replacement product could justify the erosion of principal for a conservative, elderly investor whose stated goal was capital preservation.

- **Disclosure Obligation Violation (Reg BI):** Margaret stated she never understood the surrender charges or the costs of switching. Derek failed to provide full and fair disclosure of material facts, including the significant financial impact of the exchanges and his own compensation conflicts.

- **Conflict of Interest Violation (Reg BI):** Derek's compensation (\$39,345 in commissions) created a clear conflict of interest that drove the switching recommendations. There is no indication the broker-dealer had adequate policies to identify or mitigate this conflict.

- **Potential Elder Financial Exploitation:** Margaret's age, cognitive reliance on her advisor, isolation (only a distant niece), and limited financial sophistication make her a classic vulnerable senior investor. Many states have enacted statutes protecting seniors from financial exploitation, and FINRA has issued guidance (e.g., FINRA Rule 2165) allowing firms to place temporary holds on disbursements when exploitation is suspected. The pattern here--repeated switching of an elderly client's annuities primarily to generate commissions--constitutes exploitation.

**Likely Regulatory Outcome:** This case would likely result in significant sanctions. Derek could face suspension or a bar from the securities industry, disgorgement of commissions, and restitution to the customer. The broker-dealer's supervisory failures in not flagging the annuity switches could result in fines and censure. FINRA enforcement has historically imposed substantial penalties in annuity switching cases involving senior investors, including bars and six-figure fines. State insurance regulators may also take action regarding the annuity sales.

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**Item 493 of 499****NON-COMPLIANT****Topic:** variable\_annuity\_unsuitable**Difficulty:** hard**Fact Pattern**

David Kowalski, age 52, is a mid-level IT manager earning \$115,000 per year. He is married with two children, ages 14 and 17. David has a 401(k) through his employer with a balance of \$340,000, and he also maintains a Traditional IRA that he rolled over from a prior employer's plan, currently valued at \$185,000. He has \$45,000 in a savings account and no significant debts other than a mortgage with \$120,000 remaining. His risk tolerance is moderate, and his investment objectives are long-term growth for retirement, which he hopes to begin at age 65. David has average investment knowledge—he understands the basics of mutual funds and target-date funds but has limited experience with complex products. In September 2023, David's financial advisor, Rachel Stein, recommended that he liquidate the mutual fund holdings inside his Traditional IRA and use the \$185,000 to purchase a variable annuity within the same IRA. The variable annuity she recommended carried total annual expenses of 2.85%, comprising a 1.40% mortality and expense charge, a 0.30% administrative fee, and underlying sub-account fund expenses averaging 1.15%. The product also had a guaranteed minimum death benefit rider costing an additional 0.25% annually and a seven-year surrender schedule starting at 7% and declining 1% per year. Prior to the switch, David's IRA held a diversified portfolio of low-cost index mutual funds with a blended expense ratio of 0.12%. Rachel explained that the variable annuity would provide 'tax-deferred growth' and a 'guaranteed death benefit' as key advantages. She did not discuss the fact that the IRA already provided tax deferral or that the death benefit rider would cost David approximately \$462 per year on the initial investment, growing as the account grows. Rachel earned a 5.5% commission (\$10,175) on the sale. David's 401(k) plan already designates his wife as beneficiary, and his existing IRA had a named beneficiary as well, meaning standard IRA death benefit provisions were already in place. Over the first year, David's variable annuity returned approximately 8.2% gross, but after all fees, his net return was approximately 5.1%. Had he remained in his low-cost index fund portfolio, his net return would have been approximately 8.0% based on the same market performance. The difference in the first year alone amounted to roughly \$5,365 in additional costs. David did not become aware of the fee disparity until he compared his IRA statement to his 401(k) performance in late 2024.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Rachel Stein violated both suitability and best interest standards by recommending a high-cost variable annuity inside an already tax-deferred Traditional IRA.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** Requires a reasonable basis for believing the recommendation is suitable given the customer's investment profile. This includes reasonable-basis suitability (understanding the product and having a reasonable basis for recommending it), customer-specific suitability (matching the product to the specific customer), and quantitative suitability (ensuring the overall costs are not excessive).

2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Requires that a broker-dealer exercise reasonable diligence, care, and skill when making a recommendation. The broker must understand the potential risks, rewards, and costs of

the recommendation and must have a reasonable basis to believe the recommendation is in the customer's best interest, considering reasonably available alternatives.

3. **Regulation Best Interest -- Disclosure Obligation:** Requires full and fair disclosure of all material facts relating to the recommendation, including conflicts of interest and compensation.

4. **FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities):** This rule specifically addresses variable annuity recommendations and requires that the registered representative have a reasonable basis for believing: (a) the customer has been informed of the features of the annuity, including surrender charges, potential tax penalties, various fees, and the insurance and investment components; (b) the customer would benefit from certain features of the annuity, such as tax-deferred growth, annuitization, or a death benefit; and (c) the specific annuity as a whole is suitable. Rule 2330 explicitly requires the advisor to consider whether the customer already has tax-deferred treatment through an existing qualified account.

**Analysis of Violations:**

- **Redundant Tax Deferral:** The most significant issue is that Rachel recommended a variable annuity inside a Traditional IRA, where tax deferral is already a feature of the account wrapper. The primary benefit of a variable annuity--tax-deferred growth--provides no incremental value when the product is held inside an IRA. Rachel actively touted tax deferral as a selling point, which was misleading because the customer already had this benefit. This is a textbook violation of FINRA Rule 2330, which specifically requires advisors to consider whether the tax-deferred feature provides a meaningful benefit given the customer's existing account structure.

- **Excessive Costs with No Offsetting Benefit:** David's previous portfolio had a blended expense ratio of 0.12%. The variable annuity carries total annual expenses of 2.85% (or 3.10% including the death benefit rider), representing a cost increase of over 25 times. In the first year alone, this cost David approximately \$5,365 in reduced returns. Over a 13-year period until retirement at age 65, assuming average annual returns of 8% gross, the cumulative cost differential could exceed \$100,000 in lost growth. Under Reg BI's Care Obligation, Rachel was required to consider the costs of her recommendation relative to reasonably available alternatives--here, simply leaving the existing low-cost index fund portfolio in place.

- **Unnecessary Death Benefit Rider:** Rachel sold the guaranteed minimum death benefit as a key advantage, but David's IRA already had a named beneficiary, and the standard IRA provisions would pass the full account value to his beneficiary upon death. The variable annuity's death benefit typically guarantees only the return of the amount invested (minus withdrawals), which is relevant only if the account value has declined below the original investment at the time of death. For a 52-year-old with a 13-year time horizon invested in a diversified portfolio, the probability of the death benefit providing value is very low, yet David would pay approximately \$462+ annually for this feature.

- **Seven-Year Surrender Period:** Imposing a seven-year surrender schedule on a 52-year-old's retirement assets restricts his flexibility and access to funds. While David's time horizon to retirement is 13 years, unforeseen circumstances could necessitate access to these funds. The surrender charges represent an additional cost that was unnecessary given that comparable investment options without surrender charges were already in the account.

- **Compensation Conflict:** Rachel earned a \$10,175 commission on this sale. Her previous management of David's index fund portfolio within the IRA likely generated minimal or no direct compensation. The switch was economically motivated by Rachel's compensation rather than David's financial interests. Under Reg BI's Conflict of Interest Obligation, the broker-dealer should have had policies to identify and address this conflict. Under the Disclosure Obligation, Rachel should have clearly disclosed that she would earn a substantial commission and that this created an incentive to recommend the switch.



- **\*\*Failure to Disclose Material Information:\*\*** Rachel did not explain that the IRA already provided tax deferral, did not meaningfully disclose the fee differential, and did not discuss the limited value of the death benefit rider. This violates both Reg BI's Disclosure Obligation and FINRA Rule 2330's requirements regarding informing the customer of the annuity's features and costs.

**\*\*Likely Regulatory Outcome:\*\*** This case presents clear violations of FINRA Rule 2330, FINRA Rule 2111, and Regulation Best Interest. The recommendation of a variable annuity inside a tax-deferred account with no incremental benefit to justify the substantial increase in costs is a well-established basis for enforcement action. Rachel could face a suspension, fines, disgorgement of the \$10,175 commission, and an order to pay restitution covering the excess fees and lost returns. The broker-dealer could face supervisory failure charges under FINRA Rule 3110 if it failed to have adequate procedures to flag variable annuity purchases within qualified accounts. In FINRA arbitration, David would have a strong claim for compensatory damages, including the fee differential, lost investment returns, and any surrender charges incurred if he exits the annuity.

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**Item 494 of 499****NON-COMPLIANT****Topic:** structured\_products\_unsuitable**Difficulty:** hard**Fact Pattern**

Margaret Thornton, age 74, is a retired school librarian living in suburban Ohio on a fixed income of \$2,800 per month from Social Security and a small pension. Her total liquid net worth is approximately \$310,000, held in a single brokerage account that represents her entire life savings. She has no other investments, no real estate equity (she rents), and lists her investment objectives as 'capital preservation' and 'income generation.' On her new account form, her risk tolerance is marked as 'conservative,' and her investment time horizon is listed as '1-3 years.' She has no prior experience with complex financial products and holds a high school diploma. In March 2023, her financial advisor, Derek Hollis, recommended she invest \$185,000 -- roughly 60% of her liquid assets -- into a basket of three reverse convertible notes linked to the performance of individual technology stocks (a semiconductor company, a cloud computing firm, and an electric vehicle manufacturer). The notes carried a 14-month maturity, offered a stated coupon of 11.5% annually, and included a knock-in barrier set at 70% of the initial stock prices. Hollis told Margaret the products would 'pay her more than a CD ever could' and described them as 'income investments with a nice cushion of protection.' He did not explain that she could lose a significant portion of her principal if any of the underlying stocks fell more than 30%, nor did he discuss the fact that her upside was capped at the coupon while her downside was equivalent to owning the worst-performing stock. The commission on the structured notes totaled \$9,250. By January 2024, two of the three underlying stocks had breached the knock-in barrier. At maturity in May 2024, Margaret received shares of the worst-performing stock, which had declined 47% from its reference price. Her \$185,000 investment was converted into stock worth approximately \$98,050, resulting in a loss of roughly \$86,950 in principal, partially offset by approximately \$19,700 in coupon payments received. Her net loss was about \$67,250, devastating for a retiree with no ability to recover the funds through future earnings.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Derek Hollis violated applicable suitability and best interest standards on multiple grounds.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability):\*\*** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and experience.
2. **\*\*Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934:\*\*** Effective since June 30, 2020, Reg BI requires broker-dealers to act in the retail customer's best interest at the time a recommendation is made, without placing the financial interest of the broker ahead of the customer. This includes the Care Obligation (reasonable diligence, care, and skill in making recommendations), the Disclosure Obligation, and the Conflict of Interest Obligation.
3. **\*\*FINRA Regulatory Notices on Structured Products:\*\*** FINRA has issued multiple notices (e.g., Regulatory Notice

12-03) specifically warning about the risks of complex products like reverse convertible notes and emphasizing heightened suitability obligations when recommending them to retail investors.

**\*\*Analysis:\*\***

**\*Customer-Specific Suitability (FINRA Rule 2111(a)):** Margaret's profile -- age 74, conservative risk tolerance, capital preservation objective, 1-3 year time horizon, fixed income with no ability to recover losses, no experience with complex products -- is fundamentally incompatible with reverse convertible notes tied to volatile individual technology stocks. These products carry equity-like downside risk while capping upside at the coupon rate. Concentrating 60% of her entire life savings in such instruments is egregiously unsuitable.

**\*Reasonable-Basis Suitability:** Even setting aside Margaret's individual profile, an advisor must understand the product well enough to have a reasonable basis for recommending it. Hollis described reverse convertibles as 'income investments with a nice cushion of protection,' which is materially misleading. The knock-in barrier at 70% on volatile tech stocks does not provide reliable principal protection. This suggests Hollis either did not understand the product or deliberately mischaracterized it.

**\*Reg BI Care Obligation:** Hollis failed to exercise reasonable diligence, care, and skill. He did not consider reasonably available alternatives (e.g., Treasury securities, CDs, high-quality bond funds, or fixed annuities) that would have been far more aligned with Margaret's stated objectives. The 11.5% coupon was a red flag for a conservative investor -- it signals significant embedded risk.

**\*Reg BI Disclosure Obligation:** Hollis failed to adequately disclose the material risks of the product -- specifically, the potential for substantial principal loss and the mechanics of the knock-in feature. Describing the product as akin to a CD with higher yield is a material misrepresentation.

**\*Conflict of Interest Obligation:** The \$9,250 commission on the structured notes represents a significant financial incentive that Hollis appears to have prioritized over Margaret's interests. Suitable alternatives like Treasury bonds or CDs would have generated far lower compensation.

**\*Quantitative Unsuitability / Concentration:** Placing 60% of a 74-year-old conservative retiree's entire liquid net worth into a single category of complex, risky structured product represents dangerous over-concentration.

**\*\*Likely Regulatory Outcome:\*\*** This case would likely result in FINRA enforcement action, including potential fines, disgorgement of commissions, restitution to the customer, and possible suspension or bar of the advisor. The customer would also have a strong claim in FINRA arbitration for compensatory damages. Cases with similar fact patterns involving elderly, conservative investors and unsuitable structured products have historically resulted in significant arbitration awards and regulatory sanctions.

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**Item 495 of 499****NON-COMPLIANT****Topic:** excessive\_churning**Difficulty:** medium**Fact Pattern**

Robert Kimura, age 52, is a dentist in Portland, Oregon, earning approximately \$230,000 annually. He has a total investment portfolio of about \$680,000, of which \$520,000 is held in a discretionary brokerage account managed by his financial advisor, Allison Garrett, at a mid-sized regional broker-dealer. Robert's stated investment objectives are 'growth' and 'retirement planning,' with a moderate risk tolerance. He has some investment experience -- he previously held a few mutual funds in a 401(k) -- but he largely trusts Allison to manage his account and rarely reviews statements in detail. Between January 2022 and December 2023, Allison executed 287 trades in Robert's account, predominantly in mid-cap and large-cap equities and leveraged ETFs. Many positions were held for fewer than 30 days, with some bought and sold within the same week. Over this 24-month period, the account had a turnover rate of approximately 9.2 (meaning the portfolio was effectively turned over more than nine times per year). The total commissions and trading costs generated during this period amounted to \$78,400. The account's gross return over the two years was approximately \$41,000, but after deducting the \$78,400 in commissions and costs, the account suffered a net loss of approximately \$37,400. By comparison, a moderate-growth benchmark index returned approximately 12% over the same period, which would have produced gains of roughly \$62,400 on a \$520,000 portfolio. Robert only became aware of the extent of the trading when a colleague who is a CPA reviewed his tax documents in early 2024 and flagged the enormous volume of short-term capital gains and losses along with the commission charges. When Robert confronted Allison, she stated that the frequent trading was necessary to 'capture short-term momentum opportunities' and that 'active management requires active trading.'

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Allison Garrett violated applicable suitability, best interest, and anti-churning standards.

**\*\*Applicable Standards:\*\***

1. **\*\*FINRA Rule 2111 (Suitability) -- Quantitative Suitability:\*\*** Under FINRA Rule 2111.05(c), quantitative suitability requires that a broker who has actual or de facto control over a customer account must have a reasonable basis for believing that the number and frequency of recommended transactions is not excessive in light of the customer's investment profile. This is the explicit anti-churning component of the suitability rule.
2. **\*\*Regulation Best Interest (Reg BI) -- Care Obligation:\*\*** Under Reg BI's Care Obligation, the advisor must exercise reasonable diligence, care, and skill when making recommendations, including evaluating a series of recommended transactions that are not excessive when taken together.
3. **\*\*FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade):\*\*** Churning violates the broad ethical standards imposed on all FINRA member firms and associated persons.
4. **\*\*Exchange Act Section 10(b) and Rule 10b-5:\*\*** Churning is also recognized as a form of securities fraud under the

federal antifraud provisions when done with scienter (intent to defraud or reckless disregard).

**\*\*Analysis:\*\***

**\*Control:** Allison had discretionary authority over the account, which establishes the control element conclusively. Even without formal discretion, her de facto control -- given Robert's reliance on her judgment and infrequent review -- would satisfy this element.

**\*Excessive Trading -- Quantitative Indicators:** Courts and regulators have long used the annualized turnover rate and cost-to-equity ratio as key metrics. An annualized turnover rate of 6 is generally considered presumptively excessive; here, the turnover rate of 9.2 far exceeds that threshold. The cost-to-equity ratio (total costs divided by average account equity) is approximately 7.5% per year (\$78,400 / 2 years / \$520,000). This means the account needed to generate returns of roughly 7.5% annually just to break even after trading costs -- a substantial drag that is inconsistent with a moderate-growth strategy.

**\*Scienter / Intent:** The pattern of trading -- 287 trades over 24 months, many with holding periods under 30 days, generating \$78,400 in commissions that nearly doubled the account's gross gains -- strongly suggests that the trading was motivated by commission generation rather than the client's investment objectives. Allison's justification of 'capturing short-term momentum opportunities' is belied by the fact that the net result was a \$37,400 loss against a benchmark that returned \$62,400 positively. The aggregate underperformance relative to a buy-and-hold strategy is approximately \$100,000.

**\*Customer Profile Mismatch:** Robert's objectives of growth and retirement planning with moderate risk tolerance are consistent with a buy-and-hold or moderate rebalancing strategy, not hyperactive day-trading in leveraged ETFs. The trading strategy was fundamentally misaligned with his stated objectives.

**\*Reg BI Care Obligation:** Even under the newer Reg BI framework, the series of recommended transactions taken together were excessive and not in Robert's best interest. The costs consumed virtually all gains and then some, and the strategy underperformed a simple passive alternative by a wide margin.

**\*\*Likely Regulatory Outcome:\*\*** FINRA would likely bring an enforcement action for churning under Rules 2111 and 2010. Allison could face disgorgement of commissions (\$78,400), significant fines, a lengthy suspension, or a permanent bar from the securities industry. Robert would have a strong FINRA arbitration claim for compensatory damages, including the net losses (\$37,400), excess commissions, and potentially the opportunity cost relative to a suitable investment strategy. Churning cases with turnover ratios above 6 and clear net losses have historically resulted in full recovery for the customer and severe sanctions for the advisor.

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## Item 496 of 499

### NON-COMPLIANT

**Topic:** margin\_unsuitable

**Difficulty:** medium

### Fact Pattern

Dorothy Kessler, age 74, was a retired elementary school teacher living in suburban Ohio. Her husband passed away in 2020, leaving her with a \$410,000 brokerage account, a modest pension of \$2,800 per month, and Social Security income of \$1,950 per month. Dorothy had no other significant assets aside from her home, which was paid off and valued at approximately \$215,000. When she opened her account with advisor Marcus Fielding at a regional broker-dealer in March 2021, she indicated on her new account form that her investment objective was 'income and preservation of capital,' her risk tolerance was 'conservative,' her time horizon was '5-10 years,' and her liquid net worth outside the account was approximately \$35,000 in a savings account. She had no prior experience with margin accounts or options trading. In June 2021, Fielding recommended that Dorothy sign a margin agreement, telling her it would give her 'more flexibility' and help her 'take advantage of opportunities as they arise.' Dorothy trusted Fielding and signed the paperwork. Over the next 18 months, Fielding executed 247 trades in Dorothy's account, frequently buying and selling speculative growth stocks and leveraged ETFs on margin. At various points, Dorothy's margin balance exceeded \$180,000, meaning she was borrowing nearly 44% of her portfolio's peak value. Margin interest charges totaled \$23,400 over the period. Commissions and transaction costs totaled \$47,600. The account's annualized turnover ratio was approximately 14.2. By December 2022, Dorothy's account had declined to \$189,000 -- a loss of over \$221,000 from her original principal, inclusive of all costs. Dorothy called Fielding multiple times expressing concern about the losses and asking why her account was declining. Fielding reassured her each time that 'the market will come back' and that he was 'repositioning for a recovery.' Dorothy was never informed of the total margin interest she was being charged or given a clear accounting of total commissions paid.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Answer

Yes, Marcus Fielding committed multiple serious violations. First, under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on their investment profile, including age, financial situation, risk tolerance, and investment objectives. Dorothy was a 74-year-old conservative widow seeking income and capital preservation with limited liquid assets and no investment sophistication. Recommending a margin account and executing highly speculative leveraged trades was fundamentally inconsistent with every element of her stated investment profile. This constitutes a clear customer-specific suitability violation under Rule 2111(a).

Second, the trading activity -- 247 trades over 18 months with an annualized turnover ratio of 14.2 -- constitutes excessive trading (churning) under FINRA Rule 2111 and the quantitative suitability obligation. Courts and regulators have generally held that turnover ratios above 6 are presumptive evidence of churning. A ratio of 14.2 far exceeds this threshold. The cost-to-equity ratio (the amount the account needed to earn simply to break even after costs) was extraordinarily high given the \$47,600 in commissions and \$23,400 in margin interest against an account that peaked around \$410,000-\$450,000.

Third, under Regulation Best Interest (Reg BI), which became effective June 30, 2020, broker-dealers and their

associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing the financial interest of the broker ahead of the customer. The Care Obligation under Reg BI requires the broker to exercise reasonable diligence, care, and skill in making recommendations. The pattern here -- generating \$47,600 in commissions while the client lost \$221,000 -- strongly suggests that Fielding's financial interest in commissions was placed ahead of Dorothy's interests.

Fourth, the failure to disclose the magnitude of margin interest and commission costs implicates Reg BI's Disclosure Obligation and potentially FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade).

The likely regulatory outcome would include FINRA enforcement action resulting in disgorgement of commissions, restitution to the customer, a substantial fine, and a lengthy suspension or permanent bar from the industry. Dorothy would also have strong claims in FINRA arbitration for compensatory damages covering her full losses, plus potentially punitive damages given the egregious nature of the conduct.

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**Item 497 of 499****COMPLIANT****Topic:** overconcentration\_single\_stock**Difficulty:** hard**Fact Pattern**

Nathan Cho, age 38, was a senior software engineer at a publicly traded technology company with a base salary of \$245,000 and annual stock-based compensation worth approximately \$300,000 in restricted stock units (RSUs). Nathan had a total liquid net worth of approximately \$3.2 million, of which roughly \$1.4 million (about 44%) was in his employer's stock due to years of accumulated vesting. He also held \$900,000 in a diversified brokerage account, \$600,000 in retirement accounts (401(k) and IRAs invested in index funds), and \$300,000 in cash and money market funds. Nathan owned a home worth \$1.1 million with a \$400,000 mortgage. He was unmarried with no dependents. Nathan engaged financial advisor Priya Venkatesh, who held both a brokerage and investment advisory license, to help him manage his overall financial picture. On his new account documentation, Nathan indicated his risk tolerance was 'aggressive,' his investment objective was 'growth,' his time horizon was '20+ years,' and he described himself as having 'extensive' investment knowledge, having actively traded options and individual stocks for over a decade. Priya conducted a thorough analysis of Nathan's total financial picture, including his concentrated employer stock position. She prepared a written financial plan that specifically flagged the 44% concentration in his employer's stock as a risk factor. In the plan, she recommended a systematic diversification strategy: selling 10-15% of his employer stock position each quarter over the next two to three years and reinvesting the proceeds into a diversified portfolio of domestic and international equity index funds and individual growth stocks. She also recommended that Nathan consider a 10b5-1 trading plan to execute the sales in a compliant and systematic manner. Nathan reviewed the plan carefully but told Priya he was very bullish on his company's prospects and preferred to retain his full position for now. He asked Priya to invest the \$900,000 diversified brokerage account more aggressively in individual tech stocks, but not to touch his employer stock. Priya documented this conversation in writing, reiterated her recommendation to diversify in a follow-up email, and outlined the specific risks of maintaining the concentrated position, including sector risk, single-issuer risk, and the correlation between his employment income and his stock holdings. Nathan acknowledged the risks in a written reply and confirmed his decision to retain the employer stock. Priya then managed the \$900,000 brokerage account, investing it across 22 individual stocks spanning technology, healthcare, industrials, and consumer discretionary sectors, as well as a small allocation to an international growth ETF. She did not invest any of the \$900,000 in Nathan's employer stock. Over the following 12 months, Nathan's employer stock declined 18%, while the diversified brokerage account Priya managed gained 11%.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

No, Priya Venkatesh did not violate applicable suitability or best interest standards. Her conduct reflects a textbook example of how an advisor should handle a client's concentrated stock position when the client ultimately declines diversification recommendations.

Under FINRA Rule 2111 (Suitability), an advisor must have a reasonable basis to believe that recommendations are suitable for the customer. Priya's recommendation to systematically diversify out of the concentrated employer stock position was itself highly suitable given the concentration risk. When Nathan declined, Priya was not required to override the client's informed decision, but she was obligated to ensure the client understood the risks -- which she



clearly did through her written financial plan, follow-up email, and documented risk disclosures.

Under Regulation Best Interest (Reg BI), the Care Obligation requires that recommendations be in the retail customer's best interest. Priya's diversification recommendation clearly satisfied this standard. The Disclosure Obligation requires material facts about the recommendation to be disclosed, including risks. Priya's written documentation of concentration risk, sector risk, single-issuer risk, and income correlation risk satisfies this requirement. The Conflict of Interest Obligation did not appear to be implicated, as there is no indication Priya had any financial incentive to recommend retaining or selling the employer stock.

To the extent Priya was acting in an investment advisory capacity (given her dual registration), she owed Nathan a fiduciary duty of care and loyalty under the Investment Advisers Act. Her fiduciary duty required her to provide advice in Nathan's best interest and to fully disclose material risks. She fulfilled this duty by recommending diversification, documenting her recommendation and the client's informed rejection, and then managing the assets under her control in a diversified and suitable manner.

Critically, Priya did not invest any of the \$900,000 brokerage account into additional shares of Nathan's employer stock, which would have exacerbated the concentration problem. Instead, she built a well-diversified portfolio across 22 stocks in multiple sectors plus an international ETF -- appropriate for Nathan's aggressive risk tolerance, growth objective, long time horizon, high income, and extensive investment experience.

The thorough documentation -- written financial plan, follow-up email with risk disclosures, and client's written acknowledgment -- provides strong evidence that Priya met all applicable standards. No regulatory action or arbitration liability would be expected. This scenario illustrates that an advisor is not liable for a client's informed decision to retain a concentrated position, provided the advisor recommended appropriate action, fully disclosed the risks, and documented the client's decision.

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**Item 498 of 499****NON-COMPLIANT****Topic:** options\_unsuitable**Difficulty:** medium**Fact Pattern**

Margaret Kowalski, age 71, is a retired elementary school teacher living in suburban Ohio. She has a pension providing \$2,800 per month and Social Security benefits of \$1,950 per month. Her total liquid savings consist of \$340,000 in an IRA rollover account, which represents her entire retirement nest egg beyond her fixed income sources. Margaret has no prior experience trading options or any derivative instruments. Her account opening documents list her risk tolerance as "conservative," her investment objective as "income and preservation of capital," and her investment experience as limited to certificates of deposit, money market funds, and a handful of blue-chip stocks held for over a decade. In March 2023, her financial advisor, Dale Prescott, recommended that Margaret begin selling uncovered (naked) put options on volatile technology stocks, including positions in semiconductor and AI-related companies. Prescott told Margaret this strategy would "generate extra monthly income like collecting rent" and described it as a low-risk way to supplement her pension. Over the next eight months, Prescott executed 47 uncovered put option trades in Margaret's IRA. Initially, the strategy generated approximately \$12,000 in premium income. However, during a sharp tech sector pullback in October 2023, Margaret was assigned on multiple positions, forcing her to purchase shares at prices well above market value. Her account suffered realized losses of \$87,500 in a three-week span. By January 2024, her IRA had declined from \$340,000 to \$228,400, a loss of approximately \$111,600 or roughly 33% of her retirement savings. Prescott earned \$14,200 in commissions on the options transactions during this period. Margaret was never provided with the standardized options disclosure document, and Prescott never discussed the risk of unlimited loss exposure associated with naked puts or the possibility that she could be forced to buy stocks she could not afford. When Margaret called in distress after seeing her account balance drop, Prescott reassured her that the market would recover and recommended she sell additional puts to "average down and recoup losses."

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Answer**

Yes, Dale Prescott committed multiple serious violations. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, experience, and time horizon. Margaret's profile--a 71-year-old retired teacher with conservative risk tolerance, limited investment experience, income and capital preservation objectives, and total liquid savings of \$340,000--is fundamentally incompatible with uncovered put option writing on volatile technology stocks. Naked put selling exposes the writer to substantial downside risk and potential assignment obligations that could far exceed the premiums collected. This strategy is generally considered appropriate only for highly sophisticated investors with significant risk capital and a thorough understanding of options mechanics.

FINRA Rule 2360 (Options) requires that before approving a customer's account for options trading, the member firm must obtain background and financial information, and the branch manager or designated options principal must approve the account for the specific level of options trading requested. Uncovered option writing typically requires the highest approval level. Given Margaret's profile, approval for Level 4 or equivalent naked options writing should never have been granted.

Additionally, under FINRA Rule 2360 and longstanding industry practice, the standardized Options Disclosure Document (ODD) published by the Options Clearing Corporation must be provided to the customer at or before the time the account is approved for options trading. Prescott's failure to provide this document is an independent violation.

Under Regulation Best Interest (Reg BI), the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest, considering the customer's investment profile. The Disclosure Obligation requires full and fair disclosure of all material facts, including risks. Prescott's characterization of naked put selling as "low-risk" and akin to "collecting rent" was materially misleading and violated the disclosure component. His failure to explain assignment risk and potential for large losses compounded the violation.

The recommendation to sell additional puts after significant losses to "average down" constitutes a further violation, as it doubled down on an already unsuitable strategy for a customer who had just experienced devastating losses and was clearly in financial distress.

The 47 transactions generating \$14,200 in commissions over eight months also raises concerns about excessive trading under FINRA Rule 2111.05 (quantitative suitability), particularly given the conservative, income-oriented profile.

Likely regulatory outcome: Prescott and his firm would face FINRA enforcement action, potential fines, disgorgement of commissions, restitution to the customer, and possible suspension or bar from the industry. Margaret would likely prevail in a FINRA arbitration claim for compensatory damages of approximately \$111,600 plus costs and interest.

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## Item 499 of 499

## NON-COMPLIANT

**Topic:** inappropriate\_risk\_profile

**Difficulty:** hard

## Fact Pattern

Daniel Reeves, age 58, worked as a warehouse supervisor for Consolidated Logistics Corp. for 31 years. In February 2023, Daniel took early retirement and rolled over his entire 401(k) balance of \$612,000 into a new IRA account with Brighton Wealth Advisors. His wife, Linda, age 56, works part-time as a medical receptionist earning \$28,000 annually. Together they have modest additional savings of \$45,000 in a joint bank account. They own their home with a remaining mortgage balance of \$118,000. Daniel receives no pension, and neither he nor Linda will be eligible for Social Security until age 62. Their combined monthly expenses are approximately \$4,200. During the account opening process, Daniel's advisor, Craig Emerson, conducted a risk tolerance questionnaire with Daniel. Daniel expressed that he wanted his money to "last through retirement" and that he "couldn't afford to lose it." He said he was "nervous about the stock market" and indicated he expected to begin drawing \$3,000 per month from the IRA within two years to cover living expenses once Linda planned to stop working. Despite these conversations, Emerson recorded Daniel's risk profile as "aggressive growth" on the new account form, explaining to Daniel that "at 58, you still have a long time horizon and need growth to beat inflation." Emerson then allocated the entire \$612,000 IRA as follows: \$245,000 (40%) in shares of Consolidated Logistics Corp., Daniel's former employer, purchased on the open market; \$185,000 (30%) in a single small-cap biotech ETF focused on pre-revenue gene therapy companies; \$122,000 (20%) in a leveraged 3x bull semiconductor fund; and \$60,000 (10%) in a high-yield emerging market bond fund with an average credit rating of CCC. The portfolio had a weighted average expense ratio of 1.42%. Emerson also charged a 1.25% annual advisory fee on top of fund expenses. Emerson did not discuss diversification, the concentrated position risk of holding a large stake in Daniel's former employer, the mechanics and decay characteristics of leveraged ETFs, or the credit risk embedded in CCC-rated emerging market debt. Over the following 14 months, Consolidated Logistics announced a major contract loss and its stock fell 54%. The biotech ETF declined 38% amid clinical trial failures industry-wide. The leveraged semiconductor fund, subject to volatility decay, lost 29% despite the underlying index being down only 11%. The emerging market bond fund lost 18% following sovereign debt concerns. By April 2024, Daniel's IRA had fallen to \$321,700, a loss of \$290,300 or approximately 47.4%. Daniel, who had planned to begin withdrawals soon, was now facing the prospect of having less than half of his original retirement savings and no immediate way to replace the lost funds.

## Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

## Answer

Yes, Craig Emerson committed egregious violations across multiple regulatory frameworks.

**\*\*Risk Profile Misclassification:\*\*** Under FINRA Rule 2111 and Regulation Best Interest, the advisor has an obligation to develop an accurate customer investment profile. Daniel explicitly stated he could not afford to lose his money, was nervous about the stock market, and needed to begin monthly withdrawals of \$3,000 within two years. These facts unambiguously indicate a conservative to moderate risk tolerance with a primary objective of capital preservation and income. Emerson's classification of Daniel as "aggressive growth" directly contradicts the customer's own stated needs and financial circumstances. Recording an inaccurate risk profile to justify aggressive recommendations is a well-documented violation pattern. Under Reg BI's Care Obligation, the advisor must consider the customer's actual

investment profile--not a fabricated one.

**\*\*Concentration Risk (Former Employer Stock):\*\*** Allocating 40% (\$245,000) of a client's entire retirement savings to a single company's stock--especially the client's former employer--creates extreme, uncompensated concentration risk. This is the antithesis of prudent retirement portfolio management. The position offered no diversification benefit and exposed Daniel to company-specific risk that materialized catastrophically. Under FINRA's suitability framework, customer-specific suitability requires that the overall investment strategy be suitable for the particular customer, and a 40% single-stock concentration for a near-retiree with no other meaningful assets is plainly unsuitable.

**\*\*Leveraged and Speculative Products:\*\*** The 3x leveraged semiconductor ETF (20% allocation) is designed for short-term tactical trading, not buy-and-hold retirement investing. Leveraged ETFs suffer from volatility decay and can significantly underperform the underlying index over holding periods longer than one day, as demonstrated here (the fund lost 29% while the index dropped only 11%). FINRA has issued extensive guidance (Regulatory Notice 09-31 and subsequent notices) warning that leveraged and inverse ETFs are generally unsuitable for retail investors who plan to hold them for longer than one trading session. Similarly, a 30% allocation to a single sector, pre-revenue biotech ETF is speculative and inappropriate for a capital preservation objective.

**\*\*Failure to Disclose Material Risks:\*\*** Under Reg BI's Disclosure Obligation, the advisor must provide full and fair disclosure of all material facts relating to the scope and terms of the relationship, including material risks. Emerson failed to discuss diversification principles, the specific risks of concentrated single-stock positions, the mechanics of leveraged ETF decay, or the credit risk of CCC-rated emerging market debt. These omissions are material.

**\*\*Excessive Costs:\*\*** The combined cost burden of 1.42% in fund expenses plus a 1.25% advisory fee equals 2.67% annually. For a conservative retiree, this cost drag is excessive and further erodes the portfolio's ability to preserve capital, implicating Reg BI's cost considerations under the Care Obligation and FINRA Rule 2111's reasonable-basis suitability.

**\*\*Fiduciary Considerations:\*\*** If Brighton Wealth Advisors is a registered investment adviser, Emerson also owes a fiduciary duty of care and loyalty under the Investment Advisers Act of 1940. The portfolio construction was manifestly imprudent and placed the advisor's fee interest above the client's welfare.

**\*\*Likely Regulatory Outcome:\*\*** This case presents overlapping violations of FINRA Rule 2111 (all three suitability obligations: reasonable-basis, customer-specific, and quantitative), Regulation Best Interest (Care, Disclosure, and potentially Conflict of Interest Obligations), and if applicable, the IA fiduciary standard. Emerson would likely face significant fines, disgorgement of advisory fees, a lengthy suspension or permanent industry bar, and an order to pay restitution. Daniel would have strong grounds for full compensatory damages in FINRA arbitration, including recovery of the \$290,300 in losses plus advisory fees paid, with potential for additional damages depending on jurisdiction.

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